

Financial Accounting



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FINANCIAL ACCOUNTING

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Delhi • Chennai • Chandigarh

Dedication

This book is dedicated to Vasanth, Parul, Riddhima, Bhagya Shree and Sathyan

Associate Acquisitions Editor: Dhiraj Pandey

Associate Production Editor: Jennifer Sargunar

Composition: White Lotus Infotech Pvt. Ltd, Pondicherry

Printer:

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ISBN: 978-81-317-3180-2

10 9 8 7 6 5 4 3 2 1

Published by Dorling Kindersley (India) Pvt. Ltd, licensees of Pearson Education in South Asia.

Head Office: 7th Floor, Knowledge Boulevard, A-8(A), Sector 62, Noida 201 309, UP, India.

Registered Office: 11 Community Centre, Panchsheel Park, New Delhi 110 017, India.

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Preface

We are delighted to place *Financial Accounting* in the hands of our readers. This book is mainly intended to meet the requirements of undergraduate (B.Com.) courses in universities across India. At the same time, every effort has been made to fulfill the needs of students appearing for professional courses such as CS, ICWA, CA and MBA. Topics are selected in such a way so as to cover the syllabii of various universities offering B.Com. and B.Com. (Hons) courses.

The book is structured around financial accounting principles comprising the following chapters: Accounting as an Information System, Financial Accounting Principles, Accounting Standards, Accounting Process Starting from Journal to the Preparation of Final Accounts, Capital and Revenue Expenditures, Revenue Recognition, Accounting from Incomplete Records, Measurement of Business Income, Accounting for Depreciation, Inventories, Hire–purchase, Branches (Inland), Dissolution of Partnership, Analysis of Financial Statements, Ratio Analysis and Cash Flow Statement, which are all presented in a logical sequence thereby enriching the content of the book.

Each chapter begins with Learning Objectives in which the contents of the chapter are divided into objectives, and the entire text is based on these objectives.

The theoretical aspects of accounting principles are explained in a lucid manner. They are discussed pointwise in very simple language to enable students comprehend concepts with ease.

Each accounting principle is explained by way of an illustration. For each principle, a separate model sum is provided, and it is solved in a step-by-step manner. Even minute details are worked out in the form of Basic Calculations or Notes. Concepts that help in tackling problems are explained under Important Note. There are nearly 500 such illustrations in this book. The authors hope that the student community would benefit from these illustrations.

Important technical terms are explained precisely at the end of each chapter as Key Terms. The main points of each chapter are highlighted at the end as the Summary for students to recapitulate at a glance.

A question bank at the end of each chapter comprises the following: (A) *Objective-type Questions*—True or False Questions, Multiple-choice Questions and Fill in the Blanks; (B) *Short Answer-type Questions*; (C) *Essay-type Questions*; and (D) *Exercises*.

A maximum number of questions have been framed under each category of objective-type questions. This will ensure that the readers develop a broad understanding of the theoretical part of the text. In addition to objective-type questions, short answer-type, multiple-choice questions and essay-type questions have been included. Nearly 500 problems from various university question papers and reputed premier institutes such as CS, ICWA and CA have been selected and included at the end of each chapter. Solutions to them have also been provided.

We hope that this book will be of immense use to all our readers, especially to students.

FEEDBACK

For further improvement of this book, suggestions are always welcome, and the readers are free to contact the authors at rajasekaranpv@gmail.com.

ACKNOWLEDGEMENTS

We express our gratitude to the numerous authors who have already enriched the principles and techniques of financial accounting; of course, without infringing upon their copyright.

We are very grateful to Raza Khan, whose guidance, encouragement and good wishes made an invaluable contribution towards the completion of this work.

We appreciate the guidance and support from K. Srinivas, M. E. Sethurajan, Praveen Tiwari, Dhiraj Pandey and Anshul Yadav.

We are especially thankful to Jennifer Sargunar, who has taken personal interest towards the betterment of the script. We appreciate her efforts in bringing out this book in time.

Last but not the least, the members of our families, Renuka, Vasanth, Parul, Bhagya Shree, Sathyan and Manuraj, deserve our gratitude for their personal, constructive and constant encouragement.

V. Rajasekaran
R. Lalitha

Accounting as an Information System

LEARNING OBJECTIVES

After studying this chapter, you will be able to understand

- | | |
|---|---|
| 1. Meaning and Definition of Accounting | 8. Objectives of Financial Accounting |
| 2. Characteristic Features of Accounting | 9. Meaning of General Purpose Statements |
| 3. Concept of Accounting as an Information System | 10. Qualitative Characteristics of Accounting Information (or) Financial Statements |
| 4. Characteristic Features of Accounting System | 11. Functions of Accounting |
| 5. Users of Financial Accounting Information | 12. Advantages of Accounting |
| 6. Branches of Accounting | 13. Limitations of Accounting |
| 7. Distinction Between Financial Accounting and Management Accounting | 14. Bases of Accounting |
| | 15. Distinction Between Accrual Basis of Accounting and Cash Basis of Accounting |

INTRODUCTION

OBJECTIVE 1: MEANING AND DEFINITION OF ACCOUNTING

1. Meaning: Accounting owes its origin – to the origin of mankind. It is as old as money itself. In the course of evolution, this art – accounting has undergone many changes in its concept, convention and other policies and procedure. Accounting is generally referred to as the language of business. The most frequently quoted definition is the one, coined by the American Institute of Certified Public Accountants as, “the art of recording, classifying and summarising in a significant manner and in terms of money transactions and events which are, in part at least, of a financial character, and interpreting the results thereof.” Over the years, so many definitions have been formulated by the professionals keeping in view with the changing socio-economic scenario.

2. Definition: The definition put forth by the American Accounting Association (AAA) has gained much significance in the present day context. The AAA defined accounting as, “the process of identifying, measuring and communicating economic information to permit informed judgements and decisions by the users of information.” This definition is used widely now. This definition exposes the eminent characteristic features of accounting as follows.

OBJECTIVE 2: CHARACTERISTIC FEATURES OF ACCOUNTING

- (i) It is a “process” not confined to one single event.
- (ii) “Identifying” means identifying economic activities or accounting (business) transactions.
- (iii) “Measuring” means such accounting activities have to be measured, quantified generally in terms of money or money value or worth.
- (iv) “Communicating” means the results of measurement have to be communicated to all users of statement.
- (v) “Economic information” – means an information of economic value – information forming the art of accounting process plays a vital role.
- (vi) “Permit informed judgements and decisions” enables the users to make informed judgements. This has to assist the users to decide their action.
- (vii) “Users of information” – emphasis is on the users and information.

This definition thereby defines accounting as an information system. Let us analyse in detail the various terms used in this definition in the following paragraphs.

- (i) **Identification of economic activities needs an explanation here:** It should be understood that an economic event refers to the occurrence of economic consequence of any activity relevant to a particular (accounting) business activity. To illustrate, a machinery is purchased by a business enterprise for manufacturing and sale of goods. This transaction is an example for economic activity. Accounting activity varies from the cost of machinery to the production of goods, till the revenue is earned through sales. Here, the accountant plays a vital role in identifying various transactions and assessing their overall impact. The first and foremost task is the identification of such activities that an accounting really needs.
- (ii) **Measurement:** After identifying the activities, they have to be measured in terms of (the value of) money. Only those transactions, which can be quantified in terms of money are taken into account in this process, that is, the accounting information systems. Non-monetary activities do not form part of an accounting system. These transactions are recorded in a planned and systematic manner following the set of rules or guidelines of accounting bodies. After analysing all business transactions, they are presented in a summarised form —“Financial Statements.”
- (iii) **Communication:** The results of transactions have to reach the people (users) who are all interested in knowing such results. This is achieved by “communication.” The identification, measurement with analysis and interpretation must be transmitted to the users. Such information is transmitted in the form of financial statements (terminal stage in accounting process). The important ingredients (constituents) of financial statements are:
 - (a) Income Statement
 - (b) Balance Sheet
 - (c) Cash Flow Statement

As already stated, accounting is the language of business. The basic and most important function of a language is communication. In this aspect too, accounting has to act in the form of communicating information (accounting), as any language does. This process of communicating information cannot take place in vacuum. A system (medium) should facilitate the task of transmitting this information to its users, which is referred to as “Accounting Information System.”

OBJECTIVE 3: CONCEPT OF ACCOUNTING AS INFORMATION SYSTEM

One has to understand the term “System” and then “Accounting Information System.”

System: “A system is a collection of parts that work together harmoniously to achieve specific goals.” To illustrate, take “Educational Institution” (school, college or university) as a system. A system is a collection of parts as per the definition. In this system the parts are – students, staff (teachers as well as non-teaching staff), administrative heads (headmaster, principal, vice chancellor) of institution, library, controlling agencies (government, education department), and so on. These parts constitute a system. Emphasis in the definition is “to achieve specific goals.” In this example, to attain education is the specific goal. All the constituents have to work together to achieve the specific goals.

A system converts the inputs into output. In this example, students – inputs – without literacy, knowledge or skill are converted into outputs – literates, thorough knowledge, acquiring technical skills, eminent citizen in every aspect. In a system “output” determines the efficiency of such edifice.

An accounting is also a system in the sense – an institution (business entities) with parts or elements (men, material, machinery, transactions, recording and reporting the end results) work together to attain the common goal (to enhance economic prospects).

OBJECTIVE 4: CHARACTERISTIC FEATURES OF AN ACCOUNTING SYSTEM

An accounting system consist of the following features:

- (i) *Input:* 3Ms – Men, Materials, Money – primarily.
- (ii) *Process:* Accounting process – from recording of the transactions till the presentation of end results of business activities.
- (iii) *Output:* Communicating accounting information, making appropriate decision on net results of operation, and so on.
- (iv) *Feedback:* Feedback mechanism – from the various categories of users of accounting information.
- (v) *Control:* Revising decisions and policies based on feedback.

OBJECTIVE 5: USERS OF FINANCIAL ACCOUNTING INFORMATION

The accounting system processes the business transactions in order to provide information to various users within the enterprise and outside the entity. Now, we have to discuss who the real users are, what their needs are, and how they are met with.

The range of users of financial accounting information varies from the employees of the business to those of the public at large. These users may be broadly classified into two categories – external users and internal users.

Users who are not directly associated with the activities of the enterprises but who are directly having economic interest in such business enterprises, are external users.

External users rely extensively on financial accounting information to achieve economic benefit in the case of shareholders, creditors (suppliers of goods/services), customers, donors, employees and to perform statutory obligation in the case of government and other regulatory bodies.

Users, who are directly associated with the day to day activities of the business (managing, operating and accounting) are called internal users. Internal users generally represent the management of the business. They are usually the board of directors, in the case of companies, and owners/proprietors in the case of other enterprises. Internal users are the policy/decision making bodies, and the information they rely need not be made known to the external users. These internal reports are never published. Such information generally facilitates the policy decision, for example, price fixation of a product, introduction of a new product and the like.

The information needs of each group of users of an accounting system are:

5.1 Investors

Investors in a company are the shareholders – they are the real owners of the company. But, despite their status as owners, they are denied access to internal reports. Present investors face risk by investing inequity

capital due to uncertainty of constant returns from such investment. Individual investors and institutional investors are very much interested in knowing the financial position of the company. All the investors need information to take decisions whether to buy new shares or whether to sell the shares already purchased. In order to provide the required information needs of the investors, the financial statements and other statutory reports should consist of all such information.

5.2 Suppliers and Creditors

The suppliers of goods and other services, usually known as creditors, are interested in information so as to ascertain whether the amount owing to them will be paid by the company promptly. Creditors, both short term and long term, are interested in knowing the solvency of the entities. The ability of the firm to discharge its long term liabilities (loan) on the stipulated date of maturity and to continue business activities not less than the present level in the future, is referred to as solvency. Trade creditors are interested in the liquidity of the business. The ability of the firm to meet its short term liabilities or current liabilities on the stipulated date of maturity is referred to as liquidity. The financial statements should contain the relevant information on this aspect.

5.3 Lenders

Lenders differ from creditors, though both of their amount are being utilised by the entities. Lenders lend money to business entities with the main motive to earn interest for the loan amount advanced by them. Bankers, financial institutions and individuals who extend loans are lenders. Lenders are mainly interested in knowing whether the interest will be paid at regular intervals and the principal amount will be repaid on the date of maturity. They are interested in knowing the number of times the earning is covered by the interest (known as the interest cover). Financial reports are extensively used by lenders.

5.4 Employees

Employees and trade unions are naturally interested in their personal interests like salary, overtime facilities, bonus, better service conditions and the retirement benefits. Only if the company is in a sound financial position, the employees are not only paid better salaries but also can demand more benefits. As such, they are interested in exacting opt information from the financial statements. The latest trend in the corporate sector is ESOPS (Employees Stock Option Scheme), whereby the employees are also made as shareholders of the company by allotting the shares. Under such circumstances, employees are interested in knowing the financial position of the enterprises by using the vital information provided in the financial statements.

5.5 Customers

Customers have information needs, especially when they want to develop the long term relationship with the enterprises. They would like to know about the quality of the product, price and so on. They also want to know whether the supply of goods/services will be regular without an interruption and, would like to assess the profitability of the business. The earning capacity of the firm in relation to revenue or assets or capital employed is referred to as profitability.

5.6 Government and Regulatory Services

The government and all the regulating agencies require the accounting information for the following:

- (a) to determine taxes, to collect taxes and to frame taxation policies,
- (b) to provide statistical data in assessing the national income,
- (c) to frame policies on the national level governing all the categories of the business enterprises,
- (d) to bring them under strict regulatory control, thereby eliminating unethical practises in the business entities.

5.7 Security Analysts and Advisors

Stock analysts, stock brokers, credit rating agencies rely to a great extent on the financial statements of business concerns in rendering valuable service to the investors. They act without bias in their functions and expose the results of analysis with their technical excellence. They can analyse the financial statements in a better way than the common man. Hence, the importance of accounting information system cannot be underestimated in case of security stock analysts, advisors and credit rating agencies.

5.8 Public

Business enterprises generally recruit local persons as employees, secure raw materials, other goods and services from local suppliers. Such activities inject enthusiasm among the public, kindling them to know about the enterprises. At that juncture, the financial statements might be of much help. From such point of view, information exposed in the financial statements fulfil the needs of the general public.

5.9 Management

The management of an enterprise (generally companies) is entrusted with the board of directors by the investors (shareholders). Even though, it is the responsibility of the management to prepare and present the financial statements and other reports, they themselves also have to seek the assistance of such accounting information system. Management is interested in the information provided in the financial statements in the process of planning, decision making and controlling. The preparation and presentation of the internal reports for different and special purpose financial statements is dealt by management accounting, which is a special branch of accounting. Management accounting is primarily concerned with the information needs relating to planning, decision making and controlling. But basically the management is assisted in its task by the financial statements. In evaluating the performance of an enterprise, in estimating future cash flows, the management of any enterprise rely on the financial statements and other related reports.

OBJECTIVE 6: BRANCHES OF ACCOUNTING

Globalisation has resulted in an increase in the scale of business operations. Over the years, accountants have been engaged constantly in formulating and practising different kinds of accounting. As a result, different specialised branches of accounting came into existence.

6.1 Financial Accounting

This branch of accounting is primarily concerned with the preparation and presentation of financial statements. Financial statement includes Profit and Loss Account (income statement) and Balance Sheet. Of late, a Statement of Retained Earnings and a Statement of Cash Flow are included in it. Hence, preparation of financial statement includes preparation of Profit and Loss Account, preparation of Balance Sheet, preparation of statement on retained earnings and preparation of cash flow statement. In addition, notes, schedules and explanatory material attached to the Balance Sheet also form part of the financial statements. But reports of directors, chairman's report, analysis of financial statements are not integral part of financial accounting. In this book, it is needless to say that we are concerned only with this branch of accounting.

6.2 Cost Accounting

This is another branch of accounting. The prime objective of cost accounting is to ascertain the cost relating to products, services, departments and functions (inventory valuation), which are essential for the preparation of other branches of accounting. Cost accounting assists the task of control (cost) and decision making. A cost accounting system is used to provide the management with information about the cost of products or services being produced or sold, with the estimated cost of goods or services to be produced and sold in future, with the costs of goods or services produced and consumed within the company and with the cost of operations, processes or activities. The terminology of Chartered Institute of Management

Accountants (CIMA) defines cost accounting as “the establishment of budgets, standard costs and actual costs of operations, processes, activities or products; and the analysis of variance, profitability or the social use of funds.” Cost accounting, by ascertaining inventory valuation, helps financial accounting, the other branch of accounting.

6.3 Management Accounting

Accounting designed to guide the management in its process of planning, control and decision making is referred to as management accounting. It can be said that management accounting serves the information needs of the business enterprises such as owners, and managers (otherwise known as insiders). The Institute of Cost and Management Accountants of U.K. defines management accounting as “the application of professional knowledge and skill in the preparation of accounting information in such a way as to assist the management in the formulation of policies and in the planning and controlling of the operations of the undertaking.”

6.4 Tax Accounting

This branch of accounting is primarily related to the statutory tax provisions such as income tax, excise duties, customs duties and VAT (Value Added Tax). Accounting process relating to these items should be in conformity with the existing tax legislations.

6.5 Social Responsibility Accounting

This branch of accounting is also referred to as social accounting or social reporting. It is concerned with the social benefits derived and the costs incurred to derive such social benefits by the enterprises.

Example: Enterprises engaged in providing benefits such as health, education.

6.6 Other Branches of Accounting

Human resource accounting, and national accounting have also come into existence. They are yet to formulate the set of rules and guidelines for such types of accounting.

As students of financial accounting, the differences between financial accounting and management accounting have to be understood clearly, which are provided in the form of columns.

OBJECTIVE 7: DISTINCTION BETWEEN FINANCIAL ACCOUNTING AND MANAGEMENT ACCOUNTING

Differences Between Financial Accounting and Management Accounting

Basis of Distinction	Financial Accounting	Management Accounting
1. Purpose	Financial accounting provides information for general purpose. Its users are wide and varied.	Management accounting provides information for specific purpose. Its users are only the managers involved in that specific purpose.
2. Period of preparation	Financial statements are prepared, generally for a year.	Management accounting reports are not prepared for a year or period, but for a particular specific purpose.
3. Frequency of preparation	Financial (accounting) statements are carried out only once in a year, in general.	Management accounting reports are prepared frequently.

Basis of Distinction	Financial Accounting	Management Accounting
4. Governance	This is governed by the government, accounting and other statutory regulations.	In management accounting, no such statutory regulations exist.
5. Financial nature	Financial accounting reports can be measured or quantified in terms of money. It is entirely financial in nature.	Generally, it is not financial in nature.
6. Forecasting	Financial accounting is based on past transactions. They are backward looking, forecast cannot be made in this.	Management accounting reports, though based on past records, is forward looking. It forecasts for the future also.
7. Nature of information	Financial accounting uses information, which are objective and which can be verifiable.	Management accounting uses information, which are subjective and which cannot be verifiable.

OBJECTIVE 8: OBJECTIVES OF FINANCIAL ACCOUNTING

The Institute of Chartered Accountants of India (ICAI), issued a document under the title, “Framework for the Preparation and Presentation of Financial Statements” which describes the following as the objectives of financial statements:

- (i) to provide information about the financial position, performance and changes in financial position of an enterprise,
- (ii) to provide financial accounting information to a wide range of users in making decisions,
- (iii) to assess the stewardship of management or the accountability of management for the resources entrusted to it.

OBJECTIVE 9: GENERAL PURPOSE STATEMENT

It emphasises the preparation of four statements which are basic to financial accounting. These four statements are clubbed under the title “General Purpose Financial Statements.” They are called so because they serve the purpose of several user groups. They are:

1. Profit and Loss Account: This is also called “Income Statement.” This is a statement which matches the revenue with the expenses. This statement exposes the net result of the operations (net profit/loss) of an enterprise for a particular period. This provides information about the performance of an enterprise. The salient features, preparation and usefulness of this statement is explained in detail in Chapter 5.

2. Balance Sheet: This provides information about financial position of an enterprise. The Balance Sheet consists of three elements – equity, liabilities and assets. It provides information about economic resources that are controlled by the enterprise. It provides information on the financial structure. Liquidity and solvency of an enterprise is also revealed. The salient features, preparation and usefulness of this statement is discussed in detail in Chapter 5.

3. Statement of Retained Earnings: This is a statement that reports on the net income available for distribution of dividend, relating to public limited companies. Dividend policy is generally framed on the scrutiny of the statement of retained earnings. Out of profit earned, how much to part with, in the form of dividends and how much to retain in the company itself, has to be determined based on this report. As this is outside the scope of this book, this has not been dealt with.

4. Statement of Cash Flow: Now, the preparation of cash flow statement has gained much importance. It is a summary of cash inflow and cash outflow. This is prepared on the basis of important activities of an enterprise, namely, operating, investing and financing. To provide information on changes in the financial position of an enterprise is the prime object in the preparation of cash flow statement. This is extensively dealt with in Chapter 17.

Each of the above statement provides the needed information, which may also be considered as objectives of financial statements.

As per the Federal Accounting Standards Board, the objectives are:

- (i) to help those making investment and credit decisions,
- (ii) to assess the future cash flows,
- (iii) to identify the economic resources (assets), the respective claims to those resources (liabilities) and the changes in those resources and claims.

OBJECTIVE 10: QUALITATIVE CHARACTERISTICS OF ACCOUNTING INFORMATION OR FINANCIAL STATEMENTS

The ICAI, issued a document under the title, “Framework for the preparation of Financial Statements”, which described the qualitative characteristics of final statements under the following broad, primary qualitative characteristics:

10.1 Understandability

An essential quality of the accounting information provided in the financial statements is that, it must be readily understandable by the users. Any information is useful only if it is understandable. It is assumed that the users have adequate knowledge, at least, working knowledge of economic and accounting concepts, revealed in financial statements. However, information about complex matters that should be included in the financial statements because of its relevance for decision making needs of users, should not be excluded on the ground that may be difficult for certain users to understand.

10.2 Relevance

Accounting information must be relevant for decision making needs of the users. If accounting information is not relevant though understandable, it will be useless. Information has the quality of relevance when it influences the economic decisions of the users by helping them to evaluate past, present or future events or confirming or correcting their past evaluations. Information need not be in the form of an explicit or exact forecast, to have predictive value. The predictive value of the financial statements is increased if sufficient explanations for unknown items are enclosed along with financial statements.

Materiality: The relevance of information is affected by its nature and materiality. No material information should be omitted. “Information is material, if its misstatement (i.e., omission or erroneous statement) could influence the economic decisions of the users, taken on the basis of financial information.” “Materiality depends on the size and nature of the item or error judged in the particular circumstances of its misstatement.” Materiality provides a cut-off point (limit) rather than being a primary qualitative characteristic, which the information must possess, if it is to be useful.

10.3 Reliability

To be useful, information must be reliable. Accounting information is reliable, when it is free from material error and personal bias. Information must represent faithfully, what it intends to represent.

To be reliable, the accounting information must have the following attributes – faithful representation, substance over form, neutrality, prudence, completeness, timeliness and verifiability.

Faithful Representation: This requires that accounting information should be based on actual events. Transactions should be recorded faithfully. There may be some measurement difficulties in certain cases.

In some other cases, some uncertain items are also to be recognised. The risk of error in those cases should be disclosed separately.

Substance Over Form: Transactions have to be recorded in accordance with their substance and economic reality and not merely with their legal form.

Neutrality: To be reliable, information in financial statements must be neutral, that is free from bias. Any activity should not be influenced by the whims and fancies of persons associated with such activity.

Prudence: Prudence means acting with caution in the exercise of judgements required under conditions of uncertainty. Accountants must be prudent in making judgements (estimates) while preparing statements. Exercise of prudence does not allow the creation of hidden reserves or excessive provisions, the deliberate understatement or overstatement of expenses, incomes, assets and liabilities.

Completeness: To be reliable, the information must be complete within the limits of materiality and cost. An omission can cause information to be false or misleading and hence unreliable and irrelevant. So financial statements with disclosures should be complete in the sense and should not mislead the users by providing incomplete data.

Timeliness: Any delay in the presentation of accounting information will lose its relevance. It should be presented and communicated to its users within the stipulated time, in order to avoid unforeseen events.

Verifiability: While recording transactions, care should be taken to note whether such transactions have really taken place and whether they are objective and verifiable. They should be verifiable with some original documents (source documents). True position is ascertained if any checking by way of verification is carried on periodically.

10.4 Comparability

Users of financial statements of a business enterprise must be in a position to compare the net results within the enterprise over a period of time. In order to understand the relative net results with other enterprises in the field, financial statements should be prepared in such a way to facilitate the task of comparison. But comparability can be made easy only when the enterprises use the same accounting principles and methods. Consistent application of accounting principles and methods is essential for comparison of financial statements. Hence, this aspect of consistency generally does not permit the switching of accounting methods from year to year. Suppose the method of valuation of inventory is switched over from First-In-First-Out (FIFO) Method to Weighted Average Method, comparison cannot be possible even within an enterprise over a period of time. But certain changes are necessitated when there is a change in the statutory provision. Under those circumstances, accounting policies and methods should be in tune with the existing legislations. But such changes must be disclosed in the financial statements, with reasons for such a change, and the net effect of changes on the financial position of the enterprise. To compare the financial position, net result of operations and cash flows of an enterprise within the enterprise and with other enterprises over a period of time by the users should be considered as prime qualitative characteristics of accounting information, while preparing the financial statements.

OBJECTIVE 11: FUNCTIONS OF ACCOUNTING

The major functions of financial accounting are:

1. Maintenance of Records: Maintenance of records is the basic and important function of any accounting system. Business transactions have to be recorded properly in the books of accounts, classified under appropriate accounts and finally summarised into the financial statements.

2. Communication: Informing the net results of an enterprise to its users is another important function. Accounting is used to communicate the financial information to its varied users.

3. Statutory Compliance: Statutory provisions require the submission of many statements to the concerned authorities. Financial accounting functions should comply with the legal and statutory provisions.

4. Protection of Assets: Financial accounting enables the management of an enterprise to exercise proper control over the assets of enterprise. Assets in its various forms (cash, inventories, work-in-process, fixed assets, and so on) are kept in tact as constant vigil is exercised, as accounting is a continuous process and proper recording of the transactions facilitates the function.

5. Stewardship: In companies registered under the Companies Act, 1956, the management is entrusted with enormous powers with the entire resources at their disposal. As such, they have to act as trustees of the funds with utmost faith. Accordingly, accounting should assist the management to achieve the goal.

6. Assessment of Performance: The basic function of the accounting data is the assessment of past performance and determination of the current financial position.

7. Forecast: Based on the past data, accounting enables to forecast the future performance of an enterprise.

8. Decision Making: Accounting provides the necessary data to make appropriate decisions for both management as well as the users.

9. Evaluation and Responsibility: Accounting helps in assessing profit or loss of different departments. Such evaluation in turn fixes the responsibility of the different department heads.

10. Control: Accounting helps in identifying the weak spots in the various activities of the entire enterprise and suggest remedial measures to plug the weak spots. Hence, accounting facilitates the task of control.

OBJECTIVE 12: ADVANTAGES OF ACCOUNTING

1. Useful to the Management: The accounting information is useful to the management in the following ways:

- (i) in the preparation of budget,
- (ii) in planning the future course of action,
- (iii) in co-ordinating the different departments,
- (iv) in controlling the managerial activities.

2. Comparison: Intra-comparison, that is comparison of results within the enterprises over a period of time can be possible.

3. Taxation Authorities: Written records serve as a reliable source for taxation purposes. Taxes cannot be levied arbitrarily.

4. Legal Evidence: Written accounting information acts as an evidence in the court of law, which will be binding everyone.

5. Determination of the Price: The accounting information is an important tool to determine the price of the enterprises, in a situation of selling process.

OBJECTIVE 13: LIMITATIONS OF ACCOUNTING

1. Non-monetary Items Ignored: Accounting information is expressed in terms of money or money's worth. Non-monetary items are ignored.

2. Original Cost: Assets, especially fixed assets, are recorded at the original cost. Actual amount incurred on them are not taken into account. Consequently, the Balance Sheet does not reflect the true financial position.

3. Profit Basis – Not Reliable: Profit may not be the sole criterion in assessing the management performance of an enterprise. Accounting information based on profit alone cannot be a reliable one because some major costs incurred on some important areas like advertisement, research and development, are omitted and all sorts of manipulation may be made.

4. Based on Estimates: At times, accounting information is based on estimates. Such information may not be accurate.

5. Rule of Consistency: Same accounting principles may not be followed, in certain cases. For example, depreciation on fixed assets is computed on Straight Line Method in one year and Written Down Value in another year. Rule of consistency may be violated which results in contradictory procedure.

OBJECTIVE 14: BASES OF ACCOUNTING

Financial statements are to be prepared in accordance with Generally Accepted Accounting Principles (GAPP). The following are the bases, which are generally accepted, in calculating profit or loss of an enterprise.

1. Cash Basis of Accounting: Under this cash system of accounting, transactions relating to actual cash receipts and actual cash payments alone are recorded and the net result is computed on this basis. Credit transactions are not at all recorded. No adjustments on items relating to outstanding expenses and accrued income are carried on. No adjustment entries are recorded. Income is computed as the excess of actual cash receipts over actual cash payments, with the help of receipts and payments account.

This system of accounting is useful for professionals and small enterprises. True profit or loss cannot be ascertained under this method because items relating to the current account period is not included for the simple reason that cash is not received in cash or not spent in cash.

2. Accrual Basis of Accounting: Under this system of accounting, items of income are recognised when they are earned and whether they are actually received in cash are not considered, that is the cash may be received on a later date. Similarly, items of expense are recognised when they are incurred and not when payments are made. They are taken into account on the basis of accounting period to which they are related. Actual cash receipts and actual cash payments are immaterial under this method. Hence, proper adjustments have to be made in the calculation of net profit or loss of an enterprise. True profit or loss can be ascertained for a particular period under this system of accounting. This method can be used to all types of business enterprises. But actual cash flows are not disclosed.

There is one more method of accounting in practice, that is mixed or hybrid basis of accounting. Under this method, both cash basis of accounting and accrual basis of accounting is adopted. Under this method, items of income are recognised (recorded) on accrual basis.

Revenues are recognised in full and at the same time adequate provision for expenses are also provided under this method.

Under hybrid system of accounting, cash basis is adopted for certain items and accrual basis is followed for certain other items of transactions of an enterprise.

OBJECTIVE 15: DISTINCTION BETWEEN ACCRUAL BASIS OF ACCOUNTING AND CASH BASIS OF ACCOUNTING

Differences Between Accrual System of Accounting and Cash System of Accounting

Basis of Distinction	Accrual Basis of Accounting	Cash Basis of Accounting
Items appear in balance sheet	Items such as outstanding and pre-paid expenses and accrued and unaccrued incomes will appear in the balance sheet.	No such items will appear in the balance sheet under this method.
Effect of pre-paid expenses and accrued income	Income statement will reveal a relatively higher profit (income).	Income statement will show a lower profit (income).

(Continued)

(Continued)

Basis of Distinction	Accrual Basis of Accounting	Cash Basis of Accounting
Effect of outstanding expenses and unaccrued income	Income statement will show a relatively lower (income) profit.	Income statement will show a higher profit (income).
Statutory recognition	This method is recognised by the Companies Act.	This system of accounting is not recognised by the Companies Act.
Option: Valuation of inventory, depreciation	Under this system, the accountant has the option to choose any method.	The accountant has no liberty to choose an option.

Summary

- Accounting is the art of recording, classifying and summarising in terms of money transactions and interpreting the results thereof.
- Characteristic features: process, identification, measurement and communication.
- An accounting system consists of input, processes, output, feedback and control.
- Users of accounting information system are investors, suppliers and creditors, lenders, employees, customers, government and regulatory services, security analysts, public and management.
- Branches of accounting are financial accounting, cost accounting, management accounting, tax accounting, social responsibility accounting, human resource accounting and national accounting
- Objectives of financial accounting: to provide information about the financial position; performance and changes in the financial position; to provide financial accounting information to its users; to assess the accountability of the management; to arrive at investment and credit decisions; to assess future cash flows; to identify economic resources.
- General purpose statements: Income Statement, Balance Sheet, Statement of Retained Earnings and Statement of Cash Flow.
- Qualitative characteristics of accounting information: understandability, relevance, reliability and comparability
- Functions of accounting are maintenance of records, communication, protection of assets, statutory compliance, stewardship, forecast, decision making, evaluation and control.
- Advantages of accounting: useful to management, comparison, taxes, legal evidence and price determination.
- Limitations of accounting: non-monetary items ignored; original cost; not reliable on profit basis, estimation, rule of consistency.
- Bases of accounting: cash basis of accounting, accrual basis of accounting – distinction between cash basis and accrual basis of accounting.

Key Terms

Account: A record of financial transactions which is kept for sorting the accounting information into similar groups.

Accounting: A process of identifying, recording, summarising and reporting (accounting economic) information to specified users.

Accounting Information System: A set of records, procedures and equipment that routinely deal with the events affecting the financial performance and position of the entity and communicating this to decision makers.

Accounting Period: The period of time over which profits are computed. Normal accounting period is a

year, fiscal or financial year which starts from Apr 1, and ends on Mar 31, of the following year or calendar year.

Accrual Basis of Accounting: It is an accounting system (method) whereby the revenues and expenses are recorded at the time the transaction has taken place and not at the time when the cash is paid. This is also known as mercantile basis of accounting.

Cash Basis of Accounting: It is another accounting system whereby the transactions are recorded when actual receipts or actual payments occur. This is suitable only for the individuals.

Reference

Anthony R.N. and J.S. Reece, *Accounting Principles*,
Richard D. Irwin Inc.

A Objective-type Questions

I. State whether the following statements are True or False

- Accounting information is useful only to the management.
- Accounting is the language of business.
- Accounting involves communication.
- Financial statements are the channel of accounting communication.
- If the transaction cannot be translated in monetary terms, it is not considered as part of the accounting information system.
- Information needs of accounting are not required for owners of small business enterprises.
- Most of the needs of the accounting information are met from unpublished internal reports by the management.
- Under cash basis of accounting, credit transactions are not at all recorded in the books of account.
- Under accrual basis of accounting, revenue is recognised only when cash is actually received.
- Under cash basis of accounting, no adjustments are made for outstanding expenses and accrued income.

Answers

- | | | |
|----------|---------|----------|
| 1. False | 2. True | 3. True |
| 4. True | 5. True | 6. False |
| 7. True | 8. True | 9. False |
| 10. True | | |

II. Fill in the blanks with suitable words

- The information generated by final reports of an enterprise is generally known as _____ information.
- The two broad categories of users of the financial accounting information are _____ and _____.
- Ability of the firm to meet its long term obligations is referred to as _____.
- Ability of the firm to meet its short term obligations is referred to as _____.
- The major internal user of the accounting information is _____ of an enterprise.
- Consistency _____ the switching of accounting methods from year to year.
- Under cash basis of accounting _____ transactions are not recorded.
- Under accrual basis of accounting, revenues are recognised when they are _____.
- Under hybrid basis of accounting, revenues are recognised on _____ basis while expenses are recorded on _____ basis.
- Under accrual basis of accounting, outstanding expenses and unaccrued income will affect the Profit and Loss Account showing a _____ profit.

Answers

- | | |
|-------------------------|--------------------------|
| 1. Financial Accounting | 2. External and Internal |
| 3. Solvency | 4. Liquidity |
| 5. The Management | 6. Does not permit |
| 7. Credit | 8. Earned |
| 9. Cash basis and | 10. Lower |
| accrual basis | |

B Short Answer-type Questions

- Define accounting.
- What is an accounting information system?
- What are the broad purposes of an accounting system?
- What are the important financial characteristics which are of common interest to users of information?
- What are the categories of users of financial accounting information? Give two examples to each category of users.
- What are the branches of accounting?
- What is meant by hybrid basis of accounting?
- Explain the cash basis of accounting.
- What is accrual basis of accounting? Mention two advantages of accrual basis of accounting.
- Distinguish between the accrual basis of accounting and the cash basis of accounting.

C Essay-type Questions

1. What is an accounting information system? Elucidate the salient features of an accounting system?
2. Explain the information needs of different types of user groups in detail.
3. What are the qualitative characteristics of an accounting information? Explain each such characteristic in detail.
4. What are the functions of financial accounting? What are its advantages? Explain its limitations.
5. Distinguish between the management accounting and the financial accounting.

Nature of Financial Accounting Principles

LEARNING OBJECTIVES

At the end of the chapter, you will be able to understand

- | | |
|--|--|
| 1. Need and Meaning of Accounting Principles | Cost Concept – Special Features, Realisation Concept, Matching Concept. |
| 2. Meaning and Characteristic Features of Generally Accepted Accounting Principles (GAPP) | 4. Basic Accounting Conventions – Convention of Conservatism (Prudence), Convention of Consistency, Convention of Materiality and Convention of Disclosure |
| 3. Basic Accounting Concepts – Entity Concept, Money Measurement Concept, Going Concern Concept – Accounting Standard (AS)-1, Periodicity Concept, | 5. Distinction Between Concepts and Conventions |

OBJECTIVE 1: NEED AND MEANING OF ACCOUNTING PRINCIPLES

A uniform set of rules and guidelines must be necessary for any accountant to prepare the financial statements of an enterprise. If there are no standardised set of rules, then each accountant for each enterprise will prepare the financial statements in their own way which will result in unreliable, inconsistent and biased accounting information. Keeping in view of this, the accountants have developed certain rules and guidelines to be followed by each enterprise. These rules and guidelines are the outcome of constant hard work of accounting professionals over the years. Generally, such set of rules and guidelines are known as accounting principles.

OBJECTIVE 2: MEANING AND CHARACTERISTIC FEATURES OF GENERALLY ACCEPTED ACCOUNTING PRINCIPLES (GAPP)

2.1 Meaning of GAPP

GAPP may be defined as “those rules of action or conduct, which are derived from experience and practise and when they prove useful, they become accepted as principles of accounting.” GAPP is a technical accounting term, which describes the basic rules, concepts, conventions and procedures that represent the accepted accounting principles at a particular time. According to the American Institute of Central Public Accountants (AICPA), the principles which have substantial authoritative support become a part of the generally accepted accounting principles. It further stated that, “generally accepted accounting principles

incorporate the consensus at any time as to which economic resources and obligations should be recorded as assets and liabilities, which changes in them should be recorded, how the recorded assets and liabilities and changes in them should be measured, what information should be disclosed and how it should be disclosed and which financial statements should be prepared.” GAPP include accounting principles as well as procedures for applying these principles.

2.2 Salient Features of GAPP

As GAPP are ground rules for accounting, the salient characteristic features of accounting principles are highlighted as:

- *To ensure uniformity:* Accounting principles have been formulated to ensure uniformity and easy understanding of the accounting information.
- *Not final statements:* Accounting principles are generally not final statements. They are not static. Any change in government regulation or introduction of statutory legislation may affect the existing accounting principles. Hence, accounting principles will have to be modified in conformity with those changes.
- *Simple guidelines:* Accounting principles are not laboratory tested principles. They are not discovered. They are man-made. They are derived from experience. They are simple guidelines.
- GAPP depends on the following attributes:
 - (i) *Relevance:* A principle is relevant to the extent it results in information that is meaningful and useful to the user of accounting information.
 - (ii) *Objectivity:* A principle is objective to the extent the accounting information is not influenced by personal bias or judgement of those who provide it. It also implies verifiability, which means that there is some way of ascertaining or checking the correctness of the information reported.
 - (iii) *Feasibility:* A principle is feasible to the extent it can be implemented without much complexity or cost.

Generally, all the above three features are found in accounting principles. In some cases, sacrifice of one principle in favour of other principle may become necessary. In some cases, an optimum balance of all the three is struck for adopting a particular rule as an accounting principle. These features often contradict with each other. In applying new principles, it is essential to achieve a trade-off between relevance on one hand and objectivity and feasibility on the other.

OBJECTIVE 3: BASIC ACCOUNTING CONCEPTS

Basically, an accounting concept is an opinion. Accounting concept is the base for evolving a set of rules and guidelines to record business transactions. It is a recognised presumption that business in an accounting entity, separate from its owners, is a sole proprietorship, or partnership firm or limited companies (private as well as public). Accounting concept is not subject to any proof because it is only an opinion based on the assumption. Despite the fact that accounting concept is not a fact, its role in the preparation of financial statements or any accounting process is well recognised by the accountants.

The factors that determine the evolution of accounting concepts are:

- (i) New inventions, improvement in technology, increasing business activities, proliferation of multinational companies as an impact of globalisation – all necessitate new kind of varied transactions. Hence, new accounting concepts have to be developed to combat with such innovations in technology. Accounting concepts are ever changing in nature.
- (ii) New accounting concepts have to be devised keeping pace with the changes in legal, socio-economic environments.

In general, while recording business transactions, business entity concept and historical cost concept have been taken as basic concepts. There are some more basic accounting concepts that are being observed while preparing the financial statements. They are:

- (i) Entity or business entity or accounting entity concept.
- (ii) Money measurement concept.
- (iii) Going concern concept.
- (iv) Accounting period concept.
- (v) Cost concept.
- (vi) Realisation concept.
- (vii) Accrual concept.
- (viii) Matching concept.

3.1 Entity Concept

For accounting purposes, the business is treated as a unit or entity, apart from its owners. The proprietor of a business enterprise is always considered to be separate and distinct from the business. According to this concept (i.e., business as an entity), all the transactions of the business are recorded in the books of the business. Each business entity is treated as a separate distinct unit and accounting process is carried on and as such all personal transactions affecting the proprietors are not to be taken into account. As per the business as an entity concept, even the proprietor (owner) of business enterprise is observed as a creditor to the extent of his capital contributions. Thus, capital is a liability like any other liability and the amount is due to proprietor, that is, the enterprise owes to the proprietor. This concept, as a separate legal entity, is specifically applicable to joint stock companies.

But, in some form of organisations, accounting entity is not necessarily a separate legal entity. Take the case of sole proprietorship, where a sole trader cannot separate his business assets and liabilities from those of his personal assets and liabilities. Legally speaking, a sole trader's liability is "unlimited," which means his business liability can be met with his personal assets. Law allows to recover debts occur in business from his personal resources. The same is the case of partnership firms. A partnership firm is not a legal entity. As per the Partnership Act, all the partners are jointly and severally liable for firm's debts. But in companies registered under the Companies Act (public limited companies), this legal entity concept is recognised because the shareholders (real owners of the company) are not liable for the company's debt. Liability is limited to the extent of their amount they invested in shares of their particular company. But, it is important to be noted at this juncture, that is, for accounting purposes, the principle of business entity is observed. Even though the legal provisions stipulate and treat the sole trader and his business as one unit, the accounting principles treat them as two different units as business and personal. Hence, in business enterprises, whichever type it belongs to, that is, sole proprietorship, partnership firms or joint stock companies, the separate entity concept is taken into consideration. Even the separate entity is not recognised by law in some form of organisations, as explained above, for accounting purpose the separate entity concept is always to be taken as base. One should understand in this context that the concepts of legal and business activities are not compatible with each other.

The "entity concept" reveals:

- (i) Personal transactions of the owners are not at all recorded. Only business transactions are to be recorded.
- (ii) Net result (profit/loss) is related to the business.
- (iii) The capital is treated as a liability of the business, which it has to owe to its owners.
- (iv) This concept may be applied to the whole enterprise as one single unit or to different departments of the enterprise.

3.2 Money Measurement Concept

The money measurement concept highlights the fact that in accounting, all transactions of any type of enterprise are recorded in terms of money. According to this concept, transactions, which cannot be expressed in terms of money, are not recorded in the books of account. They assume that money is a stable unit of measurement which means same value of money for all times is taken into consideration.

This concept suffers from a serious limitation. According to this concept, a transaction is recorded at its money value on the date of the transaction. It fails to recognise the frequent changes in the money value. For example, a land (measuring 1,000 sq. mtrs.) was purchased for Rs 1,00,000 in 1990 and another transaction of purchase of a land (same extent, same location) for Rs 2,00,000 in 2000 were recorded at Rs 1,00,000 and Rs 2,00,000 respectively. But, the worth of land purchased in 1990 is more in real terms than the one that was purchased in 2000, though it is recorded as Rs 2,00,000.

Both these transactions are shown in today's Balance Sheet, that is, 2010 at the rate on which they were purchased. Its worth will be several times higher today. This is due to the fact of rising prices and change in the value of money. Money as a unit of measurement is not stable or constant forever. In accounting this important factor, that is, change in the value of money is ignored.

Another drawback in the usage of this concept is that it does not take into consideration of non-monetary transactions. It ignores all the other facts and events that affect the enterprises. For example, quality of the products marketed, working conditions of employees, sales policy and such facts and events, which cannot be recorded in terms of money, are ignored. Under such circumstances, this concept affects the true usefulness of accounting records. Consequently, this affects the management decisions and overall efficiency of the management.

Despite the above illustrated limitations, the importance of the usage of money measurement concept cannot be underestimated. The financial statements prepared at the end of the accounting period show the operating results (after all necessary adjustments – additions and deductions) in a summarised form. To make necessary adjustments, that is, for addition or subtraction a common unit of measurement is needed. Here, it is in terms of money. In the absence of a common measurement unit, that is, in terms of money, any information will be valueless.

Example: A business has a land of 1000 sq. mtrs., building with 10 rooms and one conference hall, 100 chairs, 150 fans, 5 tonnes of raw materials, 10 air conditioners and so on. If they are expressed like this without any common measurement unit their value as exist cannot be assessed and if any purchase or sale from these items also cannot be quantified.

Suppose, if the same is expressed in terms of money, that is, a land of Rs 1,00,000 (1000 sq. mtrs.); building worth Rs 50,00,000 (with 10 rooms and a conference hall); 100 chairs each at Rs 250; 10 air conditioners each at Rs 20,000, then the total value as exist is easily ascertained. At the time of any addition by way of purchase or deduction by way of sale can be adjusted with the existing items.

Hence, this concept increases the value of the state of affairs of a business enterprise in its true sense. The use of money measurement concept has become inevitable and indispensable.

3.3. Going Concern Concept

This going concern concept assumes that the enterprise will continue to exist for a number of years (indefinite) in future. As Accounting Standards (AS)-1, going concern concept is a fundamental accounting assumption underlying the preparation of financial statements. While dealing with the disclosure of accounting policies, AS-1 stipulates "the enterprise is normally viewed as a going concern, that is, as continuing in operation for the foreseeable future. It is assumed that the enterprise has neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations." Construction activities is a typical example. Once the construction of the specified project is completed, the business comes to an end. On the other hand, certain business enterprises that are engaged in automobile, consumable

goods exist for over a century. It will continue its operations in the foreseeable future. This going concern concept is followed in the valuation of assets. If this is not followed, AS-1 requires the disclosure of fact with reason.

Advantages

- (i) The going concern concept facilitates the classification of assets and liabilities as short-term and long-term.
- (ii) This concept is a boon to investors. They may not be in anxiety on the life of the enterprise. Having assured of the longevity of the business entities, investors returns is also assured.
- (iii) Assets are depreciated on the basis of expected life, not on the basis of market value. This facilitates the allocation of the cost of the asset over the expected life of the asset. Thereby it dispenses with the periodic consideration of market value. This concept is in accordance within that of the accounting principle that “depreciation is a process of allocation, not of valuation.”
- (iv) This going concern concept facilitates the task of accounting professionals to record the value of fixed assets at cost rather than to follow “value-in-use” approach. Market price is ignored. This is for the treatment of the fixed assets.
- (v) For current assets, they are valued at lower of cost or market value.

Disadvantages

- (i) When financial statements are prepared in the going concern concept, and the required formulations regarding the publication of reports and statements are completed, some enterprises may wind up (liquidate) their business. In such situation this may mislead the user, the net result will lead to chaos and confusion.
- (ii) Unsecured creditors will be put in too much hardship due to such misleading financial information.
- (iii) Furthermore, future cannot be predicted and unforeseen events cannot be controlled in advance.

3.4 Periodicity Concept (Accounting Period Concept)

The net income of the business, really speaking, can be measured correctly by computing the assets of the business existing at the time of its commencement with those existing at the time of its liquidation (wind up). As per the going concern concept, the life of the business is indefinite. In that case, one has to wait for a very long period to know the results of his business. The preparing and reporting of the net results of the business at the end of the life is not at all useful to its users. Not even corrective measures can be taken by the owners after liquidation takes place. Each and every user of financial statements are much interested to know “how things are going” at frequent intervals. Hence, the accounting professionals have developed this concept – the periodicity concept.

A shorter and convenient time is chosen for the measurement of income and reporting the same at specified intervals. Usually, twelve months period is followed for the purpose of preparing and reporting financial statements. This time interval is known as accounting period and that is the reason for calling this as “Accounting Period Concept.” The generally adopted accounting period is calendar year, that is, from Jan 1 to Dec 31 or it may be a financial year, which starts from Apr 1 and ends on Mar 31, of the following year. Now-a-days, financial accounts are prepared and reported at shorter intervals of half yearly, quarterly or even a month. Such accounts are termed as interim accounts. Interim accounts, which are less than half yearly are mainly intended for internal use. Half yearly accounts are reported in papers as part of listing requirements. In general, such interim accounts are not subject to audit.

Periodicity concept also depends on the type of business. There are some kinds of businesses, which are called “continuing profit seeking enterprises.” These type of business enterprises continue indefinitely. In such cases, accounting and reporting has to be carried out periodically.

Advantages

- (i) Financial information is available to its users at specified intervals.
- (ii) By periodical evaluation, correct measures are taken at an appropriate time.
- (iii) It serves as a useful and reliable information to statutory and regulatory authorities.

Disadvantages

- (i) Usually, the business transactions spread to more than one accounting period.
- (ii) Allocating the cost to a particular accounting period is difficult and arbitrary.
- (iii) This concept overrides the different bases and other accounting concepts resulting in defective and deceptive financial statements.

3.5 Cost Concepts

According to the cost concept, the asset is recorded at the price paid to acquire it, that is, at cost (not market value) and this cost is the basis for all subsequent accounting for the asset. This is also called as historical cost because the acquisition cost, which is taken as a basis, relates to the past.

In case, if nothing is paid for acquiring the asset as per this concept, it will not be recorded in the books of accounts as an asset. In this context, it is appropriate to quote, “thus the knowledge and skill, that is built up as the business, operates a team work that grows up within the organisation, a favourable location that becomes of increasing importance as time goes by, a good reputation with its customers, none of these appears as an asset in the accounts of the company.”

Features

- (i) The acquisition cost of asset(s) is highly objective. Consequently, the net results of operations are free from subjectivity and personal bias.
- (ii) There is a high degree of verifiability in cost approach, as details of transactions can be verified with the respective source document.
- (iii) As market value of assets are constantly changing, the accounting professionals have to fine tune accounting in consonance with such changed market values, which is a cumbersome procedure.
- (iv) This is highly applicable to concerns where fixed assets are purchased for use in production and not for resale.
- (v) Unrealised gains are ignored.
- (vi) This concept ignores the real value of the capital employed in the business as figures relating to this are not shown in the balance sheet.
- (vii) Items having no cost are ignored.
- (viii) Current assets are valued at cost price or market value whichever is lower, periodically. They differ from fixed assets when they are valued.
- (ix) Users of financial information need the present day worth of the business, whereas the balance sheet depicts the value of cost at which they are acquired. In this aspect, the final accounts do not reflect the true financial position of the enterprises. Strictly speaking, it misleads the investors.
- (x) Another limitation arises in charging depreciation. The portion of assets, consumed during the accounting period is technically referred to as “expired cost.” This expired cost is charged as “depreciation” to the profit and loss account. The remaining part, that is, the unexpired cost is recorded in the balance sheet. To compute the expired cost is not an easy affair.

3.6 Realisation Concept

The essence of realisation concept is the timing of the revenue recognition. This concept of “revenue recognition” is explained in Chapter 9 – “Revenue Recognitions and Revenue Expenses” in Objective-8 – “Accounting Standards AS-9 Relating to Revenue Recognition.” Hence, instead of repeating once again,

only salient features of this concept are explained as below. (Students have to refer these two chapters for detailed explanation on this concept.)

Realisation occurs when the following conditions are met with:

- (i) All the business activities are completed. That means, all necessary costs are incurred and goods/ services are kept in the completed form (ready for sale).
- (ii) Goods are transferred to the buyer for a price and are accepted by him.
- (iii) As there is a definite sale price, the amount of revenue is recognised definitely.
- (iv) There is a reasonable certainty that the said amount is received.
- (v) Hence, sale of goods or provision and performance of service is the basis for revenue recognition.

3.7 The Accrual Concept

In accrual system of accounting, revenue is recognised when it is realised, that means when sale is complete or services are rendered, whether cash is received or not is immaterial. Similarly, costs (expenses) are recognised when they are incurred and not when paid. The date of transaction (sale/service/cost) is taken for accounting process and not the date of actual receipt of revenue or the date of actual payment for cost.

This system of accounting necessitates certain adjustments in the preparation of income statement. Regarding revenue, amount relating to other than the current accounting period is to be excluded and provision for revenue recognised but not received in cash is to be included. Similarly, regarding costs, provision is to be made for the costs incurred but not paid and the costs for the period other than the accounting period is to be excluded.

The salient features of this concept are explained as under:

- (i) Matching principle is the associated concept, which computes the measurement of income by matching the expenses and the revenues.
- (ii) This system is contrary to the cash system of accounting.
- (iii) This method emphasises the principle that earning of a revenue and consumption of a revenue (expenses) can be accurately related to specific accounting period.
- (iv) Adjustments in the accounting process is additional work for accountants.

3.8 Matching Concepts

After revenue recognition, all costs (expenses) that were incurred to earn the revenue of the period will be charged against that revenue earning during that accounting period to determine the net income of the business enterprises. This is the main principle involved in this concept. To put it in simple terms, matching revenues against the related expenses is termed as matching concept. The revenues and expenses shown in a Profit and Loss Account must belong to the accounting period for which it is prepared. Because of this, sometimes the accrual concept is also called the matching concept. The revenue earned during an accounting period and costs incurred during the same accounting period is computed and the following standard equation is applied to determine the net income of a business enterprise.

$$\pi = \Sigma R - \Sigma E$$

where π = Profit

ΣR = Sum of Revenues

ΣE = Sum of Expenses (Costs Incurred)

Important aspects to be considered while applying the matching concept are:

- (i) The revenues of a specified accounting period should be related to expenses directly associated in generating such revenues. This happens only in case such association is direct.

Example: Association of sales revenue with the cost of goods sold. Mr Shekar buys 50 computers at Rs 30,000 each. He pays Rs 6,000 as carriage inward and Rs 9,000 for special package. He sells them for Rs 17,00,000

Cost of Goods Sold is $(50 \times \text{Rs } 30,000) + \text{Rs } 6,000 + \text{Rs } 9,000 = \text{Rs } 15,15,000$

Sales: Rs 17,00,000 Profit: $\text{Rs } 17,00,000 - \text{Rs } 15,15,000 = \text{Rs } 1,85,000$

Cost of Goods Sold: Rs 15,15,000 is directly associated with Rs 17,00,000 (sale)

Hence, matching is adopted on accrual basis. Hence, the payments of cash for purchases and receipts of cash for sales is ignored. Thus, matching concept is possible only when the association is direct as shown in the example.

- (ii) There is a misconception that any net income earned should reflect as increase in cash balance. Such a matching concept may not be true in certain cases. For example, when a machinery worth Rs 5,00,000 is sold for Rs 4,00,000, there is an increase in cash resources to the extent of Rs 4,00,000. Really this will not result in an increase in the owner's equity because the increase in cash is set off by decrease in asset (machinery). In this example, the owner's equity is reduced by Rs 1,00,000, as the machinery is sold at a loss. To put in other way, the decrease of Rs 5,00,000 in the machinery is NOT MATCHED by an increase of the other asset (cash) to the same amount Rs 5,00,000. Owner's equity is less by Rs 1,00,000.

Net loss decreases owner's equity (as illustrated in the above example) where net income will increase owner's equity.

- (iii) If revenue is deferred, all elements of expenses related to such deferred revenue must also be deferred as per this matching concept approach. For example, heavy expenditure may be incurred on advertisement during a specific accounting year. The benefit due to that expenditure may last for some more years in the future. In such circumstances, it is not proper to match the entire cost of advertising against the revenue of that particular accounting year alone. The cost proportionate to the unexpired utility of advertisement must be carried forward to match against the revenue of subsequent years.

Features

1. There is much difficulty in allocating costs to different accounting periods, if the matching concept is followed.
2. Estimates are not made properly, which results in the accuracy of the profit ascertainment.
3. It is not suitable for unexpected and non-trading revenues for which there are no corresponding expenses. For example subsidies from government, receipts by way of donations, interest on investments and the like.
4. In cases, if a single expenditure benefits more than one unit, again difficulty arises to apportion the benefit relating to its cost.

OBJECTIVE 4: BASIC ACCOUNTING CONVENTIONS

Definition: An accounting convention is defined as, "a rule of practice, which has been sanctioned by general custom or usage. They are lamp posts to procedures employed in the collection, measurement and reporting of financial data."

Accounting conventions has come into existence by common accounting practises. They are adopted by common consents. It may also be said that an accounting convention is a common procedure which is adopted by common agreement. It acts like a guide to select and apply the procedure.

Some accounting conventions are:

- Conservatism (Prudence)
- Consistency

- Materiality
- Disclosure

4.1 Convention of Conservatism (Prudence)

It is a policy of “playing safe.” Prudence also means early recognition of unfavourable events. Working rule relating to the convention of conservatism is – “Anticipate no gains but provide for all losses and if in doubt, write it off.” That means the accountant should not anticipate profit but he should make provision for all losses. In case of doubt, it should be written off or at least he should not indulge in over estimation. Unless the gain is actually realised, he should not record it. This accounting convention is recognised in AS-1, which strongly supports the observation of prudence in the framing of accounting policies. “Uncertainties, inevitably, surround many transactions. This should be recognised by exercising prudence in financial statements. Prudence does not, however, justify the creation of secret or hidden reserves.” In general, convention of conservatism affects the assets that are held for short term.

Following are some of the examples of the application of the convention of conservatism:

- Making provision for Doubtful Debts in anticipation of actual Bad Debts.
- Making provision for discount on Debtors in respect of discount.
- Valuing the Stock-in-hand at market price or cost price, whichever is lower.
- Creating Investment Fluctuation Reserve.
- Charging of small amount of capital expenditure like crockery to Revenue Expenses.
- Amortisation of intangible assets like Goodwill, Trade Marks, Copy Rights as early as possible.
- Applying Written-Down-Value (WDV) Method of depreciation as against Straight-Line Method. (WDV method is conservative approach.)
- Showing joint life policy at surrender value as an asset on the Balance Sheet.
- Taking into consideration claims, intimated but not accepted, as a loss for calculating profit for a general insurance company.
- Never providing discount on Creditors.
- Providing for the loss on issue of debentures, when the same are issued at par but redeemable at premium.

Circumstances

The principle of prudence is applied in the following circumstances:

- When there is uncertainty on the net results of income, that is, profit or loss, losses will be considered and profit will be ignored unless the actual result is profit.
- In case, if there are two equally acceptable methods to apply on accounting procedure, then preference is given to the conservative method.
- In case of estimation, to judge and select as to which of the several estimates is apt, the most conservative must be the natural choice of selection.
- When there is uncertainty inherent in the activity, for example, uncertainty as to the useful life of an asset, occurrence of accident, theft, fire, and so on, the principle of conservatism has to be applied.

Its net impact on financial statements:

- Principle of conservatism, when applied, the profit and loss account will show lower net income.
- When the same principle is applied to Balance Sheet, there will be under statement of assets and capital and over statement of liabilities and provisions.

Criticism of convention of conservatism

- As income is understated due to excessive creation of provisions, depreciation and the like, investors get discouraged.

- (ii) True financial position cannot be understood from the financial statements prepared by adopting this principle exclusively.
- (iii) It will result in creation of secret reserves, which is contrary to the doctrine of disclosure.
- (iv) It is inherently inconsistent.
- (v) Considering the overall picture, some takes complacent view and feels contented with the notion that ill effects of under estimation is better than over estimation.

It may be stated that any principle adopted in a moderate and optimum level, the results will be true and fair.

4.2 Convention of Consistency

The consistency convention principle implies that accounting practises and methods remain unchanged from one accounting period to another accounting period. To put it in other way, the same accounting methods will be followed for every year. This convention facilitates easy comparison of different financial statements. As per AS-1, consistency is a fundamental assumption and it is assumed that accounting policies are consistent from one period to another. Where this assumption is not followed, such fact should be disclosed with specific reason for not complying with this.

This consistency convention is the forerunner in choosing a particular method of accounting, when a number of alternative methods are available.

For example, there are several methods of valuation of inventories like First-In-First-Out (FIFO) Method, Last-In-First-Out (LIFO) Method, Weighted Average Method and so on. If one method is followed in one accounting year, say FIFO, in subsequent years also the same FIFO Method has to be followed for valuing the inventories. If there is any change in the method, it will affect the financial statements to a great extent. A change in the method of providing depreciation, making provision for doubtful debts, change from cash basis to accrual or mercantile basis are some of the examples where switching over from one method to other method is possible. It is to be noted that once a method is chosen, it has to be followed in the subsequent years also. Any change will result in unreliable financial statements to its users. No comparison is possible from such financial statements. Hence, consistency convention gains a high degree of significance in such contexts, as explained above.

Eric. L Kohler describes three types of consistencies:

Vertical Consistency: This consistency is maintained within the interrelated financial statement of the same date. “Interrelation” refers to the binding relationship among the constituents of the financial statements namely, Profit and Loss Account (Income Statement) and Balance Sheet. For example, vertical inconsistency will happen where an asset has been depreciated in one basis, say, Straight Line Method for Income Statement and on another basis, say, Written-Down-Value Method for the Balance Sheet.

Horizontal Consistency: This type of consistency is maintained between financial statements from one year to another year and subsequent years. This enables the comparison of performance of a business enterprise in one year with its performance in the next year.

Third Dimensional Consistency: This type of consistency enables the comparison of the performance of a business enterprise with the performance of another business enterprise in the same type of industry, and preferably on the same date.

One may think that in the context of ever changing social-economic environment that the convention follows a rigid and morbid approach without giving room for any flexibility and changes. However, a change is allowed but it has to be applied not frequently. Once a change in the accounting policy is adopted, as already stated, as AS-1, it should be disclosed in the final reports. Reason for such change is to be shown in such statements. Any effect on the financial provision of the enterprise, on account of a change in accounting procedure, has to be disclosed.

4.3 Convention of Materiality

Proliferation of financial information makes the task of accountants more difficult in deciding what information could be provided in the financial statements. His position is so delicate that he is not able to distinguish between material and immaterial information. Many definitions on this aspect leave it to the hands of accountants to decide themselves what should be included and what should not be included in the financial statements.

The American Accounting Association (AAA) defines the term materiality as – “An item should be regarded as material if there is reason to believe that knowledge of it would influence the decision of informed investor.”

Eric. L. Kohler has defined materiality as – “The characteristic attachment to a statement, fact, or item whereby its disclosure or the method of giving it expression would be likely to influence the judgement of a reasonable person.”

The convention of materiality emphasises “the relative importance of the information” to judge what is material and what is immaterial. Materiality acts as a guide for accounting professionals in deciding what should be disclosed in the financial statements of an enterprise.

Increase in the salary bill, loss of markets, fall in the value of stock are some of the examples of material financial information that should be disclosed in the financial statements. Now, any important material information has come to the notice (surfaced) after the date of the final statements, should also be disclosed.

It has to be observed that an item, material for one enterprise may be immaterial for another enterprise. For example, an item, raw material is an important item for manufacturing enterprises, whereas the same item may not be important for trading enterprises, which are interested in finished products only. Hence, the convention of materiality signifies the relative information.

Similarly, an item, material in one year may not be material in the next year. For example, an item, Bad Debts shown in the previous accounting periods, the same amount may not become important in the subsequent years.

Further, any insignificant amount is usually not recognised as an important item and treated as immaterial. But, if the aggregate value of such items and expenses exceed 1% of the total revenues of the company, a separate disclosure of items and expenses must be made according to the statutory provisions of the Companies Act.

As per AS-1, convention of materiality should govern the selection and application of accounting policies. Financial statements should disclose all items, which are material enough to affect evaluations or decisions. AS-5, in conformity with AS-1, stipulates as “all material information should be disclosed that is necessary to make the financial statements clear and understandable.”

4.4 Convention of Disclosure

The accounting convention of disclosure necessitates to prepare and present financial statements fairly by disclosing all material information therein. Disclosure may be defined as, “the communication of financial information about the activities of a business enterprise to the interested parties for facilitating their economic decisions.” It is a system of communication between the management and users of financial statements.

The convention of full disclosure that every financial statement should fully disclose “all pertinent information that has a bearing on the figures in the statements and that will make possible a reasonable interpretation of their meaning.” It should be important to note that no information of substance or interest to users especially investors will be concealed in presenting financial statements. Take for example, if the Balance Sheet shows Debtors at Rs 1,00,000, it is important to know how much Bad Debts are there and what percentage of provision is made for the Doubtful Debts and the like. If the same has been disclosed

as Debtors 1,25,000, Provisions at Rs 25,000, then such disclosure leads the management to think why a provision @ 20% has been provided. Only prompt disclosures, without suppressing or omitting any item, facilitate proper decision making at the level of management and the other users also can know the true financial position of the entities.

There should be a sufficient disclosure of information, which is of material interest to various users of financial statements. In limited company form of enterprise there is divorce between Capital (contributed by shareholders who are the real owners) and the management. As the entire activities of such enterprises are entrusted with the management and with whom entire resources were entrusted, they owe to make a full disclosure to the shareholders (owners who have contributed the capital) and all the users of financial information. Sacher Committee Report on this aspect emphasises that – “Openness in company affairs is the best way to secure responsible behaviour.” Accounting Standards also require the disclosure of all significant accounting policies in the final reports. AS-1 exclusively deals this concept “disclosure.” Besides this, AS-5 deals with the information to be disclosed in financial statements. The concept of “disclosure” also covers the events occur after the Balance Sheet date and the date on which the financial statements are authorised for issue. The procedure of appending notes relating to items which are not shown in financial statements is followed now. In addition to these accounting standards, the Companies Act also enforces through its statutory provision to comply with. The requirements of Schedule VI affecting Balance Sheet and profit and loss of the company make available comprehensive information for various users. Thus, the convention of full disclosures has attained much significance in the accounting policies of business enterprises.

We have discussed so far, conventions and concepts as the important aspects influencing the nature of the financial accounting policies. Both the aspects differ from each other.

Differences Between Concepts and Conventions

Basis of Differences	Concepts	Conventions
1. Basis	A concept is based on the assumptions, which forms the foundation of accounting principles.	A convention is based on the general agreement.
2. Precedence	Accounting concept is preceded by the accounting conventions.	Accounting conventions are not followed by the accounting concepts.
3. Personal judgement	Personal judgement has no role in following the accounting concepts.	Personal judgement plays a major role in following the accounting conventions.
4. Internal inconsistency	Accounting concepts are not internally inconsistent.	Accounting conventions are internally inconsistent.
5. Uniformity in application	There is uniform application of accounting concepts in different organisations.	It is not so in accounting convention.
6. Legal status	Accounting concepts are generally established by the law.	Accounting conventions are established by the common accounting practises.

Summary

- GAPP is a technical accounting term which describes the basic rules, concepts, conventions and procedures that represent the accepted accounting principles at a particular time.
- GAPP depends on the attributes – Relevance, Objectivity and Feasibility.
- Basic accounting concepts are Business Entity Concept, Historical Cost Concept, Money Measurement Concept, the Going Concern Concept, Accounting Period Concept, the Matching Concept, the Realisation Concept and the Accrual Concept.
- Basic accounting conventions: a rule of practise, which has been sanctioned by general custom or usage. Conventions are the lamp posts to procedures employed in the collection, measurement and reporting of the financial data – some accounting are convention of Conservatism, Consistency, Materiality and Disclosure.
- Distinction between concepts and conventions.

Key Terms

Accounting concept: Necessary assumptions on conditions upon which accounting system functions.

Accounting convention: It is a rule or an accepted method of accounting practise based on general consent or agreement.

Consistency: Conformity from period to period with unchanging policies and procedures.

Generally Accepted Accounting Principles (GAPP): A term which applies to the broad concepts or guidelines and detailed practises in accounting, including all the conventions, rules and procedures that make up accepted accounting practise, in general.

Entity Concept: The business establishment is regarded as a separate entity. It has a separate existence. The business is treated separately from that of the owner.

Going Concern Concept: Accounting is based on the assumption that the business firm has an indefinite period of existence.

Historical Cost: It is an accounting concept under which an asset (resource or service) is recorded at cost (price actually paid for it). It is the acquisition cost. It is not the market price. Realisable values are ignored.

Matching Concept: An attempt to match revenues against the appropriate expenses is referred to as the matching concept.

Prudence (Conservatism): As per this accounting convention, “anticipate no gains; but provide for all losses and if in doubt, write off.”

Periodicity Concept: According to this concept, financial statements are to be prepared periodically at regular intervals and to be reported about the progress of the business.

Reference

Anthony R.N. and J.S. Reece, “*Accounting Principles*,” Richard D. Irwin Inc.

A Objective-type Questions

I. State whether the following statements are True or False

1. Accounting principles are judged on their general acceptability (subject to laws of the land) is the underlying concept of GAPP.
2. Accounting principles are final statement.
3. In all types of organisations, business is an accounting entity that separates from the owners.
4. Different accounting concepts are independent of each other.
5. GAPP manifest themselves through basic accounting concepts and accounting conventions.
6. Accounting concepts are based on accounting conventions
7. Accounting concepts are not internally inconsistent.
8. The capital of the owner is treated as a creditor for his investment in business.
9. The separate legal entity is recognised in law in the case of partnership firms.

10. As per entity concept, income is the property of the business and not that of the owners.
11. Money, the unit of measurement, has always a constant value.
12. The going concern concept facilitates the classification of assets and liabilities into short term and long term.
13. The accounting period concept necessitates the preparation of income statement on accrual basis.
14. As per the cost concept, assets are always valued at historical cost.
15. Unexpired costs are not recorded in the balance sheet.
16. Realisation of revenue occurs at the time of exchange of goods or services.
17. Under accrual basis of accounting, revenue is recognised when the cash is received.
18. The accrual concept can also be described as the matching concept.
19. As per prudence convention, the accountants should anticipate profit and should not make provision for loss.
20. As per materiality convention, the accountants should disclose all information in the financial statements, irrespective of the nature of materiality.

Answers

- | | | |
|-----------|-----------|-----------|
| 1. True | 2. False | 3. True |
| 4. False | 5. True | 6. False |
| 7. False | 8. True | 9. False |
| 10. True | 11. False | 12. True |
| 13. True | 14. True | 15. False |
| 16. True | 17. False | 18. True |
| 19. False | 20. False | |

II. Fill in the blanks with suitable words

1. In double entry accounting, all business transactions are marked as having _____ aspect.
2. Accounting principles are only _____ based on usage, and experience over a period of years.
3. Accounting concepts are not _____ forever.
4. The separate legal entity is recognised by law in the case of a _____ form of business organisation.
5. Though separate entity is not recognised by law in some types of organisations, the assumption of separate entity has to be followed in _____ types of business organisations.
6. The capital of the business is considered as a _____ of the business to its owners.
7. At cost or book value means cost _____ depreciation.
8. Periodicity concept emphasises _____ period assumption.
9. The cost concept is also referred to as _____ cost concept.
10. _____ concept assumes that the business entity will continue its activities independently.
11. The money measurement assumption which assumes that purchasing power of money is always _____.
12. The realisation concept emphasises the timing of _____.
13. The essence of accrual concept is that the earning of a revenue and consumption of expenses are related to a _____.
14. Disclosure is the _____ and _____ of financial information to its users.
15. Accounting records and statements must confirm to _____.

Answers

- | | |
|--------------------------------|---------------------------------|
| 1. dual | 2. guidelines |
| 3. static | 4. limited companies |
| 5. all | 6. liability |
| 7. less (or minus) | 8. accounting |
| 9. historical | 10. going concern |
| 11. stable | 12. revenue recognition |
| 13. specific accounting period | 14. communication and reporting |
| 15. GAPP | |

B Short Answer-type Questions

1. Explain GAPP?
2. Explain the meaning and significance of Entity Concept?
3. Explain the meaning and significance of Money Measurement Concept?
4. Explain the meaning and significance of Going Concern Concept?
5. Explain the meaning and significance of Accounting Period Concept?
6. Explain the meaning and significance of Cost Concept?
7. Explain the meaning and significance of Realisation Concept?
8. Explain the meaning and significance of Accrual Concept?
9. Explain the meaning and significance of Matching Concept?
10. What do you mean by Accounting Convention?

- | | |
|---|--|
| 11. Explain Convention of Consistency? | 13. Explain Convention of Materiality? |
| 12. Explain Convention of Conservatism? | 14. Explain Convention of Full Disclosure? |

C Essay-type Questions

- | | |
|---|---|
| 1. "Revenue is recognised when a sales transaction is made or when services are rendered." Do you agree with this statement? Give reasons for your answer with suitable illustrations, and exceptions, if any, to this statement. | 2. Explain the terms: "Accounting Concepts" and "Accounting Conventions." Do you agree that both the terms represent the same meaning? Explain. |
|---|---|

Accounting Standards

LEARNING OBJECTIVES

After studying this chapter, you will be able to understand

1. Meaning and the Definition of Accounting Standards
2. The Constitution of Accounting Standard Board in India
3. The Scope of Accounting Standards in India
4. Procedure of Issuing Accounting Standards
5. Applicability of Accounting Standards – 3 Levels
6. Status of Accounting Standards AS-1 to AS-29 and their Respective Related Area
7. Compliance with Accounting Standards
8. Implementation of Accounting Standards
9. Salient Features of General Purpose Financial Statements and Accounting Standards Role Relating to them
10. Benefits of Accounting Standards
11. AS-1 and Disclosure of Accounting Policies
12. Case Study – Significant Accounting Policies
13. AS-2 and Valuation of Inventories
14. AS-3 and Cash Flow Statements
15. AS-4 and Contingencies and Events Occurring after Balance Sheet Date
16. AS-5 and Changes in Accounting Policies (Net Profit or Loss for the Period, Prior Period Items)

INTRODUCTION

As explained earlier, accounting is an information system. Its primary aim is to provide financial position and performance of an enterprise to all the parties interested. This is done by means of financial statements. It is of utmost importance that such financial statements should reflect “true and fair” view of financial results (net worth, profit, state of affairs and so on) of the business enterprises. In practise, wide ranges of accounting methods are in vogue in the preparation and presentation of the financial statements. “Necessity is the mother of invention” – is an age old adage. Accordingly, over a period of time, the accounting profession tried to standardise set of rules, and the necessary accounting procedure to present financial statements in order to achieve uniformity and comparability with precision and accountancy. Outcome of such tireless activities by the accounting professionals is the birth of “Accounting Standards.”

Generally Accepted Accounting Principles (GAPP) in India, are very lenient in permitting enterprises to adopt the accounting procedure at the discretion of individual entrepreneurs. The net result we are experiencing is the offing of Accounting Standards and the collapse of big corporate entities. (The latest

in the series is the collapse of a leading IT company – is worthy to mention at this juncture.) In an era of globalisation, it is essential to adopt transparent accounting norms in valuation of fixed assets, revenue recognition, valuation of inventories, classification and valuation of investments, foreign currency translations, provision for risky assets, contingent liabilities, treatment of expenditure on research and development are for any type of business enterprises. It is imperative to highlight the need for accounting standard as the Indian companies have been trying access to global markets for issuing global depositary receipts. Under those circumstances, the financial statements must possess transparency, consistency, adequacy, accuracy and comparability, with adequate disclosures. With such a background, the objective of preparing and adopting the “Accounting Standards” has gained due significance.

OBJECTIVE 1: MEANING AND DEFINITION OF ACCOUNTING STANDARDS

Accounting Standards are written statements of accounting rules and guidelines to prepare financial statements. It may also be said that Accounting Standards are codified forms of GAPP. Accounting Standards consists of detailed rules to be adopted for the treatment of various items in accounting process so as to attain uniformity and consistency in internal and external reporting process. The main thrust in the preparation of Accounting Standards is to achieve global uniformity and comparability and thereby bridging the gap that exists in numerous and diverse accounting practises.

1.1 Objectives of Accounting Standards

- (1) *To provide information:* The main objective of Accounting Standards is to provide information to the users. It sets the standards on which accounts have to be prepared.
- (2) *To harmonise different accounting processes:* Accounting Standards are evolved to bridge the gap between various accounting procedure to harmonise the different accounting processes.
- (3) *To enhance the contents:* Accounting Standards enhance the credibility and comparability of the financial statements.

1.2 Development of Accounting Standards

Due to the increase in malpractices in accounting, and increase in failure of business entities, there was a great demand for standardised accounting practises. The result is the formation of “Accountants International Study Group (AISG)” – an international body in 1967. Again in 1973, International Accounting Standards Committee (IASC) begun to function. The main objectives of IASC were:

- (i) to formulate and publish the standards to be observed in the presentation of audited financial statements and to promote world wide acceptance and
- (ii) to work generally for the improvement and harmonisation of regulations, accounting standards and procedures relating to presentation of financial statements.

On 1972, Financial Accounting Standard Board (FASB) was established in USA. In India, Sec 209(1) of the Companies Act, 1956 stipulates that the financial statements of a company should give true and fair view of its (company’s) profits and financial position. This is the statutory provision for the companies registered under this Act regarding Accounting Standards.

IASC has so far issued 47 Exposure Drafts (comments and suggestions of leading professional bodies) and has come out with 41 International Accounting Standards (IAS) relating to various items in accounting process.

OBJECTIVE 2: CONSTITUTION OF ACCOUNTING STANDARD BOARD IN INDIA

Accounting Standard Board (ASB) was set up in India on Apr 21, 1977 with a view to harmonise the diverse accounting policies and practises in India. ASB was set up by the Council of the Institute of Chartered Accountants of India (ICAI). ICAI, being one of the members of IASC, while formulating the Accounting Standards, gives much weight to the standards issued by IASC. ICAI tries to incorporate

those international standards in India, keeping in view with the conditions and practises prevailing in India.

2.1 Formation of the Accounting Standards Board

The composition of the ASB is fairly broad-based and ensures participation of all interested groups in the standard-setting process. Apart from the elected members of the Council of the ICAI nominated on the ASB, the following are represented on the ASB:

- (i) Nominee of the central government representing the Department of Company Affairs on the council of the ICAI.
- (ii) Nominee of the central government representing the office of the Comptroller (Controller) and Auditor General of India on the council of ICAI.
- (iii) Nominee of the central government representing the Central Board of Direct Taxes on the council of ICAI.
- (iv) Representative of the Institute of Cost and Works Accountants of India.
- (v) Representative of the Institute of Company Secretaries of India.
- (vi) Representatives of Industry Association from “Associated Chambers of Commerce and Industry (ASSOCHAM),” from Confederation of Indian Industry (CII) and from Federation of Indian Chambers of Commerce and Industry (FICCI).
- (vii) Representative of Reserve Bank of India (RBI).
- (viii) Representative of Securities and Exchange Board of India (SEBI).
- (ix) Representative of Controller General of Accounts.
- (x) Representative of Central Board of Excise and Customs.
- (xi) Representatives of academic institutions from universities and from Indian institutes of management.
- (xii) Representatives of financial institutions.
- (xiii) Eminent professionals co-opted by ICAI.
- (xiv) Chairman of the Research Committee and chairman of the Expert Advisory Committee of the ICAI, if they are not otherwise members of the Accounting Standards Board.
- (xv) Representatives of any other body, as considered appropriate by the ICAI.

2.2 Objectives and Functions

The following are the objectives of the Accounting Standards Board.

- (1) To conceive of the suggest areas in which Accounting Standards need to be developed.
- (2) To formulate Accounting Standards with a view in assisting the council of ICAI in evolving and establishing Accounting Standards in India.
- (3) To examine how far the relevant International Accounting Standard/International Financial Reporting Standard can be adapted, while formulating the Accounting Standards and to adapt the same.
- (4) To review, at regular intervals, the Accounting Standards from the point of view of acceptance or changed conditions and, if necessary, revise the same.
- (5) To provide, from time to time, interpretations and guidance on Accounting Standards.
- (6) To carryout such other functions relating to Accounting Standards.

The main function of the Accounting Standards Board (India) is to formulate Accounting Standards so that such standards may be established by the ICAI in India.

According to the Companies (Amendment) Act, enacted in 1999, the central government is empowered to constitute as advisory committee, to be called the National Advisory Committee on Accounting Standards. Its objective is to advise the central government on the formulation and implementation of Accounting Standards in India. The advisory committee is more broad-based than the ASB.

OBJECTIVE 3: SCOPE OF ACCOUNTING STANDARDS IN INDIA

In its Preface to the Statements of Accounting Standards (Revised 2004), ASB outlined the scope of Accounting Standards.

- Efforts will be made to issue Accounting Standards, which are in conformity with the provisions of the applicable laws, customs, usages and business environment of our country. However, if due to subsequent amendments in the law, a particular accounting standard is found to be not in conformity with such law, the provision of the said law will prevail and the financial statements should be prepared in conformity with such law.
- The Accounting Standards by their very nature cannot and do not override the local regulations, which govern the preparation and presentation of financial statements in our country. However, the institute will determine the extent of disclosure to be made in financial statements and the related, auditor's reports. Such disclosures may be, by way of appropriate notes, explaining the treatment of particular items. Such explanatory notes will be only in the nature of clarification and thereof, need not be treated as adverse comments on the related financial statements.
- The Accounting Standards are intended to apply only to items which are material. Any limitations with regard to the applicability of a specific standard will be made clear by the Institute from time to time. The date from which a particular standard will come into effect, as well as the class of enterprises to which it will apply, will also be specified by the Institute. However, no standard will have retrospective application, unless otherwise stated.
- The institute will use its best endeavours to persuade the government, appropriate authorities, industrial and business community to adopt these standards in order to achieve uniformity in the presentation of financial statements.
- In carrying out the task of formulation of Accounting Standards, the intention is to concentrate on basic matters. The endeavour would be to confine Accounting Standards to essentials and not to make them so complex that they cannot be applied effectively on nationwide basis.
- The standards formulated by the ASB include paragraphs in bold italic and plain type, which have equal authority. Paragraphs in bold italic type indicate the main principles. An individual standard should be read in the context of the objective stated in that standard and this preface.
- The ASB may consider any issue requiring interpretation on any Accounting Standards. Interpretations will be issued under the authority of the council. The authority of interpretation is the same as that of Accounting Standards to which it relates.
- In the years to come, it is to be expected that Accounting Standards will undergo revision and Accounting Standards with greater degree of sophistication may then be appropriate.

OBJECTIVE 4: PROCEDURE OF ISSUING ACCOUNTING STANDARDS

A summarised extract of the text of the "Preface to the Statements of Accounting Standards (Revised 2004)," issued by the council of the Institute of Chartered Accountants of India, explains the procedure of issuing Accounting Standards. They are:

- (1) The ASB determines the broad areas requiring formulation of Accounting Standards and lists them according to priority.
- (2) In the preparation of Accounting Standards, the ASB is assisted by a Study Group, constituted for this purpose. Views of government, public sector undertakings, industry and other organisations are obtained before formulating the Exposure Draft.
- (3) The Exposure Draft comprises the following:
 - (i) Objective and scope of the standard.
 - (ii) Definition of the terms used in the standard.

- (iii) The manner in which the accounting principles have been applied for formulating the standard.
 - (iv) The presentations and disclosure requirements of it comply with the standard.
 - (v) Class of enterprises to which the standard will apply.
 - (vi) Date from which the standard will be effective.
- (4) The Exposure Draft will be published in professional journals and circulated to obtain views and comments.
 - (5) ASB will finalise the standard after taking into consideration the suggestions received, and submit to the council of ICAI.
 - (6) The council of the ICAI will consider and, if necessary, amend the standards after consulting the ASB. Then, in its final form, the council issues the standard under its authority.
 - (7) For a substantive revision of Accounting Standards, procedure is the same as that of the procedure followed for formulation of new Accounting Standard.

OBJECTIVE 5: APPLICABILITY OF ACCOUNTING STANDARDS

For the purpose of applicability of accounting periods, enterprises are classified into three categories: Level I enterprise, Level II enterprise, Level III enterprise.

5.1 Level-I Enterprise

Enterprises, which fall in any one or more of the following categories, at any time, during the accounting period, are classified as Level I enterprises:

- (1) Enterprises whose equity or debt securities are listed in Stock Exchange, whether in India or outside India.
- (2) Enterprises, which are in the process of listing in Stock Exchange, their equity or debt securities as evidenced by the Board of Directors' resolution in this regard.
- (3) Banks including co-operative banks.
- (4) Financial institutions.
- (5) Enterprises carrying on insurance business.
- (6) All commercial, industrial and business reporting enterprises, whose turnover for the immediately preceding accounting period on the basis of audited financial statements, exceeds Rs 50 crores. Turnover does not include "other income."
- (7) All commercial, industrial and business reporting enterprises having borrowings, including public deposits, in excess of Rs 10 crores at any time during the accounting period.
- (8) Holding and subsidiary enterprises of any one of the above at any time during the accounting period.

5.2 Level-II Enterprise

Enterprises, which are not Level I enterprises but fall in any one or more of the following categories are classified as Level II enterprises.

- (1) All commercial, industrial and business reporting enterprises, whose turnover for the immediately preceding accounting period on the basis of audited financial statements exceeds Rs 4 lakhs but does not exceed Rs 50 crores.
- (2) All commercial, industrial and business reporting enterprises having borrowings, including public deposits, in excess of Rs 1 crore but not in excess of Rs 10 crores at anytime during the accounting period.

5.3 Level-III Enterprise

Enterprises, which are not covered under Level I and Level II are considered as Level III enterprises.

OBJECTIVE 6: STATUS OF THE ACCOUNTING STANDARDS ISSUED BY THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

The details of the standards are provided in the tabular column as follows:

Sl. No.	Number of Accounting Standards (AS)	Title of the Accounting Standard	Date From Which It Has Become Mandatory. Accounting Period Commencing On or After	Enterprises to Which Applicable (Level-I, II or III or All)
1	AS-1	Disclosure of accounting Policies	1.4.1993	All
2	AS-2 (Revised)	Valuation of inventories	1.4.1999	All
3	AS-3 (Revised)	Cash flow statement	1.4.2001	Level-I
4	AS-4 (Revised)	Contingencies and events occurring after the balance sheet Date	1.4.1998	All
5	AS-5 (Revised)	Net profit or loss for the period, prior period items and changes in accounting policies	1.4.1996	All
6	AS-6 (Revised)	Depreciation accounting	1.4.1995	All
7	AS-7 (Revised)	Construction contracts	1.4.2002	All
8	AS-8	Withdrawn – included in AS-26		
9	AS-9	Revenue recognition	1.4.1993	All
10	AS-10	Accounting for fixed assets	1.4.1993	All
11	AS-11 (Revised)	The effects of changes in foreign exchange rates	1.4.2004	All
12	AS-12	Accounting for government grants	1.4.1994	All
13	AS-13	Accounting for investments	1.4.1995	All
14	AS-4	Accounting for amalgamations	1.4.1995	All

Sl. No.	Number of Accounting Standards (AS)	Title of the Accounting Standard	Date From Which It Has Become Mandatory. Accounting Period Commencing On or After	Enterprises to Which Applicable (Level I, II or III or All)
15	AS-15	Accounting for retirement benefits in the Financial statements of employees	1.4.1995	All
16	AS-15 (Revised)	Accounting for employee benefits	1.4.2006	Level I
17	AS-16	Borrowing costs	1.4.2000	All
18	AS-17	Segment reporting	1.4.2001	Level I
19	AS-18	Related party disclosure	1.4.2001	Level I
20	AS-19	Leases	1.4.2001	All
21	AS-20	Earnings per share	1.4.2001	Level I
22	AS-21	Consolidated financial statements	1.4.2001	(Refer Note)
23	AS-22	Accounting for taxes on income	1.4.2001	For listed companies
		Accounting for taxes on income	1.4.2002	Companies other than listed
		Accounting for taxes on income	1.4.2006	All
24	AS-23	Accounting for investments in associates in consolidated Financial statements	1.4.2002	(Refer Note)
25	AS-24	Discounting operations	1.4.2004	Level I
		Discounting operations	1.4.2005	All
26	AS-25	Interim financial reporting	1.4.2002	Level I
27	AS-26	Intangible assets	1.4.2003	All

Sl. No.	Number of Accounting Standards (AS)	Title of the Accounting Standard	Date From Which It Has Become Mandatory. Accounting Period Commencing On or After	Enterprises to Which Applicable (Level-I, II or III or All)
28	AS-27	Financial reporting of Interests in joint venture	1.4.2002	(Refer Note)
29	AS-28	Impairment of assets	1.4.2004	Level I
		Impairment of assets	1.4.2006	Level II
		Impairment of assets	1.4.2008	Level III
30	AS-29	Provisions, contingent liabilities and contingent assets	1.4.2004	All

Notes

- (1) AS-21, AS-23, AS-27 (relating to consolidated financial statements) are required to be complied with by an enterprise, if the enterprise pursuant to the requirements of a statute regulator or voluntarily, prepares and presents consolidated financial statements.
- (2) (AS-3, AS-17, AS-18, AS-20, AS-2 and AS-24) Accounting Standards are mandatory for enterprises whose securities are listed on a recognised state exchange in India or in the process of listing and all the other commercial, industrial and business reporting enterprises, whose turnover exceeds Rs 50 crores for the accounting period.

OBJECTIVE 7: COMPLIANCE WITH ACCOUNTING STANDARDS

Role of ICAI: Accounting Standards will be mandatory from the date specified in the Accounting Standards. It is the duty of the auditors (members of ICAI) to check whether provisions envisaged in the Accounting Standards are complied with or not complied. In case any deviation is noted, such deviations must be reported in the audit reports to make alert the users of financial statements.

Role of Companies Act

- (1) Sec 211 of Companies Act 1956, provides that every profit and loss account and balance sheet shall comply with the Accounting Standards.
- (2) Sec 211 (3B), non-compliance of Accounting Standards should be expressly stated in the disclosure to be attached to the balance sheet. Such disclosure provides details relating to
 - (a) deviation from the Accounting Standards
 - (b) the reason for such deviation and
 - (c) the net financial effect, if any, due to such deviation

OBJECTIVE 8: IMPLEMENTATION OF ACCOUNTING STANDARDS

The preparation of the financial statements with adequate disclosures in tune with Accounting Standards is to be done by the management of the enterprise. It is the responsibility of the Board of Directors. According to the new clause 2AA which was added to Sec 217 by the Companies Act (Amendment) in

the year 2000, the report of the board should also include a director's responsibility statement that must include therein:

- (i) that in preparation of the annual accounts, the applicable Accounting Standards had been followed along with proper explanation relating to material departures;
- (ii) that the directors had selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of a company at the end of financial year and of the profit or loss of the company for that period;
- (iii) that the directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the act for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;
- (iv) that the directors had prepared the annual accounts on a going concern basis.

The entire responsibility rests with the directors of the company. The auditor's responsibility is confined to form his opinion and to report on such financial statements. Auditors should ensure that the Accounting Standards are implemented in the preparation of financial statements. It is the auditor's responsibility to disclose the deviations from prescribed standards and he has to inform this fact in his report to the users.

The strict adherence to Accounting Standards will definitely improve the quality of presentation of financial statements. It will also lead to provision of necessary information for a proper understanding of the financial statements. The importance can be understood from the Preface to the Statements of Accounting Standard (Revised 2004) issued by the ICAI Council. It highlights some guidelines on "General Purpose Financial Statements," which may be of very much useful for the learners of Financial Accounting.

OBJECTIVE 9: SALIENT FEATURES OF "GENERAL PURPOSE FINANCIAL STATEMENTS"

- For discharging its functions, the ASB will keep in view the purposes and limitations of financial statements and the attest function of the auditors. The ASB will enumerate and describe the basic concept to which accounting principles should be oriented and state the accounting principles to which the practises and procedures should conform.
- The ASB will clarify the terms commonly used in the financial statements and suggest improvements in the terminology wherever necessary. The ASB will examine the various current alternative practises in vogue and endeavour to eliminate or reduce alternatives within the bounds of rationality.
- Accounting Standards are designed to apply to the general purpose financial statements and other financial reporting, which are subject to the attest function of the members of the ICAI. Applicability and non-applicability of standards are also explained here.
- The term "General Purpose Financial Statements" includes Balance Sheet, Statement of Profit and Loss, a cash flow statement, and statements and explanatory notes, which form part thereof, issued for the use of various stakeholders, government and their agencies and the public. References to financial statement in this Preface and in the standards issued from time to time will be construed to refer to General Purpose Financial Statement.

OBJECTIVE 10: BENEFITS OF ACCOUNTING STANDARDS

The benefits to be derived from Accounting Standards are:

1. "True and Fair" Financial Position: Of late, accounting information has attained much significance by its varied users. In order to present a true and fair view of financial position of business enterprises the use of Accounting Standards has become essential.

2. Value of Accounting Information: By providing the definite structure of accounting framework, use of Accounting Standards enhances the value of accounting information.

3. Easy Comparability: As the same set of accounting practises are followed by using Accounting Standards, comparison with other businesses of similar nature is made easy. The position where the business stands in a competitive world can be made known with such comparison, which can be made possible by the use of Accounting Standards.

4. Efficiency of Management: Accounting Standards assist in assessing the efficiency of the management covering all the aspects of the entities – profitability, liquidity, solvency and so on. In case, in the absence of Accounting Standards, the financial position of one entity cannot be compared and overall efficiency cannot be judged by way of such comparison.

5. Useful to Accountants and Auditors: Uniform accounting practises and policies lessen the work of accountants and auditors since their function is confined to a definite structure framework.

6. Credibility and Reliability: The use of Accounting Standards create a sense of confidence among the users of financial statements. By providing information in a transparent manner and by enforcing standardised rules and guidelines for accounting procedure, credibility and reliability of financial statements is enhanced.

Some important Accounting Standards are explained in the forthcoming pages with special emphasis on items relating to “Financial Accounting.”

OBJECTIVE 11: AS-1 – DISCLOSURE OF ACCOUNTING POLICIES

Accounting Standard-1 (AS-1) deals with the disclosure of significant accounting policies followed in preparing and presenting financial statements, namely, Profit and Loss Account, Balance Sheet and the Cash Flow Statement (wherever necessary and applicable). The main purpose of this AS-1 is to promote better understanding of financial statements by way of emphasising the enterprises to attach the following requirements alongwith statement in a transparent manner.

- Disclosure of all significant accounting policies followed in the preparation of Profit and Loss Account and the Balance Sheet.
- Consideration in the selection of accounting policies.
- Disclosure of fundamental accounting assumptions.
- Disclosure of changes in accounting policies.

11.1 Disclosure of Significant Accounting Policies

As accounting policies differ from one enterprise to other enterprise, it is necessary to provide guidelines and rules to be followed from the recording of transactions till the preparation and presentation of financial statements. This aims to level the differences exist in the treatment of various items. From the following examples, one can easily understand the nature of different accounting policies adopted by different enterprises:

Sl. No.	Treatment of Items (Transaction)	Accounting Policies (Different Methods in Vogue)
1	Valuation of inventories	FIFO method, LIFO method, Weighted Average method and so on
2	Valuation of Fixed assets	Cost Less Depreciation, replacement cost, fair value

Sl. No.	Treatment of Items (Transaction)	Accounting Policies (Different Methods in Vogue)
3	Valuation of investments	Cost, fair value, lower of cost or fair value
4	Depreciation, depletion amortisation	Straight Line method (or) Written Down Value method
5	Treatment of goodwill	Immediate amortisation or over a number of years
6	Hire purchase – recognition of revenues	At the time of receiving each instalments or when all instalments were received
7	Contingent liabilities	Creating a provision or making a note to the accounts
8	Treatment of expenditure during construction	Capitalisation of expenses or as deferred revenue expenditure
9	Recognition of profit on long term contracts	Percentage of Completion method (or) Completed Contract method again variation in computing percentage of completion
10	Conversion – translation of foreign currency	Credit or debit to Reserves or credit or debit direct to P & L account
11	Treatment of retirement benefits	Provision as per actuarial method or rational consistent basis
12	Basis of accounting	Historical cost or current cost

The above list is only illustrative and not exhaustive. This is explained only to enlighten the readers, how accounting treatment differs for various items. This standard aims at disclosing which accounting policy is followed for the items relating to that particular enterprise.

11.2 Disclosure of Fundamental Accounting Assumptions

The following are the fundamental accounting assumptions on which the financial statements are to be prepared:

- (i) **Going concern:** Going concern means the enterprise will be continuing in operation for the foreseeable future. Under this aspect, it is assumed that the enterprise has no intention to liquidate (wind up) in the near future.
- (ii) **Consistency:** It is assumed (as per this assumption) that accounting policies are consistent from period to period.
- (iii) **Accrual:** Revenues and costs (income and expenses) are accrued, recognised as they are earned or incurred (not as money is actually received or paid). On that assumption they are recorded in the financial statements of the accounting period to which they are involved.

Note

1. In case, if nothing is noted on assumptions in the financial statements, it is understood that the above fundamental accounting assumptions have been followed in the preparation of the financial statements.
2. If any of the fundamental assumptions has not been followed, this fact must be disclosed in the financial statements, as per the requirements of AS-1.

11.3 Selection of Accounting Policies

As accounting policies play a significant role in shaping the financial statements, major considerations governing the selection and application of accounting policies must be understood. They are:

- (i) **Prudence:** Profits or gains are not recognised on the basis of anticipation. They are to be recognised only when realised in cash. On the other hand, all possible losses are anticipated. Based on such anticipated losses, provision has to be made for all known liabilities and losses. Even at certain stage it has to be written off.
- (ii) **Substance over form:** All transactions and events are governed by their substance and not by their legal form. For example, in true purchase transactions, the legal position (FORM) is that the hire purchaser does not become the legal owner of the asset until he pays the entire amount. But the hire purchaser acquires the (SUBSTANCE) asset immediately. Here, accounting transactions should relate to substance. As such, such assets are to be recorded at full cost price by the hire purchaser.
- (iii) **Materiality:** Financial statements should disclose all material items, that is, knowledge of which might influence the decisions of the users of financial statements.
- (iv) **Changes in the accounting policies:** It is impossible to provide a single list of accounting policies, which can be applicable to all kinds of business enterprises and at all times. As accounting policies differ from one enterprise to other and they may even vary within a single enterprise from one accounting period to another accounting period, it is difficult to frame a single accounting standard to enforce a single accounting policy. Keeping this aspect in mind, this Accounting Standards (AS-1) permits to effect a change in the accounting policy of an enterprise. But it should be disclosed in the financial statements, stating reasons for such change in accounting policies, which has a material effect.

11.4 Disclosure of Changes in Accounting Policies

Accounting Standards (AS-1) provides for the following matters on disclosure of accounting policies:

1. In order to understand the financial statements effectively, enterprises should disclose all significant accounting policies adopted in the preparation and presentation of financial statements.
2. Such disclosures should form part of financial statements.
3. All disclosures should be disclosed at ONE PLACE, that is, at the end of financial statements.

OBJECTIVE 12: CASE STUDY

Significant accounting policies are usually disclosed as one of the schedules to the accounts in the Annual Report of enterprises. A typical specimen on “Significant Accounting Policies” of a business enterprise is given as follows:

X-LTD – Significant Accounting Policies

(Reproduced from its Annual Report for the year)

12.1 Convention

The financial statements have been prepared in accordance with applicable Accounting Standards in India. A summary of important accounting policies, which have been applied consistently, is set out below. The financial statements have also been in accordance with relevant presentational requirements of the Companies Act, 1956.

12.2 Basis of Accounting

The financial statements are prepared in accordance with the historical cost convention modified by revaluation of certain fixed assets as detailed below.

12.2.1 Fixed Assets

Gross Fixed Assets are stated at the cost of acquisition inclusive of Inward Freight, Duties and Taxes and Incidental Expenses related to acquisition. In respect of major projects involving construction, revalued pre-operational expenses form part of the value of assets capitalised.

12.3 Depreciation

The company follows Straight Line Method of depreciation in respect of all its fixed assets, except those revalued, as per Schedule XIV of the Companies Act, 1956. Leasehold properties are amortised over the period of the lease.

12.4 Inventories

Inventories including work-in-progress are valued at cost or below. The cost is calculated on Weighted Average Method. Raw materials, purchased finished goods in transit are valued at cost. Cost of manufactured inventories (finished goods and work-in-progress) is ascertained on the Absorption Costing Basis and finished goods are inclusive of duty.

12.5 Revaluation of Assets

Original book value of assets is revalued from time to time. The difference between the written up value of the fixed assets is revalued and depreciation adjustment is transferred to Revaluation Reserve. Revaluation Reserve Account is charged with annual depreciation on that portion of the value which is written up.

12.6 Investments

Current investments are valued at lower of cost and fair value. Long term investments are valued at cost where applicable. Provision is made where there is a permanent fall in valuation of long term investments.

12.7 Sale

Sale of goods is recognised at the point of dispatch of finished goods to customers.

12.8 Turnover

Turnover is stated on the basis of invoiced value of goods sold and services rendered, net of sales tax, inclusive of excise duties, luxury taxes and so on.

12.9 Investment Income

Income from investments are treated on accrual basis.

12.10 Retirement Benefits

Monthly contributions to various provident funds, pension funds and gratuity funds are charged against revenue. The amount paid to employees under Voluntary Retirement Scheme, included under miscellaneous expenditure in the Balance Sheet, is amortised over a period of six years. All contributions in respect of employee's retirement benefit schemes are statutorily deposited with the government.

12.11 Provision for Income Tax

Provision for income tax is based on the assessable profits computed in accordance with the statutory provisions of Income Tax Act, 1961. Deferred tax is recognised, by creation of Deferred Tax Assets.

12.12 Lease Rentals

Equipments taken on lease, rentals payable are segregated into cost of asset and interest component by applying IRR (Internal Rate of Return). The cost component is amortised over the remaining useful life of the asset and the interest component is charged as period cost.

12.13 Research and Development

All revenue expenditure on research and development are written off in the year in which it is occurred. Capital expenditure is included under “Fixed Assets.”

12.14 Foreign Currency Transaction

Transactions in foreign currency are recorded at the exchange rates prevailing at the date of transactions. Gains/losses out of fluctuations in the exchange rates are recognised in profit and loss account. Material differences on translation of current assets and current liabilities (remaining unsettled at the year end) are recognised in profit and loss account.

12.15 Claims

Claims against the company not acknowledged as bad debts are disclosed after careful evaluation.

12.16 Financial and Management Information System

An integrated accounting system, which unifies both financial books and costing records is practised. The books of account and other records have been designed to facilitate compliance of the relevant provisions of the Companies Act on the one hand, and meet the internal requirements of information and systems for planning, review and internal control on the other. The cost accounts are designed to adopt costing systems, the basic tenets and principles of standing costing, budgetary control and marginal costing are appropriate.

As the preparation and presentation of financial statements function as a central nervous system in the accounting process, this Accounting Standard AS-1 has been dealt with in an elaborate manner.

The other Accounting Standards are presented in the summarised form as following.

OBJECTIVE 13: ACCOUNTING STANDARD-2 (AS-2) REVISED AND VALUATION OF INVENTORIES

According to AS-2, inventories are assets

- (a) held for sale in the ordinary course of business
- (b) in the process of production for such sale or
- (c) in the form of materials or supplies to be consumed in the production process or in the rendering of services

Inventories do not include machinery spares which is dealt with in AS-10.

13.1 Valuation of Inventories

As per AS-2, inventories should be valued at the lower of cost and net realisable value.

Cost of Inventories: It should include the following as per AS-2:

- (i) Cost of purchase.
- (ii) Cost of conversion.
- (iii) Other costs incurred in bringing the inventories to their present location and condition.

Exclusions from the Cost of Inventories: Some costs are excluded from the cost of inventories and are treated as expenses of the period in which they are incurred. Such costs are abnormal amount of wasted materials, labour, or other production costs, storage costs unless necessary in production process prior to a further production stage, administrative overheads, selling and distribution costs.

Cost Formulas: AS-2 recommend the following cost formulas on the basis of inventory flow assumptions. They are – Specific Identification Method, First-In-First-Out Method (FIFO), Weighted Average Method, Standard Cost and Retail Inventory Method. It recommends the application of lower cost or net realisable values.

AS-2 requires the following disclosure in financial statements:

- (i) the accounting policies adopted in measuring inventories, including the cost formulas used;
- (ii) the total carrying amount of inventories and its classification appropriate to the enterprise;
- (iii) information about the carrying amounts held in different classification of inventories and raw materials and components, work-in-progress, finished goods, stores and spares and loose tools;
- (iv) in accordance with AS-1, disclosures must include a change in the accounting policy with respect to inventory and its effect on the financial statements of the current accounting period.

It is important to note that the valuation of items, by-products, consumable stores, reusable waste, non-reusable waste will have to be computed on the following basis:

By Product	Consumable Stores	Reusable Waste	Non-Reusable Waste
(i) Generally at lower of the cost or net realisable value	(i) Generally at cost	(i) Where reprocessing facilities are in existence at raw material cost, less reprocessing cost	At net realisable value
(ii) Where it is not possible to ascertain costs individually, net realisable value should be used	(ii) Valuation can be done below cost, under appropriate circumstances	(ii) In other cases at net realisable value	

OBJECTIVE 14: ACCOUNTING STANDARD-3 (AS-3) AND CASH FLOW STATEMENTS

A cash flow statement is a statement prepared for a period providing a summary of cash receipts and payments. Cash flows are classified as operating, financing and investing. This classification is explained in detail in Chapter 17.

AS-3 suggests two ways of reporting cash flows from operating activities

- (i) Direct Method and
- (ii) Indirect Method

Investing and financing transactions that do not require the use of cash or cash equivalents should be excluded from a cash flow statement. Such transactions should be disclosed elsewhere in the financial statements, which provides all the relevant information about those investing and financing activities. Some examples of non-cash transactions are:

- (i) acquisition of assets by assuming directly related liabilities
- (ii) acquisition of an enterprise by means of issuing share
- (iii) conversion of debt into equity

As per AS-3, enterprises should disclose the components of cash and cash equivalents. They should present a reconciliation of the amounts in Cash Flow Statement with equivalent items in the Balance Sheet. The management should also disclose the amount of significant cash and cash equivalent balances which are not available (held abroad) for use by the enterprises.

OBJECTIVE 15: AS-4: CONTINGENCIES AND EVENTS OCCURRING AFTER BALANCE SHEET DATE

This standard AS-4 deals with contingencies and events occurring after the Balance Sheet date. These two are separate items.

AS-4 defines a contingency as “a condition or situation, the ultimate outcome of which, gain or loss, will be known or determined only on the occurrence, or non-occurrence, of one or more uncertain future events.”

Examples of contingencies are:

- (i) bills of exchange receivable, which has been discounted with recourse
- (ii) pending litigation
- (iii) financial guarantees given on behalf of other parties
- (iv) product warranties still unexpired
- (v) pending insurance claims

The following are the facts that come under AS-4:

1. The amount of a contingent loss should be provided for in the Statement of Profit and Loss, if the following are satisfied:
 - (a) There is a probability that future events will confirm, after considering any factor that is related, that an asset has been damaged or a liability has arisen.
 - (b) It is possible to estimate the loss on a reasonable basis.
2. In case, if no provision has been made, the same should be disclosed.
3. It is not necessary to recognise contingent gain. This is because, if contingent gain is recognised, it would lead to the recognition of revenue which has no chance of realisation.
4. All major events whether favourable or unfavourable happening between the Balance Sheet date and the date of approval of financial statements by the Board of Directors or proper approving authority are events occurring after the Balance Sheet date.
5. It is possible to classify such events into:
 - (a) Events happening after the Balance Sheet date that gives further indication relating to the conditions existing on the date of Balance Sheet.
 - (b) Events happening after the Balance Sheet date that indicate the conditions which take place after the date of Balance Sheet.

AS-4 requires adjustment of Assets and Liabilities in the case of events mentioned in classification (a) and only disclosures in the case of events mentioned in the second classification (b).

6. There may be an indication from the events occurring after the Balance Sheet that the business enterprise stops to be a going concern. This calls for the review of a going concern concept.
7. Disclosure:
 - (a) Contingencies: The following should be disclosed:
 - (i) The nature of contingency.
 - (ii) The uncertainties that may affect the future income.
 - (iii) An estimate of the financial effect, or a statement that such an estimate cannot be made.
 - (b) Events occurring after the Balance Sheet: the following should be provided.
 - (i) The nature of the event.
 - (ii) An estimate of the financial effect or a statement that such an estimate cannot be made.

OBJECTIVE 16: AS-5: NET PROFIT OR LOSS FOR THE PERIOD, PRIOR PERIOD ITEMS AND CHANGES IN ACCOUNTING POLICIES

- A time of determination of net profit or loss, all items of expense and income, which are recognised during a period should be considered. While preparing the profit and loss account, the basic principle should be followed and no deviation is allowed unless an accounting standard so provides.
- The following items should be disclosed in the Profit and Loss Account:
 - (i) Profit and loss from ordinary activities.
 - (ii) Extraordinary items.

Activities which are carried out, be an enterprise as a part of its business and similar activities of related nature undertaken by it for furthering, supplementary to, or arising from these activities are known as ordinary activities.

Expenses or income arising, out of transactions or events that are quite different from ordinary activities are called extraordinary items.

All the other Accounting Standards are discussed in the respective, related chapters.

Summary

- Accounting Standards are written statements of accounting rules and guidelines. They are codified forms of GAPP.
- Objectives – to provide information, to harmonise different accounting processes and to enhance the contents.
- Constitution of Accounting Standard Board (ASB) in India.
- Scope of Accounting Standards in India.
- Procedure for issuing Accounting Standards – ASB assisted by Study Group – Exposure Draft – Circulation – ASB after incorporating suggestions submit to ICAI – ICAI will issue Standard.
- Applicability of Accounting Standards: Classification of enterprises into 3 levels – Accounting Standards 1 to Accounting Standards 29 (AS) – 1 to AS-29 – their applicable areas.
- Compliance with Accounting Standards: Role of ICAI – Role of Companies Act Sec. 211 & Sec. 211 (3B).
- Implementation: Provision of Clause 2AA to Sec. 217
- Salient features of General Purpose Financial Statements and the role of ASB.
- Benefits of Accounting Standards – (i) true and fair financial position, (ii) easy comparability, (iii) enhances the value of accounting information, (iv) efficiency of management, (v) useful to accountants and auditors and (vi) enhances credibility and reliability.
- AS-1: Disclosure of Accounting Policies: (i) Disclosure of all significant accounting policies followed in the preparation of income statement and balance sheet, (ii) selection of accounting policies, (iii) disclosure of fundamental accounting assumptions and (iv) disclosure of changes in accounting policies.
- AS-2: Valuation of inventories – AS-2 recommends the cost formula: Specific identification method, FIFO, Weighted Average method, Standard Cost and Retail Inventory method, Application of lower of cost or net realisable values.
- Accounting Standard AS-3 – Suggests the ways of reporting cash flows – direct method and indirect method – exclusion of non-cash transactions from cash flow statements. AS-3 stipulates disclosure of cash and cash equivalents.
- AS-4 deals with Contingencies and events occurring after the Balance Sheet date.
- AS-5 deals with net profit or loss for the period – Prior period items and changes in accounting policies. It emphasises the disclosure of (i) profit and loss from ordinary activities and (ii) extraordinary items in the profit and loss account.

Key Terms

Accounting Standards: Accounting Standards are the codified forms of generally accepted accounting principles. They are designed to harmonise different accounting practises, propounded by an accounting or professional bodies.

Accounting Policies: They are the specific accounting principles and the method of applying those principles adopted by an entity in the preparation and presentation of financial statements.

Accounting Standard Board (ASB): The board constituted by ICAI to conceive, formulate, examine and review the Accounting Standards.

Disclosure: Statements attached to financial statements, explaining accounting policies adopted in the preparation and presentation of financial statements of an entity.

ICAI: Institute of Chartered Accountants of India – the apex body of accounting professionals in India.

NACAS: National Advisory Committee on Accounting Standards was set up to advise the central government on the formulation and laying down of accounting policies and Accounting Standards in India.

Reference

Compendium of Statements and Standards of Accounting, The Institute of Chartered Accountants of India, New Delhi.

A Objective-type Questions

I: State whether the following statements are True or False

- Accounting Standards aim to harmonise diverse accounting practises.
- Accounting Standards and Generally Accepted Accounting Principles (GAPP) are one and the same thing.
- Accounting Standards are statutory provisions and not mere guidelines.
- Accounting Standards are issued by amending the Companies Act, 1956.
- The Accounting Standards Board (India) need not take into consideration the applicable laws prevailing in India, which formulate the Accounting Standards.
- As per the Companies Act, every Profit and Loss Account and Balance Sheet shall comply with the Accounting Standards.

- For the purpose of applicability of Accounting Standards, enterprises are classified into three broad categories.
- Accounting Standard–1 is related to “Disclosure of Accounting Policies.”
- Accounting Standard (AS)–6 (Revised) is issued relating to “Revenue Recognition.”
- Accounting Standard–9 (AS)–9 is related to depreciation.

Answers

- | | | |
|-----------|----------|----------|
| 1. True | 2. False | 3. False |
| 4. False | 5. False | 6. True |
| 7. True | 8. True | 9. False |
| 10. False | | |

B Short Answer-type Questions

- Define the term “Accounting Standards.”
- What are the main differences between a concept and an accounting standard?
- What are the main objectives of Accounting Standards?
- What is the legal status of Accounting Standards in India?
- What are the three fundamental accounting assumptions underlying the preparation and presentation of financial statements as per AS-1?
- Explain the utility of Accounting Standards with special emphasis on accounting professionals.

C Essay-type Questions

1. Explain the procedure for issuing and revising Accounting Standards in India.
2. Explain in detail the applicability of Accounting Standards with special reference to various level of categories of enterprises.
3. Explain the important provisions of Accounting Standard (AS)–1 (Revised)
4. Explain the relevant Accounting Standards (Revised) with respect to
 - (i) Recognition Revenue,
 - (ii) Depreciation Accounting,
 - (iii) Cash Flow Statement,
 - (iv) Inventories.

Accounting Process – Journal

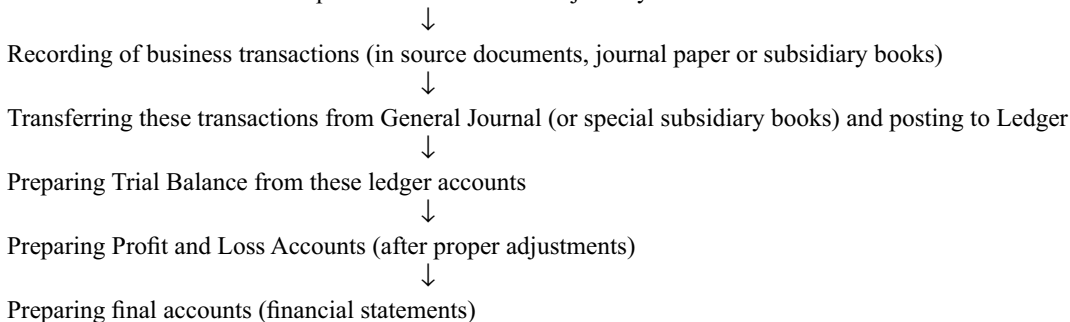
LEARNING OBJECTIVES

After studying this chapter, you will be able to understand

1. Concept of Accounting Process – Important Stages
2. Meaning of Business Transaction and Its Classification
3. Meaning of Account and Its Classification
4. Classification of Accounts – Identification of Category
5. Meaning of Double Entry
6. Methods of Recording Business Transactions
7. Traditional Approach for Recording Business Transaction and Debit-Credit Rules for Three Types of Accounts
8. Meaning and Format of Journal
9. Meaning of Journalising
10. To Analyse Business Transactions
11. To Record the Result of Analysis in Journal
12. Types of Entries
13. Source Documents – Format and Uses
14. Trade Discount and Cash Discount – Features and Method of Recording in Journal
15. Meaning of Purchase Returns and Sales Returns and Methods of Recording them in Journal
16. Accounting Equation Approach – Meaning and Classification of Accounts as per this Approach
17. Rules for Debit and Credit when Accounts are Classified on Accounting Equation Approach
18. Analyse Business Transactions Applying Accounting Equation Technique

OBJECTIVE 1: CONCEPT OF ACCOUNTING PROCESS AND STAGES

Accounting process is a long journey – starts with recording of business transactions and ends with preparation of final accounts. The important milestones in the journey are



Let us discuss the above accounting process in stages.

OBJECTIVE 2: RECORDING OF BUSINESS TRANSACTIONS AND ITS CLASSIFICATION

2.1 Meaning of Business Transaction

Transaction between two or more persons (including natural, artificial or juridical) resulting in the exchange of money and goods or services for money, may be referred to as business transaction.

Every business transaction has a two-fold fact and that it affects the parties involved – one party extends the benefit whereas the other party receives the benefit in terms of money or money's worth. It should be noted here that these can be measured objectively in the accounting process.

2.2 Classification of Business Transactions

Accounting process starts with identifying the business transactions to be recorded in the books of accounts. For easy identification, the business transactions are classified into three categories:

- (i) Cash transactions
- (ii) Credit transactions
- (iii) Non-cash transactions

Cash Transactions: Cash/money is involved in exchange.

Example: Purchase/sale of any goods for cash, payment of any expense, receipt of any income by cash.

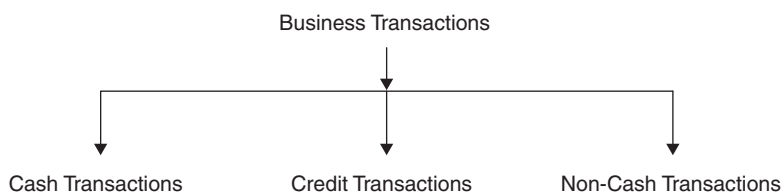
Credit Transactions: Cash/money is not involved on the date of transaction. Receipt or payment is postponed to a future date or promised to pay later.

Example: Any purchase/sale of goods on credit.

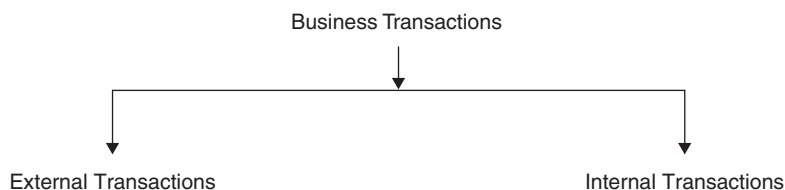
Non-cash Transactions: Cash/money is not involved either on the date of transaction or on a future date (credit) in these transactions. Money/cash is NEVER involved either as receipt or payment.

Example: Depreciation, loss due to natural calamities.

The classification of business transactions may be represented diagrammatically as:



2.3 Another Way of Classification of Business Transactions



External Transactions: These transactions occur between business entity and any other third party.

Example: Purchase/sale of goods to customers, salary paid to employees, interest received from bank, dividend received from limited companies. These may be called as external transactions.

Internal Transactions: These transactions occur within the business entity and no other party is involved.

Example: Depreciation, obsolescence, loss due to natural calamities, provision for doubtful debts and so on.

OBJECTIVE 3: MEANING OF ACCOUNT AND ITS CLASSIFICATION

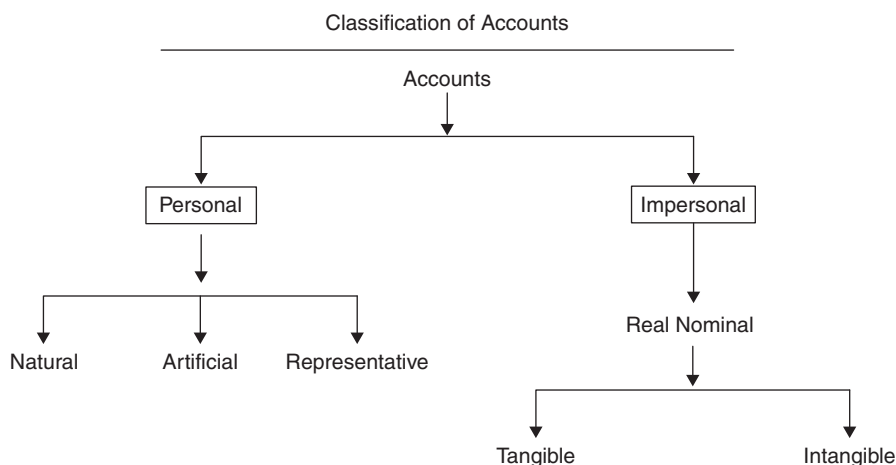
3.1 Meaning of Account

Every business transaction has two aspects and each aspect has an account. An account is “a summary of relevant business transactions at one place relating to a particular head.” It is a summarised record of business transactions relating to

- (i) individuals, firms, companies,
- (ii) properties, goods or cash,
- (iii) items of revenue (income, profit or gain) and expense (loss).

3.2 Classification of Accounts

Accounts are classified into personal, real and nominal, accordingly. The classification of accounts may be illustrated as follows:



OBJECTIVE 4: CLASSIFICATION OF ACCOUNTS

4.1 Personal Accounts

Business transactions that occur between a business entity and other persons are “personal accounts.” These personal accounts may further be classified into:

- (a) *Natural person's account:* Accounts relating to natural persons are called natural persons accounts.
Example: Raj's Account, Vasu's Account and so on.
- (b) *Artificial or legal person's account:* Accounts relating to legal entities – partnership firms, limited companies, government agencies, institutions, clubs, societies and so on.
- (c) *Group or representative personal accounts:* These are accounts of different persons of same nature but more than one in number. As the persons involved are of the same nature, they are grouped into one account that is one head.

Example: Salary, Creditors, Debtors. This is classified under this category because it represents a group of same category involved. The following are also included in this classification – Outstanding Expenses, Expenses Paid in Advance, Accrued Income, Income Received in Advance and so on.

4.2 Impersonal Accounts

These accounts would not affect persons (natural or artificial) but affect the business concerns. These accounts are re-classified into two broad categories:

- (i) *Real accounts*: These accounts consist of properties and assets owned by business concern, which may further be classified into two categories:
 - (a) *Tangible accounts*: These consist of real tangible and concrete things or properties, which can be seen, felt, measured, purchased and sold.
Example: Accounts of land, building, stock and so on.
 - (b) *Intangible accounts*: These accounts consists of things, which cannot be felt but can be measured in money.
Example: Goodwill, trade marks, copyrights.
- (ii) *Nominal accounts*: These accounts consist of items, which do not have any existence, form or shape. They cannot be seen or felt. These are called as temporary accounts because they are transferred to other bigger nominal account – Trading and Profit and Loss Account, when final accounts are prepared.
Example: Salary Account, Dividend Account.

In addition to the above classification of accounts, now a new category – Valuation Accounts – is adopted in accounting procedure. These accounts are shown in the opposite side of the respective main account and as such they are called as CONTRA ACCOUNTS.

Example

1. Provision for Depreciation on Fixed Assets when they are recorded at their original cost.
2. Provision for Doubtful Debts when Debtors are shown at their gross amount.
3. Stock Reserve Account against the original cost of inventories.

4.3 Nominal Accounts Treated as Personal Accounts

But some accounts are classified as Nominal Account, based on the characteristic features of transaction, may be treated as Personal Accounts. They are:

- | | | |
|---|---|--|
| 1. Rent A/c is Nominal A/c | → | Outstanding Rent is Personal A/c
Prepaid Rent is Personal A/c
Rent Received in Advance is Personal A/c |
| 2. Salary A/c is Wages A/c is Nominal A/c | → | Outstanding Salary is Personal A/c
Outstanding Wages is Personal A/c
Salary Paid in Advance is Personal A/c |
| 3. Interest A/c is Nominal A/c | → | Outstanding Interest is Personal A/c
Accrued Interest is Personal A/c
Interest Received in Advance is Personal A/c |
| 4. Discount A/c is Nominal A/c | → | Discount Received in Advance is Personal A/c
Rebate is Personal A/c
Unexpired Discount is Personal A/c
Bills Discounted is Personal A/c |
| 5. Commission A/c is Nominal A/c | → | Commission Received in Advance is Personal A/c
Outstanding Commission is Personal A/c |
| 6. Subscription A/c is Nominal A/c | → | Accrued Subscriptions is Personal A/c
Subscriptions Received in Advance is Personal A/c |
| 7. Insurance Premium is Nominal A/c | → | Prepaid Insurance is Personal A/c
Received in Advance is Personal A/c |

Illustration: 1

Classify the following accounts:

- | | | |
|----------------------------|-------------------------|------------------------------|
| 1. Capital | 2. Sales | 3. Drawings |
| 4. Outstanding Rent | 5. Purchases | 6. Cash Received |
| 7. Cash Paid | 8. Rent | 9. Wages |
| 10. Interest Paid | 11. Discount Received | 12. State Bank of India |
| 13. Commission Paid | 14. Commission Received | 15. Bad Debts written off |
| 16. Advertisement | 17. Carriage Inward | 18. Carriage Outward |
| 19. Interest Received | 20. Land Purchased | 21. Building Purchased |
| 22. Discount Allowed | 23. Conveyance Charges | 24. Subscription Outstanding |
| 25. Insurance Premium Paid | | |

Solution

1. Personal Account: 1, 3, 4, 12, 24
2. Real Account: 2, 6, 7, 20, 21
3. Nominal Account: 5, 8, 9, 10, 11, 13, 14, 15, 16, 17, 18, 19, 22, 23, 25

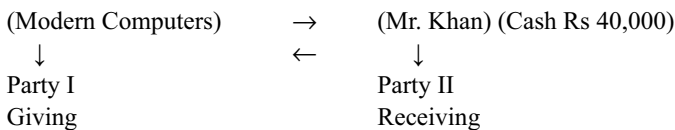
OBJECTIVE 5: MEANING OF DOUBLE ENTRY AND DOUBLE ENTRY SYSTEM

What is an “Entry”? Recording of business transactions in an account is called an entry.

5.1 Meaning of Double Entry

In any business transaction two parties are involved. One party gives some value while the other party receives the same in exchange for an equivalent value.

Example: Mr. Khan purchases a laptop from Modern Computers for Rs 40,000. In this transaction, Mr. Khan gives cash (Rs 40,000) and receives a laptop in exchange. From the other angle, it may be said that Modern Computers gives laptop and receives cash in exchange. There is a reciprocal exchange of value between the two parties. This can be illustrated:



From Party I (laptop) to Party II (Cash Rs 40,000)

From Party II (Cash Rs 40,000) to Party I (laptop)

This principle applies to transactions on Credit basis also. Every business transaction results in two aspects:

1. The receiving of value on one hand
2. The giving of same value on the other

These two-fold aspects (receiving and giving) are to be recorded for transactions simultaneously.

The system, which recognises this TWO-FOLD ASPECT for each and every business transaction is known as Double Entry System.

Each business transaction reveals two aspects. One aspect is “receiving aspect” or “incoming aspect” or “expense/loss aspect.” This is referred to as “Debit aspect.”

The other aspect is “giving aspect” or “outgoing aspect” or “income/gain/profit.” This is referred to as “Credit aspect.”

These two aspects viz., “DEBIT ASPECT” and “CREDIT ASPECT” form the basis of DOUBLE ENTRY SYSTEM.

Debit means to enter an amount of transaction on the left side of an account and Credit means to enter an amount of transaction on the right side of an account. In the abbreviated form Debit is written as Dr. and Credit is written as Cr.

OBJECTIVE 6: METHODS OF RECORDING BUSINESS TRANSACTIONS

There are two approaches for recording a transaction:

- Traditional Approach
- Accounting Equation approach

6.1 Traditional Approach

This approach is also known as the British Approach. Recording under this method is formed on the basis of the existence of two aspects namely debit and credit in each of the transaction. This method is also called as Double Entry System.

6.2 Accounting Equation Approach

This approach is also called as the American approach. Under this method, transactions are recorded on the basis of the following accounting equation.

$$\text{Assets} = \text{Liabilities} + \text{Capital}$$

This approach is discussed later, in this chapter.

OBJECTIVE 7: TRADITIONAL APPROACH FOR RECORDING BUSINESS TRANSACTIONS AND DEBIT–CREDIT RULES FOR THREE TYPES OF ACCOUNTS

All the accounts are classified as:

1. Personal Accounts
2. Real Accounts or Property Accounts
3. Nominal Accounts or Fictitious Accounts

Debit–Credit rules for three types of accounts are:

<i>Type of Account</i>	<i>Debit</i>	<i>Credit</i>
1. Personal Accounts	THE RECEIVER	THE GIVER
2. Real Accounts	WHAT COMES IN	WHAT GOES OUT
3. Nominal Accounts	ALL EXPENSES and LOSSES	ALL INCOMES, GAINS and PROFITS

Illustration: 2

Classify the following accounts stating which item has to be debited and which aspect to be credited:

- | | | |
|--------------------------------|-----------------------------|---------------------------|
| 1. Capital brought in | 2. Land purchased | 3. Goods purchased |
| 4. Carriage inward paid | 5. Cash received | 6. Interest paid |
| 7. Commission received | 8. Advertisement expenses | 9. Subscription received |
| 10. Mobile charges (post-paid) | 11. Repairs | 12. Bad debts written off |
| 13. Data-card purchased | 14. Laptop purchased | 15. Pen drive purchased |
| 16. Indian Bank A/c | 17. Wages and salaries paid | 18. Outstanding salary |
| 19. Pre-paid insurance premium | 20. Interest accrued | |

Solution

1. Capital brought in: Type of Account: Personal Account
Rule: Debit: The Receiver
Credit: The Giver
2. Land purchased: Type of Account: Real Account
Rule: Debit: What comes in
Credit: What goes out
3. Goods purchased: Type of Account: Nominal Account
Rule: Debit: All expenses and losses
Credit: All gains and profits
(Here Purchases A/c is taken and “Goods” ignored)
4. Carriage inward paid: Type of Account: Nominal Account
Rule: Debit: All expenses and losses
Credit: All gains and profits
5. Cash received: Type of Account: Real Account
Rule: Debit: What comes in
Credit: What goes out
6. Interest paid: Type of Account: Nominal Account
Rule: Debit: All expenses and losses
Credit: All gains and profits

Like this, classify the account and apply the rules for Debit and Credit. The remaining items, that is, from Item No. 7 to Item No. 20 are presented in the summarised form as below:

<i>Item Nos.</i>	<i>Type of A/c</i>	<i>Debit and Credit Aspects</i>
7, 8, 9, 10, 11, 12, 17	Nominal A/c	Debit: All expenses and losses Credit: All income and profit
13, 14, 15	Real A/c	Debit: What comes in Credit: What goes out
16, 18, 19, 20	Personal A/c	Debit: The Receiver Credit: The Giver

OBJECTIVE 8: MEANING AND FORMAT OF JOURNAL**8.1 Meaning of Journal**

A Journal is a book in which transactions are originally recorded in the chronological order, i.e. in the order in which they are occurred, according to the principles of Double Entry System.

A Journal is also called a Book of Original Entry or Prime Entry.

The books in which a transaction is recorded for the first time from a source document are called the Books of Original Entry or Prime Entry.

A Journal is a data-wise record of all transactions with details of the account debited and credited and the amount of each transaction.

8.2 Format of Journal**Journal**

<i>Date</i>	<i>Particulars</i>	<i>Ledger Folio</i>	<i>Debit Amount Rs</i>	<i>Credit Amount Rs</i>

- (i) *Date Column*: Under this first column, the date of transaction is entered. The year and the month is written once, till they change. The sequence (of months and dates) should be strictly adhered to.
- (ii) *Particulars Column*: Under this column, the name of the account to be debited is written first and the word “Dr.” is to be written at the end of this line. In the second line, the name of account to be credited is written, starting with the word “To,” providing space away from the margin in the Particulars column to make it distinct from the debit account.
- (iii) After each entry, a brief explanation of the transaction together with brief details is written in the Particulars column within brackets. This is called “Narration.”
- (iv) *Ledger Folio (L.F.) Column*: All entries from the journal are posted to Ledger Accounts, later. The ledger page number containing the relevant account is entered at the time of posting. Till then, this column remains blank.
- (v) *Debit Amount Column*: In this column, the amount to be debited is entered.
- (vi) *Credit Amount Column*: In this column, the amount to be credited is entered.

OBJECTIVE 9: MEANING OF JOURNALISING

9.1 Meaning

The process of analysing the business transactions under the heads of debit and credit and recording them in the book of Journal is called “Journalising.”

9.2 Process in Journalising

The steps to be followed in journalising business transactions are as follows. For easy understanding, the process can be carried on in two stages:

Stage I: Analysis of transaction

Stage II: Recording them (result of analysis) in Journal

OBJECTIVE 10: ANALYSIS OF BUSINESS TRANSACTIONS

The steps to be followed in the analysis of transactions are:

Step 1: Determine the two accounts which are involved in the transaction.

Step 2: Classify the above two accounts under Personal, Real or Nominal.

Step 3: Find out the rules of debit and credit for the above two accounts.

Step 4: Identify which account is to be debited and which account is to be credited.

OBJECTIVE 11: RECORDING THE RESULTS OF ANALYSIS

After this, draw the format of Journal

Step 5: Record the date of transaction in the “Date Column.”

Step 6: Enter the name of the account to be debited in the “Particulars Column” very close to the left hand side (the line which separates the “Date Column” and “Particulars Column”) along with the abbreviation “Dr.” in the same line. Amount to be debited is written in the “Debit Amount Column” in the same line.

Step 7: Write the name of the account to be credited in the next line preceded by the word “To,” a little space away from the line in the “Particulars Column.” Write amount to be credited in the “Credit Amount Column” in that same line.

Step 8: Write the “narration” (a brief description of the transaction) within brackets in the next line in the “Particulars Column.”

Step 9: Draw a line across the entire “Particulars Column” to separate one journal entry from the other.

Illustration: 3

On June 15, 2009, Vasanth started business with Rs 5,00,000. Analyse this transaction and pass Journal Entry.

Solution**Stage I:** Analysis of Transactions

Steps	Process to be carried out	Classification of Aspects	
Step 1	Determine the two accounts involved in the transaction	Cash A/c	Capital A/c
Step 2	Classify the accounts (under Personal, Real or Nominal)	Real A/c (Cash is coming in)	Personal A/c (Vasanth is Giver)
Step 3	Find the rules of debit and credit	Debit what comes in	Credit the Giver
Step 4	Identify which account is to be debited and which account is to be credited	Cash A/c is debited	Capital A/c is credited

Stage II: Now draw the format of Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
June 15, 2009	Cash A/c Dr. To Capital A/c (The amount invested in business)		5,00,000	5,00,000

Step 5: Enter the date.**Step 6:** Write the name of the account to be debited with “Dr.” at the end and Rs 5,00,000 in the Debit Column.**Step 7:** Write the name of the account to be credited starting with the word “To” leaving space and Rs 5,00,000 in the Credit Column.**Step 8:** Write narration (brief description of transaction).**Step 9:** Draw a line across the entire Particulars Column.**Note:** L.F. Column is not to be recorded at the time of journalising.**Illustration: 4**

Bought goods for cash Rs 1,00,000 on March 15, 2009.

Solution**Step 1:** Determine the two accounts involved in the transactions.

Bought goods– Purchases Account

For cash – Cash Account

Step 2: Classify the accounts.

Purchase Account → Real Account

Cash Account → Cash Account

Step 3: Find out the rules of Debit and Credit.

Purchase Account → Goods come in → Debit it

Cash Account → Goes out → Credit it

Step 4: Write down the account to be debited and credited.

Purchase A/c Dr.

To Cash A/c

Step 5: Draw the format of Journal and enter the date in “Date Column.”**Step 6:** Enter the name of the account – Purchases A/c to be debited in the “Particulars Column” followed by the word “Dr.” in the same line. Against this, the amount to be debited Rs 1,00,000 is written in the “Debit Column.”

Step 7: Enter the name of the account to be credited in the next line starting with the word “To,” that is, To Cash A/c in the Particulars Column. Against this, the amount to be credited Rs 1,00,000 is written in the “Credit Column” in the same line.

Step 8: Write the narration within brackets.

Step 9: Draw a line across the entire “Particulars Column.”

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
Mar 15, 2009	Purchases Account Dr. To Cash A/c (Cash purchases of goods)		1,00,000	1,00,000

The procedure for journalising business transactions have been explained in detail in the preceding illustration.

Now, in order to make the readers to understand effectively the concepts of “Double Entry,” how to analyse the transactions (i.e., analysing the transactions, four steps involved in Stage I) will be dealt with by way of a number of examples – in the foregoing part of this chapter. Once they acquire the skill, then it will be easy to record them in the journal (from Step 5 to Step 9 – Stage II).

Illustration: 5 Analysis of some business transactions

Transaction 1

On Jan 1, 2009, Goods bought for Rs 50,000.

Important Note:

1. See, whether the name of the supplier is given.
In this case it is not given.
2. Then ascertain whether the goods have been purchased for cash or on credit.

Clue

- (i) Supplier is not given.
 - (ii) The word “Paid” or “For Cash” is shown. If the key word is given, it is cash transaction, if the keyword is missing, the transaction will be said to be on credit basis.
In this case, it is cash purchase.
3. In case, if the name of the supplier is given along with the words “cash” – then it is said to be a cash purchase. (Note that the name of the supplier is immaterial for cash purchases.)

Solution

This transaction is of cash purchase.

Step 1: The two accounts affected are

1. Purchase Account
2. Cash Account

Step 2: Next, accounts are classified as

1. Purchase Account: Real Account
2. Cash Account: Real Account

Step 3: Apply the Rules of Debit and Credit

- (i) Real Account – What comes in – Goods comes in – To be debited
- (ii) Next part – Real Account – What Goes out – Cash has gone out – To be credited

Step 4: Write the account to be debited and credited

1. Purchase Account: Debit
2. Cash Account: Credit

Goods – is a thing of value – so it is a real account

Transaction 2

On Jan 2, 2009, goods bought from Sri Jain for Rs 70,000.

Solution

In this transaction supplier name is given. But the keyword “Paid” or “for cash” is missing. So it is to be treated as transaction, on credit basis.

Step 1: Find two accounts affected: Purchase Account
and
Jain Account

Step 2: Classify the accounts
Purchase Account – Goods – a thing of value – so Real Account
Jain Account – Personal Account

Step 3: Apply the Rules of Debit and Credit
Real Account – Goods come in – Debit
Personal Account – Giver – Jain – Credit

Step 4: Write the account to be debited and credited
Purchase Account – Debit
Jain Account – Credit

Transaction 3

On Jan 4, 2009, Raj commences a business enterprise under the name of “Good Luck Enterprises” with a capital of Rs 5,00,000.

Solution

Step 1: Find out the accounts affected in the transaction
1. Raj
2. Cash

Step 2: Classify the accounts
Raj – Personal Account
Cash – Real Account

Step 3: Apply the Rules of Debit and Credit
Personal Account – Raj – the Giver – Credit the giver
Real Account – Cash – Comes in – Debit what comes in

Step 4: Write the name of the account to be debited and credited
Cash A/c – Debit
Raj’s A/c – Credit

Transaction 4

On Jan 5, 2009, Goods sold to Sathyan for cash Rs 1,00,000.

Solution

This transaction is on cash basis.

Step 1: Identify the accounts affected
1. Cash Account
2. Sales Account

Step 2: Classify the accounts

Cash Account – Real Account

Sales Account – Real Account

Step 3: Cash comes in – Debit what comes in

Goods goes out of business – Credit what goes out

Step 4: Write the account to be credited and debited

Cash Account – Debit

Sales Account – Credit

Transaction 5

On Jan 7, 2009, goods sold to Kashyap for Rs 2,00,000.

Solution

Step 1: Identify the two accounts

1. Sales Account

2. Kashyap Account

Step 2: Classify the accounts

Sales Account – Real Account (goods are affected)

Kashyap – Personal Account

Step 3: Apply the Rules of Debit and Credit

Real Account – Goods goes out – Credit what goes out

Personal Account – Debit the receiver

Step 4: Write the account to be debited and credited

Kashyap A/c – Debit

Sales A/c – Credit

Transaction 6

On Jan 8, 2009, Bought Laptop from “E-Top Enterprises” for Rs 50,000.

Solution

Step 1: Identify the two accounts

Laptop and “E Top Enterprises”

Step 2: Classify the accounts

Laptop – Property – Real Account

“E Top Enterprise” – Personal Account

Step 3: Apply the Rules of Debit and Credit

Laptop coming in – Debit what comes in

“E Top Enterprise” – Credit the giver

Step 4: Write the name of account to be debited and credited

Laptop A/c – Debit

“E Top Enterprises” A/c – Credit

Transaction: 7

On Jan 9, 2009, paid Rs 60,000 for goods received from Sun Textiles.

Solution

Step 1: Identify the accounts affected

1. Purchases Account

2. Cash Account

Step 2: Classify the accounts

Purchase Account – Real Account

Cash Account – Real Account

Step 3: Apply the Rules of Debit and Credit

Goods come in – Debit what comes in

Cash goes out – Credit what goes out

Step 4: Write the name of the account to be debited and credited

Purchase A/c – Debit

Cash A/c – Credit

Transaction: 8

On Jan 10, 2009, paid into Indian Bank Rs 15,000.

Solution

Step 1: Identify the accounts affected

1. Cash Account

2. Bank Account

Step 2: Classify the accounts

Cash – Real Account

Indian Bank – Personal Account

Step 3: Apply the Rules of Debit and Credit

Cash goes out – Credit what goes out

Indian Bank – Debit the receiver

Step 4: Write the name of the account to be credited and debited

Indian Bank A/c – Debit

Cash A/c – Credit

Transaction: 9

On Jan 11, 2009, withdrawn from the Bank Rs 15,000.

Solution

Step 1: Identify the accounts affected

1. Cash Account

2. Bank Account

Step 2: Classify the accounts

Cash – Real Account

Bank – Personal Account

Step 3: Apply the Rules of Debit and Credit

Cash Account – Real Account– Debit what comes in (cash comes in)

Bank Account – Personal Account – Giver – Credit the giver

Step 4: Write the name of the account to be credited and debited

Cash Account – Debit

Bank Account – Credit

Transaction: 10

On Jan 12, 2009, Borrowed from the Bank Rs 3,00,000.

Solution

Step 1: Identify the two accounts

1. Cash Account

2. Bank Loan Account

Note: Compare this with the previous one, Transaction 9. As it is a withdrawal, that is, from his own fund mere bank A/c was mentioned. Here, it is borrowed, obtained by way of loan from the bank. Hence, the term “Bank Loan A/c” is used here.

Step 2: Classify the accounts

Cash Account is a Real Account

Bank Loan Account is a Personal Account

Step 3: Apply the Rules of Debit and Credit

Cash Account – Real Account – Cash comes in – Debit what comes in

Bank Loan Account – Personal Account – Giver – Credit the giver

Step 4: Write the name of the account to be credited and debited

Cash Account – Debit

Bank Loan Account – Credit

Transaction: 11

On Jan 14, 2009, paid by cheque for the rent Rs 5,000.

Solution

Step 1: Two accounts affected are

1. Bank Account

2. Rent Account

Step 2: Classify the accounts

Bank – Personal Account

Rent – Nominal Account

Step 3: Apply the Rules of Debit and Credit

Nominal A/c – Rent – expense – Debit all expenses

Personal Account – Bank – Giving for rent – Credit

Step 4: Write the name of account to be credited and debited

Rent Account – Debit

Bank Account – Credit

Transaction: 12

On Jan 15, 2009, opened a Current Account with the State Bank of India for Rs 25,000.

Solution

Step 1: Identify the two accounts

1. Bank Account (State Bank of India A/c)

2. Cash Account

Step 2: Classify the accounts

State Bank of India Account – Personal Account

Cash Account – Real Account

Step 3: Apply the Rules of Debit and Credit

State Bank of India A/c – Personal Account – Receiver – Debit the receiver

Cash Account – Real Account – Goes out – Credit what goes out

Step 4: Write the name of the account to be credited and debited

State Bank of India Account – Debit

Cash Account – Credit

Transaction: 13

On Feb 15, 2009, received cheque from Gupta for Rs 15,000.

Solution

Step 1: Identify the two accounts

1. Cash Account
2. Gupta Account

Step 2: Classify the accounts

- Real Account
- Personal Account

Step 3: Apply the Rules of Debit and Credit

- Real Account – Cash – Comes in – Debit what comes in
- Personal Account – Gupta – Giver – Credit the giver

Step 4: Write the name of the account to be credited and debited

- Cash Account – Debit
- Gupta Account – Credit

Transaction: 14

On Feb 20, 2009, cheque received from Sekhar for Rs 20,000 and banked immediately.

Solution

Step 1: Identify the two accounts

1. Bank Account
2. Sekhar Account

Step 2: Classify the accounts

- Bank A/c – Personal Account
- Sekhar A/c – Personal Account

Step 3: Apply the Rules of Credit and Debit

- Personal Account – Bank – Receives – Debit the receiver
- Personal Account – Sekhar – Gives – Credit the giver

Step 4: Write the name of the account to be credited and debited

- Bank Account – Debit
- Sekhar Account – Credit

Transaction: 15

On Feb 27, 2009, paid Verma Rs 5,000 in lieu of a cheque.

Solution

Strictly speaking, two transactions occur which have to be recorded simultaneously.

First transaction: Receipt of a cheque from Verma and

Second transaction: Payment of cash to Verma

First transaction: Bank Account: Debit

Verma Account: Credit

Second transaction: Verma Account – Personal A/c – Receives

Cash Account – Real A/c – Goes out

Verma's Account – Debit

Cash Account – Credit

Transaction: 16

On Mar 1, 2009, received from Sharma a bill at 3 months for Rs 30,000.

Solution**Step 1:** Identify the two accounts

Bills Receivable Account

Sharma's Account

Step 2: Classify the accounts

Bills Receivable Account – Real Account

Sharma's Account – Personal Account

Step 3: Apply the Rules of Credit and Debit

Bills Receivable Account – Real A/c – Comes in – Debit

Sharma's Account – Personal A/c – Gives – Credit the giver

Step 4: Write the name of the account to be credited and debited

Bills Receivable Account: Debit

Sharma's Account: Credit

Transaction: 17

On Mar 5, 2009, Accepted the bill drawn by Shree for Rs 15,000.

Solution**Step 1:** Identify the two accounts

1. Bills Payable Account

2. Shree's Account

Step 2: Classify the accounts

1. Bills Payable Account – Real Account

2. Shree's Account – Personal Account

Step 3: Apply the Rules of Credit and Debit

1. Real A/c – Goes out – Credit

2. Personal A/c – Receiver – Debit

Step 4: Write the name of the account to be credited and debited

Shree's Account: Debit

Bills Payable Account: Credit

(Bills Receivable and Bills Payable. Features are explained later, in this chapter.)

It is important to note that all business transactions have to be analysed *from the business point of view and not from the owner's (proprietor's) point of view*.

The proprietor (owner) of the business may withdraw a certain amount from the business by way of cash or cheque or goods for personal use. It is called Drawings.

Drawings from Business

Cash	Cheque	Goods
Cash goes out	Bank (involves)	Value (Purchases)
	Bank → Giver	Decreases
Credit → Cash A/c	Credit → Bank A/c	Credit → Purchase A/c
Debit → Drawings A/c	Debit → Drawings A/c	Debit → Drawings A/c

Note: Drawings Account is to be debited in all categories. Credit A/c differs depending on cash, cheque or goods.

Transaction: 18

On Mar 7, 2009, Narayan withdrew for personal use Rs 15,000.

Solution

In this transaction, drawings in the form of cash is given

Step 1: Identify the two accounts

1. Drawings Account
2. Cash Account

Step 2: Classify the accounts

Drawings Account – Personal Account
Cash Account – Real Account

Step 3: Apply the Rules of Debit and Credit

Personal A/c – Receives – Debit the receiver
Real A/c – Cash goes out – Credit what goes out

Step 4: Write the name of the account to be credited and debited

Drawing A/c: Debit
Cash A/c: Credit

Transaction: 19

On Mar 9, 2009, paid by cheque for Group Insurance Premium (for employees in a business concern) Rs 25,000.

Solution

Step 1: Identify the two accounts

1. Bank Account
2. Group Insurance Account

Step 2: Classify the accounts

Bank Account – Personal Account – Gives – Credit the giver
Group insurance A/c – Nominal A/c – Business expense – Debit the expenses

Step 3: Apply the Rules of Credit and Debit

Bank – Giver – Personal A/c – Credit the giver
Group Insurance Premium – Nominal A/c – Business expenses – Debit the expenses

Step 4: Write the name of the accounts to be credited and debited

Group Insurance Account – Debit
Bank Account – Credit

Transaction: 20

On Mar 10, 2009, Renu paid life insurance premium of Rs 1,200.

Solution

Step 1: Identify the two accounts

1. Cash Account
2. L.I.C. Premium – Personal expense – it is to be taken as Drawings

Step 2: Classify the accounts

1. Cash – Real Account
2. Drawings – Personal Account

Step 3: Apply the Rules of Debit and Credit

Drawings A/c – Receiver – Debit the receiver
Cash A/c – Goes out – Credit

Step 4: Write the name of the account to be credited and debited

Drawings A/c – Debit
Cash A/c – Credit

Note: If it is by way of cheque, instead of Cash A/c – Bank A/c has to be credited

Transaction: 21

On Mar 15, 2009, bought shares in VRV Ltd. for Rs 60,000.

Solution

Step 1: Identify the accounts

1. Investment Account (Purchase of shares is to be treated as investment)
2. Cash Account

Step 2: Classify the accounts

1. Investment Account – Real Account
2. Cash Account – Real Account

Step 3: Apply the Rules of Debit and Credit

Real Account – Investment – Property comes in – Debit what comes in

Cash Account – Cash goes out – Credit what goes out

Step 4: Write the name of the account to be credited and debited

Investment Account – Debit

Cash Account – Credit

Transaction: 22

On Mar 20, 2009, Bank collected dividends on Renu's investments Rs 15,000.

Solution

Step 1: Identify the two accounts

1. Dividends Account
2. Bank Account

Step 2: Classify the accounts

Dividend – Nominal Account

(Business income – received on investments)

Bank – Personal Account

Step 3: Apply the Rules of Debit and Credit

Bank A/c – Personal A/c – Receiver – Debit the receiver

Dividend A/c – Nominal A/c – Income – Credit the income

Step 4: Write the name of the accounts to be debited and credited

Bank A/c – Debit

Dividend A/c – Credit

Now, we can move on to the next state (Stage II), journalising the business transactions. The transactions (from Transactions 1 to Transactions 22) discussed so far are now recorded in the Journal.

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
2009 Jan 1	Purchases Account Dr. To Cash Account (Purchased goods)		50,000	50,000
Jan 2	Purchases Account Dr. To Jain Account (Jain purchased goods)		70,000	70,000
Jan 4	Cash Account Dr. To Raj's Account (Raj started business)		5,00,000	5,00,000
Jan 5	Cash Account Dr. To Sales Account (Goods sold to Sathyam for cash)		1,00,000	1,00,000

Date	Particulars	L.F.	Debit Rs	Credit Rs
Jan 7	Kashyap Account Dr. To Sales Account (Goods sold to Kashyap on Credit basis)		2,00,000	2,00,000
Jan 8	Laptop Account Dr. To E Top Enterprises Account (Bought Laptop)		50,000	50,000
Jan 9	Purchase Account Dr. To Cash Account (Amount paid for Cash purchase)		60,000	60,000
Jan 10	Indian Bank Account Dr. To Cash Account (Amount paid into Indian Bank)		15,000	15,000
Jan 11	Cash Account Dr. To Bank Account (Withdrawn from Bank)		15,000	15,000
Jan 12	Cash Account Dr. To Bank Loan Account (Borrowed from the Bank)		3,00,000	3,00,000
Jan 14	Rent Account Dr. To Bank Account (Rent paid by cheque)		5,000	5,000
Jan 15	State Bank of India Account Dr. To Cash Account (Current account opened)		25,000	25,000
Feb 15	Cash Account Dr. To Gupta Account (Received cheque from Gupta)		15,000	15,000
Feb 20	Bank Account Dr. To Sekhar Account (Sekhar's cheque encashed)		20,000	20,000
Feb 27	Verma's Account Dr. To Cash Account (Paid Verma in lieu of cheque)		5,000	5,000
Mar 1	Bills Receivable Account Dr. To Sharma's Account (Received bill from Sharma)		30,000	30,000
Mar 5	Shree's Account Dr. To Bills Payable Account (Accepted the bill drawn by Shree)		15,000	15,000
Mar 7	Drawings Account Dr. To Cash Account (Drawings by Narayan)		15,000	15,000
Mar 9	Group Insurance Account Dr. To Bank Account (Group insurance premium paid by cheque)		25,000	25,000

(Continued)

(Continued)

Date	Particulars	L.F.	Debit Rs	Credit Rs
Mar 10	Drawings Account Dr. To Cash Account (Renu paid LIC premium by cash)		1,200	1,200
Mar 15	Investment Account Dr. To Cash Account (Shares of VRV Ltd. bought)		60,000	60,000
Mar 20	Bank Account Dr. To Dividend Account (Dividend received through Bank)		15,000	15,000

OBJECTIVE 12: TYPES OF ENTRIES**12.1 Simple Entry**

In simple entry, only two accounts are affected. One account is to be debited and another account is to be credited with an equal amount.

Example: The transactions we have discussed so far fall under this type.

12.2 Compound Entry

In compound entry, more than two accounts are affected. There are three types under this category.

Several accounts (more than one) will have to be debited and only one account to be credited.

Only one account is to be debited and several accounts (more than one) to be credited. 1 and 2 are called “Single Compound Entries.”

Several accounts will have to be debited and several accounts to be credited. This is called “Double Compound Entry.”

Note: In all the compound entries, the sum of debits will always be equal to the sum of credits.

Example: Single Compound Entry.

Transaction

A business concern pays rent Rs 6,000, salaries Rs 12,000, electricity charges Rs 600, carriage account Rs 1,000 on Dec 31, 2008. Journalise.

Solution

In this example, transaction, the business entity pays expenses on a single day Dec 31. Four transactions took place on the same day. Moreover they are of same nature. In such situation a compound entry is passed instead of separate journal entry for each item.

All expenses – Nominal Account – to be Debited

Cash Account – Real A/c – What goes out to be Credited

Date	Particulars	L.F.	Debit Rs	Credit Rs
Dec 31, 2009	Rent Account Dr. Salaries Account Dr. Electricity Charges Account Dr.		6,000 12,000 600	

Date	Particulars	L.F.	Debit Rs	Credit Rs
	Carriage Account Dr. To Cash Account (Expenses paid in cash)		1,000	19,600

Example: A business concern receives payment of Rs 80,000 consisting of Rs 20,000 cash and Rs 60,000 as cheque in return of, for sale of goods for Rs 25,000 and an old machine of Rs 55,000 on Mar 30, 2009. Pass the entry.

Solution

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
Mar 30, 2009	Cash Account Dr. Bank Account Dr. To Sales Account To Machine Account (Sale of goods and old machine)		20,000 60,000	25,000 55,000

12.3 Opening Entry

- (i) At the beginning of each accounting period, the business enterprises will have to record their transactions in the new books of account.
- (ii) The accounts with balances in the previous year, will have to be recorded with the help of an entry – known as Opening Entry.
- (iii) In this entry:
 - All assets are to be debited
 - All liabilities are to be credited
 - The difference between assets and liabilities will have to be credited as “Capital Account”¹

Example

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
Jan 1, 2009	Cash Account Dr. Stock Account Dr. Debtors Account Dr. Furniture and Fixtures Account Dr. To Bills Payable Account To Creditors Account ¹ To Capital Account [Rs 7,500 + Rs 25,500 + Rs 17,000 + Rs 20,000 – (5,000 – 15,000)]		7,500 25,500 17,000 20,000	5,000 15,000 50,000

OBJECTIVE 13: SOURCE DOCUMENTS – FORMATS, USES AND METHODS OF RECORDING

The origin of a transaction is derived from the source document. Source documents are the evidences of business transactions which provide information about the nature of the transaction, the date, the amount and

the parties involved in it. Each transaction recorded in the books of accounts must have enough proof to support it. These supporting documents provide proof for the accuracy of the recorded transactions. These source documents play a major role for audit purpose and tax assessment. They also serve as a legal evidence, in case of a dispute. Cash Memo, Invoice or Bill, Receipt, Debit Note, Credit Note, Pay-in-slip, cheque and vouchers are some common source documents.

13.1 Cash Memo

When a trader sells goods for cash, he gives a cash memo. When he purchases goods for cash, he receives a cash memo. It contains details regarding the items, quantity, rate and price. Specimen of cash memo is given below.

Cash Memo Crescent Shoe Co., 108, Babu Market, New Delhi-23			
No. 1121		Date: _____	
To _____		_____	
<i>Description</i>	<i>Quantity</i>	<i>Rate Rs</i>	<i>Amount Rs</i>
Baby shoes	2	450	900
9" size sandok	3	300	<u>900</u> <u>1,800</u>
<i>Less: 5% discount</i>			<u>90</u>
Total	5		1,710
Manager For Crescent Shoe Co.			Goods once sold cannot be taken back.

13.2 Invoice

Invoice is another source document. This is prepared by the seller to inform the purchaser about the quantity supplied, rates and payment terms, trade discount, incidental charges and the total amount payable by him. It is also known as "Sales Invoice" or "Outward Invoice." Similarly, when a trader purchases goods on credit it is called a "Purchase Invoice" or "Inward Invoice."

Entries in the Sales Book are recorded on the basis of sales invoices, and entries in the Purchase Book are recorded on the basis of purchase invoices received.

Invoice sent means Invoice is sent by the seller to the purchaser when goods are supplied by the seller. Specimen of an invoice is depicted below.

INVOICE Ganesh Electronics 1087, Luz Church Road, Chennai			
No: 1008			Date: _____
To	Term 5% 30 days		
<i>Quantity</i>	<i>Description</i>	<i>Rate per unit Rs</i>	<i>Amount Rs</i>
6	Micro Ovens	5,000	30,000
2	A.C. (1 tonne capacity)	12,000	24,000
5	Table Top Grinders	4,000	<u>20,000</u>
			74,000
	VAT @ 10%		<u>7,400</u>
			81,400
	Incidental Charges		<u>600</u>
	(Rupees Eighty Two Thousand only)		82,000
E and O.E.		For Ganesh Electronics	
		Partner/Manager	

Explanation

- (i) Term 5% 30 days means if the amount stated in the invoice is paid within 30 days, the purchaser will be entitled to a cash discount of 5% of the amount paid.
- (ii) E and O.E. means if there is an overcharge or undercharge in the invoice due to any error or omissions, it is excepted. (Errors and Omissions Expected).

13.2.1 Trade Discount and Cash Discount

At this stage we have to understand two more concepts – Cash Discount and Trade Discount.

Cash Discount: It is a reduction offered by the supplier from the invoice price in consideration of immediate payment or payment within a stipulated period.

Example: Take the case shown in the specimen invoice.

Term 5% 30 days. The buyer gets 5% discount if he settles the amount within 30 days. The cash discount is calculated (if the buyer pays the full payment) as:

Amount payable as per invoice	=	Rs 82,000
Less: Cash Discount @ 5%	=	<u>Rs 4,100</u>
Buyer can pay, after cash discount	=	<u>Rs 77,900</u>

Trade Discount: It is a reduction in payment offered by a supplier from the list of price of goods or services on business considerations other than prompt payment.

Example: Take the same case shown in the specimen invoice. Take the item table top grinders. If 5 table top grinders are sold at the list price of Rs 4,000, subject to trade discount 10%.

Then

5 table top grinders @ Rs 4,000	=	Rs 20,000
Less: Trade Discount @ 10%	=	<u>Rs 2,000</u>
Buyer can pay, after trade discount	=	<u>Rs 18,000</u>

13.2.2 Distinction between Trade Discount and Cash Discount

Basis of Distinction	Trade Discount	Cash Discount
1. Reduction	It is a reduction from the LIST PRICE of goods and services.	It is a reduction from the INVOICE PRICE.
2. Main objective	Its main objective is to promote sale.	Its main objective is to encourage prompt payment.
3. Disclosure	It is shown in the invoice itself	It is not shown in the invoice.
4. Time limit	It is granted on the date of purchase.	It is granted on immediate payment or within a stipulated period.
5. Ledger posting	Trade account finds no place in the ledger accounts. So, no posting in ledger arises	Cash discount is shown in the ledger and its posting in the ledger accounts also essential.

13.3 Receipt

In business transaction, when a trader receives cash from a customer, he issues a receipt. It contains the date, the name of the customer and the amount. Similarly, when the customer makes any payment, a receipt is obtained from the party to whom we make payment.

Specimen

Receipt Golden Pharmaceuticals 28, 3 rd Main Road, Chennai-70	
No: 1995	Date: _____
Received with thanks, a sum of Rs 40,000 (Rupees Forty thousand only) from Sri Krishna Medical Stores towards the supply of medicines as per the list enclosed.	
Cheque No.	
Dated:	
State Bank of India, Trichy	Signature with Seal

13.4 Debit Note

A debit note is prepared by the purchaser. A debit note contains the date of goods returned, name of the seller (supplier), details of the goods returned and reasons for returning the goods. On the basis of debit note, the supplier's account is debited in the books.

Specimen

Debit Note			
No:			Date: _____
DILKUSH ELECTRONICS			
G.K. New Delhi			
Name and address of the supplier: Alpha Electronics Ltd.,			
Sector 17, Faridabad			
Term: 2% 30 days			
<i>Date</i>	<i>Particulars</i>	<i>Rs</i>	<i>Rs</i>
	2 Washing Machines purchased under your invoice no. 1569 dated,, now returned, as the machines were not in working conditions @ Rs 5,000 per washing machine. <i>Add: Package</i>	10,000 200	10,200
Total			10,200
E and O.E.			Manager

13.5 Credit Note

A credit note is prepared by the seller. It contains the date on which goods are returned, name of the customer, details of the goods received back, amount of the goods and reasons for returning the goods. Each such credit note is numbered serially. On the basis of credit note, the customer's account is credited in the books.

Specimen

No:				Date: _____
GENERAL MOTORS				
1079/C Sector 78, Ludhiana				
Name and Address of customer: Ganesh Agencies				
207, Bazaar Street, Trichy-20				
Terms: 5% 45 days				
<i>Date</i>	<i>Particulars</i>	<i>Rs</i>	<i>Rs</i>	
	1 H.P. electric motor – one @ Rs 3,000	3,000		
	3 H.P. electric motor – one @ Rs 7,000 (Returned due to manufacturing defect) (Rupees Ten Thousand only)	<u>7,000</u>	10,000	
Total			10,000	
E and O.E.			Manager	

13.6 Voucher

A voucher is a written document in support of a business transaction. It is prepared by the accountant of the business organisation. Each voucher is countersigned by an authorised person of the organisation. The vouchers are to be maintained properly so that the auditors may have an easy access to vouch them. They are the documentary evidences for any business transaction.

Specimen

VOUCHER

No.

Date:

Rs

Pay to

Rs (in words)

being

and debit

Authorised by/.....

Received the above sum of Rs

Sign of the receiver

Payment by: Cash/Cheque

Cheque drawn on—Bank

Date:

13.7 Pay-in-slip

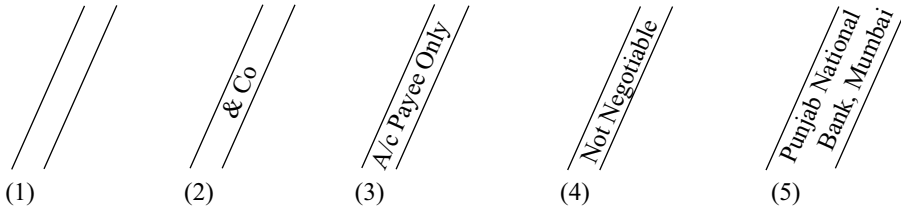
Now-a-days, business transactions, almost all receipts and payments are affected through bank. For depositing cash or cheque in the bank account, a particular “form” has to be filled, which is known as “pay-in-slip.” This source document contains details regarding date, name and account number, amount deposited (cash/cheque). It contains a counterfoil, which is returned to the customer (depositor) duly signed and sealed by the bank official.

13.8 Cheque

A cheque is a (source) document, for using to withdraw money from the bank. It is issued in blank forms by the bank to the account holder. The depositor writes the name of the party (after the words “Pay” printed) to whom payment is to be made. At the end of the Pay line, the word “or Bearer” is printed, which means payment is to be made to the person whose name was written or the bearer of that particular cheque. It is payable on demand to that person or the bearer of the cheque. In case, if the words “or bearer” is struck off, payment has to be made only to the person whose name was written in that line written after the words “Pay.”

Cheques are crossed. If it is crossed the payment for such cheques can be made only through (the accounts of such person in whose name the cheque stands for) the bank and cannot be encashed straight across the counter. What is “cross”? If two parallel lines are drawn on the corner of the cheque (left side – top corner),

it is said to be crossed. This is being done to ensure safety to payments. There are different ways of crossing a cheque as shown below:



Only a bearer cheque can be passed on mere delivery. If it is crossed as A/c Payee, it can be deposited only in the account of the person whose name appears on the cheque. The last type of crossing (5), by writing the name of the bank, is rare in practice, which means such cheques can be encashed only through the bank written. An order cheque may be transferred by endorsement and delivery. Endorsement means mere writing of instructions to pay the cheque to a particular person and signing on the back side of the cheque. Crossing the cheques ensures safety to payments.

Besides these, the most important source documents are Bills Receivable – discussed in the appropriate place in this book.

OBJECTIVE 14: RECORDING OF TRADE DISCOUNT AND CASH DISCOUNT

Illustration: 6 Journalise the following transactions:

Feb 1, 2009	Bought goods for Rs 1,00,000.
Feb 2, 2009	Bought goods from Banerjee for Rs 30,000.
Feb 5, 2009	Bought goods from Lal for Rs 25,000 against a current dated cheque.
Feb 10, 2009	Purchased goods from Khan of the list price of Rs 50,000, at a trade discount of 12%.
Feb 12, 2009	Purchased goods of the list price of Rs 2,00,000 from Chopra less 5% trade discount and 5% cash discount and paid 50% by cheque.
Feb 15, 2009	Rejected and returned 5% of goods supplied by Banerjee.
Feb 16, 2009	Rejected and returned 10% of goods bought from Khan.

Solution

Transactions relate to Purchases (Cash and Credit), Purchase Returns, Trade Discount and Cash Discount.

Transactions are directly entered in the Journal (at this stage, it is hoped that the students may have thorough knowledge on analysing transactions) and for important transactions, explanations are provided under the head “Note,” after passing entries.

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
Feb 1, 2009	Purchases A/C To Cash A/C (Goods bought for cash)	Dr.	1,00,000	1,00,000
Feb 2, 2009	Purchases A/C To Banerjee A/C (Goods bought against cheque)	Dr. Dr.	30,000	30,000
Feb 5, 2009	Purchases A/C To Bank A/C (Goods bought against cheque)	Dr.	25,000	25,000
Feb 10, 2009 (*1)	Purchases A/c To Khan A/c (Goods purchased from Khan @12% trade discount)		44,000	44,000

(Continued)

(Continued)

Date	Particulars	L.F.	Debit Rs	Credit Rs
Feb 12, 2009 (*2)	Purchases A/c Dr. To Chopra A/c (Goods purchased from Chopra @ at 5% trade discount)		1,90,000	1,90,000
Feb 12, 2009 (*3)	Chopra A/C Dr. To Discount Received A/c To Bank A/C (50% payment made to Chopra by cheque @ 5% cash discount)		95,000	4,750 90,250
Feb 15, 2009	Banerjee A/c Dr. To Purchases Returns A/c (5% of goods returned to Banerjee)		1,500	1,500
Feb 16, 2009	Khan A/c Dr. To Purchases Returns A/C (10% of goods supplied by Khan returned)		4,400	4,400

Notes

(*1) List Price	Rs 50,000
Less 12% trade discount	<u>Rs 6,000</u>
	<u>Rs 44,000</u>
(*2) List Price	Rs 2,00,000
Less 5% trade discount	<u>Rs 10,000</u>
	<u>Rs 1,90,000</u>
(*3) Payment	
(50% of Rs 1,90,000)	Rs 95,000
Less: Cash Discount @5%	<u>Rs 4,750</u>
	<u>Rs 90,250</u>

Important Notes

- As trade discount is shown in the invoice itself, no separate entry is needed.
- For cash discount, it is entered as “Discount Received.”

For goods purchased and purchase returns, the following principles should be remembered always:

- Total value of goods purchased is ALWAYS DEBITED to Purchases Account. If trade discount is allowed, then calculate the trade discount and deduct this from the total value of goods purchased and then enter this amount. (Refer transaction on Feb 10, 2009 in the above illustration.)
- If cash discount is allowed, calculate the cash discount and credit the amount under “Discount Allowed” separately. (Because cash discount in no way after the purchase price). Here customer’s account (otherwise called Debtor’s Account) is to be debited with the total value of purchase. (Refer transaction on Feb 12, 2009 in the above illustration.)
- In case of purchase returns, Purchase Returns Account is to be credited because purchase return is a real account. Goods Go out – What goes out is to be credited. Accordingly total value of goods returned is ALWAYS credited to Purchase Returns Account.

Illustration: 7

Journalise the following transactions:

- 1.3.2009 Sold goods for Rs 1,25,000.
 3.3.2009 Sold goods to Sathyan for Rs 25,000.
 5.3.2009 Sold goods to Kashyap for Rs 20,000 against a cheque.
 7.3.2009 Sold goods to Ajay of the list price of Rs 50,000 at a trade discount of 10%.
 9.3.2009 Sold goods to Vas of the list price of Rs 90,000, less with 10% trade discount and received a cheque under a cash discount of 5%.
 11.3.2009 Sold goods to Dev of list price of Rs 90,000, less with 10% trade discount and 5% cash discount and paid 50% by cheque.
 13.3.2009 Sold goods to Gopi costing Rs 1,00,000 for cash at a profit of 25% on cost less 10% trade discount and charged VAT @ 12% and paid package charge Rs 1000 (not to be charged from customer).
 15.3.2009 Sold goods costing Rs 1,00,000 to Ram at a profit of 20% on sales, less 10% trade discount and charged VAT @ 12% and paid cartage Rs 1000 (to be charged from customer).
 17.3.2009 Sathyan rejected and returned 5% of goods.
 19.3.2009 Ajay rejected and returned 10% of goods.

Solution**Journal**

Date	Particulars	L.F.	Debit Rs	Credit Rs
1.3.2009	Cash A/c Dr. To Sales A/c (Goods sold for cash)		1,25,000	1,25,000
3.3.2009	Sathyan A/c Dr. To Sales A/c (Goods sold to Sathyan)		25,000	25,000
5.3.2009	Bank A/c Dr. To Sales A/c (Goods sold against cheque)		20,000	20,000
7.3.2009 (*1)	Ajay A/c Dr. To Sales A/c (Goods sold at a trade discount of 10%)		45,000	45,000
9.3.2009 (*2)	Bank A/c Dr. Discount Allowed A/c Dr. To Sales A/c (Goods sold against cheque on trade and cash discount)		76,950 4,050	81,000
11.3.2009 (*3)	Dev A/c Dr. To Sales A/c (Goods sold to Dev at a trade discount of 10%)		81,000	81,000
11.3.2009 (*4)	Bank A/c Dr. Discount Allowed A/c Dr. To Dev A/c (50% payment made by cheque under cash discount of 5%)		38,475 2,025	40,500

(Continued)

(Continued)

Date	Particulars	L.F.	Debit Rs	Credit Rs
13.3.2009(*5)	Cash A/c Dr. To Sales A/c To VAT A/c (Goods sold for cash)		1,26,000	1,12,500 13,500
13.3.2009	Packing Charges A/c (Miscellaneous) Dr. To cash A/c (Package charges paid)		1,000	1,000
15.3.2009(*6)	Ram A/c Dr. To Sales A/c To VAT A/c (Goods sold on credit)		1,27,000	1,13,500 13,500
15.3.2009	Cartage Outward A/c Dr. To Cash A/c (Cartage paid)		1,000	1,000
17.3.2009	Sales Returns A/c Dr. To Sathyan A/C (5% of goods returned by Sathyan) (5% of Rs 25,000)		1,250	1,250
19.3.2009	Sales Returns A/c Dr. To Ajay A/c (10% of goods returned by Ajay) (10% of Rs 45,000)		4,500	4,500

Notes

	Rs	
(*1) List Price	50,000	
Less: Trade discount @10%	<u>5,000</u>	
	45,000	
(*2) List Price	90,000	
Less: Trade discount @10%	<u>9,000</u>	
Invoice price	<u>81,000</u>	
Less: Cash discount @5%	<u>4,050</u>	
	76,950	
(*3) and (*4) List Price	90,000	
Less: Trade discount @10%	<u>9,000</u>	
Invoice price	<u>81,000</u>	(*3)
50 % of Rs 81,000 (Cheque payment)	40,500	
Less: Cash discount @5%	<u>2,025</u>	
	38,475	(*4)
(*5) Cost Price	1,00,000	
Add: 25% on cost	<u>25,000</u>	[20% on sale = 25% on cost]
List Price	<u>1,25,000</u>	

Less: Trade	
Discount @10%	<u>12,500</u>
Invoice Price	<u>1,12,500</u>
Add: VAT @12%	<u>13,500</u>
Total Invoice Price	<u>1,26,000</u>
(*6) Invoice Price	1,12,500
Add: Cartage	<u>1,000</u>
Sales	<u>1,13,500</u>

VAT @12% on Rs 1,12,500 = Rs 13,500

Important Notes

1. Total value of goods sold is ALWAYS TO BE CREDITED.
2. Trade discount is always calculated at invoice price.
3. Trade discount is NEVER recorded in the books of account.
4. Goods are sold to customers on cash discount is allowed to customers (Debtors). Discount is allowed to customers for early payment. It is a loss to the seller. So it is debited here. But the account of customer (Debtor) has to be credited with full amount (including cash discount).
5. Profit of 25% on Cost = Profit of 20% on Sales. As such, the list price is to be calculated @ 25% on cost for both the transactions on 13.3.2009 and 15.3.2009.
6. Expenses not to be charged from customers, will not be included in the total invoice price. If it is to be charged from customer, then such expenses form part of invoice price.
7. "Sales Returns" Account is to be debited because "what comes in" has to be debited for real accounts. Accordingly, total value (invoice price) of goods returned is ALWAYS DEBITED TO SALES Returns Account.

Illustration: 8

- Apr 1, 2009: Bought goods worth Rs 6,000 from Gopal and sold the same to Thomas for Rs 7,500.
- Apr 3, 2009: Paid salaries to staff Rs 5,000 and recovered from travelling salesman Rs 1,000 for goods supplied to him after deducting his travelling expenses Rs 175.
- Apr 5, 2009: Goods destroyed by fire (Sale price Rs 4,000, Cost Rs 3,200).
- Apr 6, 2009: Goods worth Rs 1,20,000 are insured against loss by fire. The policy is for Rs 1,00,000. Actual loss caused by fire is Rs 72,000. The insurance company admits the claim and pays proportionately.

Solution

Date	Particulars	L.F.	Debit Rs	Credit Rs
2009 Apr 1	Purchases A/C Dr. To Sales A/c (Goods worth Rs 6,000 purchased from Gopal)		6,000	6,000
Apr 1	Thomas A/c Dr. To Sales A/c (Goods Sold to Thomas)		7,500	7,500
Apr 3	Salaries A/c Dr. To Cash A/c (Salaries paid to the staff)		5,000	5,000

(Continued)

(Continued)

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Debit Rs</i>	<i>Credit Rs</i>
Apr 3	Cash A/c Dr. Travelling Expenses A/c Dr. To Sales A/c (Cash from salesman for goods sold and T. A. Expenses)		1,000 175	1,175
Apr 5	Loss Due to Fire A/c Dr. To Purchases A/c (Goods costing Rs 3,200 destroyed by fire)		3,200	3,200
Apr 6	Cash A/c Dr. Profit and Loss A/c Dr. To Purchases A/c (Amount received from insurance company and claim not admitted transferred to Profit and Loss A/c)		60,000 12,000	72,000

Notes

- (1) For transaction on April, two separate entries are needed because one relating to Gopal's "Purchase" and the other relating to Thomas's "Sales."
- (2) In practise, goods supplied to travelling salesman for sale is noted in a separate book. No accounting entry is recorded. When he sells the goods, only for that entry is made. Here travelling expenses have to be borne by the seller, hence it is shown separately but forms part of the sales account.
- (3) Actual loss caused by fire is Rs 72,000 – Goods value is Rs 1,20,000. The insurance company pays proportionately. Hence, 1/6th of the claim not admitted. That amount (1/6 of Rs 72,000) is transferred to Profit and Loss Account.

$$\text{(i.e.) Proportionate amount} = \frac{\text{Rs } 72,000}{\text{Rs } 1,20,000} \times \text{Rs } 1,00,00$$

$$= \text{Rs } 60,000: \text{Cash A/c}$$

$$(\text{Rs } 72,000 - 60,000 = 12,000: \text{P and L A/c})$$

Illustration: 9

Feb 15, 2009 Goods costing Rs 1,000 supplied as charity (Sale price Rs 1250)

Feb 16, 2009 Goods costing Rs 2,000 distributed as free samples (Sale price Rs 2,500)

Feb 17, 2009 Goods stolen in transit costing Rs 500 (Sale price Rs 750)

Feb 18, 2009 Goods stolen by storekeeper costing Rs 2,200

Feb 19, 2009 Goods used in making of furniture costing Rs 1,000 (Sale price Rs 2,500)

Solution**Journal**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Debit Rs</i>	<i>Credit Rs</i>
Feb 15, 2009	Charity A/c Dr. To Purchases A/c (Goods distributed as charity)		1,000	1,000
Feb 16, 2009	Advertisement A/c Dr. To Purchases A/c (Goods costing Rs 2,000 distributed as free samples)		2,000	2,000

Date	Particulars	L.F.	Debit Rs	Credit Rs
Feb 17, 2009	Loss in Transit A/c Dr. To Purchases A/c (Goods costing Rs 500 were stolen in transit)		500	500
Feb 18, 2009	Loss by Theft A/c Dr. To Purchases A/c (Goods costing Rs 2,200 stolen by storekeeper)		2,200	2,200
Feb 19, 2009	Furniture A/c Dr. To Purchases A/c (Goods costing Rs 1,000 used in making furniture)		1,000	1,000

Notes

1. If both sale price and cost price are given, always ignore sale price. Amount relating to cost alone has to be recorded.
2. All the transactions shown in this illustration relate to selling activity. Due to the cause mentioned, purchase account is credited (goods moved out of the business).
3. Any loss incurs, it is a loss to business and as such it has to be debited.
4. In making furniture, amount spent related to furniture.
5. Charity is a business expense. It is a nominal account. All expenses are to be debited.

Illustration: 10

Journalise the following transactions:

- Jan 1, 2009: Cash-in-hand: Rs 20,000; Machinery Rs 40,000; Furniture Rs 3,000; Land and Building Rs 1,75,000; Bills Receivable Rs 10,000; Bills Payable Rs 7,500; Lal – Rs 10,000 (Debtor); Chand – Rs 7,000 (Debtor); Krish – Rs 8,000 (Creditor).
- Jan 3, 2009: Bought a buffalo for Rs 20,000 and a wooden cart for Rs 20,000 for supply of goods to remote rural customers.
- Jan 5, 2009: A customer's cheque for Rs 10,000 returned dishonoured for insufficient funds in his accounts. The customer had availed cash discount of Rs 500.
- Jan 30, 2009: The buffalo bought was dead. Its carcass was sold for Rs 800.

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
Jan 1, 2009	Cash-in-hand A/c Dr. Machinery A/c Dr. Furniture A/c Dr. Land and building A/c Dr. Lal's A/c Dr. Chand's A/c Dr. Bills receivable A/c Dr. To Krish's A/c To Bills payable A/c (*1) To Capital A/c (Previous year's balances incorporated in the books at the beginning of the year)		20,000 40,000 3,000 1,75,000 10,000 7,000 10,000	8,000 7,500 2,49,500

(Continued)

(Continued)

Date	Particulars	L.F.	Debit Rs	Credit Rs
Jan 3(*2)	Livestock A/c Dr. Wooden cart A/c Dr. To Cash A/c (Purchase of buffalo and wooden cart)		20,000 20,000	40,000
Jan 5(*3)	Customer's (Debtor's) account Dr. To Bank A/c To Discount allowed A/c (Customer's cheque dishonours)		10,500	10,000 500
Jan 30(*4)	Cash A/c Dr. Profit and Loss A/c Dr. To Livestock A/c (Loss on death transferred to Profit and Loss, sale of carcass)		800 19,200	20,000

Notes

- (*1) It is opening entry to record the balances of previous accounting period.
Capital is not given
Capital = Assets – Liabilities
= (Rs 2,65,000 – Rs 15,500) = Rs 2,49,500
- (*2) All animals are classified under livestock. It is treated as Fixed Assets.
Wooden cart is also fixed asset.
- (*3) The customer's cheque is dishonoured. Its original entry is restored.
Cash discount, which would have been allowed earlier is cancelled.
- (*4) Death of an animal is a loss. That loss is transferred to Profit and Loss Account.
Sale of carcass is treated as sale and that amount is debited.

Illustration: 11

Journalise the following transactions:

- Apr 1, 2009 Capital Rs 2,00,000; Debtors – Rs 20,000; Cash-in-hand – Rs 5,000; Cash at Bank – Stock Rs 7,000; Creditors Rs 25,000; Rs 15,000; Machinery Rs 1,50,000; Furniture and Fixtures – Rs 25,000.
- Apr 2, 2009 Received Rs 1,500 from Mohamed in full settlement of his account Rs 2,000.
- Apr 3, 2009 Received Rs 1,500 from Xavier on his account for Rs 2,000.
- Apr 4, 2009 Paid Rs 1,400 to Guru in full settlement of his account for Rs 1500.
- Apr 5, 2009 Paid Rs 1,400 to Veer Singh on his account for Rs 1,500.
- Apr 6, 2009 Received a first and final dividend of 70 paise in the rupee from the official receiver of Mr. Rao who owed Rs 3,000.
- Apr 7, 2009 Wages paid Rs 1000 for erection of plant.

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
2009 Apr 1	Cash-in-hand A/c Dr. Cash at Bank A/c Dr. Stock A/c Dr. Furniture and Fixtures A/c Dr.		5,000 15,000 7,000 25,000	

Date	Particulars	L.F.	Debit Rs	Credit Rs
2009 Apr 1	Sundry Debtors A/c Dr. Machinery A/c Dr. *Goodwill A/c Dr. To Sundry Creditors A/c To Capital A/c (Assets and Liabilities brought to new year – Difference between Assets and Liabilities: Rs 3000 debited to Goodwill)		20,000 1,50,000 3,000	25,000 2,00,000
Apr 2	Cash A/c Dr. Discount Allowed A/c Dr. To Mohammed A/c (Cash received after discount from Mohammed)		1,500 500	2,000
Apr 3	Cash A/c Dr. To Xavier A/c (Cash received from Xavier on account)		1,500	1,500
Apr 4	Guru A/c Dr. To Cash A/c To Discount Allowed A/c (Cash paid to Guru after receiving discount)		1,500	1,400 100
Apr 5	Veer Singh A/c Dr. To Cash A/c (Cash paid to Veer Singh on account)		1,400	1,400
Apr 6	Cash A/c Dr. Bad Debts A/c Dr. To Rao A/c (70 paise in a rupee received from Mr. Rao)		2,100 900	3,000
Apr 7	Plant A/c Dr. To Cash A/c (Wages paid to erection of a plant)		1,000	1,000

Note

(1) In transaction on Apr 1, 2009, the opening entry was made to record the balances of assets and liabilities of the last year. In this case the difference between the total of assets and the total of liabilities is treated as goodwill and the same has been debited to its account.

$$\begin{aligned}
 \text{Goodwill} &= \text{All liabilities} + \text{Capital} - \text{All assets} \\
 &= (\text{Rs } 25,000 + \text{Rs } 2,00,000 - \text{Rs } 2,22,000) \\
 &= \text{Rs } 3,000
 \end{aligned}$$

- Apr 2 Difference is treated as discount allowed and it is debited as Rs (2000 – 1500) 500.
- Apr 3 This transaction shows that the amount was received on his account. In such a case, discount allowed is not shown separately and the actual amount received alone, that is, Rs 1,500 is debited.
- Apr 4 and 5 Same principle for the above two transactions are followed. Here cash is paid, as such Cash A/c is credited.
- Apr 6 Mr. Rao is an insolvent. He is not in a position to pay the entire amount of his debt. Only 70 paise in a rupee is received, that is, Out of Rs 3,000 – Rs 2,100 was only received. Remaining Rs 900 is a loss. It should be noted and differentiated from the discount allowed illustrated in the above transactions. It is not a concession. It is a loss like Bad Debts.

Bad Debt – Nominal Account – Loss – All losses have to be debited.

Apr 7 Wages paid to erect a plant forms part of the cost of the plant. As plant purchased are of capital nature, they are not entered straight in the Journal. In practise, two entries have to be made for such transactions as:

- (i) Wages A/c Dr. 1,000
 To Cash A/c 1,000
 (Wages paid for erection of plant)
- (ii) Plant A/c Dr. 1,000
 To Wages A/c 1,000
 (Payment of wages transferred to Plant A/c)

Illustration: 12

Journalise the following transactions:

- Apr 10, 2009 Purchased 200 shares of VRV Ltd @ Rs 90 per share (Face value Rs 100 per share); brokerage paid 2%.
- Apr 17, 2009 Sold 100 shares of VRV Ltd @ Rs 95 per share brokerage paid Rs 190.
- Apr 20, 2009 Sold personal scooter for Rs 25,000 and bought a new car for business plus Rs 1,80,000 from office cash.
- Apr 25, 2009 Damaged goods worth Rs 3,000 are sold for Rs 1,000.
- Apr 27, 2009 Exchanged old Matador van for a new Piageo tempo carrier. The old van was valued at Rs 35,000. The price of new tempo is Rs 2,70,000. The balance was paid in cash.

Solution

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
2009 Apr 10	Investments in shares of VRV Ltd Dr. To Cash A/c (Purchase of 200 shares @ Rs 90 + Brokerage @ 2% on this)		18,360	18,360
Apr 17	Cash A/c Dr. To Investment in Shares of VRV Ltd A/c (Sale of 100 shares @ Rs 95 per share less brokerage Rs 190)		9,310	9,310
Apr 20	Car A/c Dr. To Capital A/c To Cash A/c (Sale of personal scooter and purchase of new car for office use plus the balance from office cash)		2,05,000	25,000 1,80,000
Apr 25	Cash A/c Dr. To Sales A/c (Damaged goods sold for a loss of Rs 2,000)		1,000	1,000
Apr 27	Piageo Tempo Carrier A/c Dr. To Old Matador Van A/c To Cash A/c (New Tempo purchased in exchange of old Matador van and the balance paid in cash)		2,70,000	35,000 2,35,000

OBJECTIVE 15: ACCOUNTING EQUATION APPROACH – MEANING AND CLASSIFICATION OF ACCOUNTS

This is another approach for recording a business transaction. This approach is also called as the American Approach. Under this method transactions are recorded on the basis of accounting equation:

$$\text{Assets} = \text{Liabilities} + \text{Capital}$$

15.1 Meaning of Accounting Equation

Accounting equation is based on dual (debit and credit) aspect concept. Though the Americans make use of double entry system, the procedure of recording the business transaction in the general journal is different.

15.2 Classifications of Accounts

Accordingly, accounts are classified into five categories.

1. Assets Account
2. Liabilities Account
3. Capital Account
4. Account of Expenses and Loss items
5. Account of Income and Gain items or Revenue Account

Illustration: 13

Classify the following accounts as per accounting equation approach:

- | | | |
|--------------------------|------------------------|----------------------|
| 1. Capital brought in | 2. Land purchased | 3. Purchases |
| 4. Sales | 5. Cash paid | 6. Cash received |
| 7. Subscription received | 8. Furniture purchased | 9. Sales returns |
| 10. Purchase returns | 11. Bank A/c | 12. Wages paid |
| 13. Bank overdraft | 14. Outstanding salary | 15. Interest accrued |

Solution

- | | | |
|---------------------|---------------------|------------------|
| 1. Capital A/c | 2. Assets A/c | 3. Expenses A/c |
| 4. Revenue A/c | 5. Assets A/c | 6. Assets A/c |
| 7. Revenue A/c | 8. Assets A/c | 9. Revenue A/c |
| 10. Expenses A/c | 11. Assets A/c | 12. Expenses A/c |
| 13. Liabilities A/c | 14. Liabilities A/c | 15. Assets A/c |

OBJECTIVE 16: RULES OF DEBIT AND CREDIT AS PER ACCOUNTING EQUATION APPROACH

Category of Accounts	Debit the	Credit the
1. Assets Accounts	Increase	Decrease
2. Liabilities Accounts (Creditors Equities)	Decrease	Increase
3. Capital Accounts (Owner's Equities)	Decrease	Increase
4. Incomes and Gain A/c (Revenue Account)	Decrease	Increase
5. Expenses and Losses	Increase	Decrease

Illustration: 14

Apply the Rules of Debit and Credit for each of the accounts as given in Illustration 13 under modern approach.

Solution

1. Capital brought in
 Category : Capital Accounts
 Rule : Debit the decrease and Credit the increase
2. Land purchased :
 Category : Assets Accounts
 Rule : Debit the increase and Credit the decrease
3. Purchases A/c
 Category : Expenses Accounts
 Rule : Debit the increase and Credit the decrease
4. Sales A/c
 Category : Revenue Accounts or Income and Gains A/c
 Rule : Debit the decrease and Credit the increase
5. Cash paid
 Category : Assets Accounts
 Rule : Debit the increase and Credit the decrease

Transactions 6 to 15 are shown in the tabular form as follows:

Transaction	Category of Account	Rules of Debit and Credit
6. Cash received	Assets Account	Debit the increase and Credit the decrease.
7. Subscription received	Revenue Account or Income and Gains Account	Debit the decrease and Credit the increase.
8. Furniture purchased	Assets Account	Debit the increase and Credit the decrease.
9. Sales returns	Revenue Account or Income and Gains Account	Debit the decrease and Credit the increase.
10. Purchase returns	Expenses Account	Debit the increase and Credit the decrease.
11. Bank A/c	Assets Accounts	Debit the increase and Credit the decrease.
12. Wages	Expenses Account	Debit the increase and Credit the decrease.
13. Bank overdraft	Liabilities Account	Debit the decrease and Credit the increase.
14. Outstanding salary	Liabilities Account	Debit the decrease and Credit the increase.
15. Interest accrued	Assets Account	Debit the increase and Credit the decrease.

Important Note

Journal entry is same for both approaches.

Following conventional rules relating to Personal, Real and Nominal Accounts
(OR)

Following modern (American) approach relating to Assets, Liabilities, Capital Expenses and Losses and Income and Gains Accounts (in terms of increase or decrease) the Net Result – the journal entry is the SAME.

Accounting equation is based on dual aspect (Debit and Credit) concept. Every business transaction has a two-fold fact – on the assets and claims on the assets. The net effect will be that these aspects, that is, the assets and the total claims are always equal. The claims may arise from the proprietors or from outsiders (creditors). The claims are also known as (i) Owner's equity (Capital) (ii) Outsider's equity (Liability). From such a concept, the equation is originated.

16.1 Accounting Equation Reaming and Features

$$\begin{aligned}\text{Assets} &= \text{Equities} \\ \text{Assets} &= \text{Owner's Equity} + \text{Outsider's Equity} \\ \text{Assets} &= \text{Capital (owners)} + \text{Liabilities (creditors)}\end{aligned}$$

This equation forms the basis in this procedure, for analysing business transactions.

OBJECTIVE 17: ANALYSIS OF BUSINESS TRANSACTIONS APPLYING ACCOUNTING EQUATION TECHNIQUE

Illustration: 15: Transaction – 1

Raj started his business Raj and Co. with Rs 50,000 from his own funds.

Solution

The business unit Raj and Co. received assets in terms of cash, that is, Rs 50,000. Result capital increase to the same extent of Rs 50,000. Now, the claims against the enterprise (here owner's claim) is also Rs 50,000 in the form of capital. The transaction is expressed in terms of accounting equation as:

Assets	=	Capital	+	Liabilities
↓		↓		
Cash		Capital	+	0
Rs 50,000	=	Rs 50,000	+	0

Note: There is always an equality between Assets (resources) and Liabilities + Capital (sources).

Transaction 2

Raj purchased machinery and accessories for Rs 10,000.

Solution

In this transaction, cash is reduced by Rs 10,000, but at the same time increases the other asset machinery with the same amount, leaving the total of the assets of the business unchanged. To put in other words, this transaction changes the composition of the assets but not change the total value. As a result, the accounting equation will be:

	Assets	=	Capital + Liabilities
As per Transaction 1	Rs 50,000	=	50,000 + 0
This Transaction 2	Cash + Machinery	=	Capital + Liabilities
	– (10,000) + 10,000	=	0 + 0
New Equation			
Add 1 and 2	40,000 + 10,000	=	50,000 + 0

Transaction 3

He purchased goods for cash Rs 5,000.

Solution

This is cash purchase. As such, cash balance will be reduced by Rs 5,000 and increased by the same amount in the form of goods or stock (Asset). The total value of assets will remain unchanged.

	Assets	=	Capital + Liabilities
	Cash + Machinery + Goods	=	Capital + Liabilities
	(Stock)		
As per Transaction 1 and 2	40,000 + 10,000 +	=	50,000 + 0
This Transaction 3	- 5,000 + 0 + 5,000	=	50,000 + 0
New Equation			
Add 1 and 2 with 3	35,000 + 10,000 + 5,000	=	50,000 + 0

Transaction 4

He purchased goods on credit Rs 10,000.

Solution

This transaction is based on credit. This will create a new liability in the form of creditors.

Effect will be, increased in liability and assets by Rs 10,000.

Apply the Accounting Equation:

	Assets	=	Capital + Liabilities
	Cash + Stock + Machinery	=	Capital + Creditors
(Now a new item – creditors appear in the place of liabilities)			
	Cash + Stock + Machinery	=	Capital + Creditors
As per Transactions 1 to 3	35,000 + 5,000 + 10,000	=	50,000 + 0
Present Transaction 4	0 + 10,000 + 0	=	0 + 10,000
New Equation			
Add 1–3 and 4	35,000 + 15,000 + 10,000	=	50,000 + 10,000

Transaction 5

Rent paid Rs 2,000.

Solution

Rent is paid by cash.

It is an expense.

Reduces cash (Asset) and decreases value of capital.

Reduces the Asset and Capital.

Equation

	Assets	=	Capital + Liabilities
	Cash + Stock + Machinery	=	Capital + Creditors
As per Transactions 1 to 4	35,000 + 15,000 + 10,000	=	50,000 + 10,000
This Transaction 5	-2,000 + 0 + 0	=	-2,000 + 10,000
New Equation			
Add 1 to 4 and 5	33,000 + 15,000 + 10,000	=	48,000 + 10,000

Transaction 6

Raj sold goods costing Rs 10,000 for Rs 12,000.

Solution

Cash is increased by Rs 12,000.

Goods (stock) is reduced by Rs 10,000.

Capital is increased by gain of (12,000 – 10,000): Rs 2000.

Equation

	Assets	=	Capital + Liabilities
	Cash + Stock + Machinery	=	Capital + Creditors
As per Transactions 1 to 5	33,000 + 15,000 + 10,000	=	48,000 + 10,000
This Transaction 6	12,000 + (–10,000) + 0	=	+2,000 + 0
New Equation			
Add 1 to 5 and 6	45,000 + 5,000 + 10,000	=	50,000 + 10,000

Transaction 7

Goods costing Rs 3,000 was sold on credit for Rs 8,000.

Solution

This transaction was based on credit basis.

This gives rise to new asset in the form of debtors.

The stock of goods is reduced.

The net increase (Rs 8,000 – Rs 3,000) is of revenue to be added to the capital.

Equation

	Assets	=	Capital + Liabilities
	Cash + Stock + Machinery + Debtors	=	Capital + Creditors
As per Transactions 1 to 6	45,000 + 5,000 + 10,000	=	+50,000 + 10,000
As per this Transaction 7	0 + (–3,000) + 0 + 8,000	=	+5,000 + 0
New equation			
Add 1 to 6 and 7	45,000 + 2,000 + 10,000 + 8,000	=	55,000 + 10,000

Transaction 8

Raj withdraws Rs 2,000 cash for his personal use.

Solution

Drawings is not a business expense.

But withdrawal will decrease the cash balance.

Also it decreases the value of capital.

Equation

	Assets	=	Capital + Liabilities
	Cash + Stock + Machinery + Debtors	=	Capital + Creditors
As per Transactions 1 to 7	45,000 + 2,000 + 10,000 + 8,000	=	55,000 + 10,000
As per Transactions 8	(–2000) + 0 + 0 + 0	=	(–2,000) + 0
New Equation			
Add 1 to 7 and 8	43,000 + 2,000 + 10,000 + 8,000	=	53,000 + 10,000

Transaction 9

Machinery was to be depreciated by Rs 1,000.

Solution

The decrease in the usefulness of an asset is a business expense.

Due to this there will be a decrease in asset as well as capital.

Equation

	Assets	=	Capital + Liabilities
	Cash + Stock + Machinery + Debtors	=	Capital + Creditors
As per Transactions 1 to 8	43,000 + 2,000 + 10,000 + 8,000	=	53,000 + 10,000
As per this Transaction 9	0 + 0 (-1,000) + 0	=	(-10,000) + 0

New Equation

Add 1 to 8 and 9	43,000 + 2,000 + 9,000 + 8,000	=	52,000 + 10,000
------------------	--------------------------------	---	-----------------

The above transactions may be presented in the following table:

No.	Transactions	Assets				Capital + Liabilities	
		Rs	Rs	Rs	Rs		
1.	Raj started business with Rs 5,000 cash	Cash + 50,000	+ Stock 0	+ Machinery 0	+ Debtors 0	=	Capital + Creditors 50,000 + 0
2.	Purchased machinery for cash	(-10,000) +	0 +	10,000 +	0 +	=	50,000 + 0
3.	New Equation Purchased goods for cash	40,000 +	0 +	10,000 +	0 +	=	50,000 + 0
		(-5,000) +	5,000 +	0 +	0 +	=	0 + 0
4.	New Equation Purchased goods on credit	35,000 +	5,000 +	10,000 +	0 +	=	50,000 + 0
		0 +	10,000 +	0 +	0 +	=	50,000 + 10,000
5.	New Equation Rent paid Rs 2,000	35,000 +	15,000 +	10,000 +	0 +	=	50,000 + 10,000
		(-2,000) +	0 +	0 +	0 +	=	(-2,000) + 0
6.	New Equation Sold goods costing Rs 10,000 for Rs 12,000	33,000 +	15,000 +	10,000 +	0 +	=	48,000 + 10,000
		12,000 +	(-10,000) +	0 +	0 +	=	+2,000 + 0
7.	New Equation Goods costing Rs 3,000 was sold on credit for Rs 8,000	45,000 +	5,000 +	10,000 +	0 +	=	50,000 + 10,000
		0 +	(-3,000) +	0 +	8,000 +	=	+5,000 + 0
8.	New Equation Withdraws Rs 2,000 for personal use	45,000 +	2,000 +	10,000 +	8,000 +	=	50,000 + 10,000
		(-2,000) +	0 +	0 +	0 +	=	(-2,000) + 0

No.	Transactions	Assets				Capital + Liabilities						
		Rs	Rs	Rs	Rs							
9.	New Equation	43,000	+	2,000	+	10,000	+	8,000	=	53,000	+	10,000
	Machinery was to be depreciated by Rs 1,000	0	+	0		(-1,000)	+	0		(-1,000)	+	0
	New Equation	43,000	+	2,000	+	9,000	+	8,000	=	52,000	+	10,000

S.No.	Transaction	How Accounts Affected (Increase or Decrease in Value of)	
		Assets	Capital and Liabilities
1.	Started business with cash – capital brought in	Cash increases	Capital increases
2.	Machinery purchased	Cash decreases Machinery increases	–
3.	Cash purchases	Cash decreases Stock increases	–
4.	Credit purchase	Stock decreases	Creditors increases
5.	Rent paid	Cash decreases	Capital decreases
6.	Cash sales	Cash increases Stock decreases	Capital increases (Gain in sale)
7.	Credit sales	Stock increases Debtors increase	Capital increases (Gain in sale)
8.	Drawing	Cash decreases	Capital decreases
9.	Depreciation	Machinery decreases	Capital decreases

The last equation in the process of Analysis of Transactions, may also be depicted in the form of a statement called “Balance Sheet” (features of Balance Sheet will be discussed later in this book). It appears as follows:

Notes

- (1) Items comprising assets (as shown in the equation) are written under the column “Assets.”
- (2) Similarly items comprising liabilities (as shown in the equation) are written under the column “Liabilities.”
- (3) The total of Assets and the total of Liabilities will always be equal.

Summary

- Accounting Process: This process starts with recording of business transactions and ends with preparation of final accounts.
- Business Transactions: Transactions between two or more persons resulting in exchange of money or money's worth. Every business transaction has a two-fold fact which affects the parties involved – one party extends benefit and the other party receives the benefit.
- Business transactions are classified into – Cash Transactions – Credit Transactions and – Non-cash Transactions.

- **Account:** It is a summary of relevant business transactions at one place relating to a particular head. Accounts are classified into Personal, Real and Nominal Accounts – Examples.
- **Entry:** Recording of business transactions in an account is referred to as “entry.”
- **Double Entry:** The system which recognises the two-fold aspects for every business transaction is known as Double Entry System.
- **Methods of Recording Business Transactions** – traditional and accounting equation.
- **Traditional Approach: Golden Rules of Debit – Credit:**
 - i. **Personal Accounts:** Debit the receiver and Credit the Give.
 - ii. **Real Accounts:** Debit what comes in and Credit what goes out
 - iii. **Nominal Accounts:** Debit all expenses and losses and Credit all incomes, gains and profits.
- **Journal:** A Journal is a book in which transactions are originally recorded in the chronological order as per the principles of Double Entry System.
- **Journalising:** The process of analysing the business transactions under the heads of debit and credit and recording them in the Book of Journal is called “Journalising.”
- **Process of journalising** involves two stages – Analysing the business transactions and Recording the result of analysis in the book of Journal.
- **Types of Entries** – Simple Entry, Compound Entry and Opening Entry.
- **Source Documents:** These are evidences of business transactions which provide information about the nature of transaction – the date, the amount and the parties involved.
- **Cash Memo, Invoice, Receipt, Debit Note, Credit Note, Pay-in-slip, Cheque and Vouchers** are source documents. Specimen features and method of recording are explained (Refer Main Text).
- **Purchases Returns Account** is to be credited and **Sales Returns Account** is to be debited.
- **Cash Discount:** It is the reduction offered by the supplier from the invoice price for immediate payment or in a stipulated time. It is shown in the invoice and not shown in ledger.
- **Trade Discount:** It is the reduction in payment offered by a supplier from the list price of goods or services on business considerations other than prompt payment. It is not shown in invoice but shown in the ledger accounts.
- **Accounting Equation Approach:** Transactions are to be recorded on the basis of accounting equation:

$$\text{Assets} = \text{Liabilities} + \text{Capital}$$
- As per approach, accounts are classified into five categories: (i) Assets Accounts, (ii) Liabilities Account, (iii) Capital Account, (iv) Accounts of Expenses and Loss items and (v) Accounts of Income and Gain items or Revenue Account.
- **Rules for Debit and Credit as per Accounting Equation basis:**
 - (i) **Assets Account:** Debit the increase and Credit the decrease
 - (ii) **Liabilities Account:** Debit the decrease and Credit the increase
 - (iii) **Capital Account:** Debit the decrease and Credit the increase
 - (iv) **Incomes and Gains:** Debit the decrease and Credit the increase
 - (v) **Expenses and Loss:** Debit the increase and Credit the decrease

Key Terms

Accounting Equation: It is one method of recording business transactions. It lays stress on maintaining equality between (resources) assets and (sources) capital and liabilities. $\text{Assets (resources)} = \text{Liabilities} + \text{Capital (Sources)}$

Business Transaction: It involves the exchange of money and goods or services for money, which can be quantified objectively.

Double Compound Entries: Debiting more than one account and simultaneous crediting of more than one account are termed as Double Compound Entries

Double Entry System: A system of recording of transactions which takes into account both the debit and credit aspects of business transaction.

Journal: A record of business transactions (listed in chronological order) showing for each transaction the details and credits, later to be entered into specific accounts. This is also called “Book of Original Entry,” as transactions are entered first in this record.

Journalising: Recording business transactions in the book of original entry under double entry system is termed as journalising.

Narration: The explanation of the transaction entered in the Particulars column of a Journal (below the amount credited).

Nominal Account: Account of expenses, income, losses and gains.

Opening Entry: The accounts with the balances in the previous year (Real and Personal Accounts) are entered in the new books of account by debiting all assets accounts and crediting all liabilities by entry known as opening entry.

Personal Account: Accounts opened to enter all transactions with persons (natural and artificial).

Real Account: Accounts relating to assets and liabilities. This is also called Property Accounts.

Single Compound Entry: Debiting one account and crediting more than one account (or) debiting more than one account and crediting one account, such compound is made.

A Objective-type Questions

I: Fill in the blanks with suitable word(s)

- There must be at least _____ parties to a transaction.
- One party _____ the benefit and the other party gives such benefit in a business transaction, in exchange for an equivalent value.
- The business transaction involves an exchange or transfer of _____ or _____ relating to goods or services.
- An account is a _____ of business transactions.
- Recording of a business transaction in an account is called _____.
- There are two main types of accounts namely _____ and Impersonal accounts.
- Persons to whom the goods have been sold on credit are called _____.
- Persons who have supplied goods on credit (or) who have advanced loans to the business enterprises are called _____.
- Accounts in the name of natural persons accounts is a _____.
- Accounts of legal entities or (artificial) is _____.
- Accounts of different persons of the same nature but more than one, is referred to as _____.
- Real account consists of both tangible real accounts and _____ accounts.
- Accounts of income and gains, and expenses and losses are known as _____ accounts.
- Valuation accounts are also known as _____ accounts.
- Items of expenses (such as salary account, rent account, interest account) account are nominal accounts whereas the respective item is shown as outstanding expenses (such as outstanding salary, outstanding rent and outstanding interest) are _____.
- The accounting system which recognises the two-fold aspect of every business transaction is known as “_____.”
- The two aspects of each business transaction are depicted in terms of _____ and _____.
- The golden rule of double entry system is:
 - _____ the account that receives the benefit
 - _____ the account that gives the benefit
- For personal accounts _____ the receiver and _____ the giver.
- For real accounts: debit what _____ and credit what _____.
- For nominal accounts: all incomes and gains are _____ and all expenses and losses are _____.
- A daily record in which all daily transactions are first recorded chronologically is referred to as “_____.”
- For every debit, there should be a corresponding _____.
- American way of journalising is also based on “_____.”
- In all cases of entries the sum of debits must be equal to the _____.
- Accounting Equation is expressed as: Assets = _____ + Capital.
- Accounting Equation must remain _____ at all times.
- As per Accounting Equation approach, the assets and the _____ are always equal.

Answers

- | | |
|---------------------------|----------------------|
| 1. Two | 2. Receives |
| 3. Money or money's worth | 4. Summarised record |
| 5. Entry | 6. Personal |
| 7. Debtors | 8. Creditors |
| 9. Personal account | 10. Personal account |

- | | | | |
|----------------------------------|------------------------------|-----------------------|--------------------------|
| 11. Representative Personal A/c | 12. Intangible real | 19. Debit; Credit | 20. Comes in; goes out |
| 13. Nominal | 14. Contra | 21. Credited; debited | 22. Journal |
| 15. Personal | 16. Double Entry System | 23. Credit | 24. Double entry |
| 17. Dr. (Debit) and Cr. (Credit) | 18. (i) Debit
(ii) Credit | 25. Sum of credits | 26. Liabilities |
| | | 27. Balanced | 28. Claims on the assets |

II. State whether the following statements are True or False

1. A business transaction not necessarily involves an exchange of money or money's worth.
2. Business transactions are classified into Cash Transactions, Credit Transactions and Non-cash Transactions.
3. Depreciation is a credit transaction.
4. Only one account is prepared for all transactions and it is not prepared for each and every item.
5. Credit transactions are always nominal account.
6. Accounts of legal entities in the nature of limited companies accounts belong to groups or representative personal accounts.
7. Goodwill is a tangible account.
8. Bad debt is a nominal account.
9. Valuation accounts are also known as Contra Accounts.
10. Interest received in advance is a Personal Account.
11. Insurance Premium Account is a Personal Account.
12. The giving and receiving aspects take place between accounts and in different account books and not in the same set of books.
13. The giving and receiving aspects of a business transaction must be recorded simultaneously and at the same time.
14. Double Entry System means recording each transaction twice.
15. Every debit must have a corresponding credit
16. A Goods account is generally not opened.
17. In accounting, transactions are recorded on the basis of business entity concept.
18. The business transactions are not recorded chronologically.
19. The terms "General Journal" and "Journal Paper" both denote the same meaning.
20. A Journal is a permanent record of the business
21. Each transaction is provided with an explanation (written at the end of transaction briefly within brackets) is referred to as "narration."
22. The application of debit-credit rules do not apply to American approach of journalising.
23. The accounts with the balances in the previous year, comprising Real and Personal Accounts are entered in the new books of account with the help of "Opening Entry."
24. In an Accounting Equation Approach, transactions are analysed in terms of variables: assets, liabilities, capital, revenues and expenses.
25. In an Accounting Equation Approach, decrease in an asset item is debited
26. In an Accounting Equation Approach, decrease in liability is debited
27. In an Accounting Equation Approach, increase in Capital is debited
28. In an Accounting Equation Approach, increase in an expense item is debited
29. Increase in an income item is debited as per American procedure.
30. Journal entry will be the same for both the conventional approach and accounting equation approach in recording business transactions.

Answers

- | | | |
|-----------|-----------|-----------|
| 1. False | 2. True | 3. False |
| 4. False | 5. False | 6. False |
| 7. False | 8. True | 9. True |
| 10. True | 11. False | 12. False |
| 13. True | 14. False | 15. True |
| 16. True | 17. True | 18. False |
| 19. True | 20. True | 21. True |
| 22. False | 23. True | 24. True |
| 25. False | 26. True | 27. False |
| 28. True | 29. False | 30. True |

B Short Answer-type Questions

1. Define Double Entry System.
2. Explain the principles of Double Entry System.
3. What are the advantages of Double Entry System?
4. What are the two different approaches of recording of business transactions?
5. How are accounts classified?
6. Write short notes on personal accounts.
7. Give examples to real accounts.
8. Explain nominal accounts with examples.
9. What are the golden rules of accounting?
10. What do you mean by an "entry"? What is an Opening Entry?

11. How accounts are classified under accounting equation approach?
12. What is a “journal”?
13. What are special journals? Name any four of the Special Journals.
14. Distinguish between a simple entry and a compound entry.
15. What do you mean by “double compound entry”?
16. Explain “Accounting Equation Approach.”

C Essay-type Questions

1. Define “journal.” What are its special characters? What are the advantages of a “journal”?
2. Explain the term, “journalising.” Explain with a simple illustration, the procedure to be followed for making entry in the general rule.
3. What do you mean by the American way of journalising? How accounts are classified under this approach? Explain the debit and credit rules to be applied under this category.

D Exercises

1. Analyse the following business transactions: accounts affected, classification of accounts, apply rules of debit and credit
 - a. Sri Ram commences a business with a capital of Rs 5,00,000 in the name of Ram Enterprises.
 - b. Bought goods for Rs 1,00,000.
 - c. Bought goods from Jain for Rs 75,000.
 - d. Goods sold to Gupta for Rs 90,000.
 - e. Goods sold to Lal for cash Rs 60,000.
 - f. Bought machinery for cash Rs 2,20,000.
 - g. Paid into State Bank of India Rs 55,000.
 - h. Bought office furniture from Modern Furn Mart for Rs 45,000.
 - i. Received rent Rs 3,000.
 - j. Paid salary to staff Rs 65,000.
 - k. Bought shares in Real Ltd for Rs 15,000.
 - l. Paid Ram’s insurance premium Rs 3,300.
 - m. Withdraw from Bank Rs 10,000.
 - n. Bank collected dividends on investments on our behalf Rs 6,200.
 - o. Received from Ashok a bill at two months for Rs 25,000.
 - p. Accepted the bill drawn by Sathyam Rs 55,000.
 - q. Paid by cheque for an advertisement Rs 7,500.
 - r. Paid by cheque for rent Rs 11,000.
 - s. Received commission from Balu and Co. Rs 3,500.
 - t. Paid for repairs (office) Rs 3,000.
2. Journalise the following transactions in the books of Mr. Vas.
 - a. Vas started his business with cash Rs 1,00,000.
 - b. Purchased goods from Star and Co for cash Rs 20,000.
 - c. Bought office furniture for cash Rs 7,500.
 - d. Bought from Kumar, goods on credit for Rs 30,000.
 - e. Sold goods to Ravi for Rs 5,000 against a cheque.
 - f. Purchased machinery from Biswas and Co. for Rs 1,00,000 out of which Rs 40,000 was paid by cheque.
 - g. Paid office rent Rs 6,000.
 - h. Received from Shekar Rs 4,850 in full settlement of his account for Rs 5,000.
 - i. Salary to a salesman paid by cheque Rs 9,000.
 - j. Received as commission Rs 350.
 - k. Withdrawn cash from bank Rs 6,000 for personal use.
 - l. Cash deposited into Bank Rs 10,000.
 - m. Received on sale of investments Rs 37,000.

- n. Bank paid directly insurance premium Rs 1,100 for Vas.
 - o. Paid Rs 300 for repair to furniture.
 - p. Wages paid for erection of machinery Rs 600.
 - q. Purchase of a computer on credit from Aditya and Co for Rs 40,000.
 - r. Issued a cheque in favour of Aditya and Co for the purchase of a computer.
 - s. Paid rent by cheque Rs 2,900.
 - t. Paid electricity bill Rs 700 for the month.
 - u. Paid for stationery Rs 250.
 - v. Bank collected interest on our investments Rs 1,200.
 - w. Bought shares in XY Ltd. for Rs 20,000.
 - x. Received Rs 15,000 from Devi by cheque.
 - y. Paid Devi's cheque into Bank for Rs 15,000.
3. Analyse the following transactions by applying Accounting Equation Approach.
- a. Mr. Roy started his business with Rs 1,70,000 from his personal funds.
 - b. He invested additionally in the form of machinery worth Rs 50,000.
 - c. He purchased additional machinery for cash Rs 10,000.
 - d. He purchased goods for Rs 15,000.
 - e. Creditors were paid Rs 5,000.
 - f. He sold goods costing Rs 10,000 for Rs 15,000.
 - g. He paid for the following expenses:
 - Salaries – Rs 3,000
 - Rent – Rs 1,500
 - Repairs – Rs 500
 - Electricity – Rs 600
 - h. He withdraws Rs 2,500 cash for his personal use.
 - i. Machinery was depreciated by Rs 1000.
 - j. Sold goods for cash Rs 30,000.

Accounting Process – Ledger

LEARNING OBJECTIVES

At the end of the chapter, you would be able to understand

1. Meaning of “Ledger”
2. Standard Form of Ledger and Its Contents
3. Meaning of “Posting”
4. The Procedure (Steps Involved) of Posting
5. Differences between “Journal” and “Ledger”
6. How to Post an “Opening Entry”
7. How to “Balance” an Account and Steps Involved in the Procedure for “Balancing”

OBJECTIVE 1: MEANING OF “LEDGER”

In the Journal, each transaction was dealt separately. They do not provide complete information at a glance. The net result of transactions relating to a particular account to be collected at one place, a separate book is to be maintained. This is the book, which we call “ledger.”

A ledger is a book, which contains all the accounts in a summarised and classified form. A ledger is a permanent record of all business transactions transferred from Journal or other books of original entry.

According to L.C. Cropper, “the book which contains a classified and permanent record of all the transactions of a business is called the ledger.”

The Ledger is also referred to as the “Book of Final Entry.” It serves as a destination of all transactions relating to all accounts (whether we follow conventional rules with regard to Personal, Real and Nominal accounts or Accounting Equation (American procedure) Approach in terms of increases or decreases relating to Assets Account, Liabilities Account, Capital Account, Income and Gains Account and Losses and Expenses Account) to which transactions recorded in the books of original entry are transferred.

OBJECTIVE 2: STANDARD FORM OF LEDGER AND ITS CONTENTS

A ledger, in the traditional way, is normally kept in the form of bound note books. In bigger business enterprises, it is not easy to maintain a large and variety of transactions in a single book.

To overcome this difficulty, loose leaf sheets take the place of bound books. Under Loose-Leaf Ledger, appropriate sheets (ledger format in individual papers) are introduced. Additional pages may be added to any extent, completed accounts may be removed to reduce volume, any accounts may be rearranged so as to suit the needs of the enterprises. This mode of maintaining ledger in the form of loose sheets is called Loose-Leaf Ledger.

Of late, in an electronic era, ledgers are kept in the form of floppy diskettes or CDs or RCDs or DBDs, Pen or Desk Drives or any other electronic device.

Standard form (format) of a Ledger Account

Name of the Account

(.....Account)

Ledger Folio No.

Dr.

Cr.

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs

2.1 Explanation of Ledger Account Format

1. Each ledger account starts with the name of the account. The name of the account is shown in the top (middle or centre) of the account.
2. Ledger account is divided into two parts. It is divided into two equal sides by a dark vertical line as shown in the format.
3. The left-hand side is called the Debit side (written in the abbreviated form “Dr.”) and the right-hand side is called the Credit side (“Cr.”) Accordingly, the words Dr. and Cr. are written at the top of left and right-hand corners of the columns.
4. The columns on both sides (left-hand side – Debit and right-hand side – Credit) are similar.
5. The date of transactions is to be recorded in the “Date Column.”
6. Amounts to be recorded into the left-hand side are called debits and amounts to be recorded into the right hand side are called credits.
7. In the Particulars Column, the source of transaction is recorded. The entry in the debit side begins with the words “To,” that is, “To” is used before the name of the account and “By” is used before the name of an account to be recorded in the credit side.
8. The page number of the Journal or Subsidiary Book from which that particular entry is transferred, is to be recorded in the Folio Column.
9. The amount pertaining to the account, is recorded in the “Amount Column.”

OBJECTIVE 3: MEANING OF POSTING

Business transactions are usually first recorded in the books of original entry or subsidiary books. Only then they are transferred to the ledger. This process of transferring from the books of original entry in the concerned accounts to the ledger is called “Posting.” The main object of “Posting” is to make classified and summarised record of various transactions during a specified period on a particular account. Net effect of transactions can be had from the ledger at a glance. It is prepared periodically (daily, weekly, fortnightly, monthly, quarterly), depending upon the needs and requirements of the respective business concerns.

OBJECTIVE 4: PROCEDURE OF POSTING

Step 1: Open the account for items of transactions in their respective name, write that account title in BOLD letters at the top, centre portion of the ledger account.

Example: Transaction: Goods sold for cash Rs 1,001.

Journal entry:	Cash A/c	Dr. 1,001	
	To Sales A/c		1,001

Two ledger accounts have to be opened:

1. Cash Account
2. Sales Account

Write CASH ACCOUNT in the middle at the top of the ledger.

Like that SALES ACCOUNT for another ledger.

Important Note:

- (1) Once a particular account is opened in the ledger, for example, Sales Account, the same account with the same account title IS NEVER TO BE OPENED again in the same accounting period.
- (2) Each transaction in the Journal is to be considered separately for posting process.

Step 2: For items which have been debited in the Journal Entry:

- (i) Locate in the ledger, the account to be debited. Then enter the date of transaction in the “Date Column” on the debit side.
- (ii) Record the name of the account CREDITED IN THE JOURNAL in the “Particulars Column” on the debit side as “To (name of the account credited)”
- (iii) Record the page number of the Journal in the ledger. (Now in the Journal, write the page number of the ledger now recorded.) (Remember in recording the process of journalising transactions, this column was not filled up at that time. It was left blank, being filled up now.)
- (iv) Enter the relevant amount in the “Amount Column” on the debit side.

Step 3: For items which have been debited in the Journal Entry:

- (i) Locate in the ledger, the account to be credited and enter the date of transaction in the “Date Column” on the credit side.
- (ii) Record the name of the account DEBITED IN THE JOURNAL in the “Particulars Column” on the credit side of the ledger as “By ... (name of the account debited)”
- (iii) Record the page number of the Journal in the “Folio Column” on the credit side of the ledger. Then write this page number of the ledger in the Journal “L.F. Column.”
- (iv) Record the relevant amount in the “Amount Column” on the credit side of credit side of the ledger.

Procedure of Posting: Illustrated:

Transaction: Feb 25, 2009: Goods sold for cash Rs 25,000.

Journal entry for this transaction would be:

Cash A/c	Dr. 25,000		
To Sales A/c		25,000	
(Goods purchased for cash.)			

For posting in the ledger:

- (i) Identify the account: In this transaction two accounts are involved.
 1. Cash Account
 2. Sales Account
- (ii) First, open “Cash Account”
 - Draw the journal of ledger
 - Record as “Cash Account” in the top-middle of the note. Cash Account is debited in the journal entry as such, for this, left-hand side of this Cash Account has to be recorded. (For this transaction, now, credit side is ignored.)

- Enter the date Feb 25 2009 in the “Date Column” on the debit side of the ledger.
- Go to the Particulars Column and enter the word “To” (and write the name of the account in the journal entry associated with credit aspect) Sales A/c.

CAUTION: ONE SHOULD NOT WRITE (as in this case) the name of the Cash account in the Particulars column as Cash Account.

(iii) Record the amount Rs 25,000 in the Amount Column on the debit side.

Cash Account

Dr.

Cr.

<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>
Feb 25, 2009	To Sales account		25,000				

Now, for the item which has been credited in the journal entry, that is, Sales Account Rs 25,000.

- Draw the format of the ledger.
- Enter the name of the account as SALES ACCOUNT on the top-middle in bold letters.
- As the transaction is related to credit aspect, go to the credit side of the ledger and enter the date in the “Date Column.”
- Go to the “Particulars Column,” write the word “By” (followed by the name of the account debited in journal) Cash Account.

Note: One should not write “By Sales Account” in the Particulars Column (of this Sales Account). Only the name of the other account, which is associated with this transaction, that is, Cash Account has to be recorded.

- Record the amount Rs 25,000 in the “Amount Column” on the credit side.

Sales Account

Dr.

Cr.

<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>
				Feb 25, 2009	By Cash account		25,000

As no information regarding folio number is given, that column can be left blank.

OBJECTIVE 5: DISTINCTION BETWEEN JOURNAL AND LEDGER

Books of Original Entry (Journal) and Ledger may be distinguished as follows:

<i>Basis of Distinction</i>	<i>Journal</i>	<i>Ledger</i>
1. Recording the transactions	All the transactions have to be recorded first in this book.	Transactions that are recorded in Journal are transferred to this book.
2. Book	Book of Original Entry. It is a subsidiary book.	This is a book of second entry. It is a principal book of account.

Basis of Distinction	Journal	Ledger
3. Order of recording transactions	Transactions are recorded in chronological order.	Transactions relating to a particular account are recorded at one place.
4. Variety of transactions	Transactions relating to a person or property or expense, all categories are recorded.	Transactions relating to a particular account, only one category, one account is recorded on a particular page.
5. Unit of classification	The unit of classification of data in the Journal is "transaction."	The unit of classification here is "account."
6. Name of the process	The process of recording transaction is called "journalising."	Recording transaction is called "posting."
7. Net-effect	The final position of a particular account cannot be found.	The final position of a particular account can be found at a glance.
8. Next stage	Entries are transferred to ledger.	From the ledger, Trial Balance is prepared.
9. Tax-Assessment	Tax authorities do not rely on Journals.	They rely on ledger for assessment purpose.

Posting of Entries

Illustration: 1

Jan 15, 2009 Cash sales Rs 50,000; Cash received from Babu Rs 10,000; Commission earned Rs 5,000.

You are required to journalise the above transaction and post it into the ledger.

Solution

Stage 1: First, Journal is prepared

- Cash sales – Cash A/c – Real A/c – Cash comes in – Debit what comes in.
- Sales – Real A/c – Goods go out – Credit what goes out.
- Babu – Personal A/c – Giver – Credit the Giver.
- Commission earned – Nominal A/c – Income – Credit all income and gains.

Journal

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
Feb 25, 2009	Cash A/c Dr. To Sales A/c To Babu A/c To Commission A/c (Received cash on sales, from Babu, and commission)		65,000	50,000 10,000 5,000

Stage 2: Posting to Ledger

In the above transaction, there is only one debit aspect – Cash Account and three Credit aspects – Sales Account, Babu Account and Commission Account.

As such four ledger accounts have to be prepared.

First: Preparation of Cash Account.

- Draw the format.
- As Cash A/c relates to debit aspect, posting has to be done on the debit side.
- Enter the date in the “Date Column.”
- Write “To” followed by (corresponding credit accounts in the Journal), that is, Sales Account, Babu Account, and Commission Account, in the “Particulars Column” on the debit side of this account.
- Enter the amount in the “Amount Column” for each account separately.

Note: While posting in the Cash account, three corresponding accounts have to be recorded.

Cash Account**Dr.****Cr.**

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
Feb 15, 2009	To Sales account To Babu account To Commission A/c		50,000 10,000 5,000				

All the other three accounts, which have been credited in the transaction are prepared as follows:

Sales Account**Dr.****Cr.**

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
				Feb 15, 2009	By Cash account		50,000

Babu Account**Dr.****Cr.**

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
				Feb 15, 2009	By Cash account		10,000

Commission Account**Dr.****Cr.**

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
				Feb 15, 2009	By Cash account		5,000

Note: One Debit account: Cash A/c: Amount (Value): Rs 65,000.

Three Credit accounts: Sales A/c: Rs 50,000; Babu A/c: Rs 10,000; Commission A/c: Rs 5,000;
Total: Rs 65,000.

OBJECTIVE 6: POSTING OF AN OPENING ENTRY

The opening entry is passed to open the books of accounts for the new accounting year. The closing balances of the previous year (the same is the opening balance of the new year – current accounting period) are incorporated in the new ledger by posting from the Journal paper.

But strictly speaking, opening entry is not posted in the ledger, but the accounts are merely incorporated in the ledger.

An account, which has a debit balance, the words “To Balance b/d” are written on the debit side of the ledger in the “Particulars Column.” Similarly, an account which has a credit balance, the words “By Balance b/d” are written in the “Particulars Column” on the credit side.

Illustration: 2

From the following particulars, pass the opening entry and post them to ledger.

A trader has the following balances on Jan 1, 2009, the beginning of the new accounting period:

Assets: Cash-in-hand: Rs 20,000; Stock: Rs 50,000;
Land and Buildings: Rs 3,00,000; Furniture and Fixtures: Rs 7,000; Raj: Rs 8,000;
Ravi: Rs 12,000 Liabilities: Vijay: Rs 30,000; Ajay: Rs 40,000

Solution

First opening entries have to be passed.

Journal

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
Jan 1, 2009	Cash A/c Dr. Stock A/c Dr. Land and Buildings A/c Dr. Furniture and Fixtures A/c Dr. Raj's A/c Dr. Ravi's A/c Dr. To Vijay's A/c To Ajay's A/c To Capital A/c (Opening entry for assets and liabilities – the capital-balancing figure)		20,000 50,000 3,00,000 7,000 8,000 12,000	 30,000 40,000 3,27,000

Ledger

Cash Account

Dr.

Cr.

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
Jan 1, 2009	To Balance b/d		20,000				

Stock Account

Dr.

Cr.

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
Jan 1, 2009	To Balance b/d		50,000				

Land And Building Account

Dr.

Cr.

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
Jan 1, 2009	To Balance b/d		3,00,000				

Furniture and Fixtures Account

Dr.

Cr.

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
Jan 1, 2009	To Balance b/d		7,000				

Raj's Account

Dr.

Cr.

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
Jan 1, 2009	To Balance b/d		8,000				

Ravi's Account

Dr.

Cr.

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
Jan 1, 2009	To Balance b/d		12,000				

Vijay's Account

Dr.

Cr.

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
				Jan 1, 2009	By Balance b/d		30,000

Ajay's Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>
				Jan 1, 2009	By Balance b/d		40,000

Capital Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>
				Jan 1, 2009	By Balance b/d		3,27,000

Illustration: 3

Journalise the following transactions and post them into their respective accounts.

2009

Feb 2 Received for cash sales: Rs 27,500; From Yadav: Rs 7,500; Commission: Rs 1,000;

Feb 5 Paid for rent: Rs 2,400; Medicines: Rs 600.

Solution**Journal Entries**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Dr. Rs</i>	<i>Cr. Rs</i>
Feb 2, 2009	Cash Account Dr. To Sales Account To Yadav's Account To Commission Account (Cash received from Sales, Yadav and Commission)		36,000	27,500 7,500 1,000
Feb 5, 2009	Rent Account Dr. Medicines Account Dr. To Cash Account (Paid cash for Rent and Medicines)		2,400 600	3,000

Cash Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>
Feb 2, 2009	To Sales A/c To Yadav's A/c To Commission A/c		27,500 7,500 1,000	Feb 5, 2009	By Rent A/c By Medicines		2,400 600

Sales Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>
				Feb 2, 2009	By Cash A/c		27,500

Yadav's Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>
				Feb 2, 2009	By Cash A/c		7,500

Commission Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>
				Feb 2, 2009	By Cash A/c		1,000

Rent Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>
Feb 5, 2009	To Cash A/c		2,400				

Medicines Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Folio</i>	<i>Amount Rs</i>
Feb 5, 2009	To Cash A/c		600				

OBJECTIVE 7: BALANCING AN ACCOUNT AND PROCEDURE FOR BALANCING

Balance of an account is the difference between the total of debits and total of credits appearing in an account when the posting process is completed, ledger accounts have entries on their debit side as well as credit side. The net result of all such debits and credits in an account is termed as “balance.” At times, the

total of debit entries and the total of credit sides will be equal. If one side has the greater amount than the other side, such difference is called “balance.”

Balancing means the writing of difference between the amount columns of the debit side and credit side, so as to make the grand totals of the two sides equal.

There are three possible situations while balancing an account during a given period. The net effect of all transactions will result in Debit balance or Credit balance or Nil balance.

- (i) *Debit balance*: If the total amount on the debit side is more than the total amount on the credit side, such difference is referred to as “debit balance.”
- (ii) *Credit balance*: If the total amount on the credit side is greater than the total amount on the debit side, such difference in the amount itself is called as “credit balance.”
- (iii) *Nil balance*: If the total of the debits and credits are equal, it indicates “nil balance.” It is a closed account, as it has no balance.

7.1 Balancing of Different Accounts

As explained earlier, balancing is the process of equalising the two sides of an account. Before explaining the procedure for balancing a ledger account, we have to look into the types of accounts and their relationship with the “balance” of an account.

- (i) *Personal accounts*: A personal account may have a debit balance or a credit balance or nil balance. When a personal account has a debit balance, such person is referred to as “debtor.” But when a personal account has a credit balance, such person is termed as “creditor.” In case of nil balance, such persons are neither debtors nor creditors.
- (ii) *Real accounts*: Generally, these accounts are balanced at the end of an accounting period. A debit balance indicates the value of assets owned by the business. These accounts may have a debit balance or nil balance. But these accounts will NEVER have a CREDIT BALANCE.

Balance of these two accounts, that is, Personal accounts and Real accounts are shown in the Balance Sheet.

- (iii) *Nominal accounts*: Generally, nominal accounts are not balanced, as these accounts are concerned with incomes earned or expenses incurred. In case when they are balanced, a debit balance indicates a loss or expense while a credit balance indicates an income or gain. At the end of accounting year, these accounts are closed by transferring direct to either Trading Account or Profit and Loss Account.

7.2 Procedure for Balancing

Procedure for balancing is same for all categories of accounts whether they belong to Personal accounts or Real accounts or Nominal accounts. Steps involved in the procedure for balancing are as follows:

Step 1: Total the “Amount Column” on the debit side. Then total the “Amount Column” on the credit side. Ascertain the difference in the total amount.

Step 2: If the debit side total exceeds the credit side total, enter the difference amount in the “Amount Column” of the credit side. Write the date on which balancing is done in the “Date Column.” Then write the words “By Balance c/d” in the “Particulars Column” (c/d means carried down).

OR

If the credit side total exceeds the debit side total, write the difference amount in the “Amount Column” of the debit side. Write the date on which balance is done in the “Date Column.” Then write the words, “To Balance c/d” in the “Particulars Column.”

Step 3: Again total both “Debit Amount Column” and “Credit Amount Column.” Put the total on both the sides and draw a line above and another line below the totals.

Step 4: In case, if it is a debit balance, bring down the debit balance on the debit side. Write the words “To Balance b/d” (b/d means brought down) in the “Particulars Column” on the debit side. Write the date of the beginning of next period in the “Date Column.” Write the amount in the “Amount Column” on the debit side.

OR

If it is a credit balance, bring down the credit balance on the credit side. Write down the words “By Balance b/d” in the “Particulars Column” on the credit side. Write the date of the beginning of next period in the “Date Column.” Write the amount in the “Amount Column” on the credit side.

[In practise, some accountants may use c/f or c/o and b/f or b/o in the place of c/d and b/d. c/f means carried forward, c/o means carried over, b/f means brought forward and b/o denotes brought over. But, in general, when the balance is carried down in the same page the words c/d and b/d are used. But when balance is carried over to the next page, the words c/o and b/o are used. If the balance is carried forward to some other page, the words c/f and b/f are used.]

Note: The balancing of the figures is not “posting.” There is no opposite entry in any other account. In such opposite entries, c/d or b/d should be made in the account itself.

Illustration: 4

Journalise the following transactions in the books of Praveen and post them in the ledger and balance them.

- Apr 2009 1 Bought goods for cash Rs 50,000.
 2 Sold goods for cash Rs 90,000.
 3 Bought goods for credit from Govind Rs 15,000.
 4 Sold goods on credit to Roy Rs 10,000.
 5 Received from Roy Rs 7,000.
 6 Paid to Govind Rs 5,000.
 7 Bought furniture for cash Rs 3,000.

Solution

Journal of Praveen

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
2009 Apr 1	Purchases A/c Dr. To Cash A/c (Cash purchase)		50,000	50,000
Apr 2	Cash A/c Dr. To Sales A/c (Cash Sales)		90,000	90,000
Apr 3	Purchases A/c Dr. To Govind A/c (Credit purchase)		15,000	15,000

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
Apr 4	Roy A/c To Sales A/c (Cash sales)	Dr.	10,000	10,000
Apr 5	Cash A/c To Roy A/c (Cash received)	Dr.	7,000	7,000
Apr 6	Govind A/c To Cash A/c (Cash paid)	Dr.	5,000	5,000
Apr 7	Furniture A/c To Cash A/c (Furniture purchased)	Dr.	3,000	3,000

Next, post these journal entries in the ledger. After posting is done, each account is balanced according to the steps explained earlier.

Ledger of Praveen

(i) Cash Account

Dr.				Cr.			
Date	Particulars	L.F.	Amount Rs	Date	Particulars	L.F.	Amount Rs
2009				2009			
Apr 2	To Sales A/c		90,000	Apr 1	By Purchase A/c		50,000
Apr 5	To Sales A/c		7,000	Apr 6	By Govind A/c		5,000
				Apr 7	By Furniture A/c		3,000
				Apr 30	By Balance c/d (Rs 97,000 – Rs 58,000)		39,000
			97,000				97,000
May 1	To Balance b/d		39,000				

Notes:

- Total of Debit Column: Rs 97,000.
- Total of Credit Column: Rs 58,000.
- Difference: Rs 39,000 (Debit is greater than Credit.)
- It is recorded with words “By Balance c/d” on the credit side.
- This is further brought down to the beginning of next period and the date is written as May 1 in this case and recorded as “To Balance b/d” in the Particulars Column.
- This is called Debit balance, as the excess of debit total over credit total occurs in this case as Rs 39,000.

The procedure explained above is adopted in the following after posting is done.

(ii) Purchases Account

Dr.**Cr.**

Date	Particulars	L.F.	Amount Rs	Date	Particulars	L.F.	Amount Rs
2009 Apr 1 Apr 3	To Cash A/c To Govind A/c		50,000 15,000 65,000	2009 Apr 30	By Balance c/d		65,000 65,000
May 1	To Balance b/d		65,000				

Here, total Debit Column = Rs 65,000

Total Credit Column = 0

As such the entire amount has to be written as "By Balance c/d."

Other steps remain the same, as explained previously.

(iii) Sales Account

Dr.**Cr.**

Date	Particulars	L.F.	Amount Rs	Date	Particulars	L.F.	Amount Rs
2009 Apr 30	To Balance b/d		1,00,000 1,00,000	2009 Apr 2 Apr 4	By Cash A/c By Roy A/c		90,00 10,000 1,00,000
				2009 May 1	By Balance b/d		1,00,000 1,00,000

(iv) Furniture Account

Dr.**Cr.**

Date	Particulars	L.F.	Amount Rs	Date	Particulars	L.F.	Amount Rs
2009 Apr 7	To Cash A/c		3,000 3,000 3,000	2009 Apr 30	By Balance c/d		3,000 3,000 3,000
2009 May 1	To Balance b/d		3,000				

(v) Govind's Account

*Dr.**Cr.*

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount Rs</i>
2009 Apr 6 Apr 30	To Cash A/c To Balance A/c		5,000 10,000 15,000	2009 Apr 3	By Purchase c/d		15,000 15,000
				2009 May 1	By Balance b/d		15,000

(vi) Roy's Account

*Dr.**Cr.*

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount Rs</i>
2009 Apr 4	To Sales A/C To Balance A/C		10,000 10,000	2009 Apr 5 Apr 30	By Cash A/C By Balance c/d		7,000 3,000 10,000
2009 May 1	To Balance b/d		3,000				

Note: In case, Nominal accounts are provided, such accounts need not be balanced.

Summary

- Ledger is “a book which contains a classified and permanent record of all the transactions of a business.” A book of original entry.
- Ledger is normally kept in the form of bound note books. Loose Leaf-Ledger in the form of loose sheets – ledger format in individual papers are being maintained.
- The process of transferring from the books of original entry in the concerned accounts in the ledger is referred to as “posting.”
- Distinction between journal and ledger: (Refer: Text)
- Opening Entry: Opening entry is passed to open the books and not posted in the ledger, but the accounts are merely incorporated in the ledger. Debit balance is to be written as “To Balance b/d” and Credit balance is to be written as “By Balance b/d” on the debit and credit side of the ledger respectively.
- Balancing means the writing of the difference between the amount columns of the debit side and credit side, so as to make the end totals of the two sides equal.
- Procedure for balancing (Refer: The Main Part).

A Objective-type Questions

I. State whether the following statements are True or False

1. All the transactions relating to a particular account and collected at one place in a book is called the ledger.
2. Instead of a single bound note book, loose-sheets may be used.
3. Ledger is also called the "Book of Original Entry."
4. The process of transferring the entries recorded in the Journal to the respective accounts opened in the ledger is called "Posting."
5. Balance is the difference between the total debits and total credits of an account.
6. The excess of debit total over the credit total is called the debit balance.
7. The excess of credit total over the debit total is called the credit balance.
8. There is no amount either in the debit column or in the credit column, that is, not even a single transaction is called the nil balance.
9. Personal accounts, when balanced, enable one to know the amount due to others or due from others.
10. Assets account always show credit balance
11. A debit balance in a nominal account indicates that it is an income or gain.
12. Nominal accounts, normally, are not balanced.
13. All balances in personal and real accounts are to be shown in the Balance Sheet.
14. Nominal account balances are not taken to final accounts.
15. The closing balance becomes the opening balance in the next accounting year.

Answers

- | | | |
|-----------|-----------|----------|
| 1. True | 2. True | 3. False |
| 4. True | 5. True | 6. True |
| 7. True | 8. False | 9. True |
| 10. False | 11. False | 12. True |
| 13. True | 14. False | 15. True |

B Multiple-choice Questions

I. Choose the Correct Answer

1. Ledger is a book of:
 - (a) journalising
 - (b) original entry
 - (c) secondary
 - (d) all credit transaction
2. L.F. column in the Journal is to be entered at the time of:
 - (a) journalising
 - (b) casting
 - (c) balancing
 - (d) posting
3. The process of transferring the transactions relating to changes in a particular item at one place in the form of an account is called:
 - (a) posting
 - (b) balancing
 - (c) journalising
 - (d) none of the above
4. The process of recording a transaction in the journal is called:
 - (a) posting
 - (b) journalising
 - (c) balancing
 - (d) none of the above
5. The words "To Balance b/f, By Balance b/d are recorded in the "Particular Column" of the ledger book: at the time of
 - (a) opening entry
 - (b) closing entry
 - (c) simple entry
 - (d) compound entry
6. Personal and real accounts are:
 - (a) at sometimes balance
 - (b) always balance
 - (c) closed
 - (d) closed and transferred
7. The column of ledger which links the entry with journal is:
 - (a) L.F. Column
 - (b) J.F. Column
 - (c) Amount Column
 - (d) Date Column
8. Real accounts always show:
 - (a) debit balance
 - (b) credit balance
 - (c) nil balance
 - (d) cannot be balanced
9. Nominal account having credit balance represents:
 - (a) income and gain
 - (b) expense or loss
 - (c) assets
 - (d) liabilities
10. Nominal account having debit balance represents:
 - (a) assets
 - (b) liabilities
 - (c) expense or loss
 - (d) income or gain
11. When the total of the debits and the total of the credits are equal, it represents:
 - (a) nil balance
 - (b) debit balance
 - (c) credit balance
 - (d) none of the above
12. Account having credit balance is closed by writing:
 - (a) To Balance c/d
 - (b) By Balance b/d
 - (c) To Balance b/d
 - (d) By balance b/f
13. The balances of personal and real accounts are shown in the:
 - (a) Balance Sheet
 - (b) Profit and Loss Account
 - (c) both
 - (d) none of the above

14. The nominal accounts are closed by transferring to: **Answers**
 (a) Balance Sheet (b) Profit and Loss Account
 (c) both (d) none of the above
15. In general, the following accounts are balanced:
 (a) real accounts and nominal accounts
 (b) personal accounts and real accounts
 (c) personal accounts and nominal accounts
 (d) none of the above
- | | | |
|---------|---------|---------|
| 1. (c) | 2. (d) | 3. (a) |
| 4. (b) | 5. (a) | 6. (b) |
| 7. (b) | 8. (a) | 9. (a) |
| 10. (c) | 11. (a) | 12. (a) |
| 13. (a) | 14. (b) | 15. (b) |

C Short Answer-type Questions

- | | |
|---|--|
| 1. What is a ledger? | 10. What is credit balance? |
| 2. "Ledger is the book of final entry." Why? | 11. Indicate the nature of balance in the following accounts |
| 3. Explain the utilities of a ledger | (a) Cash (b) Debtors |
| 4. What is "posting"? | (c) Creditors (d) Capital |
| 5. Mention the different forms in which a ledger may be kept. | (e) Purchases (f) Sales |
| 6. What are the utilities of ledger? | (g) Wages Paid (h) Interest Received |
| 7. Explain the meaning of balancing in account. | (i) Rent Paid (j) Computer |
| 8. Explain the significance of balancing. | 12. Distinguish Journal with Ledger. |
| 9. What is debit balance? | |

D Essay-type Questions

- | | |
|--|--|
| 1. Explain the steps involved in "posting". | 3. Explain the significance of debit and credit balances of various types of accounts with examples. |
| 2. Explain the procedure for balancing a ledger account. | |

E Exercises

1. Journalise the following transactions in the books of Dev. Post them in the ledger and balance the various accounts opened in the ledger.
- 2009 Mar 1 Ramkumar commenced business with cash Rs 1,00,000.
 Mar 2 Paid into the Bank Rs 60,000.
 Mar 5 Purchased goods for cash Rs 70,000.
 Mar 7 Sold goods for cash Rs 1,00,000.
 Mar 9 Purchased goods from Tiwari Rs 60,000.
 Mar 10 Sold goods to Diraj Rs 90,000.
 Mar 15 Withdraw cash for personal use Rs 2,000.
 Mar 17 Paid travelling charges Rs 1,800.
 Mar 20 Paid electric charges Rs 700.
 Mar 23 Draw cash from Bank for office purpose Rs 10,000.
 Mar 30 Paid salaries to staff Rs 9,000.
2. Journalise the following transaction in the books of Govind. Post them in the ledger and balance the various accounts opened in the ledger.
- 2009 Apr 1 Govind commenced business with the following assets and liabilities.
- | | |
|-----------|-------------|
| Cash | Rs 1,00,000 |
| Stock | Rs 75,000 |
| Machinery | Rs 90,000 |
| Furniture | Rs 5,000 |
| Creditors | Rs 1,00,000 |

Apr 4	Sold goods to Kamal Rs 1,15,000.
Apr 7	Bought goods from Ajay Rs 75,000.
Apr 9	Paid to Ajay Rs 50,000 on account.
Apr 11	Withdraw cash for personal use Rs 3,500.
Apr 13	Received Commission Rs 6,000.
Apr 15	Furniture purchased Rs 9,000.
Apr 17	Brought in additional capital Rs 25,000.
Apr 18	Issued a cheque for rent Rs 6,000.
Apr 19	Drew from bank for personal use Rs 4,000.
Apr 21	Paid life insurance premium Rs 1,327.

3. On 1, Apr 2009, the following were the ledger balance of Vasant.

Cash-in-hand – Rs 5,000.
Cash at Bank – Rs 60,000.
Bills-Payable – Rs 7,000.
Stock – Rs 30,000.
Mr. A – Rs 7,000 (Dr.).
Mr. B – Rs 15,000; (Cr).
Mr. C. – Rs 9,000 (Dr.).
Mr. D – Rs 4,300 (Cr).

Other transactions

Apr 2	Bought goods from Mr. B – Rs 7,500.
Apr 4	Sold goods to Mr. B – Rs 6,000.
Apr 6	Bought goods from Mr. D – Rs 7,000.
Apr 8	Sold to Mr. A – Rs 4,000.
Apr 10	Paid to Mr. by cheque – Rs 9,000.
Apr 12	Received from Mr. C – Rs 10,000.
	Allowed him discount – Rs 100.
Apr 14	Accepted Mr. D's bills at 2 months Rs 5,000.
Apr 15	Sold goods to Mr. C – Rs 6,500.
Apr 17	Paid rent by cheque – Rs 2,300.
Apr 20	Sold to Mr. A – Rs 8,000.
Apr 22	Paid salaries by cheque – Rs 4,800.
	Make journal entries and post them to ledger and balance them.

4. Prepare Ajay's account as it would appear in the books of Vijay.

			Rs
2009	May 1	Sold goods to Ajay	25,000
	May 2	Received from Ajay	10,000
	May 7	Purchased goods from Ajay	9,000
	May 9	Paid to Ajay	5,000
	May 12	Sold goods to Ajay	15,000
		Allowed him discount	1,000
	May 15	Ajay returned goods	2,500

May 16	Received cash from Ajay	7,500
May 19	Sold goods for cash to Ajay	4,000
May 24	Purchased goods from Ajay	15,000
	Discount received from him	1,500
May 27	Paid to Ajay	10,000

5. Prepare Krishna's account in the books of Venkat and Venkat's account in the ledger of Krishna.

		Rs
2009	May 1 Venkat sold goods to Krishna	50,000
	May 3 Krishna paid cash to Venkat	30,000
	May 7 Krishna returned goods to Venkat	2,000
	May 10 Venkat bought goods from Krishna	15,000
	May 15 Venkat paid cash to Krishna	10,000
	May 18 Venkat returned goods to Krishna	1,000

6. Record the following transactions in the journal of Anand and open only personal account in the ledger and balance them.

2009	May 1	Anand started business with Rs 1,00,000.
	May 2	Purchased goods from Sachin Rs 25,000.
	May 7	Purchased furniture Rs 12,000 from King Enterprises.
	May 9	Goods returned to Sachin – Rs 650.
	May 13	Goods sold to Gopi for Rs 9,000.
	May 15	Paid to Sachin Rs 19,500 and discount received Rs 500.
	May 17	Goods returned by Gopi Rs 350.
	May 25	Cash returned from Gopi – Rs 7,000.
	May 27	Paid rent by cheque to the landlord Rs 5,000.
	May 30	Paid to Sachin Rs 2,000.

Accounting Process – Subsidiary Books

LEARNING OBJECTIVES

After studying this chapter, you would be able to understand

1. Meaning of Subsidiary Books
2. Kinds of Subsidiary Books and Their Purpose
3. Advantages of Subsidiary Books (or) Special Journals
4. Differences Between Subsidiary Books and Ledger
5. Meaning and Type of Cash Book
6. Meaning, Format and Recording of Transaction in Single Column Cash Book
7. Meaning and Format of Double Column Cash Book (Cash Book with Discount and Cash Column) and Preparation of a Two Column Cash Book from the Given Transactions
8. Method of Entering Bank Transactions in Two Column (Bank and Discount Column), i.e. Bank Column Instead of Cash Column
9. Meaning of Triple Column Cash Book (Cash, Bank and Discount Column) and the Procedure of Recording Business Transaction in Triple Column Cash Book
10. Meaning of Petty Cash Book – Salient Features of Petty Cash Book – Advantages of Petty Cash Book
11. Format of Petty Cash Book and Method of Recording the Transactions in the Analytical Form of Petty Cash Book
12. Meaning of Purchases Book – Format of Purchases Book – Method of Preparing Purchases Book and Ledger Accounts Related to This
13. Meaning of Sales Books – Format of Sales Book – Procedure of Constructing Sales Book and Necessary Ledger Accounts Related to It
14. Meaning of Purchases Returns Book – Procedure for Recording Purchases Returns Transactions
15. Meaning of Sales Returns Book – Procedure for Recording Transactions in Sales Returns Book and Posting them to the Ledgers
16. Meaning of Bills of Exchange and Meaning of Important Terms Associated with Bills of Exchange
17. Procedure of Recording Transactions in Bills Receivable and Bills Payable Books
18. Journal Proper and the Different Kinds of Entries to be passed in Journal Proper

OBJECTIVE 1: MEANING OF SUBSIDIARY BOOKS

Subsidiary books refer to the books meant for specific transactions of similar nature. It is used to record only one type of business transaction. These subsidiary books are also called Books of Original Entry. These are also referred to as Special Journals.

As the number of transactions of a business enterprise increase in volume, as some transaction are of repetitive in nature, the need arises to classify and group the business transaction so as to suit the needs of enterprises.

The main journal is subdivided into different types of subsidiary journals or subsidiary books as follows.

OBJECTIVE 2: KINDS AND PURPOSES OF SUBSIDIARY BOOKS**Kinds of Subsidiary Books**

Transactions			
<i>Day Books</i>	<i>Bill Books</i>	<i>Cash Books</i>	<i>Journal Proper</i>
Purchases Books Sales Books Purchases Returns Books Sales Returns Books	Bills Receivable Books Bills Payable Books	Single Column Book Double Column Book Triple Column Book Petty Cash Book	

Purpose of Subsidiary Books

<i>Kinds of Subsidiary Books</i>	<i>Purpose</i>
1. Single Column Cash Book	To record cash transactions (cash receipt and cash payments)
2. Double Column Cash Book	To record cash and discount transactions
3. Triple Column Cash Book	To record cash transactions, bank transactions and discount transactions
4. Petty Cash Book	To record other petty transactions
5. Purchases Book	Credit purchases of goods to be recorded
6. Purchase Returns Book (Returns Outward Book)	Goods returned to the suppliers are to be recorded
7. Sales Book	To record credit sales
8. Sales Returns Book (Returns Inward Book)	To record goods returned to customers
9. Bills Receivable Book	To record bills receivable (receipts of bills) drawn
10. Bills Payable Book	To record bills payable (issue of bills) accepted
11. Journal Proper	To record entries, which cannot be entered in any of the above books

OBJECTIVE 3: ADVANTAGES OF SUBSIDIARY BOOKS (OR) SPECIAL JOURNALS

The advantages of maintaining subsidiary books are:

1. Division of Labour: The division of journal facilitates the division of work (recording transactions) among its employees. In large organisations, it becomes inevitable to divide the work and allot it to its various employees (clerks and other officials) so that they can work independently and quickly.

2. Delegation of Work: Work is delegated to each employee, which ensures in evaluating the efficiency of individual workers, as specialisation always results in efficiency.

3. Detection of Errors: Accounting work is divided to record transactions in various subsidiary books. If the work is divided in such a manner that the work of one person is automatically checked by another person, it would be easy to detect errors and rectify them immediately.

4. Facilitates Quick Reference: The information regarding the same type of transactions is available at one place. As such, information relating to any particular item of transaction can be obtained easily.

5. Effects Saving in Time, Labour: The amount of space needed for recording same type of transaction is reduced. The number of postings to ledger accounts is also reduced. Posting again and again from the Journal to a Ledger involves a tedious and monotonous work, which is avoided to a great extent by keeping special subsidiary books.

6. Simultaneous Recording: As many persons are involved, the subdivision of journal enables them to record all transactions simultaneously and at the same time without giving disturbance to the other persons engaged in the work.

OBJECTIVE 4: DIFFERENCE BETWEEN SUBSIDIARY BOOKS AND LEDGER

The differences between subsidiary books and ledger can be presented in the summarised form in the following tabular column:

Basis of Distinction	Subsidiary Books	Ledger
1. Caption of the book	These are books of Original Entry (or) Books of Prime Entry.	This is a book of Secondary Entry (or) Book of Final Entry.
2. Basis of recording	These are recorded on the basis of source documents.	These are recorded on the basis of the books of Prime Entry.
3. Order of recording	Transactions are recorded in order of their occurrence.	Transactions are recorded from subsidiary books irrespective of the date of their occurrence.
4. Aspects of (transaction) recording	Both aspects (debit and credit) of a transaction are recorded.	Posting is made relating to either debit aspect or credit aspect of a transaction in the ledger.
5. Net effect of transactions	These do not disclose the complete position of an account.	The ledger account indicates the net effect of each account.
6. Balancing	Except cash book, balancing is not done.	Except nominal accounts, balancing is done.
7. Next stage in the process of accountant	The next step is the transfer of entry to ledger account.	The next step is to draw Trial Balance.

OBJECTIVE 5: MEANING AND TYPE OF CASH BOOK

5.1 Meaning

A cash book is a special journal used to record all cash receipts and cash payments. Without passing entries in the journal, all transactions relating to cash receipts and cash payments are entered straight in this separate book called “Cash Book.”

Cash book, a journalised ledger serves both as a journal and a ledger. Cash book performs the functions of both ledger and journal simultaneously. Cash book is a book of original entry as transactions are recorded from source documents for the first time. Like journal, all transactions (relating to cash) are recorded chronologically and at times with narration. The Cash book is like a ledger in the format (having

debit side and credit side), balanced like a ledger account for these reasons. The cash book is called a journalised ledger because it serves both as a journal or a ledger.

5.2 Types of Cash Book

As explained in the diagrammatic classification of the subsidiary books, the cash book may be classified into the following types:

1. Single Column Cash Book (Simple Cash Book)
2. (a) Double Column Cash Book (Cash and Discount Columns)
(b) Double Column Cash Book (Bank and Discount Columns)
3. Triple Column Cash Book (Cash, Bank and Discount Columns)
4. Petty Cash Book (for recording small expenses)

Let us explain each type of Cash book.

OBJECTIVE 6: MEANING, FORMAT AND RECORDING OF TRANSACTIONS IN SINGLE COLUMN CASH BOOK

6.1 Meaning

Single column cash book, also called as simple cash book, contains one amount column in each side, that is, debit side and credit side. All cash receipts are to be recorded on the debit side and all cash payments are to be recorded on the credit side of the cash book. This book is very similar to that of Cash Account in the Ledger.

6.2 Format of Single Column Cash Book

Single Column Cash Book									
Dr.					Cr.				
Receipts					Payments				
Date	Particulars	R.N.	L.F.	Amount Rs	Date	Particulars	R.N. (or) V.N.	L.F.	Amount Rs

Format explanation:

1. *Date Column*: This column appears on both debit and credit side. The date of receiving the cash is recorded in the “Date Column” on the debit side and the date of paying cash is recorded on the credit side in the “Date Column.”
2. *Particulars Column*: This column appears on both the sides. Names of parties (personal account), heads (nominal account) and items (real account) from whom payment has been received and to whom payment has been made, are to be recorded in the “Particulars Column.”
3. *Receipt Number (R.N.)*: Serial No. of the cash receipt is to be recorded in this column. (Some enterprises use V.N. (Voucher Number) on the credit side in the place of R.N. V.N. refers to the Voucher Number for which payment is made.)
4. *Ledger Folio (L.F.)*: This appears on both the sides. The ledger page of the related account is to be recorded on the debit side.
5. *Amount*: This column also appears on both the sides. Cash received amount (actual amount of cash receipts) is to be recorded in the Amount Column on the debit side. The actual payments are to be recorded in the Amount Column on the credit side of the Cash Book.

6.3 Balancing of Cash Book

The cash book is balanced like any other account. The amount columns on both sides are totalled. The total of the receipt column (debit side) will always be greater than the total of the payment column (credit side). The difference indicates the amount of cash-in-hand. Cash balance will always show debit balance. The difference is written on the credit side as “By Balance c/d.” In the beginning of the next period, to show the cash balance in hand, it is recorded in the debit side as “To Balance b/d,” that is, as the opening balance for the next period.

Illustration: 1

Enter the following transactions in a single column cash book of Mr. Dev Anand.

2009	Rs
Jan 2 Started business with cash	10,000
3 Purchased goods for cash	2,000
6 Sold goods	2,000
7 Cash paid for mobile recharge	200
8 Paid cheque to a creditor	1,800
9 Cash received from Babu	1,000
12 Bought furniture	1,750
14 Received commission	250
15 Sale of securities	7,000
17 Part payment to suppliers X Ltd. Rs 1,000 against their previous bill for	5,000
19 Cash sales	12,000
20 Goods purchased by credit	10,000

Solution

- Record all cash receipts on the debit side and all cash payments on the credit side of cash book.
- Ignore bank transactions.
- Goods purchased by credit are not entered in cash book.
- Draw the format and enter the transaction, as per the format and enter the transactions as per the procedure already explained.

Cash Book (Single Column)

Dr.					Cr.				
Date	Particulars	R.N.	L.F.	Amount Rs	Date	Particulars	R.N.	L.F.	Amount Rs
2009					2009				
Jan 2	To Capital A/c (started business)			10,000	Jan 3	By Purchases A/c (cash purchase)			2,000
Jan 6	To Sales A/c (cash sales)			2,000	Jan 7	By Mobile Phone Charges A/c (Mobile recharge)			200
Jan 9	To Babu's A/c (cash from customer)			1,000	Jan 12	By Furniture A/c (furniture bought)			1,750

(Continued)

(Continued)

Dr.					Cr.				
Date	Particulars	R.N.	L.F.	Amount Rs	Date	Particulars	R.N.	L.F.	Amount Rs
Jan 14	To Commission A/c (commission received)			250	Jan 17	By X Ltd A/c (part payment)			1,000
Jan 15	To Capital A/c (cash from private sale)			7,000	Jan 31	By Balance c/d			25,300
Jan 19	To Sales A/c (cash sales)			10,000					
				<u>30,250</u>					<u>30,250</u>
2009									
Feb 1	To Balance b/d			25,300					

OBJECTIVE 7: MEANING AND FORMAT OF DOUBLE COLUMN CASH BOOK (CASH BOOK WITH DISCOUNT AND CASH COLUMN)

When cash discounts are allowed and received, one more column on the debit side for discount is allowed and another column on the credit side of the cash book for discount is received. In the double column cash book, cash column is balanced like any other ledger account. But the discount column is not balanced as it is a nominal account. It is to be totalled, not to be balanced.

Format of (Two) Double Column Cash Book (Cash Book with Discount and Cash Column)

Dr.						Cr.					
Date	Particulars	R.N.	L.F.	Discount Rs	Amount Rs	Date	Particulars	V.N.	L.F.	Discount Rs	Amount Rs

Illustration: 2

Prepare a two column cash book from the following transactions of Mr. Ravisankar.

	Rs
2009	
May 1 Cash-in-hand	6,000
3 Cash purchase	4,000
5 Cartage paid	100
7 Cash sales	10,000
9 Cash received from Ravi and allowed him discount	4,900
11 Cash paid to Radha and discount received	1,450
12 Received cheque from Rai and allowed him discount	50
14 Rent paid	4,800
	200
	1,000

16 Salaries paid	3,000
18 Cash received from Lal	2,400
and allowed him discount	100
19 Cash paid to Rao and	1,950
received discount	50

Double Column Cash Book of Mr. Ravisankar

Dr.

Cr.

Date	Particulars	R.N.	L.F.	Discount Rs	Amount Rs	Date	Particulars	V.N.	L.F.	Discount Rs	Amount Rs
2009						2009					
May 1	To Balance b/d (cash-in-hand)				6,000	May 3	By Purchases A/c (cash purchases)				4,000
May 7	To Sales A/c (cash sales)				10,000	May 5	By Cartage A/c (cartage expenses)				100
May 9	To Ravi A/c (cash received and discount allowed)			100	4,900	May 11	By Radha A/c (cash paid and received discount)			50	1,450
May 12*	To Rai A/c (received cheque on account)			200	4,800	*May 12	By Bank A/c (cheque deposited)				4,800
May 18	To Lal A/c (cash received and discount allowed)			100	2,400	May 14	By Rent A/c (rent paid)				1,000
						May 16	By Salaries A/c (salary paid)				3,000
						May 20	By Rao A/c (cash paid and received discount)			50	1,950
						May 31	By Balance c/d				11,800
2009				<u>400</u>	<u>28,100</u>					<u>100</u>	<u>28,100</u>
June 1	To Balance b/d				11,800						

Note: *For transactions by cheque, its accounting treatment should be carefully recorded.

Illustration: 3

Enter the following transactions in the cash book with discount columns for the month of May 2009.

		Rs
May 1	Cash sales	15,000
2	Goods sold to Tandon on credit	30,000
3	Goods purchased on credit from Hemant	40,000
4	Cash withdrawn for L.I.C. Premium	2,000
10	Received cash Rs 24,800 and a cheque for Rs. 5,000 from Tandon as a final settlement	
12	Cash sale of goods; Cash sent to Bank	17,000
14	Paid Hemant Rs 20,000 cash and the balance Rs 19,800 by cheque and his account was closed	
15	Received from Ashok cash and allowed him discount	50,000 1,000
16	Received insurance claim	2,000
17	Cash recovered from Sachin, which was written off bad in January	7,500
19	Withdrawn from Bank	3,500
20	Withdrawn from office to meet the medical expenses of the proprietors parents	2,500
21	Parents deposited with Bank	25,000

Solution**Notes**

- May 4 Cash withdrawn for L.I.C. premium is a personal expense. It has to be recorded as Drawings A/c.
- May 12 There are two transactions. Entries should appear on both sides.
- May 16 Insurance claim is to be treated as business receipt.
- May 17 As debts is written off, the name of such debtors is to be removed from the books. As such, the amount recovered is recorded as “Bad Debts Recovered Account.”
- May 19 Withdrawal from bank is treated as business use, as no other words are mentioned specific.
- May 20 Personal expense – “Drawings A/c” to be recorded.

General Note: Credit transactions should not be recorded in cash book.

Cash Book with Discount Columns

Dr.						Cr.					
Date	Particulars	R.N.	L.F.	Discount Rs	Amount Rs	Date	Particulars	V.N.	L.F.	Discount Rs	Amount Rs
2009						2009					
May 1	To Sales A/c				15,000	May 4	By Drawings				2,000
10	To Tandon's A/c			200	24,800		A/c				
12	To Sales A/c				17,000	12	By Bank A/c				17,000

Dr.

Cr.

Date	Particulars	R.N.	L.F.	Discount Rs	Amount Rs	Date	Particulars	V.N.	L.F.	Discount Rs	Amount Rs
15	To Ashok's A/c	1,000			50,000	14	By Hemant			200	20,000
16	To Insurance Company A/c				2,000	20	By Drawings A/c				2,500
17	To Bad Debts				7,500	21	By Bank A/c				25,000
	Recovered A/c					31	By Balance c/d				53,300
19	To Bank A/c				3,500						
				<u>1,200</u>	<u>1,19,800</u>					<u>200</u>	<u>1,19,800</u>
June 1	To Balance b/d				53,300						

OBJECTIVE 8: METHOD OF ENTERING BANK TRANSACTIONS IN TWO COLUMNS (BANK AND DISCOUNT COLUMN)

Now-a-days, in business enterprises almost all transactions are done only through banks. All receipts are deposited with the bank and all payments are made by cheques only. For such concerns, Bank Column in the place of Cash Column will serve the purpose. No change regarding "Discount Column" takes place. Such a cash book is called as "Cash Book with Bank Column and Discount Column."

Illustration: 4

From the following transactions of Mr. Ganesh, prepare a cash book with bank and discount columns for the month of Mar 2009.

- Mar 1 Bank balance was Rs 20,000 as per his cash book. The counter-foils of his pay-in-slips provide the following information:
- Mar 5 Total deposits Rs 40,000 consisting of Rs 28,000 from cash sales, a cheque from Panda for Rs 10,000 and a cheque of Rs 1,900 from Lata in full settlement of her account of Rs 2,000.
- Mar 15 Total deposits of Rs 50,000 consisting of sale of Surya for Rs 40,000 and Cash sales of Rs 10,000.
- Mar 26 Total deposits of Rs 25,000 comprising of Rs 23,000 from Khan for payment on account (discount allowed Rs 155), Rs 345 from sale of old articles and the balance from commission.
- Mar 25 Total outgoing of Rs 14,800 comprising of Rs 12,000 purchase and a cheque of Rs 2,800 to Balaji (discount received Rs 200).

The counter-foils of his cheque book disclose the following:

- Mar 10 Reddy and Co. Rs 18,000 (in full settlement of Rs 20,000)
- Mar 13 Gupta Rs 8,500, discount received Rs 500
- Mar 17 Petty cash Rs 1,200; in favour of his son Rs 5,000
- Mar 19 Self: Rs 3,000
- Mar 26 Purchase paid by cheque Rs 17,000

Two Column Cash Book
(Bank and Discount Column Only)

Dr.							Cr.				
Date	Particulars	R.N.	L.F.	Discount Rs	Amount Rs	Date	Particulars	V.N.	L.F.	Discount Rs	Amount Rs
2009						2009					
Mar 1	To Balance b/d				20,000	Mar 10	By Reddy and Co. (payment by cheque and discount received)			2,000	18,000
Mar 5	To Sales A/c (part cash sales)				28,000		By Gupta				
Mar 5	To Panda A/c (cheque received and deposited)				10,000	13	By Petty Cash A/c			500	8,500
Mar 5	To Lata A/c (cheque received and deposited)			100	1,900	17	By Drawings A/c (Son)				1,200
Mar 10	To Capital A/c (realised from sale of Surya deposited)				40,000	19	By Drawings A/c				5,000
						25	(Self)				3,000
Mar 15	To Sale A/c (cash sales)				10,000	25	By Purchases A/c (purchases by cheque)				12,000
Mar 15	To Khan A/c						By Balaji A/c			200	2,800
	To Sale of old articles			155	23,000	26	(paid by cheque and discount received)				
	To Commission (Rs 25,000 – 155 – 345 – 23000)				345	31	By Purchases A/c				67,000
					1,500		By Balance c/d				17,245
				<u>255</u>	<u>1,34,745</u>					<u>2,700</u>	<u>1,34,745</u>
Apr 1	To Balance b/d				17,245						

OBJECTIVE 9: MEANING OF TRIPLE COLUMN CASH BOOK WITH DISCOUNT, CASH AND BANK COLUMNS AND PROCEDURE OF RECORDING BUSINESS TRANSACTIONS IN TRIPLE COLUMN CASH BOOKS

Large business enterprises receive and make payments in cash and by cheques. As a result, a combined cash book to record cash and bank transactions along with discount is used. This type of cash book is called as Triple Column Cash Book (or) Cash Book with Discount, Cash and Bank Column. This cash book has “Three Amount Columns” on each side (debit and credit side).

All cash receipts are entered in the debit side cash column and all cash payments are recorded in the credit side cash column. Discount allowed and discount received are recorded in the usual manner, that is, discount allowed on the debit side and discount received on the credit side of the cash book. Cheques received are entered on the debit side in the bank column and payments by cheques are entered on the credit side in the bank column.

The following procedure has to be followed in addition:

1. *Cash paid into bank or deposit of cash in bank:* In this type of transaction, cash goes out of the business, a decrease in cash balance, cash comes into the bank, an increase in bank balance. As such, bank column is to be debited and cash column is to be credited. Such an entry affects both cash and bank accounts. This is known as a Contra Entry. As this cash book is a combined cash and bank account, both the aspects of transaction must be entered in the same book.
 - In the Debit side, write “To Cash A/c” in the Particulars Column, write “C” (i.e., as per contra) in the L.F. Column and the amount in the “Bank Column.”
 - In the Credit side, write “By Bank A/c” in the Particulars Column, put the letter “C” in the L.F. Column and enter the amount in the “Cash Column.”
2. *Cash withdrawn from the Bank:* Both the cash and bank balances are affected. Hence it is also a Contra Entry.

In the debit side, write “To Bank A/c” in the Particulars Column, letter “C” in the L.F. Column and the amount in the Cash Column.

In the credit side, write “By Cash A/c” in the Particulars Column, the letter “C” in L.F. Column and the amount in the Bank Column.
3. *Payment by cheque:* When payment is made by cheque, cash is not affected. As such, only one entry is enough.

Enter in the credit side of the cash book – write the name in whose favour the cheque stands in the “Particulars Column” and the amount in the “Bank Column.”
4. *Receiving cheques and depositing in the Bank:*
 - (i) The receipt and deposit of the cheque takes place on the same date:
Only one entry is made of the customer from whom it is received in the “Particulars Column” and the amount in the “Bank Column.”
 - (ii) If the cheque is received on one date and deposited on the other date:
 - (a) On receipt of cheque:
In the debit side: Write the name of the customer from whom cheque is received in the “Particulars Column” and enter the amount in the “Cash Column.”
 - (b) On depositing the cheque:
Contra Entry:
In the debit side: Write “To Cash A/c” in the “Particulars Column”, the letter “C” in the “L.F. Column” and the amount in the “Bank Column.”
In the credit side: Write “By Bank A/c” in the “Particulars Column”, the letter “C” in the “L.F. Column” and the amount in the “Cash Column.”

5. *Bank charges*: Enter in the credit side of the cash book. Write “Bank Charges A/c” in the Particulars Column and the amount in the “Bank Column.”
6. *Periodic interest allowed by the Bank*: Entry is made in the debit side of the cash book. Write “Interest A/c” in the Particulars Column and the amount in the “Bank Column.”

Important Note

1. For the transaction “Receipt and Deposit a cheque” in the Bank [Ref: 4 above], if two different dates for receipt and deposit are not given (or silent on the date, i.e., no date is provided), we have to take into account that the cheque received are deposited immediately into the bank on the SAME DAY.
2. As mentioned earlier, the cash book always show the debit balance. But the Bank Column may at times show credit balance.

Illustration: 5

Record the following transactions in the cash book with cash and bank column (Three Column Cash Book).

2009		Rs
May	1 Cash balance	500
	Bank balance	1,000
	2 Deposited into Bank	10,000
	3 Cash received from sale of shares	50,000
	4 Purchases by credit	15,000
	5 Purchases by cheque	5,000
	6 Received cheque from Anand	9,900
	Discount allowed	100
	7 Paid Vijay by cheque	1,500
	8 Withdrew from Bank for office use	10,000
	9 Anand’s cheque deposited in the Bank	
	10 Paid to Ajay by cheque Rs 1,980 in full settlement of his account Rs 2,000	
	11 Drawn from Bank	500
	12 Cash withdrawn for personal use	1,000

Solution

- Notes:**
1. Transactions on May 2, 8, 9 and 11 are recorded as Contra entries.
 2. Cheque received from Anand on May, 6 was deposited on another date, that is, on May 9.
 3. Credit purchase is not entered in cash book.
 4. Drawn from bank is meant for office use only.

Cash Book with Discount, Cash and Bank Columns

Dr.					Cr.								
Date	Particulars	R.N.	L.F.	Discount Rs	Cash Rs	Bank Rs	Date	Particulars	V.N.	L.F.	Discount Rs	Cash Rs	Bank Rs
2009							2009						
May 1	To Balance b/d				500	1,000	May 2	By Bank A/c				10,000	5,000
May 2	To Cash A/c		C			10,000	May 5	By Purchases A/c		C			1,500
May 3	To Investment A/c				50,000		May 7	By Vijay's A/c		C			10,000
May 6	To Anand A/c			100	9,900		May 8	By Cash A/c		C			
May 8	To Bank A/c		C		10,000		May 9	By Bank A/c				9,900	
May 9	To Cash A/c		C			9,900	May 10	By Ajay's A/c		C	20		1,980
May 11	To Bank A/		C		500		May 11	By Cash A/c				1,000	500
							May 12	By Drawings A/c				50,000	1,920
2009				<u>100</u>	<u>70,900</u>	<u>20,900</u>	May 31	By Balance c/d			<u>20</u>	<u>70,900</u>	<u>20,900</u>
June 1	To Balance b/d				50,000	1,920							

Note: 1. Transactions involving Contra Entry have to be entered carefully by denoting letter "C" in L.F. Column.
2. Discount Column need not be balanced. They are only totalled.

Illustration: 6

Enter the following transactions in the three column cash book of Bhagya Shree.

- 2009, Mar 1 Bhagya Shree started business with cash Rs 1,50,000
- 2 Deposited into bank Rs 50,000
- 4 Sold goods to Sathyan for Rs 20,000, cash discount allowed 2% and received cash for the balance
- 5 Bought goods Rs 20,000 on credit
- 6 Sent to Kaveri by money order Rs 400, the money order commission Rs 20
- 7 Dividend collected by the bank as per Pass Book Rs 1,600
- 8 Received repayment of loan from Parul Rs 17,000
- 9 Vasanth, one of our customers, paid directly into the Bank Account Rs 9,000
- 10 Cheque issued in favour of Raj, for the purchase of office equipment Rs 7,600
- 11 Renu settled her account for Rs 5,000 by giving cheque for Rs 4,850
- 12 Renu's cheque sent for collection to the bank
- 13 Raj, to whom she issued a cheque was dishonoured
- 14 Renu's cheque returned dishonoured

Solution**Notes**

- Mar 1 Business started with cash is entered as "Capital A/c"
- 2 Contra Entry
- 5 Goods purchased on credit is not entered in cash book
- 6 M. O. commission is treated as expense
- 7 Dividend collected by bank entered in Bank Column directly
- 8 Repayment of Loan – Personal, entered as Parul's A/c
- 9 Vasanth's direct payment to bank – direct entry in the Bank Column
- 12 Contra Entry
- 13 Our enterprise's cheque dishonoured – entered in the debit side
- 14 Customer's cheque dishonoured – entered in the credit side

Cash Book with Discount, Cash and Bank Column

Dr.							Cr.						
Date	Particulars	R.N.	L.F.	Discount Rs	Cash Rs	Bank Rs	Date	Particulars	V.N.	L.F.	Discount Rs	Cash Rs	Bank Rs
2009							2009						
Mar 1	To Capital A/c				1,50,000		Mar 2	By Back A/c				50,000	
Mar 2	To Cash A/c		C			50,000	Mar 6	By Kaveri A/c		C		400	
Mar 4	To Sales A/c			400	16,000		Mar 6	By M.O. Commission A/c				20	
Mar 7	To Dividend A/c					1,600	Mar 10	By Raj's A/c					7,600
Mar 8	To Parul's A/c				17,000		Mar 12	By Bank A/c		C		4,850	
Mar 9	To Vasanth's A/c					9,000	Mar 14	By Renu's A/c					4,850
Mar 11	To Renu's A/c			150	4,850		Mar 31	By Balance c/d				1,32,580	60,600
Mar 12	To Cash A/c		C			4,850							
Mar 13	To Raj's A/c					7,600							
				<u>550</u>	<u>1,87,850</u>	<u>73,050</u>						<u>1,87,850</u>	<u>73,050</u>
2009													
Apr 1	To Balance b/d				1,32,580	60,600							

OBJECTIVE 10: MEANING, SALIENT FEATURES AND ADVANTAGES OF PETTY CASH BOOK

10.1 Meaning

In every business enterprise, whatever may be its size, there are a large number of transactions of small value of money and that too in cash. Some such transactions are postage, travelling expense, printing, carriage and the like. Such expenses are repetitive in nature.

A cash book in which transactions of an enterprise, having small value and of recurring nature are recorded is called “Petty Cash Book.” It is also a subsidiary book.

Expenses incurred in these transactions are of small value. Those transactions occur again and again and often. Further these expenses are to be paid in cash.

Petty Cashier: A person who maintains the petty cash book is called the Petty Cashier. That person – the petty cashier is a cashier in addition to others who maintain other type of subsidiary books. The petty cashier receives a quantum of amount for the estimated expenses for a specified period of time, often. He is authorised to make payment against vouchers.

Imprest System: Imprest means “money advanced on loan.” The method of dealing with petty cash payments is called the “Imprest System.”

How does it function: Under imprest system, a specified amount is sanctioned to the petty cashier. To begin with, that is, at the beginning of the accounting period, this specified amount is given to the petty cashier. At regular intervals or when the petty cashier spends the entire amount allotted to him, he is given a new cheque for the exact amount spent by him. Hence, the petty cashier has the same fixed amount at the beginning of each new period. The specified sum is referred to as the imprest amount. This type of reimbursement of amount spent by the petty cashier at fixed period is known as the imprest system of petty cash.

10.2 Advantages

1. Recording petty expenses is relatively a very simple task.
2. The Petty Cash Book can be maintained by persons who even do not have specialised knowledge of accounting.
3. The chief cashier is relieved to a great extent from the cumbersome work of maintaining a large number of transactions of small value.
4. It requires minimum time in recording and maintaining petty cash books. Even in the ledger, only totals are posted.
5. At each time of reimbursement, the chief cashier checks the amount spent by the petty cashier. This process minimises the chances of mistakes and frauds.
6. As it facilitates the task of internal check by the main cashier, it enhances the responsibility and accountability of the petty cashier. The efficiency of cash management is strengthened at the grass root level.

10.3 Salient Features

This is also known as “Column Cash Book” because this book consists of many columns. For each petty expense, there is a separate column. This book also has both debit and credit side. But the debit side column is so small because cash received from the main cashier has to be entered only once for the period. The credit side is so vast in order to accommodate all petty expenses, a separate column for each important item

of such petty expenses. Each petty payment is first entered in the total payment column, and then recorded in the respective analytical column.

OBJECTIVE 11: FORMAT AND METHOD OF RECORDING TRANSACTIONS IN THE ANALYTICAL FORM OF PETTY CASH BOOK

11.1 Format of Analytical Petty Cash Book of...

Analytical Petty Cash Book																				
Dr.					Cr.															
Receipt	C.B.F.N.	Date	Particulars	V.N.	Total Payments		Postage Phone Fax etc.		Printing and Stationery		Travelling Expenses		Carriage		Office Expenses Repairs		Sundries		L.F.	Personal Account
					Rs	P	Rs	P	Rs	P	Rs	P	Rs	P	Rs	P	Rs	P		

11.2 Explanations of Column and Procedure for Recording

1. *Receipt*: Opening balance is shown in this column along with the amount received by the petty cashier is recorded in this column.
2. *C.B.F.N.*: Cash Book Folio Number, that is, the page number of the cash book where the cash paid by the cashier is to be recorded in this column.
3. *Date*: Date of receipt or date of payment is recorded.
4. *Particulars*: Details of receipts and payments are written as "To Cash." All payments of petty expenses are written as "By" (name of the expense).
5. *V.N*: The serial number of voucher (Payment of cash) is recorded.
6. *Total Payments*: Amount of every expense is written. At the end of the stipulated period, expenses are totalled. The total expenses in this column is compared with the total of the receipts column and the balance is arrived at.
- (7 to 11) Column representing the category of expense for various items have to be recorded separately. In case, if the item of expense cannot be classified, such expenses can be recorded in the column "Sundries." To put in other words, expenses which do not have specific columns, are to be entered in this column.
12. *L.F*: Page number of ledger (where the respective account is recorded) is shown here.
13. *Personal Account*: Payments made to individuals (small account) are recorded in this column.

11.3 Balancing Procedure

At the end of the specified period, the Total Payments Column are totalled. Then individual payments column are totalled. Both should be always equal.

After ascertaining this, the total payments thus arrived at, shall be compared with the total amount received from the Receipt column and the balance is obtained.

The closing balance is recorded as "By Balance c/d." The closing balance is carried forward to the beginning of the next period and is written as "To Balance b/d" in the Particulars Column.

Illustration: 7

On Apr 1, 2009 a cheque of Rs 9,850 was given to the petty cashier to pay petty cash expenses for which the transactions are as follows:

	Rs
Apr 1 Petty cash-in-hand	150
2 Carriage	100
3 Bus fare	50
4 Postal stamps	150
5 Stationery	1,300
6 Railway fare	150
7 Courier service expenses	200
8 Printing charges	300
9 Fax expenses	200
10 Internet expenses	350
14 Office expenses	600
18 Taxi	400
19 Paper to take print outs	890
20 Advertisement	1,850
21 Floppy and Pen drives	1,200
27 Office cleaning	600
28 Charities	50
29 Refreshment to customers in the form of cool drink/coffee who visit office	300
30 Railway freight	710

Enter these transactions in the analysis form of petty cash book.

11.4 Passing of Journal Entries

1. On receipt of advance:

Petty Cash A/c Dr.
 To Cash A/c

2. On totalling of various petty expenses:

1. A/c
 (Name of Expenses) Dr.
2. Dr.
3. Dr.

 To Petty A/c

11.5 Posting to Ledger

(i) A Separate Petty Cash Account is opened. Petty Cash A/c is to be debited and total of all expenses will be credited under the head Sundries. Then this account has to be balanced. This balance will be shown in the Balance Sheet as part of cash balance.

(ii) Then individual ledgers for all times of expenses have to be opened.

Taking the figures format from the previous Illustration 7, the procedure for passing journal entries and posting is described as below:

Journal

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
2009 Apr 1	Petty Cash A/c To Cash A/c (Receipt of advance for petty expense)	Dr.	9,850	9,850
Apr 30	Postage	Dr.	900	
	Printing and Stationery	Dr.	3,690	
	Carriage	Dr.	810	
	Travelling Expenses	Dr.	600	
	Office Expenses	Dr.	1,500	
	Sundries	Dr.	1,900	
	To Petty Cash A/c (Expenses incurred as per book)			9,400

Petty Cash A/c

Dr.

Cr.

Date	Particulars	Amount Rs	Date	Particulars	Amount Rs
2009 Apr 1	To Balance		2009 Apr 30	By Postage A/c	900
	b/d	150		By Printing and Stationery A/c	3,690
	To Cash	9,850		By Carriage A/c	810
	A/c			By Travelling Expenses A/c	600

Dr.**Cr.**

Date	Particulars	Amount Rs	Date	Particulars	Amount Rs
				By Office Expenses A/c	1,500
				By Sundries A/c	1,900
				By Balance c/d	600
		<u>10,000</u>			<u>10,000</u>
May 1	To Balance b/d	600			

Postage A/c

Date	Particulars	Rs	Date	Particulars	Rs
2009 Apr 30,	To Petty Cash A/c	900			

Printing and Stationery A/c

Date	Particulars	Rs	Date	Particulars	Rs
2009 Apr 30	To Petty Cash A/c	3,690			

Carriage Account

Date	Particulars	Rs	Date	Particulars	Rs
2009 Apr 30	To Petty Cash A/c	810			

Travelling Expenses A/c

Date	Particulars	Rs	Date	Particulars	Rs
2009 Apr 30	To Petty Cash A/c	600			

Office Expenses A/c

Date	Particulars	Rs	Date	Particulars	Rs
2009 Apr 30	To Petty Cash A/c	1,500			

Sundries A/c

Date	Particulars	Rs	Date	Particulars	Rs
2009 Apr 30	To Petty Cash A/c	1,900			

OBJECTIVE 12: PURCHASES BOOK – MEANING AND FORMAT AND METHODS OF PREPARING PURCHASE BOOK AND LEDGER ACCOUNTS

12.1 Meaning of Purchase Book

This is another special subsidiary book. Transactions relating to goods purchased on credit, which are meant for resale are to be recorded in this book. This is also called as Bought Day Book. Hence, the two essential ingredients of a transaction to be recorded in the Purchases Book are:

- (i) Purchase of goods for *resale* only.
- (ii) Purchase of goods *on credit* basis only.

Hence, cash purchase of goods are not to be recorded in the Purchases Book. And purchase of assets (cash and credit) should not be recorded in this book of original entry.

Before going to the main part of recording business transactions in “Purchases Book,” one has to understand the following terms (which have been discussed already refer Chapter 4b) – Invoice, Cash Discount and Trade Discount. No need to explain again in detail. Just to remind they are put in short version:

Invoice: It is a statement of goods bought item-wise, price-wise.

Cash Discount: This discount is allowed to customers to encourage prompt payment within a short, stipulated time. An important part to be noted is that this discount is not deducted from invoice price. It is shown in the books of accounts by opening separate account.

Trade Discount: This discount is allowed to customers and is deducted from the list price. It is not shown in the books of accounts. This may be in the form of a certain quantity or a certain amount.

12.2 Format

Purchases Book

Date	Particulars	Inward Invoice No.	L.F.	Amount		Remarks
				Details Rs	Total Rs	

12.2.1 Explanation and Procedure of Recording

Date Column	Enter the date on which the transaction takes place.
Particulars Column	Name of the seller (supplier) and the particulars of goods purchased are shown in the column.
Inward Invoice No. Column	The serial number of the inward invoice is to be entered.
L.F. Column	The page number of the suppliers account in the ledger account is to be entered.
Details Column	The amount of goods purchased and the amount of trade discount are entered.
Total Column	The net price of goods (after adjusting discount and expenses), that is, the amount which is payable to the creditors will have to be recorded.
Remarks	Any additional information has to be shown in this column.

Illustration: 8:

Prepare the Purchases Book and ledger accounts related to this, from the following transactions of Good Luck Enterprises for June 2009.

2009

June 8 Bought from Vivek and Co. on credit:

10 Washing Machines @ Rs 9,000

5 Micro Wave Ovens @ Rs 7,000

Trade Discount @ 20%

June 15 Purchased for cash from Rahman and Bros.

2 Computers @ Rs 47,500

June 28 Purchase on credit from Lalit and Co.

2000 CDs @ Rs 25

100 Pen Drives @ Rs 500

Trade Discount @ 10%

June 29 Purchased on credit, from Robert and Bros.

2 Lap-Tops @ Rs 80,000

Solution**Books of Good Luck Enterprises****Purchases Book**

<i>Date</i>	<i>Invoice No.</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Details Rs</i>	<i>Total Amount Rs</i>
2009		Vivek and Co.			
June 8		10 Washing Machines @ Rs 9,000		90,000	
		5 Micro Wave Ovens @ Rs 7,000		35,000	
				<u>1,25,000</u>	
		Less: Trade Discount @ 20%		<u>25,000</u>	1,00,000
		Lalit and Co.			
		2000 CDs @ Rs 25		50,000	
		100 Pen Drives @ Rs 500		<u>50,000</u>	
		Less: Trade Discount @ 10%		<u>1,00,000</u>	
				<u>10,000</u>	90,000
		Total			<u>1,90,000</u>

Notes

- Cash purchase on June 15, is not recorded in Purchases Book.
- Even though Lap-tops are purchased on credit, it is presumed that they were not for resale. As such it is also not shown in this account.
- Trade Discount is calculated and deducted.

Ledger Accounts
Purchases Account

Dr.**Cr.**

Date	Particulars	Amount Rs	Date	Particulars	Amount Rs
2009 June 30	To Sundries A/c (as per Purchases Book)	1,90,000			

Vivek and Co. Account

Dr.**Cr.**

Date	Particulars	Amount Rs	Date	Particulars	Amount Rs
			2009 June 8	By Purchases A/c	1,00,000

Lalit and Co. Account

Dr.**Cr.**

Date	Particulars	Amount Rs	Date	Particulars	Amount Rs
			2009 June 28	By Purchases A/c	90,000

Illustration: 9

Modern Electronics purchased the following goods on credit during February 2009. Enter them in the Purchases Book.

2009

- Feb 3 Bought from Crescent Electronics, 100 F.M. Radio sets @ Rs 150 per set. Trade discount @ 10%. VAT paid by us @ 12%.
- Feb 7 Purchased from Alpha Electronics, 30 pieces of Two-in-one Tape Records @ Rs 1,750. Trade discount 20%. Packing and forwarding charges Rs 300. VAT @ 8%.
- Feb 15 Purchased from Moon Electronics, compact MP3 Players @ Rs 1,350-20 players. Trade discount 10%. DVD players 50 pieces each costing Rs 3,000. Packing charges Rs 400. Transport charges Rs 5,000. All expenses to be borne by purchasing firm.

Solution:

First, Trade discount is to be deducted.

Then, from the total amount, that is, after deducting trading discount, VAT and Packing and to forwarding charges are added one after the other separately.

Modern Electronics Purchase Book

Date	Particulars	L.F.	Amount	
			Details Rs	Total Rs
2009 Feb 3	Crescent Electronics: 100 F.M. Radio sets @ Rs 150 Less: Trade discount @10%		15,000 <u>1,500</u>	

Date	Particulars	L.F.	Amount	
			Details Rs	Total Rs
Feb 7	Add: VAT @12%		13,500	15,120
			<u>1,620</u>	
	Alpha Electronics:			
	30 Pieces of Two-in-one Records @ Rs 1,750		52,500	
	Less: Trade discount @ 20%		<u>10,500</u>	
Feb 15			42,000	
	Add: VAT @ 8%		<u>3,360</u>	
			45,360	
	Add: Packaging and Forwarding charges		<u>300</u>	48,660
	Moon Electronics:			
	20 Compact MP3 Players @ Rs 1350		27,000	
	Less: Trade discount @ 10%		<u>2,700</u>	
			24,300	
	50 DVD Players @ Rs 3,000		<u>1,50,000</u>	
			1,74,300	
	Add: Packing charges		<u>400</u>	
			1,74,700	
	Add: Transport charges		<u>5,000</u>	1,79,700
	Total			2,43,480

OBJECTIVE 13: MEANING, FORMAT AND FEATURES OF SALES BOOK

This is another unimportant subsidiary book. This is also called as Sales Day Book. All credit sales of goods (dealt by the trader in his business) are recorded in this book. Cash sales of goods and sale of assets (cash as well as credit) and sale of goods other than those involved in this business on credit are not recorded in this book.

13.1 Format of Sales Book

Sales Book

Date	Outward Invoice No.	Particulars	L.F.	Amount	
				Details	Total

13.2 Explanation and Procedure for Recording Transaction

- Date Date on which the transaction takes place is entered in this column.
 Outward Invoice No. The serial number of outward invoice is written in this column.

Particulars	The name of purchasers and details of goods sold are recorded in this Particulars Column.
L.F.	The page number of the customers' accounts in the ledger is shown in this Ledger Folio Column.
Amount Details	Amount of goods sold (and trade discount amount) is recorded in this column.
Amount Total	The net amount, which is receivable from the customers is to be recorded in this column.

Illustration: 10

From the following transactions, prepare the Sales Book of Venkatesh for Apr 2009 and necessary ledger accounts related to it.

2009

- Apr 2 Sold on credit to Sun Traders 10 Titan watches @ Rs 1,500 10% discount is allowed.
 Apr 5 Sold to Banu for cash 5 Titan (crystal) watches @ Rs 2,000.
 Apr 7 Sold to Singh and Co. 10 Titan (digital) watches @ Rs 2,500 10% discount is allowed.
 Apr 10 Sold on credit an old show case Rs 9,000.

Solution

In the Books of Venkatesh
Sales Book

Date	Outward Invoice No.	Particulars	L.F.	Amount Details Rs	Total Rs
2009 Apr 2		Sun Traders 10 Titan watches @ Rs 1,500 Less: Discount @ 10% [sold to Sun Traders, Invoice No. dated]		15,000 <u>1,500</u>	<u>13,500</u>
Apr 7		Singh and Co. 10 Titan digital watches @ Rs 2,500 Less: Discount @ 10% [sold to Singh and Co. Invoice No. dated]		25,000 <u>2,500</u>	<u>22,500</u>
		Total			<u>36,000</u>

Note: Apr 5: Cash sales is not recorded in Sales Book.

Apr 10: An old show case (the firm does not deal in furniture) is not entered. Only credit sale of merchandise is recorded.

But, in practice, only net amount is recorded, as details can be had from respective Invoice. It is shown as below:

Sales Book (Sales Journal)

Date	Invoice No.	Particulars	L.F.	Details Rs	Amount Rs
2009 Apr 2		Sun Traders			13,500
Apr 7		Singh and Co.			<u>22,500</u>
Apr 30		Total Sales Account			<u>36,000</u>

Ledger Accounts**Sales Account**

<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>
			2009 Apr 30	By Sundries A/c (as per Sales Book)	36,000

Sun Traders Account

<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>
2009 Apr 2	To Sales A/c	13,500			

Singh and Co. Account

<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>
2009 Apr 7	To Sales A/c	22,500			

Illustration: 11

Enter the following transactions in Sales Day Book and post them to ledger.

- 2009 Jan 2 Sold to Laxmi Textiles, 300 metres of polycot quality @ Rs 120 per metre. Trader discount 10%, VAT @ 10% .
- Jan 5 Sold to Chennai Tex, 200 pieces of Jeans @ Rs 350 each; 200 pieces of T- shirts @ Rs 125 each. Trade discount @ 10%, VAT @ 12%.
- Jan 19 Sold to Anand Enterprises, 300 pieces of chudidhars @ Rs 400 each; 300 pieces of Tops @ Rs 250 each. Trade discount 20%. VAT @ 12%.
- Use separate columns.

Solution : This can be depicted in columnar Sales Book as follows:

Columnar Sales Book

<i>Date</i>	<i>Invoice No.</i>	<i>Particulars</i>	<i>L.F</i>	<i>Gross Amount Rs</i>	<i>Trade Discount Rs</i>	<i>Net Price Rs</i>	<i>VAT</i>	<i>Total Amount Rs</i>
2009 Jan 2		Laxmi Textiles 300 meter of polycot @ Rs 120 per meter		36,000	3,600	32,400	3,240	29,160
Jan 5		Chennai Tex 200 pieces of Jeans @ Rs 350 each		70,000	7,000	63,000	7,560	55,440

(Continued)

(Continued)

<i>Date</i>	<i>Invoice No.</i>	<i>Particulars</i>	<i>L.F</i>	<i>Gross Amount Rs</i>	<i>Trade Discount Rs</i>	<i>Net Price Rs</i>	<i>VAT</i>	<i>Total Amount Rs</i>
Jan 19		200 pieces of T- Shirts @ Rs 125 each		25,000	2,500	22,500	2,700	19,800
		Anand Enterprises						
		300 Pieces of Chudidhars @ Rs 400 each.		1,20,000	24,000	96,000	11,520	84,480
		300 pieces of Tops @ 250 each		75,000	15,000	60,000	7,200	52,800
				<u>3,26,000</u>	<u>52,100</u>	<u>2,73,900</u>	<u>31,950</u>	<u>241,680</u>

Columnar Sales Book Ledger Accounts Sales Account

<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>
			Jan 31, 2009	By Total Sales as per Sales Book	2,73,900

Vat Payable Account

<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>
			Jan 31, 2009	By Sunday Debtors A/c	31,950

Laxmi Textiles Account

<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>
2009 Jan 2	To Sales A/c	32,400			
	To VAT payable A/c	3,240			

Chennai Tex A/C

<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>
2009 Jan 5	To Sales A/C To VAT payable A/c	85,500 10,260			

Anand Enterprises Account

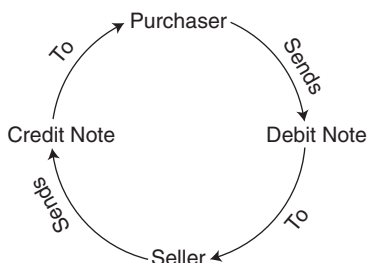
<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Amount Rs</i>
2009 Jan 19	To Sales A/C To VAT payable A/c	1,56,000 18,720			

OBJECTIVE 14: MEANING AND FEATURES OF PURCHASES RETURNS BOOK

The return of goods by the purchaser to the seller is called as Purchaser returns or Returns outwards. The transactions relating to Purchases returns and recorded in a separate book (subsidiary book or book of original entry). This book is known as Purchases Returns Book. This book is used to record the returns of goods by the purchaser to the seller.

But, generally the transactions in Purchase Returns Book are recorded on the basis of “Debit Note.” A debit note is a source document. It is prepared by the purchaser to be sent to the seller. Main object is to inform the supplier that his account has been debited with the amount mentioned and for the reasons stated in.

We call it a debit note because the supplier’s account is debited with the amount (value of goods returned). The same note acts as a ‘credit note’ from the supplier’s point of view because he will credit the account of the purchaser from whom the supplier has received that note along with goods. The flow of note (debit note and credit note) is represented as:

**Format of Purchases Returns Book**

<i>Date</i>	<i>Particulars</i>	<i>Debit Note No.</i>	<i>L.F.</i>	<i>Amount</i>		<i>Remarks</i>
				<i>Details Rs</i>	<i>Total Rs</i>	

14.1 Explanation and Procedure for Recording Purchases Returns Transactions

Date	The date on which the goods were returned to the suppliers is entered in this data column.
Particulars	The suppliers name, description of goods, trade discount percentage-all are recorded in this particulars column.
Debit Note No.	The serial number of the Debit Note prepared by the purchaser is shown.
L. F.	The page number of suppliers A/c entered in ledger account is entered here.

Details	The amount of goods returned, trade discount amount are recorded in this column.
Total	The net value of goods (after adjustments) is to be recorded in this column.
Remarks	Reasons for return of goods are recorded in this column.

General reasons for return of goods are:

1. Goods are spoiled
2. Damaged in transit
3. Excess of quantity than in the order
4. Inferior in quality
5. Not supplied in time
6. Mechanical defects.

Start any of the seasons in short short-version.

Note: 1. Net value of goods is determined after deducting trade discount.
2. Allowances, if any are to be deducted.

14.2 What is an 'Allowance'?

Under certain circumstances, it may not be possible to return goods physically due to reasons beyond control. In such a situation, the supplier compensates the purchaser by extending concessions in the form of monetary value. This is known as allowance. To put it in other words, allowance means reduction in the amount of purchase price payable by the purchaser, allowed by the supplier.

14.2.1 Accounting Treatment

Such an allowance is recorded in the Purchase Returns Book (amount will be equal to the net price of goods to be returned). (Supplier) Seller is debited with that amount of allowance.

This amount is debited from the total amount of purchases while preparing Trading Account.

Illustration: 12

Enter the following transactions in the Purchases Returns Book of Veena Traders and prepare the ledger books related to it:

2000 May 10	Returned to Sonal Enterprises 5 kgs of Coffee Powder @ Rs 200 per kg. net
May 16	Returned to Moonar Tea Co, 20 kgs of Tea Dust @ Rs 180 per kg.net
May 20	Returned to Aruna Sugars 100 kgs of Sugar @ Rs 12 per kg. net (Trade discount @ 10% to all the goods applicable)

Solution

In the Books of Veena Traders Purchases Return Book

Date	Particulars	Debit Note No.	L.F.	Amount		Remarks
				Details Rs	Total Rs	
2009 May 10	Sonal Enterprises 5 kgs of Coffee Powder @ 200 per kg Less: Trade Discount @ 10%			1,000 100	900	Inferior Quality
May 16	Moonar Tea Co. 20 Kgs of Dust Tea @ Rs 180/kg Less: Trade Discount @ 10%			3,600 360	3,240	Spoilt

Date	Particulars	Debit Note No.	L.F.	Amount		Remarks
				Details Rs	Total Rs	
May 20	Aruna Sugars 100 kgs of sugar @ Rs 12 per kg Less: Trade Discount @ 10% Total			1,200 120	1,080 5,320	Excess as per order

Ledger Accounts In the Books of Veena Traders Purchase Return Book

Dr.

Cr.

Date	Particulars	Amount Rs	Date	Particulars	Amount Rs
			2009 May 31	By Total Purchases Return (as per Purchases Return Book)	5,320

Sonal Enterprises Account

Dr.

Cr.

Date	Particulars	Amount Rs	Date	Particulars	Amount Rs
2009 May 10	To Purchases Returns A/c	900			

Moonar Tea Co Account

Dr.

Cr.

Date	Particulars	Amount Rs	Date	Particulars	Amount Rs
2009 May 16	To Purchases Returns A/c	3,240			

Aruna Sugars Account

Dr.

Cr.

Date	Particulars	Amount Rs	Date	Particulars	Amount Rs
2009 May 20	To Purchases Returns A/c	1,080			

OBJECTIVE 15: MEANING AND FEATURES OF PURCHASES RETURNS BOOK

This is another special subsidiary book. This book is used to record the goods returned to the business enterprises by the customers. As goods are coming into the business, this is also known as Returns Inward Book. The entries in the Sales Return Book are made on the basis of credit notes.

In fact, when the goods are sold to the customers, their accounts are debited. Hence, when the goods are returned by the customers, the business firms will have to credit their accounts. This is carried on by sending a Credit Note to the customers.

15.1 Format

Sales Returns Book

Date	Particulars	Credit Note No.	L.F.	Amount		Remarks
				Details Rs	Total Rs	

Explanation and Procedure for recording transactions:

Date	The date on which sales return took place is shown in this column.
Particulars	The name of the customers who returned the goods, details of goods and discount terms are recorded in this column.
Credit Note No.	The serial number of Credit Note is entered here.
L.F.	This column shows the page number of customer's account in the ledger column
Details	Amount of goods and amount of discount are to be recorded in this column
Total	The net amount (after adjustments) is recorded in this column.
Remarks	Reasons for goods returned by customers are recorded in this column

Illustration 13

Enter the following transactions in the books of Tiwari and post them to the ledger:

2009 Jan 14	Returned by Hemant 20 shirts each costing Rs, 390 each Trade discount 10%
2009 Jan 27	Returns from Pande 30 Pants each costing Rs 690 each Trade discount 10%

Solution

In the Books of Tiwari
Sales Return Book

Date	Particulars	Credit Note No.	L.F.	Amount		Remarks
				Details Rs	Total Rs	
2009 Jan 14 Jan 27	Hemant 20 Shirts @ Rs 390 each Less : Trade Discount @ 10% 30 Pants @ Rs 690 each Less: Trade Discount @ 10% Total			7,800 780 2,070 207	7,020 1,863 8,883	Inferior Quality Spoilt in transit

Sales Returns Account

Dr.

Cr.

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
2009 Jan 31	To Total Sales Returns (As per Sales Return Book)		8,883				

Hemant Account**Dr.****Cr.**

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
				2009 Jan 14	By Sales Returns A/c		7,020

Pande Account**Dr.****Cr.**

Date	Particulars	Folio	Amount Rs	Date	Particulars	Folio	Amount Rs
				2009 Jan 27	By Sales Returns A/c		1,863

OBJECTIVE 16: MEANING OF BILLS OF EXCHANGE SPECIMEN AND MEANING OF SOME IMPORTANT TERMS

16.1 Bills of Exchange

Detailed procedure for recording transactions relating to bills of exchange is not explained in this chapter. Only certain important terms relating to bills are discussed in this chapter, which are needed to understand how does it act as a source document.

Bill of Exchange's role in credit transactions attains much significance. "Bill of Exchange is an instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay a certain sum of money. Only to, or to the order of a certain person or to the bearer of the instrument."

16.2 Specimen or Format of Bill of Exchange

Stamp	Accepted Jaleel 5.3.2009	1015, Babu Market New Delhi-23
Rs 25,000/-		1-3-2009
Two months after date Pay to me or to my order the sum of Rupees Twenty Five Thousand only for value received.		
To		Sameer
Mr. Jaleel		
3012-C, Janpath,		
Bhubaneswar		

16.3 Meaning of Important Terms

- Drawing of a bill:* The creditor (seller) prepares the bill. The act of preparing the bill in its complete form with his signature is called "Drawing" a bill.
- Parties to a bill:*
 - (a) *Drawer:* The person who prepares the bill is called the "Drawer". (He is the creditor or seller). In the format, Sameer is the Drawer.

- (b) Drawee: The person who accepts to make the payment is called the “Drawee.” (He is the debtor). In the above format Jaleel is the Drawee.
- (c) Payee: The person who receives the payment is called “Payee.” The payee may be the drawer or some third party. In the above format, Sameer himself is the Payee.

Acceptance: In a bill, the drawee gives his acceptance by writing the word “Accepted” and signing with date. In this format, the drawee, Jaleel writes accepted and signs with date. This process is termed as “Accepted.” Once a bill is accepted, then the bill attains the legal status under the Negotiable Instruments Act 1881.

Endorsement: In order to transfer the title of the bill to another person, one signs on the face or on the backside of the bill. This is called “Endorsement”. The person who endorses (signs) is called “Endorser”. The person to whom a bill is endorsed is called “Endorsee”. The endorsee thereby acquires the title of the Bill (property).

Due date: The date on which the payment has to be made is called “Due Date”. In the above format, the date of bill is 1.3.2009. Here, the bill is payable after a specified period i.e. two months (i.e.) 1.5.2009 (May 1).

Day of Grace: In practice, three extra days are given. These three days have to be added with the due date i.e. $1.5.2009 + 3 \text{ days} = 4.5.2009$ (4th May). These three extra days allowed is called “Days of Grace” as such the due date of this bill is 4.5.2009. If this date is notified as holiday under Negotiable Instrument Act, then the previous day i.e. 3.5.2009 will be the due date.

Discount: If a person, wants money before the due date, he may do so by surrendering the for a lesser amount with a bank. This is called “discounting of a bill.” The banker deducts a certain amount from its face value, i.e. the amount written on the bill. This is called discount. He can get the balance immediately.

Retirement: Under certain circumstances, before the due date, payment is made by an acceptor. His liability is discharged thereby. This is called “retirement.” In such a case, the holder of the bill allows a concession called rebate in order to compensate the drawee for the unexpired period of the “Bill”.

Dishonour and Noting: If the obligation of payment is not fulfilled, on its presentation demanding payment. Then it is called “Dishonour of Bill.”

In case if the bill is dishonoured, the drawer of the bill can approach the court to recover the amount for documentary evidence, he has to approach a lawyer, who in turn after proper enquiry with the drawee, the lawyer gets the document signed by the drawee, endorsed by the lawyer. This process is called “noting.” The certificate issued by the lawyer (Notary Public) is called “Protest.”

OBJECTIVE 17: PROCEDURE OF RECORDING TRANSACTIONS IN B/R AND B/P BOOKS

17.1 Bills Receivable and Bills Payable Books

When large number of bills are drawn and accepted, passing journal entries for each and every transaction relating to the bills will be an arduous task. Hence it becomes necessary to record them in Special Subsidiary Books called the Bills Receivable Book and Bills Payable Book. These special subsidiary books record only the transactions relating to “drawing” and “acceptance” of bills. All the other transactions relating to bills such as endorsement, discount, retirement, renewal and so on are not recorded in these subsidiary books.

17.2 Bills Receivable Book

This book consists of a summary of transactions regarding a duly accepted bill received by a drawer. Main object of this book is to provide a future reference, despite the fact that this book contains other details of a bill. The name of the acceptor (debtor) due date, the amount and terms of payment are to be recorded in Bills Receivable Book.

17.2.1 Proforma of Bills Receivable Book

Bills Receivable Book

<i>Serial No. of Bill</i>	<i>Date Received</i>	<i>Date of the Bill</i>	<i>L.F.</i>	<i>From Whom Received</i>	<i>Drawer</i>	<i>Acceptor</i>	<i>Where Payable</i>	<i>Term</i>	<i>Due Date</i>	<i>Amount</i>	<i>Cash Book Folio</i>	<i>Remarks</i>

17.3 Bills Payable Book

This is also a Special Subsidiary Book. All the particulars of Bills Payable (proforma specimen shown in page 36) accepted by a person or party for the purpose of paying the amount at a future date to its creditors.

17.4 Posting of Bills Receivable and Bills Payable Books

17.4.1 Bills Receivable Book

This is totaled periodically as other subsidiary books. The total is debited to the Bills Receivable Account. The account of every individual debtor from whom the bills have been received, is credited in the ledger. The Bills Receivable Account is the account of an asset and as such it will always have a debit balance. The debit balance on any date will represent the amount of bills receivable unmatured and on hand.

17.4.2 Bills Payable Book

Amount of each bill payable is posted to the debit side of the drawer's account. The total of the amount column in the Bills Payable Book is credited to Bills Payable Account. Bills Payable Account will always have a credit balance. The credit balance of this account on any date will be the same as the total amount worth of bills yet to be presented for payment.

Proforma (Specimen) of Bills Payable Book

<i>Serial No. of Bill</i>	<i>Date of the Bill</i>	<i>To Whom Given</i>	<i>Drawer</i>	<i>Payee</i>	<i>Where Payable</i>	<i>Term</i>	<i>Due Date</i>	<i>L.F.</i>	<i>Amount (Rs)</i>	<i>Date Paid</i>	<i>Cash Book Folio</i>	<i>Remarks</i>

Illustration: 14

Record the following transactions in Bills Receivable and Bills Payable Books alongwith postings in the ledge accounts:

2009

Mar 1 Received from Srinivasan bill duly accepted for Rs 1,27,500 dated Feb 20, 2009 payable three months after date

Mar 7 Accepted Vasu's draft for 77,000 at two months

Mar 10 Prabhu drew on his trader at three months date and the same was accepted for Rs 50,000

Mar 12 Drew on Rajesh at two months for Rs 90,000 and was accepted by him the next date (day)

Mar 16 Gave acceptance at three months for Rs 27,000 to Shiva

Mar 19 Received from Gopi his acceptance for Rs 1,10,000 at three months

Mar 21 Received from David, Anand's acceptance for Rs 45,000 at two months from Mar 15

Mar 24 Kesav accepted my draft at two months for Rs 27,500

Mar 27 Received from Satish bill for Rs 61,000 dated Mar 20, accepted by Ram and drawn by Mohan payable one month after date

Mar 30 Gave acceptance for Rs 99,000 at two months to Arora

Solution

Bill Receivable and Bill Payable Accounts have to be recorded after drawing the standard formats.

Then posting bill transactions from these two books to the accounts of debtors and creditors are made on the presumption that all the necessary sales and purchases entries have been duly recorded.

Bills Receivable Book

Serial No. of Bill	Date of the Bill	Date Received	From Whom Received	Drawer Whom Received	Acceptor	Where Payable (Place)	Term	Due Date 2009	L.F.	Amount (Rs)	Cash Book Folio	Remarks
1	2009 Mar 1	Feb 20	Srinivasan	Self	Srinivasan	Delhi	2 months	Apr 23		1,27,500		
2.	Mar 12	Mar 13	Rajesh	Self	Rajesh	Mumbai	2 months	May 16		90,000		
3.	Mar 19	Mar 19	Gopal	Self	Gopal	Chennai	3 months	June 22		1,10,000		
4.	Mar 21	Mar 15	David	David	Anand	Jaipur	2 months	May 18		45,000		
5.	Mar 24	Mar 24	Keshav	Self	Keshav	Lucknow	2 months	May 27		27,500		
6.	Mar 27	Mar 20	Satish	Mohan	Ram	Kolkatta	1 month	Apr 23		61,000		
							Total			4,61,000		

Bills Payable Book

Serial No. of Bill	Date of the Bill	To Whom Given	Drawer	Payee	Where Payable	Term	Due Date	L.F.	Amount (Rs)	Date Paid	Cash Book Folio	Remarks
1.	2009 Mar 7	Vasu	Vasu			2 months	2009 May 10		77,000			
2.	Mar 10	Prabhu	Prabhu			3 months	June 13		50,000			
3.	Mar 16	Shiva	Shiva			3 months	June 19		27,000			
4.	Mar 30	Arora	Arora			2 months	July 3		99,000			
						Total			2,53,000			

Ledger Accounts
Srinivasan's Account

Dr.**Cr.**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount (Rs)</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount (Rs)</i>
2009 Feb 20	Sales		<u>1,27,500</u> 1,27,500	2009 Mar 1	Bills Receivable		<u>1,27,500</u> 1,27,500

Rajesh's Account

Dr.**Cr.**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount (Rs)</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount (Rs)</i>
2009 Mar 12	Sales		<u>90,000</u> 90,000	2009 Mar 13	Bills Receivable		<u>90,000</u> 90,000

Gopal's Account

Dr.**Cr.**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount (Rs)</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount (Rs)</i>
2009 Mar 19	Sales		<u>1,10,000</u> 1,10,000	2009 Mar 19	Bills Receivable		<u>1,10,000</u> 1,10,000

David's Account

Dr.**Cr.**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount (Rs)</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount (Rs)</i>
2009 Mar 15	Sales		<u>45,000</u> 45,000	2009 Mar 21	Bills Receivable		<u>45,000</u> 45,000

Kesav's Account

Dr.**Cr.**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount (Rs)</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Amount (Rs)</i>
2009 Mar 24	Sales		<u>27,500</u> 27,500	2009 Mar 24	Bills Receivable		<u>27,500</u> 27,500

Satish's Account

Dr.

Cr.

Date	Particulars	L.F.	Amount (Rs)	Date	Particulars	L.F.	Amount (Rs)
2009 Mar 27	Sales		<u>61,000</u> 61,000	2009 Mar 27	Bills Receivable		<u>61,000</u> 61,000

Bills Receivable Account

Dr.

Cr.

Date	Particulars	L.F.	Amount (Rs)	Date	Particulars	L.F.	Amount (Rs)
2009 Mar 31	Sundries		<u>4,61,000</u> 4,61,000	2009 Mar 31,	Bills Receivable		<u>4,61,000</u> 4,61,000

Vasu's Account

Dr.

Cr.

Date	Particulars	L.F.	Amount (Rs)	Date	Particulars	L.F.	Amount (Rs)
2009 Mar 7	Bills Payable		<u>77,000</u> 77,000	2009 Mar 7	Purchases		<u>77,000</u> 77,000

Prabhu's Account

Dr.

Cr.

Date	Particulars	L.F.	Amount (Rs)	Date	Particulars	L.F.	Amount (Rs)
2009 Mar 10	Bills Payable		<u>50,000</u> 50,000	2009 Mar 10	Purchases		<u>50,000</u> 50,000

Shiva's Account

Dr.

Cr.

Date	Particulars	L.F.	Amount (Rs)	Date	Particulars	L.F.	Amount (Rs)
2009 Mar 16	Bills Payable		<u>27,000</u> 27,000	2009 Mar 16	Purchases		<u>27,000</u> 27,000

Arora's Account**Dr.****Cr.**

Date	Particulars	L.F.	Amount (Rs)	Date	Particulars	L.F.	Amount (Rs)
2009 Mar 30	Bills Payable		99,000 <u>99,000</u>	2009 Mar 30	Purchases		99,000 <u>99,000</u>

Bills Payable Account**Dr.****Cr.**

Date	Particulars	L.F.	Amount (Rs)	Date	Particulars	L.F.	Amount (Rs)
2009 Mar 31	Balance c/d		2,53,000 <u>2,53,000</u>	2009 Mar 31	Sundries Receivable		2,53,000 <u>2,53,000</u>

OBJECTIVE 18: JOURNAL PROPER AND DIFFERENT KINDS OF ENTRIES

The transactions which cannot be recorded in any of the subsidiary books are entered in a book – which is known as Journal Proper. This is also called Journal Residual or General Journal.

Following transactions are recorded in Journal Proper.

1. *Opening Entries:* In order to open new set of books in the beginning of new accounting year and record the opening balances of assets, liabilities and capital, the opening entry is made in the journal.
2. *Closing Entries:* Closing entries are recorded at the end of the accounting year for closing accounts relating to expenses and revenues (nominal accounts). These accounts are closed by transferring the balances to the Trading and Profit and Loss Account.
3. *Adjustment Entries:* In order to update ledger accounts, some unrecorded items like prepaid expense, depreciation are made at the end of accounting period.
4. *Transfer Entries:* Transfer entries are passed in the journal for transferring an account from one account to another account. E.g: Drawing Account is transferred to Capital Account at the end of the accounting year. Accounts relating to operation of business like sales, income, expenses are closed at the end of the year and their total or balances are transferred to Trading and Profit and Loss Account after recording journal entries.
5. *Rectification Entries:* Rectifying entries are passed for rectifying the various errors committed in the books of accounts such as totaling, balancing etc.
6. *Miscellaneous Entries* or Entries of casual nature: They are:
 - (i) Purchase and sale of items on credit other than goods.
 - (ii) Goods withdrawn for personal use by the owner
 - (iii) Endorsement of bills receivable to a creditor
 - (iv) Dishonour and cancellation of bills.
 - (v) Goods distributed as samples for sales promotion
 - (vi) Transactions relating to consignment and joint venture
 - (vii) Loss of goods by theft, spoilage etc
 - (viii) Bad Debts written off

Illustration: 15

- 2009 Mar 1 Purchased on credit two computers with system for Rs 50,000 from Delhi Computers.
 Mar 3 Purchased on credit from Tiruppur Tex, 100 hosiery products @ Rs 100 each.
 Mar 5 Purchased for cash electronic goods Rs 40,000 from Sharma Traders
 Mar 6 Purchased for cash from Royal Furniture 4 chairs @ Rs 750 each
 Mar 9 Returned one chair Rs 750 which was purchased for cash
 Mar 11 Returned to Tiruppur Tex 10 hosiery products @ Rs 100
 Mar 13 Returned one computer @ Rs 50,000 to Delhi computers

You are required to pass entries in Journal Proper.

Solution

First short list the transactions which will not be recorded in the Journal Proper: (can be recorded in subsidiary books)

- Mar 3 It will be recorded in the Purchases Book
 Mar 11 It has to be recorded in Purchases Return Book
 Mar 5 Cash purchase is to be recorded in Cash Book
 Mar 6 Cash purchase is to be recorded in Cash Book
 Mar 9 To be recorded in Cash Book

Only two transactions which cannot be recorded in other subsidiary books, have to be entered in the Journal Proper as follows:

Journal Proper

Date	Particulars	L.F.	Dr. (Rs)	Cr. (Rs)
Mar 1, 2009	Computer A/c Dr. To Delhi Computers A/c (2 computers purchased on credit)		1,00,000	1,00,000
Mar 13	Delhi Computers A/c Dr. To Computers A/c (1 computer returned to Delhi Computer)		50,000	50,000

Summary

- Subsidiary Books refer to the books meant for specific transactions of a similar nature.
- Kinds of Subsidiary Books: (i) Day Books, (ii) Bill Books, (iii) Cash Book and (iv) Journal Proper
- Day Books: (i) Purchases Book, (ii) Sales Book, (iii) Purchases Returns Book, (iv) Sales Returns Book. Bill Books: (i) Bills Receivable Book and (ii) Bills Payable Book; Cash Book: (i) Single Column Cash Book, (ii) Double Column Cash Book (iii) Triple Column Cash Book and (iv) Petty Cash Book and Journal Proper are the classifications of Subsidiary Books.
- Advantages: (i) Facilitates division of labour, (ii) Delegation of work, (iii) Detection of errors, (iv) Effects saving in time and labour and (v) Facilitates quick reference
- Distinction between Subsidiary Books and Journal (ref: The Tabular Column in the Text)
- Cash Book: All cash receipts and payments are recorded from the source books chronologically. Single Column Cash Book is similar to that of Cash Account in Ledger.
- Cash Book with Discount Columns: When cash discounts are allowed and received, one more column on both sides under 'Discount' is added to Cash Book columns. Discount Column need not get balanced as it is a Nominal Account

- In case, if all transactions are made only through banks, Bank Column is used instead of Cash Column.
- Triple Column Cash Book i.e. Cash Book With Discount, Cash and Bank Columns are in use when transactions are by cash and through bank with discount. In this book, when cash is deposited in bank or withdrawn from the bank, Contra Entry is made. Because this book is a combination of both cash and bank accounts both the aspects of transactions have to be recorded.
- Petty Cash Book is a kind of cash book in which transactions of an enterprise having of small value and recurrence in nature are recorded.
- Purchases Book: Purchases of goods for resale ONLY and on credit basis are recorded. Entry of trade discount, VAT and packing and forwarding charges have to be recorded.
- Sales Book: All credit sales (only) are to be recorded. Cash sales, sale of assets (cash and credit) and sale of goods other than involved in his business are to be excluded.
- Purchases Returns Book: (Returns Outward) – The return of goods by the purchaser to the seller (on the basis of Debit Note) are recorded.
- Sales Return Book: (Returns Inward) – The return of goods by the customers to the enterprises (on the basis of Credit Note) are recorded.
- Bills of Exchange is an instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay a certain sum of money only to, or to the order of a certain person or to the bearer of the instrument.”
- Bills Receivable Book contains a summary of transactions regarding a duly accepted bill received by a drawer. The name of the acceptor, due date, the amount and terms of payment are to be recorded.
- Bills Payable Book is another Subsidiary Book – an instrument accepted by a person for the purpose of paying the amount at a future date to its creditors.
- Journal Proper: The transactions that cannot be recorded in any of the Subsidiary Books are entered in this book. Such entries: (i) Opening entries, (ii) Closing entries, (iii) Adjustment entries, (iv) Transfer entries, (v) Rectification entries and (vi) Some miscellaneous entries.

Note: Method or procedure of recording transactions in various Subsidiary Books is not repeated in the Summary. Hence, the students have to refer the main part of the text.

A Objective-type Questions

I State whether the following statements are True or False

1. Each one of the subsidiary books is a special journal and a book of original or prime entry.
2. Journal entries are passed in all the subsidiary books.
3. Purchases Book records all purchases of goods by the trader.
4. Purchases Return Book records the goods returned by the customers.
5. Sales Book is meant for recording only credit sales of goods.
6. Sales Return Book records the goods returned by the trader to suppliers.
7. Bills Receivable Book records the receipt of bills.
8. Bills Payable Book records the acceptance of Bills Receivable.
9. Cash Book is used for recording only cash transactions.
10. Journal Proper is the journal which records the entries which cannot be entered in any of the subsidiary books.
11. When a customer returns the goods, a Debit Note is sent to him.
12. When the goods are sent to a supplier, a Credit Note is sent to him.
13. Cash Book is Journal as well as Ledger.
14. Closing entries are recorded in Balance Sheet.
15. The source document used for recording entries in Sales Book is invoice sent out.
16. The Sales Day-Book is a part of the Ledger.
17. The debit notes issued are used to prepare Sales Return Book.
18. Trade discount is not recorded in the books.
19. Cash discount is shown in the invoice.
20. In the calculation of the due date five extra days are added to the specified period of the bill are known as “Days of Grace.”
21. Cash Book will always show debit balance.
22. When an entry affects both cash and bank accounts, it is called a Contra Entry.
23. Discount Account must be balanced in the Cash Book.
24. The balance in the Cash Book shows net income.
25. Petty Cash is an expense.

26. A cheque received and paid into the bank on the same day is recorded in the cash column of Three Column Cash Book.
27. When a cheque received from a customer is dishonoured his account is debited.
28. In Triple Column Cash Book, cash withdrawn from the bank for office use will appear on credit side of the Cash Book only.
29. The total of Journal Proper will be debited Cash Account.
30. The total of Return Inward Book is posted to Purchase Returns Book.

Answers

- | | | |
|----------|-----------|-----------|
| 1. True | 11. False | 21. True |
| 2. False | 12. False | 22. True |
| 3. False | 13. True | 23. False |
| 4. False | 14. False | 24. False |
| 5. True | 15. True | 25. False |
| 6. False | 16. False | 26. False |
| 7. True | 17. False | 27. True |
| 8. False | 18. True | 28. False |
| 9. True | 19. False | 29. False |
| 10. True | 20. False | 30. False |

II Choose the Correct Answer

1. Purchase Book is used to record
 - (a) all purchases
 - (b) Only cash purchases
 - (c) Only credit purchases
 - (d) none of the above
2. Sales Book is kept to record
 - (a) all sales of goods
 - (b) all credit sales of goods
 - (c) all cash sales of goods
 - (d) all goods sent on consignment
3. Purchase of Machinery is recorded in
 - (a) Sales Book
 - (b) Purchases Book
 - (c) Cash Book
 - (d) Journal Proper
4. Purchases Return Book is used to record
 - (a) returns of goods purchased on credit
 - (b) returns of goods purchased for cash
 - (c) returns of goods purchased by cash and credit
 - (d) returns of goods by the seller
5. Sales Return Book is used to record
 - (a) returns of goods sold for cash
 - (b) returns of goods sold on credit
 - (c) returns of goods sold on both cash and credit
 - (d) none of the above
6. On 1st May 2009, Vivek draws a bill on Bhaskar for three months, its due date is:
 - (a) 1st August, 2009
 - (b) 4th August, 2009
 - (c) 31st July, 2009
 - (d) none of the above
7. The Cash Book records
 - (a) all cash payment
 - (b) all cash receipts
 - (c) all cash receipts and cash payments
 - (d) goods purchased for cash only
8. The balance of Cash Book indicates
 - (a) cash in hand
 - (b) cash in bank
 - (c) net profit
 - (d) only the difference between creditors and debtors
9. If a cheque issued by us is dishonoured the credit is given to:
 - (a) bank account
 - (b) supplier's account
 - (c) customer's account
 - (d) none of the above
10. The balance in the Petty Cash Book is
 - (a) a liability
 - (b) profit
 - (c) an asset
 - (d) an income
11. On 1 January 2009, Rs 1,750 was given to a petty cashier. The amount spent by him was Rs 1,250. On 1 February the cashier under the imprest system will receive:
 - (a) Rs 1,250
 - (b) Rs 500
 - (c) Rs 1,750
 - (d) Rs 3,000

Answers

- | | |
|--------|---------|
| 1. (c) | 7. (c) |
| 2. (b) | 8. (a) |
| 3. (d) | 9. (b) |
| 4. (a) | 10. (c) |
| 5. (b) | 11. (a) |
| 6. (b) | |

III Fill in the blanks with suitable word (s)

- Subdivisions of the journals into various books for recording transactions of similar nature are known as _____.
- Each one of the Subsidiary books is a special journal and a book of _____ entry.
- Purchases book is meant for recording _____.
- Only credit sales are recorded in _____.
- Goods returned by customers are recorded in _____.
- The goods returned by their trader to suppliers are recorded in _____.
- The person who prepares the bill of exchange is called the _____.
- Bills Receivable Book records the _____ of Bills
- Entries which cannot be entered in any of the subsidiary books are entered in _____.
- When a customer returns the goods, a _____ note is sent to him.
- When the goods are sent to a supplier, a _____ note is sent to him.

- Purchase – Day-Book is a part of _____.
- Closing entries are recorded in _____.
- In general, Cash Book shows _____ balance
- Petty cash is an _____.

Answers

- Subsidiary
- Original/Prime
- Credit purchases
- Sales Book
- Sales Return
- Purchases Return
- Drawer
- Receipt
- Journal Proper
- Credit
- Debit
- Subsidiary book/ journal
- Journal Proper
- Debit
- Asset

B Short Answer-type Questions

- What is a source document?
- What is an “Invoice”?
- What is a “Cash Memo”?
- What is a “Receipt”?
- What is a “Pay-in-slip”?
- What is a “Debit-note”?
- What is a “Credit-note”?
- What do you mean by “subsidiary books”?
- What is a trade discount?
- What is cash discount?
- What is a “Purchase Book”?
- What is a “Sales Book”?
- What is a “Purchase Returns Book”?
- What is a “Sales Returns Book”?
- Define a “Bill of Exchange”.
- What do you mean by endorsement of bill?
- Explain “Returning” of a bill.
- How can a bill of exchange be renewed?
- What is Journal Proper?
- Give four examples that appear in Journal Proper.
- What do you mean by an “Opening Entry”?
- Write a note on “Closing Entries”.
- Name the parties involved in a Bill of Exchange.
- What is a Cash book?
- What are the various kinds of Cash Book?
- What do you mean by Double Column Cash Book?
- What are the contents of Triple Column Cash Book?
- What is an “Imprest System”?
- Explain: “Contra Entry”.
- What are the advantages of Petty Cash Book?
- Distinguish between trade discount and cash discount.

C Essay-type Questions

- What is a subsidiary book? Name the various types of subsidiary books. Give a specimen of each subsidiary book. Explain the procedure of posting each such subsidiary book. Explain the nature of balance of each such subsidiary book.
- What do you mean by a “Source Document”? Give some examples and explain how they act as source documents with examples.
- Despite all the subsidiary books are kept in a business enterprise, explain the necessity of passing various entries through a journal with examples.
- Distinguish between cash book with two columns and Triple Column Cash Book. Explain with illustration, how bank transactions are entered in Triple Column Cash Book.

D Exercises

1. Enter the following transactions in the Purchase Book of Mr. Ramkumar.
 - 2009 Jan 1 Purchased 100 Kg of tea dust from Nilgiris and Co @ Rs 300 per kg.
 - Jan 5 Purchased 100 Kg of coffee seeds from Coorg and Co @ Rs 350 per kg.
 - Jan 10 Purchased 50 Kg of chicory seeds from Mysore Agencies @ Rs 100 per kg.
 - Jan 15 Purchased coffee roaster machine from Crescent Agencies for Rs 45,000.
2. Enter the following transactions in the Sales Day Book of King Electricals.
 - 2009 Feb 1 Sold on credit to Azhar and Co:
 - (i) 100 Osram bulbs @ Rs 190 each
 - (ii) 100 electrical main switches @ Rs 150 each
 - Feb 10 Sold to Thomas and Co:
 - (i) 1 H.P. motors, 15 each at the cost of Rs 2,100
 - (ii) 50 fans each @ Rs 1,200
 - Feb 20 Sold to Bhamini Mart:
 - (i) 15 electric chimneys @ Rs 4000 each
 - (ii) 100 exhaust fans @ Rs 2000 each
3. Enter the following transactions in the proper subsidiary books and post them to the respective ledger accounts:
 - 2009 Mar 1 Purchased goods from Kamala and Co. Rs 25,000
 - Mar 4 Sold goods to Susheela Rs 15,000
 - Mar 7 Goods purchased from Vimala Rs 20,000
 - Mar 10 Sold goods to Kala Rs 22,000
 - Mar 14 Sold goods to Surya Rs 17,000
 - Mar 17 Goods returned by Kala Rs 2,000
 - Mar 19 Goods returned to Kamala and Co. Rs 3,000
 - Mar 21 Goods returned to Vimala Rs 1,250
 - Mar 23 Goods returned by Surya Rs 700
 - Mar 27 Sold goods to Vijaya Rs 12,500
4. Enter the following transactions in the proper subsidiary books
 - 2009 Apr 1 Bought goods from Mr. A. Rs 20,000 less trade discount at 10%
 - Apr 3 Sold goods to Mr. B Rs 25,000. Trade discount at 5%
 - Apr 5 Purchased goods Rs 40,000 from Mr. C. Trade discount at 10%
 - Apr 6 Returned to Mr. A. goods Rs 5,000
 - Apr 10 Mr. B returned goods Rs 6,000
 - Apr 15 Returned goods to Mr. C Rs 4,500
5. Enter the following transactions in the appropriate special journal of M/s Vas and Co.
 - 2009 May 1 Bought goods from Mr. X Rs 30,000 as per invoice No. 15
 - May 3 Sold goods to Mr. Y Rs 40,000 as per invoice No. 32
 - May 7 Returned to Mr. X goods Rs 1,000 as per debit note No. 1
 - May 9 Y returned goods Rs 7,500 as per credit note No. 7
 - May 15 Purchased goods from Mr. Z Rs 50,000 as per invoice no. 51
 - May 19 Returned goods to Mr. Z Rs 1,600 as per debit note no. 9.
6. Write up the appropriate journals of Aishwarya for June 2009 from the following information.
 - 1 June Received invoice from Sneha:
 - 100 chudidhars at Rs 275 each
 - 100 top ups at Rs 250 each

All subject to 20% trade discount

6 June Sent invoice to Shreya:

40 chudidhars at Rs 325 each

50 top ups at Rs 270 each

All subject to 10% discount

10 June Received credit note from Sneha:

2 chudidhars damaged as invoiced on June 1

15 June Invoiced to Banu:

100 baba suits at Rs 600 each

All subject to 25% trade discount

7. Write up the appropriate journals of the following business transaction in the books of Hans Raj and Co.

2009 June 1 Bought goods from Mr. P., less 10% trade discount Rs 5,000

3 Sold goods to Mr. Q. less 20% trade discount Rs 8,000

5 Returned goods to Mr. P. Rs 500 (Gross)

7 Mr. Q. returned goods Rs 200 (Net)

9 Advised Mr. R. to dispatch goods worth Rs 6,000 gross to Mr. S. under advice to us.

10 Mr. R. advised us of the dispatch of goods to Mr. S. and sent their invoice for Rs 6,000 off 10% trade discount.

12 Mr. S returned to us goods invoiced to them Rs 350 which we promptly returned to Mr. R with our debit note.

8. Enter the following transactions into a Single Column Cash Book of Mr. Sekhar:

2009 June 1	Cash in hand	1,00,000
2	Introduced additional capital	1,00,000
3	Purchased goods for cash	50,000
5	Sold goods to Moon Enterprises for cash	75,000
6	Paid for stationery purchased	2,500
7	Bought ceiling fans	7,500
9	Received form Kashyap, a customer	10,000
12	Paid to Anju, a creditor	7,000
15	Paid to Verma an account	20,000
17	Purchased goods	70,000
20	Sales (cash)	50,000
30	Paid salaries	36,000

9. Enter the following transactions in Cash Book with cash and discount columns and balance the same.

		Rs
2009 July 1	Cash in hand	25,000
2	Received from Stalin (discount Rs 1,500)	60,000
3	Paid cash to Gopi	7,500
5	Paid to Senthil (discount Rs 700)	9,300
7	Purchased goods from Narayana	12,500
9	Cash Sales	35,000
11	Received from Raj on account (Discount Rs 800)	20,800
13	Paid rent	3,200
15	Received interest on bank account in cash	1,500
17	Received commission	1,750
19	Paid cartage	500
20	Paid to Narayana on account (discount Rs 400)	10,400
22	Paid electricity bill	600
25	Paid telephone bill	500

10. Mrs Renu deposits all receipts into bank and makes all payments through cheques:

2009 Sep 1	Started business by opening bank account	1,50,000
2	Bought goods from Sun Enterprises on credit	15,000
5	Sold goods for cash to Rani	12,000
9	Purchased furniture (cheque no. ... 601)	9,000
12	Paid Sun Enterprises in full settlement (Cheque ... 602)	14,700
15	Ashok sent an advance of Rs 10,000 for goods to be supplied on 25th.	

Show how would you maintain her Cash Book?

11. Mr. Kalyan maintains cash book with bank columns. Enter the following transactions of June 15, 2009 in the Cash Book.

- (i) Balance (Opening on that date)

	Rs
Cash	500
Indian Bank	50,000
State Bank of India (Overdraft)	2,500

- (ii) Received a cheque of Rs 9,610 from ABC and Co., in full settlement of invoice for Rs 10,000. The cheque was deposited in State Bank of India, who charged Rs 15 as collection charges.
- (iii) Cash purchases Rs 15,000. Paid bearer cheque on Indian Bank.
- (iv) Transferred Rs 15,000 from Indian Bank to State Bank of India
- (v) Withdrew Rs 4,000 from Indian Bank – Rs 2,500 for office use and Rs 1,500 for personal use.
- (vi) Paid advance salary to clerk Rs 1,500 by bearer cheque on State Bank of India.

12. Make out the Three Column Cash Book of Raj and Co. from the following transactions:

	Rs
2009 June 1	
Cash in hand	500
Bank overdraft	1,500
Paid salaries for Mar	3,600
2	
Cash sales	10,000
3	
Purchased goods for cash	2,000
5	
Issued cheque in favour of Mohan and Co. (discount allowed Rs 20)	480
7	
Received cheque from Ram Dev. (in full settlement of their debt of Rs 400)	385
9	
Cheque issued in favour of Nayak for purchase of a ceiling fan	750
11	
Cheque of Ram Dev, dishonoured, bank charges	15
15	
Cash sales	5,000
17	
Rent paid by cheque	1,000
20	
Bank collects interest on securities	750

13. Enter the following transactions in a three column cash book:

	Rs
2009 July 1	
Cash in hand	500
Cash at bank	7,500
2	
Cash sales	15,000
3	
Paid into bank	5,000
6	
Paid Subash by cheque discount received	480 20
9	
Purchased stationary	350
13	
Issued a cheque for cash purchases	2,500
15	
Drew for personal use	1,000

17	Received from Roy, a cheque for Rs 1,470 in full settlement of Rs1,500	
19	Drew from bank	1,500
21	Cheque from Roy was dishonoured	
23	Paid wages	1,200
30	Bank charges as per pass book	15

14. Mr. Vincent does not pay all cash received into his bank. He desires to record all cash received and paid and all his bank transactions in one cash book. His transactions are:

		Rs
2009 Aug 1	Cash in hand	1,000
	Bank overdraft	1,750
	Received cash from Mr. X (Discount allowed Rs 25)	175
2	Paid into bank	1,000
5	Drew cheque for Mr. Y (after deducting discount Rs 50)	200
9	Drew from bank	750
11	Cash sales	5,000
16	Paid wages by cheque	700
18	Received cheque from Z (after allowing him discount Rs 200 and paid it in bank)	2,800
21	Z's cheque returned dishonoured	
23	Received cash from Mr. A (after allowing him discount Rs 50)	950
25	Paid into bank	1,000
27	Paid cash to Mr. B (after deducting discount Rs 35)	465
30	Bank charges as per Pass Book	15

15. On 1 January 2009, Vas had the following assets and liabilities:

Building Rs 5,000; A's acceptance Rs 1,000; Due from X Rs 3,000; Due from Y Rs 2,000; Cash Rs 1,500; Shares Rs 5,000; B's acceptance Rs 2,000; Stock-in-hand Rs 20,000; Overdraft at bank Rs 1,500; Bills Payable Rs 1,200; Due to Kumar Rs 1,000; Due to Ravi Rs 2,500; Reserve for doubtful debts Rs 250; Wages due Rs 250. Transactions during the month of January 2009.

		Rs
Jan 1	Paid wages due	200
3	Sold goods to Mr. P less 10% for cash in 20 days.	2,000
5	Sold goods to Mr. X less 5% trade discount	5,000
7	Cash paid into bank	7,000
9	Paid Kumar by cheque in full settlement	950
11	Sent Mr. X a credit note for Rs 250 for an allowance claimed by him for inferior goods	
15	Discounted A's acceptance at bank for	975
17	B became insolvent; received from him first and final dividend of forty-paise in the rupee.	
19	Withdrew from bank for office use	750
23	Received cheque from Mr. P for the amount due and paid the same into bank.	
25	Sold shares Rs 5,000 at a premium of 3% less brokerage 1%	
27	Paid Ravi by cheque in full settlement	2,450
28	Mr. P's cheque was returned dishonoured and the discount was disallowed.	

16. Prepare a Cash Book with cash, bank and discount columns from the transactions given below:

		Rs
2009 Sep 1	Cash balance	1,50,000
	Bank balance	90,000
5	Deposited into bank	1,20,000
6	Bought fans for office by cheque	15,000
8	Paid for repairs	1,300

10	Goods purchased by cheque	25,000
13	Received a cheque for Rs 42,000 from Govind and allowed him discount Rs 400.	
17	Gave Lal a cheque for Rs 23,000 and received a discount of Rs 300.	
21	Sharath directly paid into our bank account	30,000
23	Withdrew from the bank for office use	5,000
25	Withdrew from the bank for personal use	1,000

Ans: Cash Balance – Rs 75,700; Bank Balance – 1,71,000

17. Enter into Anand's Cash Book the following transactions which took place on 8 June 2009 and balance the Cash Book.

- Balance brought forward from the previous day: cash in hand Rs 180 and at bank Rs 14,400
- Instructed the bank to issue a bank draft for Rs 9,000 in favour of Bhagya. The bank charged Rs 18 for it.
- Received a bank draft for Rs 10,368 from Mr. X in full settlement of Rs 10,800.
- Received a cheque from Mr. Y for Rs 3,600; Allowed him a discount of Rs 216.
- Endorsed Mr. Y's cheque in favour of Mr. A.
- Sent a cheque for Rs 90 in payment of medicines for his wife.
- Withdrew Rs 900 from the bank.
- Placed order with Bintu for goods of the value of Rs 1,800 and sent cheque for Rs 1,800 for the same.

Ans: Cash Rs 1,080; Bank (Dr.) 12,960

18. Enter the following into three columns cash book:

		Rs
2009 Nov 1	Cash balance	12,000
	Bank balance	31,500
2	Received from Mr. A Rs 6,000 in cash. Allowed him a discount of Rs 300.	
5	Cash sales	6,000
7	Furniture purchased by cheque	2,400
10	Paid Rs 7,500 to Mr. B. 50% cash and 50% by cheque	
15	Paid rent by cheque	4,500
20	Cash sales	45,000
22	Paid packing charges	1,500
23	Paid Bose Rs 12,000; Discount allowed by him Rs 150.	
25	Paid into bank	15,000

Ans: Cash balance: Rs 36,750; Bank balance (cr.): Rs 27,150

19. Insert the following transactions in Tabular Petty Cash Book. On 1st November 2009, the petty cashier begins with an imprest amount of Rs 3,000.

		Rs
2009 Nov 1	Postage stamps	120
7	Travelling expenses	225
9	Cartage	450
11	Lorry freight	150
15	Repairs	750
16	Cleaning the office	150
19	Stationery	525
21	Office refreshment expenses	510

Ans: Balance Rs 120

20. The following transactions took place during the week ending 25 Apr 2009. Prepare the Petty Cash Book which is maintained with a weekly 'float' of Rs 4,500.

		Rs
2009 Apr 19	Sweeper and scavenger paid	225
	Conveyance	1,371

20	Fax	132
	Stationery purchased	204
21	Freight	975
	Cooly	90
	Service charges to computers	225
22	Advertisement charges	500
	Subscription to “Daily”	100
23	Copier Papers	150
24	Refreshment to customers	103

Ans: Balance Rs 425

Accounting Process – From Journal to Trial Balance

LEARNING OBJECTIVES

At the end of the chapter, you would be able to understand

1. What a Trial Balance Really Means
2. Objectives and Salient Features of a Trial Balance
3. Methods of Preparation of Trial Balance. Preparation of a Trial Balance by Applying “Balances Method”
4. Concept of Errors – Kinds of Errors – Classification of Errors – Rectification of Errors
5. Various Steps Involved in Locating the Errors in a Trial Balance
6. Meaning of Suspense Account and Its Accounting Treatment
7. To Record Various Transactions (Passing Entries into Journal), Classify These Transactions Under Various Heads of Account (Posting to Ledger) and Balancing Them, Some Important Subsidiary Books and Procedure of Recording in Such Books of Original Entry and Finally to Prepare Trial Balance. [This is the first part of Accounting Process, which starts from the recording of transactions and ends with the preparation of Trial Balance.]

In the previous chapters, we have learnt how to record various transactions (passing entries into journal), classify these transactions under various heads of account (posting to ledger) and balancing them and some important subsidiary books and procedure of recording in such books of original entry. The next step in the process of accounting is the preparation of a statement to check the arithmetical accuracy of transactions recorded so far. This statement is known as “Trial Balance.”

OBJECTIVE 1: MEANING OF TRIAL BALANCE

Trial Balance is a statement, which shows debit balances and credit balances of all the accounts in the ledger. As per the rules of double entry, every debit must have a corresponding credit. Hence, the total of all debit entries must be equal to that of all credit entries in the ledger. The total of the debit balances and credit balances must be equal. In case any difference arises, that is, the totals of debit balances and credit balances do not tally, the correctness of the balances brought forward from the respective accounts must be checked by preparing this statement. This process is known as preparation of a Trial Balance. “Trial Balance is a statement, prepared with the debit and credit balances of ledger accounts to test the arithmetical accuracy of the books.”

OBJECTIVE 2: OBJECTIVES AND SALIENT FEATURES OF TRIAL BALANCE

2.1 Objectives of a Trial Balance

The main objectives in the preparation of a Trial Balance are:

- (i) to check the arithmetical accuracy of the ledger account,
- (ii) to locate the errors and rectify them,
- (iii) to provide basis for the preparation of final accounts,
- (iv) to serve as a ready reckoner (it provides a summary of all transactions during an accounting period at one place, i.e. this statement).

2.2 Salient Features of a Trial Balance

- (i) It is only a statement. It is not an account. It is simply a list of balances of all accounts.
- (ii) It is prepared on a particular date.
- (iii) It may be prepared at any time during the year.
- (iv) It is one method of checking the accuracy of transactions.
- (v) It can be prepared only by the firms, which adopt double entry system.
- (vi) Some errors may not be detected.

OBJECTIVE 3: METHODS OF PREPARATION OF A TRIAL BALANCE

A Trial Balance can be prepared in the following three ways:

1. Totals Method
2. Balances Method
3. Totals cum Balances Method

3.1 Totals Method

Under this method, each side in the ledger (debit and credit) is totalled. Then they are recorded in the Trial Balance in respective columns. The total of the debit column of Trial Balance and the total of credit column of Trial Balance should be equal. But this method is not widely used.

3.2 Balances Method

This is the method, which is used widely in the preparation of a Trial Balance. Trial Balance is prepared by recording the balances of all ledger accounts. Then debit column and credit column of the Trial Balance is totalled. As the balance summarises the net effect of all transactions relating to a particular account, balances are taken as a base for preparing a Trial Balance. Further, it helps in the preparation of final accounts.

3.3 Totals cum Balances Method

Under this method, the Trial Balance is prepared by combining the above methods. This method is also not adopted widely.

In practice, Balances Method is widely used. Trial Balances are prepared with debit and credit balances of various accounts in the ledger. Under this method, taking into account of balances in Cash Book also is followed.

Format of a Trial Balance

Trial Balance of as on

<i>Date</i>	<i>Name of Account</i>	<i>L.F.</i>	<i>Debit Balance Rs</i>	<i>Credit Balance Rs</i>

Illustration: 1

The following balances were extracted from the ledger of Vas Dev on Mar 31, 2009. Prepare a Trial Balance as on that date in the proper form.

	Rs
Salaries	72,640
Sales	3,47,000
Plant and machinery	68,600
Commission paid	3,760
Purchases	2,89,340
Stock on 1.4.2009	22,200
Repairs	3,340
Sundry expenses	920
Sundry debtors	2,860
Returns inward	2,000
Returns outward	800
Discount allowed	2,300
Rent and rates	6,440
Sundry creditors	28,520
Carriage inward	480
Travelling expenses	5,260
Drawings	7,000
Investments	12,000
Capital 1.4.2009	1,25,000
Cash at Bank	2,180

Solution: Keep in mind, the general rules and classify and then enter in the Trial Balance in its format.

Step 1:

Debit balances: Assets, Drawings, Debtors, Losses and Expenses

Credit balances: Liabilities, Capital, Creditors, Gains and Incomes

Each item is explained here, why it is classified as Debit balance or Credit balance.

1. Salaries – Nominal A/c – Expense	Dr. Balance
2. Sales – Real A/c – Goods	Cr. Balance
3. Plant and Machinery – Real A/c – Assets	Dr. Balance
4. Commission paid – Nominal A/c – Expense	Dr. Balance
5. Purchases – Real A/c – Goods	Dr. Balance
6. Stock – Real A/c – Goods	Dr. Balance
7. Repairs – Nominal A/c – Expense	Dr. Balance
8. Sundry Expenses – Nominal A/c – Expense	Dr. Balance
9. Returns Inward – Real A/c – Goods	Dr. Balance
10. Returns Outward – Real A/c – Goods	Cr. Balance
11. Discount allowed – Nominal A/c – Loss	Dr. Balance
12. Rent and rates – Nominal A/c – Expense	Dr. Balance
13. Sundry creditors – Personal A/c – Supplier	Cr. Balance
14. Sundry debtors – Personal A/c – Customer	Dr. Balance
15. Carriage inwards – Nominal A/c – Expenses	Dr. Balance
16. Travelling expenses – Nominal A/c – Expenses	Dr. Balance
17. Drawings – Personal A/c – Proprietor (owner)	Dr. Balance

18. Investments – Real A/c – Asset	Dr. Balance
19. Capital 1.4.2009 – Personal A/c – Owner	Cr. Balance
20. Cash at Bank – Real A/c – Asset	Dr. Balance

Step 2: For any item (of account or transaction), apply the Rules of Debit and Credit and thereby determine whether it is a Dr. balance or Cr. balance.

Step 3: Now, draw the format of a Trial Balance and record as it is classified in the columns of debit balance and credit balance, respectively.

Step 4: Finally, total both the debit and credit columns separately and ascertain both the totals should tally.

Trial Balance of Vas Dev as on Mar 31, 2009

Name of the Account	L.F.	Debit Balance Rs	Credit Balance Rs
Salaries		72,640	
Sales		–	3,47,000
Plant and Machinery		68,600	
Commission Paid		3,760	
Purchases		2,89,340	
Stock on 1.4.2009		22,200	
Repairs		3,340	
Sundry Expenses		920	
Sundry Debtors		2,860	
Returns Inward		2,000	
Returns Outward		–	800
Discount Allowed		2,300	
Rent and Rates		6,440	
Sundry Creditors		–	28,520
Carriage Inward		480	
Travelling Expenses		5,260	
Drawings		7,000	
Investments		12,000	
Capital 1.4.2009		–	1,25,000
Cash at Bank		2,180	
Total		5,01,320	5,01,320

N.B. Items shown as on 1.4.2009 have to be taken into account as the closing balance for the accounting period is included in the Trial Balance at 31.3.2009.

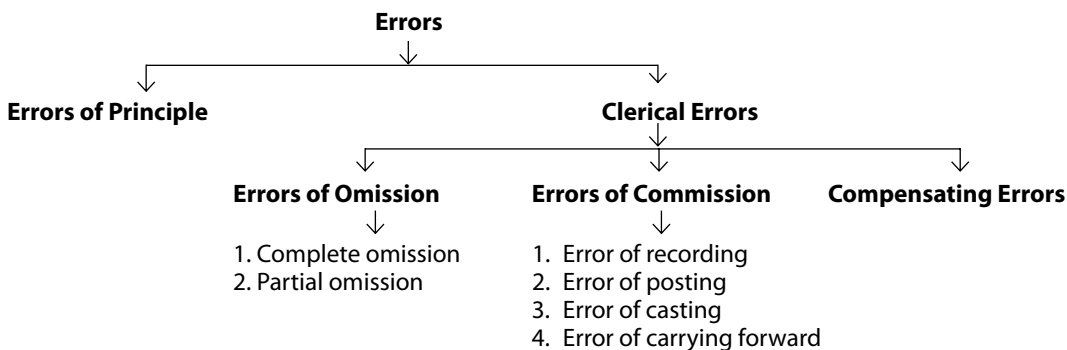
Closing Balance = Opening Balance of the next accounting year.

OBJECTIVE 4: CONCEPT OF ERRORS

The preparation of a Trial Balance is to ensure accuracy. A tallied Trial Balance ensures only arithmetic accuracy but not accounting accuracies. A tallied Trial Balance reveals that the posting to the ledger is arithmetically correct. It does not guarantee the entry itself is in accordance with the principles of accountancy. As such, there may be an agreement of Trial Balance (i.e., the total of debit balance and credit balance are equal) without disclosing such defects or errors. In some other circumstances, the two totals will not tally explicitly. These errors must be detected at an early stage, to present a true final account.

One has to be careful to locate such errors and rectify the errors once detected. All the errors may be classified as follows:

OBJECTIVE 5: KINDS OF ERRORS



5.1 Errors of Principle

Transactions are recorded as per Generally Accepted Accounting Principles (GAAP). In case, the principles are violated or ignored, errors of principle take place in such transactions, which will not affect the Trial Balance.

Example: Credit sale of land (asset) recorded in Sales Book.

This is an error of principle because credit sale of assets is not recorded in subsidiary book. It has to be recorded in Journal Proper.

Amount spent on additions to fixed assets has to be treated as capital expenditure and not of revenue nature.

Example: Spent Rs 15,000 for additional accessory to an existing machine. Recording as Repairs A/c debit, is an accounting error of principle. Instead, Machinery A/c is to be debited. Such an error will not affect trial balance but will affect the final accounts due to this wrong classification of capital expenditure and revenue expenditure.

5.2 Clerical Errors

These errors occur due to mistakes made by the concerned accounting clerks, which can be further classified into the following categories:

5.2.1 Errors of Omission

When a transaction is omitted in the books of account, this type of error occurs. This may be further classified as:

5.2.1.1 Error of Complete Omission: When a transaction is totally omitted for recording in the books of accounts, this type of error arises.

Example: Credit sale of Rs 10,000 to Anand. If this transaction is omitted entirely, such error is called error of complete omission. This error will not affect the Trial Balance.

5.2.1.2 Error of Partial Omission: When only one aspect of the transaction is recorded, this type of error arises. In the above example, one aspect, credit sales, is recorded duly in Sales A/c, but the aspect, Anand's Account, is omitted while recording, this error of partial omission arises. This will affect the Trial Balance.

5.2.2 Errors of Commission

This type of error occurs due to various factors such as wrong recording, wrong posting, wrong balancing and the like. This may further be classified as follows:

5.2.2.1 Error of Recording: This error arises when a transaction is wrongly recorded in the books of original entry.

Example: Credit purchase of goods from Renu for Rs 17,500 recorded in the books as Rs 15,700.

5.2.2.2 Error of Posting: This error occurs when information recorded in the books of original entry is entered wrongly in the ledger. This error may arise due to:

- (a) Recording the right amount in the wrong side of correct account.
- (b) Recording the right amount in the right side of wrong account.
- (c) Entering the wrong amount in the right side of correct account.
- (d) Entering the wrong amount in the wrong side of correct account.
- (e) Entering the wrong amount in the right side of wrong account.
- (f) Entering wrong amount in the wrong side of wrong account.

5.2.2.3 Error of Casting: When a mistake is committed while totalling in a subsidiary book, this error arises.

Example: If the total is Rs 11,000 in a subsidiary book, it may be wrongly totalled and entered as Rs 16,000. This is an error of overcasting. If it is wrongly totalled as Rs 10,000, it is an error of undercasting.

5.2.2.4 Error of Carrying Forward: When a total of one page is written wrongly on the next page, this error occurs.

Example: Total of Cash Book in page number 151 of the ledger is Rs 1,01,000. While carrying forward to the next page 152, if it is recorded as Rs 1,10,000, this error of carrying forward arises.

5.3 Compensating Errors

When two or more errors are committed in such a way that the net effect of these errors on the debits and credits of accounts is NIL, these errors arise, which are called “Compensating Errors.”

Example: If purchases book is overcast, say, by Rs 6,000, which results in excess debit of Rs 6,000 in Purchases Account and if the Sales Returns Book is undercast by the same amount of Rs 6,000, which results in shortage of debit in Sales Returns Account. These type of errors compensate each other. One excess of Rs 6000 is set off by the other deficit (of the same amount Rs 6,000). The net effect is nil. Hence, these types of errors do not affect the Trial Balance.

OBJECTIVE 6: CLASSIFICATION OF ERRORS (BASED ON THE IMPACT OF ERRORS ON TRIAL BALANCE)

Net effect of these errors in Trial Balance has to be considered while preparing a Trial Balance, so as to present an accurate Trial Balance for preparing final accounts. Based on the impact of the errors on Trial Balance, errors may be classified as follows:

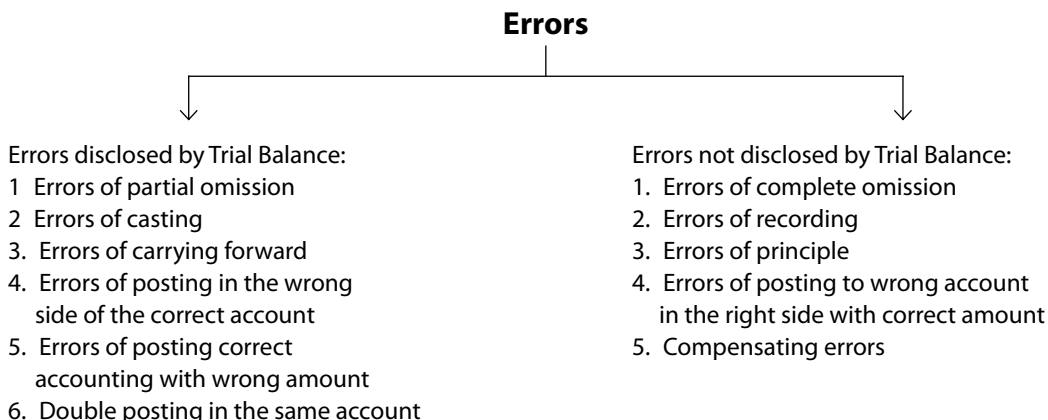


Illustration: 2

Mention the type of error involved in the transactions and its impact on the agreement of Trial Balance.

1. The Sales Book is cast short by Rs 6,000.
2. The Sales Returns Book is overcast by Rs 3,000.
3. The Purchase Book is overcast by Rs 2,500.
4. The Purchases Return Book is overcast by Rs 1,600.
5. Goods returned by Sharma for Rs 2,200 were not entered.
6. Goods sold to Raj for Rs 7,000 has been debited to Ravi A/c.
7. Credit sale of Rs 11,000 to Gupta was entered as Rs 10,100.
8. A purchase of machine has been passed through the Purchases Book.
9. A credit purchase from Renu for Rs 25,000 was debited to Venu A/c from Purchases book.
10. Cash received for commission Rs 1,008 was posted to Commission Account as Rs 1,080.
11. The monthly discount column on the debit side of the Cash Book Rs 3,000 was credited to Discount Allowed Account.
12. Depreciation on machinery Rs 1,000 is not posted to Depreciation Account.
13. Life Insurance Premium Rs 2,640 paid on behalf of the proprietor by a cheque was debited to General Expenses A/c.
14. The total of the discount column in the Cash Book on the debit side was Rs 2,302 on page 56, which was carried forward to the page 57 as Rs 2,032.
15. An amount of Rs 1,600 received from Shweta was entered in the credit side of her account.

Solution

1. This is an error of casting. Sales Book is given Rs 6,000 less credit. So the Trial Balance (credit side) will be less by Rs 6,000. The Trial Balance will not tally.
2. This is an error of casting. Sales Return Book is given over debit of Rs 3,000. Debit balance will be higher. This will affect the Trial Balance to the extent of Rs 3,000. The total affects the Trial Balance to the extent of Rs 3,000. The total column in the debit balance will be Rs 3,000 more than credit balance.
3. This is an error of casting. Purchases Book is given an over debit of Rs 2,500. Hence, the debit balance column total will be Rs 2,500 more than the credit balance in Trial Balance.
4. This is an error of casting. Purchases Return Book is given an over credit of Rs 1,600. It will affect the Trial Balance. The total of credit column in Trial Balance is more than the total of debit column by Rs 1,600.
5. This is an error of complete omission. As both the aspects are not recorded, Trial Balance will not be affected.
6. This is an error of posting. Right amount in the right side of the wrong account. This will not affect the Trial Balance.
7. This is an error of recording. Wrong entry in the subsidiary book. The mistake is found in both debit and credit aspects to the same extent (on both sides Rs 10,100 instead of Rs 11,000). The agreement of Trial Balance is not affected.
8. This is an error of principle. This will not be disclosed in the Trial Balance and hence no effect on Trial Balance.
9. This is an error of recording. The mistake is committed simultaneously affecting both the debit and credit aspects. The agreement of Trial Balance will not be affected.
10. This is an error of posting and that too posting of wrong amount. Commission has an excess credit of (Rs 1,080 – Rs 1,008) Rs 72. The total credit balance column will be excess to an extent of Rs 72.

11. This is an error of posting. Posted on the wrong side of the account. This amount instead of debiting is credited. As such, the Trial Balance will be affected to an extent of $\text{Rs } 3,000 \times 2 = \text{Rs } 6,000$.
12. Depreciation on machinery Rs 1,000 is not debited to Depreciation Account. As such, the debit side of the Trial Balance will be short by Rs 1,000.
13. This is an error of principle. The amount of Rs 2,640 is debited but in a different account. It will not affect the Trial Balance.
14. Discount Account is debited in the ledger as Rs 2,032, instead of Rs 2,302. Hence, the credit side of Trial Balance will be short by $(\text{Rs } 2,302 - \text{Rs } 2,032) = \text{Rs } 270$.
15. Shweta's A/c is given less credit of Rs 1,600. As such, the Trial Balance (credit side less by Rs 1,600) will be affected.

OBJECTIVE 7: RECTIFICATION OF ERRORS

The process of correcting the errors is termed as “Rectification”. From the point of view of rectification, errors may be classified as follows:

- (i) Errors which do not affect the Trial Balance
- (ii) Errors which affect the Trial Balance

The errors which do not affect the Trial Balance is due to the fact that errors are committed on both the accounts (double sided errors) in the transaction. This type of error can be rectified by recording a journal entry. The errors which affect the Trial Balance is due to the fact that errors affect one side of an account (single sided error). This type of error cannot be rectified by a single journal entry. This can be rectified by opening a Suspense Account.

Irrespective of the nature, errors arise due to any one of the following positions in one or more accounts:

- Position 1: Excess debit in one or more accounts: This will be rectified by “crediting” the excess amount to the respective account(s).
- Position 2: Short debit in one or more accounts: This has to be rectified by a “further debit” to the respective account(s).
- Position 3: Excess credit in one or more accounts: This will be rectified by “debiting” the excess amount to the respective account(s).
- Position 4: Short credit in one or more accounts: This will be rectified by a “further credit” to the respective account(s).

7.1 Rectification of Errors which do not Affect the Trial Balance

As these errors are committed in two more accounts, they can be rectified by recording a journal entry by way of giving the correct debit and credit to the concerned accounts.

Errors of complete omission and errors of principle belong to this category.

Rectification process involves the following steps:

1. Cancel the effect of wrong debit or credit by reversing it.
2. Restore the effect of correct debit or credit.

Illustration: 3

Rectify the following errors:

1. Purchases Book overcast by Rs 1,000
2. Purchases Return Book overcast by Rs 100
3. Sales Book undercast by Rs 500
4. Sales Return Book undercast by Rs 200

Solution

- | | | | |
|----|-----------------------|---|-----------|
| 1. | (i) Mistake → | Purchases Book | Overcast |
| | | ↓ | ↓ |
| | | Debit | Excess |
| | (ii) Effect → | Excess debit | |
| | (iii) Rectification → | Credit the Purchases A/c | |
| | | Credit the Purchases Account with Rs 1,000. | |
| 2. | (i) Mistake → | Purchases Return book | Overcast |
| | | ↓ | ↓ |
| | | Credit | Excess |
| | (ii) Effect → | Excess credit | |
| | (iii) Rectification → | Debit the Purchases Return A/c | |
| | | Debit the Purchases Return A/c with Rs 100. | |
| 3. | (i) Mistake → | Sales Book | Undercast |
| | | ↓ | ↓ |
| | | Credit | Short |
| | (ii) Effect → | Shortage in credit | |
| | (iii) Rectification → | Further credit has to be made | |
| | | Credit the Sales A/c with Rs 500. | |
| 4. | (i) Mistake → | Sales Return Book | Undercast |
| | | ↓ | ↓ |
| | | Debit | Shortage |
| | (ii) Effect → | Shortage in debit | |
| | (iii) Rectification → | Further debit has to be made | |
| | | Debit the Sales Return A/c with Rs 200. | |

Illustration: 4

Rectify the following errors:

1. The total of the Purchases Book Rs 5,300 on page 28 was carried forward to page 29 as Rs 3,500.
2. The total of the Sales Book Rs 6,800 on page 51 was carried forward to page 52 as Rs 8,600.

Solution

1. (i) Mistake → Carrying forward lower amount in Purchases Book (Rs 5,300 as Rs 3,500)
(ii) Effect → Short debit in Purchases A/c
(iii) Rectification → Debit the Purchases A/c with Rs 1,800 (Rs 5,300 – Rs 3,500)
2. (i) Mistake → Carrying forward higher amount in Sales Book (Rs 6,800 as Rs 8,600)
(ii) Effect → Excess credit in Sales A/c
(iii) Rectification → Debit the Sales A/c with Rs 1,800 (Rs 8,600 – Rs 6,800)

Illustration: 5

Rectify the following errors:

1. Purchases from Antony for Rs 12,500 was omitted (to be posted to the Personal A/c).
2. Purchases from Vincent for Rs 25,000 was posted to the debit side of his account.
3. Sales to Thomas for Rs 10,700 was posted to his credit side of his account as Rs 10,070.

Solution

1. (i) Mistake → Antony's A/c is not recorded. Not credited (error of omission).
(ii) Effect → Shortage credit
(iii) Rectification → Credit Antony's A/c with the entire amount. Credit Antony's A/c with Rs 12,500.

2. (i) Mistake → Posted to debit. (But it would have been credited.)
 (ii) Effect → Double mistake. As it is entered on wrong side it has to be rectified by doubling the amount – $\text{Rs } 25,000 \times 2 = \text{Rs } 50,000$
 (iii) Rectification → Credit Vincent's A/c with Rs 50,000
3. (i) Mistake → Credited in Thomas's A/c (wrong side).
 Credited with Rs 10,070 (wrong amount)
 (ii) Effect → Double mistake. Side → To be debited. Amount: Add both (Rs 10,700 + Rs 10,070)
 (iii) Rectification → Debit Thomas's A/c with Rs 20,770

Illustration: 6 (Rectification by Journal Entry)

Credit Sales to Rahman Rs 1,05,000 were not recorded in the Sales Book. Rectify the error.

Solution

This is an error of complete omission. That means this transaction is not at all recorded.

Rectification →	Now the entry will have to be made as	Rs	
	Rahman's A/c	Dr.	1,05,000
	To Sales A/c		Rs 1,05,000
	(Credit Sales to Rahman, now recorded)		

Illustration: 7

Credit Sales to Rahman Rs 1,05,000 were recorded as Rs 10,500 in the Sales Book. Rectify the error.

Solution

This is an error of commission.

			Rs	
Mistake (wrong entry) →	Rahman's A/c	Dr.	10,500	
	To Sales A/c			10,500
Effect (correct entry) →	Rahman's A/c	Dr.	1,05,000	
	To Sales A/c			1,05,000
Rectification (new entry) →	Rahman's A/c	Dr.	94,500	
	To Sales A/c			94,500

Explanation: Ref: Illustration: 2

Shortage of debit (i.e., $\text{Rs } 1,05,000 - \text{Rs } 10,500 = \text{Rs } 94,500$), as it is undercast. So, further debit of Rs 94,500 has to be made.

Illustration: 8

Credit Sales to Rahman Rs 10,50,000 were recorded as Rs 15,00,000. Rectify the error.

Solution

This is an error of commission.

			Rs	
Mistake (wrong entry) →	Rahman's A/c	Dr.	15,00,000	
	To Sales A/c			15,00,000
Effect (correct entry) →	Rahman's A/c	Dr.	10,50,000	
	To Sales A/c			10,50,000
Rectification (new entry) →	Sales A/c	Dr.	4,50,000	
	To Rahman's A/c			4,50,000

[There is an excess debit (Rs 15,00,000 – Rs 10,50,000) Rs 4,50,000. Excess debit in Rahman's A/c is credited now with that excess amount or excess credit in Sales A/c is now debited.]

Illustration: 9

Credit Sales to Rahman Rs 1,05,000 was recorded in the Sales Book but was posted to Raheem's Account. Rectify the error.

Solution

This is an error of commission.

Recorded correctly in one aspect of transaction: Sales A/c

Recorded wrongly in the second aspect of transaction: Raheem's A/c

		Rs	Rs
Mistake (wrong entry) →	Raheem's A/c	Dr. 1,05,000	
	To Sales A/c		1,05,000
Effect (correct entry) →	Rahman's A/c	Dr. 1,05,000	
	To Sales A/c		1,05,000
Rectification (new entry) →	Rahman's A/c	Dr. 1,05,000	
	To Raheem's A/c		1,05,000

[There is no error in Sales Book (Sales A/c) but Raheem's A/c is debited instead of Rahman's A/c. So Raheem's A/c is to be credited now and Rahman's A/c is debited.]

SUMMARISED PROCEDURE: For rectifying errors through journal entries.

Step 1: First write the entry as it is given in the transaction to find out what the real mistake is.

Step 2: Then enter the correct entry for the given transaction.

Step 3: Compare these two entries to rectify the error and pass the new journal entry for rectification.

7.2 Rectification of Errors Affecting Trial Balance

The errors that affect only one aspect of account can be rectified by recording a journal entry with an additional entry under the caption "Suspense Account." As already explained, creation of Suspense Account is a stop-gap arrangement till the error is detected and rectified.

The following procedure is adopted when we use Suspense Account to rectify errors (one sided):

Step 1: The account affected due to error is identified.

Step 2: The difference amount (excess or shortage) in the affected account is determined.

Step 3: In case, the difference arises due to "excess debit" or "short credit," credit the account with the difference.

Step 4: In case, the difference arises due "excess credit" or "short debit," debit the account with the difference amount (resulted in excess credit or short debit).

Step 5: Journal entry is to be completed with the debit or credit of Suspense Account.

Illustration: 10

Rectify the following errors:

Credit purchases from Sathyan Rs 50,000 in the following alternative cases

- (a) were not recorded
- (b) were recorded as Rs 25,000
- (c) were recorded as Rs 60,000
- (d) were not posted to his account
- (e) were posted to his account as Rs 5,000
- (f) were posted to Sathish A/c
- (g) were posted to the debit of Sathyan's A/c
- (h) were posted to the debit of Sathish
- (i) were recorded through Sales book

Solution

The rectified new entry is recorded in the Books of Journal as follows:

Journal

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
Case (a)	Purchases A/c Dr. To Sathyan's A/c (Credit purchases recorded now.)		50,000	50,000
Case (b)	Purchases A/c Dr. To Sathyan's A/c (Credit purchases Rs 50,000 but already recorded Rs 25,000. Now, it is corrected with the difference amount (Rs 50,000 – Rs 25,000).)		25,000	25,000
Case (c)	Sathyan's A/c Dr. To Purchases A/c (Credit purchases from Sathyan's recorded as Rs 60,000 instead of Rs 50,000. Excess Rs 10,000 is corrected now.)		10,000	10,000
Case (d)	Suspense A/c Dr. To Sathyan's A/c (Credit purchases from Sathyan not posted, now corrected through Suspense Account.)		50,000	50,000
Case (e)	Suspense A/c Dr. To Sathyan's A/c (Credit purchases from Sathyan Rs 50,000 entered as Rs 5,000, being corrected now.)		45,000	45,000
Case (f)	Sathish A/c Dr. To Sathyan's A/c (Credit purchases from Sathyan was wrongly entered in another Sathish's A/c is now corrected.)		50,000	50,000
Case (g)	Suspense A/c Dr. To Sathyan's A/c (Credit purchases was wrongly posted to the debit of his account is rectified now.)		1,00,000	1,00,000

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
Case (h)	Suspense A/c Dr. To Sathish's A/c To Sathyan's A/c (Credit purchases from Sathyan Rs 50,000 wrongly debited to Sathish, is corrected.)		1,00,000	50,000 50,000
Case (i)	Sales A/c Dr. Purchases A/c Dr. To Sathyan's A/c (Credit purchase was wrongly entered through Sales book is now corrected.)		50,000 50,000	1,00,000

Illustration: 11

Rectify the following errors:

- Cash sales Rs 20,000 were not posted to Sales account
- Cash sales Rs 20,000 were posted as Rs 2,000 in Sales A/c
- Sales Return Book overcast by Rs 3,000
- Depreciation on machinery Rs 700 was not posted
- Depreciation on machinery Rs 700 was not posted to Depreciation A/c
- Goods returned to Krishna Rs 2,500 were recorded through Sales book

Solution**Rectifying Journal Entries**

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
(a)	Suspense A/c Dr. To Sales A/c (Cash sales not posted to Sales A/c is rectified.)		20,000	20,000
(b)	Suspense A/c Dr. To Sales A/c (Cash sales Rs 20,000 posted as Rs 2,000 is rectified.)		18,000	18,000
(c)	Suspense A/c Dr. To Sales Return A/c (Sales Returns Book overcast by Rs 3,000, now rectified.)		3,000	3,000
(d)	Depreciation A/c Dr. To Machinery A/c (Note: It was recorded through Journal Proper, from Journal Proper posting to all accounts are made. So, no posting was made to Depreciation A/c as well as Machinery A/c. Hence this entry, now recorded.)		700	700
(e)	Depreciation A/c Dr. To Suspense A/c (Depreciation on machinery not posted to Depreciation Account, now corrected.)		700	700

(Continued)

(Continued)

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
(f)	Sales A/c Dr. To Return Outwards A/c (Goods returned outward, wrongly recorded through Sales Book, now rectified.)		2,500	2,500

Illustration: 12

An Accountant could not tally the Trial Balance. The difference of Rs 10,360 was temporarily placed to the credit of Suspense Account to prepare final accounts. The following errors were located:

- Commission of Rs 1,000 paid, was posted twice, once to Discount Allowed Account and once to Commission Account.
- The Purchase Returns Account was undercast by Rs 2,000.
- A credit purchase from Verma of Rs 3,000 entered in Purchases Book, was wrongly debited to his Personal Account.
- A credit sale of Rs 6,200 to Sharma was entered in Sales Book, but posted wrongly to his account as Rs 8,360.
- Discount column of the payments side of the Cash Book was wrongly totalled as Rs 8,800 instead of Rs 8,000.

Pass the necessary rectifying journal entries and prepare Suspense Account to ascertain the difference in the Trial Balance.

Solution**Rectifying Journal Entries**

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
(a)	Suspense A/c Dr. To Discount Allowed A/c (Amount wrongly debited to Discount Allowed A/c is corrected now.)		1,000	1,000
(b)	Suspense A/c Dr. To Purchases Returns A/c (Purchases Returns Book undercast, set right.)		2,000	2,000
(c)	Suspense A/c Dr. To Verma's A/c (Credit purchase of Rs 3,000 wrongly debited to his account, rectified now.)		6,000	6,000
(d)	Suspense A/c Dr. To Sharma's A/c (Wrong posting of sale of Rs 6,200 to Sharma as Rs 8,360, rectified now.)		2,160	2,160
(e)	Discount Received A/c Dr. To Suspense A/c (Excess credit in the Discount Account being rectified now.)		800	800

Suspense A/C

Dr.				Cr.			
Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
	Discount Allowed A/c		1,000		Balance b/d		10,360
	Sales A/c		2,000		(Difference ascertained by the accountant)		
	Verma A/c		6,000		Discount Received		800
	Sharma A/c		2,160				
			11,160				11,160

OBJECTIVE 8: STEPS TO LOCATE THE ERRORS IN TRIAL BALANCE

In case, when the Trial Balance does not tally, it indicates that there may be some errors in the books of accounts. The following is the procedure adopted generally to locate such errors:

- Step 1:** Re-check the totals of debit and credit columns of the Trial Balance. Thereby ascertain the exact amount of difference in Trial Balance.
- Step 2:** That difference is divided by “2.” Find out from the Trial Balance, columns having the same amount and, if it appears, note the account pertaining to that amount. Compare the ledger account and Trial Balance. Find out any mistake has been made.
To illustrate: If the difference in totals of debit and credit balance is Rs 2,000; say, this Rs 2,000 is more in credit balance. Divide this amount by “2,” $\text{Rs } 2,000/2 = \text{Rs } 1,000$. Then refer the columns in the Trial Balance whether Rs 1,000 appears anywhere. If Rs 1,000 appears, refer to the respective account. Refer that ledger account again and compare balance columns in Trial Balance. Mistake would have been made by posting that account in credit column, instead of debit column. This type of error can be detected by this method. Such a balance might have been recorded on the wrong side of the Trial Balance.
- Step 3:** If the error is not detected in Step 2, divide the balance amount by “9.” If it is divisible without any remainder, the error is due to transposition of the figures (position of number is misplaced).
To illustrate: Rs 7,800 is written as Rs 8,700. Find the difference $(8700 - 7800) = \text{Rs } 900$. Divide by 9, $900/9 = 100$. No remainder. This type of error is detected by this way.
 In the same manner, error arises due to mistakes made in placing decimal.
To illustrate: If Rs 4,312 is written as Rs 43.12, the difference is $(4312 - 43.12) 4268.88$. Divide this by “9.” No remainder. Such errors explained above can be detected by this way.
- Step 4:** Even if the error is not detected, check whether the balances of all ledger accounts (including cash and bank balances) are included in Trial Balance.
- Step 5:** Ensure whether all the opening balances have been correctly brought forward in the current year’s books.
- Step 6:** If the Trial Balance differences is of a larger amount, compare the Trial Balance of the current accounting period with that of previous year. Account showing a large difference over the figure in the previous Trial Balance is to be re-checked.
- Step 7:** Amount carried forward from one page to another page is to be verified again.
- Step 8:** Re-check the balances in each ledger account to ascertain any mistake has been made while recording the balancing figures.
- Step 9:** Even if the error cannot be detected after following the above steps, hand over the work of re-check to other staff.

OBJECTIVE 9: MEANING OF SUSPENSE ACCOUNT AND ITS ACCOUNTING TREATMENT

Before preparing final accounts, if it is not possible to detect the errors, the difference in Trial Balance is transferred to a new account called “Suspense Account.” Thereby, the Trial Balance is tallied. This account has been introduced to avoid delay in the preparation of final accounts.

When errors are located, they will be rectified through the Suspense Account and the same will be eliminated. The Suspense Account is recorded without double entry effect because Suspense Account is not a Personal Account, not a Real Account and not even a Nominal Account.

Illustration: 13

The following balances were extracted from the ledger of Mrs. Devi as on Mar 31, 2009. You are required to prepare a Trial Balance as on that date:

	Rs
Capital	90,000
Drawings	3,000
Purchases	1,00,000
Sales	1,40,000
Returns inward	500
Returns outward	1,000
Carriage inward	1,500
Carriage outward	1,000
Opening stock	15,000
Scooter	20,000
Salaries	7,000
Rent	3,000
Taxes	1,500
Insurance	1,200
Sundry creditors	9,000
Sundry debtors	2,000
Cash-in-hand	300
Cash at Bank	3,000
Furniture	6,500
Bank overdraft	20,000
Land	73,000

Solution

In the Books of Mrs. Devi
Trial Balance as on Mar 31, 2009

Name of the Account	L.F.	Dr. Rs	Cr. Rs
Capital		–	90,000
Drawings		3,000	
Purchases		1,00,000	
Sales			1,40,000
Returns Inward		500	
Returns Outward		–	1,000

Name of the Account	L.F.	Dr. Rs	Cr. Rs
Carriage Inward		1,500	
Carriage Outward		1,000	
Opening Stock		15,000	
Scooter		20,000	
Salaries		7,000	
Rent		3,000	
Taxes		1,500	
Insurance		1,200	
Sundry Creditors		–	9,000
Sundry Debtors		2,000	
Cash-in-Hand		300	
Cash at Bank		3,000	
Furniture		6,500	
Bank Overdraft		–	20,000
*Suspense Account (Rs 2,60,000 – Rs 1,85,500)		74,500	
		2,60,000	2,60,000

Illustration: 14

Enter the following transactions of Narayana in the proper books of original entry, post them into the ledger, balance the accounts and extract a Trial Balance as on Mar 31, 2009.

2009

- Mar 1 Cash-in-hand Rs 300; Cash at Bank Rs 10,000; Stock Rs 7,500; Debtors: Sekhar Rs 2,250, Parul Rs 3,100, Renu Rs 4,200; Furniture Rs 2,700; Computers Rs 29,250; Creditors: Shree Rs 2,400, Raj Rs 3,400
- Mar 2 Paid wages Rs 600
- Mar 3 Cash sales Rs 840
- Mar 4 Withdrawn from Bank Rs 1,250
- Mar 5 Sold to Rao 15 pieces of T-Shirts @ Rs 100 per T-Shirt
- Mar 6 Purchased 80 pieces of T-Shirts @ Rs 70 per T-Shirt
- Mar 7 Purchased a computer table for Rs 2,900 from Royal and Co.
- Mar 8 Cash sales Rs 11,000
- Mar 9 Deposited with Bank Rs 2,800
- Mar 10 Received a cheque from Rao Rs 1,100
- Mar 11 Renu pays a cheque Rs 4,000 in full settlement of her account
- Mar 12 Paid to Shree Rs 1,200; Discount received Rs 20
- Mar 13 Loan from Bank Rs 20,000
- Mar 14 Purchased from Khuber 40 T-Shirts @ Rs 75 each; 50 pieces of casual wears @ Rs 125 each. Trade discount 25%
- Mar 15 Purchased from Krishna Mart: 50 jeans @ Rs 120 each; 100 banians @ Rs 25 each. Trade discount 10%
- Mar 16 Sold to Meena Enterprises: 40 jeans @ Rs 200 each; 50 banians @ Rs 45 each. Trade discount 10%
- Mar 17 Paid Krishna Mart Rs 6,000 by cheque and Rs 1,000 cash
- Mar 18 Paid Electricity bills Rs 750; Mobile recharges Rs 285

- Mar 19 Sekhar pays Rs 1,600; Discount allowed Rs 25
 Mar 20 Parul settles her account by cheque Rs 3,000
 Mar 21 Paid to Raj by cheque Rs 2,250; Discount received Rs 45
 Mar 22 Cash withdrawn for physician consultation Rs 600
 Mar 23 Old newspapers sold for Rs 75
 Mar 24 Sold to Ravi & Co. 10 T-Shirts @ Rs 100 each; 5 pieces of casual wears @ Rs 200 each. Trade discount 10%
 Mar 25 Received acceptance from Ravi & Co. for Rs 1,250
 Mar 26 Goods returned to Khuber Rs 275
 Mar 27 Sales returns from Meena Enterprises Rs 700
 Mar 28 Cheque received from Parul returned dishonoured. Parul found insolvent. Only 50% recovered.

Solution

First, transactions which cannot be recorded in the books of original entry (subsidiary books), have to be entered in General Journal or Journal Proper as follows:

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
2009				
Mar 1	Cash Account Dr.		300	
	Bank Account Dr.		10,000	
	Stock Account Dr.		7,500	
	Sekhar's Account Dr.		2,250	
	Parul's Account Dr.		3,100	
	Renu's Account Dr.		4,200	
	Furniture Account Dr.		2,700	
	Computers Account Dr.		29,250	
	To Shree's Account			2,400
	To Raj's Account			3,400
	To Narayana's capital A/c (balancing figure) [opening balances recorded]			53,500
Mar 7	Computer Table Account Dr.		2,900	
	To Royal & Co. (Purchase of computer table from Royal & Co.)			2,900
Mar 25	Bills Receivables Account Dr.		1,250	
	To Ravi & Co. (Acceptance received from Ravi & Co.)			1,250
Mar 28	Parul's Account Dr.		100	
	To Discount Allowed Account (Discount allowed to Parul, now cancelled on dishonour of her cheque.)			100
Mar 28	Bad Debts Account Dr.		1,550	
	To Parul's Account (50% not recovered from Parul's estate)			1,550

Columnar Cash Book
(Cash Book with Discount, Cash and Bank Columns)

Dr.	Date	Particulars	L.F.	Discount Rs	Cash Rs	Bank Rs	Date	Particulars	L.F.	Discount Rs	Cash Rs	Bank Rs	Cr.
	2009						2009						
	Mar 1	To Balance A/c		–	300	10,000	Mar 2	By wages		–	600	–	
	Mar 3	To Sales		–	840	–	Mar 4	By cash	C	–	–	1,250	
	Mar 4	To Bank	C	–	1,250	–	Mar 6	By purchases		–	5,600	–	
	Mar 8	To Sales		–	11,000	–	Mar 9	By Bank	C	–	2,800	–	
	Mar 9	To Cash	C	–	–	2,800	Mar 12	By Shree		20	1,200	–	
	Mar 10	To Rao		–	–	1,100	Mar 15	By Krishna Mart		–	1,000	6,000	
	Mar 11	To Renu		200	–	4,000	Mar 18	By Electricity charges		–	–	750	
	Mar 13	To Bank Loan		–	–	20,000							
	Mar 19	To Sekar		25	1,600	–	Mar 18	By mobile recharge		–	–	285	
	Mar 20	To Parul		100	–	3,000	Mar 21	By Raj		45	–	2,250	
	Mar 23	To Newspapers		–	75	–	Mar 22	By drawings		–	600	–	
	Mar 28	To Parul		–	1,550	–	Mar 28	By Parul		–	–	–	
							Mar 31	By Balance c/d		–	3,780	28,400	
				325	16,615	40,900				65	16,615	40,900	
	Apr 2009	To Balance b/d		–	3,780	28,400							

Accounting Process – Starting from recording of transactions under various heads of account (posting to ledger) and balancing them, recording in the needed subsidiary books and finally preparing a Trial Balance (Illustrated).

Sales Book**Dr.****Cr.**

Date	Particulars	OIN	L.F.	Amount	
				Details Rs	Total Rs
2009 Mar 5	Rao 15 pieces of T-Shirts @ Rs 100 each Meena Enterprises			–	1,500
Mar 16	40 Jeans @ Rs 200 50 Banians @ Rs 45			8,000 2,250 <u>10,250</u>	
				1,025	
Mar 24	Less: Trade Discount @ 10% Ravi & Co. 10 T-Shirts @ Rs 100 5 pieces of Casual Wears @ Rs 200			1,000 1,000 <u>2,000</u>	9,225
	Less: Trade Discount @ 10%			200	
					1,800
					12,525

Sales Return Book**Dr.****Cr.**

Date	Particulars	Credit Note No.	L.F.	Amount	
				Details Rs	Total Rs
Mar 27	Meena Enterprises A/c				700
					700

Purchases Book**Dr.****Cr.**

Date	Particulars	OIN	L.F.	Amount	
				Details Rs	Total Rs
2009 Mar 14	Khuber 40 T-Shirts @ Rs 75 each 50 pieces of casual wears @ Rs 125			3,000 6,250 <u>9,250</u>	6,937.50
	Less: 25% Trade discount			2,312.50	
Mar 15	Krishna Mart 50 jeans @ Rs 120 each 100 banians @ Rs 25 each			6,000 2,500 <u>8,500</u>	7,650
	Less: 10% Trade discount			850	
					14587.50

Purchases Returns Book

Dr.

Cr.

Date	Particulars	Debit Note No.	L.F.	Amount		
				Details Rs		Total Rs
Mar 26	Khuber's A/c			275		275
						<u>275</u>

Ledger Accounts

Dr.

Cr.

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 1	To Balance b/d		7,500	2009 Mar 31	By Balance c/d		7,500
Apr 1	To Balance b/d		<u>7,500</u>				

Computer's Account

Dr.

Cr.

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 1	To Balance b/d		29,250	2009 Mar 31	By Balance c/d		29,250
Apr 1	To Balance b/d		<u>29,250</u>				

Furniture Account

Dr.

Cr.

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 1	To Balance b/d		2,700	2009 Mar 31	By Balance c/d		2,700
Apr 1	To Balance b/d		<u>2,700</u>				

Sekhar's Account

Dr.

Cr.

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 1	To Balance b/d		2,250	2009 Mar 19	By Cash A/c		1,600
				Mar 19	By Discount A/c		25
Apr 1	To Balance b/d		2,250	Mar 31	By Balance c/d		625
			<u>625</u>				<u>2,250</u>

Parul's Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 1	To Balance b/d		3,100	2009 Mar 20	By Bank A/c		3,000
Mar 20	To Bank A/c		3,000	Mar 28	By Discount A/c		100
Mar 28	To Discount Allowed		100	Mar 28	By Cash A/c		1,550
				Mar 28	By Bad Debt		1,550
			<u>6,200</u>				<u>6,200</u>

Renu's Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 1	To Balance b/d		4,200	2009 Mar 11	By Bank A/c		4,000
					By Discount A/c		200
			<u>4,200</u>				<u>4,200</u>

Shree's Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 12	To Cash A/c		1,200	2009 Mar 31	By Balance b/d		2,400
Mar 12	To Discount Allowed A/c		20				
Mar 31	To Balance c/d		1,180				
			<u>2,400</u>	Apr 1	By Balance b/d		<u>2,400</u>
							1,180

Raj's Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 21	To Cash A/c		2,250	2009 Mar 31	By Balance b/d		3,400
Mar 21	To Discount Allowed A/c		45				
Mar 31	To Balance c/d		1,105				
			<u>3,400</u>	Apr 1	By Balance b/d		<u>3,400</u>
							1,105

Narayana's Capital Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 31	To Balance b/d		53,500	2009 Mar 31	By Sundries A/c		53,500
				Apr 1	By Balance b/d		<u>53,500</u>

Computer Table's Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 7	To Royal & Co. A/c		<u>2,900</u>	2009 Mar 31			
Apr 1	To Balance c/d		2,900		By Balance c/d		2,900

Royal & Co. Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 31	To Balance c/d		2,900	2009 Mar 7	By Computer Table A/c		2,900
					By Balance c/d		<u>2,900</u>

Bad Debt Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 28	To Parul's A/c		1,550	2009 Mar 31	By Balance c/d		1,550
Apr 1	To Balance b/d		<u>1,550</u>				

Discount Allowed Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 31	To Total of Debit Column as per Cash Book		325	2009 Mar 20	By Parul's A/c		100
				Mar 31	By Balance c/d		225
Apr 1	To Balance b/d		<u>325</u>				<u>325</u>
			225				

Purchases Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 6 Mar 31	To Cash A/c To Total Purchases (as per Purchases Book)		5,600.00 14,587.50	2009 Mar 31	By Balance c/d		20,187.50
Apr 1	To Balance b/d		<u>20,187.50</u>				<u>20,187.50</u>

Rao's Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 5	To Sales A/c		1,500	2009 Mar 10 Mar 31	By Bank A/c By Balance c/d		1,100 400
Apr 1	To Balance b/d		<u>1,500</u> 400				<u>1,500</u>

Krishna Mart's Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 17	To Bank A/c		6,000	2009 Mar 15	By Purchases A/c		7,650
Mar 31	To Cash A/c To Balance c/d		1,000 650				
			<u>7,650</u>	Apr 1	By Balance b/d		<u>7,650</u> 650

Khuber's Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 26	To Purchases Return A/c		275.00	2009 Mar 14	By Purchases A/c		6,937.50
Mar 31	To Balance c/d		<u>6662.50</u> 6937.50				<u>6,937.50</u>
				Apr 1	By Balance b/d		<u>6,662.50</u>

Ravi & Co. Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Rs</i>
2009 Mar 24	To Sales A/c		1,800	2009 Mar 25	By Bills Receivable A/c		1,250
				Mar 31	By Balance c/d		550
			<u>1,800</u>				<u>1,800</u>
Apr 1	To Balance b/d		550				

Bills Receivable Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Rs</i>
2009 Mar 25	To Ravi A/c		<u>1,250</u>	2009 Mar 31	By Balance c/d		1,250
Apr 1	To Balance b/d		1,250				

Sales Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Rs</i>
2009 Mar 31	To Balance b/d		24,365	2009 Mar 3	By Cash A/c		840
				Mar 8	By Cash A/c		11,000
				Mar 31	By Total (as per Sales Book)		12,525
			<u>24,365</u>				<u>24,365</u>
				Apr 1	By Balance b/d		24,365

Old Newspaper Account**Dr.****Cr.**

<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>L.F.</i>	<i>Rs</i>
2009 Mar 31	To Balance c/d		<u>75</u>	2009 Mar 23	By Cash A/c		<u>75</u>
			75				<u>75</u>
				Apr 1	By Balance b/d		75

Wages Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 2	To Cash A/c		600	2009 Mar 31	By Balance c/d		600
			<u>600</u>				<u>600</u>
Apr 1	To Balance b/d		600				

Drawings Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 22	To Cash A/c		600	2009 Mar 31	By Balance c/d		600
Apr 1	To Balance b/d		600				

Purchase Returns Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 31	To Balance c/d		275	2009 Mar 31	By Total (as per Purchases Returns A/c)		275
			<u>275</u>				<u>275</u>
				Apr 1	By Balance b/d		275

Sales Returns Book**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 31	To Total (as per Sales Returns book)		700	2009 Mar 31	By Balance c/d		700
			<u>700</u>				<u>700</u>
Apr 1	To Balance b/d		700				

Electricity Bill A/C**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 18	To Cash A/c		750	2009 Mar 31	By Balance c/d		750
Apr 1	To Balance b/d		750				

Phone (Mobile) Charges A/C**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 18	To Cash A/c		285	2009 Mar 31	By Balance c/d		285
Apr 1	To Balance b/d		285				

Meena Enterprises A/C**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 16	To Sales A/c		9225	2009 Mar 27	By Sales Returns A/c		700
				Mar 31	By Balance c/d		8525
			9225				9225
Apr 1	To Balance b/d		8525				

Bank Loan Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 31	To Balance c/d		20,000	2009 Mar 13	By Bank A/c		20,000
			20,000				20,000
				Apr 1	By Balance b/d		20,000

Discount Received Account**Dr.****Cr.**

Date	Particulars	L.F.	Rs	Date	Particulars	L.F.	Rs
2009 Mar 31	To Total Discount Received (as per Cr. side column of cash book)		65	2009 Mar 31	By Balance c/d		65
			65				65
				Apr 1	By Balance b/d		65

Note: Normally nominal accounts are not balanced.

Trial Balance As on Apr 1, 2009

Debit Balances	Rs	Credit Balances	Rs
Opening Stock A/c	7,500	Shree's Account	1,180
Furniture A/c	2,700	Raj's Account	1,105
Computers A/c	29,250	Narayana's Capital A/c	53,500
Sekhar's A/c	625	Royal & Co. A/c	2,900
Computer Table A/c	2,900	Krishna Mart A/c	650
Bad Debts A/c	1,550	Khuber's A/c	6,662.50
Discounts Allowed A/c	225	Sales A/c	24,365
Rao's Account	400	Old Newspapers A/c	75
Purchase A/c	20,187.50	Purchase Returns A/c	275
Ravi & Co. A/c	550	Bank Loan Account	20,000
Bills Receivable A/c	1,250	Discount Received A/c	65
Wages A/c	600		
Drawings A/c	600		
Sales Returns A/c	700		
Electricity Bill A/c	750		
Phone(Mobile) A/c	285		
Meena Enterprises A/c	8,525		
Cash-in-Hand	3,780		
Cash at Bank	28,400		
	<u>1,10,777.50</u>		<u>1,10,777.50</u>

Note:

1. Trial Balance may be presented in this format also.
2. Paise may be rounded off to the next higher value.

Summary

- Trial Balance is a statement, prepared with the debit and credit balances of ledger accounts to test the arithmetical accuracy of the books.
- Objectives: (i) To check the arithmetical accuracy. (ii) To locate the errors and rectify them. (iii) To provide basis for the preparation of final accounts. (iv) To serve as a ready reckoner.
- Features: (i) It is a statement. (ii) It is a list of balances of all accounts. (iii) It is prepared on a particular date. (iv) It is one method of checking the accuracy of transactions. (v) It can be prepared only from double entry system of accounts.
- Preparation of Trial Balance (i) Totals Method (ii) Balances Method and (iii) Total-cum-Balances Method.
- Errors – Kind of errors: (1) Errors of principle – occur due to violation or ignorance of accounting principles (2) Clerical errors (i) Errors of omission (ii) Errors of commission (iii) Errors of casting (3) Carrying forward and Compensation Errors.
- Errors disclosed by Trial Balance: (i) Errors of partial omission (ii) Errors of casting (iii) Errors of carrying forward (iv) Errors of posting in the wrong side of the correct account (v) Errors of posting correct account with wrong amount (vi) Double posting in the same account.
- Errors not disclosed by Trial Balance: (i) Errors of complete omission (ii) Errors of recording (iii) Errors of Principle (iv) Errors of posting to wrong account in the right side of the correct amount (v) Compensating errors.
- Different steps to locate the errors in the Trial Balance (refer the main part of the text).
- Suspense Account: In case, it is not possible to detect the errors before preparing final accounts, the difference in the Trial Balance caused due to errors, is to be transferred to an account referred as Suspense Account. When errors are located, they will be rectified through the Suspense Account and the Suspense Account will be eliminated consequently.

Key Terms

Ledger: Record containing all the individual accounts in a summarised and classified form.

Balancing: The process of equalising the two sides of an account.

Posting: The process of formal transcribing of amounts from the journal to the ledger or transferring of entries from the journal to the ledger is termed as posting.

Bills Receivable: A bill that shows money (an amount) due to the firm from those whose names are mentioned in it.

Bills Payable: A bill showing that a firm owes money to those whose names are mentioned in it.

Bills Payable Book: A book of original entry in which the names of the drawer, the payee, the due date and other particulars are recorded.

Cash Book: A book of entry for cash receipts and payments. Cash Book is a book of original entry as well as a ledger account.

Cash Book – Single Column: A type of cash book containing one amount column on each side.

Cash Book with Discount Column: An additional column on the debit side (for discount allowed) and on the credit side (for discount received) are provided in addition to cash columns.

Cash Book with Discount, Cash and Bank Columns: Cash Book which is ruled with three amount columns on either side of the book, the additional column for bank transactions.

Cash Discount: Allowed to customers as an incentive to pay their bills within a specified time.

Credit Note: A document issued by the “seller” to the “buyer.” On the basis of credit note, Sales Returns Book is to be prepared.

Debit Note: A document issued by the “buyer” to the “seller” consisting details of return of goods. It serves as a basis for preparation of “Purchases Returns Book.”

Imprest System: Cash maintained to meet sundry or pretty expenses.

Petty Cash Book: A type of cash book to record payment of expenses of small value.

Purchase Book: A record to enter purchase of goods on credit.

Purchases Returns Book: Another book of original entry, to record transactions relating to purchase returns. This is also known as “Returns Outwards Book.”

Sales Book: A special subsidiary book to record goods returned to the business enterprise from the customers. It is also called “Returns Inward Book.”

Subsidiary Book: Book of original entry to record only one type of business transactions.

Trade Discount: A form of allowance given by the suppliers to the retailers to allow a margin of profit to them. It is deducted from the list price. It is not recorded in the books of account.

Trial Balance: A statement in which debit and credit balances of all the accounts of the ledger are listed to test the arithmetical accuracy of books of accounts.

References

“Accountancy – Financial Accounting,” National Council of Educational Research and Training, New Delhi, 2004.

R.L. Gupta and V.K. Gupta, “Principles and Practice of Accountancy,” Sultan Chand and Sons, New Delhi, 2000.

P.C. Tulsian, “Financial Accounting,” Pearson Education, New Delhi, 2004.

A Objective-type Questions

I State whether the following statements are True or False

1. Trial Balance is a statement which shows debit balances and credit balances of all accounts in the ledger.
2. The total of debit balances and the total of credit balances need not tally, always.
3. Trial Balance can be prepared only at the end of an accounting period. It cannot be prepared at any date.

4. Trial Balance is the basis on which final accounts are prepared.
5. If any error is found in the preparation of a Trial Balance, such errors can be rectified only when the balance sheet is prepared.
6. A debit balance is either an asset or expense or loss.
7. All the errors committed are not disclosed by the Trial Balance.
8. A Trial Balance will disclose errors of principle.

9. If any of the GAAP is violated, error resulting from such violation is called “errors of principle.”
10. Error of complete omission affects the Trial Balance.
11. Error of partial omission does not affect the Trial Balance.
12. Error of recording does not affect the Trial Balance.
13. Error of posting may or may not affect the Trial Balance.
14. When it is difficult to locate and rectify errors, the difference caused due to such errors is transferred to a new and temporary account known as “Suspense Account.”
15. When all the errors affecting the Trial Balance are located and rectified, the “Suspense Account” gets closed automatically.
16. Journal entries passed to rectify the errors are called “rectifying entries.”
17. Suspense Account having credit balance will be shown on the assets side of a balance sheet.
18. Excess debit of an account can be rectified by debiting the same amount.
19. Short debit of an account can be rectified by further debit (of the short amount) of the same account.
20. Suspense Account in the Trial Balance is entered in the Profit and Loss Account.

Answers

- | | | |
|-----------|-----------|-----------|
| 1. True | 2. False | 3. False |
| 4. True | 5. False | 6. True |
| 7. True | 8. False | 9. True |
| 10. False | 11. False | 12. True |
| 13. True | 14. True | 15. True |
| 16. True | 17. False | 18. False |
| 19. True | 20. False | |

II Fill in the blanks with suitable words

1. Trial Balance is prepared as per the rules of _____ system.
2. Trial Balance is a statement prepared with the debit and credit balances of _____ accounts.
3. Trial Balance is the basis on which _____ are prepared.
4. List of names with debit balances are grouped under a common caption known as _____.
5. List of names with credit balances are grouped together under a single heading called _____.
6. A _____ balance is either a liability or income or gain.
7. If the totals of debit balances and credit balances in a Trial Balance do not tally, it implies that some _____ would have been committed.
8. If the debit column or credit column is totalled wrongly in a Trial Balance as Rs 15,100 instead of Rs 11,500, it is called _____.
9. In the same case (as in Q.8), if it is wrongly totalled as Rs 10,150 it is called _____.
10. Errors of posting in the wrong side of the correct account are _____ by Trial Balance.

Answers

- | | |
|---------------------|-------------------|
| 1. Double entry | 2. Ledger |
| 3. Final Accounts | 4. Sundry debtors |
| 5. Sundry creditors | 6. Credit |
| 7. Errors | 8. Overcasting |
| 9. Undercasting | 10. Disclosed |

III Choose the correct answer

1. Trial Balance is prepared to find out
 - (a) profit or loss
 - (b) financial position
 - (c) arithmetical accuracy of accounts
 - (d) none of the above
2. Suspense Account in the Trial Balance is to be shown in
 - (a) Trading Account
 - (b) Profit and Loss Account
 - (c) Balance Sheet
 - (d) none of the above
3. Suspense Account having debit balance will be shown in the
 - (a) assets side of the Balance Sheet
 - (b) liabilities side of the Balance Sheet
 - (c) debit side of the Profit and Loss Account
 - (d) credit side of the Profit and Loss Account
4. Suspense Account will get closed when
 - (a) Trading Account is prepared
 - (b) Profit and Loss Account is prepared
 - (c) Balance Sheet is drawn
 - (d) errors are rectified

5. Errors which are not disclosed by Trial Balance are
 - (a) Errors of partial omission
 - (b) Errors of complete omission
 - (c) Errors of carrying forward
 - (d) Wrong totalling to ledger
6. Trial Balance can be prepared on
 - (a) the end of an accounting period
 - (b) any date
 - (c) directions by the statutory provision
 - (d) none of the above
7. Errors that affect one side of an account are called
 - (a) Single sided errors
 - (b) Double sided errors
 - (c) Absolute errors
 - (d) none of the above
8. Wages paid to workers for erection of a new machinery will have to be debited to
 - (a) Wages Account
 - (b) Machinery Account
 - (c) Production Expenses Account
 - (d) none of the above
9. Goods taken by the Proprietor for own use will be credited to
 - (a) Drawings Account
 - (b) Sales Account
 - (c) Office Account
 - (d) Purchases Account
10. While totalling a subsidiary book, errors that are committed belong to
 - (a) Error of recording
 - (b) Error of posting
 - (c) Error of casting
 - (d) Error of omission

Answers

- | | |
|--------|---------|
| 1. (c) | 2. (c) |
| 3. (a) | 4. (d) |
| 5. (b) | 6. (b) |
| 7. (a) | 8. (b) |
| 9. (d) | 10. (c) |

B Short Answer-type Questions

1. What is a Trial Balance?
2. What are the objectives of Trial Balance?
3. What are the main advantages of a Trial Balance?
4. State the principle on which the agreement of Trial Balance is based.
5. Explain the term "Sundry Debtors."
6. What are the limitations of a Trial Balance?
7. "The Trial Balance ensures arithmetical accuracy and not accounting accuracy" – why?
8. Why do errors occur in the preparation of Trial Balance?
9. Name the two main classification of errors.
10. What do you mean by errors of principle? Give two examples.
11. What are the two types of "errors of omission"?
12. What are the types of "errors of commission"?
13. Explain: (i) overcasting (ii) undercasting
14. Give any four examples of errors which are disclosed by Trial Balance.
15. Give any four examples of errors which are not disclosed by Trial Balance.
16. What do you mean by "Suspense Account"?
17. How will you close a "Suspense Account"?
18. Mention the main three steps to be adopted to rectify an error.
19. Mention the two important stages involved in the rectification process.
20. How will you rectify the following:
 - (i) Short debit
 - (ii) Excess debit

C Essay-type Questions

1. Define "Trial Balance." What are its objectives? Explain the significances of Trial Balance. What are its limitations?
2. Draw a format of a Trial Balance. Explain it.
3. Explain the various kinds of errors with due examples.
4. Explain the impact of errors on Trial Balance by giving suitable examples – errors disclosed and not disclosed by Trial Balance.
5. Explain the steps to be taken to locate the error and rectify the same.

D Exercises

1. Prepare Trial Balance as on 31.12.2009 from the following balances of Mr. Raj.

Rs		Rs	
Capital	1,70,000	Creditors	6,500
Drawings	2,000	Salaries	19,100
Purchases	47,000	Sales returns	1,700
Purchases return	1,200	Carriage inwards	700
Bills receivable	2,900	Bills payable	3,500
Debtors	8,000	Sales	72,000
Printing and stationery	2,500	Insurance	1,100
Stock	14,950	Machinery	25,000
Wages	2,500	Rent	800
Land	1,25,000	Electricity charges	1,200
Interest received	850	Commission received	400

Answer: Rs 2,54,450

2. The following balances are extracted from the books of Mr. Vas. Prepare Trial Balance as on 31.12.2009.

Rs		Rs	
Stock (1.1.2009)	15,000	Purchases	1,47,850
Drawings	37,400	Capital	1,25,000
Discount received	500	Discount allowed	475
Sales	1,67,675	Furniture	16,500
Sundry creditors	37,500	Bank loan	60,000
Rent	36,250	Printing charges	750
Sundry expenses	10,500	Freight	1,750
Taxes	4,750	Machinery	1,57,700
Bills receivable	26,250	Bills payable	15,850
Insurance	600	Carriage outward	750

Answer: Rs 4,06,525

3. Mr. Dev is the owner of a factory. From the following balances that are extracted from his ledger, you are required to prepare a Trial Balance as on Mar 31, 2010.

Rs		Rs	
Purchases	2,03,375	Sales	4,91,000
Debtors	72,500	Creditors	31,500
Capital	3,55,000	Drawings	26,225
Insurance	3,000	General expenses	15,000
Salaries	75,000	Machinery	1,50,000
Building	1,50,000	9% deposit with Bank	37,500
Stock (1.4.2004)	28,800	Carriage on purchases	10,200
Carriage on sales	16,200	Fuel and power	23,650
Wages	52,400	Return inwards	3,400
Return outwards	2,500	Interest received on Bank deposit	2,900
Cash at Bank	14,650	Cash-in-hand	1,000

Answer: Rs 8,82,900

4. From the following information taken from the ledger of Sathyan, prepare a Trial Balance as on 31.3.2010.

Rs		Rs	
Purchases	43,500	Wages	13,000
Discount allowed	2,600	Sales	70,000
Salaries	4,000	Commission (Dr.)	850
Travelling expenses	800	Carriage inward	550
Trade expenses	1,200	Administration expenses	210
Interest	500	Building	10,000
Furniture	400	Debtors	8,500
Creditors	4,200	Cash-in-hand	2,090
Capital	?	Cash at Bank	12,000

Answer: Capital Rs 26,000;

Total of Trial Balance Rs 1,00,200

5. Prepare a Trial Balance from the following balances of Mrs. Renuka as on 31.12.2009.

Rs		Rs	
Capital	2,10,000	Building	57,500
Machinery	30,000	Furniture	5,500
Salaries	47,000	Rent	24,000
Two wheeler	34,000	Commission	700
Rates and taxes	1,300	Stock (1.1.2009)	43,000
Purchases	47,000	Sales	98,000
Debtors	8,100	Bad debts	1,600
Insurance	1,200	General expenses	400
Creditors	34,000	Reserve for doubtful debts	3,650
Cash-in-hand	2,500	Cash at Bank	52,350

Answer: Suspense Account Rs 10,500 (Credit)

6. The following balances have been taken from the ledger of Mr. Vasanth as on Mar 31, 2010. You are required to prepare the Trial Balance as on 31.3.2010.

Rs		Rs	
Stock (1.4.2009)	60,000	Purchases (adjusted)	1,20,000
Capital	90,000	Wages	7,400
Drawings	22,000	Salary	13,600
Rent and insurance	4,000	Travelling expenses	1,200
Sales	3,12,600	Interest received	800
Sundry creditors	70,000	Bad debts	2,800
Provision for bad debts	5,000	Plant and machinery	20,000
Building	12,000	Furniture	10,000
Sundry debtors	1,00,000	General expenses	3,600
Stock (31.3.2010)	80,000	Outstanding salary	1,400
Outstanding wages	1,000	Pre-paid insurance	1,200
Depreciation on:		Cash at Bank	16,000
Plant and machinery	5,000		
Building	1,000		
Furniture	1,000		

Answer: Rs 4,80,000

7. The following Trial Balance is drawn by a person who is not well versed in accounting process. You are required to re-draft the Trial Balance correctly.

Trial Balance for the year ended Mar 31, 2010

	Debit Rs	Credit Rs
Capital	53,700	—
Stock 1.4.2009	22,350	—
Insurance	—	6,300
Purchases	1,38,600	—
Sales	—	2,36,550
Salary Expenses	37,230	—
Lighting and Heating	1,860	—
Plant and Machinery	21,600	—
Delivery Expenses	—	1,380
Rates Paid	2,340	—
Depreciation Accumulated	2,100	—
Rent Paid	6,690	—
Rent Received	—	3,630
Delivery Vehicle	8,850	—
Cash	660	—
Trade Creditors	29,550	—
Trade Debtors	—	83,520
Carriage Outwards	—	3,000
Outstanding Rent	3,000	—
Bank Overdraft	5,850	—
	3,34,380	3,34,380

Answer: Rs 3,34,380

8. Rectify the following errors:

- (i) Received Rs 15,000 from Patel debited to his account.
- (ii) The Sales Book undercast by Rs 3,500.
- (iii) The Purchases Return Book overcast by Rs 2,500.
- (iv) Sale of old furniture for Rs 700, treated as sale of goods.
- (v) Rs 5,000 received from Bhagya was entered on the debit side of the Cash Book. No posting was done to Bhagya's Account.
- (vi) An amount of Rs 2,000 withdrawn by the proprietor for his personal use has been debited to Trade Expenses Account.
- (vii) Cash received from Mala Rs 1,000 was credited to Kala.
- (viii) A credit sale of Rs 15,000 to Jain has been wrongly passed through the Purchases Book.
- (ix) Credit purchase of goods from Reddy of Rs 7,500 has been wrongly entered in the Sales Book.
- (x) Sales Book total Rs 9,190 was wrongly totalled as Rs 9,910.
- (xi) Rs 9,950 received from Vincent in full settlement of his account of Rs 10,000 was posted in Cash Book but omitted to enter into his account.
- (xii) Discount allowed Rs 100 to Vijaya has been credited to Discount Account.
- (xiii) The total of the discount column on the debit side of the Cash Book Rs 50 was omitted to be posted in the ledger.
- (xiv) Rs 40,000 paid for the purchase of a computer was charged to Office Expenses Account.
- (xv) Repairs made were debited to Building Account Rs 1,750.

9. As the Trial Balance does not get balanced, the book-keeper of a trader placed the difference in the Suspense Account and subsequently found the following errors:

- (i) Sales Book was overcast by Rs 4,500.
- (ii) Rs 8,700 received from Rita in full settlement of her account of Rs 9,000 was posted in Cash Book but omitted to be entered in her account.
- (iii) The total of Sales book Rs 36,000 was debited to Sales Returns Account.
- (iv) Rs 3000 received as interest was credited to Interest Account as Rs 300.

Rectify the errors and show the Suspense Account.

10. A book-keeper could not tally the Trial Balance. The difference of Rs 1,040 was temporarily placed to the credit of Suspense Account and subsequently the following errors have been detected.

- (i) A sale of Rs 1,000 to Shankar has been entered in the Purchase Book.
- (ii) The total of Purchase Book was short by Rs 1,200.
- (iii) The total of the "Discount column" on the debit side of the Cash Book Rs 300 was omitted to be posted in the ledger.
- (iv) The total of the "Discount column" on the credit side of the Cash Book of Rs 460 was not posted in the ledger.
- (v) A sale of Rs 6,390 was entered in the Sales Book as Rs 6,990.

You are required to rectify the errors through Suspense Account. Give rectifying entries also.

11. The following Trial Balance was drawn by an apprentice in the field. Although both sides were equal, it has been done incorrectly. You are required to re-draft the Trial Balance correctly.

Trial Balance for the year ended Mar 31, 2010

	Debit Rs	Credit Rs
Capital		3,00,000
Opening Stock	49,770	—
Closing Stock	—	61,740
Sundry Creditors	—	37,500
Sundry Debtors	62,280	—
Machinery	2,37,000	—
Gross Purchases	1,82,760	—
Gross Sales	—	3,07,800
Returns Inwards	7,200	—
Returns Outwards	—	3,690
Carriage Inwards	2,400	—
Carriage Outwards	—	5,550
Import Duty	3,600	—
Export Duty	—	2,400
Wages and Salaries	94,200	—
Bills Receivables	45,000	24,000
Bills Payable	—	—
Rent Receivable	11,400	3,300
Rent Paid	—	2,610
Commission Received	—	2,280
Discount Allowed	—	—
Rates and Taxes	21,390	—
Bank Overdraft	33,000	—
Cash-in-Hand	1,140	—
	7,50,870	7,50,870

Answer: Rs 7,20,000

12. Record the following transactions in proper books, post them to ledger and extract a Trial Balance.

Date		Rs
2009		
Dec 1	Bhamini commenced business with cash	1,20,000
2	Goods purchased for cash	18,000
3	Goods purchased from Lal	24,000
4	Goods sold for cash	36,000
5	Goods sold to Krishna	30,000
6	Goods returned by Krishna	6,000
7	Goods returned to Lal	1,200
8	Furniture bought for cash	2,400
9	Cartage paid	600
10	Cash received from Krishna allowed discount 5%	24,000
11	Cash paid to Lal	22,200
	Lal allowed us discount	600
12	Paid charities	1,200
13	Goods sold for cash	36,000
14	Goods purchased for cash	18,000
15	Goods sold to Singh	30,000
16	Goods purchased from Hemant	12,000
17	Goods returned by Singh	1,200
18	Cash paid by Singh	28,200
	Discount received	600
19	Goods returned to Hemant	1,200
21	Cash paid to Hemant	9,000
	Discount received	300
22	Old newspapers sold to Mohan on credit	150
27	Paid for interest	600
31	Paid for salaries	3,000
31	Deposited with bank	1,50,000

Answer: Rs 2,56,950

13. Enter the following transactions in proper books, post them to ledger and draw out a Trial Balance:

2009		
Dec 1	Assets: Cash-in-hand Rs 4,000; Cash at Bank Rs 6,000; Leela Rs 16,000; Shekar Rs 10,000; Furniture Rs 20,000; Building Rs 1,60,000; Stock Rs 1,62,000 Liabilities: Sundry creditors – Arun Rs 9,200; Gopi Rs 18,000	
2	Cash sales	60,000
3	Employed Madhavan, accountant and received from him security deposit	1,00,000
4	Purchased goods from Babu	2,00,000
6	Sold goods to Titus	80,000
7	Leela cleared her account less 5% discount	
9	Payment made to Arun less discount 8% in full settlement	
10	Cash sales	88,000
11	Shekar clears his account	
13	Sale of old newspapers	600
15	Sold goods to Bharat	44,000
16	Bought goods from Gopi	88,000
17	Purchased stationery	1,000

20	Paid Gopi and availed a discount at 5%	80,000
21	Returned defective goods to Gopi	2,000
22	Sold goods to Nataraj	60,000
23	Paid rent	2,000
24	One old computer, fully depreciated, sold	2,200
25	Paid insurance premium	1,800
26	Repairs to building	3,000
26	Cash sales	1,80,000
27	Paid Babu	1,20,000
	Discount received	6,000
27	Sales returns from Nataraj	8,000
28	Paid Hostel bill for proprietor's son	6,000
30	Paid sales tax	10,000

Answer: Rs 10,72,336

Accounting Process – From Trial Balance to Final Accounts and Final Accounts of Non-corporate Business Entities

Chapter

5a

LEARNING OBJECTIVES

After studying this chapter, you will be able to

1. Know the Accounting Process – the Final Phase of Preparation of Final Accounts
2. Understand the Concept of Income Statement and the Position Statement – Important Constituents
3. Understand the Concepts of Trading Account
4. Prepare Trading Account
5. Know the Meaning of Manufacturing Account and Prepare a Manufacturing Account
6. Differentiate between Trading Account and Manufacturing Account
7. Understand the Meaning of Profit and Loss Account
8. Know the Various Uses of Profit and Loss Account
9. Understand Some of the Accounting Terms Associated with Profit and Loss Account
10. Prepare Profit and Loss Account with Needed Adjustments
11. Understand the Meaning and Contents of the Balance Sheet
12. Arrange the Contents According to the Grouping and Marshalling
13. Differentiate Between Trial Balance and Balance Sheet
14. To Prepare a Balance Sheet with Required Adjustments
15. Understand “Goods Sent on Approval” and to Treat in Final Accounts
16. Redraft a (Mistaken) Trial Balance with Mistakes and then Prepare Final Accounts

INTRODUCTION

As explained earlier, the process of accounting starts with the recording of entries of business transactions in the books of journal, passing through various stages and reaches the final stage of preparing final accounts. The term “final accounts” usually represents three types of various accounts, viz. Trading Account, Profit and Loss Account and Balance Sheet. In the accounting principle, Balance Sheet is only a statement and not an account. But for all practical uses, Balance Sheet forms part of Final Accounts.

OBJECTIVE 1: ACCOUNTING PROCESS – PREPARATION OF FINAL ACCOUNTS FROM TRIAL BALANCE

The final phase – preparation of final accounts from Trial Balance – is discussed in detail in this chapter. The final accounts are to be prepared to ascertain the net profit or loss for a period (Trading and Profit and Loss Account) and the financial position of the business entities on the last date of a period (Balance Sheet).

OBJECTIVE 2: TRADING ACCOUNT

2.1 Trading Account: A Constituent of Final Accounts

Trading account is a constituent of financial statements. In practice, it is treated along with Trading and Profit and Loss Account, as one account and one unit. The Trading and Profit and Loss Account consists of two parts – the first part or stage or section is called Trading Account and the second part or stage or section is called Profit and Loss Account. The next stage after preparing the Trial Balance is the preparation of Trading Account. Trading Account is to be prepared for a particular accounting period, as this is not a static statement. It is important to mention here that trading account is not prepared at a particular time or date. Hence it is headed as “Trading and Profit and Loss Account for the period ended on....”

Trading Account is prepared to know whether a business enterprise has earned profit or suffered loss. Here profit or loss represents only gross profit or gross loss. Gross profit means the excess of operating revenues over direct operating expenses. To put in other words, gross profit is the excess of net sales revenue over cost of goods sold. In the preparation of Trading Account, selling prices of goods and services are matched with cost of goods sold and services rendered. Some concepts and terms associated with Trading Account are explained now.

- (i) $\text{Net Sales Revenue} = \text{Cash Sales} + \text{Credit Sales} - \text{Sales Returns}$
- (ii) $\text{Cost of Goods Sold} = \text{Opening Stock} + \text{Net Purchases} - \text{Closing Stock (stock at the end)} + \text{Direct Expenses}$
- (iii) $\text{Net Purchases} = \text{Cash Purchases} + \text{Credit Purchases} - \text{Purchases Returns}$
- (iv) $\text{Gross Profit} = \text{Net Sales Revenues} - \text{Cost of Goods Sold}$

Opening Stock refers to the goods existing at the beginning of the (accounting) period.

Direct expenses refer to the expenses that incurred from the purchase of goods till the conversion of goods into saleable goods.

This includes:

- (i) Freight inwards
- (ii) Carriage inwards
- (iii) Cartage inwards
- (iv) Wages
- (v) Import duty

- (vi) Octroi
- (vii) Packing expenses
- (viii) Forwarding charges
- (ix) Transit – insurance
- (x) Dock dues

Closing Stock refers to goods remain unsold at the end of the (accounting) year.

2.2 Preparation of Trading Account

The balances of accounts of all related items have to be transferred to the Trading Account by way of passing entries. The entries needed for such transfer are termed as “Closing Entries.” By passing such closing entries, the respective accounts will be closed. The closing entries are as follows:

- (1) For closing of debit accounts:

Trading Account	Dr.
To Opening Stock	
To Purchases Account	
To Sales Returns Accounts	
To Wages Account	
To Direct Expenses Account	
(Direct expenses to be shown separately)	

- (2) For closing of credit accounts:

Sales A/c	Dr.
Purchase Returns A/c	Dr.
To Trading Account	

- (3) For closing of Trading Account:

(a) For Gross Profit:

Trading Account	Dr.
To Profit and Loss Account	

(b) For Gross Loss:

Profit and Loss Account	Dr.
To Trading Account	

Note: The Trading Account is closed by transferring Gross Profit/Loss (balance in the account) to the Profit and Loss Account, i.e. to the second section (stage) of the account.

While preparing the Trading Account, care should be taken to treat the closing stock.

- In case, if the Closing Stock does not appear in the Trial Balance (appear outside the Trial Balance), the following entry is passed to incorporate the closing stock:

Stock A/c	Dr.
To Trading A/c	

Net effect: It appears both on the credit side of the Trading Account and on the Assets side of the Balance Sheet.

- In case, if Closing Stock appears in the Trial Balance, Closing Stock will not be shown separately in the Trading Account because as it was already adjusted in Purchases or Cost of Goods Sold. But Closing Stock will be shown in the Balance Sheet.

Format (or) Pro-forma
Trading Account of for the year ended on

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Opening Stock	—	By Net Sales:	
To Net Purchase:		Sales	
Purchases		Less: Sales Returns	
Less: Purchases Returns	—	By Closing Stock	—
To Wages		By Abnormal Loss of Stock	
To Direct Expenses:		By Profit and Loss Account	—
Freight Inward		(in case of Gross Loss)	—
Carriage Inward		(Gross Loss t/f to P and L A/c)	
Cartage Inward			
(other expenses, if any)	—		
To Profit and Loss Account			
(in case of Gross Profit)			
(Gross Profit t/f to P and L A/c)	—		—

Note: Prefixes "To" and "By" are not practiced nowadays.

Illustration: 1

From the following information prepare Trading Account for the year ending on Mar 31, 2009:

Opening Stock Rs 30,000; Cash Purchases Rs 70,000; Carriage Inwards Rs 5,000; Cartage Inwards Rs 3,000; Freight Inward Rs 2,500; Wages Rs 7,500; Credit Purchases Rs 50,000; Cash Sales Rs 60,000; Credit Sales Rs 1,50,000; Purchases Return Rs 10,000; Sales Returns Rs 15,000; Stock at the end Rs 40,000; Carriage Outwards Rs 10,000; Office Rent Rs 12,000.

Solutions: *Carriage Outwards and Office Rent (expenses relating to office) are not to be entered in Trading A/c.

*All the other items are recorded in the format as follows:

Trading Account of for the year ended on Mar 31, 2009

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Opening Stock	30,000	By Net Sales:	Rs
To Net Purchase:	Rs	Cash Sales	60,000
Cash Purchase	70,000	Add: Credit Sales	1,50,000
Add: Purchases Returns	50,000		2,10,000
	120,000	Less: Sales Returns	15,000
Less: Purchases Returns	10,000	By Closing Stock	40,000
	1,10,000		
To Wages	7,500		
To Carriage Inward	5,000		
To Cartage Inward	3,000		
To Freight Inward	2,500		
To Gross Profit transferred to			
Profit and Loss Account	77,000		
	2,35,000		2,35,000

Illustration: 2 (Treatment of Closing Stock)

Prepare the Trading Account for the year ended on Mar 31, 2009 from the following information:

Purchases (after adjustments) Rs 4,70,000; Sales Rs 5,65,000; Freight Rs 3,000; Carriage Rs 5,000; Freight and Carriage Outward Rs 7,000; Wages Rs 24,000; Closing Stock Rs 27,000; Sales Returns Rs 15,000.

Solution

Step 1: Purchases are shown as after adjustments. This means that closing stock is adjusted with purchases. (As explained earlier, closing stock may be adjusted either with purchases or cost of goods sold).

Remember Purchases (adjusted) = Net Purchases (i.e., Cash Purchases + Credit Purchases – Purchase Returns) + Opening Stock – Closing Stock

Step 2: Hence it will not entered in the Trading Account.

Step 3: Freight and carriage are not to be recorded in Trading Account because they are not direct expenses.

Step 4: Draw the format and enter the figures.

Step 5: Finally, balance the account as the net effect (Gross Profit or Gross Loss) has to be transferred to the next stage of the accounts, i.e. Profit and Loss Account.

Trading Account for the year ended on Mar 31, 2009

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Purchases (Given as after adjustments)	4,70,000	By Net Sales: Rs	
To Freight	3,000	Sales	5,65,000
To Carriage	5,000	Less: Sales Returns	15,000
To Wages	24,000		5,50,000
To Gross Profit transferred to Profit and Loss Account	48,000		
	5,50,000		5,50,000

Illustration: 3

Prepare the Trading Account for the year ending on Mar 31, 2009 from the following information:

Cost of Goods Sold Rs 7,63,500;

Sales Rs 8,13,500; Sales Return Rs 40,000

Closing Stock Rs 15,500

Solution

In this illustration, cost of goods sold and closing stock are given.

As explained earlier, closing stock may be adjusted either with purchases or cost of goods sold. Here, cost of goods sold is given. It means closing stock is adjusted with cost of goods sold and hence it will not appear in Trading Accounts.

Cost of Goods Sold = Opening Stock + Purchases + Direct expenses – Closing Stock

Trading Account for the year ended on Mar 31, 2009

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Cost of Goods Sold	7,63,500	By Net Sales: Rs	
To Gross Profit transferred to Profit and Loss A/c	10,000	Sales	8,13,500
		Less: Sales Returns	40,000
	7,73,000		7,73,500

Illustration: 4

From the following particulars of Raj Chand, prepare the Trading Account for the year ending on Dec 31, 20....

	Rs		Rs
Opening Stock	60,000	Manager's Salary (Office)	1,20,000
Purchases	5,00,000	Manager's Salary (Factory)	1,25,000
Purchase Returns	10,000	Fuel, Gas, Water	30,000
Sales	11,00,000	Customs Duty	10,000
Sales Returns	20,000	Dock Dues	1,500
Clearing Charges	4,000	Rent (Office)	12,000
Carriage on Sales	7,700	Rent (Factory)	20,000
Royalty	5,000	Wages (Productive)	1,60,000
Factory Light and Power	25,000	Carriage and Freight	12,000
Office Insurance	19,000	Salary of Foreman	1,48,000
Octroi	2,500	Stock at the end	3,40,000
Factory Insurance	17,500		
General Expenses	67,500		

Solution

Raj Chand
Trading Account for the year ending on Dec 31, 20....

Dr.				Cr.	
Particulars		Rs		Particulars	Rs
To Opening Stock	Rs	60,000		By Sales	Rs 11,00,000
To Purchases	5,00,000			Less: Returns	20,000
Less: Returns	<u>10,000</u>	4,90,000		By Stock at the end	<u>3,40,000</u>
To Clearing Charges		4,000			
To Royalty		5,000			
To Factory Light and Power		25,000			
To Octroi		2,500			
To Factory Insurance		17,500			
To Manager's Salary (Factory)		1,25,000			
To Fuel, Gas and Water		30,000			
To Customs Duty		10,000			
To Dock Dues		1,500			
To Rent (Factory)		20,000			
To Wages (Productive)		1,60,000			
To Carriage and Freight		12,000			
To Salary of Foreman		1,48,000			
To Gross Profit transferred to Profit and Loss Account		3,09,500			
		<u>14,20,000</u>			<u>14,20,000</u>

Notes

- Expenses relating to office are not recorded in the Trading Account. In this illustration such expenses are:
Carriage on sales
Office insurance
Rent (office)
Manager's salary (office)
General expenses
- Closing stock is included because it is not adjusted with purchases or cost of goods sold.

OBJECTIVE 3 : MANUFACTURING ACCOUNT**3.1 Meaning of Manufacturing Account**

Manufacturing Account is prepared by the business enterprises that are engaged in manufacturing activities. In order to ascertain the cost of goods manufactured, the Manufacturing Account is prepared. In this account, both direct and indirect expenses relating to the process of manufacturing are recorded (i.e., debited to this account). The Manufacturing Account is closed by transferring its balance (cost of goods produced) to the Trading Account.

3.2 Pro-forma of a Manufacturing Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Materials:		By Sale of Scrap	
Opening Stock		By Closing Stock:	—
Raw Materials		Raw Materials	
Work-in-progress	—	Work-in-progress	—
To Purchases:		By Cost of the goods	
Raw Materials		(transferred to trading account)	—
Work-in-progress	—		
To Carriage Inwards	—		
To Factory Wages	—		
To Factory Rent	—		
To Fuel, Power, Gas	—		
To Factory Insurance	—		
To Depreciation	—		
To Overheads (Manufacturing)	—		
To Repairs	—		
To Taxes	—		
To Royalty on Production	—		
To General Expenses	—		
To Miscellaneous Expenses	—		
(manufacturing)	—		

Illustration: 5

The following were some of the ledger balances in the books of Dev and co. on Mar 31, 2009.

	Rs		Rs
Raw Materials Stock on Apr 1, 2008	20,000	Plant and Machinery as cost	80,000
Stock of Work-in-Progress	30,000	Leasehold Buildings as cost	50,000
Direct Wages	80,000	Provision for Depreciation	
Sales	2,70,000	Leasehold Building	7,000
Purchases	1,80,000	Plant and Machinery	5,000
Returns Inwards	10,000	Fixtures and Fittings	2,000
Carriage Inwards	2,500	Replacement cost of fixed assets	18,000
Direct Wages	70,000	Sale of Scrap	2,500
Repair to Buildings	3,000	Factory Power	7,500
Indirect Wages	9,000	Factory Rates	9,000
Bank Overdraft	20,000	Stock of Finished Goods as on Apr 1, 2008	45,0000

Additional Information

- (1) Factory buildings are held on a 60-year lease
- (2) Stocks on Mar 31, 2009: Raw materials Rs 25,000; Work-in-Progress Rs 35,000; Finished Goods Rs 60,000
- (3) Depreciate the Plant and Machinery @10% p.a.
- (4) The factory production was charged to finished goods at cost
- (5) Prepare a Manufacturing Account for the year ended on Mar 31, 2009.

Solution**Notes**

1. Figures relating to finished goods are not taken into account.
2. Bank Overdraft and “provisions” are also not recorded.
3. Items relating to Fixed Assets are also not entered.
4. Depreciation on Plant and Machinery is worked out as $\text{Rs } 80,000 \times 10/100 = \text{Rs } 8,000$ for a year. In practice for 6 months, Rs 4,000 only is recorded as the exact date of purchase of machinery is not given. (Provision for Depreciation given in the question is to be ignored.)
5. It is customary to show one figure for raw materials as:

Raw materials (opening stock):

Add: Purchases:

Less: Closing stock:

—	
—	
—	

But, Closing Stock is shown separately on the credit side.

Dev and Co.**Manufacturing Account for the year ended on Mar 31, 2009****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Stock as on Apr 1, 2008	Rs	By Stock as at the end (as on Mar 31, 2009)	Rs
Raw Materials	20,000	Raw Materials	25,000
Work-in-Progress	<u>30,000</u>	Work-in-Progress	<u>35,000</u>
To Purchases	2,70,000	By Sale of Scrap	2,500
To Carriage Inwards	2,500		

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To Direct Wages	70,000	By Cost of goods transferred to Trading Account	3,62,500
To Indirect Wages	9,000		
To Factory Power	7,500		
To Factory Rates	9,000		
To Repairs to Buildings	3,000		
To Depreciation on Plant and Machinery	4,000		
	<u>4,25,000</u>		<u>4,25,000</u>

3.3 Differences Between Trading Account and Manufacturing Account

A Trading Account differs from Manufacturing Account on the following aspects:

Basis of Distinction	Trading Account	Manufacturing Account
1. Main objective of preparation	This is prepared to ascertain the gross profit or gross loss	The main object is to ascertain the cost of goods manufactured
2. Transfer of A/c	This is transferred to the Profit and Loss Account	This is transferred to Trading Account
3. Stock of finished goods	This account shows the stock of finished goods (opening and closing)	This account does not show the stock of Finished Goods (both opening and closing)
4. Raw Materials and work-in-progress	Trading Account does not deal with raw materials and work-in-progress. This deals with only finished goods	This account deals with raw materials and work-in-progress. This does not deal with finished goods

OBJECTIVE 4: PROFIT AND LOSS ACCOUNT

As already explained, Trading and Profit and Loss Account, a constituent of Final Accounts is divided into two sections (stages or parts). The first section is Trading Account. After the preparation of Trading Account, the next step in the accounting process is to prepare the Profit and Loss Account.

4.1 Profit and Loss Account: Meaning and Features

Profit and Loss Account is prepared to ascertain the net profit earned or net loss suffered by a business enterprise during an accounting period. This account starts with gross profit on the credit side much which is brought forward from the Trading Account. It is followed by any other item of revenue income. It is important to mention here that only items of revenue incomes and revenue losses will be recorded in this account. But profit or loss on sale of capital items is recorded here. On the debit side it starts with gross loss, in case of gross loss brought forward from Trading Account. It is followed by items relating to revenue expenses. (Items that are not recorded in Trading Account will have to be recorded in this account.)

After recording all items, both sides of the Profit and Loss Account are totalled. If the credit side total exceeds the debit side total, the difference is Net Profit. On the other hand, if the debit side exceeds the credit side such difference is termed as Net Loss. Profit and Loss Account is closed by transferring the Net Profit/Loss to Capital Account in the Balance Sheet. Net profit is added to the Capital Account in the Balance Sheet while net loss is deducted from the Capital Account in the Balance Sheet.

4.2 Closing Entries Relating to Profit and Loss Account

The preparation of Profit and Loss Account requires the transfer of all items (nominal accounts relating to Profit and Loss Account) in the Trial Balance to the Profit and Loss Account with the help of the following closing entries:

- (A) For Debit: (items of revenue expenses and losses) (or for items other than those record in debit side of Trading Account)
- | | |
|-------------------------|-----|
| Profit and Loss A/c | Dr. |
| To Respective items A/c | |
| (individually) | |
- (B) For Credit: (items of revenue income and gains) (or for items other than those recorded in credit side of Trading Account)
- | | |
|----------------------------|-----|
| Respective items A/c | Dr. |
| To Profit and Loss Account | |
| (individually) | |
- (C) (i) For Net Profit:
- | | |
|-------------------------|-----|
| Profit and Loss Account | Dr. |
| To Capital account | |
- (ii) For Net Loss:
- | | |
|----------------------------|-----|
| Capital Account | Dr. |
| To Profit and Loss Account | |

4.3 Pro-forma of Profit and Loss Account

Refer Chapter 15.

4.3.1 Uses of Profit and Loss Account

1. *Determination of net income:* It is very essential for any kind of business entities to know the profit earned periodically for which this account facilitates the task of computing the net income with accuracy.
2. *Capital maintenance:* Capital should be maintained at an optimum level in business organisations. The preparation of this account extends a helping hand in determining how much amount can be kept in capital and how much can be earmarked for the other areas in the business firms. The income statement plays a vital role in this aspect.
3. *Tool of financial planning:* Only after ascertaining net profit, financial planning can be carried on without much hindrance. The business entities can plan how much to earmark to replace the assets and how much to keep in reserve to meet any unforeseen eventualities which may arise in future and the like.
4. *Source of internal financing:* It helps in maintaining the level of retained income which will act as a source for all other activities relating to finance within any enterprise.
5. *Basis for tax computation:* This account provides accurate basic data to calculate tax. But for this, it will not be easy to compute tax.
6. *Future investment decisions:* Level of earnings in future can be estimated based on the past level of earnings. This P and L Account throws much light on this aspect by which a proper investment decision can be made by a careful analysis of incomes and expenses occurred in the previous years.
7. *Managerial use:* Information regarding profitability can be had from income statement which is useful for management to streamline the different and varied activities of the larger enterprises.

4.4 Explanation of Some of the Terms Appearing in Profit and Loss Account

Some of the items that frequently appearing in the preparation of Profit and Loss Account have to be understood in the proper context. They are as follows:

- (i) *Outstanding income:* The amount which is due and receivable but not yet received is referred to as “outstanding income.” A person is entitled to receive the “outstanding income” once it becomes due legally.

- (ii) *Accrued income*: The amount which is earned but not yet due and receivable is referred to as “Accrued Income.” This is calculated periodically. A person is not entitled to receive the “accrued income” legally.
- (iii) *Net profit*: Excess of operating revenues over operating expenses and losses is termed as “Operating Profit” (Operating Profit = Gross Profit – Operating Expenses). Operating expenses are such expenses that form part of normal business activities.
- (iv) *Operating loss*: Excess of operating expenses over the gross profit is known as operating loss:

$$\text{Operating Loss} = \text{Operating Expenses} - \text{Gross Profit}$$
- (v) *Non-operating profit* = Non-operating profit arises from sources other than normal activities of the business entities. (In order to understand the concept of operating activities in detail, students are asked to refer the chapter “Cash Flow Statement”).

Illustration: 6

From the following information, prepare the Profit and Loss Account for the year ending on Mar 31, 20....

	Rs		Rs
Gross Profit	3,70,000	Apprenticeship Premium paid	2,000
Salaries	7,500	General Expenses	6,000
Carriage Outwards	2,500	Miscellaneous Income	3,500
Freight Outwards	3,000	Reinvestment on Fixed Assets	30,000
Discount Allowed	1,000	Machinery sold	12,000
Discount Received	1,500	(Book value Rs 15,000)	3,000
Commission Allowed	1,500	Interest Received	
Commission Received	2,000		
Rent (factory)	3,000		
Dividend Received	2,000		

Solution**Notes**

- As gross profit is given, Trading Account need not be prepared. Profit and Loss Account can be prepared straight away.
- Gross profit is entered on the credit side and all the incomes of revenue nature are recorded one by one.
- All expenses are entered (revenue nature) on the debit side.
- Sale of machinery – only the loss on sale (Rs 15,000 – Rs 12,000) (book value – sale). Rs 3000 is entered on the debit side. Sale amount Rs 12,000 is not recorded in Profit and Loss Account.
- Reinvestment on fixed assets is capital expenditure and hence not recorded in Profit and Loss Account.

Profit and Loss Account for the year ended on Mar 31, 20....**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Salaries	7,500	By Gross Profit	3,70,000
To Carriage Outwards	2,500	By Discount Received	1,000
To Freight Outwards	3,000	By Commission Received	2,000
To Discount Allowed	1,000	By Dividend Received	2,000
To Commission Allowed	1,500	By Miscellaneous Income	3,500

(Continued)

(Continued)

<i>Dr.</i>			<i>Cr.</i>
Particulars	Rs	Particulars	Rs
To Rent (factory)	3,000	By Interest Received	3,000
To Apprenticeship Premium	2,000		
To General Expenses	6,000		
To Loss on sale of Machinery	3,000		
To Net Profit (transferred to Capital A/c in Balance Sheet)	3,52,000		
	<u>3,81,500</u>		<u>3,81,500</u>

Illustration: 7

From the following balances of Raj and Sons, prepare a Trading and Profit and Loss Account for the year ending Mar 31, 2009.

	Rs		Rs
Capital	75,000	Discount (Dr.)	100
Stock	3,000	Insurance	120
Sales	90,000	Carriage	400
Purchases	25,000	Carriage on Sales	350
Sales Returns	1,000	Wages	2,000
Purchases Returns	1,500	Depreciation	100
Cash in hand	2,500	General Expenses	600
Discount (Cr.)	160	Advertisement Expenses	250
Salaries	1,500	Travelling Expenses	300
Creditors	15,000	Building on lease	70,000
Bills Payable	12,000	Stock at the end (Mar 31, 2009)	5,000
Commission (Cr.)	300	Bad Debts	120

Solution

Raj and Sons
Trading and Profit and Loss Account for the year ended on Mar 31, 2009

<i>Dr.</i>			<i>Cr.</i>
Particulars	Rs	Particulars	Rs
To Stock	Rs 3,000	By Sales	Rs 90,000
To Purchases	25,000	Less Sales Returns	<u>1,000</u>
Less Returns	<u>1,000</u>	By Stock at the end	89,000
To Wages	2,000		5,000
To Carriage	400		
To Gross Profit	65,100		
(transfer to Profit and Loss A/c)			
	<u>94,000</u>		<u>94,000</u>
To Salaries	1,500	By Trading Account	65,100
To Discount	100	(Gross profit b/d)	
To Insurance	120	By Discount	160
To Carriage on Sales	350	By Commission	300
To Depreciation	100		
To General Expenses	600		

<i>Dr.</i>		<i>Cr.</i>	
Particulars	Rs	Particulars	Rs
To Advertisement Expenses	250		
To Travelling Expenses	300		
To Bad Debts	120		
To Net Profit (transferred to Capital A/c in Balance Sheet)	62,120		
	65,560		65,560

Note: (i) Items relating to capital nature are not recorded in Profit and Loss Account.
(ii) Trading Account and Profit Loss Account is a single account and always has to be prepared, as explained in this illustration.

OBJECTIVE 5: BALANCE SHEET

5.1 Meaning and Features of a Balance Sheet

The next step in the process of accounting after preparing Trading and Profit and Loss Account is the preparation of Balance Sheet. The process that started with the recording of Journal entries ends (as the last step) in the preparation of Final Accounts. But this term “Final Accounts” is applied collectively to comprise the three accounts, i.e. Trading Account, Profit and Loss Account and the Balance Sheet. Balance Sheet is not an account but a statement summarising the financial position of a business enterprise at a particular date. All the accounts that have not been closed by transfer to either the Trading Account or the Profit and Loss Account are to be recorded in the Balance Sheet. It summarises on the one side – the right-hand side – the assets of the business enterprise and on the left hand side the liabilities of the business. The capital – the business owes to the owner is recorded on the liabilities side. Net profit is added to it, while net loss is deducted from the capital. At the same time, Drawings (owner’s debt to the business) is not recorded as a separate item on the assets side but it is deducted from Capital Account. Consequently, the total of two sides must show equal amounts. This equality is a proof of arithmetical accuracy. Hence, a Balance Sheet may be called a Statement of Assets and Liabilities of a business entity at a particular date.

5.2 Contents of the Balance Sheet

The right-hand side of a Balance Sheet is called the “Assets” side and the left-hand side is called the “Liabilities” side.

Items shown on the Assets side of a Balance Sheet: The debit balances of the ledger accounts that were not transferred to the Trading and Profit and Loss Account are to be shown on the Assets side of the Balance Sheet, because a debit balance in the real account and the personal account represents an “Asset.” Assets are generally classified as Current Assets, Investments and Fixed Assets.

Further, fixed assets are classified into two categories: Tangible Assets and Intangible Assets.

Current Assets: Current Assets are those assets which are held for a short period and can easily be converted into cash (or sold or consumed).

Example: Cash in hand, cash at bank, raw material, stock of goods, bills receivable, debtors, prepaid expenses and so on. The current assets are also called floating assets or circulating assets. Turnover of these assets occur quickly and frequently. Generally, current assets are valued at cost price or market price whichever is less.

Investments: Acquisition of assets which in turn earn interest, dividend, rent or any other incomes are referred to as investments. For example, Shares, Debentures, Bonds and Fixed Deposits. These are usually held in business for a long period, generally more than a year.

Fixed Assets: The term “Fixed Assets” refer to those assets which are acquired for use in business activities rather than for resale in the course of the business. They are usually held in the business for a relatively longer period. Fixed assets are classified into Tangible Fixed Assets and Intangible Fixed Assets.

Tangible Fixed Assets can be seen and they possess concrete physical existence. For example, Land, Building, Plant, Machinery, Furniture and Fixtures, Vehicles and so on.

Intangible Fixed Assets cannot be seen and they do not possess any physical existence. Example: Goodwill, Patents, Copyrights, Trademarks and so on.

Some other assets also appear in the assets side because of the nature of account, i.e. a debit balance relating to special items such as “Suspense Account” of Advertisement, Interest, etc. Because of its status as a debit balance, it is shown as an asset.

Wasting Fixed Assets such as mines, oil wells, quarries also have the status of assets appearing on the Assets side of the Balance Sheet.

It is to be noted here that Contingent Assets are not shown on the assets side of the Balance Sheet, but they are shown as notes to the Balance Sheet now.

Items shown on the “Liabilities side” of a Balance Sheet: The credit balances of the ledger accounts that were not transferred to the Trading and Profit and Loss Account are to be shown on the “Liabilities side” of the Balance Sheet, because a credit balance in personal account is a liability. Liabilities may broadly be classified as follows: (i) Current Liabilities and (ii) Long-term Liabilities.

Current liabilities: Current liabilities represent the debts that have to be paid within a short period. For example, Creditors, Bills Payable, Outstanding Liabilities and Income received in advance.

- (i) *Creditors:* These include both trade and nontrade creditor’s purchases of goods on credit basis, for use of services amount not yet paid are some of the examples for trade creditors. Money borrowed for a short period is nontrade creditor. All creditors are clubbed together and entered under the head “Creditors.”
- (ii) *Outstanding liabilities:* Amount not yet paid (for the expenses already incurred) till the date of preparation of Balance Sheet is called outstanding liabilities. For example, outstanding rent, tax, salary, wages, interest, etc.
- (iii) *Income received in advance:* As on the date of Balance Sheet, amount would have been received but expense for which will incur on a later date.
- (iv) *Bills payable:* It is an instrument to pay money to the creditor for purchase of goods or services.

Long-term liabilities: Long-term liabilities represent the debts that need not be paid in a short period. Due date for payment of such liabilities will be usually for a period of more than a year. Long-term liabilities may be classified as (i) Secured Loans and (ii) Unsecured Loans.

- (i) *Secured Loans:* In case, if loan is obtained by mortgaging a fixed asset as security, such loan is said to be a secured loan, i.e. loans are availed against security.
- (ii) *Unsecured Loans:* No security is to be provided to secure a loan in this type of liability.

Examples: Debentures and loan from financial institutions.

Contingent liabilities: A contingent liability is not a liability on the date of Balance Sheet, but it may be a liability or may not be a liability on a future date. Uncertainty clouds over the amount pertaining to those liabilities. The obligation to discharge these liabilities on the date of Balance Sheet is uncertain.

Examples: Bills of exchange discounted; law suit against business enterprises, still pending, surety or guarantee given to others and arrears of dividends on cumulative preference shares.

As contingent liability is not an actual liability on the date of Balance Sheet, it will not be recorded on the liabilities side of the Balance Sheet but it is shown as footnote or explanation to the Balance Sheet.

5.3 Grouping and Marshalling of Assets and Liabilities: Meaning of Grouping and Marshalling

Grouping: Arranging items of a similar nature together under a common heading is known as “grouping.”

Examples: Creditors, Debtors.

Creditors: This includes accounts of all the suppliers from whom goods were purchased on credit.

Debtors: This includes accounts of all debtors arising from the credit sales of goods, i.e. the balances of all the ledger accounts of debtors are totalled and written under the head “Debtors.”

Marshalling: The order in which the assets and liabilities are recorded in the Balance Sheet is referred to as marshaling. The items in the Balance Sheet are generally marshalled in the following two ways: (i) in the order of liquidity and (ii) in the order of permanency.

5.4 In the Order of Liquidity

- (i) Assets are arranged in the order of liquidity (liquidity means the ability to convert the asset into cash or time taken to convert the asset into cash) – the most liquid asset is shown first and the least is shown last.
- (ii) The liabilities are arranged in the order in which they have to be paid off – the most emergent amount has to be made is recorded first and other liabilities are arranged in the order of emergency to be paid off.

The sole proprietorship, partnership firms, banking and financial entities usually adopt this kind of preparing balance sheets in order of liquidity.

Format of Balance Sheet (items shown in the order of liquidity)

Balance Sheet as on

Liabilities	Rs	Assets	Rs
Current Liabilities:		Current Assets:	
Bank Overdraft	—	Cash in hand	—
Bills Payable	—	Cash at bank	—
Bank loan (short-term)	—	Bills Receivable	—
Income received in advance	—	Sundry Debtors	—
Long-Term Liabilities:		Prepaid Expenses	—
Loan (Long-Term)	—	Accrued Income	—
Loan on Mortgages	—	Stock	—
Capital: Rs		Investments:	
Opening balance		Fixed Assets:	
Add: Net Profit		Furniture and Fixtures	—
or		Plant and Machinery	—
Less: Net Loss		Building	—
Less: Drawings		Land	—
		Patents	—
		Trademarks	—
		Goodwill	—
	xxx		xxx

5.5 In the Order of Performance

Items are arranged in the order of performance according to the purpose. This order is just the reverse of the liquidity order.

The assets are arranged in the order of their performance – the least liquid asset is to be recorded first and the most liquid asset is recorded last, i.e. just the reverse order of the liquidity order.

The liabilities (also the reverse of the liquidity order), the least urgent payment is to be recorded first and vice versa.

It is mandatory for companies incorporated under the Companies Act 1956 to prepare the Balance Sheet in the order of performance.

Format of Balance Sheet (items shown in the order of performance)

Balance Sheet of as on

Liabilities	Rs	Assets	Rs
Capital:	Rs	Fixed Assets:	
Opening Balance	...	Goodwill	—
Add: Net Profit	...	Trademarks	—
(or)	—	Patents	—
Less: Net Loss	...	Land	—
Less: Drawing	...	Buildings	—
Long-Term Liabilities:	—	Plant and Machinery	—
Long (Long Term)		Furniture and Fixtures	—
Loan on Mortgages		Investments:	
Current Liabilities:		Current Assets:	
Income received in advance	—	Stock	—
Outstanding Expenses	—	Accrued Income	—
Bank Loan (short term)		Prepaid Expenses	—
Bills Payable		Sundry Debtors	—
Bank Overdraft		Bills Receivables	—
	—	Cash at Bank	—
		Cash in Hand	—
			—

OBJECTIVE 6: USES OF BALANCE SHEET

- To ascertain the nature and value of assets of business entities at a particular date.
- To ascertain the nature and value of the liabilities and their values of the business on a particular date.
- To assess the solvency of the business.
- To examine how much capital is distributed among the various assets to strengthen the efficiency of the firms.
- To assess exactly the financial position of a business.
- To facilitate comparison within the enterprise and with the enterprises of similar nature in the market.

OBJECTIVE 7: DIFFERENCES BETWEEN TRIAL BALANCE AND BALANCE SHEET

A Trial Balance may differ from Balance Sheet in the ways as shown in the tabular column.

Basis of Distinction	Trial Balance	Balance Sheet
1. Object of preparation	The main object is to test the arithmetical accuracy of the ledger postings	This is prepared to ascertain the financial position of a firm
2. Periodically of preparation	Trial balance may be prepared more than once in a year	Balance Sheet is prepared only once at the end of an accounting period

Basis of Distinction	Trial Balance	Balance Sheet
3. Types of accounts	All types of accounts, i.e. personal, real and nominal accounts are recorded	Only personal and real accounts are recorded
4. Contents	All the ledger accounts are shown	The balances of ledger accounts, which were not closed till Trading and Profit and Loss Account is prepared, are shown
5. Stock	It always contains opening stock and only rarely closing stock	It contains only closing stock
6. Headings	The headings of the Trial Balance columns are "Debit balance" and "Credit balance"	The headings in the Balance Sheet are "Liabilities" and "Assets"
7. Adjustments	Adjustments (in respect of outstanding expenses, prepaid, accrued income, etc.) are not necessary in the preparation of a Trial Balance	Adjustments relating to certain items are absolutely necessary to prepare a Balance Sheet
8. Net Result	Net profit or net loss cannot be known from the Trial Balance	Net result can be best obtained from the Balance Sheet
9. Mandatory	Preparation of Trial Balance is only obligatory. It is not mandatory	Preparation is mandatory for companies registered under Companies Act
10. Ends or means	A Trial Balance is a means to know the financial position of a business enterprise	A Balance Sheet is the end to know the financial position of an enterprise

Adjustments

To be made at the time of preparing Balance Sheet – (Final Accounts)

Adjustments of various items in the preparation of Final Accounts

At times, balances in the Trial Balance do not show the correct amounts for the full accounting period.

Revenue recognition is one kind of principle to be followed for making adjustments. According to this principle, the revenue should be recognised in the period in which the sale is said to have taken place.

Matching principle is another kind of principle which emphasises that the expenses will have to be recognised in the same accounting period with revenues. Any expense is recognised in relation to its revenue. "No revenue, No expense" policy is the motive behind such principle.

As final accounts are prepared on accrual basis, adjustments are necessary to record all assets and liabilities at their correct values. For this, the amount relating to a transaction may be received/spent in the previous year, such amount must be added this year. Similarly, if any amount has been received/spent for the next year, it must be deducted as it relates only to the next accounting period. Irrespective of the year in which it was received/spent, **MUST** be brought to this year, if it pertains to this year and get adjusted with that time. Such adjustments are made to ensure a proper match of revenue and expense.

Some of the items of adjustments required to be made at the end of the accounting period are explained below.

7.1 Stock at the End or Closing Stock

The stock at the end or closing stock or closing inventory is valued properly (i.e., at cost or net realisable value that is less) and then it is incorporated in the final accounts.

Accounting treatment

A: Journal entry

Closing Stock Account	Dr.
To Trading Account	

B: In Trading Account Recorded on the Credit Side

C: In Balance Sheet Recorded on the "Assets Side"
As a "Current Asset."

If the closing stock appears in the Trial Balance,

(a) Journal entry Stock at the End A/c Dr.
To Purchase A/c

(b) In Trading Account No entry

(c) In Balance Sheet On the Assets side as "Current Asset."

Illustration: 8

Closing stock as on Mar 31, 2009 Rs 1,750 appears outside the Trial Balance. Accounts are closed on Mar 31. Pass an adjusting entry and how will you record in the trial accounts.

Solution

(A) Adjusting entry

	Closing Stock A/c	Dr.	1,750	
	To Trading A/c			1,750

(B) Trading Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
		By Closing Stock	1,750

(C) Balance Sheet

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
		Current Assets: Closing Stock	1,750

7.2 Accrued Expenses or Outstanding Expenses

Usually expenses are recorded only when they are paid. It means that expenses were actually incurred but not paid during the accounting period.

Adjustment:

(A) Journal entry Expenses A/c Dr.
To Outstanding Expenses A/c

Enter:

(B) Trading Account On the debit side to be added to the respective expenses account.
(direct expenses only)

- (C) Profit and Loss A/c On the debit side to be added to the respective expense account
 (for indirect expenses)
- (D) Balance Sheet On the liabilities side under the head: current liability

Note: If Outstanding Expenses appear in the Trial Balance, no adjusting entry is needed. Such outstanding expenses are shown only on the liabilities side of the Balance Sheet. Further it is not shown in Profit and Loss Account too.

Illustration: 9

A private business enterprise disburses salary to its staff on the fifth day of the next month. The monthly salary bill is Rs 30,000. Pass an adjusting entry and how will you record in final accounts.

Solution

- (A) Adjusting entry

Journal

Date	Particulars	Dr. Rs	Cr. Rs
	Salary A/c To Outstanding Salary A/c	Dr. 30,000	30,000

- (B) Profit and Loss Account

Profit and Loss Account for the year ended Dec 31, 20....

Dr.

Cr.

Particulars	Rs	Particulars	Rs
Salary paid: Rs			
(11 months x Rs 30,000) 3,30,000			
Add: Outstanding for Dec: 30,000	3,60,000		

- (C) Balance Sheet

Balance Sheet as on Dec 31, 20....

Liabilities	Rs	Assets	Rs
Current Liabilities: Outstanding Salary	30,000		

7.3 Prepaid Expenses

Payments for certain expenses will be paid in advance, i.e. expenses are paid in the current accounting period, but the benefit to a certain extent will occur in the next accounting period. For example, insurance premium, rent, etc.

Accounting treatment

- (A) Adjusting entry Prepaid Expenses A/c Dr.
 To Respective expenses A/c
- (B) Trading Account It is deducted from the concerned expenses on the debit side
 (for direct expenses only)

- (C) Profit and Loss Account
(for indirect expenses only)

It is deducted from the concerned expenses on the debit side.

- (D) Balance Sheet

It is to be recorded on the “Assets Side” under “Current Assets”

Note: If it appears in Trial Balance it will be shown only on the assets side of the Balance Sheet. No adjustment entry is required in that case.

Illustration: 10

A firm pays Insurance Premium Rs 3,600 on June 1 every year. The accounting period ends on Dec 31. Make the adjustment entry in order to prepare final accounts.

Solution

- (A) Adjusting entry

Journal

Date	Particulars	Dr. Rs	Cr. Rs
	Prepaid Insurance Premium A/c Dr. To Insurance Premium A/c (Insurance premium paid in advance for 5 months)	1,500	1,500

- (B) Profit and Loss Account

Profit and Loss Account for the year ended Dec 31, 20....

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Insurance Prepaid 3,600			
Less: Prepaid 1,500	2,100		

- (C) Balance Sheet

Balance Sheet as on Dec 31, 20....

Liabilities	Rs	Assets	Rs
		Current Assets Prepaid Insurance	1,500

7.4 Accrued Income

Income that has been earned but not received during the accounting period is referred to as “accrued income.”

- (A) Adjustment entry

Accrued Income A/c Dr.
To Respective Income A/c

- (B) Profit and Loss Account

To be entered on the credit side and added with respective income

- (C) Balance Sheet

To be entered on the assets side as Current Asset in Balance Sheet.

If accrued income appears in Trial Balance, no adjusting entry is needed. It will not be shown in Profit and Loss Account, but accrued income is to be shown in the Balance Sheet.

Illustration 11

A business firm owns Rs 20,000, 12% debentures on which interest is receivable on Sep 30 and Mar 31. Accounting year is the financial year. The interest was received on June 30 only. Pass an adjusting entry and how will this appear in final accounts.

Solution

(A) Adjusting entry

Journal

Date	Particulars	Dr. Rs	Cr. Rs
	Accrued Interest A/c To Interest A/c (Interest on Rs 20,000 @ 12% for 6 months: accrued)	Dr. 1,200	1,200

(B) Profit and Loss Account

Profit and Loss Account for the year ended Mar 31, 20....**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
		By Interest Received	1,200
		Add: Accrued	1,200
			2,400

(C) Balance Sheet

Balance Sheet as on Mar 31, 20....

Liabilities	Rs	Assets	Rs
		Current Assets Account Interest	1,200

7.5 Income Received in Advance (or) (Unearned Income or Unaccrued Income)

The income or revenue that has been received in advance for the goods or services to be provided in the near future is generally known as unearned income. For example, subscription, insurance premium, etc. Income received in advance is a liability in the sense that the amount has to be repaid or an equal value of goods or services will have to be provided in the near future.

(A) Adjusting entry

Respective income A/c

Dr.

To Income received in advance A/c

(B) Profit and Loss Account

Entered in the credit side, has to be deducted from the respective account

(C) Balance Sheet

Entered on the liabilities side as “Current Liability”

Note: As usual, if it appears in Trial Balance, no adjusting entry is needed. It will be shown only in the Balance Sheet.

Illustration: 12

A social service organisation receives subscriptions from its members Rs 30,000, of which Rs 3,500 relates to next accounting year. Pass the necessary adjustments in final accounts.

(A) Adjusting entry

Date	Particulars	Dr. Rs	Cr. Rs
	Subscriptions A/c To Subscription received in advance (Subscriptions received in advance)	Dr. 3,000	3,000

(B) Profit and Loss Account

Profit and loss account for the year ended

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
		By Subscriptions Received	30,000
		Less: Received in advance	3,000
			27,000

(C) Balance Sheet

Balance Sheet as on

Liabilities	Rs	Assets	Rs
Current Liabilities Subscription Received in advance	3,000		

7.6 Description of Fixed Assets

Depreciation of Fixed Assets A certain portion of the cost of a fixed asset (its use in business) is charged as an expense which is referred to as depreciation.

Accounting treatment:

- | | | |
|-----------------------------|---|-----|
| (A) Adjusting entry | Depreciation Account | Dr. |
| | To (the concerned) Asset A/c | |
| (B) Profit and Loss Account | Recorded as a separate item on the debit side | |
| (C) Balance Sheet | Recorded on the Assets side of the Balance Sheet. It should be deducted from the respective “Fixed Asset” | |

Note: In general, depreciation is provided after the preparation of Trial Balance. But at times, it is shown in Trial Balance. In that case, no adjustment entry is needed. It will be shown only in Profit and Loss Account. It will not be shown in Balance Sheet.

Illustration: 13

The following balances were extracted at the end of an accounting period from the books of Renu:

Plant and Machinery	Rs 1,00,000
Furniture and Fixtures	Rs 15,000
Building	Rs 5,00,000

Depreciation is to be charged as 10% on Plant and machinery, 20% on Furniture and Fixtures and 2% on Buildings. You are required to pass adjusting entry and show this will appear in the final accounts.

Solution

First, calculate the charge, i.e. depreciation amount for each item individually as:

Plant and Machinery:	$\text{Rs } 1,00,000 \times 10/100$	=	<u>Rs 10,000</u>
Furniture and Fixtures:	$\text{Rs } 15,000 \times 20/100$	=	<u>Rs 3,000</u>
Building:	$\text{Rs } 5,00,000 \times 2/100$	=	<u>Rs 10,000</u>
Total amount of depreciation		=	<u>Rs 23,000</u>

Then, pass the adjusting entry in the books of Journal as follows:

(A) Adjusting entry

Journal

Date	Particulars	Dr. Rs	Cr. Rs
	Depreciation A/c Dr.	23,000	
	To Plant and Machinery A/c		10,000
	To Furniture and Fixtures A/c		3,000
	To Building A/c		10,000
	(Depreciation charged to Fixed Assets)		

(B) Profit and Loss Account

Profit and Loss Account for the year ended

Dr.

Cr.

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Depreciation			
Plant and Machinery	10,000		
Furniture and Fixtures	3,000		
Building	10,000		

(C) Balance Sheet

Balance Sheet as on....

Liabilities	Rs	Assets		Rs
		Fixed Assets:	Rs	
		Plant and Machinery	1,00,000	
		Less: Depreciation @ 10%	<u>10,000</u>	90,000
		Furniture and Fixtures:	15,000	
		Less: Depreciation @20%	<u>3,000</u>	12,000
		Building:	5,00,000	
		Less: Depreciation @2%	<u>10,000</u>	4,90,000

7.7 Bad Debts

Accounting Treatment of Bad Debts: Losses that arise due to liability to recover debt are called “Bad Debts.”

(A) Accounting treatment:

Bad Debts A/c	Dr.
To Debtors A/c	

To Debtors A/c

(B) Profit and Loss Account To be recorded on the debit side as a separate account

(C) Balance Sheet To be entered on the Assets side by deducting from Debtors

If “Bad Debts” appear in the Balance Sheet, no adjusting entry is required. It will be entered in the Profit and Loss Account.

Illustration: 14

Mr Dilip, a debtor for Rs 25,000 is declared insolvent. Debtors appear in the Trial Balance at Rs 3,00,000 (including Dilip’s Debt). Write up the adjustment entry and prepare the final accounts. Accounting year ends on Dec 31.

Solution

(A) Adjusting entry

Date	Particulars	L.F.	Debit Rs	Credit Rs
	Bad Debts Account Dr. To Mr. Dilip’s Account (Amount not recoverable from Dilip bad debt entered)		25,000	25,000

(B) Profit and Loss Account

Profit and Loss Account for the year ended on Dec 31.....

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Bad Debts A/c	25,000		

(C) Balance Sheet

Balance Sheet as on Dec 31...

Liabilities	Rs	Assets	Rs
		Current Assets: Rs	
		Debtors 3,00,000	
		Less: Bad Debts 25,000	2,75,000

7.8 Provision for Bad and Doubtful Debts

In addition to the bad debts written off, as explained in the previous illustration, a provision is created by way of a pre-determined percentage of debtors.

(A) Accounting entry Profit and Loss Account Dr.

To Provision for Doubtful Debts

(B) Profit and Loss Account To be entered on the debit side as separate item

(C) Balance Sheet To be recorded on the Assets side of the Balance Sheet by deducting from Sundry Debtors

Illustration: 15

Following is the extract of a Balance Sheet (relating to this particular item Debtors and Bad Debt) as on Mar 31, 2009:

	Dr. Balance Rs	Cr. Balance Rs
Sundry Debtors	1,10,000	
Bad Debts	7,500	

Additional information

- (i) After preparing Trial Balance, it is surfaced that one Mr. Yadav has become insolvent and the entire amount of Rs 10,000 was not recoverable from him.
- (ii) It is desired to make a provision of 5% on debtors. Write up the relevant adjustment entry and prepare the final accounts.

Solution

	Rs
Sundry Debtors (as given)	1,10,000
Less: Bad Debts (given in additional information)	<u>10,000</u>
	1,00,000
Provision @ 5% (5% of Rs 1,00,000)	<u>5,000</u>
	<u>95,000</u>

Note: Provision for doubtful debts, i.e. Rs 5,000 is calculated after deducting the additional bad debt (i.e., Rs 7,500 was shown as bad debt already in final balance). As such Rs 1,10,000 – Rs 10,000 = Rs 1,00,000. 5% on Rs 1,00,000 – Rs 5,000 is the provision for doubtful debts.

(A) Adjusting entry

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
	Bad Debts A/c Dr. To Mr. Yadav's A/c (Debt from Yadav is irrecoverable – bad debt)		10,000	10,000
	Profit and Loss A/c Dr. To Bad Debts A/c [Bad Debts (Total: Rs 10,000 + Rs 7,500) transferred to Profit and Loss A/c]		17,500	17,500
	Profit and Loss Account Dr. To Provision for Doubtful Debts (Provision is created @ 5% on Rs 1,00,000) (Ref: Working notes)		5,000	5,000

(B) Profit and Loss Account

Profit and Loss Account for the year ended on Mar 31, 2009

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Bad Debts (Given in Trial Balance)	Rs 7,500		
Add: Additions (as in additional information)	<u>10,000</u>		
To Provisional for Doubtful Debt (Ref: working notes)	5,000		
	17,500		

(C) Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
		Current Assets:	Rs
		Sundry Debtors	1,10,000
		Less: Bad Debts	
		(Additional only)	10,000
			<u>1,00,000</u>
		Less: Provision for	
		Doubtful Debts @ 5%)	5,000
			95,000

Illustration: 16

Following is the extract from the Trial Balance of a business entry as on Mar 31, 2009:

Account	Dr. Balance Rs	Cr. Balance Rs
Sundry Debtors	1,10,000	
Provision for Doubtful debts		5,000
Bad Debts	7,500	

Additional Information

- Additional Bad debts Rs 20,000
- Maintain the provision for doubtful debts @ 5% on debtors make the necessary journal entries, ledger accounts and final accounts.

Solution**Note**

Sundry Debtors	Rs 1,10,000
(given)	
Less: Bad Debts (given in additional information)	<u>Rs 20,000</u>
	Rs 90,000
Provision @ 5% on Rs 90,000	<u>4,500</u>
	<u>Rs 85,500</u>

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
	Bad Debts A/c Dr.		20,000	
	To Sundry Debtors A/c (Additional bad debts entered)			20,000
	Provision for Doubtful Debts A/c Dr.		27,500	
	To Bad Debts A/c (Bad Debts transferred to provision for Doubtful Debts account A/c)			27,500
	Profit and Loss Account Dr.		27,000	
	To Provision for Doubtful Debts A/c (Amount charged from P and L A/c in order to maintain provision @ 5%)			27,000

Bad Debts Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d (Given)	7,500	By Provision for Doubtful Debts	27,500
To Sundry Debtors A/c (Addition)	20,000		
	<u>27,500</u>		<u>27,500</u>

Provision for Doubtful Debts**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Bad Debts A/c (Rs 75,000 + 20,000)	27,500	By Balance b/d (shown in Trial Balance)	5,000
To Balance c/d (5% of Rs 90,000)	<u>4,500</u>	* ¹ By Profit and Loss Account (Bad fig. Provision to be maintained level)	<u>27,000</u>
	<u>32,000</u>		<u>32,000</u>

Profit and Loss Account for the year ended on Mar 31, 2009**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
* ¹ To Provision for Doubtful Debts Ref: P and L A/c)	27,000		

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
		Current Assets:	Rs
		Sundry Debtors	1,10,000
		Less: Additional debt	<u>20,000</u>
			90,000
		Less: Provision for Doubtful Debts @ 5%)	4,500
			<u>85,500</u>

7.9 Provision for Discount on Debtors

Accounting Treatment and Provision for Discount on Debtors: After the treatment of provision for bad and doubtful debts (i.e., provision for bad and doubtful debts are deducted from total debtors), the balance represents sound debtors. Such debtors may claim discount for prompt payments. Such discount allowed on sound debtors is also treated as business expense.

Accounting treatment

(A) Adjusting entry

Profit and Loss Account

Dr.

To Provision for discount on Debtors A/c

(B) Profit and Loss A/c

To be entered on the debit side as a separate item

- (C) Balance Sheet To be recorded on the assets side of the Balance Sheet by deducting from Sundry Debtors

Illustration: 17

An extract of Trial Balance as on Mar 31, 2009:

Account	Dr. Balance Rs	Cr. Balance Rs
Sundry Debtors	1,05,800	
Bad Debts	3,200	
Discount	1,500	

Additional Information

- (i) Create a provision for doubtful debts @ 10% on debtors.
- (ii) Create a provision of discount on debtors @ 3% on debtors.
- (iii) Additional discount given to debtors Rs 5,800.

Pass necessary Journal entries and make necessary ledger accounts.

Solution

Sundry Debtors	Rs 1,05,800
Less: Additional discount	5,800
	<u>1,00,000</u>
Less: Provision for Doubtful Debts @ 10%	10,000
	<u>90,000</u>
Less: Provision for Discount 3%	2,700
	<u>87,300</u>

Journal

Date	Particulars	L.F.	Debit Rs	Credit Rs
	Discount Allowed A/c Dr. To Sundry Debtors A/c (Additional discount allowed, recorded)		5,800	5,800
	Profit and Loss A/c Dr. To Bad Debts A/c To Discount Allowed A/c (Bad Debts and Discount Allowed transferred to Profit and Loss A/c)		10,500	3,200 7,300
	Profit and Loss Account Dr. To Provision for Doubtful Debts A/c (Provision for Doubtful Debts created @ 10% on Rs 1,00,000)		10,000	10,000
	Profit and Loss A/c Dr. To Provision for Discount on Debtors A/c (Provision for discount created @ 3% on debtors (Rs 1,00,000 – 10,000) Rs 2,700)		2,700	2,700

Sundry Debtors Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	1,05,800	By Discount Allowed A/c	5,800
	<u>1,05,800</u>	By Balance c/d	<u>1,00,000</u>
			1,05,800

Provision for Doubtful Debts**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	10,000	By Profit and Loss A/c	10,000
	<u>10,000</u>		<u>10,000</u>

Discount Allowed Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	1,500	By Profit and Loss A/c	7,300
To Sundry Debtors	<u>5,800</u>		<u>7,300</u>
	7,300		

Provision for Discount on Debtors Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	<u>2,700</u>	By Profit and Loss A/c	<u>2,700</u>
	2,700		2,700

Profit and Loss Account for the year ended on Mar 31, 2009**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d (Given in Trial Balance)	3,200		
To Provision for Doubtful Debt	10,000		
To Discount 1,500 (given)			
Add: Additional 5,800	7,300		
To Provision for Discount on Debtors	2,700		

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
		Current Assets:	Rs
		Debtors	1,05,000
		Less: Additional discount	5,800
			<u>1,00,000</u>
		Less: Provision for Doubtful Debts	10,000
			<u>90,000</u>
		Less: Provision for Discount @ 3%	2,700
			87,300

7.10 Provision (or) Reserve for Discount on Creditors

Provision for discount which would be allowed by the creditors is similar (as in the above) to the treatment discussed in the case of debtors.

Accounting treatment

- | | | |
|----------------------------|---|-----|
| (A) Adjusting entry | Provision for discount on creditors account | Dr. |
| | To Profit and Loss A/c | |
| (B) In Profit and Loss A/c | Entered on the credit side as a separate item | |
| (C) In Balance Sheet | Recorded on the Liabilities side by deducting from the Sundry Creditors | |

Note: Discount likely to be earned from creditors occurs occasionally.

7.11 Adjustment of Interest on Capital

In individual proprietorship or partnership firms, interest is charged on the capital employed by the owners (proprietor or partner).

Accounting treatment:

- | | | |
|-------------------------|--|-----|
| (A) Adjusting entry | Interest on Capital A/c | Dr. |
| | To Capital A/c | |
| (B) Profit and Loss A/c | To be entered on the debit side as a separate item | |
| (C) Balance Sheet | To be entered on the Liabilities side by adding to the Capital | |

Note: When interest on capital appears in Trial Balance, it will be transferred to the debit side of Profit and Loss Appropriation Account only.

7.12 Interest on Drawings

Interest is charged on drawings. Interest is charged due to the reason if the same amount is obtained from other sources, one has to pay interest.

Accounting treatment

- | | | |
|-------------------------|---|-----|
| (A) Adjusting entry | Capital A/c | Dr. |
| | To Interest on Drawings A/c | |
| | or | |
| | To Profit and Loss Appropriation A/c | |
| (B) Profit and Loss A/c | Entered on the credit side as a separate item | |
| (C) Balance Sheet | Entered on the liabilities side by deducting from capital | |

Note: If this item appears in the Trial Balance, it will be credited to Profit and Loss Appropriation Account only.

7.13 Abnormal Loss of Stock

The abnormal loss of stock arises due to natural calamities, fire, flood, breakage, pilferage, etc.

(A) Adjusting entry	Loss of stock (or) Profit and Loss A/c To Trading Account	Dr.
(B) Trading Account	Shown on the credit side	
(C) Profit and Loss Account	(Total loss – Amount received from insurance company). The arrived value is entered on the debit side	
(D) Balance Sheet	The amount due from the insurance company is recorded as an asset	

Illustration: 18

Stock at the end of a business of a business firm is Rs 30,000. It came to notice that goods amounting to Rs 4,000 were destroyed by fire during the current accounting period. Make necessary adjusting entries in each of the following alternative situations:

- (a) The stock is not insured
- (b) The stock is fully insured
- (b) The stock is partly insured, the insurance company has agreed to pay Rs 1,000.

Solution: For “stock at the end”

Case (a)	Trading Account:	Entered in the Credit side		
Case (b)	Balance Sheet	Shown on the Asset side		
and				
Case (c)	Adjusting entry	Stock A/c	Dr.	30,000
		To Trading A/c		30,000

In all the three situations “stock at the end” is treated as above:

Case (a): Three situations “stock at the end” is treated as above:

Case (a): Not insured

Adjusting entry	Profit and Loss A/c	Dr.	4,000	
	To Trading A/c			4,000
Trading A/c	Shown in credit side of Trading A/c			
Profit and Loss	Losses and expenses are shown on the debit side of Profit and Loss A/c			

Case (b): Fully insured

Adjusting entry	Insurance company	Dr.	4,000	
	To Trading A/c			4,000
Balance Sheet	Entered in the Assets side under the insurance company’s head			Rs 4,000

Case (c): Partly insured

Adjusting entry	Insurance company	Dr.	1,000	
	Profit and Loss A/c	Dr.	3,000	
	To Trading A/c			4,000

In the Balance Sheet, Rs 1,000 is shown on the Assets side under the insurance company’s name in this case.

7.14 Insurance Premium

- (i) *Life Insurance Premium:* Life insurance premium is a personal expense. The accounting treatment is similar to that of drawings as explained already.
- (ii) *Insurance Premium:* If no specific information is given, it is entered on the debit side of Profit and Loss Account. If it is mentioned specifically such as factory machinery, goods stored (stock), then it is treated as direct expense. Hence it is shown in Trading Account.

7.15 Salaries and Wages

Salaries and wages are treated as follows:

- (i) If it is shown as “Salaries and Wages,” i.e. Salary first and then followed by Wages, wages portion is to be treated as non-productive. Hence it is shown in the Profit and Loss Account.
- (ii) If it is shown as “Wages and Salaries,” i.e. Wages first followed by Salaries, just reverse of the above salaries portion is to be treated as non-productive and the combined amount is taken to trading account.
- (iii) In case, if there is no manufacturing activity, Wages and Salaries will have to be recorded in the Trading Account.

7.16 Commission on Profit

Profit before and after Charging Commission: In practice, managers are paid commission on Net Profit before charging such a commission or after charging such a commission.

In case, if the commission is payable as a percentage of Net Profit before charging commission, manager's commission is calculated as:

$$\text{Commission} = \text{Net Profit before charging Commission} \times \text{Rate of Commission}/100$$

In case, if the commission is payable at a fixed percentage on Net Profit then

$$\text{Commission} = \text{Profit before Commission} \times \frac{\text{Rate}}{(100 + \text{Rate})}$$

In case if there is no specific information, manager's commission is calculated as a percentage on Net Profit before charging such commission:

(A) Adjusting entry	Manager's Commission A/c	Dr.
	To Outstanding Commission	
(B) Profit and Loss A/c	Entered on the debit side	
(C) Balance Sheet	Recorded on the Liabilities side as a current liability	

Illustration: 19

From the following information, calculate the manager's commission at 12% of profit (i) before charging such commission and (ii) after charging such commission.

	Rs	Rs
Gross Profit	—	70,000
Salaries	24,000	
Rent and Rates	4,800	
Office Expenses	8,000	
Selling Expenses	10,000	
Advertisement	<u>12,000</u>	
		<u>58,800</u>
Profit before Commission:		<u>11,200</u>

You are also required to show how this will appear in final accounts.

Solution

(A) Calculation of Manager's Commission

$$\begin{aligned}
 \text{Case (i): Commission} &= \text{Net Profit before Commission} \times \text{Rate}/100 \\
 &= \text{Rs } 11,200 \times 12/100 = \text{Rs } \underline{1,344} \\
 &\quad \text{(Given)}
 \end{aligned}$$

Case (ii): Commission = Net Profit before Commission $\times$ Rate/Rate + 100
 = Rs 11,200 $\times$ 12/12 + 100
 = Rs 11,200 $\times$ 12/112 = Rs 1,200

(B) Profit and Loss Account for the year ended on Mar 31, 200....

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Manager's Commission	1,344		

(C) Balance sheet as on Mar 31, 20.....

Liabilities	Rs	Assets	Rs
Current Liabilities: Manager's Commission Outstanding	1,344		

7.17 Goods Sent on Approval: Meaning and Accounting Treatment

Goods sent to customers with a tag "Sale or return" (or) "retain or return" (within a specified period) is referred to as "Goods sent on Approval." Such transactions are treated as

(A) Adjusting entry

(i) Sales A/c Dr. (with selling price)
 To Debtor A/c

(ii) Stock with customer's A/c (with cost price)
 To Trading A/c

(B) Trading Account

(i) Sales value of goods is entered by deducting from sales
 (ii) Cost of goods is recorded on the credit side by adding to the closing stock

(C) Balance Sheet

(i) Sale value of goods is recorded on the assets side by deducting from Debtors
 (ii) Cost of goods is recorded on the assets side by adding to closing stock

Illustration: 20

An extract of Trial Balance as on Mar 31, 2009 is given below:

Particulars	Dr. Balance Rs	Cr. Balance Rs
Sales		99,750
Debtors	12,625	

Additional Information

Goods costing Rs 1,250 were sent to a customer on sale or return for Rs 1,500 on Mar 30, 2009 and was recorded as actual sales. Stock-in-hand on Mar 31, 2009 was valued at Rs 5,750.

How will these items appear in Final Accounts?

Solution

In Trading Account, goods sent on sale or return for Rs 1,500 is to be recorded by deducting it from sale Rs 99,750.

Goods costing Rs 1,250 (sent on approval) is to be added to closing stock, i.e. Rs 5,750.

This is shown as follows:

Trading Account for the year ended on Mar 31, 2009

Dr.			Cr.
Particulars	Rs	Particulars	Rs
		Rs	
		By Sales	99,750
		Less: Goods sent on approval	<u>1,500</u>
		By Closing Stock	5,750
		Less: Goods sent on approval	<u>1,250</u>
			98,250
			7,000

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
		Current Assets:	Rs
		Debtors	12,625
		Less: Debtors for sale of goods sent on approval	<u>1,500</u>
		Stock-in-hand	11,125
		Stock with customer	5,750
		(sent on approval)	1,250

7.18 Goods-in-transit

Goods that have been purchased but not received till the end of the accounting period are referred to as Goods-in-transit. Generally, these goods are treated as a form and part of closing stock.

Accounting treatment

- (A) Adjusting entry Goods-in-transit A/c Dr. To Trading A/c
- (B) Trading Account Recorded on the credit side
- (C) Balance Sheet Entered on the Assets side as a current Asset

Illustration: 21

Goods costing Rs 70,000 were sent on Mar 25, 2009 but they were not yet received till Mar 31, 2009. Accounting year is financial year. Pass the necessary adjusting entry and show how this is treated in the final accounts.

Solution

- (A) Adjusting entry Goods-in-transit A/c Dr. 70,000
- To Trading A/c 70,000
- Goods purchased not yet received, i.e. Goods-in-transit

Trading Account for the year ended Mar 31, 2009

Dr.			Cr.
Particulars	Rs	Particulars	Rs
		By Goods-in-transit A/c	70,000

Liabilities:		Rs	Assets:	Rs
Employee's contribution	2,000			
Employers' contribution	2,000	4,000		

Example 2: Following are the extracts from a Trial Balance of a firm as on Mar 31, 2009

	Dr. Balance	Cr. Balance
Salaries Less P.F.	12,000	
P.F. Remittance (including 50% employer's contribution)	1,000	

Pass the necessary Journal entry. How will you treat in Final Accounts?

Answer

Entry (1)

Salaries A/c	Dr. 1,000	
To Employee's contribution to P.F.		500
To Employer's contribution to P.F.		500
(P.F. remittance transferred to Salary)		

(2) P and L Account for the year ended Mar 31, 2009

Dr.

Cr.

	Rs	Rs		Rs
To Salaries	12,000			
Add: Employee's contribution	500			
Employer's contribution	500			
		13,000		

Example 3: Following is the extract from a Trial Balance

	Dr. Balance	Cr. Balance
	Rs	Rs
Salaries Less P.F.	12,000	
Employee's Contribution to P.F.	1,200	

Information: Provide for employee's share of P.F. equivalent to employee's share to P.F.

Answer

Entry: (1)

Salary A/c	Dr. 1,200	
To Employee's contribution to P.F.		1,200
(employee's contribution transferred to Salary A/c)		

(2)

Salary A/c	Dr. 1,200	
To Employer's contribution to P.F.		1,200
(employer's contribution provided for)		

(3) Profit and Loss Account for the year ended

Dr.

Cr.

	Rs	Rs		
To Salaries	12,000			
Add: Employee's contribution to P.F. 1,200				
Add: Employer's contribution to P.F. 1,200	2,400	14,400		

(4) Balance Sheet as on

Liabilities: Employer's contribution to P.F.	Rs 1,200	Assets:	Rs
---	-------------	---------	----

Illustration: 23

You are required to pass the necessary adjusting entries for the following items appearing in the Trial Balance as on Mar 31, 2009.

- (1) Closing stock in hand as on Mar 31, 2009 Rs 12,500
- (2) Rent unpaid Rs 1,200
- (3) Rent received in advance Rs 900
- (4) Interest due but not received Rs 750
- (5) Drawings in goods Rs 1,400
- (6) Insurance for the next period paid Rs 450
- (7) Wages paid Rs 1,000 for installation of plant
- (8) Goods worth 1,100 distributed as free samples
- (9) Capital as on Apr 1, 2008: Rs 75,000. Allow interest on capital @ 12% p.a.

Solution**Journal**

No.	Date	Particulars	L.F.	Dr. Rs	Cr. Rs
(1)		Closing Stock Dr. To Trading Account (Closing stock recorded – brought into A/c)		12,500	12,500
(2)		Rent Account Dr. To Outstanding Rent A/c (Outstanding expense adjusted)		1,200	1,200
(3)		Rent Account Dr. To Rent Received in Advance A/c (Rent received in advance recorded)		900	900
(4)		Interest Due but not Received A/c Dr. To Interest A/c (Interest due but not yet received entered in the book)		750	750
(5)		Drawing Account Dr. To Purchases A/c (Drawings by way of goods recorded)		1,400	1,400
(6)		Prepaid Insurance A/c Dr. To Insurance A/c (Insurance prepaid brought into accounts) (Note: Prepaid, unexpired period, next period – all represent the same)		450	450
(7)		Plant Account To Wages Account (Wages paid to erect a plant)		1,000	1,000

No.	Date	Particulars	L.F.	Dr. Rs	Cr. Rs
(8)		Sales Promotion (or) Advertisement A/c Dr. To Purchases Account (Goods distributed as free samples)		1,100	1,100
(9)		Interest on Capital A/c Dr. To Capital Account (Interest @ 12% on Rs 75,000 entered)		9,000	9,000

Illustration: 24

You are required to pass the necessary adjusting entries for the following that appear outside the Trial Balance as on Mar 31, 2009:

- (1) Goods purchased Rs 5,000 were taken to stock but brought to enter in purchases book.
- (2) Bad debts to be written off Rs 2,000
- (3) Depreciation is to be provided on fixed assets @ 10%
- (4) Create provision for doubtful debts @ 5%
- (5) Provide a provision for discount on debtors @ 3%
- (6) Create reserve for discount on creditors @ 2%
- (7) Goods worth Rs 500 were given as charity
- (8) Allow interest on drawings @ 12%
- (9) Salaries unpaid Rs 4,800 further information: Fixed Assets: 7,000
Debtors: 1,05,000
Creditors: 80,000
Drawings: 10,000

Solution**Journal**

No.	Date	Particulars	L.F.	Dr. Rs	Cr. Rs
(1)		Purchase Account Dr. To Sundry Creditors Account (Goods purchases not entered in Purchase Books, brought into account)		5,000	5,000
(2)		(i) Bad Debts Account Dr. To Debtors Account (Bad debts provided – brought into account)		2,000	2,000
		(ii) Profit and Loss Account Dr. To Bad Debts account (Bad Debts A/c closed and transferred to P and L A/c)		2,000	2,000
(3)		(i) Depreciation A/c Dr. To Fixed assets A/c (Depreciation charged @ 10% on Rs 70,000)		7,000	7,000
		(ii) Profit and Loss Account Dr. To Depreciation A/c (Depreciation A/c closed by transferring to P and L A/c)		7,000	7,000

(Continued)

(Continued)

No.	Date	Particulars	L.F.	Dr. Rs	Cr. Rs
(4)		Profit and Loss A/c Dr. To Provision for Doubtful Debts A/c (Provision against Debtors provided @ 5% on (Rs 1,05,000 – Rs 5,000) Rs 1,00,000 (Debtors) – (Bad Debts)		5,000	5,000
(5)		Profit and Loss A/c Dr. To Provision for Discount on Debtors A/c (Provision for discount on debtors provided 3% on (Rs 1,05,000 – Rs 5,000 – Rs 5,000)		2,850	2,850
(6)		Reserve for Discount on Creditors A/c Dr. To Profit and Loss A/c (Provision of for discount on creditors provided @ 2% on Rs 80,000)		1,600	1,600
(7)		Charity A/c Dr. To Interest A/c (Goods given as charity brought into A/c)		500	500
(8)		(i) Capital A/c Dr. To Interest on Drawings A/c (Interest on Drawings charged)		1,200	1,200
		(ii) Interest on Drawings A/c Dr. To Profit and Loss A/c (Interest on drawings (balance, transferred to P and L A/c)		1,200	1,200
(9)		Salaries A/c Dr. To Outstanding Salary A/c (Outstanding salary brought into A/c)		4,800	4,800

Illustration: 25

Following are the extracts from a Trial Balance of a business firm as on Mar 31, 2009

Name of Account	Dr. Balance Rs	Cr. Balance Rs
Sundry Debtors	1,05,000	
Provision for Doubtful Debts		10,000
Provision for Discount on Debtors		1,200
Bad Debts	2,500	
Discount	1,000	

Additional Information

- (i) Additional bad debts: Rs 3,500
- (ii) Additional discount allowed to debtors Rs 1,500
- (iii) Provision for bad debts to be maintained @ 10% on debtors
- (iv) Maintain a provision for discount @ 3% on debtors

You are required to

- (i) Pass the necessary journal entries
- (ii) Prepare the necessary (ledger) accounts
- (iii) Prepare the final accounts (relating to these items only).

Solution

Step 1: Adjusting Entries have to be Recorded in the Books of Journal

Journal

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
	Bad Debts A/c Dr. Discount A/c Dr. To Sundry Debtors A/c (Additional Bad debts and additional discount on debtors are recorded)		3,500 1,500	5,000
	Provision for Doubtful Debts A/c Dr. To Bad Debts A/c (Bad debts, i.e. Rs 2,500 + Rs 3,500 transferred)		6,000	6,000
	Provision for Discount on Debtors A/c Dr. To Discount A/c (Discount allowed is transferred (Rs 1,500 + 1,000))		2,500	2,500
*1	Profit and Loss A/c Dr. To Provision for Doubtful Debts A/c (Provision for Doubtful Debtors maintained at 10% of Rs 1,05,000 – Rs 3,500 – Rs 2,500)		6,000	6,000
*2	Profit and Loss A/c Dr. To Provision for Discount on Debtors A/c (Provision for Discount on Debtors is maintained @ 3%)		4,000	4,000

Step 2: Preparation of Ledger Accounts

(i) Sundry Debtors Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	1,05,000	By Bad Debts A/c	3,500
		By Discount Allowed A/c	1,500
		By Balance c/d	1,00,000
	<u>1,05,000</u>		<u>1,05,000</u>

(ii) Bad Debts Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d	2,500	By Provision for Doubtful Debts	6,000
To Sundry Debtors A/c	<u>3,500</u>		<u>6,000</u>
	6,000		

*¹(iii) Provision for Doubtful Debts Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Bad Debts A/c	6,000	By Balance b/d	10,000
	10,000	By Profit and Loss A/c	6,000
	<u>16,000</u>	*1 (Balancing figure)	<u>16,000</u>

(iv) Discount Allowed Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d	1,000	By Provision for Discount on Debtors A/c	2,500
To Sundry Debtors A/c	1,500		<u>2,500</u>
	<u>2,500</u>		

*²(v) Provision for Discount on Debtors Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Discount A/c	2,500	By Balance b/d	1,200
To Balance c/d	2,700	*2 By Profit and Loss A/c	4,000
3% on (1,05,000 – 5,000 – 10,000)	<u>5,200</u>	(Balancing figure)	<u>5,200</u>

Final Accounts

An Extract of Profit and Loss Account for the year ended on Mar 31, 2009

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Provision for Doubtful Debts	6,000		
To Provision for Discount	4,000		

An Extract of Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
		Current Assets:	Rs
		Sundry Debtors	1,05,000
		Less: Additional Bad Debts +	
		Discount:	5,000
			1,00,000
		Less: Provision for Doubtful	
		Debts @ 10%:	10,000
			90,000
		Less: Provision for Discount @ 3%:	2,700
			87,300

Illustration: 26

A book-keeper has submitted to you the following Trial balance of Mr. Patel wherein the total of debit and credit balances is not equal:

Particulars	Debit Balance Rs	Credit Balance Rs
Capital	—	15,340
Cash in hand	—	60
Purchases	17,980	—
Sales	—	22,120
Cash at bank	1,770	—
Fixtures and Fittings	450	—
Freehold Premises	3,000	—
Lighting and Heating	130	—
Bills Receivable	—	1,650
Returns Inwards	—	60
Salaries	2,150	—
Creditors	—	3,780
Debtors	11,400	—
Stock (Apr 1, 2008)	6,000	—
Printing	450	—
Bills Payable	3,750	—
Rates, Taxes and Insurance	380	—
Discounts Received	890	—
Discounts Allowed	—	400
	48,350	43,410

- (i) You are required to redraft the Trial Balance correctly.
- (ii) Prepare a Trading and Profit and Loss Account and a Balance Sheet after taking into account the following adjustments:
 - (a) Stock in hand on Mar 31, 2009 was valued at Rs 3,600
 - (b) Depreciate fixtures and fittings by Rs 50
 - (c) Rs 700 was due and unpaid in respect of salaries
 - (d) Rates and insurance has been paid in advance to the extent of Rs 80

Solution

First note down the following mistakes.

- (i) Cash in hand is entered wrongly in the credit balances column. It has to be corrected by entering in the debit balances column.
- (ii) Similarly, returns inwards will have to be corrected by entering it in debit balances column.
- (iii) Bills Receivable and Bills Payable – both wrongly entered. This mistake has to be set right by interchange of amount.
- (iv) Discount allowed and Discount received are to be interchanged.

Redrafted Trial Balance as on Mar 31, 2009

Particulars	Debit Rs	Credit Rs
Capital	—	15,340
Cash in hand	60	—
Cash at bank	1,770	—
Purchases	17,980	—
Sales	—	22,120
Fixtures and Fittings	450	—
Freehold Premises	3,000	—
Lighting and Heating	130	—
Bills Receivable	1,650	—
Returns Inwards	60	—
Salaries	2,150	—
Creditors	—	3,780
Debtors	11,400	—
Stock (Apr 1, 2008)	6,000	—
Printing	450	—
Bills Payable	—	3,750
Rates, Taxes and Insurance	380	—
Discounts Received	—	890
Discounts Allowed	400	—
	<u>45,880</u>	<u>45,880</u>

Mr. Patel

Trading and Profit and Loss Account for the year ended on Mar 31, 2009

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Stock (Apr 1, 2008) Rs	6,000	By Sales Rs	22,120
To Purchases	17,980	Less: Returns Inwards 60	22,060
To Gross Profit (Transferred to Profit and Loss A/c)	1,680	By Stock (Mar 31, 2009)	3,600
	<u>25,660</u>		<u>25,660</u>
To Lighting and Heating	130	By Trading Account (Gross Profit)	1,680
To Salaries 2,150		By Discount Received	890
Add: Outstanding 70	2,220	By Net Loss	980
To Printing	450	(Transferred to Capital Account)	

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To Discount Allowed	400		
To Rates, Taxes, 380			
Less: Prepaid 80	300		
To Depreciation:			
Fixtures and Fittings	50		
	<u>3,550</u>		<u>3,550</u>

Balance Sheet of Patel as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Capital	Rs 15,340	Cash-in-hand	Rs 60
Less: Net Loss	<u>980</u>	Cash-at-bank	1,770
Creditors	14,360	Bills Receivable	1,650
Bills Payable	3,780	Debtors	11,400
Outstanding Salaries	3,750	Fixtures and Fittings	450
	70	Less: Depreciation	<u>50</u>
		Freehold Premises	400
		Prepaid Rates and Insurance Stock	3,000
		Stock	80
	<u>21,960</u>		<u>3,600</u>
			<u>21,960</u>

Illustration: 27

From the following Trial Balance of Mr. Reddy, you are required to prepare Trading and Profit and Loss Account for the year ended on Mar 31, 2009 and a Balance Sheet on that date:

Particulars	Debit Balance Rs	Credit Balance Rs
Capital	—	1,00,000
Drawings	12,000	—
Sundry Creditors	—	40,000
Cash-in-hand	5,000	—
Cash-at-bank	11,600	—
Sundry Debtors	51,000	—
10% Loan (taken on Sep 1, 2008)	—	20,000
Provision for Doubtful Debts	—	4,000
Furniture	12,000	—
Machinery	28,400	—
Stock (Apr 1, 2008)	80,000	—
Purchases	1,80,000	—
Rent and Taxes	6,800	—
Salaries	18,000	—
Manufacturing Wages	25,000	—
Sales	—	2,80,800
Sundry Expenses	2,000	—

(Continued)

(Continued)

Particulars	Debit Balance Rs	Credit Balance Rs
Insurance (including a premium of Rs 600 per annum paid Sep 30, 2009)	800	—
Commission	—	1,400
Carriage	4,000	—
Travelling Expenses	1,600	—
Bills Receivable	8,000	—
	<u>4,46,200</u>	<u>4,46,200</u>

Adjustments

- (i) Stock on Mar 31, 2009 was Rs 76,000
- (ii) Write off bad debts Rs 1,000 and maintain the provision for doubtful debts at 5% on debtors
- (iii) Manufacturing wages include Rs 1,600 for erection of new machinery on Mar 1, 2009
- (iv) Depreciate machinery by 5% and furniture by 10%

[B. Com (Hons)—Modified]**Solution**

Note: (i) Bad Debts are shown outside the Trial Balance. That amount has to be deducted from debtors (i.e., Rs 1,000)

- (ii) Calculation to maintain provision for doubtful debts @ 5%

(a) Debtors	=	Rs 51,000	
Less: Bad Debts	=	Rs 1,000	(Given in adjustments)
		<u>Rs 50,000</u>	
Less: Provision @ 5%:		2,500	
		<u>Rs 47,500</u>	To be shown in balance sheet
(b) Provision for Bad Debts:	Rs 4,000	(Given)	
Less: 5% as			
computed above:		<u>Rs 2,500</u>	
		<u>Rs 1,500</u>	To be shown in P and L A/c

Mr. Reddy**Trading and Profit and Loss Account for the year ended on Mar 31, 2009****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Opening Stock	80,000	By Sales	2,80,800
To Purchases	1,80,000	By Stock at the End	76,000
To Manufacturing Wages	25,000		
Less: Erection Charges	<u>1,600</u>		
To Carriage	4,000		

Dr.

Cr.

Particulars	Rs	Particulars	Rs
Gross Profit (transferred) to Profit and Loss A/c	69,400		
	<u>3,56,800</u>		<u>3,56,800</u>
To Rent and Taxes	6,800	By Gross Profit b/d (Trading A/c)	69,400
To Salaries	18,000		
To Sundry Expenses	2,000	By Commission	1,400
To Insurance : 800		By Provision for Bad Debts	1,500
Less: Prepaid: 300	500	(Ref: Working Note: 2)	
(prepaid up to Sep 30, 2009 i.e. for 6 months:) $600/2 = 300$			
To Bad Debts Written Off (shown in adjustments)	1,000		
To Travelling Expenses	1,600		
To Depreciation on Machinery (5% on Rs 30,000) 1,500			
Furniture: (10% on Rs 12,000) 1,200	2,700		
To Outstanding Interest on Loan (10/100 Rs 20,000 x 6/12 = Rs 1,000)	1,000		
To Net Profit (transferred to Capital A/c)	38,700		
	<u>72,300</u>		<u>72,300</u>

Balance Sheet of Mr. Reddy as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Capital	1,00,000	Fixed Assets	
Less: Drawings	12,000	Furniture	12,000
	88,000	Less: Depreciation @ 10%	1,200
Add: Net Profit	38,700	Machinery	28,400
10% Loan	20,000	Add: Expenses	
Add: Outstanding Interest (6 months interest)	1,000	Expenses	1,600
Sundry Creditors			30,000
		Less: Depreciation @ 5%	1,500
		Current Assets	
		Cash-in-hand	5,000
		Cash-at-bank	11,600
		Sundry Debtors	51,000
		Less: Bad Debts	1,000
			50,000
		Less: Provision @ 5%	2,500
		Stock at the end	76,000
		Prepaid Insurance	300
		Bills Receivable	8,000
	<u>1,87,700</u>		<u>1,87,700</u>

Illustration: 28

The following is the Trial Balance extracted from the books of Shri Arvind as on Dec 31, 2008:

Particulars	Debit Balance Rs	Credit Balance Rs
Capital	—	2,00,000
Plant and Machinery	1,56,000	—
Furniture	4,000	—
Purchases and Sales	1,20,000	2,54,000
Returns	2,000	1,500
Opening Stock	60,000	—
Discount	850	1,600
Sundry Debtors/Creditors	90,000	50,000
Salaries	15,100	—
Manufacturing Wages	20,000	—
Carriage Outwards	2,400	—
Provision for Doubtful Debts	—	1,050
Rent, Rates and Taxes	20,000	—
Advertisements	4,000	—
Cash	13,800	—
	<u>5,08,150</u>	<u>5,08,150</u>

Adjustments

- (i) Closing stock was valued at Rs 68,440
- (ii) Provision for doubtful debts is to be kept at Rs 1,000
- (ii) Depreciate plant and machinery @ 10%
- (iv) The proprietor has taken goods worth Rs 10,000 for his personal use and additionally distributed goods worth Rs 2,000 as samples
- (v) Purchase of furniture Rs 1,840 has been passed through purchases book

[B. com. Hons—(Modified)]

Solution

- Note:** (1) The proprietor took goods worth Rs 10,000 for his own personal use. It has to be treated as drawings. Adjustment: In trading account it has to be deducted from purchases. Further in the balance sheet it has to be deducted from the capital.
- (2) Samples Rs 2,000 is also to be deducted from purchases in the trading account and it has to be shown in profit and loss account as “advertisement expenses.”
- (3) Furniture purchases are entered through purchases book. Hence it has to be deducted from purchases in the Trading Account. It is shown as an asset by way of addition to the existing furniture.
- (4) Provision for bad debts is to be kept at Rs 1,000. It is shown as Rs 1,050. So (Rs 1,050 – Rs 1,000) Rs 50, is to be shown in Profit and Loss Account and Rs 1,000 is shown by way of deduction from the debtors on the Assets side of the Balance Sheet.

Trading Profit and Loss Account for the year ended on Dec 31, 2008

Particulars	Rs	Particulars	Rs
To Opening Stock	Rs 60,000	By Sales	Rs 2,54,000
To Purchases	1,20,000	Less: Returns:	<u>2,000</u>
Less: Returns	<u>1,500</u>	By Stock at the end	2,52,000
	1,18,500		68,440
Less: Drawings			
(Goods for personal use)	<u>10,000</u>		
	1,08,500		
Less: Samples	<u>2,000</u>		
	1,06,500		
Less: Furniture			
(entered through			
Purchases Book)	<u>1,840</u>		
To Manufacturing Wages	20,000		
To Gross Profit	<u>1,35,780</u>		
	3,20,440		<u>3,20,440</u>
To Salaries	15,100	By Gross Profit b/d	
To Rent, Rates and Taxes	20,000	(Trading A/c)	1,35,780
To Carriage Outwards	2,400	By Discount	1,600
To Advertisement (samples)	2,000	By Provision for Bad Debts	
To Advertisement		(Rs 1,050 – Rs 1,000)	50
(given in Trial Balance)	4,000		
To Discount Allowed	850		
To Depreciation:			
Plant and Machinery			
(Depreciation $1/100 \times 1,56,000$)	15,600		
To Net Profit (Transferred to			
Capital Account in Balance Sheet)	<u>77,480</u>		
	1,37,430		<u>1,37,430</u>

Balance Sheet of Shri Arvind as on Dec 31, 2008

Liabilities	Rs	Assets	Rs
Capital	Rs 2,00,000	Fixed Assets:	Rs
Add: Net Profit	<u>77,480</u>	Plant and Machinery	1,56,000
	2,77,480	Less: Depreciation	<u>15,600</u>
Less: Drawings	<u>10,000</u>	Furniture	4,000
(Goods for personal use)	2,67,480	Add: Purchased	<u>1,840</u>
Sundry Creditors	50,000	Current Assets:	
		Cash-in-hand	13,800
		Sundry Debtors	90,000
		Less: Provision for Bad Debts)	<u>1,000</u>
		Stock at the end	68,440
	<u>3,17,480</u>		<u>3,17,480</u>

Illustration: 29

The following Trial Balance is extracted from the books of Shri Gulsar on Mar 31, 2009

Particulars	Dr. (Rs)	Cr. (Rs)
Capital	—	25,000
Furniture and Fittings	1,280	—
Motor cycle	12,500	—
Building	15,000	—
Bad Debts	250	—
Provision for Doubtful Debts	—	400
Sundry Debtors/Creditors	7,600	5,000
Stock (as on Apr 1, 2008)	6,920	—
Purchases and Sales	10,950	30,900
Bank Overdraft	—	5,700
Returns	400	250
Interest on Bank Overdraft	236	—
Advertising	900	—
Commission	—	750
Cash	1,300	—
Taxes and Insurance Premium	1,564	—
General Expenses	2,500	—
Salaries	6,600	—
	<u>68,000</u>	<u>68,000</u>

Adjustments

- (i) Stock on hand (as on Mar 31, 2009) Rs 6,500
- (ii) Depreciate building @ 5% p.a.; furniture @ 10% p.a.; motor cycle @ 20% p.a.
- (iii) Rs 170 is due for interest on bank overdraft
- (iv) Salaries Rs 600 and taxes Rs 400 are outstanding
- (v) Insurance premium Rs 200 is prepaid
- (vi) One-third of the commission received is in respect of work to be done next year
- (vii) Write off a further sum of Rs 200 as bad debts from the debtors
- (viii) Create provision for doubtful debts @ 5% on debtors, you are required to prepare a Trading and Profit and Loss Account for the year ended on Mar 31, 2009 and a Balance Sheet on that date

Solution

Provision for doubtful debts is calculated as

Debtors	7,600	(given in Trial Balance)
Less: Written off	<u>200</u>	(given in adjustments)
	7,400	
Less: Provision @ 5%	<u>370</u>	
	<u>7,030</u>	(to be shown in Balance Sheet)

For Profit and Loss Account

Bad Debts	Rs 250	(shown in Trial Balance)
Add: Written off	Rs <u>200</u>	(shown in adjustments)
	450	
Add: Provision	<u>370</u>	
	820	
Less: Existing Provision	<u>400</u>	(given in Trial Balance)
	<u>420</u>	(to be shown in P and L A/c)

Trading and Profit and Loss Account for the year ended on Mar 31, 2009**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Opening Stock	Rs 6,920	By Sales	Rs 30,900
To Purchases	10,950	Less: Returns	400
Less: Returns	250	By Closing Stock	6,500
To Gross Profit (transferred to Profit and Loss A/c)	19,380		37,000
	37,000		
To Bad Debts	250	By Gross Profit b/d (transferred from Trading A/c)	19,380
Add: Written off	200	By Commission	750
	450	Less: 1/3 of Rs 750 = 250	500
Add: Doubtful Debt	370	(Ref.: Adjustment)	
	820	Received in Advance	
Less: Existing Prov.	400		
To Advertising	900		
To Interest on			
Bank Overdraft	236		
Add: Outstanding	170		
	406		
To General Expenses	2,500		
To Salaries	6,600		
Add: Outstanding	600		
	7,200		
To Taxes and Insurance	1,564		
Add: Outstanding	400		
	1,964		
Less: Prepaid	200		
	1,764		
To Depreciation			
Building @ 5%	750		
Furniture @ 10%	128		
Motor cycle @ 20%	2,500		
	3,378		
To Net Profit	3,312		
(transferred to Capital A/c)	19,880		19,880

Balance Sheet of Shri Gulsar as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Capital:	Rs 25,000	Fixed Assets:	Rs
Add: Net Profit	3,312	Furniture Fittings	1,280
	28,312	Less: Depreciation	128
Current Liabilities:		Motor cycle	12,500
Sundry Creditors	5,000	Less: Depreciation	2,500
Bank Overdraft	5,700	Building	15,000
Outstanding Expenses:		Less: Depreciation	750
Salaries	600	Current Assets:	
Taxes	400	Sundry Debtors	7,600
Interest on o/d	170	Less: Written off	200
	1,170		7,400
Commission received in advance	250	Less: Pro. @ 5%	370
		Cash	1,300
		Closing Stock	6,500
		Prepaid Insurance Premium	200
	40,432		40,432

Illustration: 30

Prepare Trading and Profit and Loss Account and Balance Sheet from the following particulars as on Mar 31, 2009.

Trial Balance

Particulars	Dr. Rs	Cr. Rs
Capital/Drawings	2,800	20,000
Cash-in-hand	3,000	—
Purchases/Sales	24,000	30,000
Returns	2,000	4,000
Bank Overdraft @ 5%	—	4,000
Salaries	5,000	—
P.F. remittance (deducted from salary)	—	1,000
Taxes and Insurance	1,000	—
Provision for Doubtful debts	—	2,000
Bad Debts	1,000	—
Sundry Debtors and Creditors	10,000	3,700
Commission	—	1,000
Investments	8,000	—
Stock (as on Apr 1, 2008)	6,000	—
Furniture	2,200	—
Bills Receivable and Bills Payable	6,000	5,000
Sales Tax Collected	—	300
	<u>71,000</u>	<u>71,000</u>

Further, you are required to take into account the following information:

- (i) Salary Rs 200 and taxes Rs 800 are outstanding but insurance Rs 100 pre-paid
- (ii) Commission Rs 200 is received in advance for work to be done next year
- (iii) Provision for doubtful debts is to be maintained at 20%
- (iv) Depreciation on furniture is to be charged @ 10% p.a.
- (v) Interest accrued on investments Rs 420
- (vi) Stock as on Mar 31, 2009 is valued at Rs 9,000
- (vii) A fire accrued on Mar 1, 2009 in the godown which destroyed the goods worth Rs 8,000, and insurance claim was received for Rs 6,000
- (viii) Provide for employer's share of P.F. equivalent to employee's share to P.F.

Solution

Employee's contribution

Note: (1) P.F. Contribution = Rs 1,000 (shown in Trial Balance)

Contribution by employer 100% = Rs 1,000

In P and L A/c this P.F. employer contribution amount has to be added to salary

In Balance Sheet, this has to be shown in Liabilities side (i.e., Rs 2,000)

- | | |
|----------------------------------|-----------------|
| (2) Loss by fire = Goods worth = | Rs 8,000 |
| Insurance received: | Rs 6,000 |
| Loss (Abnormal): | <u>Rs 2,000</u> |

This is shown in Trading A/c on the credit side and again in P and L on the debit side.

Trading and Profit and Loss Account for the year ended on Mar 31, 2009**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Opening Stock	Rs 6,000	By Sales	30,000
To Purchases	24,000	Less: Returns	<u>2,000</u>
Less: Returns	<u>4,000</u>	By Closing Stock	9,000
To Gross Profit (Transferred to Profit and Loss A/c)	<u>13,000</u>	By Profit and Loss A/c	
	<u>39,000</u>	(Loss by fire) (Rs 8,000 – Rs 6,000)	<u>2,000</u>
To Salaries	5,000		<u>39,000</u>
Add: Outstanding	200	By Gross Profit b/d	13,000
Add: P.F. By Employer	<u>1,000</u>	By Commission	1,000
To Taxes and Insurance	1,000	Less: Received in Advance	<u>200</u>
Add: Outstanding Taxes	<u>800</u>	By Interest Accrued on Investment	420
	1,800		
Less: Prepaid Insurance	<u>100</u>		
To Interest on Bank o/d (5% on Rs 4,000)			
	200		
To Bad Debts	1,000		
Add: Provision at end	<u>2,000</u>		
	3,000		
Less: Provision at opening	<u>2,000</u>		
To Depreciation on Furniture			
	220		
To Trading A/c (loss on fire)	2,000		
To Net Profit	<u>2,900</u>		
	14,220		<u>14,220</u>

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Bills Payable	5,000	Cash-in-hand	3,000
Sundry Creditors	3,700	Bills Receivable	6,000
Sales Tax	300	Investment	8,000
Outstanding Expenses		Add: Accrued Interest	<u>420</u>
Salary	200	Prepaid Insurance	100
Taxes	<u>800</u>	Closing Stock	9,000
Commission Received in Advance	200	Sundry Debtors	10,000
Bank Overdraft	4,000	Less: Provision	<u>2,000</u>
Interest on Overdraft	<u>200</u>	Furniture	<u>2,200</u>
Capital	20,000	Less: Depreciation	<u>220</u>
Add: Net Profit	<u>2,900</u>		1,980
	22,900		
Less: Drawings	<u>2,800</u>		
P.F. Contribution:			
Employer	1,000		
Employee	<u>1,000</u>		
	2,000		
	<u>36,500</u>		<u>36,500</u>

Illustration: 30 (another approach)

- Note:** (i) Loss by fire: This may be treated in another way. Goods worth destroyed by fire Rs 8,000 is shown in Trading Account.
- (ii) Actual loss incurred, i.e. goods worth lost by fire – insurance claim allowed Rs 8,000 – Rs 6,000 = Rs 2,000 is debited to Profit and Loss Account
- (iii) Claim allowed by the insurance company, i.e. Rs 6,000 is shown on the assets side of the Balance Sheet.

Trading and Profit and Loss Account for the year ended on Mar 31, 2009

Dr.				Cr.
Particulars	Rs		Particulars	Rs
Opening Stock	Rs 6,000		By Sales	Rs 30,000
To Purchases	24,000		Less: Returns	2,000
Less: Returns	400	20,000		28,000
To Gross Profit (Transferred to P and L A/c)		19,000	By Closing Stock	9,000
			By Goods Loss by Fire (Total Loss)	8,000
		45,000		45,000
To Salaries	5,000		By Gross Profit b/d (Transferred from Trading Account)	19,000
Add: Outstanding	200		By Commission	1,000
	5,200	6,200	Less: Received in Advances	200
Add: P.F. Contribution By Employer	1,000		By Interest Accrued on Investments	420
To Taxes and Insurance	1,000			
Add: Outstanding Taxes	800			
	1,800			
Less: Prepaid	100	1,700		
To Interest on Bank o/d		200		
To Bad Debts	1,000			
Add: Prov. at End	2,000			
	3,000			
Less: Prov. at End	2,000	1,000		
To Depreciation on Furniture		220		
To (Trading A/c) Loss on Fire (Rs 8,000 – Rs 6,000)		2,000		
To Net Profit (Transferred to Capital A/c)		8,900		
		20,220		20,220

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Bills Payable	5,000	Cash-in-hand	3,000
Sundry Creditors	3,700	Bills Receivable	6,000
Sales Tax	300	Investment	8,000
Outstanding Expenses		Add: Accrued Insurance	420
Salary	200	Prepaid Insurance	100
Taxes	800	Closing Stock	9,000
	1,000		

Liabilities	Rs	Assets	Rs
Commission Received in Advance	200	Sundry Debtors 10,000 Less: Provision 2,000	8,000
Bank o/d 4,000		Insurance 2,200	
Add: Interest 200	4,200	Less: Depreciation 220	1,980
Capital 20,000		Insurance Company 6,000	
Add: Net Profit 8,900			
	28,900		
Less: Drawings 2,800	26,100		
P.F. Contribution:			
Employer 1,000			
Employee 1,000	2,000		
	42,500		42,500

Illustration: 31

From the following Trial Balance of Mr. Kannan as on Mar 31, 2009 and additional information given, prepare the Trading and Profit and Loss Account for the year ended on Mar 31, 2009 and a Balance Sheet on that date:

Particulars	Debit Balance Rs	Credit Balance Rs
Opening Stock	12,500	—
Capital	—	1,12,500
Debtors and Creditors	15,000	8,750
Purchases and Sales	1,00,000	1,75,000
Returns	3,750	2,500
Carriage	2,000	—
Wages and Salaries	6,250	—
Commission	—	3,250
Machinery	20,000	—
Furniture	5,000	—
Bad Debts	2,000	—
Provision for Doubtful Debts	—	2,500
Bills Receivable/Bills Payable	7,500	1,750
Land and Buildings	1,00,000	—
Taxes and Insurance	4,250	—
Discount Allowed	3,000	—
Bank	12,500	—
Drawings	12,500	—
	3,06,250	3,06,250

Additional Information

- Value of the closing stock as on Mar 31, 2009 is Rs 10,000
- Wages and salaries outstanding is Rs 250
- Insurance prepaid is Rs 1,000
- Provide for doubtful debts on the debtors at the rate of 10%
- Depreciate the machinery @ 10% and the furniture @ 15%
- Goods costing Rs 6,000 have sold on the approval basis for Rs 7,500, but these were not approved by the customers as yet.

(B. Com. Adapted)

Solution

Note: (1) “Goods sent on approval” – item appear in this question

(2) Hence, Rs 7,500 (goods sold on approval) has to be deducted from (i) sale and (ii) debtors, as goods sold on approval are not at all treated as sales.

(3) Goods lying with the customers, which were not yet approved, is to be ADDED to the closing stock: As such Rs 6,000 has to be added to the closing stock.

Mr. Kannan Trading and Profit and Loss Account for the year ended 31st March 2009

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To Opening Stock	Rs 12,500	By Sales	Rs 1,75,000
To Purchase	1,00,000	Less: Returns	3,750
Less: Returns	2,500		1,71,250
To Carriage	2,000	Less: Sale on Approval	7,500
To Wages and Salaries	6,250	By Closing Stock	10,000
Add: Outstanding	250	Add: Sent on Approval	6,000
To Gross Profit	61,250		
	1,79,750		1,79,750
To Bad Debts	2,000	By Gross Profit b/d	61,250
To Taxes and Insurance	4,250	By Commission	3,250
Less: Prepaid	1,000	By Provision for Doubtful	
To Discount	3,000	Debts (2,500 – 750)	1,750
To Depreciation on Furniture	750		
Machinery	2,000		
To Net Profit (Transferred	2,750		
To Capital Account)	55,250		
	66,250		66,250

Balance Sheet of Mr. Kannan as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Capital	Rs 1,12,500	Cash-at-bank	Rs 12,500
Add: Net Profit	55,250	Debtors	15,000
	1,67,750	Less: On Approval	7,500
Less: Drawings	12,500		7,500
	1,55,250	Less: Provision for	
Creditors	8,750	Doubtful Debts	750
Bills Payable	1,750	Closing Stock	10,000
Outstanding Wages and Salaries	250	Add: On approval	6,000
		Machinery	20,000
		Less: Depreciation	2,000
		Furniture	5,000
		Less: Depreciation	750
		Bills Receivable	7,500
		Prepaid Insurance	1,000
		Land and Building	1,00,000
	1,66,000		1,66,000

Illustration: 32

On Mar 31, 2009, the following Trial Balance has been extracted from the books of Shri Gokale.

Particulars	Dr. Balance Rs	Cr. Balance Rs
Capital/Drawings	6,000	60,000
Sundry Debtors/Creditors	38,200	16,802
Purchases/Sales	1,34,916	2,22,486
Returns	15,642	2,692
Bills Receivable/Bills Payable	13,764	5,428
5% Loan on Mortgage (1,4,2008)	—	17,000
Interest on Loan	400	—
Cash in Hand	6,100	—
Stock (Apr 1, 2008)	11,678	—
Motor vehicle	18,000	—
Cash at bank	9,110	—
Land and Buildings	24,000	—
Bad Debts	1,250	—
Carriage Outward	2,808	—
Bad Debts Provision	—	1,420
Discount	—	880
Carriage Inward	7,858	—
Establishment Expenses	16,194	—
Rates, Taxes and Insurance	7,782	—
Advertisement	4,528	—
General Expenses	8,978	—
Rent Received	—	500
Total	3,27,208	3,27,208

Prepare Trading and Profit and Loss Account for the year ended on Mar 31, 2009 and a Balance Sheet on that date after considering the following:

- (1) Depreciate land and building @ 5% p.a. and motor vehicle @ 15% p.a.
- (2) Salaries Rs 1,400 and rates Rs 800 are due
- (3) The provision for doubtful debts is to be maintained @ 5% on Sundry Debtors
- (4) Stock in hand on Mar 31, 2009 is valued at Rs 12,500
- (5) Goods costing Rs 1,000 were taken by the proprietor for his personal use, no entry has been made in the books of accounts
- (6) Prepaid insurance Rs 350
- (7) Provide for manager's commission at 5% net profit after charging such commission
- (8) A fire broke out on Apr 1, 2009 destroying goods worth Rs 4,700
- (9) Goods costing Rs 1,200 were sent to a customer on sale or return for Rs 1,400 on Mar 27, 2009, and have been recorded in the books as actual sales

(C.A. Modified)

Solution

Note: Goods sent on approval:

- (1) Adjustment in Trading A/c: Sale price of goods on approval is to be deducted from sale (Rs 1,400). Cost of goods sold sent on approval (Rs 1,200) has to be added to closing stock.
- (2) In Balance Sheet, Rs 1,400 is to be deducted from debtors: Rs 1,200 is to be added to stock.

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Opening Stock	Rs 11,678	By Sales	Rs 2,22,486
To Purchase	1,34,916	Less: Goods on Approval	1,400
Less: Returns	2,692		2,21,086
	1,32,224	Less: Returns	15,642
Less: Drawings	1,000	By Stock in hand	12,500
To Carriage Inward	7,858	Add: Goods Sent on Approval	1,200
To Gross Profit (transferred to P and L A/c)	68,384		13,700
	2,19,144		2,19,144
To Bad Debts	1,250	By Gross Profit b/d	68,384
Add: New Provision	1,840	By Discount	880
	3,090	By Rent Received	500
Less: Old Provision	1,420		
To Interest on Loan	400		
Add: Outstanding	450		
To Carriage Outward			
To Establishment Exp	16,194		
Add: Outstanding	1,400		
To Rates, Tax, Ins	7,782		
Add: Rate Due	800		
	8,582		
Less: Ins Prepaid	350		
To Advertising			
To General Expenses			
To Depreciation: Land and Building			
Motor			
To Manager's Commission			
To Net Profit			
	20,194		
	69,764		69,764

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Bills Payable	Rs 5,428	Cash-in-hand	Rs 6,100
Sundry Creditors	16,802	Cash at bank	9,110
Outstanding Expenses		Bills Receivable	13,764
Salaries	1,400	Sundry Debtors	38,200
Manager's Commission	1,010	Less: Goods on Approval	1,400
Rates	800		36,800
Loan on Mortgage	17,000	Less: Provision	1,840
Add: Interest	450	Stock at the end	12,500
Capital:		Add: Goods Sent on Approval	1,200
Opening Balance	60,000	Land and Buildings	24,000
Less: Drawings		Less: Depreciation	1,200
Rs 6,000 + Rs 1,000		Motor Vehicles	18,000
In Trial Balance adjust	7,000	Less: Depreciation	2,700
	53,000	Prepaid Insurance	350
Add: Net Profit	20,194		1,16,084
	73,194		
	1,16,084		

Note: Manager's commission at 5% on Net Profit after charging such commission:

Commission = Net Profit before charging commission $\times$ 5/105

= Rs 21,204 $\times$ 5/105

= Rs 1,009.71

= Rs 1,010 (rounded off)

Illustration: 33

From the following Trial Balance of Devnath, prepare Trading and Profit and Loss Account for the year ended on Mar 31, 2009 and a Balance Sheet as on that date after considering the adjustments given at the end:

Particulars	Dr. Rs	Cr. Rs
Purchases and Sales	3,49,600	3,70,000
Wages	450	—
Capital	—	24,250
National Insurance	150	—
Carriage Inwards	200	—
Carriage Outwards	250	—
Lighting	300	—
Rates and Insurance	200	—
Stock on Mar 31, 2009	30,625	—
Cash in Hand	875	—
Discounts	50	300
Buildings	15,000	—
Debtors and Creditors	3,000	10,000
Furniture	4,000	—
Dividend	—	150
Total	4,04,700	4,04,700

Adjustments

- Rates and insurance include a premium of Rs 150 p.a. paid up to Sep 30, 2009.
- National insurance balance includes employee's contribution of Rs 75 also. Wages are shown "net" after deducting the above employee's contribution.
- Some employees are housed in the building of the business, the rented value of which is Rs 250 p.a.
- Sale as shown in the Trial Balance includes the sale of old furniture (on Sep 2008) realising Rs 100. The book value of this furniture was Rs 150 at the commencement at the rate of depreciation on this asset has all along been 20% p.a.
- The manager is entitled to get a commission of 1/10 of net profits after charging his commission.
- Depreciate building by 5%.

(B. Com—Modified)

Solution

Note: (i) Employees contribution to National Insurance and rental value of building – both form part of gross wages. Hence, they have to be added to wages. In Profit and Loss A/c, rental value is shown on the credit side.

(ii) Depreciation:

(a) Furniture Sold	Rs
Book value at the beginning	150

Less: Depreciation for 6 months at 20%

(150 x 20/100 x 6/12) 15

Book value on date of sale 135

Sales price 100

*1 Loss on sale of furniture 35

(b) Furniture in hand

(20% on Rs 4,000 – Rs 150) 770

*2 Depreciation: Rs 15 + Rs 770 785

(iii) Manager's Commission = Net Profit × 10/110

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Purchases Rs	3,49,600	By Sales 3,70,000	
To Wages:		Less: Returns 100	3,69,900
Net 450			
Add: Employees			
Contribution to Ins. 75			
525			
Add: Rental Value: 250	775		
To Carriage Inwards 200	200		
To Gross Profit (transferred to Profit and Loss A/c)	19,325		
	<u>3,69,900</u>		<u>3,69,900</u>
To National Insurance (employer's contribution) 75	75	By Gross Profit b/d 19,325	
To Carriage Outward 250	250	By Discount 300	
To Rates and Insurance: 200		By Dividend 150	
Less: Prepaid 75	125	By Rental Value of Building Occupied by Employees	250
To Lighting 300	300		
To Discount 50	50		
*1 Loss on Sale of Furniture 35	35		
To Depreciation			
*i) Furniture 785	785		
ii) Building 750	750		
To Manager's Commission (Rs 17,655 x 10/110) 1,605	1,605		
To Net Profit (transferred to Devnath's capital A/c) 16,050	16,050		
	<u>20,025</u>		<u>20,025</u>

Balance Sheet of Devnath as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Sundry Creditors	10,000	Cash-in-hand	875
Manager's Commission due	1,605	Sundry Debtors	3,000
Capital: 24,250		Closing Stock	30,625
Add: Net Profit: 16,050	40,300	Prepaid Insurance	75
		Furniture 4,000	
		Less: Book value sold 150	
		3,850	

Liabilities	Rs	Assets	Rs
		Less: Depreciation	770
		Building	15,000
		Less: Depreciation	750
	51,905		14,250
			51,905

Illustration: 34

The following is the Trial Balance of a merchant on Mar 31, 2009

Particulars	Dr. Rs	Cr. Rs
Capital/Drawings	30,000	4,00,000
Opening Stock	37,500	—
Purchases/Sales	7,97,500	11,55,000
Freight on Purchases	12,500	—
Wages (11 months upto Feb 28, 2009)	33,000	—
Salaries	70,000	—
Postage, Telegrams, Telephone	6,000	—
Printing and Stationery	9,000	—
Miscellaneous Expenses	15,000	—
Debtors/Creditors	1,25,000	1,50,000
Investments	50,000	—
Discount Received	—	7,500
Bad Debts	7,500	—
Provision for Bad Debts	—	4,000
Building	15,0000	—
Machinery	2,50,000	—
Furniture	20,000	—
Commission on Sales	22,500	—
Interest on Investments	—	6,000
Insurance (up to Aug 31, 2009)	12,000	—
Bank Balance	75,000	—
	17,22,500	17,22,500

Adjustments

- (i) Closing Stock Rs 1,12,500
- (ii) Machinery worth Rs 22,500 purchased on Oct 1, 2008 was shown as purchases. Freight paid on the machinery was Rs 2,500, which was included in freight on purchases
- (iii) Commission is payable at 2½ % on sales
- (iv) Investments were sold @ 10% profit but the entire sale proceeds have been taken as sales
- (v) Write off bad debts Rs 5,000
- (vi) Create a provision for doubtful debts at 5% on debtors
- (vii) Depreciate Building by 2½ %; Plant and Machinery at 10% p.a. you are required to prepare Trading and Profit and Loss Account for the year ended on Mar 31, 2009 and a Balance Sheet as on that date.

(C.A. Foundation—Adapted)

- Note:** (i) Machinery purchased was entered in purchases. So, that amount has to be deducted from purchases.
(ii) Freight included in purchases has to be deducted from purchases and has to be transferred to Machinery Account.
(iii) Sales of investments have to be deducted from sales: Sales = Rs 50,000 + 10% Profit = Rs 55,000.
(iv) Provision for Doubtful Debts:

	Rs	
(a) Debtors	1,25,000	
Less: Bad Debts	<u>5,000</u>	(given in Adjustment)
	1,20,000	
*1 Less: Provision @ 5%	<u>6,000</u>	
	<u>1,14,000</u>	(to be shown in Balance Sheet)
*2 (b) In Profit and Loss Account:		
Provision for Doubtful Debts	6,000	
(5% of Rs 1,20,000)		
Less: Provision (in Trial Balance)	<u>4,000</u>	
	<u>2,000</u>	

Hence, Rs 2,000 has to be entered on the Debit side of Profit and Loss Account under “Provision for Doubtful Debts.”

Trading and Profit and Loss Account for the year ended on Mar 31, 2009

Dr.				Cr.
Particulars		Rs	Particulars	Rs
To Opening Stock	Rs	37,500	By Sales	11,55,000
To Purchases	7,97,500		Less: Sale of	
Less: Machinery			Insurance	<u>55,000</u>
Purchases:	22,500	7,75,000	(50,000 + 10% Profit)	11,00,000
To Freight on Purchases	12,500		By Closing Stock	1,12,500
Less: Freight to				
Machinery	2,500	10,000		
To Wages	33,000			
Add: Outstanding	3,000	36,000		
To Gross Profit				
(transferred to P and L A/c)		<u>3,54,000</u>		
		12,12,500		<u>12,12,500</u>
To Salaries		70,000	By Gross Profit b/d	3,54,000
To Postage, Telegram, etc.		6,000	By Interest on Investments	6,000
To Printing and Stationery		9,000	By Profit on Sale of	5,000
To Miscellaneous Expenses		15,000	Investments	7,500
To Commission on Sales	22,500		By Discount	
Add: Outstanding	5,000	27,500		
To Insurance	12,000			
Less: Prepaid	4,000	8,000		
To Bad Debts	7,500			
Add: Written off (further)	5,000	12,500		
*2 To Provision for				
Doubtful Debts	6,000			
	<u>-4,000</u>	2,000		

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To Depreciation:			
Building 3,750			
Machinery 25,000			
1,250			
Furniture 2,000	32,000		
To Net Profit			
(transferred to Capital			
Account in Balance Sheet)	1,90,500		
	<u>3,72,500</u>		<u>3,72,500</u>

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Rs		Rs	
Capital 4,00,000		Building 1,50,000	
Add: Profit 1,90,500		Less: Depreciation 3,750	1,46,250
5,90,500		Machinery 2,50,000	
Less: Drawings 30,000	5,60,500	Add: Additions 25,000	
Creditors 1,50,000		2,75,000	
Outstanding Expenses		Less: Depreciation 26,250	2,48,750
Wages 3,000		Furniture 20,000	
Commission 5,000	8,000	Less: Depreciation 2,000	
		Debtors 1,25,000	18,000
		Less: Bad Debts 5,000	
		1,20,000	
		Less: Provision 6,000	1,14,000
		Prepaid Insurance 4,000	
		Stock 1,12,500	
		Bank Balance 75,000	
	<u>7,18,500</u>		<u>7,18,500</u>

Illustration: 35

Mr. Shewag carries on a retail business and his Trial Balance on Mar 31, 2009 is as follows:

Particulars	Dr. Rs	Cr. Rs
Purchases	11,31,250	—
Sales	—	14,13,300
Returns Inwards	8,500	—
Returns Outwards	—	6,240
Provision for Doubtful Debts	—	10,400
Sundry Debtors	76,400	—
Sundry Creditors	—	51,052
Bills Payable (promissory notes to be paid)	—	17,900
Stock in the beginning	1,13,450	—
Wages	40,274	—

(Continued)

(Continued)

Particulars	Dr. Rs	Cr. Rs
Salaries	37,150	—
Furniture	30,150	—
Alternations to shop	9,000	—
Postage, Stationery, Insurance, etc.	26,452	—
Heading and Lighting	4,700	—
Trade Expenses	20,628	—
Rent, Rates and Taxes	27,034	—
Bad Debts	1,050	—
Loan at 15% (to Ajay, Dec 1, 2008)	6,000	—
Investments (at cost)	23,000	—
Dividends from Investments	—	3,650
Unexpired Insurance	1,048	—
Cash at Hand and at Bank	31,504	—
Bills Receivable (amount receivable on		
Promissory Notes	38,140	—
Capital Account	—	1,54,000
Drawings Account	32,000	—
Outstanding Wages	—	4,038
Rent Accrued but not Paid	—	1,500
Depreciation on Furniture	3,350	—
Additions to Furniture	1,000	—
	<u>16,62,080</u>	<u>16,62,080</u>

Prepare the Trading and Profit and Loss Account for the year ended on Mar 31, 2009 and a Balance Sheet on that date after taking into consideration the following:

1. Sundry Debtors include an item of Rs 500 for goods supplied to the proprietor and on item of Rs 1,200 due from a customer who has become insolvent.
2. Provision for doubtful debts is to be maintained at 5% of the Sundry Debtors.
3. One-fifth of alternations to the shop is to be written off.
4. Goods of the value of Rs 2,000 have been destroyed by fire and the insurance company had admitted the claim for Rs 1,400 only.
5. Bills receivable include a dishonored promissory note for Rs 5,300.
6. Stock at the end was Rs 1,21,040.
7. An intimation from the bank that a customer's cheque for Rs 2,000 had been dishonored is still to be entered in the books.

— (C.A. Adapted and Modified)

Solution

- Notes:**
1. Four months interest on loan extended to Mr. Ajay Rs 300 is due. It is shown on the credit side of Profit and Loss Account as "By Interest accrued." And in the Balance Sheet it is added with loan and shown on the assets side.
 2. Goods destroyed by fire are treated as follows:
 - (i) Total value of goods destroyed in fire Rs 2,000 – Enter into credit side of Trading Account.
Loss = Goods value – Claim admitted by insurance company

$$= \text{Rs } 2,000 - \text{Rs } 1,400 = \text{Rs } 600.$$

(ii) This (Rs 600) is entered in the Debit side of P and L A/c

(iii) Amount from insurance company is shown (Rs 1,400) on the Assets side of the Balance Sheet.

3. Sundry Debtors:

	Rs
Debtors (as in Trial Balance)	76,400
Less: To be transferred to Drawings	<u>500</u>
	75,900
Less: Written off as Bad Debt	<u>1,200</u>
	74,700
Add: Dishonored promissory note (deducted from bills receivable)	<u>5,300</u>
	80,000
Add: Dishonored cheque: (deducted from bank)	<u>2,000</u>
	82,000

This amount Rs 82,000 has to be recorded in the Balance Sheet and provision for doubtful debts (Rs 4,100) has to be deducted from this.

Trading and Profit and Loss Account for the year ended on Mar 31, 2009

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Stock (Apr 1, 2008) in the beginning	1,13,450	By Sales	Rs 14,13,300
To Purchases	11,31,250	Less: Returns	<u>8,500</u>
Less: Returns	<u>6,240</u>	By Goods Destroyed by Fire (ref: Note 2)	2,000
To Wages	11,25,010	By Stock (Mar 31, 2009)	1,21,040
To Gross Profit (transferred to Profit and Loss Account)	40,274		
	<u>2,49,106</u>		
	15,27,840		<u>15,27,840</u>
To Salaries	37,150	By Gross Profit b/d	2,49,106
To Postage, Stationery	26,452	By Dividends	3,650
To Rent, Rates and Taxes	27,034	By Interest Accrued (ref. Note: 1)	300
To Trade Expenses	20,628	By Provision for Doubtful Debts	76
To Heating and Lighting	4,700	Existing	10,400
To Depreciation on Furniture	3,350	Less: Bad Debts	<u>2,250</u>
To Alterations to Shop	1,800		8,150
To Loss by Fire (ref Note:2)	600	Less: Provision (ref: Note 2)	<u>4,100</u>
To Net Profit (transferred to Capital Account of Shewag)	1,35,392		4,050
	<u>2,57,106</u>		<u>2,57,106</u>

Note: Double entry with respect to depreciation, prepaid insurance, rent accrued and outstanding wages has been completed and shown in Trial Balance. As such, in respect of wages and rent, they are to be recorded without only adjustment in the Balance Sheet as shown below:

Balance Sheet as on Mar 31, 2009

Liabilities		Rs	Assets		Rs
Sundry Creditors	Rs	51,052	Current Assets:	Rs	
Bills Payable		17,900	Cash on hand and at bank		31,504
Outstanding Wages		4,038	Bills Receivable		32,840
Rent Accrued not Paid			Investments		23,000
Capital			Debtors	82,000	
Opening Balance	1,54,000		Less: Provision	<u>4,000</u>	77,900
Add: Net Profit	<u>1,35,392</u>		Loan to Ajay	<u>6,000</u>	
	2,89,392		Add: Interest Accrued	<u>300</u>	6,300
Less: Drawings	<u>32,500</u>	2,56,892	Stock at the end		1,21,040
			Amount due from Insurance Co		1,400
			Unexpected Insurance		1,048
			Fixed Assets:		
			Furniture	33,500	
			Add: Additions	<u>1,000</u>	
				<u>34,500</u>	
			Less: Depreciation	<u>3,350</u>	31,150
			Alterations to Shop	<u>9,000</u>	
			Less: Written off	<u>1,800</u>	7,200
		<u>3,31,382</u>			<u>3,31,382</u>

Illustration: 36

The following Trial Balance has been extracted from the books of a merchant.

Particulars	Debit Rs	Credit Rs
Drawings	17,500	—
Buildings	30,000	—
Debtors and Creditors	25,000	40,000
Purchases and Sales	1,50,000	2,32,500
Returns	1,750	1,450
Discount	3,550	2,550
Life Insurance	1,500	—
Cash	15,000	—
Stock (opening)	6,000	—
Bad Debts	2,500	—
Reserve for Bad Debts	—	8,500
Carriage Inwards	3,100	—
Wages	13,850	—
Machinery	4,00,000	—
Furniture	30,000	—
Salaries	17,500	—
Bank Commission	1,000	—
Bills Receivable/Bills Payable	30,000	20,000
Trade Expenses/Capital	6,750	4,50,000
	<u>7,55,000</u>	<u>7,55,000</u>

Adjustments

- (1) Allow interest on capital @ 5% p.a.
- (2) Machinery includes Rs 1,00,000 of a machine purchased on Dec 31, 2008. Wages include Rs 2,850 spent on the installation of a machine.
- (3) Trade expenses Rs 1,250 and wages Rs 1,750 have not been paid as yet.
- (4) Depreciate building by 5%; furniture and machinery by 10% p.a.
- (5) Make provision of doubtful debts at 5%.
- (6) Stock on Mar 31, 2009 was valued at Rs 25,000.

You are required to prepare the Trading and Profit and Loss Account for the year ended on Mar 31, 2009 and a Balance Sheet as on that date.

B.Com (Hons)—Adapted

Solution

- Note:** 1. Interest on capital is to be adjusted with net profit (after computing and at the end of P and L A/c to be shown separately). This is again added to Capital in Balance Sheet.
2. Life insurance is shown by deducting from Capital in the Liabilities side of Balance Sheet.

Trading and Profit and Loss Account for the year ended on Mar 31, 2009

Dr.				Cr.
Particulars		Rs	Particulars	Rs
To Opening Stock	Rs	6,000		
To Purchases	1,50,000			
Less: Returns	1,450	1,48,550	By Sales	Rs 2,32,500
To Wages	13,850		Less: Returns	1,750
Less: Machine installed	2,850		By Stock at the	25,000
	11,000			
Add: Outstanding	1,750	12,750		
To Carriage Inwards		3,100		
To Gross Profit		85,350		
(transferred to P and L A/c)		2,55,750		2,55,750
To Salaries		17,500		
To Discount		3,550		
To Bank Commission		1,000		
To Trade Expenses:	6,750		By Gross Profit b/d	
Add: Outstanding	1,250	8,000	(transfer from Trading A/c)	85,350
To Bad Debts		2,500	By Discount	2,550
To Depreciation on:			By Reserve for Bad and	
Building		1,500	Doubtful Debts	
Machine		32,571	(Rs 8,500 – Rs 1,250)	7,250
Furniture		3,000		
To Net Profit c/d		25,529		
		95,150		95,150
			Net Profit b/d	25,529
To Interest on Capital		22,500		
(5% on Rs 4,50,000)				
To Balance Profit				
Transferred to Capital Account		3,029		
		25,529		25,529

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Creditors	40,000	Cash-in-hand	15,000
Bills Payable	20,000	Bills Receivable	30,000
Outstanding Wages	1,750	Debtors	25,000
Outstanding Trade Expenses	1,250	Less: Provision	1,250
Capital	4,50,000	Stock in hand Furniture	30,000
Add: Interest on Capital	22,500	Less: Depreciation	3,000
Add: Net Profit	3,029	Machinery	40,000
	4,75,529	Add: Installation	2,850
Less: Drawings	17,500		4,02,850
	4,58,029	Less: Deprecation	32,571
Less: Life Insurance	1,500	Building	30,000
	4,56,529	Less: Depreciation	1,500
			28,500
			5,19,529

Illustration 37

From the following Trial Balance and additional information of Mr Raj, prepare Trading and Profit and Loss Account for the year ended on Mar 31, 2009 and the Balance Sheet as on that date.

Particulars	Debit Rs	Credit Rs
Capital	—	69,214
Purchases/Sales	33,729	50,350
Bad Debts	1,155	—
Rent	5,500	3,250
Wages	10,480	—
Building	30,000	—
Machinery	8,000	—
Salaries	20,800	—
Debtors (including Goel's dishonoured bills of Rs 400)	16,850	—
Printing and Advertising	7,300	—
Commission Received	—	1,500
Creditors	—	9,500
	1,33,814	1,33,814

Additional Information

- (1) Wages include a sum of Rs 2,000 spent on the erection of a cycle shed for employees and customers and Rs 1,000 for preparation of new machinery on Jan 1, 2009.
- (2) Depreciate machinery and building by 5%.
- (3) Remuneration of Rs 1,000 paid to an employee was debited to his personal account.
- (4) Sundry Creditors include an amount of Rs 2,750 received from Rajeev and credited to his account. The amount was written off as a bad debt in the previous year.
- (5) Goods costing Rs 250 were taken by the proprietor for his personal use but no entry was made in the books of accounts.
- (6) Goods costing Rs 300 were sent to a customer on sale or return for Rs 350 on Mar 27, 2009 and were recorded in the books as actual sale.

- (7) A fire occurred on Mar 15, 2009 in the godown and goods worth Rs 500 were destroyed. It was fully insured but the insurance company admitted the claim for Rs 300.
- (8) 50% of the amount of Goel's bill is irrecoverable.
- (9) Create a provision of 5% on debtors.
- (10) One-third of the commission received is in respect of work to be done next year.
- (11) Rent has been paid for 11 months but received for 13 months.
- (12) Included among the debtors is Rs 1,500 due from Rohit and included among the creditors Rs 500 due to him.
- (13) Provide for personal income tax @ 10% on net profit in excess of Rs 25,000.
- (14) Stock in hand on Mar 31, 2009 was valued as Rs 55,944.
- (15) Manager is entitled to a commission of 5% on net profit after charging his commission.

Solution

- Note:** (i) Loss of stock by fire Rs 500 is to be entered in the credit side of Trading Account.
(ii) Actual loss, i.e. Rs 500 – 300: Rs 200 to be debited to P and L A/c.
(iii) Insurance company admitted claim for Rs 300 only. This amount has to be shown as an asset in the name of insurance company.
(iv) Goods sent on approval Rs 350 is to be deducted from sales and cost of goods sent on approval Rs 300 has to be added to closing stock in Trading Account.
In Balance Sheet, Rs 300 has to be added to stock and Rs 350 has to be deducted from debtors.

Trading and Profit and Loss Account for the year ended on Mar 31, 2009**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Purchases 33,729		By Sales 50,350	
Less: Goods for Personal use 250	33,479	Less: Goods Sent on Approval 350	50,000
To Wages 10,480		By Loss of Stock by Fire 500	500
Less: For erection of cycle shed 2,000		By Closing Stock in hand 55,944	
8,480		Add: Cost of Goods Sent on Approval 300	56,244
Less: Erection of Machine 1,000	7,480		
To Gross Profit (transferred to P and L A/c) 65,785			
	1,06,744		1,06,744
To Salaries 20,800			
Add: Salary to Employee 1,000	21,800	By Gross Profit b/d (transferred from Trading A/c) 65,785	65,785
To Depreciation: Building (5% of Rs 30,000 + Rs 2,000) 1,600	1,600	By Bad Debts Recovered 2,750	2,750
To Depreciation: Machinery (5% of Rs 8,000 + Rs 1,000) 450	450	By Commission Received 1,500	
To Loss of Stock by Fire (Rs 500 – Rs 300) 200	200	Less: Unaccrued 500	1,000
To Bad Debts 1,155		By Rent Received 3,250	
Add: 50% of Goel's due 200		Less: Unaccrued 250	3,000
Add: New Provision 730	2,085	1 month rent (1/3 of Rs 3,250)	
To Printing and Advt. 7,300			

(Continued)

(Continued)

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
Less: Prepaid	3,650		
To Rent Paid	5,500		
Add: Outstanding			
(Rs 5,500 × 1/11)	500		
1 month Rent o/s			
*To Manager's Commission	1,750		
To Net Profit (Transferred to Capital Account)	35,000		
	72,535		72,535

*Manager's Commission: Net Profit before commission × 5/105
 (after charging commission): Rs 36,750 × 5/105 (Rs 72,535 – Rs 35,785)
 = Rs 1,750

Balance Sheet of Raj as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Capital Account	Rs 69,214	Fixed Assets:	Rs
Add: Net Profit	35,000	Building	30,000
	1,04,214	Add: Cycle shed	2,000
Less: Income Tax	1,000		32,000
	1,03,214	Less:	
Less: Drawings	250	Depreciation @ 5%	1,600
Current Liabilities:	1,02,964	Machinery	8,000
Creditors	9,500	Add: Erection Wages	1,000
Less: Bad Debts recorded	2,750		9,000
	6,750	Less: 5% Depreciation	450
Less: Due	500		8,550
Outstanding Rent	6,250	Current Assets:	
Unaccrued Commission	500	Stock in hand	55,944
Unaccrued Rent	500	Add: Stock of Goods on	
Provision for Income Tax	250	Approval with Customer	300
Manager's Commission o/s	1,000	Debtors	16,850
	1,750	Less: Salary to Employee	1,000
		Less: Goods on Approval	350
		Less: Bad Debts	
		(50% of Goel B/R)	200
		Due from Rohit	500
			14,800
		Less: Provision 5%	
		(on 14,800 – 200):	750
		Prepaid Printing and Advt.	3,650
		Insurance Company	300
	1,13,214		1,13,214

Summary

- Final Accounts represent (i) Trading, (ii) Profit and Loss Account and (iii) Balance Sheet.
- Final accounts are prepared to ascertain (i) the net profit or loss for a period (Trading and Profit and Loss Account) and (ii) the financial position of the business entities on a particular date.
- Trading Account is treated along with Profit and Loss Account as one account (unit). Next stage, after preparing the Trial Balance is the preparation of Trading Account to ascertain gross profit or loss for a period.
- Net sales revenue, Cost of goods sold, net purchases and direct expenses explained.
- For preparation of Trading Account, refer the main part of text.
- Manufacturing account is prepared by entities engaged in manufacturing activities to ascertain cost of goods manufactured. This account is closed by transferring its balance to trading account. For preparation of Manufacturing Account, refer the main part of text.
- Profit and Loss Account is prepared after preparing Trading Account to ascertain Net Profit. Profit and Loss Account is closed by transferring Net Profit/Loss to the Capital Account in the Balance Sheet.
- Uses of Profit and Loss Account: (i) Net income determination, (ii) Tool of financial planning, (iii) Capital maintainance, (iv) Source of internal financing, (v) Basis for tax computation and (vi) Future investment decisions.
- For accounting treatment of various items (refer illustrations numbers from 6 to 37).
- The next step in the accounting process after preparing the Trading and Profit and Loss Account is the preparation of Balance Sheet. Balance Sheet is a statement comprising the summary of financial position of enterprises on a particular date. Contents of the Balance Sheet. “Grouping” is arranging items of similar nature together under a common heading. “Marshalling” is the order in which the assts and liabilities are recorded either in the order of liquidity or in the order of permanency.
- Differences between Trial Balance and Balance Sheet (refer text).
- Treatment of (1) Closing Stock, (2) Accrued Expenses, (3) Prepaid Expenses, (4) Accrued Income, (5) Income Received in Advance, (6) Depreciation, (7) Bad Debts, (8) Provision for Bad Debts, (9) Provision for Discount on Debtors, (10) Provision for Discount on Creditors, (11) Interest on Capital, (12) Interest on Drawings, (13) Insurance Premium, (14) Salaries and Wages, (15) Commission on Profit, (16) Goods Sent on Approval, (17) Goods-in-transit, (18) Bad Debts Written Off, (19) Samples, Free Gifts, etc., (20) Income Tax, (21) P.F., (22) Loss by Fire, Theft, Embezzlement, (23) Dishonour of Cheques. Accounting treatment is illustrated item wise in the main part of the text, not repeated again (refer main part of the text).

Key Terms

Balance Sheet: The statement that summarises the assets, liabilities and owner’s equity of an entity on a particular date. It may also be said as follows: A statement of financial position of a business enterprise on a given date enlisting all assets, liabilities, capital and reserve and surplus at their book value.

Contingent Assets: They are not proper assets but come into existence upon the happening of certain events or the expiry of certain time. It does not appear in the Balance Sheet.

Contingent Liability: An obligation relating to an existing situation that may arise in the future depending on the occurrence or nonoccurrence of one or more uncertain events. It is not an effective liability until some future event occurs. It is not shown in the balance sheet and mentioned in footnote only.

Current Assets: Assets that are expected to be converted into cash or consumed in the production of goods or rendering of services during the operating cycle of business firms.

Current Liabilities: Liabilities that are normally payable in a relatively short period (not exceeding 12 months).

Goods Sent on Approval: Goods sent to customers with a tag “sale or return.”

Gross Profit: The difference between net sale and cost of goods sold or the excess of proceeds of goods sold over their cost during an accounting period.

Grouping and Marshalling: Arranging and putting together under the common heading the items of same nature in Balance Sheet is termed grouping. Arrangement of items in order of liquidity or in the order of performance in the Balance sheet is termed as marshalling.

Manufacturing Account: An account dealing with raw materials, work in progress and the cost of goods produced is termed as Manufacturing Account.

Net Profit: Excess of revenue over expenses during an accounting period.

Operating Profit: The net profit arising from the normal operations of a business enterprise. (Expenses of financial nature are not included in operating profit.)

Owner's Equity: A claim of proprietor or owner in the assets of an entity. It is the excess of assets over liabilities.

Prepaid Expenses: Payments made in advance for certain expenses, leaving same unexpected portion of expenses at the end of an accounting period.

Profit and Loss Account: A constituent of final accounts (financial statements). It depicts revenues and expenses of a business enterprise for an accounting period. It shows the excess of revenues over expenses.

Profit and Loss Appropriation Account: The net profit arrived at Profit and Loss Account is carried down to a new account to record items of appropriation changes against the profit. The new account is known as Profit and Loss Appropriation Account.

Trading Account: An account prepared to ascertain gross profit/loss of a firm prior to the preparation of Profit and Loss Account.

References

"Accountancy – Financial Accounting," National Council of Educational Research and Training," New Delhi.
R.L. Gupta and V.K. Gupta, "Principles and Practice of Accountancy," Sultan Chand and Sons, New Delhi.

P.C. Tulsian, "Financial Accounting," Pearson Education, New Delhi.

A Objective-type Questions

I. State whether the following statements are True or False

- Balance Sheet is not an account but only a statement.
- According to business entity concept, business is a separate identity for accounting purposes.
- The final accounts of sole trader are governed by specific statute – Schedule VI of Companies Act, 1956.
- Trading Account is prepared to know whether the business entity has earned gross profit or suffered gross loss.
- Trading Account is prepared after the preparation of Profit and Loss Account.
- If closing stock is given in the Trial Balance, it will be shown on the credit side of the Trading Account.
- Gross Profit/Loss is shown in the Balance Sheet.
- The nominal accounts are transferred to either Trading Account or Profit and Loss Account.
- Profit and Loss Account is prepared to ascertain net profit or net loss of a firm for a specified accounting period.
- Net profit increases the capital.
- Accrued income means that amount which has been earned but yet due.
- Profit and Loss Account deals with both direct expenses and indirect expenses.
- Carriage inward and carriage outward – both are debited to Profit and Loss Account.
- Charity is a direct expense and should be debited to Trading Account.
- Manufacturing Account is prepared to ascertain the cost of the goods produced.
- Manufacturing Account deals with finished goods only.
- The Balance Sheet contains only personal and real accounts.
- The Balance Sheet contains both opening and closing stock.
- Putting together items of the same nature under the common heading is called "Marshalling."
- Contingent liability is not shown in the Balance Sheet.

Answers

- | | | |
|-----------|-----------|-----------|
| 1. True | 2. True | 3. False |
| 4. True | 5. False | 6. False |
| 7. False | 8. True | 9. True |
| 10. True | 11. False | 12. False |
| 13. False | 14. False | 15. True |
| 16. False | 17. True | 18. False |
| 19. False | 20. True | |

II. Fill in the blanks with appropriate word(s)

- Gross profit is the excess of net sales revenue over _____.
- Net Sales Revenues = Cash Sales + Credit Sales minus _____.
- Cost of Goods Sold = Opening Stock + Net Purchases – Stock at the end + _____.
- Net Purchases = Cash Purchases + Credit purchases minus _____.
- If closing stock is given in the Trial Balance, it is not shown in Trading Account because purchases have already been _____.
- Gross Profit/Loss is transferred to _____.
- Transfer items of revenues and expenses to Trading and Profit and Loss Account are made by means of Journal entries which are technically called _____.
- Net loss _____ the capital.
- Outstanding income means that amount of income which is due and receivable but not yet _____.
- Gross Profit/Loss is transferred to _____.
- Net Profit/Loss is transferred to _____.
- Excess of gross profit over operating expenses is known as _____.
- Carriage inward is debited to _____.
- Combined item – salaries and wages should be debited to _____.
- Any duty paid on purchases should be debited to _____.
- Bonus is charged to _____.
- Manufacturing Account is prepared to ascertain the _____ produced.
- The order or classes in which the assets and liabilities are stated in the Balance Sheet is termed as _____.
- Debit balance in the Profit and Loss Account appearing on the Assets side of a Balance Sheet is called _____.
- Contingent liability is shown by way of _____ to the Balance Sheet.
- The amount provided by the owners is known as _____.
- If accrued income appears in the Trial Balance, it will be shown on the _____ side of the Balance Sheet.
- Goods sold on approval are never treated as _____.
- Goods lying with the customers who have not given their approval are treated as part of the _____.
- The Net Profit calculated in the Profit and Loss Account is transferred to a new account known as _____ to record items of appropriation as against charges against the profit.

Answers

- | | |
|---|--------------------------------|
| 1. Cost of goods sold | 2. Sales Returns |
| 3. Direct Expenses | 4. Purchases Returns |
| 5. Adjusted | 6. Profit and Loss Account |
| 7. Closing entries | 8. Decreases |
| 9. Received | 10. Profit and Loss Account |
| 11. Capital Account in Balance Sheet | 12. Operating profit |
| 14. Profit and Loss Account | 13. Trading Account |
| 16. Profit and Loss Account | 15. Trading Account |
| 18. Marshallling | 17. Cost of the goods |
| 20. Foot-note | 19. Fictitious |
| 22. Assets | 21. Capital or owners's equity |
| 23. Sales | 24. Closing stock |
| 25. Profit and Loss Appropriation Account | |

B Short Answer-type Questions

- Name the different accounts which constitute "Final Accounts."
- Explain why the Trading Account is prepared before the preparation of Profit and Loss Account.
- What are direct expenses? Mention any four such direct expenses.
- Write short note on closing entries.
- What are the advantages of a Trading Account?
- What are "Indirect Expenses"? Give few examples.
- How will you treat gain or loss on sale of fixed assets in the preparation of final accounts?
- Distinguish between outstanding income and accrued income.
- Explain "Operating Profit."
- What is meant by nonoperating profit?
- How would you treat the following items while preparing final accounts?
 - Carriage inward and outward
 - Dock dues, cleaning charges, octroi, import and export duty
 - Loose tools
 - Trade discount
 - Wages and salaries
- What is "Manufacturing Account"?
- List any two differences between Trading Account and Manufacturing Account.

14. Write short notes on
 - (i) Grouping
 - (ii) Marshalling
15. What are the main classification of assets?
16. What are contingent assets?
17. What are the major classification of liabilities?
18. How would you treat contingent liabilities while preparing final accounts?
19. What is meant by "Owner's Equity"?
20. Mention any four uses of balance sheet.
21. How would you computer manager's commission?
22. What is Profit and Loss Appropriation Account?

C Essay-type Questions

1. What is Trading Account? Draw a pro forma of a Trading Account. Pass the necessary closing entries relating to Trading Account. What are the advantages of Trading Account?
2. What is Profit and Loss Account? Draw a pro forma of Profit and Loss Account. Pass the necessary closing entries relating to Profit and Loss account.
3. What are the uses of Profit and Loss Account?
4. What is Balance Sheet? Draw a pro forma of it. Explain its significance. How does it differ from a Trial Balance?
5. Discuss the uses and limitations of financial statements.

D Exercises

1. From the following particulars of Mr. Raj for the year ending on Mar 31, 2010, prepare the trading account.

	Rs		Rs
Opening Stock	1,25,000	Sales	22,50,000
Purchases	10,25,000	Sales Returns	12,500
Purchases Returns	6,000	Clearing Charges	2,250
Carriage and Freight	20,000	Carriage on Sales	3,350
Royalty on Production	2,700	Customs Duty	28,000
Office Rent	6,000	Dock Dues	1,200
Factory Rent	12,500	Octroi	3,750
Manager's Salary (office)	60,000	Manager's Salary (factory)	82,500
Salary of Foreman	56,000	Factory Insurance	2,750
Office Insurance	2,100	Fuel, Gas, Water	37,500
Factory Light and Power	39,000	General Expenses	27,500
Stock at the end	1,87,500	Wages (productive)	2,06,000

(Answer: Gross Profit: Rs 7,89,850)

2. From the following balances of M/S Kapil and Sons, prepare a Trading and Profit and Loss Account for the year ending on Mar 31, 2010.

	Rs		Rs
Opening stock	1,60,000	Creditors	56,000
Stock (Apr 1, 2009)	21,600	Bills Payable	36,000
Sales	1,00,864	Purchases	56,912
Returns Inwards	2,000	Returns Outwards	4,200
Discount (Cr.)	440	Discount (Dr.)	200
Commission (Cr.)	1,600	Salaries	6,000
Wages	8,400	Insurance	600
Interest	520	Bad Debts	204
Postage	540	Carriage	1,600
Carriage on Sales	1,000	Depreciation	600

	Rs		Rs
General Charges	2,460	Travelling Expenses	1,640
Building	20,000	Advertisements	1,700
Stock (Mar 31, 2010)	10,000		

(Answer: Gross Profit: Rs 24,552

Net Profit: Rs 11,128)

3. The following balances appeared in the Trial Balance of Star and Co.

		Rs
Opening Stock:	Raw Material	1,20,000
	Work-in-progress	70,000
	Finished goods	1,40,000
	Purchases	5,40,000
	Sales	10,50,000
Returns:	Purchases	15,000
	Sales	9,000
	Wages	1,95,000
	Factory expenses	1,35,000
Freight:	Inwards	25,000
	Outwards	45,000
Carriage:	Inwards	5,000
	Outwards	10,000

At the end of the accounting period, the stock on hand were:

Raw Materials	1,05,000
Work-in-progress	30,000
Finished Goods	1,65,000

Prepare the Manufacturing and Trading Account.

(Answer: Cost of Goods Manufactured Rs 9,40,000

Gross Profit Rs 1,26,000)

4. Prepare Manufacturing and Trading account and Profit and Loss Account from the following information for year ending on Mar 31, 2010.

Stock of raw materials (opening)	7,31,520
Stock of raw materials (closing)	8,89,200
Purchases of raw materials	6,25,824
Work-in-progress on Apr 1, 2009	2,25,072
Work-in-progress on Mar 31, 2009	2,47,824
Finished goods on Apr 1, 2009	5,15,232
Finished goods on Mar 31, 2010	3,04,560
Productive Wages	5,02,568
Unproductive Wages	14,160
Carriage Inward	9,648
Rent and Taxes	15,840
Lighting and Heating	8,064
Depreciation and Maintenance of Plant	76,896
Works Salaries	56,304
Stores Expenses	10,512

General Works Expenses	2,01,600
Sales	21,60,000
Sales Returns	60,000
Sale of Scrap	60,000
Office Rent	2,400
Office Salaries	6,000
Distribution Expenses	7,200
Bad Debts	8,400

(Answer: Cost of Goods Manufactured Rs 12,81,984
Gross Profit Rs 6,07,344
Net Profit Rs 5,82,344)

5. From the following trial balance of Mrs. Renu prepare Trading, Profit and Loss Account for the year ended on Dec 31, 2009.

Particulars	Dr. Rs	Particulars	Dr. Rs
Purchases	16,20,000	Sales	31,20,000
Salaries and Wages	10,50,000	Returns Outward	36,000
Office Expenses	12,000	Discount Received	18,000
Trading Expenses	24,000	Interest Received	9,000
Factory Expenses	33,000	Capital	5,34,000
Carriage Inwards	24,000		
Return Inward	36,000		
Discount Allowed	12,000		
Commission	6,000		
Stock	1,80,000		
Income Tax	1,20,000		
Cash in hand	6,00,000		
	<u>37,17,000</u>		<u>37,17,000</u>

Closing stock is valued at Rs 4,05,000

(Answer: Gross Profit: Rs 16,44,000
Net Profit: Rs 5,91,000)

6. Give the necessary adjusting entries for the following items appearing outside the Trial Balance as on Dec 31, 2009
- Closing stock as on Dec 31, 2009 Rs 10,000
 - Rent received in advance Rs 3,750
 - Salary due but not paid Rs 5,400
 - Interest due but not received Rs 1,200
 - Unexpired insurance on Dec 31, 2009 Rs 970
 - Bad debts to be written off Rs 600
 - Depreciation on fixed assets @ 20%
 - Create provision for doubtful debts @ 5%
 - Create provision for discount on debtors @ 2%
 - Create provision for discount on creditors @ 2%
 - All interest on capital @ 12% p.a.
 - Charge interest on drawings @ 10% p.a.

Other Information: Fixed Assets Rs 69,000; Debtors: Rs 90,000; Creditors: Rs 40,000;
Capital: Rs 2,50,000; Drawings: Rs 10,000.

7. Trial Balance of Mr. Balaji as on Mar 31, 2010 was as follows:

Particulars	Dr. Rs	Dr. Rs
Capital/Drawings	1,600	90,000
Stock as on Apr 1, 2009	4,500	—
Purchases/Sales	32,250	59,500
Sales Returns	1,000	—
Insurance Premium	750	—
Duty Paid on Purchases	5,000	—
Primary Packing Expenses	1,000	—
Carriage Outwards	4,000	—
Postage	50	—
Advertisement	500	—
Bad Debts	150	—
Discount	—	250
Bills Payable	—	4,500
Bank Overdraft	—	1,500
Land and Buildings	45,000	—
Plant and Machinery	35,000	—
Furniture	500	—
Debtors/Creditors	12,700	21,000
Goodwill	4,500	—
Wages and Salaries	8,000	—
Cash in Hand	250	—
Cash at Bank	20,000	—
	<u>1,76,750</u>	<u>1,76,750</u>

Adjustments

- (i) Closing stock as on Mar 31, 2010 is Rs 10,800
- (ii) Interest on bank O/D unpaid is Rs 138
- (iii) Half-yearly insurance premium pre-paid
- (iv) Depreciate land and buildings @ 10%
- (v) Depreciate plant and machinery @ 20%
- (vi) Write off further bad debts of Rs 200
- (vii) Make provisions for required doubtful debts @ 5% on debtors.

You are required to prepare trading and profit and loss A/c for the year ending on Mar 31, 2010 and a balance sheet as on that date.

(Answer: Gross Profit: Rs 18,550;
Net Profit: Rs 1,262;
Total of Balance Sheet: Rs 1,66,800)

8. From the following data prepare Trading and Profit and Loss Account for the year ending on Mar 31, 2010 and a Balance sheet as on that date:

	Rs		Rs
Cash at bank	45,800	Purchases	2,24,800
Accounts Receivable	81,300	Sales	7,14,000
Merchandise Inventory	122,200	Dealing Expenses	24,400
Stores Equipment	77,000	Selling Expenses	2,400

(Continued)

(Continued)

	Rs		Rs
Office equipment	51,600	Accumulated Depreciation	
Salaries	64,000	On Stores equipment	24,500
Drawings	48,000	On Office equipment	18,500
Sales Returns	8,240	Accounts Payable	77,200
Office Expenses	36,000	Capital	1,77,000
Rent	18,400	Purchases Returns	5,440
Insurance	15,500		

Merchandise inventory on Mar 31, 2010 is Rs 1,14,600. Depreciation for current year on stores equipment is Rs 6,200; and on office equipment: Rs 5,400; Rs 3,200 for rent is due but not paid. Insurance prepaid is Rs 5,500. At computer of the value of Rs 10,000 purchased during the year is included in the purchase.

(Answer: Gross Profit: Rs 2,88,800

Net Profit: Rs 1,18,800

Total of Balance Sheet: Rs 3,21,200)

9. A trader maintained provision for doubtful debts @ 5%; provision for discount @ 2% on debtors and reserve for discount @ 2% on creditors which on Jan 1, 2008 stood at Rs 4,500, Rs 1,500 and Rs 1,200, respectively. His balances on Dec 31, 2008 and on Dec 31, 2009 were:

	Dec 31, 2008 Rs	Dec 31, 2009 Rs
Bad Debts written off	5,400	900
Discount Allowed	1,800	600
Sundry Debtors	60,000	18,000
Discount Received	900	150
Sundry Creditors	45,000	90,000

You are required to show necessary accounts in the ledger:

(I.C.W.A—Modified)

[Answer: (i) Debit P and L A/c with Rs 3,900 in 2008 for Reserve for Doubtful Debts and Credit P and L A/c with Rs 1,200 in 2009 for Reserve for Doubtful Debts

(ii) Debit P and L A/c with Rs 1,440 in 2008 Credit P and L A/c with Rs 198 in 2009 for Provision for Discount on Debtors]

10. From the following particulars prepare (1) Reserve the Doubtful Debts A/c; (2) Reserve for Discount on Debtors and (3) Reserve for Discount on Creditors for both the years:

- Balance as on Jan 1, 2008; Reserve for doubtful debts Rs 3,000; Reserve for Discount on debtors Rs 1,500; Reserve for discount on creditors Rs 1,200.
- Total debtors as on Dec 31, 2008 were Rs 75,000 after writing off bad debts Rs 1,800 and allowing discount Rs 600.
- Total debtors as on Dec 31, 2009 were Rs 60,000 after writing off bad debts Rs 1,800 and allowing discount Rs 150.
- Total creditors as on Dec 31, 2008 and 2009 were Rs 45,000 and Rs 30,000, respectively.
- Discounts received during the years were Rs 900 and Rs 150, respectively.
- Provide 5% as Reserve for Doubtful Debts; 2½ % as Reserve for Discount on Debtors and 2% as Reserve for Discount on Creditors.

Answers: (1) Reserve for Doubtful Debts:

(a) For the year 2008: P and L A/c is debited with Rs. 2,550

(b) For the year 2009: P and L A/c is debited with Rs 1,050

- (2) Reserve for Discount on Debtors:
 (a) For 2008: P and L A/c is to be debited with Rs 881.25
 (b) For 2008: P and L A/c is to be credited with Rs 206.25
- (3) Reserve for Discount on Creditors:
 (a) For 2008: P and L A/c is to be credited with Rs 600
 (b) For 2008: P and L A/c is to be debited with Rs 150

11. An inexperienced book keeper prepared the following Trial Balance as on Mar 31, 2010

Debit Balance	Rs	Credit Balance	Rs
Capital	34,000	Building	25,000
10% Loan	30,000	Furniture	5,000
Creditors	15,000	Plant	20,000
Bills Receivable	6,000	Debtors	25,000
Returns Inward	3,000	Bills Payable	5,500
Carriage Outward	2,000	Commission Received	2,500
Sales	75,000	Opening stock	15,000
		Wages	7,500
		Salaries	6,000
		Rent and Rates	5,000
		Printing and Stationery	2,000
		Purchases	40,000
		Interest on loan	
		(Paid up to Mar 31, 2010)	2,500
		Returns Inward	2,500
		Carriage Inward	1,500
	1,60,000		1,60,000

Correct the Trial Balance.

Prepare Trading and P and L account for the year ending on Mar 31, 2010 and the Balance Sheet on that date after considering the following adjustments:

- Closing stock was valued at Rs 20,500
- Write off bad debts of Rs 500
- Outstanding salary Rs 500
- Depreciate building and furniture by 10% p.a.
- Depreciate plant by 15% p.a.

Answer

- Total of corrected trial balance Rs 1,65,000
- Gross profit Rs 32,000
- Net profit Rs 9,500
- Total of balance sheet: Rs 95,000

12. Mrs. Bhagya submitted to you the following trial balance which she has not been able to agree. Rewrite the Trial Balance and prepare Trading and Profit and Loss Account for the year ended on Dec 31, 2009 and a balance as on that date after giving effect to the under mentioned adjustments:

Particulars	Dr. Rs	Dr. Rs
Capital	—	64,000
Opening stock	70,000	—
Closing stock	—	75,160
Drawings	13,220	—
Return Inward	—	2,200

(Continued)

(Continued)

Particulars	Dr. Rs	Dr. Rs
Carriage Inward	4,960	—
Deposit with Mr. x	—	5,600
Return Outward	3,360	—
Carriage Outward	—	2,900
Rent Paid	3,200	—
Rent Outstanding	600	—
Purchases	52,000	—
Sundry Debtors	20,000	—
Sundry Creditors	—	16,000
Furniture	6,000	—
Sales	—	1,16,000
Wages	3,400	—
Cash	5,480	—
Goodwill	7,200	—
Advertisement	3,800	—
	<u>1,93,220</u>	<u>2,81,860</u>

Adjustments

- Write off Rs 2,400 as bad debts and make Reserve for Bad Debts on Sundry Debtors @ 5%
- Stock values at Rs 8,000 were destroyed by fire on Dec 20, 2009 but insurance company admitted a claim for Rs 6,000; and paid the sum in Jan 2010.
- Depreciate furniture by 10%:

(C.A.—Modified)

Answer: Corrected Trial Balance Total: Rs 1,99,600.

Gross Profit: Rs 69,960

Net Profit: Rs 54,180

Total of Balance Sheet: Rs 1,21,560)

13. From the following Trial Balance and information prepare Trading and Profit and Loss Account of Mr. Kumar for the year ending on Mar 31, 2010 and a Balance Sheet on that date.

Particulars	Dr. Rs	Dr. Rs
Capital/Drawings	6,000	50,000
Land and Buildings	45,000	—
Plant and Machinery	10,000	—
Furniture	2,500	—
Sales/Purchases	40,000	70,000
Returns	2,500	2,000
Debtors/Creditors	9,200	6,000
Loam from “x” on July 1, 2009 @ 6% p.a.	—	15,000
Carriage	5,000	—
Sundry Expenses	300	—
Printing and Stationery	250	—
Insurance	500	—
Provision for Doubtful Debts	—	500
Provision for Discount on Debtors	—	190
Bad Debts	200	—
Profit of Textile Department	—	5,000

Particulars	Dr. Rs	Dr. Rs
Stock of general goods on Apr 1, 2009	10,650	
Salaries and Wages	9,250	
Trade Expenses	400	
Stock of goods (textiles) on Mar 31, 2010	4,000	
Cash at bank	2,300	
Cash in hand	640	
	<u>1,48,690</u>	<u>1,48,690</u>

Information

- (i) Stock of general goods on Mar 31, 2010 valued at Rs 13,650.
- (ii) Fire occurred on Mar 25, 2010 and Rs 5,000 worth of general goods were destroyed. The insurance company accepted claim for Rs 3,000 only and paid the claim money on Apr 15, 2010.
- (iii) Bad debts amounting to Rs 200 are to be written off.
- (iv) Provision for doubtful debts is to be made at 5% and for discount at 2% on debtors.
- (v) Make a provision of 2% on creditors for discount.
- (vi) Received Rs 3,000 worth of goods on Mar 28, 2010 but the invoice of purchase was not recorded in purchases book.
- (vii) Kumar took away goods worth Rs 1,000 for personal use but no record was made thereof.
- (viii) Depreciate land and buildings as 2%, plant and machinery at 20% and furniture at 5%.
- (ix) Insurance prepaid amounts to Rs 100.

(C.A.—Modified)

- Answer:** (i) Gross Profit: Rs 30,500
(ii) Net Profit: Rs 19,049
(iii) Total of Balance Sheet: Rs 86,544

14. The accountant of M/s Leo Enterprises extracted the following Trial Balance as on Dec 31, 2009.

Particulars	Dr. Rs	Dr. Rs
Capital	—	50,000
Drawings	—	9,000
Buildings	7,500	—
Furniture and Fittings	3,750	—
Motor Van	12,500	—
Loan from x @ 12% interest	7,500	—
Interest paid on above	225	—
Sales	—	50,000
Purchases	37,500	—
Stock as on Jan 1, 2009	—	16,000
Stock as on Dec 31, 2009	12,500	—
Establishment Expenses	7,500	—
Freight Inward	1,000	—
Freight Outward	—	500
Commission Received	—	3,750
Sundry Debtors	14,050	—
Bank Balance	10,250	—
Sundry Creditors	—	5,000
	<u>1,34,250</u>	<u>1,34,250</u>

The accountant located the following errors but is unable to proceed any further:

- (a) A totaling error in bank column of payment side of cash book whereby the column was under totalled by Rs 250.
- (b) Interest on loan paid for the quarter ending Sep 30, 2009. Rs 225 was omitted to be posted in the ledger. There was no further payment of interest.

You are required to set right the Trial Balance and prepare Trading and Profit and Loss Account for the year ended on Dec 31, 2009 and the Balance Sheet as on that date after carrying out the following:

- (a) Depreciate:
 - (i) Building at 2.5% p.a.
 - (ii) Furniture at 10% p.a.
 - (iii) Motor van at 25% p.a.
- (b) Balance of interest on the loan is also to be provided for

[C.A.—Modified]

- (Answer: (i) Total of corrected trial balance: Rs 1,16,225
 (ii) Gross profit: Rs 15,000
 (iii) Net profit: Rs 6,387.50
 (iv) Balance sheet total: Rs 60,112.50)

15. From the following particulars extracted from the books of Gambir, prepare Trading and Profit and Loss Account for the year ending on Mar 31, 2010 after making the necessary adjustments:

	Rs		Rs
Gambirs' Capital A/c	1,08,100	Interest Received	1,450
Stock (Apr 1, 2009)	46,800	Cash at bank	8,000
Sales	2,89,600	Discount Received	2,990
Sales Returns	8,600	Investments @ 5%	
Purchases	2,43,100	as on Apr 1, 2009	5,000
Purchases Returns	5,800	Furniture (Apr 1, 2009)	1,800
Capital Inwards	18,600	Discount Allowed	7,540
Rent	5,700	General Expenses	3,920
Salaries	9,300	Audit Fees	700
Sundry Debtors	24,000	Fire Insurance Premium	600
Sundry Creditors	14,800	Travelling Expenses	2,330
Loan from		Postage and Telegrams	870
State Bank of India @ 12%	20,000	Cash on hand	380
Interest paid	900	Deposits at 10% as on	
Printing and Stationery	3,400	Apr 1, 2009 (Dr.)	30,000
Advertisement	11,200	Drawings	10,000

Adjustments

- (i) Value of stock as on Mar 31, 2010 is Rs 78,600. This includes goods returned by customers on Mar 31, 2010 to the value of Rs 3,000 for which no entry has been passed in the books.
- (ii) Purchases include furniture purchased on Jan 1, 2010 for Rs 2,000.
- (iii) Depreciate furniture as 10% p.a.
- (iv) The loan account from State Bank of India in the books of Gambir appears as follows:

		Rs			Rs
Mar 31, 2010	To Balance c/d	20,000	Apr 1, 2009	By Balance b/d	10,000
		<u>20,000</u>	Mar 31, 2010	By Bank	<u>10,000</u>
					20,000

- (v) Sundry Debtors included Rs 4,000 due from Rahul and Sundry Creditors include Rs 2,000 due to him.
- (vi) Interest paid include Rs 600 paid to State Bank of India.
- (vii) Interest received represents Rs 200 from the Sundry Debtors and the balance on investments and deposits.
- (viii) Provide for interest payable to State Bank of India and for interest receivable on investments and deposits.
- (ix) Make a provision for doubtful debts at 5% on the balance under “Sundry Debtors.” No such provision needs to be made for the deposits.

C.A. (Foundation)—Modified

(Answer: Gross Profit: Rs 55,900;
 Net Profit: Rs 14,100;
 Balance Sheet Total: Rs 1,45,600)

16. Following figures are extracted from the books of Bintu:

	Rs		Rs
Capital	2,28,800	Stock (Apr 1, 2009)	38,500
Drawings	13,200	Wages	35,200
Plant and Machinery	99,000	Sundry Creditors	44,000
Freehold Property	66,000	Postage and Telegrams	1,540
Purchases	1,10,000	Insurance	1,760
Returns Outwards	1,100	Gas and Fuel	2,970
Salaries	13,200	Bad Debts	660
Office Expenses	2,750	Office Rent	2,860
Office Furniture	5,500	Freight	9,900
Discount (Dr.)	1,320	Loose Tools	2,200
Sundry Debtors	20,260	Factory Lighting	1,100
Loan to 'x' @ 10% p.a. on Apr 1, 2009	44,000	Provision for Doubtful Debts	880
Sales	2,31,440	Interest on loan to 'x'	1,100
Bills Payable	5,500	Cash at bank	29,260
		Cash in hand	2,640

Adjustments

- (i) Stock on Mar 31, 2010 was valued as Rs 72,600
- (ii) A new machine was installed during the year costing Rs 15,400, but it was not recorded in the books and no payment was made for it. Wages Rs 1,100 paid for its erection have been debited to wages account.
- (iii) Depreciate plant and machinery by 33 1/3%, Furniture by 10% and Freehold property by 5%.
- (iv) Loose tools were valued at Rs 1,760 on Mar 31, 2010.

- (v) If the Sundry Debtors Rs 660 are bad and should be written off.
- (vi) Maintain a provision of 5% on Sundry Debtors for doubtful debts.
- (vii) The manager is entitled to a commission of 10% of the net profits after charging such commission.

Answer: Gross Profit: Rs 1,08,570
 Net Profit: Rs 40,800
 Total of Balance Sheet: Rs 3,25,380)

17. Following is the Trial Balance as on Dec 31, 2009

Particulars	Dr. Rs	Dr. Rs
Opening Stock	15,000	—
Drawings and Capital	5,000	50,000
Purchases and Sales (adjusted)	75,000	1,37,500
Wages	3,000	—
Salaries	10,000	—
Import Duty	2,500	—
Carriage Inwards	2,000	—
Insurance	2,500	—
Advertisement	5,000	—
Furniture	20,000	—
Bad Debts	2,500	—
Book Debts	25,000	—
Creditors	—	15,000
Loose Tools	12,500	—
Reserve for Bad Debts	—	1,000
Rent	2,500	—
Discount Received	—	4,000
Depreciation of Furniture	2,500	—
Depreciation of Loose Tools	2,500	—
Closing Stock	15,000	—
Outstanding Import Duty	—	5,000
Premises	35,000	—
Commission Received	—	5,000
Cash Balance	10,000	—
Bank Balance	2,500	32,500
	<u>2,50,000</u>	<u>2,50,000</u>

Adjustments

- (a) A customer of Rs 2,500 is also a creditor of Rs 5,000. Create Reserve for Bad Debts @ 5% p.a. after writing off further bad debt of Rs 2,500.
- (b) Depreciate furniture and loose tools @ 25% and by Rs 5,000, respectively, and appreciate premises by Rs 5,000.
- (c) Annual payment is salaries Rs 12,500 and rent Rs 5,000.
- (d) Unexpired import duty and insurance are Rs 500 each.
- (e) Sale of furniture (book value nil) for Rs 1,500 to be accounted for as omitted in the books.
- (f) Withdrawn from the bank by the owner for domestic use of Rs 7,500.

You are required to prepare the final accounts by applying marshalling of balance sheet as on Dec 31, 2009.

—B.Com. Modified

(Answer: Gross Profit: Rs 40,500;
 Net Profit: Rs 16,500;
 Balance Sheet Total: Rs 1.66.500)

18. From the following balances extracted from this books of Mrs. Rukhmani, prepare Trading and Profit and Loss Account for the year Mar 31, 2010 and a Balance Sheet as on that date:

Particulars	Dr. Rs	Dr. Rs
Purchases	35,640	—
Mrs. Rukhmani's Capital	—	30,000
Computer at Cost	9,190	—
Cash at Bank	2,000	—
Cash in Hand	1,418	—
Sundry Creditors	—	6,500
Bills Payable	—	5,110
Furniture and Fittings	770	—
Rent	6,270	—
Discount Received	—	11,000
Bills Receivable	3,360	—
Trade Charges	460	—
Sundry Debtors	17,078	—
Sales	—	30,360
Return Outwards	—	5,716
Drawings	2,600	—
Rent Due	—	160
Discount Allowed	270	—
Wages	900	—
Salaries	8,390	—
Returns Inwards	500	—
	<u>88,846</u>	<u>88,846</u>

Adjustments

- (1) Closing stock on Mar 31, 2010 was valued at cost Rs 12,800 (Market value, Rs 13,100)
- (2) Rs 3,000 paid to Mrs. Y against bill payable were debited by mistake to Mrs. Z. and included in the list of Sundry Debtors.
- (3) Travelling expenses paid to sales representative Rs 2,500 for the month of Mar 2010 were debited to his personal account and included in the list of Sundry Debtors.
- (4) Depreciate furniture and fittings by 10% p.a.
- (5) Provide for doubtful debts at 5% on Sundry Debtors.
- (6) Goods costing Rs 750 were used by the proprietor. Entry for it has not yet been passed.
- (7) Salaries include Rs 6,000 paid to the sales representative who is further entitled to a commission of 5% on net sales.
- (8) Stationery charges Rs 600 on Mar 31, 2010.
- (9) Purchases include opening stock values at Rs 3,500 (cost price).
- (10) Sales representative is further entitled to an extra commission of 5% on net profit after charging his extra commission.
- (11) No depreciation need be provided for computer, as it was purchased on Mar 31, 2010 and not to put to use on that date.

(C.A. (Inter)—Adapted and Modified)

(Answer: Gross Profit: Rs 12,586

Net Profit: Rs 2,806.50

Total of Balance Sheet: Rs 40,460)

19. The accountant of Khurana ascertained the business profits; but due to his defective knowledge or otherwise a number of discrepancies have crept in the Trading and Profit and Loss Account prepared by him. You are requested to draft these accounts properly ascertaining the cost of goods produced. The accounts prepared by the accountant are as under:

Trading and Profit and Loss Account for the year ending on Mar 31, 2010

Particulars	Rs	Rs	Particulars	Rs	Rs
To Purchases of Raw Materials	67,475		By Last Year's Balance		21,550
Add: Returns Inwards	350		By Opening Stock:		
Add: Closing Stock:	67,825		Raw Materials	2,000	
Raw Materials	6,075		Work-in-Progress	1,500	
W.I.P.	5,000		Finished Stock	2,050	5,550
Finished Stock	6,850		By Sales	85,500	
To Wages Productive	17,925	85,750	Less: Returns Outwards	425	85,075
To Factory Expenses		10,000	By Carriage Outward	525	
To Factory Expenses paid in Advance		8,200	Less: Carriage Inward	500	25
To General Office Expenses		2,900	By Trade Discount On Purchases	1,500	
To Distribution Expenses		1,250	Less: Cash Discount Allowed		
To Sales Expenses	3,500	3,000	By Net Loss	50	1,450
Less: Purchase Expenses	3,000	500			4,700
To Export Duty	1,500				
Less: Import duty	1,000	500			
To Interest on Bank Loan		3,000			
To Depreciation on Plant		2,500			
To Depreciation on Office Furniture		250			
		1,18,350			1,18,350

(C.A. Inter—Adapted and Modified)

Answer: Cost of Goods Produced: Rs 88,175

Gross Profit: Rs 6,775

Net Loss: Rs 6,800)

20. From the following particulars for the year ending on Mar 31, 2010 of M/s Gemini Company, prepare Trading and Profit and Loss Account and Balance Sheet on that date:

	Rs		Rs
Stock Apr 1, 2009	46,400	Land and Building	3,19,000
Capital Apr 1, 2009	2,90,000	Furniture and Fixture	14,500
Purchases	1,16,000	Bills Receivable	20,300
Sales	4,64,000	Bills Payable	14,500
Office Expenses	46,690	Sundry Debtors	1,16,000
Return Inward	8,700	Plant and Machinery	26,100
Interest on Loan	1,740	Sundry Creditors	91,640

	Rs		Rs
Return Outward	2,320	Loan (Dr.) @ 10% on Apr 1, 2009	29,000
Drawings	17,400	Investment	17,400
Wages	40,020	Cash at Bank	20,300
Advertisement	31,900	Cash in Hand	1,450
Apprenticeship Premium	6,960	Stock as on Mar 31, 2010	40,600

Adjustments to be made for the current year are:

- Interest on capital to be allowed at 5% for the year.
- Interest on drawings to be charged to him as ascertained for the year Rs 464.
- Apprenticeship premium is for three years received in advance on Apr 1, 2009.
- Stock valued at Rs 17,400 destroyed by fire on Mar 26, 2010 but the insurance company admitted a claim of Rs 11,600 only to be paid in the year 2011.
- Rs 29,000 out of advertisement expenses are to be carried forward.
- The manager is entitled to a commission of 10% of the net profit calculated after charging such commission.
- The stock includes material worth Rs 5,800 for which bill had not been received and therefore, not yet accounted for

C.A. (Foundation)—Modified

Answer: Gross Profit: Rs 3,07,400

Net Profit: Rs 2,21,086

Total of Balance Sheet: Rs 6,46,410

Capital and Revenue – Expenditures and Receipts

LEARNING OBJECTIVES

At the end of the chapter, you will be able to understand

- | | |
|--|---|
| 1. What a Capital Expenditure Is | 7. Concepts of Capital and Revenue Receipts |
| 2. The Meaning and Features of Revenue Expenditure | 8. To Classify Transactions into Capital or Revenue Receipt |
| 3. Deferred Revenue Expenditure | 9. The Following Terms – Capitalised Expenditure, Capital Profit and Revenue Profit, Capital and Revenue Loss, Capital and Revenue Payments |
| 4. Some of the Revenue Expenditures to be Treated as Capital Expenditures | |
| 5. The Distinction Between Capital and Revenue Expenditures with Reasons | |
| 6. To Classify the Transactions into Capital and Revenue Expenditures with Reasons | |

OBJECTIVE 1: MEANING OF CAPITAL EXPENDITURE AND EXAMPLES

The amount spent either to acquire assets or to avail services or on day-to-day activities of a business enterprise is generally called as expenditure.

An expenditure may be said to be a capital expenditure if it fulfils any of the following characteristics:

- Purchase of permanent asset or fixed asset.
- That asset is for use in business and not for immediate resale.
- It should have an enduring benefit.
- Purchase may be for the improvement of the existing asset or additions or extension in order to increase the earning capacity of the business.

1.1 Examples

- (i) *All tangible fixed assets* such as plant and machinery, land, building, motor vehicles, equipments, furniture, fixtures and fittings, legal expenses, registration charges, delivery expenses of assets, installation expenses for erection of machinery and the like are a few examples that fall under this category.
- (ii) *Intangible assets* such as goodwill, patents, trademarks, copyrights and so on.
- (iii) *Investment* in shares and debentures of companies.
- (iv) *Cost of financing* like interest earned on advances to fixed assets till they are put into use.

In general, the benefit from such expenditure lasts long, usually for more than one or two accounting periods.

OBJECTIVE 2: MEANING AND FEATURES OF REVENUE EXPENDITURE

An expenditure may be said to be a revenue expenditure if it fulfils any of the following characteristics:

- Expenses relating to maintain fixed assets.
- Expenses occurring in normal day-to-day activities of business enterprises.
- To maintain productivity and earning capacity (and not to increase) of firms.

2.1 Examples

- (i) The *cost of materials* used in manufacture of goods for resale.
- (ii) All *establishment expenses* such as rent, rates, electricity (heat and light) and repairs to existing assets.
- (iii) *Administrative expenses* like salaries, wages, rent, insurance, printing, stationery, telephone, fax services and so on.
- (iv) *Selling and distribution expenses* like advertising, carriage outward, commission, traveling expenses and all sales promotion expenses.
- (v) *Non-operating expenses and losses* – financial costs – such as interest on loan, cash discount, loss by fire and so on.

In general, revenue expenditure yields benefit for the current accounting period only.

OBJECTIVE 3: DEFERRED REVENUE EXPENDITURE

Certain expenditures that are of revenue in nature basically, but the benefit derived by such expenditures may extend beyond the current accounting year, may be referred to as “deferred revenue expenditure.” Such expenses are carried forward to a few accounting periods till it yields benefit. The amount that is carried forward is to be treated as capital expenditure in the current accounting period whereas that portion of amount which is not carried forward is to be treated as revenue expenditure. For example, advertisement (large amount), research and development expenditure, prepaid expenses, formation of a company, expenses incurred for issue of shares, debentures and so on. To illustrate, a business entity spends Rs 5,00,000 for advertisement in the year 2009 and it is estimated that the benefit from that expenditure will spread for the next five years. Then the amount spent is divided by the number of years that it can expect the benefit i.e., $\text{Rs } 5,00,000 \div 5 \text{ years} = \text{Rs } 1,00,000$. This part Rs 1,00,000 is to be debited to Profit and Loss Account and the remaining part Rs 4,00,000 will be shown as an asset in the Balance Sheet. This is to be repeated every year till the entire amount is completely written off. This type of asset is called as fictitious asset, as it is not an asset in real accounting principles.

OBJECTIVE 4: REVENUE EXPENDITURE: TO BE TREATED AS CAPITAL EXPENDITURES

Some of the revenue expenditures may acquire the status of capital expenditures due to the nature of transactions that occur and are as follows:

1. Wages: In general, the item “wages” is treated as revenue expenditure, but under certain situations it is not to be treated as revenue. For example, wages paid to erect a new machine has to be added to the cost of that new machine, thereby treating it as a capital expenditure. Like that wages paid to workers associated with construction activities such as building factory, bridges and the like have to be added to the respective assets and they have to be treated as capital expenditure.

2. Transport: Cost of transport i.e., delivery of a machine (new or second hand) to the business premises is to be treated as capital expenditure.

3. Raw Materials and Stores: Consumed in the manufacture of fixed assets in construction business also have to be treated as capital expenditure.

4. Legal Expenses: Incurred are also a capital expenditure.

5. Repairs: Generally and in normal course they are of revenue nature. But when the second hand machinery is made operative for the first time, repair is a capital expenditure under such occasion.

6. Development Expenses: In certain area of operations, a lot has to be spent in order to bring them into productive stage. For example, all plantation units (coffee, tea, rubber) and mining. Such heavy expenses incurred heavily at the initial stage are to be treated as capital expenditures.

7. Interest on Capital: A capital expenditure.

Depending on the amount that was spent and the yield or benefit that we get from the amount spent is the basis for determining the type of expenditure whether it is capital or revenue.

OBJECTIVE 5: DISTINCTION BETWEEN CAPITAL EXPENDITURE AND REVENUE EXPENDITURE

Capital expenditure differs from revenue expenditure in the following aspects:

Differences between Capital Expenditure and Revenue Expenditure

<i>Basis of Distinction</i>	<i>Capital Expenditure</i>	<i>Revenue Expenditure</i>
1. Earning capacity	Capital expenditures add to the revenue earning capacity of a business	But these do not add the revenue earning capacity of enterprises
2. Nature of spending	Amount is spent to acquire a fixed asset	Amount is spent to maintain the working condition of fixed assets
3. Value addition	Value of an existing asset may get enhanced by way of capital expenditure	It is not so in this case
4. Nature of depiction	Capital expenditure is shown in Balance Sheet	Revenue expenditure is shown in Trading Account or Profit and Loss Account

Illustration: 1

Classify the following into capital and revenue expenditure by stating reasons for your classification:

- Rs 7,500 spent for additions to the existing machinery.
- Rs 5,000 incurred on transport cost in delivering a new machine to the business site.
- Rs 500 paid for wages to install that new machine.
- An old machine of book value Rs 15,000 (is of no more use) has become obsolete, removed at a cost of Rs 1,000 and its scrap realised at Rs 800.
- A second hand machine was purchased for Rs 9,000 and spent Rs 1,000 for repairs to make it usable immediately.

Solution

- Any additions made to an existing asset are to be treated as capital expenditure and such expenses would increase the earning capacity.

- (ii) *Capital expenditure.* Transport cost forms part of that fixed asset. Hence this cost has to be added to the respective fixed asset.
- (iii) *Capital expenditure.* Wages are paid to put the asset into use. Upto that point, any expenditure is of capital nature.
- (iv) An old machine of book value Rs 15,000 – Rs 800 (scrap value) with dismantled charges of Rs 1,000 is revenue expenditure.
The amount realised from the scrap is capital receipt.
- (v) *Capital expenditure.* Machinery purchased whether new or second hand is to be treated as capital expenditure. Amount spent for its repairs is also capital expenditure because any amount spent to make the fixed assets ready for use is of capital nature.

Illustration: 2

Classify the following into capital and revenue expenditure by stating reasons:

- (i) Employees State Insurance premium paid Rs 750.
- (ii) Cost of cleaning, leveling and ploughing to plant coffee plant.
- (iii) Premium paid for a lease Rs 5,000.
- (iv) Rs 4,000 spent on painting the factory.
- (v) Repair Rs 1,500 occurred due to the negligence of the foreman.
- (vi) Compensation paid on account of breach of contract to acquire raw material.
- (vii) A cine projector was replaced with a new one having the latest digital features for audio effect.
- (viii) Rs 25,000 was spent as lawyer's fee to defend a suit, but it was not successful.
- (ix) Insurance claim of Rs 7,500 received from an insurance company for loss of goods by fire for Rs 10,000.
- (x) Canal irrigation charges paid to the government.

Solution

- (i) It occurs on the ordinary course of business operation. It is a normal business expense. Hence it is revenue expenditure.
- (ii) This cost is incurred for making the land ready for use. Hence it is capital expenditure.
- (iii) Capital expenditure as leasehold property is a fixed asset.
- (iv) It is revenue expenditure since painting will not yield any additional revenue. It is done to maintain fixed assets.
- (v) *Revenue expenditure.* It will maintain the existing capacity and there will be no increase in revenue due to the amount spent on it.
- (vi) *Revenue expenditure.* It occurs in the ordinary course of business.
- (vii) *Capital expenditure.* It will attract more number of audiences which will result in an increase in the revenue earning.
- (viii) *Revenue expenditure.* Legal suits occur in the normal course of any business. It occurs for the upkeep of firm and the result of the suit is immaterial here.
- (ix) *Revenue expenditure.* Loss due to fire Rs 10,000 – Rs 7,500 = Rs 2,500 is revenue loss.
- (x) *Revenue expenditure.* It occurs for the upkeep of crops.

Illustration: 3

State with reasons whether the following transactions are capital or revenue expenditure.

- (i) Cost of pulling down an old building for raising a new one in its place.
- (ii) Rs 1,000 was spent to remove a worn out part and fix a new part.
- (iii) Rs 3,00,000 spent in advertisement, the benefit will spread over the next 5–6 years.

- (iv) Interest on a term loan for purchase of machinery.
 - (a) production has not yet begun,
 - (b) production has already begun.
- (v) Legal expenses incurred in
 - (a) raising a debenture loan,
 - (b) purchasing a land for business expansion,
 - (c) incurred in a Tax Tribunal.
- (vi) Heavy expenditure on research of a particular product to be introduced.

Solution

- (i) *Capital expenditure.* It will form part of cost of the new building, a fixed asset.
- (ii) *Revenue expenditure.* It is spent to maintain the fixed assets and it is in the normal course of business.
- (iii) *Deferred revenue expenditure.* Only a part has to be treated in Profit and Loss Account and the remaining part in the Balance Sheet as asset. This is repeated every year till it is completely written off.
- (iv) (a) Capital expenditure as the production has not yet begun and it is not put into use.
(b) Revenue expenditure since it was put into use and the production has already begun.
- (v) (a) Capital expenditure because the expenses related to secure capital for business. It may be classified as deferred revenue expenditure.
(b) Capital expenditure as expenses incurred relating to fixed asset.
(c) Revenue expenditure because the expenses are incurred in the normal course of business.

OBJECTIVE 6: CAPITAL AND REVENUE RECEIPTS

Contributions to a business enterprise made by a proprietor in the case of sole trader, partners in case of partnership firms, shareholders in case of joint stock company as the capital of the concerns are capital receipts. Loan from third parties, sale of any fixed assets of a business, funds raised by way of debentures are also capital receipts.

Incomes that arise due to the desired results of intense activities in a business enterprise are revenue receipts, such as sales revenue, commission and discount received, interest and dividend received, interest on investments and the like.

In practice, it is a difficult task to classify a receipt into capital or revenue. But the following generalised guidelines may be of much use to demarcate the nature of receipt whether it is capital or revenue.

6.1 Concepts of Capital and Revenue Receipts

- (i) The nature of receipt may be a deciding factor. It depends on the person who receives it.
- (ii) The nature of transaction facilitates the task of classification. For example, shares held as an investment – receipt on sale of such shares is capital receipt.
If they are held for (speculative purpose) trading, their receipt on such sale is “Revenue Receipt”.
- (iii) Nature and characteristic feature of assets themselves determine the category whether capital or revenue.
 - (a) Sale of fixed assets is a capital receipt.
 - (b) Sale of goods (inventories) is a revenue receipt.
- (iv) Receipt in lieu of source of income is a capital receipt. Compensation received due to inability caused by an accident in the factory is a capital receipt.
- (v) Any acquisition of assets by way of legislation and such receipts in the hands of the owners is capital receipt.
- (vi) Sale of agricultural land is a capital receipt but production value from agriculture land is a revenue receipt.

Illustration: 4

Classify the following into capital or revenue receipt:

- (i) Sale of shares by an investor held for an investment purpose.
- (ii) Dividends received by such investors.
- (iii) Sale of fixed assets (book value Rs 10,000) for Rs 12,000.
- (iv) Sale of old machine (book value of Rs 10,000) for Rs 8,000.
- (v) Sale of inventories Rs 12,500.
- (vi) Interest received on loan advanced to a business proprietor who in turn invested in purchase of fixed assets.

Solution

- (i) Capital receipt since it is a sale of fixed asset, and that too exclusively held as an investment.
- (ii) Dividends received are revenue receipt.
- (iii) Any receipt by way of sale of fixed assets is a capital receipt, but the difference (Sale – Book value) Rs 2,000 is treated as profit on sale and is to be transferred to Profit and Loss Account.
- (iv) Sale of an old machine – here a loss of Rs 2,000 is to be treated as revenue loss and has to be transferred to Profit and Loss Account, while the sale value of Rs 8,000 is a capital receipt.
- (v) Sale of inventories is a revenue receipt.
- (vi) Interest received on loan is a revenue receipt.

OBJECTIVE 7: MEANING OF CAPITALISED EXPENDITURE

Expenditures, which are incurred at times in the business enterprises, are added to the cost of assets, services provided for, or in the course of business activities. Such expenditures are termed as capitalised expenditures. For example, as already explained wages on installation of plant and machinery are not treated separately but included along with the cost of such assets and are treated as capital expenditure. Similarly in the formation of companies, initial expenses incurred are treated as capital expenditure. Also, the cost of issuing shares includes legal expenses and under-writing expense. This procedure of clubbing the cost along with its main component is called capitalisation of expenditure.

OBJECTIVE 8: CAPITAL PROFIT AND REVENUE PROFIT**8.1 Concepts of Capital Profit and Revenue Profit**

The profit that arises on the sale of fixed assets is called capital profit. When a fixed asset bought for Rs 2,00,000 is sold for Rs 3,00,000 the profit on sale of such fixed assets is capital profit.

Similarly when shares are sold at a higher price, such profit may also be termed as capital profit.

When shares are issued at premium, such premium is also a capital receipt.

Profits earned from sources other than fixed assets and which are earned in the normal course of business are called revenue profits.

Sale of goods costing Rs 50,000 for Rs 75,000, the difference Rs 25,000 is a revenue profit.

OBJECTIVE 9: CAPITAL AND REVENUE LOSSES

Losses incurred in the normal course of business may be treated as revenue losses. For example, loss of stock due to natural calamities like flood, fire, any type of accident, theft, misappropriation and so on.

Any loss which cannot be classified as revenue loss may be treated as capital loss.

9.1 Capital and Revenue Payments

Expenditure differs from payment. Expenditures represent the full amount actually incurred whether fully paid or partly paid or total amount yet outstanding while payments refer to the amount that has been paid actually.

A generator set is purchased for Rs 70,000, paying Rs 20,000 immediately and the balance amount Rs 50,000 on a later date. Rs 70,000 is a capital expenditure (the full amount of generator set) and Rs 20,000 is a capital payment (amount actually paid).

Similarly, if goods are purchased for Rs 12,000 by paying Rs 2,000 in cash immediately and Rs 10,000 on credit to be paid on a later date, Rs 12,000 is revenue expenditure and Rs 2,000 paid immediately is revenue payment.

To put it in nutshell:

- (i) Capital payment represents an amount actually paid on capital expenditure.
- (ii) Revenue payment represents an amount actually paid on revenue expenditure.

Summary

- Capital expenditure is an expenditure which fulfils any of the following characteristics: (i) purchase of fixed assets, (ii) that for use in business and not for immediate resale, (iii) it should have an enduring benefit and (iv) to improve the earning capacity of the business.
- Revenue expenditure is an expenditure which fulfils any of the following characteristics: (i) expenses for maintenance of fixed assets, (ii) to maintain productivity, (iii) to maintain earning capacity (not to increase) and (iv) normal day-to-day expenses.
- *Deferred revenue expenditure*: Expenditure that are of revenue in nature but the benefits derived due to them may extend for more than one accounting period. For example, heavy advertisement expenses, R & D expenditures and company formation expenses.
- Some of the revenue expenditures are to be treated as capital expenditure: wages paid to erect a machine, wages paid to workers engaged in construction activities, cost of delivery of a machine, raw materials and stores consumed in the manufacture of fixed assets, construction business, legal expenses, second hand machineries put into use and interest on capital.
- Classification of transactions into capital and revenue expenditure (refer Illustrations 1–3).
- *Capital and revenue receipts*: Classification depends on (i) the nature of receipt – the person who receives it, (2) the nature of transaction and (3) characteristic features of assets.
- Classification of capital or revenue receipt (refer Illustration 4).
- Capitalised expenditures are expenditures added to the cost of assets or services provided for.
- *Capital profits*: Profits on sale of fixed assets, shares sold at higher prices and shares issued at premium.
- *Revenue profits*: Profits earned in the normal course of the business are revenue profits.
- *Capital and revenue losses*: Losses occurred in the normal course of the business are revenue losses and losses that cannot be classified as revenue losses are to be treated as capital losses.

Key Terms

Capital Expenditure: Cost incurred to acquire permanent or fixed assets, the benefit from which is spread over several accounting periods. Such fixed assets are for use in business and not intended for resale.

Deferred Revenue Expenditures: Expenditures that are revenue in nature but the benefit from which is spread over many accounting periods.

Intangible Assets: Non-physical but highly valuable resources owned by business entities e.g., good-will, patents and copyrights.

Revenue Expenditure: Costs incurred on materials and services and on maintenance of fixed assets. They occur in normal course of business activities, the benefit from which is exhausted in that accounting year itself.

Capitalised Expenditure: Expenditure incurred on assets (e.g., installation, construction, increase in earning capacity) not written off against the revenue of the current year. Instead they are added to the cost of the asset.

References

- S.P. Jain and K.L.Narang, "Financial Accounting," "Compendium of Statements and Standards of Accounting," ICAI, New Delhi, 2004.

A Objective-type Questions

I. State whether the following statements are true or false

- Capital expenditure is money spent on purchase of fixed assets for immediate resale.
- Fixtures and fittings are intangible assets.
- Copyrights belong to intangible assets.
- Legal expenses incurred in connection with the purchase of property are revenue expenditures.
- Interest paid on a loan to purchase a fixed asset is also a capital expenditure.
- The direct benefit of revenue expenditure is usually exhausted in the accounting period itself.
- The cost of raw materials used in the manufacture of goods intended for resale is capital expenditure.
- All expenses incurred for upkeep of fixed assets are capital expenditure.
- Capital expenditure may result in enhancement of the value of an existing asset.
- Capital expenditure is transferred to trading and profit and loss account.
- The money spent on repairs of a second hand machine is capital expenditure.
- Prepaid expense is a capital expenditure.
- Preliminary expenses incurred on the formation of a limited company are deferred revenue expenditure.
- Any contributions to the capital of the business are capital receipts.
- Sale of inventories is a capital receipt.

Answers

- | | | |
|-----------|----------|-----------|
| 1. False | 2. False | 3. True |
| 4. False | 5. True | 6. True |
| 7. False | 8. False | 9. True |
| 10. False | 11. True | 12. False |
| 13. True | 14. True | 15. False |

II. Fill in the blanks with appropriate word(s)

- Expenditures which results in the acquisition of a permanent asset is a _____ expenditure.
- Amounts written off from the cost of fixed assets is _____ expenditure.
- Wages paid for the erection of machinery is a _____ expenditure.
- Amount spent on acquiring goodwill is a _____ expenditure.
- Amount spent to put second hand machinery in working condition is a _____ expenditure.
- Amount spent for replacement of part of a machine is _____ expenditure.
- Expenses incurred on whitewashing the factory premises at regular intervals are _____ expenditure.
- Heavy advertising to introduce a new product is _____.
- Travelling expenses of Rs 30,000 paid to a technician for the erection of a new machine is _____ expenditure.
- Expenses incurred on consultancy service are _____ expenditure.
- Wages paid to workers for manufacturing a part of its plant are _____ expenditure.
- Temporary shed put up in the factory premises to store finished product is _____ expenditure.
- Gain on sale of fixed assets is treated as _____.
- Assets minus liabilities is equal to _____.
- Any expenditure incurred to reap benefit for a few accounting periods in future is called _____ expenditure.

Answers

- | | |
|----------------------|---------------------|
| 1. capital | 2. revenue |
| 3. capital | 4. capital |
| 5. capital | 6. revenue |
| 7. revenue | 8. deferred revenue |
| 9. capital | expenditure |
| 10. deferred revenue | 11. capital |
| expenditure | 12. capital |
| 13. revenue receipt | 14. capital |
| 15. deferred revenue | |
| expenditure. | |

B Short Answer-type Questions

1. What do you mean by capital expenditure?
2. Mention the four categories of capital expenditure.
3. What is meant by revenue expenditure?
4. Give four examples of revenue expenditure.
5. Mention any two types of revenue expenditures which become capital expenditure depending on the nature of transaction.
6. What is capitalised expenditure?
7. Briefly explain capital profit and revenue profit.
8. Briefly explain capital loss and revenue loss.
9. What is meant by capital payment and revenue payment?

C Essay-type Questions

1. What is capital expenditure? Explain with examples. What is revenue expenditure? Explain with examples. Distinguish between capital expenditure and revenue expenditure.
2. Explain with suitable examples of various types of revenue expenditures which will become capital expenditures depending upon the nature of transactions.
3. What is meant by deferred revenue expenditure? Discuss its salient features with suitable examples.
4. How will you determine whether a receipt is capital or revenue with suitable illustrations?

D Exercises

1. How would you classify the following? State reasons, if necessary.
 - (a) Freight and cartage on the new machine Rs 700.
 - (b) Erection charges of machine Rs 1,300.
 - (c) A sum of Rs 2,000 was spent on painting the factory.
 - (d) Fixtures of the book value of Rs 2,200 were sold off at Rs 1,600.
 - (e) New fixtures of the value of Rs 3,000 were acquired, cartage on purchase Rs 300.

Answers

- (a) Capital expenditure
- (b) Capital expenditure
- (c) Revenue expenditure
- (d) Loss: Rs 2,200 – 1,600: Rs 600 – revenue expenditure
- (e) Rs 3,000 + 300 – capital expenditure.

2. How would you classify the following?
 - (a) Overhauling expenses of Rs 30,000 for the engine of a motor car to get better fuel efficiency.
 - (b) Inauguration expenses of Rs 1,50,000 incurred on the opening of a new production unit in the existing business.
 - (c) Compensation of Rs 1 crore paid to workers who opted for voluntary retirement.

Answers

- (a) Capital expenditure
- (b) Revenue expenditure
- (c) Revenue expenditure

3. Classify the following:
 - (a) Rs 3,250 spent on repairs on a second hand machine purchased recently to put it in usable and working condition.
 - (b) Plant and machinery which stood in the books at Rs 30,000 included a machine at a book value of Rs 1,000. This being obsolete was sold off at Rs 400 and was replaced by a new machine costing Rs 2,000.

- (c) Wages Rs 6,000 paid to non-technical staff of a factory.
- (d) A sum of Rs 7,50,000 was spent on research and development which resulted in the introduction of modified product.
- (e) A sum of Rs 7,000 was spent on dismantling, removing and installing new fixtures in the factory.

Answers

- (a) Capital expenditure
 - (b) Capital expenditure
 - (c) Capital expenditure
 - (d) Deferred revenue expenditure
 - (e) Capital expenditure
4. Classify the following transactions:
- (a) Imported goods worth Rs 5,00,000 confiscated by customs authorities for not complying with statutory provision.
 - (b) Expenditure incurred on the technical staff for providing a short-term course in Germany Rs 2,00,000.
 - (c) Replacement of an ordinary tempo with closed and refrigerated facilities.
 - (d) Heavy legal expenses incurred to get a clear title for the factory land purchased.

Answers

- (a) Revenue expenditure
 - (b) Capital expenditure
 - (c) Capital expenditure
 - (d) Revenue expenditure
5. How would you classify the following?
- (a) Cost of acquisition of a copyright.
 - (b) Compensation received from Civil Aviation Authority for compulsory acquisition of land for expansion of airport.
 - (c) Rs 5,000 received from parents and grandparents as gift on wedding day which occurs every year.
 - (d) Cost of designing a new product which could not be marketed.

Answers

- (a) Capital expenditure
 - (b) Capital receipt
 - (c) Capital receipt
 - (d) Deferred revenue expenditure.
6. How would you classify the following?
- (a) Cost of alteration of factory building in accordance with the latest guidelines issued by the government.
 - (b) Amount received from son staying abroad.
 - (c) Premium given for a lease.
 - (d) Rs 7,500 paid as import duty on raw materials purchased.
 - (e) Rs 17,000 paid as customs duty on import of a machine.

Answers

- (a) Revenue expenditure
 - (b) Capital Receipt
 - (c) Capital
 - (d) Revenue expenditure
 - (e) Capital expenditure
7. Classify the following.
- (a) Contribution to Municipal Corporation for road development.
 - (b) Workmen compensation paid for terminating an employee.
 - (c) Commission on issue of debentures.
 - (d) Travelling expenses of a director for going to Korea to purchase a new machinery.

Answers

- (a) Revenue expenditure
- (b) Revenue expenditure
- (c) Capital expenditure
- (d) Capital expenditure

8. Classify the following transactions.

- (a) Carriage inward and freight for bringing the fixtures to the factory premise.
- (b) Accrued interest on investment.
- (c) Rs 7,000 interest accrued on loan obtained to purchase a new machinery.
- (d) The cost of removing a machinery from an old factory to the new amounted to Rs 5,000.

Answers

- (a) Capital expenditure
- (b) Revenue expenditure
- (c) Capital expenditure
- (d) Revenue expenditure

Accounting for Not-for-profit Organisations

LEARNING OBJECTIVES

After studying this chapter, you will be able to

1. Understand the Meaning and the Salient Features of Not-for-Profit Organisations (NPO)
2. Understand the Meaning and Features of Receipts and Payments Account
3. Prepare Receipts and Payments Account
4. Understand the Meaning and Main Features of Income and Expenditure Account
5. Distinguish Between a Receipt and Payments Account and an Income and Expenditure Account
6. Understand the Accounting Treatment of Special Items in the Preparation of Income and Expenditure Account
7. Prepare Income and Expenditure Account from the Given Receipts and Payments Account
8. Prepare Opening Balance Sheet and Closing Balance Sheet from the Given Receipts and Payments Account and Income and Expenditure Account
9. Prepare Receipts and Payments Account from a Given Income and Expenditure Account with Additional Information and Balance Sheet
10. Prepare Receipts and Expenditure Account for Professionals.

INTRODUCTION

The very name of the chapter may raise eyebrows, as they are captioned as “Not-for-Profit,” then what is the necessity of preparation for final accounts for such organisations. The main motive of any organisations (business) is to earn profit. Such profit or loss has to be ascertained by proper accounting procedure. But here, we have to prepare financial statements, even though their motive is not to earn profit. These NPOs are mainly voluntary in nature. Their motive is to promote art, culture, education, health and other social activities among humanity. Some types of recreation clubs, sports club and professional associations also belong to this category. These organisations get funds from others and fees from its members. They too have to maintain proper records of accounts. Even though profit may not be the motive, they have to get some surplus money (excess of income over expenditure) to promote their activities consistently. But here, a different set of records has to be maintained. The preparation of final accounts differs from other trading concerns. A proper and different accounting system has to be maintained in order to avoid misuse of money obtained from its members, other institutions and public. The main constituents of final accounts of NPOs

are Receipts and Payments Account, Income and Expenditure Account and Balance Sheet. Special features of these accounts and their preparation are discussed in detail in this chapter.

OBJECTIVE 1: MEANING AND SALIENT FEATURES OF NPOs

Entities that are formed to promote any useful activities or to render any service to humanity are usually termed as NPO.

Examples: Charitable institutions (health, education, etc.), social service slubs, games clubs, religious institutions and professional associations (Medical Council, Bar Council and so on).

1.1 Salient Features of NPOs

- (i) The basic motives:
 - (a) To promote services to mankind
 - (b) Financial gain (making profit) should not be the main objective in forming such entities.
- (ii) The sole aim of NPOs is to render different kinds of services relating to health, education, sports and games and recreation, targeting at a segment in the society.
- (iii) Profit-making is not the aim of such organisations.
- (iv) Source of income for such organisations is mainly from the members of such entities by way of entrance fees, subscriptions, donations and so on.
- (v) There is prohibition to declare any dividend to such of their members.
- (vi) Their membership (ownership) can neither be transferred nor be sold to others.
- (vii) These organisations, generally, cannot do trading activities.
- (viii) Income should be mainly spent for promoting or rendering services only.

OBJECTIVE 2: MEANING AND FEATURES OF RECEIPTS AND PAYMENTS ACCOUNT

One may ask, if profit-making is not the main motive of these organisations then what is the necessity of preparing final accounts. In order to ascertain the members, the donors and the society, it is necessary to prepare final accounts, in particular, about their activities. Misuse or non-utilisation of income can be detected only by keeping proper accounting procedure. Proper accounting facilitates the task of further growth of such entities. So it has become a necessity to prepare such accounts. More or less the same accounting system is adopted as in the case of profit-making entities. The final accounts of a NPO consists of the following three parts:

- (i) Receipts and Payments Account
- (ii) Income and Expenditure Account
- (iii) Balance Sheet

2.1 Receipts and Payments Account

“The Receipts and Payments Account” is a summary of cash and bank transactions of a NPO for a specified accounting period.

2.2 Features of Receipts and Payments Account

- (i) It is a real account.
- (ii) It shows a classified summary of cash receipts and cash payment. (It is similar in format to cash Book without discount and bank columns).
- (iii) It begins with the opening balances of cash and bank.
- (iv) It ends with the closing balances of cash and bank.
- (v) In between these two, all transactions (receipts and payments) are recorded.
- (vi) On debit side, all receipts (whether capital or revenue, cash or bank) are to be recorded one after another, chronologically.
- (vii) On credit side, all payments are to be recorded one after one.

- (viii) All transactions whether it relates to past, present or future have to be recorded if it takes place now, i.e. only actual receipts and payments (cash and bank) are to be recorded.
- (ix) As already noted, no distinction has to be made between capital and Revenue (nature transactions) receipts and payments.
- (x) To put it in a nutshell, this account merely summarises the actual cash and bank transactions (receipts and payments) that took place during the specific period (accounting period).
- (xi) Accrued incomes and unpaid expenditures do not find place in this account.
- (xii) Non-cash items are not recorded.
- (xiii) The end result of this account will reveal only cash/bank balance and nothing beyond that. It shows only the actual cash/bank transactions that took place in the accounting period.
- (xiv) The preparation of receipts and payments Account will only reveal the following: Opening (position of) Cash/Bank Balances and Closing (position of) Cash/Bank Balances, various receipts (income) during the accounting period and money spent on various items (payments).
- (xv) No end results can be obtained from this account.

Model Category, Model Number and Illustration Numbers

Model No.	Model: Category Wise – Caption	Illustration No.
1	Preparation of Receipts and Payments Account from bare facts	1
1A	Preparation of Income and Expenditure Account: treatment of accounting methods for individual items	2–13
2	Preparation of Income and Expenditure Account from a given Receipts and Payments Account	14, 16–19
3	Preparation of Income and Expenditure Account from a given Receipts and Payments Account with additional information and Balance Sheet	14, 16–19
3A	Bank reconciliation adjustments	20
4	Preparation of Income and Expenditure Account and a Balance Sheet from a Trial Balance	21
5	Preparation of Balance Sheets	15, 15A
6	Preparation of Receipts and Payments Account from a given Income and Expenditure Account with additional information and Balance Sheet	22–26
7	Preparation of Restaurant/Bar Trading Account	27
8	Correction of wrong statements	28
9	Preparation of Receipts and Expenditure Account for professionals – individuals	29, 30
10	Preparation of Receipts and Expenditure Account for professional concerns – Partnership Firms	31, 32

OBJECTIVE 3: PREPARATION OF RECEIPTS AND PAYMENTS ACCOUNT

Step 1: Format is drawn first.

Step 2: Opening balances of Cash in Hand and Cash at Bank should be entered on the debit side (receipts).

Step 3: If in the beginning of the accounting period any Bank Overdraft, the same should be entered on the credit (payments) side (and not in the debit side).

Step 4: All receipts (Cash and Bank), (Capital and Revenue), (relating to past, present or future) are to be recorded one after one on the debit side (Receipt Column).

Step 5: All payments in cash/cheque (Capital/Revenue), (relating to past, present or future) have to be recorded in the credit side (Payments) one after one.

Step 6: After ascertaining that all transactions are recorded, the total of the debit side (Receipts) and the total of the credit side (Payments) should have to be carried out.

Step 7: Note the difference. That should be entered as last item on the (Payments) credit side as the closing balance (Cash/Bank).

Step 8: There is always debit balance in the Cash Balance. But there may be credit balance in Bank Balance.

Important Note

- Now cash items (like depreciation) should not be entered.
- Outstanding income and expense should not be entered.
- Only actual cash receipts/payments have to be taken into account.

Format

Receipts and Payments Account of for the year ending

Receipts	Rs	Payments	Rs
Balance b/d (Opening, i.e. at the beginning of the year)		Balance b/d (Bank Overdraft at the beginning of the year)	
Cash in Hand		Building Construction	
Cash at Bank		Equipment Purchases	
Sale of Fixed Assets		Investments	
Donations		Fixed Assets	
Entrance Fees		Govt Loan	
Membership Fees		Books Purchased	
Endowment Fund Receipt		Newspapers and Periodicals	
Interest on Endowment Fund		Printing	
Govt Grants		Stationery	
Specific Fund Receipts		Postages, Fax and Phone	
Subscriptions		Repairs	
Proceeds from Entertainments		Rent, Rates and Insurance	
Sale of Old Newspapers		Salaries and Honorarium	
Miscellaneous Receipts		Electricity	
Rent Received		Taxes	
(any other receipts)		Gardening	
Balance c/d		Play Ground Maintenance	
(Bank Overdraft at the end of the year)		Advertisement	
		Audit Fees	
		Charities	
		Drawings	
		Any other payments	
		Bank Overdraft (Adjustment)	
		Balance c/d	
		(Closing balance at the end of the year)	
		Cash in Hand	
		Cash at Bank	
	—		—

Important Note

- Balance c/d usually will be the balancing figure
- Closing balance, if it is Cash in Hand is shown on payments side (Credit side)
- Closing balance, if it is Bank Overdraft, is shown on receipts side (Debit side) of Receipts and Payments Account.

Model 1**Illustration: 1**

From the following information, prepare Receipts and Payments Account of Rajasekaran Club, Delhi for the year ending on Dec 31, 2008:

	Rs
Cash as on Jan 1, 2008	2,500
Subscription received (including Rs 100 for 2007 and Rs 200 for 2009)	4,700
Upkeep of Fields	450
Admission Fees	100
Salaries	1,000
Drama Expenses	750
Life Membership Subscription	1,000
Newspapers Purchased	200
Books Purchased	500
Donations Received (Aug 1, 2008)	4,000
Subscription for Tournament received on Aug 1, 2008	3,000
Municipal Taxes	500
Charity Given	500
Sale of Old Newspapers	50
Sale of Old Bats	100
12% General Investments made on Aug 1, 2008	3,000
Tournament Expenses	2,000
Sale of Old Furniture (cost Rs 2,000)	500
Bats and Balls Purchased	1,000
Proceeds of Drama Tickets	2,500
Interest on 12% General Investment received	150
12% Tournament Fund Investments (on Aug 1, 2008)	6,000
Interest on 12% Tournament Fund and Investment received	300
Printing and Stationery	350
Furniture	2,000
Subscription received for Governor's party	7,500
Depreciation: (Furniture)	200
(Books)	50

Solution

Keep in mind, the procedure explained in preparation of Receipts and Payments Account and enter the items accordingly.

**Receipts and Payments Account of Rajasekaran Club
for the year ending on Dec 31, 2008**

Dr.			Cr.
Receipts	Rs	Payments	Rs
To Balance b/d: Cash	2,500	By Upkeep of Fields	450
To Subscription	4,700	By Salaries	1,000
To Admission Fees	100	By Drama Expenses	750
To Life Membership Fee	1,000	By Newspapers	200
To Donations	4,000	By Books	500
To Subscriptions for Tournament	3,000	By Municipal Taxes	500
To Sale of Newspapers	50	By Charity	500
To Sale of Old balls, etc.	100	By 12% General Investment	3,000
To Proceeds of Drama Tickets	2,500	By 12% Tournament Fund Investment	6,000
To Sale of Old Furniture (cost Rs 2,000)	500	By Tournament Expenses	2,000
To Interest on 12% General Investments	150	By Balls, Bat, etc.	1,000
To Interest on 12% Tournament Fund	300	By Printing and Stationery	350
To Subscriptions for Governor's party	7,500	By Furniture	2,000
		By Balance c/d (Cash)	8,150
	<u>26,400</u>		<u>26,400</u>

Important Notes

- Find whether the transactions (item) relate to Receipt (Income) or Payment (Expense) and transfer them accordingly to Receipt or Payment side, irrespective of the nature whether or Capital.
- Non-cash items: depreciation should not be entered in this account.
- It records all receipts and payments whether they pertain to this accounting period or not, if it is received this year then it has to be recorded.
- In this case, receipts exceed payments and as such the difference amount is recorded as Balance c/d on payments side.
- If Payments exceed Receipts then the difference amount has to be recorded as Bank Overdraft on the receipt side.

OBJECTIVE 4: MEANING AND MAIN FEATURES OF INCOME AND EXPENDITURE ACCOUNT**4.1 Meaning**

An Income and Expenditure Account is the (Final Account) Profit and Loss Account of NPOs. It is a nominal account that shows the classified summary of revenue incomes, revenue expenses and losses for the current accounting period, along with the (net result) balance of this account – surplus or deficit is to be transferred to the Balance Sheet.

4.2 Main Features of Income and Expenditure Account

- It is a Nominal Account.
- Items of income are recorded on the credit side (Income) of this account.
- Items of expenses are recorded on the debit side (Expenditure) of this account.

- (iv) It records only those incomes, expenses, profits and losses which are of revenue nature only. Capital receipts and capital expenditures are to be completely excluded.
- (v) It records only those incomes, expenses, profits and losses which pertain to current accounting period. That means, all transactions relating to previous accounting period and future accounting period are never recorded in this account.
- (vi) It is prepared on an accrual basis:
 - (a) Any income which is due (to be received, not yet received in cash) but not received (accrued) has to be credited to Income and Expenditure Account. Further it has to be recorded on the Assets side of the current year's Balance Sheet.
 - (b) If any income is received in advance, such income has to be deducted from the total income received. Further it has to be recorded on the Liabilities side of the current year's Balance Sheet.
 - (c) Outstanding expenditures, expenses due but actually not paid till the end of the accounting period, have to be debited to Income and Expenditure Account. Further it has to be recorded on the Liabilities side of the current year's Balance Sheet.
 - (d) Expenditure made in advance (i.e., expenses pertaining to next accounting year) has to be deducted from such total expenditures. Further it has to be recorded on the assets side of the current year's Balance Sheet.
- 7. Non-cash (items) expenditures have to be entered on the debit side of income and expenditure account. (Depreciation, bad debts, incomes written off.)
- 8. Its balance at the end represents either Net Surplus (credit side total exceeds the debit side total – excess of income over expenditure) or Net Deficit (debit side total exceeds the credit side total – excess of expenditure over income). This has to be transferred to the Capital Fund in the Balance Sheet.
Surplus is to be added to the Capital Fund.
Deficit has to be deducted from the Capital Fund in the Balance Sheet.
- 9. This account is normally accompanied with Balance Sheet.
- 10. To put it in a nutshell, Income and Expenditure Account is very similar to Profit and Loss Account. So the basic principles in preparing income and expenditure are same as that of Profit and Loss Account.

Important Note

Even though transactions relating to capital receipts and expenditures are not included in this account, it is very important to note that profit or loss on sale of fixed assets is to be recorded. Such profit is to be recorded on the credit side and any such loss has to be recorded on the debit side of Income and Expenditure Account.

Pro forma or Format of Income and Expenditure Account for the Year ending on.....

Expenditure	Rs	Income	Rs
To Salary and Wages Paid		By Subscription Received	
Add: Outstanding at the End		Add: Outstanding at the End	
Less: Outstanding in the Beginning	—	Add: Advance in the Beginning	
Add: Advance Paid in Previous Year	—	Less: Outstanding in the Beginning	
Less: Pre-paid in the End	—	Less: Advance at the End	
		By Entrance Fees(only revenue portion)	

(Continued)

(Continued)

Expenditure	Rs	Income	Rs
To Rent, Rates and Taxes		By General Donations	
To Insurance Premium		By Life Membership Fees (only revenue portion)	
To Depreciation		By Profit on Sale of Assets (Sale – Book Value)	
To Books and Periodicals		By Receipts from Specific Items (after adjustments)	
To Audit Fees		(Receipts – Expenses)	
To Expenses on Consumable Materials		By Net Income on Specific Items	
<i>Example: Stationery</i>		By Profit on Sale of Provisions (Sale + Closing Stock Purchases – Opening Stock)	
Opening Stock		By Profit on Sale of Equipment	
<i>Add: Purchases during the year</i>		(Receipts – Expenses)	
<i>Add: Advance Payments made last year</i>		By Rent	
<i>Add: Creditors for Stationery at the end of the year</i>		By Dividend and Interest	
<i>Less: Creditors for Stationery in the beginning of the year</i>		By Sundry Receipts	
<i>Less: Advance Payment in the current year</i>			
<i>Less: Stock at the end</i>			
Value of Stationery			
To Loss on Sale of Assets (Book Value – Sale)			
To Expenses for Specific Purposes			
To Electricity and Water			
To Conveyance and Traveling			
To Sundry Expenses			
To Bank Charges			
To Postage and Telegram			
E-mail charges, etc.			
To Honorarium			
To Surplus (excess of income over expenditure)		By Deficit (excess of expenditure over income)	—

A Balance Sheet is to be accompanied after the preparation of Income and Expenditure Account.

Balance Sheet of NPOs is prepared as follows:

- (i) As usual, assets are to be recorded on the right-hand side (Credit side) and Liabilities are to be recorded on the left-hand side (Debit side).
- (ii) Instead of Capital, “Capital Fund” finds a place on the Liabilities side of the Balance Sheet.
- (iii) The value of “Capital Fund” is to be calculated at the beginning of accounting period by deducting the opening balance of liabilities from the opening balance of assets. Then “Surplus” is added to it or “Deficit” is deducted from it, i.e. Net Balance of Income and Expenditure Account.
- (iv) Capitalised income will have to be entered one after one on the Liabilities side of the Balance Sheet.
- (v) Other specific funds have to be recorded.
- (vi) Income received in advance to be entered on the Liabilities side.
- (vii) Outstanding Expenses after adjustments and Bank Overdraft have to be recorded.

On assets side, the following have to be recorded:

- (i) Assets (after adjustments)
- (ii) Stock of Consumable Materials (after adjustments)
- (iii) Outstanding Income
- (iv) Pre-paid Expenses
- (v) Closing Balance of Cash in Hand and Cash at Bank

Pro forma or Format of Balance Sheet as on.....

Liabilities	Rs	Assets	Rs
1. Capital Fund <i>Add:</i> Surplus (or) <i>Less:</i> Deficit		1. Assets Balance <i>Add:</i> Purchases <i>Less:</i> Sold (Book Value)	
2. Capitalised Income (i) Entrance Fees (ii) Life Membership Fees (iii) Legacies, etc.		2. Stock of Consumable materials Last Balance <i>Add:</i> Purchases <i>Less:</i> Value consumed (or)	
3. Specific (or) Special Fund Balance <i>Add:</i> Receipts during the year <i>Add:</i> Any income earned on it <i>Less:</i> Expenses incurred on this specific fund		Closing Balance as given in question 3. Outstanding Incomes	
4. Creditors (for purchase of supplies)		4. Pre-paid Expenses (at the end of the year)	
5. Outstanding Expenses Balance <i>Add:</i> Outstanding at the end <i>Less:</i> Paid during the year		5. Closing Balance (i) Cash in Hand (ii) Cash at Bank	
6. Bank Overdraft			
7. Income received in advance (at the end of the year)			
	— xxx		— xxx

OBJECTIVE 5: DISTINCTION BETWEEN RECEIPTS AND PAYMENTS ACCOUNT AND INCOME AND EXPENDITURE ACCOUNT

	Basis of Distinction	Receipts and Payment Account	Income and Expenditure Account
1.	Nature of Account	It is a Real Account	It is a Nominal Account
2.	Object	It is prepared to present a summary of cash transactions during an accounting period	It is prepared to ascertain the net results (surplus or deficit) of all the transactions during an accounting period

(Continued)

(Continued)

	Basis of Distinction	Receipts and Payment Account	Income and Expenditure Account
3.	Opening Balance	Opening Balance represents cash or bank balances (including Bank Overdraft) in the beginning of the accounting period	It has no opening balance
4.	Structure	It is a summarised Cash Book	It is like a Profit and Loss Account
5.	Items of Debit side	It is debited with all the sums received	It is debited with the expenses and losses
6.	Items of Credit side	It is credited with all the sums paid out	It is credited with the incomes
7.	Non-cash items	Non-cash items (depreciation, bad debts) are not shown in the account	Non-cash items are shown in this account
8.	Period	It records all the receipts and payments whether they relate to previous year, current year or next year	It records only those incomes and expenses which relate to current accounting period only
9.	Closing Balance	Closing Balance represent cash or bank balance (Bank Overdraft in certain cases) at the end of the accounting period	Its closing balance represents either Net Surplus or Net Deficit
10.	Nature of items	It records all items (receipts and payments) whether they are of capital nature or revenue nature	It records the incomes, expenditure and losses of revenue nature only
11.	Balance Sheet	No necessity arises to prepare Balance Sheet	Balance Sheet must be prepared and has to be accompanied along with this account

OBJECTIVE 6: ACCOUNTING TREATMENT OF SOME SPECIAL ITEMS

6.1 Subscription

6.1.1 Meaning

- This is the amount paid by the members of such organisation to maintain their membership.
- Subscriptions may be paid on a yearly basis, periodically.
- It may be paid as a lump sum also. If it is paid so, it is termed as Life Membership Subscription.
- “Subscription” is the vital and major source of income for any NPO.

6.1.2 Accounting Treatment

Category I: Periodical (yearly) subscriptions.

- This category of subsection is treated as “Revenue Receipts” in total.
- As it is entirely treated as revenue income, it is credited entirely in the Income and Expenditure Account, under the head “By Subscription.”
- Since accrual basis of accounting is used, subscriptions related to the current accounting period alone must be treated as revenue income of that period.
- Adjustments have to be made to arrive at the subscription income for the current accounting period by using the following format.

Format: Computation of Subscription Income for the Current Accounting Period

Particulars	Rs	Rs
Subscriptions received during the current year		
<i>Add:</i>		
(i) Advance subscriptions in the beginning of the year (or at the end of last year)	—	—
(ii) Outstanding subscriptions at the end of the current year	—	—
<i>Less:</i>		
(i) Outstanding subscriptions in the beginning of current year	—	—
(ii) Advance subscriptions at the end of current year	—	—
		xx

The subscription so arrived has to be credited to Income and Expenditure Account. The same may be computed in the Account Form, by preparing a Subscription Account as follows:

Subscription Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Outstanding Subscription A/c (outstanding subscription in the beginning of the year)	—	By Advance Subscription A/c (advance subscription in the beginning)	—
To advance subscription A/c (advance subscription at the end of the year)	—	By Bank A/c. (total subscription received during the year)	—
To Income and Expenditure A/c (balancing figure)	—	By Outstanding Subscription A/c (outstanding subscription at the end of the year)	—
	xx		xx

Illustration: 2

Compute the income from subscription for the year 2008 from the following particulars.

Subscription received during the year 2008 is Rs 2,18,700

	Jan 1, 2008	Dec 31, 2008
	Rs	Rs
Outstanding Subscriptions	12,700	9,300
Advance Subscriptions	4,400	8,600

Solution

The income from Subscription may be computed in any of the following two methods.

Method I: Statement Form

Step 1: Draw the format

Step 2: Subscriptions received during the accounting period, i.e. 2008, has to be recorded. (This is the basic figure.)

Step 3: Since it is on an accrual basis, only those incomes which relate to current accounting period (i.e., 2008) have to be computed first and then credited to Income and Expenditure Account. For this, the following steps have to be followed.

Step 4: Outstanding subscription at the end of the year (i.e., Dec 31, 2008) has to be added to the basic figure, even if it is not actually received yet.

Step 5: Advance subscription received in the beginning of the year, i.e. Jan 1, 2008 (it may also be termed as on the end of the previous year, i.e. Dec 31, 2007), has to be added to the basic figure.

Step 6: Similarly, outstanding subscription in the beginning of the year, i.e. Jan 1, 2008, is not related to this year 2008. So that amount has to be deducted.

Step 7: Advance subscription at the end of the year (i.e., Dec 31, 2008) has to be deducted as that amount actually belongs to next year, i.e. 2009.

Step 8: Net amount arrived after these adjustments is the subscription income for the year 2008.

Step 9: Only this net figure has to be transferred and credited to Income and Expenditure Account for income from "Subscriptions."

Note: If the income is related to this year (i.e., 2008), it has to be included in this year irrespective of the year in which it is received. Similarly, if it does not relate to this year, even if it is received this year, it has to be deducted. Incomes pertaining to this accounting period alone have to be taken into account after making the above adjustments.

Computation of Subscription Income

Particulars	Rs	Rs
Subscriptions received during 2008		2,18,700
Add: (i) Outstanding Subscription as on Dec 31, 2008	9,300	
(ii) Advance Subsections as on Jan 1, 2008	<u>4,400</u>	<u>13,700</u>
		2,32,400
Less: (i) Outstanding Subscription as Jan 1, 2008	12,700	
(ii) Advance Subscription as on Dec 31, 2008	<u>8,600</u>	<u>21,300</u>
Subscription Income for the year 2008		2,11,100
(to be credited to Income and Expenditure Account)		

Method II

The same may be computed by preparing a subscription account as follows:

- (i) Format is drawn
- (ii) Figures are entered accordingly.
- (iii) Balancing figure is the subscription income to be transferred to Income and Expenditure Account.

Subscription Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Outstanding Subscription A/c. (in the beginning)	12,700	By Advance Subscription (in the beginning)	4,400

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Advance Subscription A/c (at the end)	8,600	By Bank A/c. (received during 2008)	2,18,700
To Income and Expenditure A/c (balancing figure)	2,11,100	By Outstanding Subscription A/c. (at the end)	9,300
	<u>2,32,400</u>		<u>2,32,400</u>

Note: For students convenience, to arrive at the balancing figure, that Income and Expenditure Account is entered as a last item but according to strict accounting principles it is not so.

Illustration: 3

Prepare the subscription amount from the following items for the year ending on Mar 31, 2008.

- Subscription in arrears on Mar 31, 2007: Rs 500
- Subscription received in advance from Mar 31, 2007: Rs 1,100
- Total subscription received during 2007–2008 (including Rs 400 for 2006–2007, Rs 900 for 2008–2009 and Rs 300 for 2009–2010): Rs 35,400
- Subscription outstanding for 2007–2008: Rs 400

Solution

Step 1: Accounting year has to be clearly written first. Here 2007–2008 is the accounting period.

Step 2: If subscription in arrears for a period other than the accounting period is given, an adjustment has to be made as follows:

In this problem,

Subscription in arrears as on Mar 31, 2007 is given as Rs 500

Total Subscription received: Note that including Rs 400 for 2006–2007 is given.

So net outstanding subscription has to be computed and that amount alone has to be shown in “Outstanding Subscription” for the year 2006–2007 in Subscription Account.

Here it is Rs 100/- i.e. (Outstanding – Received) for 2006–2007

(Rs 500 – Rs 400) = Rs 100

Step 3: Format is drawn and the particulars are transferred to Subscription Account as follows:

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Outstanding Subscription A/c	500	By Advance Subscription A/c	1,100
To Advance Subscription A/c		By Bank A/c	35,400
For 2008–2009 900		By Outstanding Subscription A/c	
For 2009–2010 300	1,200	For 2006–2007 100	
To Income and Expenditure A/c	35,300	For 2007–2008 400	500
(balancing figure)			
	<u>37,000</u>		<u>37,000</u>

Step 4: Rs 35,300 has to be transferred and credited to Income and Expenditure Account under the head “Subscription.”

Illustration: 4

From the following extracts of Receipts and Payments Account and additional information you are required to calculate the income from subscriptions for the year ending Dec 31, 2008 and show them in the Income and Expenditure Account and the Balance Sheet of a recreation club in Delhi.

Extract of Receipts and Payments Accounts for the Year Ended Dec 31, 2008

<i>Dr.</i>			<i>Cr.</i>
Receipts	Rs	Payments	Rs
To Subscription			
2007: 5,000			
2008: 30,000			
2009: 6,000	41,000		

Additional information

- Subscription outstanding on Dec 31, 2007 – Rs 6000
- Subscriptions outstanding on Dec 31, 2008 – Rs 5,000
- Subscriptions received in advance on Dec 31, 2007 – Rs 6,000

Solution

- Study the problem
- Receipt and Payment A/c. extract is given
- Further information is also given
- In such cases, calculation of subscription income for 2008 has to be made as follows:

	Rs
1. Subscription received during 2008 (this is taken from the Receipt and Payment A/c extract in the problem)	30,000
2. Subscription received in advance on Dec 31, 2007 means it pertains to the year 2008 and hence added (given in additional information)	<u>6000</u>
	<u>36,000</u>
3. Subscription outstanding as on Dec 31, 2008 has also to be added. But a light adjustment has to be worked out. Rs 5000 is given in additional information. But actual outstanding for the previous year has to be deducted Here for 2007: Rs 6,000 – 5,000 = Rs 1,000 Hence, for 2008: Rs 5,000 – 1,000 = Rs 4,000	4,000
4. Subscription income to be included in Income and Expenditure Account	<u>40,000</u>
(i) Extract of Income and Expenditure Account is to be presented in the format.	
(ii) Finally, Balance Sheet extract is to be shown separately.	

Extract of Income and Expenditure Account for the Year Ended Dec 31, 2008

<i>Dr.</i>			<i>Cr.</i>
Expenditure	Rs	Income	Rs
		By Subscription (see working steps)	40,000

Extract of Balance Sheet of Delhi Recreation Club for the Year Ended Dec 31, 2008

Liabilities	Rs	Assets	Rs
Subscription in advance (given in problem)	6,000	Subscription outstanding For 2007: Rs 6,000 – Rs 5,000 = Rs 1,000 For 2008: Rs 5,000 – Rs 1,000 = Rs 4,000	5,000

Illustration: 5

From the following, find out the amount of subscription to be included in the Income and Expenditure Account for the year ended Mar 31, 2008.

Subscriptions received during the year 2007–2008.

For the year ending 2006–2007: Rs 10,000

For the year ending 2007–2008: Rs 2,00,000

For the year ending 2008–2009: Rs 20,000

Subscriptions outstanding as on Mar 31, 2007 were Rs 25,000, out of which Rs 3,000 were considered irrecoverable. On the same date, subscriptions received in advance for 2007–2008 were Rs 10,000. Subscriptions still outstanding as on Mar 31, 2008 amounted to Rs 50,000.

Solution

For this type of problem, outstanding subscriptions for the accounting period (i.e., 2007–2008) have to be calculated first.

Computation of Outstanding Subscriptions for 2007–2008

	Rs
Stage I:	
• Subscriptions outstanding on Mar 31, 2007 (i.e., previous year)	25,000
• (From this irrecoverable amount has to be deducted)	
<i>Less:</i> Written off	<u>3,000</u>
	22,000
• (Subscriptions received in year 2007–2008 has to be deducted)	<u>10,000</u>
<i>Less:</i> Received in 2007–2008	
Subscriptions still outstanding as on Mar 31, i.e. 2006–2007 year	<u>12,000</u>
Stage II:	
• Total subscriptions outstanding as on Mar 31, 2008 (given at the end of the problem)	50,000
• [Amount arrived at Stage I, i.e. Subscriptions still outstanding for the year ending Mar 31, 2007 (i.e., previous year) has to be deducted]	
<i>Less:</i> Still outstanding for the year ending Mar 31, 2007	<u>12,000</u>
Outstanding subscriptions for the accounting period 2007–2008	<u>38,000</u>
Stage III:	
Now, the amount of subscriptions to be included in the Income and Expenditure Account has to be calculated	
• Subscriptions received for 2007–2008	2,00,000
• <i>Add:</i> Subscriptions received in advance in 2006–2007 for the year 2007–2008	<u>10,000</u>
	2,10,000

- *Add:* Subscriptions outstanding for the year 2007–2008 38,000
(Refer Stage II)
Amount to be credited to Income and Expenditure Account
under the head ‘Subscriptions’ 2,48,000

Illustration: 6

From the following extracts of Receipts and Payments Account and the additional information, you are required to compute the income from subscriptions for the year ending on Dec 31, 2008 and show the subscriptions items in the Income and Expenditure Account and the Balance Sheet as on Dec 31, 2008.

Extract of Receipts and Payments Account for the Year Ending on Dec 31, 2008

Dr.		Cr.	
Receipts	Rs	Payments	Rs
To Subscriptions			
2007	12,000		
2008	1,40,000		
2009	8,500		

Additional Information

Subscriptions outstanding as on Dec 31, 2007: Rs 13,000

Subscriptions received in advance as Dec 31, 2007: Rs 14,500

(including Rs 2,500 for 2008)

There are 1,600 members each paying an annual subscription of Rs 100.

Solution

This is a different type of problem.

Note: Here, in additional information one important item about the total number of members and annual subscription amount is given.

Step I

- In such cases, the total amount of subscriptions is calculated and that amount can be straight away credited into Income and Expenditure Account under the head “Subscriptions.”
Total Number of Members × Annual Subscriptions
 $1,600 \times \text{Rs } 100 = \text{Rs } 1,60,000$
- Draw the format of Income and Expenditure Account and credit this amount straight away.

Extract of Income and Expenditure Account for the Year Ending on Dec 31, 2008

Dr.		Cr.	
Expenditure	Rs	Income	Rs
		By Subscriptions (1,600 × Rs 100)	1,60,000

Step 2: Computation of Subscriptions Outstanding as on Dec 31, 2008

- Draw “Subscription Account” ledger
- Enter all the items pertaining to “Subscriptions”
- Balancing figure is the amount outstanding as on Dec 31, 2008

Subscription Account

<i>Dr.</i>		<i>Cr.</i>	
Particulars	Rs	Particulars	Rs
To Outstanding Subscriptions A/c (Beginning of the year)	13,000	By Advance Subscriptions A/c (Beginning of the year)	14,500
To Income and Expenditure A/c (1,600 × Rs 100)	1,60,000	By Bank A/c (or) Cash A/c (Sum of items in the problem)	1,60,500
To Advance Subscriptions A/c 2007 Rs 14,500 – 2,500 12,000		* By Outstanding Subscriptions A/c (At the end of the year)	19,000
2008: (given) <u>8,500</u>	20,500	(Balancing figure)	
	<u>1,93,500</u>		<u>1,93,500</u>

* Result: Outstanding Subscriptions as on Dec 31, 2008 (i.e., at the end of the year) is Rs 19,000.

Step 3: Finally, Balance Sheet has to be drawn

Extract of Balance Sheet as on Dec 31, 2008

Liabilities	Rs	Assets	Rs
Subscriptions Received in Advance	20,500	Subscriptions Outstanding	19,000

Note: These figures can easily be transferred from the Subscription Account to Balance Sheet.

Illustration: 7

There are 500 members in a club, each paying a subscription of Rs 100. On Mar 31, 2007, subscription in arrears totalled Rs 1,000. Subscriptions received during the year ended Mar 31, 2008 amounted to Rs 45,000 including Rs 750 for the year 2006–2007 and Rs 2,000 for the year 2008–2009.

You are required to calculate the amount of subscriptions in arrears as on Mar 31, 2008 by preparing Subscriptions Account.

Solution

- This is a different type.
- We have to calculate Subscriptions in Arrears for the accounting period 2007–2008.
- Subscription Account has to be opened and the respective items have to be recorded as follows.

Subscriptions Account

<i>Dr.</i>		<i>Cr.</i>	
Particulars	Rs	Particulars	Rs
To Subscriptions in Arrears A/c (beginning) (or) Balance b/d	1,000	By Cash/Bank A/c (given in problem)	45,000

(Continued)

(Continued)

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Income and Expenditure A/c (500 × Rs 100)	50,000	By Subscription in Arrears A/c (end) (or) * Balance c/d [beginning figure]	8,000
To Subscription in Arrears A/c (end) or Balance c/d	2,000		
	53,000		53,000

Notes

- Important point to be noted is that while recording subscriptions received during the year, entire amount has to be recorded without any adjustments.
- So, subscriptions outstanding on Mar 31, 2008 includes subscriptions (Rs 1,000 – Rs 750) Rs 250 not received for the year 2006–2007.
- Subscriptions in arrears (Outstanding Subscriptions) arise mainly due to the reasons that members of such entities may leave such entities without proper intimation. To recover such unpaid subscriptions from such members is an ordeal task.
- So, a latest trend in accounting circle is that to treat them as an asset is discouraged.
- To simply declare item as bad debts and to write off from the accounts must be carefully followed.
- As such students are advised to note whether any specific instructions or information is given in the problem and solve the problem taking into account such instructions.
- So, the practice of treating as bad debts and writing off automatically should be dispensed with. Problems should be solved as per the instructions given in the problem.

6.2 Category II: Life Membership

In some not-for-profit entities, members may make a lump sum payment, i.e. life membership, instead of periodical payment as subscription. Usually, such a large sum is not treated entirely as revenue income. It is usually treated as deferred revenue receipts and transferred to Life Membership Fund Account.

An amount representing the normal annual subscription is treated as revenue receipts and credited to Income and Expenditure Account and the balance appears on the liabilities side of the Balances Sheet till the amount is exhausted or till the membership ceases, whichever is earlier. Such amount to be treated as normal revenue receipt is determined by the entity. So, students have to follow the instructions given in the problem.

Illustration: 8**Extract of Receipts and Payments Account of a Social Club for the Year Ended Dec 31, 2008**

Dr.		Cr.	
Receipts	Rs	Payments	Rs
Life Membership Fees	10,000		

Additional information:

Life Membership Fees is for 10 years

Solution

- Life Membership Fees is given as Rs 10,000.
- An instruction is given in additional information, i.e. fee is for 10 years

- It is crystal clear that it is for 10 years only. That means 1/10th of the fees, to be treated as Revenue Receipt.
- Rs 10,000/10 years = Rs 1,000 per year
- Rs 1,000 has to be credited to Income and Expenditure Account under the head “Life Membership Fees.”
- The remaining amount, i.e. Rs 10,000 – Rs 1,000 = Rs 9,000 is to be recorded on the Liabilities side of the Balance Sheet.
- This has to be repeated for every year till the amount is exhausted.

**Extract of Income and Expenditure Account of a Social Club for
the Year Ended on Dec 31, 2008**

<i>Dr.</i>			<i>Cr.</i>
Expenditure	Rs	Income	Rs
		Life Membership Fees	1,000

Balance Sheet as on Dec 31, 2008

Liabilities	Rs	Assets	Rs
Life Membership Fees	9,000		

6.3 Treatment of Fund Income (and Fund Expenses)

- (i) Usually, items of revenue income are credited to Income and Expenditure Account and items of (revenue) expenses are debited to Income and Expenditure Account.
- (ii) But for “Specific Funds,” accounting treatment differs:
 - (a) Income from specific fund is not credited to Income and Expenditure Account. Instead, it is added to that specific fund in the Balance Sheet. Examples for specific fund, Prize Fund, Tournament Fund and Relief Fund. In case, if any income arises from a specific fund, such income is added directly to such specific fund, which finds place on the Liabilities side of the Balance Sheet.
 - (b) Expenses incurred on specific funds, such expenses are also not transferred to Income and Expenditure Account. But they are directly taken to that specific fund which appears on the Liabilities side of the Balance Sheet and such expenses are deducted from the concerned specific fund. But, in case, if no specific fund exists but expenses arise, then such expenses are debited to Income and Expenditure Account.

Illustration: 9

Show how will you deal with the following items while preparing for the final accounts of a NPO for the year ending on Mar 31, 2008 in each of the following cases.

- (a) Prizes awarded: Rs 5,000, Prizes Fund at Mar 31, 2007: Rs 25,000
- (b) Prizes awarded: Rs 5,000. Prizes Fund as on Mar 31, 2007: Rs 25,000. Donations for prizes received during 2007–2008: Rs 7,500, Interest @ 10% received on Prize Fund Investments as on Mar 31, 2007 on Rs 25,000 is Rs 2,500
- (c) Prizes awarded: Rs 5,000

Solution

- In the first two cases (a) and (b), prizes and prize fund particulars are given in the problem.
- Prize Fund – Specific Fund.

- As such, this item cannot be transferred directly to Income and Expenditure Account.
- Balance Sheet has to be drawn on the Liabilities side.
- Opening Balance of specific fund is taken as basis.
- Any income has to be added to this fund.
- Any expenses incurred relating to the specific fund has to be deducted.

Case (a)**Extract of Balance Sheet as on Mar 31, 2008**

Liabilities	Rs	Assets	Rs
Prize Fund			
Opening Balance	Rs		
(as on Mar 31, 2007)	25,000		
Less: Prizes awarded: (expenses)	5,000	20,000	

Case (b)**Extract of balance Sheet as on Mar 31, 2008**

Liabilities	Rs	Assets	Rs
Prize Fund	Rs	Prize Fund Investments	25,000
Opening Balance	25,000		
Add: Donations received	7,000		
	<u>32,500</u>		
Add: Interest on Prize Fund	<u>2,500</u>		
Investment	<u>35,000</u>		
Less: Prizes awarded	<u>5,000</u>		
	<u>30,000</u>	30,000	

Important Note: (Specific Fund) (Prize Fund Investments is an asset. Appears on the Asset side of Balance Sheet).

Case (c)

- In this case no specific fund, i.e. Prize Fund exists.
- Only expenses on prizes exist as Rs 5,000.
- So, it is directly debited to Income and Expenditure Account.
- Preparation of Balance Sheet does not arise.

Extract of Income and Expenditure Account for the Year Ending Mar 31, 2008**Dr.****Cr.**

Expenditure	Rs	Income	Rs
To Prizes (awarded)	5,000		

Illustration: 10

Show how you will deal with the following items while preparing the final accounts for the year ending Mar 31, 2008.

Case (a)

Expenditure on construction of a pavilion is Rs 5,00,000. The construction work is in progress and has not yet completed. Capital Fund as on Mar 31, 2007 is Rs 12,00,000.

Case (b)

Expenditure on construction of a pavilion: Rs 5,00,000. The construction work is in progress and has not yet completed. Pavilion fund as on Mar 31, 2007 is Rs 7,00,000. Donation for pavilion received on Apr 30, 2007 is Rs 9,00,000. Capital Fund as on Mar 31, 2007 is Rs 12,00,000.

Solution**Case (a)**

- Capital Fund in the beginning of the year is given.
- Expenditure on construction of a project, i.e. pavilion is given.
- Since no other details are furnished, opening balance of the capital fund is to be recorded on the Liabilities side of the Balance Sheet and the Expenditure has to be treated as asset and recorded on the Assets side of the Balance Sheet as Work in Progress.

Extract of the Balance Sheet as on Mar 31, 2008

Liabilities	Rs	Assets	Rs
Capital Fund	12,00,000	"Pavilion-in-progress"	5,00,000
Opening Balance			

Case (b)

- Capital Fund is given. In addition, Pavilion Fund is also given. As such, they have to be recorded separately under different head "Capital Fund" and "Pavilion Fund."
- The donations received for a "specific purpose" cannot be treated as revenue income. It has to be capitalised. It has to be added to the respective specific fund and finds place in the Balance Sheet directly.

Notes

- (1) Total amount spent on the Specific Fund (or Work in Progress) has to be treated as asset.
- (2) If any estimate cost is given in the problem, no entry has to be made for such estimated cost.

Extract of Balance Sheet as on Mar 31, 2008

Liabilities	Rs	Assets	Rs
Capital Fund	Rs	Pavilion-in-Progress	5,00,000
Opening Balance	12,00,000		
Add: Transferred from Pavilion Fund	<u>5,00,000</u>		
Pavilion Fund	7,00,000		
Opening Balance	<u>9,00,000</u>		
Add: Donations	16,00,000		
Less: Transferred to Capital Fund	<u>5,00,000</u>		
	11,00,000		

(Expenditure on construction → Work-in-Progress → transferred to Capital Fund)

6.4 Legacy

- (i) Generally, it is a gift.
- (ii) It may be in cash or property.
- (iii) It is not treated as revenue income.
- (iv) It is not transferred to Income and Expenditure Account.
- (v) It is treated as “Capital Receipt” and is recorded in the liabilities side of the Balance Sheet.
- (vi) It is generally given through will of a person (deceased) to a NPO.

6.5 Donations

- (i) This is also a sort of gift given by existing person, firm or a company to a NPO.
- (ii) Donations may be classified as Specific Donations and General Donations.

6.5.1 Specific Donations

- (i) If the donations received is for a specific purpose (e.g. building, equipment, schemes, and so on), such amount is capitalised and recorded in the Liabilities side of a Balance Sheet.
- (ii) It is immaterial whether the amount is small or large.

6.5.2 General Donations

- (i) Usually, if donations are received every year (i.e., recurring nature but not related to any specific purpose), such donations are to be treated as Revenue Receipts or income.
- (ii) As such, it is credited to Income and Expenditure Account.
- (iii) Generally, such donations are smaller in value.

Important Note

However, students are advised to follow the instructions given in the problem for classification. If the question is silent (i.e., no instructions are given), students have to follow the above procedure.

6.6 Endowment Fund

According to Eric. L. Kohler, it is a fund arising through a bequest or gift and such income is earmarked for a specific purpose.

It is to be treated as a Capital Receipt. As such it has to be recorded on the Liabilities side of the Balance Sheet.

6.7 Entrance Fees

- It is also termed as Admission Fees.
- It has to be paid by the member only once. As such, it has to be treated as Capital Receipt and it has to be recorded in the Liabilities side of the Balance Sheet.
- Generally, entrance fees are treated either as Capital or Revenue Receipts, as per by laws of NPOs.

Important Note

- As per Accounting Standard (AS)-9, ENTRANCE FEES should be capitalized.

This is the authorised accounting principle, now in force.

- However, students are advised to adhere the instructions given in the problem and act accordingly.
- If there are no specific instructions given in the problem, it is advisable to make a note, while solving problems.
- If any portion of such fees is to be treated as Revenue Receipt, then such amount is to be shown on the Income side (credited) of Income and Expenditure Account and the remaining portion is to be capitalised and entered in the Liabilities side of the Balance Sheet.

6.8 Aid from Government and Other Institutions

- (i) General Aids are treated as Revenue Receipts. They are transferred and credited to Income and Expenditure Account.
- (ii) Special or Specific Aids are treated as Capital Receipts. They are transferred to the Liabilities side of the Balance Sheet and added to the Capital Fund.
 - To put in a nut shell, any income if it is of capital nature, i.e. Capital Receipt, it has to be straight-away transferred to Liabilities side of the Balance Sheet. Such Capital Receipts should not be transferred to Income and Expenditure.

So far, we have discussed various items of income that are of capital nature (Capital Receipts). Now we have to see how capital expenditures are to be treated.

6.9 Capital Expenditures

Money spent on the purchase of any assets (durable for a lengthy period) may be called as capital expenditures.

Examples

- Purchase of furnitures
- Purchase of land
- Purchase of buildings
- Purchase of books
- Purchase of equipments
- Money spent on investments
- These capital expenditures are to be recorded on the assets side of the Balance Sheet.
- But the following adjustment has to be made.

Depreciation amount has to be deducted and only then such amount has to be transferred to the Balance Sheet. However, do not forget to transfer the depreciation amount to Income and Expenditure Account.

6.10 Current Years' Expenditure

6.10.1 Consumable Items

Examples: stationery, sports material, medicines, and so on. Accounting Treatment:

- A stock account for each consumable items has to be prepared separately.
- It is prepared to ascertain the actual amount of consumption of the item during the accounting year.
- That amount has to be debited to Income and Expenditure Account.
- To ascertain credit purchases (mostly missing in the question), Creditors Account has to be prepared.

Illustration: 11

How will you deal with the following items while preparing the Income and Expenditure Account for the year ending on Mar 31, 2008 and a Balance Sheet as on that date.

Case (a)

	As on Apr 1, 2007	As on Mar 31, 2008
	Rs	Rs
Creditors for Sports Materials	3,000	1,500
Stock of Sport Materials	5,000	500

During 2007–2008, the payment made to these creditors was Rs 20,750. There was no cash purchase.

Case (b)

	As on Apr 1, 2007	As on Mar 31, 2008
	Rs	Rs
Creditors for Sports Materials	4,000	9,000
Stock of Sport Materials	10,000	25,000

During 2007–2008, the payment made to these creditors amounted to Rs 35,000 and cash payments amounted to Rs 10,000.

Solution

Consumption of sports material is of revenue nature.

Step 1: As creditors are given in the problem first, Creditors for Sports Materials account has to be prepared to ascertain credit purchases made during the year.

- For this, amount outstanding on the opening date (beginning of the year) has to be credited in the account. Purchases made during the year have to be debited as Bank A/c. Amount standing at the end Mar 31, 2008 to be debited to this account. The balancing figure in the account depicts as stock of sports materials, i.e. credit purchases.

Creditors for Sports Materials Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Bank/Cash A/c	20,750	By Balance b/d (Opening)	3,000
To Balance c/d (closing)	1,500	By * Stock of Sports Materials A/c (credit purchases) (Balancing figure)	18,250
	<u>21,250</u>		<u>21,250</u>

Step 2: Then Stock of Sports Materials Account has to be prepared. Opening Stock of materials as on Apr 1, 2007 Rs 5,000 has to be debited as Balance b/d. Creditors for sports materials amount has to be transferred from the above A/c, i.e. Rs 18,250 has to be debited. Then Stock of Materials as on Mar 31, 2008 has to be credited to this account as Closing Balance c/d. The balancing amount appearing in this account is the amount spent on sports materials consumed.

Stock of Sports Materials Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (opening)	5,000	By Balancing c/d (closing)	500
To Creditors for Sports Materials (transfer from Creditors of Sports Material A/c)	18,250	By * Income and Expenditure A/c (sports materials consumed) (balancing figure)	22,750
	<u>23,250</u>		<u>23,250</u>

- The amount for sports materials consumed, i.e. Rs 22,750 has to be transferred and debited to Income and Expenditure Account.

Step 3: An Extract of Income and Expenditure A/c for the Year Ending on Mar 31, 2008

<i>Dr.</i>		<i>Cr.</i>	
Expenditure	Rs	Income	Rs
To Sports Materials Consumed	22,750		

Finally, the Balance Sheet has to be drawn up.

Step 4:

- Figures standing on Mar 31, 2008 have to be shown in the Balance Sheet.
- As such, Creditors for Sports Materials Rs 1,500 on Mar 31, 2008 has to be recorded on the Liabilities side of the Balance Sheet.
- Stock of Sports Materials on Mar 31, 2008 Rs 500 has to be shown on the Assets side of the Balance Sheet.

An Extract of Balance Sheet as on Mar 31, 2008

Liabilities	Rs	Assets	Rs
Creditors for Sports Material	1,500	Stock of Sports Material	500

In this problem, an additional information, i.e. cash purchases is given. In such cases, only one additional adjustment has to be made in the Stock of Sports Materials Account as follows:

Case (b)

In that account, this cash purchases amount Rs 10,000 has to be debited as “To Bank/Cash Account” and then the balancing figure is arrived. All the other procedures remain the same as in the above case (a).

Step 1

Creditors for Sports Materials Account

<i>Dr.</i>		<i>Cr.</i>	
Particulars	Rs	Particulars	Rs
To Bank A/c	35,000	By Balance A/c	4,000
To Balance A/c	9,000	By * Stock of Materials A/c (sports materials consumed) (balancing figure)	40,000
	<u>44,000</u>		<u>44,000</u>

Step 2

Stock of Sports Material Account

<i>Dr.</i>		<i>Cr.</i>	
Particulars	Rs	Particulars	Rs
To Balance b/d (opening)	10,000 40,000	By Balance c/d (closing)	25,000

(Continued)

(Continued)

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Creditors for Sports Material A/c (credit materials transferred)	10,000	By * Income and Expenditure A/c (sports materials consumed) (balancing figure)	35,000
To + Bank A/c (Cash purchases)			
	<u>60,000</u>		<u>60,000</u>

Note: Cash purchases entered in this account.**Step 3****Extract of Income and Expenditure Account for the year ending on Mar 31, 2008**

Dr.		Cr.	
Expenditure	Rs	Income	Rs
To Sports Materials Consumed (transfer from Stock of Sports Material A/c)	35,000		

Step 4**Extract of Balance Sheet as on Mar 31, 2008**

Liabilities	Rs	Assets	Rs
Creditors for Sports Materials	9,000	Stock of Sports Materials	25,000

Illustration: 12

From the following information, compute the amount of stationery to be debited to Income and Expenditure Account for 2008.

	Rs
Stock of Stationery on Jan 1, 2008	5,000
Creditors for stationery on Jan 1, 2008	2,500
Advance paid for stationery carried forward from 2007	600
Amount paid for stationery during 2008	15,500
Stock on stationery on Dec 31, 2008	1,500
Creditors for stationery for 2008	4,400
Advance paid for stationery on Dec 31, 2008	500

Solution

The same type of problem may be solved by adopting "Statement Form" to ascertain the amount of stationery consumed during the year.

- Stock at the beginning of the year is taken as basis:
 - (i) Payments made for the year 2008 is added.
 - (ii) Items relating to 2007 have to be deducted.

- (iii) Items relating to 2008 have to be added.
- (iv) Finally, value of closing stock as on Dec 31, 2008 has to be deducted.
- (v) The amount arrived after all these adjustments is the amount of stationery actually used in 2008, which has to be debited to Income and Expenditure Account.

Statement showing the calculation of the amount of stationery consumed during the year 2008

	Rs
Stock of stationery as on Jan 1, 2008	5,000
<i>Add:</i> Payments made for stationery in 2008	<u>15,500</u>
	<u>20,500</u>
<i>Less:</i> Payments made from creditors of 2007 (since this belongs to last year, deducted)	<u>2,500</u>
	<u>18,000</u>
<i>Add:</i> Payments made in 2007 but belonging to 2008	600
	<u>18,600</u>
<i>Add:</i> Creditors for stationery for the year 2008	<u>4,400</u>
	23,000
<i>Less:</i> Payments made in advance at the end of 2008	<u>500</u>
	22,500
<i>Less:</i> Stock of stationery on Dec 31, 2008	<u>1,500</u>
Amount of stationery actually used in 2008	<u>21,000</u>

The amount thus obtained has to be transferred and debited to Income and Expenditure Account.

Balance Sheet as on Dec 31, 2008 shows

Creditors for stationery for 2008 – Liability

Advance paid at the end – Asset

Closing Stock at Dec 31, 2008 – Asset

6.10.2 Expenses – Salary

Illustration: 13

In 2008, the actual salaries paid amounted to Rs 17,800. Ascertain the amount chargeable to Income and Expenditure Account for the year ending on Dec 31, 2008 from the following additional information.

	Rs
Pre-paid salaries on Dec 31, 2007	1,500
Pre-paid salaries on Dec 31, 2008	300
Outstanding salaries on Dec 31, 2007	700
Outstanding salaries on Dec 31, 2008	1,200

Solution

- As usual, total salaries paid in the accounting year is taken as base.
- With this, expenses relating to 2008 have to be added and expenses not relating to 2008 have to be deducted.

Calculation of current year's salaries

	Rs
Total salaries paid in 2008	17,800
<i>Add:</i> Pre-paid salaries on Dec 31, 2007 (this amount pertains to 2008)	<u>1,500</u>
	<u>19,300</u>

Less: Pre-paid salaries on Dec 31, 2008 (this belongs to 2009)	300
	19,000
Less: Outstanding salaries on Dec 31, 2007	700
	18,300
Add: Outstanding salaries on Dec 31, 2008 (this belongs to 2008)	1,200
Amount spent on salaries during the year 2008	19,500

This amount has to be transferred and debited to Income and Expenditure Account under the head “Salaries.” The same procedure has to be adopted for other expenses also like wages, rent, amount spent on consumable materials, and so on.

6.10.3 Sale of Fixed Assets

1. Profit or loss arising from the sale of fixed assets has to be shown in Income and Expenditure Account.
2. If it is profit, it is credited and in case of loss it has to be debited to Income and Expenditure Account.
3. Sale value has to be adjusted in units book value of the asset to ascertain profit or loss
 $\text{Book Value} - \text{Sale Value} = \text{Loss}$
 - (i) $\text{Sale Value} - \text{Book Value} = \text{Profit}$
 - (ii) (i.e.) If sale value is higher than book value, it results in profit.
 - (iii) If sale value is lower than book value, it result in loss.
4. Book value of assets sold should be deducted from the respective fixed assets account and shown in the Balance Sheet.

6.10.4 Sale of Sports Material

It is of regular nature and income arising on such sale of old sports materials is always credited to Income and Expenditure Account. (In this case, book value of sports material is not taken into account and it is treated as Nil.)

6.10.5 Sale of Old Newspapers and Magazines

In this case, sale of such old newspapers, magazines, periodicals (not books) is always credited to Income and Expenditure Account. Purchase of newspapers and periodicals are revenue expenditure and has to be debited to Income and Expenditure Account. But it is to be remembered that purchase of books is of capital nature.

6.10.6 Honorarium

Payment in the form of honorarium has to be treated as revenue nature and it has to be debited to Income and Expenditure Account.

6.10.7 Revenue Expenses

Any expenses incurred in the day-to-day performance and is of recurring nature is treated as revenue expenditure. If the expenses relate to

1. day-to-day activity
2. recurring nature they are revenue expenditures and have to be debited to Income and Expenditure Account.

Examples: Rent, printing, subscription to newspapers and periodicals, insurance advertisements, interests, repair, depreciation, etc.

(Note: Most of the complicated items were discussed by way of separate illustrations, and other ordinary items are explained in course of preparation of Final Accounts).

Model 2 and 3**OBJECTIVE 7: PREPARATION OF INCOME AND EXPENDITURE ACCOUNT FROM RECEIPTS AND PAYMENTS ACCOUNT****Steps**

1. Study well the Receipts and Payments Account.
2. Classify the items into Revenue and Capital.
3. Only such items that relate to revenue nature have to be recorded in Income and Expenditure Account. (Items relating to capital receipts and expenditure are to be excluded.)
4. Look at the Debit side of Receipts and Payments Account. Items shown in this side are all incomes.

Items relating to revenue nature alone have to be transferred to Credit side of Income and Expenditure Account.

5. Opening Cash and Bank balances are not to be recorded in Income and Expenditure Account. Leave that item untouched.
6. All Revenue Receipts, after the following adjustments, have to be recorded one after another on the Credit side of the Income and Expenditure Account.

Adjustments

A. Revenue Receipts during the current year :

B. *Add:*

(i) Income received in advance in the beginning of the year (or sometimes it is also shown as on the end of the previous year) :

(ii) Outstanding income at the end of the current year :

C. *Less:*

(iii) Advance income at the end of the current year :

(ii) Outstanding income in the beginning of the current year :

D. Revenue Income for the current year: $(A + B - C)$: xxx

For each revenue receipts such adjustment has to be made and then credited to Income and Expenditure Account.

7. Then go to the Credit side of Receipts and Payments Account. Identify the items relating to revenue nature. Transfer them one by one from this Credit side of Receipts and Payments Account to the Debit side of the Income and Expenditure Account, after making the following adjustments.

A. Revenue Payments during the current year :

B. *Add:*

(i) Pre-paid expenses in the beginning of the current year (or at the end of last year) : xxxx

(ii) Outstanding expenses at the end of the current year : xxxx

C. *Less:*

(i) Outstanding in the beginning of the current year : xxxx

(ii) Pre-paid expenses at the end of the current year : xxxx

D. Revenue Expenses for the current year $(A + B - C)$: xxxx xxx

for each revenue expense, (if necessary) adjustments as above have to be made and then the Net Amount (D) has to be transferred to the Debit side of Income and Expenditure Account.

8. Closing cash and bank balances should not be transferred to Income and Expenditure Account.
9. From the additional information provided, depreciation has to be calculated and that amount has to be debited to Income and Expenditure Account.
10. Now add both sides (i.e., debit and credit) find the difference amount (i.e., difference between the total of debit side and the total on credit side).

If the total of credit side exceeds the total of debit side, enter that difference amount on debit side. This is surplus or excess of income over expenditure and close the account.

If the total of debit side exceeds the total of credit side, enter the difference amount on credit side. This is deficit or excess of expenditure over income and close the account.

Important Note

Some important points to be noted while preparing the Income and Expenditure.

- (a) In case of sale of fixed assets, profit or loss incurred should be recorded in the Income and Expenditure Account. If it is profit, such amount to be credited and if is loss, it should be debited to Income and Expenditure Account.
- (b) Collections for any particulars event:

Net Surplus (i.e., collection amount – amount spent) is to be treated as revenue receipts and credited to Income and Expenditure Account. In some cases, entire collections are shown on income side and entire expenses for such specific events are shown on the expenditure side of Income and Expenditure Account.

- (c) Payments has to be increased by cheques issued but not presented for payment at the end of the year. If it is so at the beginning of the year, it should be decreased.
- (d) Receipts have to be increased by cheques deposited but not yet collected at the end. If it is so at the beginning of the year, it has to be decreased.
- (e) It is of vital importance that revenue receipts/payments pertaining to the current accounting period alone has to be recorded in this account.

The above steps are shown in the following (diagram) simple format for easy comprehension:

A. Receipts and Payments Account for the year ended on Mar 31, 2008**Dr.****Cr.**

Receipts	Rs	Payments	Rs
To (Opening) Balance b/d * (X)	-----	By Salaries **	-----
To Subscriptions **	-----	By General Expenses **	-----
To Rent Received **	-----	By Prize Expenses *** (C)	-----
To PRIZE FUND *** (C)	-----	By Purchase of Books *** (C)	-----
(ANY ANY SPECIFIC FUND)	-----	By Furniture (Assets) *** (C)	-----
To Sale of Books (Assets) *** (C)	-----	By Closing Balance c/d	-----
To Sale of Old Newspaper, Ball, Bats, etc.	-----	Cash at Bank } (X)	-----
	-----	Cash in Hand	-----

Note: * → Only revenue items should be entered in income and Expenditure Account.

** → denotes Revenue revenue items.

(C) *** → denotes Capital capital Items

± → Income and Expenditure Account for the year ended on Mar 31, 2008

(X) → Should not be shown in Income & and Expenditure Account

Dr.**Cr.**

Expenditure	Rs	Income	Rs
To -----	-----	By -----	-----
To -----	-----	By -----	-----
	-----	By -----	-----
To SURPLUS	-----	By DEFICIT	-----
(Excess of Income over Expenditure)	-----	(Excess of Expenditure over Income)	-----
	-----		-----

1. Opening balances and closing balances are not to be recorded in Income & and Expenditure Account.
2. Capital Receipts and Payments (marked as ***) should not be recorded in Income and Expenditure Account.
3. All the other Revenue revenue receipts and expenses have to be transferred to Income and Expenditure Account but with adjustments to ascertain the amount pertaining to Current Accounting Period.

Illustration 14:

From the following Receipts and Payments Account of a social club and from the information, you are required to prepare an Income and Expenditure Account, for the year ended 31st December, 2008

Receipts and Payment Account for the Year Ending Dec 31, 2008

Dr.			Cr.
Receipts	Rs	Payments	Rs
To Balance b/d	850	By Salaries	2,400
To Subscriptions		By General Expenses	800
2007: Rs 500		By Electric Charges	700
2008 : Rs 2,000		By Books	1,100
2009 : Rs 400	2,900	By Newspapers	500
To Rent Received	1,200	By Balance c/d	500
To Profit from Entertainment	950		
To Sale of Newspapers	100		
	6,000		6,000

Information

- The club has 100 members each paying an annual subscription of Rs 25, subscription outstanding on Dec 31, 2007 were Rs 600.
- On Dec 31, 2008 salaries outstanding amounted to Rs 250. Salaries paid in 2008 included Rs 500 for the year 2007.
- On Jan 1, 2008, the club owned building valued at Rs 50,000, furniture Rs 5,000 and books Rs 4,000.
- Provide depreciation on furniture @ 10% p.a.

Solution

In the problem, the total members in the club and annual subscription for each member are given in the additional information. In such case, subscription to be included in the Income and Expenditure Account is calculated as

$$\begin{aligned} \text{Total Members} \times \text{Annual Subscription} &= 100 \times \text{Rs } 25 \\ &= 100 \times \text{Rs } 25 \\ &= \text{Rs } 2,500 \end{aligned}$$

Only this Rs 2,500 has to be recorded and no adjustment is necessary for this type of problem in the preparation of Income and Expenditure Account.

- (i) Further, as per information, depreciation @ 10% p.a. on furniture has to be worked out, i.e. 10% of Rs 5,000 = Rs 500 is to be treated as expenditure.
(It is better to prepare all workings in advance. Experts in this field never agree to show such working notes in the beginning of the solution. They exhibit working notes only at the end of solution, after recording all accounts, though the figures to be shown for respective items can be arrived at only after working notes. In this edition, in order to make the subject easy for students, working notes are shown in the beginning itself. As this edition is intended mainly for the students, experts in the field may kindly excuse the author for deviating the established procedure.)
- (ii) After this, go to the main structure of the problem – Receipts and Payments Account.
- (iii) To Balance b/d on Receipts side – ignore it.
- (iv) Subscriptions – figure arrived at working notes: Rs 2,500 to be credited.
- (v) Rent Received: Rs 1,200 to be credited.
- (vi) Profit from Entertainment – Rs 950 to be credited.
- (vii) Sale of Newspapers – Rs 100 to be credited.

Thus, the above “Receipt Items” have to be transferred and recorded on the credit side of Income and Expenditure Account.

(viii) Now, go to the payments side of the problem.	Rs
Salaries: Rs 2,400 (given in the account)	: 2,400
Add: Outstanding = Rs 250 (Refer information)	: <u>250</u>
	: 2,650
Less: Salaries for 2007: Rs 500 (shown in information)	: <u>500</u>
Amount spent on salaries for 2008	: <u>2,150</u>

(ix) Now, transfer this to expenditure side.

- (i) General Expenses – Rs 800 – to be debited
- (ii) Electric Charges – Rs 700 – to be debited
- (iii) Newspaper Expenses – Rs 500 to be debited
- (iv) Depreciation – Rs 500 – Ref.: working notes to be debited
- (v) After entering all items, the debit side and credit side are totaled. In this case, surplus is arrived at Rs 100.

Income and Expenditure Account for the year ending Dec 31, 2008

Dr.			Cr.
Expenditure	Rs	Income	Rs
	Rs		
To Salaries	2,400	By Annual Subscription (100 × Rs 25)	2,500
Add: Outstanding	<u>250</u>	By Rent	1,200
	2,650	By Profit from Entertainment	950
Less: Salaries for 2007	<u>500</u>	By Sale of Newspaper	100
To General Expenses	800		
To Electric Charges	700		
To Newspaper Purchase	500		
To Depreciation	500		
To Surplus	<u>100</u>		
	4,750		<u>4,750</u>

Note: Balance Sheet has also to be accompanied for any Income and Expenditure (so, the next stage is preparation of Balance Sheet).

Model 4

OBJECTIVE 8: PREPARATION OF OPENING AND CLOSING BALANCE SHEETS

A Balance Sheet is the statement of assets and liabilities of an entity at a particular date, usually closing date of that accounting period. For preparing final accounts of NPOs, usually two Balance Sheets have to be prepared to ascertain the financial position. One should be prepared at the beginning of the current accounting period and the other (i.e., Another Balance sheet) at the end of the current accounting period. The first one, prepared at the beginning of the accounting period is termed as “Opening Balance Sheet.” The second one, prepared at the end of the accounting period is termed as “Closing Balance Sheet.”

8.1 Preparation of “Opening Balance Sheet”

- Step 1:** Take Receipts and Payments Account given in the problem as a base.
- Step 2:** First item appearing on the receipts side is “Balance *b/d*.” It might also have been shown as cash in hand and cash at bank. This is an asset at the beginning of the year. So, this amount has to be transferred and posted to the Assets side of the Balance Sheet.
- Step 3:** The opening balance of assets of items (sometimes have to be taken from receipts and payments account and at times from additional information given in the problem), items relating to previous accounting period, have to be entered one by one on the Assets side of the Balance Sheet, with necessary adjustments.
- Step 4:** After this, Opening Balances of liabilities are to be transferred and recorded on the Liabilities side of the Balance Sheet.
- Step 5:** After recording all items, both sides are totaled. Excess of “Assets Side” over “Liabilities Side” (Balancing figure) has to be recorded as “Capital Fund.”

8.2 Preparation of “Closing Balance Sheet”

- Step 1:** “Capital Fund” is arrived at the preparation of Opening Balance Sheet has to be recorded first on the Liabilities side of the Balance Sheet.
- Step 2:** Refer the Income and Expenditure Account prepared by you. “Surplus” to be added to this capital Fund. “Deficit” to be deducted from this Capital Fund.
- Step 3:** After this, capitalised incomes, e.g. entrance fees, life membership fees, legacies, specific donations, specific funds (with necessary additions or deductions) have to be recorded on the Liabilities side.
- Step 4:** Incomes received in advance to be recorded.
- Step 5:** Outstanding expenses to be recorded.
- Step 6:** Other current liabilities – Bank Overdraft and Creditors to be recorded.
- Step 7:** After recording all relevant items on the Liabilities side (as described above), items relating to assets have to be recorded one by one on the Assets side of the Balance Sheet as described below. Fixed Assets after adjustments have to be shown on the Assets side.

Example: Furniture

Opening Balance	: xxxx
Add: Additions during the year	:
Less: Sales during the year	:
Less: Depreciation	: <u>xxxx</u>
Value to be taken to Balance Sheet	: <u>xxxx</u>

Likewise, each item relating to fixed assets have to be entered on the Assets side, after necessary adjustments.

- Step 8:** Investments (e.g., specific fund investments, government securities, fixed deposits, and so on.) have to be shown on the Assets side.
- Step 9:** Current Assets such as outstanding subscriptions, accrued interest, accrued rent, any outstanding income has to be recorded.
- Step 10:** Closing Balance given in the Receipts and Payments Account – (Cash Balance) has to be recorded.

Important Notes

- Income received for current year, expenses paid for current year will not appear in Balance Sheet.
- It is advisable to compare the items on Debit side of Receipts and Payments Account with income side of (Credit) Income and Expenditure Account. The items on Credit side of Receipts and Payments Accounts with Debit side of Income and Expenditure Account to ascertain the correct amount which relates to the current accounting period.

2. Refer the information (c) and note that the value of building is shown as Rs 50,000. This also has to be transferred to Balance Sheet and recorded as "Building 50,000."
3. In the same manner, furniture and book value also have to be recorded on the Assets side of the Opening Balance Sheet one by one.
4. Subscriptions outstanding on Dec 31, 2007: Rs 600 was given in information (a). This also has to be recorded on the Assets side of Opening Balance Sheet.
5. In the information (b), salaries paid in 2008 included Rs 500 for the year 2007. This is liability and has to be recorded on the Liabilities side of the Balance Sheet.
6. Both sides are totaled. Balancing figure on the liabilities side is recorded as "Capital Fund." Thus, capital fund is arrived at

Balance Sheet of as on Jan 1, 2008

Particulars	Rs	Assets	Rs
Salaries Outstanding	500	Cash	850
Capital Fund	59,950	Building	50,000
(Balancing Figure)		Furniture	5,000
		Books	4,000
		Subscription Due	600
	<u>60,450</u>		<u>60,450</u>

Note: Assets and liabilities as on the beginning of the accounting year, i.e. Jan 1, 2008 shall be shown in the Opening Balance Sheet.

Now, moving to the second part of the question, Closing Balance Sheet, i.e. Balance Sheet at the end of the accounting year, i.e. as on Dec 31, 2008 has to be prepared.

1. Assets and liabilities as on Dec 31, 2008 have to be recorded after making adjustments, to prepare Closing Balance Sheet.
2. First, the Closing Balance, i.e. Cash (in Hand or at Bank) shown at last item on the payment side, in the Receipts and Payments Account, has to be recorded on the assets side of the Balance Sheet as "Cash," i.e. Rs 500.
3. Building value has to be recorded. In this case, (no addition, no sale, no depreciation) Rs 50,000 is shown.
4. Furniture: Opening Balance Rs 5,000
Less: Depreciation @ 10% Rs 500
Value of furniture to be transferred Rs 4,500
5. Books: Opening Balance Rs 4,000
Add: Purchases Rs 1,500
Rs 5,500

Subscriptions outstanding, after the following adjustments have to be recorded on the Assets side of the Closing Balance Sheet.

Subscription Outstanding

			Rs
For 2007	:		
Rs 600		Rs 500	= 100
↓		↓	
(given in information (a))	–	(Refer Receipts and Payment Account)	
Add: For the year 2008	:		
Rs 2,500		Rs 2,000	
↓		↓	
(Rs 100 × Rs 25) – (Refer Receipts and Payments Account)			= 500
Subscriptions Outstanding for 2008:			<u>600</u>

1. After recording assets, items relating to liabilities have to be recorded one after one. “Capital Fund” from Opening Balance Sheet has to be transferred here and with that “Surplus” from Income and Expenditure Account has also to be transferred and added to Capital Fund.
2. Then current liabilities, “Salaries Outstanding” Rs 250 (shown in information) and subscriptions received in advance Rs 400 (shown in Receipts and Payments Account) have to be recorded on the Liabilities side of the Closing Balance Sheet.

Balance Sheet of as on Dec 31, 2008

Liabilities	Rs	Assets	Rs
Capital Fund		Cash	
		Subscription Outstanding	
	Rs		Rs
Opening Balance	59,950	2007	100
Add : Surplus	<u>100</u>	2008	<u>500</u>
Outstanding Salaries	250	Furniture	5,000
Subscriptions received in advance	400	Less: Depreciation	<u>500</u>
		Books	
		Opening	4,000
		Add: Purchases	<u>1,100</u>
		Buildings	50,000
	<u>60,700</u>		<u>60,700</u>

Model 6**Illustration: 15A**

The secretary of a social club provides you with the following Receipts and Payments Account and the Income and Expenditure Account for the year ended Mar 31, 2009.

Receipts and Payments Account for the Year Ending Mar 31, 2009

Dr.			Cr.	
Receipts		Rs	Payments	Rs
Balance B/d		9,000	Printing	1,500
2007–2008	2000		Advertisements	2,820
2008–2009	3000	5,000	Salary	26,000
Tuition Fees			Furniture Purchased	13,400
2008–2009	20,000		Rent Paid	10,400
2009–2010	2,000	22,000	Miscellaneous Expenses	2,200
Entrance Fees			Balance c/d	27,480
2008–2009		8,400		
Membership Fees				
2007–2008	6,000			
2008–2009	23,000			
2009–2010	7,800	36,800		
Miscellaneous Income		2,600		
		<u>83,800</u>		<u>83,800</u>

Income and Expenditure Account for the year ending Mar 31, 2009

Dr.			Cr.	
Expenditure		Rs	Income	Rs
Printing		1,600	Tuition Fees	22,000
Advertisement		3,000	Membership Fees	23,000
Rent Paid		12,000	Miscellaneous	2,600
Salary		24,000	Income	3,200
Miscellaneous Expenses		2,200	Interest	
Excess of Income over Expenditure		8,000		
		<u>50,800</u>		<u>50,800</u>

The club had the following assets on Mar 31, 2008:

Investments	Rs 80,000
Furniture	Rs 20,000
Reference Books	Rs 10,000

You are required to prepare the Balance Sheets of the club as on Mar 31, 2008 and Mar 31, 2009.

– B. Com (Modified)

Solution

Step 1: Entrance Fees entirely capitalised. Reason this item does not appear in the debit side of given Income and Expenditure Account. So this among Rs 8,400 has to be recorded in the Closing Balance Sheet and added to Capital Fund.

Step 2: Interest income accrued but not received has to be ascertained.

Interest income as shown in Income and Expenditure Account is Rs 3,200 but interest received as per the Receipts and Payments Account shows Rs 3,000. The difference (Rs 3,200 – 3,000) denotes accrued interest.

Step 3: Outstanding Tuition Fees is to be calculated.

Tuition Fees as shown in Income and Expenditure Account is Rs 22,000. Break-up figure shows Tuition Fees received for 2008–2009 is Rs 20,000 and for 2009–2010 received is Rs 2,000, i.e. Rs 2,000 has been received in advance. Comparing these, it has to be decided that Rs 2,000 is still outstanding for 2008–2009. So this amount has to be record in Income and Expenditure Account.

Step 4: Actual salaries paid as shown in Receipts and Payments A/c is Rs 26,000. But in income and expenditure, i.e. actual amount spent on salaries is Rs 24,000. This difference (Rs 26,000 – 24,000) Rs 2000 is to be treated as salary paid in advance as no other information is given.

Step 5: Preparation of Opening Balance Sheet.

Balance Sheet as on Mar 31, 2008

Liabilities	Rs	Assets	Rs
Capital Fund (Balancing figure)	1,27,000	Cash	9,000
		Investments	80,000
		Accrued Interest	2,000
		(from Rec. and Pay A/c.) given	6,000
		Membership Fees accrued (2007–2008: Given)	10,000 20,000
		Reference Books	10,000
		Furniture	20,000
	<u>1,27,000</u>		<u>1,27,000</u>

Step 6: Preparation of Closing Balance Sheet

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Capital Fund	1,27,000	Cash	27,480
Add: Entrance Fees	8,400	Investments	80,000
(Ref. Step 1)		Accrued Interest	200
surplus	<u>8,000</u>	(Ref.: Step 2)	
Printing Payable		Tuition Fees accrued	2,000
(Rs 1,600 – 1,500)		(Ref.: Step 3)	
↓ ↓		Salary paid in advance	2,000
(I & E A/c) (R & P A/c)		(Ref.: Step 4)	
Rent Payable		Reference Books	10,000
(Rs 12,000 – 10,400)		Furniture	33,400
↓ ↓		(Rs 20,000 + 13,400)	
(I & E A/c) (R & P A/c)		Opening Purchased	

(Continued)

(Continued)

Liabilities	Rs	Assets	Rs
Advertisement Payable (Rs 3,000 – 2,820) ↓ ↓ (I & E A/c) (R & P A/c)	180		
Membership Fees Received in advance (from R & P A/c for 2009–2010)	7,800		
Tuition Fees Received in advance (Refer Step 3)	2,000		
	<u>1,55,080</u>		<u>1,55,080</u>

Model 7

Preparation of Income and Expenditure Account and Balance Sheet from a given Receipts and Payments Account and additional information.

Illustration: 16

From the following information and Receipts and Payments Account of a club, prepare Income and Expenditure Account for the year ending Dec 31, 2008 and a Balance Sheet on that date.

Receipts and Payments Account for the year ending Dec 31, 2008

Dr.			Cr.
Receipts	Rs	Payments	Rs
Balance B/d	4,000	Rent	2,400
Entrance Fees	600	Wages	2,600
Subscriptions	21,400	Lighting Charges	1,000
Donations	4,000	Books Purchases	3,000
Life Membership Fees	3,000	Office Expenses	4,000
Interest on Deposits	500	10% Fixed Deposits	20,000
Proceeds of Tournaments	4,500	(on July 1, 2008)	3,600
		Tournament Expenses	1,400
		Cash in Hand	
	<u>38,000</u>		<u>38,000</u>

Additional Information

- On Dec 31, 2007, the club possessed books worth Rs 25,000 and furniture worth Rs 10,000. Provide depreciation on these assets @ 10% including the purchases during the year.
- Subscription in arrears at the beginning of the year amounted to Rs 500 and at the end of the year Rs 800 was outstanding.
- The club paid three months rents in advance both in the beginning and at the end of the year.

Solution

Note: Students are asked to go through the steps explained in detail in preparation of Income and Expenditure Account and Balance Sheet as shown in Illustrations number 14 and 15 (again and again)

Besides that the following working notes facilitate to prepare the final accounts.

Rent: In the additional information, it was given that the club paid three months rents in advance.

Rent shown in Receipts and Payments Account: Rs 2,400

This is for a year

So, 1 month's rent $\text{Rs } 2400/12 = \text{Rs } 200$

2 months rent $\text{Rs } 200 \times 2 = \text{Rs } 400$

This amount, i.e. Rs 400 has to be added as pre-paid in the beginning and again Rs 420 has to be deducted as pre-paid at the end of the year.

Interest

- Interest on FD Rs 20,000 @ 10%
- It is for 6 months as the date is given as July 1, 2008
 - (i) For 6 months interest = $20,000 \times 10/100 \times 6/12 = \text{Rs } 1,000$
 - (ii) On Receipts side "Interest on deposits = Rs 500" was shown
 - (iii) Interest Due = $\text{Rs } 1,000 - 500 = \text{Rs } 500$

Income and Expenditure Account of a Club for the year ending Dec 31, 2008

Dr.		Rs	Income		Cr.
Expenditure		Rs			Rs
	Rs		By Subscriptions	21,400	
To Rent	2,400		Less: Outstanding		
Add: Pre-paid in the	400		in the beginning	500	
beginning			{information (b)}		
Less: Pre-paid at the end	2,000			20,900	
To Wages	400		Add: Outstanding at the end	800	
			{Information (b)}		21,700
To Lightening Charges		2,400	By Entrance Fees		
To Office Expenses		2,600	By Donations		600
To Tournament Expenses		1,000	By Interest on FD		4,000
To Depreciation: Book		4,000	Add: Due	500	
(10% on Rs 25,000 + 3,000)		3,600	By Tournament Proceeds	500	1,000
To Depreciation: Furniture		2,800			4,500
(10% on Rs 10,000)		1,000			
To Surplus		14,400			
		<u>31,800</u>			<u>31,800</u>

Until the students learn thoroughly the techniques involved in preparation of Final Accounts of NPOs, it is better to prepare the Opening Balance Sheet and then (final) Closing Balance Sheet.

Preparation of Opening Balance Sheet

(or)

Balance Sheet as on Jan 1, 2008

(or)

Calculation of Capital Fund as on Jan 1, 2008

Balance Sheet of a Club as on Jan 1, 2008

Liabilities	Rs	Assets	Rs
Capital Fund (Balancing figure) (To be taken to Closing Balance Sheet)	39,900	Cash (Receipts and Payment: Balance B/d)	4,000
		Pre-paid Rent	
		Subscription Due	400
		(Information – (b))	500
		Books	
		(Information – (a))	25,000
		Furniture	
			10,000
	<u>39,900</u>		<u>39,000</u>

Preparation of Closing Balance Sheet Balance Sheet of a Club as on Dec 31, 2008

Liabilities	Rs	Assets	Rs
Capital Fund	Rs	Cash	Rs
Opening Balance	39,900	(Closing item in payment side)	1,400
Add: Surplus	<u>14,400</u>	Pre-paid Rent	400
Add: Life Membership Fee	3,000	Subscription Due	800
		Fixed Deposit	20,000
		Add: Interest outstanding	<u>500</u>
		Books	20,500
		Add: Purchases	25,000
			<u>3,000</u>
		Less: Depreciation	28,000
		Furniture	<u>2,800</u>
		Less: Depreciation	10,000
			<u>1,000</u>
	<u>57,300</u>		<u>9,000</u>
			<u>57,300</u>

Model 8**Illustration: 17**

Prepare Income and Expenditure Account for the year ending Dec 31, 2008 and a Balance Sheet on that date from the following Receipts and Payments Account and the Balance Sheet.

Receipts and Payments Account for 2008**Dr.****Cr.**

Receipts	Rs	Payments	Rs
Balance (Jan 1, 2008)	20,000	Expenses	
Subscriptions		2007	1,500
2007	500	2008	4,000
2008	<u>2,500</u>	Furniture	<u>5,000</u>

Receipts	Rs	Payments	Rs
2009	800	Interest	1,600
Entrance Fees	1,200	Misc. Expenses	5,400
Locket Rent	1,00	Balance (Dec 31, 2008)	17,500
Misc. Incomes	9,000		
	<u>35,000</u>		<u>35,000</u>

Balance Sheet as on Dec 31, 2007

Liabilities	Rs	Assets	Rs
Capital Fund	50,000	Buildings + Land	50,000
Subscriptions received in advance	2,000	Outstanding Subscription	600
Outstanding Expenses	3,000	Outstanding Locker Rent	400
Loan	16,000	Cash	20,000
	<u>71,000</u>		<u>71,000</u>

Solution

- In this sum, Opening Balance Sheet is given. So no need to prepare again.
- Following the steps involved in the preparation of Income and Expenditure Account and Closing Balance Sheet (refer Illustration 14 and 15), first Income and Expenditure Account and their Balance Sheet as on Dec 31, 2008 has to be prepared as follows.
- Sometimes questions may appear like this, i.e. Receipts and Payments Account and Balance Sheet are given to prepare other final accounts.
- At times, additional information also may be given in the question along with Opening Balance Sheet.
- Steps involved in the preparation of accounts is same for any problem, but only thing varies is the adjustments to be made.

Income and Expenditure Account for the Year Ended Dec 31, 2008**Dr.****Cr.**

Expenditure	Rs	Income	Rs
To Expenses (from receipts and Payments Account for 2008 only)	4,000 1,600	By Subscription (for 2008 alone)	Rs 2,500
To Interest	5,400	Add: Recd. In advance in the beginning	
To Misc. Expenses	4,300	(refer Op. Bal. Sheet)	<u>2,000</u>
To Surplus (excess of Income over Expenditure)		By Locker Rent	4,500
		(refer Rec. and Payment A/c)	1,000
		Less: O/s in the beginning (refer Op. Bal. Sheet)	<u>400</u>
		By Entrance Fees	1,200
		By Misc. Incomes	9,000
	<u>15,300</u>		<u>15,300</u>

Balance Sheet as on Dec 31, 2008

Liabilities	Rs	Assets	Rs
Capital Fund 50,000 (Ref. OP B/S)		Subscription 100 (Rs 600 – 500)	
Add: Surplus 4,300 (from income and expenditure account)	54,300	↓ ↓ (OP B/S) (Rec. and Pay. A/c)	
Subscriptions in advance 800 (from Rec. and Pay. A/c.: 2009)	800	Furniture 5,000	
Expenses Outstanding 1,500 (Rs 3,000 – 1,500)	1,500	Land + Buildings 50,000	
↓ ↓ (OP B/S) (Rec. and Pay. A/c)		Cash 17,500 ↓ ↓ (R and P A/c – Last item)	
Loans	16,000		
	<u>72,600</u>		<u>72,600</u>

Sometimes questions may also be asked by providing extracts of Cash Book (Receipt and Payments) with additional information. Students need not confuse over it. As mentioned earlier, steps involved in the preparation of Income and Expenditure Account and Balance Sheet are same as explained earlier in Illustration numbers 14 and 15. Some more calculations have to be made to arrive at certain missing figures.

Model 9**Illustration: 18**

From the following information of a club, prepare Income and Expenditure Account for year ending Mar 31, 2008 and Balance Sheet as on that date.

Dr.**Cr.**

Receipts	Rs	Payments	Rs
To Member's Subscriptions	10,000	By Upkeep of Pavilion	5,000
To Member's Admission Fees	1,000	By Expenses regarding	
To Sale of old balls, bats, etc.	200	Tournaments	1,000
To Hire of Ground	1,000	By Rates and Insurance	500
To Subscription for Tournament	1,800	By Telephones	500
To Drawn from Bank	5,000	By Printing and Stationery	1,000
To Donations	16,000	By General Charges	300
		By Secretary's Honorarium	2,000
		By Grass Seeds	200
		By Bats, Balls, etc.	1,500
		By Deposit in Bank	23,000
	<u>35,000</u>		<u>35,000</u>

	Rs
Assets on Apr 1, 2007	
Cash at Bank	5,000
Stock of balls, bats, etc.	3,000
Printing and Stationery (stock)	500
Subscription Due	1,000

Information

- (a) Surplus on account of tournaments and donations should be kept in reserve for a permanent pavilion.
- (b) Subscription due on Mar 31, 2008 Rs 1,500.
- (c) Write-off 50% of balls, Bats Account and Printing and Stationery Account.
- (d) Treat Admission Fees as of Revenue Nature.

Solution

1. In information (a) it is instructed to keep in reserve for a Permanent Pavilion. So the following calculations

Step 1: A: Surplus on account of tournament

	Rs
Subscription received for tournament (refer Receipts side)	1,800
Less: Expenses regarding tournament (refer Payments side)	<u>1,000</u>
Surplus on account of tournament	<u>800</u>

Step 2: B: Donations

16,000

(refer Receipts side in the problem)

As per the instructions, these two A + B will have to be kept in reserve. This means Rs 16,000 + Rs 800 = Rs 16,800 will have to be kept as reserve from a permanent pavilion. (So, these items need not be shown in Income and Expenditure Account. But this total amount has to be recorded in the Closing Balance Sheet as on Dec 31, 2008.)

Step 3

2. From the Cash Book, it can be seen that an item at the end of payments side appears as "Deposit in Bank." So, Closing Balance has to be calculated as follows:

	Rs
Opening Balance (Ref. Assets as on Apr 1, 2007)	5,000
Add: Cash deposited	<u>23,000</u>
	28,000
(Ref. Last items on Payments side)	
Less: Cash withdrawn from Bank (Ref. Receipts side in the problem)	5,000
Closing Balance of Cash at Bank	<u>23,000</u>

Step 4

Calculation of Capital Fund as on Apr 1, 2007 (Opening Balance Sheet)
Balance Sheet as on Apr 1, 2007

Liabilities	Rs	Assets	Rs
Capital Fund (Balancing figure)	9,500	Cash at Bank (Asset on Apr 1, 2007)	5,000 3,000
		Stock of Balls and Bats	500
		Printing and Stationery	1,000
		Subscription Due	
	<u>9,500</u>		<u>9,500</u>

Note: As it is shown separately as assets on Apr 1, 2007 in the problem itself, all such items are to be transferred to the assets side of Opening Balance Sheet and Capital Fund is computed.

Now, we have to go to the main part of preparation of Income and Expenditure Account and Closing Balance Sheet.

Step 5

Income and Expenditure Account of the Club for the year ending on Mar 31, 2008

Dr.			Cr.
Expenditure	Rs	Income	Rs
To Upkeep of Pavilion (from payment side)	5,000	By Subscription (from Receipts)	10,000
To Rates and Insurance	500	Less: Previous year	<u>1,000</u>
To Telephones	500		9,000
To General Charges	300	(Ref. Assets on Apr 1, 2007)	
To Secretary's Honorarium	2,000	Add: Outstanding (from information)	<u>1,500</u>
To Gross Seeds (all items are transferred from payments side of Cash Book)	200	By Admission Fees (from Receipts side)	1,000
To Bats, Balls, etc.		By Old Balls, Bats, etc. (from Receipts side)	200
Rs		By Hire of Ground (from Receipts side)	1,000
Opening Stock	1,500		
Add: Purchase	3,000		
	4,500		
Less: (50% write off) (50% alone)	<u>2,250</u>		
Rs	2,250		
To Printing and Stationery	500		
Add: Purchases	1,000		
Less: 25% write off (25% alone)	<u>1,500</u>		
	750		
To Surplus			
	<u>1,200</u>		
	12,700		<u>12,700</u>

Step 6**Balance Sheet as on Dec 31, 2008**

Dr.		Cr.	
Liabilities	Rs	Assets	Rs
Reserve for Permanent Pavilion (refer working notes)	16,800 10,700	Cash at Bank (Closing Balance calculated)	2,300
Capital Fund 9,500 (refer Op. B/S.)		Stock on Bats, Balls, etc. (Rs 1,500 + 3,000 – 2,250)	2,250
Add: Surplus <u>1,200</u>		Printing and Stationery (Rs 1,000 + 500 – 750)	750
		Subscription Due (refer additional information)	1,500
	<u>27,500</u>		<u>27,500</u>

Model 10**Illustration: 19**

Prepare Income and Expenditure Account for the year ending on Mar 31, 2009 and Balance Sheet on that date from the following:

Receipts and Payments Account for the Year Ending on Mar 31, 2009

Dr.		Cr.	
Receipts	Rs	Payments	Rs
To Balance b/d	1,000	By Rent	9,000
Cash	6,000	By Miscellaneous Expenses	27,500
Bank	200	By Postage Expenses	1,000
Stamps		By Furniture	7,000
Rs		By Creditors for Sports Materials	13,000
To Subscriptions Rs		By Cost of Prizes (to be awarded)	3,000
2007–2008 4,000		By Cash Purchase of Sports materials	4,500
2008–2009 70,000		By Match Expenses	6,000
2009–2010 <u>3,000</u>	77,000	By Balance c/d	
To Entrance Fees	10,000	Cash	500
To General Donations	5,000	Bank	36,900
To Donations for Prize Fund	3,500	Stamps	100
To Sale of Old Sports Materials	4,300		
To Interest on Prize Fund	1,000		
Investments			
To Miscellaneous Receipts	500		
	<u>1,08,500</u>		<u>1,08,500</u>

Information

Particulars	Apr 1, 2008 Rs	Mar 31, 2009 Rs
Sports Materials	5,000	6,000
Furniture	70,000	—
10% Prize Fund Investments (face value Rs 20,000)	19,000	—
Creditors for Sports Materials	1,500	3,000
Subscriptions in arrears	5,000	—
Subscription in advance	2,000	—
Prize fund	20,000	—
Rent paid in advance	—	1,500
Outstanding Rent	1,500	—
Outstanding Miscellaneous Expenses	2,500	4,500
Miscellaneous Expenses paid in Advance	1,000	2,000

Additional Information

- (i) There are 800 members, each paying an annual subscription of Rs 100.
- (ii) 50% of Entrance Fees is to be capitalised.
- (iii) Book value of Sports materials sold was Rs 4,000.
- (iv) Depreciation on Furniture is to be provided @ 10%.

(C.A. – Modified)**Solution**

Before going to the main account, we have to prepare various accounts, separately, to ascertain the actual amount for each such time for the accounting year, i.e. Apr 1, 2008 to Mar 31, 2009. Only after this, the Income and Expenditure Account and the Balance Sheet can be prepared.

Step 1**Subscription Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Outstanding Subscription A/c (in the beg. from information)	5,000	By Advance Subscription A/c (from information)	2,000
To Income and Expenditure A/c (800 Members × Rs 100)	80,000	By Bank A/c (from the question)	77,000
To Advance Subscription A/c (at the end, from question)	3,000	* ¹ By Outstanding Subscription A/c (balancing figure)	9,000
	88,000		88,000

Step 2**Miscellaneous Expenses Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To pre-paid Expenses A/c (in the beg. from information)	1,000	By Outstanding Expenses A/c (in the beg. from information)	2,500
To Bank A/c (from payments side)	27,500	By pre-paid expenses A/c (at the end, from information)	2,000
To Outstanding Expenses A/c (at the end, from information)	4,500	* ² By Income and Expenditure (balancing figure)	28,500
	<u>33,000</u>		<u>33,000</u>

Step 3**Rent Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Bank A/c (from questions: Payments)	9,000	By Outstanding Rent A/c (from information)	1,500
		By pre-paid Rent A/c (from information)	1,500
		* ³ By Income and Expenditure (balancing figure)	6,000
	<u>9,000</u>		<u>9,000</u>

Step 4**Furniture Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d (from information)	70,000	By Depreciation A/c (10% of Rs 77,000)	7,700
To Bank A/c (from payment)	7,000	* ⁴ By Balance c/d	69,300
	<u>77,000</u>		<u>77,000</u>

Step 5

Creditors for Sports Materials Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Bank A/c (from payment)	13,000	By Balance b/d (from information)	1,500
To Balance b/d (from information)	3,000	* ⁵ By Stock of Sports Materials (Credit Purchases) (Balancing figure)	14,500
	<u>16,000</u>		<u>16,000</u>

Step 6

Stock of Sports Materials Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d (from information)	5,000	By Bank A/c (sale of old, from Receipts)	4,300
To Creditors for Sports Materials (credit purchase) (13,000 + 3,000 – 1,500)	14,500	By Balance c/d (from information)	6,000
To Bank A/c (cash purchase)	4,500	* ⁶ By Income and Expenditure A/c (balancing figure)	14,000
To Income and Expenditure A/c (Profit: 4,300 – 4,000)	300		
	<u>24,300</u>		<u>24,300</u>

Step 7

Balance Sheet as on Mar 31, 2008

<i>Liabilities</i>	<i>Rs</i>	<i>Assets</i>	<i>Rs</i>
Current Liabilities:		Fixed Assets:	
Creditors for Sports Materials	1,500	Furniture	70,000
Subscription in Advance	2,000	Investments	
Outstanding Misc. Expenses	2,500	10% Prize Fund Investment	19,000
Rent Outstanding	1,500	Current Assets	
Capital Fund	79,700	Subscription in Arrears	5,000
(balancing figure)		Sports Materials	5,000
Add: Prize Fund	20,000	Miscellaneous Expenses paid in Advance	1,000

Liabilities	Rs	Assets	Rs
		Balance	
		Cash	1,000
		Bank	6,000
		Stamps	200
	<u>1,07,200</u>		<u>1,07,200</u>

Step 8**Income and Expenditure Account for the Year Ending on Mar 31, 2009****Dr.****Cr.**

Expenditure	Rs	Income	Rs
To Rent*3	6,000	By Subscriptions	80,000
To Miscellaneous Expenses*2	28,500	(800 × Rs 100)	
To Postage Expenses	1,000	By General Donations	5,000
To Sports Materials consumed*6	14,000	(from Receipts)	
To Depreciation on Furniture*4	7,700	By Entrance Fees	5,000
To Match Expenses	6,000	(50% of 10,000)	
(from Question)		By Profit on Sale of Old Sports Materials	300
To Surplus	27,600	By Miscellaneous Receipts	500
(Balancing figure)			
	<u>90,800</u>		<u>90,800</u>

Note: *2 *3 *4 *6 all transferred from their respective accounts prepared earlier**Step 9****Balance Sheet as on Mar 31, 2009**

Liabilities	Rs	Assets	Rs
Capital Fund	79,700	Fixed Assets :	
Add: Surplus	27,600	Furniture	69,300
Add: Entrance Fees	<u>5,000</u>	Investments	
Prize Fund		10% Prize Fund Investments	19,000
Opening Balance	20,000	Current Assets :	
Add: Donations	3,500	Sports Materials	6,000
Add: Income 10% on		Subscription in Arrears	
Rs 20,000	<u>2,000</u>	2007–2008	
	25,500	2008–2009	9,000
Less: Expenses	<u>3,000</u>	Pre-paid Miscellaneous Exp.	2,000

(Continued)

(Continued)

Liabilities	Rs	Assets	Rs
Current Liabilities		Accrued Interest on Prize	
Creditors for Sports Materials	3,000	Fund Investments	1,000
Subscription in Advance	3,000	(Rs 2,000 – 1,000)	
Outstanding Misc. Expenses	4,500	Pre-paid Rent	1,500
		Balance	
		Cash	500
		Bank	36,900
		Stamps	100
	<u>1,45,300</u>		<u>1,45,300</u>

Model 10A**Illustration: 20****Summary of Bank Transactions of a Club for the Year Ending Mar 31, 2008**

Dr.			Cr.
Receipts	Rs	Payments	Rs
To Petty Cash in hand	300	By Rent	1,000
To Balance as per Pass Book	5,000	By Entertainment	1,500
To Subscriptions	4,000	By Advertisement (for 2006–2007 Rs 200)	1,200
To Entertainment	2,700	By Capital Expenditure	3,000
To Legacy (to be capitalised)	1,000	By Upkeep of Grounds	800
To Donation for Books	1,500	By Bank Charges	100
To General Donations	1,200	By Salary	2,400
		By Party Expenses	100
		By Balance as per Pass Book	5,500
		By Petty Cash in Hand	100
	<u>15,700</u>		<u>15,700</u>

Information

	Apr 1, 2007	Mar 31, 2008
	Rs	Rs
Unpresented cheque, being payment for Rent	200	100
Interest on fixed deposit of Rs 10,000 not entered in Pass Book	—	1,000
Entry in respect of bank charges was not passed through the Cash Book	—	100
A member deposited subscription for 2008–2009, direct into bank, not passed through the Cash Book	—	50
Cheques deposited for subscription but not yet cleared by the bank	2,000	1,000

Required: Prepare Income and Expenditure Account for the year ending Mar 31, 2008 and Balance Sheet on that date.

Solution

In this problem, summary of bank transactions is shown in Receipts and Payments.

Further information reveals that value of transactions may differ between Cash Book and Pass Book. So, Bank Reconciliation statement has to be prepared from the beginning of the year and at the end of the year to ascertain balance as per Cash Book.

Step 1

1. Bank Reconciliation Statement as on Mar 31, 2007 has to be prepared first.
 - (a) For this, balance as per Pass Book has to be taken as base. This is shown on the receipts side of the problem as Rs 5,000.
 - (b) Then from information, on this date, i.e. Apr 1, 2007 (or Mar 31, 2007), unrepresented cheque for rent reveals as Rs 200. This amount has to be deducted from the balance as per Pass Book.
 - (c) One more information – cheques deposited but not yet cleared by the bank Rs 2,000 – has to be added.
 - (d) The net amount after the above adjustments is balance as per Cash Book.

Bank Reconciliation Statement as on Mar 31, 2007

	Particulars	Rs
1.	Balance as per Pass Book (shown on Receipts side of the problem)	5,000
2.	Less: Cheque issued for Rent (unrepresented) (shown in information (i))	200
3.	Add: Cheque deposited for subscription (shown in information (v))	4,800
4.	Balance as per Cash Book (1 – 2 + 3 = 4)	2,000
		6,800 ^{*1}

^{*1} This amount has to be transferred and entered in the Opening Balance Sheet as Cash at Bank as per Cash Book.

Step 2

Opening Balance Sheet (or) Calculation of Capital Fund Balance Sheet as on Mar 31, 2007

Liabilities	Rs	Assets	Rs
Advertisement Outstanding (from payments side shown as for 2006–2007)	200	Cash in Hand (shown in Receipts side)	300
Capital Fund (balancing figure)	31,900	Cash at Bank as per Cash Book ^{*1} (calculated as above Stage I)	6,800
		Fixed Deposit (from information II)	
			25,000
	32,100		32,100

Step 3

Subscription Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Advance Subscription (shown in information iv)	50	By Bank A/c	3,000
To Income and Expenditure A/c (balancing figure) (to be transferred)	2,950	[Rs 4,000 – 2,000 + 1,000] (Receipts)(Apr 1, 2007) (Mar 31, 2008)	
	<u>3,000</u>		<u>3,000</u>

Step 4

Now, Bank Reconciliation Statement at the end of the year has to be prepared to ascertain Closing Balance of Cash at Bank as per Pass Book.

Bank Reconciliation Statement as on Mar 31, 2008

Particulars		Rs
1. Balance as per Pass Book (from (last item) Payments side)	Rs	5,500
2. Less: Cheque issued but not cashed (for Rent) Cheque deposited direct into Bank	100 50	150
3. Add: Interest on Fixed Deposit, Credited in Cash Book	1,000	5,350
4. Cheque for Subscription deposited but not collected Bank charges not entered in Cash Book	1,000 100	2,100
Balance as per Cash Book (1 – 2 + 3 = 4)		<u>7,450</u>

Step 5

Income and Expenditure Account for the year ending Mar 31, 2008

Dr.		Cr.	
Expenditure	Rs	Income	Rs
To Rent (payments side)	1,000	By Subscriptions (from subscription A/c)	2,950
Less: Paid last year (Information)	200	By Entertainment (from Receipts side)	2,700
Add: paid this year (Information)	800	By General Donation (from Receipts side)	1,200
	<u>100</u>	By Interest on Fixed Deposit (from information as on Mar 31, 2008)	1,000
To Entertainment (payments side)	900		
To Advertisement (payments side) (1,200 – 2,000)	1,500 1,000		
To Upkeep of Grounds (payments side)	800		
To Salary (payments side)	2,400		
To Petty Expenses (payments side)	100		
To Bank Charges (payments side)	100		
To Surplus	1,050		
(to transfer to Capital Fund)			
	<u>7,850</u>		<u>7,850</u>

Step 6**Balance Sheet as on Mar 31, 2008**

Liabilities	Rs	Assets	Rs
Capital Fund	Rs	Petty Cash in Hand	100
Opening Balance	31,900	Cash at Bank	7,400
Add: Surplus	1,050		
Add: Legacy	<u>1,000</u>	Fixed Deposit	25,000
Donation for Books		Capital Expenditure	3,000
Advance Subscription	50		
	<u>35,500</u>		<u>35,500</u>

Model 11**Illustration: 21**

The following is the Trial Balance of a Public School on Mar 31, 2005

Debit Balance	Rs	Credit Balance	Rs
Land	50,000	Capital Fund	15,60,000
Building	15,00,000	Tuition Fees Received	25,10,000
Furniture	3,00,000	Salaries Payable	1,75,000
Teacher's Salary	12,00,000	Prize Fund	2,00,000
Clerk's Salary	2,60,000	Tournament Fund	3,00,000
Investments	7,00,000	General Reserve Fund	2,00,000
Stationery	1,73,000	Interest received on Investments	77,000
Lighting	36,000	Donations for School Hall	1,50,000
General Expenses	65,000		
Prize Awarded	20,000		
Tournament Expenses	30,000		
Books	3,75,000		
Bank Balance	<u>4,63,000</u>		
	<u>51,72,000</u>		<u>51,72,000</u>

Depreciation of Building @ 2%, furniture @ 10% and Books @ 20%. The investments were made against various funds commonly.

Prepare Income and Expenditure Account for the year ending Mar 31, 2005 and the Balance Sheet on that date.

– [B. Com (Hons) Delhi 2004]

Solution

In this problem, Trial Balance is given. So, the following procedure has to be adopted step by step as discussed below:

Step 1: It is very much important to note that in case, Trial Balance is given, debit balances items have to be transferred to Income and Expenditure Account and recorded on Debit side only. Items relating to Nominal Accounts alone have to be transferred, with adjustments.

- Step 2:** Items appearing on credit balances (credit side in the problem) have to be transferred to Income and Expenditure Account and recorded on the Credit side. Only nominal accounts with credit balances will have to be transferred, with adjustments.
- Step 3:** Both sides are totaled. Surplus or Deficit will have to be transferred to Capital Fund in the Balance Sheet.
- Step 4:** Opening Balance Sheet need not be prepared. “Capital Fund” amount is given in Trial Balance itself. It may appear in different forms, General Fund, Prize Fund, Tournament Fund, Endowment Fund, and so on.
- Step 5:** All the other items (not relating to Nominal Accounts) will straightaway be recorded in the Closing Balance Sheet.
- Step 6:** Account with credit balances (non-nominal accounts) will be transferred to Balance Sheet and recorded on the “Liabilities side.”
- Step 7:** Non-nominal accounts with debit balances will be transferred to Balance Sheet and recorded on the “Assets side.”
- Step 8:** Accrued items will also be shown in Balance Sheet.
- Step 9:** Generally, some “specific funds” appear in Trial Balance. Such funds are different forms of Capital Fund. Such specific funds are recorded in the Balance Sheet.
- Step 10:** Income arises from a Specific Fund Investment, such income is not credited to Income and Expenditure Account. In this case it is added to the fund in the Balance Sheet.
- Step 11:** Expenses incurred relating to that specific fund, they are not transferred to Income and Expenditure Account but deducted from the fund in the Balance Sheet.
- (Note:** If there is no such specific fund, then in such cases, expenses are debited to Income and Expenditure Account.)
- Step 12:** Now, Income and Expenditure Account has to be prepared keeping in mind the steps discussed so far.

Income and Expenditure of Public School for the Year Ending Mar 31, 2008

Dr.			Cr.	
Expenditure		Rs	Income	Rs
Teachers' Salary		12,00,000	Tuition Fees	25,10,000
Clerk's Salary		2,60,000		
Stationery		1,73,000		
Lighting		36,000		
General Expenses	Rs	65,000		
Depreciation	30,000			
Building (2% on Rs 15,00,000)	30,000			
Furniture (10% on Rs 3,00,000)	75,000			
Books (20% on Rs 3,75,000)		1,35,000		
Excess of Income over Expenditure: Surplus (to be transferred to the Capital Fund)		6,41,000		
		25,10,000		25,10,000

Note: Only Nominal Accounts are recorded.

As Opening Balance is not needed and prepared, only Closing Balance Sheet is prepared.

Balance Sheet of a Public School as on Mar 31, 2008

Liabilities	Rs	Assets	Rs
Capital Fund	Rs 15,60,000	Land	Rs 50,000
Add: Surplus	6,41,000	Building	15,00,000
Prize Fund	2,00,000	Less: Deprecation @ 2%	30,000
Add: Interest	22,000	Furniture	3,00,000
	2,22,000	Less: Depreciation @ 10%	30,000
Less: Prizes awarded	20,000	Books	3,75,000
Tournament Fund	3,00,000	Less: Depreciation @ 20%	75,000
Add: Interest	33,000	Investments	4,63,000
	3,33,000	Bank Balance (last item in Dr. balance)	
Less: Tournament Exp.	30,000		
General Res. Fund:			
	2,00,000		
Add: Interest	22,000		
Donation for School			
Salaries Payable			
	1,50,000		
	1,75,000		
	32,53,000		32,53,000

Note: As the investments were made against various funds commonly, here the interest received Rs 77,000 is apportioned and added to the respective funds on the basis of fund.

invested, i.e. 2,00,000	3,00,000	2,00,000
↓	↓	↓
(Profit Fund)	(Tournament)	(General Reserve)
2	3	2
:	:	:
for Rs 77,000 = Rs 22,000: Rs 33,000: Rs 22,000		

OBJECTIVE 9: PREPARATION OF RECEIPTS AND PAYMENTS ACCOUNT FROM INCOME AND EXPENDITURE ACCOUNT

Step 1: Item: Opening Cash and Bank Balance: Particulars for this item is not found in Income and Expenditure. So, to prepare Receipts and Payments Account the amount has to be ascertained. It may be obtained either from the Opening Balance Sheet or Additional Information given in the problem. Such opening cash and bank balance are to be debited to Receipts and Payments Account. In case for any Bank Overdraft it has to be credited (credit side) to Receipts and Payments Account.

Step 2: Item: Income: Items appearing on the income side of Income and Expenditure Account relate to revenue nature only. Further, they pertain to the current accounting period only. So necessary adjustments have to be made to arrive at the figure to be recorded in Receipts and Payments Accounts for each item. (Just the reverse procedure has to be followed. What is followed in the preparation of Income and Expenditure Account from Receipts and Payments Account). Incomes relating to past, current or future periods are immaterial. But whatever is received whether they relate to any year has to be recorded and the following adjustment has to be made.

	Rs	Rs
A: Income (Revenue) as per Income and Expenditure A/c		
B: Add: (i) Outstanding income in the beginning of the year		
(ii) Advance income at the end of current year		

C: Less: (i) Outstanding income at the end of the year		
(ii) Advance income in the beginning of current year		
D: Receipts received during the current year		

This type of adjustment has to be carried on for every item shown in Receipts and Payments Account.

Step 3: Item: Expenses: Items appearing on the Expenditure side of Income and Expenditure Account are of revenue nature only. As they confine to current accounting period only, adjustments have to be made to include all such amounts, whether they relate to past, present or future, if they received in the current accounting period. For this the following adjustment has to be made.

A: Expenses (Revenue) as per Income and Expenditure A/c	=	
B: Add: (i) Outstanding Expenses in the beginning of current year		
(ii) Pre-paid Expenses at the end of current year		
C: Less: (i) Outstanding Expenses at the end of current year		
(ii) Pre-paid Expenses in the beginning of current year		
D: Payments (Revenue) during the current year	=	

Step 4: Item: Capital Receipts:

All Capital Receipts have to be ascertained. This can be obtained from Opening Balance Sheet and additional information given in the problem. Such Capital Receipts (i.e., fixed assets, special funds, etc.) are entered on the Debit side of Receipts and Payments Account.

Step 5: Item: Capital Expenditures: Items relating to capital expenses have to be ascertained and recorded on the Credit side of Receipts and Payments Account.

Step 6: Item: Depreciation Provision for doubtful debts (non-cash items) surplus or deficit, accrued items in the preparation of Receipts and Payments A/c.

Step 7: Item: Purchase of fixed assets: To ascertain the amount spent on the purchase of an asset, compare the value of the asset on two dates (opening and closing) after considering depreciation, the difference is the amount spent on purchase of an asset. This too has to be adjusted.

Step 8: Item: Closing Balance of cash and bank is to be calculated. The difference between the total of debit side and total of credit side has to be found out.

If the total of debit side exceeds the total of credit side show the cash balance (if the bank balance is given) or the bank balance (if the cash balance is given) on the Credit side of the Receipts and Payments Account. If the total of credit side exceeds the total of debit side, Bank Overdraft is shown on the Debit side of Receipts and Payments Account.

Illustration: 22

From the following information, extracted from Income and Expenditure Account, prepare a statement showing subscriptions received in 2007–2008 as per Receipts and Payments Account.

	Rs
(i) Income as per Income and Expenditure A/c	90,000
(ii) Subscriptions Advance Subscriptions received in 2006–2007	5,000
(iii) Subscriptions outstanding at the end of 2007–2008 (including Rs 500 for 2006–2007)	10,500
(iv) Advance Subscriptions received for 2008–2009	3,000
(a) Subscription written off in 2007–2008	1,000
(v) Subscriptions receivable on Apr 1, 2007	7,500
(vi) Subscriptions collected for 2007–2008 by the Treasurer but not deposited	1,500

Solution

	Rs	Rs
Step 1: A subscription income as per Income and Expenditure Account for 2007–2008		90,000
Step 2: B. Add: (i) Outstanding subscriptions in the beginning	7,500	
(ii) Advance subscriptions	<u>3,000</u>	<u>10,500</u>
Step 3: C. Less: (i) Subscriptions outstanding as on 2007–2008	10,000	1,00,500
(10,500 – 500)		
(ii) Advance subscriptions in the beginning (2006–2007)	5,000	
(iii) Subscriptions written off:	1,000	
(iv) Subscriptions collected but not deposited	<u>1,500</u>	
	<u>17,500</u>	17,500
Step 4: D. Subscriptions received as per Receipts and Payments A/c in 2007–2008		<u>83,000</u>

Model 12**Illustration: 23**

Calculate the total amount of salary paid in cash in 2008, from the following Income and Expenditure Account extract, to be included in Receipts and payments Account for the year ending Dec 31, 2008.

	Rs
Salary paid as per Income and Expenditure A/c for 2008	95,000
Outstanding Salary on Dec 31, 2008	15,000
Advance Salaries paid in 2007	7,500
Outstanding Salary on Jan 1, 2008	9,000
Advance Salary paid in 2008	16,500

Solution

Refer the procedure explained and computation of “Salary” has to be made as follows:

Statement showing calculation of Salaries Paid in 2008 to be Included in Receipts and Payments Account for the Year Ending Dec 31, 2008.

	Rs	Rs
Step 1: A Salaries as per Income and Expenditure A/c		95,000
Step 2: B. Add: (i) Outstanding Salary in the beginning (i.e.) Jan 1, 2008	9,000	
(ii) Advance Salary paid in 2008	<u>16,500</u>	<u>25,500</u>
Step 3: C. Less: (i) Outstanding Salary at the end (i.e.) Dec 31, 2008	15,000	1,20,500
(ii) Advance Salaries paid in 2007	<u>7,500</u>	<u>22,500</u>
Step 4: D. Salaries paid in 2008 to be included in Receipts and Payments A/c		<u>98,000</u>

Illustration: 24

In extract of Income and Expenditure Account for the year ending 2008 is shown below:

	Rs
(i) Expenditures stationery as per Income and Expenditure Account for 2008	75,000
(ii) Stock of stationery on Jan 1, 2008	15,000
(iii) Creditors for stationery on Jan 1, 2008	30,000

(iv) Creditors for stationery on Dec 31, 2008	12,000
(v) Advance payments for stationery in 2008	2,500
(vi) Stock of stationery on Dec 31, 2008	5,500
(vii) Advance payments for stationery on Jan 1, 2008	1,000

Calculate amount spent on stationeries to be included in Receipts and Payments Account for the year ending on Dec 31, 2008.

Solution

Statement Showing Calculation of Total Amount Spent on Stationeries in Receipt and Payments A/c for the Year Ending on Dec 31, 2008.

	Rs	Rs
Step 1: Expenditure on stationery as per Income and Expenditure A/c		75,000
Step 2: Add: (i) Advance payment for stationery in 2008	2,500	
(ii) Creditors for stationery on Jan 1, 2008 (paid in 2008)	30,000	
(iii) Stock of stationery on Dec 31, 2008	<u>5,500</u>	<u>38,000</u>
		1,13,000
Step 3: Less: (i) Stock of stationery on Jan 1, 2008	15,000	
(ii) Creditors for stationery on Dec 31, 2008	12,000	
(iii) Advance payments on stationery on Jan 1, 2008	<u>1,000</u>	<u>28,000</u>
		<u>85,000</u>

Amount spent on stationery for 2008 to be included in Receipts and Payments Accounts

Illustration: 25

You are required to prepare Receipts and Payments Account from the following Income and Expenditure A/c for the year 2008.

Dr.				Cr.
Expenditure	Rs	Income		Rs
To Rent	Rs	By Subscription	Rs	
Paid	9,000	Received	20,000	
Add: O/s at end	<u>1,000</u>	Add: O/s at the end	5,000	
Less: O/s In beg	<u>2,000</u>	Add: Advance in the	2,000	
To Insurance Premium		beginning	3,000	
Paid	5,000	Less: O/s in the beg	<u>1,000</u>	23,000
Add: Pre-paid in the	<u>1,000</u>	Less: Advance at the end		
beginning				
Less: Pre-paid in the end	<u>2,000</u>	By Entrance Fees (40%		12,000
To Sports Materials	6,000	capitalised)		
Add: Opening Stock	<u>1,000</u>	By Life Membership Fees		4,000
Less: Closing Stock	<u>2,750</u>	(60% capitalised)		
	4,250			

Dr.**Cr.**

Expenditure	Rs	Income	Rs	Rs
To Newspaper and Periodicals	1,000	By General Donations		5,000
To Depreciation @ 10% on old Building	7,000	By Locker Rent Received	Rs 3,000	
To Depreciation @10% on furniture bought on Jan 1, 2008	3,000	Add: 0/s at end	500	
To loss on sale of Sports Materials	750	Less: Advance end	<u>600</u>	2,900
(Book value: Rs 1000)		By Interest @10% on General Fund Investment Received	5,000	
To Salaries	4,000	Add: Accrued	<u>1,000</u>	6,000
To Surplus	27,000	By Sale of Newspapers		100
		By Income from Charity Show		
		Show Income	11,000	
		Less: Show Expenses	<u>5,000</u>	<u>6,000</u>
	<u>59,000</u>			<u>59,000</u>

Information

Cash Balance as on Jan 1, 2008	Rs 3,000
Cash Balance as on Dec 31, 2008	Rs 25,000
Bank Balance as on Jan 1, 2008	Rs 2,000

Solution**Note**

Remember the procedure discussed in the preparation of Receipts and Payments Account from Income and Expenditure Account, as discussed earlier.

Care should be taken to include all transactions whether they belong to capital natural or revenue nature.

Care should be taken while working out the balancing figure.

Receipts and Payments Account for the year ending Dec 31, 2008**Dr.****Cr.**

Receipts	Rs	Payments	Rs
To Balance b/d	Rs	By Rent	9,000
Cash	3,000		
Bank	25,000	By Insurances Premium	5,000
(from information)		By Sports Materials	6,000
To Subscription	20,000		
*j To Entrance Fees	20,000	By Newspaper and Periodicals	1,000
(60% capital +40% revenue)		By Furniture *3	30,000
*2 To Life Membership Fees	10,000		
(60% capital +40% revenue)			
To General Donations	5,000		

(Continued)

(Continued)

Dr.		Cr.	
Receipts	Rs	Payments	Rs
To Locker Rent	3,000	By Salaries	4,000
To Interest on General Fund Investments	5,000	By Charity Show Expenses	5,000
To Sale of Newspapers	100	By Balance c/d	
To Income from Charity Show	11,000		
To Sale of Sports Materials (Rs 1,000 – 750) (B.V – S.V)	250	Cash	25,000
		Bank*4	17,350
	<u>1,02,350</u>		<u>1,02,350</u>

Notes

1. In Income and Expenditure A/c only amount relating to revenue nature is recorded whereas in Receipts and Payments A/c the difference whether revenue or capital nature is ignored. So entire amount has to be shown. Here Entrance Fees 40% capitalised. So remaining 60% (being revenue nature as per instructions given in the problem) recorded in the question.

60% of Entrance Fees = Rs 12,000

100% of Entrance Fees = Rs 12,000 × 100/60

= Rs 20,000

2. Life Membership Fees:

40% is revenue nature

60% is capitalised as per instructions

40% of Life Membership Fees

= Rs 4,000

100% of Life Membership Fees

= Rs 4,000 × 100/60

= Rs 10,000

3. All capital items have to be recorded in Receipts and Payments Account.

As furniture was purchased on the very first day of the accounting year its cost has to be recorded.

As Depreciation @ 10% amounted to Rs 3,000

Cost of Furniture = $100/10 \times \text{Rs } 3000 = \text{Rs } 30,000$

As building exists for a long time, its value is ignored for the current accounting period.

4. This balancing figure is arrived at totalling both Receipts side and Payments side of the account.

(Sometimes this balancing figure may be debited, i.e. Receipts side. Such balance has to be written as Bank OverDraft).

Illustration: 26

The Income and Expenditure Account of the Chennai Club for the year ending at Mar 31, 2008 is as follows:

Dr.		Cr.	
Expenditure	Rs	Income	Rs
Salaries	90,000	Subscriptions	1,20,000
Printing and Stationery	5,000	Entrance Fees	5,000
Postage	300	Contribution to Dinner	27,000
Telephone	1,200		
General Expenses	9,000		

<i>Dr.</i>			<i>Cr.</i>
Expenditure	Rs	Income	Rs
Interest and Bank Charge	3,500		
Audit Fees	2,000		
Annual Dinner Expenses	15,000		
Depreciation	6,000		
Surplus	20,000		
	1,52,000		1,52,000

The account has been prepared after the following adjustments.

	Mar 31, 2007	Mar 31, 2008
	Rs	Rs
Subscription Outstanding	10,000	12,000
Subscription received in Advance	9,000	8,000
Salaries Outstanding	4,000	6,000
Audit Fee Outstanding	1,000	2,000
Land and Buildings	1,50,000	1,50,000
Sports Equipments	40,000	54,000
		(after 10% Depreciation)
Loan	50,000	50,000
Cash in Hand	—	20,000

You are required to prepare Receipts and Payments Account of the Chennai Club for the year 2007–2008 and the Balance Sheet as on Mar 31, 2008.

Solution

Notes

1. This problem is just a reverse to the previous ones.
2. All the items, which actually occurs during the Accounting Period (irrespective of the year it related), should be recorded.
3. All the missing information have to be computed by opening separate account.

Step 1: Subscription Account of the actual Subscription Amount Collected (balancing figure).

Step 2: Salaries Account to ascertain the amount spent on salaries (balancing figure).

Step 3: Sports Equipment Account to calculate the how much was purchased (balancing figure).

Step 4: Opening Balance Sheet (i.e) as on 31st Mar 2007 is prepared to compute Capital Fund (balancing figure).

Step 5: Receipts and Payments Account is to be prepared. The balancing figure on the receipts side is the Opening Balance of cash, i.e. Cash in Hand as on Mar 31, 2007. (This figure has to be transferred to Opening Balance Sheet.)

Step 6: Finally, Balance Sheet as on Mar 31, 2008 has to be prepared.

9.1 Preparation of Various Accounts

Subscription Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance u/d (o/s at Mar 31, 2007)	10,000	By Balance b/d (advance on Mar 31, 2007)	9,000
To Income and Exp. A/c (from the problem)	1,20,000	By Balance C/d (o/s on Mar 31, 2008)	12,000
To Balance C/d (advance on Mar 31, 2008)	8,000	* ¹ By Bank (balancing figure)	1,17,000
	<u>1,38,000</u>		<u>1,38,000</u>

*¹ This is the actual Subscription Amount received, to be transferred to Receipts and Payments Account.

Salaries Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Salaries O/s A/c (as on Mar 31, 2008)	6,000	By Salaries Outstanding (as on Mar 31, 2007)	4,000
* ² To Bank A/C (balancing Figure)	88,000	By Income and Expenditure (from the problem)	90,000
	<u>94,000</u>		<u>94,000</u>

*² This is the actual (really) amount spent on salaries during the accounting period, which has to be transferred to Receipts and Payments Account.

Sports Equipment Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance D/d (as on Mar 31, 2007)	40,000	By Depreciation A/c (from the problem)	6,000
* ³ To Bank A/c (balancing figure)	20,000	By Balance C/d (from information as on Mar 31, 2008)	54,000
	<u>60,000</u>		<u>60,000</u>

*³ This is the actual amount spent during the period to purchase sports equipment, which has to be recorded in Receipts and Payments Account.

Balance Sheet as on Mar 31, 2007

Liabilities	Rs	Assets	Rs
Loan (from Information)	50,000	Land and Buildings	1,50,000
Outstanding Salaries (as on Mar 31, 2007)	4,000	Sports Equipment (from information as on Mar 31, 2007)	40,000
O/s Audit fees (as on Mar 31, 2007)	1,000	Cash in Hand	14,000
Subscription received in advance (as on Mar 31, 2007)	9,000	*(the balancing figure from Receipts and Payments A/c)	
*Capital Fund (balancing figure)	1,50,000	Subscriptions Received (o/s at Mar 31, 2007)	10,000
	<u>2,14,000</u>		<u>2,14,000</u>

Note

*This figure is obtained after preparing Receipt and Payment Account (refer Step. V).

Receipts and Payments Account for the year ending as on Mar 31, 2008

Dr.			Cr.
Receipts	Rs	Payments	Rs
To Subscriptions (from Subscription A/c)	1,17,000	By Salaries (from Salaries A/c)	88,000
To Entrance Fees (from the Problem)	5,000	By Printing and Stationery (from the problem)	5,000
To Contribution to Dinner (from the Problem)	27,000	By Postage (from the problem)	300
* ⁴ To Balance b/d (Cash in Hand)	14,000	By Telephone (from the problem)	1,200
(balancing figure)		By General Expenses (from the problem)	9,000
		By Audit Fees (from the information)	1,000
		By Annual Dinner Expenses (from the problem)	15,000
		By Interest and Bank Charge (from the problem)	3,500
		By Purchase of Sports Equipments	20,000
		(from Purchase of Sports A/c)	
		By Balance C/d (from information as on Mar 31, 2008)	20,000
	<u>1,63,000</u>		<u>1,63,000</u>

Balance Sheet as on Mar 31, 2008

Liabilities	Rs	Assets	Rs
Capital Fund	1,50,000	Land and Buildings	1,50,000
Add: Surplus	<u>20,000</u>	Sports Equipment	54,000
(from problem)		(as on Mar 31, 2008)	
Loan		Subscriptions	12,000
Creditors for Expenses	50,000	(o/s on Mar 31, 2008)	
Salaries O/s	6,000	Cash in Hand	20,000
(as on Mar 31, 2008)		(as on Mar 31, 2008)	
Audit Fees	2,000		
(as on Mar 31, 2008)			
Subscriptions in Advance	8,000		
(in for: on Mar 31, 2008)			
	<u>2,36,000</u>		<u>2,36,000</u>

Model 13**Treatment of Profit and Loss from Trading Activities**

So far, we have discussed accounting treatment of various items relating to Not-for-Profit entities.

1. At times even some NPOs indulge in trading activities, e.g. a bar/restaurant run by a club drug/chemist shop by a hospital
2. In such cases, Trading Account for each of the trading activities has to be prepared to ascertain profit or loss.
3. Such profit/loss has to be transferred to Income and Expenditure Account.
4. Trading Account is prepared in the same manner as in case of commercial establishments.
5. In case if the figures for credit purchases or credit sales are missing in the questions, then a separate Total Creditors Account or Total Debtors Account has to be prepared to ascertain Credit Purchases and Credit Sales.
6. Finally, Balance Sheet is prepared in usual manner.

Illustration: 27

Bharat Club provides you the following information – Stock in Restaurant on Mar 31, 2007 Rs 3,900 and on Mar 31, 2008, Rs 4,500. Restaurant Takings Rs 3,61,600. Restaurant Purchases Rs 2,04,800 Wages (including Rs 50,000 for restaurant) Rs 92,300 fuel Rs 17,700. China Glass Cutlery on Mar 31, 2007 Rs 2,500. Depreciation @ 20% is to be provided on China Glass Cutlery.

Required: Show how you will deal with the above items while preparing Restaurant Trading Account, Income and Expenditure Account and Balance Sheet.

Solution

First, Trading Account has to be prepared

- (i) Items relating to Restaurant Trading Account alone are to be included. In this case, wages are shown as Rs 92,300. It includes Rs 50,000 for the restaurant. So, wages for the restaurant alone has to be taken into account.
- (ii) Income and Expenditure A/c is prepared.
- (iii) Finally, Balance Sheet is prepared.

Restaurant Trading Account for the Year Ending at Mar 31, 2008**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Opening Stock (Stock on Mar 31, 2007)	3,900	By Restaurant Takings	3,61,600
To Purchases	2,04,800	By Closing Stock	4,500
To Wages (restaurant only)	50,000		
To Fuel	17,700		
To Depreciation (@20% on Rs 2,500)	500		
To Surplus (Profit) (transferred to Income and Expenditure A/c)	89,200		
	<u>3,66,100</u>		<u>3,66,100</u>

Note

Opening Stock, as usual is entered on the debit side, followed by all expenses relating to the restaurant. Similarly, incomes (receipts) are entered on the credit side with closing stock. Difference between debit side and credit side is profit, here and is recorded as surplus. (Reverse the procedure if loss occurs and record it as deficit.)

Extract of Income and Expenditure Account for the Year Ended Mar 31, 2008**Dr.****Cr.**

Expenditure	Rs	Income	Rs
To Wages (not relating to restaurant) (Rs 92,300 – Rs 50,000)	42,300	By Profit from Restaurant	89,200

Extract of Balance Sheet as on Mar 31, 2008

Liabilities	Rs	Assets	Rs
		Restaurant Stock	4,500
		China Glass Cutlery	Rs 2500
		Less: Depreciation @20%	500
			2,000

Model 14**When Wrong Statements are Given****Illustration: 28**

The following is the so-called Income and Expenditure Account of Pearl City Club prepared by an account aspirant. It is submitted to you for audit.

Income and Expenditure Account as on Dec 31, 2008

Dr.			Cr.
Expenditure	Rs	Income	Rs
To Balance B/d	1,025	By Salaries Paid	2,080
To Annual Subscription		By Stationery Spent: 360	
For 2,250		Add: Stock 40	
Add: Received for 2007 40		By Stationery Purchased	400
Add: Received for 2009 80	2,370	By Telephone Expenses paid	100
To Interest received on 5%	500	(including paid for last year	
Rs 20,000 investments in hand		Rs 15)	
on Jan 1, 2008		By Balance C/d	1,315
	<u>3,895</u>		<u>3,895</u>

Additional Information

1. On Dec 31, 2007 building stood at Rs 10,000 and it is required to write off depreciation at 5%.
2. Telephone rent outstanding on Dec 31, 2008 was Rs 125.
3. Subscription in arrear amounted to Rs 100 for 2008. Do you approve this? If not pass your comments on this. Prepare corrected proper final accounts based on the information given in this problem.

Solution

This is a different type of problem, which can be best explained through illustration. This account relates to NPO. Account is prepared by a novice.

- (i) The very caption Income and Expenditure Account as on Dec 31, 2008 is not correct.
Reason: Income and Expenditure Account is to be recorded always as for the year ending Dec 31, 2008 and not as shown in the question.
Corrected statement: Income and Expenditure Account for the year ending Dec 31, 2008.
- (ii) Income and Expenditure A/c never starts with balance amount and never ends with the balance amount.
Such items are recorded here.
So they have to be deleted and a fresh Income and Expenditure has to be prepared.
- (iii) Here items on expenditure are shown on the debit side and items on incomes are shown on the credit side.
This is not correct.
So they have to be recorded vice versa and a correct new Income and Expenditure A/c has to be prepared.
- (iv) Items are to be recorded on accrual basis. Here it is not shown properly. They have to be shown in this account with proper adjustments.
- (v) Non-cash items – depreciation – is completely ignored here. So it has to be recorded properly.
- (vi) To ascertain cash balance at the end of the year, Receipts and Payments A/c has to be prepared.
- (vii) To compute Capital Fund in the beginning of the year, a Balance Sheet has to be prepared.
- (viii) To ascertain surplus/deficit and to correct the mistakes committed here, a fresh Income and Expenditure Account has to be prepared.
- (ix) To know the exact position of the club, a Balance Sheet at the end of the year has to be prepared.

Following are the revised final accounts:

Stage I: Preparation of Opening Balance Sheet

Balance Sheet as on Dec 31, 2007

Liabilities	Rs	Assets	Rs
Telephone Rent Outstanding	15	Building	10,000
* Capital Fund	31,050	Investments	20,000
(balancing figure)		Subscription Outstanding	40
		Cash in Hand	1,025
	<u>31,065</u>		<u>31,065</u>

(i.e., informations (items) relating to this date are recorded here).

Stage II: Preparation of Receipts and Payments Account

Receipts and Payments Account for the year ending Dec 31, 2008

Dr.			Cr.
Receipts	Rs	Payments	Rs
To Balance C/d	1,025	By Salaries	2,080
To Subscription		By Stationery	400
2007	40	By Telephone Expenses	100
2008	2,250	By Balance Cash in Hand	1,215
Less: Arrear 2008:	100		
	<u>2,150</u>		
	80		
To Interest	<u>500</u>		
	<u>3,795</u>		<u>3,795</u>

Stage III: Preparation of Income and Expenditure Account

Income and Expenditure Account for the year ending Dec 31, 2008

Dr.			Cr.
Expenditure	Rs	Income	Rs
To Salaries	2,080	By Subscription	2,250
To Stationery	360	By Interest	1,000
To Telephone Rent Paid:	100		
Less: per last year	<u>15</u>		
	085		
Add: Outstanding	<u>125</u>		
To Depreciation on Building	500		
To Excess of Income	100		
over Expenditure			
(balancing figure)	<u>3,250</u>		<u>3,250</u>

Stage IV: Closing Balance Sheet has to be prepared

Balance Sheet as on Dec 31, 2008

Liabilities	Rs	Assets	Rs
Capital Fund	31,050	Building	10,000
Add: Surplus Income	<u>100</u>	Less: Depreciation	<u>500</u>
Subscription received in advance	31,150	Investments	20,000
Outstanding Telephone Rent	80	Interest Accrued	500
	125	Subscription Accrued	100
		Stock of Stationery	40
		Cash in Hand	<u>1,215</u>
	<u>31,355</u>		<u>31,355</u>

Model 15

Illustration: 29

Correction of wrong statements

Modern (India) Citizens Club was registered in a city and the accountant prepared the following Receipts and Payments Account for the year ended on Mar 31, 2008 and showed a deficit of Rs 14,520:

Receipts	Rs	Payments	Rs
Subscriptions	62,130	Premises	30,000
Fair Receipts	7,200	Honorarium to Secretary	12,000
Variety Show Receipts (net)	12,810	Rent	2,400
Interest	690	Rates and Taxes	3,780
Bar Collections	22,350	Printing and Stationery	1,410
Cash Spent more	1,000	Wages	2,520
		Sundry Expenses	5,350
		Fair Expenses	7,170
		Bar Purchases Payments	17,310
		Repairs	960
		New Car	
		(Less: Proceeds of Old Car Rs 9,000)	37,800
		Deficit	
	<u>1,20,700</u>		<u>1,20,700</u>

Information

	Apr 1, 2007	Mar 31, 2008
	Rs	Rs
Cash in Hand	450	—
Bank Balance as per Pass Book	24,690	10,440
Cheque issued not presented for Sundry Expenses	270	90
Subscriptions Due	3,600	2,940
Premises at Cost	87,000	1,17,000
Accumulated Depreciation on Premises	5,64,000	—

	Apr 1, 2007	Mar 31, 2008
	Rs	Rs
Car at Cost	36,570	46,800
Accumulated Depreciation – Car	30,870	–
Bar Stock	2,130	2,610
Creditors for Bar Purchases	1,770	1,290

(a) Cash overspent represents honorarium to secretary not withdrawn due to cash deficit and his annual honorarium is Rs 12,000.

(b) Depreciation on premises and car is to be provided at 5% and 20% on written down value.

Required: Prepare the correct Receipts and Payments Account, Income and Expenditure Account for the year 2007–2008 and Balance Sheet as Mar 31, 2008.

[I.C.W.A (Inter) – Modified]

Solution: In order to prepare the correct Receipts and Payments Account, all the following workings have to be made as follows:

Step 1

Balance Sheet as on Mar 31, 2007

Liabilities	Rs	Assets	Rs
Creditors for Bar Purchases (information as on Apr 1, 2007)	1,770	Cash in Hand	450
Capital Fund (balancing figure)	65,130	Bank Balance as per Cash Book (Rs 24,690 – 270)	24,420
		Subscription Due (Given information as on Apr 1, 2007)	3,600
		Premises at Cost	87,000
		Less: Depreciation	56,400
		Car at Cost	36,750
		Less: Depreciation	30,870
		Bar Stock	2,130
	66,900		66,900

Note

Students should note that adjustment for depreciation is made in the Opening Balance Sheet itself because in the information as on Apr 1, 2007 shows accumulated depreciation, i.e. in the beginning of the accounting period itself. (Depreciation on Premises 5% and on Car @ 20% is calculated later).

Step 2

Subscription Account

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance B/d (shown in information)	3,600	By Balance C/d (from information as on Mar 31, 2008)	2,940
* To Income and Expenditure (balancing figure) A/c	61,470	By Bank A/c (from receipts side)	62,130
	65,070		65,070

Step 3

Creditors for Bar Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Bank A/c (from Payments side)	17,310	By Balance b/d (from information)	1,770
To Balance c/d (from information)	1,290	By Bar Stock A/c (Purchases) (balancing figure)	16,830
	<u>18,600</u>		<u>18,600</u>

Step 4

Bar Stock Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d (from information as on Apr 1, 2007)	2,130	*By Income and Expenditure A/c (balancing figure)	16,350
To Creditors for Bar stock (Purchases)	16,830	By Balance c/d (from information as on Mar 31, 2008)	2,610
	<u>18,960</u>		<u>18,960</u>

Step 5

Premises: Cost Calculation

	Rs
Original Cost as on Apr 1, 2007	87,000
Less: Accumulated Depreciation (on Apr 1, 2007)	<u>56,400</u>
Add: Purchases during the year	30,600
	<u>30,000</u>
Less: Depreciation @ 5% .	60,600
Cost of Premises to be shown in the Balance Sheet as on Mar 31, 2008	<u>3,030</u>
	<u>57,570</u>

Step 6

Profit on Sale of Car

	Rs
Original Cost (as on Apr 1, 2007)	36,570
Less: Accumulated Depreciation as on Apr 1, 2007	<u>30,870</u>
	<u>5,700</u>
Profit = Sale Price – Cost	
Rs 9,000 – 5,700	3,300
(Given) (Worked out)	
Profit on Sale of Car	3,300

Step 7**Cost of New Car**

Purchase Price = (Rs 37,800 + Rs 9,000)	46,800
Less: Depreciation @20%	<u>9,630</u>
	<u>37,440</u>

And now, main answers to question:

Receipts and Payments Account for the year ending on Mar 31, 2008

Dr.			Cr.
Receipts	Rs	Payments	Rs
Opening Balance		Premises	30,000
Cash Balance as per Cash Book	450	Honorarium to Secretary (Rs 12,000 – Rs 1,000)	11,000
Bank Balance as per Pass Book	24,690	Rent	2,400
Subscriptions	62,130	Rates and Taxes	3,780
Fair Receipts	7,200	Printing and Stationery	1,410
Variety Show Receipts	12,810	Sunday Expenses	5,530
Interest	690	(Rs 5,350 + 270 – 90)	
Bar Collections	22,350	Wages	2,520
		Fair Expenses	7,170
		Bar Purchases	17,310
		Repairs	960
		New Car	37,800
		Bank Balance as per Pass Book	10,440
	<u>1,30,320</u>		<u>1,30,320</u>

- Items recorded here are mostly transferred from the given problem, additional information as on Apr 1, 2007.
- Honorarium to Secretary Rs 12,000 given in additional information cash over spent Rs 1,000 is deducted.
- Sundry Expenses: figure shown in Receipt and Payment Account is adjusted with information on Apr 1, 2007 and Mar 31, 2008.

Income and Expenditure Account for the Year Ending on Mar 31, 2008

Dr.			Cr.
Expenditure	Rs	Income	Rs
To Honorarium to Secretary (amount entered as given)	12,000	By Subscriptions (from subscription A/c)	61,470
To Rent (given)	2,400	By Fair Receipts (Given)	7,200
To Rates and Taxes	3,780	By Variety Show Receipts (given)	12,810
To Printing and Stationery	1,410	By Interest (given)	
To Sundry Expenses (Rs 5,530 – 270 + 90)	5,350	By Bar Collections (given)	690
To Wages	2,520	By Profit on Sale of Old Car (refer working no vi)	22,350
To Fair Expenses	7,170		3,300
To Bar Stock consumed (from Bar Stock A/c)	16,350		

(Continued)

(Continued)

Dr.			Cr.
Expenditure	Rs	Income	Rs
To Repairs	960		
To Depreciation			
Premises	3,030		
Car (refer Working V and VII)	9,360		
To Surplus			
(transfer to Capital Fund)	43,490		
	<u>1,07,820</u>		<u>1,07,820</u>

Balance Sheet as on Mar 31, 2008

Liabilities	Rs	Assets	Rs
Creditors for Bar Purchase (given in information)	1,290	Premises (see: Workings: V)	57,570
Secretary Honorarium Outstanding	1,000	Car (see Working Vii)	37,440
Capital Fund: Rs		Bar Stock	2,610
Opening Balance 65,130		(see Inf: as a t Mar 31, 2008)	
(Open – B/s)		Subscriptions Due (See Inf As on Mar 31, 2008)	2,940
Add: Surplus <u>43,490</u>	1,08,620	Cash at Bank as per Cash Book	10,350
(from Inc and Exp) A/c		(Rs 10,440 – Rs 90)	
	<u>1,10,910</u>		<u>1,10,910</u>

Model 16 & 17**OBJECTIVE 10: PREPARATION OF RECEIPTS AND EXPENDITURE ACCOUNT FOR PROFESSIONALS****10.1 General Features**

- Professional people (doctors, accounts, solicitors adopt a different system of accounting, which is termed as Receipts and Expenditure Account. (The very name indicates that it is neither Receipts and Payments Account nor Income and Expenditure A/c.)
- Professionals maintain Cash Book and Stock Register.
- Income is computed on cash basis and Expenditure is computed on accrual basis, i.e. mercantile principles.
- Professionals generally prefer to prepare the following three accounts:
 1. Income and Expenditure Account: To find the surplus generated from their professional activities during an accounting period.

2. Receipts and Expenditure Account: To allocate such surplus among them.
3. Balance Sheet: To show financial position at the end of an accounting period.

10.2 Steps in the Preparation of Accounts of Professional Firm

Step 1: First, the Income and Expenditure Account is to be prepared in the usual manner, in addition, the following have to be recorded:

- (i) In the beginning, value of incomplete work is to be shown on expenditure side.
- (ii) Value of incomplete work at the end has to be recorded as the last item on income side.
- (iii) All fees and charges for completed work have to be recorded properly.

Step 2: “Surplus” from income and expenditure has to be transferred to “Receipts and Expenditure Account” and credited (i.e., enter on the Credit side of Receipt and Expenditure Account).

Step 3: Items relating to “Provision for Outstanding Fees and Charges” for the completed works and for the value of incomplete work – at the end of the year is to be recorded on the Expenditure side of Receipts and Expenditure as the first item (debited to Receipt and Expenditure A/c).

Step 4: Similarly, items relating to “Provision for Outstanding Fees and Charges” for completed work and for the value of incomplete work at the beginning of the year is to be recorded on the Receipts (income) side of the account as a last item (credited to Receipts and Expenditure Account).

Step 5: In case of partnership firms, make credit to partners for their share, if any.

Step 6: Finally, “Surplus” is apportioned among the partners in the agreed ratio.

Format of Income and Expenditure of a Professional Firm for the Year Ending on

<i>Dr.</i>			<i>Cr.</i>
Expenditure	Rs	Income	Rs
To Incomplete work in the beginning		By Bills of Cost Rendered	
A's Clients-----		(Fees Bills)	
B's Clients-----	xxx	A's Clients -----	xxx
To Salaries and Wages	xx	B's Clients -----	
To Stipend to Trainees	xx	By incomplete work at the end	
To Printing and Stationery	xx	A's Clients-----	
To Conveyance Charges	xx	B's Clients -----	xxx
To Traveling Expenses	xx		
To Postage and Telephone	xx		
To General Expenses	xx		
To Depreciation	xx		
Surplus			
To (Transfer to Receipts and Expenditure A/c)	xxx		
	xxx		xxx

Receipts and Expenditure Account for the ending on.....

Dr.			Cr.
Expenditure	Rs	Receipts (Income)	Rs
To Provision for Outstanding Fees and value of Incomplete Work cat (at the end)		By Surplus transferred from Income and Expenditure A/c	xx
A's Clients-----		By Provision for Outstanding fees and value of Incomplete Work (in the beginning)	
B's Clients -----	xx	A's Clients xx	xx
To Partner's Capital Accounts (Share in business)		B's Clients xx	xx
xx			
A-----			
B -----	xx		
To Partner's Capital Accounts (Surplus) (Balance)			
A -----			
B -----	xx		
	xxx		xxx

Model 18**Important Note**

- Professional people keep mainly two records: Cash Book and Stock Register
- Outstanding income is ignored, generally.
- But outstanding expenses are taken into account.
- That's the reason why this account is termed as Receipts and Expenditure Account.
- In Receipts and Expenditure Account, income is determined on cash basis and expenditure is determined on accrual basis, i.e. mercantile principle.

Illustration: 29

Dr. Kashyap is a neuro surgeon. The Receipts and Payments Account for the year 2008 is as follows:

Dr.			Cr.
Receipts	Rs	Payments	Rs
Balance b/d	20,500	Salaries to Staff	30,000
Fees	3,70,000	Rent	24,000
Miscellaneous Receipts	10,000	Journals, etc.	6,000
Sale of Old Equipments (Cost: Rs 40,000)	32,000	Books (Professional)	20,000
		Purchase of Equipments	40,000
		Stationery	1,000
		Conveyance	5,000
		Purchase of Medicines	1,50,000
		Furniture	24,000
		Drawings	1,00,000
		Cash in Hand	32,500
	4,32,500		4,32,500

Information

His position stood at Jan 1, 2008 is as follows:

Equipment: Rs 2,00,000; Medicines: Rs 30,000

Fees outstanding Rs 5,000; Books: Rs 40,000

Provide 10% Depreciation on Equipments and 20% on Books.

Further Information

Fees still outstanding (at the end): Rs 10,000

Salaries Still Payable (at the end): Rs 6,000

Stock of Medicines: Rs 4,000

You are required to prepare

(i) Receipts and Expenditure Account

(ii) Balance Sheet

Solution**Receipts and Expenditure Account of Dr. Kashyap for the Year Ending Dec 31, 2008**

Dr.			Cr.	
Expenditure	Rs		Receipts	Rs
Salaries 30,000			Fees Received: 3,70,000	
Add: Outstanding (end) <u>6,000</u>	36,000		Add: Outstanding <u>10,000</u>	3,80,000
Rent	24,000		(further information)	
Stationery	1,000		Miscellaneous Receipts	10,000
Journals, etc.	6,000			
Conveyance	5,000			
Loss on Sale of Equipment	8,000			
(40,000 – 32,000)				
Medicines used	1,76,000			
(1,50,000 + 30,000 – 4,000)				
Depreciation				
Equipment @10%	20,000			
Books @20%	12,000			
Reserve for O/S fees	10,000			
Surplus	92,000			
	<u>3,90,000</u>			<u>3,90,000</u>

Note 1: Working notes for depreciation

	Rs	
(i) Equipment	2,00,000	(shown in information)
Add: Purchase	40,000	(from payment side)
	2,40,000	
Less: Sale	40,000	(Cost Value)
	2,00,000	
Depreciation at 10%	20,000	

	Rs	
(ii) Books	40,000	(from information)
Add: Purchases	<u>20,000</u>	(from payment side)
	60,000	
Depreciation at 20%	<u>12,000</u>	

Note 2: As outstanding income is not included in principle, for practice it is added on Receipts side and the same amount is recorded as reserve on Expenditure side of this account.

Note 3: But outstanding expenses are recorded as visual. So salaries outstanding is shown without any further adjustments (same procedure as adopted for Income and Expenditure Account).

Balance Sheet as on Dec 31, 2007

Liabilities	Rs	Assets	Rs
Reserve for o/s Fees	5,000	Cash in Hand	20,500
Capital Fund		Equipment	2,00,000
(balancing figure)	2,90,500	Medicines	30,000
		Fees Outstanding	5,000
		Books	<u>40,000</u>
	<u>2,95,500</u>		<u>2,95,500</u>

Balance Sheet as on Dec 31, 2008

Liabilities	Rs	Assets	Rs
Capital	2,90,500	Cash in Hand	32,500
Add: Surplus	<u>92,000</u>	Equipment	2,00,000
	3,82,500	Add: Purchase	<u>40,000</u>
Less: Drawing	<u>1,00,000</u>		2,40,000
Salaries Outstanding	6,000	Less: Sale	<u>40,000</u>
Reserve: Fees o/s	10,000		2,00,000
		Less: Depreciation	<u>20,000</u>
		@10%	
		Books	40,000
		Add: Purchase	<u>20,000</u>
			60,000
		Less: Depreciation	<u>12,000</u>
		@20%	
		Medicines	24,000
		Furniture	10,000
		Fees o/s	
	<u>2,98,500</u>		<u>2,98,500</u>

Model 19**Illustration: 30**

Dr. V.P.B. Singh is a doctor by profession. The receipts and payments for the year 2008 is as follows:

Dr.			Cr.
Receipts	Rs	Payments	Rs
Balance b/d	25,000	Salaries	35,000
Fees including Surgery	3,00,000	Rent	20,000
Miscellaneous Receipts	10,000	Journals, etc.	10,000
Sale of Old Equipment (Cost: Rs 50,000)	40,000	Books	25,000
		Stationery	4,000
		Purchase of Medicines	60,000
		Purchase of Equipments	95,000
		Furniture	10,000
		Drawings	85,000
		Cash in Hand	31,000
	<u>3,75,000</u>		<u>3,75,000</u>

Information as on Jan 1, 2008

Equipment : Rs 2,00,000; Medicines : Rs 30,000
 Fees Outstanding : Rs 5,000; Books : Rs 20,000
 Provide Depreciation @10% on Equipment and 20% on Books.

Further information at the end of the year

Salaries still payable : Rs 5,500 (to attendants)
 Fees Outstanding : Rs 12,000
 Stock of Medicines : Rs 5,000

Required: Receipts and Expenditure Account for the year ending on Dec 31, 2008 and Balance Sheet on that date.

Solution

- Receipts and Expenditure Account has to be prepared for an individual but professional.
- Same procedure adopted in the previous illustration has to be followed.
- As this is not a partnership firm of professionals, no need to apportion capitals and net profit.
- Further, in this type of problem, there are no particulars relating to incomplete work, work in progress.
- So, straight away, Receipt and Expenditure Account may be prepared.
- As capital has to be fund out, opening Balance Sheet has also to be prepared.
- Finally, Balance Sheet as on Dec 31, 2008 is prepared.

Receipts and Expenditure Account of Dr. V.P.B. Singh for the Year Ending at Dec 31, 2008

Dr.**Cr.**

Expenditure	Rs	Receipts	Rs
Expenditure		Receipts	3,00,000
Salaries 35,000		Fees Received including Surgery	
Add: Outstanding (at end) <u>5,500</u>	40,500	Add: Outstanding fees <u>12,000</u>	
Rent 20,000		(shown as the end) <u>3,12,000</u>	
Stationery 4,000		Miscellaneous Receipts 10,000	
Journals 10,000			
Medicines used 30,000			
Beginning <u>60,000</u>			
Add: Purchases 90,000			
Less: Stock at end <u>5,000</u>	85,000		
Loss on Sale of Equipment 10,000			
(Rs 50,000 – 40,000)			
Depreciation on			
Equipments 24,500			
(10% of Rs 2,45,000)			
Books			
(20% of Rs 4,500) <u>900</u>	33,500		
Reserve for Outstanding fees 12,000			
Surplus <u>1,07,000</u>			
	<u>3,22,000</u>		<u>3,22,000</u>

Balance Sheet as on Dec 31, 2007 or Jan 1, 2008

Liabilities	Rs	Assets	Rs
Reserve (for outstanding fees) 5,000		Cash in Hand (op-balance) 25,000	
Capital: (balancing figure)		Equipments 2,00,000	
(to be transferred to Closing Balance Sheet) 2,75,000		(shown in information)	
		Medicines 30,000	
		(information as on Jan 1, 2008)	
		Fees Outstanding 5,000	
		(as on Jan 1, 2008)	
		Books (as on Jan 1, 2008) <u>20,000</u>	
	<u>2,80,000</u>		<u>2,80,000</u>

Balance Sheet as on Dec 31, 2008

Liabilities	Rs	Assets	Rs
Capital		Cash in Hand	31,000
(transfer from OPB/s) 2,75,000		(last item in payments side)	
Add: Surplus 1,07,000		Equipment	
(transfer from Receipt and Exp. A/c 3,82,000		Opening 2,00,000	
Less: Drawings		Add: Purchase 95,000	
(shown on Payments side) 85,000	2,97,000	2,95,000	
Salaries Outstanding	5,500	Less: Sale 50,000	
(as on Dec 31, 2008)		2,45,000	
Reserve for Fees Outstanding	12,000	Less: Depreciation 24,500	2,20,500
		@10%	
		Books	
		Opening 20,000	
		Add: Purchases 25,000	
		45,000	
		Less: Depreciation 9,000	36,000
		@20%	
		Furniture	10,000
		Medicines	5,000
		Fees Outstanding	12,000
	3,14,500		3,14,500

Model 20**Professional Concerns****Illustration: 31 (Partnership firm)**

X and Y are in partnership practicing as chartered accountants under the name EXY & Co. sharing profits and losses. They close their accounts on Mar 31 every year. The following was their Balance Sheet as on Mar 31, 2007.

Balance Sheet as on Mar 31, 2007

Liabilities	Rs	Assets	Rs
Partner Capital		Furniture	25,000
X: 80,000		Office Machinery	20,000
Y: 60,000	1,40,000	Library Books	10,000
Audit Fees Collected in Advance		Car	80,000
(X's Client) 15,000		Outstanding Audit fees	
Liability for Salary 7,000		X'S Client: 40,000	
Provision against Outstanding	70,000	Y'S Client: 30,000	70,000
Audit Fees		Cash as Bank	25,000
		Cash in Hand	2,000
	2,32,000		2,32,000

The following is the summary of their cash bank transactions for the year ending Mar 31, 2008:

Dr.			Cr.	
Receipts		Rs	Payments	Rs
Opening Bank Balance		25,000	Salary to Staff	2,60,000
Cash Balance		2,000	Car Expenses	30,000
Audit Fees			Traveling Expenses	20,000
X's Client's: 3,90,000			Printing and Stationery	21,000
Y's Client's: <u>2,65,000</u>	6,55,000		Postage Expenses	4,000
Fees for Other Services:			Telephone	17,000
X's Client's: 55,000			Subscription for Journals	10,000
Y's Client's: <u>35,000</u>	90,000		Library Books	15,000
Miscellaneous Income	5,000		Computer System	15,000
			Membership Fees	4,000
			Drawings	
			X: 1,80,000	
			Y: 1,60,000	3,40,000
			Cash at Bank	40,000
			Cash in Hand	1,000
		<u>7,77,000</u>		<u>7,77,000</u>

	Further Information	Rs
1.	Audit fees Receivable	
	X's Clients	35,000
	Y's Clients	45,000
2.	Audit fees collected in Advance	
	Y's Clients	15,000
3.	Outstanding Liability for Salary on Mar 31, 2008	17,000
4.	Depreciation to be provided on	10%
	Furniture	10%
	Office Machinery	10%
	Library Books	20%
	Car	

5. It has been agreed that 60% of audit fees and 50% of fees for other services should be transferred to Income and Expenditure Account in respect of each partner's account, the balance being credited directly to the capital accounts, you are required to prepare Income and Expenditure Account for the year ended Mar 31, 2008 and a Balance Sheet as on Mar 31, 2008.

[C.A. (Modified)]

Solution

Note:

1. This account has to be prepared for professionals who form partnership firms.
2. Their professional fees, after all adjustments, have to be apportioned in the ratio given, i.e. 60% to Income and Expenditure Account and 40% to capital accounts.

3. Fees for other services have also to be computed and 50% to be transferred to Income and Expenditure Account and the balance 50% to capital accounts.
4. After computing these, capital account has to be prepared.
5. Income and Expenditure Account is to be prepared and the Net Surplus should be transferred to Capital Account.
6. Finally, Balance Sheet is prepared.

These important points have to be kept in mind and computation is carried step by step as follows:

Important Note: As profit/loss ratio among the partners is not mentioned in the question, Net Surplus has to be apportioned among the partners equally.

Step 1

Computation of Audit Fees

Particulars	Rs	Rs
Collection (given in question) (Receipt)	3,90,000	2,65,000
Add: Outstanding on Mar 31, 2008 (given in information)	35,000	45,000
Add: Received Last Year (from question : in advance)	15,000	—
Less: Outstanding on Mar 31, 2007 (from Balance Sheet)	4,40,000	3,10,000
	40,000	30,000
Less: Received in advance on Mar 31, 2008 (from information)	4,00,000	2,80,000
	—	15,000
Add: Provisions (Opening Balance)	4,00,000	2,65,000
	40,000	30,000
Less: Provisions (Closing Balance)	4,40,000	2,95,000
	35,000	45,000
	4,05,000	2,50,000
* ¹ 60% to be transferred to Income and Expenditure Account	2,43,000	1,50,000
* ² 40% to be transferred to Capital Account of Partners	1,62,000	1,00,000

*¹ This is the amount received for audit fees to be credited in Income and Expenditure Accounts.

*² This amount has to be transferred to Capital Account of partners.

Step 2

Computation of fees for other services

	Rs	Rs
Collections (from receipts and payments A/c)	55,000	35,000
1. Less: 50% thereof to be transferred to Income and Expenditure A/c	27,500	17,500
2. Balance 50% taken to capital Account	27,500	17,500

Step 3

Capital Accounts

Dr.			Cr.		
Particulars	Rs	Rs	Particulars	Rs	Rs
Drawings (from question)	1,80,000	1,60,000	Balance b/d (from question)	80,000	60,000
Balance C/d (balancing figure)	1,10,750	1,10,750	Audit Fees (40%) (from 2)	1,62,000	1,00,000
			Fees for other services (from 4)	27,500	17,500
			Share of Surplus (from I & E A/c)	21,250	21,250
	<u>2,90,750</u>	<u>1,98,750</u>		<u>2,90,750</u>	<u>1,98,750</u>

Step 4

EXY & CO
Chartered Accountants
Income and Expenditure Account for the Year Ended Mar 31, 2008

Dr.		Cr.	
Expenditure	Rs	Income	Rs
Salary to Staff (Rs 2,60,000 + 17,000 – 7,000)	2,70,000	Audit Fees	
Car Expenses	30,000	X: 2,43,000	
Traveling Expenses	20,000	Y: <u>1,50,000</u>	3,93,000
Printing and Stationery	21,000	Fees for other Services	
Postage Expenses	4,000	X: 27,500	
Telephone	17,000	Y: <u>17,500</u>	45,000
Subscription: Journals	10,000	Miscellaneous Income	5,000
Membership Fees	4,000		
Depreciation			
Furniture 2,500			
Office Machinery 3,500			
Library Books 2,500			
Car <u>16,000</u>	24,500		
Surplus			
X'S Share: 21,250			
Y'S Share: 21,250	42,500		
	<u>4,43,000</u>		<u>4,43,000</u>

Step 5

EXY & CO
Balance Sheet as on Mar 31, 2008

Expenditure	Rs	Income	Rs
Partner's Capital		Furniture	25,000
X: 1,10,750	2,49,500	Less: Depreciation	<u>2,500</u>
Y: 1,38,750		@10%	
(transfer from Capital Account)		Office Machinery	35,000
Audit Fees Collected in Advance	15,000	(20,000 + 15,000)	
(Y's client)		Less : @10%	<u>3,500</u>
Liability for Salary	17,000	Depreciation	
Provision against Outstanding		Library Books	10,000
Audit Fees	80,000	Add:	15,000
(Rs 35,000 + 45,000)			25,000
		Less: 10% Dep.	<u>2,500</u>
		Car	80,000
		Less: 20% Dep.	<u>16,000</u>
		Outstanding Audit Fees	
		X's Clients:	35,000
		Y's Clients:	<u>45,000</u>
		Cash of Bank	40,000
		Cash in Hand	1,000
	<u>2,61,500</u>		<u>2,61,500</u>

Model 21**Illustration: 32**

M/s Sagar and Boond are a firm of solicitors whose partners Anand and Ashok share profits in equal shares after charging a management fee of 5% there of to Anand. For the year ended on Mar 31, 2008, the books maintained by the firm reveal the following particulars.

Capital	33,000	Office Rent	12,000
Drawings Anand	20,000	Office Expenses	3,600
Ashok	18,000	Furniture and Life Books	24,600
Life Insurance Premium		Clients Disbursements	2,600
Paid: Anand	6,000	Amount owing by Clients for bills	17,200
Ashok	12,000	of cost rendered	
Salaries to Staff and Juniors	46,000	Profit Costs	1,42,000
Amounts received from clients on Accounts	32,000	Fixed Deposits with Bank	15,000
of pending matter		Bank Accounts: Clients	31,800
Salary debts owing by firm	3,400	Office	6,600
Reserve against bills of costs not collected	5,000	Work in progress on Mar 31, 2008	8,200
with work in progress as on Apr 1, 2007			

The following additional information is also available.

- (a) Capital accounts of partners, at the beginning of the year, were of equal amounts.
- (b) Included in the bills of costs sent to clients are sundry disbursements like postage, telephone charges, etc. debited in the books of office expenses account. At the end of the year, items on the debit side of clients Disbursements Account amounting to Rs 3,200 had not been charged to clients in bills of costs. If Rs 200 was received and credited to their accounts in the year.

Required: Prepare Receipts and Expenditure Account of the firm for the year ended on Mar 31, 2008 and a Balance Sheet on that date.

Solution

- First, Receipts and Expenditure Account is prepared.
- This is for a firm of two partners. Their share is of equal amounts (i.e., Rs 33,000 – 16,500 for Anand and Rs 16,500 for Ashok). As such their Share in Surplus (Net Profit) is also to be divided equally among item, calculated from Income and Expenditure Account.
- Here, work in progress on Mar 31, 2008 (i.e., at the end) is shown in particulars. It has to be credited in Receipt and Expenditure Account.

Receipts and Payment Account for the year ending on Mar 31, 2008

<i>Dr.</i>			<i>Cr.</i>
Expenditure	Rs	Receipts	Rs
To Salaries for Staff	46,000	By Reserve against Bills of cost not collected and work in progress as on Apr 1, 2007	5,000
To Office Rent	12,000		1,42,000
To Office Expenses [Rs 3600 – (Rs 3200 – 2600)]	3,000	By Profit Costs	
To Reserve against Bills of Cost not collected and W.I.P (Rs 17,200 + 8,200)	25,400	By Work in Progress (as on Mar 31, 2008)	8,200
To Management Fee: Anand [5% on (1,55,200 – 89,400 = 68,800)]	3,440		
To Net Profit (transferred) to partners Capital A/c			
Anand: 32,680	65,360		
Ashok: 32,680			
	1,55,200		1,55,200

Note: Management fee for Anand is calculated as:

Total receipts: Rs 1,55,200 before entering this and Net Profit, total expenses = Rs 89,400. Profit before Anands fee = Rs 1,55,200 – 89,400 = Rs 68,800. 5% of this is Rs 3,440.

Balance Sheet of M/s Sagar & Boond as on Mar 31, 2008

Liabilities		Rs	Assets	Rs
Capital Accounts			Furniture and Library Books	24,600
Anand: OP. Balance	16,500		(from problem, i.e. question)	
(50% of 33,000)			Debtors for Bills of Cost	17,200
Add: Management Fee	3,440		Given as Amount owing by clients for bills of cost)	
(R & E A/c)			Work in Progress (W.I.P)	8,200
Add: Net Profit			(from question: on Mar 31, 2008)	
(R & E A/c)	<u>32,680</u>		Debtors for Disbursements	3,000
Less: Drawings	20,000	26,620	(from additional information on Rs 3200 – Rs 200)	
Less: L.I.C. Premium	6,000		Fixed Deposits with Bank	15,000
Ashok: OP. Balance	16,500		(As shown in problem)	
(50% of Rs 33,000)			Cash at Bank	
Add: Net Profit	<u>32,680</u>	19,180	Office: 6,600	
Less: Drawings	18,000		Clients: <u>31,800</u>	38,400
Less: L.I.C. Premium	<u>12,000</u>		(shown in problem)	
Reserve against Debtors not collected and W.I.P		25,400		
(Rs 17,200 + 8,200)				
Sundry Creditors		3,400		
(shown in problem)				
Clients Deposit		31,800		
(Rs 32,000 – 200)		<u>1,06,400</u>		<u>1,06,400</u>

Summary

- **Meaning:** Entities that are formed to promote any useful activities or to render any service to humanity are termed as NPOs
- **Basic Motives:** (i) To promote services to marking, (ii) To make financial gain should not be its main all in.
- **Salient Features:** Different kinds of services: no profit responsibility, funds from its members, ownership can neither be sold nor transferred, prohibition to declare any dividend, no trading activities and no need to prepare Trading and Profit and Loss Account.
- Final accounts of NPOs consist of three parts: (i) Receipts and Payments A/c, (ii) Income and Expenditure A/c and (iii) Balance Sheet.
- (i) Receipts and Payments A/c – Main features: a summary of cash receipts and cash payments – a real A/c – all transactions (capital and revenue) whether it belongs to past or future are recorded if such transactions occurred during the accounting period – but non-cash items, accrued incomes and unpaid, i.e. outstanding expenses not recorded – begins with opening balances of cash and bank – ends with closing balances of cash and bank – ends with closing balance of cash and bank and in between these all cash receipts and payments recorded. No specific end results.
- Why it is prepared? To ascertain the position of cash and bank balance of the concern in the beginning and at the end of the accounting period; sources of money received and money spent on different items.
- Preparation of Receipts and Payments A/c: Draw the format – first – opening balance of cash and bank on debit side (in case of bank O/D enter it in the credit side) – all receipts in cash (bank) cheque (both capital and revenue – belonging to past, present and future) are to be recorded in the debit side – all payments in the credit side – no need to record outstanding income and expense – both sides totaled – difference on the credit side – closing balance – difference on the debit side – closing Bank O/D.
- (ii) Income and Expenditure A/c – a Profit and Loss A/c of NPO – nominal account – items of income (items appearing in the Debit side of Receipts and Payment A/c) are recorded in the Credit side and

items of expenses (appearing on Payments side of Receipts and Payments A/c are recorded on the Debit side of this account and certain adjustments have to be made – capital receipts and capital expenditure ignored – but profit/loss on sale of such items appear in this account (profit – debit side, loss – credit side) items relating to current accounting period alone recorded – past or future excluded by adjustments – accrual basis non-cash items to be shown – (ref – accounting treatment explained with illustrations in the main part of the chapter. Both sides totaled – balance may be debit (excess of expenditure over income) or credit (excess of income over expenditure – this has to be adjusted with Capital Fund in the Balance Sheet, i.e. surplus (debit balance) or debit (credit balance) to be added or deducted from Capital Fund in the Balance Sheet – accompanied by Balance Sheet – ends with such surplus or deficit.

- Distinction between Income and Expenditure Account and Receipts and Payment Account – ref – tabular presentation.
- (iii) Balance Sheet: Format – usual – recording the assets on the right-hand side and the liabilities on the left-hand side – in this type – no capital – instead capital fund or general fund or accumulated fund or endowment word substituted – but generally capital fund represents net assets of NPOs – in addition specific funds find place – capitalised items added – creditors for purchases of supplies, Bank

O/D, outstanding expenses relating to the accounting date and incomes received in advance are the major items shown. Regarding the assets side – all assets are shown with adjustment adding assets purchased, deducting (book value) of assets sold and depreciation – stock of consumable materials with adjustments are recorded – closing balances of cash in hand and at bank – all outstanding incomes, finally pre-paid expenses at the end of the year are shown. For NPOs, two balance sheets are prepared one at the beginning of the accounting year and the other at the end of the accounting period.

- Special items and their accounting treatment, i.e. legacy donations, entrance fees, sale of fixed assets, endowment fund, honorarium, life membership fees, sale of newspapers, sports materials, etc. are described in detail with illustrations – refer main part of this chapter. General and special funds – funds in NPOs categorised unrestricted funds, restricted funds, property funds, endowment funds, annuity funds and loan funds in such funds, income and expenses of the special funds is not taken to Income and Expenditure A/c, such income is credited to the special fund in the balance sheet and expense is deducted from the fund. Accounting treatment for all other individual items – refer main part – illustrated with suitable examples.
- Problems are classified into ten categories and solving such problems are explained in minute details – step by step – stage by stage with apt illustrations.

Key Terms

Deficit Account: Excess of expenditures over income, i.e. the balance of account in Income and Expenditure Account. This has to be deducted from the Capital Fund in the Balance Sheet.

Donation: The amount given to an NPO by any person without getting any benefit from an NPO.

Endowment Fund or Capital Fund: This fund represents the net assets of the NPOs. The term “Capital Fund” is used instead of “Capital in the Balance Sheet.” This is also known as General Fund or Accumulated Fund.

Income and Expenditure Account: It is otherwise called as the Profit and Loss Account of NPOs.

Legacy: A capital receipt gifted to NPOs in cash or property as per the will of a deceased person.

Life Membership fees: Members of an NPO by paying a single substantial payment to attain membership (instead of paying annual subscription) can enjoy the facilities of NPO for life time. Such payment is Life Membership Fees, usually capitalised.

Not-for-Profit Organisations (NPO): Voluntary organisations or agencies or institutions founded to promote art, culture education, recreation, sports and other social and charitable purposes without profit motive.

Receipts and Expenditure Account: In this account, income is determined on cash basis and expenditure on accrual basis, suitable for professional concerns.

Receipt and Payment Account: A summary of cash/bank transactions of a NPO for a specified accounting period.

Subscription Fees: Amount paid by members of NPO periodically at regular intervals.

Surplus: Excess of income over expenditure, i.e. the balance of account in Income and Expenditure Account. This has to be transferred and added to Capital Fund in the Balance Sheet.

Trial Balance: A list of all accounts in the general ledger with their balances.

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A Objective-type Questions

I Multiple Choice Questions

1. The Receipts and Payments Account generally shows:
 - (a) Surplus
 - (b) A Credit Balance
 - (c) A Debit Balance
 - (d) Deficit
2. Treatment for Special Donations received:
 - (a) Should be treated as Revenue Receipt
 - (b) Should be treated based on its volume
 - (c) Should be credited as special account (head) and recorded in the Balance Sheet.
 - (d) None of the above
3. Income and Expenditure Accounts show a balance of
 - (a) Surplus or Deficit
 - (b) Cash in hand at the end
 - (c) Net Profit/Loss
 - (d) Capital Fund
4. Rent Paid in Advance during the accounting year is
 - (a) An Expense
 - (b) An Income
 - (c) An Asset
 - (d) A Liability
5. Subscription received in advance during an accounting year is
 - (a) An Income
 - (b) An Asset
 - (c) A Liability
 - (d) An Expense
6. Salaries outstanding at the end should be
 - (a) Shown on the assets side of the Balance Sheet
 - (b) Added to salaries and shown on expenditure side of the Income and Expenditure Account
 - (c) Shown only on Receipts and Payments Account
 - (d) None of the above
7. Depreciation is to be computed in general
 - (a) Only on the assets purchased during the year
 - (b) On assets which were throughout the year
 - (c) On (a) and (b) above
 - (d) None of the above
8. A second hand computer with system was purchased for Rs 5000. It was given for service and the amount charged for service was Rs 250. Installation charge Rs 100 was paid to the technician. Capitalised value to be recorded will be
 - (a) Rs 5,250
 - (b) Rs 5,100
 - (c) Rs 5,350
 - (d) Rs 5,000

9. At the beginning of accounting year the following particulars are extracted value of Assets Rs 25,000, Liabilities Rs 5000, Debit Balance of Income and Expenditure Account Rs 2,500. Then Capital Fund will be
 (a) Rs 32,500
 (b) Rs 22,500
 (c) Rs 27,500
 (d) Rs 20,000
10. Rent paid in the accounting year Rs 6,000. Rent paid in advance at the end of the year Rs 500. Rent outstanding but not yet paid for the year Rs 1,000.

The amount to be debited to Income and Expenditure Account is

- (a) Rs 6,500
 (b) Rs 5,500
 (c) Rs 6,000
 (d) Rs 7,000

Answers:

1. (c) 6. (b)
 2. (c) 7. (b)
 3. (a) 8. (c)
 4. (c) 9. (b)
 5. (c) 10. (a)

II State whether the following statements are True or False

- Receipts and Payments Account is a summary of cash transactions during an accounting period.
- Receipts and Payments Accounts only items relating to revenue in nature.
- Receipts and payments records items which relate to current accounting period only.
- Non-cash items are shown in Receipts and Payments Account.
- Closing Balance in Receipts and Payments Account represents either Surplus or Deficit.
- Opening Balance is recorded in Income and Expenditure Account.
- Income and Expenditure Account is a Nominal Account.
- Income and Expenditure Account is a summarised cash book.
- Income and Expenditure Account records only items of revenue in nature.
- NPOs undertake trading activities also.
- Amount spent for the purchase of books by a public library is of revenue nature.
- Entrance fee is always to be capitalised.
- Donations received for specific purposes is of revenue nature.
- Outstanding incomes need not be adjusted, if accounts are kept on an accrual basis.

- All assets will be shown in Income and Expenditure Account as income.
- Donations will appear on the liabilities side of a Balance Sheet.
- Life membership fees have always to be treated as of revenue nature.
- Fixed Deposit has always to be capitalised.
- Balancing figure in the preparation of Balance Sheet at the beginning of the year represents surplus of deficit.
- Expenses paid for current year will appear in the Balance Sheet.
- Pre-paid expenses is an asset.
- Outstanding income is a liability.
- While preparing final accounts of a professional firm, value of work in progress is not to be taken into account.
- Balance of surplus is allocated among the partners in an agreed ratio.

Answers:

- | | | | |
|----------|-----------|-----------|-----------|
| 1. True | 7. True | 13. False | 19. False |
| 2. False | 8. False | 14. False | 20. False |
| 3. False | 9. True | 15. False | 21. True |
| 4. False | 10. False | 16. True | 22. False |
| 5. False | 11. False | 17. False | 23. False |
| 6. False | 12. True | 18. True | 24. True |

III Fill in the blanks with appropriate word(s)

- The primary motive of NPO is to _____.
- The net result of the activities of Not-for-profit is termed as or _____.
- The Receipt and Payment Account is _____ Account.
- The Receipt and Payment Account starts with the opening Balance of _____ and _____.
- The Receipt and Payment Account ending with the Closing Balance of _____ and _____.
- The Receipt and Payment Account does not record _____ items.
- The Receipt and Payment Account records both _____ and _____ nature items.

8. An Income and Expenditure Account is _____ to Account like Profit and Loss Account.
9. An Income and Expenditure Account records only those items which are of _____ nature.
10. In an Income and Expenditure Accounts the balance at the end represents either _____ on _____.
11. The Net Surplus or Net Deficit arrived at an Income and Expenditure Account is transferred to the capital fund in _____.
12. Outstanding Expenses at the end of current year is treated as _____ end recorded in the balance sheet.
13. Income Received in Advance during an accounting period is treated as _____ and recorded in the balance sheet.
14. Likewise expenses spent in advance is _____.
15. Outstanding Income is _____.
16. Specific Donations are treated as _____ in preparation of Income and Expenditure Account.
17. Receipts as per pass book should be _____ by cheque deposited but not collected at the end of the year.
18. Life Membership Subscription is classified as _____ and so does not find place in Income and Expenditure Account.
19. Expenses paid for current year and incomes received for current year shall not be recorded in the _____.
20. Final accounts prepared for professionals is termed as _____ Account and not Income and Expenditure Account.
21. Provision for outstanding fees and charges at the end of the year is _____ in Receipts and Expenditure Account.
22. If income is Rs 25,700 and deficit debited to capital fund is Rs 9,300 expenditure is _____.
23. Entrance fees received is Rs 9,000. 40% should be capitalised. Amount to be recorded in Income and Expenditure is Rs _____.
24. Value of Books at the beginning of an accounting year is Rs 20,000. Books Purchased during the year is Rs 5,000. If its value is depreciated @ 10%, it is Rs _____.
25. Sports materials at the beginning of an accounting year is Rs 9,000. Purchased during the year Rs 6,000. Stock of sports materials at the end of the year is Rs 2,500, value of sports materials to be entered in Income and Expenditure Account is Rs _____.

Answers:

1. Render Service
2. Surplus or Deficit
3. Real
4. Cash and Bank
5. Cash and Bank
6. Non-Cash
7. Capital and Revenue
8. Nominal
9. Revenue
10. Surplus or Deficit
11. Balance Sheet
12. Liability
13. Liability
14. Asset
15. Asset
16. Capital
17. Receipt
18. Capital
19. Balance Sheet
20. Receipt and Expenditure
21. Expenditure
22. Rs 35,000
23. Rs 5,400
24. Rs 2,000 (Put a note as: Depreciation is allowed for the asset which remains throughout the year)
25. Rs 12,500

IV Very Short Answer Questions

1. What do you mean by NPO?
2. Give four examples (entries) for NPO.
3. Define Receipts and Payments Account.
4. How transactions are classified for preparing final accounts for NPO?
5. Give two examples for capital nature transactions.
6. Define Income and Expenditure Account.
7. Explain Net Surplus and Net Deficit in Income and Expenditure account.
8. Explain the terms capital fund.
9. Explain the term legacy.
10. What is the difference between membership subscription and life membership subscription?

B Short Answer-type Questions

1. Enlist the salient features of NPOs with few examples.
2. Explain the features of Receipt and Payment Account.
3. Enlist the differences between Receipt and Payment Account and Cash Book.
4. Explain the salient features of Income and Expenditure Account.
5. Distinguish between Receipt and Payment Account and Income and Expenditure Account.
6. Explain the Accounting Treatment for Subscription, i.e. items to be added and deducted.
7. Explain the term income and how will it be calculated?
8. Explain the term expenditure and how will it be calculated?
9. What is meant by Accounting Standard? Explain Accounting Standard (AS) – 9 relating to entrance fees.

C Essay-type Questions

1. List the salient features of the NPOs with suitable examples.
2. Explain the various steps involved in the preparation of Income and Expenditure Account from Receipts and Payments Account.
3. Enlist the important stages to be followed while preparing Opening Balance Sheet and Closing Balance Sheet on the basis of information from Receipts and Payments Account and Income and Expenditure Account.
4. Enumerate the features of Receipts and Payments Account.
5. Explain the steps to be followed in the preparation of Receipts and Payments Account from Income and Expenditure Account.
6. Explain the important points to be followed in the preparation of Receipts and Payments Account from Income and Expenditure Account.
7. Explain the salient features of Receipts and Expenditure Account to be prepared for professionals.
8. Discuss the salient features in the preparation of Restaurant Trading Account.

D Exercises

1. In 2008, the subscriptions received by the Golden Club, Jajpur were Rs 30,750 including Rs 250 for 2007 and Rs 500 for the year 2009 at the end of 2008. Subscriptions outstanding for 2008 were Rs 1,000. The subscriptions due but not received at the end of the previous year, i.e. Dec 31, 2007 were Rs 300 while subscriptions received in advance on the same date were Rs 750. Calculate the amount of subscriptions to be credited to Income and Expenditure Account for the year ending Dec 31, 2008.

Answer: Rs 31,450

2. From the above information draw an extract of Balance Sheet on Dec 31, 2008.

Answer:

Balance Sheet: Liabilities: Subscriptions received in advance Rs 500

Assets: Subscriptions outstanding Rs 1,000

3. From the following extracts of Receipts and Payments Account and additional information, you are required to calculate the income from subscriptions for the year ending Dec 31, 2008.

Receipts and Payments Account for the Year Ending Dec 31, 2008

Receipts	Rs	Payments	Rs
Subscriptions			
2007: Rs 3,000			
2008: Rs 25,000			
2009: Rs 5,000	33,000		

Additional Information

- (a) Subscriptions Outstanding on Dec 31, 2007: Rs 7,000
- (b) Subscriptions Outstanding on Dec 31, 2008: Rs 6,000
- (c) Subscriptions Received in Advance on Dec 31, 2007: Rs 5,000

Answer: Rs 32,000

4. From the above sum, prepare the Balance sheet as on Dec 31, 2008.

Answer:

Balance Sheet: Liabilities: Subscriptions received in advance Rs 5,000

Assets: Subscriptions outstanding Rs 6,000

5. From the following calculate the amount of subscriptions to be included in the Income and Expenditure account for the year ended Mar 31, 2008.

For the year ending 2006–2007: Rs 15,000

For the year ending 2007–2008: Rs 2,00,000

For the year ending 2008–2009: Rs 25,000

Subscriptions outstanding as on Mar 31, 2007 were Rs 40,000 out of which Rs 3,000 were considered irrecoverable. On the same date, subscriptions received in advance for 2007–2008 were Rs 20,000, Subscriptions still outstanding as on Mar 31, 2008 amounted to Rs 50,000.

Answer:

Subscriptions Account: Amount to be included in the Income & Expenditure Account = Rs 2,48,000

6. There are 500 members of a club, each paying annual subscription of Rs 100. On Mar 31, 2007, subscription in arrears amounted to Rs 7,500 subscriptions received during the year ended Mar 31, 2008 amounted to Rs 48,000 including Rs 3,000 for the year 2006–2007 and Rs 8,000 for the year 2007–2008 calculate the amount of subscription in arrears as on Mar 31, 2008 by preparing the subscriptions accounts.

Answer: Rs 14,500

7. Calculate the income from subscription for the year 2008 from the following particulars of a club:

	Jan 1, 2008	Dec 12, 2008
	Rs	Rs
Outstanding Subscription	14,500	11,000
Advance Subscription	3,200	6,000
Subscription received during 2008: Rs 2,20,500		

Answer: Rs 2,14,200

8. Prepare Income and Expenditure Account for the year ending on Dec 31, 2008 and the Balance Sheet on that date from the following particulars

Extract of Receipts and Payments Account for the Year Ending at Dec 31, 2008

Dr.

Cr.

Receipts	Rs	Payments	Rs
Subscriptions	5,750		
2007: Rs 1,000			
2008: Rs 4,000			
2009: Rs 750			

Information

The club has 50 members each paying an annual subscription of Rs 100. Subscriptions outstanding on Dec 31, 2008 were Rs 1,600.

Answer:

Income & Expenditure A/c: Subscriptions (Income): Rs 5,000

Balance Sheet: Liabilities: Subscriptions received in advance Rs 750

Assets: Outstanding Subscriptions Rs 1,600

9. How will you deal with the following items while preparing the final accounts for the year 2008 of a NPO?

- (i) Subscription received during 2008 for the year 2007: Rs 8,000; for 2008: Rs 70,000; for 2009: Rs 7,500.
- (ii) Subscription received in advance on Dec 31, 2007: Rs 5,000
- (iii) Subscription outstanding as on Dec 31, 2007: Rs 9,000
- (iv) Subscription outstanding for the year 2008: Rs 6,000

Answer:

Income & Expenditure A/c: Subscriptions (Income): Rs 81,000

Balance Sheet: Liabilities: Subscriptions received in advance Rs 7,500

Assets: Outstanding Subscriptions Rs 6,000

10. Prepare Subscription Account from the following items for the year ending on Mar 31, 2008.

- (i) Subscription in arrears on Mar 31, 2007: Rs 750
- (ii) Subscription received in advance on Mar 31, 2008: Rs 1,500
- (iii) Total Subscription received during 2007–2008 (including Rs 900 for 2006–2007, Rs 1,000 for 2007–2008, and Rs 400 for 2008–2009) : Rs 47,600.
- (iv) Subscription outstanding for 2007–2008: Rs 700.

Answer: Rs 47,800

11. From the following extract of Receipts and Payments Account and the Additional Information, prepare Income and Expenditure Account for the year ending on Dec 31, 2008 and the Balance Sheet on that date.

Extract of Receipts and Payments Account for the Year Ending on Dec 31, 2008

Dr.

Cr.

Receipts	Rs	Payments	Rs
Subscriptions			
2007: 10,000			
2008: 95,000			
2009: 7,500			

Additional Information

Subscription outstanding as on Dec 31, 2007: Rs 11,000

Subscription received in advance as on Dec 31, 2007: Rs 5,400
(including Rs 1,400 for 2008).

There are 1,000 memberships each paying an annual subscription of Rs 100.

Answer:

Income & Expenditure A/c: Subscriptions (Income): Rs 1,00,000

Balance Sheet: Liabilities: Subscriptions received in advance Rs 11,500

Assets: Outstanding Subscriptions Rs 11,000

12. Prepare the final accounts of a sports club with the following particulars for the year ended Mar 31, 2008.

Prizes awarded: Rs 4,000

Prize fund as on Mar 31, 2007: Rs 25,000

Donations for prizes received during 2007–2008: Rs 6,000

10% Prize Fund Investments as on Mar 31, 2007: Rs 38,000

Interest received on Prize Fund Investments: Rs 3,800

Answer: Balance Sheet: Liability: Prize Fund: Rs 30,800

13. How will you deal with the following particulars while preparing the final account for the year ending on Mar 31, 2009?

Expenditure on construction of a pavilion Rs 5,00,000, pavilion fund as on Mar 31, 2008: Rs 7,50,000

Donations to Pavilion fund received on May 31, 2008: Rs 10,00,000.

Capital funds as on Mar 31, 2008: Rs 9,75,000

Answer:

Balance Sheet: Liabilities

i) Capital Fund: Rs 14,75,000

ii) Pavilion Fund: Rs 12,50,000

14. How will you deal with the following while preparing the final accounts for the year ending on Mar 31, 2008. Sports equipments as on Mar 31, 2007 Rs 1,50,000 Equipments (book value on Apr 1, 2007 Rs 40,000) sold at a loss of 25% on Sep 1, 2007 provide 10% depreciation on equipments. Equipments costing Rs 2,00,000 were purchased on Dec 31, 2007.

Answer:

Equipment Account: Rs 2,94,000; Total: Rs 3,50,000

15. Prepare Income and Expenditure Account for the year ending on Mar 31, 2009 and the Balance Sheet on that date with the following items:

(i) Life membership fees received during the year Rs 37,500

(ii) Tournament Fund:

Balance as on Apr 1, 2008: Rs 7,500

Donations Received for Tournament during the year Rs 51,600

Answer:

Balance Sheet: Liability:

i) Life Membership Fee: Rs 37,500 (to be added to Capital Fund)

ii) Tournament Fund: Rs 15,900

16. Prepare the Office Machinery Account for the year ending on Mar 31, 2009.

Office Machinery as on Mar 31, 2008: Rs 80,000

Office Machinery (having book value as Apr 1, 2008 of Rs 30,000) sold at a loss of 25% on Sep 1, 2008

Machinery is to be depreciated at 10% p.a.

Machinery costing Rs 75,000 was purchased on Jan 1, 2009

Answer:

Machinery Account: Rs 1,18,125; Total: Rs 1,55,000

17. Prepare final accounts from the following particulars for the year ending on Mar 31, 2009.

	As on Apr 1, 2008	As on Mar 31, 2009
	Rs	Rs
Creditors for Sports Materials	3,000	7,500
Stock of Sports Materials	9,000	18,000

During the year 2008–2009, the payments made to these creditors amounted to Rs 30,000 and cash purchases were Rs 10,000.

Answer:

i) Creditors for Sports Materials Account: Rs 34,500

ii) Stock of Sports Materials Account: Rs 35,500

iii) Income & Expenditure Account: Sports Materials Consumed: Rs 35,500

iv) Balance Sheet: Liabilities: Creditors for Sports Materials: Rs 7,500

Assets: Stock – Sports Materials: Rs 18,000

18. Salaries paid by a club during 2008 amounted to Rs 24,000. With the following further information prepare Income and Expenditure Account.

	Dec 31, 2007	Dec 31, 2008
	Rs	Rs
Pre-paid Salary	2,000	3,500
Unpaid Salary	5,000	2,000

Answer:

Income & Expenditure A/c: Salaries (Expenditure): Rs 19,500

19. How will you deal with the following items while preparing the final accounts for the year 2008?

	Dec 31, 2007	Dec 31, 2008
	Rs	Rs
Outstanding Locker Rent	800	1,200
Advance Locker Rent	750	900

Locker Rent Received during the year 2008: Rs 4,800.

Answer:

Income & Expenditure A/c: Rent (Expenditure): Rs 5,050

20. Calculate the amount of stationery posted to Income and Expenditure Account for the year ending on Dec 31, 2008.

	Jan 1, 2008	Dec 31, 2008
	Rs	Rs
Stock of Stationery	500	200
Creditors for Stationery	400	250
Advance Paid for Stationery	100	150

Amount Paid for Stationery during the year 2008: Rs 2,200.

Answer:

Income & Expenditure A/c: Stationary (Expenditure): Rs 2,300

21. Compute the amount of stationery to be shown in the Income and Expenditure Account for the year ending at Dec 31, 2008.

	Rs
Stock of Stationery as on Jan 1, 2008	4,500
Unpaid during the year ending	500
Unpaid during the year ending on Dec 31, 2008	1,700
Pre-paid during the year ending on Dec 31, 2007	1,000
Pre-paid during the year ending on Dec 31, 2008	1,300
Payments to stationery during the year 2008	20,550

Answer:

Income & Expenditure A/c: Stationary (Expenditure): Rs 25,950

22. Explain the treatment for entrance fees with the following items while preparing the final accounts for the year ending on Mar 31, 2009.

Entrance fees received during the year 2008–2009: Rs 3,50,000. 60% of the entrance fees is to be capitalised.

Answer:

Balance Sheet: Liability: Rs 2,10,000

Income & Expenditure: Income: Rs 1,40,000

23. Explain the Accounting Treatment for the following items for the year ending on Mar 31, 2009.

Particulars	Debit Rs	Credit Rs
Tournament Fund	—	8,000

Tournament Fund Investment	8,000	
Income from Tournament Fund Investment	—	1,600
Tournament Expenses	1,000	—

Answer:

Balance Sheet: Liabilities: Rs 8,600

Assets: Rs 8,000

24. Prepare Restaurant Trading Accounts.

Stock in Restaurant on Mar 31, 2008: Rs 6,000 and on Mar 31, 2009: Rs 11,000. Restaurant purchases Rs 4,50,000. Restaurant takings Rs 7,80,000. Wages (including Rs 75,000 for the Restaurant) Rs 1,20,000. Fuel Rs 27,500. Cooking utensils on Mar 31, 2008: Rs 10,000. Depreciate cooking vessels @10%.

Answer:

Restaurant Trading Account:

Surplus: Rs 2,31,500

(Note: In this problem, cost of boarding expenses of general staff is not given)

25. From the following particulars prepare the Income and Expenditure Account for the year ending at Dec 31, 2008.

	Rs
Subscriptions received during the year	9,000
Subscriptions outstanding at Dec 31, 2008	1,700
Subscriptions received in advance at Dec 31, 2008	200
Life membership fees	2,500
Donations received	3,000
Interest received	250
Printing, postage and stationery	750
Office Expenses	1,200
Investments purchased	4,000
Outstanding office expenses at Dec 31, 2008	600

Answer:

Income & Expenditure A/c: Surplus: Rs 11,200

Hint: Life Membership Fee & Investment: Capitalised

26. Prepare Receipts and Payments Account of Leo Club, Delhi for the year ending on Dec 31, 2008.

	Rs
Cash at Jan 1, 2008	3,275
Subscriptions received (including Rs 200 for the year 2007 and Rs 250 for the year 2009)	9,725
Salaries	1,000
Life Membership subscription	500
Newspapers purchased	300
Books purchased	1,000
Donations received	2,000
Taxes Paid	250
Sale of Old Newspaper	50
Sale of Old Sports Materials	100
10% Tournament Fund Investments (invested on Sep 30, 2008)	5,000
Subscription for Tournament Received (on Sep 30, 2008)	5,000
Tournament Expenses	700
Sale of Old Machine	
Sports Materials purchased	1,000

Interest on Tournament Fund Investment	125
Printing and Stationery	200
Furniture	500

Answer: Receipts & Payments A/c: Balance c/d Closing Balance: Rs 11,580 Total: Rs 21,530

27. Prepare Income and Expenditure Account for the year ending on Dec 31, 2008

	Rs
Subscriptions received (including Rs 5,000 for 2007 and Rs 4,000 for 2009)	65,000
Sports Equipment purchased	20,000
Printing and Stationery	3,200
Salary paid (including Rs 100 for 2007)	12,000
Donations received	5,000
Rent Paid	6,000
Salary outstanding for 2008	700
Tournament Expenses	2,300
Entrance Fees (60% to be capitalised)	8,000
Entertainment Expenses	1,800
Subscriptions due but not received for 2008	7,500

Answer: Income & Expenditure A/c: Surplus: Rs 46,700 Total: Rs 71,700

28. Summary of Cash Book: Prepare Income and Expenditure Account

Dr.

Cr.

Receipts	Rs	Payments	Rs
To Balance		By Salaries	2,000
Cash at Bank: Rs 3,000		By Rent	600
Cash at Hand: Rs 500	3,500	By Stationery	1,400
To subscriptions (including Rs 400 for 2007)	19,500	By Postage	250
To Interest on Bank I.D.	200	By Scooter	17,000
To Sale of Old Scooter	3,800	By Fixed Deposit	4,000
		By Balance	1,500
		Cash at Bank	250
	<u>27,000</u>	Cash in Hand	<u>27,000</u>

Subscriptions due for the year are Rs 1,500 and received in advance for year 2009 are Rs 700. The written down value of scooter sold Rs 4,000. Depreciate the value of scooter @ 10%.

Answer: Income & Expenditure A/c: Surplus: Rs 13,950 Total: Rs 20,100

E Question Bank – Exercises

1. From the following particulars you are required to prepare Income and Expenditure Account of Kolkata Golf Club for the year ending on Dec 31, 2008 and the Balance Sheet as on Dec 31, 2008.

	Rs
Subscriptions received for 2008	21,000
Entrance fees received for 2008	1,500
Subscriptions for 2007, estimated Rs 300 has been realised	560
Subscriptions and entrances fees received for 2009	3,100

Subscriptions for 2008 due Rs 4,000 but to be taken at	2,000
Locker Rent received for 2008	3,200
Green fees received for 2008	1,000
Expenses for 2008 paid	6,000
Expenses unpaid	460
Liabilities for 2007 paid (estimated at Rs 1,400)	1,200
Audit fees for 2008 not paid	400
Profit on service account (met)	4,600
Interest on loan paid	640
Loan Taken	8,000
Balance of Capital Expenditure	50,000
Capital Expenditure written off	2,400
Surplus for 2007	4,240
Capital Expenditure in 2008	600
Cash in Hand	5,000

(B.Com Kolkata — Modified)

Answer: (i) Excess of Income over Expenditure: Rs 23,860

(ii) Balance Sheet: Rs 55,200

Hint: Entrance fees Revenue item outstanding subscription: Rs 2,000

2. From the following Receipts and Payments Account of Stars Cricket Club, prepare Income and Expenditure Account for the year ending Dec 31, 2008 and the Balance Sheet as on that date.

Dr.		Cr.	
Receipts	Rs	Payments	Rs
Balance b/d	5,700	Salaries	8,500
Subscription		Printing	4,900
2007 500		Purchase of Investments	16,000
2008 17,900		Expenditure on Refreshment	8,400
2009 1,100	19,500	Payment of Expenses of the last year	680
Donations for Cricket Club	12,000	Additions of Club Building	8,000
Sale of Furniture	600	Cost of Gold Medal	350
Interest on Investments	2,400	balance c/d	4,570
Sale of Refreshments	11,200		
	<u>51,400</u>		<u>51,400</u>

In addition to the above, the following further details are available from the accounts of the club:

- The assets on Jan 1, 2008 include club building Rs 30,000; investments Rs 12,000; furniture Rs 4,000. The liabilities on Jan 1, 2008 include an account styled Cricket Prizes Fund Account Rs 10,000.
- Of interest on investments, Rs 300 pertains to last year and Rs 640 is still owing.
- Stock of refreshments at the end of the year was valued at Rs 110.
- The Cricket Prize Fund was not separately invested. It was decided to set apart every year Rs 400 from the interest income of the club to be utilised for the purpose of awarding a gold medal to the best cricketer of the year.

[B.Com (Hons) Delhi 2004 — Modified]**Answer:** (i) Excess of Income over Expenditure Rs 9,750

(ii) Capital Fund Rs 41,820, Balance Sheet Rs 52,500

(iii) Balance Sheet as on Dec 31, 2008: Rs 74,720

[As book value of furniture (sold) is not given in the question, either profit on sale nor loss on sale was recorded in the entire and expenditure account. The entire sale value was adjusted in the final Balance Sheet]

3. The following is the Trial Balance of a public school on Mar 31, 2009.

Debit Balance	Rs	Credit Balance	Rs
Land	25,000	Capital Fund	7,80,000
Building	7,50,000	Tuition Fee Received	12,55,000
Furniture	1,50,000	Salaries Payable	87,500
Teacher Salary	6,00,000	Prize Fund	1,00,000
Clerks Salary	1,30,000	Tournament Fund	1,50,000
Investments	3,50,000	General Reserve fund	1,00,000
Stationery	86,500	General Reserve fund	38,500
Lighting	18,000	Interest received on	75,000
General Expenses	32,500	Investments	
Prizes Awarded	10,000	Donations for School Hall	
Tournament Express	15,000		
Books	1,87,500		
Bank Balance	2,31,500		
	<u>25,86,000</u>		<u>28,86,000</u>

Depreciate Building @ 2% furniture @ 10% and Books @ 20%. The investments were made against various funds commonly.

Prepare Income and Expenditure Account for the year ending Mar 31, 2009 and the Balance Sheet as on that date.

[B. Com (Hons) Delhi 2004 – Modified]

Answer: (i) Excess of Income over Expenditure (Surplus) Rs 3,31,500

(ii) Balance Sheet Rs 1,626,500

Hints: (i) Interest on Investments was distributed on the basis of funds: Prize Fund Tournament: General Reserve Fund @ 1:1.5:1 (or) 2:3:2.

(ii) Interest on General Reserve Fund alone is credited to Income and Expenditure Account.

4. Mr. Prani and Mr. Proper are in partnership as proprietors of a boarding school, sharing profits Mr. Prani Rs 3/5 and Mr. Proper Rs 2/5. The Trial Balance extracted from their Books as on Mar 31, 2009 which coincident with the end of the last terms of the year was as follows:

Debits	Rs	Credits	Rs
Furniture and Fittings at cost	7,840	Capital Account	
Stock as on Apr 1, 2008	1,120	Mr. Pran	21,000
Food		Mr. Proper	16,800
Fuel	560	Reserve for Depreciation on	
Salaries, Wages and Medical Attention	33,600	Furniture and Fittings	5,040
Purchases:		Fees and Extras	1,23,760
Food	37,520		
Fuel	5,040		
Repairs	3,260		
Laundry	10,080		
Stationery	2,520		
Drawings:			
Mr. Pran	13,300		
Mr. Proper	8,400		
Cast at Back	43,260		
	<u>1,66,600</u>		<u>1,66,600</u>

Additional Information

- On Mar 31, 2009 stocks of food and fuel were Rs 1680 and Rs 420.
- On Mar 31, 2009, amounts owing for food and laundry Rs 1,260 and Rs 840.
- Fees, other than extras are payable in advance and accounts are sent out at the beginning of each farm each account includes extras for the previous terms. At Mar 31, 2009, all amounts due had been received with the exception of Rs 1,176 (not yet accounted, of which Rs 476 was bad). The extras for the last term, not yet filled Rs 4,200.
- No interest is to be credited on capital accounts.
- Mr Pran who owns the premises is to be credited with Rs 5,600 for the use of the premises.
- Repairs include Rs 560 for the purpose of a steel cupboard, which is to be capitalised under furniture and fittings.
- Depreciations on furniture and fittings are to be provided at the rate of 5% p.a. on the cost at the end of the year.
- Mr. Sweet, the senior Master is entitled to 5% of the profit after charging such commission.

Prepare the revenue account for the year ended Mar 31, 2009 and the Balance sheet on that date:

(B.com – Madras modified)

Answer: (i) Income and Expenditure A/c: Pran Rs 16,800

(ii) Balance Sheet Rs 53,200 Proper Rs 11,200

- From the following Trial Balance of the People's Education Society as on Mar 31, 2009, prepare an Income and Expenditure Account for the year ending at Mar 31, 2009 and a Balance Sheet on that date:

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
Buildings	1,90,000	Scholarship fund investment	50,000
Furniture and Fixtures	52,500	Capital Fund	4,60,000
Additions to Furniture and Fixtures	10,000	Donations received towards	
		Capital Fund	42,500
Vehicles	40,000	Entrance Fees	10,000
Additions to Vehicles	10,000	Course Fees	2,40,000
Sundry Debtors	8,000	Examination Fees	15,000
Sundry Creditors	5,000	Ruts received from letting	
		of auditorium	47,500
Investments	2,50,000	Salaries	2,20,000
Interest received on Investments	30,000	Printing and Stationery	30,000
Interest received on Scholarship	6,000	Scholarships awarded	5,000
Fund Investment			
Other Expenses	50,000	Scholarship Fund resave	44,000
Cash at Bank	4,500	Government Grant received	20,000

Additional Information

- Depreciation is to be provided at 5% on buildings, 10% on furniture and fixtures and 90% on vehicles.
- Additional rent received in advance amounts to Rs 7,500 while there is an amount of Rs 10,000 outstanding under this head.
- One month's salary is outstanding.

(I.C.W.A – Modified)

Answer: (i) Income and Expenditure Account: Surplus Rs 19,250

(ii) Balance Sheet: Rs 5,99,250

6. The following particulars relate to the cosmopolitan club for the year ended Dec 31, 2008. You are required to prepare Income and Expenditure Account for the year ended Dec 31, 2008 and a Balance Sheet as on Dec 31, 2008.

	<i>Rs</i>		<i>Rs</i>
Balance from last year	4,700	Salaries	2,400
Entrance Fees	600	Electricity	240
Subscription		Newspapers and Journals	1,050
2007	100	Utensils	400
2008	7,000	Payments to Creditors	2,000
2009	150	Balance Carried forward	2,300
Profits from Refreshments	200	to next year	
Locker Rents	400		
Sundry Income	240		
	<u>13,390</u>		<u>13,390</u>

The assets and liabilities on Jan 1, 2008 were as follows: Utensils: Rs 1,600, furniture Rs 5,000, consumable stores: Rs 700, Creditors: Rs 2,400.

On Dec 31, 2008 value of consumable stores was Rs 1,400 creditors amounted to Rs 1,100, the subscriptions outstanding were Rs 150; and the interest accrued on fixed deposit was Rs 50.

[B. Com (Madras) – Adapted]

- Answer:** (i) Excess of income over expenditure Rs 4,950
(ii) Balance Sheet Rs 15,900

- Hint:** (i) Capital fund Rs 9,700
(ii) Balance Sheets as on Jan 1, 2008 Rs 12,100

7. The following balances is obtained from the books of Jaipur Cricket as on Mar 31, 2008 and on Mar 31, 2009.

	Mar 31, 2008	Mar 31, 2009
	Rs	Rs
Building	1,60,000	1,71,000
Furniture	80,000	61,200
Advance Subscription	3,000	2,000
Pre-paid Expenses	1,600	2,000
Outstanding Expenses	6,000	2,400
Arrears of Subscriptions	6,000	10,000
Sports Equipments	48,000	43,200
Investments	—	24,000
Books	30,000	32,400
Cash	32,000	34,200

Consider the following information relevant to the year 2008–2009:

- (1) Depreciation provided during the year:

Building	:	Rs 9,000
Furniture	:	Rs 6,800
Sports Equipment	:	Rs 10,800
Books	:	Rs 3,600

- (2) Some old furniture standing in the books for Rs 12,000 on Mar 31, 2008 was sold for Rs 8,000.
- (3) The club had 300 members on Mar 31, 2009. No fresh member was admitted during the year but 10 members left the club on Oct 1, 2008.
- (4) Subscription payable: Rs 30 per month.
- (5) Entrance fees received Rs 10,000 has been capitalised and you are required to prepare the Receipts and Payments Account and Income and Expenditure Account for the year ended Mar 31, 2009.

[B. com (Hons), Delhi – Modified]

Answer:

- (i) Receipts and Payments A/c: Rs 1,54,200; (Expenses) (balancing figure Rs 64,600)
- (ii) Balance Sheet

Hint:

- (i) Two Balance Sheets: capital fund: 3,48,600 as on Mar 31, 2008; and on Mar 31, 2009 Rs 3,73,600
- (ii) Building A/c: Purchases Rs 20,000
- (iii) Sports Equipment A/c: Purchases Rs 600
- (iv) Furniture A/c: Sales Rs 8,000
- (v) Loss on sale: Rs 4,000
- (vi) Book A/c Cash: Rs 6,000 and Surplus: Rs 15,000
- (vii) Subscriptions on accrual basis (for first 6 months)
 $310 \times \text{Rs } 30 \times 6 = 55,800$ (for last 6 months)
 $300 \times \text{Rs } 30 \times 6 = 54,000$ (for last 6 months)
1,09,800

8. From the following trial balance and other information given below, prepare Income and Expenditure Account for the year ended Dec 31, 2008 and a Balance Sheet as on Dec 31, 2008.

Debit Balances	Rs	Credit Balances	Rs
Building	1,25,000	Admission Fees	2,500
Furniture	20,000	Tuition Fees Received	1,00,000
Library Books	30,000	Creditors for Supplies	3,000
Investments @ 9%	1,00,000	Rent for the School Hall	2,000
Salaries	1,00,000	Miscellaneous Receipts	6,000
Stationery	7,500	Government Grant	70,000
General Expenses	4,000	General Fund	2,00,000
Sports Expenses	3,000	Donation for Library Books	12,500
Cash at Bank	10,000	Sales of Old Furniture	4,000
Cash in Hand	500		
	<u>4,00,000</u>		<u>4,00,000</u>

Fees yet to be received for the year are Rs 5,000; Salaries yet to be paid Rs 6,000, Furniture costing Rs 7,500 was purchased on July 1, 2008. The book value of the furniture sold was Rs 10,000, on Jan 1, 2008. Depreciation is to be charged @10% p.a. on furniture 15% p.a. on library Books and 5% p.a. on building.

[B.Com. (Hons) Delhi 2005 – Modified]

Answer

- (i) Excess of income over expenditure: Rs 56,625
- (ii) Balance Sheet as on Dec 31, 2008: Rs 2,78,125

Hints: B.V. on Dec 31, 2008	Rs 20,000
Less Sold B.V. Rs 10,000	Rs 10,000
Depreciation on Rs 2,500 for 1 year	Rs 250
Depreciation on Rs 7,500 for 6 months	Rs 375
(Purchased on July 1, 2008)	Rs 625

9. The following is the Receipts and Payments Account of an Amusement Club, Mumbai Receipts and Payments NC for the year ended Dec 31, 2008

Dr.		Cr.	
Receipts	Rs	Payments	Rs
Balance b/d	Rs	Salary of Secretary	7,200
Cash	120	Honorarium	900
Bank	6,000	Wage	4,800
Subscription (including for 2007 Rs 300)	18,000	Charities	4,000
Sale of Old Furniture	1,500	Printing and Stationery	600
(on Jan 1, 2008)		Postage	200
Sale of Newspapers	100	Rents and Taxes	2,400
Legacies	6,000	Upkeep of the Land	1,000
Interest on Investments	2,400	Sports Materials	5,000
(Cost of Investments Rs 40,000)		Balance C/d	29,700
Endowment Fund Receipts	20,000		
Proceeds of Concerts	1,600		
Advertisement in the Year Book	80		
	55,800		55,800

Current Assets and Liabilities:

	Dec 31, 2008	Dec 31, 2008
	Rs	Rs
Subscriptions in arrears	400	900
Subscriptions in advance	600	1,200
Furniture	4,000	2,160

Depreciation was 10% p.a on the furniture left after selling a part of it.

50% of legacies may be capitalised. Prepare Income and Expenditure Account for the year ending on Dec 31, 2008 and the Balance Sheet on that date.

[B.Com (Hons) Delhi – Modified]

Answer

- Excess of Expenditure over Income: Rs 1,360
- Balance Sheet as on Dec 31, 2008: Rs 32,760

Hints

- Subscriptions A/c Rs 19,500 (Subscriptions in arrears as on Dec 31, 2008 Rs 9,001 are inclusive of Rs 1,001 – still arrears for 2007).
- Furniture A/c Loss Rs 100 (Dep. Value of furniture left is Rs 2,160 (90% of cost) cost of furniture Rs 2,400).
- Balance Sheet as on Dec 31, 2007. Rs 10,520, Capital Fund: Rs 9,920.

10. Prepare Income and Expenditure for the year ending Mar 31, 2009 and a Balance Sheet on that date from the following details of Rock City Tennis Club, Tiruchirapalli.

Receipts and Payments Account for the year ending Mar 31, 2009

Receipts	Rs	Payments	Rs
Subscription – Arrears	1,400	New Equipment	1,800
Subscription – Current	22,000	Repair to Nets	1,200
Locker Rents	5,000	New Balls	10,000
Cultural Show Receipts	29,000	Band Fees	3,200
Sale of Old Balls	2,400	Match Expenses	1,600
Donation	2,000	Rates on Club House	4,800
		Caters – Old Dues	7,000
		Caters – Current	18,400

Information

- (a) The Club has 60 members and the subscription rate is Rs 400 per year.
 (b) On Mar 31, 2009, Rs 1,000 owing for tennis ball and the rates paid includes Rs 1,200 relating to the following year.
 (c) Equipment is to be depreciated at 10% p.a. on cost including new equipment purchased.
 (d) On Apr 1, 2008 the club had the following assets.

Rs

Freehold Club House :	50,000
Cash at Balance :	18,000
Equipment :	27,000
Cash in Hand :	520

Answer

- (i) Surplus Rs 20,520
 (ii) Balance Sheet as on Mar 31, 2009: Rs 1,11,440

Hints

- (i) Capital fund Rs 89,920
 (ii) Balance Sheet as on Mar 31, 2008: Rs 96,920

11. Prepare Receipts and Payments Account for the year ending Mar 31, 2009 and the Balance Sheet on that date from the following.

Income and Expenditure Account for the Year Ending Mar 31, 2009

Dr.

Cr.

Expenditure	Rs	Income	Rs
Salaries	14,750	Interest	5,000
Stationery	2,500	Donations	7,500
Taxes and Rent	1,250	Subscriptions	12,500
Insurance	600	Miscellaneous Receipts	150
Other Expenses	900		
Depreciation			
Properties	Rs 1875		
Furniture	60		
Books	50		
Surplus			
	1,985		
	3,115		
	25,150		25,150

<i>Other Information</i>	Mar 31, 2008	Mar 31, 2009
	Rs	Rs
Cash in Hand and at Bank		11,850
Shares and Debentures (Face Value of Rs 1,50,000)	1,40,000	1,40,000
Subscription Outstanding	3,500	5,000
Subscription received in advance	600	800
Salaries Outstanding	250	500
Properties	1,50,000	1,48,125
Furniture	1,000	990
Investments	500	500
Books	1,750	1,950
Stationery Expenses Due	100	150
Stock of Stationery	500	400
		(B.com – Modified)

Answer

- (i) Receipts and Payments Account Cash in Hand and at Bank Rs 7,900
(ii) Balance Sheet as on Mar 31, 2009: Rs 36,750
(iii) Capital fund: Rs 3,04,200

Hints

- | | |
|-----------------------------|--------------------|
| | Rs |
| 1. Subscription A/c (B.F) | : 11,200 |
| 2. Salaries A/c (B.F) | : 14,500 |
| 3. Stock of Stationery | : 2,400 (Purchase) |
| 4. Creditors for Stationery | : 2,350 |
| 5. Books NC (Purchase) | : 250 |
| 6. Furniture A/c (Purchase) | : 50 |
12. From the following particulars relating to R.M. Charitable Hospital, prepare (1) Receipts and Payments Account for the year ended Dec 31, 2008, and the Balance Sheet as on that date.

Income and Expenditure Account for the Year Ended Dec 31, 2008

<i>Dr.</i>			<i>Cr.</i>
Expenditure	Rs	Income	Rs
To Medicare's used	59,960	By Subscription	1,12,000
To Honorarium to visiting Doctors	24,000	By Donations	19,000
To Salaries	55,000	By Interest on Investment @11% pa.	22,000
To Printing and Stationery	2,200	By Income from Film	
To Electricity and Water	950	Show proceeds 22,900	21,340
To Rent	12,000	Less: Expenses 1,560	
To Depreciation in Furniture and Fixtures	4,200		
To Depreciation on Equipments	6,500		
To Surplus over Expenditure	9,530		
	<u>1,74,340</u>		<u>1,74,340</u>

Additional Information	Dec 31, 2007	Dec 31, 2008
	Rs	Rs
Subscriptions Due	240	320
Subscriptions Received in Advance	128	200
Electricity and Water Bills Unpaid	184	230
Stock of Medicines	15,640	19,500
Estimated Value of Equipment	23,200	27,800
Furniture and Fixtures (Cost less Depreciation)	42,000	37,800
Land	—	20,000
Interest Accrued on Investment in 11%		—
Debentures costing Rs 2,05,000 (Face value Rs 1,00,000)	7,500	7,500
Cash in Hand	680	320
Cash at Bank	18,000	—

[B.Com (Hons) Delhi – Modified]

Answer

- (i) Receipts and Payments A/c Bank : Rs 3,668
(ii) Balance Sheet as on Dec 31, 2008 : Rs 3,21,908

Hints

- Rs**
- (i) Subscriptions A/c Subscription received : 1,11,992
(ii) Electricity and Water NC : 904
(iii) Equipment NC Cash Purchases : 11,100
(iv) Balance Sheet as on Dec 31, 2007 : 3,11,948

13. The Income and Expenditure Account of Chennai Club for the year ended Mar 31, 2009 is as follows:

Dr.			Cr.
Expenditure	Rs	Income	Rs
To Salaries	24,000	By Subscriptions	65,000
To Rent	6,000	By Entrance Fees	10,000
To Printing and Stationery	1,500	By Contribution for Annual Dinner	8,000
To Traveling Expenses	3,000	By Profit on Annual Sports	1,000
To Annual Dinner Expenses	7,000		
To Secretary's Honorarium	6,000		
To General Expenses	3,000		
To Interest and Bank Charges	900		
To Audit Fees	1,000		
To Books and Periodicals	1,500		
To Depreciation	1,250		
To Excess of Income over Expenditure	28,850		
	<u>84,000</u>		<u>84,000</u>

The Income and Expenditure Account has been prepared after the following adjustments.

	Rs
Subscriptions outstanding on Mar 31, 2008	6,000
Subscriptions received in advance on Mar 3, 2008	4,500
Subscription outstanding on Mar 3, 2009	4,000
Subscription received in advance on Mar 31, 2009	7,000

Salaries outstanding at the beginning of the year and at the end of the year were Rs 2,000 and Rs 1,500, respectively.

Audit fees for the year has not been paid. Previous years audit fees Rs 750 was paid during the year.

The clubs assets on Mar 31, 2008 were as follows:

Freehold land Rs 50,000; sports equipments Rs 13,000.

At the end of the year, after the depreciations the equipments amounted to Rs 13,500. Bank loan of Rs 5,000 as on Mar 31, 2008 was still due at the end of current year. On Mar 31, 2009, Cash at Bank amounted to Rs 34,850.

You are required to prepare the Receipts and Payments Account for the year ended Mar 31, 2009 and the Balance Sheet on that date.

(C.A. Inter – Modified)

Answer

- (i) Receipts and Payments Account Balance b/d: Rs 2,250
(ii) Balance Sheet as Mar 31, 2009: Rs 1,02,350

Hints	Capital fund	Rs 59,000
	Sports Equipment Purchased	Rs 1,750
	Subscriptions	Rs 69,500

14. Following is the Income and Expenditure Account of Hyderabad Club for the year ended on Mar 31, 2009.

Dr.			Cr.
Expenditure	Rs	Income	Rs
To Salaries	31,500	By Subscriptions	90,000
To Stationery	2,500	By Donations	15,000
To Postage	1,600	By Sale of Furniture Profit	2,000
To Sundry Expenses	9,400	By Government Grant	8,000
To Repairs and Maintenance Expenses	7,200	By Interest on Fixed Deposit	1,600
To Sport Expenses	3,600		
To Swimming Pool Expenses	4,000		
To Affiliation Fee	1,000		
To Electricity	6,500		
To Billiards Room Expenses	2,500		
To Periodicals	2,400		
To Audit Fees	500		
To Depreciation on	2,000		
To Sports Equipment Building	5,000		
Furniture	900		
To Surplus	36,000		
	1,16,600		1,16,600

The above account is prepared after the adjustments from:

	Mar 31, 2008 Rs	Mar 31, 2009 Rs
Building	2,00,000	1,95,000
Sports Ground	2,00,000	2,00,000
Sports Equipment	12,000	18,000
Furniture	10,000	—
Fixed Deposits	16,000	16,000
Bank A/c – savings	—	50,000
Subscriptions Outstanding	10,000	4,000
Subscriptions received in advance	6,000	2,000
Stock of Stationery	500	1,000
Audit Fee Outstanding	400	500
Salaries Outstanding	1,000	2,000
Affiliation fee paid in Advance	—	500

Cash on hand on Mar 31, 2008 was Rs 2,500. New Furniture of Rs 18,000 has been purchased on credit but not entered in books. Depreciate the furniture @ 5%.

Prepare Receipts and Payments Account for the year ended on Mar 31, 2009 and the Balance Sheet on that date.
(ICWA – Modified)

Answer

Receipts and Payments A/c Cash Balance : Rs 500

Balance Sheet as on Mar 31, 2009 : Rs 5,02,100

Hints

Subscriptions: Rs 92,000, Salaries: Rs 30,500

Stationery: Rs 3,000, Capital Fund: Rs 4,43,600

15. The following is the Receipts and Payments Account of a club for the year ended Mar 31, 2009.

Dr.		Cr.	
Receipts	Rs	Payments	Rs
Cash in Hand 300		Honorarium to Secretary and Treasurer	9,600
Balance as per		Rents and Taxes	2,520
Bank Pass Book 16,460	16,760	Printing and Stationery	940
Subscriptions	21,420	Other Miscellaneous Expenses	3,060
Receipts from Fees	4,800	Ground Man's Wages	1,680
Net Proceeds from Variety	8,540	Expenditure on Fees	4,780
Entertainment		Payments for Bar Purchases	11,540
Bank Interest	460	Repairs	640
Bar Takings	14,900	New Two Wheeler (less sale proceeds of old	25,200
Cash Overspent	40	Rs 6,000)	
		Balance as per Pass Book	6,960
	66,920		66,920

Additional Information

	Apr 1, 2008	Mar 31, 2009
	Rs	Rs
Subscriptions Due	2,400	1,960
Unperfected Cheque being payment on printing	180	60
Club Premises at cost	58,000	—
Depreciation on Club Premises	37,600	—
Two Wheeler at cost	24,380	—
Depreciation on Two Wheeler	20,580	—
Value of Bar Stock	1,420	1,740
Amount due for Bar Purchases	1,180	860

Cost overspent represents amount of honorarium to the treasurer not drawn due to shortage of funds. But the total salary payable to him for the year was already included in Rs 9,600.

Depreciation is to be provided @ 5% p.a. on the written down value of the premises and @ 15% p.a. on two wheeler for the whole year.

You are required to adjust Bank Balance according to Cash Book and prepare an Income and Expenditure Account for the year ended Mar 31, 2009 and the Balance Sheet on that date.

(PE Examination – Modified)

Answer

- (i) Surplus Rs 12,180 (ii) Balance Sheet Rs 56,500

Hints

- (i) Printing and Stationery: Expenses as per Cash Book Rs 820
 - (ii) Bank Balance as per Cash Book on Apr 1, 2008: Rs 16,280
 - (iii) Balance as per Cash Book on Mar 31, 2008: Rs 6,900
 - (iv) Capital fund Rs 43,420
16. Moon Club provides the following information: Stock in Restaurant on Mar 31, 2008 Rs 7,800, and on Mar 31, 2009 Rs 9,000; Restaurant taking Rs 7,22,200; Restaurant Purchases Rs 4,09,600 wages (including Rs 1,00,000 for Restaurant) Rs 1,84,600 fuel: Rs 35,400; China Glass Cutlery Rs 5,000, Depreciation @ 20% is to be provided on China Glass cutlery. The cost of boarding expenses of the staff is estimated or Rs 55,000 of which Rs 40,000 is to be charged to the restaurant.

Prepare Restaurant Trading Account and Income and Expenditure Account for the year ended Mar 31, 2009.

Answer: Restaurant Trading Account Rs, 1,93,400

(Surplus – transfer to Income and Expenditure Account Profit)

17. How will you deal with the following items while preparing the Restaurant Trading Account and Income and Expenditure Account of a club for the year ending on Mar 31, 2009.

	Apr 1, 2008	Mar 31, 2009
	Rs	Rs
Stock of provisions	1,500	19,000
Dues from members for provisions	1,500	2,000
Creditors to provisions	5,000	2,500

Creditors to Provisions

Information: Payments made to creditors for provisions: Rs 52,500; Collection from credit members for Provisions Rs 44,500; cash sales being 10% of total sales. Cash purchases being 1/11 of the total purchases, wages, fund, etc. Rs 2,500.

Answer: Restaurant Trading Account Profit Rs 10,000

Hints

- (i) Dues from Members for Provision A/c Rs 45,000
- (ii) Total Sales of provisions Rs 50,000
- (iii) Total Purchases of Provisions Rs 56,000
- (iv) Creditors for Provisions A/c Rs 5,000

18. The following is summary of the cash book for the year ending Mar 31, 2009

Dr.		Cr.	
Receipts	Rs	Payments	Rs
Balance b/d	9,480	Wages – Outdoor Staff	26,760
Subscriptions	59,440	Restaurant Purchase	1,00,800
Entrance Fees	6,400	Rent – 18 months (July 30, 2009)	15,000
Restaurant Receipts	1,13,600	Rates	5,400
Games and Competition Receipts	27,280	Secretary's Salary	6,240
Due to Secretary for Petty Expenses	160	Lighting	14,400
		Composition Prizes	8,000
		Printing and Postage, etc.	12,000
		Fixed Deposit	16,000
		Balance C/d	11,760
	<u>2,16,360</u>		<u>2,16,360</u>

On Apr 1, 2008 the clubs assets were furniture Rs 96,000; restaurant stock Rs 5,200, stock of prizes Rs 1,600, Rs 10,400 was owing for supplies to the restaurant on Mar 31, 2009, the restaurant stock Rs 6,000, prizes in hand were Rs 1,000, while the club owed Rs 11,200 for restaurant supplies. It was also found that subscriptions unpaid at Mar 31, 2009 amounted to Rs 2,000, and that the figure of Rs 59,440 shown in the cash took included Rs 1,400, in respect of previous year and Rs 800 paid in advance for the following year.

Prepare an account showing the profit or loss made on the restaurant and a General Income and Expenditure Account for the year ended Mar 31, 2009 together with a Balance Sheet as on that date, after writing 10% off the furniture.

[B.com (Hons) – Kolkata – Modified]

Answer:

- (i) Restaurant Trading A/c – Gross Profit: Rs 12,800
- (ii) Income and Expenditure A/c surplus: Rs 6,320
- (iii) Balance Sheet as on Mar 31, 2009: Rs 1,25,660
- (iv) Balance Sheet as on Mar 31, 2008: Accumulated Fund: Rs 1,00,780

19. Vasant sport and social clubs financial year on Mar 31. The assets and liabilities of the club at dates stated as follows:

	As on Mar 31, 2008	As on Mar 31, 2009
	Rs	Rs
Equipment	50,000	56,000
Subscription in Arrears	4,000	3,600
Subscription in Advance	2,600	2,200
Creditors for Bar Stocks	7,000	8,600
Bar Stocks	16,000	12,000
Electricity Owning	2,010	2,800
Lottery Fund	1,000	–
Bank Balance	14,460	–

In the year to Mar 31, 2009 the cash receipts

Subscriptions (including Rs 1,200 of arrears from previous year)	42,000
Bar Trading	82,000
Annual Dinner/Dance Sale of Tickets	48,000
Sale of Lottery Tickets	3,600

In the same period the following payments have been made

Affiliation Fees (for four years)	2,000
Purchase of Equipment	16,000
Bar Stocks	41,000
Barman's Wages	15,000
Catering (dinner/dance)	28,800
Hair of Baud	6,000
Lottery Prizes	1,200
Rent of Hall	30,000
Printing and Postage	4,000
Electricity	11,620
Honorary Secretary's Expenses	2,440
Repairs to Equipment	6,000

Note: Subscription arrears of previous year written off Rs 800

Prepare:

- (1) Bar Trading Account (2) Income and Expenditure Account for the year ending Mar 31, 2009 and
(3) Balance Sheet as on that date.

[B. Com (Hons) Delhi – Modified]

Answer:

- (i) Bar Trading Account: Profit: Rs 20,400
(ii) Income and Expenditure A/c Surplus: Rs 10,340
(iii) Balance Sheet as on Mar 31, 2009: Rs 99,100
(iv) Balance sheet as on Mar 31, 2008 Capital Fund Rs 71,760

20. Following is the summary of bank transactions of a club during the year 2008.

Receipts and Payments Account

Dr.

Cr.

Receipts	Rs	Payments	Rs
To Petty Cash in Hand	300	By Rent	1,200
To Balance as per Pass Book	4,000	By Entertainment	1,600
To Subscriptions	5,000	By Advertisement }	400
To Entertainment	3,800	(for 2007 Rs 100) }	
To Legacy	1,600	By Capital Expenditure	4,000
To Donation for Books	1,000	By Upkeep of Grounds	600
To General Donation	1,000	By Bank Charges	60
		By Salary	3,000
		By Petty Expenses	160
		By Balance as per Pass Book	5,540
		By Petty Cash in Hand	140
	<u>16,700</u>		<u>16,700</u>

Additional Information

	Jan 1, 2008	Dec 31, 2008
	Rs	Rs
Unperfected cheque, being payment for rent	200	100
Interest on fixed deposit of Rs 20,000 not entered in the Pass Book	—	1,200
Entry in respect of bank charges was not passed through the cash book	—	60
A member deposited subscription for 2009, direct into bank, not passed through cash book	—	40
Cheque deposited for subscription but not yet cleared by the bank.	1,600	1,200

You are required to prepare Income and Expenditure Account for the year ending Dec 31, 2008 and Balance Sheet as on that date.

Answer

- (i) Income and Expenditure A/c – Surplus: Rs 3,740
(ii) Balance Sheet as on Dec 31, 2008: Rs 32,000

Hints

- (i) Capital Fund: Rs 25,600
(ii) Bank Reconciliation Statement (in the beginning and at the end of the year) has to be prepared opening cash at bank as per cash book Rs 5,400, closing cash at bank Rs 7,860.

21. An amusement club in a city prepared the following Receipts and Payment Account for the year ended on Dec 31, 2008 which showed a deficit of Rs 7,260:

	Rs	Rs
<i>Receipts :</i>		
Subscriptions	31,065	
Fair Receipts	3,600	
Variety Show Receipts	6,405	
Interest	345	
Bar Collections	11,175	
Cash Spent more	500	
		53,090
<i>Payments:</i>		
Premises	15,000	
Honorarium to Secretary	6,000	
Rent	1,200	
Rates and Taxes	1,890	
Printing and Stationery	705	
Sundry Expenses	2,675	
Wages	1,260	
Fair Expenses	3,585	
Bank Purchases and Payments	8,655	
Repairs	480	
New Moped (<i>Less: Proceeds of old moped of Rs 4,500.00</i>)	18,900	60,350
Deficit		7,260

(Continued)

(Continued)

	Rs	Rs
	Jan 1, 2008 Rs	Dec 31, 2008 Rs
Cash in Hand	225	–
Bank Balance as per Pass book	12,345	5,220
Cheque issued not presented for Sundry Expenses	135	45
Subscriptions Due	1,800	1,470
Premises at Cost	43,500	58,500
Accumulated Depreciation on Premises	28,200	–
Moped at Cost	18,285	23,400
Accumulated Depreciation Moped	15,435	–
Bar Stock	1,065	1,305
Creditors for Bar Purchases	885	645

1. Cash overspent represents honorarium to secretary not withdrawn due to cash deficit and his annual honorarium is Rs 6,000.
2. Depreciations on premises and moped are to be provided at 5% and 20% on written down value.

Prepare the correct Receipts and Payments A/c, Income and Expenditure A/c and Balance Sheet (for Dec 31, 2008).

(ICWA – 1979)

Answer: Income and Expenditure A/c Surplus: Rs 50,910 Balance Sheet as on Dec 31, 2008, Rs 55,455 (total) Capital Fund: Rs 32,565

22. Following is the receipts and payments of a club prepared by an accounting aspirant.

Receipts and Payments Account

Dr.			Cr.	
Receipts		Rs	Payments	Rs
To Balance b/d	Rs 100		By Expenses (including payment for sports material Rs 600)	1,400
To Annual Income from Subscription	1,020		By Loss on Sale of Furniture (cost price Rs 100)	40
Add: 0/s of last year	40		By Balance C/d	20,100
Received this year	1,060			
Less:				
Pre-paid of last year	20	1,040		
To Other Fees		400		
To Donation for Building		20,000		
		21,540		21,540

Additional Information

Club had on Jan 1, 2008, furniture Rs 400, investments at 5% Rs 6,000, sports material Rs 1,480.

On Dec 31, 2008, subscription outstanding Rs 60, subscription pre-paid Rs 20, stock of sports material Rs 400.

Prepare the correct Receipts and Payments Account, Income and Expenditure Account and Balance Sheet.

Answer

- (i) Receipts and Payment A/c, Rs 21,560 (Total)
- (ii) Income and Expenditure A/c, Deficit Rs 800

- (iii) Balance Sheet as on Dec 31, 2008, Rs 27,220 (Total)
 (iv) Balance Sheet as on Jan 1, 2008, Capital Fund Rs 20
23. The Income and Expenditure Account of a club is given below (perhaps prepared by one who does not thoroughly knows the accounting principles).

Income and Expenditures as on Dec 31, 2008

<i>Dr.</i>				<i>Cr.</i>
Expenditure		Rs	Income	Rs
To Balance b/d	Rs	4,100	By Salaries Paid	Rs 8,320
To Subscriptions for 2008,	9,000		By Stationery Spent	1,440
Add: Recd for 2007	160		Add: Stock of Stationery	<u>160</u>
Add: Recd for 2009	320	9,480	By Telephone Expenses Paid	400
To Interest received on		2,000	(including paid for last year)	
5% Rs 80,000			By Balance c/d	5,260
Investments in Hand on Jan 1, 2008				
		<u>15,580</u>		<u>15,580</u>

Additional Information

1. On Dec 31, 2007, building stood at Rs 40,000, and it is required to write off depreciation at 5% p.a.
2. Telephone rent outstanding on Dec 31, 2008: Rs 500.
3. Subscription in arrears on account of 2008: Rs 400.

You are called upon to give your comments on this. Then you are required to prepare the revised final accounts of the items shown in the problem.

Answer: Comments

1. Income and Expenditure is to be captioned always as for the year ending Dec 1, 2008 and not as as on Dec 31, 2008.
2. Expenditure is shown on credit side. It should be on debit side.
3. Income is shown on debit side. It should be credited.
4. Income and Expenditure Account never starts with the balance in the beginning and never closes with the balance at the end.
5. Expenses are not recorded correctly.
6. Depreciation. Neglected in total.

These mistakes should be corrected, and recorded properly.

Final Accounts

1. Receipts and Payment A/c total : Rs 15,180 – By Balance Cash – Rs 4,860.
 2. Capital Fund: Rs 1,24,200.
 3. Income and Expenditure A/c : Surplus, Rs 400
 4. Closing Balance Sheet : Rs 1,24,420
(as on Dec 31, 2008)
24. From the following so-called Balance Sheet, you are required to correct the mistakes and make proper final accounts of the social club for the year ending Dec 31, 2008.

Balance Sheet for the year 2008

Receipts	Rs	Expenditure	Rs
Opening Balance	7,500	Rent and Expenses	20,400
Arrears of Subscription	1,100	Clerical Assistance	2,500
Subscription (current year)	16,400	Cost of Dance	1,500
Dance Tickets Sold	2,100	Cost of Concrete	2,100
Concert Tickets Sold	1,400	Owing for Dance Tickets	500
Refreshments Sold	23,500	Owing for Concert Tickets	700
Receipts from Games	1,700	Refreshments Bought	17,000
Donations for IntermentsA4	1,900	Stock of Refreshment	1,500
		Subscription Owing	800
		Cost of Instruments	3,500
		Closing Balance	5,100
	<u>55,600</u>		<u>55,600</u>

Answer

- (i) Receipts and Payments A/c Closing Balance: Rs 8,600
(ii) Income and Expenditure A/c Surplus: Rs 5,100
(iii) Balance Sheet as on Dec 31, 2008: Rs 15,600 total
(iv) Capital Fund: Rs 8,600

25. From the figures given below prepare an Income and Expenditure Account for 2008.

Dr.			Cr.
Receipts	Rs	Payments	Rs
To Opening Balance	200	By Salaries	4,800
In Hand	1,600		
At Bank		By Rent	500
To Subscriptions:			
500			
8,300			
600	9,400		
To Sale of Investments	2,000	By Stationery and Postage	200
To Sale of Old Furniture (Book Value)	300	By Bicycle Purchase	300
		By National Saving Certificate	3,000
		By Help to Needy Students	2,000
		By Balance	
		In Hand 300	
		At Bank 2,400	2,700
	<u>13,500</u>		<u>13,500</u>

Subscriptions for 2008 still receivable were Rs 700 interest due on savings certificates Rs 100 and rent unpaid but due was Rs 60.

(B.Com, Madras)
(Only year changed)

Answer: Excess of income over expenditure Rs 1,400

26. Given below is the Receipts and Payments Account of the Indian Gymkhana for the year ended Dec 31, 2008.

Dr.		Cr.	
Receipts	Rs	Payments	Rs
To Donations	50,000	By Buildings	44,000
To Reserve Fund	4,000	By Quadrangular Match Expenses	900
To Quadrangular Match Fund	10,000	By Furniture	2,100
To Subscriptions	3,200	By Salaries	1,800
(including Rs 100 for 2009)		By Cricket	600
To Lockers Rent	100	By Tennis	540
To Interest on Investment	100	By Insurance	360
To Cricket	400	(paid for period ending Sep 30, 2009)	
To Sundries	50	By Gardening	170
To Tennis	350	By Printing	180
To Billiards	200	By Telephone	250
		By Investments	14,000
		By Balance	3,500
	<u>68,400</u>		<u>68,400</u>

Subscriptions outstanding for 2008: Rs 300; salaries outstanding for Dec 2008: Rs 200.

Prepare an Income and Expenditure for the period and the Balance Sheet as on Dec 31, 2008.

(B.Com Madras – Modified)

Answer: Excess of income over expenditure Rs 770 Balance sheet Total: Rs 64,170

27. The following are the items of Receipts and Payment of the Bengal Club as summarised from the books of account maintained by the secretary.

Dr.		Cr.	
Receipts	Rs	Payments	Rs
Opening Balance (Jan 1, 2008)	4,200	Manager's Salary	1,000
Entrance Fees (2007)	1,000	Printing and Stationery	2,600
Entrance Fees (2008)	10,000	Advertising	1,800
Subscriptions (2007)	600	Fire Insurance	1,200
Subscriptions (2008)	15,000	Investments Purchased	20,000
Interest Received on Investments	3,000	Closing Balance Dec 31, 2008	7,600
Subscriptions (2009)	400		
	<u>34,200</u>		<u>34,200</u>

It was ascertained from enquiry that the following represented a fair picture of Income and Expenditure of the club for the year 2008 for audit purpose.

Dr.		Cr.	
Expenditure	Rs	Income	Rs
Manager's Salary	1,500	Entrance Fees	10,500
Printing and Stationery		Subscription	15,600
	2,000		
Add: Accrued	400		
Advertising	2,400	Interest on Investments	4,000
Audit Fees	1,600		
Fire Insurance	500		
Depreciation	1,000		
Excess of Income over Expenditure	4,940		
	18,160		
	<u>30,100</u>		<u>30,100</u>

Value of fixed assets as on Dec 31, 2007 were building Rs 44,000; cricket equipments Rs 25,000 and furniture Rs 4,000. The rates of depreciation are on building 5%, cricket equipments 10% and furniture 6%. You are required to prepare the Balance Sheets of the club as on Dec 31, 2007 and Dec 31, 2008.

[B.Com (Hons)]
(Kolkatta University Modified)

Answer

Rs

(i) Balance Sheet as on Dec 31, 2007 = total : 78,800

Capital Fund : 78,000

(ii) Balance Sheet as on Dec 31, 2008 = total : 97,960

28. Prepare Receipts and Payments Account for the year ending Mar 31, 2009 and the Balance Sheet on that date from the following:

Income and Expenditure Account for the Year Ending Mar 31, 2009

Dr.		Cr.	
Expenditure	Rs	Income	Rs
Salaries	14,750	Interest	5,000
Stationery	2,500	Donations	7,500
Taxes and Rent	1,250	Subscriptions	12,500
Insurance	600	Miscellaneous Receipts	150
Other Expenses	900		
Depreciation			
Properties	Rs		
	1,875		
Furniture	60		
Books	50		
Surplus	1,985		
	3,165		
	<u>25,150</u>		<u>25,150</u>

Dr.**Cr.**

Other Information	Mar 31, 2008 (Rs)	Mar 31, 2009 (Rs)
Cash in Hand and at Bank	–	11,850
Shares and Debentures (Face value of Rs 1,50,000)	1,40,000	1,40,000
Subscription Outstanding	3,500	5,000
Subscription Received in Advance	600	800
Salaries Outstanding	250	500
Furniture	1,000	990
Investments	500	500
Properties	1,50,000	1,48,125
Books	1,750	1,950
Stationery Expenses Due	100	150
Stock of Stationery	500	400

Answer

- (i) Receipts and Payments Account Balance b/d Rs 11,850
(ii) Balance Sheet as on Mar 31, 2009 Rs 3,08,815 (Total)

Hints**Rs**

- (i) Balance Sheet as on Mar 31, 2008, 3,05,150 (Total)
Capital Fund 3,04,200
(ii) Subscription A/c – Bank A/c 11,200
(iii) Salaries A/c – Bank A/c 14,500
(iv) Stock of Stationery A/c – Purchases 2,400
(v) Creditors for Stationery Ac – Bank A/c 2,350
(vi) Books A/c Purchases 250
(vii) Furniture A/c Bank A/c 100

29. The following is the Income and Expenditure Account of the Pals Tennis Club for the year ended Mar 31, 2009.

Dr.**Cr.**

Expenditure	Rs	Income	Rs
To Salaries	48,000	By Subscriptions	1,40,000
To Rent	21,600	By Entrance Fees	16,000
To Rates and Taxes	1,200	By Surplus on Publication of Brochures	9,000
To Postage and Telephone	1,440	By Profit on Sale of Old Sports as Sets	2,400
To Affiliation Fees to all India Lawn Tennis Association	2,400	By Interest on 4% Investment	1,200
To Sports Materials	31,500	By Miscellaneous Income	450
To Electricity Charge	2,400		
To Repairs and Maintenance of Court	19,200		
To Depreciation on Assets @ 10% of gross book value at the end of the year	9,600		
To Surplus	35,710		
	<u>1,73,050</u>		<u>1,73,050</u>

The following further information is made available:

	Balances As on Mar 31, 2008	Balances As on Mar 31, 2009
	Rs	Rs
(i) Sundry Assets	88,000	—
Bank Balance	9,600	—
Subscriptions in arrear	9,500	7,000
Subscription received in advance	2,800	5,200
4% Investments (Face value Rs 30,000)	24,000	24,000
(ii) Expenses Outstanding		
Salaries	1,200	2,400
Rent	1,800	3,600
Rates and Taxes	Nil	1,200
Tennis Court Maintenance	1,560	640
(iii) Outstanding for Purchase of Sports Materials	2,800	5,900
(iv) Prize Fund	9,200	6,500
(v) The book value, as on Apr 1, 2008 of Sports Goods sold in the year was		8,000
(vi) Prize fund is separately maintained. All receipts are credited to it directly and expenditure is met out of the fund directly. During the year, credits to the account amounted to		5,600
(vii) Interest received in the year was only for two quarters		
(viii) The club was admitted as a member of all India Lawn Tennis Federation on Oct 1, 2008 when it paid subscription till Sep 30, 2009.		
(ix) Advertisement charges on brochure yet to be collected		900
(x) A fixed deposit was made on Mar 31, 2009 for		50,000

You are required to prepare the Receipts and Payments A/c for the year ended on Mar 31, 2009 and the Balance Sheet as on that date.

(B.Com. Delhi – Modified)
Rs

Answer: Receipts and Payments A/c balance Rs 1590 and total	1,99,650
Balance Sheet as on Mar 31, 2009	1,72,890
Balance Sheet as on Mar 31, 2008 capital fund	1,11,740

30. From the following Receipts and Payments Account of Bangalore Club, prepare Income and Expenditure Account for the year ended Dec 31, 2008 and its Balance Sheet on that date.

Dr.		Cr.	
Receipts	Rs	Payments	Rs
Cash in Hand	8,000	Salary	4,000
Cash at Bank	20,000	Repair Expenses	1,000
Donations	10,000	Purchase of Furniture	12,000
Subscriptions	24,000	Miscellaneous Expenses	1,000
Entrance Fees	2,000	Purchase of Investments	12,000
Interest on Investments	200	Insurance Premium	400
Interest Received from Bank	800	Billiard Table	16,000
Sale of Old Newspaper	300	Paper, etc.	300
Sale of Drama Tickets	2,100	Drama Expenses	1,000
		Cash in Hand (closing)	5,300
		Cash at Bank (closing)	14,400
	<u>67,400</u>		<u>67,400</u>

Information

- (a) Subscriptions in arrears for 2008 Rs 1,800 and subscription in advance for 2009 Rs 700.
- (b) Insurance premium outstanding Rs 80.
- (c) Miscellaneous expenses pre-paid Rs 180.
- (d) 50% of Donation is to be capitals.
- (e) Entrance Fees are to be treated as revenue income.
- (f) 8% interest has accrued on investment for five months.
- (g) Billiard Table costing Rs 60,000 was purchased during last year and Rs 44,000 were paid for it.

[C.A. (Foundation) – Modified]**Answer**

	Rs
(i) Income and Expenditure A/c: Excess of income over expenditure	28,300
(ii) Balance sheet as on Dec 31, 2008	1,06,080
	(Total)
(iii) Balance Sheet as on Jan 1, 2008 Capital fund	72,000

31. The following information was obtained from the books of Chennai Club as on Mar 31, 2009 at the end of the first year of the club. You are required to prepare

- (i) Receipts and Payments Account.
- (ii) Income and Expenditure A/c for the year ended Mar 31, 2009.
- (iii) The Balance Sheet as on Mar 31, 2009 on mercantile basis.
 - (a) Donations received for Building and Library Room.
 - (b) Other revenue income and actual receipts.

	Revenue Income	Actual Receipts
	Rs	Rs
Entrance Fees	8,500	8,500
Subscription	10,000	9,500
Locker Rents	300	300
Sundry Income	800	530
Refreshment Account	–	8,000
Other Revenue Expenditure and Actual Payments:		
Land (Cost Rs 5,000)	–	5,000
Furniture (Cost Rs 73,000)	–	65,000
Salaries	2,500	2,400
Maintenance of Play Grounds	1,000	500
Rent	4,000	4,000
Refreshment Account	–	4,000

Donations to the extent of Rs 12,500 were utilised for the purchase of library books, balance was still to be utilised. In order to keep it safer, 9% Govt. Bonds were purchased on Mar 31, 2009 for Rs 80,000. Remaining amount was put in the bank on Mar 31, 2009 under the term deposit. Depreciation @10% p.a. was to be provided for the whole year on furniture and library books.

[C.A. (foundation) – Modified]**Answer**

- (i) Receipts and Payments A/c for the year ending on Mar 31, 2009 Balance c/d bank overdraft Rs 54,070
- (ii) Income and Expenditure A/c Surplus Rs 7,550
- (iii) Balance Sheets as on Mar 31, 2009 Rs 1,70,220 (Total)

32. From the following prepare the Income and Expenditure for the year ended Dec 31, 2008 and a balance sheet as on that date:

Dr.		Cr.	
Receipts	Rs	Payments	Rs
To Balance b/d	15,000	By Salaries	15,000
To Subscriptions		By Entertainment Expenses	6,000
2007	1,000		
2008	20,000		
2009	2,000		
To Entertainment Receipts	10,000	By Electric Charges	2,000
To Sale of Old Furniture (cost Rs 1,000)	600	By General Expenses	3,000
To Sale of Newspapers	400	By Investments	10,000
		By Stationery and Printing	2,000
		By Newspapers	3,000
		By Garden Expenses	2,000
		By Furniture	3,000
		By Balance c/d	3,000
	<u>49,000</u>		<u>49,000</u>

The club has 250 members each paying an annual subscription of Rs 100. Rs 500 is still in arrears for subscriptions for 2007. Ten members had paid their subscriptions for 2008 as well.

Salaries paid included Rs 1,000 for 2007 and Rs 1,500 for 2009. Outstanding salaries for 2008 amounted to Rs 2,000.

On Jan 1, 2008, the club owned land and building valued at Rs 1,00,000 and furniture valued at Rs 11,000.

Interest for 3 months @6% p.a. as accrued on investments.

[B.Com (Hons) Delhi – Modified]

Answer

- (i) Excess of income over expenditure Rs 2,650
(ii) Capital fund in the beginning Rs 1,25,500
(iii) Balance Sheet Total Rs 1,32,150
33. The Receipts and Payments Account and the Income and Expenditure Account of a recreation club for the year ended Dec 31, 2008 were as follows:

Receipts and Payments Account			
Dr.		Cr.	
Receipts	Rs	Payments	Rs
To Balance b/d	15,000	By Book Purchased	10,000
To Subscription		By Printing and Stationery	2,000
6,000			
<u>43,000</u>	49,000		
To Interest	5,000	By Salary	15,000
To Donation for Special Fund	3,000	By Advertisement	2,000
To Rent		By Electricity Charges	4,000
1,500			
<u>3,000</u>	4,500	By Balance c/d	43,500
	<u>76,500</u>		<u>76,500</u>

Income and Expenditure Account

Dr.			Cr.
Receipts	Rs	Payments	Rs
To Salary	18,000	By Interest	4,000
To Tent Hire	2,000	By Subscriptions	48,000
To Electricity Charges	4,000	By Rent	3,000
To Depreciation on Building	7,500		
To Printing and Stationery	2,000		
To Advertisement	1,500		
To Surplus	20,000		
	<u>55,000</u>		<u>55,000</u>

The club's assets as on Jan 1, 2008 were as follows:

Building Rs 1,50,000, Books Rs 1,00,000

Furniture Rs 10,000, Investments Rs 1,00,000

Literatures as on the date were Rs 500 for advertisement and Rs 1,000 for salary

You are required to prepare the Balance Sheets

(i) As on Dec 31, 2007

(ii) As on Dec 31, 2008

(B.Com Delhi University – Modified)

Answer

(i) Balance Sheet as on Dec 31, 2007 Rs 3,82,500

(ii) Capital Fund Rs 3,81,000

(iii) Balance Sheet as on Dec 31, 2008 Rs 4,10,000

34. The accounts set out below are submitted to you for audit. Pass comments and prepare corrected and proper final accounts for the year ending Dec 31, 2008.

Income and Expenditure Account as on Dec 31, 2008

Dr.			Cr.
Receipts	Rs	Payments	Rs
Entrance fees (21@100)	2,100	Salary and Wages	6,700
Fees for Life Membership (5@ Rs 520)	2,600	Secretary's Salary	3,500
Annual Subscription	16,300	Rent, Wages, etc.	12,650
15,650.			
Add: Paid in Advance 650	700	Printing and Postage	420
Interest on G.P Notes			
Sundry Receipts	600	Repairs to Premises	1,240
Balance from last year	12,380	Interest on Bank Loan	570
		Balance c/d	9,600
	<u>34,680</u>		<u>34,680</u>

Treasurers Note

Subscriptions in arrears amount to Rs 1,200. Sundry *traduces* bills Rs 420 were outstanding on Dec 31 but have since been paid. The secretary's salary has not yet been paid. The 3½ % G.P. notes of the face value of Rs 20,000 were purchased at Rs 960 the lease of the club premises costs Rs 21,240, the balance of the bank loan now outstanding is Rs 10,000, secured by mortgage on the leasehold premises.

Answer

- (i) Excess of expenditure over income Rs 6,450
- (ii) Balance sheet total Rs 53,540
- (iii) Capital fund Rs 42,820
- (iv) Cash balance at the end Rs 11,900

35. From the following particulars, which relate to a commercial and literacy society, prepare Receipts and Payments Account, Income and Expenditure Account and Balance Sheet as on Dec 31, 2008.

Balance Sheet as on Dec 31, 2007

Dr.			Cr.
Receipts	Rs	Payments	Rs
Outstanding Creditors	4,250	Cash at Bank	30,000
Capital Fund		Govt. Securities	1,00,000
Excess of Income over Expenditure	1,55,750	Accrued Interest	1,250
		Accrued Subscriptions	4,000
		Library Books	10,000
		Furniture and Fittings	14,750

The transactions for the year 2008 were as follows:

Received from subscriptions Rs 25,000, proceeds from entertainment and lectures Rs 10,000, received from interest on securities Rs 4,750, entrance fee received Rs 5,000, sale proceeds of old chairs Rs 750.

Paid for rent Rs 6,000, for printing Rs 1,500, for advertising Rs 2,000, for petty disbursements Rs 550 and for purchase of government securities Rs 25,000.

Paid for outstanding creditors Rs 4,250, for furniture Rs 4,000, for library books Rs 3,000; for cost of entertainment Rs 7,500.

On Dec 31, 2008, the following liabilities were outstanding for printing Rs 750 and for rent Rs 1,000.

There were also outstanding on account of interest on securities Rs 1,500 and subscriptions Rs 3,250.

[B.Com (Madras University)]

Answer

- (i) Receipts and Payments A/c Total Rs 75,500
- (ii) Closing Cash balance Rs 21,700
- (iii) Excess of Income over Expenditure Rs 25,700
- (iv) Balance Sheet as on Dec 31, 2008 Rs 1,83,200 total

36. Mrs Parul Vasanth is an advocate by Profession and her receipts and payments for the year ending Mar 31, 2009 are as follows:

Receipts	Rs	Payments	Rs
To Balance b/d	33,050	By Rent (for 18 months to July 30, 2009)	22,500
To Fees	1,07,100	By Mobile Phone Charges	2,250
To Miscellaneous Receipts	100	By Salaries to Clerk	16,500
To Sale of Old Equipment	2,000	By Journals	500
		By Law Books (purchased on July 1, 2008)	2,500

Receipts	Rs	Payments	Rs
		By Software Equipments	4,000
		By Furniture (purchased on Oct 1, 2008)	3,500
		By Purchase of Stationeries	21,500
		By Conveyance Expenses	25,000
		By Drawings	30,000
		By Miscellaneous Expenses	500
		By Balance c/d	13,500
	<u>1,42,500</u>		<u>1,42,250</u>

- (i) Fees outstanding: on Mar 31, 2008 Rs 1,000, on Mar 31, 2009: Rs 2,500
(ii) Stock of stationeries: on Mar 31, 2008 Rs 5,000, on Mar 31, 2009: Rs 9,300
(iii) Creditors for stationeries: on Mar 31, 2008 Rs 50, on Mar 31, 2009: Rs 150
(iv) Software equipment on Mar 31, 2008 Rs 25,000. Software equipment was sold as well as purchased on Jan 1, 2009 the cost of equipment sold benign Rs 3,000. Equipment is subject to depreciation of 20% p.a.
(v) Furniture on Mar 31, 2008 Rs 2,500, library books on Mar 31, 2008 Rs 500. Depreciates Furniture by 10% and library books by 20%.
(vi) Salary to clerk still payable is Rs 1,500
(vii) 60% of conveyance is for professional purpose

You are required to prepare the Receipts and Expenditure of MRs Parul Vasanth for the year 2008–2009 and the balance sheet as on Mar 31, 2009.

Answer

- (i) Receipts and Expenditure A/c Surplus Rs 31,850
(ii) Balance sheet as on Mar 31, 2009 Rs 55,750 (Total)

Hints

- (i) Balance sheet as on Mar 31, 2008 capital fund Rs 62,250
(ii) Crs for stationeries Rs 21,600 (Purchases), stock of stationeries Rs 17,300

37. Dr. Renu is a practicing surgeon. The Receipts and Payments Account for the year 2008 is as follows:

Dr.			Cr.
Receipts	Rs	Payments	Rs
Balance b/d	20,000	Salaries to Nurses	30,000
Fees	30,00,000	Rent	10,000
Miscellaneous Receipts	5,000	Journals	4,000
Sale of Old Equipment (cost of Rs 30,000)	20,000	Books for Library	16,000
		Purchases of Instruments	40,000
		Stationery	400
		Conveyance	3,000
		Purchases of Medicines	50,000
		Furniture	5,000
		Drawings	1,50,000
		Cash in Hand	36,600
	<u>3,45,000</u>		<u>3,45,000</u>

Her position stood on Jan 1, 2008 as:

Equipment Rs 1,50,000; medicines Rs 20,000; fees outstanding Rs 4,000; books Rs 20,000.

Fees still outstanding Rs 10,000, salaries to nurses still payable Rs 4,000; stock of medicines Rs 4,000.

Depreciate Equipment by 10% and Books @ 20.

You are required to prepare Receipts and Expenditure Account of Dr Renu for the year ending Dec 31, 2008 and a Balance Sheet on that date.

Answer

- (i) Receipts and Expenditure A/c Surplus Rs 1,44,400
- (ii) Balance sheet as on Dec 31, 2008 Rs 2,28,400 (Total)

Hints

Capital Rs 2,10,000

38. Shree & Co is a firm of solicitors whose partners Vasanth and Sekar share profits equally after charging a management fee of 5% from the Vasanth for the year ended on Mar 31, 2009, the books maintained by the firm reveal the following particulars

<i>Dr.</i>		<i>Cr.</i>	
Receipts	Rs	Payments	Rs
Capital	66,000	Salary Debts owing by the Firm	6,800
Drawings Vasanth Sekar	36,000	Office Rent	24,000
L.I.C. Premium Paid –	12,000	Office Expenses	7,200
Vasanth	24,000	Furniture and Library Books	49,200
Sekar	92,000	Clients Disbursements	5,200
Salaries to Juniors and Clerks	64,000	Amount owing by clients for bills	34,400
Amount received from	10,000	of cost rendered	

<i>Dr.</i>		<i>Cr.</i>	
Receipts	Rs	Payments	Rs
Pending Matters		Profit Costs	2,84,000
Reserve against bills of cost		Fixed Deposits with Bank	30,000
not collected with work in progress		Bank Accounts Clients	63,600
as on Apr 1, 2008		Office	13,200
		Work in progress on Mar 31, 2009	16,400

Information

- (i) Capital accounts of partners at the beginning of the year were of equal amounts.
- (ii) Included in the bills of costs sent to clients are sundry disbursements like postage, telephone, etc. defied in the books of office expenses account. At the end of the year, items on the debit side of clients disbursements account, amounting to Rs 6,400, had not been charged to clients in bills of costs of these Rs 400 was received and credited to their accounts in the year.

You are required to prepare the Receipts and Expenditure Account for the year ended on Mar 2009 and a Balance Sheet of the firm on that date.

Answers

- (i) Receipts and Expenditure Account Net Profit Rs 1,30,720
(ii) Balance Sheet as on Mar 31, 2009 Rs 2,12,800 (total)

39. Sathyan & Shree is in partnership practicing as Chartered Accountants under the name and style SSS Co sharing profits/losses equally. They close their accounts on Mar 31 every year. The following was their Balance Sheet as on Mar 31, 2008.

Balance Sheet as on Mar 31, 2008

Liabilities	Rs	Assets	Rs
Partner's Capital		Furniture	60,000
Sathyan	1,95,000	Office Machinery	45,000
Shree	1,20,000	Library Books	24,000
Audit Fees collected in advance (Sathyan's Clients)	30,000	Car	1,80,000
Liability for Salary	15,000	Outstanding Audit Fees	
Provision against outstanding Audit Fees	1,50,000	Sathyan's Client	90,000
		Shree's Client	60,000
		Cash at Bank	45,000
		Cash at Hand	6,000
	5,10,000		5,10,000

The following is the summary of their cash/bank transactions for the year ended Mar 31, 2009.

Dr.**Cr.**

Receipts	Rs	Payments	Rs
Opening		Salary Charges	7,80,000
Bank Balance	45,000		
Cash Balance	6,000		
Audit Fees:		Car Expenses	1,05,000
Sathyan's Clients	8,40,000		

Dr.**Cr.**

Receipts	Rs	Payments	Rs
Shree's Clients	5,40,000	Traveling Expenses	63,000
Fees for Other Services			
Sathyan's Clients	1,50,000	Printing and Stationery	54,000
Shree's Clients	1,20,000	Postage Expenses	9,000
		Telephone	45,000

(Continued)

(Continued)

Dr.		Cr.	
Receipts	Rs	Payments	Rs
		Subscription Journals	21,000
		Library Books	36,000
		Computer	48,000
		Membership Fees	6,000
		Drawings	
		Sathyan	2,16,000
		Shree	<u>1,80,000</u>
		Cash at Bank	1,44,000
		Cash in Hand	<u>6,000</u>
	<u>17,13,000</u>		<u>17,13,000</u>

- | | |
|--|-----------|
| 1. Audit Fees Receivable | Rs |
| Sathyan's Clients | 90,000 |
| Shree's Clients | 1,50,000 |
| 2. Audit Fees collected in advance Shree's Clients | 60,000 |
| 3. Outstanding liability for salary on Mar 31, 2009 | 60,000 |
| 4. Depreciate Furniture and Library Books at 10% and Office and Car at 20% | |

It has been agreed that 80% of audit fees and 40% of fees for other services should be transferred to Income and Expenditure Account in respect of each partners account, the balance being credited directly to the capital accounts.

You are required to prepare Income and Expenditure A/c for the year ended Mar 31, 2009 and a Balance Sheet as on that date.

(C.A. Modified)

Answer

- (i) Income and Expenditure A/c Surplus Rs 5,400
 - (ii) Balance Sheet as on Mar 31, 2009 Rs 7,16,400 (Total)
40. From the following trial balance and accompanying notes for adjustments, prepare Income and Expenditure Account for the year ended Dec 31, 2008 and a Balance Sheet as on that date of a club:

Debit Balance	Rs	Credit Balance	Rs
Building	86,400	Rent	7,340
Crockery Jan 1, 2008	4,000	Sale of Tickets	13,400
Crockery purchased	2,000	Subscriptions	24,300
Printing and Stationery	1,140	Billiard Room Receipts	7,690
Billiard Board	20,800	Profit on Sale of Wire	2,400
Billiard Expenses	4,270	Entertainment Receipts	3,200
Arrear – subscriptions Jan 1, 2008	2,250	Donations	17,000
Honorarium	6,750	Entrance Fees	450
Administration Expenses	13,690	Newspapers	240
Stock of Wire (Dec 31, 2008)	600	Creditors	6,270
Cash in Hand and at Bank	6,270	Capital Fund	65,880

Note for adjustments

- (i) Stock of Stationery and Printing on Dec 31, 2008 Rs 70.
- (ii) Out of the total subscription Rs 2,250 represented arrears collected and Rs 1,520 paid in advance.
- (iii) Entrance fees to be capitalised.
- (iv) Out of the donations, Rs 7,200 represented donation to election fund and of the balance 50% shall be capitalised.
- (v) Depreciate crockery on the following basis: $\frac{1}{5}$ 15 of their value is to be written off in the year of purchase $\frac{2}{5}$ the in each of the next two years. Of the stock of crockery as on Jan 1, 2008 (Rs 4,000) one half was one-year old and the other half, two-year old.

Answer

- (i) Excess of income over expenditure Rs 30,520
- (ii) Balance Sheet Rs 1,16,740 (Total)

Financial Statements from Incomplete Records (Single Entry System)

LEARNING OBJECTIVES

After studying this chapter, you will be able to understand

1. The Meaning of Single Entry System (or) Incomplete Records System
2. The Salient Features of Single Entry System
3. The Advantages of Single Entry System
4. Disadvantages of Single Entry System
5. Differences Between Incomplete Records System (Single Entry) and Double Entry System
6. Methods of Preparation of Accounts (Ascertainment of Profit or Loss from Incomplete Records)
7. To Ascertain Profit/loss Under Statement of Affairs Method
8. To Differentiate Between Statement of Affairs and Balance Sheet
9. To Compute Profit/Loss – the Different Steps and Stages Involved
10. The Concept of Conversion Method
11. The Differences in the Accounting Treatment Between the Incomplete Records System and the Partnership Firms
12. To Ascertain the Missing Figures in the Preparation of Final Accounts Under Incomplete Records System Under Conversion Method
13. To Prepare Trading and Profit and Loss Account and Balance Sheet from the Particulars Obtained from Incomplete Records

INTRODUCTION

Accounting is an ancient art. Any business enterprise should keep a systematic record of transactions. A systematic record of such transactions is called “accounting” – precisely. But here one has to understand what a “transaction” really means. A well-known definition explains it as types of actions and reactions having monetary implications of one person or firm in relation to another person or firm. It clearly reveals that if there is a transaction then there must be transfer of money from one person (firm) to another person (firm). Hence the necessity arises to record any type of transaction in a systematic way.

Notwithstanding the fact that the art of accounting has attained perfection with the advent of Double Entry System in India and accounting equation approach in the United States, still some people follow rudimentary method of keeping accounts. Some maintain personal accounts only. No other accounts relating to

assets, liabilities, expenses, gains and so on are maintained. Recording all types of transactions in a concise and complete set of records is not being followed. Such system of accounting popularly known as Single Entry System is still in vogue. Technically speaking, there is no such system of accounting called “Single Entry System.” It is technically termed as “Accounts from Incomplete Records.” It is called as incomplete records because real and nominal accounts are not maintained. Some transactions are not at all recorded. In some transactions only one aspect (debit or credit) is recorded and only personal accounts are kept.

In this chapter, salient features of this system and proper accounting treatment to attain perfection from such incomplete records of accounts are explained in detail.

OBJECTIVE 1: MEANING AND DEFINITION OF SINGLE ENTRY SYSTEM

Accountants, in general, feel reluctant to use the phrase “Single Entry System,” because strictly speaking there exists no such system. The so-called system is developed by certain business entities for their convenience without adhering to the rules of double entry system. Under this system only cash book and personal accounts are maintained, but the most essentially needed subsidiary books – backbone of the double entry system – are not maintained. To put it in a nutshell, this system may be termed as an incomplete double entry system. Kohler defines it as “A system of book-keeping in which as a rule only records of cash and personal accounts are maintained; it is always incomplete double-entry, varying with circumstances.”

OBJECTIVE 2: SALIENT FEATURES OF INCOMPLETE RECORDS SYSTEM

1. Suitable for Sole Trading Concerns: This system is generally in vogue in sole trading concerns and to some extent in partnership firms. But limited companies cannot keep their accounts under this system because of legal requirements.

2. Only Personal Accounts: Only personal accounts are kept.

3. Mix-up of all Transactions: It is very common in this system to maintain one single cash book mixing business as well as private transactions.

4. No Uniformity in Maintenance of Records: There is no uniformity in maintaining the records. It varies from firm to firm according to the convenience of the firm.

5. Only an estimate: Profit/loss ascertained under this system is only an estimate and it may not reflect the accurate status of the business entities.

6. Only Vouchers and No Subsidiary Books: For information one has to rely on vouchers only, because it is not recorded then and there in subsidiary books.

7. Lacks Accuracy: It lacks accuracy, scientific and systematic method of recording/accounting transactions.

2.1 Advantages of Incomplete Double Entry System

1. *Easy to Maintain:* It is very simple and easy to maintain by any person even without basic knowledge of accounting principles.
2. *Economy:* It is very economical and it costs less as records to be maintained are very few.
3. *Time Saving:* As the number of records to be kept is very minimal, it is less time-consuming for recording transactions.

2.2 Disadvantages of Single Entry System

1. Both aspects (Debit and Credit) of the transactions are not recorded. Trial balance cannot be prepared. It lacks from arithmetical accuracy.
2. As real accounts are not maintained, it is not easy to prepare Balance Sheet. So the true financial position of such enterprises cannot be ascertained.

3. It does not reveal any information relating to sources of profit/loss or causes for them.
4. It is difficult to detect fraud, as this systems lack automatic checks.
5. Errors are rampant, as it is difficult to detect and rectify them under this system.
6. It is not easy to conduct audit of such accounting system.
7. It is difficult to operate internal control and check system.
8. It is difficult to exercise control over assets of the concern.
9. Inter-firm or intra-firm comparisons are not possible in this system.
10. Records maintained under this system are not recognised by tax authorities, insurance companies and so on.
11. Real and nominal accounts are ignored and as such net worth of the business, goodwill, claim from insurance companies and so on cannot be ascertained with accuracy.

OBJECTIVE 3: DIFFERENCES BETWEEN SINGLE ENTRY SYSTEM (INCOMPLETE RECORDS SYSTEM) AND DOUBLE ENTRY SYSTEM

Basis of Difference	Incomplete Records System (Single Entry)	Double Entry System
1. Aspect of transaction	In some cases both the aspects (i.e., Dr. and Cr.) and in most of the cases only one aspect of the transaction is recorded	Both aspects of transactions are recorded in all cases
2. Assumptions and principles	It is not based on certain assumptions and principles	It is based on certain assumptions and principles
3. Nature of accounts	Generally, personal accounts and cash accounts are maintained	All types of accounts, Personal, Real and Nominal accounts are maintained
4. Trial balance	Trial Balance cannot be prepared	Trial Balance can be prepared
5. Profit/loss	Trading and Profit and Loss accounts are not prepared. So, profit/loss cannot be ascertained accurately	Trading and Profit and Loss accounts can be prepared and profit/loss can be ascertained accurately
6. Financial position	In the absence of Balance Sheet, financial position cannot be ascertained	As Balance Sheet is prepared, financial position can be easily ascertained
7. Adjustments	Usually, adjustments are not carried out in preparing accounts	All types of adjustments are carried out in the preparation of accounts
8. Utility	This system is suitable only for small size business concerns	This system is suitable for all types of business entities
9. Recognition	Records maintained under this system are not recognised by statutory bodies	All statutory bodies give due recognition to the records maintained under this system
10. Accuracy and reliability	Arithmetical accuracy and reliability of accounting results cannot be expected	All results are reliable and accurate

OBJECTIVE 4: PREPARATION OF ACCOUNTS (OR) ASCERTAINMENT OF PROFIT OR LOSS FROM INCOMPLETE RECORDS

Any business entity wants to know its financial position and operating results for a specific period. Under this system, as no records are maintained in accordance with standardised accounting principles, it is not possible to prepare final accounts – Trading and Profit and Loss Account to furnish operating results and Balance Sheet to ascertain its financial position.

For this system, generally, the following two methods are employed to ascertain profit/loss.

1. Statement of Affairs Method (or) Net Worth Method
2. Conversion Method

4.1 Statement of Affairs Method (or) Net Worth Method

4.1.1 Meaning

A statement that shows items of different assets and liabilities is referred to as the Statement of Affairs.

- (i) This is prepared to compute the Capital (difference between Total Assets and Total Liabilities) in the beginning and at the end of the accounting period.
- (ii) This is similar to the Balance Sheet.
- (iii) Sources of accounting under this method:
 - (a) Cash book
 - (b) Bank pass book
 - (c) Debtors and creditors personal ledger
 - (d) List of fixed assets (not proper records)
 - (e) Outstanding and prepaid income and expense (not proper records)

4.1.2 Accounting Procedure

- (i) Statement of Affairs Method is used to ascertain profit/loss for the accounting period.
- (ii) Under this method the following two statements have to be prepared:
 - (a) Statement of Affairs
 - (b) Statement of Profit and Loss

(i) Statement of Affairs is prepared to ascertain the capital, (i.e. excess of assets over liabilities) on a particular date

Two statements of affairs have to be prepared – one to ascertain the capital in the beginning of the accounting period and the other to ascertain the capital at the end of the accounting period.

Such statements will reveal the amount relating to capital in the beginning and capital at the end, respectively.

This statement will simply depict whether there is an increase or decrease in capital during the accounting period. Mere increase or decrease may not be enough to compute the net profit/loss, as many other factors can affect such increase or decrease in the capital.

So, the necessity arises to make certain adjustments to compute the capital at the end. This can be done by preparing another statement, which is known as Statement of Profit and Loss.

(ii) Statement of Profit and Loss is prepared mainly to make adjustments to ascertain the actual capital during the accounting period

Adjustments relating to the following have to be made:

- (i) Drawings
- (ii) Additional capital introduced
- (iii) Interest on capital
- (iv) Interest on drawings
- (v) Salary to a partner
- (vi) Depreciation

- (vii) Provisions
- (viii) Outstanding incomes and expenses
- (ix) Prepaid incomes and expenses

This Statement of Profit and Loss is prepared by making the adjustments in the capital to arrive at profit/loss.

Under this method, these two statements (1) Statement of Affairs and (2) Statement of Profit and Loss have to be prepared to compute profit/loss during an accounting period.

To put in a nutshell:

Statement of Affairs Method requires preparation of two statements: (1) preparation of Statement of Affairs to compute the capital and (2) preparation of Statement of Profit or Loss (adjustments of certain items with the capital) to compute profit or loss.

4.1.3 Format of Statement of Affairs

Statement of Affairs of as on

Liabilities	Rs	Assets	Rs
Sundry Creditors	—	Cash in hand	—
Bills Payable	—	Cash at bank	—
Outstanding Expenses	—	Sundry Debtors	—
Bank Overdraft	—	Bills Receivable	—
Capital (Balancing figure)	—	Stock in trade	—
		Prepaid Expenses	—
		Fixed Assets	—
	—		—

4.1.4 Format of Statement Showing Profit or Loss

Statement Showing Profit or Loss for the Period Ending

Particulars	Rs
1. Capital (generally, at the end of accounting period)	—
2. <i>Add:</i> Drawings (both cash in hand and kind)	—
3. <i>Less:</i> Additional capital introduced during the accounting period (both cash in hand and kind)	—
4. Adjusted capital at the end of the accounting period (1 + 2 – 3)	—
5. Capital at the beginning of the accounting period	—
6. Profit if 4 > 5 (i.e., 4 – 5) or Loss if 4 < 5 (i.e., 5 – 4)	—

OBJECTIVE 5: DISTINCTION BETWEEN STATEMENT OF AFFAIRS AND BALANCE SHEET

Even though the Statement of Affairs is similar or looks like a Balance Sheet, it really differs in the following aspects:

Basis of Distinction	Statement of Affairs	Balance Sheet
1. Main objective	Computation of capital in the beginning and at the end is the main objective in preparing this statement	To ascertain the financial position on a specific date is the reason for preparing the Balance Sheet

(Continued)

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Basis of Distinction	Statement of Affairs	Balance Sheet
2. Basis of preparation	It is prepared on the basis of estimates mostly and to some extent on the basis of ledgers	It is prepared mainly on the basis of ledgers only
3. Reliability	It lacks reliability as it relies on estimates, assumptions and information obtained from memory	Balance Sheet is reliable as it relies on records only and can be verified at any time
4. Omissions	Omission of an item (asset or liability) cannot be detected easily	Such omissions can at once be detected due to non-agreement of both the sides of Balance Sheet
5. Financial position	It reflects only the estimated financial position	It shows the true financial position
6. Arithmetical accuracy	As Trial Balance cannot be prepared, it suffers from arithmetical accuracy	Preparation of Trial Balance ensures arithmetical accuracy
7. Basis of valuation	No standard method of valuation is adapted. It is mostly prepared in an arbitrary way and method of valuation is not disclosed as such	Standardised accounting principles are adopted in assessing the value of assets. Method of valuation is properly disclosed
8. Assets–Liabilities equation	Assets may not be equal to liabilities	Total of assets side and total of liabilities side will be equal always

OBJECTIVE: 6 ACCOUNTING TREATMENT**Computation of Profit/Loss as per Statement of Affairs Method**

Step 1: Draw the format of Statement of Affairs (for the beginning of the accounting period).

Step 2: Transfer the items relating to assets to the assets side of Statement of Affairs Account.

Step 3: Transfer the items relating to liabilities to liabilities side.

Step 4: Ascertain the capital (balancing figure – the difference between the sum of the assets and liabilities). This may be termed as opening capital as it is prepared in the beginning of the accounting.

Step 5: Repeat the procedure (from Step 1 to Step 4) to ascertain the capital at the end of the accounting period. This is termed as closing capital.

Step 6: After ascertainment of capital in the beginning and at the end (i.e., opening capital and closing capital), statement showing profit or loss (second statement and second part of the solution) is to be prepared.

Step 7: Take the closing capital as the base and add the drawing (main adjustment to the capital).

Step 8: Another adjustment – additional capital introduced or took place during the accounting has to be deducted from the closing capital.

Step 9: The figure arrived at after these main adjustments is termed as adjusted closing capital.

Adjusted Closing Capital = Closing Capital + Drawings – Additional Capital.

Step 10: Find the difference between the adjusted closing capital and the opening capital to ascertain profit or loss.

Profit – If the Adjusted Closing Capital > Opening Capital

Loss – If the Adjusted Closing Capital < Opening Capital

Step 11: From profit/loss ascertained, further adjustments should be made for items not yet adjusted, to arrive at *net income*

6.1 Model 1: Computation of Capital

Illustration: 1

From the particulars provided, you are required to calculate the capital of Mrs. Bhagya Shree as on Mar 31, 2009.

Cash in hand Rs 15,000; Stock in trade Rs 75,000; Sundry Creditors Rs 20,000; Sundry Debtors Rs 70,000; Bills Payable Rs 50,000; Bills Receivable Rs 40,000; Bank Overdraft Rs 30,000; Loans and Advances Rs 90,000 (Dr.); Outstanding Expenses Rs 25,000; Prepaid Expenses Rs 10,000; Loan from X (Cr.) Rs 1,50,000; Land and Building Rs 1,70,000.

Solution

- As computation of capital alone is the requirement, preparation of Statement of Affairs will be enough.
- Remember the procedure explained and follow the sequence of the steps.

Step 1: Draw the format

Step 2: Classify the items whether they relate to asset or liability

Step 3: Record them in the format

Step 4: Add the assets side and liabilities side

Step 5: Find the difference

Step 6: Result will be the capital at Mar 31, 2009

Statement of Affairs of Mrs. Bhagya Shree as on 31.3.2009

Liabilities	Rs	Assets	Rs
Bank O/D	30,000	Cash in hand	15,000
Sundry Creditors	20,000	Stock in trade	75,000
Bills Payable	50,000	Bills Receivable	40,000
Outstanding Expenses	25,000	Sundry Debtors	70,000
Loan from X	1,50,000	Loan and Advances	90,000
Capital (Balancing figure)	1,95,000	Pre-paid Expenses	10,000
		Land and Building	1,70,000
	<u>4,70,000</u>		<u>4,70,000</u>

Note: It is given loans and advance as (Dr.), so it has to be treated as an asset.

6.2 Model 2: Ascertainment of Profit/Loss

Illustration: 2

Opening Capital Rs 50,000; drawings Rs 15,000; capital introduced during the year Rs 25,000; Closing Capital Rs 1,05,000. Ascertain the profit/loss for the year 2008.

Solution

- In this question both opening capital and closing capital values are shown. So, the first part, Statement of Affairs need not be prepared.
- So, the second part, Statement of Profit or the Loss has to be prepared.

Step 1: Closing Capital is taken as base

Step 2: Add the Drawings

Step 3: Deduct the Additional Capital (less)

Step 4: This figure represents adjusted capital at the end (1 + 2 – 3)

Step 5: Deduct the Opening Capital (less)

Step 6: Profit (4 – 5)

Statement of Profit or Loss for the year ending 2008

Particulars	Rs
1. Capital at the end	1,05,000
2. Add: Drawings	15,000
	1,20,000
3. Less: Additional Capital	25,000
4. Adjusted Capital at the end	95,000
5. Less: Opening Capital	50,000
6. Profit (4 > 5; 4 – 5)	45,000

6.3 Model 3: Ascertainment of Opening Capital, Closing Capital and Profit/Loss

Illustration: 3

Mr. Sameer keeps his accounts on Single Entry System from the following figures available, compute profits made by him for the year ended Dec 31, 2008.

	As on 31.12.2007	As on 31.12.2008
	Rs	Rs
Cash in hand	10,000	15,000
Cash at bank	50,000	80,000
Furniture	10,000	10,000
Stock in trade	75,000	1,00,000
Sundry Creditors	30,000	35,000
Sundry Debtors	20,000	30,000

During the year 2008, he withdrew Rs 500 every month for his personal use and invested on June 15, 2008 Rs 10,000 as additional capital.

Solution

Particulars are available for two years. So, Statement of Affairs – one for the year ending on Dec 31, 2007 and the other one for the year ending on Dec 31, 2008 – have to be prepared.

Remember the steps and proceed accordingly.

Stage I: Computation of Opening Capital

Statement of Affairs as on 31.12.2008

Liabilities	Rs	Assets	Rs
Sundry Creditors	30,000	Cash in hand	10,000
		Cash at bank	50,000

Liabilities	Rs	Assets	Rs
Capital (Balancing figure)	1,35,000	Sundry Debtors	20,000
		Stock in trade	75,000
		Furniture	10,000
	<u>1,65,000</u>		<u>1,65,000</u>

Stage II: Computation of Closing Capital

Statement of Affairs as on 31.12.2008

Liabilities	Rs	Assets	Rs
Sundry Creditors	35,000	Cash in hand	15,000
Capital (Balancing figure)	2,00,000	Cash at bank	80,000
		Sundry Debtors	30,000
		Stock in trade	1,00,000
		Furniture	10,000
	<u>2,35,000</u>		<u>2,35,000</u>

Stage III: Ascertainment of profit or loss

Remember the steps involved in computing the profit or loss (preparation of the Statement of Profit or Loss).

	Rs
Step 1: Capital at the end, i.e. on 31.12.88	2,00,000
Step 2: Add: Drawings (Rs 500 per month $\times$ 12)	<u>6,000</u>
	2,06,000
Step 3: Less: Additional capital, introduced on June 15	<u>10,000</u>
Step 4: Adjusted capital at the end of 2008	1,96,000
Step 5: Less: Capital in the beginning, i.e. on 31.12.2007	<u>1,35,000</u>
Step 6: Profit (4 – 5) (4 > 5)	<u>61,000</u>

6.4 Model 4: Computation of Net Profit (After Adjustments)

Illustration: 4

Mrs. Renu could not keep complete records. She provides you with the following details:

	As on 1.4.2008 Rs	As on 31.3.2009 Rs
Bank balance	9,000	1,200 (Cr.)
Stock in trade	41,000	70,000
Sundry Debtors	30,000	40,000
Sundry Creditors	15,000	6,000
Bills payable	5,000	3,000
Bill receivable	13,000	17,000
Furniture and fixtures	6,000	6,000
Buildings	1,20,000	1,20,000

Further Information

She sold her private investments of Rs 6,000 @ 33 1/3% premium and brought this money in her business on June 1, 2008. Her drawings were Rs 1,500 per month. Stock costing Rs 9,000 was taken by her for personal use. Rs 5,000 is outstanding for wages and Rs 2,000 for salaries. Prepaid insurance Rs 500, outstanding medical expenses amounted to Rs 2,000. A provision @ 10% is required for doubtful debts. Depreciation is to be written off @ 5% on furniture and fixtures and 10% on buildings.

You are required to compute profit and loss by statement of affairs method for the year 2008–2009 and Balance Sheet as on Mar 21, 2009.

Solution

- (i) Calculation of opening and closing capital has to be made by preparing Statement of Affairs.
- (ii) Computation of profit or loss has to be made by preparing Statement of Profit or Loss. But here, after arriving profit or loss, all the other adjustments have to be carried out to arrive at net profit (this is the Step 6, the last step discussed)
- (iii) Finally a Balance Sheet has to be drawn as on Mar 31, 2009.

Stage I: Computation of Opening Capital and Closing Capital**Statement of Affairs of Mrs. Renu as on 1.4.2008 and as on 31.3.2009**

Liabilities	1.4.08 Rs	31.3.09 Rs	Assets	1.4.08 Rs	31.3.09 Rs
Sundry Creditors	15,000	6,000	Cash at bank	9,000	—
Bills payable	5,000	3,000	Stock in trade	41,000	70,000
Bank overdraft	—	1,200	Sundry Debtors	30,000	40,000
Capital			Bills Receivable	13,000	17,000
(Balancing figure)	1,99,000	2,42,800	Furniture and fixtures	6,000	6,000
			Buildings	1,20,000	1,20,000
	<u>2,19,000</u>	<u>2,53,000</u>		<u>2,19,000</u>	<u>2,53,000</u>

Stage II: Calculation of profit or loss**Statement of Profit or Loss for the year ending on 31.3.2009**

	Rs
Step 1: Capital at the end (i.e., on 31.3.2009)	2,42,800
Step 2: Add: Drawings (Cash Rs 1,500 × 12 + Stock Rs 9,000)	27,000
	<u>2,69,800</u>
Step 3: Less: Additional capital (Rs 6,000 + 33 1/3 of Rs 6,000)	8,000
Step 4: Adjusted capital at the end (1 + 2 – 3)	2,61,800
Step 5: Less capital in the beginning (i.e., as on 1.4.2008)	1,99,000
Step 6: Profit (4 > 5; 4 – 5) (but subject to adjustments)	<u>62,800</u>
Step 7: Less: Other adjustments	
Provision for doubtful debts	4,000
Depreciation on furniture and fixtures	300
Depreciation on building	12,000
Outstanding Wages	5,000
Outstanding Salaries	2,000

Outstanding Medical Expenses	2,000	Rs
	<u>25,300</u>	
* Pre-paid insurance	(500)	
	<u>24,800</u>	
Step 8: Net Profit for the year (Step 6 – Step 7)	=	<u>24,800</u>
		<u>38,000</u>

Stage III: Preparation of Balance Sheet as on 31.3.2009

Balance Sheet of Mrs. Renu as on 31.3.2009

Liabilities	Rs	Assets	Rs
Sundry Creditors	6,000	Stock in trade Rs	70,000
Bills Payable	3,000	Sundry Debtors	40,000
Bank Overdraft	1,200	Less: 10% Prov.	<u>4,000</u>
Outstanding Expenses		Bills Receivable	17,000
Wages	5,000		500
Salaries	2,000	Prepaid Expenses (insurance)	
Medical	<u>2,000</u>	Furniture and Fixtures	6,000
Capital		Less: 5% Depreciation	<u>300</u>
Opening Balance	1,99,000		5,700
Add: Net profit	38,000	Buildings	1,20,000
Add: Additional Capital	8,000	Less: 10%	
		Depreciation	<u>12,000</u>
	<u>2,45,000</u>		1,08,000
Less: Drawings	<u>27,000</u>		
	<u>2,18,000</u>		
	2,37,200		<u>2,37,200</u>

Notes

- (i) Care should be taken while recording bank balance by noting whether it is credit balance.
- (ii) Only net profit has to be added to the capital
- *1(iii) Pre-paid insurance – Pre-paid expense – see how it is treated in further adjustments
- (iv) While preparing the Balance Sheet, as usual, all the items pertaining to the date of the Balance Sheet will have to be recorded.

6.5 Model 5: Cheques Issued but not Presented

Illustration: 5

On 1.4.2008, Mr. B.P .Singh started a business with a capital of Rs 1,00,000 with which he opened a bank account. In the same date, he bought furniture for Rs 15,000 and stock of goods for Rs 45,000.

On Mar 31, 2009, the stock in hand was valued at Rs 70,000 and fittings stood at Rs 13,500. Book debts amounted to Rs 50,000 of which Rs 2,000 was considered as bad. His bank balance as per cash book was Rs 10,000. A cheque of Rs 1,750 sent for deposit on Mar 29, 2009 was realised on Apr 7, 2009 and a cheque of Rs 900 issued on Mar 17, 2009 was not presented till Apr 3, 2009. Bank charges amounted to Rs 100, but the same was not intimated to him upto Mar 31, 2009. His drawings stood at Rs 750 per month. He also took goods worth Rs 7,500 for personal use from the business. Creditors stood at Rs 12,000 at the end. You are required to prepare a statement showing profit or loss for the period ending on Mar 31, 2009.

Solution

- In this problem bad debts are shown. It has to be deducted from book debts.
- Some transactions relating to cheques are shown. Accounting treatment for them:
 - (i) A cheque of Rs 1,750 – even though sent for deposit on Mar 29 itself (i.e., during the accounting period), it was realised only on Apr 7 (i.e., next accounting period). So that transaction need not be taken into account.
 - (ii) Another cheque of Rs 900, even though it was issued on Mar 17 itself, it was not presented till Apr 3, 2009. So this also need not be recorded now.
 - (iii) Bank charges Rs 100, even though not intimated to the client it has to be deducted from cash at bank as per cash book, as it really affects the amount during the accounting.
- As opening capital is given, a statement of affairs for the closing capital has to be computed, with the adjustments, discussed as above.
- Finally a Statement of Profit or Loss for the year ending Mar 31, 2009 is to be prepared.

Stage I: Statement of Affairs as on Mar 3, 2009

Liabilities	Rs	Assets	Rs
Sundry Creditors	12,000	Cash at bank (as per cash book) Rs 10,000 – 100 (given) (bank charge)	9,900
* Capital: (Balancing figure)	1,29,400	Stock (given)	70,000
		Furniture and Fittings (given)	13,500
		Book Debts (Rs 50,000 – 2,000)	48,000
	<u>1,41,400</u>		<u>1,41,400</u>

Stage II: Statement of Profit or loss for the year ending on Mar 31, 2009

	Rs
1. Capital on Mar 3, 2009 (Computed as in Stage I)	1,29,400
2. Add: Drawings (Rs 750 per month × 12 + Stock worth Rs 7,500)	<u>16,500</u>
3. Adjusted Capital	1,45,900
4. Less: Capital on 1.4.2008 (Given in question)	<u>1,00,000</u>
5. Profit (3 > 4; 3 – 4) for the year	<u>45,900</u>

6.6 Model 6: Bank Transactions – Adjustments**Illustration: 6**

Mr. Jain had Rs 2,00,000 in bank on Jan 1, 2008 on which date he started business. His incomplete records reveal:

	31.3.2008 Rs	31.3.2009 Rs
Cash in hand	10,000	16,000
Stock in trade	25,500	32,500
Sundry Debtors	40,000	50,000
Sundry Creditors	22,500	16,500

On Feb 1, 2008, he started withdrawing Rs 2,500 per month from the business for his personal use. His account in the bank reveals:

	Deposits Rs	Withdrawals Rs
Jan 1, 2008	2,00,000	—
Jan 1, 2008 to Mar 31, 2008	—	1,25,000
Apr 1, 2008 to Mar 31, 2009	2,12,500	1,75,000

The above withdrawals included payments by cheques of Rs 1,06,000 and Rs 37,500, respectively, during the period from Jan 1, 2008 to Mar 31, 2008 and from Apr 1, 2008 to Mar 31, 2009 for purchase of machinery for the business. The deposits after Jan 1, 2008 consisted wholly of sale price received from customers by cheques. Determine the profit/loss of Mr. Jain for the year ended Mar 31, 2009.

(B.Com Bombay University – Modified Slightly)

Solution

As some transactions relate to bank and through cheques, while entering the amount relating to bank the following adjustments have to be made:

Step 1

- While preparing statement of affairs (on Mar 31, 2008), i.e. for the period from Jan 1, 2008 to 31 Mar, 2008, amount relating to, bank will be: deposits during the period – withdrawals during the period. Rs 2,00,000 – 1,25,000 = Rs 75,000, shown on the assets side.

Step 2

- Computation of cash at bank, for the preparation of Statement of Affairs (as on Mar 31, 2009) will be as follows.

	Rs
Opening balance of cash at bank (as worked out earlier) (i.e., on 1.4.2008)	75,000
Add: Deposits for this period i.e., From 1.4.2008 to 31.3.2009 (given in question)	2,12,500
	2,87,500
Less: Withdrawals for this period i.e., from 1.4.2008 to 31.3.2009 (given in question)	1,75,000
*2 Cash at bank on Mar 31, 2009	1,12,500

Step 3

- Statement of Affairs for both the dates have to be prepared, as usual.

Step 4

- Finally, Statement of Profit and Loss for the year ending Mar 31, 2009 is to be prepared.

Stage I: Statement of Affairs as on Mar 31, 2008

	Rs		Rs
Sundry Creditors	22,500	Cash in hand	10,000
Capital		Cash at bank *1	75,000
(Balancing figure)	2,34,000	Sundry Debtors	40,000

(Continued)

(Continued)

	Rs		Rs
		Stock in hand	25,500
		Machinery	1,06,000
	<u>2,56,500</u>		<u>2,56,500</u>

Stage II: Statement of Affairs as on Mar 31, 2009

	Rs		Rs
Sundry Creditors	16,500	Cash in hand	16,000
Capital		Cash at bank * ²	1,12,000
(Balancing figure)	3,13,000	Stock in hand	32,000
		Sundry Debtors	25,000
		Machinery	1,43,500
	<u>3,29,500</u>		<u>3,29,500</u>

Stage III: Statement of Profit/Loss for the year ending on Mar 31, 2009

	Rs
Capital as on Mar 31, 2009	3,13,000
Add: Drawings (Rs 2,500 x 12)	30,000
Adjusted Capital	<u>3,43,000</u>
Less: Capital as on Mar 31, 2008	2,34,000
Net Profit (3 > 4; 3 – 4) for the year	<u>1,09,000</u>

6.7 Model 7: Net Increase in Assets or Net Decrease in Liabilities

Net worth direct from the Balance Sheet.

Illustration: 7

The Balance Sheets of Mrs. Rukmani as on Mar 31, 2008 and Mar 31, 2009 are given below. She is unable to understand what has happened to the profit of Rs 75,000 as disclosed by the Balance Sheet on Mar 31, 2009 as she does not find the same in her bank balance. Draw up a statement which may help her solve the problem:

Balance Sheets as on Mar 31, 2008 and 2009

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Capital (Mar 3, 2008)	1,15,000	1,15,000	Cash at bank	10,000	10,000
Add: Profit year 2008–2009	—	75,000	Debtors	70,000	95,000
		<u>1,90,000</u>			
Less: Drawings in 2008–2009	—	12,000	Stock	30,000	50,000
		<u>1,78,000</u>	Motor	35,000	38,000
			Vehicle		
			Plant (net)	80,000	60,000
Mortgage on land and buildings	80,000	60,000			

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Creditors	1,00,000	90,000	Land and Buildings	95,000	1,05,000
Bills Payable	25,000	30,000			
	<u>3,20,000</u>	<u>3,58,000</u>		<u>3,20,000</u>	<u>3,58,000</u>

[B.Com. (Kolkata University) –
Slightly Modified]

Solution

- If data are given in two Balance Sheets as in this problem, the approach to solve the problem is quite different.
- We have to ascertain whether there is any increase in assets or decrease in liabilities for each item – (profit items) and the decrease in assets or increase in liabilities – (loss items) and the net profit/loss is arrived at by finding the difference. This is carried out in the following tabular form.
- After computing Net increase/Net decrease,
(Profit) (Loss)
- We have to make adjustments to arrive at the profit for the year ending Mar 31, 2009.

Stage I

Items	31.3.2008 Rs	31.3.2009 Rs	Increase Rs	Decrease Rs
Sundry Debtors	70,000	95,000	25,000	—
Stock	30,000	50,000	20,000	—
Motor vehicle	35,000	38,000	3,000	—
Plant (net)	80,000	60,000	—	20,000
Land and Buildings	95,000	1,05,000	10,000	—
Mortgage on land and buildings	80,000	60,000	20,000	—
Sundry Creditors	1,00,000	90,000	10,000	—
Bills Payable	25,000	30,000	—	5,000
* Net increase in assets or (Net decrease in liabilities)				<u>63,000</u>
			<u>88,000</u>	<u>88,000</u>

Notes

1. Increase in assets and decrease in liabilities are shown in increase column.
2. Decrease in assets and increase in liabilities are shown in decrease column.
3. Net increase in assets (decrease in liabilities) – balancing figure Rs 63,000.

Stage II: Computation of Profit for the Year Ending Mar 31, 2009

* Net increase in assets (decrease in liabilities)	=	63,000
Add: Drawings	=	<u>12,000</u>
Profit for the year ending Mar 31, 2009	=	<u>75,000</u>

Now Mrs. Rukmani will be able to understand how the profit Rs 75,000 shown in the Balance Sheet is arrived at.

6.8. Incomplete Records and Partnership Firms

The accounting treatment for a partnership firm under this system is mostly similar to those adopted in sole proprietorship business that we have discussed so far in this chapter.

But the accounting treatment differs in the following aspects:

1. Items of appropriations (interest on capital, interest on drawings, partners' commission, salary and so on) are to be shown separately after calculating the profits before such appropriations. This is adopted in order to distribute the final profits among the partners in their profit sharing ratio only.
2. Adjustments relating to items of appropriations: they have to be added to or deducted from the profits calculated.
3. While preparing the Statement of Affairs in the beginning and at the end of the accounting period, only combined capital figures have to be recorded.
4. Only after ascertaining the profits after the incorporation of items, individual (partners) accounts (Capital and Current A/c) are to be recorded in the Statement of Affairs at the end of the accounting period.

The accounting treatment can be best explained with the help of an illustration.

6.9 Model 8: Single Entry and Partnership Firm

Illustration: 8

X, Y and Z were partners and towards the end of 2008, most of their books and records were destroyed by tsunami. Their Balance Sheet as on Dec 31, 2007 not affected much by the natural calamity and other information is given below:

Liabilities	Rs	Assets	Rs
Creditors	2,20,000	Cash at bank	96,000
Capital accounts		Debtors	1,44,000
X 1,80,000		Stock	2,60,000
Y 1,20,000		Machinery and Plant	57,600
Z 60,000	3,60,000	Fixtures and Fittings	24,000
		Advance Payments	1,400
Current accounts		Current account: Z	6,800
X 5,800			
Y 4,000	9,800		
	<u>5,89,800</u>		<u>5,89,800</u>

The drawing during 2008 were X – Rs 56,000; Y – Rs 40,000 and Z – Rs 26,000.

On Dec 31, 2008: cash at bank Rs 1,28,000; debtors Rs 1,61,000; stock Rs 2,36,000; advance payment Rs 1000; creditors Rs 2,41,600; machinery is to be depreciated @ 10% p.a and fixtures and fitting @ 7½%. Interest on capital is to be calculated @ 5% p.a.

Partners share profit/loss as X – 1/2

Y – 1/3

Z – 1/6

You are required to prepare a statement showing new trading profit for the year 2008 and division of same amongst the partners together with a Balance Sheet as on Dec 31, 2008.

[B. com (Hons) – Delhi Modified]

Solution

First, closing capital, i.e. on Dec 31, 2008 (of course, combined capital) has to be calculated. This can be done in the following form also instead of showing in the Balance Sheet Format (Statement of Affairs)

Stage I: Calculation of Capital as on Dec 31, 2008

X, Y and Z Capital as on Dec 31, 2008	
• All assets:	Rs
Cash at bank	1,28,000
Debtors	1,61,000
Stock	2,36,000
Advance payments	1,000
Machinery and plant	57,600
Fixtures and fittings	24,000
	<u>6,07,600</u>
• Less: Liabilities: Creditors	<u>2,41,600</u>
• Combined capital	<u>3,66,000</u>

Stage II: Statement of Profit/Loss for the year 2008

	Rs	Rs
1: Combined capital on Dec 31, 2008	3,66,000	
2: Add: Drawings (Combined)		
(X: Rs 56,000 + Y: Rs 40,000 + Z: 26,000)	<u>1,22,000</u>	
	4,88,000	
3: (a) Less: Combined capital as on Jan 1, 2008	<u>3,60,000</u>	
Adjusted capital (combined)	1,28,000	
(b) Less: Current accounts on Jan 1, 2008		
X – Rs	5,800	
Y – Rs	<u>4,000</u>	
	9,800	
Less Z – Rs	<u>6,800</u>	
	<u>3,000</u>	
	<u>3,000</u>	<u>1,25,000</u>
4: Gross profit		
5: Less: Depreciation		
Machinery and Plant	5,760	
Fixtures and Fittings	<u>1,800</u>	<u>7,560</u>
6: Net Profit		<u>1,17,440</u>
7: Less: Interest on capitals		
X	9,000	
Y	6,000	
Z	<u>3,000</u>	<u>18,000</u>
		<u>99,440</u>
8: Net profit to be apportioned		
9: Share of profit		
X – 1/2	49,720	
Y – 1/3	33,146	
Z – 1/6	<u>16,574</u>	<u>99,440</u>

Stage III:

XYZ
Balance Sheet as of Dec 31, 2008

Liabilities	Rs	Rs	Assets	Rs	Rs
Creditors			Cash at bank		1,28,000
Current accounts		2,41,600	Debtors		1,61,000
X	5,800		Stock		2,36,000
Add: Interest	<u>9,000</u>		Machinery and Plant	57,600	
	14,800		Less: Depreciation	<u>5,760</u>	51,840
Add: Profit share	<u>49,720</u>		Advance payments		1,000
	64,520		Current account: Z	6,800	
Less: Drawings	<u>56,000</u>	8,520	Add: Drawings	<u>26,000</u>	
Y	4,000			32,800	
Add: Interest	6,000		Less: Interest	<u>3,000</u>	
Profit	<u>33,146</u>			29,800	
	43,146		Less: Share of		
Less: Drawings	<u>40,000</u>	3,146	profit	<u>16,574</u>	13,226
Capitals			Fixtures and Fittings	24,000	
X	1,80,000		Less: Depreciation	<u>1,800</u>	22,200
Y	1,20,000				
Z	<u>60,000</u>	3,60,000			
		<u>6,13,266</u>			<u>6,13,266</u>

Remember

Following steps are necessary in preparing accounts for partnership firms under Single Entry System:

- *1: Adjustments for appropriations (interest on capital, interest on drawings, etc.,) have to be made before net profit is to be apportioned amongst the partners (Ref: Step 7)
- *2: Balance Sheet or sometimes referred to as revised statement of affairs at the end of the accounting period has to be prepared with details. (Ref: Stage III)

OBJECTIVE 7: METHOD 2: CONVERSION METHOD (OR) FINAL ACCOUNTS METHOD**7.1 Meaning**

To ascertain gross profit and net profit of a business entity, it becomes essential to convert single entry records to double entry records.

Accounting procedure involved in the conversion of single entry into double entry is termed as Conversion Method or Final Accounts Method.

7.2 Conversion Method Features

This involves lengthy and time-consuming process of journalising, posting balancing and preparing the trial balance. In practice, such a logical sequence of preparation of accounts is not feasible.

In practice, final accounts may be prepared from the available records and need not be relied entirely on Trial Balance. So figures relating to certain items may be prepared directly. If it cannot be done, such missing figures can be ascertained by preparing the respective ledger accounts.

7.3 Procedure Under Conversion Method

Step 1: Lengthy process to ascertain the missing figures.

The following tabular column will help the students to ascertain the missing figures.

Missing Figure	Name of the Account to be Prepared	Method of Computing in the Missing Figure
1. Cash and bank balance (opening and closing)	Cash/bank account summary	Format of cash book is drawn, i.e. cash and bank account summary. All the figures (given in the question) are transferred to this account. Balancing figure – desired result
2. Cash sales	Cash/bank account summary	Balancing figure – and cash sales = Total sales – Net credit sales
3. Cash purchases	Cash/bank account summary	Balancing figure – and cash purchases = Total purchases – Net credit purchases
4. Drawings	Cash/bank account summary	Balancing figure – i.e., preparation of cash and bank account summary alone will be sufficient
5. Operating expenses	Cash/bank account summary	Balancing figure – i.e., preparation of cash and bank account summary alone will be sufficient
6. Income received	Cash/bank account summary	Balancing figure – i.e., preparation of cash and bank account summary alone will be sufficient
7. Additional capital	Cash/bank account summary	Balancing figure – i.e., preparation of cash and bank account summary alone will be sufficient
8. Loan raised	Cash/bank account summary	Balancing figure – i.e., preparation of cash and bank account summary alone will be sufficient.
9. Repayment of loan	Cash/bank account summary	Balancing figure – i.e., preparation of cash and bank account summary alone will be sufficient
10. Collection from debtors	Cash/bank account summary and total creditors account	Balancing figure – + Total Debtors Account (balancing figure)
11. Payments to creditors	Cash/bank account summary and Bills Receivable account	Balancing figure – + Total Creditors Account (balancing figure)
12. Bills Receivable collected	Cash/bank account summary and bills payable account	Balancing figure – + Bill Receivable Account (balancing figure)

(Continued)

(Continued)

Missing Figure	Name of the Account to be Prepared	Method of Computing in the Missing Figure
13. Bills payable discharged	Cash/bank account summary and bills payable account	Balancing figure – + Bill Payable Account (balancing figure)
14. Net credit sales	Total debtors account	Besides remember: (1) Net Credit Sales = Total Sales – Cash Sales – Sales Return (2) Closing Debtors x 12/credit period (in months). Net sales = Cash Sales + Credit Sales – Sale Returns (or) = Cost of Goods Sold + Gross Profit (or) = Gross Profit X 100/Rate of G.P. on sales
15. Net sales	—	C.G.S = Opening Stock + Purchases + Direct Expenses – Closing Stock (or) = Net Sales – Gross Profit (or) = Prepare Stock account and from bal. fig.
16. Cost of goods sold	Prepare stock account	G.P. = Net Sales – C.G.S. (or) Net sales X Rate of G.P. / 100
17. Gross – Profit	—	Net Credit Purchases = Total Purchases – Cash Purchases – Purchases Returns (or) = Closing Creditors X 12 / Credit period
18. Net credit purchases	Prepare total creditors account	Net purchases = Cash Purchases + Credit Purchases – Purchases Returns (or) C.G.S + Closing Stock – Opening Stock
19. Net purchases	Stock account	Balancing figure
20. Bills Receivables drawn	1. Bills Receivable account 2. Total debtors account	Balancing figure
21. B/P accepted	1. Bills payable account 2. Total creditors account	Balancing figure
22. B/R dishonoured	1. B/R account 2. Total debtors account	Balancing figure
23. Current years sales	—	Previous year's sales ± Changes in sales price, sales quantity

Missing Figure	Name of the Account to be Prepared	Method of Computing in the Missing Figure
24. Current years revenue income	Revenue income account	Income received + Accrued at the end + un accrued in the beginning – Accrued in the beginning – un accrued at the end
25. Current years revenue expenses	Revenue expenses account	Expenses Paid + Outstanding at the end + Pre-paid in the beginning – outstanding in the beginning – Pre-paid at the end
26. Opening capital	Opening Balance Sheet	Balancing figure
27. Opening and closing balance of any other item	Respective account has to be prepared	Balancing figure

Step 1: To ascertain capital in the beginning, Statement of Affairs in the beginning is to be prepared. Some needed items may be missing. So, at this stage, students are advised to prepare the Statement of Affairs as much as they can. By doing so, they may be able to come to know – what are all the figures missing.

Step 2: This is the most important step. Prepare the cash book.

Step 3: Prepare

- (i) Total debtors account
- (ii) Total creditors account
- (iii) B/R account
- (iv) B/P account

Gather the relevant figures from each such account.

Step 4: Calculate total sales and total purchases

Step 5: Besides the above-mentioned accounts, all the other accounts have to be prepared. As it is a lengthy and time-consuming process, only the most frequently needed items are dealt. (Any how students may refer the table presented to comprehend the accounting procedure involved in ascertaining the missing information)

Step 6: Trial Balance is to be prepared.

Step 7: From the Trial Balance, final accounts can be prepared in the usual manner.

Under the conversion method, for preparing Trading Account, the following information must be made available.

- (i) Opening stock
- (ii) Purchases
- (iii) Direct expenses
- (iv) Closing stock
- (v) Sales

Preparation of these accounts is explained by way of illustration in the following pages:

Format of Cash Book

Cr.

Receipts	Cash Rs	Bank Rs	Payments	Cash Rs	Bank Rs
To Balance B/d	XX	XX	Cash Balance B/d (overdraft)	—	XX
To Cash Sales	XX	—	By Cash Purchases	XX	—

(Continued)

(Continued)

Receipts	Cash Rs	Bank Rs	Payments	Cash Rs	Bank Rs
To Collection from debtors	XX	XX	By Payment to creditors	XX	XX
To B/R collected	XX	XX	By B/P discharged	XX	XX
To Additional capital	XX	XX	By Drawings	XX	XX
To Sale of fixed asset	XX	XX	By Purchase of fixed asset	XX	XX
To Sundry Incomes	XX	XX	By Sundry Expenses	XX	XX
To Balance C/d (overdraft)	—	XX	By Balance C/d	XX	XX
	XX	XX		XX	XX

If both the sides of a cash book are not tallied then the difference in the sides (both) may be treated as one of the following items:

If credit side exceeds debit side	If debit side exceeds credit side
1. Opening cash balance (or) Opening bank balance (or) Closing bank overdraft	1. Closing cash balance (or) Closing bank balance (or) Opening bank overdraft
2. Cash sales	2. Cash Purchases
3. Collection from debtors	3. Payment to creditors
4. B/R collected	4. B/P discharged
5. Additional capital	5. Drawings
6. Sale of fixed asset	6. Purchase of fixed asset
7. Sundry Income	7. Sundry Expenses

Illustration: 9

From the following transactions, you are required to ascertain the missing figure by preparing cash book for the year 2008–2009; Collection from debtors Rs 60,000; Payment to creditors Rs 40,000; Bills Receivables collected Rs 20,000; Bills Payable discharged Rs 19,000; Cash sales deposited Rs 13,000; Cash purchases (by cheque) Rs 5,000; Capital introduced Rs 10,000; Drawings Rs 15,000; Commission received Rs 6,000; Wages paid Rs 20,000; Salaries paid Rs 12,000; Rent paid Rs 9,000; Insurance premium paid Rs 1,000; Carriage inwards Rs 1,000; Bank balance as on Apr 1, 2008 Rs 9,000. All the above transactions are made through cheque only.

Solution

- As, all the transactions took place through cheque only, cash book (with bank column alone) may be drawn and the items are transferred to it.

Cash Book (Bank Column)

Dr.			Cr.
Receipt	Rs	Payments	Rs
To Balance B/d	9,000	By Cash Purchases	5,000
To Sundry Debtors	60,000	By Drawings	15,000
To B/R	20,000	By Trade Creditors	40,000
To Commission	6,000	By B/P	19,000
To Cash sales	13,000	By Salaries	12,000
To Capital introduced	10,000	By Wages	20,000

Dr.**Cr.**

Receipt	Rs	Payments	Rs
To * Balance C/d (Balancing figure)	4,000	By Rent	9,000
		By Insurance	1,000
		By Carriage Inwards	1,000
	<u>1,22,000</u>		<u>1,22,000</u>

7.4 Model: Calculation of Missing Figure – Opening Stock

Illustration: 10

Ascertain the opening stock from the given information:

	Rs		Rs
Purchases made during the year	50,000	Indirect expenses	2,500
Sales made during the year	90,000	Wages	3,000
Closing stock	5,000	Rate of gross profit on cost	1/2

Solution

- Generally opening stock figure is provided in the question. Here as it is not shown, it has to be ascertained as follows:
Rate of G.P. on cost = 1/2. Given
∴ 1/2 on cost = 1/3 on sale]
Profit made on sales = $\frac{1}{3} \times \text{Rs } 90,000$
= Rs 30,000
- A memorandum trading account is to be prepared to ascertain opening stock
- All the items except indirect expenses have to be shown (because indirect expenses are to be taken to profit and loss account)
- Balancing figure will be opening stock

Dr.**Cr.**

	Rs		Rs
Opening stock (Balancing figure)	12,000	Sales	90,000
Purchases	50,000		
Wages	3,000	Closing stock	5,000
Gross Profit	<u>30,000</u>		
	<u>95,000</u>		<u>95,000</u>

7.5 Model: Calculation of Missing Figure – Purchases

Purchases

- Cash purchases shall be added to credit purchases and the total purchases figure is used in the preparation of trading account.
- Cash purchases – amount can be had from the cash book
- Credit purchases are to be determined by preparing
 - Total Creditors Account
 - Bills Payable Account
 - Memorandum Trading Account

7.5.1 Total Creditors Account

To ascertain

- (i) Opening balance of creditors
(or)
- (ii) Closing balance of creditors
(or)
- (iii) Cash paid to creditors
(or)
- (iv) Credit purchases

Total creditors account has to be prepared.

Performa of Total Creditors Account

	Rs		Rs
To Cash / Bank A/c		By Balance B/d	—
To Returns Outwards A/c		By Bills Payable A/c (Dishonoured/cancelled)	
To Bills Payable A/c (accepted)		By Cash (paid for purchase returns)	
To Bills Receivable A/c (endorsed)		By Interest Charged	
To Discount A/c (received)		By Credit Purchases	
To Allowances		By Total Debtors A/c (endorsed B/R dishonoured)	
To Transfer from debtors		By Bank A/c (cheque dishonoured)	
To Balance C/d (closing balance)			

Illustration: 11

You are required to calculate total purchases from the following information:

Creditors as on Mar 31, 2009 Rs 4,000; creditors as on Mar 31, 2008 Rs 20,000; cash paid to creditors Rs 90,000; discount allowed by creditors Rs 3,000; purchase returns Rs 2,000; bills payable accepted Rs 15,000; cheques issued to creditors Rs 15,000; Bills Receivables endorsed in favour of creditors Rs 30,000 out of which 30% bills were dishonoured.

Solution

- First credit purchases will be computed by preparing Trade Creditors' Account.
- Then it is added with cash purchases to get the figure for total purchases.

Total Creditors' Account

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Cash A/c	90,000	By Balance B/d	20,000
To Bank A/c	15,000	(as on 31.3.2008)	
To Bills Receivable A/c	30,000	By Total Debtors' A/c	9,000
To Bills Payable A/c	15,000	(30% of Rs 30,000)	
To Discount	3,000	(B/R dishonoured)	
To Purchase Returns	2,000		
To Balance C/d		*By Credit Purchases	1,30,000
(as on 31.3.2008)	4,000	(Balancing figure)	
	<u>1,59,000</u>		<u>1,59,000</u>

$$\begin{aligned}
 \text{Total Purchases} &= \text{Cash Purchases} + \text{Credit Purchases} \\
 &= \text{Rs } 90,000 + \text{Rs } 1,30,000 \\
 &= \text{Rs } 2,20,000
 \end{aligned}$$

7.5.2 Bills Payable Account

A part of payment may be made by way of bills to the creditors.

Bills payable is prepared to ascertain the figure relating to bills accepted in favour of creditors.

Format of Bills Payable Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Cash/Bank A/c	XX	By Balance B/d	XX
To Creditors A/c			
(B/P dishonoured/cancelled)	XX	* By Total creditors' A/c	XX
To Interest (on retirement)	XX	(balancing figure)	
To Balance C/d	XX		
	<u>XX</u>		<u>XX</u>

Illustration: 12

You are required to prepare Bills Payable A/c and ascertain the missing figure from the following information:

Bills payable as on 31.3.2008 Rs 5,000

Bills discharged Rs 27,000

Bills payable as on 31.3.2009 Rs 2,000

Bills Payable Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Cash A/c (B/P discharged)	27,000	By Balance B/d (31.3.08)	5,000
To Balance C/d (Mar 31, 2009)	2,000	By * Total Creditors A/c	24,000
		Bills accepted	
		(Balancing figure)	
	<u>29,000</u>		<u>29,000</u>

(* This figure is transferred to creditors account and then the balancing figure is assumed as credit purchases)

Illustration: 13

You are required to calculate total purchases from the following information:

	<i>Rs</i>		<i>Rs</i>
Opening balance of B/P	10,000	B/P discharged during the year	17,800
Opening balance of creditors	12,000	Returns Outwards	2,400
Closing balance of B/P	14,000	Cash Purchases	51,600
Closing balance of creditors	8,000		
Cash paid to creditors during the year	60,400		

(B.Com, Delhi)

Solution**Step 1: Preparation of Bills Payable Account**

Bills Payable Account			
Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Cash	17,800	By Opening Balance	10,000
To Closing Balance	14,000	* By Credits	21,800
		(bills accepted during the year)	
		(Balancing figure)	
	<u>31,800</u>		<u>31,800</u>

* This figure is to be transferred to total creditors account to ascertain credit purchases, another missing figure.

Step 2: Preparation of Total Creditors' Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Cash	60,400	By Opening Balance	12,000
To Returns	2,400		
To B/P (transferred from B/P A/c Step 1)	21,800	* By Purchases	80,600
To Closing Balance	8,000	(Balancing figure)	
	<u>92,600</u>		<u>92,600</u>

Step 3: Total Purchases

Cash Purchases:	Rs 51,600
Add: Credit Purchases:	Rs 80,600
Total Purchases:	<u>Rs 1,32,200</u>

7.5.3 Direct Expenses

Cash book reveals most of the direct expenses.

At times they need adjustments relating to outstanding and pre-paid expenses.

7.5.4 Sales

Like purchases, cash sales and credit sales have to be ascertained. Cash sales are shown in the cash book

Credit sales are computed by preparing

- Total debtors account
- Total debtors account and Bills Receivable account

Performa – Total Debtors Account			
Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance B/d (Opening Balance)		By Cash/Bank	
To B/R A/c		By B/R. A/c (B/R drawn)	
		By Allowances and discounts	

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
(B/R dishonoured)		By Returns Inwards	
To Sales (Credit)		By Bad Debts	
To Cash (paid for sales returns, etc.,)		By Transfer to Creditors	
To Interest (charged from customers)		By Balance C/d	
To Bank A/c (cheque dishonoured)		(Closing Balance)	

7.6 Model: Calculation of Missing Figure – Credit Sales**Illustration: 14**

From the following you are required to calculate total sales made during the year 2008.

Debtors as on Jan 1, 2008 Rs 30,600; cash received from debtors during the year (as per cash book) Rs 91,200; bad debts 3,600; cash sales (as per cash book) Rs 85,200; returns inwards Rs 8,100; by debtors as on Dec 31, 2008 Rs 41,400.

Solution**Step 1: Preparation of Total Debtors Account to Determine Credit Sales****Total Debtors Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Opening balance	30,600	By Cash	91,200
* To Credit sales		By Bad debts	3,600
(Balancing figure)	1,13,700	By Returns	8,100
		By Closing balance	41,400
		(as on 31.12.2008)	
	<u>1,44,300</u>		<u>1,44,300</u>

Step 2: Total Sales

Cash sales Rs 85,200

Add: Credit sales Rs 1,13,700

Total sales Rs 1,98,900

Bills Receivable Account**Format – Bills Receivable Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance B/d		By Cash A/c (B/R collected)	
To Total Debtors A/c		By Bank A/c (discounted)	
(B/R accepted)		By Interest (on retirement)	
		By Bankers' discount A/c (discount)	
		By Total Debtors A/c	
		(B/R dishonoured)	
		By Sundry Creditors A/c	
		(B/R endorsed)	
		By Balance C/d	

7.7 Model: Calculation of Missing Figure – Bills Receivable

Illustration: 15

From the following details you are required to calculate total sales

	Rs		Rs
B/R in the beginning	3,900	Returns Inwards	4,300
Debtors in the beginning	15,400	B/R dishonoured	1,000
B/R encashed during the year	10,450	B/R at the end	3,000
Cash received from debtors	35,000	Debtors at the end	12,000
Bad Debts written off	1,400	Cash Sales (as per cash book)	30,000

Solution

Step 1: Preparation of Bills Receivable A/c

Bills Receivable Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance (opening)	3,900	By Cash	10,450
*1 To Debtors [B/R received during the year (Balancing figure)]	10,550	By Debtors (B/R – dishonoured)	1,000
		By Balance (closing)	3,000
			14,450
	14,450		

Step 2: Preparation of Total Debtor's Account

Total Debtor's Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Opening Balance	15,400	By Cash	35,000
To B/R (dishonoured)	1,000	By Bad Debts	1,400
* To Sales		By Returns	4,300
(Balancing figure)	46,850	By B/R (from B/R Account *1)	10,550
		By Closing Balance	12,000
	63,250		63,250

Step 3: Total Sales

Cash sales	=	Rs 30,000
Add: Credit sales	=	Rs 46,850 (*2)
Total sales	=	Rs 76,850

7.8 Cost of Goods Sold and Memorandum Trading Account

Illustration: 16

You are required to determine the amount of sales from the data:

Stock in the beginning Rs 15,000; Purchases Rs 60,000; Stock at the end Rs 15,000; Rate of G.P. on Sale = 1/6

Solution**Notes**

- As items relating to debtors are not appearing, no need to prepare Debtors Account.
- Further items relating to Bills Receivable are also not shown.

As such, first, from the available figures, gross profit has to be calculated. Then by transferring these data to Memorandum Trading Account, sales (balancing figure) can be ascertained.

Step 1: Calculation of Cost of Goods Sold:

$$\begin{aligned}\text{Cost of goods sold} &= \text{Opening Stock} + \text{Purchases} - \text{Closing Stock} \\ &= \text{Rs } 10,000 + 60,000 - 15,000 \\ &= \text{Rs } 55,000\end{aligned}$$

Step 2: Calculation of Gross Profit

$$\begin{aligned}1/6 \text{ on sales will be } 1/5 \text{ on cost} \\ \text{Gross profit on C.G.S} &= 1/5 \times \text{Rs } 55,000 \\ &= \text{Rs } 11,000 *1\end{aligned}$$

Step 3: Calculation of Sales

(Preparation of Memorandum Trading Account)

Memorandum Trading Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Opening Stock	10,000	By Sales	66,000
To Purchases	60,000	(balancing figure)	
To Gross Profit *1	11,000	By Closing Stock	15,000
	<u>81,000</u>		<u>81,000</u>

$$\text{Sales} = \text{Rs } 66,000$$

7.9 Revenue Expenses

To ascertain figure relating to expenses. Revenue expenses account has to be prepared, and the balancing figure represents the missing figure.

Format of Revenue Expenses Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance B/d (Prepaid in the beginning)	—	By Balance B/d (O/S in the beginning)	—
To Cash/Bank Account (Expenses paid during the year)	—	*By Profit and Loss Account (Balancing figure)	—
To Balance C/d (Outstanding at the end)	—	By Balance C/d (Prepaid at the end)	—
	<u>—</u>		<u>—</u>

Model: Calculation of Missing Figure – Revenue Expenses

Illustration: 17

You are required to ascertain the missing figure from the following information:

	31.3.2008 Rs	31.3.2009 Rs
Outstanding Rent	500	1,200
Prepaid Rent	1,500	3,000

Rent paid during the year 2008–2009 Rs 18,000.

Solution

- Here, rent (expenses incurred for the current accounting period) is the missing figure.
- This is computed by preparing “Revenue Expense Account – Rent.” [In case if there are some other items appearing, then the revenue expense account for that particular item (e.g., salary, wages, and so on) has to be prepared.]

Revenue Expense Account (Rent)			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance B/d (prepaid in the begin)	1,500	By Balance B/d (O/S in the beginning)	500
To Cash A/c (rent paid for year)	18,000	*By Profit and Loss A/c (Balancing figure)	17,200
To Balance C/d (O/S at the end)	1,200	By Balance C/d (prepaid at the end)	3,000
	<u>20,700</u>		<u>20,700</u>

Actual expense incurrent during 2008–2009 for Rent Rs 17,200.

7.10 Revenue Income

To ascertain the figures relating to income, Revenue Income Account has to be prepared and the balancing figure in that account reveals the missing figure for such items.

Format of Revenue Income Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance B/d (accrued in the beginning)	—	By Balance B/d (unaccrued in beginning)	—
* To P and L A/c	—	By Cash/Bank A/c (income received)	—
Balance C/d (unaccrued at the end)	—	By Balance C/d (accrued at the end)	—
	<u>—</u>		<u>—</u>

Model: Calculation of Missing Figure – Revenue Income

Illustration: 18

You are required to ascertain the appropriate missing figure from the following information:

	33.3.2009 Rs	31.3.2009 Rs
Accrued interest	5,500	9,250
Interest received in advance	12,700	24,500

Interest received during the year Rs 75,000

Solution

Computation of interest

Revenue Income A/c – Interest			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance B/d (accrued in beginning)	5,500	By Balance B/d (unaccrued in beginning)	12,750
* To P and L A/c (balancing figure)	67,000	By Cash/Bank A/c (income received during the year)	75,000
To Balance C/d (unaccrued at end)	24,500	By Balance C/d (accrued at the end)	9,250
	<u>97,000</u>		<u>97,000</u>

Interest received

During 2008–2009: Rs 67,000.

7.11 Model: Computation of Missing Figures (Combination of More Than One Item)

Illustration: 19

You are required to compute credit purchases and credit sales from the following information:

	Rs		Rs
Opening Debtors	30,000	Bad Debtors written off	2,500
Opening Creditors	28,000	Bad Debts recovered	1,750
Closing Debtors	28,000	B/R endorsed to creditors	8,000
Closing Creditors	32,000	B/R dishonoured by customers	2,500
B/R received during the year	20,000	Endorsed B/R dishonoured	1,000
B/P issued during the year	10,000	B/R discounted	5,500
Cash received from customers	60,000	Discounted B/R dishonoured	1,000
Cash returned to customers	2,000	Sales Returns	1,500
Cash paid to suppliers	40,000	Purchase Returns	500
Discount allowed by suppliers	500		
Discount allowed to customers	500		

Solution

Credit Purchases can be ascertained by preparing Total Creditors Account.

Total Creditors Account

<i>Dr.</i>			<i>Cr.</i>
Particulars	Rs	Particulars	Rs
To Bills Payable A/c (B/P issued during year)	10,000	By Balance B/d (Opening creditors)	28,000
To Cash A/c (Cash paid to suppliers)	40,000 500	By Total Debtor's A/c (Bills endorsed and dishonoured)	1,000
To Discount Received A/c (Allowed by suppliers)	8,000	*By Purchases (credit) (Balancing figure)	62,000
To Bills Receivable A/c (Endorsed to creditors)			
To Purchases returns	500		
To Balance C/d (Closing creditors)	32,000		
	<u>91,000</u>		<u>91,000</u>

Credit purchases: Rs 62,000.

Credit sales to be ascertained by preparing Total Debtors Account

Note: As bad debts recovered, and bills receivables discounted will not affect Total Debtors Account, those items need not be included in Total Debtors Account.

Total Debtors Account

<i>Dr.</i>			<i>Cr.</i>
Particulars	Rs	Particulars	Rs
To Balance B/d (Opening debtors)	30,000	By B/R A/c (Received during the year)	20,000
To Cash A/c (Cash returned to customer)	2,000	By Cash A/c (Cash received from customers)	60,000
To B/R A/c (dishonoured)	2,500	By Discount Allowed	500
To Total Creditors A/c (Endorsed B/R dishonoured)	1,000	By Bad Debts (Written off)	2,500
To Bank A/c (discounted B/R dishonoured)	1,000	By Sales Returns	1,500
*To Credit Sales (B.F)	76,000	By Balance C/d (Closing Debtors)	28,000
	<u>1,12,500</u>		<u>1,12,500</u>

Credit sales: Rs 76,000.

Illustration: 20

Mr. Raichand keeps his accounts on single entry. You are required to ascertain total purchases during the year 2008.

B/P 1.1.2008 Rs 40,000; Creditors Rs 48,000; (1.1.2008), Creditors on 31.12.2008 Rs 32,000; Cash paid to the creditors Rs 2,41,600; Cash received from debtors Rs 2,00,000; Cash purchases Rs 2,06,400; Bills

payable during the year Rs 71,200; Returns outwards Rs 9,600; Returns inwards Rs 56,000; Bills payable 31.12.2008 Rs 56,000.

(Delhi – B. Com – Modified)

Solution

- Items relating to sales, i.e. sales returns and cash received from debtors are not taken into account here.
- To ascertain sundry creditors, Bills Payable Account has to be prepared first.

Bills Payable Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Cash A/c (B/P during the year)	71,200	By Balance B/d (B/P on 1.1.2008)	40,000
To Balance C/d (B/P 31.12.08)	56,000	*1 By Sundry Creditors A/c	87,200
	1,27,200	(Balancing figure)	1,27,200

Now total creditors account is to be prepared

Total Creditors' Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Cash A/c (Cash paid to creditors)	2,41,600	By Balance B/d (Cr. On 1.1.2008)	48,000
To Returns outwards A/c	9,600	By * Purchases A/c	3,22,400
To B/P A/c *1	87,200	(Total credit purchases during the year)	
To Balance C/d (Cr. on 31.12.2008)	32,000	(Balancing figure)	
	3,70,400		3,70,400

* Credit Purchases: Rs 3,22,400

Total Purchases

Cash Purchases (Given):	Rs 2,06,400
Add: *Credit Purchases:	Rs 3,22,400
Total Purchases:	Rs 5,28,800

7.12 Model: Preparation of Trading and Profit and Loss Account Together with Balance Sheet

Illustration: 21

Mr. Praveen keeps his accounts on a single entry system. You are required to prepare Trading and Profit and Loss Account for the year ended 31.3.2009, together with Balance Sheet as on that date.

Cash Book Analysis Shows the Following

	Rs		Rs
Interest Charges	200	Balance at Bank as on 31.3.2009	4,850
Personal Withdrawals	4,000	Cash in hand as on 31.3.2009	150
Staff Salaries	17,000		

(Continued)

(Continued)

	<i>Rs</i>		<i>Rs</i>
Other Business Expenses	15,800	Received from Debtors	50,000
Payments to Creditors	30,000	Cash sales	30,000

Further details

	<i>As on 1. 4. 2008</i>	<i>As on 31. 3. 2009</i>		<i>As on 1. 4. 2008</i>	<i>As on 31. 3. 2009</i>
Stock on hand	18,000	20,440	Furniture	2,000	2,000
Creditors	16,000	11,000	Office Premises	30,000	30,000
Debtors	44,000	60,000			

Provide 5% interest on Praveen's capital balance as on 1.4.2008. Provide Rs 3,000 for doubtful debts, 5% depreciation on all fixed assets, 5% group incentive commission to staff has to be provided for net profit after meeting all expenses and commission.

[B. Com (Hons) – Delhi – Modified]**Solution**

The missing figures have to be ascertained in the following sequence by preparing:

- (i) Cash Book to ascertain Cash Balance
- (ii) Opening Balance Sheet – Capital
- (iii) Total Debtors A/c – Sales
- (iv) Total Creditors A/c – Purchases

Step 1: Preparation of Cash Book

Cash Book			
<i>Dr.</i>			<i>Cr.</i>
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Debtors	50,000	*1	
		By Balance B/d	8,000
To Sales	30,000	(Bal. fig – O/D)	
		By Interest	200
		By Drawings	4,000
		By Salaries	17,000
		By Expenses	15,800
		By Creditors	30,000
		By Balance C/d Bank	4,850
		Cash	150
	<u>80,000</u>		<u>80,000</u>

*1: Balancing figure – Credit side of Cash Book. This figure represents overdraft. This amount has to be shown in the opening Balance Sheet.

Step 2: Preparation of Opening Balance**Balance Sheet as on Apr 1, 2008**

Liabilities	Rs	Assets	Rs
*2 Capital (bal. fig.)	70,000	Office premises	30,000
Bank Overdraft (*1)	8,000	Furniture	2,000
Creditors	16,000	Stock in hand	18,000
		Debtors	44,000
	<u>94,000</u>		<u>94,000</u>

*2 Opening capital: Rs 70,000

Step 3: Preparation of Total Debtor's Account

Total Debtors Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Opening Balance	44,000	By Cash	50,000
*3 To Sales	66,000	By Closing Balance	60,000
(Balancing figure)			
	<u>1,10,000</u>		<u>1,10,000</u>

*3 Sales: Rs 66,000

Total Sales: Cash sales + Credit sales: Rs 30,000 + Rs 66,000 = Rs 96,000

Step 4: Preparation of Total Creditors Account

Total Creditors Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Cash	30,000	By Opening Balance	16,000
To Closing Balance	11,000	*4 By Purchases (Balancing figure)	25,000
	<u>41,000</u>		<u>41,000</u>

*4 Purchases: Rs 25,000

Step 5

- (i) Calculation of interest on capital:

Opening Capital = Rs 70,000

5% on Rs 17,000 = $5/100 \times \text{Rs } 70,000 = \text{Rs } 3,500$

- (ii) Depreciation:

(a) Furniture: $\text{Rs } 2,000 \times 5/100 = \text{Rs } 100$

(b) Premises: $\text{Rs } 30,000 \times 5/100 = \text{Rs } 1,500$

- (iii) Calculation of Commission:

(Note: First leave gap for this. After computing G.P. transfer that amount here and calculate)

	Rs
Gross Profit	
(From Trading and Profit and Loss A/c)	73,440
Less: All expenses except Commission:	41,100
(From Trading and P and L A/c)	
Net Profit before Commission	32,340
Commission @ 5%	1,540
Net Profit after Commission	<u>30,800</u>

Step 6: Preparation of Trading and Profit and Loss Account

Trading and Profit and Loss Account for the year ending Mar 31, 2009			
Dr.	Rs		Cr.
To Stock	18,000	By Sales	96,000
To Purchases	25,000	(From Step 3: Total sales)	
(From Step 4)		By Stock	20,440
To Gross Profit C/d	<u>73,440</u>		<u>1,16,440</u>
	1,16,440		
To Interest	200	By Gross Profit B/d	73,440
To Salaries	17,000		
To Expenses	15,800		
To Provision for doubtful debts)	3,000		
To Interest on capital	3,500		
(From Step 5(i))			
To Depreciation:			
Furniture	100		
Premises	1,500		
(From Step 5 (ii))	1,540		
To Group Commission			
(From Step 5 (iii)) To Net Profit	<u>30,800</u>		
	73,440		<u>73,440</u>

Step 7: Preparation of Balance Sheet**Balance Sheet as on Mar 31, 2009**

Liabilities	Rs	Rs	Assets	Rs	Rs
Capital	70,000		Premises	30,000	
Add: Interest	3,500		Less: Depreciation	<u>1,500</u>	
Add: Net Profit	<u>30,800</u>		Furniture	2,000	28,500
	1,04,300		Less: Depreciation	<u>100</u>	1,900
Less: Drawings	<u>4,000</u>		Stock in hand		20,440
Creditors		1,00,300	Debtors	<u>60,000</u>	

Liabilities	Rs	Rs	Assets	Rs	Rs
Group Commission		11,000	Less: Provision for doubtful debts	3,000	57,000
		1,540	Cash in hand		150
			Cash in bank		4,850
		<u>1,12,840</u>			<u>1,12,840</u>

(Comprehensive)**Illustration 22**

Mr. X. carries on some business. He has no knowledge of double entry accounting. He banks all receipts and makes all payments only by means of cheques. He maintains proper cash book, a debtor's ledger and creditor's ledger. He also makes proper records of assets and liabilities at the closing of every accounting year. From such records, the following facts are collected for the year 2008:

Receipt for the year ended 31.12.2008:

	Rs
From Sundry Debtors	35,250
Cash Sales	8,250
Paid in by Mr. X	5,000

Payments made during the year:

New Equipment Purchases	1,250
Wages	13,450
Interest Paid	150
Rent	2,400
Sundry Expenses	4,250
Paid to Sundry Creditors	15,250
Drawings	3,000
Salaries	2,250
Telephone	250
Electricity Charges	950

Assets and liabilities:

	31.12.2007	31.12.2008
	Rs	Rs
Sundry Creditors	5,050	4,800
Sundry Debtors	7,000	12,250
Bank	1,250	?
Stock	12,500	6,250
Equipment	15,000	14,630

You are required to prepare Trading and Profit and Loss Account for the year ending Dec 31, 2008 and a Balance Sheet on that date.

[B.Com. (Hons) – Delhi Modified]

Solution**Order of Sequence**

1. As all transactions are by Cheques, Cash Book (with Bank Columns) is to be prepared to ascertain closing bank balance – a missing figure.
2. Opening balance is to be prepared to compute the (Opening) Capital.
3. To ascertain the exact amount on depreciation, Equipment (Machinery) Account has to be prepared.

4. To ascertain purchases (Credit), Total Creditors Account has to be prepared.
5. To ascertain sales (Credit), Total Debtors Account has to be prepared.
6. Trading and Profit and Loss A/c is to be prepared to compute gross profit and net profit.
7. After ascertaining all the figures, final Balance Sheet has to be prepared.

Step 1: Preparation of Cash Book (with bank columns only)

Cash Book (Bank Column only)

Particulars	Rs	Particulars	Rs
To Balance B/d (given)	1,250	By New Equipment (purchased)	1,250
To Cash Received from Debtors	35,250	By Wages A/c	13,450
To Sales A/c (cash)	8,250	By Interest A/c	150
To X's A/c	5,000	By Rent A/c	2,400
		By Sundry Expenses	4,250
		By Creditors A/c	15,250
		By Drawings	3,000
		By Salaries A/c	2,250
		By Telephone	250
		By Electricity	950
		*By Balance C/d	
		(Closing balance) (Balancing figure)	6,550
	<u>49,750</u>		<u>49,750</u>

Bank balance as on Dec 31, 2008: Rs 6,550

Step 2: Preparation of Balance Sheet (Opening)

Balance Sheet as on Dec 31, 2007

Liabilities	Rs	Assets	Rs
Sundry Creditors	5,050	Bank	1,250
* Capital		Stock	12,500
(Balancing figure)	31,200	Sundry Debtors	7,500
		Equipment	15,000
	<u>36,250</u>		<u>36,250</u>

Opening capital = Rs 31,200

Step 3: Calculation of Depreciation on Equipment

Equipment A/c

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Balance B/d	15,000	*By Depreciation A/c	1,620
To Bank A/c	1,250	(Balancing figure)	
(Purchases – new)		By Balance C/d	14,630
	<u>16,250</u>		<u>16,250</u>

Depreciation = Rs 1,620

Step 4: Calculation of Credit Purchases

Total Creditor's Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Bank A/c	15,250	By Balance B/d	5,050
To Balance C/d	4,800	*By Purchases	
		(Balancing figure)	15,000
	<u>20,050</u>		<u>20,050</u>

Credit Purchases = Rs 15,000

Step 5: Calculation of Credit Sales

Total Debtors Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance B/d	7,500	By Bank A/c	35,250
*To Sales	40,000	By Balance C/d	12,250
(Balancing figure)			
	<u>47,500</u>		<u>47,500</u>

Credit Sales = Rs 40,000

Step 6: Preparation of Trading and Profit and loss Account to Compute Gross Profit and Net Profit**Trading and Profit and Loss Account for the year ending on Dec 31, 2008**

	Rs		Rs
Stock	12,500	Sales:	
Purchases	15,000	Cash: 8,250	
Wages	13,450	Credit: 40,000	48,250
Electricity	950		
Profit and Loss A/c		Stock at the end	6,250
(Gross Profit)	<u>12,600</u>		
	<u>54,500</u>		<u>54,500</u>
Salaries	2,250		
Sundry Expenses	4,250	Trading Account	12,600
Rent	2,400	(Gross Profit)	
Interest	150		
Telephone	250		
Depreciation	1,620		
Net Profit			
(Transferred to Capital Account)	<u>1,680</u>		
	<u>12,600</u>		<u>12,600</u>

Step 7: Preparation of Balance Sheet**Balance Sheet as on Dec 31, 2008**

Liabilities	Rs	Assets	Rs
Rs		Rs	
Capital 31,200		Equipment 15,000	
Add: Addition 5,000		Add: New 1,250	
Add: Net Profit 36,200		16,250	
1,680		Less: Depreciation 1,620	
37,880			14,630
Less: Drawings 3,000	34,880	Sundry Debtors	12,250
Sundry Creditors	4,800	Stock	6,250
		Bank Balance	6,550
	39,680		39,680

Illustration: 23

Mr. Raj carries on business as a retail merchant. He does not maintain regular books. From cash sales effected by him he effects business and other payments, always retains cash of Rs 500 on hand and deposits the balance in the bank account. The stock inventories for the year ended Dec 31, 2008 are lost. However he informs you that he has sold goods invariably at a price which yields him a profit of 33 1/3% on cost. From the following additional information supplied to you, prepare necessary final accounts for the year ended Dec 31, 2008.

Assets and Liabilities	Jan 1, 2008 Rs	Dec 31, 2008 Rs
Cash in hand	500	500
Sundry Creditors	2,000	4,500
Cash at	Not available	4,000
Sundry Debtors	5,000	17,500
Stock of Goods	14,000	Not available

Analysis of the bank pass book reveals the following information:

	Rs
Payment of Creditors	35,000
Payment for bussiness expenses	6,000
Receipt from Debtors	37,000
Loan from Gopi taken on Jan 1, 2008 @ 10%	5,000
Cash Deposited in the bank	5,000

In addition, he paid to the creditors for goods Rs 1,000 in cash and salaries Rs 2,000 in cash. He also withdrew Rs 4,000 cash for his personal expenses.

(B. Com. Madras Modified)

Solution

1. Prepare Cash Book (Cash Columns) and ascertain cash sales
2. Prepare Cash Book (Book Columns) and ascertain bank balance on 1.1.2008

3. Prepare Total Creditor's Account and ascertain Credit Purchases
4. Prepare Total Debtors Account and ascertain Credit Sales
5. Prepare Balance Sheet as on 1.1.2008 to ascertain Opening Capital
6. Prepare Trading and Profit and Loss A/c to ascertain Profit
7. Finally, Balance Sheet as on 31.12.2008 has to be drawn.

Step 1: Calculation of Cash Sales:

Cash Book (Cash Column)			
Dr.			Cr.
	Rs		Rs
To Balance B/d	500	By Bank	5,000
*To Sales		By Salaries	2,000
(Balancing figure)	12,000	By Payments to Creditors	1,000
		By Drawings	4,000
		By Balance C/d	500
	<u>12,500</u>		<u>12,500</u>

Cash sales = Rs 12,000.

Step 2: Calculation of Opening Bank Balance

Cash Book (Bank column only)			
Dr.			Cr.
	Rs		Rs
To Cash	5,000	*By Balance B/d	2,500
To Debtors	37,500	(Balancing figure)	
To Gopi's loan	5,000	By Payments to Creditors	35,000
		By Business Expenses	6,000
		By Balance C/d	4,000
	<u>47,500</u>		<u>47,500</u>

Bank balance as on 1.1.2008: Rs 2,500

(As Cr. – it is overdraft)

Step 3: Note: Step 1 and Step 2 can be presented in a combined ledger A/c

Total Creditors Account			
Dr.			Cr.
	Rs		Rs
To Bank	35,000	By Balance B/d	2,000
To Cash	1,000	*By Purchases	38,500
To Balance C/d	4,500	(Balancing figure)	
	<u>40,500</u>		<u>40,500</u>

Credit Purchases: Rs 38,500

Step 4**Total Debtors Account**

Dr.			Cr.
	Rs		Rs
To Balance B/d	5,000	By Bank	37,500
*To Credit Sales	50,000	By Balance C/d	17,500

Credit Sales: Rs 50,000

Step 5: Calculation of Opening Capital**Balance Sheet as on 1.1.2008**

Liabilities	Rs	Assets	Rs
Sundry Creditors	2,000	Cash in hand	500
Bank O/D (From Step 2)	2,500	Sundry Debtors	5,000
Capital		Stock of Goods	14,000
(Balancing figure)	15,000		
	<u>19,500</u>		<u>19,500</u>

Step 6: Preparation of Final Account**Raj Trading and Profit and Loss Account for the year ending 31.12.2008**

	Rs		Rs
To Opening Stock	14,000	By Sales: Rs	
To Purchases (from Step 3)	38,500	Cash Sales 12,000	
To Gross Profit		(From Step 1)	
[33 1/3, (1/3 on Cost = 1/4 on sales)		Credit Sales	
(i.e., 25% on sales)		(From Step 4) <u>50,000</u>	62,000
25% of Rs 62,000]	15,500		
	<u>68,000</u>	Closing Stock	6,000
To Salaries	2,000		<u>68,000</u>
To Business Expenses	6,000	By Gross Profit B/d	15,500
To Interest on Gopi's Loan	500		
To Net Profit	7,000		
	<u>15,500</u>		<u>15,500</u>

Illustration: 24**You are given below:**

- Information about assets and liabilities of Mr. Krishna Yadav
- Cash transaction for 12 months to Mar 31, 2009
- A summary of additional information

(i) Assets of Mr. Krishna:

Bills Receivable Rs 12,500; Sundry Debtors Rs 19,500; Stock in trade Rs 37,650; Plant and Machinery Rs 23,500; Land and Buildings Rs 35,000; Cash in hand Rs 350

Liabilities:

Bank O/D Rs 2,500; Sundry Creditors Rs 18,000; Bills Payable Rs 8,000.

(ii) Cash Transaction:

Receipt from debtors Rs 1,45,000; Bills Receivable encashed Rs 50,000

Payments: Salaries Rs 6,000; Wages Rs 7,900; Bills Payable Rs 71,500; Payment to Creditors Rs 73,500; General Expenses Rs 4,000; Drawings Rs 22,500; Cash in hand at the end Rs 1,200.

(iii) Other Information:

	Rs		Rs
Total Sales (all credit)	2,03,500	Bills Receivable during the year	54,500
Discount to Customers	1,000	Stock of Goods on 31.3.2009	26,500
Purchases (all Credit)	1,50,000	Bills Payable issued during the year	75,000
Discount received from suppliers	500		

Create provision for doubtful debts on debtors at the end @ 5%. Depreciate plant @ 5% and building @ 2 1/2%.

You are required to prepare a trading and profit and loss account for the year ended Mar 31, 2009 and a Balance Sheet on that date.

(B. Com. – Bombay – Modified)

Step 1: Calculation of Capital in the Beginning

Liabilities	Rs	Assets	Rs
Bank O/D	2,500	Bills Receivables	12,500
Sundry Creditors	18,000	Sundry Debtors	19,500
Bills Payable	8,000	Stock in trade	37,650
*Capital (Balancing figure)	1,00,000	Plant and Machinery	23,500
		Land and Buildings	35,000
		Cash in hand	350
	1,28,500		1,28,500

Step 2**Total Debtors Account**

Dr.	Rs	Cr.	Rs
To Balance B/d	19,500	By Cash	1,45,000
To Sales	2,03,500	By B/R	54,500
		By Discount	1,000
		*By Balance C/d (Balancing figure)	22,500
	2,23,000		2,23,000

Step 3**Bills Receivable Account****Dr.****Cr.**

	Rs		Rs
To Balance	12,500	By Cash	50,000
To Debtors	54,500	*By Balance C/d	17,000
	<u>67,000</u>		<u>67,000</u>

Step 4**Total Creditors Account****Dr.****Cr.**

	Rs		Rs
To Cash	73,500	By Balance B/d	18,000
To Bills Payable	75,000	By Purchases A/c	1,50,000
To Discount	500		
*To Balance C/d	19,000		
	<u>1,68,000</u>		<u>1,68,000</u>

Step 5**Bills Payable Account****Dr.****Cr.**

	Rs		Rs
To Cash	71,500	By Balance	8,000
To Balance C/d	11,500	By Creditors	75,000
	<u>83,000</u>		<u>83,000</u>

Step 6**Cash Account****Dr.****Cr.**

	Rs		Rs
To Balance C/d	350	By Balance	2,500
To Debtors	1,45,000	By Salaries	6,000
To Bills Receivable	50,000	By Wages	7,900
		By Bills Payable	71,500
		By Creditors	73,500
		By General Expenses	4,000
		By Drawings	22,500
		By Cash in hand	1,200
		*By Cash at Bank	
		(Balancing figure)	6,250
	<u>1,95,350</u>		<u>1,95,350</u>

Step 7

**Trading and Profit and Loss Account
for the year ending Mar 31, 2009**

	<i>Rs</i>		<i>Rs</i>
To Stock	37,650	By Sales	2,03,500
To Purchases	1,50,000	By Stock at the end	26,500
To Wages	7,900		
To Gross Profit C/d	34,450		
	<u>2,30,000</u>		<u>2,30,000</u>
To Salaries	6,000	By Gross Profit B/d	34,450
To General Expenses	4,000	By Discount received	500
To Discount Allowed	1,000		
To Provision for Bad Debts	1,125		
To Depreciation:			
Plant 1,175			
Building 875	2,050		
To Net Profit	<u>20,775</u>		
	<u>34,950</u>		<u>34,950</u>

Step 8

Balance Sheet as on Mar 31, 2009

<i>Liabilities</i>	<i>Rs</i>	<i>Assets</i>	<i>Rs</i>
Bills Payable (from Step 5)	11,500	Cash in hand	1,200
Sundry Creditors (Step 4)	19,000	Cash at bank (Step 6)	6,250
Capital		Bills Receivable (Step 3)	17,000
(From Step 1) 1,00,000		Sundry Debtors:	
Add: Profit 20,775		(Step 2) 22,500	
Less: Drawings 22,500	98,275	Less: Provision 1,125	21,375
		Stock at the end	26,500
		Building 35,000	
		Less: Dep. 875	34,125
		Plant 23,500	22,325
		Less: Dep. 1,175	
	<u>1,28,775</u>		<u>1,28,775</u>

Illustration: 25

Mr. Khan commenced business in retail on July 1, 2008 in premises for which he paid a rent of Rs 1600 per month. The only records he kept, apart from his bank statements, were files of paid invoices and unpaid invoices for goods purchased, together with a notebook in which he record a few sales on credit to special customers who paid him by cheques. Cash received from cash sales was paid into the till out of which he had paid certain amounts, of which he kept a rough record, and he made weekly banking out of the balance in the till. He paid all suppliers for goods purchased by cheque.

An analysis of the bank statements for the six months ended Dec 31, 2008 was as follows:

	Rs		Rs
Deposits into Bank:		Withdrawals from bank:	
Capital paid to open account	32,000	Shop Fixtures and Fittings	16,000
Loan from friends (interest free)	16,000	Household furniture	14,400
Cheques from Supplier (for goods returned)	2,240	Suppliers (for purchases)	78,720
Special Customers	2,400	Rent	8,000
Total of weekly cash banking	95,440	Rates	2,400
		Insurance on Stocks	1,600
		Electricity	1,440
	95,440	Balance on Dec 31, 2008	25,520
	1,48,080		1,48,080

Mr. Khan estimates that the total amounts paid out of the till before making the weekly banking for the six months were:

Drawings Rs 16,000; wages Rs 11,200 and Sundry Shop Expenses Rs 6,400.

You ascertain that as on Dec 31, 2008:

- (1) Stocks, correctly taken at cost, were Rs 13,760.
- (2) The balance in the till was Rs 2,080, including a post-dated cheque for Rs 1,200, cashed for a customer
- (3) Cheques for Rs 1,360 from special credit customers paid into the bank had not been cleared. One for Rs 560 was cleared on Jan 23, 2009, and the other for Rs 800 was returned dishonoured and the other customer could not be traced. This sum is considered as bad. Other special customers owed Rs 1920.
- (4) The following cheques had been issued but had not been presented. Rent for Dec Rs 1,600 and lighting charges Rs 1,200.
- (5) The cash paid into the bank included Rs 2,400 from a sale of surplus shop fittings. There was no profit or loss on this transaction.
- (6) The insurance premium covered the year to June 30, 2009 and the rates covered the period of 9 months to Mar 31, 2009.
- (7) Suppliers' unpaid invoices amounted to Rs 17,920 and there was Rs 320 owing for electricity.

You are required to prepare the Balance Sheet as on Dec 31, 2008 and Trading and Profit and Loss Account for the half year ended on that date.

(B. Com. Madras)

Solution

Note: This is a different and typical problem

1. Missing figure has to be computed in a different way, not by preparing respective accounts, as was discussed in the preceding illustration.
2. Bank reconciliation – adjustment for Cheques (paid but not credited, issued but not yet presented for payment, etc.) – has to be prepared.
3. Cash sales, Total sales, Purchases, Bank balances are to be ascertained as follows:

Step 1: Computation of Cash Sales:

	Rs
Total of Weekly Cash bankings	95,440
Add: All payments paid out of till	

	Rs	
Drawings	16,000	
Wages	11,200	
Shop expenses	<u>6,400</u>	33,600
Balance on hand		<u>2,080</u>
		<u>1,31,120</u>
Less: Sales of surplus shop fittings		
Included in weekly bankings		<u>2,400</u>
Total Cash sales		<u>1,28,720</u>

Step 2: Computation of Sales to Special Customers:

	Rs
Cheques received from special customers and banked	2,400
Add: Cheques received from special customers paid in but not collected	1,360
Amount due from special customers	<u>1,920</u>
Total sale to special customers	<u>5,680</u>

(Note: Sale to special customers is similar to credit sale in ordinary transactions)

So Total sales = Cash sales + Sale to special customers
 = Rs 1,28,720 + 5,690
 = Rs 1,34,400

Step 3: Calculation of Purchases

	Rs
Payment to suppliers (i.e., Purchases)	78,720
Add: Unpaid invoices	<u>17,920</u>
Purchases	<u>96,640</u>

Step 4: Calculation of Bank Balance as per Cash Book

	Rs
Balance as per pass book	25,520
Add: Cheques paid in but not credited	<u>1,360</u>
	<u>26,880</u>

Less: Cheques issued but not yet presented for Payment

Rent	1,600	
Lighting	<u>1,200</u>	<u>2,800</u>
Bank balance as per Cash Book		<u>24,080</u>

Note: The cheque in the till is a post-dated cheque and treated as cash. As such it is not taken into account, in the adjustment here.

Step 5: The cheque for Rs 800 received from a special customer is not treated as bad debts bluntly. Here, while preparing final accounts a provision is made for that amount. The same may be treated as written off for the next accounting period.

[Special Note: Students are asked to be thorough with bank transactions as given in this question.]

Step 6: Preparation of Trading and Profit and Loss A/c**Trading and Profit and Loss Account for the year ending Dec 31, 2008****Dr.****Cr.**

		Rs		Rs
To Purchases (from Step 3)	96,640		By Sales	
Less: Returns	<u>2,240</u>	94,400	Cash Sales:	1,28,720
Wages		11,200	(from step : 1	
Gross Profit C/d		42,560	Sales to special customers	<u>5,680</u>
			(from Step 2)	
			By Closing Stock	<u>13,760</u>
		<u>1,48,160</u>		<u>1,48,160</u>
To Shop Expenses		6,400	By Gross Profit B/d	<u>42,560</u>
Rent		9,600		
Rates	2,400			
Less: Paid	<u>800</u>	1,600		
Insurance	<u>1,600</u>			
Less: Prepaid	<u>800</u>	800		
Electricity	1,440			
Add = 0/5	<u>320</u>	1,760		
Provision for Debts		800		
Lighting Charges		1,200		
Net Profit		<u>20,400</u>		
		42,560		<u>42,560</u>

Step 7**Balance Sheet as on Dec 31, 2008**

Liabilities	Rs	Assets	Rs
Capital:	32,000	Cash in hand	2,080
Less: Drawing	-14,400	Cash at Bank (from Step 4)	24,080
(house hold furniture)		Sundry Debtors	1,920
Cash Drawings	<u>-16,000</u>	Less: Reserve for	
	1,600	Bad debts	<u>800</u>
Add: Net Profit	<u>20,400</u>	Stock	13,760
	22,000	Shop fixtures and	
Creditors:		fittings:	16,000
Electricity	320	Less: Sold	<u>2,400</u>
Trade Creditors	17,920	Prepaid rates	800
Friend – Loan	16,000	Prepaid insurance	<u>800</u>
	<u>56,240</u>		<u>56,240</u>

Summary

- Incomplete Double Entry System (single entry) is a system of book-keeping in which as a rule only records of cash and personal accounts are maintained; it is always incomplete double-entry, varying with circumstances.
- Salient features: (i) limited companies cannot follow; (ii) personal accounts alone are kept; (iii) business as well as private transactions are mixed up; (iv) no uniformity in maintenance; (v) profit or loss assessment is an estimate only; (vi) no subsidiary books but only vouchers and (vii) lacks accuracy.
- Advantages: (i) easy to maintain; (ii) economy and (iii) time-saving.
- Disadvantages: (i) both debit and credit are not recorded; (ii) Trading and P and L Account cannot be prepared; (iii) no Balance Sheet can be prepared; (iv) do not reveal sources of profit; (v) lacks checking; (vi) errors are rampant; (vii) audit cannot be conducted; (viii) inter and intra-firm comparisons cannot be made; (ix) not recognised by statutory authorities and (x) real and nominal accounts are ignored.
- Difference between Incomplete Record System and Double Entry System (refer the table in the text).
- Methods to ascertain profit/loss under this system: (i) Statement of Affairs Method (net worth method) and (ii) Conversion Method.
- Statement of Affairs is a statement that shows items of different assets and liabilities.
- Method of ascertaining profit/loss by applying Statement of Affairs Method – procedure step-by-step wise – refer to text.
- Computation of capital, net profit, accounting treatment and adjustments: Cheques issued and not presented, bank transactions, net increase in assets – net decrease in liabilities, partnership firm accounts that use this system of accounting, ascertainment of missing figures: (i) creditors; (ii) purchases; (iii) bills; (iv) debtors; (v) credit sales; (vi) total sales; (vii) revenue expenses; (viii) revenue incomes and (ix) other items – preparation of Trading and Profit and Loss Account and Balance Sheet from incomplete records (refer the illustrations from no. 1 to 25 in the text).

Key Terms

Incomplete Records: Accounting records that are not being maintained strictly on the basis of Double Entry System. This is also known as Single Entry System.

Conversion Method: A method to convert books of accounts maintained on single entry into Double Entry System.

Statement of Affairs: A statement enlisting items of assets and liabilities in order to determine the capital in the beginning and at the end of an accounting period.

Statement of Affairs Method: The method to determine profit/loss from incomplete records. This is also known as net worth method or capital comparison.

References

S.P. Iyengar, “Advanced Accountancy,” Sultan Chand and Sons, New Delhi.

R.L. Gupta and M. Radhasamy, “Advanced Financial Accounting,” Sultan Chand and Sons, New Delhi, 2008.

P.C. Tulsian, “Financial Accounting,” Pearson Education, New Delhi, 2004.

A Objective-type Questions

I State whether the following statements are true or false:

1. In single entry system only one entry is made for all types of transactions.
2. Single entry system is similar to double entry system.
3. Single entry system is not a system at all.
4. Companies may follow single entry system,
5. Small traders follow single entry system only.
6. Even all accounts are maintained under double entry system, still there may be incomplete accounts.
7. Statement of affairs differs from balance sheet.
8. Trial balance can be prepared from the books kept under single entry system.
9. Conversion method may be possible in every case of incomplete records.

10. Under the net worth method, profit is ascertained by deducting the value of assets at the beginning of the accounting period from the value of assets at the end.
11. Under conversion method, credit purchases are ascertained by preparing total creditors account.
12. Missing credit sales are ascertained by preparing cash account.
13. Provision for doubtful bills does not affect Bills Receivable account.
14. Provision for bad debts recovered affect total debtors account.
15. Reserve for discount on creditors does not affect the total creditors account.
16. Missing cash sales may be ascertained by preparing cash and bank account summary.
17. Opening capital can be ascertained by preparing opening Balance Sheet.
18. When closing capital is less than opening capital it shows profit.
19. Net credit sales can be ascertained by preparing cash book.
20. Missing figure – net purchases may be traced by preparing stock account.

Answers

- | | | | |
|----------|-----------|-----------|-----------|
| 1. False | 6. True | 11. True | 16. True |
| 2. False | 7. False | 12. False | 17. True |
| 3. True | 8. True | 13. True | 18. False |
| 4. False | 9. False | 14. False | 19. False |
| 5. True | 10. False | 15. True | 20. True |

II Choose the best answer

1. An estimate of assets and liabilities as specified dates is called:
 - (a) Trial balances
 - (b) Statement of affairs
 - (c) Balance Sheet
 - (d) Summary of cash book
2. Incomplete records are generally maintained by:
 - (a) Limited companies
 - (b) Government bodies
 - (c) Not-for-profit organisations
 - (d) Traders
3. Under the net worth method, profit/loss is ascertained by the difference between:
 - (a) Assets and liabilities on two dates.
 - (b) Gross assets on two dates.
 - (c) Capital on two dates.
 - (d) Liabilities on two dates.
4. Under the net worth method, when closing capital is lesser than opening capital, it shows;
 - (a) Loss
 - (b) No Profit – no loss
 - (c) Profit
 - (d) Loss, if there is no drawing
5. While preparing cash account, the information relating to cash received from debtors may be had from:
 - (a) Pass book
 - (b) Balance Sheet
 - (c) Total debtors account
 - (d) Bills payable account
6. The closing balance of trade creditors can be had from:
 - (a) Total creditors account
 - (b) Bills payable account
 - (c) Bills Receivable account
 - (d) Cash book
7. Pre-paid insurance – a missing figure – may be ascertained by preparing:
 - (a) Cash book
 - (b) Revenue expense account
 - (c) Revenue income account
 - (d) Total balance
8. Accrued interest on investment – a missing figure – can be had by preparing:
 - (a) Cash book
 - (b) Total debtors account
 - (c) Total creditors account
 - (s) Revenue income account
9. Net sales – Gross profit = ?
 - (a) Cost of goods sold
 - (b) Net profit
 - (c) Net loss
 - (d) Stock
10. Opening stock + Purchases + Direct expenses – Closing stock = ?
 - (a) Net purchases
 - (b) Stock consumed
 - (c) Cost of goods sold
 - (d) Gross profit

Answers

- | | |
|--------|---------|
| 1. (b) | 6. (a) |
| 2. (d) | 7. (b) |
| 3. (c) | 8. (d) |
| 4. (d) | 9. (a) |
| 5. (c) | 10. (c) |

III Fill in the blanks with apt words

1. Accounting records that are not maintained strictly on the basis of double entry book keeping system is termed as _____.
2. Single entry system is usually maintained by _____.
3. Generally, there will be no records relating to _____ and _____ accounts under this system.
4. _____ cannot be prepared under this system.
5. This system is never maintained by _____ on account of legal requirement.
6. Under this system _____ accounts are not maintained properly.
7. Ascertainment of profit/loss under this system can be made by preparing _____ and statement of profit or loss.
8. Statement of affairs method is also known as _____.
9. When net worth at the end of the given period is more than that of the beginning (after adjustments), the result is _____.
10. The difference between total assets and total outside liabilities is known as _____.
11. Statement showing items of different assets and liabilities is known as _____.
12. If the adjusted closing capital is less than the capital in the beginning, the result will be _____.
13. Capital = Assets _____.
14. The method of transferring single entry records to double entry records is called as _____.
15. A missing item in respect of credit sales or opening/closing balance of debtors is ascertained by preparing _____.
16. To ascertain credit purchase or opening/closing creditors _____ account is to be prepared.
17. Bills payable account also provides information relating to _____.
18. Sundry creditors may also be ascertained by the preparation of _____.
19. Cash book can expose information on _____ and _____ of cash/bank.
20. If percentage of gross profit on sale is 25%; then on cost it must be _____.
21. Cost of goods sold = Net sales _____ (.....).
22. Cost of goods sold + Gross profit = _____.
23. Bad debts recovered and Bills Receivable dishonoured will not affect _____.
24. The amount received from debtors can be had from _____.
25. To ascertain profit/loss, closing capital is to be adjusted by _____ drawings and deducting additional capital introduced.
26. Closing capital: Rs 10,000; opening capital Rs 7,000; drawings Rs 2,000 – profit will be _____.
27. Generally, decrease on capital at the end of the accounting period represents _____.
28. To ascertain accrued income _____ account is to be prepared.
29. Revenue expense account is prepared to trace the missing figure relating to _____.
30. Opening capital can be ascertained by preparing _____ at the beginning of the period.

Answers

1. Single entry system
2. Sole traders (or businessmen)
3. Real and personal
4. Trial balance
5. Limited companies
6. Nominal
7. Statement of affairs
8. Net worth method/method of capital comparison
9. Profit
10. Capital
11. Statement of affairs
12. Loss
13. Liabilities
14. Conversion method
15. Total debtors account
16. Total creditors account
17. Sundry debtors
18. Bills Receivable account
19. Opening balance and closing balance
20. 33 1/3 %
21. Gross profit
22. Net sales
23. Total debtors account
24. Cash book
25. Adding
26. Rs 5,000
27. Loss
28. Revenue income
29. Current year's income
30. Statement of affairs

B Short Answer-type Questions

1. What is meant by single entry system?
2. What do you mean by incomplete records?
3. Why incomplete records are maintained?
4. Explain the term "pure single entry."

5. What is meant by “simple single entry”?
6. What do you mean by “quasi single entry”?
7. Explain the significance of maintaining incomplete records.
8. State any two advantages of single entry system.
9. State any two defects of single entry system.
10. Explain the term “statement of affairs.”
11. What are the sources to compute profit/loss under the single entry system?
12. Mention the methods of ascertaining profit/loss from incomplete records.
13. Explain in the form of proforma to ascertain opening capital.
14. How the items of appropriations are dealt with in ascertaining profit/loss of partnership firms under single entry system?
15. Is it possible to convert every single entry to double entry?
16. How can the missing figures (scattered information) be ascertained in general?
17. How can the opening stock be ascertained?
18. How can certain revenue income/revenue expenses be ascertained?
19. Explain the significance of maintaining cash book.
20. Is it necessary to prepare trial balance to construct Balance Sheet under this system? Why?

C Essay-type Questions

1. Explain the terms “single entry system.” Explain the significance with illustrations.
2. Enlist the limitations of maintaining incomplete records.
3. Distinguish between single entry system and double entry system.
4. What is “statement of affairs”? Explain the steps involved to ascertain the profit/loss of a business concern by preparing “statement of affairs.”
5. Distinguish between statement of affairs and Balance Sheet.
6. Explain the term “conversion method.” Enlist the important stages involved in the preparation of final accounts under single entry system.
7. Explain the proper procedure for preparing:
 - (i) Total debtors account
 - (ii) Bills Receivable account
 - (iii) Total creditors account
 - (iv) Bills payable account
8. Explain the accounting procedure required to be taken to convert single entry books into double entry when all the subsidiary books are maintained.
9. Illustrate – ascertainment of profit/loss by preparing a statement of profit/loss for an accounting period – under the single entry system.

D Exercises

I Statement of Affairs Method or Net Worth Method

Model: Calculation of Capital:

1. Calculate the Capital of Mr. Vasudev as on Mar 31, 2009 for the following information:

	Rs		Rs
Cash in hand	50,000	Stock in trade	3,00,000
Creditors	1,50,000	Loan (Cr.)	4,00,000
Bills Receivable	2,50,000	Prepaid expenses	50,000
Land and buildings	6,50,000	Bills payable	3,00,000
Loans (Dr.)	5,00,000	Debtors	2,00,000
Outstanding salaries	50,000	Bank overdraft	1,00,000

Answer: Rs 10,00,000

Model: Calculation of Profit/Loss:

2. Opening capital Rs 70,000; Capital introduced during the year Rs 15,000; Drawings Rs 5,000; Closing Capital Rs 1,00,000. Calculate Profit/Loss for the year.

Answer: Profit Rs 20,000

3. Opening capital Rs 1,50,000; Additional Capital introduced Rs 30,000; Drawings Rs 10,000; Closing Capital Rs 1,60,000. Compute Profit/Loss for the year.

Answer: Loss Rs 10,000

4. Calculate the missing figure:

Assets	Rs 93,000
Liabilities	Rs 53,000
Capital	Rs ?

5. Calculate the missing figure:

Opening capital	Rs 1,80,000
Drawings	Rs 2,500 per month
Addition capital	Rs 35,000
Closing capital	Rs 2,40,000
Profit/Loss ?	

Answer: Profit Rs 55,000

6. Calculate the missing figure:

Capital in the beginning	Rs 15,000
Profits made during the year	Rs 6,000
Capital at the end	Rs 39,000
Additional capital or drawing:	Rs ?

Answer: Capital addition Rs 18,000; drawings NIL

7. Calculate the missing figure:

Capital at the end	Rs 48,000
Capital introduced during the year	Rs 12,000
Profit made during the year	Rs 14,400
Drawings	Rs 7,200
Capital in the beginning	Rs: ?

Answer: Rs 28,800

8. Calculate the missing figure:

Capital at the end	Rs 9,100
Capital introduced	Rs 2,350
Loss	Rs 700
Drawings	Rs 1,400
Capital in the beginning	Rs: ?

Answer: Rs 8,850

9. Calculate the missing figure:

Capital in the beginning	Rs 12,000
Profit made during the year	Rs 2,000
Drawings	Rs 4,000
Capital introduced	Rs 6,000
Capital at the end	Rs: ?

Answer: Rs 16,000

10. Calculate the missing figure:

Capital in the beginning	Rs 35,000
Capital at the end	Rs: 36,400
Loss made during the year	Rs 2,800
Drawings	Rs 5,600
Additional capital introduced during the year:	Rs 6,000
	Rs ?

Answer: Rs 9,400

Model: Preparation of Statement of Profit/Loss

11. Mrs. Shiva commenced business on Apr 1, 2008 with a capital of Rs 60,000. On the same day she purchased fixtures and furniture for Rs 12,000. On Sep 30, she borrowed Rs 30,000 from her husband @ 9% p.a. (interest not yet paid) and introduced a further capital of Rs 9,000. She withdrew @ Rs 1,800 p.m. for household expenses.

On Mar 31, 2009, her position stood at: cash in hand Rs 16,800; Sundry Debtors Rs 28,800; Stock Rs 40,800; Bills Receivable Rs 9,600; Sundry Creditors Rs 3,000; owing for rent Rs 900; Furniture and fixtures are to be depreciated by 10%.

You are requested to compute Profit/Loss made by Mrs. Shiva during 2008–2009.

Answer: Rs 25,350

12. Mr. Dev commenced a business with Rs 60,000 on Apr 1, 2008. During the year he invested a further sum of Rs 25,000 and withdrew Rs 1,000 per month for personal expenses.
His assets and liabilities as on Mar 31, 2009:

	Rs
Cash in hand	12,000
Bank Overdraft	20,000
Loan (Dr.)	17,500
Stock	16,500
Bills Receivable	20,000
Bills Payable	18,000
Sundry Debtors	25,000
Sundry Creditors	8,500
Machinery	20,000
Outstanding Expenses	800

Further it was decided to depreciate machinery @ 10% and provide doubtful debts @ 5% on debtors. You are required to ascertain profit/loss for the year ended Mar 31, 2009.

Answer: Net loss: Rs 12,550

13. Mr. Balaji commenced business on Jan 1, 2008 with a capital of Rs 96,000. He purchased furniture and fixtures for Rs 24,000. During the year he withdrew Rs 1,600 per month to meet the hostel expenses of his son. He invested Rs 12,800 on Jan 15, 2008. On Dec 31, 2008 his financial position stood at:

	Rs
Cash in hand	2,400
Cash at bank	25,000
Sundry Debtors	42,400
Stock	44,800
Bills Receivable	19,200
Sundry Creditors	6,400
Outstanding Expenses	800

Depreciate furniture and fixtures by 10%. Compute Profit/ Loss made by Mr. Balaji during 2008.

Answer: Profit Rs 59,200

14. Mr. S. commenced business on Jan 1, 2008 with a capital of Rs 2,00,000 and bought furniture and fixtures for Rs 40,000. On June 30, 2008 he borrowed Rs 1,00,000 from his friend at 12% p.a. (interest not yet paid) and introduced additional capital of Rs 30,000. He withdrew Rs 6,000 p.m. for household expenses.

On Dec 31, his position was as:

Cash in hand Rs 4,000; Cash at bank Rs 52,000; Sundry Debtors Rs 96,000; Stock Rs 1,00,000; Bills Receivable Rs 32,000; Sundry Creditors Rs 10,000; Owing for rent Rs 3,000; Furniture and fixtures are to be depreciated at 10%. Compute the capital and Profit/Loss during 2008

Delhi – B.Com (Pass)

Answer: Capital Rs 2,01,000; Profit Rs 43,000

15. Mr. Patel does not maintain double entry books of accounts. From the following details determine the profits for the year and statement of affairs at the end of the year.

	1.1.2008 Rs	31.12.2008 Rs
Stock	80,000	1,20,000
Debtors	60,000	80,000
Cash	4,000	2,000
Bank	20,000	10,000(O.D.)
Creditors	30,000	50,000
Outstanding Expenses	10,000	16,000
Furniture (cost)	6,000	4000

Furniture Rs 2,000 (cost) was sold for Rs 10,000 on 1.11.2008. Ten percent depreciation is to be charged on furniture. Mr. Patel has drawn Rs 2,000 per month. Rs 4,000 was invested by Mr. X in 2008.

Bank balance on 1.1.2008 is as per cash book. But the bank overdraft on 31.12.2008 is as per bank statement. Rs 4,000 cheques drawn in Dec 2008 have not been encashed within the year.

[B.com (Madras) Modified]

Answer: Opening Capital Rs 1,30,000; Closing Balance Rs 1,26,000; Net Profit Rs 15,600

16. Mr. Mukerjee had Rs 1,50,000 in bank on Jan 1, 2008 when he started his business. He closed his accounts on Mar 31, 2009. His single entry books (in which he did not maintain any account for the bank) showed his position as follows:

	31.3.2008 Rs	31.3.2009 Rs
Cash in hand	1,000	1,500
Stock in trade	9,500	14,500
Debtors	500	1,000
Creditors	2,500	1,500

On Feb 1, 2008 he began drawing Rs 350 p.m. for his personal expenses from the cash box of the business. His account in the bank had the following entries.

	Deposits Rs	Withdrawals Rs
1.1.2008	1,50,000	—
1.1.2008 to 31.3.2008	—	1,11,500
1.4.2008 to 31.3.2008	1,11,500	1,35,000

The above withdrawals include payment by cheque of Rs 1,00,000 and Rs 30,000, respectively, during the periods from Jan 1, 2008 to Mar 31, 2008 and from Apr 1, 2008 to Mar 31, 2009 for the purchase of machinery for the business and the deposits after Jan 1, 2008 consisted wholly of sale price received from customers by cheque.

You are required to draw up his statement of affairs as on Mar 31, 2008 and Mar 31, 2009, respectively, and compute his profit or loss for the year ended Mar 31, 2009.

(C. S. Modified)

Answer: Capital as on 31.3.2008	Rs 1,47,000
Capital as on 31.3.2009:	Rs 1,64,000
Profit earned:	Rs 21,200
(depreciation is yet to be adjusted)	

Model: Partnership (Single Entry)

17. Vasu and Doss started business on Jan 1, 2008 with Rs 1,00,000 as capital contributed equally but the profit-sharing ratio was 3:2. Their drawings were Rs 600 and Rs 400 per month, respectively. They had kept no account except the following information:

	31.12.2007 Rs	31.12.2008 Rs
Machinery at cost	40,000	50,000
Stock in trade	60,000	60,000
Debtors	1,00,000	1,20,000
Cash	4,000	1,000
Creditors	60,000	40,000
Outstanding Expenses	8,000	6,000
Bank balance (as per pass book)	12,000	16,000

Provision is to be made for depreciation @ 10% on cost of machinery as on the end of the each year. Debtors on 31.12.2008 include Rs 10,000 for goods sent out on consignment at 25% above cost and were not sold until 2008. A cheque for Rs 2,000 has been deposited on 31.12.2008 but was credited on 2.1.2008.

A cheque of Rs 4,000 issued on 26.12.2008 was presented on 3.1.2009. A cheque for Rs 2000 was directly deposited by a customer on 27.12.2008 and a cheque for Rs 1,000 deposited in Dec 2008 was dishonoured. No adjustment for these was made.

Determine the Profits for 2007 and 2008 and draw up a Balance Sheet as on Dec 31, 2008

(C.A. Inter Modified)

Answer: Capital as on 31.12.2007	Rs 1,44,000
Capital as on 31.12.2008	Rs 1,87,000
Profit for the year 2008	Rs 33,600
Profit for the year 2008	Rs 33,000

18. X and Y carrying on business in partnership and sharing profits and losses in the ratio of 2:1 had the following balances to the credit of their accounts in the books of the firm as on Dec 31, 2007:

X: Rs 1,72,500
Y: Rs 90,000

A statement of affairs prepared on Dec 31, 2008, disclose the following position of business:

	Rs		Rs
Sundry Creditors:		Cash in hand	33,750
For goods	97,500	Cash at bank	22,500
For expenses	19,500	Sundry Debtors	1,27,500
		Stock	1,65,000
		Furniture	21,000

During the year X had drawn Rs 49,500 from the firm. He had also taken for his personal use goods worth Rs 6,000. He had sold some goods of the business for Rs 13,500 and retains the money himself. He had personally paid to some of the employees of the firm Rs 29,750 towards their salaries which he was entitled to be reimbursed.

Y had withdrawn Rs 18,750 in cash and also taken for his personal use goods worth Rs 3,750. He had paid towards some expenses of the firm for Rs 12,000 his private estate.

Prepare a statement showing profit of the firm for the year ending Dec 31, 2008 as well as Balance Sheet of the firm as on that date.

Answer: Net profit: Rs 30,000

Balance Sheet: Total: Rs 3,69,750

19. A retail trader keeps his books on single entry system. His assets and liabilities on Jan 1 and on Dec 31, 2008 are as follows:

	Jan 1, 2008 Rs	Dec 31, 2008 Rs		Jan 1, 2008 Rs	Dec 31, 2008 Rs
Cash in hand	825	330	Sundry Debtors	9,075	10,890
Cash at bank	9,900	14,190	Furniture and Fittings	3,300	—
Stock in trade	16,500	14,850	Sundry Creditors	2,280	24,600

During the year he had drawn out of the business Rs 18,000. Of this sum, Rs 8,100 had been spent by him for purchasing a delivery van for the business.

Prepare a statement showing his profit for the year and a statement of affairs as on Dec 31, 2008 after writing off 10% depreciation on furniture and fittings and providing 10% reserve on sundry debtors for bad debts and salary outstanding Rs 600.

(B.Com – Andhra Modified)

Answer: Net Loss: Rs 10,479; Capital at the end: Rs 16,941.

20. A trader has not kept proper books of account. From the following balances prepare a statement of gross profit and net profit for the year ended 31.3.2009.

	1.4.2008 Rs	31.3.2009 Rs		1.4.2008 Rs	31.3.2009 Rs
Cash in hand	2,675	2,700	Bills Receivable	21,200	20,400
Bank Overdraft	22,500	20,000	Land and Buildings	26,500	26,500
Stock in trade	29,675	31,100	Furniture and Fittings	2,300	2,300
Sundry Debtors	15,100	14,900	Bills Payable	31,100	29,000

Drawings during the year amounted to Rs 3,000. Depreciate land and buildings @ 2% and furniture and fittings @ 5%. Provide for doubtful debts @ 2 1/2 %.

(B. Com. Osmania Modified)

Answer: Gross profit: Rs 8,650; Net profit: Rs 7,518

Model: Conversion Method

21. Calculate the cost of goods sold in each of the following alternative cases:

- Closing stock Rs 2,00,000; Direct wages Rs 50,000; Carriage inwards Rs 30,000; Freight Rs 20,000; Opening stock Rs 1,00,000; Purchases Rs 2,00,000;
- Sales Rs 42,000; Gross Profit on Sales 1/3
- Sales Rs 42,000; Gross Profit on Cost 1/3
- Sales Rs 1,26,000; Gross Loss on Sales 1/3
- Sales Rs 1,26,000; Gross Loss on Cost 1/3

- Answers:** (i) Rs 3,60,000
(ii) Rs 28,000
(iii) Rs 31,500
(iv) Rs 1,68,000
(v) Rs 1,89,000

Model:

22. Calculate the sales in each of the following alternative cases:

- (i) Cost of Goods Sold Rs 36,000; Purchases Rs 20,000; and Gross Profit Rs 6,000
- (ii) Cost of Goods Sold Rs 42,000; Gross Profit on Sales $\frac{1}{4}$
- (iii) Cost of Goods Sold Rs 42,000; Gross Profit on Cost $\frac{1}{4}$
- (iv) Cost of Goods Sold Rs 42,000; Gross Loss on Sales $\frac{1}{4}$
- (v) Cost of Goods Sold Rs 42,000; Gross Loss on Cost $\frac{1}{4}$

- Answer:** Rs 42,000
Rs 56,000
Rs 52,500
Rs 33,600
Rs 31,500

23. Calculate the sales:

- (i) Stock in the beginning Rs 1,00,000; Closing stock Rs 20,000; Direct wages Rs 50,000; Carriage outwards Rs 20,000; Freight inwards Rs 30,000; Gross Profit Rs 60,000 and Purchases Rs 2,00,000
- (ii) Stock in the beginning Rs 24,000; Purchases Rs 1,20,000; Stock at the end Rs 21,000; Rate of Gross Profit on sale $\frac{1}{6}$.

- Answer:** (i) Rs 4,20,000
(ii) Rs 1,47,600

24. Calculate the amount of sales in each of the following alternative cases:

- (i) Cost of Goods sold Rs 1,44,000; Purchases Rs 80,000; Gross Profit Rs 24,000
- (ii) Stock in the beginning Rs 80,000; Purchases Rs 4,00,000; Stock at the end Rs 70,000 and Rate of Gross Profit on sale $\frac{1}{6}$

- Answer:** (i) Rs 1,68,000
(ii) Rs 4,92,000

25. Calculate the amount of purchases in each of the following alternative cases:

- (i) Cost of Goods Sold Rs 72,000; Opening Stock Rs 7,000; Closing Stock Rs 35,000
- (ii) Opening Stock Rs 2,00,000; Closing Stock Rs 40,000; Direct Wages Rs 1,00,000; Carriage outwards Rs 40,000; Freight inwards Rs 60,000; Gross Profit Rs 1,20,000; Sales Rs 8,40,000

- Answer:** (i) Rs 1,00,000
(ii) Rs 4,00,000

26. Calculate the amount of purchases in each of the following alternative cases:

- (i) Sales Rs 42,000; G.P. on sales $\frac{1}{4}$; opening stock Rs 3,500; closing stock Rs 8,500
- (ii) Sales Rs 42,000; G.P. on cost $\frac{1}{4}$; opening stock Rs 3,500; closing stock Rs 8,500
- (iii) Sales Rs 42,000; Gross loss on sales $\frac{1}{4}$; opening stock Rs 3,500; closing stock Rs 8,500
- (iv) Sales Rs 42,000; Gross loss on cost $\frac{1}{4}$; opening stock Rs 3,500; closing stock Rs 8,500

- Answer:** (i) Rs 36,500
(ii) Rs 38,600
(iii) Rs 57,500
(iv) Rs 61,000

Model: Stock as the end

27. Calculate the stock at the end in each of the following alternative cases:

- (i) Sales Rs 84,000; Purchases Rs 56,000; Opening Stock Rs 20,000; Gross Profit on sales 1/7
 (ii) Sales Rs 84,000; Purchases Rs 56,000; Opening Stock Rs 44,000; Gross Loss on sales 1/7

Answer: (i) Rs 4,000
 (ii) Rs 4,000

28. Calculate the stock at the end

- (i) Cost of goods sold Rs 1,80,000; Purchases Rs 1,00,000; Opening stock Rs 50,000; Direct wages Rs 25,000; Carriage inwards Rs 15,000; Freight outwards Rs 10,000;

Answer: Rs 10,000

Model: Stock in the beginning

29. Calculate the stock in the beginning

- (i) Cost of goods sold Rs 72,000; Purchases Rs 40,000; Closing Stock Rs 4,000; Direct wages Rs 10,000; Carriage inwards Rs 6,000; Freight outwards Rs 4,000

Answer: Rs 20,000

30. Calculate the stock in the beginning in each of the alternative cases:

- (i) Sales Rs 42,000; Purchases Rs 28,000; Closing Stock Rs 2,000; Gross Profit on sales 1/7
 (ii) Sales Rs 42,000; Purchases Rs 28,000; Closing Stock Rs 2,000; Gross Loss on sales 1/7
 (iii) Sales Rs 1,00,8000; Purchases Rs 67,200; Closing Stock Rs 4,800; Gross Profit on Cost 1/6
 (iv) Sales Rs 1,00,8000; Purchases Rs 67,200; Closing Stock Rs 4,800; Gross Loss on cost 1/8

Answers: Rs 10,000
 Rs 22,000
 Rs 24,000
 Rs 52,800

31. Calculate Sales

	Rs
Opening Debtors	12,500
Closing Debtors	20,000
Opening B/R	5,000
Closing B/R	2,500
Cash received from Debtors (including cash from B/R 5,000)	25,000

Answer: Sales: Rs 30,000

32. Calculate Total Sales made during the year 2008.

	Rs		Rs
Debtors (1.1.2008)	36,850	Bad Debts	5,000
Debtors (31.12.2008)	30,600	Discounts	3,600
Cash received from Debtors	98,400	Bills Receivable	10,000
Sales Returns	7,400	Cash Sales	24,000

Answer: Rs.1,44,150

Model: Bills Receivable – computation of

33. Compute the Bills Receivable drawn:

	Rs
Bills Receivable as on 31.12.2007	45,000
as on 31.12.2008	69,000
Bills endorsed to Creditors	12,000
Bills dishonoured (including Rs bills endorsed to creditors)	15,000
Bills collected	45,000

Answer: Bills Receivable drawn: Rs.90,000

34. Calculate the Bills Received from Customers:

Bills Receivable collected, i.e. honoured	80,000
Opening Balance of Bills Receivable	1,50,000
Bills Receivable endorsed in favour of creditors	20,000
Bills Receivable dishonoured	10,000
Closing Balance of Bills Receivable	2,00,000

Answer: Rs 1,60,000**Model: (B/R and Total Debtors)**

35. You are required to prepare Bills Receivable account and total debtors' account for the year ended 31.12.2008:

	Rs
Total Debtors on 1.1.2008	1,08,000
Bills Receivable on 1.1.2008	30,000
Sales (including cash sales of Rs 60,000)	9,00,000
Cash received from Debtors	6,00,000
B/R on 31.12.2008	45,000
Returns Inwards	45,000
Discount allowed to Debtors	30,000
Bad debts written off	9,000
B/R endorsed to creditors	30,000
Cash received on B/R matured	45,000

Answer: B/R received during the year Rs.90,000; Closing debtors: Rs.1,74,000

36. You are required to prepare the total debtors account and Bills Receivable account from the following information for the year ending on Dec 31, 2008

	Rs
Debtors as on 1.1.2008	12,000
Debtors as on 31.12.2008	14,400
B/R as on 1.1.2008	1,500
B/R as on 31.12.2008	1,600
Discount allowed:	500
Bad debts	600
Total Sales	96,000
Cash sales 10% of total sales	—
B/R dishonoured	100

Bills Collected	900
B/R dishonoured with Banker before maturity (Discount Rs 50)	—
B/R endorsed to creditors	400

Answer: (i) Collection from Debtors: Rs.81,000,
(ii) B/R drawn : Rs 2,000

37. Prepare Total Creditors Account and Bills Payable Account from the following information for the year ended Mar 31, 2009:

	Rs
Creditors as on 1.4.2008	70,000
Creditors as on 31.3.2009	1,33,600
B/P as on 1.4.2008	12,000
B/P as on 31.3.2009	15,750
Discount received	8,800
Bills Discharged	12,750
Total Purchases	5,28,000
Cash purchases 25% of Total purchases;	

Answer: (i) Payment to creditors Rs 4,13,100,
(ii) Bills payable accepted Rs 16,500

Model: Credit Purchases and Net Purchases

38. Compute credit purchases and net purchases from the following:

	Rs		Rs
Cash Purchases	58,000	B/P dishonoured	600
Opening Balance: B/P	15,000	Cash paid to Crs.	50,000
Closing Balance: B/P	10,000	B/P discharged	21,000
Opening balance of creditors	40,000	Purchase Returns	3,000
Closing balance of creditors	36,000	Allowances from Creditors	1,600

Answer:

- (i) Credit purchases Rs 61,000,
(ii) Net purchases: Rs 1,16,600

Model: Net Purchase and Net Sales

39. Calculate net purchases and net sales from:

	Rs		Rs
Opening balance of Debtors	75,000	Returns Inwards	6,000
Opening balance of Creditors	15,000	Return Outwards	9,000
Collection from debtors	4,80,000	Cash purchases	18,000
Discount received	7,500	Cash sales	30,000
Bad debts	3,000	Closing balance of Debtors	1,35,000
Payment to Creditors	42,000	Closing balance off Creditors	75,000
Discount allowed	6,000		

Answer: (i) Net purchases: 1,27,500,
(ii) Net sales: 5,79,000

Model: Credit Sales and Credit Purchases

40. Compute Credit Sales and Credit Purchases from the following particulars for the year ending on Dec 31, 2008:

	Rs		Rs
Debtors as on 1.1.2008	18,000	Bad debts written off	1,440
Creditors as on 1.1.2008	16,800	B/R endorsed to Crs.	4,800
Debtors as on 31.12.2008	16,800	B/R dishonoured by customers	1,200
Creditors as on 31.12.2008	19,200	Endorsed B/R dishonoured	600
B/R drawn	12,000	B/R discounted	2,400
B/P issued during 2008	9,600	Discounted B/R dishonoured	840
Cash received from customers		Sales Returns	720
(including Rs.4,000 paid for purchase of fixed assets)	38,000		
Cash returned to customers	600	Purchase returns	240
Cash paid to suppliers (including Rs.4,000 paid for purchase of fixed assets)	28,840		
Discount allowed by Suppliers	324		
Discount allowed to Customer	180		

Answer: Credit sales: Rs. 45,900; Credit purchases: Rs.41,604

Model: Net Sales, Net Purchase and Closing Stock

41. Calculate Net Sales, Net Purchases and Closing Stock from the following information:

Particulars	1.4.2008 Rs	31.3.2009 Rs
Debtors	31,800	26,500
Creditors	24,000	16,000
Bills payable	21,000	29,000
Stock in trade	10,000	?
Bills Receivable	8,800	7,000

Transactions during the year:

Discount allowed to customers Rs 1,000; Discount allowed by the suppliers Rs 800; B/P discharged Rs 35,600; B/R collected Rs 20,900; Returns inwards Rs 8,700; Returns outwards Rs 4,800; Bad debts Rs 2,800; B/R dishonoured Rs 1,800; Cash paid to the creditors (including Rs 1,000 paid for purchase of fixed assets) Rs 1,21,000; Cash received from debtors (including Rs 500 recovered; written as bad debt in 2007–2008) Rs 69,500; Cash sales Rs 40,900; Cash purchased Rs 1,03,200; Gross Profit 20% on sales:

Answer: Net Sales: Rs 1,27,500; Net Purchases: Rs 2,59,600; Closing Stock: Rs 1,67,600

Model: Comprehensive Questions:

42. Shri. Vas Dev keeps his books on single entry system. From the following particulars prepare Trading and Profit and Loss Account and the Balance Sheet for the year ended Dec 31, 2008.

On 1.1.2008 his assets and liabilities were as follows: Stock Rs 75,000; Sundry Debtors Rs 90,000; Machinery Rs 90,000; Furniture Rs 7,500; Sundry Creditors Rs 45,000; Bank overdraft Rs 15,000;

The cash book gives the following information:

	Rs		Rs
Receipts from Debtors	1,20,000	Salaries	7,500
Cash Sales	45,000	Drawings	6,000
Payment to Creditors	60,000	General Expenses	12,000
Cash Purchases	37,500	Rent	3,300
Interest on bank O/D	2,250		

Discount allowed to debtors Rs 6,000; Discount earned from creditors was Rs 3,750; Goods worth Rs 4,500 were returned by customers and goods worth Rs 2,250 were returned to suppliers.

On Dec 31, 2008, his position was as follows:

Stock Rs 67,500; Sundry Debtors Rs 1,05,000; Bills Receivable Rs 9,000; Bills payable Rs 6,000; Machinery Rs 90,000; Furniture Rs 7,500; Sundry Creditors Rs 37,500; Salary outstanding Rs 750;

Depreciate Machinery @ 10% and furniture @ 6%.

(B.Com – Madurai-Kamaraj – Modified)

Answer:

- (i) Gross Profit Rs 87,750;
 - (ii) Net Profit Rs 50,250;
 - (iii) Balance Sheet total Rs 2,91,000
43. Mr. Vasanth Reddy whose accounts are recorded by single entry only with Rs 10,000 lent by his wife and Rs 20,000 of his own; acquired a retail business of which he took possession on Apr 1, 2008. Of the acquisition price Rs 7,500 was attributed to goodwill; Rs 2,500 to furniture, fixtures; Rs 17,500 to stock and Rs 2,500 was retained as working capital of which Rs 2,000 was paid into the bank. During the year his takings amounted to Rs 1,15,000 of which Rs 1,09,000 was paid into the bank, the remainder being in part utilised for cash payments. The payments out of the bank and cash during the year were:

Purchases	78,000
Salary	2,500
Wages	8,200
Trade Expenses	3,600
Rent, Rates and Taxes-Business	2,960
Personal	1,480
Payments to Domestic use	1,200
Drawings	12,000

At the close of the year his stock was of the value of Rs 18,750; He owned Sundry creditors for goods Rs 6,750; there was an owing to him for goods sold Rs 7,500; The balance at the bank was Rs 2,750.

Provide 5% for depreciation on furniture, fittings; interest @ 5% p.a. on his wife's loan. Rs 500 for doubtful debts. Prepare the necessary final accounts for the year ending on Mar 31, 2009 and the Balance Sheet as on that date.

(B.Com – Madras – Modified)

Answer:

- (i) Gross Profit Rs 30,800;
 - (ii) Net Profit Rs 20,615;
 - (iii) Balance Sheet total Rs 43,185
44. Mrs. Renu is a retail trader dealing with software components. She follows the practice of paying creditors for goods purchased through her Bank Account and making payments in cash on all nominal accounts.

	Apr 1, 2008 Rs	Mar 31, 2009 Rs
Cash in hand	300	500
Cash at Bank	10,000	15,000
Sundry Debtors	17,500	25,000
Sundry Creditors	34,100	37,500
Investments	62,500	62,500
Stock	25,000	18,700

Transactions during the year:

Salaries paid Rs 15,000; General expenses paid Rs 35,000; Payment for e-mail services Rs 8,700; Payment for Rent and Rates Rs 7,000; Electricity charges Rs 2,500; Cash receipts from Debtors Rs 3,12,500; Payments to Creditors through Bank and of Trade expenses in cash Rs 2,00,000; Payments into the bank business Rs 1,87,500; Payment into Bank – Additional capital Rs 2,500; Payment from Bank Account – Personal Rs 32,500; Cash Payments – Personal Rs 9,100; Stock taken for personal use Rs 1,400.

You are required to prepare trading and profit and loss account for the year ended Mar 31, 2009 and Balance Sheet of Mrs. Renu as on Mar 31, 2009.

(B.Com – Delhi – Modified)

- Answer:** (i) Gross Profit Rs 1,59,200;
(ii) Net Profit Rs 43,500;
(iii) Balance Sheet total Rs 1,21,700

Hint: Bank A/c (Balancing figure Crs): 1,52,500

Cash A/c Trade expenses: Rs.47,500

Credit purchases: Rs.1,55,900

Credit sales: Rs.3,20,000

45. You are required to prepare the final accounts of a trader from the following information:

Assets and Liabilities:

	1.1.2008 Rs	31.12.2008 Rs
Furniture	18,000	19,050
Stock	24,000	21,000
Debtors	48,000	?
Creditors	33,000	45,000
Prepaid Expenses	1,800	2,100
Outstanding Expenses	6,000	5,400
Cash in hand and at bank	3,600	1,875

Cash transactions during the year 2008:

Receipts from Debtors (after allowing 2 1/2% discount)	1,75,000
Bills Receivable discounted (at an average rate of 2%)	18,375
Paid to Creditor (@ 2% discount)	1,17,600
Freight inward	9,000
Drawings	21,000
Furniture purchased	3,000

4% Investments purchased at 96% (on 1.7.2008)	28,800
Expenses including salary	43,500
Miscellaneous receipts	1,500

During the year Bills Receivable received were Rs 30,000; Rs 6,000 of which are endorsed in favour of creditors, of the later a bill for Rs 1,200 was dishonoured.

Goods costing Rs 2,700 were used for advertising materials

Goods are invariably sold to show a profit of 50% on cost

Difference in cash, if any, is to be treated as drawings or introduction of capital.

Provision for doubtful debts is to be provided @ 2 1/2% on debtors.

Answer: Gross Profit Rs 73,050; Net Profit Rs 23,966; Balance Sheet total Rs 1,35,566

(**Hint:** Prepare cash book – Rs 25,800 – Balancing figure)

Debtors account: Rs 58,350 (B.F)

Creditors account: Rs 1,36,800 (B.F)

Opening capital: Rs 56,400)

46. The following balances are available from the books of a trader as on Dec 31, 2007 and 2008.

	31.12.2007 Rs	31.12.2008 Rs
Building	1,20,000	1,20,000
Equipments	2,40,000	2,68,000
Furniture	20,000	20,000
Debtors	?	96,000
Creditors	64,000	?
Stock	?	68,000
Bank loan	40,000	32,000
Cash	64,000	44,000

Transactions during the year ended Dec 31, 2008 were:

	Rs
Collection from Debtors	3,72,000
Payment to Creditors	2,44,000
Cash Purchases	64,000
Expenses	40,000
Sale of one equipment on 1.7.2008 (Book value Rs 20,0000)	12,000
Drawings	40,000

Cash sales amounted to 10% to total sales. Credit sales amounted to Rs 3,60,000. Credit purchases 80% of total purchases. The trader sells goods at cost plus 33 1/3% discount allowed by suppliers Rs 4,000.

Equipments and furniture are to be depreciated by 10% p.a. and buildings @ 2%. New equipment was purchased on 1.7.2008.

Prepare the final accounts for the year 2008.

Answer: Gross Profit Rs 1,00,000; Net Profit Rs 27,200; Balance Sheet total: Rs 5,87,200

(**Hint:** Opening capital Rs 4,96,000)

Total Debtors A/c (balancing figure): Rs 3,60,00

Total Creditors A/c (balancing figure): Rs 72,000

47. The following is the Balance Sheet of Mr. Raghu as on Mar 31, 2007.

Liabilities	Rs	Assets	Rs
Capital	1,92,000	Buildings	1,30,000
Loan	60,000	Furniture	20,000
Creditors	1,24,000	Motor car	36,000
		Stock	80,000
		Debtors	68,000
		Cash in hand	8,000
		Cash at bank	34,000
	<u>3,76,000</u>		<u>3,76,000</u>

A riot occurred on Mar 31, 2008 in which all books and records were lost. The cashier had absconded with the available cash. Mr. Raghu gives the following information:

- His sales for the year ended Mar 31, 2008 were 20% higher than the previous years. He always sells goods at cost plus 25%; 20% of total sales for the year ended Mar 31, 2008 were for cash; there were no cash purchases.
- On Apr 1, 2007, the stock level was raised to Rs 1,20,000 and the stock was maintained at this level throughout the year.
- Collections from debtors amounted to Rs 5,60,000 of which Rs 1,40,000 was received in cash. Business expenses amounted to Rs 80,000 of which Rs 20,000 was outstanding on 31.3.2008 and Rs 24,000 was paid by cheque.
- Analysis of pass book revealed the following:

	Rs
Payment to Creditors	5,50,000
Personal drawings	30,000
Cash deposited in bank	2,86,000
Cash withdrawn from bank	48,000

- Gross Profit as per last year's audited accounts Rs 1,20,000
- Provide depreciation on buildings and furniture at 5% and motor car @ 20%
- The amount defalcated by the cashier may be treated as received from him.

Prepare the trading and profit and loss account for the year ended Mar 31, 2008 and a Balance Sheet on that date.

Answer: Gross Profit: Rs 1,44,000; Net Profit: Rs 49,300, Balance Sheet (Total): Rs 4,81,310

(Hint: Prepare, total debtors A/c)

Total Creditors A/C

(Cash book with Bank Column)

48. On 1.4.2008, Mrs. Parul commenced business. She did not maintain proper books of accounts. At the end of the year following information was obtained after going through the records:
- All cash received on cash sales was banked after keeping Rs 2000 p.m. for petty expenses and after withholding monthly drawing of Rs 1,000.
 - Counterfoils of pay-in-slips the following deposits.

	Rs
Capital contributed Mrs. Parul	2,00,000
Balance of Cash sales	1,56,000
Collection from Debtors	2,00,000

(iii) Counter foils cheques revealed the following payments:

	Rs
Payment to Creditors	3,00,000
Payment of Salary	70,000
Purchase of Furniture	20,000

(iv) Sales were effected at a uniform rate of gross profit at 25% on sales.

(v) Discount allowed Rs.4,000; Discount received Rs.6,000; Bad debts Rs.2,000.

(vi) Petty cash expenses were postage Rs 400; Stationery Rs 2,000; Conveyance Rs 4,000 and rent Rs 4,400.

(vii) On 31.3.2009, amount due by debtors Rs 20,000 and the amount owing to creditors were Rs 40,000.

Prepare Trading and Profit and Loss Account for the year ended 31.3.2009 and a Balance Sheet as on that date.

Answer: Gross Profit Rs 1,04,500; Net Profit: Rs 23,700; Balance Sheet total: Rs 2,51,700

Hints:

- (i) Prepare Total Debtors Account and ascertain credit sales and the total sales and G.P.
- (ii) Total Creditors Account → Purchases.
- (iii) Bank A/c.
- (iv) Stock at the end.

Measurement of Business Income

Chapter

8

LEARNING OBJECTIVES

After studying this chapter, you will be able to

1. Understand the Meaning of Business Income.
2. Know the Important Definitions of "Income"
3. Understand the Terms "Revenues" and "Expenses"
4. Understand the Meaning of "Measurement of Business Income"
5. Measure Business Income by Computing the Increase in Owner's Capital – Net Worth Method
6. Measure "Net Income" or "Net Profit"
7. Measure "Net Income" by Applying the Principle of "Matching of Incomes and Expenses" Method
8. Understand the Terms "Income and Expenses" and Other Inherent Elements Associated with These Terms
9. Compare "Net Worth Method" with "Matching Costs Against Revenue Method"
10. Understand the Procedure for "Measurement of Business Income"
11. Know the Salient Features of "Business Income"
12. Understand the "Economic Concept of Income" and Its Salient Features
13. Measure Economic Income: "Ex-ante Income" and "Ex-post Income"
14. Compare the Accounting Income of Individuals

INTRODUCTION

For any type of business organisation, the prime motive is to earn income. Income or profit is the yardstick to assess the performance of the business entities. Though the word "income" is easily and readily comprehended by even the common man, it is difficult to define precisely. Everyone (owners, employees, investors and creditors) is interested in knowing the capacity that a business entity can earn in a specific period or periodically.

OBJECTIVE 1: DEFINITION OF INCOME

Some of the important definitions are analysed to understand the salient features of "business income" and "measurement of business income."

Sir John Hicks defined income as “the maximum value which a man can consume during a week and still expect to be well off at the end of the week as he was at the beginning.” Though this definition is related to a common man stressing the aspect of economics, it is the foundation stone on which so many eminent economists raised superficial structures by way of inventing definitions in keeping with the latest socio-economic trends. The next important definition is the one defined by the Sandilands Committee (UK). It defined the company’s profit for the year as “the maximum value which the company can distribute during the year and still expect to be as well off at the end of the year as it was at the beginning.” The important feature to be noted, at this juncture, is that the group of words “as well off” at the end of the period (week or year) stresses the importance to compare the net worth of businesses between two periods to assess whether they are “well off”.

Another important definition is expounded by Eric L. Kohler. He defined income as “money or money equivalent earned or accrued during an accounting period, increasing the total of previously existing net assets, and arising from sales and rentals, of any types of goods or services, commissions, interest, gifts, recoveries from damage and windfalls from any outside source.”

This definition stresses the importance on “. . . increasing the total of previously existing net assets.” We have to understand what “net assets” are and how they can be measured. This aspect is given due recognition in the definition of American Accounting Association (AAA). It defines business income as “the increase in net assets measured (determined) by the excess of revenues over expenses.”

OBJECTIVE 2: REVENUES AND EXPENSES

The terms used in this definition (revenues and expenses) are explained as follows:

2.1 Revenues

Revenues may be measured by the *inflow* of assets. Inflow of assets represent any increase in the value of assets such as increase in cash, debtors and the like and also decrease in liabilities such as decrease in bills payable, creditors and the like. Such inflow of cash arises from various business activities such as selling of goods, providing services and so on. There is no uniformity in generation of revenue among the business entities. Each enterprise differs from the other in this aspect.

2.2 Expenses

Expenses may be measured by the *outflow* of assets such as decrease in value of assets and also increase in liabilities. Such outflow of cash are incurred or consumed in the activities of business enterprises. Here also, expenses differ from one enterprise to other as the nature of business dictates the type of *expense*.

OBJECTIVE 3: MEANING OF MEASUREMENT OF BUSINESS INCOME

“The process of applying a quantitative (in terms of monetary unit) amount to revenue and expenses is called measurement of income.” This is the summarised version of measurement of business income.

3.1 Net Worth Method

Business income may be measured by computing the increase in the owner’s capital. In ordinary terms, we used to say income is what the business earns over and above the capital employed. In accounting terms, any accretion to the capital may be considered as income, as capital is not construed as income. In going concern, capital means capital introduced in the first year plus income retained in the business. This is referred to as “net worth” of the business. Business income for a period may be measured on the basis of “net worth” [total assets – total liabilities (owing to outsiders)]. The net worth of a business at the beginning of a period is compared with net worth at the end of the period. Increase in net worth represents a profit whereas a decrease in net worth indicates a loss. This method of measuring net income facilitates the task of capital maintenance, especially in going concerns.

OBJECTIVE 4: MEASUREMENT OF “NET INCOME” OR “NET PROFIT”

In accounting practice both the terms “net income” and “net profit” are synonyms. Net income is measured by comparing sales revenues and costs related to sales revenues. This is usually compared by preparing income statements (i.e., Profit and Loss Account). The total revenues earned during a specified period and total expenses incurred in earning these revenues are shown in this account. The difference between these two will indicate either profit/income or loss. If revenues are in excess of expenses, such net result is profit or income. If expenses are in excess of revenues the net result will be loss.

OBJECTIVE 5: MEASUREMENT OF NET INCOME: MATCHING OF INCOMES AND EXPENSES METHOD

This approach to measurement of net income of the business is “matching of incomes and expenses.” This concept of matching principle is defined by Finney and Miller: “The concept of business income is a matter of matching revenue with related cost or expense, that is, if revenue is deferred because it is regarded as not yet earned, all elements of expenses related to such deferred revenue must be deferred also in order to achieve a matching of revenue which is essential to a proper determination of income.” Expenses that are *directly* associated with a particular type of revenue are *recognised expenses* in the period in which the revenues are recognised. Expenses that are *not directly* associated with revenues are treated as *expenses of the period* in which they are recognised.

The matching of incomes and expenses method is practiced widely due to the reason the elements which are entered into Profit and Loss Account (Income Statement) can be verified with objective evidence. Incomes consist of revenues and gains and expenses consist of expenses and losses as well.

5.1 Incomes and Expenses

“Incomes and expenses” are explained as follows with examples:

- Income is a measure of inflow of assets that result in increase of equity.
- Income in the form of inflows – sales and other incomes, such as interest, commission and fees received.
- Enhancement of assets – increase in the value of assets.
- Decrease in liabilities – discounts received in the settlement of liabilities.

The above elements result in the increase of equity, but the additional capital introduced also results in increase of equity, which is not treated as an income.

- Expenses are a measure of outflows that result in decrease of equity.
- Expenses in the form of outflows – payment for materials, components, wages, salaries, salesmen and so on.
- Depletion of assets – depreciation on assets put into use and consumption of loose tools.
- Liabilities incurred on tax payments, audit fees and outstanding expenses.

These elements “incomes and expenses” are directly related to measure profit.

OBJECTIVE 6: COMPARISON OF “NET WORTH METHOD” AND “MATCHING COSTS AGAINST REVENUE METHOD”

- The Net Worth Method of measuring business income emphasises the importance of Balance Sheet, while the method of matching costs against revenues gives much importance to Profit and Loss Account (Income Statement).
- Under the Net Worth Method, the focus is on the net worth at two points in time, whereas in the latter method the focus is on explanation of changes which took place in the net worth.
- Elements that constitute the income statement can be verified with objective evidence under the second method, whereas these cannot be verifiable under net worth method.

OBJECTIVE 7: PROCEDURE FOR MEASUREMENT OF BUSINESS INCOME

The procedure for measurement of business income to be followed is explained step by step as follows:

- Step 1:** *Determination of accounting period.* First, the accounting period has to be determined for computing the business income. A pre-determined and specified period of time is the basic need for the measurement of business income. Generally, the accounting period is of 12 months, i.e. one year. The financial statement should be prepared on a periodic basis. The notion of realisation, matching and accounting are interrelated and better results cannot be obtained in the absence of any of the three. Once the date is determined, expenses can be matched with revenues, relating to the specified period. A calendar year is the accounting period which begins on Jan 1 and ends on Dec 31, whereas a financial year begins from Apr 1 and ends on Mar 31.
- Step 2:** *Identification of revenues.* The next step in the process to ascertain business income is the proper identification of revenues relating to the accounting period, as determined in Step 1. Revenue recognition may easily be carried on by applying realisation concept. In a trading concern, revenue is generated mainly from sale of goods and/or services. Value of stock in hand is not treated as an item of revenue under this concept. Such unrealised gains/incomes are not recognised. But in certain circumstances, this realisation concept is relegated to background and unrealised income is recognised for the determination of business income. Long-term business contract is a typical example for unrealised income.
- Step 3:** *Identification of costs.* Costs incurred to earn revenue in that specified accounting period have to be identified. Only these costs/expenses which have been associated with that part of revenue earned will have to be taken into account. For example, depreciation (expired cost of an asset) and at times unexpired costs are also treated as assets. Prepaid expense is an example for such unexpired costs (treated as assets).
- Step 4:** After ascertaining all revenues (as in Step 2) and expenses (as in Step 3) incurred to earn revenues, business income is calculated by preparing Income Statement (Profit and Loss Account) for the accounting period.

OBJECTIVE 8: SALIENT FEATURES OF BUSINESS INCOME

Some of the special features of business income are detailed as follows:

- 1. Accounting period convention:** The very first step in the computation of business income is the determination of accounting period. So, business income is based on the accounting period convention. It reflects the financial position of the business entities for a specified accounting period.
- 2. Revenue principles:** Business income is also based on the revenue principles, as the computation of business income requires the definition, measurement and recognition of revenue.
- 3. Realisation concept:** This concept plays a vital role in revenue recognition. Realisation concept is another important feature of business income.
- 4. Objective evidence:** All transactions relating to measurement of business income are based on objective evidence. They are verifiable; thereby depicting a true and accurate figure on net income arrived at. Only the actual transactions which occurred in the specified accounting period are taken into account.
- 5. Historical cost:** Business income measures expenses in terms of historical costs.
- 6. Matching principle:** Matching revenue with related cost or expense, i.e. matching principle is applied for the business income measurement.
- 7. Ex-post income:** Ex-post income represents the excess of the capital of the accounting year over that of the previous year. Future expected returns are based on current period income. Business income is an ex-post income viewed from this angle.

8. Unrealised profits and losses: Business income ignores unrealised profits and losses. It is based on the realisation concept. Realisation concept gives importance to realised gains only. Unrealised profit/loss arises on the holding of fixed assets. This is ignored in the determination of business income.

OBJECTIVE 9: MEANING OF ECONOMIC CONCEPT OF INCOME

So far we have explained the accounting concept of income. Now, some of the important characteristics of the economic concepts of income are explained.

Economic income results from consumption in a specified period plus changes in the value of capital. This means that the economic income arises from the changes in the “value of assets” and “capital.” According to eminent economists, the income refers to the periodic benefits derived from the use of capital. Unlike business income, which is based on the principle of matching of revenues and expenses, economic income is measured in real terms by taking into account both the changes in the value of assets and the capital (i.e., value of consumption is taken into account).

OBJECTIVE 10: SALIENT FEATURES OF ECONOMIC CONCEPT OF INCOME

1. Current values: Economic concept of income is based on current values. Unlike the accounting concept of income, it gives emphasis only on current values and not on historical cost.

2. Unrealised gains/losses: Unrealised gains/losses are taken into account in the value of fixed assets.

3. Consumption: Under economic concept of income, only income is available for consumption. Value of consumption is the main criterion in the economic concept of income.

4. Comparison of capitals: Income is measured by comparing the value of capital at two different dates.

5. Ex-ante income: Income is an ex-ante income. It refers to excess of value of capital for the current period over that of the previous period with reference to the present value of the future expected returns on the previous year basis.

6. Value of capital and asset: Value of capital is derived from the value of income, whereas the value of asset refers to the present value of all future benefits that the asset can provide.

OBJECTIVE 11: PROCEDURE TO MEASURE ECONOMIC INCOME

In practice, there are two different income concepts, ex-ante income and ex-post income.

- The difference between the value of capital at the end of the year and the value of capital at the beginning of the year is determined which represents “economic income.”
- Value of capital at the beginning of the year (A) is based on the future cash flows expected to be generated from the assets, estimated at the beginning of the year.
- Value of the capital at the end of the year (B) is based on the revised future cash flows expected to be generated from the assets, estimated at the end of the year.
- Economic income is based on the present value of cash flows.

(i) Ex-ante income is calculated with reference to present value at the beginning of the year (X level)

$$\text{Ex-ante income: } BX - AX$$

(ii) Ex-post income is calculated with reference to present value at the end of the year (Y level)

$$\text{Ex-post income: } BY - AY$$

Illustration: 1

On Jan 1, 2008, Raj purchased an asset for Rs 3,50,000 and anticipated an annual cash flow of Rs 1,00,000 at the end of each year for the next 5 years. On Dec 31, 2008, he actually earned Rs 1,20,000 during 2008

(it was ascertained from his financial records) and anticipated an annual cash flow of Rs 1,50,000 at the end of each year for the next 4 years. The discount factors at 12% discount rate are given as follows:

Year	1	2	3	4	5
Discount factor	.893	.797	.712	.636	.567

Compute ex-ante income of Mr Raj.

Solution

Step 1: Estimated annual cash flow at the beginning of the year (Jan 2008) is Rs 1,00,000 – (A) (given)

Step 2: The present value of future cash flow has to be calculated. Discount (present value) factor is given in the present value table. Multiply this factor with the estimated cash flow at the beginning of the year (Rs 1,00,000). As the factor varies from year to year, multiply with that factor for each year for the remaining 4 years and sum up the present value. This is shown in the following table.

Year (1)	Cash Flow (2)	Discount Factor @ 12% (3)	Present Value (2) × (3) = 4
2008	1,00,000	.893	89,300
2009	1,00,000	.797	79,700
2010	1,00,000	.712	71,200
2011	1,00,000	.636	63,600
2012	1,00,000	.567	56,700

$$AX = 3,60,500$$

Step 3: Revised expected cash flow at the end of the year has to be taken into account as given in the question.

Step 4: Present value of revised future cash flows rate at the beginning of the year is calculated as follows:

Year (1)	Cash Flow (2)	Discount Factor @ 12% (3)	Present Value (2) × (3) = 4
2008	1,20,000	.893	1,07,160
2009	1,50,000	.797	1,19,550
2010	1,50,000	.712	1,06,800
2011	1,50,000	.636	95,400
2012	1,50,000	.567	85,050

$$BX = 5,13,960$$

Step 5: Ex-ante income = $BX - AX$

Substituting the values in the equation:

$$= \text{Rs } 5,13,960 - 3,60,500$$

$$= \text{Rs } 1,53,460$$

Illustration: 2

Compute the ex-post income of Mr Raj based on the figures from Illustration 1.

Solution

Step 1: Cash flows expected to be generated at the beginning of year (Jan 1, 2008) is given as Rs 1,00,000 taken into account.

Step 2: Compute the present value at the end of the year (*AY*)

Year (1)	Cash Flow (2)	Discount Factor (3)	Present Value (2) × (3) = 4
2008	1,00,000	1.000	1,00,000
2009	1,00,000	.893	89,300
2010	1,00,000	.797	79,700
2011	1,00,000	.712	71,200
2012	1,00,000	.636	63,600

$$AY = 4,03,800$$

Step 3: Revised cash flows (anticipated) are taken into account.

Step 4: Compute the present value of revised future cash flow at the end of the year (*BY*) as follows.

Year (1)	Cash Flow (2)	Discount Factor (3)	Present Value (2) × (3) = 4
2008	1,20,000	1.000	1,20,000
2009	1,50,000	.893	1,33,950
2010	1,50,000	.797	1,19,550
2011	1,50,000	.712	1,06,800
2012	1,50,000	.636	95,400

$$BY = 5,75,700$$

Step 5: Ex-post income = $BY - AY$

Substituting the values in the equation:

$$= \text{Rs } 5,75,700 - 4,03,800$$

$$= \text{Rs } 1,71,900$$

Illustration: 3

Mr Vas started a business with a capital of Rs 5,00,000. The following information is extracted from his books of account for the year 2009:

Purchases	Cash:	Rs 1,50,000
	Credit:	Rs 2,50,000
Sales	Cash:	Rs 4,00,000
	Credit:	Rs 6,00,000
Payment to Suppliers		Rs 1,50,000
Expenses	Paid	Rs 40,000
	Outstanding	Rs 60,000
Closing Stock		Rs 50,000
Fixed Assets		Rs 1,50,000
Depreciation on Fixed Assets : 10%		
Collection from Customers		Rs 4,00,000

You are requested to compute the accounting income of Mr Vas.

Solution**Notes**

1. Accounting income and business income are synonyms.
2. Both accrual basis and net worth methods are used to explain how business income is measured.
3. First, measurement of business income on accrual basis is computed as follows (Profit and Loss Account).

Statement Showing Computation of Accounting Income

	Rs	Rs
Step 1: Revenue Recognised		
(i) (sales) Cash Received	4,00,000	
(ii) <i>Add:</i> Credit Sales	<u>6,00,000</u>	10,00,000
Step 2: <i>Less:</i> Costs Recognised		
(i) Cost of Goods Sold		
Cash Purchases + Credit		
Purchases: Rs 1,50,000 + 2,50,000 =	4,00,000	
(ii) <i>Less :</i> Closing stock	<u>50,000</u>	<u>3,50,000</u>
Step 3: Gross Profit (Step 1 – Step 2)		<u>6,50,000</u>
Step 4: <i>Less:</i> Other Costs Recognised		
(i) Expenses (paid + outstanding)		
(Rs 40,000 + 60,000)	1,00,000	
(ii) Depreciation (10% of Rs 1,50,000) =	<u>15,000</u>	<u>1,15,000</u>
Step 5: Accounting Income		<u>5,35,000</u>

Note

1. As the students may not be able to understand the actual accounting method of preparing Income Statement (Profit and Loss Account) at this stage, it is worked out in the form of a statement.
2. Also, actual accounting method of preparing a balance sheet is not followed. Simply, assets on the credit side and liabilities on the debit side are shown to compute capital at the end of the period to employ the net worth method.

Preparation of Profit and Loss Account and preparation of Balance Sheet are explained in detail in Chapter 5.

Liabilities	Rs	Assets	Rs
Creditors		Fixed Assets	1,50,000
(Credit purchase – Payments)		<i>Less:</i> Depreciation	<u>15,000</u>
(Rs 2,50,00 – 1,50,0000)	1,00,000	@ 10%	
Outstanding expenses	60,000	Closing Stock	50,000
Capital at the end	10,35,000	Debtors	
(Rs 11,95,000 – 1,60,000)		(Credit sales – Collection from customers:	
(Balancing figure)		Rs 6,00,000 – 4,00,0000)	2,00,000
		Cash:	
		Rs 4,00,000 + 4,00,000 + 5,00,000	
		(Sale + Customer + Capital) = Rs 13,00,000	
		– Expenses paid : 40,000	
		– Purchases : 1,50,000	
		– Supplier : 1,50,000	
		– Fixed Assets : 1,50,000	4,90,000
			8,10,000
	11,95,000		11,95,000

Now, compare the value of capital at the end of the year with the beginning of the year.

		Rs
Step 1: Capital at the end of the year:	=	10,35,000
Step 2: Less: Capital at the beginning of the year (given in the question)	=	5,00,000
Step 3: Accounting Income (1 – 2)	=	<u>5,35,000</u>

Note The accounting income computed under two different methods are same, i.e. Rs 5,35,000.

Summary

- Income may be defined as the maximum value which a man can consume during a week and still expect to be “as well off” at the end of the week as he was at the beginning.
- Income may be defined as money or money equivalent earned or accrued during an accounting period, increasing the total of previously existing net assets, and arising from sales and renewals of any type of goods or services, commissions, interest, gifts, recoveries from damage and windfall from any outside source.
- Revenues may be measured by the inflow of assets.
- Expenses may be measured by the outflow of assets.
- Measurement of net income: Net worth method [net worth = total assets – total liabilities (owing to outsiders)]. Matching of incomes and expenses is another approach.
- Procedure for measurement of business income: (i) determination of accounting period, (ii) identification of revenues, (iii) identification of costs and (iv) preparation of income statement.
- Salient features of business income are based on (i) accounting period convention and revenue principles, (ii) realisation concept, (iii) objective evidence, historical cost and matching principle, (iv) ex-post income and (v) unrealised profits and losses are ignored.
- Economic concept of income: Economic income results from consumption in a specified period plus changes in the value of capital.
- Economic income is measured by taking into account both the changes in the value of assets as well as capital (i.e., value of consumption).
- Salient features of economic concept of income: (i) based on current values, (ii) unrealised gains/losses are taken into account, (iii) concept of consumption, (iv) determination of income by comparison of capitals, (v) ex-ante income and (vi) value of capital and asset.
- Procedure to measure economic income: Two different income concepts are used: (i) ex-ante income is computed with reference to present value at the beginning of the year and (ii) ex-post income is computed with reference to present value at the end of the year (based on future cash flows – value of capital).

Key Terms

Business income: Denotes the income in net assets determined by the excess of revenues over expenses. It is the net increase in the owner’s capital that results from operating activities of the enterprise.

Inflation: The situation of rising prices is called inflation. In such situation, the purchasing power of monetary unit will decline.

Income – Economic concept of: “The amount which a man can consume during a period and still remain as

well off at the end of the period as he was at the beginning.” It is determined from the changes in the value of assets and capital at the beginning and at the end of an accounting period.

Matching principle: According to the principle, the expenses incurred in an accounting period are matched with the revenue earned during the same accounting period.

Reference

Anthony, R.N. and J.S. Reece. “Accounting Principles,” Richard D Irwin Inc.

A Objective-type Questions

I. State whether the following statements are true or false:

1. Revenues are a measure of inflow of assets.
2. Business income is the net increase in the owner's capital.
3. Accounting income is not necessarily a business income.
4. The terms net profit and net income are synonyms in the measurement of business income.
5. Business income is based on the actual transactions.
6. Business income need not be based on the revenue principle.
7. Business income is an ex-post income.
8. Business income ignores the unrelated profits and losses resulting from the holding of fixed assets.
9. Business income ignores historical cost concept.
10. No standardised procedure exists for the measurement of business income.

11. The doctrine of going concern (entity) is essential for the measurement of business income.
12. Accounting period is not very essential for measurement of business income.
13. The matching concept is an important basis for the computation of business income.
14. Business income is based on purchasing power of the rupee.
15. Economic income is consumption in the given period plus changes in the value of capital

Answers

- | | | |
|----------|-----------|-----------|
| 1. True | 2. True | 3. False |
| 4. True | 5. True | 6. False |
| 7. True | 8. True | 9. False |
| 10. True | 11. True | 12. False |
| 13. True | 14. False | 15. True |

II. Fill in the blanks with appropriate word(s):

1. Business income is defined as the increase in _____ measured by the excess of revenue over expenses.
2. Revenues are a measure of _____ of assets.
3. Expenses are a measure of _____ of assets.
4. Net income is measured by comparing _____ and _____.
5. Business income is the net increase in _____.
6. Revenue recognition is possible with the help of _____ concept.
7. Unexpired costs are treated as _____.
8. Business income also means _____ income.
9. According to matching concept, all revenues and expenses (incurred to earn revenue) must belong to the same _____ period.
10. Business income requires the measurement of expenses in terms of _____ cost.
11. Business income is an _____ income.

12. Business income is based on _____ transaction.
13. Business income ignores unrealised _____ and _____.
14. The doctrine of _____ states that the business will continue its operations for the foreseeable future.
15. The accrual process aims to match _____ and _____ with a definite accounting period.

Answers

- | | |
|-------------------------|-----------------------------|
| 1. net assets | 2. inflow |
| 3. outflow | 4. revenue and costs |
| 5. owner's capital | 6. realisation |
| 7. assets | 8. accounting income |
| 9. accounting | 10. historical |
| 11. ex-post | 12. actual |
| 13. profit ; loss | 14. entity or going concern |
| 15. revenues ; expenses | |

B Short Answer-type Questions

- | | |
|--|--|
| 1. Define business income. | 5. Explain "doctrine of entity." |
| 2. What do you mean by "matching principle"? | 6. Mention the general rules followed in accrual basis of timing and measurement of business income. |
| 3. What is "realisation concept"? | |
| 4. Explain the term "accounting period." | |

7. What do you mean by economic concept of income?
8. "Inflation affects the measurement of business income" – do you agree?

C Essay-type Questions

1. Explain the procedure for measurement of business income.
2. Explain the salient features of business income.
3. What are the advantages and disadvantages of business income?
4. What are the objectives of income measurement?

Revenue Recognition and Recognition of Expenses

Chapter 9

LEARNING OBJECTIVES

After studying this chapter, you will be able to

1. Define "Revenue"
2. Recognise "Revenue" from the Activities of an Entity
3. Understand the Guidelines for Revenue Recognition
4. Apply Accounting Standard-9 (AS-9) to Recognise Revenue
5. Apply Proportionate or Percentage of Completion Method for Revenue Recognition
6. Understand and Apply Installment Method of Recognition of Revenue
7. Know Recognition at Completion of Production Process
8. Understand the Concept of Recognition of Expenses and the Methods to Determine Expenses Recognition
9. Understand the Salient Features of AS-9 Relating to Revenue Recognition and Recognition of Expenses

OBJECTIVE 1: DEFINITION OF REVENUE

1.1 Meaning

The Institute of Chartered Accountants of India (ICAI) defines revenue as "the gross inflow of cash, receivables, or other consideration, arising out of activities of an enterprise from the sale of goods, from the rendering of services and from the use by others, of enterprise resources yielding interest, royalties, and dividends."

OBJECTIVE 2: FACTORS DERIVED FROM THE DEFINITION

- Revenues are the gross inflow of cash from the following activities of a business enterprise.
 - (i) Sale of goods, i.e. selling of products or raw materials.
 - (ii) Rendering of services.
 - (iii) From the use by others, i.e. permitting others to use enterprise resources which will yield interest, royalties, dividends and so on.
- In addition, the following may also be taken into consideration for recognition of revenues:
 - (i) Selling of assets other than goods.
 - (ii) Receiving the amount of commission in an agency relationship.

Here it is to be noted that in case a fixed asset is sold, only the difference between sale price and the book value is recognised as revenue (i.e., profit amount in sale of fixed assets – net receipts). For example, if a building with a book value of Rs 5,00,000 is sold for Rs 5,50,000 only (Rs 5,50,000 – 5,00,000) = Rs 50,000 is to be recognised as revenue and not the entire sale proceeds. Similarly, revenue is the amount of commission received and not the gross receipts in an agency relationship.

- Flow of revenue may relate either to one accounting period or may spread over more than one accounting period. Revenues do not include assets or resources acquired by purchases, proceeds from borrowings, or capital by owners or adjustments of revenues of earlier periods.

OBJECTIVE 3: TIMING OF REVENUE RECOGNITION

3.1 Recognition of Revenue

Revenue recognition is mainly concerned with the timing of recognition of revenue in the income statement or for income determination. There are two views relating to timing of recognition of revenue. First view is that revenue has to be recognised as and when the transaction takes place without waiting for the receipt of cash. This view is based on accrual concept. The second view is that revenue is to be recognised when cash is received. This is based on cash concept or cash accounting.

Business enterprises adopt accrual accounting. Certain professions use cash accounting (doctors, lawyers and chartered accountants).

OBJECTIVE 4: GUIDELINES FOR REVENUE RECOGNITION

The following guidelines have been adopted to recognise revenues in the books of account as soon as

- the business enterprise has performed substantial portion of its duty in the form of transfer of goods to the buyer or performance of service as the case may be,
- the revenue can be objectively measured,
- the earning process has been substantially completed in the sense that the major portion of costs has been incurred and the remaining costs can be estimated with reasonable accuracy,
- the amount ultimately collectable on bills is realisable or from debtors has been received and estimate can be made of the bad debts or unrecoverable amount.

OBJECTIVE 5: REVENUE RECOGNITION AT THE POINT OF SALE

“Revenue recognition” is ascertained at the time of sale of products or performance of the services. This method is used by most of the business entities. This method of revenue recognition is known as the complete “Sale or Market Test.” The reasons for the use of “Sale or Market Test” are as follows:

- It is in conformity with the tests of objectivity and definiteness.
- Goods are transferred to the buyer and thereby the buyer attains title to the goods.
- Amount of revenue is measured objectively and precisely.
- Most of the costs have been incurred.
- If collection from the customers is unknown, such amount can be estimated easily.

Even though the AS-9 sets out certain guidelines on this aspect, sales should be in accordance with the provisions of the Sale of Goods Act. As such agreement to sell, goods sent on consignment basis and sale on approved basis do not constitute legal sales.

OBJECTIVE 6: A METHOD TO ASCERTAIN RECOGNITION OF REVENUE

6.1 Proportionate or Percentage of Completion Method

AS-9 recognises this method and for long-term contracts this method is adopted. According to this method, revenue is recognised in the Statement of Profit and Loss proportionately with the degree of services under

a contract. Instead of waiting for a few years for completion of project to recognise revenue, this method aims at recognising revenues on yearly basis. Accordingly, percentage of completion method is used by which a portion of total contract price is recognised as revenues of each accounting period, on the basis of the reasonable estimate of the work completed. This is explained by way of an illustration as follows: (figures are imaginary)

A construction company engaged in the construction of a bridge, incurs costs of Rs 30,00,000 in 2007, Rs 40,00,000 in 2008 and Rs 30,00,000 in 2009. Revenue recognised during 2007, 2008 and 2009 are as follows:

<i>Year</i>	<i>Cost Incurred Rs</i>	<i>Total Estimated Cost Rs</i>	<i>Percentage of Work Completed %</i>	<i>Total Revenue Rs</i>	<i>Revenue Recognised Rs</i>
2007	30,00,000	1,00,00,000	30	1,10,00,000	33,00,000
2008	40,00,000	1,00,00,000	40	1,10,00,000	44,00,000
2009	30,00,000	Balance to complete the contract			33,00,000
	1,00,00,000				1,10,00,000

The Gross Profit recognised for 2007 is (Rs 33,00,000 – Rs 30,00,000) = Rs 3,00,000 and for 2008 is (Rs 44,00,000 – Rs 40,00,000) = Rs 4,00,000 and for 2009 is (Rs 33,00,000 – Rs 30,00,000) = Rs 3,00,000. It should be noted that all the remaining revenues are recognised and no percentage of work completed (estimate) is calculated.

Under the Percentage of Completion Method, degree of completion consists of both the amount of revenues and the amount of expenses.

6.2 Installment Method of Revenue Recognition

Detailed procedure is explained in the chapter “Hire Purchase.” Under this method, one makes the down payment at the time of signing the agreement for installment sale and promises to pay the remaining in installments over a period. Revenue is recognised only when the installments are collected in cash. Every installment comprises of two components:

- (1) a part of the cost of goods (expenses recovered) and
- (2) a part of the gross profit on sale.

Let us illustrate: (based on assumptions)

Sale price of a motor cycle is Rs 35,000

Cost of motor cycle is Rs 26,250

The collection of installments is as:

2006: Rs 8,000; 2007: Rs 10,000; 2008: Rs 12,000; and 2009: Rs 5,000

$$\begin{aligned}
 \text{Gross Profit to sale} &= \frac{(\text{Rs } 35,000 - \text{Rs } 26,250)}{\text{Rs } 35,000} \times 100 \\
 &= \frac{\text{Rs } 8,750}{\text{Rs } 35,000} \times 100 = \frac{100}{4} = 25\%
 \end{aligned}$$

Hence, each installment consists of 75% recovery of the cost of goods sold and 25% of gross profit which is shown in the tabular column as follows:

Year	Cash collected Rs	Revenue recognised Rs	Component of Recognition	
			Gross Profit – 25% of Revenue Rs	Cost of Goods Sold 75% of Revenue Rs
2006	8,000	8,000	2,000	6,000
2007	10,000	10,000	2,500	7,500
2008	12,000	12,000	3,000	9,000
2009	5,000	5,000	1,250	3,750
Total	35,000	35,000	8,750	26,250

6.3 Recognition at Completion of Production Process

Under this method, revenues are recognised when the goods are produced. Sale is not considered as a deciding factor.

For example, extraction of precious metals from mines, agriculture products and so on.

In mining enterprises, revenues can be determined at the stage of production itself. Similarly, the sale of agricultural products is estimated objectively at the stage of harvest (end stage of production process) itself.

6.4 Revenue Recognition on Holding of Assets

On investments, both short- and long-term, interest earned, dividend received and capital gains on sale are recognised as revenues. In case of leasing, revenue is recognised when others hold the assets of the business.

6.5 On Service Contracts

Service charges are recognised only at the time when the work is completed.

OBJECTIVE 7: CONCEPT OF RECOGNITION OF EXPENSES (COSTS)

Here, cost is always treated as an expired cost (expense). Expired cost represents the cost that has been used to earn revenues. It may also be said that costs are the resources to earn revenue. Fixed assets such as land, buildings, plant, machinery and the like are termed as unexpired costs (expenses) or used assets as depreciation.

Examples of expired costs:

- (i) Cost of Goods Sold
- (ii) Wages and Salaries
- (iii) Interest Expenses and
- (iv) Selling Costs and so on

7.1 Guidelines for Expense Recognition

The matching principle is the main concept to determine expenses for a period, which requires perfect association of expenses with revenues.

The methods to determine expense recognition are as follows:

- (i) direct identification of expenses with revenues and
- (ii) identification with the accounting period

Expenses that can be readily identified by knowing its association with revenues may be determined in the first method. For example, commission to salesmen with sales, cost of goods sold with sales of goods.

Simply saying by matching revenues with respective associated and related expenses, expense recognition is determined at ease by the first method.

Expenses are determined mainly relating to the period for which they were spent. For example, insurance premiums are written off pro rata over the period, spreading over a few accounting years.

Expense portion of the cost of a fixed asset is recognised by matching the revenues of the period with the total revenue that the asset will help produce over its useful life. The important factors to be considered while assessing expense recognition under the second method are

- (i) objectivity
- (ii) passage of time and
- (iii) convenience

After explaining these basic concepts, the need arises to discuss the salient features of AS-9.

OBJECTIVE 8: AS-9 REVENUE RECOGNITION

Accounting Standard comprises paragraphs 10–14 of this statement. The Standard should be read in the context of paragraphs 1–9 of this statement and of the preface to the Statements of Accounting Standards.

8.1 Introduction: Salient Features of AS-9

1. This statement deals with the bases for recognition of revenue in the Statement of Profit and Loss of an enterprise. The statement is concerned with the recognition of revenue arising in the course of ordinary activities of the enterprise from
 - (i) the sale of goods,
 - (ii) the rendering of services,
 - (iii) the use by others of enterprises resources yielding interest and
 - (iv) royalties and dividends.
2. This statement does not deal with the following aspects of revenue recognition to which special considerations apply:
 - (i) revenue arising from construction contracts,
 - (ii) revenue arising from hire purchase and lease agreements,
 - (iii) revenue arising from government grants and other similar subsidies,
 - (iv) revenue of insurance companies arising from insurance contracts.
3. Examples of items not included within the definition of “revenue” for the purpose of the statement are as follows:
 - (i) Realised gains from the disposal of and unrealised gains resulting from holding of non-current assets, e.g. appreciation in the value of fixed assets.
 - (ii) Unrealised holding gains resulting from the change in the value of current assets and the natural increases in herds and agricultural and forest products.
 - (iii) Realised or unrealised gains resulting from change in foreign exchange rates and adjustments arising on the translation of foreign currency financial statements.
 - (iv) Realised gains resulting from the discharge of an obligation at less than its carrying amount.
 - (v) Unrealised gains resulting from the carrying amount of an obligation.

8.2 Definitions

The following terms are used in the statement with the meaning specified.

Revenue is the gross inflow of cash receivables or other considerations in the course of the ordinary activities of an enterprise from the sale of goods, from the rendering of services, and from the use by others of enterprise resources yielding interest, royalties and dividend. Revenue is measured by the charges made

to customers or clients for goods supplied and services rendered to them and by the charges and rewards arising from the use of resources by them. In an agency relationship, the revenue is the amount of commission and not the gross inflow of cash, receivables or other consideration.

Completed Service Contract Method is a method of accounting which recognises revenue in the Statement of Profit and Loss only when the rendering of services under a contract is completed or substantially completed.

Proportionate Completion Method is a method of accounting which recognises revenue in the Statement of Profit and Loss proportionately with the degree of completion of services under a contract.

8.3 Explanation

Revenue recognition is mainly concerned with the timing of recognition of revenue in the Statement of Profit and Loss of an enterprise. The amount of revenue arising on a transaction is usually determined by agreement between the parties involved in the transaction. When uncertainties exist regarding the determination of the amount or its associated costs, these uncertainties may influence the timing of revenue recognition.

8.4 Sale of Goods

A key criterion for determining when to recognise revenue from a transaction involving the sale of goods is that the seller has transferred the property in the goods to the buyer for a consideration. The transfer of property in the goods, in most cases, results in or coincides with the transfer of significant risks and rewards of ownership to the buyer. However, there may be situations where transfer of property in goods does not coincide with the transfer of significant risks and rewards of ownership to the buyer. Such cases may arise when delivery has been delayed through the fault of either the buyer or seller and the goods at the risk of the party at fault as regards any loss which might not have occurred but for such fault. Further, sometimes the parties may agree that the risk will pass at a time different from the time when ownership passes.

At certain stages in specific industries, such as when agricultural crops have been harvested or mineral ores have been extracted, performance may be substantially complete prior to the execution of the transaction generating revenue. In such cases, when sale is assured under a forward contract or a government guarantee or where market exists and there is a negligible risk of failure to sell; the goods involved are often valued at net realisable value. Such amounts while not revenue as defined in this statement are sometimes recognised in the Statement of Profit and Loss and appropriately described.

8.5 Rendering of Services

Revenue from service transactions is usually recognised as the service is performed either by the Proportionate Completion Method or by the Completed Service Contract Method.

Proportionate Completion Method: Performance consists of the execution of more than one act. Revenue is recognised proportionately by reference to the performance of each act. The revenue recognised under this method would be determined on the basis of contract value, associated costs, number of acts or other suitable basis. For practical purposes, when services are provided by an indeterminate number of acts over a specific period of time, revenue is recognised on a straight line basis over the specific period unless there is evidence that some other method better represents the pattern of performance.

Completed Service Contract Method: Performance consists of the execution of a single act. Alternatively, services are performed in more than a single act, and the services yet to be performed are significant in relation to the transaction taken as a whole that performance cannot be deemed to have been completed until the execution of those acts. The Completed Service Contract Method is relevant to these patterns of performance and accordingly revenue is recognised when the sole or final act takes place and the service becomes chargeable.

The use by others of enterprise resources yielding interest, royalties and dividends:

1. The use by others of such enterprise resources gives rise to
 - (i) interest – charges for the use of cash resources or amounts due to the enterprise
 - (ii) royalties – charges for the use of such assets as know-how, patents, trade marks and copyrights
 - (iii) dividends – rewards from the holding of investments in shares
2. Interest accrues, in most circumstances, on the time basis determined by the amount outstanding and the rate applicable. Usually, discount or premium on debt securities held is treated as though it were accruing over the period to maturity.
3. Royalties accrue in accordance with the terms of relevant agreement and are usually recognised on that basis unless, having regard to the substance of the transactions, it is more appropriate to recognise revenue on some other systematic and rational basis.
4. Dividends from investments in shares are not recognised in the Statement of Profit and Loss until a right to receive payment is established.
5. When interest, royalties and dividends from foreign countries require exchange permission and uncertainty in remittance is anticipated, revenue recognition may need to be postponed.

8.6 Effect of Uncertainties on Revenue Recognition

1. Recognition of revenue requires that revenue is measurable and that at the time of sale or the rendering of the service, it would not be unreasonable to expect ultimate collection.
2. Where the ability to assess the ultimate collection with reasonable certainty is lacking at the time of raising any claim, e.g. for escalation of price export incentives, interest, etc. revenue recognition is postponed to the extent of uncertainty involved. In such cases it may be appropriate to recognise revenue only when it is reasonably certain that the ultimate collection will be made. When there is no uncertainty as to the ultimate collection, revenue is recognised at the time of sale or rendering of service even though payments are made by installments.
3. When the uncertainty relating to collectability arises subsequent to the time of sale or the rendering of service, it is more appropriate to make a separate provision to reflect the uncertainty rather than to adjust the amount of revenue originally recorded.
4. An essential criterion for the recognition of revenue is that the consideration receivable for the sale of goods, the rendering of services form the use by others of enterprise resources is reasonably determinable when such consideration is not determinable within reasonable limits and the recognition of revenue is postponed.
5. When recognition of revenue is postponed due to the effect of uncertainties, it is considered as revenue of the period in which it is properly recognised.

8.7 Accounting Standard

1. Revenue sales or service transactions should be recognised when the requirements as to performance set out in paragraphs 11 and 12 are satisfied, provided that at the time of performance it is not unreasonable to expect ultimate collection. If at the time of raising of any claim it is unreasonable to expect ultimate collection, revenue recognition should be postponed.
2. In a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions have been fulfilled:
 - (i) the seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and
 - (ii) no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods.

3. In a transaction involving the rendering of services, performance should be measured either under the Completed Service Contract Method or under the Proportionate Completion Method, whichever relates the revenue to the work accomplished. Such performance should be regarded as being achieved when no significant uncertainty exists regarding the amount of the consideration that will be derived from rendering the service.
4. Revenue arising from the use by others of enterprise resources yielding interest, royalties and dividends should only be recognised when no significant uncertainty as to measurability or collectability exists. These revenues are recognised on the following basis:
 - (i) *Interest*: On a time proportionate basis taking into account the amount outstanding and the rate applicable.
 - (ii) *Royalties*: On an accrual basis in accordance with the terms of the relevant agreement.
 - (iii) *Dividends from investment in shares*: When the owner's right to receive payment is established.

Disclosure

5. In addition to the disclosures required by AS-1 on Disclosure of Accounting Policies (AS-1), an enterprise should also disclose the circumstances in which revenue recognition has been postponed pending the resolution of significant uncertainties.

OBJECTIVE 9: APPENDIX

Appendix is given here to illustrate the application of AS-9 to a number of commercial transactions. Following are some special commercial situations to illustrate as to how the revenue is to be recognised:

1. Sale of Goods: Delivery is delayed at buyer's request and buyer takes title and accepts billing. Revenue is to be recognised even if the delivery is yet to be made. But the item sold should be in stock, identified and ready for delivery.

2. Delivery Subject to Conditions – Installation and Inspection: Under such conditions, revenue should be recognised only after the customer accepts delivery and installation is done completely. Where the installation does not require much cost, it is recognised at the time of sale itself.

3. Sale on Approval: Revenue should not be recognised until the goods are formally accepted by the buyer or the time period for rejection has been elapsed or where no time has been fixed, a reasonable time has elapsed.

4. Guaranteed Sales: Delivery is made giving the buyer an unlimited right of return. Revenue recognition depends on the substance of agreement. In the case of retail sales offering a guarantee of "money back if not completely satisfied" it may be appropriate to recognise the sale but to make a suitable provision for revenues based on previous experience. In other cases, the agreement may amount to a sale on consignment.

5. Consignment Sales: Revenue should not be recognised until the goods are sold to a third party.

6. Cash on Delivery Sales: Revenue should not be recognised until cash is received by the seller or his agent.

7. Sales on Installment Payments and Delivery to be made after the Receipt of Final Installment: Revenue is recognised after effecting the delivery of goods.

8. Special Order and Shipments: Revenue from such sales should not be recognised until goods are manufactured, identified and ready for delivery to the buyer by the third party.

9. Sale/Repurchase Agreements: It is a method of obtaining finance and the resulting cash flow is not revenue as defined and should not be recognised as revenue.

10. Sales to Intermediate Parties: Goods are sold to distributors, dealers or intermediaries for resale. Revenue from such sales may be recognised if significant risk of ownership has passed; in some situations the buyer may in substance be an agent and in such cases the sale may be treated as a consignment sale.

11. Subscriptions for Publications: Revenue bill will be allocated to different periods on a straight line basis over time. However, where the items delivered vary in value from period to period, revenue should be based on the sales value of items delivered in relation to total sales value of all items covered by the subscription.

12. Trade Discounts and Volume Rebates: They are a reduction in cost. They should be deducted in determining revenue. They do not constitute revenue.

13. Rendering of Services:

- (i) *Installation fees:* Revenue is recognised only after the installation is completed and accepted by customer.
- (ii) *Advertising and insurance agency commissions:* Revenue should be recognised when the service is completed. For advertising agencies, media commissions will normally be recognised when the related advertisement appears before the public and production commissions only when the project is completed.
Insurance agency commissions should be recognised on the effective commencement or renewal dates of related policies.
- (iii) *Financial services commissions:* A financial service may be rendered as a single act or may be spread over a period of time. The recognition of such revenue should have regard to:
 - (a) whether the service has been provided “once and for all” or is on a “continuing basis”
 - (b) the incidence of the costs relating to the service
 - (c) when the payment for the service will be received
- (iv) *Admission fees:* Revenue should be recognised when the events take place.
- (v) Consultancy and maintenance contracts are recognised on completed contract method.
- (vi) *Tuition fees:* Revenue should be recognised over the period of tuition.
- (vii) *Entrance and membership fees:* Entrance fee is to be capitalised. Membership fees depend on the nature of services provided. If it pertains to membership only, the fee should be recognised when received.

Summary

- “Revenue” may be defined as “the gross inflow of cash or other consideration, arising out of activities of an enterprise from the sale of goods, from the rendering of services and from the use by others, of enterprise resources yielding interest, royalties and dividends.”
- Revenues are gross inflow of cash, selling of assets other than goods and receiving commission in an agency type business.
- Flow of revenue relates to even more than one accounting period.
- Revenues do not include assets acquired by purchases, proceeds from borrowings, capital by owners and adjustment of revenues for earlier period.
- Revenue is recognised on accrual as well as cash concepts.
- Revenue recognition at point of sale: Revenue is recognised at the time of sale of products: A “Sale or Market” Test.
- Revenue is recognised in the statement of profit and loss proportionately with the degree of services under a contract. AS-9 recognises this method.
- Revenue is recognised under installment method also. Revenue is recognised only when the installments are collected in cash.
- Recognition of expenses: Cost is always treated as an expired cost – the cost that has been used to earn revenues.
- The methods to determine expense recognition are (i) direct identification of expenses with revenues and (ii) identification with the accounting period.
- Accounting Standard-9 (AS-9): Salient provisions with Appendix (refer the main part of the text).

Key Terms

Accounting Standard (AS-9): AS-9 deals with how revenue is to be recognised in profit and loss account of a business entity.

Revenue: It may be defined as “the gross inflow of cash, receivables or other consideration, arising out of activities of an enterprise from the sale of goods, from the rendering of services and from the use by others, of enterprise resources, yielding interest, royalties and dividends.”

Recognition of Expenses: To recognise costs that has been used to earn revenues during a specified period.

Recognition of Revenue: To recognise revenue in the form of an inflow of assets resulting from the profit. Revenue may be recognised when transaction takes place (accrual) or when cash is received (cash basis).

Reference

“Compendium of Statements and Standards of Accounting” – The Institute of Chartered Accountant of India, New Delhi.

A Objective-type Questions

I. State whether the following statements are True or False

- Revenue is the gross inflow of cash.
- Net receipts are recognised as revenue.
- Flow of revenue must be related to a particular specific period only.
- Revenue includes capital introduced by the owner.
- Professionals follow accrual accounting basis only.
- Revenue is recognised only at the time of sale of products or performance of services.
- AS-9 deals with valuation of inventories.
- Appreciation in the value of fixed assets is an important item for revenue recognition.
- Revenue recognition is mainly concerned with the timing of recognition of revenue in the profit and loss account.
- Revenue should be recognised when the equipment is installed and accepted by the customer.
- Realisation principle is applicable to the recognition of expenses also.
- Direct identification of expenses with revenues is essential in recognition of expenses.

Answers

- | | | |
|----------|-----------|----------|
| 1. True | 2. True | 3. False |
| 4. False | 5. False | 6. True |
| 7. False | 8. False | 9. True |
| 10. True | 11. False | 12. True |

B Short Answer-type Questions

- What do you mean by “revenue” in accounting?
- How is revenue recognised in respect of sale of goods?
- How is revenue recognised in respect of rendering of services?
- Explain revenue recognition with respect to “use by others of enterprise resources.”

C Essay-type Questions

- Explain the guidelines to be followed to recognise revenues with suitable illustrations and exceptions.
- What are the guidelines to be followed to recognise expenses (costs)?
- Explain in detail the salient features of AS-9?

The Nature of Depreciation

LEARNING OBJECTIVES

After studying this chapter, you will be able to

1. Define Depreciation
2. Know the Characteristic Features of "Depreciation"
3. Understand the Accounting Concept of Depreciation
4. Know the Salient Features of Depreciation
5. Understand the Causes of Depreciation
6. Know the Need for Depreciation
7. Understand the Factors that Affect Depreciation
8. To Calculate Depreciation for the Period for Which Depreciation is to be Charged Depending on Different Types of Problems
9. Understand Methods of Accounting Entries for Recording Depreciation
10. Understand Methods of Providing (Allocating) Depreciation
11. Understand the Meaning, Formula, Merits, Demerits and Applicability of Straight Line Method
12. Calculate the Rate and Amount of Depreciation Under Straight Line Method
13. Understand the Meaning, Formula, Merits, Demerits and Suitability of Written Down Value Method
14. Distinguish Between Straight Line Method and Written Down Value Method
15. Compute Machinery Account and Ascertain Profit/Sale on Asset
16. Understand the Accounting Treatment for Creating Provision for Depreciation and Accumulated Depreciation
17. Understand the Procedure for Change in the Method of Depreciation as per Accounting Standard (AS) – 6
18. Complete and Prepare Machinery Account, When There is a Change in the Method of Depreciation
19. Understand the Concept of Annuity Method and Accounting Treatment Under This Method
20. Understand the Main Features of Sinking Fund Method
21. Differentiate Annuity Method and Sinking Fund Method
22. Understand the Sum-of-the-Years'-Digits Method
23. Choose a Method of Depreciation
24. Answer: Is Depreciation a Source of (Income) Funds?
25. Understand the Meaning, Objectives, Examples of Accounting Treatment and Disclosure Relating the "Provisions"
26. Understand the Meaning and Objectives of "Reasons" and to Distinguish Between "Provision" and "Reserve"
27. Understand Different Types of Reserves and Their Meanings
28. Understand the Term "Provision for Repairs and Renewals" and Its Accounting Treatment
29. Understand the Salient Features of Accounting Standard (AS) – 6

INTRODUCTION

To understand “what depreciation means” we have to expose the intricacies inherent in this word by way of the following detailed facts associated with the term. Every going concern acquires different types of assets broadly categorized into Fixed Assets and Current Assets. It is a fact that fixed assets are generally used for a longer period (i.e., more than one accounting period) and they are not for resale without using in the business activities). Despite the fact that fixed assets have longer life, they cannot be held perpetually in a concern. Fixed assets will have to lose their value over a period of time. At this stage one may say that the fall in value or quality of fixed assets may be connected with the term “Depreciation.” But the word Depreciation denotes many more factors.

OBJECTIVE 1: DEFINITION OF DEPRECIATION

According to the Institute of Chartered Accountants of India, “Depreciation is a measure of the wearing out or other loss of value of a depreciable asset arising from use, time or obsolescence. Depreciation is allocated so as to charge a fair proportion of the cost in each accounting period during the Expected Useful Life of the Asset. Depreciation includes amortization”. This is the Accounting Standard (AS) – 6.

According to the Institute of Chartered Accounts of England, “Depreciation represents that part of the cost of a fixed asset to its owner which is not recoverable when the asset is finally out of use by him. Provision against this loss of capital is an integral cost of conducting the business during the effective commercial life of the asset and is not dependent on the amount of profit earned”.

A careful analysis of the definition throws light on its character and extends its coverage by inclusion of some more terms like obsolescence, depletion and amortization.

OBJECTIVE 2: CHARACTERISTIC FEATURES OF “DEPRECIATION”

First, we shall look into its characteristic features:

- “Loss of value of depreciable asset” is an important phrase in the definition that explodes its character. Loss of value means fall in value – book value is reduced (its cost minus depreciation) – such a fall or reduction or decrease in value of fixed assets may be termed as “Depreciation”.
- It is a fall or decrease in the book value of depreciable fixed assets.
- It is related to tangible fixed assets.
- The fall in book value of asset is due to constant use of such asset in business activities.
- The fall or loss of value or reduction in book value of tangible depreciable fixed assets is gradual, continuous and permanent.
- As the definition covers “depletion, obsolescence, amortization” – explanation of these terms will also throw some light – what depreciation means really.
- *Depletion*: This term is used in relation to natural resources like oil wells, deposits in mines, quarries and so on. It indicates exhaustion of natural resources. Such assets value will be reduced due to constant use and such reduction in the value of assets is referred to as “Depletion”.
- *Obsolescence*: This term refers to the decline in economic value of assets. This may be due to invention of new techniques or equipment, market decline, change in fashion, inadequacy of existing fixed asset to meet increased demand and so on.
- *Amortization*: This term refers to loss of economic value of intangible assets such as patents, trademarks, goodwill and copyrights. Some of them have limited period of life. So they have to be written off and removed from the list of assets. The process of writing off of intangible assets is called amortization.

OBJECTIVE 3: ACCOUNTING CONCEPT OF DEPRECIATION

According to American Institute of Certified Public Accountants. “Depreciation Accounting is a system of accounting which aims to distribute cost or the basic value of tangible capital assets loss salvage, if any,

over the estimated useful life of the unit (which may be group of assets) in a systematic and rational manner. It is a process of allocation and not of valuation.

- Depreciation accounting is the process of allocating the cost of the fixed tangible assets, less its salvage value over its serviceable life.
- Depreciation is an expense that is to be charged against the revenues of different years over the asset is to be used.
- It is immaterial whether the business makes profit or loss.
- The amount to be allocated each year should be systematic and rational.
- Depreciation accounting does not refer to the decline in value of current assets resulting from obsolescence.
- Depreciation is not the process of valuation, even if the market value of an asset increases, depreciation is to be recorded.

On the basis of above discussion (i.e., based on definition of depreciation and meaning of depreciation accounting) the following salient features come into light on “Depreciation.”

OBJECTIVE 4: SALIENT FEATURES

- Depreciation is gradual but continues fall in the book value of fixed assets.
- Depreciation is caused due to depletion, obsolescence and amortization of fixed assets.
- Depreciation is related to tangible fixed assets.
- Depreciation is not connected with current assets.
- Depreciation in accounting is a process of allocating the cost (as an expense) in each of the accounting period in which the asset is used.
- Depreciation has no relationship with the market value of assets.
- Depreciation cost is not an exact amount, it is to be estimated.
- Depreciation is a charge against the profits.
- Total depreciation cannot exceed its depreciable value (cost – scrap value) or original cost in case the scrap value is nil.

OBJECTIVE 5: THE CAUSES OF DEPRECIATION

The causes for the decline in the usefulness of asset may be due to physical and functional factors.

5.1 Physical Features

Physical loss of an asset is due to

- (i) *Wear and Tear*: When the fixed assets are put into constant use, due to wear and tear, they may be rendered useless in course of time. Wear and tear may be due to friction, breakage and corrosion.
- (ii) *Passage of time*: Assets are affected when they are exposed to forces of nature – wind, rain, snow, heat of the sun, etc. – and with the passage of time the value of asset may get diminished even if they are not put in use.
- (iii) At times, natural calamities like earthquake, tsunami and factors like fire, flood and events of accident may cause the decline in the value of assets.

5.2 Functional Factors

- (i) *Inadequacy*: It may not be able to match the demand – if the demand expands, its value is declined.
- (ii) *Obsolescence*: New inventions and technological advancement may be the cause of the decline.
- (iii) *Depletion*: Exhaustion of natural resources.
- (iv) Expiry of legal rights relating to copyright, patent, leases and so on. will also be a factor.

OBJECTIVE 6: NEED FOR DEPRECIATION

The need for charging a reasonable amount of depreciation arises for the following purpose or objectives.

- 1. True Results of Operations:** It is necessary to charge the depreciation against income in each accounting period. Otherwise, the result of operations will not be fair and true.
- 2. True and Fair View of Financial Position:** In the absence of depreciation charge, assets have to be shown at their original cost every year in the final accounts. In order to show true and fair final position, assets will have to be shown at cost less depreciation.
- 3. Proper Cost of the Product:** Depreciation forms part of production like other expenses. In the absence of depreciation charge, cost records may not reveal true account of cost of production. To ascertain the proper cost of the product, it is imperative to provide for prescribed depreciation.
- 4. Funds for Replacements of Assets:** A portion of profit is to be set aside in the form of depreciation every year which facilitates the task of replacement of assets at the end of its life. Without any additional financial burden, assets can be replaced in such accumulated depreciation provisions.
- 5. Legal Requirements:** Legal requirements can be complied with, (as in case of companies) by way of charging depreciation on assets.
- 6. Allocation of Cost of Fixed Assets:** The main objective of depreciation accounting is to allocate the cost of fixed asset to respective accounting periods which benefit from the use of the asset which can be achieved by charging depreciation.
- 7. Impact on Tax-Liability:** Rate of depreciation is influenced by the tax-laws and thereby helps the tax liability to a certain extent.

OBJECTIVE 7: FACTORS AFFECTING AMOUNT OF DEPRECIATION

The amount of annual depreciation is based on the following factors:

- 1. Historical Cost:** The cost includes all costs incurred in acquiring the depreciable fixed assets on its acquisition, installation and commissioning (e.g., invoice price, legal charges, freight, transport and so on.)
- 2. Estimated Useful Life:** This depends on the intensity of use, standard of maintenance and the replacement policy of the management.
- 3. Estimated Residual Value (Scrap Value) (Salvage Value):** The salvage value means the estimated amount that may be recovered on its sale or exchange for a new asset at the end of its useful service life.

OBJECTIVE 8: DEPRECIATION ON ASSETS

Following alternatives may be adopted to charge depreciation on assets purchased during the year:

Type	Period for which depreciation is to be charged
(A) If the rate of depreciation is expressed as ... % without the words of per annum (p.a.)	
(i) When date of purchase or sale is not given	Depreciation is to be calculated for the full accounting period
(ii) When date of purchase or sale is given	Depreciation is to be computed on the basis of time factor unless the examination problem requires otherwise

Type	Period for which depreciation is to be charged
(B) If the rate of depreciation ... % with the words p.a. is given (e.g. 12% p.a.)	
(i) If the date of the acquisition is given	(i) Depreciation is charged for the period beginning with the date acquisition and ending with the date of closing period
(ii) If the date of acquisition is NOT given	(ii) Assumption I: Assume that the asset was purchased in the beginning and charge the depreciation for a full year Assumption II: Assume that the asset was purchased in the middle of the year and charge the depreciation for half of the year Assumption III: Assume that the asset was purchased at the end of the accounting period and no depreciation is to be charged [Students are asked to put a note in any such case.]

OBJECTIVE 9: ACCOUNTING TREATMENT

Following are the two alternative methods of accounting entries for recording depreciation:

- By charging to asset account directly.
- By creating Provision for Depreciation/Accumulated Depreciation Account.

9.1 Method 1: By Charging to Asset Account Directly

This accounting procedure is applicable to all the methods of depreciation except Sinking Fund Method.

Under this method of recording depreciation, it is directly credited to the “respective asset account” with the result that the respective asset account appears in the Balance Sheet at its book value or cost value less depreciation for the accounting period.

9.2 Method 2: By Creating Provision for Depreciation

Under this method, the asset account is not at all affected by the depreciation amount. Asset appears in the books (Ledger and Balance Sheet) at its original cost until sold or discarded.

The amount stands in the credit side of the Provision for Depreciation Account depicts the total amount of depreciation accumulated to date. When the asset is sold, that accumulated amount in the Provision for Depreciation Account is transferred to the respective asset account and closed.

Difference between these two methods of accounting:

Directly Charged to Asset A/c	Provision for Depreciation
(1) The asset is shown in the Balance Sheet at its cost or book value less depreciation relating to that accounting period.	(1) The asset always appears at its original cost in the Ledger and the Balance Sheet.
(2) Total amount of depreciation cannot be ascertained from a single Balance Sheet.	(2) Total amount of depreciation written off up to date can be ascertained even from the last single Balance Sheet.
(3) It is difficult to assess, whether the asset is new or old or when purchased, in the absence of any accounting information.	(3) It is very easy to find out the age of asset with the help of cost of asset and accumulated depreciation.

Journal entries which will have to be passed under the method (charging direct to the asset):

1. To record the purchase of asset:

Asset A/c	Dr.
To Cash/Bank A/c	
(Being the Asset purchased.)	
2. To provide depreciation:

Depreciation A/c	Dr.
To Asset A/c	
(Being the depreciation provided.)	
3. To close depreciation account:

Profit and Loss A/c	Dr.
To Depreciation A/c	
(Being the Depreciation transferred to Profit and Loss A/c.)	
4. To record sale of asset:

Cash/Bank A/c	Dr.
To Asset A/c	
(Being the asset sold.)	
5. To record profit/loss on sale:
 - (i) in case of profit:

Asset A/c	Dr.
To Profit and Loss A/c	
(Being the transfer of profit on sale.)	
 - (ii) in case of loss:

Profit and Loss A/c	Dr.
To Asset A/c	
(Being the transfer of loss on sale.)	

OBJECTIVE 10: METHODS OF PROVIDING (ALLOCATING) DEPRECIATION

There are several methods of allocating depreciation. They are

- Straight Line Method
- Diminishing Balance Method
- Annuity Method
- Sinking Fund Method
- Insurance Policy Method
- Machine Hour Rate Method
- Units of Output or Production or Depletion Method
- Revaluation Method
- Sum-of-the-Years'-Digits Method
- Group Depreciation Method

The most commonly used methods are

- (1) Straight Line Method
- (2) Diminishing Balance Sheet

10.1 Straight Line Method: (or) Fixed (or) Equal Installment Method: Meaning, Formula, Merits, Demerits and Suitability

10.1.1 Meaning

Under this method:

- (i) a fixed and equal amount (in the form of depreciation)
- (ii) according to a fixed percentage on original cost
- (iii) is written off each accounting year
- (iv) over the expected useful life of the asset

Under this method, the depreciation charge is not affected by the extent of the use of the asset, its age or efficiency.

10.1.2 Formula

1. Amount of Depreciation = Original Cost – Residual value/Expected Useful Life of the Asset
2. Rate of Depreciation = Amount of Depreciation/Original Cost × 100

While applying the formula, the following hints will be of much use to the students:

- (a) Book Value (as on date of sale) = Original Cost – Total Depreciation (till date).
- (b) Profit = Sale Proceeds – Book Value (as on date of sale).
- (c) Loss = Book value (as on date of sale) – Sale Proceeds.
- (d) In case of an exchange of asset,
Sale price is the amount at which the vendor agrees to acquire the old asset (trade in allowance).
- (e) In case of destruction of an insured asset,
Sale price is the Claim admitted by the insurance company with the sale value if any.

10.1.3 Merits of this Method

1. It is easy to comprehend and recognize by AS-6.
2. It is easy to calculate the amount and rate of depreciation, and comparison is easy.
3. The book value of the asset becomes zero or equal to its scrap value at the expiry of its useful life.

10.1.4 Demerits

1. Total Charge – (Depreciation + Repairs + Renewals) does not commensurate with depreciation over the years. It is not in conformity with the age of the asset.
2. Interest on capital (invested in the asset) is ignored.
3. It does not provide for the replacement of the asset on the expiry of its useful life.

10.1.5 Applicability

This method can yield rich dividends for those assets which have less repair charge and less chances of obsolescence. This method is suitable for patent, copyright, trademark, lease and so on.

Model: Depreciation under Straight Line Method

Illustration: 1

Calculate the rate of depreciation under Straight Line Method:

Purchase Price of Machine	=	Rs 4,00,000
Expenses to be Capitalized	=	Rs 2,00,000
Estimated Residual Value	=	Rs 2,00,000
Expected Useful Life	=	5 years

Solution**Step 1:** Calculation of Total Cost of Asset

Remember Total Cost of Asset = Purchase Price + Expenses to be Capitalized
 = Rs 4,00,000 + Rs 2,00,000
 = Rs 6,00,000

Step 2: Calculation of amount of depreciation per year

Remember Amount of Depreciation
 = Total Cost of Asset – Estimated Scrap Value/Expected Useful Life
 = Rs 6,00,000 – Rs 2,00,000/5 years = Rs 4,00,000/5
 = Rs 80,000

Step 3: Calculation of Rate of Depreciation

Remember Rate of Depreciation = Amount of Depreciation/Total Cost of Asset × 100
 = Rs 80,000/ Rs 5,00,000 × 100 = 16%.

**Model: Calculation of amount of depreciation for the first year of purchase
if rate of depreciation is not given**

Illustration: 2

A machine is purchased for Rs 4,00,000. Expenses incurred on it Rs 1,00,000. The residual value at the end of its expected useful life of 4 years is estimated at Rs 2,00,000. Calculate the amount of depreciation for the first year ending on Mar 31, 2009 if it is purchased on:

- (a) Apr 1, 2008
- (b) July 1, 2008
- (c) Oct 1, 2008
- (d) Jan 1, 2009

Solution**Step 1:** Total cost of asset is to be calculated

(Total) Cost of Asset = Purchase Price + Expenses
 = Rs 4,00,000 + Rs 1,00,000
 = Rs 5,00,000

Step 2: Amount of depreciation per year is calculated

Amount of Depreciation per year
 = Total Cost of Asset – Estimated Residual Life/Expected Useful Life
 = Rs 5,00,000 – Rs 2,00,000/4 = Rs 75,000 per year

Step 3: Amount of depreciation for the first year of purchase**Case (a):** Date of purchase Apr 1, 2008

From Apr 1, 2008 to Mar 31, 2009: 12 months

∴ Amount of depreciation for 12 months, i.e. 1 year = Rs 75,000

(as per Step 2)

Case (b): Date of purchase: July 1, 2008

From July 1, 2008 to Mar 31, 2009 = 9 months

Amount of depreciation for 12 months = Rs 75,000

∴ Amount of depreciation for 9 months = Rs 75,000 × 9/12 = Rs 56,250

Case (c): Date of purchase = Oct 1, 2008

From Oct 1, 2008 to Mar 31, 2009 = 6 months

Amount of Depreciation for 6 months = $6/12 \times 75,000 = \text{Rs } 37,500$

Case (d): Date of purchase: Jan 1, 2009

From Jan 1, 2009 to Mar 31, 2009 = 3 months

Amount of Depreciation = $3/12 \times 75,000 = \text{Rs } 18,750$.

**Model: Calculation of Amount of Depreciation for the First Year of Purchase –
Rate of Depreciation is Given**

Illustration: 3

A machine is purchased for Rs 8,00,000. Expenses incurred on its cartage and installation Rs 1,00,000. Calculate the amount of depreciation @ 10% p.a. as per Straight Line Method for the first year ending on Mar 31, 2009, if the machine is purchased on

- (a) Apr 1, 2008
- (b) July 1, 2008
- (c) Oct 1, 2008
- (d) Jan 1, 2009

Solution

Step 1: Calculation of total cost of asset

Total Cost of Asset = Purchase Price + Expenses

= Rs 8,00,000 + Rs 1,00,000

= Rs 9,00,000

Step 2: Amount of depreciation

= Total Cost of Asset $\times$ Rate/100 $\times$ Period/12 months

Case (a): Purchase is on Apr 1, 2008

Period = from Apr 1, 2008 to Mar 31, 2009 = 12 months

Amount of depreciation for 12 months = $\text{Rs } 9,00,000 \times 10/100 \times 12/12$

= Rs 90,000

Case (b): Purchase is on July 1, 2008

Period = from July 1, 2008 to Mar 31, 2009 = 9 months

Amount of depreciation for 9 months = $\text{Rs } 9,00,000 \times 10/100 \times 9/12$

= Rs 67,500

Case (c): Purchase is on Oct 1, 2008

Period = From Oct 1, 2008 to Mar 31, 2009 = 6 months

$\therefore$ Amount of depreciation for 6 months = $\text{Rs } 9,00,000 \times 10/100 \times 6/12$

= Rs 45,000

Case (d): Purchase is on Jan 1, 2009

Period = From Jan 1, 2009 to Mar 31, 2009 = 3 months

Amount of depreciation for 3 months = $\text{Rs } 9,00,000 \times 10/100 \times 3/12$

= Rs 22,500

Model: Calculation of Profit/Loss on Sale of Asset

Illustration: 4

A company purchased a second-hand machine on Apr 1, 2007 for Rs 1,50,000 and spent Rs 50,000 on its repairs. Depreciation is to be provided @ 10% as per Straight Line Method. The machine was sold for Rs 1,00,000. Accounting year is financial year. Calculate the profit/loss on sale of machine, on Mar 31, 2009.

Solution

Step 1: Total Cost of Asset = Purchase Price + Expense
 = Rs 1,50,000 + Rs 50,000 = Rs 2,00,000

Step 2: Depreciation

Period = from Apr 1, 2007 to Mar 31, 2009 = 24 months

Amount of Depreciation for 24 months
 = Rs 2,00,000 $\times$ 10/100 $\times$ 24/12
 = Rs 40,000

Step 3: Book value as on date of sale

(Step 1 – Step 2) = Rs 2,00,000 – Rs 40,000
 = Rs 1,60,000

Step 4: Sale proceeds = Rs 1,00,000

Step 5: Book Value – Sale Proceeds

Rs 1,60,000 – Rs 1,00,000
 = Rs 60,000 (Profit)

Hence, profit on Sale = Rs 60,000.

Model: Passing Journal Entries and Preparation of Depreciation A/c and Machinery Account

Illustration: 5

On Apr 1, 2006 X Ltd purchased a second-hand machine for Rs 1,60,000 and spent Rs 40,000 on its cartage and installation. The residual value at the end of its expected useful life of 4 years is estimated at Rs 80,000. On Sep 30, 2008. This machine is sold for Rs 1,00,000. Depreciation is to be provided according to Straight Line Method.

You are required to pass Journal entries in the books of X Ltd and prepare Machinery Account and Depreciation Account for the first three years assuming that the accounts are closed on Mar 31, each year.

Solution

Stage I First, rate of depreciation is calculated

- 1: Total cost = Rs 1,60,000 + Rs 40,000 = Rs 2,00,000
- 2: Amount of Depreciation per year = Total Cost – Estimated Residual value/Expected Useful Life
 = Rs 2,00,000 – Rs 80,000/4 = Rs 30,000
- 3: Rate of Depreciation = Amount of Depreciation/Total Cost of Asset $\times$ 100
 = Rs 30,000/Rs 2,00,000 $\times$ 100 = 15%

Stage II Next, profit/loss on sale of asset is to be computed

	Rs
(i) Total Cost of Asset (Rs 1,60,000 + Rs 40,000)	2,00,000
(ii) Less: Depreciation from the date of purchase to date of sale (Rs 2,00,000 $\times$ 15/100 $\times$ 30/12)	<u>75,000</u>
(iii) Book value as on date of sale (i) – (ii)	1,25,000
(iv) Less: Sale proceeds	<u>1,00,000</u>
(v) Loss on Sale of Asset	<u>25,000</u>

Note: Depreciation for the period from Mar 31, 2008 to date of sale of asset Sep 30, 2008 has to be computed.

Amount of depreciation for the period from Apr 1, 2008 to Sep 30, 2008

i.e. for 6 months = Rs 2,00,000 $\times$ 15/100 $\times$ 6/12

= Rs 15,000

Stage III Passing of Journal entries in the books of X Ltd

Journal of X Ltd

Date	Particulars	L.F.	Dr. Rs	Cr. Rs
Apr 1, 2006	Machinery A/c Dr. To Bank Ac/ (Being the Machinery purchased.)		1,60,000	1,60,000
Apr 1, 2006	Machinery A/c Dr. To Bank A/c (Being the amount spent on cartage etc.)		40,000	40,000
Mar 31, 2007 (Ref. Stage I)	Depreciation A/c Dr. To Machinery A/c (Being depreciation provided.)		30,000	30,000
Mar 31, 2007	Profit and Loss A/c Dr. To Depreciation A/c (Being depreciation A/c transferred.)		30,000	30,000
Mar 31, 2008	Depreciation A/c Dr. To Machinery A/c (Being depreciation provided.)		30,000	30,000
Mar 31, 2008	Profit and Loss A/c Dr. To Depreciation A/c (Being depreciation A/c transferred.)		30,000	30,000
Sep 30, 2008 (* Ref. Note)	Depreciation A/c Dr. To Machinery A/c (Being depreciation upto sale of Asset.)		15,000	15,000
Sep 30, 2008	Bank A/c Dr. To Machinery A/c (Being the machinery sold.)		1,00,000	1,00,000
*Sep 30, 2008 (Ref. Stage II)	Profit and Loss A/c Dr. To Depreciation A/c (Being the transfer on loss of Machinery.)		25,000	25,000
Mar 31, 2009	Profit and Loss A/c Dr. To Depreciation A/c (Being depreciation A/c transferred.)		15,000	15,000

Machinery Account**Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Apr 1, 2006	To Bank A/c To Bank A/c (Expenses)	1,60,000 40,000 <u>2,00,000</u>	Mar 31, 2007	By Depreciation A/c (Rs 2,00,000 × 15/100 × 12/12) By Balance c/d	30,000 <u>1,70,000</u> <u>2,00,000</u>
Apr 1, 2007	To Balance b/d	1,70,000 <u>1,70,000</u>	Mar 31, 2008	By Depreciation A/c (for 12 months) By Balance c/d	30,000 <u>1,40,000</u> <u>1,70,000</u>
Apr 1, 2008	To Balance b/d	1,40,000 <u>1,40,000</u>	Sep 30, 2008	By Depreciation A/c (for 6 months) By Bank A/c (sale) By Profit and Loss A/c (Loss)	15,000 1,00,000 <u>25,000</u> <u>1,40,000</u>

Depreciation Account

Date	Particulars	Rs	Date	Particulars	Rs
Mar 31, 2007	To Machinery A/c	30,000	Mar 31, 2007	By Profit and Loss A/c	30,000
Mar 31, 2008	To Machinery A/c	30,000	Mar 31, 2008	By Profit and Loss A/c	30,000
Sep 30, 2008	To Machinery A/c	15,000	Sep 30, 2008	By Profit and Loss A/c	15,000

10.2 Written Down Value Method (or) Diminishing Balance Method (or) Reducing Balance Method: Meaning, Formula, Merit, Demerit and Suitability**10.2.1 Meaning**

The depreciation is calculated on the reducing balance (Asset Cost Less Depreciation) and not on original cost. Under this method, a fixed rate (percentage) is applied to the original cost in the first year and to the book value in subsequent years. The book value of the asset means the balance of asset cost but not yet depreciated. The depreciation is deducted from the cost of the asset and the balance is termed as Written Down Value (WDV). In the next year, the fixed rate is applied to the WDV and not to the original cost. Under this method, the rate of depreciation remains the same but the amount of depreciation goes down decreasing.

The WDV at the end of the estimated useful life of the asset will equal the estimated salvage value.

10.2.2 Formula: Rate of Depreciation (WDV Method)

$$R = \left[1 - \sqrt[n]{\frac{S}{C}} \right] \times 100$$

R = Rate of depreciation in %

N = Useful life of the asset

S = Scrap value at the end of useful life of the asset

C = Cost of the Asset.

10.2.3 Merits

1. Higher depreciation, charged in the earlier years of the asset (i.e., the machine in the most efficient condition result in increased production) is in conformity with larger revenues, is a practical approach.

2. The obsolescence view is looked into as major part of depreciation is charged in the earlier years and in the end there will not be much difficult to replace assets.
3. In later years, any machinery warrants higher maintenance and repair expenses and lower depreciation charge in later years ease the financial burden of the companies.
4. As the asset will never be written off completely, the management can keep a track on the asset.
5. All items, including additions are added together and depreciated on the same rate. As such recalculation need not be done.
6. This method is recognized by AS-6 and recognized by tax authorities.

10.2.4 Demerits

1. Under this method, the formula is a complicated one and more mathematical competence is needed.
2. Interest on the amount invested in assets is ignored.
3. It takes much time (i.e., more years) to write off the assets completely. As such early replacement of asset is not possible.
4. Assets having a very short useful life, may affect the profit results, as (charged) depreciation rate is high in the earlier years.
5. This method is neither based on the use of the asset nor distributed evenly throughout the useful life of the asset.

10.2.5 Suitability

This method is suitable where

1. The amount of repair/renewable charges are high in later years.
2. Obsolescence is more frequent.

10.2.6 Distinction Between Straight Line Method and Written Down Value Method

Points of Distinction	Straight Line Method (SLM)	Written Down Value Method (WDV)
1. Basis	Depreciation is charged at a fixed rate on the original cost of the asset.	Depreciation is charged at a fixed rate on original cost in the first year and on the WDV (Cost – Total Depreciation) in the subsequent years.
2. Amount of Depreciation	The amount of depreciation remains constant (same) throughout the life of asset.	The amount of depreciation goes on decreasing from year to year.
3. Effect on Net Profit	Net Profit will be affected in later years since the maintenance charges may increase, depreciation being the same amount.	Net Profit will not be affected in later years since the depreciation amount decreases.
4. Formula and Calculation	Easy to calculate depreciation as the formula is simple.	Difficult to compute depreciation, as the formula requires mathematical skill.
5. Book Value	At the end of useful life of the asset, book value is nil or equal to scrap value.	The book value will never be zero or equal to scrap value.
6. Suitability	Suitable where (i) repair charges are less (ii) obsolescence is less.	Suitable where (i) repair charges are high (ii) obsolescence is more frequent.
7. Tax Authority's Recognition	This method is not recognised by Income Tax Authorities	This method is recognised by Income Tax Authorities

Illustration: 6

A machine was purchased on Apr 1, 2007 for Rs 50,000. The cost of installation and other expenses are Rs 3,000. Its scrap value at the end of its useful life will be Rs 5,000. Write up the Machine Account for the first two years under (i) WDV Method and (2) SLM charging 20% depreciation, assuming financial year is followed:

Solution

First, under SLM, amount of depreciation for a year (12 months) is calculated.

$$\begin{aligned}
 \text{Annual Depreciation} &= \text{Total Cost} - \text{Scrap value} / \text{Useful Life of Asset} \\
 &= \text{Rs } 50,000 + \text{Rs } 3,000 - \text{Rs } 5,000 \\
 &= \text{Rs } 48,000 \times 20/100 \times 12/12 \\
 &= \text{Rs } 9,600
 \end{aligned}$$

Machinery Account
(Under Straight Line Method)

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Apr 1, 2007	To Bank A/c	53,000	Mar 31, 2008	By Depreciation A/c	9,600
	To Bank A/c	53,000		By Balance c/d	43,400
					53,000
Apr 1, 2009		43,400	Mar 31, 2009	By Depreciation A/c	9,600
				By Balance c/d	33,800
		43,400			43,400

Machinery Account
(Diminishing Balance Method)

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Apr 1, 2007	To Bank Account	53,000	Mar 31, 2008	By Depreciation A/c (20% on 53,000)	10,600
		53,000		By Balance c/d	42,400
					53,000
Apr 1, 2008	To Balance b/d	42,400	Mar 31, 2009	By Depreciation on A/c (20% on 42,400)	8,480
				By Balance c/d	23,920
		42,400			42,400

Now, the differences between these two methods can be easily understood.

1. The depreciation is charged on the original cost of the asset under Straight Line Method, whereas under WDV Method, even though it is charged on the original cost in the first year, in the subsequent years it is charged at WDV (Cost less Depreciation).
2. The amount of depreciation remains the same, i.e. Rs 9,600 for every year under SLM, whereas it varies and decreases, i.e. Rs 10,600 in the first year and Rs 8,480 in the second year.
3. Further the amount of depreciation is high in the first under WDV is Rs 10,600 compared to Rs 9,600 under SLM.

4. Amount of depreciation is less even lesser than under SLM, i.e. Rs 8,480 under WDV Method, whereas it is Rs 9,600 under SLM.

The differences between these two methods can be illustrated in a better way as follows:

Illustration: 7

M/s Renu Sugars Ltd purchased a machine costing Rs 50,000 on Jan 1, 2004. The depreciation is to be charged @ 20% p.a. Write up the Machine Account for five years ending on Dec 31, 2008 under Straight Line Method and WDV Method:

Solution

Machine Account							
Dr.				Cr.			
Date	Particulars	SLM Rs	WDV Rs	Date	Particulars	SLM Rs	WDV Rs
Jan 1, 2004	To Bank A/c	50,000	50,000	Dec 31, 2004	By Depreciation	10,000	10,000
					By Balance c/d	40,000	40,000
		<u>50,000</u>	<u>50,000</u>			<u>50,000</u>	<u>50,000</u>
Jan 1, 2005	To Balance b/d	40,000	40,000	Dec 31, 2005	By Depreciation	10,000	8,000
					By Balance c/d	30,000	32,000
		<u>40,000</u>	<u>40,000</u>			<u>40,000</u>	<u>40,000</u>
Jan 1, 2006	To Balance b/d	30,000	32,000	Dec 31, 2006	By Depreciation	10,000	6,400
					By Balance c/d	20,000	25,600
		<u>30,000</u>	<u>32,000</u>			<u>30,000</u>	<u>32,000</u>
Jan 1, 2007	To Balance b/d	20,000	25,600	Dec 31, 2007	By Depreciation	10,000	5,120
					By Balance c/d	10,000	20,480
		<u>20,000</u>	<u>25,600</u>			<u>20,000</u>	<u>25,600</u>
Jan 1, 2008	To Balance b/d	10,000	20,480	Dec 31, 2008	By Depreciation	10,000	4,096
					By Balance c/d	—	16,384
		<u>10,000</u>	<u>20,480</u>			<u>10,000</u>	<u>20,480</u>

Purchase of Assets (or Additions) and Depreciation

Illustration: 8

From the following information of Vas Ltd prepare Machinery Account for three years ending Mar 31, 2009, by providing depreciation @ 20% p.a. under Straight Line Method

Date	Transactions	Rs
Apr 1, 2006	Purchased a second hand machinery I	1,20,000
Apr 1, 2006	Repairs on it	30,000
Oct 1, 2006	Purchased a new machinery II	3,00,000
Apr 1, 2007	Spent repairs on machine II	3,000
Sep 30, 2008	Sold machinery I	67,500
Sep 30, 2008	Purchased a new machinery III	4,50,000

Solution**Step 1:** Profit or Loss on Sale of Asset is calculated

	Rs
1. Total Cost of Asset (Rs 1,20,000 + Rs 30,000)	1,50,000
2. Less: Depreciation on I from date of purchase to date of sale (Rs 1,50,000 $\times$ 20/100 $\times$ 30/12)	<u>75,000</u>
3. Book value as on date of sale (1–2)	75,000
4. Less: Sale proceeds of Machine I	<u>67,500</u>
5. Loss on sale (3–4)	7,500

Step 2**Machinery Account**

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Apr 1, 2006	To Bank A/c (Machine I)	1,20,000	Mar 31, 2007	By Depreciation A/c: Machinery I	30,000
Apr 1, 2006	To Bank A/c (Expenses)	30,000		Machinery II	30,000
Apr 1, 2006	To Bank A/c (Machine II)	3,00,000		By Balance c/d Machine I (Rs 1,20,000 + 30,000 – 30,000)	1,20,000
				Machinery II (Rs 3,00,000 – 30,000)	<u>2,70,000</u>
		<u>4,50,000</u>			<u>4,50,000</u>
Apr 1, 2007	To Balance b/d Machinery I	1,20,000	Mar 31, 2008	By Depreciation A/c: Machinery I	30,000
	Machinery II	2,70,000		Machinery II	60,000
				By Balance c/d Machinery I	90,000
		<u>3,90,000</u>		Machinery II	<u>2,10,000</u>
					<u>3,90,000</u>
Apr 1, 2008	To Balance b/d Machinery I	90,000	Sep 30, 2008	By Depreciation A/c: Machinery I (Rs 1,50,000 $\times$ 20/100 $\times$ 6/12) (Apr 1, 2008 to Sep 30, 2008 = 6 months)	15,000
	Machinery II	2,10,000		By Bank A/c (Sale of Machinery I)	67,500
				*By Profit and Loss A/c (refer Stage I: Loss)	7,500
Sep 30, 2009	To Bank A/c (Machinery II)	4,50,000	Mar 31, 2009	By Depreciation A/c: Machinery II	60,000
				Machinery III (Sep 30, 2008 to Mar 31, 2009: 6 months)	45,000
				By Balance c/d Machinery I	1,50,000
		<u>7,50,000</u>		Machinery II	<u>4,05,000</u>
					<u>7,50,000</u>

Illustration: 9

From the following information of Ra & Co Ltd, prepare Machinery Account for three years ending Mar 31, 2009 by charging depreciation @ 20% p.a. applying WDV Method.

Date	Transaction	Rs
Apr 1, 2006	Purchased a second hand machine I	1,20,000
Apr 1, 2006	Spent for repairs	30,000
Oct 1, 2006	Purchased a new machine II	3,00,000
Apr 1, 2007	Spent for repairs on new machine II	3,000
Sep 30, 2008	Sold machine I	67,500
Sep 30, 2008	Purchased a new machine III	4,50,000

Illustration figures are the same as that of the previous illustration but the Method of Deprecation differs here.

Solution

Step 1: Calculation of Profit/Loss on Sale of Machine:

	Rs
1. Total Cost of Asset (Rs 1,20,000 + Rs 30,000)	1,50,000
2. Less: Depreciation for 2006–2007 (20% of Rs 1,50,000)	<u>30,000</u>
3. Book value as on Apr 1, 2007 (1–2)	1,20,000
4. Less: Depreciation for 2007–2008 (20% of Rs 1,20,000)	<u>24,000</u>
5. Book value as on Apr 1, 2008 (3–4)	96,000
6. Less: Depreciation upto date of sale from Apr 1, 2008 to Sep 30, 2008: 6 months 20% of Rs 96,000 for 6/12	<u>9,600</u>
7. Book value (6–7) as on Sep 30, 2008	<u>86,400</u>
8. Less: Sale proceeds	<u>67,500</u>
9. Loss on Sale (7–8)	<u>18,900</u>

Step 2**Preparation of Machinery Account**

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Apr 1, 2006	To bank A/c (Machine I)	1,20,000	Mar 31, 2007	By Depreciation A/c	
	To Bank A/c (Expenses)	30,000		Machine I	30,000
Oct 1, 2006	To Bank A/c (Machine II)	3,00,000		Machine II	30,000
				By Balance c/d:	
				Machine I	1,20,000
				Machine II	<u>2,70,000</u>
		<u>4,50,000</u>			<u>4,50,000</u>

Dr.**Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Apr 1, 2007	To Balance b/d Machine I Machine II	1,20,000 2,70,000	Mar 31, 2008	By Depreciation A/c Machine I Machine II By Balance c/d: Machine I Machine II	24,000 54,000 96,000 2,16,000
		<u>3,90,000</u>			<u>3,90,000</u>
Apr 1, 2008	To Balance b/d Machine I Machine II	96,000 2,16,000	Sep 30, 2008	By Depreciation A/c Machine I (from Apr 1, 2008 to Sep 30, 2008)	9,600
			Sep 30, 2008	By Bank A/c (sale proceeds) *By Profit and Loss A/c (Loss: refer Step 1)	67,500 10,900
Sep 30, 2008	To Bank A/c Machine III	4,50,000	Sep 30, 2008	By Depreciation A/c Machine II (20% of Rs 2,16,000) Machine III (20% of Rs 4,50,000) for 6 months	43,200 45,000
		<u>7,62,000</u>	Mar 31, 2009	By Balance c/d: Machine II Machine III	1,72,800 4,05,000
					<u>7,62,000</u>

Important Note: Amount spent on repairs on Apr 1, 2007 is of revenue nature and as such it is not debited to Machinery Account.

Note: There exists no difference in recording Journal entries under WDV. The procedure and accounting entries are similar to that of the procedure adopted under Straight Line Method.

Journal entries are same under both methods (i.e., Straight Line Method and Diminishing Value Method (WDV).

So this part is not repeated here.

Illustration: 10

On July 1, 2005, Shree Ltd purchased a second-hand machinery for Rs 40,000 and spent Rs 6,000 on re-conditioning and installing it. On Jan 1, 2006, the firm purchased machinery worth Rs 24,000. On June 30, 2007, (the machinery purchased on Jan 1, 2006) was sold for Rs 16,000. On July 1, 2007, another new machinery was purchased on installment basis, payment for which was to be made as follows:

June 30, 2008	Rs 10,000
July 1, 2008	Rs 12,000
June 30, 2009	Rs 11,000

Payments in 2008 and 2009 include interest of Rs 2,000 and Rs 1,000 respectively.

The company writes off depreciation @ 10% on original cost. The accounts are closed every year on Mar 31. Show the Machinery Account for three years ending Mar 31, 2008.

[B.Com (Hons) – Modified]

Solution

Note: As there is no specific instruction regarding the method of depreciation, Straight Line Method is followed.

Calculation of Depreciation: In order to avoid confusion, let the machinery purchased on July 1, 2005 be noted as Machine I (assumption), and the one purchased on Jan 1, 2006 as Machine II, and the other one purchased on July 1, 2007 as Machine III – for easy calculation of depreciation.

Step 1: For the year 2005–2006 (Apr 1, 2005 to Mar 31, 2006)

(i) Date of purchase July 1, 2005: Machine I	Rs 40,000
Add: Expenses	<u>Rs 6,000</u>
	<u>Rs 46,000</u>

From July 1, 2005 to Mar 31, 2006: 9 months

∴ Depreciation on Machine I = $\text{Rs } 46,000 \times 10/100 \times 9/12 = \text{Rs } 3,450$

(ii) Machine II was purchased on Jan 1, 2006 = Rs 24,000

From Jan 1, 2006 to Mar 31, 2006 = 3 months

∴ Depreciation on Machine II = $\text{Rs } 24,000 \times 10/100 \times 3/12 = \text{Rs } 600$

Step 2: For the year 2006–2007 (From Apr 1, 2006 to Mar 31, 2007)

Note: There is no addition (purchase) or sale during this period. So depreciation has to be computed for 1 year for both the machines.

(i) Depreciation for Machine I
 $\text{Rs } 46,000 \times 10/100 \times 12/12 = \text{Rs } 4,600$

(ii) Depreciation for Machine II
 $\text{Rs } 24,000 \times 10/100 \times 12/12 = \text{Rs } 2,400$

Step 3: For the year 2007–2008 (from Apr 1, 2007 to Mar 31, 2008)

(i) Depreciation for Machine II
 This was sold on June 30, 2007
 Depreciation for the period, i.e. from Apr 1, 2007 to June 30, 2007
 ∴ Depreciation = $\text{Rs } 24,000 \times 10/100 \times 3/12 = \text{Rs } 600$

(ii) Depreciation for Machine I
 (This means for a year.)
 ∴ Depreciation = $\text{Rs } 46,000 \times 10/100 \times 12/12 = \text{Rs } 4,600$

(iii) On July 1, 2007, Machine III was purchased
 Depreciation for the period from July 1, 2007 to Mar 31, 2008
 = $\text{Rs } 33,000 \times 10/100 \times 9/12$
 = Rs 2,475

Step 4: Note: Interest is not to be added to the cost of asset for depreciation calculation. At this stage, profit or loss on sale of machinery has to be computed.

	Rs
1. Original cost (as on date of purchase Jan 1, 2006)	24,000
2. Less: Depreciation for this (Machine II)	
(Rs 24,000 × 10/100 × 3/12) + Rs 2,400 + Rs 600	
(2006–07) (2005–06)	<u>3,600</u>
3. Book value (1–2) as on date of sale (June 30, 2007)	20,400

4. Less: Sale proceeds	16,000
5. Loss (3–4)	<u>4,400</u>

Hence, there is a loss of Rs 4,400 on the sale of Machine II.

Step 5: Now all these figures have to be transferred to “Machinery Account” which has to be prepared as follows:

Machinery Account					
Dr.					Cr.
Date	Particulars	Rs	Date	Particulars	Rs
July 1, 2005	To Bank A/c (Purchase)	40,000	Mar 31, 2006	By Depreciation A/c Machine I	3,450
	To Bank (Expenses)	6,000		Machine II	600
Jan 1, 2006	To Bank A/c (Purchase of Machinery:2)	24,000		(refer Step 1)	
		<u>70,000</u>	Mar 31, 2006	By Balance c/d	<u>65,950</u>
					<u>70,000</u>
Apr 1, 2006	To Balance b/d	65,950	Mar 31, 2007	By Depreciation A/c Machine I	4,600
				Machine II	2,400
		<u>65,950</u>		(refer Step 2)	
				By Balance c/d	<u>58,950</u>
					<u>65,950</u>
Apr 1, 2007	To Balance b/d	58,950	June 30, 2007	By Depreciation A/c Machine II	600
July 1, 2007	To Hire Vendor's A/c (Machinery purchased under installment system)	33,000		[refer Step 3 (i)]	
			June 30, 2007	By Bank A/c Machine II = sold	16,000
			June 30, 2007	By Profit and Loss A/c (loss on sale)	4,400
				(refer Step 4)	
			Mar 31, 2008	By Depreciation A/c Machine I	4,600
				Machine III	2,475
				(refer Step 3)	
		<u>91,950</u>	Mar 31, 2008	By Balance c/d	<u>63,875</u>
					<u>91,950</u>

Important Note: Machine is brought under Hire-Purchases Scheme, payment by installment spreads over a number of years. But total cost (i.e., sum of all the installments) has to be taken into account for computing depreciation and at the same time excluding interest amount as already noted.

Illustration: 11

On Apr 1, 2006, Siva Ltd agreed to purchase a machine on hire-purchase basis from Dev Ltd. The cash price of the machine was Rs 6,00,000. The company was required to pay Rs 3,00,000 down and the balance

in three annual installments of Rs 1,00,000 each plus interest @ 12% per annum. First installment was paid on Mar 31, 2007. Show Machine Account for all the three years in the books of Siva Ltd, which depreciated machine @ 15% per annum using Diminishing Balance Method. Assume the books of accounts are closed every year on Mar 31.

(C.S. Foundation – Modified)

Solution

Note: Asset is bought under hire purchase system and payment is made in installments. For calculating depreciation, installment is ignored and the total, i.e. cash price has to be taken into account. Interest need not be added to the cost of the asset.

Machinery Account					
Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Apr 1, 2006	To Dev Ltd A/c (Purchase of Machine)	6,00,000	Mar 31, 2007	By Depreciation A/c: (6,00,000 × 15/100 × 12/12)	90,000
			Mar 31, 2007	By Balance b/d	5,10,000
		<u>6,00,000</u>			<u>6,00,000</u>
Apr 1, 2007	To Balance b/d	5,10,000	Mar 31, 2008	By Depreciation A/c: (5,10,000 × 15/100 × 12/12)	76,500
			Mar 31, 2008	By Balance c/d	4,33,500
		<u>5,10,000</u>			<u>5,10,000</u>
Apr 1, 2008	To Balance b/d	4,33,500	Mar 31, 2009	By Depreciation A/c: (4,33,500 × 15/100 × 12/12)	65,025
			Mar 31, 2009	By Balance c/d	3,68,475
		<u>4,33,500</u>			<u>4,33,500</u>
Apr 1, 2009	To Balance b/d	3,68,475			

Illustration: 12

On Jan 1, 2005, a machine was purchased by Vasu Dev for Rs 60,000. On July 1, 2006 additions were made to the extent of Rs 12,000. On Apr 1, 2007, further additions were made to the extent of Rs 7,680. On June 30, 2008, a machine, the original value of which was Rs 9,600 on Jan 1, 2005, was sold for Rs 7,200. He closed books on Dec 31 every year.

Show the Machine Account for four years from 2005 to 2008 in the books of Vasu Dev, if depreciation is charged @ 10% under Original Cost Method.

B. Com (Hons) – Modified

Solution

Depreciation has to be calculated by Straight Line Method calculation.

Step 1: For the year 2005 (Jan 1, 2005 to Dec 31, 2005) that machine remains throughout the year

$$\therefore \text{Depreciation} = \text{Rs } 60,000 \times 10/100 \times 12/12 = \text{Rs } 6,000$$

Step 2: For the year 2006: (From Jan 1, 2006 to Dec 31, 2006):

Before addition:	Rs
Depreciation = Rs 60,000 × 10/100 × 12/100	6,000
Addition on July 1, 2006 = (From July 1, 2006 to Dec 31, 2006)	
Depreciation = Rs 12,000 × 10/100 × 6/12	<u>600</u>
Total Depreciation for the year 2006	<u>6,000</u>

Step 3: For the year 2007:

Before addition: (for 1 year)	Rs
(i) Depreciation = Rs 60,000 × 10/100 × 12/12	6,000
(ii) Depreciation = Rs 12,000 × 10/100 × 12/12	1,200
Addition on Apr 1, 2007 (from Apr 1, 2007 to Dec 31, 2008)	
(iii) Depreciation = Rs 7,680 × 10/100 × 9/12	<u>576</u>
Total Depreciation for the year 2007	<u>7,776</u>

Step 4: For the year 2008:

(i) Sale on June 30, 2008 = (June 30, 2008 to Dec 31, 2008)	Rs
Rs 9,600 × 10/100 × 6/12	480
(ii) Balance (60,000 – 9,600) = 50,400 × 10/100 × 12/12	5,040
10% on Rs 12,000 machine for 1 year	1,200
10% on Rs 7,680 machine for 1 year	<u>768</u>
	<u>7,008</u>

Step 5: Calculation of profit/loss on sale of machine:

	Rs
1. Cost of machine sold on June 30, 2008	9,600
2. Loss: Depreciation for 2005	<u>960</u>
3. Book value on Dec 31, 2005	8,640
4. Less: Depreciation for 2006	<u>960</u>
5. Book value on Dec 31, 2006	7,680
As Straight Line Method applied no change occurs in depreciation value	
6. Less: Depreciation for 2007	<u>960</u>
7. Book value on Dec 31, 2007	6,720
8. Less: Depreciation upto June 30, 2008 only	<u>480</u>
9. Book value on the date of sale	6,240
10. Sale value on the date of sale	<u>7,200</u>
11. Profit (10 – 9) (Rs 7,200 – Rs 6,240)	<u>960</u>

Step 6: Preparation of Machinery Account:

Machinery Account					
Dr.					Cr.
Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2005	To Bank A/c	60,000	Dec 31, 2005	By Depreciation A/c (refer Step 1)	6,000
				By Balance c/d	<u>54,000</u>
		<u>60,000</u>			<u>60,000</u>

Dr.**Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2006	To Balance b/d	54,000	Dec 31, 2006	By Depreciation A/c (refer Step 2)	6,600
July 1, 2006	To Bank A/c	12,000	Dec 31, 2006	By Balance c/d	59,400
		<u>66,000</u>			<u>66,000</u>
Jan 1, 2007	To Balance b/d	59,400	Dec 31, 2007	By Depreciation A/c (refer Step 3)	7,776
Apr 1, 2007	To Bank A/c	7,680		By Balance c/d	59,304
		<u>67,080</u>			<u>67,080</u>
Jan 1, 2008	To Balance b/d	59,304	June 30, 2008	By Bank (Machine sold)	7,200
June 30, 2008	To Profit and Loss A/c (Profit: Refer Step 5)	960		By Depreciation (for sold Machine) [refer Step 4 (i)]	480
			Dec 31, 2008	By Depreciation A/c [refer Step 4 (ii)]	7,008
		<u>60,264</u>	Dec 31, 2008	By Balance c/d	45,576
					<u>60,264</u>

10.3 Provision for Depreciation/Accumulated Depreciation: Passing of Entries and Preparation of Accounts

Under this method of recording depreciation, depreciation is to be credited to Provision for Depreciation Account.

As a result, the asset account is not affected by the amount of depreciation. The respective asset appears in the books (Ledger and Balance Sheet) at its original cost value. However, the amount in the credit side of the Provision for Depreciation Account shows the total amount of depreciation accumulated to date (till sold or discarded).

Journal entries to be passed are:

- To Provide Depreciation
Depreciation A/c Dr.
 To Provision for Depreciation A/c
- To Close Depreciation Account:
Profit and Loss A/c
 To Depreciation A/c
- Disposal of the (respective) Asset:
 - For transfer of original cost of asset disposed off
Asset Disposal A/c Dr.
 To Asset A/c
 - For transfer of accumulated depreciation
on asset disposed off
Provision for Depreciation A/c Dr.
 To Asset Disposal A/c
 - For Sale proceeds:
Cash/Bank A/c Dr.
 To Asset Disposal A/c

(iv) For transfer of balance in Asset Disposal Account:

(a) When Profit:

Asset Disposal A/c	Dr.
To Profit and Loss A/c	

(b) When Loss:

Profit and Loss A/c	Dr.
To Asset Disposal A/c	

Illustration: 13

On Jan 1, 2006, Raj Ltd purchased a machinery for Rs 6,000,000. On July 1, 2008, a part of the machinery purchased on Jan 1, 2006 for Rs 40,000 was sold for Rs 22,500 and a new machinery at a cost of Rs 79,000 was purchased. The company has adopted the method of providing 1% p.a. depreciation on the original cost of the machinery. Prepare the necessary ledger accounts – Provision for Depreciation Account is maintained.

Solution

Step 1: Profit/loss on sale of machinery is to be calculated:

	Rs
1. Cost of Machinery (as on Jan 1, 2006)	40,000
2. Less: Depreciation for the period from Jan 1, 2006 to July 1, 2008: 30 months $\text{Rs } 40,000 \times 10/100 \times 30/12$	<u>10,000</u>
3. Book value as on July 1, 2008 (1 – 2)	30,000
4. Less: Sale proceeds	<u>22,500</u>
5. Loss on Sale (3 – 4)	<u>7,500</u>

Step 2: Calculation of depreciation on machines (other than sold)

	Rs
1. On Machine I (Rs 6,00,000 – Rs 40,000) (Purchased) (Sold)	5,60,000
Depreciation for 1 year: $\text{Rs } 5,60,000 \times 10/100$	56,000
2. On new Machine II: Period from July 1, 2008 to Dec 31, 2008: 6 months Depreciation $\text{Rs } 79,000 \times 10/100 \times 6/12$	<u>3,950</u>
Total (for 2008)	<u>59,950</u>

Step 3

Machinery Account

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2006	To Bank A/c	<u>6,00,000</u>	Dec 31, 2006	By Balance c/d	<u>6,00,000</u>
Jan 1, 2007	To Balance b/d	<u>6,00,000</u>	Dec 31, 2007	By Balance c/d	<u>6,00,000</u>
Jan 1, 2008	To Balance b/d	6,00,000	July 1, 2008	By Machinery	40,000
July 1, 2008	To Bank A/c	79,000	Dec 31, 2008	Disposal Account	<u>6,39,000</u>
		<u>6,79,000</u>		By Balance c/d	<u>6,79,000</u>

Step 4**Provision for Depreciation Account**

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Dec 31, 2006	To Balance c/d	60,000	Dec 31, 2006	By Depreciation A/c	60,000
Dec 31, 2007	To Balance c/d	1,20,000	Jan 1, 2007	By Balance b/d	60,000
		<u>1,20,000</u>	Dec 31, 2007	By Depreciation A/c	60,000
					<u>1,20,000</u>
July 1, 2008	To Machinery Disposal A/c	10,000	Jan 1, 2008	By Balance b/d	1,20,000
Dec 31, 2008	To Balance c/d	2,71,950	July 1, 2008	By Depreciation A/c	2,000
			Dec 31, 2008	By Depreciation A/c (refer Step 2)	59,950
		<u>2,81,950</u>			<u>2,81,950</u>

Step 5**Machinery Disposal Account**

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
July 1, 2008	To Machinery A/c	40,000	July 1, 2008	By Provision for Depreciation A/c	10,000
				By Bank A/c	22,500
				By Profit and Loss A/c (Profit refer Step 1)	7,500
		<u>40,000</u>			<u>40,000</u>

10.4 Procedure for Change in the Method of Depreciation

Accounting Standard–6 of ICAI stipulates that the depreciation method selected should be applied consistently. It has to facilitate easy comparison of results of operation from period to period. AS–6 (Revised) permits change of method only from the back date (retrospectively) on existing machines.

In order to comply with any statutory requirements or Accounting Standards of ICAI, change from one method of depreciation to another method can be adopted.

In case, a change in the method of depreciation is needed, depreciation must be “Recalculated” from the date of asset coming into use.

Due to recalculation, Surplus (Excess) or Deficiency (Shortage) may be the outcome. Surplus is to be credited to Profit and Loss A/c (or Depreciation A/c) and Deficiency is to be debited to Profit and Loss A/c (or Depreciation).

This can be explained with the help of the following illustration.

Illustration: 14

On Jan 1, 2005 X Ltd purchased machinery costing Rs 75,000 and provided depreciation @ 10% p.a. on Straight Line Method basis. At the end of 2009, the company decided to change the method of depreciation from Straight Line Method to Diminishing Value Method, retrospectively, the rate of depreciation remains unchanged. Prepare the Machinery Account upto the year 2008.

Solution**Step 1:** Calculation of total depreciation under old method:

Period from Jan 1, 2005 to Dec 31, 2008: 36 months (3 years)	Rs
Depreciation = Rs 75,000 $\times$ 10/100 $\times$ 36/12	22,500
*1. Total depreciation under Straight Line Method	18,000

Step 2: Calculation of total depreciation under new method:
(Diminishing Value Method)

1. Cost of Machinery as on Jan 1, 2005	75,000
2. Less: Depreciation for 1 year (2005)	<u>7,500</u>
(Rs 75,000 $\times$ 10/100 $\times$ 12/12)	67,500
3. Book value on Jan 1, 2006	
4. Less: Depreciation for 1 year (2006)	
(Rs 67,500 $\times$ 10/100 $\times$ 12/12)	<u>6,750</u>
5. Book value on Jan 1, 2007	60,750
6. Less: Depreciation for 1 year (2007)	
(Rs 60,750 $\times$ 10/100 $\times$ 12/12)	<u>6,075</u>
7. Book value on Jan 1, 2008	<u>54,675</u>
*2. Total depreciation under new method	
(Rs 7,500 + Rs 6,750 + Rs 6,075)	20,325

Step 3: Calculation of the difference between the total depreciation under old method (Straight Line Method) and the total depreciation under new method (Diminishing Value Method).

	Rs
*1. Total Depreciation under SLM (Old Method)	22,500
(refer Step 1)	
*2. Total Depreciation under WDV (New Method)	20,325
(refer Step 2)	
3. Difference (Surplus or Excess)	<u>2,175</u>

Step 4: Pass Journal entries.

Machinery A/c	Dr. 2,175	
To Profit and Loss A/c		2,175
(Being the excess on the method of depreciation credited to Profit and Loss A/c)		

Step 5: Depreciation for the current accounting year

Rs 54,675 $\times$ 10/100 $\times$ 12/12	
Book Value on Jan 1, 2008	
(refer Step 2)	Rs 5,468
(rounded off to the nearest rupee)	

Step 6: Preparation of Machinery Account:

Machinery Account					
Dr.					Cr.
Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2005	To Bank A/c	75,000	Dec 31, 2005	By Depreciation A/c	7,500
				By Balance A/c	<u>67,500</u>
		<u>75,000</u>			<u>75,000</u>

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2006	To Balance b/d	67,500	Dec 31, 2006	By Depreciation	7,500
		<u>67,500</u>		By Balance c/d	<u>60,000</u>
					<u>67,500</u>
Jan 1, 2007	To Balance b/d	60,000	Dec 31, 2007	By Depreciation	7,500
		<u>60,000</u>		By Balance c/d	<u>52,500</u>
					<u>60,000</u>
Jan 1, 2008	To Balance b/d	52,500	Dec 31, 2008	By Depreciation A/c	5,468
	(Rs 75,000 – Rs 22,500)			(refer Step 5)	
	To Profit and Loss A/c	2,175		By Balance b/d	49,207
	(excess written back)				
		<u>54,675</u>			<u>54,675</u>

Illustration: 15

Shree Ltd purchased on Jan 1, 2004, certain machinery for Rs 97,000 and spent Rs 3,000 on its execution. On July 1, 2004 additional machinery costing Rs 50,000 was purchased. On July 1, 2006, the machinery purchased on Jan 1, 2004 was auctioned for Rs 50,000 and on the same date a new machinery was purchased at a cost of Rs 75,000. Depreciation was provided annually on Dec 31 @ 10% p.a. on the original cost. No depreciation need be charged during the year of sale of machinery for that part of the year when the machine was used. In 2008, however, the company has changed the method of depreciation to WDV Method @ 15% p.a. from the Straight Line Method. Show the machinery account for the period from 2004 to 2008.

[B.com (Hons) – Modified]

Solution

Let the machine purchased on Jan 1, 2004 be called as Machine I, additional machinery on July 1, 2004 be Machine II and the new machinery purchased on July 1, 2006 be Machine III for computing depreciation without any confusion.

Step1: Calculation of total depreciation for Machine II, under both the methods worked out as:

Machine II	Straight Line Method	Written Down Method
	Rs (10%)	Rs (15%)
Cost as on July 1, 2004	50,000	50,000
(Addition)		
Less: Depreciation for the period		
From July 1, 2004 to Dec 31, 2004	<u>2,500</u>	<u>3,750</u>
for six months: (year 2004)		
Book value on Dec 31, 2004	47,500	46,250
Less: Depreciation for 1 year (2005)	<u>5,000</u>	<u>6,938</u>
Book value on Dec 31, 2005	<u>42,500</u>	39,312
Less: Depreciation for 1 year (2006)	<u>5,000</u>	<u>5,897</u>
Book value on Dec 31, 2006	37,500	33,415
Less: Depreciation for 1 year (2007)	<u>5,000</u>	<u>5,012</u>
Book value on Dec 31, 2007	<u>32,500</u>	<u>28,403</u>
Total Depreciation	17,500	21,597

Step 2: Machine III

	Straight Line Method	Written Down Method
	Rs (10%)	Rs (15%)
Cost (as on July 1, 2006)	75,000	75,000
<i>Less:</i> Depreciation from July 1, 2006 to Dec 31, 2006: 6 months	<u>3,750</u>	<u>5,625</u>
Book value on Dec 31, 2006	71,250	69,375
<i>Less:</i> Depreciation for 1 year (2007)	<u>7,500</u>	<u>10,406</u>
Book value on Dec 31, 2007	<u>63,750</u>	<u>58,969</u>
Total Depreciation	11,250	16,031

Step 3: Computation of Surplus or Deficiency:

Total depreciation on Machine II and III:	Rs
(i) Under WDV Method (Rs 21,597 + Rs 16,031)	37,628
(ii) Under Straight Line Method (Rs 17,500 + Rs 11,250)	<u>28,750</u>
Difference between (i) and (ii) (Excess)	<u>8,878</u>

Step 4: Computation of Depreciation for 2008

Book value of both machines (II and III) (WDV: Ref Step 2) (Rs 63,750 + Rs 32,500)	96,250
<i>Less:</i> Difference (Excess)	<u>8,878</u>
	<u>87,372</u>
<i>Less:</i> 15% Depreciation (under WDV)	<u>13,106</u>
	<u>74,266</u>

Machinery Account

Dr.

Cr.

Date	Particulars	Rs	Date	Particulars	Rs
2004 Jan 1	To Bank A/c	97,000	2004 Dec 31	By Depreciation A/c (Rs 10,000 + Rs 2,500)	12,500
	To Bank A/c (Expenses)	3,000		By Balance c/d	<u>1,37,500</u>
July 1	To Bank A/c (Additions)	<u>50,000</u>			<u>1,50,000</u>
		1,50,000			
2005 Jan 1	To Balance b/d	1,37,500	2005 Dec 31	By Depreciation A/c (Rs 10,000 + Rs 5,000)	15,000
				By Balance c/d	<u>1,22,500</u>
		<u>1,37,500</u>			<u>1,37,500</u>
2006 Jan 1	To Balance b/d	1,22,500	2006 July 1	By Bank A/c	50,000
	To Bank A/c	75,000		*By Profit and Loss Account (Loss on sale)	30,000
	(Purchase: III machine)			By Depreciation A/c (Rs 5,000 + Rs 3,750)	8,750
				By Balance c/d	<u>1,08,750</u>
		<u>1,97,500</u>			<u>1,97,500</u>

Date	Particulars	Rs	Date	Particulars	Rs
2007 Jan 1	To Balance b/d	1,08,750	2007 Dec 31	By Depreciation A/c (7500 + 5000) By Balance c/d	12,500
					<u>96,250</u>
2008 Jan 1	To Balance b/d	<u>1,08,750</u> 96,250	2008 Dec 31	By Depreciation A/c By Balance c/d	<u>1,08,750</u> 14,438
					<u>8,812</u>
		<u>96,250</u>			<u>96,250</u>

As per AS-6, the change in the method of depreciation must be effective with retrospective effect on the existing machine. The position will be as:

2008			2008		
Jan 1	To Balance b/d	96,250	Dec 31	By Profit and Loss A/c (Excess) By Depreciation A/c (15% on 87,372) (96,250 – 8,878) By Balance c/d	8,878 13,106 74,266
		<u>96,250</u>			<u>96,250</u>

* Calculation of loss on sale:

	Rs
Cost	= 1,00,000
Less: Depreciation	= <u>20,000</u>
	80,000
Less: Sale proceeds	= <u>50,000</u>
Loss	= <u>30,000</u>

Illustration: 16

X Ltd bought a truck on Jan 1, 2005 for Rs 1,20,000 and a sum of Rs 40,000 was spent for various accessories on July 1, 2006 another vehicle was purchased for Rs 1,04,000. On July 1, 2007, the first truck was sold for Rs 1,20,000. On the same date another truck was purchased for Rs 1,00,000. On July 1, 2008 the second vehicle was sold for Rs 92,000. Rate of depreciation was 10% p.a. on the original cost annually on Dec 31. In 2007, the method of depreciation was changed to Diminishing Value Method, on the balance existing on Dec 31, 2007, the rate being 15% p.a. Prepare Truck Account for 2005, 2006, 2007 and 2008.

B.Com (Hons.) – Modified

Solution

Step 1: Accounting Standard-6, stipulates that change in method and rate should take place with retrospective effect.

But in this problem, instructions are given accordingly the change in method and rate will have to take place from Dec 31, 2007.

Step 2: Calculation of depreciation for 2005:

Cost as on Jan 1, 2005 (Rs 1,20,000 + Rs 40,000) = Rs 1,60,000

Period: (from Jan 1, 2005 to Dec 31, 2005): 1 year

Depreciation for 2005 = Rs 1,60,000 × 10/100 × 1 = Rs 16,000

Step 3: Calculation of depreciation for 2006:

- (i) Truck I: period = 1 year (Jan 1, 2006 to Dec 31, 2006)
Depreciation for Truck I for 2006 = Rs 16,000
- (ii) Truck II: Cost as on July 1, 2006: Rs 1,04,000
Period (from July 1, 2006 to Dec 31, 2006) = 6 months
Depreciation for Truck II for 2006 = Rs 5,200
(Rs 1,04,000 $\times$ 10/100 $\times$ 6/12)

Step 4: Calculation of depreciation for 2007

- Note:**
- Rate has to be changed from 10% to 15%.
 - Method has to be changed from Straight Line Method to Diminishing Value Method.
 - For Truck II
Book Value as on Jan 1, 2007 = Rs 98,800
(Rs 1,04,000 – Rs 5,200)
↓
(Depreciation for 2006)
Period: from Jan 1, 2007 to Dec 31, 2007 = 1 year
Depreciation for 2007 = Rs 14,820
(Rs 98,800 $\times$ 15/100 $\times$ 12/12)
 - For Truck III
Cost as on July 1, 2007: Rs 1,00,000
Period from July 1, 2007 to Dec 31, 2007: $\frac{1}{2}$ year
Depreciation for 2007 = Rs 7,500
(Rs 1,00,000 $\times$ 15/100 $\times$ $\frac{1}{2}$)

Step 5: Depreciation for the year 2008:

- (i) For Truck II:
Book value on Jan 1, 2007: Rs 98,800
Less: Depreciation for 2007: Rs 14,820
Book value on Jan 1, 2008: Rs 83,980
Depreciation (Jan 1, 2008 to July 1, 2008) = Rs 83,980 $\times$ 15/100 $\times$ 6/12 = Rs 6,299
- (ii) At this stage itself Profit/Loss on sale may be computed.

	Rs
1. Depreciated value of Truck II date of sale (July 1, 2008) (Rs 83,980 – Rs 6,299)	77,681
2. Sale proceeds	<u>92,000</u>
Profit (Rs 92,000 – Rs 77,681) (2–1)	<u>14,319</u>
(iii) For Truck III	
Book value cost as on July 1, 2007	1,00,000
Period from July 1, 2008 to Dec 31, 2007 = 6/12 years	
Depreciation 1,00,000 $\times$ 15/100 $\times$ 6/12 (2007)	<u>7,500</u>
Book value as on Jan 1, 2008	92,500
Less: Depreciation @ 15% for 1 year (for 2008)	<u>13,875</u>
Book value as on Jan 1, 2009	<u>78,625</u>

Step 6

Truck Account

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
2005 Jan 1	To Cash A/c (Truck)	1,20,000	2005 Dec 31	By Depreciation A/c: Truck I (Ref Step 1)	16,000
	To Cash A/c (Accessories)	<u>40,000</u>		By Balance c/d	<u>1,44,000</u>
		<u>1,60,000</u>			<u>1,60,000</u>
2006 Jan 1	To Balance b/d	1,44,000	2006 Dec 31	By Depreciation A/c: Truck I 16,000 Truck II 5,200 (refer Step 3)	21,200
	To Cash A/c (Truck II)	<u>1,04,000</u>		By Balance c/d	<u>2,26,800</u>
		<u>2,48,000</u>			<u>2,48,000</u>
2007 Jan 1	To Balance b/d	2,26,800	2007 July 1	By Cash A/c (sale of Truck I)	1,20,000
July 1	To Cash A/c (Truck II)	1,00,000	Dec 31	By Depreciation A/c: Truck I 8,000 Truck II 14,820 Truck III <u>7,500</u> (refer Step 4)	30,320
		<u>3,26,800</u>		By Balance c/d	<u>1,76,480</u>
					<u>3,26,800</u>
2008 Jan 1	To Balance b/d	1,76,480	2008		
July 1	To Profit and Loss A/c [refer Step 5 (ii)]	14,319	July 1	By Cash A/c (Sale of Truck II)	92,000
				By Depreciation A/c: Truck I 6,299 Truck II <u>13,875</u> (refer Step 5)	20,174
		<u>1,90,799</u>		By Balance c/d	<u>78,625</u>
					<u>1,90,799</u>
2009 Jan 1	To Balance b/d	78,625			

Illustration: 17

On Apr 1, 2004, a new plant was purchased for Rs 40,000 and a further sum of Rs 2,000 was spent on its installation. On Oct 1, 2006 another plant was acquired for Rs 25,000. Due to fire on Jan 5, 2007 the first plant was totally destroyed and was sold for Rs 1,000 only. On Jan 20, 2008 a second hand plant was purchased for Rs 30,000 and a further sum of Rs 5,000 was spent for bringing the same to use on Mar 15, 2008. Depreciation has been provided @ 10% p.a. on straight line basis. It was a practice to provide depreciation for full year on all acquisitions made at any time during any year and to ignore depreciation on any item sold or disposed of during the year. None of the assets were measured. The accounts are closed annually to Mar 31. It is now decided to follow the rate at 20% p.a. on Diminishing Balance Method with retrospective effect in respect of the existing items of plant and to make necessary adjustment entry on Apr 1, 2008.

You are required to prepare

- (1) A Plant Account
- (2) Provision for Depreciation A/c

B.Com (Hons.) – Modified

Solution

Here, all accounts, i.e. Provision for Depreciation, Sale of Asset and change in method with retrospective effect from part of the problem and one by one is to be prepared as follows:

Step 1: Preparation of Provision for Depreciation Account:

Provision for Depreciation Account

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
2004 Mar 31	To Balance c/d	<u>4,200</u>	2004 Mar 31	By Depreciation A/c: 10% (Rs 40,000 + Rs 2,000)	<u>4,200</u>
2005 Mar 31	To Balance c/d	<u>8,400</u> <u>8,400</u>	Apr 1 2005	By Balance b/d	4,200
2006 Jan 5	To Plant A/c	8,400	Mar 31	By Depreciation A/c	<u>4,200</u> <u>8,400</u>
Mar 31	To Balance c/d	<u>2,500</u> <u>10,900</u>	2006 Apr 1	By Balance b/d	8,400
2007 Mar 31	To Balance c/d	<u>8,500</u> <u>8,500</u>	Mar 31	By Depreciation A/c	<u>2,500</u> <u>10,900</u>
2007 Mar 31	To Balance c/d	<u>8,500</u> <u>8,500</u>	2007 Apr 1	By Balance b/d	2,500
			Mar 31	By Depreciation	<u>6,000</u> <u>8,500</u>
			2008 Apr 1	*By Balance b/d	8,500
				By Depreciation A/c	7,500
				(Excess or Additional)	<u>16,000</u>

Step 2: Calculation of Depreciation under Diminishing Value Method

	Rs
1. Plant purchased on Oct 1, 2006 cost	25,000
Less: Depreciation for (2006–2007): 1 year (Rs 25,000 × 20/100 × 1)	<u>5,000</u>
Book value	20,000
Less: Depreciation for (2007–2008): 1 year (Rs 20,000 × 20/100 × 1)	<u>4,000</u>
	<u>16,000</u>
Total Depreciation for this plant = Rs 5,000 + Rs 4,000 = Rs 9,000	
2. Plant purchased (Jan 20, 2008)	
Cost	35,000
(Rs 30,000 + Rs 5,000)	
Less: Depreciation for 2007 – 08 (Rs 35,000 × Rs 20/100 × 1)	<u>7,000</u>
	<u>28,000</u>

Depreciation for this second-hand plant	7,000
Total provision for depreciation for both plants	16,000
*Provision already made (SLM)	<u>8,500</u>

Difference: Provision – Additional Depreciation Needed

7,500

Step 3

Dr.			Plant Account			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs			
2004 Apr 1	To Cash A/c (cost)	40,000	2005 Mar 31	By Balance b/d	42,000			
	To Cash A/c (Exp)	<u>2,000</u>			<u>42,000</u>			
		42,000						
2005 Apr 1	To Balance b/d	<u>42,000</u>	2006 Mar 31	By Balance c/d	<u>42,000</u>			
2006 Apr 1	To Balance b/d	42,000	2007 Jan 5	By Cash A/c	1,000			
Oct 1	To Cash A/c	25,000	Mar 31	By Prov. for Depreciation A/c	8,400			
				By P&L A/c (loss due to fire)	32,600			
				By Balance c/d	<u>25,000</u>			
		<u>67,000</u>			67,000			
2007 Apr 1	To Balance b/d	25,000	2008 Mar 31	By Balance c/d	60,000			
2008 Jan 20	To Cash Account	30,000						
	To Cash Account	<u>5,000</u>						
		60,000			<u>60,000</u>			

Illustration: 18

Machinery Account of Parul Ltd showed a debit balance of Rs 97,200 on Jan 1, 2006, depreciation @ 10% p.a. is charged. On July 1, 2006, a part of the machinery purchased for Rs 30,000 on Jan 1, 2004, was sold for Rs 21,000 and on the same date a new machinery was purchased for Rs 60,000. On Dec 31, 2006, the company decided to change the method of depreciation from WDV Method to Straight Line Method with effect from Jan 1, 2004, depreciation remaining at 10% p.a.

Prepare necessary ledger accounts.

Solution

In case, sale or disposal of a part of the asset occurs, new account – Asset Disposal Account may be prepared. As such, book value of the sold or discarded asset may be transferred to Asset Disposal Account.

Step 1: As debit balance of Machinery Account is given in the question, cost price on that date has to be computed as:

	Rs
Let the original cost on Jan 1, 2004 be taken as	100
Then, Less: Depreciation @ 10% for 2004	<u>10</u>
WDV on Jan 1, 2005 will be	90
Less: Depreciation @ 10% for 2005	<u>9</u>
WDV on Jan 1, 2006	81

If WDV is Rs 81, original cost will be Rs 100.

$$\begin{aligned}
 [\text{Original cost for Rs 97,200}] &= 100/81 \times \text{Rs } 97,200 \\
 &= \text{Rs } 1,20,000
 \end{aligned}$$

1,20,000

	Rs
Step 2: Less: Machinery sold on July 1, 2006 (cost as on July 1, 2004)	<u>30,000</u>
Cost of machinery in hand (on July 1, 2004)	90,000
Add: Cost of machinery purchased (on July 1, 2006)	60,000
Acquisition cost of machinery still in hand	<u>1,50,000</u>
Step 3: Depreciation on machinery at SLM for 2004 and 2005 @ 10% on Rs 90,000 (Rs 9000 + Rs 9000)	18,000
Less: Depreciation already charged @ 10% on WDV on Rs 90,000 for 2004 = Rs 9,000 and on Rs 81,000 for 2005 = Rs 8,100 (Rs 9,000 + Rs 8,100)	17,100
Difference due to change in method	<u>900</u>

Step 4: Calculation of WDV of machinery to be transferred to new account – Machinery Disposal Account:

	Rs
Original Cost	30,000
Less: Depreciation for 2004	<u>3,000</u>
	27,000
Less: Depreciation for 2005	<u>2,700</u>
	24,300
Less: Depreciation upto July 1, 2006 for 6 months	<u>1,215</u>
	<u>23,085</u>

Step 5

Machinery Account

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
2006 Jan 1	To Balance b/d	97,200	2006 July 1	By Machinery Disposal Account (refer Step 4)	23,085
July 1	To Cash Account	60,000	Dec 31	By Depreciation A/c (on machine sold for Rs 24,300 for 6 months: step 4)	1,215
			Dec 31	By Depreciation A/c (Difference due to change in method: Step 3)	900
			Dec 31	By Depreciation A/c (on Rs 90,000 @ 10%) SLM	9,000
			Dec 31	By Depreciation A/c (on Rs 60,000 @ 10% for 6 months SLM)	3,000
				By Balance c/d	1,20,000
		<u>1,57,200</u>			<u>1,57,200</u>

Note: No specific instructions are given in the question. Accordingly, change in method of depreciation is applicable at the end of accounting period, i.e. for the year 2006 only.

Step 6

Machinery Disposal Account					
Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
2006 July 1	To Machinery A/c	23,085	2006 July 1	By Cash Account	21,000
			Dec 31	By Profit and Loss A/c	<u>2,085</u>
		<u>23,085</u>			<u>23,085</u>

10.5 Annuity Method: Meaning and Features

- (i) The different methods of computing depreciation fail to take into account the “interest on capital” invested in fixed assets.
- (ii) This system rectifies this factor.
- (iii) Under this system, interest is to be calculated at a specified rate on the opening of the asset account and added to the book value every year and credited to interest account.
- (iv) Journal entry:

Asset Account	Dr.
To Interest A/c	
- (vi) Simultaneously, a fixed amount is to be charged as a depreciation expense on a straight line basis.
- (vii) The underlying factor under this system is that the amount of depreciation to be charged every year must be so calculated as to reduce that asset together with interest accumulated thereon to its salvage value at the end of the useful life of the asset.

This can be best explained by way of an illustration as follows:

Illustration: 19

X takes a lease of land for Rs 1,00,000. The annual depreciation is charged on the basis of Annuity Method presuming the rate of interest at 6% p.a. The annuity table shows that the annual amount necessary to write off Re 1 in 4 years at 6% p.a. is Rs 288591. Prepare the Lease Account.

Solution

To write off Re 1 together with interest at 6% over 4 years = Re .288591

the annual charge (This is shown in the question itself.

Annuity Table shows all data.)

To write off Rs 1,00,000 plus interest, the annual charge = Rs 1,00,000 × .288591

Rs 28,859

Now, a table is to be prepared to show the amounts of interest and depreciation to be charged to Income Statement or Profit and Loss Account.

Table showing the amounts of interest and depreciation to be charged to Income Statement and Profit and Loss Account.

Year End	Depreciation Rs	Interest Rs	Net Charge against Income Rs
1	28,859	6000	22,859
2	28,859	4629	24,230
3	28,859	3174	25,685
4	28,859	1633	27,226
	<u>1,15,436</u>	<u>15,436</u>	<u>1,00,000</u>

1. Depreciation is to be Debited to Income Statement.
2. Interest is to be Credited to Income Statement.
3. Note from the table, Cost of the Asset Rs 1,00,000 plus interest Rs 15,436 = Total Depreciation Rs 1,15,436.
4. From the table, you can note that the charge against profit Increases every year.

Lease Account

Year		Rs	Year		Rs
I	To Bank A/c To Interest A/c	1,00,000 <u>6,000</u> 1,06,000	I	By Depreciation A/c By Balance c/d	28,859 <u>77,141</u> 1,06,000
II	To Balance b/d To Interest A/c	77,141 <u>4629</u> 81,770	II	By Depreciation A/c By Balance c/d	28,859 <u>52,911</u> 81,770
III	To Balance b/d To Interest A/c	52,911 <u>3,174</u> 56,085	III	By Depreciation A/c By Balance c/d	28,859 <u>27,226</u> 56,085
IV	To Balance b/d Interest A/c (bal. fig.)	27,226 1633 <u>28,859</u>	IV	By Depreciation A/c	28,859 <u>28,859</u>

10.5.1 Advantages

1. It involves accurate calculation.
2. Interest is taken into account in this method, whereas all the other methods neglect this aspect.

10.5.2 Demerits

1. Calculation will become more difficult in case of frequent additions of assets.
2. Under this method, the amount of interest and depreciation are treated together, which may not yield good result.

10.5.3 Suitability

1. It is suitable for large amounts of capital investments oriented business.
2. This is most suitable for long-term leases.

10.6 Sinking Fund Method (or) Depreciation Fund Method: Meaning, Merits, Demerits and Suitability

10.6.1 Meaning

- (1) The fund created to provide a definite amount at a certain future date for the specific purpose of replacement of asset at the end of its useful life may be termed as Sinking Fund.
- (2) The procedure adopted to create such fund is referred to as “Sinking Fund Method” or “Depreciation Fund Method”.
- (3) Under this method, provision is made for the replacement of asset.
- (4) This method requires the calculation of a basic sum of money which, if invested every year, would together with interest earned will be equal to the cost of asset.

Such amount which has to be set aside every year by way of depreciation is calculated by using Sinking Fund tables.

10.6.2 Merits

1. This method not only provides depreciation, but also makes provision for replacement of asset at the end of its useful life.
2. As separate sum of money is earmarked, there will not be any financial stress while replacement of assets.

10.6.3 Demerits

- (1) Income is charged with the same amount of depreciation. Such a combination of depreciation and replacement may not yield the desired result.
- (2) It ignores the proportionate amount to be spent for maintenance in later years of the assets.

10.6.4 Suitability

Suitable for concerns which aim to treasure some part of amount for futuristic activities:

10.6.5 Differences between Annuity Method and Sinking Fund Method

Basis of Difference	Annuity Method	Sinking Fund Method
1. Separate Fund Account	Annual amount is not set aside as a separate fund account	Annual amount is set aside as a separate fund account
2. Charge of interest	Interest is charged from the end of first year itself	Interest is charged only at the end of second year
3. End result	The total depreciation is more than the depreciation cost of the asset (as interest is added to the cost of the asset)	The total depreciation is less than the depreciable cost of the asset (as interest is deducted from the cost of the asset)
4. Outside investment	Funds are not invested in outside securities	Funds set aside are invested in outside securities
5. Realization of interest	Interest is not actually realized	Interest is actually realized, as it is received from investment in outside securities.
6. Accounting treatment	Interest is credited to Profit and Loss A/c by debiting to Asset account	Interest is credited to Sinking Fund Account
7. Effect on Profit and Loss Account	As depreciation is fixed, interest is decreasing – effect on Profit and Loss A/c will result in a rise	As depreciation and interest being uniform, there will be one effect on Profit and Loss Account

10.6.6 Accounting Treatment for Sinking Fund Method**Stage I:** At the end of First Year**Step 1:** (a) Find the amount of depreciation to be provided from the Sinking Fund tables. That has to be recorded at the end of the first accounting period as:

Depreciation A/c	Dr.
To Sinking (Depreciation Account)	

Step 2: (b) The amount so transferred to Depreciation Fund is invested in outside securities (purchasing instruments)

Depreciation (Sinking) Funds Investment Account	Dr.
To Bank A/c	

Stage II: At the end of second year and subsequent years (except last year)**Step 1:** (a) When interest is received on investments

Bank A/c	Dr.
To Depreciation Fund A/c	

Step 2: (b) On setting aside the annual amount:

(same as in stage 1 (a))

Depreciation A/c	Dr.
To Depreciation Fund A/c	

Step 3: (c) On investing the amount set aside (with interest)

(same as in Stage 1 (b))

Depreciation Fund Investment A/c	Dr.
To Bank A/c	

(Note: Here the amount to be invested = Amount set aside + Amount of interest received on previous investments)

Stage III: Last Year**Step 1:** (a) On sale of investments (realization of investment fund)

Bank A/c	Dr.
To Depreciation Fund Investments A/c	

Step 2: (b) For transfer of profit/loss on realization of depreciation fund investments:

(i) When Profit:

Depreciation Fund Investment A/c	Dr.
To Depreciation Fund A/c	

(ii) When Loss:

Depreciation Fund A/c	Dr.
To Depreciation Fund Investments A/c	

Step 3: (c) For sale of old asset (scrap)

Bank A/c	Dr.
To asset A/c	

(i) When there is debit balance
Profit and Loss A/c Dr.
To (respective-old) Asset A/c

(ii) When there is credit balance:
(Respective-old) Asset A/c Dr.
To Profit and Loss A/c

- (i) Depreciation Fund Account appears on the Liabilities side of the Balance Sheet under the head “Reserves and Surplus” – till the asset is disposed off.
- (ii) Depreciation Fund Investment Account appears on the Assets side of the Balance Sheet under the head “Investments” till realization of investments.

Illustration: 20

Calculate the amount of depreciation to be provided for.

Method I

$$\text{Rs } 10,00,000 - \text{Rs } 71,800 \\ = \text{Rs } 9,28,200$$
$$= \text{Rs } 1,99,999.9965$$

$$= \text{Rs } 2,00,000$$

Step 1: Cost – Scrap

$$\begin{aligned} & \text{Rs } 10,00,000 - \text{Rs } 71,800 \\ &= \text{Rs } 9,28,200 \end{aligned}$$
$$= \text{Rs } 2,00,000$$

Case (a): When specific investments are to be made in multiples of same specific denomination (e.g. Rs 10; Rs 20 and so on) (will be given in the problem), then only that amount which is fully divisible by the given denomination will be invested.

Example: Suppose the amount available for investment is Rs 1,05,129.08 and the investments are to be made in the multiple of Rs 10, then only Rs 1,05,120 will be invested and the balance Rs 9.08 will be kept

separately in Depreciation Fund Cash A/c. This will be adjusted at the end of the time of making investments during the next accounting period.

Case (b): When no specific instruction is given:

- (i) In case of Non-cumulative Depreciation Fund: The amount of profit set aside has to be invested, i.e. Interest on Depreciation Fund Investments is credited to Profit and Loss A/c and interest is not reinvested.
- (ii) In case of Cumulative Depreciation Fund, interest + profit has to be invested, i.e. Interest on Depreciation Fund Investments is credited to Depreciation Account and interest is reinvested.

Case (c): In any case, no investment should be made in the last year.

Calculation of the amount of interest on depreciation fund investments:

Illustration: 21

From the following particulars calculate the amount of investments to be made and interest to be received by assuming investments are to be equal to entire profits set aside.

Profit to be set aside = Rs 60,000
 Interest Rate = 10%
 Year of Realization of Investments = 4th year.

Solution

Note: Entire profit is to be set aside. No specific instruction is given, i.e. amount available is to be made in multiple of specific amount. So, the entire amount is to be taken into account.

This can be best shown in the following table:

Table showing the calculation of the amount of investment to be made and interest to be received:

Year	Opening Balance Rs	Interest [1 × 10/1000] Rs	Savings (or) Profit set aside Rs Given	Investments to be made Rs (2+3)	Closing Balance Rs (1+4)
I Year	–	–	60,000	60,000	60,000
II Year	60,000	6,000	60,000	66,000	1,26,000
III Year	1,26,000	12,600	60,000	72,600	1,98,600
IV Year	1,98,600	19,860	60,000	–	–

Note

- Generally, the closing balance at the end a year will be the opening balance of next year.
- Interest is calculated at the opening balance of the year, i.e. from the second year (Column = 2).
- Profit set aside is constant (Column = 3).
- Investments (entire) interest + Profit set aside are shown in column 4 (2 + 3).
- Closing balance represents the sum of opening balance and investments to be made in column 5 (1 + 4).
- No interest is computed for 1st year.
- No investment is made in the last year (IV year).

Illustration: 22

From the following figures calculate the amount of investment to be made and interest to be received (by considering investments to be made in the nearest multiple of Rs 100)

Profit to be set aside = Rs 41,602.89

Interest Rate = 10%

Year of realization of investments = 4th year

Solution

Draw the columns as in previous illustration:

Year	Opening Balance Rs	Interest Rs	Profit set aside Rs	Investments Rs	Closing Balance Rs
I	–	–	41,602.89	41,600	41,600
II	41,600	4,160	41,602.89	45,700	87,300
III	87,300	8,730	41,602.89	50,300	1,37,600
IV	1,37,600	13,760	41,602.89	–	–

Note: In the illustration, investments are to be made in the nearest multiple of Rs 100, investment amount is worked out in multiples of 100 and the fraction is left out. Take the case if in II year – Profit to be set aside + Interest = Rs 41,602.89 + Rs 4,160 = Rs 45,762.89. This is to be divided by 100: 45,762.89/100.

(Rs 45,700 in full, i.e. multiple of 100 – 457×100) the fraction of Rs 62.89 is to be kept separately in Depreciation Fund Cash A/c and not to be shown in the account.

This is the difference to be noted by students.

Illustration: 23

Vasant bought a machine on Apr 1, 2003 for a sum of Rs 2,00,000 having useful life of five years. It is estimated that the plant will have a scrap value of Rs 32,000. He decided to charge depreciation according to Depreciation Fund Method. Sinking Fund Table shows that Re. 0.180975, if invested yearly @ 5% p.a. produces Re. 1 at the end of five years. The depreciation fund investments are expected to earn interest @ 5% p.a. At the end of fifth year, the investments were sold for Rs 1,30,000 and the scrap realized Rs 34,000.

You are required to prepare Plant Account, Depreciation Fund Account and Depreciation Fund Investments Account for five year period.

B.Com (Hons) – Modified.

Solution

Step 1: Calculation of amount to be provided for depreciation fund every year:

(Remember Method I in Illustration 20)

Cost – Scrap = Rs 2,00,000 – Rs 32,000
= Rs 1,68,000

Multiply this by the figure from Sinking Fund Table
= (Rs 1,68,000) $\times$ 0.180975
= Rs 30,403.60
= Rs 30,404 (rounded off)

Amount to be provided
for Depreciation Fund
every year } = Rs 30,404

Step 2: Calculation of the amount of investments to be made and interest to be received for 5 years.
Table showing investments to be made each year and interest to be received.

Year Ending on	Opening Balance Rs	Interest Rs	Profit set aside Rs	Investments Rs	Closing Balance Rs
Mar 31, 2004 (I year)	–	–	30,404	30,404	30,404
Mar 31, 2005 (II year)	30,404	1,520	30,404	31,924	62,328
Mar 31, 2006 (III year)	62,328	3,116	30,404	33,520	95,848
Mar 31, 2007 (IV year)	95,848	4,792	30,404	35,196	1,31,044
Mar 31, 2008 (V year)	1,31,044	6,552	30,404	–	–

Step 3: Preparation of Depreciation Fund Account:

Depreciation Fund A/C					
Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Mar 31, 2004	To Balance c/d	30,404	Mar 3, 2004	By Depreciation A/c	30,404
Mar 31, 2005	To Balance c/d	62,328	Apr 1, 2004	By Balance b/d	30,404
			Mar 31, 2005	By Bank (Interest)	1,500
			Mar 31, 2005	By Depreciation A/c	30,404
		62,328			62,328
Mar 31, 2006	To Balance c/d	95,848	Apr 1, 2005	By Balance b/d	62,328
			Mar 31, 2006	By Bank (Interest)	3,116
			Mar 31, 2006	By Depreciation A/c	30,404
		95,848			95,848
Mar 31, 2007	To Balance c/d	1,31,044	Apr 1, 2006	By Balance b/d	95,848
			Mar 31, 2007	By Bank (Interest)	4,792
			Mar 31, 2007	By Depreciation A/c	30,404
		1,31,044			1,31,044
Mar 31, 2008	*To Depreciation Fund Investment	1,044	Apr 1, 2007	By Balance b/d	1,31,044
	**To Plant A/c	1,66,000	Mar 31, 2008	By Bank (Interest)	6,552
	To Profit and Loss A/c (bal. fig)	956	Mar 31, 2008	By Depreciation A/c	30,404
		1,68,000			1,68,000

* To be transferred from Depreciation Fund Investment A/c.

** Plant A/c may be transferred from Plant A/c but it may be calculated simply: (Rs 2,00,000 (Cost) – Rs 34,000 (Scrap)) = Rs 1,66,000

Note: Interest is transferred from table column 3.

Step 4: Preparation of Depreciation Fund Investment A/c**Depreciation Fund Investment Account**

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Mar 31, 2004	To Bank A/c	30,404	Mar 31, 2004	By Balance c/d	30,404
Apr 1, 2004	To Balance b/d	30,404	Mar 31, 2005	By Balance c/d	62,328
Mar 31, 2005	To Bank A/c	31,924			
		<u>62,328</u>			<u>62,328</u>
Apr 1, 2005	To Balance b/d	62,328	Mar 31, 2006	By Balance c/d	95,848
Mar 31, 2006	To Bank A/c	33,520			
		<u>95,848</u>			<u>95,848</u>
Apr 1, 2006	To Balance b/d	95,848	Mar 31, 2007	By Balance c/d	1,31,044
	To Bank A/c	35,196			
		<u>1,31,044</u>			<u>1,31,044</u>
Apr 1, 2007	To Balance b/d	1,31,044	Mar 31, 2008	By Bank A/c	1,30,000
			Mar 31, 2008	(sale of Invest)	
				By Depreciation Fund	
				Investment A/c	1,044
		<u>1,31,044</u>			<u>1,31,044</u>

Note: (1) Bank A/c → represents two components:

1. Investment to be made
2. Interest to be received.

To enter the figure for the years from 2005 to 2007, refer to the table Step 2 and directly transfer the figure under column “Investments to be made”.

Column 5: Students need not work out again thereby saving time.

- (2) Bank A/c → For the year – (on credit side) 2008 represents the value of investments sold at the end of 5th year.

Step 5: Preparation of Plant Account**Plant Account**

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Apr 1, 2003	To Bank A/c	2,00,000	Mar 31, 2004	By Balance c/d	2,00,000
Apr 1, 2004	To Bank A/c b/d	2,00,000	Mar 31, 2005	By Balance c/d	2,00,000
Apr 1, 2005	To Bank A/c b/d	2,00,000	Mar 31, 2006	By Balance c/d	2,00,000
Apr 1, 2006	To Bank A/c b/d	2,00,000	Mar 31, 2007	By Balance c/d	2,00,000
Apr 1, 2007	To Bank A/c b/d	2,00,000	Mar 31, 2008	By Bank A/c	34,000
				(Scrap at end)	
				*By Depreciation	1,66,000
				Fund account	
		<u>2,00,000</u>			<u>2,00,000</u>

Step 6: Preparation of Depreciation Account**Depreciation Account**

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Mar 31, 2004	To Depreciation Fund A/c	30,404	Mar 31, 2004	By Profit and Loss A/c	30,404
Mar 31, 2005	To Depreciation Fund A/c	30,404	Mar 31, 2005	By Profit and Loss A/c	30,404
Mar 31, 2006	To Depreciation Fund A/c	30,404	Mar 31, 2006	By Profit and Loss A/c	30,404
Mar 31, 2007	To Depreciation Fund A/c	30,404	Mar 31, 2007	By Profit and Loss A/c	30,404
Mar 31, 2008	To Depreciation Fund A/c	30,404	Mar 31, 2008	By Profit and Loss A/c	30,404

10.6.8 Sum-of-the-years'-digits method

- This method is simple and easier than WDV Method.
- This method is based on the assumption that loss of economic usefulness of an asset is high during the early years of an asset.
- When the asset is new, depreciation is charged more. Charge less depreciation when the assets get older.
- It will enable to suit matching of costs and revenues.

The depreciation is computed as follows:

Depreciable cost of an asset is Rs 1,00,000; useful life of that asset is 4 years. Calculate amount of depreciation to be provided for the period.

Solution

Useful Life of the Asset = 4 years

Sum-of-the-Years'-Digit = $1 + 2 + 3 + 4 = 10$

I year = Depreciation = $4/10 \times 1,00,000 = \text{Rs } 40,000$

II year = Depreciation = $3/10 \times 1,00,000 = \text{Rs } 30,000$

III year = Depreciation = $2/10 \times 1,00,000 = \text{Rs } 20,000$

IV year = Depreciation = $1/10 \times 1,00,000 = \text{Rs } 10,000$

Under this method, more amount is charged in the I year, i.e. Rs 40,000 and less towards the end, i.e. Rs 10,000.

OBJECTIVE 11: CHOICE OF DEPRECIATION METHOD

Depreciation expenses differ from method to method. Choice of selecting a suitable depreciation method is not easy. The decision is based on the inherent characteristic features of an asset.

Accelerated depreciation methods may be of much use in case of the following:

- Quality of the asset decreases with its age years roll, assets may loose its effective working capacity – Maintenance costs grow.
- Introduction of new equipment due to Research and Development may adversely affect the effective usage of existing equipment.
- The other Straight Line Method may be suitable for assets like buildings, furniture, patents, leases, etc. and for assets which do not warrant frequent repairs and renewals.
- Choice of a method of depreciation affects the amount of net income because quite often the management employs depreciation as an instrument of financial policy of the entity. Hence, selection of a method depends on the management too.
- Choice of the method affects the Balance Sheet because the amount of depreciation enhances the accumulated depreciation which in turn will affect the book value of assets.
- Role of Accountants play a significant role in the selection of a method.

So, all these factors, characteristic features of assets, maintenance costs of assets, wear and tear of equipment and machinery, renewal cost of equipment, expected useful life of the assets, allocation of cost (matching principles of cost and revenue), net book value of assets, accountant's role and management Policy have to be analyzed to choose the method of depreciation, which indeed is an uphill task.

OBJECTIVE 12: IS DEPRECIATION A SOURCE OF INCOME OR EXPENSE?

The notion that depreciation is a source of fund or working capital is a misconception which leads to a big controversy

Generally, funds are generated by revenues from sales. But depreciation is a non-cash expense. Depreciation does not require the use of funds or working capital. So, the view that depreciation is a source of funds is erroneous.

Journal entry to record depreciation:

Depreciation Expense A/c Dr.
To Accumulated Depreciation A/c

Hence, the debit account is an expense account and the credit account is contra fixed account, according to accounting principles. It is crystal clear from this that depreciation is a source of expense and not a source of fund.

But viewed from other angle, depreciation is considered to be a source of fund, when funds from operations are calculated. In such situation, depreciation is added which tempts to treat it as a source of fund. But a careful analysis will reveal that the funds provided by operations will remain unaffected by the charge on depreciation.

It may be concluded that this conception is only a misconception. As per accounting principles, under no circumstances depreciation is a source of fund or working capital.

OBJECTIVE 13: PROVISION: MEANING, EXAMPLES, OBJECTIVES, ACCOUNTING TREATMENT AND DISCLOSURE

13.1 Meaning

The term "Provision" refers to

- (i) Any amount set aside or retained by way of providing for depreciation, renewals or diminutions in value of assets.
- (ii) The amount retained by way of providing any known liability for which the amount of liability can not be determined with substantial accuracy.

13.2 Examples of Provisions

- (i) Provision for Doubtful Debts
- (ii) Provision for Depreciation
- (iii) Provision for Repairs and Renewals
- (iv) Provision for Taxation
- (v) Provision for Fluctuations in Investments
- (vi) Provision for Discount on Debtors.

A provision may be

- (i) in respect of loss in the value of asset,
- (ii) in respect of a claim which is disputed but which have to be paid,
- (iii) in respect of depreciation and so on.

It should be noted here that if a liability is determined in specific value and in advance, then for such known liability, provision need not be created; instead that particular liability can be created, e.g. Liability for Salary.

13.3 Objectives

Main object of creating a provision is to make good the loss in the value of assets or losses or expenses, the amount of which cannot be determined with considerable accuracy.

13.4 Accounting Treatment

Provision is a charge against the Profits.

It is created by debiting the Profit and Loss Account.

13.5 Disclosure

It may be disclosed in any one of the following ways:

- (i) Provision is shown on Assets side by deducting from the respective assets.
- (ii) Provision may also be shown on the Liabilities side under the subhead "Provisions".

OBJECTIVE 14: RESERVES

14.1 Meaning

The term "Reserves" generally refers to profits retained in the business not having any of the characters of a provision.

Any sum appropriated or set aside out of the profit of a business not intended to cover up any liability, loss or reduction in valuation of assets may be referred to as "Reserve".

Reserve also means accumulated or undistributed profits.

14.2 Objectives

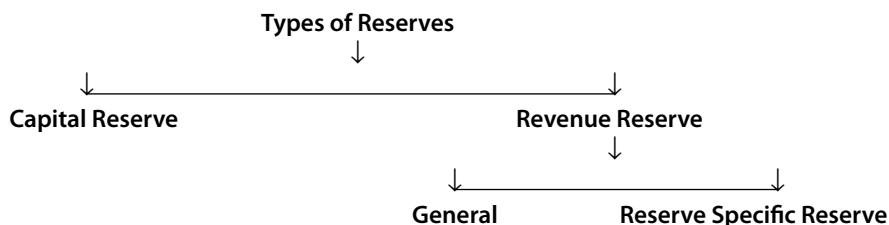
- (i) To strengthen the financial position of the business entities.
- (ii) To provide funds for the acquisition of a new plant and modernization and expansion of existing plant.
- (iii) To comply with the legal requirement.
- (iv) To meet any unforeseen financial crunch.
- (v) To equalize the dividend during the periods of inadequate profits.

14.3 Distinction Between Provision and Reserve

<i>Basis of Distinction</i>	<i>Provision</i>	<i>Reserve</i>
1. Main objective	It is created for a specific purpose and should be used only for that specific purpose	It is not created for a specific purpose and may be general in nature
2. Effect on profit	It reduces net profits	It reduces only divisible profits
3. Dividend distribution	It cannot be utilized for distribution of dividends	Unutilized reserves can be utilized for distribution of dividends
4. Legality	It is created to meet legal requirements	In this case, there are no legal requirements needed
5. Vice versa transfer	It cannot be transferred to General Reserve	It can be transferred to Provisions
6. Charge vs. appropriation	It is a charge to Profit and Loss Account. It can be created even if there are no profits	It is an appropriation of profit and can be created only when there is sufficient profits
7. Nature of investment	It is never invested outside the business	It can be invested outside the business
8. Disclosure in Profit and Loss A/c	It is shown on the Debit side of Profit and Loss A/c	It is shown on the Debit side of Profit and Loss Appropriation A/c

Basis of Distinction	Provision	Reserve
9. Balance Sheet	It is shown by deducting from the respective item	It is shown under the head "Reserves and Surplus" on the Liabilities side of Balance Sheet

14.4 Types of Reserves



Reserves may be classified into Capital Reserve and Revenue Reserve.

14.4.1 Capital Reserve

Any reserve which is created out of capital and is not to be utilized for distribution of profit (among the owners of the business by way of drawings, dividends, etc) is referred to as Capital Reserve.

Examples: Provision on the issue of shares and debentures, profit on issue of forfeited shares, profit on sale of a business or a part of business, any profit on sale of fixed assets and so on.

14.4.2 Revenue Reserve

Any reserve which is available for distribution of profit among the owners of business entities is referred to as Revenue Reserve.

Example: General Reserve, Debenture redemption reserve, Investment fluctuation reserve, staff welfare reserve and so on.

The Revenue reserve may further be classified into (1) General Reserve and (2) Specific Reserve.

14.4.3 General Reserve

The name itself leads to a concept that this type of reserve is not to be created for any specific purpose. It means that this reserve is to be created for any general purpose of the concern.

14.4.4 Specific Reserve

The specific reserves are to be created for a specific purpose only. It can be utilized for that specific purpose only.

14.4.5 Difference Between Capital Reserve and Revenue Reserve

Type of Distinction	Capital Reserve	Revenue Reserve
Type of transaction	It may be due to internal transaction or external transaction	It may always be formed due to internal transaction only
Distribution of profit	It is not utilized for distribution of profit	It is utilized for distribution of profit
Creation	It is not created by appropriation of profit	It is always created by retaining profit
Pre-incorporation period	It may be created from pre incorporation profit	It is never created from pre-incorporation period
Nature	It is always specific	It is general or specific

OBJECTIVE 15: PROVISION FOR REPAIRS AND RENEWALS: MEANING AND ACCOUNTING TREATMENT

Any business entity will be in dire need of a certain amount to meet out repairs and maintenance for the fixed assets. It is normal in any business concern, the amount needed will be less in the initial years, but will be heavy at the end of useful life of fixed assets. In order to ensure a uniform charge for such purpose, many concerns create a reserve known as Provision for Repairs and Renewals.

- A fixed amount determined in advance is added to this Provision for Repairs and Renewable Account by debiting Profit and Loss Account.

Entry: Profit and Loss Account Dr.
 To Provision for Repairs and Renewable Account

- But the *amount actually spent* on repairs and renewals is charged to the Provision Account (not to Profit and Loss A/c.)

- Entry: Provision for Repairs and Renewable Account Dr.
 To Repairs and Renewable A/c

- The credit balance in this Provision Account will appear on the Liabilities side of Balance Sheet.
- Any balance in this Provision Account is transferred to Profit and Loss A/c (on sale or disposal of asset)

Illustration 24

Raj has created a repairs and renewal provision on Mar 31, 2006 by charging Rs 6,000 each year. During the three years ended Mar 31, 2007, 2008 and 2009, actual repairs amounted to Rs 4,956, Rs 5,310 and Rs 6,006, respectively. Show repairs and renewals account for three year period.

B.Com (Hons) – Modified.

Solution

Repairs and Renewals Account

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Mar 31, 2006	To Balance c/d	6,000	Mar 31, 2006	By Profit and Loss A/c	6,000
Mar 31, 2007	To Repairs and Renewals A/c	4,956	Apr 1, 2006	By Balance b/d	6,000
	To Balance c/d	7,044	Mar 31, 2007	By Profit and Loss A/c	6,000
		<u>12,000</u>			<u>12,000</u>
Mar 31, 2008	To Repairs and Renewals A/c	5,310	Apr 1, 2007	By Balance b/d	7,044
	To Balance c/d	7,734	Mar 31, 2008	By Profit and Loss A/c	6,000
		<u>13,044</u>			<u>13,044</u>
Apr 1, 2008	To Repairs and Renewals A/c	6,006	Apr 1, 2008	By Balance b/d	7,734
	To Balance c/d	7,728	Mar 31, 2009	By Profit and Loss A/c	6,000
		<u>13,734</u>			<u>13,734</u>

OBJECTIVE 16: ACCOUNTING STANDARD (AS)–6

The Institute of Chartered Accountants of India, keeping in view with international accounting principles, revised (AS)–6.

This standard AS–6 deals with the concept: Depreciation

Depreciation is defined as “a measure of the wearing out, consumption or other loss of value of a depreciable asset arising from use, effluxion of time or obsolescence through technology and market changes. Depreciation is allocated so as to charge a fair proportion of the depreciable amount in each accounting period during the Expected Useful Life of the Asset. Depreciation includes amortization of assets whose useful life is predetermined”.

16.1 Salient features of AS–6 (Revised)

1. Accounting for Depreciation:

- (i) *Existing Assets*: The depreciable amount of existing assets = Cost of the asset (historical not market value) – salvage (scrap value) value.
- (ii) *Revision of estimate useful life of an asset*: In case, if there is a necessity to revise the estimated life of an asset, the unamortized depreciable amount will have to be charged over the remaining useful life.
- (iii) *Addition (or) extension to an existing asset of capital nature*: In such cases, two factors will have to be considered:
 - (a) such an addition should retain separate identity,
 - (b) it can still be used after the disposal of existing assets.

Then, depreciation is to be determined *independently* on the basis of an estimate of its own useful life.

In other cases, the depreciation has to be determined on the basis of remaining useful life of the existing asset plus addition or extension as an *integral part*.

- (iv) AS–6 provides that the commonly employed methods of depreciation are Straight Line Method and Reducing Balance Method. It further stipulates that the selection of method would depend on the type of assets and nature and use of assets.

For depreciable assets having no material value, depreciation is to be allocated fully in the accounting period in which the said asset is acquired.

- (v) Further, it stipulates that the Depreciation Method selected should be applied consistently.
- (vi) Change from one method to other method should be made only if:
 - (a) such a change is required by a statute
 - (b) it complies with an accounting standard
 - (c) it would result in desired result and better presentation of financial statements.

When such a change in method of depreciation occurs, depreciation should be calculated in accordance with *new method* with *retrospective effect*.

The deficiency surplus arising from such retrospective computation should be adjusted into the Profit and Loss Account of the year in which depreciation is changed.

This fact must be disclosed as a change in accounting policy.

- (vii) Where a historical cost of a depreciable asset has undergone a change due to increase or decrease in the long-term liability on account of exchange fluctuations, price adjustments, changes in duties or similar factors, the depreciation on the revised unamortized depreciable amount should be provided prospectively over the remaining useful life of the asset.

- (viii) Revaluation of depreciable assets:
 - (a) Provision for depreciation should be based *on the revalued amount and on the estimate of remaining useful Life of such asset.*
 - (b) In case, the revaluation has a material effect on the amount of depreciation, the same should be disclosed separately in the year in which such revaluation is made.
- (ix) If any depreciable asset is disposed off, discarded, demolished or destroyed, Net Surplus (or) Deficiency, If Natural, should be disclosed separately.
- (x) (a) Finally, this AS – 6 requires the disclosure of cost (historical or any cost) *of the asset*, depreciation for the period for each class of assets and accumulated depreciation
- (b) Depreciation method used, rate, Useful Life of Assets are also to be disclosed in the financial statements along with the disclosure of accounting policies.

SUMMARY

- Depreciation is a measure of the wearing out, or other loss of value of depreciable asset arising from use, time or obsolescence. Depreciation is allocated so as to change a fair proportion of the cost in each accounting period during the Expected Useful Life of the Asset. Depreciation includes amortization, depletion and obsolescence.
- Depreciation accounting is the process of allocating the cost of the fixed tangible assets less its salvage value over its serviceable life. It is a process of allocation and not of valuation.
- Features: (i) Depreciation is a gradual but continuous fall in the book value of fixed assets. (ii) It is related to tangible fixed assets. (iii) It is a charge against profits. (iv) It is a process of allocating costs. (v) It has no relationship with market value. (vi) It is only an estimation. (vii) Total depreciation cannot exceed original cost.
- Causes of Depreciation: *Physical features*: (i) wear and tear, (ii) passage of time and (iii) natural calamities. *Functional factors*: (i) inadequacy to match demand, (ii) depletion, (iii) obsolescence and (iv) expiry of legal rights.
- Need for Depreciation: (i) to ascertain true result of operations, (ii) to show true and fair view of financial position, (iii) exact cost of the product, (iv) to comply with legal requirements, (v) allocation of cost of fixed assets and (vi) impact on tax liability.
- Factors that affect depreciation: (i) historical cost, (ii) estimated useful life and (iii) estimated residual (scrap) value.
- Accounting treatment: (i) by charging to Asset Account directly and (ii) by creating provision for depreciation.
- Methods of Providing (Allocating) Depreciation:
 1. Straight Line Method: A fixed and equal amount according to a fixed percentage on original cost is written off each accounting year over the Expected Useful Life of the Asset. For actual method of calculation refer Illustrations 1–5.
 2. WDV Method: Depreciation is computed on the reducing balance (Asset Cost *Less* Depreciation) and not on original cost. The rate of depreciation remains the same but the amount of depreciation goes down decreasing. For actual method of computation refer Illustrations 6–9, 12, 20 and 22.
- Accounting treatment to create provision for depreciation and accumulated depreciation (refer Illustration 13).
- Change in the method of depreciation is permitted as per AS–6 (Revised). Depreciation has to be calculated from the date of asset coming into use. Surplus or Deficiency that arises due to recalculation is to be credited to or debited to Profit and Loss account, respectively. For detailed workings refer to Illustrations 14–18.
- Annuity Method: Under this method, the amount of depreciation to be charged every year must be so calculated as to reduce that asset together with interest accumulated thereon to the salvage value at the end of the useful life of the asset. For detailed working refer to Illustration 19.
- Sinking Fund Method: This method requires the calculation of a basic sum of money which, if invested every year, would together with interest earned will be equal to the cost of the asset. Such amount which has to be set aside every year by way of depreciation is calculated by using Sinking Fund

Table. For detailed working of this method refer to Illustrations 20–23.

- **Sum-of-the-Years'-Digits Method:** Under this method, depreciation is charged more in the first year and less in the later years.
- **Choice of depreciation methods:** Choice of selecting a suitable depreciation is not easy. It mostly depends on the inherent characteristic features of an asset.
- **Is depreciation a source of fund?** The question leads to a big controversy and debate. The most acceptable answer to the question is that depreciation is not a source of fund.
- **Provision:** This term refers to any amount set aside or retained by way of providing for depreciation, renewals or diminutions in value of assets. It is a charge against profits. It is created by debiting Profit and Loss Account.
- **Reserves:** This term refers to profits retained in the business not having any of the characters of Provision. It is an appropriation of profit and can be created only when sufficient profit is available. It is shown on the debit side of Profit and Loss Appropriation Account and under the head "Reserves and Surplus" on the liabilities side of the Balance Sheet.
- **Types of Reserves:** Capital Reserve and Revenue Reserve. Revenue Reserve may be classified into General Reserve and Specific Reserve.
- **Salient features of AS-6 relating to depreciation** (refer the text).

Key Terms

Amortization: The gradual and systematic writing off of an asset or an account over a reasonable period is referred to as "Amortization."

Annuity: A series of periodic cash flows may be called so. Annuity method takes care of the interest on investments and added to the cost of the asset to compute depreciation.

Depreciation: A measure of the wearing out or loss of value of a depreciable asset arising from use, efflux of time or obsolescence.

Obsolescence: The reduction of utility of an asset that results from the development of a better machine or process.

Provision: An amount written off or retained or earmarked for diminution in value of assets is known as Provision. It may also be retained for any known liability.

Reserve: Accumulated profit of a business. Reserve is an appropriation of profits.

Sinking Fund: A required annual payment that allows for the periodic retirement of debt.

Straight Line Method: It is a method of computing depreciation. It allocates uniform amount of depreciation amount to each full accounting period of an asset's useful life.

WDV Method: It is another depreciation method according to which the depreciation charge is a certain percentage of the WDV of assets.

References

M.C. Shukla, T.S. Grewal and S.C. Gupta, *Advanced Accountancy*, Chand and Company, 2008 Edition.
J.R. Monga, *Financial Accounting – Concepts and Applications*, Mayor Paper Back, New Delhi, 2007–08.

P.C. Tulsian, *Financial Accounting*, Pearson Education, New Delhi, 2004.

A Objective-type Questions

I State whether the following statements are True or False

1. Depreciation is related to Depreciable Fixed Assets only.
2. Depreciation is the result of fluctuations in the value of fixed assets.
3. Depreciation is only a temporary decrease in the book value of the asset.
4. Depreciation covers depletion, amortization, and obsolescence.
5. In case of companies, it is compulsory to charge depreciation.

6. When the rate of depreciation is given as 10% p.a. along with the date of acquisition, depreciation amount is computed for the entire accounting period.
7. Depreciation is an amortized expenditure.
8. The expressions – depreciation is to be charged at 20% and 20% p.a. denote then same thing.
9. Historical cost of a depreciable asset affects the amount of depreciation.
10. Estimated residual value of a depreciable asset affects the amount of depreciation.
11. Straight Line Method is applied to have a uniform charge for depreciation and for repairs and maintenance together.
12. The interest on the capital invested in the asset is taken into consideration under Straight Line Method.
13. Under Straight Line Method, the book value of assets become zero or equal to its scrap value at the end of its useful life.
14. The items of transaction relating to revenue nature are usually debited to respective assets account.
15. Under Written Down Value Method of depreciation, the rate of depreciation remains constant, whereas the amount of depreciation goes on decreasing.
16. WDV method takes into consideration the interest on capital invested in the asset.
17. It takes a lengthy period to write as asset down to its break-up value, under WDV method of depreciation.
18. Depreciation is charged at a fixed percentage on the original cost in all subsequent years.
19. The book value of the assets does not become zero under WDV method of depreciation.
20. Change in the Method of depreciation is made from the next accounting period.
21. Sinking Fund Method of depreciation provides a definite amount at a certain future for replacement of assets at the end of their useful life.
22. Depreciation Fund will appear under the head “Reserves and Surplus” on the Liabilities side of the Balance Sheet.
23. Depreciation Fund Investment Account shall appear on the Liabilities side of the Balance Sheet.
24. Depreciation is not provided in case of loss in an accounting year.
25. Providing depreciation in accounts reduces the amount of profits available for dividend distribution.

Answers

- | | | |
|-----------|-----------|-----------|
| 1. True | 2. False | 3. False |
| 4. True | 5. True | 6. False |
| 7. True | 8. False | 9. True |
| 10. False | 11. False | 12. False |
| 13. True | 14. False | 15. True |
| 16. False | 17. True | 18. False |
| 19. True | 20. False | 21. True |
| 22. True | 23. False | 24. False |
| 25. True | | |

II Fill in the blanks with suitable words

1. Depreciation is a term used to denote decrease in the book value of _____.
2. Depreciation is a permanent _____ in the book value of an asset.
3. “Depletion” refers to _____ deterioration by exhaustion of natural resources.
4. The term “Amortization” refers to _____ deterioration of intangible assets.
5. Book value (as on date of sale) = original cost _____.
6. Under Straight Line Method, the book value of the asset becomes _____ or to its _____ value at the end of its useful life.
7. Under Written Down Value Method, the rate of depreciation remains _____ year after year, whereas the amount of depreciation goes on _____.
8. Under Written Down Value Method, depreciation is charged at a fixed percentage on _____ in the first year and on _____ in subsequent years.
9. Under Straight Line Method depreciation remains _____.
10. Depreciation Fund Account shall appear on _____ side of Balance Sheet.
11. Depreciation Redemption Fund Investment Account shall appear on the _____ side of the Balance Sheet.
12. Revenue Reserves are created out of _____ available for distribution by way of dividend.
13. Provision is a _____ against profit.
14. Reserve is an _____ out of profit.
15. The amount of depreciation remains constant year after year under _____.

Answers

- | | |
|----------------------------|-----------------------|
| 1. Depreciable fixed asset | 2. Decrease |
| 3. Physical | 4. Economic |
| 5. Total depreciation | 6. Zero; scrap |
| 7. Constant; decreasing | 8. Original cost; WDV |
| 9. Constant | 10. Liabilities |
| 11. Assets | 12. Profit |
| 13. Charge | 14. Appropriation |
| 15. Straight Line Method | |

B Short Answer-type Questions

1. Define "Depreciation".
2. What are the characteristics of "Depreciation"?
3. Define "Depletion."
4. What do you mean by "Amortization"?
5. Explain the term "Obsolescence."
6. What are the causes of Depreciation?
7. What are the main objectives of Depreciation?
8. What are the factors that affect the amount of depreciation?
9. Mention the two methods of recording depreciation.
10. Mention the important methods of recording of allocating depreciation.
11. Explain: Straight Line Method.
12. What are the merits and demerits of Straight Line Method?
13. For which type of business entities, the Straight Line Method is more suitable?
14. How will you calculate the amount of depreciation under Straight Line Method?
15. How will you calculate the rate of depreciation under the Straight Line Method?
16. What do you mean by Written Down Value Method of depreciation?
17. How will you calculate rate of depreciation under WDV Method?
18. What are the merits of WDV Method?
19. What are the demerits of WDV Method?
20. For which type of assets, is the WDV Method considered suitable?
21. Mention examples of assets for which WDV method is considered suitable.
22. Distinguish between depreciation and obsolescence.
23. Distinguish between Straight Line Method and Written Down Value Method.
24. Pass the necessary Journal entries relating to "creation of provision for depreciation."
25. Elucidate the important features for recording a change in the method of depreciation.
26. What is "Sinking Fund Method"?
27. How will you treat:
 - (a) Depreciation Fund Account
 - (b) Debenture Redemption Fund Investment Account?
28. What are the merits of Sinking Fund Method?
29. What are the demerits of Sinking Fund Method?
30. For which type of assets is the Sinking Fund Method considered more suitable?
31. Give examples of assets for which Sinking Fund Method is considered suitable.
32. Mention the important points to be considered while creating Depreciation Fund.
33. Explain the term "Provision."
34. Give examples of "Provision."
35. What is the main purpose of creating "Provision"?
36. What is the accounting treatment for "Provision"?
37. How "provision" is treated in the final statement of accounts?
38. What is "Reserve"?
39. Give examples of "Reserve."
40. What are the objectives of a "Reserve"?
41. Mention the two types of "Reserve."
42. How does a "Revenue Reserve" differ from a "Capital Reserve"?
43. Give examples of Capital Reserves.
44. Distinguish between "Provision" and "Reserve."
45. What do you mean by "Reserve for replacement of assets"?
46. What are the factors that affect the useful life of a depreciable asset?
47. Explain the provisions according to Accounting Standard (AS)-6-(Revised) relating to "Disclosure."
48. What are the important provisions envisaged in AS-6 regarding "Change in the method of depreciation"?
49. What are the guidelines issued by (AS)-6 (revised) for
 - (i) Revaluation of a depreciable asset and
 - (ii) Change in long-term liability
50. Is depreciation affected by obsolescence and fluctuation? Give reasons for your answer.

C Essay-type Questions

1. Define "Depreciation." Explain its significance. Elucidate the factors that affect depreciation. Explain its effect on Profit and Loss Account as well as Balance Sheet.
2. What is Straight Line Method? Explain its merits and suitability with a suitable illustration.
3. Explain Written Down Value Method. Explain its salient features by way of illustrations.
4. What do you mean by "Sinking Fund Method"? What are the merits, demerits, suitability of Sinking Fund Method?

5. Write short notes on:
 (i) Amortization, (ii) Obsolescence, (iii) Provision and (iv) Reserve
6. "The continued existence of general reserve is dependent upon the continued existence of corresponding surplus of assets" – Comment on this statement.
7. Explain the salient features of Accounting Standard (AS)–6 (Revised) issued by the Institute of Chartered Accountants of India.

D Exercises

1. **Model:** Computation of depreciation under Straight Line Method.
 Calculate the Rate of Depreciation under SLM.

	Purchase Price of Machine Rs	Expenses to be Capitalised Rs	Estimated Residual Value Rs	Expected Useful Life Years
(i)	24,000	6,000	12,000	4
(ii)	5,100	900	600	10
(iii)	13,500	1,500	3,000	10
(iv)	60,000	15,000	7,500	5

Answer: (i) 15%, (ii) 9%, (iii) 8% and (iv) 18%

2. **Model:** Calculation of amount of depreciation under SLM.

A machine was purchased for Rs 96,000. Expenses incurred on its cartage and installation Rs 24,000. The residual value at the end of its Expected Useful Life of 4 years is estimated at Rs 48,000. Calculate the amount of depreciation for the first year ending on Mar 31, 2009 if the machine was purchased on (i) Apr 1, 2008, (ii) July 1, 2008, (iii) Oct 1, 2008 and (iv) Jan 1, 2009.

Answer: (i) Rs 18,000, (ii) Rs 13,500, (iii) Rs 9,000 and (iv) Rs 4,500

3. **Model:** Calculation of profit/loss on sale of asset under SLM.

ABC Ltd purchased a second-hand machine for Rs 1,50,000 and spent Rs 30,000 on its repairs. Depreciation is to be provided @ 10% p.a. according to Straight Line Method. This machine was sold for Rs 1,35,000. Accounting year is financial year. Calculate the profit or loss on sale of machine in each of the following alternative cases:

- (i) If the date of purchase is Apr 1, 2006 and date of sale is Mar 31, 2009.
 (ii) If the date of purchase is Apr 1, 2006 and date of sale is Sep 30, 2008.
 (iii) If the date of purchase is July 1, 2006 and date of sale is Mar 31, 2009.
 (iv) If the date of purchase is July 1, 2006 and date of sale is Sep 30, 2008.

Answer: (i) Profit Rs 9,000, (ii) NIL, (iii) Profit Rs 4,500 and (iv) Loss Rs 4,500

4. **Model:** Preparation of Asset Account under SLM

On Jan 1, a public limited company purchased a second-hand machine for Rs 3,12,000 and spent Rs 12,000 as shipping and forwarding charges; Rs 30,000 as import duty; Rs 3,000 as carriage inwards; Rs 12,000 as repair charges; Rs 3,000 as installation charges; Rs 2,400 as brokerage of middleman and Rs 600 for an iron pad. It is estimated that the machine will have a scrap value of Rs 12,000 at the end of its useful life which is 20 years. On Sep 30, 2006, amount spent on repairs Rs 12,000; on July 1, 2009 this machine was sold for Rs 1,89,600. You are required to prepare the Machinery Account for the first three calendar years.

Answer: Loss on sale: Rs 1,43,400

5. A cabs company purchased 5 tempos at Rs 2,00,000 each on Apr 1, 2007. The company writes off depreciation @ 20% p.a. on original cost and observes calendar year as its accounting year. On Oct 1, 2009 one of

the tempos was involved in an accident and is completely destroyed. Insurance company paid Rs 90,000 in full settlement of the claim. On the same day, the company purchased a used tempo for Rs 1,00,000 and spent Rs 20,000 on its overhauling

You are required to prepare Tempo Account for three years ending Dec 31, 2009.

Answer: Loss on sale Rs 10,000; balance Rs 4,74,000

6. On Jan 1, 2006, machineries were purchased by SUN Limited for Rs 4,00,000. On July 1, 2007, additions were made to the extent of Rs 80,000. On Apr 1, 2008, further additions were made to the extent of Rs 51,200. On June 30, 2009, one machinery, original value of which was Rs 64,000 on Jan 1, 2006, was sold for Rs 48,000. Depreciation is charged @ 10% p.a. on original cost.

You are required to show the Machinery Account for three years from 2006 to 2009 in the books of SUN Limited, which closes its books on Dec 31st.

Answer: Profit of sale Rs 6,400; Balance Rs 3,03,840

7. On Jan 1, 2006, machinery was purchased by EXY Ltd for Rs 1,00,000. On July 1, 2007 additions were made to the extent of Rs 20,000. On Apr 1, 2008, further additions were made to the extent of Rs 12,800.

On June 30, 2009, machinery original value of which was Rs 16,000 on Jan 1, 2006 was sold for Rs 12,000. Depreciation is charged @ 10% p.a. on original cost.

You are required to show the Machinery Account for the years from 2006 to 2009 in the books of EXY Ltd, it closes the books on Dec 31st.

Answer: Profit on sale Rs 1,600; Closing Balance: Rs 75,960

Model: Written Down Value Method:

8. Mr. A bought a machine for Rs 25,000 on which he spent Rs 5,000 for carriage and freight; Rs 1,000 for brokerage of the middleman; Rs 3,500 for installation and Rs 500 for an iron pad. The machine is depreciated @ 10% every year on written down basis. After three years the machine was sold to Mr. B for Rs 30,500 and Rs 500 was paid as commission to the broker. Find out the profit or loss on the sale of machine.

Answer: Profit on sale Rs 4,485

9. On Jan 1, 2007, Renu Ltd purchased a second hand machine for Rs 96,000 and spent Rs 24,000 on its carriage, repairs and installation. On Sep 30, 2008, this machine was sold for Rs 60,000. Depreciation is to be provided @ 20% p.a. according to Written Down Value Method.

Answer: Loss on sale Rs 22,080

10. On Jan 1, 2006, X Ltd purchased machinery for Rs 72,000 and on June 30, 2007 acquired additional machinery at a cost of Rs 12,000. On Mar 31, 2008 one of the original machines which had cost Rs 3,000 on Jan 1, 2006 was found to have become obsolete and was sold as scrap for Rs 300. It was replaced on that date by a new machine costing Rs 4,800. Depreciation is provided @ 15% p.a. on the written Down Value. The books are closed on Dec 31st every year.

You are required to show ledger accounts for the first three years.

Answer: Loss Rs 1,785; Balance Rs 56,070

11. **Model:** Provision for Depreciation:

On Jan 1, 2006, ABC Ltd purchased a machinery for Rs 12,00,000. On July 1, 2008, a part of the machinery purchased on Jan 1, 2006 for Rs 80,000 was sold for Rs 45,000 and a new machinery at a cost of Rs 1,58,000 was purchased and installed on the same date. Depreciation has to be provided at 10% p.a. on the original cost. You are required to show the necessary ledger accounts if: (i) Provision for Depreciation Account is maintained and (ii) Provision for Depreciation Account is not maintained.

Answer: (i) Loss on sale Rs 15,000; Balance of Machinery A/c Rs 12,78,000; Balance of Provision for Depreciation A/c Rs 3,43,900.

(ii) Loss on sale Rs 15,000; Balance of Machinery A/c Rs 9,34,100

12. On Jan 1, 2006, LM Ltd purchased a machinery for Rs 48,00,000. On July 1, 2008, a part of the machinery was purchased on Jan 1, 2006 for Rs 3,20,000 was sold for Rs 1,80,000 and a new machinery at a cost of Rs 6,32,000 was purchased and installed on the same day. Depreciation has to be provided at 10% p.a. on the diminishing balance of the machinery.

You are required to show the necessary ledger account if (i) Provision for Depreciation Account is not maintained (ii) Provision for Depreciation Account is maintained.

Answer: (i) Loss on sale Rs 66,240; Balance of Machinery A/c Rs 38,66,920
 (ii) Loss on sale Rs 66,240; Balance of Machinery A/c Rs 51,12,000 and Balance of Provision for Depreciation A/c Rs 12,45,680

Model: Change in Depreciation Methods.

13. On Jan 1, 2008 Fortune Ltd purchased a machine for Rs 50,000 and provided depreciation @ 10 % p.a. At the end of 2009, the company decided to change the method of depreciation from Straight Line Method to Written Down Value Method retrospectively, the rate of depreciation remaining same. Prepare the Machinery Account for the year 2009.

Answer: Excess Depreciation Rs 1,450

14. On Jan 1, 2006, Renu Ltd purchased a machine for Rs 60,000 and provided depreciation @ 10% p.a. At the end of 2009, the company decided to change the method of depreciation from Written Down Value to Straight Line Method retrospectively, the rate of depreciation remaining the same. Prepare the Machinery Account for the year 2009.

Answer: (Deficit) Short Depreciation Rs 1,740

15. Machinery Account of LBM Ltd showed debit balance of Rs 97,200 on Jan 1, 2009. Depreciation was provided @ 10% p.a. On July 1, 2009, a part of the machinery purchased for Rs 30,000 on Jan 1, 2007 was sold for Rs 21,000 and on the same date a new machinery which costs Rs 60,000 was purchased. On Dec 31, 2009, the company decided to change the method of depreciation from Diminishing Balance Method to Fixed Installment Method effective from Jan 1, 2007 depreciation rate remaining unaltered.

Show the Machinery Account for 2009

Answer: Additional Depreciation Rs 1,200; Closing Balance Rs 1,20,000

16. **Model:** Sinking Fund Method

The Directors of MAC Ltd decided to replace their entire plant. They accepted the quotation of M/s APT & Co amounting to Rs 22,50,000

The old Machinery and Plant Account stood at Rs 11,40,000. The accumulated balance of Depreciation Fund in the books of the company was Rs 9,73,500. The fund was represented by securities which were sold for Rs 9,74,900. Some of the materials comprising the old machinery were found to be in good condition. M/s APT & Co agreed to take over this at an agreed value of Rs 70,500. The remainder of the old machinery was auctioned for Rs 25,600

Show the various accounts in the books of the company.

Answer: Profit on sale of investments Rs 1,400; Loss on sale Rs 69,000

17. XYZ Ltd purchased a machinery on Apr 1, 2004 for Rs 6,00,000. The machinery has to be replaced at the end of 5 years for which purpose a Sinking Fund is established. It is expected that securities will earn @ 10% p.a. interest. Sinking Fund Table shows that Re. 0.163797 invested in each year will produce Re. 1 at the end of 5 years at 10% p.a. interest. XYZ Ltd closes their accounts on Mar 31, each year.

At the end of the period, the securities are sold at their book value. New machinery was installed on Apr 1, 2009, at a cost of Rs 7,20,000.

You are required to show all the necessary ledger account for all the years.

18. Y Ltd traded a piece of equipment with an original cost of Rs 12,000 and accumulated depreciation to date of Rs 9,600 for another piece of equipment which had a list price of Rs 18,000. The payment for the new equipment consisted for a trade-in-allowance of Rs 4,200 on the old equipment plus Rs 13,800 cash. The old equipment could have been sold for Rs 3,300 cash.

You are required to give entries to record the exchange.

Answer: Profit on exchange Rs 600 is the difference between Rs 3,000 and Rs 2,400. Record new equipment at Rs 16,800 – an extra allowance of Rs 1,200 is treated as a reduction in the price of new equipment.

19. A machine costing Rs 1,00,000 with no salvage value and estimated life 10 years had the following balances at the end of 2 years:

Machinery: Rs 1,00,000

Accumulated Depreciation: Rs 20,000

It was estimated that the future life would be 4 years instead of 8 years. You are requested to show the revision of rate to be recorded.

Answer: Revised depreciation per year: Rs 20,000

Inventory – Valuation

Chapter

11

LEARNING OBJECTIVES

After studying this chapter, you will be able to:

1. Understand the Meaning of Inventory and Inventory Valuation
2. Recognise the Importance of Inventory Valuation
3. Assess the Technical Features of Inventory Records System
4. Distinguish between Periodic Inventory System and Perpetual Inventory System
5. Understand the Concepts – Cost of Purchase, Costs of Conversion and Other Costs as per Accounting Standard (AS)–2 (Revised)
6. Apply Cost Formula
7. Understand the Specific Identification Costs Method
8. Understand the Meaning and Features of First-In-First-Out (FIFO) Method
9. Prepare Stock Ledger Under FIFO Method and to Compute Costs of Goods Sold Under Both Systems (Periodic System and Perpetual System)
10. Understand Last-In-First-Out (LIFO) Method (not Recognised by AS–2)
11. Apply Weighted Average Method
12. Prepare Stock Ledger Applying Weighted Average Method and to Compute the Value of Ending Inventory Under Both the Systems
13. Decide the Choice of Inventory Valuation Methods
14. Ascertain the Value of Inventory as on the Balance Sheet Date
15. Salient Features of AS–2 (Revised) Relating to Inventory

INTRODUCTION

Inventory is a current asset. It constitutes a major part in financial statements of trading and, more specifically manufacturing concerns. After cash and receivables, this plays an important role. The term inventory refers to “the stock pile of the products a firm is offering for sale and the components that make up the product.” It is a well-known fact that inventories have their own effect on the liquidity of enterprises. The correct financial position of a firm can be determined only if the inventories are valued

precisely. The gross profit of a firm is closely associated with the cost of goods sold, whereas the cost of goods sold is directly affected by inventories (both opening and ending). The following equation exposes its close relationship.

$$\text{Cost of Goods Sold} = \text{Opening Stock} + \text{Purchases} - \text{Closing Stock and Expenses}$$

The closing stock of an accounting period will become the opening stock of the next period. Hence, the valuation of inventory has attained greater significance. Despite such a high level of significance, the valuation of inventories is quite often not accurate because of the policies of the management of the firm and the accounting procedures adopted by the accountants. Hence, to ensure objective measurement and present an accurate income and position statement, proper valuation of inventory is necessary for keeping proper stock registers, stock verification, proper pricing of issues and following a consistent policy or method. These factors for the valuation of inventories are of vital importance. This chapter analyses such factors in detail by following the standard requirements envisaged in Accounting Standard (AS)–2 issued by the Institute of Chartered Accountants of India (ICAI).

OBJECTIVE 1: MEANING

1. Simple Meaning: Inventory is an asset. However, in the broad sense, the term inventory means an exhaustive list of assets – goods that a company holds from the stage of purchase till the stage they are sold off.

According to AS–2 (Revised), “Inventories are assets held for sale in the ordinary course of business; in the process of production for such sale; or in the form of materials or supplies to be consumed in production process or in the rendering of services.”

Inventories cover the goods purchased and held for resale, for example, merchandise (goods) purchased by a retailer and held for resale, computer software held for resale, land and other property held for resale. Inventories also include finished goods produced or work in progress being produced by the enterprises and include materials, maintenance supplier consumables and loose tools awaiting to be used in the production process. Inventories vary according to the nature of the business.

2. Trading Concern: Inventories under this type encompass products purchased for resale in the existing form, an inventory of supplies such as wrapping paper, cartons and stationery.

3. Manufacturing Concern: Inventories under this type consist of raw materials, work in process and finished products.

According to AS–10, accounting for fixed assets machinery spares is not included in the inventory and are to be treated as per AS–10.

OBJECTIVE 2: SIGNIFICANCE OF INVENTORY VALUATION

1. Backbone: “Inventory” is the major asset for any business enterprise (trading as well as manufacturing). It constitutes more than 75% of the total current assets. It is the backbone of the entire business edifice.

2. Liquidity: Creditors always have an eye on the liquidity position of the business entity. An easy way to judge the liquidity position of an enterprise is to compute accounting ratios. The current assets’ role is very important. As inventories constitute the major proportion of current assets, its valuation is of vital importance to judge the liquidity of a concern. As such, the role of inventories cannot be minimised.

3. Determination of True Income: To determine true income, proper valuation of assets is important.

$$\text{Gross Profit} = \text{Sales} - \text{Cost of Goods Sold}$$

As gross profit is directly affected by the valuation of stock, true profit cannot be ascertained unless proper valuation of stock is carried out. Its impact on the income statement is high.

4. Determination of True Financial Position: The true financial position of a concern cannot be arrived at improper valuation of inventories from their initial stage. Its importance is confirmed again by the following equation:

$$\text{Cost of Goods Sold} = \text{Opening Stock} + \text{Purchases} - \text{Closing Stock} + \text{Direct Expenses}$$

The main components of the above equation are Opening Stock, Purchases and Closing Stock – all the above components represent the inventories. Unless it is valued properly, it will affect the Income Statement and the Balance Sheet. Hence, the valuation of inventory is significant to determine the true financial position of the enterprises.

OBJECTIVE 3: INVENTORY RECORD SYSTEMS

To determine the physical quantities and rupee value of inventories sold and in hand, the following systems are adopted: 1. Periodic Inventory System and 2. Perpetual Inventory System.

3.1 Periodic Inventory System

Meaning: Periodic inventory system is a method of ascertaining inventory by taking the actual physical count (measure or weight) of all the inventory items on hand at a particular date, usually at the end of an accounting period. It is also known as the physical inventory system because of the actual physical count. The physical count of the stock may be undertaken on any date (not necessarily at the end of an accounting period), whenever information about inventory is required. The cost of goods sold is determined using the following equation:

$$\text{Cost of Goods Sold} = \text{Opening Inventory} + \text{Purchases} - \text{Closing Stock}$$

The cost of goods sold includes cost of *lost goods* also.

Accounting Procedure:

- (i) Record all purchases of inventories (as debits) to Purchase Account.
- (ii) No entry is to be made at the time of sale for cost of goods sold.
- (iii) Stock of Inventory Account is made up-to-date by way of adjusting entries.

(The balance in an Inventory Account remains unchanged because purchases and sales are not through the Inventory Account.)

3.2 Perpetual Inventory System

The perpetual inventory system is a system of records that reveals the physical movement of stocks and their current balance. It is a method of recording inventory balances after each purchase and sale takes place. The closing inventory is calculated as a residual factor, which is calculated by using the following equation:

$$\text{Closing Inventory} = \text{Opening Inventory} + \text{Purchases} - \text{Cost of Goods Sold}$$

Accounting Procedure:

- (i) A separate account for each type of inventory is maintained in a card to record the purchase and sale of each such inventory item.
- (ii) The detailed inventory records for each different item show receipts (purchases), issues (sales) and balance on hand in both quantities and amount.
- (iii) The increases (purchases) in inventory items are recorded as receipts (or debits) to the respective accounts and the decreases (sales) are recorded as issues (or credits). The balances of the inventory items accounts are known as the Book Inventories of the Items on Hand.
- (iv) The physical inventory of each item of inventory is also undertaken periodically, at least once a year (at the end of the accounting period).
- (v) Finally, the records maintained under the perpetual inventory system are compared with actual quantities of each item on hand. If any discrepancy arises, it has to be corrected.

3.3 Distinction Between Periodic Inventory System and Perpetual Inventory System

Basis of Distinction	Periodic Inventory System	Perpetual Inventory System
1. Basis	It is based on the actual physical count	It is based on records
2. Method and cost	It is a simple method and cost-wise, it is economical	It is comparatively complex and cost-wise, it is not economical as records have to be maintained
3. Valuation of inventory	Inventory is directly ascertained by applying the method of valuation of inventories	Inventory is ascertained by applying the equation: Closing Inventory = Opening Inventory + Purchases – Cost of Goods Sold
4. Calculation of cost of goods sold	Cost of goods sold is ascertained by applying the equation: Cost of Goods Sold = Opening inventory + Purchases – Closing Inventory	Cost of goods is ascertained directly by applying the method of valuation of inventories
5. Continuous checking	Inventory checking is not frequent and continuous	Inventory checking is continuous and frequent
6. Lost goods	Cost of sales includes lost goods	Inventory includes lost goods
7. Residual factor	Cost of sales is a residual factor	Closing inventory is the residual factor
8. Inventory control	It does not provide a basis for inventory control	It provides a basis for inventory as physical checkups are compared with records
9. Application of method of valuation	The method of valuation is applied only once at the end of the accounting period to ascertain the cost of closing inventory	The method of valuation is applied continuously to ascertain the cost of goods sold

OBJECTIVE 4: VALUATION OF INVENTORIES

AS–2 (Revised) stipulates that inventories should be valued at the lower of the cost and net realisable value.

4.1 Important Concepts

As such, the basis of valuation is cost. According to the provisions of AS–2 (Revised), “the cost of inventories comprises *all costs of purchase, costs of conversion and other costs incurred* in bringing the inventories to their present location and condition.”

Costs of Purchase: The costs of purchase consist of the purchase price that includes:

- (i) Duties, (ii) Taxes, (iii) Freight inwards, (iv) Cost of packing, (v) Insurance, (vi) Transportation, (vii) Storage.

By deducting

- (i) Trade discount, (ii) Rebates, (iii) Other relevant items.

Note: Cash discount is not to be taken into account for inventory valuation.

Costs of Conversion: In case of production it includes:

- (i) Direct labour.
- (ii) Fixed production overheads: depreciation, maintenance of factory and the like.
- (iii) Variable production overheads – indirect material, indirect labour and so on.

Other Costs: All other costs incurred in bringing inventories to the present location and condition.

Costs Excluded

- (i) Interest and other borrowing costs.
- (ii) Abnormal loss (materials).
- (iii) Abnormal loss (labour).
- (iv) Abnormal loss (production).
- (v) Other costs that are not related to inventories (from purchase to the present location and condition).

4.2 Cost Formulae

AS–2 (Revised) provides certain rules for the valuation of inventories. Among them the most important are:

The cost of inventories of items that is not ordinarily inter-changeable, and goods or services produced and segregated for specific projects should be assigned by *Specific Identification* of their individual *Costs*.

The cost of inventories other than those dealt with, as explained in Section 4.1 should be assigned using the First-In-First-Out (FIFO) or Weighted Average Cost Formula.

According to these provisions of AS–2 (Revised), only the following methods of inventory valuation are permitted.

- (i) Specific Identification (of costs) Method
- (ii) FIFO Method
- (iii) Weighted Average Cost Method

OBJECTIVE 5: SPECIFIC IDENTIFICATION OF COSTS

Specific identification of costs means that specific costs are attributed to identified items of inventory. For items which are segregated for a specific project (purchased or produced – it is immaterial), appropriate treatment for such items will be of much importance. The process of assigning costs involves the following two procedures:

- (i) One has to keep track of the purchase price of each specific unit.
- (ii) To know which specific units were sold.

The most important feature of this method is that business enterprise must keep track of the cost of each individual item purchased and sold. This process is relatively less complicated, say simple, as the cost is marked on the unit or on its container or can be traced to cost record. This method is suitable where the purchases are not frequent and where the old purchased items do not mix up with the newly purchased items i.e. items purchased a few years ago should not be mingled with those items purchased now, for example, furniture, automobiles and so on. Under this method, matching cost with revenue is perfect because actual costs form the basis for cost of goods sold and closing inventory.

This method has its own short comings. This is not suitable,

- (i) when units are identical and interchangeable
- (ii) when there are frequent changes in acquisition costs

- (iii) when identical units of a particular item of inventory is purchased at different costs at different times
- (iv) under such circumstances described above, it is difficult to assign appropriate cost to cost of goods sold and to the closing inventory.

Notwithstanding the efforts taken by ICAI to establish an appropriate method of valuing the inventories, this approach also suffers from certain limitations as discussed above.

OBJECTIVE 6: FIRST-IN-FIRST-OUT METHOD

- This method is based on the *assumption* that flow of cost is in the order in which the expenditures were made.
- To explain, the units that are received first will be sold first, i.e. the units are sold in the order in which they were acquired (purchased).
- The flow of costs is presumed to be the same as flow of goods.
- The closing (ending) inventory consists of the latest lots and is valued at the price paid for such lots.
- The results achieved under this method may be more or less similar to those obtained under specific identification method.

6.1 Merits

1. This method is suitable for items of perishable goods because goods purchased first are sold first.
2. FIFO is easy to operate – in situations where price fluctuation is less.
3. This method does not give room for manipulation of income.
4. Assignment of cost against revenue is matched, as they are fixed in the order in which costs are incurred.
5. This method is alive to the price trend in the market.
6. Closing (ending) inventory valuation reflects the true financial position due to its recent purchase.
7. No unrealised inventory profit or loss can be made under this method as it is based on cost.

6.2 Demerits

1. In the periods of rising prices, higher income will be reported resulting in higher tax liability.
2. In a period when prices are fluctuating, the cost of purchase do not represent current market price.
3. In case where production cycle is lengthy, true profit cannot be shown in income statements.
4. This method does not match current cost of goods sold with current revenues.
5. Comparison among similar jobs is not easy.
6. This method involves more mathematical work if prices fluctuate.

Illustration: 1

From the following information, you are required to calculate the value of Ending Inventory and Cost of Goods Sold assuming (a) Perpetual System and (b) Periodic Inventory System under FIFO method.

Date	Transactions	Units	Price per Unit Rs
Jan 2, 2009	Opening Balance brought forward	100	10
Jan 9, 2009	Purchases	400	15
Jan 14, 2009	Sold	300	–
Jan 25, 2009	Purchases	500	20
Jan 29, 2009	Sold	400	–

Solution: Step 1**Stock Ledger under FIFO Method Perpetual System**

Date	Receipts (Purchases)			Issues (Sales)			Balance		
	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs
Jan 2, 2009	–	–	–	–	–	–	100	10	1,000
Jan 9, 2009	400	15	6,000	–	–	–	{ 100 400	10 15	1,000 6,000
Jan 14, 2009	–	–	–	{ 100 200	10 15	1,000 3,000	200	15	3,000
Jan 25, 2009	500	20	10,000	–	–	–	{ 200 500	15 20	3,000 10,000
Jan 29, 2009	–	–	–	{ 200 200	15 20	3,000 4,000	300	20	6,000

Step 2 Calculation of Value of Ending Inventory

	Rs
1. Opening Inventory	1,000
2. Add: Purchases	
6,000 + 10,000	<u>16,000</u>
	17,000
3. Less: Cost of Goods Sold	
(1000 + 3000 + 3000 + 4000)	<u>11,000</u>
4. Value of Ending Inventory	
(1 + 2 – 3)	6,000

Step 3 Statement Showing the Value of Inventory and Cost of Goods Sold (Periodic System)

	Rs
1. Opening Inventory	1,000
2. Add: Purchases	
(Rs 6,000 + Rs 10,000)	<u>16,000</u>
	17,000
3. Less: Ending Inventory (300 × Rs 20)	<u>6,000</u>
4. Cost of Goods Sold (1 + 2 – 3)	<u>11,000</u>

Notes

- Units (in quantity) and Rate (in rupees) are shown within brackets for easy comprehension, which was purchased first and which has to be sold first.
- In case, see the sale on Jan 14, 2009 – the selling unit is 300 units. First from the opening balance 100 units @ Rs 10 and the remaining 200 units from the part that was purchased on Jan 9 @ Rs 15 were taken into account, i.e. units purchased first, were sold first.
- In the valuation of Ending Inventory under Perpetual System, the Closing Inventory consists of the latest lots and is valued at the price paid for such lots.
- In Periodic System, the Cost of Goods Sold is the residual factor, and the steps involved in its computation are shown in Step 3.

OBJECTIVE 7: LAST-IN-FIRST-OUT METHOD (LIFO)

Though this method is not recognised by AS-2 (Revised), this method is explained here for academic interest. The salient features of this method are:

- Under this method, goods which are purchased last are sold first.
- This assumption is made for the purpose of assigning costs and not for physical flow of goods.
- As such, the goods sold consist of the latest lots, which are valued at the price paid for such lots.

7.1 Merits

1. Under this method, current costs are in tune with current revenues.
2. The Closing Inventory is valued at lower cost of old purchases, which will not reflect the current price level trend.
3. As current costs are matched with current revenues/lower income may be reported in periods of rising prices.
4. As it is based on cost, unrealised inventory profit/loss cannot be worked out.

7.2 Demerits

1. Cost flows do not correspond to the physical flow of goods.
2. Measurement of income is not in conformity with utilisation of income.
3. Value of Ending Inventory does not reflect the current price level.
4. In periods of falling prices, higher income is reported thereby increases tax liability.
5. It involves more calculation work.

Illustration: 2

Based on the figures in Illustration 1, you are required to compute the value of Ending Inventory and Cost of Goods Sold under LIFO Method in the following cases alternatively.

Case (a): Perpetual Inventory System

Case (b): Periodic Inventory System

Solution: Step 1**Stock Ledger under LIFO Method**

Date	Receipts (Purchases)			Issues (Sales)			Balance		
	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs
Jan 2, 2009	–	–	–	–	–	–	100	10	1,000
Jan 9, 2009	400	15	6,000	–	–	–	100	10	1,000
							400	15	6,000
Jan 14, 2009	–	–	–	300	15	4,500	100	10	1,000
							100	15	1,500
Jan 25, 2009	500	20	10,000	–	–	–	100	10	1,000
							100	15	1,500
							500	20	10,000
Jan 29, 2009	–	–	–	400	20	8,000	100	10	1,000
							100	15	1,500
							100	20	2,000

Step 2**Case (a): Calculation of Ending Inventory (Perpetual System)**

	Rs
1. Opening Inventory	1,000
2. <i>Add:</i> Purchases (Rs 16,000 + Rs 10,000)	<u>16,000</u>
	17,000
3. <i>Less:</i> Cost of Goods Sold (300 × 15: Rs 4,500 + 400 × Rs 20 = Rs 8,000)	<u>12,500</u>
4. Ending Inventory (1 + 2 – 3)	<u>4,500</u>

Hence, value of Ending Inventory = Rs 4,500

Now, compare this with FIFO Method where the value of Ending Inventory is Rs 6,000.

Step 3**Case (b): Calculation of Valuation of Inventory and Cost of Goods Sold (Periodic System)**

	Rs
1. Opening Inventory	1,000
2. <i>Add:</i> Purchases (Rs 6,000 + Rs 10,000)	<u>16,000</u>
	17,000
3. <i>Less:</i> Ending Inventory (100 × Rs 10 + 100 × Rs 15 + 100 × Rs 20) Rs 1000 + Rs 1,500 + Rs 2000	<u>4,500</u>
4. Cost of Goods Sold (1 + 2 – 3) Cost of Goods Sold = Rs 12,500	<u>12,500</u>

Now, compare this under LIFO Method where the value of Cost of Goods Sold is Rs 11,000 under Periodic System.

OBJECTIVE 8: WEIGHTED AVERAGE METHOD

The Weighted Average Price Method is based on the assumption that:

- (i) Each sale of goods consists of a due proportion of the earlier lots.
- (ii) Such sale is valued at the weighted average price.

$$\text{Weighted average price} = \frac{\text{Total cost of goods in stock}}{\text{Total quantity of goods in stock}}$$

(whereas Total cost = Quantity × Cost per unit)

8.1 Procedure Under Periodic Inventory System

- In case a Perpetual Inventory System is used, the above explained weighted average cannot be applied because weighted average cost cannot be calculated until the end of the accounting period. To set right this defect, a MOVING WEIGHTED AVERAGE COST is applied.

Moving Average Cost: Under this procedure, a new unit cost is provided after every purchase.

8.2 Procedure Under Perpetual Inventory System

- Prices for units in the opening inventory and in each purchases are multiplied by number of units in the opening inventory and in each purchase and are then averaged (to be divided by total number of units) to find out the weighted average cost per unit.

- When goods are sold, this moving average cost existing at that time is used.
- It should be noted that a new weighted average unit cost is calculated after each purchase at different price and this figure is used to price all units sold till the next purchase date.

8.2.1 Merits

1. This method is realistic, objective and consistent.
2. Manipulation may not be possible.
3. It averages out the effect of price fluctuations.
4. It is most suitable for process type industries.

8.2.2 Demerits

1. This method needs more calculation work at each and every stage.
2. The Ending Inventory differs from the conventional method of valuation of closing date.
3. It is not suitable for job order type industries.

Illustration: 3

Using the information given in Illustration 1, you are required to apply Weighted Average Method to compute the value of Ending Inventory and Cost of Goods Sold in each of the following alternatives:

- (a) Perpetual Inventory System
- (b) Periodic Inventory System

Solution

Case (a): Stock Ledger under Weighted Average Method

Step 1

Date	Receipts (Purchases)			Issues (Sales)			Balance		
	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs
Jan 2, 2009	–	–	–	–	–	–	100	10	1,000
Jan 9, 2009	400	15	6,000	–	–	–	500	14	7,000
Jan 14, 2009	–	–	–	300	14	4,200	200	14	2,800
Jan 25, 2009	500	20	10,000	–	–	–	700	18.29	12,800
Jan 29, 2009	–	–	–	400	18.29	7,316	300	18.29	5,484

Step 2 Valuation of Ending Inventory

	Rs
1. Opening Inventory	1,000
2. Add: Purchases	
(Rs 6,000 + Rs 10,000)	<u>16,000</u>
	17,000
3. Less: Cost of Goods Sold	
(Rs 4,200 + Rs 7,316)	<u>11,516</u>
4. Value of Ending Inventory	<u>5,484</u>
(1 + 2 – 3)	

Step 3

Case (b): Statement Showing the Weighted Average Cost per Unit under Weighted Average Method (Applying Periodic Inventory System)

Date	Quantity Rs	Rate Rs	Amount
Jan 2, 2009	100	10	1,000
Jan 9, 2009	400	15	6,000
Jan 29, 2009	500	20	10,000
	<u>1,000</u>		<u>17,000</u>

Weighted Average Cost = Rs 17,000/1,000 = Rs 17 per unit

Step 4 Valuation of Ending Inventory and Cost of Goods Sold under Weighted Average Method using Periodic Inventory System

	Rs
1. Opening Inventory	1,000
2. <i>Add:</i> Purchases	
(Rs 6,000 + Rs 10,000)	<u>16,000</u>
	17,000
3. <i>Less:</i> Ending Inventory	
(300 × Rs 17)	<u>5,100</u>
4. Value of Cost of Goods Sold	<u>11,900</u>

OBJECTIVE 9: CHOICE OF INVENTORY VALUATION METHODS

Compare the solutions to Illustrations 1, 2 and 3, and you will be able to judge to decide the choice of valuation method. Only simple figures and less number of transactions are used in the illustrations so as to enable the students to understand the techniques involved in each such method.

The choice of the method will be based on the following factors:

- In case of the period of rising prices:
Use of FIFO will result in
 - Highest inventory valuation
 - Lowest cost of goods sold
 - As a result, net income will be high
 Use of LIFO will reverse the above results.
 - When a fall in price is the situation:
Use of FIFO will result in
 - Lowest inventory valuation
 - Highest cost of goods sold
 - As a result, net income will be low
 Use of LIFO will reverse the above results.
- To determine the method of valuation, prevailing trend in price level should be taken into consideration.
 - It should be observed here, if price level is stable (see the three illustrations given above) – the result will be more or less same under all the three methods, i.e. FIFO, LIFO and Weighted Average Method.

- It should further be noted that the use of FIFO does not match recent costs with revenue but use of LIFO matches the latest costs with revenue. For this concept, use of LIFO is better than FIFO.
- Comparing FIFO and LIFO, “the Weighted Average Method gives a middle course between the effects of FIFO periodic and LIFO periodic methods.”

Under stable price level, the values of Closing Inventory, Cost of Goods Sold and net income will lie between LIFO and FIFO methods if Weighted Average Method is used (compare the results in all the 3 illustrations).

- Weighted Average Method and FIFO Method will give the same result if the turnover ratio of inventory is very high.

To put in a nutshell, choice of the method depends on:

- (i) Price level changes,
- (ii) Stock turnover,
- (iii) Company’s policy on profit,
- (iv) Accounting policy and procedure.

Illustration: 4

Purchases and sales of a certain product during Jan 2009 are given below.

Purchases

- On Jan 2, 2009 100 units @ Rs 5
- On Jan 12, 2009 200 units @ Rs 4.80
- On Jan 17, 2009 100 units @ Rs 4.60
- On Jan 22, 2009 100 units @ Rs 4.50

Sales

- On Jan 7, 2009 50 units
- On Jan 14, 2009 150 units
- On Jan 28, 2009 100 units

There was no Opening Inventory.

You are required to compute the Cost of Goods Sold under the methods:

1. FIFO
2. LIFO and
3. Weighted Average Cost

Solution: Step 1

Stock Ledger in the format has to be prepared and FIFO Method is to be used.

After that, Cost of Goods Sold is to be computed under both the systems – Perpetual and Periodic.

Stock Ledger (FIFO Method)

Date	Receipts (Purchases)			Issues (Sales)			Balance		
	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs
Jan 2, 2009	100	5	500	–	–	–	100	5	500
Jan 7, 2009	–	–	–	50	5	250	50	5	250
Jan 12, 2009	200	4.80	960	–	–	–	50	4	250
							250	4.80	960

Date	Receipts (Purchases)			Issues (Sales)			Balance		
	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs
Jan 14, 2009	–	–	–	50 100	5 4.80	250 480	100	4.80	480
Jan 17, 2009	100	1.60	460	–	–	–	100 100	4.80 4.60	480 460
Jan 22, 2009	100	4.50	450	–	–	–	100 100 100	4.80 4.60 4.50	480 460 450
Jan 28, 2009	–	–	–	100	4.80	480	100 100	4.60 4.50	460 450

- (i) Cost of Goods Sold (Perpetual System) = Rs 1,460
(Rs 250 + Rs 730 × Rs 480)
- (ii) Cost of Goods Sold (Periodic System)
= Opening Inventory + Purchase – Closing Inventory
= Nil + Rs 2,370 – Rs 910 = Rs 1,460

Stock Ledger (LIFO Method)

Date	Receipts (Purchases)			Issues (Sales)			Balance		
	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs
Jan 2, 2009	100	5	500	–	–	–	100	5	500
Jan 7, 2009	–	–	–	50	5	250	50	5	250
Jan 12, 2009	200	4.80	960	–	–	–	50 200	5 4.80	250 960
Jan 14, 2009	–	–	–	150	4.80	720	50 50	5 4.80	260 240
Jan 17, 2009	100	4.60	460	–	–	–	50 50 100	5 4.80 4.60	250 240 460
Jan 22, 2009	100	4.50	450	–	–	–	50 50 100 100	5.00 4.80 4.60 4.50	250 240 460 450
Jan 28, 2009	–	–	–	100	4.50	450	50 50 100	5 4.80 4.60	250 480 460

- (i) Cost of Goods Sold (Perpetual System) = Rs 1,420
(Rs 250 + Rs 720 + Rs 450)
- (ii) Cost of Goods Sold (Periodic System)
= Opening Inventory + Purchases – Ending Inventory
= Nil + Rs 2,370 – Rs 1,190 = Rs 1,180

Stock Ledger (Weighted Average Method)

Date	Receipts (Purchases)			Issues (Sales)			Balance		
	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs
Jan 2, 2009	100	5	500	–	–	–	100	5	500
Jan 7, 2009	–	–	–	50	5	250	50	5	250
Jan 12, 2009	200	4.80	960	–	–	–	250	4.84	1,210
Jan 14, 2009	–	–	–	150	4.84	726	100	4.84	484
Jan 17, 2009	100	4.60	460	–	–	–	200	4.72	944
Jan 22, 2009	100	4.50	450	–	–	–	300	4.65	1,395
Jan 27, 2009	–	–	–	100	4.65	465	200	4.65	930

- (i) Cost of Goods Sold (Perpetual System) = Rs 1,441
(Rs 250 + Rs 726 + Rs 465)

$$\begin{aligned}
 \text{(ii) Cost of Goods Sold (Periodic System)} &= \frac{\text{Total amount of purchases}}{\text{Total units purchased}} \\
 &= \frac{\text{Rs } 2,370}{450} = \text{Rs } 5.27
 \end{aligned}$$

Weighted Average Cost of 300 units sold = $300 \times \text{Rs } 5.27$ or $\text{Rs } 2,370 \times 300 = \text{Rs } 1,581$

Illustration: 5

Renu Ltd started on Jan 1, 2008, purchased raw materials during 2008 as stated below:

		Rate per kg Rs
Jan 5	750 kg	51
Jan 25	1,200 kg	49
Feb 20	2,300 kg	47
Mar 15	2,500 kg	48
Oct 2	1,250 kg	50
Dec 10	1,000 kg	55

While preparing final accounts on Dec 31, 2008, the company had 1,200 kg of raw materials in its godown. You are required to compute the values of Closing Stock of raw materials and the Cost of Sales according to:

- First-In-First-Out (FIFO) Basis,
- Last-In-First-Out (LIFO) Basis, and
- Weighted Average Price (WAP) Basis.

Solution

First quantity of sales (raw materials consumed) is calculated.

Total Purchases in the year 2008	=	9,000 kg
Less: Closing Stock	=	<u>1,200 kg</u>
Sales (consumed)	=	<u>7,800 kg</u>

(a) FIFO Basis

			Rs
Cost of Ending Inventory	$1,000 \times 55$	=	55,000
	200×50	=	<u>10,000</u>
			65,000
Cost of Sales	750×51	=	38,250
	$1,200 \times 49$	=	58,800
	$2,300 \times 47$	=	1,08,100
	$2,500 \times 48$	=	1,20,000
	$1,050 \times 50$	=	<u>52,500</u>
			<u>3,77,650</u>

(b) LIFO Basis

Cost of Ending Inventory	750×51	=	38,250
	450×49	=	<u>22,050</u>
			60,300
Cost of Sales	$1,000 \times 55$	=	55,000
	$1,250 \times 50$	=	68,750
	$2,500 \times 48$	=	1,20,000
	$2,300 \times 47$	=	1,08,100
	750×49	=	<u>36,750</u>
			<u>3,84,600</u>

(c) Weighted Average Basis

Total cost of Purchases is calculated as:

750×51	=	38,250
$1,200 \times 49$	=	58,800
$2,300 \times 49$	=	1,08,100
$2,500 \times 48$	=	1,20,000
$1,250 \times 50$	=	68,750
$1,000 \times 55$	=	<u>55,000</u>
		<u>4,48,900</u>

Weighted Average = $4,48,900/9,000 = \text{Rs } 49.88$

Cost of Ending Inventory	=	$1,200 \times \text{Rs } 49.88$
	=	Rs 59,856
Cost of Sales	=	$7,800 \times \text{Rs } 49.88$
	=	Rs 3,89,064

Illustration: 6

A retail shop dealing in knitwear has the following transactions during June 2008.

Date	Purchase/Sale	Units/Knitwear	Rate per unit Rs
June 2	Purchase	1,000	50
June 8	Purchase	500	60
June 12	Sale	500	70
June 15	Purchase	800	70

Date	Purchase/Sale	Units/Knitwear	Rate per unit Rs
June 18	Sale	1,000	85
June 24	Purchase	500	85
June 28	Sale	800	100

You are required to compute

- (i) The gross profit earned during June,
- (ii) The value of stock held on June 30, 2008 using each of the following alternative basis of valuation:
 - (a) FIFO,
 - (b) LIFO,
 - (c) Weighed Average Cost.

(B.Com – Madras, Modified)

Solution

Computation of Total Sales				Rs
June 12	500 × 70	=		35,000
June 18	1,000 × 85	=		85,000
June 28	800 × 100	=		80,000
Total Sales				<u>2,00,000</u>

(a) Stock Ledger (FIFO)

Date	Purchases			Sales			Balance		
	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs
June 2	1,000	50	50,000	–	–	–	1,000	50	50,000
June 8	500	60	30,000	–	–	–	1,000	50	50,000
							500	60	30,000
June 12	–	–	–	500	50	25,000	500	50	25,000
June 15	800	70	56,000	–	–	–	500	60	30,000
							500	50	25,000
							500	60	30,000
June 18	–	–	–	500	50	25,000	800	70	56,000
				500	60	30,000	800	70	56,000
June 24	500	85	42,500	–	–	–	800	70	56,000
							500	85	42,500
June 28	–	–	–	800	70	56,000	500	85	42,500

- (i) Cost of Sales = Rs 25,000 + Rs 25,000 + Rs 30,000 + Rs 56,000 = Rs 1,36,000
- (ii) Gross Profit = Sales – Cost of Sales = Rs 2,00,000 – Rs 1,36,000 = Rs 64,000
- (iii) Closing Stock = Rs 42,500

(b) Stock Ledger (LIFO)

Date	Purchases			Sales			Balance		
	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs
June 2	1,000	50	50,000	–	–	–	1,000	50	50,000
June 8	500	60	30,000	–	–	–	1,000	50	50,000
							500	60	30,000
June 12	–	–	–	500	60	30,000	1,000	50	50,000
June 15	800	70	56,000	–	–	–	1,000	50	50,000
							800	70	56,000
June 18	–	–	–	800	70	56,000			
				200	50	10,000	800	50	40,000
June 24	500	85	42,500	–	–	–	800	50	40,000
							500	85	42,000
June 28	–	–	–	500	85	42,000			
				300	50	15,000	500	50	25,000

(a) Cost of Sales = Rs 30,000 + Rs 56,000 + Rs 10,000 + Rs 42,500 + Rs 15,000 = Rs 1,53,500

(b) Gross Profit = Sales – Cost of Sales = Rs 2,00,000 – Rs 1,53,500 = Rs 46,500

(c) Closing Stock = 500 × Rs 50 = Rs 25,000

(c) Stock Ledger (WAP)

Date	Purchases			Sales			Balance		
	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs	Quantity	Rate Rs	Amount Rs
June 2	1,000	50	50,000	–	–	–	1,000	50	50,000
June 8	500	60	30,000	–	–	–	1,500	53.33	80,000
June 12	–	–	–	500	53.53	26,666	1,000	53.33	53,334
June 15	800	70	56,000	–	–	–	1,800	60.74	1,09,334
June 18	–	–	–	1,000	60.74	60,740	800	60.74	48,592
June 24	500	85	42,500	–	–	–	1,300	70.07	91,092
June 28	–	–	–	800	70.07	56,057	500	70.07	35,035

(i) Cost of Sales = Rs 26,666 + Rs 60,740 + Rs 56,057 = Rs 1,43,463

(ii) Gross Profit = Sales – Cost of Sales = Rs 2,00,000 – Rs 1,43,463 = Rs 52,537

(iii) Value of Closing Stock = Rs 35,035

OBJECTIVE 10: VALUATION OF INVENTORY AS ON THE BALANCE SHEET

In case the value of inventory is taken on a date other than the Balance Sheet date, some adjustments relating to Sales, Purchases, Returns – inwards and outwards are required to be made for the purpose of ascertaining the value of inventory as *on the Balance Sheet*.

The adjustment procedure differs depending on the date on which the computation of value of inventory takes place.

10.1 Method I

Computation of value of inventory, if an inventory is taken *prior* to the Balance Sheet (for example, inventory date is Mar 10 ... and Balance Sheet is Mar 31 ...).

	Rs
Step 1: Value of Inventory as per books on (date prior to the date of Balance Sheet)	
Step 2: <i>Less:</i> Cost of Goods Sold between two dates (after stock taking till Mar 31 and Purchase Returns)	
Step 3: <i>Add:</i> Cost of unsold goods lying with others (sent before stock taking)	
Step 4: <i>Add:</i> Cost of goods purchased and Sales Returns	
Step 5: <i>Less:</i> Cost of unsold goods lying with us (received upto stock taking)	
Step 6: Value of Inventory as per books as on Mar 31 the date of Balance Sheet	<u>.....</u>

10.2 Method II

Computation of Value of Inventory, if an inventory is taken *after* the Balance Sheet date (for example, inventory date is Apr 10 ... and Balance Sheet date is Mar 31 ...).

Procedure: Just *reverse* the procedure discussed under Method I (i.e., Items that are all added will be deducted under this method – refer Step 3, Step 4) and items that are all deducted will be added (refer Step 2, Step 5).

Examples of unsold goods: Cost of goods relating to consignment basis, joint venture basis, approval basis, hire-purchase basis (goods sent [lying with others] or received [lying with us]).

Stock as per books may be different from the stock found as per physical verification. Such difference arises due to the following reasons:

- (i) Goods purchased – recorded in the books but not yet received,
- (ii) Goods sold – recorded in the books but not yet delivered,
- (iii) Returns Inwards – not recorded in books but received,
- (iv) Returns Outwards – not recorded in books but delivered.

Methods of valuation differ here also:

Case (a): If the physical inventory is taken *prior* to the Balance Sheet date while computing the value of inventory:

	Rs
Step 1: Value of Physical Inventory as on (date prior to Balance Sheet date)	
Step 2: <i>Add:</i> Cost of Goods Purchased and Cost of Sales Returns	
Step 3: <i>Less:</i> Cost of Goods Sold and Cost of Purchase Returns	
Step 4: Result: Value of Inventory as on Balance Sheet date	<u>.....</u>

Case (b): If the physical inventory is taken *after* the Balance Sheet date while computation of value of inventory:

Just *reverse* the procedure adopted in Case (a), i.e. the items added in the above procedure are to be deducted and the items deducted in the above method are to be added.

Note: To determine the value of stock at a given date, the above procedure has to be adopted.

Illustration: 7

Determine the value of stock as per books of Vas Ltd on Mar 31, 2009 from the following information:

- (i) The cost of stock as per physical verification as on Mar 20, 2009 amounted to Rs 5,00,000.
- (ii) Purchases as per Purchase Book after stock taking till Mar 31, 2009 amounted to Rs 5,00,000 and included the following:
 - (a) Rs 20,000 for goods received till Mar 19
 - (b) Rs 40,000 for goods received on Apr 1
- (iii) Sales as per Sales Book after stock taking, till Mar 31, amounted to Rs 5,00,000 and include the following:
 - (a) Rs 20,000 for goods delivered till Mar 19
 - (b) Rs 40,000 for goods delivered on Apr 1
- (iv) Goods are sold by the trader at a profit of 25% on cost.

Solution

- Physical inventory is taken on Mar 19, i.e. prior to the date of Balance Sheet.
- So, necessary adjustments (addition/deduction) have to be made (as discussed already).
- Here, one more information is given in the question, i.e. goods are sold at a profit of 25% on COST. That is equal to 20% on sales.

Note: While computing the stock as per books, whether the goods are not received/delivered is immaterial. As such, so adjustments under this method. But while valuing the stock as per physical verification such items are not to be included but deducted.

Statement Showing the Valuation of Stock as on Mar 31, 2009

	Rs
Step 1: Stock as per physical verification as on Mar 19, 2009	5,00,000
Step 2: Add: Cost of goods purchased between two dates (i.e., from Mar 19 to Mar 31) Rs 5,00,000 – Rs 20,000 (received already) = Rs 4,80,000	4,80,000 <u>9,80,000</u>
Step 3: Less: Cost of goods sold between the dates 20% of (Rs 5,00,000 – Rs 20,000) $20/100 \times 4,80,000 = \text{Rs } 96,000 = \text{Rs } 96,000$ Rs 4,80,000 – Rs 96,000 = Rs 3,84,000 (or) Directly 80% (Rs 5,00,000 – Rs 20,000) $80/100 \times 4,80,000 = 3,84,000$	 <u>3,84,000</u>
Step 4: Stock as per books as on Mar 31, 2009	<u><u>5,96,000</u></u>

Illustration: 8

Calculate the cost of physical stock as on Mar 31, 2009 by using the figures in Illustration 7.

Solution

Note: While calculating the cost of physical stock, adjustments have to be made for goods not yet received or delivered. This is the main difference between these two methods.

Statement Showing the Valuation of Physical Stock as on Mar 31, 2009

	Rs
Step 1: Stock as per physical verification as on Mar 20, 2009	5,00,000
Step 2: Add: Cost of goods purchased between the dates (after stock taken on Mar 31) [Rs 5,00,000 – Rs 20,000 (already received) – Rs 40,000 (not yet received)]	4,40,000
Step 3: Less: Cost of goods sold [80% of (Rs 5,00,000 – Rs 20,000 – Rs 40,000)]	9,40,000
	<u>3,52,000</u>
Step 4: Cost of physical stock in hand as on Mar 31, 2009	<u>5,88,000</u>

Illustration: 9

Calculate the value of stock to be taken to Balance Sheet of PVR Ltd as on Mar 31, 2009 from the following information.

The stock was physically verified on Mar 21, 2009 and was valued at Rs 3,00,000. After stock taking, the following transactions took place till Mar 31.

- (i) Purchases of Rs 1,60,000 out of which 25% of goods were returned
- (ii) Sales of Rs 1,60,000 out of which 20% of goods returned by customers
- (iii) Goods are sold at a profit of 25% on cost

Solution

Notes: (i) 25% on COST = 20% on sales,

(ii) Stock was verified prior to date of Balance Sheet, necessary adjustments have to be made as.

Statement Showing the Valuation of Stock as on Mar 31, 2009

	Rs
Step 1: Stock as per physical verification as on Mar 21, 2009	3,00,000
Step 2: Add: Cost of goods purchased after stock taking till Mar Rs 1,60,000 – 25% of Rs 1,60,000 Rs 1,60,000 – Rs 40,000	1,20,000
	4,20,000
Step 3: Less: Cost of goods sold 80% of (Rs 1,60,000 – 25% of 1,60,000) 80 / 100 (Rs 1,20,000)	96,000
Step 4: Stock as per books at Mar 31, 2009	<u>3,24,000</u>

Illustration: 10

Calculate the value of stock to be taken to Balance Sheet of PVR Ltd as on Mar 31, 2009.

The stock was physically verified on Apr 9, 2009 and was valued at Rs 3,00,000. After Mar 31, the following transactions took place till the date of stock taking.

- (i) Purchases of Rs 1,60,000 out of which 25% were returned.
- (ii) Sales of Rs 2,00,000 out of which 25% were returned by customers.
- (iii) Goods are sold by the trader at a profit of 25% on cost.

Solution

Particulars are shown after the date of Balance Sheet. So, the procedure here is to be reversed.

Statement Showing the Valuation of Stock as on Mar 2009

	Rs
Step 1: Stock as per physical verification as on Apr 9, 2009	3,00,000
Step 2: Less: Cost of goods purchased after Mar 31, 2009 till Apr 9, 2009 (Rs 1,60,000 – 25% of Rs 1,60,000)	<u>1,20,000</u> 1,80,000
Step 3: Add: Cost of goods sold after Mar 31, 2009 to Apr 9, 2009 80% (Rs 1,60,000 – 25% of Rs 1,60,000)	<u>96,000</u>
Step 4: Stock as per books as on Mar 31, 2009	<u>2,76,000</u>

Illustration: 11

The stock was physically verified on Mar 21, 2009 and was valued at Rs 5,00,000. Goods are sold by the trader at a profit of 25% on COST. After stock taking, the following transactions took place till Mar 31, 2009.

Sales of Rs 5,54,000 include

- (i) Sales of Rs 27,000 @ 20% more than normal selling price.
- (ii) Sales of Rs 27,000 @ 10% less than normal selling price.

You are required to compute the value of stock to be taken to the Balance Sheet of RBS Ltd as on Mar 31, 2009.

Solution

- Physical inventory took place *prior* to the date of Balance Sheet.
- Here, an additional information to normal sales is shown in the problem. As such, abnormal sales value has to be calculated as:

$$\text{Normal sales} = (\text{Rs } 5,40,000 - \text{Rs } 27,000 - \text{Rs } 27,000) \times 80\%$$

$$\therefore \text{Profit} = 25\% \text{ on cost}$$

$$25\% \text{ on cost} = 20\% \text{ on sale}$$

$$100 - 20 = 80\%$$

$$= \text{Rs } 5,00,000 \times 80 = \text{Rs } 4,00,000$$

$$\therefore \text{Abnormal loss.}$$

Calculation 1

- (i) For sales of Rs 27,000 – 20% more than normal selling price.

Let normal selling price be Rs 100

$$20\% \text{ more means} = 100 + 20\%$$

$$\text{If abnormal sale is} = 120$$

$$\text{Normal sale} = 100$$

$$\text{For Rs } 27,000 = \text{Rs } 27,000 \times 100/120$$

$$= \text{Rs } 22,500$$

$$80\% \text{ (of } 22,500) = \text{Rs } 18,000$$

Calculation 2

- (ii) In the same way, for abnormal sales – 10% less than normal sale.

$$\text{Rs } 27,000 \times 100/90 = \text{Rs } 30,000$$

$$80\% \text{ (of Rs } 30,000) = \text{Rs } 24,000$$

Now, transfer these values for calculation as follows:

Statement Showing the Valuation of Stock as on Mar 31, 2009

	Rs
Step 1: Valuation of stock as on Mar 21, 2009	5,00,000
Step 2: Less: Cost of goods sold	
(i) Normal sales:	
80% of (Rs 5,54,000 – Rs 27,000 – Rs 27,000)	4,00,000
(ii) Abnormal sales:	
(a) For 20% above normal selling price (refer calculation 1)	18,000
(b) For 10% less than normal selling price (refer calculation 2)	24,000
	<u>4,42,000</u>
Step 3: Value of stock as on Mar 31, 2009	<u>58,000</u>

Illustration: 12

The stock was physically verified on Mar 24, 2009 and was valued at Rs 2,75,000. Goods are normally sold by the trader at a profit of 25% on cost.

You are required to compute the value of stock to be taken to the Balance Sheet of VRS Ltd as on Mar 31, 2009 in each of the following alternative cases:

Case (a): On Mar 21, goods of the sale value of Rs 50,000 were sent on sale or return basis to customer, the period of approval being two weeks.

Case (b): On Mar 21, goods of the sale value of Rs 50,000 were sent on sale or return basis to a customer, the period of approval being two weeks. He returned 20% of the goods on Mar 31.

Case (c): On Mar 21, goods of the sale value of Rs 50,000 were sent to on sale or return basis to a customer, the period of approval being two weeks. He approved 80% of the goods on Mar 31.

Case (d): On Mar 21, goods of the sale value of Rs 50,000 were sent on sale or return basis to a customer, the period of approval being two weeks. He returned 20% of the goods and approved 80% of the remaining on Mar 31.

Solution

Notes

- (i) Goods were sent on approval basis, which means the customer may return or (retain) approve the goods on the agreed basis, usually in percentage.
- (ii) Option period is also provided.
- (iii) Students have to see whether the goods have been returned or retained by the customer as on the date of balance sheet.
- (iv) Generally, goods lying with the customers cannot be treated as sold.
- (v) Note the date – the most important feature – in the computation of stock as on (Mar 21) – the Balance Sheet date – whether it is prior to the date of physical verification of stock or after the date of physical verification. Accordingly, adjustments (addition/deduction) have to be made.
- (vi) Statement showing the valuation of stock as on Mar 31, 2009.

Case (a): Statement Showing the Valuation of Stock as on Mar 31, 2009

	Rs
1. Value of stock as on Mar 24, 2009	2,75,000
2. Add: Cost of goods sent on approval and still with customer	
Sales – Gross Profit (20% on sale)	

Rs 50,000 – 20% (Rs 50,000 – Rs 10,000)	40,000
3. Value as on Mar 31, 2009	<u>3,15,000</u>

Case (b)

- | | |
|--|----------|
| 1. Value of stock as on Mar 24, | 2,75,000 |
| 2. Add: Cost of goods sent on approval | |

Received back 20% (20% of 50,000 – 20% of Rs 10,000)	
10,000 – 2,000	8,000
(100% = Rs 50,000)	
Received back = 20% → 20% of 50,000 = Rs 10,000	
Approved 80% = 80% of 50,000 = Rs 40,000	
Approved – still with the customer	
20% received back means 80% approved	
80% of 50,000 → 20% of Rs 40,000	
Rs 40,000 – Rs 8,000	<u>32,000</u>
	<u>3,15,000</u>

Case (c): Statement Showing the Valuation of Cost as on Mar 31, 2009

	Rs
1. Value of stock as on Mar 24, 2009	2,75,000
2. (a) Cost of goods sent on approval and received back (20% of Rs 50,000 – 20% of Rs 10,000)	8,000
(b) Cost of good sent on approval and still with customer (20% of 80% of Rs 50,000 – 20% of Rs 8,000)	<u>6,400</u>
	<u>2,89,400</u>

Illustration: 13

The stock was physically verified on Mar 24, 2009 and was valued at Rs 5,00,000. Goods are normally sold by the trader at a profit of 25% on cost.

You are required to compute the value of stock to be taken to Balance Sheet of VRV Ltd as on Mar 31, 2009 in each of the following alternative cases.

Case (a): On Mar 28, goods of sale value of Rs 2,00,000 were sent on sale or return basis to a customer, the period of approval being two weeks.

Case (b): On Mar 28, goods of the sale value of Rs 2,00,000 were sent on sale or return basis to a customer, the period of approval being two weeks. He returned 20% of goods on Mar 31.

Case (c): On Mar 28, goods of the sale value of Rs 2,00,000 were sent on sale or return basis to a customer, the period of approval being two weeks. He returned 20% of the goods and approved the remaining on Mar 31.

Case (d): On Mar 28, goods of the sale value of Rs 2,00,000 were sent on sale or return basis to a customer, the period of approval being two weeks. He returned 20% of goods and approved 80% of the remaining on Mar 31.

Solution

Note: Date of physical verification of stock is Mar 24, and transaction date is Mar 28, i.e. after the date of verification. So, the procedure has to be reversed.

Case (a): No adjustment is needed because the cost of these goods is already included in the value of stock as on Mar 24, Hence, value of stock is Rs 2,00,000.

Case (b): In this case also, no adjustment is needed because the cost of these goods is already included in the value of stock as on Mar 24.

Case (c): Statement Showing the Valuation of Stock as on Mar 31, 2009

	Rs
1. Value of stock as on Mar 24, 2009	5,00,000
2. <i>Less:</i> Cost of goods sent on approval which was approved 80% of Rs 2,00,000 – 20% of Rs 1,60,000 Rs 1,60,000 – Rs 32,000	<u>1,28,000</u>
3. Value of stock as on Mar 31, 2009	<u>3,72,000</u>

Note: Approval item – Amount deducted

Case (d): Statement Showing the Valuation of Stock as on Mar 31, 2009

	Rs
1. Value of stock as on Mar 24	5,00,000
2. <i>Less:</i> Cost of goods sent on approval which was approved (80% of 80% of Rs 2,00,000 – 20% of Rs 1,28,000)	<u>1,02,400</u>
3. Value of stock as on Mar 31, 2009	<u>3,98,600</u>

Illustration: 14

The stock was physically verified on Apr 9, 2009 and was valued at Rs 3,20,000. Goods are normally sold by the trader at a profit of 25% on cost.

You are required to compute the value of stock to be taken to the Balance Sheet of Vasant Ltd as on Mar 31, 2009 in each of the following alternative cases.

Case (a): On Mar 29, goods of the sale value of Rs 50,000 were sent on sale or return basis to a customer, the period of approval being two weeks.

Case (b): On Mar 29, goods of the sale value of Rs 50,000 were sent on sale or return basis to a customer, the period of approval being two weeks. He returned 20% of the goods on Apr 8, 2009.

Case (c): On Mar 29, goods of the sale value of Rs 50,000 were sent on sale or return basis to a customer, the period of approval being two weeks. He approved 80% of the goods on Apr 8.

Case (d): On Mar 29, goods of the sale value of Rs 50,000 were sent on sale or return basis to a customer, the period of approval being two weeks. He returned 20% of the goods and approved the remaining on Apr 8.

Case (e): On Mar 29, goods of the sale value of Rs 50,000 were sent on sale or return basis to a customer, the period of approval being two weeks. He returned 20% of goods and approved 80% of the remaining on Apr 8.

Solution

Note 1: Date of physical verification of stock is Apr 9, 2009 and the date of transactions are on Mar 29, i.e. prior to stock verification.

Note 2: Goods are sent on approval basis. Considering these two factors, the computation is made as:

Case (a): Statement Showing the Valuation of Stock as on Mar 31, 2009

	Rs
1. Value of stock as on Apr 9, 2009	3,20,000
2. <i>Add:</i> Cost of goods sent on approval are still with customers (Rs 50,000 – 20% of Rs 50,000)	<u>40,000</u>
3. Value of stock as on Mar 31, 2009	<u>3,60,000</u>

Case (b): 1. Value of stock as on Apr 9	3,20,000
2. <i>Add:</i> Cost of goods sent still with customer (80% of 50,000 – 20% of 50,000)	<u>32,000</u>
3. Value of stock as on Mar 31, 2009	<u>3,52,000</u>

Case (c): For case (c), the treatment is same and the value of stock is Rs 3,60,000.

Cases (d) and (e): Treatment is same. Hence, the value of stock is Rs 3,52,000.

Illustration: 15

The Profit and Loss of Account of Renu for the year ended on Dec 31, 2008 showed a net profit of Rs 3,360 after taking into account the physical closing stock of Rs 5,664. On a scrutiny of the books, the information was extracted and furnished as:

- Renu took goods valued Rs 1,800 for her personal use without making entry in the books.
- Purchases of the year included Rs 720 spent on purchase of a fan for her shop.
- Invoices for goods amounting to Rs 4800 have been entered on Dec 20, but such goods were not included in stock.
- Rs 600 was included in closing stock in respect of goods purchased and invoiced on Dec 18, but included in purchases of Jan.
- Sales of goods amounting to Rs 732 and delivered in Dec had been entered in Jan sales.

You are required to compute the value of closing stock as on Dec 31, 2008 and adjusted net profit for the year ended on that date.

[C.A (Inter) – Modified]

Solution

Note

- Value of closing stock is shown in the problem. But it has to be adjusted.
- Further, profit is given and after making adjustments, correct Net Profit has to be computed by preparing Profit and Loss (Adjustment) Account.
- Except Transaction 3, all the others need not be taken into account, while computing the value of stock as on Dec 31, 2008.

(a) Statement Showing the Valuation of Stock as on Dec 31, 2008

	Rs
1. Stock (given already in the problem)	5,664
2. <i>Add:</i> Purchases (Invoice: entered but goods not included in stock)	<u>4,800</u>
3. Value of stock as on Dec 31, 2008.	<u>10,464</u>

Note: Students should once again refer to the procedure already described and the transactions given in this problem and how they are treated here.

(b) Profit and Loss (Adjustment) Account

Dr.			Cr.
Particulars	Rs	Particulars	Rs
*To Suppliers a/c (item iv) (next accounting period)	600	By Profit as per P and L A/c (given in the problem)	3,360
*To Net Profit (adjusted)	10,812	By Drawings (Refer item ii) (goods for personal use)	1,800
		By Fixtures and Fittings A/c (item ii)	720

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
		By Closing Stock A/c (item iii) (goods in transit)	4,800
		*By Customers A/c (item v) (next accounting period)	732
	11,412		11,412

Note

- i. Items not related to goods – item ii – a fan for the office is credited to this a/c,
- ii. Items not related – personal use – item (ii) is credited to this account,
- iii. Goods in transit and items relating to next period (after the date of Balance Sheet) are credited or debited depending on the nature of items,
- *iv. Net Profit (adjusted) is the balancing figure,
- *v. Items iv and v are to be cancelled.

Illustration: 16

A firm could do physical stock taking on Jan 9, 2009. The accounts of the firm are closed on Dec 31, every year. The stock on Jan 7, 2009, as disclosed by the store-keeper was valued at Rs 91,500. You are required to compute the value of stock as on Dec 31, 2008 taking into consideration the following:

- (i) Purchases from Jan 1, 2009 to Jan 7, 2009 as per invoice book amounted to Rs 17,800. On a careful analysis it was found that a fan purchased for Rs 1,600 was passed through invoice book; purchase book was carried forward Rs 20 less on page 15, and purchase of Rs 2,400 duly recorded in the book is still in transit.
- (ii) Goods of Rs 2,700 received on consignment were lying in the store room and were included in stock taking.
- (iii) Sales from Jan 1, to Jan 7, 2009 amounted to Rs 20,800. This, however, included the following:
 - (a) Goods sent on consignment Rs 2,000, at invoice price is made of cost + 25%.
 - (b) Goods sent to branch at invoice price of Rs 840. Invoice price is made at a profit of 1/6th of sale.
 - (c) Goods sold at Rs 1,600, loss being 20% on cost.

Sales in the business are made at a profit of 1/3rd of cost.

You are required to prepare a statement showing the actual value of stock as on Dec 31, 2008.

[B.Com (Hons.) – Calcutta University, Adapted and Modified]

Solution

In this problem, total purchases and total sales are shown. In addition, some transactions relating to these items are given. In such a situation, Analysis of Purchases and Analysis of Sales are calculated as shown below:

Step 1: Analysis of Purchases

	Rs
Total purchases	17,800
Less: Purchase of a fan (passed through the invoice book)	<u>1,600</u>
	16,200

Add: under c/f of the book (book was c/f Rs 20 less)	20
	<u>16,220</u>
Less: Goods in transit	2,400
	<u>13,820</u>

Step 2: Cost price for each type (on sale) is calculated by analysing transactions relating to sale

	Rs
1. Goods sent on consignment	2,000
Profit margin: 20% on sale (therefore it is given as cost + 25%)	
20% of Rs 2,000 – Profit	400
Cost price	<u>1,600</u>
2. Goods sent to branch (invoice price)	840
Profit margin 1/6 of sale (given)	
$1/6 \text{th} \times 840 = \text{Profit } 140$	140
Cost price	<u>700</u>
3. Abnormal sale	1,600
Loss margin 20% on cost = 25% on sale	
Loss = $1/4 \text{th} \times \text{Rs } 1,600$	400
Cost price	<u>2,000</u>
4. Normal sale	16,360
Profit margin (1/3rd of Cost (given) = 1/4 of sale)	
Profit: $(1/4 \times \text{Rs } 16,360)$	4,090
Cost price	<u>12,270</u>
*Total cost price = (1 + 2 + 3 + 4)	
= Rs 1,600 + 700 + 2,000 + 12,270 = Rs 16,570	

Step 3: Statement Showing the Value of Stock as on Dec 31, 2008

	Rs
1. Stock as on Jan 7, 2009	91,500
2. Less: Stock on consignment	<u>(2,700)</u>
	88,800
3. Less: Goods received between the date of balance sheet and stock taken, i.e. from 31.12.2008 to 7.1.2009	13,820
	<u>74,980</u>
4. *Add cost of goods sold (refer Step 2)	16,570
5. Closing Stock as on Dec 31, 2008	<u>91,550</u>
Actual value of stock as on Dec 31, 2008	<u>91,550</u>

Illustration: 17

The financial year of Bhagya ends on Dec 31, 2009, but the stock in hand was physically verified only on Apr 9, 2009.

You are required to calculate the value of Closing Stock at cost as on Mar 31, 2009 from the following information:

- (i) The stock at cost as verified on Apr 9, 2009 was Rs 30,000.
- (ii) Sales have been entered in the sales day book only after the despatch of goods and sales return only on receipt of goods.

- (iii) Purchases have been entered in the purchases day book only on receipt of the purchase invoice irrespective of the date of receipt of goods.
- (iv) Sales as per sales day book for the period from Apr 1 to Apr 9, 2009 (before actual verification) amounted to Rs 12,000 of which goods of the value of Rs 2,000 had not been delivered at the time of verification.
- (v) Purchases as per the purchases day book for the period from Apr 1 to 9, Apr 2009 (before the actual verification) amounted to Rs 12,000 of which goods for purchases of Rs 3,000 had not been received at the date of verification and goods for purchases Rs 10,000 has been received prior to Mar 31, 2009.
- (vi) In respect of goods costing of Rs 10,000 received prior to Mar 31, 2009, invoices had not been received upto date of verification of stocks.
- (vii) Gross profit is 20% on sales.

[B.Com (Hons.) – Calcutta University, Modified]

Solution

Statement Showing the Valuation of Stock as on Mar 31, 2009

		Rs
1. Stock on Apr 9, 2009		30,000
2. Sales (adjustments made)		
	Rs	
<i>Add:</i>		
(i) Sales from 1.4.2009 to 9.4.2009	12,000	
(ii) <i>Less:</i> Goods not delivered (not included in stock – refer item “d”)	<u>(2,000)</u> <u>10,000</u>	
(iii) <i>Less:</i> Gross Profit (20% on 10,000)	<u>(2,000)</u> <u>8,000</u>	
Amount to be added to stock		<u>8,000</u> <u>38,000</u>
3. Purchases (adjustments made)		
<i>Less:</i>		
(i) Purchases from 1.4.09 to 9.4.2009	12,000	
(ii) <i>Less:</i> Goods not received till date (item: e)	<u>(3,000)</u> <u>(9,000)</u>	
(iii) <i>Less:</i> Goods received prior to date of Balance Sheet (no invoice received) (item: f)	<u>(10,000)</u> <u>(19,000)</u>	
Amount to be deducted from stock		<u>(19,000)</u> <u>19,000</u>
4. Stock as on Mar 31, 2009		
Value of Closing Stock (at cost) as on Mar 31, 2009 = Rs 19,000		

OBJECTIVE 11: ACCOUNTING STANDARD-2 (REVISED)

Salient Features (or) Important Provisions: Accounting Standards issued by the Institute of Chartered Accountants of India would bring Indian accounting practises at par with international accounting practises. This AS-2 (Revised) is issued relating to item of inventories and net realisable value. It is mandatory.

Inventory valuation: Acceptable basis for inventory valuation is

- (i) Cost
- or
- (ii) Net realisable value

whichever is less.

Cost: It dispenses the use of direct costing method. It recommends the use of standard cost and retail method of inventory valuation.

The cost includes:

- (i) all costs of purchase,
- (ii) costs of conversion,
- (iii) other costs incurred to bring the inventories to their present location and condition.

The cost does not include:

- (i) interest and other borrowing costs,
- (ii) abnormal amounts of wasted materials, labour or other production costs,
- (iii) storage costs,
- (iv) administrative overheads which do not contribute to bringing the inventories to their present location and condition,
- (v) selling and distribution costs.

Net Realisable Value = Estimated selling price – (Estimated costs of completion + Estimated costs to make the sale)

Cost Formulae: This standard envisages that the formula used should be the fairest possible approximation to cost (incurred in bringing the items of inventory to their present level and condition). AS–2 (Revised) emphasises the following formulae to determine the cost.

- (i) Specific Identification Cost.
- (ii) FIFO.
- (iii) WAC.

- AS–2 Revised cost does not permit the use of LIFO basis for determining the cost.

Net realisable value: For inventories in case:

- (i) They are damaged.
- (ii) They have become obsolete (partial or full).
- (iii) The price is declined.

Net realisable value method has to be applied. Estimates must be based on the most reliable evidence at the time of estimate and they should not be marked below cost.

Disclosure: AS–2 (Revised) stipulates that the financial statements should disclose:

- (i) The accounting policies adopted in valuing inventories,
- (ii) The cost formula used,
- (iii) The total carrying amount of inventories,
- (iv) Classification of inventories such as raw materials, work-in progress, finished goods and the like.

Not applicable:

This standard is not applicable for the following:

- (i) Work-in-progress arising under construction contracts as AS-7 sets provisions for construction contracts,
- (ii) Work-in-progress in the business of service providers,
- (iii) Shares, debentures etc., held as stock-in-trade,
- (iv) Producers' inventories of live-stock, agriculture and forest products,
- (v) Natural resources – mineral ores, oil wells, gases, quarries.

Summary

- Inventory means an exhaustive list of assets – goods that a company is holding from the stage of purchase till the stage they are sold off.
- Inventories vary according to the nature of the business – trading concern, manufacturing concern.
- Significance: “Inventory” is a major asset to assess the liquidity of entity, to determine true income and to ascertain true financial position.
- Inventory records systems – Periodic Inventory System is a method to ascertain inventory by taking actual physical count at a particular date and Perpetual Inventory System is a method of recording inventory balances after each purchase and sales takes place.
- Valuation of inventories: As per AS-2 (Revised), inventories should be valued at the lower of the cost and net realisable value.
- Cost of inventories comprises of cost of purchase, cost of conversion and other costs incurred in bringing the inventories to their present location and condition.
- Cost formulae: 1. Specific identification of costs, means that specific costs are attributed to identified items of inventory. Two steps, (i) to keep track of the purchase price of each specific unit and (ii) to know which specific units were sold.
- 2. FIFO Method – under this method, stock ledger is prepared as the units which are received first, will be sold first. Flow of costs is presumed to be the same as flow of goods.
- 3. LIFO Method – under this method, goods which are purchased last are sold first.
- 4. Weighted Average Method – this method is based on the assumption that each sale of goods consists of a due proportion of the earlier lots and such a sale is valued at Weighted Average Price.
- Weighted Average Price

$$= \frac{\text{Total Cost of Goods in Stock}}{\text{Total Quantity of Goods in Stock}}$$

[whereas Total Cost = Quantity × Cost per Unit]
- Choice of inventory valuation methods: Choice of a method depends on the price level changes, stock turnover company's policy on profit and accounting policy and procedure.
- Valuation of inventory as on the Balance Sheet: To ascertain the valuation of inventory as on the Balance Sheet, adjustments have to be made on Purchases and Sales Returns – computation of valuation of inventory prior to and after the Balance Sheet refer to Illustration Nos. 7, 8, 9, 10, 11, 12, 13, 14, 15, 16 and 17.
- Salient features of AS-2 (Revised) – Refer the text.

Key Terms

Accounting Standard: AS-2: It is issued by ICAI. It mainly deals with “Inventories.”

Cost Formulae: AS-2 has stipulated certain ground rules and methods for valuation of inventories. The methods of inventory valuation recommended by ICAI are termed as cost formulas.

Cost of Goods Sold: It mainly includes cost of materials, labour and factory overheads but excludes selling and distribution expenses.

FIFO Method: This is a method of inventory valuation where computation of cost of items sold or consumed in the order of their acquisition. Goods purchased first are sold first.

Inventories: Assets held (i) for sale in the ordinary course of business (ii) in the process of production for such sale or (iii) in the form of materials or supplies to be consumed in the production process or in the rendering of services are inventories.

LIFO Method: This is another method of inventory valuation, whereby goods purchased last are issued first. Goods purchased last are sold first.

Periodic Inventory System: A system of determining the physical quantities and rupee value of inventories sold and in hand. It is done at a time whenever inventory information is needed. It is also called system of records.

Perpetual Inventory System: Another system of determining physical quantities and rupee value of

inventories whereby continuous recording each purchase or sale transaction. It is also described as a system of records.

Weighted Average Method: Under this method, no particular flow of goods (either first or last) is recognised. Costs are to be assigned to cost of goods sold as well as goods in hand. The weighted average unit is calculated by dividing the total cost of similar units in a period by the related number of units.

References

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Charles T. Horngreen, Srikant M. Datar, and George Foster, *Cost Accounting – A Managerial Emphasis*, Pearson Education, New Delhi, 2008.

Mansh Dutta, *Cost Accounting*, Pearson Education, New Delhi, 2005.

A Objective-type Questions

I. State whether the following statements are True or False

1. Inventories consist of goods purchased and held for resale.
2. Inventories include machinery spares.
3. For inventory valuation, cost may mean historical.
4. Abnormal amounts of wasted materials, labour or other production costs are included in the cost of inventories.
5. Selling and distribution costs are excluded from the cost of inventories.
6. Periodic Inventory System is a method of ascertaining inventory by taking an actual physical count.
7. The Closing Inventory is calculated as a residual figure under Perpetual Inventory System.
8. The Cost of Goods Sold is calculated as a residual figure under Perpetual Inventory System.
9. Perpetual Inventory System is a method of ascertaining inventory on the basis of records.
10. The method of valuation (FIFO, LIFO, etc) is applied only once at the end of the accounting period under Periodic Inventory System to ascertain the cost of Closing Inventory.
11. The AS-2 (Revised) is mandatory in nature.
12. The FIFO Method is based on the assumption that the goods which are received recently are issued first.

13. The FIFO Method is in conformity with the physical flow of goods.
14. The LIFO Method is based on the assumption that the goods which are received first are issued first.
15. The LIFO Method does not conform to the physical flow of goods.
16. The Specific Identification Method is used specially for the goods produced and segregated for specific projects.
17. Net realisable value is the actual cost of selling price without any adjustments.
18. The inventory of finished goods is valued at cost or net realisable value whichever is lower.
19. The inventory of materials and other suppliers is valued at cost if the finished goods are expected to be sold below the historical cost.
20. Inventory of non-realizable waste should be valued at cost or net realisable value whichever is higher.

Answers

- | | | |
|-----------|-----------|-----------|
| 1. True | 2. False | 3. True |
| 4. False | 5. True | 6. True |
| 7. False | 8. False | 9. True |
| 10. True | 11. True | 12. False |
| 13. True | 14. False | 15. True |
| 16. True | 17. False | 18. True |
| 19. False | 20. False | |

II. Fill in the blanks with suitable words

1. Inventories are only _____.
2. For inventory valuation, cost may mean historical, current or _____.

3. Historical cost represents the cost actually incurred at the date of _____.
4. Current replacement cost represents the replacement price on the date of _____.

5. Standard cost represents the _____ cost.
6. Storage costs are _____ while determining cost of inventories.
7. Opening Inventory + Purchases – Closing Inventory = _____.
8. Opening Inventory + Purchases – Cost of Goods Sold = _____.
9. Under Periodic System, inventory is ascertained by taking an actual _____.
10. Under Perpetual Inventory System, inventory is ascertained on the basis of _____.
11. Cost of goods sold includes cost of _____ goods, if any.
12. Under Perpetual Inventory System, the method of valuation is applied _____ during an accounting period to ascertain the Cost of Goods Sold.
13. Under Periodic Inventory System, the method of valuation is applied _____ at the end of the accounting period to ascertain the cost of Closing Stock.
14. The residual factor under Periodic Inventory System is _____.
15. The residual factor under Perpetual Inventory System is _____.
16. Under FIFO Method, the goods which are received _____ are to be issued first.
17. Under LIFO, the goods which are received _____ are to be issued first.
18. Weighted Average Price Method is used in _____ industries, advantageously.
19. Goods are sold at a profit of 25% on cost is equal to _____ % on sales.
20. All inventories should be valued at _____ of historical cost or net realisable value subject to certain conditions.

Answers

- | | |
|-----------------------|------------------------|
| 1. Assets | 2. Standard Cost |
| 3. Acquisition | 4. Consumption |
| 5. Predetermined | 6. Excluded |
| 7. Cost of Goods Sold | 8. Closing Inventory |
| 9. Physical count | 10. Records |
| 11. Lost | 12. Continuous |
| 13. Only once | 14. Cost of Goods Sold |
| 15. Closing Inventory | 16. First |
| 17. Last | 18. Process |
| 19. 20% | 20. Lower |

B Short Answer-type Questions

1. What do you mean by “inventories”?
2. Explain the significance of valuation of inventory.
3. What are the components of historical cost?
4. Explain: “cost of purchase.”
5. Explain: “cost of conversion.”
6. What do you mean by “other costs”?
7. Mention the items that are excluded from the cost of inventories.
8. Mention the types of inventory systems.
9. What is meant by Periodic Inventory System?
10. Explain: Perpetual Inventory System.
11. What are the methods of valuation of inventories recognised by AS-2 (Revised)?
12. What is FIFO Method?
13. Mention any four advantages of FIFO Method?
14. Mention any four limitations of FIFO Method?
15. In case of rising prices, what will be the implication of the use of FIFO Method?
16. What is LIFO Method?
17. Mention any four advantages of this method.
18. Mention any four disadvantages of LIFO Method.
19. What is Weighted Average Price Method?
20. What are the merits of the Weighted Average Price Method?
21. What are the disadvantages of the Weighted Average Price Method?
22. What do you mean by Specific Identification Method?
23. What do you mean by Standard Cost Method?
24. What are the advantages of Standard Cost Method?
25. What are the reasons for the difference for the value of stock as per books and as per physical verification?
26. What is Net Realisable Value?
27. Mention the disclosure requirements (relating to inventories in financial statements according to AS-2 – Revised).
28. How should the inventory of consumable stores be valued?
29. How should inventory of reusable waste be valued?
30. How should the inventory of non-reusable waste be valued?

C Essay-type Questions

1. Explain the term “inventories.” Discuss the meaning of “cost of inventory valuation” with suitable illustrations.
2. Explain the inventory systems – distinguish between Periodic Inventory System and Perpetual Inventory System.

3. Explain the procedure to be followed in inventory valuation under FIFO and Weighted Average Price methods.
4. While computing the value of inventory in case:
 - i. If an inventory is taken on a date after the Balance Sheet date.
 - ii. If an inventory is taken on a date prior to the date of the Balance Sheet, explain the adjustments to be carried out with illustration.

D Exercises

Model: Perpetual System (Q.1 to Q.7)

1. Calculate by FIFO Method of inventory valuation, the Cost of Goods Sold and value of Ending Inventory from the following data:

Date	Transaction	Units	Price per Unit (Rs)
June 1	Opening Stock	3,000	20
June 15	Purchases	1,500	25
July 10	Purchases	1,200	22
July 15	Sold	3,600	—
Aug 1	Sold	1,500	—
Aug 10	Purchases	1,200	25
Aug 31	Sold	1,500	—

Answer: Cost of Goods Sold: Rs 1,46,400; Cost of Ending Inventory: Rs 7,500

2. From the following particulars for the months of Dec 2009, find out the cost of inventory on Dec 31, 2009 under Perpetual Inventory System using FIFO Method of pricing issue of materials:

Date	Particulars	Quantity (Kg)	Rate per Kg (Rs)
Dec 1	Opening Inventory	600	100
Dec 3	Purchase of material	3,000	140
Dec 10	Issue of material	2,400	—
Dec 12	Purchase of material	1,500	160
Dec 20	Issue of material	300	—
Dec 22	Purchase of material	450	180
Dec 27	Issue of material	540	—

[C.S. (Foundation) – Modified]

Answer: Cost of inventory on 31.12.2009 is Rs 3,71,400

3. A trader has the following transactions in a certain product in the month of May 2009. Calculate the Cost of Goods Sold and the Closing Inventory using FIFO, LIFO and WAP methods.

Date	Transaction	Units	Rate per Unit (Rs)
May 1	Opening Stock	100	2
May 4	Purchases	400	3
May 7	Sells	450	16
May 15	Purchases	500	4–12
May 25	Sells	300	5

Answer: Cost of Goods Sold: FIFO = Rs 2,430; LIFO = Rs 2,536; WAP = Rs 2,460
 Cost of Closing Inventory: FIFO = Rs 1,030; LIFO = Rs 924; WAP = Rs 1,000

4. A trader has the following transactions in a certain product for three months from Feb 2009:

Date	Transaction	
Feb 3	Purchases	300 items at Rs 20 each
Feb 20	Purchases	100 items at Rs 24 each
Mar 1	Sells	100 items at Rs 30 each
Mar 20	Purchases	150 items at Rs 30 each
Mar 30	Sells	200 items at Rs 40 each
Apr 2	Purchases	150 items at Rs 40 each
Apr 15	Sells	175 items at Rs 50 each

Required

- Compute the Gross Profit earned during the period,
- Compute the value of the Closing Stock at Apr 30, 2009 using each of the following alternative bases of 2009 valuation: (a) FIFO, (b) LIFO, (c) WAP methods.

Answer

Method	Value of Inventory Rs	Sales Rs	Cost of Goods Sold Rs	Profit Rs
a. FIFO	8,250	19,750	10,650	9,100
b. LIFO	4,500	19,750	14,400	5,350
c. WAP	6,750	19,750	12,150	7,600

5. With the help of the following particulars, prepare Stores Account, showing issue of materials on the basis of LIFO Method:

Purchases

June 1	250 kg @ Rs 2.00 per kg
June 8	175 kg @ Rs 2.10 per kg
June 18	300 kg @ Rs 2.20 per kg
June 25	250 kg @ Rs 2.30 per kg

Issues

June 9	300 kg on requisition No. 1
June 19	225 kg on requisition No. 2
June 28	255 kg on requisition No. 3
June 30	75 kg on requisition No. 4

Assume that there was no opening stock.

[C.S. (Foundation) – Modified]

Answer: Balance 120 kg @ Rs 2 = Rs 240

6. From the following data compute the Cost of Goods Sold and Closing Inventory under FIFO, LIFO and WAC methods of inventory valuation:

Nov 1: Stock in hand 250 units @ Rs9 each

Purchases

Nov 2	250 units @ Rs 11 each
Nov 9	500 units @ Rs 12 each

Nov 17	300 units @ Rs 10 each
Nov 22	250 units @ Rs 12 each
Nov 29	200 units @ Rs 13 each

Issues

Nov 4	200 units
Nov 7	250 units
Nov 15	450 units
Nov 20	250 units
Nov 30	300 units

Answer

	FIFO Rs	LIFO Rs	WAC Rs
Cost of Goods Sold	15,800	16,250	16,016 or 16,095
Cost of Closing Inventory	3,300	3,800	3,584 or 3,585]

7. Green Ltd was following LIFO Method of valuation of stock. Due to promulgation of revised accounting standard they want to switch over to FIFO Method. From the following

- Draw up stock ledgers under FIFO and LIFO Methods of valuation of stocks,
- Find out the Closing Stock and cost of materials consumed under each of the above two methods.

Opening Stock 2,500 metric tonnes @ Rs 22 per MT = Rs 55,000

Purchases

1.9.2009	500 MT @ Rs 30 per MT
6.9.2009	1,000 MT @ Rs 35 per MT
10.9.2009	750 MT @ Rs 38 per MT
16.9.2009	750 MT @ Rs 35 per MT
21.9.2009	1,000 MT @ Rs 32 per MT
27.9.2009	1,000 MT @ Rs 35 per MT
30.9.2009	750 MT @ Rs 30 per MT

Issues

1.9 to 6.9.2009	1,000 MT
7.9 to 10.9.2009	1,500 MT
11.9 to 21.9.2009	2,000 MT
22.9 to 26.9.2009	1,500 MT
27.9 to 30.9.2009	1,500 MT

[C.A. (Foundation) – Modified]

Answer

	FIFO	LIFO
(1) Value of Closing Stock	750 MT @ Rs 30 = Rs 22,500	(i) 250 MT @ Rs 35 = Rs 19,750 (ii) 500 MT @ Rs 22 = Rs 11,000
(2) Cost of materials consumed	Rs 2,26,750	Rs 2,29,500

Model: Periodic System (From Q. 8 to Q. 14)

8. From the following information, calculate the Cost of Goods Sold and the Ending Inventory using periodic system, FIFO, LIFO and WAP methods.

2009

Mar 1	Opening Stock 150 units at cost of Rs 300
Mar 4	Purchased 600 units @ Rs 3.00
Mar 10	Sold 675 units @ Rs 4.00
Mar 17	Purchased 750 units @ Rs 4.12
Mar 27	Sold 450 units @ Rs 5.00

Answer

	FIFO Rs	LIFO Rs	WAP Rs
Cost of Goods Sold	3,645	4,215	3,892.50
Cost of Closing Inventory	1,545	975	1,297.50

9. Find out from the following data, the Cost of Goods Sold, Closing Inventory and Profit under FIFO, LIFO methods of inventory valuation:

2009

June 1	Inventory 200 units at Rs 3 each
June 28	Purchases 240 units at Rs 4 each
July 31	Purchases 220 units at Rs 5 each
Aug 17	Purchases 280 units at Rs 6 each
Sales for the period: 800 units at Rs 8 each	

Answer

	FIFO Rs	LIFO Rs
(i) Cost of sales	3,500	3,920
(ii) Closing Inventory	840	420
(iii) Profit	2,900 (6400–3500)	2,480 (6400–3920)

10. Bisma purchased raw materials during the month of Mar 2009 as stated below:

Mar 3	...	800 units @ Rs 60 per unit
Mar 7	...	1,200 units @ Rs 55 per unit
Mar 10	...	2,500 units @ Rs 57 per unit
Mar 17	...	3,000 units @ Rs 54 per unit
Mar 26	...	1,500 units @ Rs 58 per unit
Mar 30	...	1,000 units @ Rs 63 per unit

While preparing the final accounts on Mar 31, 2009, Bisma had 1,300 units of raw materials in his godown. You are requested to calculate the value of Closing Stock of raw materials according to FIFO and WAP methods.

[C.S. (Foundation) – Modified]

Answer: FIFO = Rs 80,400; WAP = Rs 73,905

11. Red Ltd recorded the following data in May 2009:

May 1	Opening Stock	100 units	@ Rs 40 each
May 5	Purchases	200 units	@ Rs 44 each
May 15	Purchases	200 units	@ Rs 48 each
May 25	Purchases	100 units	@ Rs 52 each
May 30	Purchases	200 units	@ Rs 60 each

Sales during the month were 300 units.

Compute the value of ending stock on the base of FIFO, LIFO and WAP methods.

Answer: FIFO = Rs 26,800 LIFO = Rs 22,400 WAP = Rs 24,750

12. Calculate the value of Closing Inventory and cost of sale according to FIFO, LIFO and WAP methods on Dec 31, 2009.

Dec 1	(Stock in hand)	250 units	@ Rs 16 per unit
Dec 5	Purchases	3,750 units	@ Rs 20 per unit
Dec 10	Purchases	4,250 units	@ Rs 24 per unit
Dec 15	Purchases	4,500 units	@ Rs 30 per unit
Dec 25	Purchases	6,000 units	@ Rs 22 per unit

Stock at Dec 31, 2009 – 1,750 units. Assuming that the sale price was uniform at Rs 30 per unit throughout the month, compute the gross profit.

Answer

	FIFO Rs	LIFO Rs	WAP Rs
Value of Closing Inventory	38,500	28,500	40,320
Gross Profit	1,32,000	1,21,500	1,33,820

13. From the records of an oil distributing company, the following summarised information is available for the month of Mar 2010.

	Rs
Sales	4,72,500
General administrative expenses	12,500
Opening Stock: 5,000 ltrs @ Rs 30 per litre = 1,50,000	
5.3.2010 – Purchases: 10,000 ltrs @ Rs 28.50 per litre	
17.3.2010 – Purchases: 5,000 ltrs @ Rs 30.30 per litre	
Closing Stock: 6,500 ltrs	

Compute

- Value of Inventory as on Mar 31, 2010
- Cost of Goods Sold during Mar 2010
- Profit or loss for the month of Mar 2010

using FIFO method of inventory valuation.

[C.S. (Foundation) – Modified]

Answer: (a) Rs 1,94,250 (b) Rs 3,92,250 (c) Rs 73,905

14. At the beginning of the year 2009, Vel Ltd had 1,500 items in stock which had cost Rs 1,680. At the end of the year, 3,800 items were held.

Purchases during the year:

Date	Quantity	Total Cost
Feb 15	2,000	Rs 2,280
May 15	2,400	Rs 2,784
Oct 15	2,700	Rs 3,267
Dec 15	2,500	Rs 3,075

The Periodic Inventory Method is used. Compute the cost of the Closing Stock under: (a) FIFO; (b) LIFO and (c) WAP methods.

Answer

	FIFO	LIFO	WAP
Cost of Goods Sold	8,438	8,778	8,614
Ending Inventory	4,648	4,308	4,472

MISCELLANEOUS (Q. 15 to Q. 18)

15. From the following data, calculate the value of Closing Inventory according to FIFO and LIFO on Mar 31, 2010 using (i) Periodic Inventory System and (ii) Perpetual Inventory System.

Mar 1: Stock in hand 400 units @ Rs 7.50 each

Purchases

Mar 5	600 units @ Rs 8 each
Mar 15	500 units @ Rs 9 each
Mar 25	400 units @ Rs 8.50 each
Mar 30	300 units @ Rs 9.50 each

Issues

Mar 3	300 units
Mar 10	500 units
Mar 17	400 units
Mar 26	500 units
Mar 31	200 units

[B.Com (Delhi)]

Answer: (i) Periodic Inventory System:

(ii) Value of Closing Inventory: FIFO Rs 2,850 LIFO Rs 2,250

(iii) Perpetual Inventory System: FIFO Rs 2,850 LIFO Rs 2,500

16. A company, started on Jan 1, 2009 purchased raw material during 2009 as stated below:

Jan 2	800 kg @ Rs 62 per kg
Feb 26	1,200 kg @ Rs 57 per kg
Apr 13	2,500 kg @ Rs 59 per kg
July 10	3,000 kg @ Rs 56 per kg
Sep 18	1,500 kg @ Rs 60 per kg
Nov 29	1,000 kg @ Rs 65 per kg

While preparing the final accounts on Dec 2009, the company had 1,300 kg of raw materials in its godown.

Required

Calculate the value of Closing Stock of raw materials according to FIFO, LIFO and WAP basis.

[B.Com (Delhi, Modified)]

Answer: FIFO = Rs 83,000 LIFO = Rs 78,100 WAP = Rs 76,505

17. Calculate the Cost of Goods Sold, value of Closing Stock and Profit under LIFO method of stock valuation from the following information:

Jan 1	Stock	200 units @ Rs 6 each
Jan 16	Bought	240 units @ Rs 8 each
Feb 3	Bought	220 units @ Rs 10 each
Feb 21	Bought	280 units @ Rs 12 each

During Mar, 800 units were sold at Rs 16 each

[B.Com (Delhi)]

Answer:	(i) Cost of Goods Sold	Rs 7,840
	(ii) Value of Closing Stock	Rs 840
	(iii) Profit	Rs 4,960

18. The following are the details of “X” Ltd

1.1.2009	Opening stock: “nil”	
1.1.2009	Purchases	200 units @ Rs 15 per unit
15.1.2009	Issues	100 units
1.2.2009	Purchases	400 units @ Rs 20 per unit
15.2.2009	Issues	200 units
20.2.2009	Issues	200 units
1.3.2009	Purchases	300 units @ Rs 25 per unit
15.3.2009	Issues	200 units

Required

Find out the value of stock as on 31.3.2009 if the company follows:

FIFO, LIFO and WAP Basis

[C.A. (Foundation) – Modified]

Answer: FIFO = Rs 5,000 LIFO = Rs 4,000; WAP = Rs 4,700

Accounting for Hire-Purchase and Installment

LEARNING OBJECTIVES

After studying this chapter, you will be able to understand

1. Meaning of Hire-Purchase System
2. Meaning of the Terms Associated with Hire-Purchase System
3. Meaning and Contents of Hire-Purchase Agreement
4. Salient Features of Hire-Purchase System
5. The Components of Total Hire-Purchase Price and the Process of Calculation and Allocation of Their Different Situations
6. The Rule 78
7. The Accounting Treatment – Methods of Recording Transactions in the Books of Hire Purchase and Hire Vendor
8. The Meaning of Default and Repossession and the Accounting Treatment: Full Repossession and Partial Repossession
9. The Format of Hire-Purchase Sales Register and the Method of Usage
10. The Methods of Ascertaining Profit/Loss Made on Hire-Purchase Transactions Under Debtors Method (System) and Stock and Debtors Method (System)
11. Meaning of Installment System and Salient Features of Installment System
12. The Differences Between Hire-Purchase System and Installment-Purchase System
13. The Accounting for Installment Purchase Under “Interest Suspense Method”
14. The Concepts of Leasing, Salient Features of Lease, Advantages of Lease and Disadvantages of Leasing
15. Types of Lease and Salient Features of Accounting Standard (AS)–19 Relating to Financial Lease and Operating Lease

INTRODUCTION

One's needs are many and varied, but resources to achieve such wants are scanty and scarce. In an era of electronic world, markets are flooded with so many articles with utility values. They induce the customers to purchase for their daily use in life. But resources (money) to acquire them are not within the reach of common man. Understanding this psychological concept of humanity, trading institutions (trading with goods and dealing on money matters) exploit the situation by adopting a technique or device to sell the goods under easy terms and conditions for those buyers who have no or minimum amount of money. Such a system is known as Hire-Purchase System and Installment System.

Under such scheme, one may come across with so many attractive captions – interest free loan; no hidden cost; no margin money; low EMI rates and so on. One has to understand, Is it really interest free?

Are they selling products without profit? What is margin amount? How installment amounts are calculated? What will be the consequence of default in installment payment? Is there any statutory law to govern such system? How do the purchaser and buyer enter into an agreement? How accounting treatment is carried on with respect to buyer and seller? Is there any difference between Hire-Purchase System and Installment System? Answers to such questions and other related activities pertaining to this system form the major part of this chapter.

OBJECTIVE 1: DEFINITION OF HIRE-PURCHASE SYSTEM

Hire-Purchase System is defined as, “A system whereby the owner of the goods lets them on hire for periodic payments by the hirer upon an agreement that when a certain number of payments have been completed, the absolute property in the goods will pass to the hirer, but so that the hirer may return the goods at any time without any obligation to pay any balance of rent accruing after return; until the conditions have been fulfilled the property remains in the owner”.

1.1 Explanation of Important Terms

To understand this fully the following terms should be understood prior we proceed further:

1. *Hirer*: A “Hirer” means a person who obtains or has obtained possession of the goods from an owner under a Hire-Purchase Agreement.
2. *Owner (or) hire vendor*: Hire vendor means a person who delivers or has delivered the possession of goods to the hirer under a Hire-Purchase Agreement.
3. *Down payment (or) Option amount (or) Initial payment or Deposit*: All the terms denote the same meaning that the sum of money paid by the hirer at the time of taking possession of the property (goods), i.e. at the time of entering into a Hire-Purchase Agreement.
4. *Hire*: It means the sum payable periodically by the hirer under a Hire-Purchase Agreement.
5. *Cash Price*: It means the total amount as price payable at the time of purchase. It is composed of cost to the owner PLUS profit margin.
6. *Net Cash Price*: It means the cash price of the goods comprised in a Hire-Purchase Agreement LESS any deposit.
7. *Cash Price Installment*: $\text{Cash Price Installment} = \text{Net Cash Price} \times \text{Hire-Purchase Installment} / \text{Hire-Purchase Price}$.
8. *Hire-Purchase Price*: It can be understood easily in the form of equation:

$$\text{Hire-Purchase Price} = \text{Cost Price} + \text{Profit Margin} + \text{Interest on Outstanding Balance}.$$
9. *Hire-Purchase Charges*: It means the difference between hire-purchase price and net cash price as stated in the Hire-Purchase Agreement. It is also called as “Interest”.
10. *Hire-Purchase Agreement*: Hire-Purchase Agreement means an agreement under which the goods are let on hire. The hirer has an option to purchase them in accordance with the terms of the agreement. It includes an agreement under which
 - (i) possession of goods is delivered by the owner to a person who pays the agreed amount in periodical installments,
 - (ii) the property in goods is to pass to such person on payment of such person has right to terminate the agreement at any time before the property so passes,
 - (iii) such person has right to terminate the agreement at any time before the property so passes.

1.2 Contents of Hire-Purchase Agreement

As per Section 4 of the Hire-Purchase Act 1972, every Hire-Purchase Agreement should consist the following contents:

- (i) The hire-purchase price of the goods.
- (ii) The cash price of the goods.

- (iii) The date of commencement of agreement.
- (iv) The number of installments by which the hire purchase is to be paid, the amount of each of those installments, the date upon which it is payable, the person to whom and the place where it is payable.

Now, going back to the definition part again, at this stage we will be able to know the salient features of Hire-Purchase System, which we can infer from the definition stated and the meaning and explanation of some specific terms explained so far.

1.3 Salient Features of Hire-Purchase System

Salient features of Hire-Purchase System,

- (i) Hire-Purchase System is governed by Hire-Purchase Act 1972
- (ii) It is an agreement of hiring
- (iii) It is an agreement between Hirer and Hire Vendor
- (iv) Terms and conditions between the parties are entered and recorded in a document called Hire-Purchase Agreement.
- (v) Cash price of goods is paid in installment on agreed terms.
- (vi) The title to goods passes on last payment
- (vii) The Hire Vendor (Seller) can take possession of goods if Hirer fails to pay installment
- (viii) The Hirer is not responsible for risk of loss of goods, till the ownership is transferred.
- (ix) The Hirer cannot mortgage, hire or sell or pledge the goods
- (x) The Hirer has got a right to terminate the agreement at any time before the property so passes.

OBJECTIVE 2: PROCESS OF CALCULATION AND ALLOCATION OF INTEREST

Under Hire-Purchase System (sold or purchases), the price quoted is more than what it ought to be when such sale or purchase is on cash (one single payment in cash at the time of sale or purchase).

In accounting procedure, the excess of total hire-purchase price over cash price denotes the payment for interest. To put it in a simple form of equation: $\text{Interest} = \text{Total Hire-Purchase Price} - \text{Total Cash Price}$. In the real sense, the total hire price consists of two components: (1) Payments towards cash price – this is treated as purchase of asset – hence, this component, in the accounting concept, is treated as capital item and so Capital Expenditure. (2) The second component, i.e. interest is a financial gain or loss – for seller it is gain and for buyer it is loss. In such case, it is of revenue nature, it has to be recorded in Profit and Loss Account only.

Hence, the necessity arises to separate the two. After separation, it will then be allocated between revenue and capital.

This process of calculation and allocation involves a tricky task as it attracts many different situations which we will discuss in the forthcoming illustrations.

2.1 Situation 1

Provided: Rate of interest, total cash price and hire purchase are provided.

Requirement: Allocation of installment money between interest and cash price.

Illustration: 1

Mrs. Renu purchased a washing machine from a retailer. On Jan 1, 2005 paying immediately Rs 10,000 and agreeing to pay three installments of Rs 10,000 each on 31 Dec every year. The cash price of washing machine is Rs 37,250 and vendors charge interest at 5% p.a. Calculate the amount of interest paid by Mrs. Renu to the retailer every year.

Solution

Here, cash price and rate of interest are given. We have to compute interest amount paid every year.

	Rs
Step 1: Total Cash Price (Given)	37,250
Step 2: Less: Down Payment (Cash)	<u>10,000</u>
	27,250
Step 3: Add: *Interest on Rs 27,250 @ 5%	<u>1,363</u>
	28,613
Step 4: Less: First hire-purchase Installment	<u>10,000</u>
	18,613
Step 5: Add: *Interest on Rs 18,613 @ 5%	<u>930</u>
	19,543
Step 6: Less: Second year Installment	<u>10,000</u>
	9,543
Step 7: Add: +Interest (Balancing amount) (Rs 10,000 – Rs 9,543)	<u>457</u>
	10,000
Step 8: Less: Third hire-purchase Installment	<u>10,000</u>
	<u>Nil</u>

* Interest is calculated on the outstanding cash price and not calculated on outstanding installment amount.

+ For the third year (final year), interest is ascertained by the difference between the last installment to be paid and cash price remaining unpaid. Here, last installment amount is Rs 10,000. Cash price remaining unpaid is Rs 9543, the difference being Rs 457 is taken as interest. This practice is being followed normally.

The above method of calculation of interest may be done through a table, which is also explained now.

2.2 Situation 2

Provided: Rate of interest and installment

Required: Total Cash Price.

Illustration: 2

Mr. Raj purchased a DVD player on Jan 1, 2006 on Hire-Purchase System for Rs 4,400. As per terms, he is required to pay Rs 1,600 down, Rs 800 at the end of first year; Rs 600 at the end of second year and Rs 1,400 at the end of third year interest is charged at 5% p.a.

You are required to calculate the total cash price of the DVD player and interest paid with each Installment.

(C.A. Adapted and Modified)

Solution

Note

1. In such a question (Situation 2), where total cash price is not given, interest is calculated from the last year which is third year here. First interest rate is calculated for 3rd year, then for 2nd year and only finally for 1st year. (For easy understanding, it is shown in the following table also in that manner – professionals may excuse for such a reversed presentation).
2. As the installments shown in the problem include interest, the rate of interest has to be modified from “on Cash to Installment”, for which the following method is adopted:

	Rs
Let Cash Price Installment Outstanding (Assumption)	100
Then interest @ 5% on Rs 100 for 1 year	<u>5</u>
Installment paid at the end of 1st year	<u>105</u>
∴ Interest on Installment paid 5/105	

3. First, interest paid for the 3rd year is to be calculated. Here, for Rs 1,400 $\times$ 5/105 (as per note: 2) = Rs 66.66 (it may be rounded off to the nearest rupee) = Rs 67.

Cash price paid will be Rs 1,400 – Rs 67 = Rs 1,333.

Then for computing interest for the 2nd year : This cash price amount has to be added to the second installment amount (i.e., Rs 1,333 + Rs 600) on which interest is calculated as Rs 1,933 $\times$ 5/105 = Rs 92.04 = Rs 92

Cash Price = Rs 600 – Rs 92 = Rs 508

Finally for computing interest for first year: The cash prices for the 3rd year, 2nd year are added together to the first installment. Here (Rs 1,333 + Rs 508) + Rs 800 = Rs 2,641. On which @ 5/105 to be worked out

Interest = 2,641 $\times$ 5/105 = Rs 125.76

(or) Rs 126 Cash Price = 800 – 126 = 674

This is shown in the following tabular column:

Year (1)	Installment (2)	Interest (3)	Cash Price (2) – (3)
At the time of Purchase		(On down payment, no need to calculate interest)	Rs 1,600 – 0 = Rs 1,600
Down Payment	1,600	Rs	
End of 3rd year	1,400	Rs 1,400 $\times$ 5/105	Rs 1,400 – Rs 67 = Rs 1,333
		67	
End of 2nd year	600	Rs 1,333 + Rs 600	Rs 600 – Rs 92 = Rs 508
		1,933	
		Cash Price Installment	
		Rs 1,933 $\times$ 5/105	
		92	
End of 1st year	800	Rs 1,333 + Rs 508 + 800	Rs 800 – Rs 126 = Rs 674
		Cash Price Installment =	
		Rs 2,641 $\times$ 5/105 =	
		126	
Total	4,400	285	4,115

Total Cash Price = Rs 4,115

Total Interest Paid = Rs 285

Hire-Purchase Price = Rs 4,400

2.3 Situation 3

Provided: Total Cash Price and Installments

Required: Rate of Interest.

Illustration: 3

A mobile phone, cash price of which is Rs 3,600 is sold on Hire-Purchase System for Rs 4,000 payable in four quarterly installments of Rs 1,000 each. The first payment is made at the end of the first quarter. You are required to compute the calculation of interest.

Solution

First, compute the total interest

Total Interest = Total Installment Price – Total Cash Price

= Rs 4,000 – Rs 3,600

= Rs 400

This is divided in the ratio of outstanding balance of installment price = Rs 400

i.e., Rs 4,000 + Rs 3,000 + Rs 2,000 + Rs 1,000 = Rs 10,000

= Rs 400/Rs 10,000 = 40/100 or 20/50 or 2/5

1st Quarter = Rs 4,000 $\times$ 2/5 = Rs 1,600

$$\text{2nd Quarter} = \text{Rs } 3,000 \times 2/5 = \text{Rs } 1,200$$

$$\text{3rd Quarter} = \text{Rs } 2,000 \times 2/5 = \text{Rs } 800$$

$$\text{4th Quarter} = \text{Rs } 1,000 \times 2/5 = \text{Rs } 400$$

Table Showing Calculation of Interest

Period	Amount Outstanding	Proportion of Interest	Interest Amount Rs
1st Quarter	4,000	Rs 4,000 $\times$ 2/5	1,600
2nd Quarter	3,000	Rs 3,000 $\times$ 2/5	1,200
3rd Quarter	2,000	Rs 2,000 $\times$ 2/5	800
4th Quarter	1,000	Rs 1,000 $\times$ 2/5	400
Total	10,000		4,000

Note: “Proportion of interest” is to be calculated in advance, and the figures can be obtained directly through the table, as shown above.

2.4 Situation 4

Provided: Installments only

Required: Cash Price and Rate of Interest

Illustration: 4

Gopal purchased a car on Jan 1, 2005 on hire-purchase paying Rs 60,000 cash down and balance in four annual installments of Rs 56,000, Rs 52,000, Rs 48,000 and Rs 44,000, each installment comprising equal amount of cash price, at the end of each accounting period. You are required to calculate total cash price, and amount of interest in each installment.

Solution

As neither cash price nor rate of interest is provided, from the only figure available (i.e) installment, it can be inferred that the difference in installments is due to “interest”. And all payments towards cash price to be equal (assumption). The rate of interest is uniform.

$$\text{Let Cash Price (paid at each time be)} = x \text{ (Assumption)}$$

$$\text{Let Interest be} = i \text{ (Assumption)}$$

Hence,

$$\text{For the fourth year} \quad x + i = \text{Rs } 44,000 \quad (1)$$

$$\text{For the third year} \quad x + 2i = \text{Rs } 48,000 \quad (2)$$

$$\text{For the second year} \quad x + 3i = \text{Rs } 52,000 \quad (3)$$

$$\text{For the first year} \quad x + 4i = \text{Rs } 56,000 \quad (4)$$

$$\begin{aligned} \text{Subtract (4) - (3) =} & \quad (x + 4i) = 56,000 \\ & \quad (x + 3i) = 52,000 \\ & \quad i = \text{Rs } 4,000 \quad (5) \end{aligned}$$

(i.e.) Interest is Rs 4,000

Substitute the value of i (Eq. 5) in Eq. (1)

$$x + i = \text{Rs } 44,000$$

$$x + \text{Rs } 4,000 = \text{Rs } 44,000$$

$$x = \text{Rs } 44,000 - \text{Rs } 4,000 = \text{Rs } 40,000$$

Based on these values, hire-purchase price is allocated into cash price and interest as shown in the table below:

Table Showing Allocation of Cash Price and Interest

Year / Installment (1)	Installment Rs (2)	Cash Price Rs (3)	Interest Rs (2) – (3)
Jan 1, 2005. Down Payment	60,000	60,000	—
Dec 31, 2005. 1st Installment	56,000	40,000	16,000
Dec 31, 2006. 2nd Installment	52,000	40,000	12,000
Dec 31, 2007. 3rd Installment	48,000	40,000	8,000
Dec 31, 2008. 4th Installment	44,000	40,000	4,000
Total	2,60,000	2,20,000	40,000

Total Cash Price = Rs 2,20,000

Hire-purchase price = Rs 2,60,000

∴ Total Interest = Rs 40,000

2.5 Situation 5

Provided: Rate of Interest and Installments

Required: Total Cash Price using Annuity Table

- Annuity means a series of equal payments at fixed intervals.
From the annuity table, the present value of annuity for the number of years at a certain rate of interest is found out.
- Present value means total unpaid cash price.
Annuity means the periodical installments of Re 1 each spread over a number of years at a given rate of interest.

Note: If the given installments are unequal, present values of each future installment is found out separately and is multiplied by such values and all are added to determine cash price (total).

Illustration: 5

Mr. X purchases a flat on Hire-Purchase System paying Rs 2,00,000 annually for 10 years. The rate of interest is 5% p.a. Calculate the cash price of flats by using annuity tables.

Solution

Reference to annuity tables shows the present value of Re 1 for 10 years as: 7.7217

(This factor is generally shown in the question itself)

Total Cash Value = Rs 2,00,000 × 10

= Rs 20,00,000

Present value of Re 1 for 10 years @ 5% = 7.7217

Then present value of Rs 20,00,000 = Rs 20,00,000 × 7.7217/10

= Rs 14,43,400

Total cash price, rate of interest and installments are known.

Interest can be calculated as shown in Illustration 1.

2.6 Situation 6

Provided: Cash Price and Rate of Interest

Required: Installments and Total Hire-Purchase Price

Illustration: 6

- The cash price of a machine is Rs 3,00,000
- Rs 1,20,000 is to be paid on signing the agreement

- (iii) The balance is to be paid in annual Installments of Rs 60,000 with interest
- (iv) Interest chargeable on outstanding balance is 10% p.a.

Solution

Interest is calculated on the total outstanding cash price in a usual manner.
The interest calculated is added to the given installment

	Rs
Step 1: Total Cash Price	3,00,000
Step 2: Less: Down payment	<u>1,20,000</u>
	1,80,000
Step 3: Add: Interest @ 10% on 1,80,000	<u>18,000</u>
	1,98,000
Step 4: Less: 1st year installment Rs 60,000 + Rs 18,000 (Installment) (interest)	<u>78,000</u> 1,20,000
Step 5: Add: Interest @10% on Rs 1,20,000	<u>12,000</u>
	1,32,000
Step 6: Less: 2nd Hire Purchase Installment (60,000 + 12,000)	<u>72,000</u> 60,000
Step 7: Add: Interest @ 10% on Rs 60,000	<u>6,000</u>
	66,000
Step 8: Less: 3rd Hire Purchase Installment	<u>66,000</u>
	<u>Nil</u>

Total Hire-Purchase Price = Down Payment + 1st Hire Purchase Installment + 2nd Hire Purchase Installment + 3rd Hire Purchase Installment
 = Rs 1,20,000 + Rs 78,000 + Rs 72,000 + Rs 66,000
 = Rs 3,36,000

2.7 Rule 78

In case, cash price and hire-purchase price are given and calculation of interest for each installment is required, this procedure, i.e. Rule 78 will be of much use.

To apportion each installment between revenue and capital (i.e., interest and cash price), this rule is applied.

In case, if the installments are paid monthly at regular intervals for 1 year, then the total of series beginning from 1 and progressing by 1 can be calculated by applying the formula:

$$\frac{n(n+1)}{2} \quad [n = \text{total number of items}].$$

Suppose there are 12 monthly installments, the total number from 1 to 12 = $12(12+1)/2 = 78$.

Illustration: 7

Mr. X buys a moped, the cash price of which is Rs 28,560 on a hire purchase basis paying the 12 monthly installments of Rs 2,640. No down payment was made. You are required to allocate each installment between revenue and capital.

Solution

$$\begin{aligned} \text{Hire-Purchase Price} &= \text{Rs } 2,640 \times 12 = \text{Rs } 31,680 \\ \text{Total Interest} &= \text{Rs } 31,680 - \text{Rs } 28,560 \\ &= \text{Rs } 3,120 \end{aligned}$$

Apportionment of this interest (revenue) Rs 3,120 and price (capital) Rs 28,560 is done in the following way by using Rule 78.

Month End	Amount Outstanding	Ratio	Calculation	Apportionment	
				Interest (2120) Rs	Principal (H.P. – Int) Rs
First	31,680	12	$12/78 \times \text{Rs } 3,120$	480	2,160
Second	29,040	11	$11/78 \times \text{Rs } 3,120$	440	2,200
Third	26,400	10	$10/78 \times \text{Rs } 3,120$	400	2,240
Fourth	23,760	9	$9/78 \times \text{Rs } 3,120$	360	2,280
Fifth	21,120	8	$8/78 \times \text{Rs } 3,120$	320	2,320
Sixth	18,480	7	$7/78 \times \text{Rs } 3,120$	280	2,360
Seventh	15,840	6	$6/78 \times \text{Rs } 3,120$	240	2,400
Eighth	13,200	5	$5/78 \times \text{Rs } 3,120$	200	2,440
Ninth	10,560	4	$4/78 \times \text{Rs } 3,120$	160	2,480
Tenth	7,920	3	$3/78 \times \text{Rs } 3,120$	120	2,520
Eleventh	5,280	2	$2/78 \times \text{Rs } 3,120$	80	2,560
Twelfth	2,640	1	$1/78 \times \text{Rs } 3,120$	40	2,600
		78		3,120	28,560

Illustration: 8

Parul purchased a software system on Hire-Purchase System. She pays Rs 30,000 and Rs 8,000 at the end of 2nd year, 4th year and 6th year. Interest is charged by the vendor at 2 yearly rest on the unpaid balance. Calculate interest paid with each installment.

Solution

Note: 2 yearly rest means simple interest at the end of 2 years.

(If it is given as yearly rest – every year interest has to be added – compounded)

In this question, this means that Rs 100 @ 10% p.a. (simple interest) at the end of 2 years = $100 \times 10/100 \times 2 = \text{Rs } 20$, and the Rs 100 will become Rs 120 at the end of 2 years. As already discussed in Illustration 2, interest will be calculated first for the 6th year, and then for the 4th year and finally for the 2nd year.

Here, the difference is that the calculation is done only 2 years once and not yearly as per the direction given in the question.

Multiplying factor is 20/120 to convert cash price to Installment price.

Calculation:

For the 6th year = $\text{Rs } 8,000 \times 20/120 = \text{Rs } 1,333$

For the 4th year = $\text{Rs } (8,000 + 6,667) \times 20/120 = \text{Rs } 2,445$

For the 2nd year = $\text{Rs } (8,000 + 6,667 + 5,555) \times 20/100 = \text{Rs } 3,370$

Year (1)	Installment Rs (2)	Interest Rs (3)	Cost Price Rs (2) – (3)
Down Payment (at the time of purchase)	30,000	—	30,000
End of 6th year	8,000	$\text{Rs } 8,000 \times 20/120 = 1,333$	6,667
End of 4th year	8,000	$(8,000 + 6,667) \times 20/120 = 2,445$	5,555
End of 2nd year	8,000	$(8,000 + 6,667 + 5,555) \times 20/100 = 3,370$	4,630
	8,000		
	54,000	7,148	46,852

OBJECTIVE 3: ACCOUNTING TREATMENT

Books of buyer (or) Hire purchaser legally speaking, the hire purchaser may not be treated as the owner of goods purchased till the last due (installment) is paid by him. But in accounting treatment this view is ignored and the hire purchase is treated as other ordinary purchase transaction. Only thing the accountants emphasize is to add the term “Hire Purchase” to assets purchased under Hire-Purchase System, to distinguish from the assets purchased by full payment of cash.

There are two methods of recording transactions in the books of buyer (or) hire purchaser.

In the first method.

The Asset Account is debited with the cash price included in each installment. The down payment is fully towards cash price (the main drawback of this method is that assets will not appear in the Balance Sheet at proper value).

In the second method –

At the time of signing contract, the Asset Account is debited with total cash price further, when the first installment becomes due, the treatment differs. For all the other items of transaction, accounting treatment is more or less similar.

Under the first method, vendor's account shows nil balance after every payment.

Whereas under the second method the vendor's account will be a running account and becomes nil only after the last payment.

The accounting entries are shown for both the methods in the tabular form as below:

3.1 Journal Entries in the Books of the Buyer (or) Hire Purchase

Transaction	First Method		Second Method	
	Account to be Debited	Account to be Credited	Account to be Debited	Account to be Credited
1. At the time of Agreement	Hire Purchase Asset (Down Payment)	Vendor (full payment due)	Asset (Full Cash Price)	Vendor (with full Cash Price)
2. Down Payment	Vendor	Cash/Bank	Vendor	Cash/Bank
3. First Installment Due	(i) Asset (Cash Price portion) (ii) Interest (Portion of interest)	Vendor	Interest (Interest only)	Vendor (Interest only)
4. Payment of Installment	Vendor	Cash/Bank	Vendor	Cash/Bank
5. Transfer of “Interest”	Profit and Loss A/c	Interest	Profit and Loss	Interest
6. Depreciation	Depreciation	Asset	Depreciation	Asset
7. Transfer of “Depreciation”	Profit and Loss	Depreciation	P and L	Depreciation

Note

1. Whenever installment amount becomes due, Transactions 3, 4, 5, 6 and 7 are to be repeated.
2. In case, installments are not annual, then 6 and 7 are to be recorded once (i.e.) at the time of closing the books.
3. However, in this book, only the second method is used most widely. The first method here is discussed purely from academic interest only as far as this book is concerned.
4. Regarding depreciation, students are asked to provide depreciation on the assets purchased under Hire-Purchase System in the same way as other assets bought for “Cash or Credit” (ignore the con-

trovery on depreciation whether depreciation is to be charged or not). As such, depreciation must be provided on the full cash price.

3.2 Accounting Treatment in the Books of Hire Vendor

1. On signing the Hire-Purchase Agreement:
 Hire-Purchaser's Account Dr.
 To Hire-Purchase Sales Account
 Amount → Cash Price of Goods.
 (Note: Hire-Purchase Sales Account is closed by transferring to Trading Account)
2. For receipt of Down Payment:
 Cash / Bank Account Dr.
 To Hire-Purchaser's Account
 Amount → Down Payment amount
3. For Installments becoming Due:
 Hire-Purchaser's Account Dr.
 To Interest on Hire-Purchase Sales Account
 Amount → Interest amount on relevant Installment
4. For Receipt of Installment:
 Cash / Bank Account Dr.
 To Hire-Purchaser's Account
 Amount → Hire-Purchase Price Installment
5. For transfer of Interest
 Interest on Hire-Purchase Sale Account Dr.
 To Profit and Loss Account

Illustration: 9

On Jan 1, 2005, Rukmani Ltd bought a machine on Hire-Purchase System. The cash price of the machine was Rs 1,11,750 and payment was to be made Rs 30,000 on signing the agreement and the balance in three installments of Rs 30,000 each, at the end of each year. The rate of interest charged by the vendor is 5% p.a. The depreciation is calculated at 10% annually on the diminishing balance of the asset. Make Journal entries in the books of Rukmani Ltd and the Vendor, recording the necessary transactions for three years.

(M. Com – Bharathidasan University Adapted)

Solution

Computation of Interest

	Rs
Step 1: Cash Price	1,11,750
Step 2: Less: Down Payment	<u>30,000</u>
	81,750
Step 3: Add: Interest @ 5% on Rs 81,750 for 1 year	<u>4,088</u>
	85,838
Step 4: Less 1st Hire-Purchase Price Installment:	<u>30,000</u>
	55,838
Step 5: Add: Interest @ 5% on Rs 55,838 for 1 year	<u>2,792</u>
	58,630
Step 6: Less: 2nd Hire-Purchase Price Installment	<u>30,000</u>
	28,630
Step 7: Add: Interest	<u>1,370</u>
(Balancing figure Rs 30,000 – Rs 28,630)	30,000
Step 8: Less: 3rd Hire-Purchase Price Installment	<u>30,000</u>
	<u>Nil</u>

Computation of Depreciation (WDV)

	Rs
Cost of Machine	1,11,750
Less: Depreciation @ 10% for 2005	<u>11,175</u>
	1,00,575
Less: Depreciation @ 10% for 2006	<u>10,058</u>
	90,517
Less: Depreciation @ 10% for 2007	<u>9,052</u>
	<u>81,465</u>

Journal Entries (In the Books of Rukmani Ltd)

Date	Particulars	Debit Rs	Credit Rs
2005 Jan 1	Machine on Hire-Purchase A/c Dr. To Hire Vendor's A/c (Being the cash price of machine bought under H.P.)	1,11,750	1,11,750
	Hire Vendor's A/c Dr. To Cash A/c (Being down payment)	30,000	30,000
Dec 31	Interest on Hire-Purchase A/c Dr. To Hire Vendor's A/c (Being interest on Rs 81,750 @ 5% for 1 year)	4,088	4,088
	Hire Vendor's A/c Dr. To Cash A/c (Being 1st Installment paid)	30,000	30,000
	Depreciation A/c Dr. To Machine on Hire-Purchase A/c (Being depreciation charged)	11,175	11,175
	Profit and Loss A/c Dr. To Interest on Hire-Purchase A/c To Depreciation A/c (Being transfer of Interest and Depreciation to P and L)	15,263	4,088 11,175
2006 Dec 31	Interest on Hire-Purchase A/c Dr. To Hire Vendor's A/c (Being interest amount entered)	2,792	2,792
	Hire Vendor's A/c Dr. To Cash A/c (Being 2nd Installment paid)	30,000	30,000
	Depreciation A/c Dr. To Machine on Hire-Purchase A/c (Being charge of depreciation)	10,058	10,058
	Profit and Loss A/c Dr. To interest on Hire-Purchase A/c To Depreciation A/c (Being depreciation and interest transferred)	12,850	2,792 10,058

Date	Particulars		Debit Rs	Credit Rs
2007 Dec 31	Interest on Hire-Purchase A/c	Dr.	1,370	
	To Hire Vendor's A/c			1,370
	Hire Vendor's A/c	Dr.	30,000	
	To Cash A/c			30,000
	Depreciation A/c	Dr.	9,052	
	To Machine on Hire-Purchase A/c			9,052
	Profit and Loss A/c	Dr.	10,422	
	To Interest on Hire-Purchase A/c			1,370
	To Depreciation A/c			9,052

(In the Books of Hire Vendor) Journal Entries

Date	Particulars		Debit Rs	Credit Rs
2005 Jan 1	Rukmani Ltd	Dr.	1,11,750	
	To Hire-Purchase Sales A/c			1,11,750
	(Being machine sold to Rukmani LTD on H.P.)			
Jan 1	Cash A/c	Dr.	30,000	
	To Rukmani Ltd A/c			30,000
	(Being receipt of down Payment)			
Dec 31	Rukmani Ltd	Dr.	4,088	
	To Interest on Hire-Purchase Sales A/c			4,088
	(Being interest received)			
Dec 31	Cash A/c	Dr.	30,000	
	To Rukmani Ltd			30,000
	(Being receipt of 1st Installment)			
Dec 31	Interest on Hire-Purchase Sales A/c	Dr.	4,088	
	To Profit and Loss A/c			4,088
	(Being the interest transferred to P and L A/c)			
2006 Dec 31	Rukmani Ltd	Dr.	2,792	
	To Interest on Hire-Purchase Sales A/c			2,792
	(Being interest received)			
	Cash A/c	Dr.	30,000	
	To Rukmani Ltd			30,000
	(Being second Installment received)			
	Interest on Hire-Purchase Sales A/c	Dr.	2,792	
	To Profit and Loss A/c			2,792
	(Being interest transferred to P and L A/c)			
2007 Dec 31	Rukmani Ltd	Dr.	1,370	
	To Interest on Hire-Purchase Sales A/c			1,370
	(Being receipt of interest)			

(Continued)

(Continued)

Date	Particulars		Debit Rs	Credit Rs
Dec 31	Cash A/c To Rukmani Ltd (Being the receipt of 3rd Installment)	Dr.	30,000	30,000
Dec 31	Interest on Hire-Purchase Sales A/c To Profit and Loss A/c (Being the transfer of interest to P and L A/c)	Dr.	1,370	1,370

Now we have to prepare the necessary Ledger Accounts.

In the Books of Rukmani Ltd Machine on Hire-Purchase Account

Dr.**Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
2005 Jan 1	To Hire Vendor's A/c	<u>1,11,750</u>	2005 Dec 31	By Depreciation A/c	11,175
2006 Jan 1	To Balance b/d	<u>1,17,750</u>		By Balance c/d	<u>1,00,575</u>
		<u>1,00,575</u>	2006 Dec 31	By Depreciation A/c	10,058
2007 Jan 1	To Balance b/d	<u>1,00,575</u>		By Balance c/d	<u>90,517</u>
		<u>90,517</u>	2007 Dec 31	By Depreciation A/c	9,052
2008 Jan 1	To Balance b/d	<u>90,517</u>		By Balance c/d	<u>81,465</u>
		81,465			<u>90,517</u>

Hire Vendor's Account

Dr.**Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
2005 Jan 1	To Cash A/c	30,000	2005 Jan 1	By Machine on H.P. A/c	1,11,750
Dec 31	To Cash A/c	30,000	Dec 31	By Interest on H.P.	4,088
Dec 31	To Balance c/d	55,838			<u>1,15,838</u>
		<u>1,15,838</u>	2006 Jan 1	By Balance b/d	55,838
2006 Dec 31	To Cash A/c	30,000	Dec 31	By Interest on H.P.	2,792
	To Balance c/d	28,630			<u>58,630</u>
		<u>58,630</u>	2007 Jan 1	By Balance b/d	28,630
2007 Dec 31	To Cash A/c	30,000	Dec 31	By interest on H.P.	1,370
		<u>30,000</u>			<u>30,000</u>

Balance Sheet as on**Dr.****Cr.**

Year	Liabilities	Rs	Year	Assets	Rs
2005	H.P. Creditors	55,838	2005	Machine on H.P. Less: Depreciation	1,11,750 <u>11,175</u> 1,00,575
2006	H.P. Creditors	28,630	2006	Machine on H.P. Less: Depreciation	1,00,575 <u>10,058</u> 90,517
2007	H.P. Creditors	—	2007	Machine on H.P. Less: Depreciation	90,517 <u>9,052</u> 81,465

In the Books of Hire Vendor Rukmani Ltd**Dr.****Cr.**

Year	Liabilities	Rs	Year	Assets	Rs
2005 Jan 1 Dec 31	To H.P. Sales A/c To Interest on H.P.	1,11,750 4,088 <u>1,15,838</u>	2005 Jan 1 Dec 31 Dec 31	By Cash A/c By Cash A/c By Balance c/d	30,000 30,000 <u>55,838</u> 1,15,838
2006 Jan 1 Dec 31	To Balance b/d To Interest on H.P.	55,838 <u>2,792</u> 58,630	2006 Dec 31	By Cash A/c By Balance c/d	30,000 <u>28,630</u> 58,630
2007 Jan 1 Dec 31	To Balance b/d To Interest on H.P.	28,630 <u>1,370</u> 30,000	2007 Dec 31	By Cash A/c	30,000 <u>30,000</u>

Illustration: 10

On Apr 1, 2006, Mr. Sathyam purchased a machine on hire purchase from Mr. Raj. The hire-purchase price was Rs 40,000. Payable Rs 10,000 as down payment and three annual installments of Rs 10,000 each; the first annual installment being payable on Mar 31, 2007. Mr. Raj charged interest @ 5% p.a.

Mr. Sathyan charged depreciation @ 10% p.a. on diminishing balances of the machine.

You are required to

- Compute the cash price of the machine
- Prepare Interest Account
- Prepare machinery on Hire-Purchase Account
- Prepare the account of Mr. Raj
- Prepare Depreciation Account.

For three consecutive accounting years in Mr. Sathyam's ledger books.

Solution**Step 1**

Computation of interest

	Rs	
(i) If interest is Rs 5 Cash Price	5/105	
(ii) Interest on 3rd Installment	476	Rs 10,000 5/105
(iii) Cash Price of 3rd Installment	9,524	(Rs 10,000 – Rs 476)
(iv) Interest on 2nd Installment	930	(Rs 10,000 + Rs 9,524) × 5/105
(v) Cash Price of 2nd Installment	9,070	(Rs 10,000 – Rs 930)
(vi) Interest on 1st Installment	1,362	(Rs 10,000 – Rs 9070 + Rs 9524) × 5/105
(vii) Cash Price on 1st Installment	8,638	(Rs 10,000 – Rs 1,362)

Step 2

Computation of Total Cash Price of the machine

	Rs
Down Payment	10,000
Cash Price of 1st Installment	8,638
Cash Price of 2nd Installment	9,070
Cash Price of 3rd Installment	9,524
Total Cash Price of the machine	<u>37,232</u>

Step 3

Total Interest

	Rs
(Rs 1,362 + Rs 930 + Rs 476) Rs 2,768 (or) H.P. Price:	40,000
Less: Cash Price:	<u>37,232</u>
	<u>2,768</u>

Step 4

Calculation of Depreciation

	Rs
Cash Price of the machine (Ref: Step 2)	37,232
Less: Depreciation @ 10% for (ending Mar 31, 2007) 1st year	<u>3,723</u>
	33,509
Less: Depreciation @ 10% for (ending Mar 31, 2008) 2nd year	<u>3,351</u>
	30,158
Less: Depreciation @ 10% for (ending Mar 31, 2009) 3rd Year	<u>3,016</u>
	<u>27,142</u>

Step 5**In the Books of Mr. Satyan Machine on Hire-Purchase Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Apr 1, 2006	To Raj's A/c	37,232	Mar 31, 2007	By Depreciation A/c	3,723
				By Balance c/d	<u>33,509</u>
		<u>37,232</u>			<u>37,232</u>
Apr 1, 2007	To Balance b/d	33,509	Mar 31, 2008	By Depreciation A/c	30,158
			Mar 31, 2009	By Balance c/d	<u>30,509</u>
		<u>33,509</u>			<u>33,509</u>
Apr 1, 2008	To Balance b/d	30,158	Mar 31, 2009	By Depreciation A/c	3,016
				By Balance c/d	<u>27,142</u>
		<u>30,158</u>			<u>30,158</u>
Apr 1, 2009		<u>27,142</u>			

Step 6

Interest Account

Dr.

Cr.

Date	Particulars	Rs	Date	Particulars	Rs
Mar 31, 2007	To Raj's A/c	<u>1,362</u>	Mar 31, 2007	By P and L A/c	<u>1,362</u>
Mar 31, 2008	To Raj's A/c	<u>930</u>	Mar 31, 2008	By P and L A/c	<u>930</u>
Mar 31, 2009	To Raj's A/c	<u>476</u>	Mar 31, 2009	By P and L A/c	<u>476</u>

Step 7

Raj's Account

Dr.

Cr.

Date	Particulars	Rs	Date	Particulars	Rs
Apr 1, 2006	To Bank A/c	10,000	Apr 1, 06	By Machine on H.P.	37,232
Mar 31, 2007	To Bank A/c	10,000	Mar 31, 2007	A/c	1,362
	To Balance c/d	<u>18,594</u>		By Interest A/c	—
		<u>38,594</u>			<u>38,594</u>
Mar 31, 2008	To Bank A/c	10,000	Apr 1, 07	By Balance b/d	18,594
	To Balance c/d	<u>9,524</u>	Mar 31, 2008	By Interest A/c	<u>930</u>
		<u>19,524</u>			<u>19,524</u>
Mar 31, 2008	To Bank A/c	10,000	Apr 1, 08	By Balance b/d	9,524
		—	Mar 31, 2009	By Interest A/c	<u>476</u>
		<u>10,000</u>			<u>10,000</u>

Step 8

Depreciation Account

Dr.

Cr.

Date	Particulars	Rs	Date	Particulars	Rs
Mar 31, 2007	To Machine on H.P. A/c	<u>3,723</u>	Mar 31, 2007	By P and L A/c	<u>3,723</u>
Mar 31, 2008	To Machine on H.P. A/c	<u>3,351</u>	Mar 31, 2008	By P and L A/c	<u>3,351</u>
Mar 31, 2009	To Machine on H.P. A/c	<u>3,016</u>	Mar 31, 2009	By P and L A/c	<u>3,016</u>

Illustration: 11

X Ltd purchased a mini van on Jan 1, 2006 from Sun and Co on Hire-Purchase System. It was agreed upon to make payment as under:

		Rs
Jan 1, 2006	On signing agreement	20,700
Dec 31, 2006	At the end of first year	39,930
Dec 31, 2007	At the end of second year	39,930
Dec 31, 2008	At the end of third year	<u>39,930</u>
	Total Hire-Purchase Price	<u>1,40,490</u>

Nothing more was payable after 3rd installment. All the installments are duly paid by X Ltd. Interest was reckoned @ 10% p.a.

Depreciation was charged at the rate of 10% p.a.

X Ltd closes its books on 31st Dec every year.

Prepare the following accounts in the books of X Ltd upto Dec 31, 2008

- i) Sun and Co. Account
- ii) Mini Van Account
- iii) Interest Account

I.C.W.A (Inter) - Modified

Solution

Step 1: First Interest is to be calculated

Year	Installment	Interest Paid	Cash Price Paid
3rd year	Rs 39,930	Rs 39,930 $\times$ 10/110 = Rs 3,630	Rs 39,930 – Rs 3,630 = Rs 36,300
2nd year	Rs 39,930	Rs (39,930 + 36,300) $\times$ 10/110 = Rs 6,930	Rs 39,930 – Rs 6,930 = Rs 33,000
1st year	Rs 39,930	Rs 69,300 $\times$ 10/100 Rs (39,930 + 36,300 + Rs 33,000) $\times$ 10/100 =	Rs 39,930 – Rs 9,930 = Rs 30,000
Down Pay	Rs 20,700	Rs 99,300 $\times$ 10/100 = Rs 9,930	Rs 20,700 – 0 = Rs 20,700
	<u>1,40,490</u>	<u>20,490</u>	<u>Rs 1,20,000</u>

Step 2

In the Ledger of X Ltd, Sun and Co. Account

Dr.

Cr.

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2006	To Bank A/c	20,700	2006, Jan 1	By Mini Van A/c	1,20,000
Dec 31, 2006	To Bank A/c	39,930	2006, Dec 31	By Interest A/c	9,930
Dec 31, 2006	To Balance c/d	69,300			
		<u>1,29,930</u>			<u>1,29,930</u>
Dec 31, 2007	To Bank A/c	39,930	2007, Jan 1	By Balance b/d	69,300
Dec 31, 2007	To Balance c/d	36,300	2007, Dec 31	By Interest A/c	6,930
		<u>76,230</u>			<u>76,230</u>
Dec 31, 2008	To Bank A/c	<u>39,930</u>	2008, Jan 1	By Balance b/d	36,300
		39,930	2008, Dec 31	By Interest	<u>3,630</u>
					39,930

Step 3

Interest Account

Dr.

Cr.

Date	Particulars	Rs	Date	Particulars	Rs
Dec 31, 2006	To Sun and Co.	9,930	2006, Dec 31	By P and L A/c	9,930
Dec 31, 2007	To Sun and Co.	6,930	2007, Dec 31	By P and L A/c	6,930
Dec 31, 2008	To Sun and Co.	3,630	2008, Dec 31	By P and L A/c	3,630

Step 4

Mini Van Account

Dr.

Cr.

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2006	To Sun and Co.	1,20,000	2006, Dec 31	By Depreciation A/c	12,000
				By Balance c/d	1,08,000
		<u>1,20,000</u>			<u>1,20,000</u>
Jan 1, 2007	To Balance b/d	1,08,000	2007, Dec 31	By Depreciation A/c	10,800
				By Balance c/d	90,000
		<u>1,08,000</u>			<u>1,00,800</u>
Jan 1, 2008	To Balance b/d	90,000	2008, Dec 31	By Depreciation A/c	9,000
		<u>90,000</u>		By Balance c/d	81,000
		90,000			<u>90,000</u>

Illustration: 12

On Jan 1, 2006, Narayana purchased a machine from Star and Co on Hire-Purchase System. The hire-purchase price was settled at Rs 1,20,000 payable as to Rs 30,000 on Jan 1, 2006 and Rs 30,000 at the end of three successive year.

Interest was charged at the rate of 5% p.a. The asset was to be depreciated in the books of Narayana @ 10% p.a. on Reducing Installment Method. Given the present value of an annuity of Re 1 p.a. @ 5% interest is 2.7232.

You are required to prepare

- (i) Star and Co Account and (ii) Machine Account in the books of Narayana.

Solution

In the Books of Narayana

Step 1:	First cash price of the machine is to be calculated.	Rs
	If the rule of annuity is Re 1, its present value at 5% p.a.	2.7232
	For the value of Rs 30,000, the present value will be	$30,000 \times 2.7232$
		81,696
	Add: Cash Down (Down Payment)	<u>30,000</u>
	Total Cash Price	<u>1,11,696</u>

Step 2: Total Interest = Rs 1,20,000 – Rs 1,11,696 = Rs 8,304

Step 3:	Interest is to be calculated	Rs
i)	Total Cash Price	1,11,696
ii)	Less: Down Payment, 81,696	<u>30,000</u>
		81,696
iii)	Add: Interest @ 5% on Rs 81,696	<u>4,084</u>
		85,780
iv)	Less: 1st Hire-Purchase Price Installment	<u>30,000</u>
		55,780
v)	Add: Interest @ 5% on Rs 55,780	<u>2,790</u>
		58,570
vi)	Less: 2nd Hire-Purchase Price Installment	<u>30,000</u>
		28,570

vii) <i>Add:</i> Interest (Balance Figure: 30,000 – 28,570)	<u>1,430</u>
or	
(Rs 8,304 – Rs 4,084 – Rs 2,790)	
viii) <i>Less:</i> 3rd Hire-Purchase Installment	<u>30,000</u>
	<u>30,000</u>
	<u>Nil</u>

Star & Co Account**Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2006	To Bank A/c	30,000	Jan 1, 2006	By Machine on	1,11,696
Dec 31, 2006	To Bank A/c	30,000	Dec 31, 2006	H.P. A/c	
Dec 31, 2006	To Balance c/d	55,780		By Interest A/c	4,084
		<u>1,15,780</u>	Jan 1, 2007	By Balance b/d	<u>1,15,780</u>
Dec 31, 2007	To Bank A/c	30,000	Dec 31, 2007	By Interest A/c	2,790
Dec 31, 2007	To Balance c/d	28,570			
		<u>58,570</u>	Jan 1, 2008	By Balance b/d	<u>58,570</u>
Dec 31, 2008	To Bank A/c	30,000	Dec 31, 2008	By Interest A/c	28,570
					<u>1,430</u>
		<u>30,000</u>			<u>30,000</u>

Machine on Hire-Purchase Account**Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2006	To Star & Co A/c	1,11,696	Dec 31, 2006	By Depreciation A/c	11,170
				By Balance c/d	<u>1,00,526</u>
		<u>1,11,696</u>			<u>1,11,696</u>
Jan 1, 2007	To Balance b/d	1,00,528	Dec 31, 2007	By Depreciation A/c	10,053
			Dec 31, 2007	By Balance c/d	90,473
		<u>1,00,526</u>			<u>1,00,526</u>
Jan 1, 2008	To Balance b/d	90,473	Dec 31, 2008	By Depreciation A/c	9,047
		<u>90,473</u>		By Balance c/d	<u>81,426</u>
Jan 1, 2009	To Balance b/d	81,426			<u>90,473</u>

OBJECTIVE 4: DEFAULT AND REPOSSESSION

When the hirer (hire purchaser) fails to pay the installments in time, then it amounts to default. In such cases, the owner (vendor) takes back the possession of goods which is referred to as “Repossession”. The amount already paid by the hirer is also forfeited.

There are two possibilities:

- When the vendor (owner–seller) takes back the possession of goods entirely, it is referred to as “Full Repossession”.
- When the vendor takes back the possession of only some of the goods sold to hire purchaser, this is called as “Partial Repossession”.

4.1 Full Repossession

Accounting Treatment

<i>Books of Hire Purchaser</i>	<i>Books of Hire Vendor</i>
(1) All entries except the entry for payment of installment are recorded as usual (as discussed earlier in this chapter) up to the date of default. Entries for interest and depreciation are entered. For non-payment of installment (default) no entry is recorded. (2) The hire purchaser closes the account of vendor by debiting his account and crediting his account and crediting Asset Account (with the amount outstanding). (3) The balance left (if any) in the Asset Account is transferred to P and L A/c and closed thereby.	(1) All entries except the entry for the receipt of installment (default) are entered as usual. (2) Vendor closes Purchaser's Account by debiting the Goods Repossessed Account (or Goods Returned Account – a new A/c) and crediting the Purchaser's Account (3) The newly created account, Goods Returned Account is debited with expenses incurred on repair of goods and credited with actual resale price (cash) The balance (profit or loss) in this account is transferred to P and L A/c and closed.

Illustration: 13

Mr. Antony purchased a two wheeler from Surya Scooters, Delhi for Rs 56,000 on Jan 1, 2007; payment to be made as Rs 16,000 down and three installments of Rs 16,000 at the end of each year. Rate of interest is charged @ 5% p.a. Mr Antony depreciates the two wheeler @ 10% p.a. on Straight Line Method. Mr. Antony paid the first installment but he could not pay the second installment with the result the Surya Scooters took back the possession of the two wheeler. The Surya Scooters had to spend Rs 750 on repairs and sold it for Rs 29,750. You are required to open the necessary ledger accounts in the books of both the purchaser and vendor.

Solution**(A) In the books of Mr. Antony****Surya Scooters Account**

<i>Dr.</i>			<i>Cr.</i>		
<i>Date</i>	<i>Particulars</i>	<i>Rs</i>	<i>Date</i>	<i>Particulars</i>	<i>Rs</i>
Jan 1, 2007	To Cash A/c	16,000	2007, Jan 1	By Two-wheeler on H.P. A/c	56,000
Dec 31, 2007	To Cash A/c	16,000			
Dec 31, 2007	To Balance c/d	<u>26,000</u>	2007, Dec 31	By Interest A/c (5% on 56,000 – Rs16,000) (H.P. Price) (Down Payment)	<u>2,000</u>
		<u>58,000</u>			<u>58,000</u>
Dec 31, 2008 ^{*2}	To Two-Wheeler on Hire-Purchase A/c	27,300	2008, Jan 1	By Balance b/d	26,000
			2008, Dec 31	*1 By Interest A/c (5% on Rs 26,000) (Bal. b/d)	1,300
		<u>27,300</u>			<u>27,300</u>

Two-wheeler on Hire-Purchase Account**Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2007	To Surya Scooter's A/c	56,000	Dec 31, 2007	By Depreciation A/c (10% on Rs 56,000)	5,600
			Dec 31, 2007	By Balance c/d	<u>50,400</u>
		<u>56,000</u>			<u>56,000</u>
Jan 1, 2008	To Balance b/d	50,400	Dec 31, 2008	By Depreciation A/c (10% on 56,000 S.L.M)	5,600
			Dec 31, 2008	By Surya Scooters A/c (Ref. *2) (amount due)	27,300
			Dec 31, 2008	*3 By Profit and Loss A/c (balance figure)	<u>17,500</u>
		<u>50,400</u>			<u>50,400</u>

Total Loss = *1 Interest Payable

For the year 2008 = Rs 1,300

*3 Profit and Loss A/c = Rs 17,500Total Loss incurred to Antony = Rs 18,800**(B) In the books of Surya Scooters****Mr. Antony's Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2007	To H.P. Sales A/c	56,000	Jan 1, 2007	By Cash A/c	16,000
Dec 31, 2007	To Interest on H.P. Sales A/c	2,000	Dec 31, 2007	By Cash A/c	16,000
			Dec 31, 2007	By Balance c/d	<u>26,000</u>
		<u>58,000</u>			<u>58,000</u>
Jan 1, 2008	To Balance b/d	26,000	Dec 31, 2008	By Goods Repossessed A/c	27,300
Dec 31, 2008	To Interest on H.P. Sales A/c	<u>1,300</u>			<u>27,300</u>
		27,300			

Goods Repossessed Account or Goods Returned Account**Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Dec 31, 2008	To Mr. Antony	27,300	Dec 31, 2008	By Cash A/c (resale: given in the question)	29,750
Dec 31, 2008	To Cash A/c (repairs : given)	750			
Dec 31, 2008	To Profit and Loss A/c (balance figureure)	<u>1,700</u>			
		29,750			<u>29,750</u>

Illustration: 14

On Jan 1, 2006, Mr. Rahman acquired a machine on Hire-Purchase System from Crescent Ltd agreeing to pay four annual installments of Rs 30,000 each payable at the end of each year. There is no down payment. Interest is charged @ 10% p.a. and is included in the annual installments. Mr. Rahman paid the first and second installments but could not pay the third due on Dec 31, 2008, thereby the vendor repossessed the machine Mr. Rahman provides depreciation @ 10% p.a. on the machine under written down value method.

Show the Crescent Ltd Account and the Machine Account in the books of Mr. Rahman.

(B.com (Hons)—Modified)

Solution

- Step1:**
- First, cash price installment is calculated and from this total cash price is calculated.
 - As usual, service cash price is not provided in the question, by applying the rate, interest is calculated and then respective installment price is calculated.
 - Let cash price installment be 100 (assumed)
 Add: Interest @10% p.a. 10 (given)
 Hire Purchase Installment 110
 $\therefore$ Interest on hire purchase Installment = $10/110$
 - Interest is calculated from the last (i.e.) 4th installment first then in the order of 3rd, 2nd and 1st installments.
 - Interest on 4th Hire Purchase Installment

(a) Installment Amount	Rs 30,000 (Given)	
Interest	Rs $30,000 \times 10/110 =$ Rs 2,727	
$\therefore$ 4th Cash Price Installment	Rs 30,000 – Rs 2,727	
	Rs 27,273	Rs
(b) Interest on 3rd Hire Purchase Installment		
(i) Installment Amount		57,273
(Rs 30,000 + Rs 27,273)		
(ii) Interest = Rs $57,273 \times 10/100 =$ Rs 5,207		
(iii) 3rd Cash Price Installment = Rs 30,000 – Rs 5,207 =	24,793	24,793
(c) Interest on 2nd Hire Purchase Installment		
(i) Installment Amount		
(Rs 30,000 + Rs 27,273 + Rs 24,793)	82,066	
$\therefore$ 2nd Cash Price Installment	30,000 – Rs 7,461	
	22,539	22,539
(d) Interest on 1st Hire Purchase Installment		
(i) Installment Amount		
(Rs 30,000 + Rs 27,273 + Rs 24,793 + Rs 22,539) =	Rs 1,04,605	
$\therefore$ Interest = Rs $1,04,605 \times 10/110 =$ Rs 9,510		
(ii) 1st Cash Price Installment – Rs 30,000 – Rs 9,510		20,490
(The above working may be depicted in the table format also)		
Hence, Total Cash Price	4th inst. = 27,273	
	3rd inst. = 24,793	
	2nd inst. = 22,539	
	1st inst. = 20,490	
	<u>Total</u>	<u>95,095</u> *1

Step 2:**In the Books of Mr. Rahman****Crescent Ltd****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Dec 31, 2006	To Bank A/c	30,000	Jan 1, 2006	By Machine on H.P. A/c	95,095
Dec 31, 2006	To Balance A/c	<u>75,605</u>	Dec 31, 2006	By Interest A/c (Ref: Step: d(ii))	<u>9,510</u>
		<u>1,05,605</u>			<u>1,05,605</u>
Jan 31, 2007	To Bank A/c	30,000	Jan 1, 2007	By Balance b/d	75,605
Dec 31, 2007	To Balance c/d	<u>53,066</u>	Dec 31, 2007	By Interest A/c (Ref: Step c(ii))	<u>7,461</u>
		<u>83,066</u>			<u>83,066</u>
Dec 31, 2008	To Machine on H.P. A/c	<u>58,273</u>	Jan 1, 2008	By Balance A/c	53,066
		<u>58,273</u>	Dec 31, 2008	By Interest A/c (Ref: Step d(ii))	<u>5,207</u>
					<u>58,273</u>

Step 3**Machine on Hire-Purchase Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2006	To Crescent Ltd	95,095	2006	By Depreciation A/c	9,510
			Dec 31	(10% on Rs 95,095)	
		<u>95,095</u>	Dec 31	By Balance c/d	<u>85,585</u>
					<u>95,095</u>
Jan 1, 2007	To Balance b/d	85,585	2007	By Depreciation A/c	8,559
		<u>85,585</u>	Dec 31	10% on Rs 85,585 (wdv)	
			Dec 31	By Balance c/d	<u>77,026</u>
					<u>85,585</u>
Jan 1, 2008	To Balance b/d	77,026	2008	By Depreciation A/c	7,703
			Dec 31	10% on Rs 77,026 (wdv)	58,273
			Dec 31	*2 By Crescent Ltd A/c	
		<u>77,026</u>	Dec 31	(refer: *2)	<u>11,050</u>
				By Profit and Loss A/c	<u>77,026</u>

Illustration: 15

On Jan 1, 2008, Shekar purchased an air conditioner on Hire-Purchase System from Jain & Co. agreeing to pay four semi-annual installments of Rs 4,000 each commencing on June 30, 2008. The cash price of the item was Rs 15,050 and an interest of 5% p.a. was chargeable. On Sep 30, 2008, Shekar expresses his inability to continue and Jain & Co seized the air conditioner. It was agreed that Shekar would pay the due proportion of the installment up to the date of seizure and also a further sum of Rs 1,000 towards depreciation. At the time of repossession, Jain & Co. valued the air conditioner at Rs 7,500 Jain & Co after

incurring Rs 1,000 towards reconditioning and sold it for Rs 9,000 on Oct 15, 2008. Show the Ledger Accounts in the Books of Shekar and Jain & Co.

Solution**Step 1****In the Books of Shekar, AC Machine on Hire-Purchase Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2008	To Jain & Co.	15,050	Sep 30, 2008	By Jain & Co. A/c	8,569
		<u>15,050</u>		By P and L A/c	<u>6,481</u>
					15,050

Step 2**Jain & Co. Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
2008	To Cash A/c	4,000	2008	By AC machine on H.P. A/c	15,050
June 30	To Cash A/c	3,000	Jan 1	By Interest A/c	376
Sep 30	Rs 2,000 (due) + Rs 1,000 (dep)		June 30	(5% on Rs 15,050)	
Sep 30	To AC machine A/c	8,569	Sep 30	By Interest A/c	143
				(5% on Rs 11,426)	
				(Rs 15,050 – (Rs 4,000 – Rs 376)	
				(Rs 15,050 – Rs 3,624) = Rs 11,426	
		<u>15,569</u>			<u>15,569</u>

Step 3**In the Books of Jain & Co., Shekar Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2008	To H.P. Sales A/c	15,050	June 30, 2008	By Cash A/c	4,000
June 30, 2008	To Interest A/c (5% on Rs 15,050)	376	Sep 30, 2008	By Cash A/c (Due Rs 2,000 + Dep 1,000)	3,000
Sep 30, 2008	To Interest A/c (5% on Rs 11,426)	143	Sep 30, 2008	Goods possessed A/c	<u>8,569</u>
		<u>15,569</u>			15,569

Step 4**Goods Possessed Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
2008 Sep 30	To Shekar A/c	8,569	Sep 30, 2008	By Profit and Loss A/c (loss on valuation)	1,069
	To Cash A/c (repair expenses)	1,000		By Cash A/c (sale value)	9,000
	To Profit and Loss A/c (Profit on sale) (Rs 9,000 – Rs 7,500 – Rs 1,000)	500	Sep 30, 2008		
		<u>10,069</u>			<u>10,069</u>

4.2 Partial Repossession

Instead of taking back all the items sold, the hire vendor may leave some of the items of goods with the hire purchaser. The hire vendor takes possession of only part of asset-back leaving the remaining part with the hire purchaser. This is referred to as “Partial Repossession”.

4.3 Accounting Treatment

Accounting entries are similar to those in the first case (Full Repossession). The additional points to be noted under this are:

- (1) Both hire purchaser and hire vendor do not close the account of vendor and purchaser in their respective books. An additional entry has to be passed with the *agreed value* of the asset taken away by the vendor (usually, the agreed value will be provided in the question itself).
- (2) The hire purchaser computes the value of asset still left with him by applying normal rate of depreciation. He keeps the Asset Account open. This account shows the balance of those assets which were left with the purchaser by the vendor.
- (3) The balance c/d to the Credit side of the Asset Account shows the depreciated value of the asset left with the purchaser.
- (4) The difference in the Asset Account is to be transferred to Profit and Loss Account.
- (5) The difference arises because it has been credited with the following items:
 - (i) Normal depreciation
 - (ii) The Hire-Vendor's Account (with the agreed value of the assets taken back)
 - (iii) Balance c/d (with the value of asset still left with buyer)

Illustration: 16

On Jan 1, 2008, Delhi Travels Ltd purchased from Punjab Motors five luxury cars costing Rs 5,00,000 each on the Hire-Purchase System. The payment was to be made as follows: 10% of cash price down, 25% of cash price at the end of four subsequent half years. The payment due on Dec 31, 2008 could not be paid and hence the cars were seized by the vendor. After negotiation, the Delhi Travels Ltd was allowed to keep three cars on the condition that the value of the other two cars would be adjusted against the amount due, the cars being valued at cost less 25% depreciation. Delhi Travels Ltd closes its Books on 30th June each year and the depreciation is charged at 15% p.a. on cars on the original cost. The Punjab Motors spent Rs 1,00,000 on getting the cars back on road with its original condition and sold for Rs 9,00,000. Show the various accounts in the Books of both the parties.

Solution**Step 1:** Value of cars taken away is calculated as:

	Rs
Cost of each car	5,00,000
Cost of two cars	$5,00,000 \times 2 = 10,00,000$
Cost Price of two cars	10,00,000
Less: Depreciation @ 25% on Rs 10,00,000	<u>2,50,000</u>
Value of cars at the time of seizure	<u>7,50,000</u>

Step 2: Value of cars still left with the purchaser is calculated as:

	Rs
Cost of three cars $3 \times \text{Rs } 5,00,000$	15,00,000
Less: Depreciation @ 15% on Rs 15,00,000 (Normal depreciation)	<u>2,25,000</u>
Value of cars left with the purchaser	<u>12,75,000</u>

Step 3: Interest is calculated as:

Rate of interest is not provided

$$\begin{aligned}
 \text{Total Interest} &= \text{Hire-Purchase Price} - \text{Cash Price} \\
 &= \text{Rs } 27,50,000 - \text{Rs } 25,00,000 \\
 &= \text{Rs } 2,50,000
 \end{aligned}$$

Step 4: Allocation of interest is made as follows:

Installment No.	Amount Due Before Installment	Ratio	Calculation of Interest	Amount Rs
1	25,00,000	4	$4/10 \times \text{Rs } 2,50,000 = 1,00,000$	1,00,000
2	18,75,000	3	$3/10 \times \text{Rs } 2,50,000 = 75,000$	75,000
3	12,50,000	2	$2/10 \times \text{Rs } 2,50,000 = 50,000$	50,000
4	6,25,000	<u>1</u>	$1/10 \times \text{Rs } 2,50,000 = 25,000$	<u>25,000</u>
		10		<u>2,50,000</u>

Step 5**In the Books of Delhi Travels Ltd Cars on Hire-Purchase Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2008	To Punjab Motors A/c	25,00,000	June 30, 2007	By Depreciation A/c	1,87,500
				By Balance c/d	23,12,500
		<u>25,00,000</u>			<u>25,00,000</u>
July 1, 2008	To Balance b/d	23,12,500	Dec 31, 2007	By Depreciation A/c (S.L.M)	1,87,500
				By Punjab Motors A/c	7,50,000
				By P and L A/c (balance figure)	1,00,000
				By Balance c/d	<u>12,75,000</u>
		<u>23,12,500</u>			<u>23,12,500</u>

Step 6**Punjab Motor Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
2008 Jan 1	To Cash A/c (10% down payment)	2,50,000	Jan 1, 2008	By Cars on H.P. A/c	25,00,500
	To Cash A/c (10% down payment)	6,25,000	June 30	By Interest on H.P. A/c (refer Step 3 Table)	1,00,000
June 30	To Balance c/d	17,25,000			
		<u>26,00,000</u>			<u>26,00,000</u>
		7,50,000	July 1, 2008	By Balance c/d	17,25,500
Dec 31	To Cars on H.P. A/c	10,50,000	Dec 31	By Interest on H.P. A/c (refer Step 3 Table)	75,000
	To Balance c/d	<u>18,00,000</u>			<u>18,00,000</u>
			Jan 1, 2009	By Balance b/d	10,50,000

Step 7**In the Books of Punjab Motors****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
2008 Dec 31	To H.P. Sales A/c	25,00,000	2008 Dec 31	By Cash A/c	2,50,000
June 30	To Interest on H.P. Sales A/c	1,00,000	June 30	By Cash A/c	6,25,000
		<u>26,00,000</u>	June 30	By Balance c/d	<u>17,25,000</u>
2008 July 1	To Balance b/d	17,25,000			<u>26,00,000</u>
Dec 31	To Interest on H.P. Sales A/c	75,000	2008 Dec 31	By Goods Repurchased	7,50,000
		<u>18,00,000</u>		By Balance c/d	10,50,000
					<u>18,00,000</u>
Jan 1, 2009	To Balance b/d	10,50,000			

Step 8**Goods Repossessed Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
2008 Dec 31	To Delhi Travels Ltd	7,50,000	2008 Dec 31	By Cash A/c (Sale)	9,00,000
Dec 31	To Cash A/c (re-conditioned expenses)	1,00,000			
Dec 31	To P and L A/c	50,000			
		<u>9,00,000</u>			<u>9,00,000</u>

Illustration: 17

On July 1, 2007, Vas & Co. purchased 7 tractor trailers from the Good Luck Ltd. The cash purchase of each trailer was Rs 25,000. Vas & Co. was to pay 20% of the cash purchase price at the time of delivery and the balance in 5 half-yearly installments starting from Dec 31, 2007 with interest @ 5% p.a. On Vas & Co. failure to pay the installment due on June 30, 2008, it was agreed that Vas & Co. would return 3 trailers to the Good Luck Ltd and the remaining 4 would be retained by him. The Good Luck Ltd agreed to allow him a credit for the amount paid against 3 trailers less 25%. Show the relevant accounts in the Books of Vas & Co. assuming that his Books are closed in June every year and depreciation @ 20% is charged on tractor trailers.

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Solution

Step 1: Calculation of credit allowed and loss on return of 3 trailers

	Rs
(i) Total amount of principal amount paid against 7 trailers (Rs 35,000 + Rs 28,000)	63,000
(ii) Total amount of principal amount paid against 3 trailers (Rs 63,000 × 3/7)	27,000
(iii) Credit allowed by Good Luck Ltd (Rs 27,000 – 25% of Rs 27,000) (Rs 27,000 – Rs 6,750)	20,250
(iv) Loss on return of 3 trailers:	
(a) Book value of 3 trailers returned [(Rs 25,000 × 3) – 20% of Rs 75,000] (Rs 75,000 – Rs 15,000)	60,000
Less: Credit allowed (Step iii)	<u>20,250*</u>
(b) Hence loss on return of 3 trailers	<u>39,750</u>

Step 2
In the Books of Vas & Co., Good Luck Ltd Account

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
2007 July 31	To Cash A/c	35,000	2007 July 1	By Trailor A/c (7 × Rs 25,000)	1,75,000
Dec 31	To Cash A/c (Rs 28,000 + Rs 3,500)	31,500	Dec 31	By Interest on H.P. A/c (5% on Rs 1,40,000 for 6 months)	3,500
2008 June 30	To Trailor on H.P. A/c *(refer iv (a))	20,250	2008 June 30	By Interest on H.P. A/c (5% on Rs 1,12,000 for 6 months)	<u>2,800</u>
	To Balance c/d	94,550			<u>1,81,300</u>
		<u>1,81,300</u>	2008 July 1	By Balance b/d	94,550

Step 3**Tractor Trailer Hire-Purchase Account****Dr.****Cr.**

Date	Particulars	Rs	Date	Particulars	Rs
2007 July 1	To Vas & Co. A/c (7 × Rs 25,000)	1,75,000	2008 June 30	By Depreciation A/c	35,000
				By Good Luck Ltd A/c (value of returned trailers)	20,250
				By P and L A/c	39,750
				(Ref: Step iv (b))	80,000
				By Balance b/d	
		<u>1,75,000</u>			<u>1,75,000</u>

Illustration: 18

India Scooters Ltd sold 3 scooters for a total cash sale price of Rs 1,50,000 or hire purchase basis to Dev Agencies on Jan 1, 2007. The terms of agreement provided for Rs 45,000 as cash down and the balance of cash price in three equal installments together with interest @ 10% p.a. compounded annually. The installment on were payable as per the following schedule: 1st installment on Dec 31, 2008; 2nd installment on Dec 31, 2009 and 3rd installment on Dec 31, 2010. Dev Agencies paid 1st installment on time but failed to pay thereafter (on his failure to pay the second installment, India Scooters Ltd repossessed 2 scooters and valued them at 50% of cash price). Dev Agencies charged 10% p.a. depreciation on Straight Line Method. Prepare necessary Ledger Accounts in the Books of Dev Agencies for the year 2007 to 2009.

Solution**In the Books of Dev Agencies****Step 1: Calculation of Interest**

	Rs
Total Cash Price	1,50,000
Less: Down Payment	<u>45,000</u>
	1,05,000
Add: 10% interest for 2007	<u>10,500</u>
	1,15,500
Add: 10% interest for 2008	<u>11,550</u>
	1,27,050
Less: 1st Installment on Dec 31, 2008:	<u>57,050</u>
(Rs 35,000 + Rs 10,500 + Rs 11,550)	
(Installment) (Interest) (Interest)	
(2007) (2008)	<u>70,000</u>
Add: 10% interest for 2009	<u>7,000</u>
	<u>77,000</u>

Step 2: Value of Scooters (on Dec 31, 2009)

Cash Price of Scooter	50,000
Less: Depreciation @ 10% for 2007 (S.L.M):	<u>5,000</u>
	45,000
Less: Depreciation @ 10% for 2008 (S.L.M):	<u>5,000</u>
	40,000
Less: Depreciation @ 10% for 2009 (S.L.M):	<u>5,000</u>
	<u>35,000</u>

Step 3

In the Books of Dev Agencies, Scooters on Hire-Purchase Account

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2007	To Indian Scooters A/c	1,50,000	Dec 31, 2007	By Depreciation A/c	15,000
				By Balance c/d	1,35,000
		<u>1,50,000</u>			<u>1,50,000</u>
Jan 1, 2008	To Balance b/d	1,35,000	Dec 31, 2008	By Depreciation A/c	15,000
		<u>1,35,000</u>		By Balance c/d	1,20,000
Jan 1, 2009	To Balance b/d	1,20,000			<u>1,35,000</u>
			Dec 31, 2009	By Depreciation A/c	15,000
				By Balance c/d	50,000
				By P and L A/c	20,000
				(balance figure)	
				By Balance b/d	35,000
		<u>120,000</u>			<u>120,000</u>

Step 4

India Scooters Ltd Account

Dr.			Cr.		
Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2007	To Bank A/c	45,000	Jan 1, 2007	By Scooters on H.P. A/c	1,50,000
Jan 31, 2007	To Balance c/d	1,15,500	Dec 31, 2007	By Interest on H.P. A/c	10,500
		<u>1,60,500</u>			<u>1,60,500</u>
Dec 31, 2008	To Bank A/c	57,050	Jan 1, 2008	By Balance b/d	1,15,000
	(Rs 35,000 + Rs 10,500 + 11,550)		Dec 31, 2008	By Interest A/c	11,550
Dec 31, 2008	To Balance c/d	70,000		(refer Step 1)	
		<u>1,27,050</u>			<u>1,27,050</u>
Dec 31, 2009	To Scooter on H.P. A/c	50,000	Jan 1, 2009	By Balance b/d	70,000
	To Balance c/d	27,000	Dec 31, 2009	By Interest A/c	7,000
		<u>77,000</u>		(refer Step 1)	<u>77,000</u>

At times, a business firm sells goods both on cash price basis and hire-purchase price basis simultaneously. When goods sold on hire purchase are (i) of small sales value and (2) number of customers is large, calculation of profit or loss of hire purchase is an arduous task. It is cumbersome to maintain a large number of books of account under such circumstances.

A format of Hire-Purchase Sales Register is shown here, in order to understand how much time and labor will be required to maintain such books for each and every item sold, to ascertain the net results of operations.

OBJECTIVE 5: FORMAT OF HIRE-PURCHASE SALES REGISTER FOR THE YEAR ENDED

SL. No.	Date of Agreement	Name of Article	Cost Price Rs	Hire-Purchase Price	Cash Down Payment Rs	No. of installments	Installment Due										Total Installment Received Rs	Installment Due Unpaid	Installment Not Yet Due
							1	2	3	4	5	6	7	8	9	10			

5.1. The following information is extracted from such hire-purchase sales registered to ascertain profit / loss hire purchase transactions:

5.1.1 Cost Price of Goods sold on Hire Purchase:

Cost Price = No. of units sold on H.P. $\times$ Cost Price per unit

5.1.2 Hire-Purchase Price:

Hire-Purchase Price = No. of units sold on H.P. $\times$ Hire-Purchase Price per unit.

5.1.3 Total Cash received from Hire Purchase Customers =

Cash received = Cash Down Payment + Amount of installment received.

5.1.4 Total installment due but unpaid:

Due but unpaid = Amount of installment which became due but not received during the accounting period.

5.1.5 Total installment not yet Due:

Not yet due = Amount of Installments which became due but not received during the accounting period. (Stock still with customers)

In order to avoid such cumbersome process of accounting, a new method popularly known as Hire-Purchase Trading Account is being adopted now, to ascertain profit/loss made on hire purchase transactions, preferably of small value goods.

OBJECTIVE 6: METHODS OF ASCERTAINING PROFIT

To ascertain profit or loss made on hire purchase transactions the following methods can be adopted:

1. Debtors Method (System)
2. Stock and Debtors Method (System)

6.1 Debtors Method

Under this method, a Hire-Purchase Trading Account is prepared to ascertain profit or loss on hire purchase transactions.

The accounting entries in the Hire-Purchase Trading Account may be made either at cost or at hire-purchase price (selling price).

Transaction	When H.P. Trading A/c Prepared at Cost	When H.P. Trading A/c is Prepared at Hire-Purchase Price
1. Goods sent on Hire Purchase	H.P. Trading A/c Dr. To Goods sold on H.P. A/c (at cost price)	H.P. Trading A/c Dr. To Goods sold on H.P. A/c
2. Cash received from H.P. Customers	Cash A/c Dr. To H.P. Trading A/c	Cash A/c Dr. To H.P. Trading A/c

Transaction	When H.P. Trading A/c Prepared at Cost	When H.P. Trading A/c is Prepared at Hire-Purchase Price
3. Installment Due but not paid at the end	H.P. Debtors A/c Dr. To H.P. Trading A/c	H.P. Debtors A/c Dr. To H.P. Trading A/c
4. Installment not yet Due at the end	H.P. Stock A/c Dr. To H.P. Trading A/c (at cost price)	H.P. Stock A/c Dr. To H.P. Trading A/c (at hire purchase price)
5. Repossession of Goods	Goods Repossessed A/c Dr. To H.P. Trading A/c	Goods Repossessed A/c Dr. To H.P. Trading A/c
6. (a) Removing loading in Goods sent on H.P.	No entry	(a) Goods sold on H.P. A/c Dr. To H.P. Trading A/c
(b) Removing loading in Opening Stock with H.P. Customers	No entry	(b) Stock Reserve A/c Dr. To H.P. Trading A/c
(c) Removing loading in Closing Stock with H.P. Customers	No entry	(c) H.P. Trading A/c Dr. To H.P. Stock Reserve A/c
7. Profit on H.P. Transaction	H.P. Trading A/c Dr. To General P and L A/c	H.P. Trading A/c Dr. To General P and L A/c
8. Closing Goods sold on H.P.	Goods sold on H.P. A/c Dr. To Shop Stock A/c	Goods sold on H.P. A/c Dr. To Shop Stock A/c

(For *loss*: Reverse the above entry for both methods)

Formats of Hire-Purchase Trading Account (At Cost)

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Opening Balances:		By Cash A/c	—
Hire-Purchase Stock (at cost)	—	(down payment installment payment)	
Hire-Purchase Debtors	—	By Goods Repossessed A/c	
To Goods sold on H.P. A/c	—	(at revalued figure)	—
(at cost)		By Closing Balances:	
To Gross Profit t/f to		Hire-Purchase Stock (at cost)	—
Profit and Loss A/c	—	Hire-Purchase Debtors	—
		By Gross t/f to	—
		Profit and Loss A/c	—
	—		—
	xxx		xxx

Hire-Purchase Trading Account (At Hire Purchase Price) (Selling Price)**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Opening Balances:		By Cash A/c	—
Hire Purchase Stock (at H.P. Price)	—	(down payment installment payment)	
Hire Purchase Debtors	—	By Goods Repossessed A/c	
To Goods sold on H.P. A/c (At Cost)	—	(at revalued figure)	—
To H.P. Stock Reserve A/c	—	By Hire Purchase Stock Reserve A/c	
(Load on closing stock)		(load on opening stock)	—
To Gross Profit t/f to	—	By Goods sold on H.P. A/c	
Profit and Loss A/c		(load on goods sold)	
		By Closing Balances	—
		Hire Purchase Stock (at H.P. price)	
		Hire Purchase Debtors	
		By Gross t/f to	
		Profit and Loss A/c	—
	—		—
	xxx		xxx

Load is calculated as: (Load → Mark Up → Profit Margin → denotes same meaning)

Load = H.P. Price of (Opening stock or Closing Stock or Goods sold on H.P.)

$$\frac{\times \text{Hire Purchase Price} - \text{Cost}}{\text{Hire Purchase Price}}$$

1. Stock out on hire: Stock out on hire at cost means stock with the customers
Stock out on hire = Amount of installments not due – Profit margin

At the ending of the accounting period, it is valued as:

Stock out on hire = Cost × Amount of installments not yet due / Total amount of installment including deposit.

2. Cost of Goods sold on hire purchase is worked out as follows:

Opening Stock at the shop:	-----
Add: Purchases during the year	-----
Less: Closing stock at the shop	-----
Cost of Goods sold	*****

3. Goods sold on Hire Purchase:

Opening Stock at the shop:	-----
Add: Purchases during the year	-----
Less: Closing stock at the shop	-----
Add: Load on Mark Up	-----
Cost of Goods sold	*****

Illustration: 19

The following details relate to a dealer in pressure cooker who disposes off them on Hire-Purchase System. Assuming his gross profit on sales to be 20% and there were no opening or closing creditors for goods or expenses, prepare H.P. Trading Account for the year ended Mar 31, 2009:

		Rs
Apr 1, 2008:	Stock out on hire at H.P. Price	80,000
	Stock on hand at shop at cost	10,000
	Installments over due, customers still paying	6,000
Mar 31, 2009:	Stock out on hire at H.P. Price	92,000
	Stock on hand at Cost	14,000
	Installments over due, customers still paying	10,000
	Cash purchases during the year	1,20,000
	Credit purchase during the year	16,000
	Cash (installments) received during the year	1,60,000
	Hire Purchase expenses paid during the year	14,800

Solution

Study the Proforma and transfer these figure to the account as:

Hire-Purchase Trading Account (At Cost)

Particulars	Rs	Particulars	Rs
Stock out on Hire A/c b/d		By Cash	1,60,000
H.P. Price 80,000		By Installments Due A/c c/d	10,000
Less: Load 20% <u>16,000</u>	64,000	By Stock out on Hire A/c c/d	
To Installments Due A/c b/d	6,000	H.P. Price 92,000	
To Cost of Goods Sold on H.P.		Less: Load (20% given) <u>18,400</u>	73,600
Opening stock shop 1,000			
Add: Purchases 1,36,000			
	1,46,000		
Less: Closing Stock <u>14,000</u>	1,32,000		
To Hire Purchases expenses	14,000		
To Gross Profit t/f to P and L A/c	26,000		
	<u>2,43,600</u>		<u>2,43,600</u>

Illustration: 20

Renu sells goods on hire purchase basis at a profit of 50% on Cost. Following particulars are relating to the business during the year 2008

	Rs
Hire Purchase Stock at (selling price) as Jan 1, 2008	18,000
Installments Due on Jan 1, 2008	10,000
Goods sold on H.P. during the year (at selling price)	1,74,000
Cash received from H.P. Customers during the year	1,20,000
Goods repossessed (installments due Rs 4,000) as valued	1,000
Hire purchase stock (at selling price) as on Dec 31, 2008	60,000
Installments Due on Dec 31, 2008	18,000

Prepare the Hire-Purchase Trading Account, the Profit earned for 2008

(B.Com (Hons) – Delhi – Modified)

Solution

* Figures are shown at selling price (i.e.) H.P. Price. So remember the format for preparing Trading A/c (at selling price), draw and transfer the transactions to it.

* In the question, “sold at profit of 50% on cost” is provided.

50% on Cost = $\frac{1}{2}$ on Cost

$\frac{1}{2}$ on Cost = $\frac{1}{3}$ on sale

Load is calculated at $\frac{1}{3}$ of Stock.

In the Books of Renu, Hire-Purchase Trading Account (At Selling Price) for 2008

Particulars	Rs	Particulars	Rs
2008		2008	
Jan 1		Dec 31:	
To H.P. Stock A/c	18,000	By Cash A/c	1,20,000
To Installment Due A/c	10,000	(installment collected)	
Dec 31		By Goods Repossessed A/c	1,000
To Goods sold on H.P. A/c	1,74,000	By H.P. Stock A/c	60,000
To Stock Reserve A/c	20,000	By Installments Due A/c	18,000
(load on stock at the end $\frac{1}{3}$ of Rs 60,000)		By Stock Reserve A/c (Load on opening stock $\frac{1}{3}$ of 18,000)	6,000
To Gross Profit		By Goods sold on H.P. A/c (Load : $\frac{1}{3}$ of Rs 1,74,000)	58,000
P and L A/c	41,000		
	<u>2,63,000</u>		<u>2,63,000</u>

Illustration: 21

PVR Ltd sells product on hire purchase terms, the price being cost plus $33\frac{1}{3}\%$ and provides you the following particulars for the year ended Mar 31, 2009:

	Apr 1, 2008	Mar 31, 2009
	Rs	Rs
Stock out on Hire	2,00,000	2,30,000
Stock out shop	25,000	35,000
Installments due but customers still paying	15,000	25,000
Prepare Hire-Purchase Trading Account		
If Goods sold on hire purchases amounted to Rs 4,00,000		
If Goods purchased during the year amounted to Rs 4,00,000		

Solution**Case (i)****Hire-Purchase Trading Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Opening Balances:		By H.P. Stock Reserve A/c	50,000
H.P. Stock	2,00,000	(Rs 2,00,000 $\times \frac{1}{4}$)	
H.P. Debtors	15,000	By Bank A/c	3,60,000
To Goods sold on H.P. A/c	4,00,000	By Goods sold on H.P. A/c	1,00,000
To H.P. Stock Reserve A/c	57,500	(Rs 4,00,000) $\times \frac{1}{4}$	
(Rs 2,30,000 $\times \frac{1}{4}$)		By Closing Balances	
*To P and L A/c	92,500	H.P. Stock	2,30,000
		H.P. Debtors	<u>25,000</u>
	<u>7,65,000</u>		<u>7,65,000</u>

Working Notes

Shop Stock Account

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
Balances b/d	25,000	Goods sold on H.P.ww	3,00,000
* Purchases (balancing figure)	3,10,000	Balance c/d	35,000
	<u>3,35,000</u>		<u>3,35,000</u>

Goods Sold on H.P. Account

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
Hire Purchase Trading	1,00,000	H.P. Trading A/c	4,00,000
*Shop Stock (balancing figure)	<u>3,00,000</u>		<u>4,00,000</u>
	4,00,000		

Memorandum H.P. Debtors Account

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
Balances b/d	15,000	Balance c/d	25,000
*H.P. Stock A/c	3,70,000	*Bank A/c (balance figure)	3,60,000
(from H.P. Stock A/c)	<u>3,85,000</u>		<u>3,85,000</u>

Memorandum H.P. Stock A/c

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
Balances b/d	2,00,000	Hire Purchase Debtors	3,70,000
Goods sold on H.P.	4,00,000	(To H.P. Dr.s A/c)	
	<u>6,00,000</u>	Balance	<u>2,30,000</u>
			<u>6,00,000</u>

Case (ii)

Hire-Purchase Trading Account

Dr.

Cr.

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Opening Balances:		By H.P. Stock Reserve A/c	50,000
H.P. Stock	2,00,000	(Rs 2,00,000×1/4)	
H.P. Debtors	15,000	By Bank A/c	4,80,000
To Goods sold on H.P. A/c	5,20,000	By Goods sold on H.P. A/c	1,30,000
To H.P. Stock Reserve A/c	57,500	(Rs 4,00,000) ×1/4	
(Rs 2,30,000×1/4)		By Closing Balances:	
To P and L A/c	1,22,500	H.P. Stock	2,30,000
	<u>9,15,000</u>	H.P. Debtors	<u>25,000</u>
			<u>9,15,000</u>

Working Notes

Shop Stock A/c

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
Balance b/d	25,000	Goods sold on H.P. A/c	3,90,000
Purchases	4,00,000	(balance figure)	
		Balance c/d	35,000
	<u>4,25,000</u>		<u>4,25,000</u>

Goods Sold on H.P. A/c

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
Shop Stock A/c	3,90,000	H.P. Trading A/c	5,20,000
H.P. Trading A/c	1,30,000		
	<u>5,20,000</u>		<u>5,20,000</u>

Memorandum H.P. Stock A/c

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
Balance b/d	2,00,000	H.P. Debtors A/c (balance figure)	4,90,000
Goods sold on H.P.	5,20,000	Balance c/d	2,30,000
	<u>7,20,000</u>		<u>7,20,000</u>

Memorandum H.P. Debtors A/c

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
Balance b/d	15,000	Bank A/c (B.7)	4,80,000
H.P. Stock (from H.P. Stock A/c)	4,90,000	Balance c/d	25,000
	<u>5,05,000</u>		<u>5,05,000</u>

6.1.1 Calculation of Missing Figure

Generally, one of the following items may be missing in the given question:

- i) Stock in the beginning
- ii) Purchases
- iii) Installments due in the beginning
- iv) Installments due at the end
- v) Cash received from customers
- vi) Stock at the end

First, it is essential to compute such missing figure and only then Hire-Purchase Trading Account may be prepared.

6.1.2 Accounting Procedure to Trace Missing Figures

Step 1: The following three accounts are to be prepared strictly in the order:

(A) Stock in the Shop Account (or) Shop Stock Account [always at Cost Price]	(Referred to as) The First Account
(B) Stock on Hire (or) Stock with the Customer's A/c (or) Installments NOT DUE A/c [always at Hire-Purchase Price]	The Second Account
(C) Installments DUE A/c	The Third Account

Note: Sometimes these three accounts are prepared in the reverse order from C to B and then to A, respectively.

Step 2: Draw the ledger format for all the three A, B and C accounts in the order.

- (i) Opening Balances: All opening balances are to be entered on the debit side of the respective accounts as: To Balance b/d.
- (ii) Closing Balances: Closing balances are to be entered on the credit side of the respective accounts as: By Balance c/d.
- (iii) Purchases: Debit side of stock in the Shop A/c Cash.
- (iv) Cash Received from Customers: Credit side of Installment Due A/c.
- (v) Goods sold during the year: Debit side of stock with the customer's account.
(or)
To be transferred from the credit side of first account to debit side of second account.
- (vi) Begin with the account that has maximum entries.
Such a procedure enables to locate the missing figure relatively in easy manner.
Usually, the missing figure is arrived at as balancing figure.
Once it is ascertained, it is transferred to the next account in the order.
- (vii) When the figure is to be transferred from one account to another account that figure must be converted from Cost Price to Hire Price (Selling Price) 1 to 2, 2 to 3 --- order
In case if the order is reversed from 3rd account to 2nd, price will have to be converted into Cost Price.
This process of transfer takes place till the missing figure is arrived at.
- (viii) Installments due during the year (as against its opening or closing balance) appears in the credit side of the second account and debit side of the third account at the SAME FIGURE simultaneously.

Proforma of First Account (At Cost Price)

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
Opening Balance	—	Stock with Customer's A/c:	—
Purchases	—	Cost of Goods Sold on Hire Purchase (it appears in 2nd A/c at hire-purchase price)	—
		Closing Balance	—

Second Account: Stock with Customer's Account (At Hire-Purchase Price)

Installments Not Due A/C

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
Opening Balance	—	Installments Due Account:	—
Stock in Shop A/c (it appears in 1st A/c)		(installment due during the year) (appears in debit side of 3rd account)	
Hire purchase price of goods		Closing Balance	—

Third Account Installment Due Account

Particulars	Rs	Particulars	Rs
Opening Balance	—	Cash received from Customers	—
Stock with Customers A/c (Transfer item)	—	Goods Repossessed A/c	—
Installments due during the year (appears in 2nd A/c) also	—	Closing Balance	—

Illustration: 22

Shweta Traders sells some kitchen ware on hire purchase at cost plus 50%. Find out the profit for the year ending Mar 31, 2009 from the following particulars:

	Apr 1, 2008	Mar 31, 2009
	Rs	Rs
Stock with hire purchase customers at selling price	13,500	
Stock at shop at cost	27,000	
Installments Due	7,500	
Cash received from customers		90,000
Goods repossessed (installments due Rs 3,000) value at		750
Installments due, customers still paying		13,500
Stock at shop at cost (excluding repossessed goods)		30,000
Goods purchased during the year		90,000

Solution

Main steps involved in solving this problem

1: Calculation of missing figure

2: Computation of Profit/Loss by preparing H.P. Trading Account.

Calculation of Missing Figure:

$$(i) \text{ Cost Plus } 50\% = \frac{50}{100+50} = \frac{50}{150} = \frac{1}{3}$$

Cost Plus $\frac{1}{2} \rightarrow \frac{1}{3}$ on sale

(ii) Preparation of Accounts in the order

Stock in the Shop Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	27,000	By Stock with customers A/c (goods sent during the year)	87,000
To Purchase A/c	90,000	(balancing figure)	
		By Balance c/d	30,000
	<u>1,17,000</u>		<u>1,17,000</u>

**Stock with the Customer's Account
(Installments Not Due Account)**

Dr.**Cr.**

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d	13,500	By Installments Due A/c	99,000
To Stock in shop A/c	1,30,500	(Installments due during the year)	
(Goods sold during the year)		By Balance c/d	45,000
(87,000 + 43,500)		(Missing Figure)	
	<u>1,44,000</u>		<u>1,44,000</u>

Installments Due Account

Dr.**Cr.**

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d	7,500	By Cash A/c	90,000
To Stock with customers A/c	99,000	By Goods Repossessed A/c By	3,000
(installments due during the year)		Balance c/d	13,500
(balancing figure)			
	<u>1,06,500</u>		<u>1,06,500</u>

Missing Figure = Stock with the customers = Rs 45,000

(2) Calculation of Profit or Loss

**Hire-Purchase Trading Account
For the Year Ending on Mar 31, 2009**

Dr.**Cr.**

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Stock with the Customers A/c	13,500	By Cash A/c	90,000
To Goods sold to Customers A/c b/d	1,30,500	By Goods Repossessed A/c	750
To Installments Due A/c		By Goods sold to Customer's A/c	43,500
To Stock Reserve A/c	7,500	(load)	
(1/3 of Rs 45,000)	15,000	By Stock with the customers A/c	45,000
To P and L A/c		c/d (missing figure entered)	
(balance figure)	30,750	By Installments Due A/c c/d	13,500
		By Stock Reserve A/c	4,500
	<u>1,97,250</u>	(1/3 of Rs 13,500)	
			<u>1,97,250</u>

Illustration: 23

Mr. X sells goods at hire purchase price. Hire purchase is made of profit at 50% on hire purchase price (cost). Calculate profit from the information given below for the year 2008:

2008		Rs
Jan 1	Installments due in the beginning	16,000
Dec 31	Installments due during the year	50,000
	Cash received during the year	60,000
	Goods sold during the year	48,000
	Installments unpaid (not due) on 31 Dec	12,000
	Goods repossessed during the year (Amount Due Rs 1,000)	100

Solution

1. Calculation of missing figure

Stock with the Customer's Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	14,000	By Installments Due A/c	50,000
To Goods sold to customers during the year under H.P.	48,000	(Installments due during the year)	12,000
		By Balance c/d	
		(Given in question)	
	<u>62,000</u>		<u>62,000</u>

**Amounts Not Due (not needed in this type)
Installment Due Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	16,000	By Cash A/c	60,000
To Stock with the Customer's A/c – being installments due during the year	50,000	By Goods Repossessed A/c	1,000
		By Balance c/d	5,000
		(Balance Figure)	
	<u>66,000</u>		<u>66,000</u>

Note: The figure of installments due during the year. It is shown at two places since it cancels the debit of customers' account (who were debited when the goods were supplied) and gives a new debit to the new account opened for the customers from whom installments have become due upto the date of preparation of H.P. Trading A/c.

Calculation of Profit or Loss Hire-Purchase Trading Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Stock with customers A/c b/d	14,000	By Cash A/c	60,000
To Installments due A/c b/d	16,000	By Goods Repossessed A/c	1,00
To Goods sold to customers A/c	48,000	By Stock Reserve A/c	7,000
To Stock Reserve A/c	6,000	By Goods sold to Customers (load)	24,000
To P and L A/c (balance figure)	24,100	By Stock with customers A/c c/d (installments unpaid)	12,000
		By Installments due A/c c/d	5,000
	<u>1,08,100</u>		<u>1,08,100</u>

Illustration: 24

Rockcity Agencies started business on Apr 1, 2008. During the year ended Mar 31, 2009, they sold refrigerators and TV sets under two schemes: Cash Price Schemes (CPS) and Hire Price Systems (H.P.S).

Under the CPS, they priced the goods at cost plus 25% and collected it on delivery.

Under the HPS, the buyers were required to sign a H.P. Agreement to pay for the value of goods in 30 installments, the value being calculated at cash price plus 50%. The following are the details available at the end of Mar 31, 2009.

Goods	No. Unit Purchased	Units sold under CPS HPS	Cost per unit (Rs)	No. of Installments Due During the Year	No. of Installments Received During the Year
TV Sets	45	10 30	16,000	1,080	1,000
Refrigerator	35	10 20	12,000	840	800

You are required to prepare

- Hire-Purchase Trading Account
- General Trading Account

Solution**Hire-Purchase Trading Account
for the Year Ended Mar 31, 2009**

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Goods sold on H.P. 30 × Rs 30,000 20 × Rs 22,500	9,00,000 <u>4,50,000</u> 13,50,000	By Bank A/c Rs 1,000 × 500 Rs 800 × 375	5,00,000 <u>3,00,000</u> 8,00,000
To H.P. Stock Reserve A/c	2,31,000	By Goods sold on Hire Purchase (Load)	
To P and L A/c (H.P. Profit)	3,99,000	30 × Rs 14,000 = Rs 4,20,000 20 × Rs 10,500 = Rs 2,10,000	
		By Installments Due A/c	Rs
		40 × 1,000 = Rs 40,000	40,000
		20 × 750 = Rs 15,000	<u>15,000</u>
		By Stock with customers A/c	
		360 × 1,000 = Rs 3,60,000	3,60,000
		180 × 750 = Rs 1,35,000	<u>1,35,000</u>
	<u>19,80,000</u>		<u>4,95,000</u> 19,80,000

General Trading Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Purchases		By Sales A/c	
45 × Rs 16,000	7,20,000	10 × Rs 20,000	2,00,000
35 × Rs 12,000	<u>4,20,000</u>	10 × Rs 15,000	<u>1,50,000</u>
	11,40,000		<u>3,50,000</u>
Less:		By Stock at shop	
To Goods sold on H.P. at cost		5 × Rs 16,000	80,000
30 × Rs 16,000	(4,80,000)	5 × Rs 12,000	60,000
20 × Rs 12,000	<u>(2,40,000)</u>		
	4,20,000		
To Gross Profit (Balance Figure)	70,000		
	<u>4,90,000</u>		<u>4,90,000</u>

Illustration: 25

Krishna Traders sell on H.P. terms consumable durables. Details of its activities during 2008–2009 are as shown below:

Particulars	TV	Washing Machine	AC
No. of Units sold	50	40	20
Cost per unit	Rs 10,000	Rs 12,000	Rs 18,000
Price per unit on delivery	Rs 2,500	Rs 4,000	Rs 6,000
Balance in	{ 10 months Installment of Rs 1,250 each }	{ 32 bi-monthly Installment of Rs 500 each }	{ 12 Quarterly Installments of Rs 2,200 each }
No. of Installments received	490	800	55

Two washing machines on which only 6 installments in all and one air conditioner on which 3 installments were received, were repossessed as the customers defaulted in payment of subsequent installments. These were taken back at original cost less 30%.

Prepare H.P. Trading A/c for the year ended Mar 31, 2009 at Cost Price.

Solution**Step 1: ***¹H.P. Sales

	Rs	Rs
Down Payment T.V: (50 × Rs 2,500)	1,25,000	
Washing Machine: (40 × Rs 4,000)	1,60,000	
A.C = 20 × 6,000	<u>1,20,000</u>	4,05,000
Add: Installments Received:		
T.V = 490 × Rs 1,250	6,12,500	
Washing Machine: 800 × Rs 500	4,00,000	
A.C = 55 × Rs 2,200	<u>1,21,000</u>	<u>11,33,500</u>
		<u>15,38,500</u>

Step 2: *²Goods Repossessed:

	Rs
Cost of 2 Washing Machines: Rs 12,000 × 2	24,000
Cost of 1 A.C Machine: Rs 18,000 × 1	<u>18,000</u>
	42,000
Less 30% of Cost	<u>12,600</u>
Return Price	29,400

Step 3: *³Stock at the end on H.P. at Cost:

$$\text{Formula} = \frac{\text{Cost Price}}{\text{Selling Price}} \times \text{Instalments not Due}$$

		Rs
(i) T.V	$= \frac{10,000}{15,000} [(50 \times 10) - 490] \times 1,250$	8,333
(ii) Washing Machine	$= \frac{12,000}{20,000} [(38 \times 32) - (800 - 6)] \times 500$	1,23,000
(iii) A.C Machine	$= \frac{18,000}{30,000} [(19 \times 12) - (55 - 3)] \times 2,200$	<u>2,24,400</u>
		<u>3,55,733</u>

Step 4: Preparation of H. P. Trading Account**H. P. Trading Account**

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Cost of Goods Sent:		By * ¹ H.P. Sales A/c	15,38,500
i) T.V : 50 × Rs 10,000	5,00,000	By * ² Goods Repossessed A/c	29,400
ii) Washing Machine: 40 × Rs 12,000	4,80,000	By * ³ Stock at the end at Cost	3,55,733
iii) A/c : 20 × Rs 18,000	3,60,000		
To Profit & Loss A/c (Balancing Figure)	5,83,633		
	<u>19,23,633</u>		<u>19,23,633</u>

6.2 Stock and Debtors System

To ascertain profit or loss under Stock and Debtors System, another method of ascertaining profit or loss on hire-purchase transactions is “Stock and Debtors System”.

6.2.1 Under this method the following accounts are maintained

- (i) Goods sold on Hire-Purchase Account
- (ii) Shops Stock Account
- (iii) Hire Purchase Debtors Account
- (iv) Hire Purchase Stock Account
- (v) Hire Purchase Adjustment Account
- (vi) Stock Reserve Account

6.2.2 Accounting entries to be passed under this method

- (1) On purchase of goods for shop stock

Shop Stock A/c	Dr.	
To Purchase A/c		
(At Cost Price)		
- (2) On goods sent (sold) on hire purchase

Hire Purchase Stock A/c	Dr.	(H.P. Price)
To Shop Stock A/c		(Cost Price)
To Hire Purchase Adjustment A/c	(Load)	
- (3) Total installments which become due

Hire Purchase Debtors A/c	Dr.	(H.P.Price)
To H.P. Stock A/c		
- (4) Cash received from debtors

Cash A/c	Dr.	(Down Payment + Installments received)
To H.P. Debtors A/c		
- (5) Repossession of goods on default

Repossessed Stock A/c	Dr.	(Estimated Value)
H.P. Adjustment A/c	Dr.	(Loss on Valuation)
To H.P. Debtors A/c		(Total Installments Due)
- (6) Reserve on opening stock on hire purchase price

Stock Reserve A/c	Dr.	(Load)
To H.P. Adjustment A/c		
- (7) Reserve on closing stock
(reserve entry of No. 6)

	(Load)	
--	--------	--
- (8) Profit on H.P.

H.P. Adjustment A/c	Dr.	
To P and L A/c		
- (9) Loss on H.P.
(reverse entry of No.8)

Illustration: 26

M/s Sona & Co sells goods on Hire-Purchase System at cost plus 50%. Prepare H.P. Debtors Account, Shop Stock Account, Stock Account and H.P. Adjustment Account from the year ending Mar 31, 2009.

		Rs
Apr1, 2008	Stock with H.P. customers at selling price	54,000
	Stock at shop at cost	1,08,000
	Installments Overdue	30,000
Mar 31, 2009	Cash received from customers	3,60,000
	Goods Repossessed (Installments due Rs 16,000)	3,000
	valued at Rs 3,000 which was included in the stock at the end	
	Goods purchased during the year	3,60,000
	Stock at shop at cost	1,23,000
	Installments Due	54,000

Solution

In the Books of M/S Sona & Co
Shop at Stock Account

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	1,08,000	By H.P. Stock A/c	3,48,000
To Purchase A/c	3,60,000	(cost of goods sold)	
		By Balance c/d	1,20,000
		(Rs 1,23,000 – Rs 3,000)	
	<u>4,68,000</u>		<u>4,68,000</u>

Hire-Purchase Stock Account

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	54,000	By H.P. Debtors A/c	4,00,000
To Shop Stock A/c	3,48,000	(installments due)	
To H.P. Adjustment A/c	1,74,000	By Balance c/d	1,76,000
		*Missing Figure (balance figure)	
	<u>5,76,000</u>		<u>5,76,000</u>

Hire-Purchase Debtors Account

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	30,000	By Repossessed Stock A/c	3,000
To H.P. Stock A/c	4,00,000	By H.P. Adjustment A/c	13,000
(installments due)		By Cash A/c	3,60,000
(balance figure)		By Balance c/d	54,000
	<u>4,30,000</u>		<u>4,30,000</u>

Stock Reserve Account

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
Mar 31, 2009		Apr 1, 2008	
To H.P. Adjustment A/c	18,000	By Balance b/d	18,000
To Balance c/d	58,668	Mar 31, 2009	
		By H.P. Adjustment A/c	<u>58,668</u>
	<u>76,668</u>		<u>76,668</u>
		Apr 1, 2009	
		By Balance b/d	58,668

Hire Purchase Adjustment

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Stock Reserve A/c	58,668	By Stock Reserve A/c	18,000
To H.P. Debtors A/c	13,000	By H.P. Stock A/c	1,74,000
(loss on revaluation)			
To P and L A/c	<u>1,20,332</u>		
	1,92,000		<u>1,92,000</u>

Illustration: 27

Jaya Enterprises sold a washing machine to Leela on Hire-Purchase System on Apr 1, 2008 for Rs 18,400. Leela paid Rs 4,000 on the same date to receive the delivery of washing machine and agreed to pay the balance in 12 equal monthly installments; each installment becoming due on the last day of each month. Leela paid six installments in time but failed to pay the other installments. In Dec 2008, (before the monthly installment had become due) Jaya enterprises repossessed the washing machine. The repossessed washing machine was valued at Rs 7,000. Show the necessary ledger accounts in the books of Jaya Enterprises (under Stock and Debtors System).

B.Com (Hons.) – Modified**Solution****In the Books of Jaya Enterprises**

- First, (i) Installment amount,
(ii) Installments Due (H.P. Debtors)
(iii) Installments NOT DUE (H.P. Stock)
all have to be calculated

Step 1: $\text{Installment Amount} = \frac{\text{H.P. Price} - \text{Down Payment}}{\text{No. of Installments}}$
 $= \text{Rs } 18,400 - \text{Rs } 4,000 = \frac{14,400}{12} = \text{Rs } 1,200$

Step 2: $\text{Installment Due} = (\text{H.P. Debtors})$
Period from Apr 1, 2008 to Mar 31, 2009 = 12 months

(a) (i.e.) Total installments	12
(b) From Apr 1, 2008 to Sep 30, 2008 Installments were paid	<u>6</u>
(c) * ¹ Installment Due + Installment Not Due	<u>6</u>

c = (a-b)

The date on which the asset was taken back repossessed = Dec 1, 2008

The period between the last installment paid and the date on which the asset was repossessed, i.e. from Sep 30, 2008 to Dec 1, 2008 = 2 months

*² This is installments due (H.P. Debtors) = 2

Step 3: Installment Not Due

* ¹ Installment Due + Installments Not Due	6
Less: * ² Installments Due	<u>2</u>
∴ Installments Not Due	<u>4</u>

or

Simply counting from Dec 1, 2008 to Mar 31, 2009 = 4

Step 4: Based on these values the following has to be calculated:

- (i) H.P. Debtors Account = No. of Installments Due $\times$ Installment Amount
 $= 2 \times \text{Rs } 1,200 = 2,400$
- (ii) H.P. Stock Account = No. of Installments Not Due $\times$ Installment Amount
 $= 4 \times \text{Rs } 1,200 = \text{Rs } 4,800$
- (iii) Goods Repossessed = Rs 2,400 + Rs 4,800 = Rs 7,200

Step 5: Difference between the valuation of repossessed assets and this (net effect on repossession – profit or loss)

$$\begin{aligned}
 & (\text{Rs } 2,400 + \text{Rs } 4,800) - \text{Rs } 7,000 \\
 & = \text{Rs } 7,200 - \text{Rs } 7,000 = \text{Rs } 200 \\
 & (\text{Profit})
 \end{aligned}$$

Step 6

Hire-Purchase Stock Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Goods sold on H.P. (at H.P. Price –Given)	18,400	By Goods Repossessed A/c (refer Step IV (ii))	4,800
		By H.P. Debtors A/c (refer H.P. Dr.s A/c)	13,600
	<u>18,400</u>		<u>18,400</u>

Step 7

Hire-Purchase Debtors Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To H.P. Stock A/c	13,600	By Cash A/c (down payment + 6 inst $\times$ 1,200)	11,200
		By Goods Repossessed A/c (H.P. Stock)	2,400
	<u>13,600</u>		<u>13,600</u>

Step 8

Goods Repossessed Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To H.P. Stock A/c	4,800	By H.P. Adjustment A/c (refer Step (v))	200
To H.P. Debtors A/c	2,400	By Balance c/d	<u>7,000</u>
	<u>7,200</u>		<u>7,200</u>

Illustration: 28

Thomas sells goods on hire purchase at cost Plus 60%. He provides the following information for the period ending Mar 31, 2009:

Apr 1, 2008	Rs
Stock with hire purchase customers at selling price	6,000
Stock at the shop at cost	2,500
Installments overdue	4,000
Mar 31, 2009	
Total Installments that feel due during the year	94,720
Cash received from customers (including down payments of Rs 7,720)	87,720
Goods Repossessed (Installments due Rs 250)	200
Stock at that shop at cost (Including goods repossessed Rs 200)	1,000
Purchases	60,000
Hire expenses	1,700

Prepare the necessary Ledger Account to record the above transactions and compute the profits.

[B.Com (Hons) – Modified]

Solution

**In the Books of Thomas
Shop Stock Account**

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Balance b/d	2,500	By H.P. Stock A/c	61,700
To Purchases A/c	60,000	(balance figure)	
		By Balance c/d	800
	<u>62,500</u>		<u>62,500</u>

Hire Purchase Stock Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Balance b/d	6,000	By H.P. Debtors A/c	94,720
To Shop Stock A/c	61,700	By Balance c/d	10,000
To H.P. Adjustment A/c	37,020	(balance figure)	
(60% of 61,700)			
	<u>1,04,720</u>		<u>1,04,720</u>

Hire Purchase Debtors Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Balance b/d	4,000	By Cash A/c	87,720
To H.P. Stock A/c	94,720	By Goods Repossessed A/c	250
		By Balance c/d	10,750
		(balance figure)	
	<u>98,720</u>		<u>98,720</u>

Hire Purchase Adjustment A/c

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Goods Repossessed A/c (loss on revaluation)	50	By Stock Reserve A/c	2,250
To Hire expenses	1,700	By H.P. Stock A/c	37,020
To Stock Reserve Account	3,750		
To P and L A/c	33,770		
	<u>39,270</u>		<u>39,270</u>

Stock Reserve Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
Mar 31, 2009		Apr 1, 2008	
H.P. Adjustment A/c	2,250	Balance b/d	2,250
Balance c/d	3,750	(60/(100 + 60) = 60/160 = 3/8 of Rs 6,000)	
		2009	
		Mar 31	
		By H.P. Adjustment A/c	
		(3/8 of Rs 10,000)	
		2009	3,750
		Apr 1	
	<u>6,000</u>	Balance b/d	<u>6,000</u>
			3,750

Illustration: 29

Chennai Kitchen Mart sells goods both on cash and hire-purchase basis and records hire-purchase transactions on Stock and Debtors System, and closes its Books on Dec 31, every year.

On Apr 1, 2008, it sold a mixie and microwave oven to Sheela: the other particulars are provided as:

Particulars	Mixie	Micro Oven
Cost Price	Rs 4,500	Rs 8,000
Down Payment	Rs 1,000	Rs 2,000
No. of Installments Payable	10	8
Amount in each Installment	Rs 500	Rs 1,000
Mode of Payment	Monthly	Bi-Monthly
First Installment Due on	May 1, 2008	June 1, 2008

Sheela paid all the installments due except for those due on Dec 1, 2008. It was decided that the Kitchen Mart would take back Micro Oven at an agreed price of Rs 5,500 and excess amount, if any, will be adjusted against the installment due on mixie. Oven repossessed was sold for Rs 6,000 after repair charges for which amounted to Rs 250.

Prepare necessary ledger accounts to record the above transactions and calculate the profits.

B. Com (Modified)

Solution

In the Books of Chennai Kitchen Mart
Hire-Purchase Stock Account

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To Goods sold on H.P. A/c	16,000	By Goods Repossessed A/c	4,000
		By H.P. Debtors A/c	11,000
		By Balance c/d (still with customer)	1,000
	<u>16,000</u>		<u>16,000</u>

Hire-Purchase Debtors A/c

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To H.P. Stock A/c (from HP Stock A/c)	11,000	By Cash A/c (Down Payment + Installments)	9,500
		By Goods repossessed A/c	<u>1,500</u>
	<u>11,000</u>		<u>11,000</u>

Goods Repossessed Account

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To H.P. Stock A/c	4,000	By Cash A/c	6,000
To H.P. Debtors A/c	1,500		
To Cash A/c	250		
To P and L A/c	<u>250</u>		
	<u>6,000</u>		<u>6,000</u>

Hire-Purchase Adjustment A/c

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To Stock Reserve A/c (Rs 1,000-Rs 750)	250	By Goods sold on H.P. A/c (Rs 16,000-Rs 12,500)	3,500
To P and L A/c	<u>3,250</u>	↓ H.P. Price ↓ Cash Price	
	<u>3,500</u>		<u>3,500</u>

Working Notes**Rs**

(i) Value of Goods repossessed

5,500

Less: Installment not due on oven

4,000 (H.P. Stock Amount)

Transfer to H.P. Debtors A/C

1,500 (H.P. Debtors)

(ii) Cash Price of mixie still in possession of Sheela:

$$\frac{1,000 \times 4,500}{6,000} = \text{Rs } 750$$

(iii) The balance in the H.P. Stock Account shows the amount of installments NOT DUE on mixie still with Sheela.

OBJECTIVE 7: INSTALLMENT SYSTEM

This system also operates on the basis of an agreement, known as Installment Purchase Agreement. It means an agreement of sale from which we can infer the salient features of this system of sale:

Features of Installment System:

- Ownership of goods is passed on to the buyer immediately after entering into this agreement.
- The buyer in no way has got any right to terminate the contract unless the seller defaults.
- The seller cannot take back the goods (Repossession) if the buyer fails to pay installment. Remedy for the seller is only by way of legal action against the buyer to recover the installment due.

7.1 Purchase System

Basis of Distinction	Hire-Purchase System	Installment Purchase System
Basis of operation	This system operates on the basis of Hire-Purchase Agreement	This operates on the basis of installment Purchase Agreement
Nature of Agreement	This system is based on an agreement of hiring	This is based on agreement of Sale
Statutory Governance	This is governed by the Hire Purchase Act, 1972	This is governed by the Sale of Goods Act, 1930
Parties entered into agreement	The parties entered into agreement, under this system are called Hirer and Hire Vendor	The parties concerned are called Buyer and Seller
Ownership Rights	The ownership (title to goods) passes onto the purchaser only on last payment of installment	The ownership passes immediately after signing the agreement, although the price of goods will be paid in Installments.
Return of Goods	The purchaser may return goods	The buyer cannot return goods unless, and until the seller defaults
Repossession	If the hirer makes default in installment payments, the vendor can take back the goods from the hirer.	Even if there is any default in installment payment, the seller cannot take back from the buyer.
Risk of Loss	Risk of Loss of goods lie with the Vendor	Risk of Loss of goods lie with the Buyer
Right of Disposal	Buyer cannot hire out, lease, mortgage, destroy, damage or transfer of goods.	Buyer can have the right to dispose the goods (property) purchased under this system.
Position relating to Installment	The installment paid is treated as Hire chare for the use of goods.	Installment paid is treated as part redemption of the value of goods (payments)
Charges (other than Cash Price)	Component other than Cash Price included in installment is called "Hire Charges".	Under this system, it is called "Interest".

7.2 Accounting Treatment

Accounting for installment purchase is done on the basis of “Interest Suspense Method”.

Accordingly, the asset is debited (at its total cash price) and the seller is credited (with total amount payable to him). Then debit the “Interest Suspense Account” (with the difference between the total amount payable and the cash price).

Recording of entries in the books of buyer and seller and application of Interest Suspense Method

Accounting Entries

Transaction	In the Books of Buyer (or) Purchaser		In the Books of Seller (or) Vendor		Amount to be Entered
1 On Delivery of Asset to Purchaser	Asset A/c	Dr.	Purchaser A/c	Dr.	Cash Price
	Interest Suspense A/c	Dr.	To Sales A/c		Total Interest
	To Vendors A/c		To Interest Suspense A/c		
2. On Down Payment	Vendor's A/c	Dr.	Cash/Bank A/c	Dr.	Cash-Down Payment
	To Bank A/c (Cash A/c)		To Purchaser's A/c		
3. Installment Due	Interest A/c	Dr.	Interest Suspense A/c	Dr.	Amount of interested included in Installment
	To Interest Suspense A/c		To Interest A/c		
4. Installment Payment	Vendor's A/c	Dr.	Cash/Bank A/c	Dr.	Amount of Installment
	To Cash A/c /Bank A/c		To Purchaser's A/c		
5. On Depreciation	Depreciation A/c	Dr.	No entry		Amount of Depreciation
	To Asset A/c				
6. Transfer of Depreciation (closure)	P and L A/c	Dr.	No entry		Amount of Depreciation
	To Depreciation A/c				
7. Transfer of Interest (closure)	P and L A/c	Dr.	Interest A/c	Dr.	Amount of Interest
	To Interest A/c		To P and L A/c		

- Notes:**
1. Entries relating to Transactions 3, 4 and 5 will have to be repeated for subsequent installments.
 2. Balance of “Interest Suspense Account” will have to be transferred to the Balance Sheet (Liabilities side), in case of Purchaser and to the assets side in the case of Buyer.

Illustration: 30

On Jan 1, 2006, Mr. Anand bought a sofa set from Ajay & Co on the installment system. The cash price of the sofa set was Rs 22,350 and the payment was to be made as follows:

- (i) Rs 6,000 on signing the agreement
- (ii) Balance in three installments of Rs 6,000 each at the end of each year.

5% interest is charged by the suppliers per annum. Mr. Anand writes off 10% depreciation annually on the diminishing balance of the cash value. Make entries in the Books of both the parties.

Solution

Cash price of the sofa set and the no. of Installments and the amount of each installment are given in the question.

From these figures, first total interest is calculated and then for each year it has to be calculated, as the installment comprises the interest component also.

$$\begin{aligned}
 \text{Total Interest} &= \text{Total Installment Amount} - \text{Cash Price of Sofa Set} \\
 &= \text{Rs } 6,000 \times 4 - \text{Rs } 22,350 \\
 &= \text{Rs } 24,000 - \text{Rs } 22,350 \\
 &= \text{Rs } 1,650
 \end{aligned}$$

This amount has to be apportioned for each year as follows:

Table Showing Calculation of Interest and Cash Price

Particulars	Total Cash Paid Rs	Installment Rs	Interest Rs	Cash Price (Installment – Interest) Rs
Cash Price of Sofa Set	22,350	—	—	6,000
Less: Down Payment	(6,000)			
Balance	16,350	6,000	817.50	
At the end of 2006	(5,182) (C.P.)		(Rs 16,350 × 5/100)	5,182
Less: Instal-Interest		6,000	(rounded off Rs 818)	
Balance	11,168		Rs 11,168 × 5/100	5,442
At the end of 2007		6,000	= Rs 558.40	
	(5,442) (C.P.)	6,000	= Rs 558	
Balance	5,726	6,000	Rs 5,726 × 5/100	
At the end of 2008	(5,726) (C.P.)		= Rs 274.30	5,726
			= Rs 274	
Total	Nil	24,000	1,650	22,350

(Paise Rounded off to the nearest Rupee value)

Journal Entries in the Books of Anand

Date	Particulars	Dr.	Cr.
Jan 1, 2006	Sofa Set A/c Dr. Interest Suspense A/c Dr. To Ajay & Co (Being Cash Price and Total Interest at the time of contract entered.)	22,350 1,650	24,000
Jan 1, 2006	Ajay & Co Dr. To Bank A/c (Being down Payment made.)	6,000	6,000
Dec 31, 2006	Interest A/c Dr. To Sofa-set A/c (Being interest for the first year paid.)	818	818

Date	Particulars	Dr.	Cr.
Dec 31, 2006	Depreciation A/c To Sofa-set A/c (Being depreciation @ 10% charged)	Dr. 2,235	2,235
Dec 31, 2006	Profit and Loss A/c To Interest A/c To Depreciation A/c (Being interest and depreciation transferred to P and L A/C)	Dr. 3,053	818 2,235
Dec 31, 2006	Sofa-set A/c To Bank A/c (Being 1 st Installment paid)	Dr. 6,000	6,000
Dec 31, 2007	Interest A/c To Interest Suspense A/c (Being interest for the 2 nd year paid)	Dr. 558	558
Dec 31, 2007	Depreciation A/c To Sofa-set A/c (Being depreciation charged at diminishing method) 10% (22,350-2,235)	Dr. 2,012	2,012
Dec 31, 2007	P and L A/c To Interest A/c To Depreciation A/c (Being transfer of Interest and depreciation to P and L A/C)	Dr. 2,570	558 2,012
Dec 31, 2007	Sofa-set A/c To Bank A/c (Being 2 nd Installment paid)	Dr. 6,000	6,000
Dec 31, 2008	Interest A/c To Interest Suspense A/c (Being interest for the 3 rd year paid)	Dr. 274	274
Dec 31, 2008	Depreciation A/c To Sofa-set A/c (Being depreciation charged @ 10% on Rs 19,103)	Dr. 1,910	1,910
Dec 31, 2008	P and L A/c To Interest A/c To Depreciation A/c (Being interest and depreciation transferred)	Dr. 2,184	274 1,910
Dec 31, 2008	Sofa-set A/c To Bank A/c (Being the last Installment amount paid)	Dr. 6,000	6,000

Journal Entries in the Books of Ajay & Co

<i>Date</i>	<i>Particulars</i>	<i>Dr.</i>	<i>Cr.</i>
Jan 1, 2006	Anand A/c Dr. To Sales A/c To Interest Suspense A/c Dr. (Being sold to Anand, Total Cash Price and Total Interest amount entered)	24,000	22,350 1,650
Dec 31, 2006	Bank A/c Dr. To Anand A/c (Being down Payment received) Interest Suspense A/c Dr. To Interest A/c (Being interest for the first year received) Interest A/c Dr. To P and L A/c (Being interest transferred)	6,000 818 818	6,000 818 818
Dec 31, 2007	Bank A/c Dr. To Anand A/c (Being the receipt of 1st Installment) Interest Suspense A/c Dr. To Interest A/c (Being interest received for the 2nd year) Interest A/c Dr. To P and L A/c (Being interest transferred)	6,000 558 558	6,000 558 558
Dec 31, 2008	Bank A/c Dr. To Anand A/c (Being 2nd Installment received) Interest Suspense A/c Dr. To Interest A/c (Being receipt of interest received for 3rd year) Interest A/c Dr. To P and L A/c (Being the transfer of interest) Bank A/c Dr. To Anand A/c (Being the receipt of last Installment)	6,000 274 274 6,000	6,000 274 274 6,000

Note: (i) From these journal entries, all the necessary ledger accounts may be prepared with ease.
(ii) Students should practice apportioning interest as shown in the format table.

Illustration: 31

Joseph & Co. sells consumer durables under installment payment system under which 20% of the total dues are to be paid on delivery and the balance in eight equal quarterly installments commencing from the last date of the quarter in which the goods have been delivered. 15% of the total dues are attributed towards interest of which credit to revenue is taken as:

In the year of sale	30%
Next year	50%
The year after Next	20%

Total dues for goods sold and delivered during the last three years had been:

	Rs
2006	4,00,000
2007	5,00,000
2008	6,00,000

On Jan 1, 2008, Installment Debtors Account and Interest Suspense Account showed balances of Rs 3,35,000 (Dr.) Rs 64,500, respectively. The deliveries have been even throughout the year and all the installments have been collected on due date.

Prepare Installment Debtors Account, and Interest Suspense Account as they would appear in 2008.

Solution

Step 1: Installment falling in 3 years

Sale in Quarter	Total Installment	I year No. of Inst.	II year No. of Inst.	III year No. of Inst.
First Quarter	8	4	4	—
Second Quarter	8	3	4	1
Third Quarter	8	2	4	2
Fourth Quarter	8	1	4	3
Total	32	10	16	6
		10/32	16/32	6/32

Step 2: Table showing sales, down payment, interest, total amount of installments, ratio of total installments received for each year.

Year	Sale Price Including Inst.	Down Payment 20%	Interest 15%	Total Amount of Installments	Ratio	Inst. Received on Ratio
2006	4,00,000	80,000	60,000	3,20,000	6/32	60,000
2007	5,00,000	1,00,000	75,000	4,00,000	16/32	2,00,000
2008	6,00,000	1,20,000	90,000	4,80,000	10/32	1,50,000
	15,00,000	3,00,000	2,25,000	12,00,000		4,10,000

Step 3:**Installment Debtors Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
Jan 1, 2008		Dec 31, 2008	
To balance b/d	3,35,000	By Bank A/c	1,20,000
Dec 31, 2008		(down payment)	
To Installment Sales A/c	5,10,000	By Bank A/c (installments)	4,10,000
(Rs 6,00,000 – Rs 90,000)		By Balance c/d	4,05,000
To Interest Suspense A/c	90,000	(balance figure)	
	<u>9,35,000</u>		<u>9,35,000</u>

Step 4:**Interest Suspense A/c****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
Dec 31, 2008		Jan 1, 2008	
To P and L A/c:		By Balance b/d	64,5000
(transfer) Rs		Dec 31, 2008	
20% of Rs 60,000 : 12,000		By Installment Debtors A/c	90,000
50% of Rs 75,000 : 37,500			
30% of Rs 90,000 : 27,000	76,500		
To Balance c/d	<u>78,000</u>		
	<u>1,54,500</u>		<u>1,54,500</u>

Illustration: 32

On Jan 1, 2005, X acquires a car from Y & Co on installment buying @ 10% p.a. interest, which is changeable yearly. X agrees to pay Y & Co. Rs 1,00,000 on Jan 1, 2005, Rs 60,500 on Dec 31, 2006; Rs 66,550 on Dec 31, 2007 and finally Rs 73,205 on Dec 31, 2008. X duly discharges all these sums. X provides depreciation @ 20% p.a. on Diminishing Balance Method at the accounting date Dec 31, each year.

You are required to prepare the Car Account, Y & Co. A/c and Interest Suspense Accounts in the Books of X.

Solution

Step 1: First apportionment of cash price and periodic interest is to be calculated as below:

1	2	3	4	5	6
Installment No.	Balance Due at the End After the Payment of Installment (Rs)	Installment (Rs)	Total Amount Due at the End Before the Payment of Installment (Rs)	Interest (10/100+10) = 10/110 (Rs)	Balance Due in the Beginning (Rs)
4	–	73,205	73,205	66,550	66,550
3	66,550	66,550	1,33,100	1,21,000	1,21,000
2	1,21,000	60,500	1,81,500	16,500	1,65,000
1	1,65,000	–	1,65,000	15,000	1,50,000

Step 2

Car Account

Dr.

Cr.

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2005	To Y & Co a/c (Down Payment + Principal amt of inst) (Rs 1,00,000 + Rs 1,50,000	2,50,000	Dec 31, 2005	By Depreciation A/c (20% on 2,50,000)	50,000
			Dec 31, 2005	By Balance c/d	<u>2,00,000</u>
		<u>2,50,000</u>			<u>2,50,000</u>
Jan 1, 2006	To Balance b/d	<u>2,00,000</u>	Dec 31, 2006	By Depreciation A/c (W.D.V. 20% on 2,00,000)	40,000
		<u>2,00,000</u>	Dec 31, 2006	By Balance c/d	<u>1,60,000</u>
Jan 1, 2007	To Balance b/d	<u>1,60,000</u>	Dec 31, 2007		<u>2,00,000</u>
		<u>1,60,000</u>		By Depreciation A/c (W.D.V. 20% on 1,60,000)	<u>32,000</u>
Jan 1, 2008	To Balance b/d	<u>1,28,000</u>	Dec 31, 2007	By Balance c/d	<u>1,28,000</u>
		<u>1,28,000</u>			<u>1,60,000</u>
			Dec 31, 2008	By Depreciation A/c (W.D.V. 20% on 1,28,000)	<u>25,600</u>
				By Balance c/d	<u>1,02,00</u>
					<u>1,28,000</u>

Step 3

Y & Co. Account

Dr.

Cr.

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2005	To Bank A/c	1,00,000	Jan 1, 2005	By Car A/c	2,50,000
Dec 31, 2005	To Balance c/d	<u>2,00,255</u>	Jan 1, 2005	By Interest Suspense	<u>50,255</u>
		<u>3,00,255</u>			<u>3,00,255</u>
Dec 31, 2006	To Bank A/c	60,500	Jan 1 2006	By Balance b/d	<u>2,00,255</u>
Dec 31, 2007	To Balance c/d	<u>1,39,755</u>			<u>2,00,255</u>
		<u>2,00,255</u>			
"	To Bank A/c	66,550			
"	To Balance c/d	<u>73,205</u>	Jan 1, 2007	By Balance b/d	<u>1,39,755</u>
		<u>1,39,755</u>			<u>1,39,755</u>
Dec 31, 2008	To Bank A/c	73,205	Jan 1, 2008	By Balance b/d	<u>73,205</u>

Step 4

Interest Suspense Account

Dr.

Cr.

Date	Particulars	Rs	Date	Particulars	Rs
Jan 1, 2005	To Y & Co A/c	50,255	Dec 31, 2005	By Interest A/c	15,000
				By Balance c/d	<u>35,255</u>
		<u>50,255</u>			<u>50,255</u>
Jan 1, 2006	To Balance b/d	35,255	Dec 31, 2006	By Interest A/c	16,500
				By Balance c/d	<u>18,755</u>
		<u>35,255</u>			<u>35,255</u>
Jan 1, 2007	To Balance b/d	<u>18,755</u>	Dec 31, 2007	By Interest A/c	12,100
		<u>18,755</u>		By Balance c/d	<u>6,655</u>
Jan 1, 2008	To Balance b/d	6,655			<u>18,755</u>
			Dec 31, 2008	By Interest A/c	<u>6,655</u>

OBJECTIVE 8: CONCEPTS OF OPERATING AND FINANCIAL LEASE

8.1 Meaning

The concept “Leasing” refers to the practice of using an asset for a fixed period at an agreed rental basis.

Leasing may be described as a contract between two parties – the Lessor and the Lessee – for the use of a “specific asset”, for a specific fixed period on agreed rental value basis.

8.2 Lessor

The owner of the specific asset is termed as Lessor. He may be an individual or association of persons, or a firm or a limited company.

8.3 Lessee

The person who is in need of the specific asset, for his use for a limited period, who in turn pay a quantum of amount for possessing and using that asset for a fixed time. Here too, the person may be an individual or association of persons or firm or a limited company.

8.4 Leasing Agreement

A document, comprising terms and conditions for entering into a contract between the Lessor and the Lessee, is called as Leasing Agreement.

8.5 Suitability

Leasing transaction is suitable for a business entity which requires only the use of (Capital) Fixed Assets and may not require ownership because a very huge amount is needed to acquire such high value assets. In such circumstances, such business entities can easily avail of this leasing transaction thereby they can use with very minimum amount by way of paying rental.

From the above discussion, we have come to know that the following parties are involved in a leasing transaction.

- (i) The leasing company (lessor) which finances the transaction.
- (ii) The manufacturer or supplier from whom the leasing company purchases the “Specific Asset”.
- (iii) The Lessee who needs the “Specific Asset”, who will possess, who will use for a fixed period of time and will pay rental to the Lessor.

OBJECTIVE 9: SALIENT FEATURES OF LEASE

- No transfer of title to the lessee takes place. As such, he is not the legal owner of the asset.
- The lessee can make use of the asset for a fixed time only.
- The lessee cannot depreciate such assets used by him under leasing transaction.
- Rent paid by the lessee is treated as operating expenses and is eligible for tax deduction.
- According to lease agreement, the lessee has to remit a fixed rental for a fixed period.
- The Lessee has to return the assets after the expiry of the agreement period.
- Assets used under lease agreement will not be shown in the Balance Sheet, as the lessee is not the legal owner.

OBJECTIVE 10: ADVANTAGES OF LEARNING

1. Easy Financing: Lease provides 100% finance for using Capital Assets (of huge value). No necessity arises to extend any margin money or cash down payment.

2. Saving of Financial Sources: As leasing provides the full finance, the business entities are relieved from the financial stress in the early years of operation. This facilitates saving of financial resources.

3. Productive Use: As business entities are relieved to a great extent from investing in Capital Assets, such amount can be diverted to acquire inventories or other areas of their concern. Finance is utilised for productive uses.

4. Enhancement of Working Capital: With available financial resources, requirements of working capital can be easily met and strengthened.

5. Source of Finance: Comparing with other sources of finance, leasing type of transaction extends helping hand to business concerns to acquire finance on easy terms. It acts as an effective and useful source of finance.

6. Borrowing Capacity: It increases the borrowing capacity of business entities because use of leased assets will result in low Debt-Equity Ratio which in turn will increase the borrowing capacity of business concerns.

7. Flexible: Lease is a flexible agreement. It can be tailor-made to meet the requirements of Lessee. Lease terms and conditions are not rigid as in the case of other types such as H.P. and the like. They are negotiable and be made suitable to the convenience of Lessee.

8. Off-Balance Sheet Financing: Leased assets are not shown in the Balance Sheet. Under such conditions, ratios of the business entities will reflect a better picture through Assets Turnover Ratio, Return on Assets and so on.

9. Depreciation: A lessee is not entitled to charge depreciation for the assets use. But on the other hand, lease rentals are higher than depreciation, the lessee will be in a position to effect savings in taxes.

10. Restrictive Covenants: Restrictive covenants are totally absent in lease agreements, whereas in other forms of financing usually the lender will impose so many terms and conditions on the borrower. Restrictions such as – right to control management, issues of bonus shares, convertibility clause, right to convert the loan into equity, restrictions on declaration of dividends and so on.

11. Credit Appraisal: In other forms of financing, appraisal of the financial position of the borrower has to undergo a lengthy time consuming legal process. In case of leasing, it is not so.

12. Obsolescence: Under this system, the Lessee is protected against obsolete assets, as the lessee is not compelled to use any particular for a lengthy period.

OBJECTIVE 11: DISADVANTAGES OF LEASING

1. Financial Position: As leased assets are not shown in Balance Sheet, it may lead to understatement. True Financial position cannot be ascertained under such situation.

2. No Freedom: The lessor is not in a free position, to carry out any modification or change to the leased assets, as Lessor is the owner of such assets.

3. Charge on Finance: Under this system, the finance charge is higher than other forms of financing.

4. Obsolescence Cost: Lessee has to bear obsolescence cost, as lease agreement cannot be terminated abruptly.

5. Heavy Penalty: In case a lessee wants to cancel the lease earlier than the expiry term, it will entail a heavy penalty on Lessee otherwise lease agreement cannot be terminated.

6. Availing Tax Benefits: A lessee is not in a position to avail tax benefits and other government subsidies and other promotional benefits, as he is not the legal owner of Lessee assets.

7. New Projects: Leasing is not a suitable method of financing a new project.

8. Mismatch between rental payment and cash flow: Rental payment is reckoned from the date of entering into contract, whereas cash in flow starts only after a gap of prolonged period.

9. Rights of Lessee: A lessee cannot expect any rights attached to the product, in case of any defect, destruction in the product purchased during warranty period. Only the lessor acquires such rights as he is the legal owner of the asset.

OBJECTIVE 12: ACCOUNTING TREATMENT RELATING TO LEASES AS PER AS-19

Capitalization of assets is not done in this system. As Lessee pays rental only, they are of revenue nature and charged off to Profit and Loss Account directly.

Appropriate accounting procedure has been followed in accordance with Accounting Standards AS-19, issued by ICAI.

Leases are classified into two categories:

- (1) Finance Lease
- (2) Operating Lease

12.1 Finance Lease (or) Full Pay-out Lease

Financial Lease is defined as, “a lease that transfers substantially all the risks and rewards incident to ownership of an asset. Title may or may not eventually be transferred”.

Risks – include the possibility of losses from the idle capacity or technological obsolescence and of variations in returns due to changing economic conditions.

Rewards – arise due to expected profitable operations over the economic life of the asset and of gain from appreciation in value or realization of residual value.

Finance Lease is also known as Capital Lease or Full Pay-Out Lease.

Paragraphs 8, 9 and 10 of AS-19 indicates:

- (i) At the end of the lease, the lessor owns the asset.
- (ii) The lease term is for the major part of the economic life of the asset even if the title is not transferred.
- (iii) The fixed period of time (generally close to the useful life of the asset), as mentioned above, is called the primary period. During the primary period, the lease agreement cannot be cancelled.
- (iv) After the expiry of primary period, two options are available to the lessee:
 - (a) The contract can get renewed perpetually at a nominal rate.
 - (b) The asset may be returned to the lessor.
- (v) The leased asset is of a specialized nature that only the Lessee can use it without major modifications being made.
- (vi) In case, the lessor cancels the lease, the Lessor's losses associated with the cancellation are borne by the lessee.
- (vii) Gains or losses due to fluctuation in the fair value of residual fall to the Lessee.
- (viii) Lease classification is usually done at the inception of lease. Changes will result in a new classification for accounting purposes. At times, the parties may revise the stipulations of the lease resulting in a different classification. Such revised agreement is considered to be a new agreement over its revised term.

There is another category of classification of finance lease:

1. Direct Lease
2. Leveraged Lease.

1. *Direct Lease*: In this category of lease, the lessor issues the equity shares in the financial markets and uses the funds to buy the assets.
2. *Leveraged Lease*: Under this category, the lessor issues debts (e.g., debentures, bonds) to raise funds to acquire the assets.

AS–(19) gives room for another type of finance lease called as “Sale and Lease Back Transactions”.

Meaning: A Sale and Lease Back Transaction involves the sale of an asset by the vendor and the leasing of the same asset back to the vendor. It is a great boom to the vendor because he has the advantage of uninterrupted use of the asset. Simultaneously, the funds realized on the sale of the asset can be used for the expansion of business activities. His network will increase, in case the vendor gets gain on resale of such assets.

AS–19 also provides an exhaustive item of disclosures to be made with respect to finance leases. (It is not discussed here, as they are outside the ambit of syllabus).

12.2 Operating Lease (or) Non-pay-out Lease

- (i) An operating lease is a short term hire of assets such as buildings, furniture plant, computers, vehicles and the like.
- (ii) Risks and rewards are not transferred to the Lessee under operating lease system of transaction.
- (iii) The assets, in this case, will be leased over and over again for short periods to different users.
- (iv) In this case, the maintenance falls on the shoulder of Lessor.

12.2.1 Features of Operating Lease

1. The asset is treated as fixed assets in the Books of the Lessor.
2. The lease is cancellable prior to its expiry period.
3. The depreciation is charged in the same way as that is being done under normal depreciation policy and is in accordance with AS-6.
4. Lease rentals are treated by the Lessor as income.
5. All costs of expenses are treated as expenses incurred in the year in which they are incurred.
6. To the Lessee, rental paid is an expense, which is charged to Profit and Loss Account on a straight line basis over the period of lease.
7. AS–19 provides certain guidelines for treatment of profit or loss, based on fair value of lease transactions.

OBJECTIVE 13: DISTINCTION BETWEEN FINANCIAL LEASE AND OPERATING LEASE

Basis of Distinction	Financial Lease	Operating Lease
1. Period	Usually, finance lease is for a long period.	This is only for short duration
2. Cancellation	Financial lease is not cancellable prior to the expiry period	Operating lease is cancellable prior to the expiry period
3. Maintenance cost	Maintenance cost of the asset is met by Lessee.	Maintenance cost of the asset is borne by Lessor
4. Obsolescence	The lessee has to shoulder the burden or risk of technological obsolescence of assets	No such risk of obsolescence to the lessee under this type of lease
5. Amortization	Lease rentals will be sufficient to amortize the cost of the asset	Lease rentals are insufficient to amortize the cost of the asset
6. Exercise of option	There is an option to buy the asset on the expiry of the lease period and that too at a nominal price	No such option can be exercised under this type of lease

Summary

- **Meaning and features of Hire-Purchase System:** This system operates on the basis of Hire-Purchase Agreement, under which goods are sold on the basis of installment. But the ownership passes to the purchaser only on last payment of installment due. The purchaser may return the goods. Also, if the hirer makes default in installment payments, the vendor has got the legal right to take back the goods from the hirer. Risk of loss lies with the vendor.
- **Hire-Purchase Agreement** is an agreement under which the goods are let on hire. It includes an agreement under which (i) possession of goods is delivered by the owner to a person who pays the agreed amount in periodical installments (ii) the property in goods (title) is to pass to such person on such last installment due and such person has right to terminate the agreement at any time.
- The excess of total hire-purchase price over cash price denotes interest. Cash price is a capital expenditure and the second component interest is of revenue nature. Separation and allocation process under different situations is the basic accounting procedure (Illustrations 1–8).
- **Accounting Treatment:** Methods of recording transaction in the Books of the Buyer and Hire Vendor (refer the text).
- **Default and Repossession:** When the hirer (purchaser) fails to pay installments in time, it amounts to “Default”. In such cases, the vendor (owner-seller) takes back the possession of goods, which is referred to as “Possession”. If the vendor takes back the entire goods it is called as “Full Repossession” and if he takes back only some of the goods it is known as “Partial Repossession”. For accounting treatment in the books of hire purchaser and hire vendor refer the text (as it is a lengthy procedure – not repeated here).
- To ascertain profit or loss made on hire-purchase transactions (1) Debtors Method (System) and (2) Stock and Debtors Method (System) are adopted. Preparation of Hire-Purchase Trading Account and passing entries either at cost or at hire-purchase price, refer the text and Illustrations 19-25 (Debtors System) and Illustrations 26–29 (Stock and Debtors System)
- Installment System operates on the basis of agreement of sale in which the ownership of goods is passed on to the buyer immediately after signing the agreement, the buyer cannot terminate the contract unless the seller defaults and the seller cannot take back the goods if the buyer fail to pay installment in time.
- Accounting for installment purchase on the basis of “Interest Suspense Method” is explained in Illustrations 30–32
- “Lease” refers to the practice of using an asset for a fixed period at an agreed rental value basis
- Leasing is a contract between two parties – the Lessor and the Lessee – for the use of a “specific asset” for a specific fixed period on an agreed rental value basis.
- **Features and Advantages of leasing:** (i) Lease provides 100% finance for using Capital Assets of high value, (ii) Lessee relieved from financial stress, (iii) Finance can be diverted to productive uses, (iv) It facilitates enhancement of working capital, (v) It is an useful source of finance, (vi) It increases the borrowing capacity of entities, (vii) As it is not shown in Balance Sheet, net results of entities reflect a better picture and (viii) Lessee is protected against obsolescence.
- Appropriate accounting procedure relating to leasing is described, as per AS–19 (refer the text).

Key Terms

Hire: Hire means the sum payable periodically by the hirer under a Hire-Purchase Agreement

Hirer: Hirer means the person who has obtained possession of goods from an owner under a hire purchase. It includes a person to whom the hirer’s rights or liabilities under the agreement have passes by assignment or by operation of law. He is also called hire purchaser.

Hire-Purchase Agreement: It is an agreement under which goods are let on hire.

Hire-Purchase Price: The price which comprises profit margin, interest and cost is termed as hire-purchase price. Hire-Purchase Price = Cost + Profit Margin + Interest

Hire Vendor: Under Hire-Purchase Transaction, the owner (seller) of goods is called as Hire Vendor.

Installment System: A system of purchase or sale, under which the ownership in goods is transferred along with possession of goods immediately even though the price of goods will be paid in installments.

Lease: A lease may be defined as a contract between the Lessor and the Lessee for the use of a specific asset for a specified period at an agreed rental value.

Repossession: Under Hire-Purchase System, if the hirer fails to pay the Installment in time, the goods and

the installments already paid are to be forfeited. The hire vendor will take back the possession of goods. This action is termed as “Repossession”.

References

Monga, J.R., “Financial Accounting: Concepts and Applications – Text”, Mayur Paper Backs, New Delhi.

Tulsian P.C., “Financial Accounting” Pearson Education, New Delhi.

Gupta, Nirmal, “Financial Accounting”, Sahitya Bhawan, Agra.

A Objective-type Questions

I Fill in the blanks with suitable words

- (1) The hire purchaser acquires the property immediately on signing the _____.
- (2) Under Hire-Purchase System, the ownership or the title of the property is transferred only when the _____ is paid.
- (3) The Hire-Purchase System is regulated by _____ Act, 1972.
- (4) The hire purchase price is always higher than the _____.
- (5) The money payable immediately on signing the Hire-Purchase Agreement is technically known as _____.
- (6) Asset is always recorded by the hire purchaser as _____.
- (7) Under Hire-Purchase System, interest is always calculated on the outstanding total – and not on the outstanding total installments.
- (8) _____ a series or one of a series of equal payments at fixed intervals.
- (9) As the figure of 78 is commonly used, it is often quoted as _____.
- (10) The asset on Hire-Purchase Account would appear in the _____ at its original cash price or historical cost.
- (11) _____ Account would be shown as a deduction from the historical cost of asset, purchased under this system.

II State whether the following statements are True or False

1. Under Hire-Purchase System the title or ownership of goods is transferred immediately on signing the Hire-Purchase Agreement.
2. The hirer has a right to terminate the agreement at any time before the property so passes.

- (12) The Vendor _____ Hire-Purchase Sales Account, because the items sold by him are treated as goods.
- (13) Hire-Purchase Sales Account is closed by transferring to _____.
- (14) _____ Account is opened only when the goods are taken back from the defaulting hire purchaser.
- (15) Under the Installment System, the title of goods is _____ to the purchaser immediately, though the price will be paid in installments.

Answers

- (1) Hire-Purchase Agreement
- (2) Last Installment
- (3) Hire Purchase Act
- (4) Cash Price
- (5) Cash Down Payment
- (6) Cash Price
- (7) Cash Price
- (8) Annuity
- (9) Rule 78
- (10) Balance Sheet
- (11) Depreciation
- (12) Credits
- (13) Trading Account
- (14) Goods Repossessed
- (15) Transferred

3. The property in goods is to pass to hirer on the payment of last installment under Hire-Purchase System.
4. Hire Purchase Price = Cost Price + Profit Margin – Interest.
5. The amount of cash price and interest is not the same even in between equal installments.

6. Under Hire-Purchase System, interest is charged on the unpaid cash price.
7. Asset is always recorded by the hire purchaser as Cash Price plus Interest.
8. In the last year, interest represents the difference between the last installment to be paid and cash price unpaid.
9. Interest is calculated only on outstanding installments.
10. Interest is allowed on the down payment made.
11. Depreciation is not written off in Hire-Purchase System.
12. Hire-Purchase System of sale is similar to a method of financing the purchase of fixed assets.
13. Normally, the asset on Hire-Purchase Account will not be shown in the Balance Sheet.
14. Any balance left in Goods Repossessed Account is transferred and shown in the Balance Sheet.
15. Under Installment System, the seller cannot repossess the goods, even if there is default in installment.

Answers

- | | | |
|-----------|-----------|----------|
| 1. False | 2. True | 3. True |
| 4. False | 5. True | 6. True |
| 7. False | 8. True | 9. False |
| 10. False | 11. False | 12. True |
| 13. False | 14. False | 15. True |

B Short Answer-type Questions

1. Define Hire-Purchase System.
2. Mention the important constituents of a Hire-Purchase Agreement.
3. Define: Hirer.
4. What do you mean by “down payment”?
5. What is “Cash Price Installment”? How is it calculated?
6. Explain Hire-Purchase Price.
7. Name the methods of ascertaining profit/loss under hire purchase basis.
8. How would you compute interest for the last year as per H.P. System?
9. How “Cash Price” shall be converted to “hire purchase price” basis?
10. What is meant by “Annuity”?
11. Explain “Rule of 78”.
12. Whether the hire purchaser should charge depreciation on asset bought on hire purchase?
13. Explain “Goods Repossessed”.
14. Differentiate “Full Repossession” with that of “Partial Repossession”.
15. How would you treat “Goods Repossessed” in the books of the hire vendor under Stock and Debtors Method?
16. If the rate of interest is not given, how will you apportion interest?
17. Explain Hire-Purchase Trading Account.
18. How would you value “Stock out on Hire”?
19. What are the necessary accounts to be maintained to ascertain profit/loss on hire purchase transactions by applying Stock and Debtors System?
20. What is meant by “Installment system”?

C Essay-type Questions

1. Explain the accounting treatment of important items in the books of Hire Purchaser.
2. Explain the accounting treatment of important items in the books of Hire Vendor.
3. Pass the entries in the books of Hire Purchaser under Accrual System of Hire Purchase.
4. Explain with illustrations.
5. (i) Full Repossession and (ii) Partial Repossession
6. How the entries would be made in the Hire-Purchase Trading Account at cost to Hire Vendor?
7. Explain the scheme of journal entries to be made under Stock and Debtors System.
8. Explain the scheme of Journal Entries to be made under Stock and Debtors System.
9. Distinguish between Hire-Purchase System and Installment-Purchase System.
10. Under Installment System, explain how would you record entries (i) in the books of the buyer and (ii) in the books of the vendor.
11. Explain “Leasing”. Enumerate the advantages of “Leasing”.
12. What are the limitations of “Leasing”?
13. What are the basic features of “financial lease”?
14. How would you distinguish “Financial Lease” from “Operating Lease”?

D Exercises

- (1) Calculate the cash price of the asset: (a) Cash Down Payment – 25%; (b) Three annual installments of Rs 1,02,000; Rs 93,000 and Rs 84,000 commencing from the end of the first year and (c) Rate of interest to be charged by the vendor – 12% p.a.
[Answer: Rs 3,00,000]
- (2) Four annual installments of Rs 50,000 commencing from the date of signing of the agreement. Rate of interest charged by the vendor – 25% p.a. Calculate the Cash Price of the asset.
[Answer: Rs 1,47,600]
- (3) Cash Down Payment – Rs 40,000. Four annual installments of Rs 22,000 each commencing from the beginning of the next year. Rate of interest charged by the vendor – 10% p.a. Calculate the cash price of the asset.
[Answer: Rs 1,09,736]
- (4) Cash Down Payment – 25%. Three half yearly installments of Rs 1,30,000, Rs 1,20,000 and Rs 1,10,000 commencing from the end of the first half year. Rate of interest charged by the vendor 20% p.a. calculated on half yearly rest. Calculate the cash price of the asset.
[Answer: Rs 4,00,000]
- (5) Cash Down Payment – 25%. Three bi-annual installments of Rs 1,10,000; Rs 90,000; Rs 70,000 commencing from the end of first two years. Rate of interest charged – 20% p.a. calculated on bi-annually rest.
[Answer: Rs 4,00,000]
- (6) Cash Price – Rs 3,96,250; Cash payment 20%; four equal annual installment together with interest @ 10% p.a. commencing from the end of the first year. Calculate the interest.
[Answer: Rs 31,700; Rs 23,775; Rs 15,850; Rs 7,925]
- (7) Cash Price – Rs 3,96,250; Cash Down Payment – 20%. Four annual installments of Rs , 1,00,000 each commencing from the end of the first year; assume that sales were made at the beginning of the year. Calculate the amount of interest to be paid.
[Answer: Rs 33,200; Rs 24,900; Rs 16,600; Rs 8,300]
- (8) Cash Price – Rs 8,600; Down Payment – Rs 2,000; Three annual installments of Rs 4,000; Rs , 2,000 and Rs 2,000 commencing from the end of the first year. Assume that the sales were made at the beginning of year. Calculate the amount of interest.
[Answer: Rs 800; Rs 400; Rs 200]
- (9) Cash Price Rs 23,000; Five quarterly installments of Rs 5,000 each commencing from the date of signing of the agreement. Assume that sales were made at the beginning of the year. Calculate interest for each quarter.
[Answer: Rs 800; Rs 600; Rs 400; Rs 200]
- (10) Cash Down Payment – Rs 75,000; Four annual installments of Rs 70,000; Rs 65,000; Rs 60,000; Rs 55,000; each installment comprising equal amount of cash price, commencing from the end of the first year. Calculate the amount of interests.
[Answer: Rs 20,000; Rs 15,000; Rs 10,000; Rs 5,000]
- (11) On Apr 1, 2009 Viswas purchased a machine from ABC Enterprises on Hire-Purchase System. The particulars are as follows:
(a) Cash Price Rs 50,000
(b) Rs 20,000 to be paid on signing the agreement

(c) Balance in three annual installments of Rs 6,000 each plus interest

(d) Interest charged on outstanding balance @ 5%.

You are required to calculate the hire purchase price and interest on three installments.

[Answer: Interest at the end of 2009 – Rs 900

Interest at the end of 2010 – Rs 600

Interest at the end of 2011 – Rs 300]

- (12) On Jan 1, 2009 Pandey purchased a laptop from Jaspal Singh on Hire-Purchase System over a period of three years. Rs 10,000 was payable on delivery on Jan 1, 2008 and the balance by following installments on 3 Dec 1, in each year:

	Rs
2008	20,000
2009	20,000
2010	Balance amount

Jaspal Singh charged interest at 10% on the yearly balances. The cash value of the laptop was Rs 60,000. Depreciation @ 20% p.a. on diminishing balances were written off in each year. Pandey paid all the installments on the due date. Show the Laptop Account and Pandey's Account in the books of Singh for three years Dec 31, 2010.

[I.C.W.A (Inter)-Modified]

[Answer: Balance in the Laptop Account: Rs 30,720; Third installment: Rs 20,350]

- (13) On Jan 1, 2009 Mr. Patel purchased from Vivek a machine on hire-purchase basis. The hire-purchase price was Rs 4,00,000 payable as to Rs 1,00,000 as down payment and three annual installments of Rs 1,00,000 each; the first annual installment being payable on Dec 31, 2009. Vivek charged interest @ 5% p.a.

Patel charged depreciation on the machine @ 15% p.a. on diminishing balances of the machine. He closes his books of account every year on 31 Mar.

Calculate the cash price of the machine. Also prepare for the three accounting years in Patel's ledger the following accounts.

- (a) The account of Vivek – the hire vendor, (b) Machinery Account, (c) Interest Account and (d) Depreciation Account.

[B.Com (Hons.) – Delhi-Modified]

[Answer: Cash Price – Rs 3,73,330 Balance in Machine Account: 2,28,660]

- (14) Rado Cabs purchased an omni van on Jan 1, 2008 from Narain & Co, Delhi on hire purchase basis. It was agreed upon to make payment as under:

	Rs
Jan 1, 2008	on signing the agreement – 62,100
Dec 31, 2008	at the end of first year – 1,19,790
Dec 31, 2009	at the end of second year – 1,19,790
Dec 31, 2010	at the end of third year – 1,19,790

Nothing more payable after third installment. All the installments are duly paid by Rado Cabs. Interest was reckoned @ 10% p.a. depreciation was charged @ 20% p.a. on diminishing balance. Rado Cabs closes its books on 31 Dec every year. Prepare the following accounts in the books of Rado Cabs upto Dec 31, 2010.

- (1) Narain & Co. Account (2) Omni Van Account and (3) Interest Account

I.C.W.A. (Inter) – Modified

[Answer: Total Cash Price – Rs 3,60,000;

Balance in Omni Van A/c – 1,84,320

Interest: I – Rs 29,790; II – Rs 20,790 and III: Rs 10,890]

- (15) A purchased a machinery on Hire-Purchase System from B, the cash price of which way payable as Rs 60,000 down and the balance in three equal installments together with interest @ 10% p.a. The amount

of last installment including interest was Rs 88,300. Depreciation was to be provided @ 20% p.a. on the reducing balance. At the end of three years of service, the machinery was sold for Rs 1,50,000 cash. Prepare the Machinery Account and Y's Account in the Books of X.

[Answer: Cash Price Rs 3,00,000; Loss on Sale Rs 100]

- (16) On Apr 1, 2008 A Ltd purchased a machine from B Ltd on Hire-Purchase System. The cash price of the machine was Rs 3,00,000. The price to be paid as Rs 95,760 down and the balance in three equal installments. (including interest @ 5% p.a.) commencing from Mar 31, 2009 the asset was to be depreciated in the books of the purchaser @ 10% p.a. on Reducing Installment Method. Given the present value of an annuity of Re. 1 p.a. @ 5% interest is Rs 2.7232.

Prepare B's Account and Machinery Account in the books of A.

[Answer: Rs 75,000]

- (17) A machinery is sold on hire purchase. The terms of payment are four annual installments of Rs. 30,000 at the end of each year commencing from the date of agreement. Interest is charged @ 20% p.a. and is included in the annual payment of Rs 30,000. Show Machinery Account and Hire Vendor Accounting Standards in the books of the purchaser, who defaulted in payment of the third yearly payment whereupon the vendor repossessed the machinery. The purchaser provides depreciation on the machinery @ 10% p.a. on Written Down Value Method.

[B.Com (Delhi)]

[Answer: Loss on surrender Rs 1,620; Cash Price – Rs 77,665 Interest I – Rs 15,530; II–Rs 12,640; III –Rs 9,165]

- (18) (i) A purchased 3 plants from B costing Rs 4,00,000 each
 (ii) The purchaser charged depreciation @ 20% on Diminishing Balance Method.
 (iii) 2 plants were seized by the vendor B when the second installment was not paid at the end of second year and vendor valued the plants at cost less 30% depreciation annually charged at Diminishing Balance Method.
 (iv) The vendor spent Rs 1,60,000 on overhauling the plants and sold for Rs 6,40,000.
 Calculate:
 (i) Value of plant taken by the vendor
 (ii) Value of plant left with the purchaser
 (iii) Profit or loss on plant taken back
 (iv) Profit or loss on plant repossessed when sold by vendor

[B.Com (Hons) – Delhi]

[Answer: (i) Rs 3,92,000
 (ii) Rs 2,56,000
 (iii) Rs 1,20,000
 (iv) Rs 88,000]

- (19) 'A' purchased a car from 'B' costing Rs 4,50,000 on Hire-Purchase System. Payment was to be made Rs 90,000 down and remainder in 3 equal installments together with interest at 5% p.a. A provides depreciation @ 20% p.a. on the diminishing balance basis. A paid the first installment at the end of the first year, but could not pay the next. B took possession of the car. He spends Rs 17,400 on the car and sold it for Rs 3,00,000. Show the necessary ledger accounts in the books of both the parties.

[Answer: Loss on surrender Rs 36,000; Profit on resale Rs 30,600]

- (20) X purchased 5 machines from Y, Cost of each machine being Rs 1,00,000. X depreciated @ 20% p.a. on diminishing balance method. At the end of the 3rd year 3 machines were repossessed by Y. Y depreciated the machines @ 30% p.a. on Written Down Value basis. Expenses incurred on reconditioning of machines

repossessed amounted to Rs 17,100. The hire vendor Y sold one machine for Rs 45,000. You are required to calculate: (i) Book value of the machine left with X; (ii) Agreed value of machine taken back by Y; (iii) Profit/loss on machine taken back and (iv) Profit or loss on sale of machine taken back by Y

[Answer (i) Rs 1,02,400; (ii) Rs 1,02,900; (iii) Rs 50,700 and (iv) Rs 5,000]

- (21) A Ltd purchased from B Ltd 3 machines costing Rs 50,000 each on the Hire-Purchase System on Jan 1, 2008. Payment was to be as Rs 30,00 down and remaining in 3 equal installments payable on Dec 31, 2008; Dec 31, 2009 and Dec 31, 2010 together with interest @ 9%. A Ltd writes off depreciation @ 20% on the reducing balance. X Ltd paid the installment due at the end of first year, i.e. on Dec 31, 2008 but could not pay the next, i.e. on Dec 31, 2009. B Ltd agreed to leave one machine with A Ltd on Jan 1, 2010 adjusting the value of the other two machines against the amount due on Jan 1, 2010. The machines were valued on the basis of 30% depreciation annually on W.D.V. basis. B Ltd spent Rs 5,000 on the repairs of two repossessed machines and sold one machine for Rs 40,000 on July 1, 2010.
Show: (i) Machine Account; (ii) B Ltd Account in the books of A Ltd and (iii) Machine Repossessed Account in the books of B Ltd.

[Answer: (i) Value of Machine Repossessed Rs 49,000; (ii) Profit on sale of Machine – Rs 13,000]

- (22) On Jan 1, 2008, N Ltd sold 3 machines for a total cash sale proceed of Rs 9,00,000 on Hire-Purchase System. The terms of agreement provided for 30% as cash down and the balance of the cash price in 3 equal installments together with interest at 10% p.a. compounded annually. The installments were payable as per the following schedule:

1st installment on Feb 31, 2009 2nd on Dec 31, 2010 and 3rd on Dec 31, 2011. M paid the 1st Installment on time but failed to pay thereafter. On its failure to pay the second installment, N Ltd repossessed two machines and valued them at 50% of the cash price. M Ltd charges 10% p.a. depreciation on straight line method. Prepare necessary ledger in the books of M Ltd for three years to 2011.

[Answer: Interest : Rs 63,000; Rs 69,100; Rs 42,000 Loss: Rs 1,20,000]

- (23) On Oct 1, 2007 five cars were purchased by Sathya on Hire-Purchase System. The cash price of each car was Rs 2,75,000. The payment was to be made as follows:

- (i) 10% of Cash Price at the time of delivery
- (ii) 25% of Cash Price at the end of each one of the subsequent four half years.

The payment due on Sep 30, 2008 could not be made and, hence, cars were seized by the hire vendor but after negotiations, Sathya was allowed to keep three cars on the condition that the value of the other two cars would be adjusted against the amount due, the cars being valued at Cost less 25% depreciation and Sathya would pay the balance in five-half-yearly Installments together with interest @ 10% p.a. Both the parties close their Books of Account on 31st Mar every year. Sathya charges 15% depreciation on cars on the original cost.

In Oct 2008, the hire-vendor spent Rs 30,000 on getting the seized cars thoroughly overhauled and sold them for Rs 4,75,000.

Prepare for two accounting years ended on 31 Mar, 2009. (i) Cars Account in Sathya's ledger assuming that Sathya debited it with full cash price in the beginning of the contract and (ii) the personal account of Sathya and goods repossessed account in hire vendor's ledger.

[C.S. (Foundation)–Modified]

[Answer: (i) Value of car as on Apr 1, 2009 – Rs 6,39,375 and (ii) Balance to be paid by Sathya: Rs 4,62,000
(iii) Profit of the hire vendor: Rs 32,500]

- (24) Laxmi & Co deals in micro ovens on H.P. system. On 1 Jan, Parul bought a microwave oven for Rs 6,000 to be paid in 12 quarterly installments of Rs 500 each. The oven cost the firm Rs 4,800. The four installments payable quarterly in the first year were duly received by the firm. How should these transactions appear in the firm's ledger so that the year is credited with its proper proportion of the profit earned?

[Answer: Rs 400] {Hint: Costs 4,800; Installment paid Rs 2,000 Stock with customer: $\frac{2}{3} \times 4,800 =$ Rs 3,200]

- (25) Raju had delivered goods to his customers on H.P. system at H.P. Price Rs 46,00; He normally sells goods in the open market at retail price showing gross profit of 30% on that price. In order to sell goods at H.P. price, he adds 15% to retail price to cover enhanced risk. During the year, goods actually costing Rs 2,800 were returned by a customer who had paid nothing. Installments received during the year Rs 18,400. Calculate:

- (a) Value of stock in the hands of customers and
(b) Profit to be transferred to Profit and Loss A/c on the basis of installment received

[B.Com (Delhi)]

[Answer (a) Rs 23,000 and (b) Rs 7,200]

- (26) ABC Ltd sells goods on hire purchase basis, the price being cost plus 60%. From the following particulars relating to 2009 ascertain the profit or loss on hire purchase transactions.

	Rs
Installments due, customers paying on Jan 1, 2009	6,000
Installment not yet due	75,000
Goods sold during the year on H.P. basis, cost	1,80,000
Cash received from H.P. customers	2,70,000
Installments due on Dec 31, 2009, customer paying	9,000

[Answer: Profit – Rs 76,500]

- (27) From the following particulars, prepare H.P. Trading Account for the year ended Dec 31, 2009 in the Books of K V Ltd which sells goods of comparatively small value on H.P. basis adding 33 1/3 % to the cost of goods to fix hire purchase price:

	Rs
Hire Purchase Stock with customers as on Jan 1, 2009	42,100
Installments Due as on Jan 1, 2009	1,200
Goods sold on H.P. basis :	3,16,400
Hire Purchase Stock with customers as on Dec 31, 2009	38,000
Installments Due on Dec 31, 2009	1,700

[Answer: Profit – Rs 80,125]

- (28) M.S. Ltd has a hire purchase department. Goods are sold on hire purchase at a profit of 25% on sale price. From the following particulars prepare H.P. Trading Account for the year upto Mar 31, 2009:

	Apr 1, 2008	Mar 3, 2009
	Rs	Rs
Stock in the shop	30,000	42,000
Installment Due	18,000	?
Stock with customers at H.P. Price	2,40,000	1,86,000
During the year goods sold on H.P. Price Rs 5,28,000, Purchase Rs 4,08,000; Cash received Rs 4,80,000		

[Answer: Profit – Rs 1,23,000]

- (29) Mr R.M. is a hire purchase trader and sells goods on H.P. basis at Cost PLUS 50%. From the following information, prepare H.P. Trading Account to ascertain profit/loss for the year ending Mar 31, 2009.

Apr 1, 2008	Rs	Mar 31, 2009	Rs
Stock with customers (at H.P. Price)	2,70,00	Stock at shop (excluding returned goods)	6,00,000
Stock at shop (at cost)	5,40,000	Installment due but not received	2,70,000
Installment due (good)	1,50,000	Stock with customers	9,00,000
Goods Repossessed (worth Rs 60,000)	15,000	[B.Com-Delhi-Modified]	
Cash received form customers	18,00,000		

[Answer: Profit – Rs 6,15,000]

- (30) Renu Ltd has a hire purchase department and goods are sold on hire purchase at cost plus 60%. From the following particulars, prepare H.P. Trading Account to ascertain Profit or Loss for the year ending Dec 31, 2009.

Jan 1, 2009	Rs
Goods with H.P. customers (at H.P. Price)	80,000
Dec 31, 2009	
Goods sold on H.P. during the year (at H.P. Price)	4,00,000
Cash received during the year from customers	2,80,000
Goods received back from customers	1,500
(Installments due Rs 10,000) valued at	
Goods with hire purchase customers (at H.P. Price)	1,80,000

[B.Com–Modified]

[Answer: Profit – Rs 1,04,000; Installments due at the end Rs 10,000]

- (31) The following are the particulars from the Books of Amar & Co who sells goods of small value on hire purchase basis at 50% profit on cost. Prepare Hire-Purchase Trading Account for the year ending on Dec 31, 2009.

	Jan 1, 2009	Dec 31, 2009
	Rs	Rs
Stock with the customers	54,000	?
Stock in the shop	1,08,000	1,23,000
Installment Due	30,000	54,000

Goods repossessed (Installments Due Rs 16,000) valued at Rs 3,000 which had been included in the stock at the end at Rs 3,000. Cash received from customers Rs 3,60,000 Purchases Rs 3,60,000.

[Answer: Profit – Rs 1,20,334]

- (32) A public limited company which sells a branded product on hire purchase terms has the following transactions for the year ended Mar 31, 2010:

Apr 1, 2009	Rs	Mar 31, 2010:	Rs
Stock out on hire at hire purchase price	60,000	Stock out on hire at hire purchase price	69,000
Stock on hand (in the shop)	7,500	Stock on hand (in the shop)	10,500
Installments due (customers still paying)	4,500	Cash received in Installments during the year	1,20,000
		Prepare necessary Ledger Accounts under stock and Debtors System	

[B.Com (Hons) – Delhi Modified]

[Answer: Missing figure is Purchases : Rs 1,02,000; Gross Profit – Rs 30,750]

- (33) Verma & Co has a hire purchase department which sells goods at Cost PLUS 50%. From the following information, you are required to ascertain the profit made for the year ended Dec 31, 2009 using stock and debtors method:

	Rs
Stock on hire with customers at selling price as on Dec 31, 2008	81,000
Stock at shop (at cost) as on Dec 31, 2008	1,62,000
Installment due on Dec 31, 2008	45,000
Cash received from customers	5,40,000
Goods repossessed (Installments due Rs 18,000)	4,500
Installments due from paying customers	81,000
Closing stock at shop (including repossessed goods)	1,84,500
Purchases made in the year	5,40,000

[B.Com(Hons) – Modified]

[Answer: Missing figure is Balance at the end in H.P. Stock Account: Rs 2,70,000; Gross Profit: Rs 1,84,500]

- (34) Rahul sells goods on hire purchase basis, who fixes hire purchase price by adding 50% to the cost of the goods. The following are the figures relating to his hire purchase business for the year 2009:

	Rs
Balance on H.P. Stock Account as on Jan 1, 2009	60,000
Balance of H.P. Debtors Account as on Jan 1, 2009	1,500
Selling price of goods sold on H.P. basis during 2009	4,53,000
Cash received from customers during 2009	4,62,000
Total amount of Installments that fell during 2009	4,63,500

One customer to whom goods had been sold for Rs 6,000 paid only three installments of Rs 500 each. On his failure to pay the monthly installment of Rs 500 due on Dec 5, 2009 the goods were repossessed on Dec 25, 2009 after due legal notice.

Calculate the profit by Stock and Debtors System

[B. Com (Hons) – Modified]

[Answer: Profit – Rs 1,55,835]

- (35) Fortune (India) sells goods both on Hire-Purchase System and cash retail system. He has prepared one Trading Account for both the business and has treated total goods supplied to customers on H.P. system as sales which is as under:

Particulars	Rs	Particulars	Rs
To Opening Stock at shop	21,000	By Sales – Cash	18,000
To Purchases	1,07,500	By Sales – Hire Purchase	1,32,000
To Gross Profit	35,000	By Closing Stock at shop	13,500
Cash Sales: 3,000			
H.P. Sales: 32,000			
	<u>1,63,500</u>		<u>1,63,500</u>

It is informed that cash received from the customers is Rs 79,200 and that the rate of gross profit for H.P. System is 32% on Cost and Cash Sales are made at the H.P. Price as reduced by 1/11.

He now wishes to take credit for such proportion of profit as the installments bear to the total amounts receivable under the H.P. agreements and to adopt stock method of dealing the H.P. transactions. Construct new Trading Accounts for both business separately.

[Answer: Gross Profit – Cash Sales Rs 3,000; Hire-Purchase Sales Rs 19,200]

- (36) Shiva Ltd commenced business on Jan 1, 2009. It sells both on Hire-Purchase System and Cash Retail System. Information about terms is given below:

	VCP	VCR
	Rs	Rs
Cash Price	10,000	30,000
Cost	8,000	24,000
Cash down for Hire Purchase	2,000	6,000
Monthly Installment	1,000	3,000
No. of Installments	10	12

The company purchased goods costing Rs 1,00,00,000 in all and made cash sales totaling Rs 86,00,000. Stock in hand on Dec 31, 2009 was valued at R. 12,00,000. H.P. transactions were as follows:

	No. sold Collected	Installment (Customers Paying)	Installments Due
VCP	20	110	10
VCR	40	260	15

3 VCPs and 2 VCRs on which only 4 installments were collected were repossessed and were valued at Rs 32,000. This is not included in the figure of stock mentioned above. Prepare accounts showing the profit or loss made by the company by adopting Stock and Debtors System.

[B. Com (Hons) – Delhi- Modified]

	VCP	VCR
[Answer: i) Installments Not Due	62,000	5,67,000
ii) Goods Repossessed	18,000	48,000
iii) Hire Purchase Profit	Rs 5,02,333	
iv) Cash Sales Profit	Rs 9,20,000	

- (37) A purchased a software system from B & Co. on Apr 1, 2009, on installment basis; the cash price was Rs 45,000 and the terms were: Rs 18,000 down and the balance in 12 quarterly installments of Rs 2,900 each, the first falling due on July 1, 2009. The accounts are closed each year on Mar 31, and the rate of depreciation is 20% p.a. on the original cost. On Dec 31, 2010, the system was sold for Rs 30,000 and the Vendor's claim was settled for Rs 15,300.

Show the Software System Account, Vendor's Account and the Interest Suspense Account in the books of A following the actuarial method of spreading interest over the period concerned.

[Answer: Profit on sale of system : Rs 750 Profit on settlement : Rs 600]

- (38) Mr. Rao sells consumer durables under Installment System under which 20% of the total dues are to be paid on delivery and the balance in eight equal quarterly installments commencing from the last date of the quarter in which goods have been delivered. 15% of the total dues are attributed towards interest for which credit to revenue is taken as:

In the year of Sale : 30% Next Year : 50% The year after Next : 20%

Total dues for goods sold and delivered during the last three years had been

	Rs
2007	2,00,000
2008	2,50,000
2009	3,00,000

On Jan 1, 2009, Installment Debtors Account and Interest Suspense Account showed balance of Rs 1,67,500 (Dr.) and Rs 32,250 (Cr) respectively. The deliveries have been even throughout the year and all the installments have been collected on due date.

Prepare Installment Debtors Account and Interest Suspense Account as they would appear in 2009.

[B.Com – Modified]

[Answer: Interest Suspense A/c Total: Rs 77,250 (Installment Debtors A/c: Rs 45,000)]

Accounting for Inland Branches

LEARNING OBJECTIVES

After studying this chapter, you will be able to understand

1. The Meaning, Objectives and Classification of Branches
2. Salient Features of Dependent Branches
3. System of Accounting for Dependent Branches: The Method of Recording Transaction in the Books of Head Office Under "Debtors System"
4. Salient Features of Debtors Method of Accounting
5. To Ascertain Profit/Loss of the Branch (to Ascertain any Missing Figure, to Calculate Profit Margin) by Way of Solving Problems Under Debtors System of Accounting
6. Accounting Procedure for Dependent Branches Under Stock and Debtors Method (System)
7. The Procedure for Preparing Profit or Loss of the Branch Under Final Account System
8. Accounting Procedure for Preparing Branch Trading Profit and Loss Account Under Wholesale Branch Method
9. Accounting Procedure for Independent Branches and Interbranch Transactions
10. To Incorporate Net Result of Operations of the Branch in the Books of the Head Office

INTRODUCTION

It may be said that business is the backbone of economy of any country. Generally, any business is bound to grow. Hence the entrepreneurs are constantly engaged in diversifying their production and enlarging their scope of activities. They devise unique and different ways and means for the growth and expansion of business. One way for expanding business ventures is opening their establishments in different places. If the various divisions of a business will be located in different places, they are called branches. Branches may do retail business or wholesale activities or may manufacture their products at different places. The parent body termed as Head Office will control and coordinate the activities of the branches.

It is natural to know the profit or loss of each such branch. As branches vary in nature, accounting practices also vary accordingly. In this chapter, various types of branches, accounting records to be kept by the Head Office (H.O.) and the branch, accounting treatment of transactions with respect to H.O. as well as Branch Office (B.O.) will be discussed in detail. Even in an era of teleshopping, online marketing and the like, the importance of branch has not yet lost its significance. Hence its study will be useful.

OBJECTIVE 1: MEANING OF A BRANCH

“A branch is any establishment carrying on either the same or substantially the same activity as that carried on by the H.O. of the establishment.”

1.1 Main Objectives of Opening a Branch

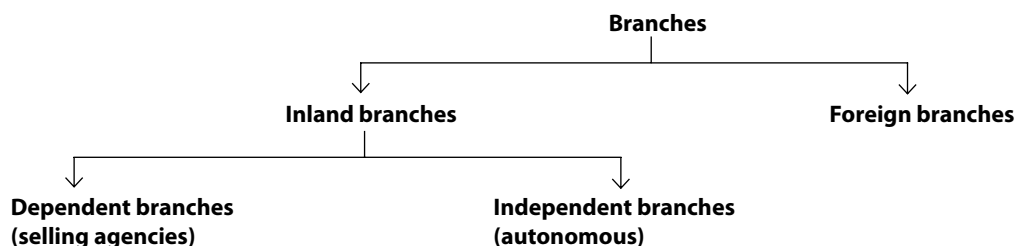
- (i) To increase the volume of sales
- (ii) To enhance profit margin
- (iii) To eliminate middlemen in the chain of selling process

OBJECTIVE 2: BRANCH ACCOUNTING

Branch accounting is related to recording of trading transactions of different branches in respect of their dealings with the H.O., with outsiders and other branches.

On the basis of accounting principles, branches are classified as follows:

Classification of branch accounting



Branches accounting depends on the category and some other circumstances that will be discussed further in this chapter.

This chapter is concerned with accounting for inland branches or home branches:

- (i) These branches are situated in the same country where their H.O. is situated
- (ii) From the accounting point of view, these branches, in general, do not maintain complete records of their transactions (but which maintain complete records of its transactions are called independent branches).

From branch accounting point of view, inland branches are further classified into

1. Dependent branches
2. Independent branches

OBJECTIVE 3: ACCOUNTING FOR INLAND DEPENDENT BRANCHES

Dependent branches: The H.O. maintains a complete record of transactions of its branches.

3.1 Salient Features of Dependent Branches

- (i) These branches sell the goods supplied by the H.O. and purchase of goods for sale from local sources is prohibited.
- (ii) The branches do not perform accounting functions. Only the H.O. is involved, as it maintains complete record of transactions including the branches.
- (iii) Generally, sales are on cash basis only. But if the H.O. permits, credit sales are also done in certain restricted and specified transactions only.
- (iv) All branch expenses are paid by the H.O.
- (v) Branches are allowed to pay for incidental expenses, for which each branch maintains petty cash system, otherwise called Imprest system.
- (vi) Branches remit the sales amount directly to the H.O. (through a local bank) daily.

- (vii) Branches maintain memorandum records such as stock register
- (viii) Further, branches are asked to send “branch returns” on a periodic basis.
- (ix) Goods supplied to branches for sale are generally invoiced in any of the following ways:
 - (a) Cost price: Cost to the H.O.
 - (b) Selling price: Cost to the B.O.
 - (c) Cost price + Fixed percentage of profit (this is predetermined and also known as load, mark up or profit margin)

3.2 Accounting Treatment for Dependent Branches

In general, the H.O. performs accounting functions. Notwithstanding this fact, branches too maintain some of the following accounting records:

Name of the Accounting Records and the Purchase for which they are maintained

- (i) Stock Register: To keep a record of
 - (a) All goods received from H.O.
 - (b) All sales done at the branch
 - (c) Goods returned to H.O.
 - (d) Stock in hand
- (ii) Cash Book: To record
 - (a) Cash received on sales
 - (b) Cash remitted to H.O.
- (iii) Petty Cash Book:
 - (a) Petty cash received from the H.O.
 - (b) Payments to meet incidental expenses
 - (c) Petty cash in hand (opening and closing)
- (iv) Customer's Ledger: To record
 - (a) Credit sales to customers (with the permission of the H.O.) and details pertaining to it.
- (v) Branch Returns: A record consisting of
 - (a) Sales (cash)
 - (b) Sales (credit)
 - (c) Expenses
 - (d) Stock in hand

(For periodical submission to H.O.)

OBJECTIVE 4: ACCOUNTING SYSTEM

- For dependent branches, the system of accounting is maintained in the H.O. only, but the method of accounting differs on account due to the following factors.
 - (i) Size of the branch
 - (ii) Types and nature of transactions
 - (iii) Degree of control by the H.O.
 - (iv) Accounting policy of the concerned establishments
- For accounting, the H.O. may maintain the account of the branch by applying any one of the following methods
 - (i) Debtors Method

- (ii) Stock and Debtors Method
- (iii) Final Accounts Method
- (iv) Wholesale Branch Method

4.1 Debtors Method

Under this method, the H.O. maintains separate branch account for each branch. Usually, this method is applied where the branches are small in size. A branch account is a combination of real and nominal account. Its main objective is to ascertain the net result of operation (profit/loss) made by each branch. Further it reveals the position of assets and liabilities every year.

4.1.1 Accounting Entries

Under this system (Debtors System), the following journal entries are recorded in the books of H.O.

Accounting Entries to be Recorded in H.O. Books

Transactions/items	Account to be Debited	Account to be Credited	Amount (Quality and Quantity)
1. Goods sent to branch (A) Goods invoiced at cost price (B) Goods invoiced at selling price (two entries are needed)	Branch (i) Branch (ii) Goods sent to branch	Goods sent to branch Goods sent to branch Branch	Invoice price (cost price) [Total invoice price] [Difference between loaded and cost price]
2. Goods returned by branch (A) If original despatch by H.O. is cost price (B) If original despatch by H.O. is selling or loaded (two entries needed)	Goods sent to branch (i) Goods sent to branch (ii) Branch	Branch Branch Goods sent to branch	[Cost price] [Selling loaded price] [Difference between invoice price and cost of goods returned]
3. Expenses met by the H.O. (branch expenses)	Branch	Bank	[Actual amount of expenses]
4. Remittances by the branch	Bank	Branch	[Actual amount of remittances]
5. Balance of "goods sent to branch A/c"	Goods sent to branch	(i) Trading (or) (ii) Purchases	[(i) Trading concerns] (or) (ii) Manufacturing concerns (Actual value)]
6. Assets: closing balance of assets at branch	Respective assets (e.g. stock, debtors furnitures, etc.)	Branch	At cost
(A) If stock is recorded at loaded price	Bank	Stock reserve	(Difference between cost price is loaded price)
7. Note: Reverse entry will have to be made in the beginning of next accounting period for recording of branch assets			

Transactions/items	Account to be Debited	Account to be Credited	Amount (Quality and Quantity)
8. Branch liabilities (at the end)	Branch	Branch liabilities	
9. Note: Reverse will have to be recorded in the beginning of next accounting period to record liabilities			
10. Branch profit	Branch	General profit and loss	[Actual amount arrived at]
11. Branch loss	General profit and loss	Branch	[Actual amount arrived at]
12. Goods sold and intermitted to H.O.	No entry	No entry	

**4.1.2 When these entries are posted to branch account, it will appear as
Books of H.O. Branch Account (Pro forma)**

1. Balance b/d (opening balances of individual assets at the branch)	Rs —	1. Balance b/d: (opening balances of individual liabilities at the branch)	Rs —
2. Goods sent to branch A/c (at cost or loaded price)	—	2. Cash/Bank A/c (remittances from branch – cash sale, receipt from debtors, sale of fixed assets and any other collections by the branch)	—
3. Cash/bank A/c (expenses paid by H.O. for B.O.)	—	3. Goods sent to branch A/c (returns from branches at cost or loaded price)	—
4. General profit and loss A/c (branch profit – transferred)	—	4. General Profit and Loss A/c (branch – loss-transferred)	—
5. Balance C/d: (closing balances of liabilities at the branch)	—	5. Balance c/d (closing balances of assets at the branch)	—
	xxx		xxx

4.1.3 Salient Features of Debtors Method of Accounting

- (i) Branch expenses paid by the branch manager out of cash in hand are not shown in the branch account, because such expenses will reduce the branch cash at close. Only such reduced balance is shown on the credit side of the branch account.
- (ii) If petty cash is maintained under imprest system, such actual expenses are met by the H.O. They are debited to branch account because the opening and closing balances of petty cash will appear on the debit and credit side of the branch accounts, respectively.
- (iii) *Depreciation:* Depreciation on fixed assets is not shown in the branch account (asset is shown on the credit side after deduction of depreciation).
- (iv) *Bad debts, discounts allowed:* These are not shown in the branch account (debtors at the end are shown on the credit side of the branch account after making adjustments for bad debts).
- (v) *Sales:* Only the remittances are entered on the credit side of the branch account under the head “Cash/Bank A/c,” but cash sales/credit sales are not entered straight in the branch account.

- (vi) *Purchase of fixed assets by the branch*: These are not shown in branch account because if it is purchased by branch for cash from its collections, remittance is reduced to that extent and if it is on credit basis, no reduction in remittance but the liability will figure on the debit side.
- (vii) *Sale of fixed assets*: These do not appear in the branch account, because book value of fixed assets at the end is decreased and either the amount of remittances is increased or the debtors at the end are increased.

The above features are very important in the preparation of branch account. So, these items do not appear in the branch account.

Hence, the profit/loss is ascertained by a comparison of the branch assets and liabilities at the beginning and at the end of the trading period and having regard to remittances, goods sent to branches and remittances received from the branch.

To ascertain any missing figure relating to stock/debtors, Memorandum Branch Stock Account/Memorandum Debtors Account may be prepared.

4.1.4 Calculation of Load (or) Profit Margin (or) Mark up

Although such concepts appear in certain other chapters, these concepts are explained in detail for easy comprehension.

Usually, goods are transferred from the H.O. to its branches at a price that includes certain amount of profit margin. This is also called as load or mark up. This margin has to be ascertained, as then only the actual value of goods can be understood.

So calculations relating to this item gains importance in this context, in order to arrive at correct profit/loss at the branch. These calculations include (1) when goods are sent to branches at a loaded price (a price above cost) and (2) where stocks include a profit component. These can be explained in the following illustrations:

Illustration: 1

Asok Ltd, Chennai transfers goods costing Rs 50,000 to its branch in Ahmedabad at Rs 62,500. How will you express the relationship between the cost price and invoice price?

Solution

	Rs
Step 1: Cost Price (given)	50,000
Invoice Price	62,500
The difference is due to profit component.	
Cost Price + Profit Component = Invoice Price	
Rs 50,000 + Rs 12,500	= 62,500

Step 2: Now: Status I: In case, if such profit component is expressed as Percentage of Cost, then load or mark up

$$*1 \rightarrow \text{Load or Mark up} = \frac{12,500}{50,000} \times 100 = 25\%$$

Step 3: Status II: In case, if such profit component is expressed as Percentage of Selling Price,

$$*2 \rightarrow \text{Load or Mark up} = \frac{12,500}{50,000 + 12,500} \times 100 = \frac{12,500}{62,500} \times 100 = 20\%$$

Illustration: 2

Goods are supplied to a branch at cost plus 25% the selling price is Rs 75,000. Compute the cost price.

Solution**Method I**

Load or Mark up = 25% (given) as Cost Plus (load)

It is given as 25% of cost

As the value of cost = 100 (%)

Then, Selling Price = Cost Price + Margin

$$= \text{Rs } 100 + \text{Rs } 25 = \text{Rs } 125$$

If Selling Price is Rs 125, Cost Price = Rs 100

$$\text{If Selling Price is Rs } 75,000 = \frac{100}{125} \times 75,000$$

Cost Price will be Rs 60,000

(or)

Method II

Profit Margin is ascertained as

$$= \frac{25}{100+25} \times 75,000$$

$$= \text{Rs } 15,000$$

Cost Price = Selling Price – Profit Margin

$$= \text{Rs } 75,000 - \text{Rs } 15,000$$

$$= \text{Rs } 60,000$$

Illustration: 3

Goods costing Rs 20,000 are supplied to give a mark up or gross margin of 20% on sale price. Calculate the total invoice price.

Solution

Step 1: Margin is 20% on sale, sale value be Rs 100

If sale value is Rs 100, margin will be Rs 20

Then cost will be Rs (100 – 20) = Rs 80

$$\text{i.e. Gross Margin} = \frac{20}{80} \times \text{Rs } 20,000 = \text{Rs } 5,000$$

Step 2: In the comparative form,

	Rs	Rs
(1) Sale Price	100	25,000
(2) Load or Profit Margin	<u>20</u>	<u>5,000</u>
(1) – (2) Cost Price	= <u>80</u>	<u>20,000</u>

Illustration: 4

Goods are invoiced to branches at cost plus 25%. A branch reports unsold stock of Rs 50,000. Compute the cost price of the goods and the profit margin for the unsold stock.

Load is 25% – Cost is Rs 100

$$\text{Selling Price} = \text{Rs } 25 + 100 = \text{Rs } 125$$

$$\text{If Selling Price} = \text{Rs } 50,000$$

$$\text{then Profit Margin} = 25 \times 50,000 / 125 = \text{Rs } 10,000$$

$$\text{i.e. Cost Price} = \text{Rs } 50,000 - 10,000$$

$$= \text{Rs } 40,000$$

Illustration: 5

From the following information, you are required to prepare Jaipur Branch Account in the books of Chennai H.O. for the year ending Mar 31, 2009.

	Rs		Rs
Opening Stock (at cost)	2,00,000	Closing Stock (at cost)	2,75,000
Opening Debtors	20,000	Closing Debtors	2,00,000
Opening Petty Cash	1,000	Closing Petty Cash	500
Opening Creditors	10,000	Furniture (at end)	?
Furniture (beginning)	25,000	Closing Creditors	7,500
Goods sent to Branch (at cost)	7,00,000	Goods sent to Branch for Expenses	75,000
Goods Returned by Branch (at cost)	20,000	Cash Received from Debtors	6,25,000
		Cash sales	1,25,000

Depreciate the furniture @ 20% p.a.

Solution

Draw the format of Branch Account and transfer the items accordingly.

Jaipur Branch A/c in the Books of Chennai H.O.

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d:		By Balance b/d:	10,000
Stock	2,00,000	(Opening Creditors)	
Debtors	20,000		
Petty	1,000		
Furniture	25,000		
To Goods sent to Branch A/c	7,00,000	By Goods sent to Branch A/c (return to H.O)	20,000
		By Bank A/c	Rs
		Cash Sale	75,000
		Collection from Debtors	6,25,000
To Bank A/c:	75,000		7,00,000
(Cheque to Branch)		By Balance c/d:	
		Stock	2,75,000
		Debtors	2,00,000
		Petty Cash	500
		Furniture	20,000
		(Rs 25,000 – 20% (25,000) Depreciation)	
To Balance c/d:	7,500		
(Creditors at end)			
To Net Profit transferred	1,97,000		
General Profit and Loss A/c			
	<u>12,25,5000</u>		<u>12,25,500</u>

Note: * Depreciation is calculated, deducted and after deduction value of furniture is entered (Balance c/d) (Credit Side)

Furniture value is entered in the beginning under (Balance b/d Debit Side).

Actual amount of depreciation is not shown in the branch account.

Illustration: 6

From the following information prepare Nagpur Branch Account in the books of Mumbai H.O. for the year ending Mar 31, 2009:

	<i>Rs</i>		<i>Rs</i>
Opening Stock (at cost)	1,00,000	Cash received by the Branch from Customers	7,00,000
Opening Debtors	12,500	Discount allowed to Customers	500
Opening Petty Cash	200	Bad Debts written-off	1,500
Furniture (in the beginning)	10,000	Credit Sales	7,50,000
Opening Creditors	8,500	Cash Sales	1,50,000
Goods sent to Branch (at cost)	5,50,000	Petty Expenses paid by the Branch	4,000
Goods returned to H.O. (at cost)	12,500	Cheques sent to Branch for Expenses:	36,000
		Salaries	
Goods returned by Customers to Branch	5,000	Rent and Insurance	14,000
		Petty Cash	4,500

Goods are sold to customers at cost plus 50%. Depreciate the furniture @ 10%

Solution

First the missing figures relating to these items, Closing balances of

- (i) Branch Debtors
- (ii) Branch Stock
- (iii) Branch Petty Cash and
- (iv) Remittances to H.O.

are calculated by preparing respective Memorandum Account

I. Memorandum Branch Debtors Account**Dr.****Cr.**

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d	12,500	By Returns to Branch	5,000
To Credit Sales	7,50,000	By Discount allowed	500
		By Bad Debts	1,500
		By Cash received by Branch	7,00,000
		By * ¹ Balance c/d	55,000
	<u>7,62,500</u>		<u>7,62,500</u>

II. Memorandum Branch Stock Account

Dr.			Cr.
	Rs		Rs
Balance b/d	1,00,000	Goods sent to Branch A/c (return)	12,500
Goods sent to Branch	5,50,000	Cost of Net Goods sold 100 ×/150 (Rs 1,50,000 + Rs 7,50,000 – Rs 5,000)	5,96,000
		Balance c/d	41,500
	<u>6,50,000</u>		<u>6,50,000</u>

III. Memorandum Branch Petty Cash Account

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance b/d	200	By Petty Expenses A/c	4,000
To Remittance from H.O.	4,500	*3 By Balance c/d	700
	<u>4,700</u>		<u>4,700</u>

IV. Memorandum Branch Cash Account

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Cash Sales	1,50,000	*4 By Remittance to H.O.	8,50,000
To Collection from Debtors	7,00,000		
	<u>8,50,000</u>		<u>8,50,000</u>

Nagpur Branch Account in the Books of Mumbai H.O.

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance b/d:		By Balance b/d:	8,500
Stock	1,00,000	Creditors	
Debtors	12,500	By Bank A/c	8,50,000
Petty Cash	200	(remittance by Branch)	
Furniture	10,000	(refer *4)	
To Goods sent to Branch A/c } To Bank A/c: } (remittance to Branch)	5,50,000	By Goods sent to Branch A/c (Return by Branch)	12,500
Salaries	36,000	By Balance c/d:	Rs
Rent and Insurance	14,000	Stock (refer *2)	41,500
Petty Cash	4,500	Debtors (*1)	55,500
To Balance c/d:		Petty (*3) Cash	<u>700</u>
Creditors	8,500	By Furniture	97,700
To Net Profit t/f to General Profit and Loss A/c }	2,42,000	(Rs 10,000 – Rs 1,000)	9,000
	<u>9,77,700</u>		<u>9,77,700</u>

- Notes:** 1. Discount allowed, bad debts written off are not shown in the branch account. However, they will reduce the amount shown as closing debtors. While preparing Memorandum Branch Debtors A/c these items are shown on the credit side which thereby reduces the closing balance figure.
2. Depreciation is not shown directly but it was deducted from the furniture.
3. Return to branch by customer also reduces Drs balance.

Illustration: 7

A company with its H.O. at Chennai has a branch at Delhi. The branch receives all goods from H.O. which also remits cash for all expenses. Sales are made by the branch on credit as well as for cash. Total sales by the branch for the year ended Mar 31, 2009 amounted to Rs 2,80,000 out of which 20% is cash sale. Further information taken from the branch reveals:

	Apr 1, 2008	Mar 31, 2009
	Rs	Rs
Stock in Trade	12,500	18,000
Debtors	30,000	24,000
Furniture	4,000	?
Petty Cash	60	90

Expenses actually incurred by the branch during the year were

	Rs
Salaries	18,000
Rent	4,500 (up to Dec 2008)
Petty Expenses	2,800

Sale of furniture on Oct 1, 2008 (book value of furniture on the date of sale Rs 475) amounted to Rs 450. All sales are made by the branch at cost plus 25%

Depreciation on furniture is 10% p.a.

Prepare Delhi Branch Account in the books of Chennai H.O. For the year ending on Mar 31, 2009.

Solution

Notes: * Goods are sent at cost price.

- Goods have to be adjusted for the load
- Missing figures, cash received from debtors and cash received for petty expenses are to be ascertained by preparing respective Memorandum Accounts.
- Book value of furniture sold and depreciation are to be worked out.
- Based on these figures, branch account is prepared according.

Step 1

Calculation of goods sent to branch	Rs
Cost plus 25% = 100	
Load: $25/(100 + 25) = 25/125$ or $1/5$	
Total Sales	2,80,000
Less: Load $1/5 \times 2,80,000$	56,000
	2,24,000
Add: Stock at end	18,000
	2,42,000
Less: Opening Stock	12,500
* ¹ Goods sent to Branch	2,29,500

Step 2: Depreciation

	Rs	
Book value of furniture as on 1st Oct, 2008	=	Rs 475
Book value as on 1st Apr, 2008	=	Rs 500 (475 × 100/95)
Depreciation on (Rs 4,000 – Rs 500)		
* ² Rs 3,500 for one year @ 10%	=	Rs 350
∴ Furniture at the end	=	(Rs 3,500 – Rs 350)
	=	Rs 3,150

Step 3**Memorandum Branch Debtors Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d (op-debtors)	3,000	* ³ By Cash A/c (Cash received form Debtors) (Balancing figure)	2,30,000
To Credit Sales (Rs 2,80,000 – 20% of Rs 2,80,000)	2,24,000	By Balance c/d (Drs-closing)	24,000
	<u>2,54,000</u>		<u>2,54,000</u>

Step 4**Memorandum Petty Cash Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d (opening Petty Cash)	60	By Petty Expenses A/c	2,800
To Cash A/c (* ⁴ cash received from H.O. for Petty Expenses) (balancing figure)	2,830	By Balance c/d (closing Petty Cash)	90
	<u>2,890</u>		<u>2,890</u>

Step 5**Books of Chennai H.O. Delhi Branch Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d: Rs		By Bank A/c Rs	
Stock 12,500		Cash Sales 56,000	
Debtors 30,000		Cash from Debtors 2,30,000	
Petty Cash 60		(refer Step)	<u>450</u>
Furniture 4,000	46,560		2,86,450
To Goods sent to Branch A/c (refer Step 1)	<u>2,29,500</u>	By Balance c/d	
		Stock: 18,000	
		Debtors 24,000	
		Petty Cash 90	
		Furniture 3,150	45,240
		(refer Step 2)	

Books of Chennai H.O. Delhi Branch Account

Dr.				Cr.
Particulars		Rs	Particulars	Rs
To Bank A/c	Rs			
Salaries	18,000			
Rent	4,500			
Petty Expenses	<u>2,830</u>	25,330		
(refer Step 4)				
To Profit and Loss A/c		28,800		
To Balance c/d				
(Rent: o/s)		1,500		
(closing liability)				
		<u>3,31,690</u>		<u>3,31,690</u>

Illustration: 8

Good Luck Co. Chennai has a branch at Lucknow. It invoices goods to the branch at selling price which is cost plus 33⅓%. From the following particulars prepare branch account. (i) At cost price and (ii) At account and goods sent to branch account in the Books of Good Luck Co. Chennai.

	Rs
Stock on Jan 1, 2008 (invoice price)	30,000
Debtors on Jan 1, 2008	22,800
Goods invoiced to branch during the year (at invoice price)	1,34,000

Sales at Branch:

	Rs	Rs
Cash	62,000	
Credit	<u>74,800</u>	
Cash received from Debtors		1,36,000
Discount allowed to Customers		80,000
Bad Debts written off		600
Cheques sent to Branch:		500
Salaries	10,000	
Sundry Expenses	<u>3,400</u>	13,400
Stock on Dec 31, 2008 (at Invoice Price)		<u>26,8000</u>

[B.Com (Hons) – Modified]

Solution**Step 1**

[Cost Plus = 33 ⅓%

100 + 33 ⅓%

Or

Loading factor = $33 \frac{1}{3} / 100 + 33 \frac{1}{3}$

[i.e. for Sale (or) stock: $33 \frac{1}{3} / 133 \frac{1}{3} \times \text{stock (or) sale or } \frac{1}{4} \times \text{Stock (or) sale}$]

Step 2

The missing figure, Closing Debtors is calculated as

Memorandum Branch Debtors Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (Opening Debtors)	22,800	By Bank A/c (cash received from Debtors)	80,000
To Credit Sales A/c (given)	74,800	By Discount A/c (Discount Allowed: given)	600
		By Bad debts A/c (Bad debts written off: given)	500
		* ¹ By Balance c/d (Closing Debtors)	16,500
	<u>97,600</u>		<u>97,600</u>

Step 3: (1) When goods are shown at cost price:

In this account loading has to be removed, i.e. deducted from the cost plus price.

(i) For Opening Stock:	Rs
Invoice Price	30,000
	(Given)
[refer Step: 1] Less: (33 $\frac{1}{3}$ /133 $\frac{1}{3}$ or $\frac{1}{4}$ or 25%) [$\frac{1}{4} \times$ Rs 30,000]	7,500
Cost Price	<u>22,500</u>
(ii) For Goods sent to branch:	
Invoice Price	1,34,000
Less: Load ($\frac{1}{4} \times 1,34,000$)	33,500
Cost Price	<u>1,00,500</u>
(iii) For Closing Stock:	
Invoice Price	26,800
Less: Load ($\frac{1}{4} \times 26,800$)	6,700
Cost Price	<u>20,100</u>

Step 4**Books Good Luck Co. Chennai, Lucknow Branch Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Opening Asset Stock (Rs 30,000 – Rs 7,500) (refer Step 3: i)	22,500	By Bank A/c	
Debtors (Given)	22,800	Remittances received from Branch: Rs	
To Goods sent to Branch (Rs 1,34,000 – 33,500) (refer Step 3: ii)	1,00,500	Cash Sales	62,000
To Bank A/c: Rs		Cash from Debtors	<u>80,000</u>
Salaries	10,000	By Closing Assets:	
Sundry Expenses	<u>3,400</u>	Stock: (Rs 26,800 – 6,700)	20,100
	13,400	(refer Step 3: iii)	
To Net Profit transferred to General Profit and Loss A/c)	19,400	By Debtors * ¹ (refer Step 2: * ¹)	16,500
	<u>1,78,000</u>		<u>1,78,000</u>

Step 5**When goods are sent at Invoice Price****Lucknow Branch Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Opening Assets		*By Stock Reserve – Opening	7,500
Stock	30,000	(load on Opening Stock)	
Debtors	22,800	*By Goods sent to Branch A/c	33,500
To Goods sent to Branch A/c	1,34,000	(load on goods sent)	
To Bank A/c:		By Bank A/c	
Salaries	Rs 10,000	Remittances received from	
Sundry Expenses	<u>3,400</u>	Branch	Rs
*To Stock Reserve – closing		Cash Sales	62,000
(load on Closing Stock)	6,700	Credit Sales	<u>80,000</u>
To Net Profit t/f to		By Closing Assets:	
General P & L A/c	19,400	Stock	26,800
		Debtors	<u>16,500</u>
	<u>2,26,300</u>		<u>43,300</u>
			<u>2,26,300</u>

* Note the difference in the treatment of “load factor”.

Step 6**Goods sent to Branch Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Branch A/c (loading on goods sent to Branch)	33,500	By Branch A/c	1,34,000
To Purchase A/c	1,00,500		
(cost of goods sent to Branch transferred)	<u>1,34,400</u>		<u>1,34,000</u>

Illustration: 9

From the following particular, prepare Noida Branch Account showing profit or loss:

Opening Stock at the Branch	Rs
Goods sent to Branch	37,500
Expenses	1,12,500
Salaries	12,500
Rent	400
Other Expenses	940
Sales (cash)	<u>1,50,000</u>

Closing Stock could not be ascertained but it is known that the branch usually sells goods at cost plus 20%. The branch manager entitled to a commission of 5% of profit of branch after charging commission.

[B.com (Hons) – Modified]

Solution

Closing Stock – Missing figure.

It is ascertained by preparing Memorandum Branch Stock Account or by conventional method. Before that load or profit margin is to be computed.

Step 1**Method 1**

Branch sells goods at cost plus 20% (Given)

Load or Profit Margin = Cost + 20%

$$= \text{Cost} + 20/100 = 20/100 + 20 = 1/6 \text{ of Sale Price}$$

Sales = Rs 1,50,000 (Given)

Load = $1/6 \times \text{Rs } 1,50,000 = \text{Rs } 25,000$

(i.e. Cost of Sales = Rs 1,50,000 – 25,000 = Rs 1,25,000)

	Rs
Sales	1,50,000
Less: Load	<u>25,000</u> (1/6 th of sale)
Cost of Sales	<u>1,25,000</u>
Opening Stock	<u>37,500</u>
Add: Goods sent to Branch	<u>1,12,500</u>
Total Cost of Goods available for Sale	<u>1,50,000</u>
Less: Cost Sales	<u>1,25,000</u>
Value of Closing Stock	<u>25,000</u>

Step 2**Method 2****Memorandum Branch Stock Account**

Dr.	Rs		Cr.
	Rs		Rs
Opening Stock	37,500	* Closing Stock (balancing figure)	25,000
Goods sent to Branch	<u>1,12,500</u>	Cost of Sales (Sales – 1/6 of Sales)	<u>1,25,000</u>
	<u>1,50,000</u>		<u>1,50,000</u>

Step 3**In Books of Patna H.O., Noida Branch Account**

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Opening Stock	37,500	By Bank A/c: (Cash Sales – Given)	1,50,000
To Goods sent to Branch A/c	<u>1,12,500</u>	By Closing Stock (refer Step 2)	<u>25,000</u>

In Books of Patna H.O., Noida Branch Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Cash/Bank A/c: Expenses			
Rs			
Salaries	12,500		
Rent	4,000		
Other Expenses	940		
	17,440		
To Branch Manager's Commission			
(5% of Rs 7,200 on Profit)			
(or) 5/105 of			
Rs 7,600 (Before Profit)			
(Rs 1,75,000 – Rs 1,67,440)	360		
To Profit and Loss Account	7,200		
	1,75,000		1,75,000

Important Notes to Remember

(i) Calculation of commission to branch manager is to be calculated as follows:

If specifically mentioned:

(a) Commission as % of net profit before charging commission = (Net profit before commission) × Rate of commission/100

(b) Commission as % of net profit after charging commission = Net Profit before commission × Rate of commission/100 + Rate of commission

(ii) The following table may be used as a *Ready Reckoner* for conversion between selling price and cost price (removing load)

(Percentage addition to) Cost Plus	To Convert into Selling Price [Proportion (or) % of (sale)]
(i) Cost Plus 20% (or 1/5)	$20/100 + 20 = 20/120 = 1/6$ (or) 16 2/3%
(ii) Cost Plus 25% (or 1/4)	$25/100 + 25 = 25/125 = 1/5$ (or) 20%
(iii) Cost Plus 33 1/3% (or 1/3)	$33\frac{1}{3} / 100 + 33\frac{1}{3} = 100/3/400/3 = 1/4$ (or) 25%
(iv) Cost Plus 50% (or 1/2)	$50/100 + 50 = 50/150 = 1/3$ or 33 1/3%

(iii) (a) Unless and otherwise stated, goods sent to branch and branch stocks are treated at their invoice price.

(b) Once again remember: "Invoices goods at a price" denotes invoice price and the difference between invoice price and cost price is termed as load or profit margin or mark up.

Illustration: 10

Swastika Ltd. of Shimla has a branch at Cochin. Goods are invoiced to the branch at cost plus 25%. The branch does not maintain account books and all collection at the branch are remitted to H.O. The expenses of the branch are remitted to H.O. The expenses of the branch are reimbursed by the office. From the following particulars, prepare the branch account in the books of H.O. for six months ending on Sep 30, 2008.

Apr 1, 2008	Rs		Rs
Opening Stock	27,500	Bills receivable received	7,500
From customers at branch			
Opening Debtors	7,500	Bad Debts	200
Opening Furniture	6,000	Trade discount to Customers (already taken into account while invoicing)	6,000
Opening Petty Cash	250		
Transactions for six months			
Goods received from H.O at Cost	1,12,500	Goods sent to Branch on Sep 28, 2008 but received by Branch on Oct 7, 2008	750
Cash Sales	97,500		
Credit Sales	40,000	Cash sent to Branch for Expenses	5,250
Goods returned to H.O.	6,375	Cash Discount allowed to Customers	400
Cash received from Debtors	25,000	Balances on Sep 30, 2008	
Sales Return by Customers to Branch	250	Stock in Hand	2,800
		Debtors	?
		Petty Cash	250

Depreciate Furniture at 20% p.a.

Branch manager is entitled to a commission of 5% of profit of the branch after charging such commission.

Solution

Step 1: Closing debtors is a missing figure. To ascertain it, Memorandum Branch Debtors Account is to be prepared.

Memorandum Branch Debtors Account

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance b/d (Opening Balance)	7,500	By Sales returns A/c (returns by customers to branch)	250
To Credit Sales (given)	40,000	By Bad Debts (given)	200
		By Bills Receivable (from customers at branch)	7,500
		By Bank A/c (given) (cash received from Debtors)	25,000
		By Discount (given) (allowed to customers)	400
		*1 By Balance c/d (Closing Debtors – Missing Figure) (balancing figure)	14,150
	<u>47,500</u>		<u>47,500</u>

Books of Swastik Ltd Shimla H.O**Cochin Branch Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Opening Balance		By Stock Reserve A/c	6,875
Stock (Rs 27,500 + Rs 6,875)	34,375	By Bank (remittance)	1,22,500
Debtors	7,500	Cash Sales:	97,500
Furniture	600	Cash from Debtors	25,000
Petty Cash	250	By Goods sent to Branch A/c	6,375
To Goods sent to Branch A/c	1,13,250	(returns to H.O. by B.O)	
(Rs 1,12,550 + Rs 750)		By Goods sent to Branch	21,375
To Bank A/c (Expenses)	5,250	A/c [(Rs 1,13,250 –	
To Stock Reserve A/c [1/5 of	710	Rs 6,375) x 25/125]	
(Rs 2,800 + Rs 750)]		By Closing Balances	14,150
Closing Transit	983	* Debtors (Step 1)	
To Branch Manager's		Stock (Rs 2,800 + 750)	3,550
Commission Rs 20,640 x 5/105		Bills Receivables	7,500
To Net Profit T/F to	19,557	Furniture	5,400
General Profit and Loss A/c		[Rs 6,000 – (20/100 of 6,000 ÷ 2)]	
		(for six month only) Petty Cash	250
	<u>1,87,975</u>		<u>1,87,975</u>

Illustration: 11

From the following details relating to Delhi Branch for the year ending Mar 31, 2009, prepare the branch account in the books of Surat H.O.

	Rs		Rs
Stock on Apr 1, 2008	12,500	Cash received from Debtors	32,500
Debtors on Apr 1, 2008	5,000	Cash paid by Debtors direct to H.O.	2,500
Furniture on Apr 1, 2008	3,000	Good returned by the Branch	1,000
Petty Cash on Apr 1, 2008	500	Good returned by the Debtors	500
Insurance Pre-paid on Apr 1, 2008	150	Cash sent to Branch for Expenses:	
Salaries Outstanding on Apr 1, 2008	2,000	Rent Rs 400 per month	4,800
2008–2009		Salary Rs 2,000 per month	24,000
		Petty Cash	1,000
Goods sent during the Year	1,00,000	Insurance up to June 2009	600
Cash Sales during the year	1,35,000	Stock on Mar 31, 2009	7,500
Total Sales	1,75,000		
Petty Cash Expenses	1,100		
Discount allowed to Debtors	250		

Goods costing Rs 1,250 were damaged in transit and a sum of Rs 1,000 was recovered from the insurance company in full settlement of the claim. Depreciation on furniture @ 10% p.a.

Solution**Books of Surat H.O. Delhi Branch Account For the Year Ending on Mar 31, 2009**

1. Goods in transit are damaged
2. Insurance claim is recovered

3. Closing balances are missing for

- (i) Debtors
- (ii) Petty Cash

Step 1

Memorandum Branch Debtor Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d (Opening Debtors)	5,000	By Cash A/c (Rs 32,500 + 2,500)	35,000
To Sales (Rs 1,75,000 – 1,35,000) (Total Sales – Cash Sales)	40,000	By Returns Inwards (Goods returned by Debtors)	500
		By Discount (Discount to Customers)	250
		By Balancing c/d * ¹ Closing debtors (balancing figure)	9,250
	<u>45,000</u>		<u>45,000</u>

Step 2

Memorandum Petty Cash Account

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d (Opening)	500	By (Petty Cash Expenses)	1,100
To Cash A/c (cash to branch for petty)	1,000	* ² By Balance c/d (closing balance petty cash) (balancing figure)	400
	<u>1,500</u>		<u>1,500</u>

Step 3

Delhi Branch Account for the Year Ending Mar 31, 2009

<i>Dr.</i>		<i>Cr.</i>	
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance B/D		Apr 1, 2008	2,000
Rs		By Balance b/d:	
Stock 12,500		Outstanding Salary	
Debtor 5,000		Mar 31, 2009	
Furniture 3,000		By Bank A/c	Rs
Petty Cash 500		Cash Sales	1,35,000
Pre-paid Insurance <u>150</u>	21,150	Cash from Debtors (Rs 32,500 + Rs 2,500)	35,000
		Cash from Insurance Company	<u>1,000</u>
			1,71,000
		By Goods sent to Branch A/c (goods returned by branch)	1,000
Mar 31, 2009		By Balance c/d	
To Goods sent to Branch	1,00,000	*Petty Cash	400
To Cash/Bank A/c: (Expenses)		* ¹ Debtors	9,250

Particulars	Rs	Particulars	Rs
Rent 4,800		Stock 7,500	
Salary 24,000		Furniture 2,700	
Petty cash 1,000		(Rs 3,000 – Rs 300)	
Insurance 600	30,400	Pre-paid Insurance 150	
To Profit and Loss Account	40,450		
To Balance c/d:			
Opening liability			
Outstanding salary	2,000		20,000
	<u>1,94,000</u>		<u>1,94,000</u>

* Only the settlement amount received from the insurance company is credited under Cash A/c head in the branch account.

* In this problem, calculations relating to load factor do not arise, as the question is silent on this aspect.

Illustration: 12

Mrs. Shree opened a hosiery company, dealing in inner garments in Tiruppur, Tamil Nadu and has opened several branch shops at Chennai, Mumbai, Kolkatta and Delhi. All the purchasing and administration is done at Tiruppur Tamil Nadu H.O. only. Branches sell goods both for cash and on credit terms. The branches are expected to make a profit of 25% on cost price to H.O. The following information relates to Delhi Branch for the year ending on Mar 31, 2009.

	Rs
Opening Stock of Goods (at cost to H.O.)	1,12,000
Opening Debtors	40,000
Goods received by Branch at Selling Price	7,50,000
Transfer from Chennai Branch at Selling Price	30,000
Cash Sales	7,10,000
Credit Sales	1,50,000
Goods returned to Mumbai Branch at Selling Price	30,000
Debtors at the End	52,000
Bad Debts written off	5,000
Goods returned by Credit Customers of Delhi Branch direct to Tiruppur H.O.	3,000
Expenses at the Branch	96,000
Normal Pilferage at Selling Price	10,400

Additional Information

- Goods amounting to Rs 20,000 at cost of H.O. reached Delhi Branch on Apr 3, 2009.
- Delhi Branch had on Apr 1, 2008 laptop and other accessories at a book value of Rs 1,50,000. Depreciation at 10% p.a. is to be provided on this.

You are required to prepare

- Branch Stock Account
- Branch Debtors Account
- Delhi Branch Account to find out the profit or loss at Delhi Branch

Solution

- (i) From the additional information, it is learnt that goods amounting to Rs 20,000 was in transit, as these were received by the branch after Mar 31, 2009. It has to be shown as closing stock balance.
- (ii) One more item, i.e. pilferage appears in this question. It is to be treated as normal loss and shown in the Branch Stock Account. Accordingly, closing stock balance will be reduced to that extent in the Delhi Branch Account.

**(i) In the Books of Shree,
Delhi Branch Stock Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (Rs 1,12,000 = Rs 28,000) 25% Profit	1,40,000	By Branch (Cash Sales)	7,10,000
To Goods sent to Branch A/c (Rs 7,50,000 + Rs 25,000)	7,75,000	By Branch Debtors (Credit Sales)	1,50,000
To Branch Debtors	3,000	By Goods sent to Branch A/c (returned)	30,000
To Goods sent to Branch A/c	30,000	By Goods sent to Branch A/c (creditors direct)	3,000
		By Pilferage	10,400
		By Balance c/d	
		In Hand	19,600
		In Transit (25% Load)	25,000
	9,48,000		9,48,000

(ii) Branch Debtors Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	40,000	By Bad Debts	5,000
To Delhi Branch Stock A/c	1,50,000	By Delhi Branch Stock A/c	3,000
		*By Cash A/c (balancing figure)	1,30,000
		By Balance	52,000
	<u>1,90,000</u>		<u>1,90,000</u>

(iii) Delhi Branch Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d		By Stock Reserve A/c	28,000
Stock (Rs 12,000 + 28,000)	1,40,000		
Debtors	40,000	By Goods sent to Branch A/c	1,55,000
Lap-top X accessories	1,50,000	By Bank A/c	7,10,000
		Cash Sales	
		(Cash from Debtors (Credit Sales))	1,30,000

(iii) Delhi Branch Account

<i>Dr.</i>			<i>Cr.</i>
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Goods sent to Branch A/c (Rs 7,50,000 + Rs 25,000)	7,75,000	By Goods sent to Branch A/c	30,000
To Goods sent to Branch A/c	30,000	By Goods sent to Branch A/c	6,000
To Goods sent to Branch A/c	6,000	By Goods sent to Branch A/c	3,000
To Goods sent to Branch A/c	600	By Balance c/d Stock (19,600 + 25,000)	44,600
To Bank A/c	96,000	Debtors	52,000
To Stock Reserve A/c	8,920	Lap top	
To Profit and Loss A/c	47,080	(Rs 1,50,000% – 10% of Rs 1,50,000)	1,35,000
	<u>12,93,600</u>		<u>12,93,600</u>

Illustration: 13

Kolkata H.O. of a company invoices goods to its Nagpur Branch at cost plus 20%. The branch purchases goods from local sources also for which payments are made by the H.O. All cash collected by the branch is banked on the same day to the credit of the H.O. except for a petty cash account maintained by the branch for which periodic transfers are made from the H.O.

From the following particulars, show branch account as maintained by the H.O. showing the profit for the year ended Mar 31, 2009.

Imprest Cash:	Rs
On Apr 1, 2008	4,000
On Mar 31, 2009	3,700
Debtors on Apr 1, 2008	50,000
Stock on Apr 1, 2008:	
(i) Transferred from H.O. at Invoice Price	48,000
(ii) Direct purchases made by the Branch	32,000
During 2008–2009:	Rs
Cash Sales	90,000
Credit Sales	2,60,000
Direct Purchases made by the Branch	90,000
Goods returned by Customers	6,000
Goods sent to Branch from H.O. at Invoice Price	1,20,000
Goods transferred to Branch from H.O. for petty Cash expenses	5,000
Bad Debts	2,000
Discount allowed to Customers	4,000
Cash received from Customer	2,50,000
Branch Expenses	60,000
Stock on Mar 31, 2009:	
(i) Transferred from H.O. at Invoice Price	36,000
(ii) Direct Purchases made by the Branch	24,000

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Solution

Note: In this question, transactions relating to direct purchases by the branch is provided for this, they are shown separately – opening stock, purchase, closing stock-but along with the transactions relating to H.O.

The missing figure is – closing debtors. It is to be ascertained by preparing Memorandum Debtors Account.

Step 1

Memorandum Debtors Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (Opening Debtors)	50,000	By Cash A/c (cash received for customer)	2,50,000
To Sales (credit)	2,60,000	By Bad Debts	2,000
		By Sales Returns	6,000
		By Discount	4,000
		By Balance c/d (Closing Debtors)	48,000
		(balancing figure)	
	<u>3,10,000</u>		<u>3,10,000</u>

Step 2

In the Books of Kolkata H.O., Nagpur Branch Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
Apr 1, 2008		Apr 1, 2008	8,000
To Balance b/d:	Rs	By Stock Reserve A/c (load removable on H.O. goods)	
Petty Cash	4,000	By Cash A/c	Rs
Debtors	50,000	Cash Sales	90,000
Stock		Cash from Customers	<u>2,50,000</u>
(i) From H.O.	48,000	Credit Sale	
(ii) Direct Purchase Balance	<u>32,000</u>	By Balance c/d	
	1,34,000	Petty Cash	3,700
Mar 31, 2009		* Debtors	<u>48,000</u>
To Cash A/c (direct purchases)	90,000	Stock:	
To Goods sent to Branch (goods from H.O.)	1,20,000	(i) From H.O.	36,000
		(ii) Direct Purchase by the Branch	<u>24,000</u>
To Cash A/c (for Petty Expenses)	5,000	By Goods sent to Branch A/c	20,000
To Cash A/c (Expenses)	60,000		
To Stock Reserve A/c (load for H.O. goods)	6,000		
To Profit and Loss Account	64,700		
	<u>5,79,700</u>		<u>5,79,700</u>

Illustration: 14

Guber Ltd. has a H.O. at Chennai and retail branches across the country which are supplied goods from the H.O. at 20% profit on sale price. Accounts are kept at H.O. from where all expenses (except petty) are paid. Petty expenses are paid by the branches that are allowed to maintain petty cash balance of Rs 600 on Imp rest system. From the following balances, as shown by the books, prepare branch account.

	Rs
Balances on Jan 1, 2008	
Petty Cash in Hand at Branch	600
Stock in Hand at Branch at Sales Price	40,000
Sundry Debtors	8,000
Sundry Creditors	2,400
Furniture	16,000
Rent paid up to Mar 31, 2008	600
Transactions during the year 2008:	
Goods sent to Branch (<i>Less</i> : return)	2,08,000
Cash Sales at Branch	1,60,000
Credit Sales at Branch	90,000
Allowances to Debtors	1,000
Cash received from Customers	80,000
Bad debts to be written off	400
Cash Purchases by the Branch	21,000
(with permission)	
Cash paid to Creditors	16,000
Creditors at the end	6,000
Payment by Branch Petty Expenses	360
Payment made by H.O.	
Rent for one year (paid) on Apr 1, 2008	3,600
Salaries	4,000
Insurance paid for the year ending Mar 31, 2009	720
Balance on Dec 31, 2008	
Stock at Cost	60,000
Write off 10% Depreciation on Furniture	

Solution

- Note:**
1. Petty cash system is maintained by imp rest system. As such expenses spent will be reimbursed by the H.O.
 2. Credit transactions (credit purchase and credit sales) usually are not shown in the branch account. But such transactions are shown in Creditors Account and Debtors Account, respectively.
 3. Similarly, cash purchases and cash sales are not directly shown in the branch account. But these are considered in arriving at cash balance (cash account).
 4. So, Memorandum Debtors Account, Creditors Account Cash Account and Petty Cash Account are prepared to arrive at figures.

Step 1

Cash Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Cash Sales	1,60,000	By Creditors	16,000
To Debtors	80,000	By Purchases	21,000
		By * Cash remitted (Bal 7:5)	2,03,000
	<u>2,40,000</u>		<u>2,40,000</u>

Step 2

Petty Cash Account

	Rs		Rs
To Cash Sales	600	By Petty Expenses (balancing figure)	360
To Cash	360	By Balance c/d	600
	<u>960</u>		<u>960</u>

Step 3

Creditors Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Cash	16,000	By Balance b/d	2,400
To Balance b/d	6,000	By * Purchases (balancing figure)	19,600
	<u>22,000</u>		<u>22,000</u>

Step 4

Debtors Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	8,000	By Allowances	1,000
To Sales (Credit)	90,000	By Bad Debts	400
		By Cash received from Debtors	80,000
		*By Balance c/d (balancing fig)	16,600
	<u>98,000</u>		<u>98,000</u>

Step 5**Branch Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance Rs		By Balance:	2,400
Petty Cash 600		Creditors	
Stock (Rs 40,000 – Rs 8,000) 32,000		By Cash A/c	2,03,000
Debtors 8,000		(refer Step: 1)	
Furniture 16,000		By Balance:	Rs
Rent Pre-paid 600	57,200	Stock 60,000	
To Goods sent to Branch A/c		Debtors 16,600	
[Rs 2,08,000 – Rs 41,600 (Load)]	1,66,400	(refer Step 4)	
To Bank A/c		Petty Cash 600	
Rent 3,600		Furniture (Rs 16,000 – Rs 1,600) 14,400	
Salaries 4,000		Rent Pre-paid	
Insurance 720	8,320	(Rs 3,600 – Rs 2,700) 900	
To Bank A/c:		Insurance Pre-paid 180	
Petty expenses (Ref: Step 2) 360		(Rs 720 – Rs 540)	92,680
To Balance (Creditors) 6,000		↓ ↓	
To Profit & Loss A/c 59,800		Up to Mar 2009 Up to Dec 2008	
	2,98,080		2,98,080

OBJECTIVE 5: STOCK-DEBTORS SYSTEM OR STOCK AND DEBTORS METHOD**5.1 Meaning of Stock-Debtors System**

The method, discussed so far, i.e. debtors system discloses only the final figures of stock. It does not show normal or abnormal loss. It does not reveal gross profit and net profit separately. It lacks control of new stock. To overcome such drawbacks, this system known as Stock and Debtors System is employed.

5.2 Different Accounts and their Purpose

Under Stock and Debtors System an elaborate accounting procedure is followed which comprises a number of accounts for each branch such as

- Branch Stock Account, to ascertain any shortage or surplus in stock
- Branch Debtors Account to ascertain the closing debtors
- Branch Expenses Account to compute the total expenses at a branch
- Branch Adjustment Account to compute gross profit or loss
- Branch Profit and Loss A/c to compute net profit or loss
- Goods sent to Branch A/c to find the net cost of goods sent to branch
- Branch Cash A/c to show all cash transactions of a branch
- Branch Fixed Assets A/c to record fixed assets transactions

5.3 Branch Stock Account

- (i) It is a real account.
- (ii) Under Stock and Debtors System, branch account is always prepared at INVOICE PRICE, i.e. Cost Plus Profit Margin.
- (iii) If any item is given other than at invoice price, all such items must be converted into invoice price.
- (iv) All items are entered at uniform amounts in terms of invoice price, i.e. loaded or cost plus margin
- (v) When all items relating to branch account (opening stock, goods returned by customers to the branch as well as directly by the branch goods returned by customers to the branch as well as direct to H.O. goods returned by the branch to H.O. cash sales and credit sales; normal and abnormal loss) are converted into invoice price and entered, then the total of both the credit and debits side will TALLY.
- (vi) In case, if the debit side total exceeds the credit side total, the difference is entered as “shortage” in the credit side.

In case, if the credit side total exceeds the debit side total, the difference is entered as “Surplus” in the debit side of the Branch Stock Account.

5.4 Branch Adjustment Account

- (i) This is a Nominal Account.
- (ii) It is similar to Trading and Profit and Loss Account.
- (iii) In this account, Gross Profit is ascertained first as:

Debit: (a) Stock reserve A/c (load of the stock at end) in Branch Stock A/c
 (b) Load of the “Shortage” in Branch Stock A/c
 (c) Load on goods returned to H.O.

Credit: (a) Stock reserve A/c (load of the stock in the opening)
 (b) Load or the goods invoiced to branch
 (c) “Surplus” in the Branch Stock A/c

Result: Gross profit: If the credit side total exceeds the (or) debit side total.

Gross Loss: If the debit side total exceeds the credit side total.

The Gross Profit or Loss is transferred to the next part of Branch Adjustment Account.

Gross Profit is carried down to the credit side and Gross Loss is carried down to the debit side and Further

Debit: (i) Balance in the Branch Expenses Account
 (ii) Cost elements of shortage and loss

Credit: (i) Claim received from insurance company
 (ii) Any claim received relating to abnormal loss

The difference in two sides may be net profit or net loss.

5.5 Branch Expenses

All the expenses spent for the branch by the H.O. are recorded as one single figure and debited to this A/c. The balance in this account is transferred (to compute the net profit/loss) to Branch Adjustment Account.

5.6 Stock Reserve Account

As stock is not shown at its loaded price in Balance Sheet, this account has to be prepared. Goods sent to branch account: To ascertain the cost of goods sent and to compute gross profit, this account is prepared.

5.7 Accounting Treatment

Journal Entries

<i>Transaction</i>	<i>Journal Entry</i>
1. On delivery of goods to the Branch by H.O.	Branch Stock A/c Dr. To Goods sent to Branch A/c
2. On return of goods by the Branch to H.O.	Goods sent to Branch A/c Dr. To Branch Stock A/c.
3. Sales by the Branch	
(i) For Cash Sales	Branch Cash A/c Dr. To Branch Stock A/c
(ii) For Credit Sales	Branch Debtors A/c Dr. To Branch Debtors A/c
4. On return of goods by the debtors to branch	Branch Stock A/c Dr. To Branch Debtors A/c
5. Loading on goods sent by H.O.	Goods sent to Branch A/c Dr. To Bank Adjustment A/c
6. Loading on goods returned to H.O. by B.O.	Branch Adjustment A/c Dr. To Goods sent to Branch A/c
7. Excess Price of Stock Adjustment	
(i) For Opening Stock	Stock Reserve A/c Dr. To Branch Adjustment A/c
(ii) For Closing Stock	Branch Adjustment A/c Dr. To Stock Reserve A/c
8. (i) Cash sent by H.O. for expenses to B.O.	Branch Cash A/c Dr. To Cash A/c
(ii) Expenses incurred by Branch	Branch Expenses A/c Dr. To Branch Cash A/c
(iii) Branch Expenses A/c transferred to Branch Adjustment A/c	Branch Profit and Loss A/c (or) Dr. Branch Adjustment A/c Dr. To Branch Expenses A/c
9. Loading on Loss Wastage of Stock.	Branch Adjustment A/c Dr. To Branch stock A/c
10. Bad debts written off Discount, allowances allowed is Debtors	Branch Adjustment A/c (or) Dr. Branch Profit and Loss A/c To Branch Debtors A/c
11. Depreciation on Fixed Assets	Branch Adjustment A/c (or) Dr. Branch Profit and Loss A/c To Branch Fixed Assets A/c
12. Transfer of Profit/loss to General Profit and Loss A/c	Branch Adjustment A/c (or) Dr. Branch Profit and Loss A/c To General Profit and Loss A/c
(i) Profit	
(ii) Loss	Reverse Entry
13. Goods sent to Branch Account closed	Goods sent to Branch A/c Dr. To Purchases A/c

Proforma Branch Stock Account at Invoice Price

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	—	By Branch Cash A/c	—
To Goods sent to Branch A/c	—	(Cash Sales)	—
To Branch Debtors A/c	—	By Branch Debtors A/c	—
(Return by Customers to B.O.)	—	(Credit Sales)	—
To Goods sent to Branch A/c	—	By Goods sent to Branch A/c	—
(T/f of Goods from other Branch)	—	(Transfer of Goods to other Branch)	—
To Branch Adjustment A/c	—	By Branch Adjustment A/c	—
(Surplus)	—	(Load on Abnormal loss)	—
		By Branch Profit and Loss A/c	—
		(Cost of Abnormal loss)	—
		By Branch Adjustment A/c	—
		(Invoice price of Normal loss)	—
		By Balance c/d	—
		in hand	—
		in transit	—
	xx		xx

Illustration: 15

VRV Ltd., Delhi has a branch in Chennai to which goods are sent @ 20% above cost. The branch sells goods at cash and credit basis. Branch expenses are met partly from H.O. and partly by the branch. Following further details are given for the year ending on Dec 31, 2008.

	Rs	
Cost of Goods sent to Branch at cost		1,00,000
Goods received by Branch at Invoice Price		1,10,000
Credit Sales for the year at Invoice Price		82,000
Cash Sales for the year at Invoice Price		29,000
Cash remitted to H.O.		1,11,250
Expenses paid by H.O.		6,000
Bad Debts written off		375
Balances as on	Jan 1, 2008	Dec 31, 2008
	Rs	Rs
Stock	12,500 (cost)	14,000 (Invoice Price)
Debtors	16,375	13,000
Cash in Hand	2,500	1,250

Show necessary ledger accounts in the books of H.O. and calculate the profit and loss of the branch for the year ended Dec 31, 2008 under:

- Debtors Method
- Stock and Debtors Method

Solution: Stage I**Step 1: Debtors Method****In the Books of VRV Ltd., Delhi,
Chennai Branch Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d:		By Stock Reserve A/c	
Stock 12,500 + 20%	15,000	(Rs 15,000 × 20/120)	2,500
Debtors (opening)	16,375	Load	
Cash (opening)	2,500	By Goods sent to Branch A/c	
To Goods sent to		(Rs 1,20,000 × 20/120)	20,000
Branch A/c	1,20,000	By Bank A/c	
(Rs 1,00,000 + 20%)		(Remittance by branch)	
To Bank A/c	6,000	Cash Sales: 29,500	
(Expenses by H.O)		Cash received from Debtors: <u>81,750</u>	1,11,250
To Stock Reserve A/c		(Total Sales – Cash Sales)	
(Rs 24,000 × 20/120)	4,000	By Balance c/d	
Removing Load		* Stock (Transit + Cl. Stock)	24,000
To Net Profit t/f to P&L		(10,000 + 14,000)	
A/c	8,125	Debtors	13,000
		Cash	1,250
	<u>1,72,000</u>		<u>1,72,000</u>

Step 2**Memorandum Branch Stock Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	15,000	By Branch Debtors A/c	82,500
(opening + 20%)		(Credit Sales)	
To Goods sent to	1,20,000	By Branch Cash A/c	29,500
Branch A/c		(Cash Sales)	
(1,00,000 + 20%)		By Balance c/d	10,000
To Branch	1,000	Goods in transit (1,20,000 – 1,10,000)	
		Goods at Branch	14,000
	<u>1,36,000</u>		<u>1,36,000</u>

Step 3**Memorandum Branch Debtors Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	16,375	By Bad Debt	375
(opening)		By Branch Cash A/c	85,500
To Branch Stock A/c	82,000	(balancing figure)	
		By Balance c/d	13,000
	<u>98,875</u>		<u>98,875</u>

Step 4

Memorandum Branch Cash Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	2,500	By Bank A/c (Remittance to H.O.)	1,11,250
To Branch Stock A/c	29,500	By Expenses (Paid by H.O.)	6,000
To Branch Debtors A/c	85,500	By Expenses (B.O.)	5,000
To Branch A/c (Remittance from H.O.)	6,000	By Balance c/d	1,250
	<u>1,23,500</u>		<u>1,23,500</u>

Stage II: Stock and Debtors Method

Step 1

Branch Stock Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (Invoice + 20% = 12,500 + 20%)	15,000	By Branch Debtors A/c (already at invoice price)	82,500
To Goods sent to Branch A/c (Rs 1,00,00 + 20%)	1,20,000	By Branch A/c (Cash Sales given at invoice)	29,500
To Branch Adjustment A/c (excess of sales over invoice price)	1,000	By Balance c/d (i) Goods in Transit (Rs 1,20,000 – Rs 1,10,000)	10,000
		(ii) Stock Closing at Branch (given at Invoice Price)	14,000
	<u>1,36,000</u>		<u>1,36,000</u>

- Notes:** (i) Figures already given at Invoice Price entered as it is.
(ii) Figures that are not at Invoice Price are converted to Invoice Price and entered.
(iii) Only Invoice Price should be entered under Stock and Debtors System (always).

Step 2

Branch Debtors Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (opening – given)	16,375	By Bad Debts (given)	375
To Branch Stock A/c (Credit Sales at Invoice Price)	82,500	By *Branch A/c (balancing figure)	85,500
Given		By Balance c/d (closing–given)	13,000
	<u>98,875</u>		<u>98,875</u>

Step 3**Branch Cash Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (Given – Opening)	2,500	By Bank A/c (remittance to H.O.) (given)	1,11,250
To Branch Stock A/c (Cash Sales – Invoice Price)	29,500	By Branch adjustment A/c (expenses Paid by H.O.)	6,000
To Bank A/c (expenses H.O.)	6,000	By Branch Adjustment A/c (expenses paid by Branch) (balancing figure)	5,000
To Branch Debtors A/c (refer Step 2)	85,500	By Balance c/d	1,250
	<u>1,23,500</u>		<u>1,23,500</u>

Step 4**Branch Adjustment Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Stock Reserve A/c (Rs 24,000 × 20/120) (Closing Stock)	4,000	By Stock Reserve A/c (Rs 15,000 × 20/120)	2,500
To Gross Profit c/d	19,500	By Stock Reserve A/c	20,000
		By Branch Stock A/c (Branch Adjustment)	1,000
	<u>23,500</u>		<u>23,500</u>
To Branch Expenses (paid by H.O. Rs 6,000 Add by H.O. Rs 5,000)	11,000	By Gross Profit b/d	19,000
To Branch Debtors A/c (Bad Debts)	375		
To Net Profit	8,125		
	<u>19,500</u>		<u>19,500</u>

Step 5**Goods sent to Branch Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Branch Adjustment A/c	20,000	By Branch to Stock A/c	1,20,00
To Purchases A/c (Transfer)	1,00,000		
	<u>1,20,000</u>		<u>1,20,000</u>

Note: Branch Adjustment Account is treated here, just as in Trading and Profit and Loss Account, i.e. Gross Profit is ascertained first and then the same account is continued by transferring Gross Profit (arrived at) to the credit side and Net Profit is ascertained.

Sometimes, Branch Adjustment Account is closed after ascertaining Gross Profit. Then Branch Profit and Loss Account is opened and Net Profit/Loss is ascertained from that account.

Students can adopt either of these two methods.

Illustration: 16

Renu of Chennai has a branch in Delhi. Goods sent to the branch are invoiced at selling price, i.e. cost plus 33⅓%. From the following particulars, you are required to prepare the Branch Stock Account and Branch Adjustment Account as they would appear in the books of the H.O.

	Rs
Stock on Apr 1, 2008	60,000
Stock on Mar 31, 2009	48,000
Goods sent to Delhi during 2008–2009	4,00,000
At Invoice Price	
Sales at Branch	
On Credit	1,28,000
On Cash	3,00,000
Returns to H.O. at Invoice Price	20,000
Invoice value of goods lost by fire, not covered by Insurance	4,000

(B.Com. – Modified)

Solution

In the Books of Chennai H.O. Delhi Branch A/c

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
Apr 1, 2008	60,000	Mar 31, 2009	3,00,000
To Balance b/d (Opening Balance)		By Branch Cash A/c	
Mar 31, 2009	4,00,000	By Branch Debtors A/c (Credit Sales)	1,28,000
To Goods sent to Branch A/c (given)		By Goods sent to Branch A/c (return to H.O: given)	20,000
To Branch Adjustment A/c (surplus)	40,000	By Branch Adjustment A/c	1,000
		By Branch P & L A/c	3,000
		By Balance c/d (Closing Stock)	48,000
	5,00,000		5,00,000

Books of Chennai H.O. Delhi Branch Adjustment A/c

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Goods sent to Branch A/c (Return load: $20,000 \times 25/100$)	5,000	By Stock Reserve A/c b/d (Load op.st: $\text{Rs } 60,000 \times 25/100$)	15,000
		By Goods sent to Branch A/c (given)	1,00,000

Dr.**Cr.**

Particulars	Rs	Particulars	Rs
To Branch Stock A/c (loss of profit by firm)	1,000	By Branch Stock A/c (surplus)	40,000
To Stock Reserve A/c (load on Rs 48,000 × 1/4)	12,000		
To Branch Profit and loss A/c Gross Profit	1,37,000		
	<u>1,55,000</u>		<u>1,55,000</u>
To Branch Stock A/c (loss of cost)	3,000	By Branch adjustment A/c	1,37,000
To Net Profit and Loss A/c	1,34,000	(G.P. c/d)	
	<u>1,37,000</u>		<u>1,37,000</u>

Illustration: 17

Mr. Khan has a retail branch at Vijayawada. Goods are sent by the H.O. to the branch market at selling price which is cost plus 25%. All expenses of the branch are paid by the H.O. All cash collected by the branch (from customers and from cash sales) is deposited to the credit of H.O. From the following particulars of the branch, prepare Branch Stock Account, Branch Debtors Account, Branch Expenses Account and Branch Adjustment Account in the books of H.O.

	Rs
Debtors on Jan 1, 2008	36,000
Debtors on Dec 31, 2009	42,000
Inventory with the Branch at Invoice Price:	
On Jan 1, 2008	48,000
On Dec 31, 2009	51,000
Cash Sales during the year	1,80,000
Total Amount deposited in the H.O. Account during the year	3,81,000
Returned Goods to H.O. at Invoice Price	15,000
Salaries Paid	18,000
Rent Paid	12,000
Discount allowed to Customers	6,000
Bad Debts written off	3,000
Spoilage	6,000

[B.Com. (Hons) – Modified]**Solution**

- Notes:** 1. Goods sent to branch is the missing figure. It can be ascertained by preparing Branch Stock A/c.
2. Credit sales have to be ascertained after making adjustments in Branch Debtors Account. To compute that figure, first Branch Debtors Account is prepared.

Step 1**Vijayawada Branch Debtors Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d (Op Debtors)	36,000	By Cash A/c (Total Sales – Cash Sales)	2,01,000
To * Branch Stock A/c (balancing figure)	2,16,00	Rs 3,81,000 – 1,80,000	

(Continued)

(Continued)

<i>Dr.</i>			<i>Cr.</i>
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
		By Branch Adjustments A/c	
		Discount	6,000
		Bad Debts	<u>3,000</u>
		By Balance c/d	9,000
		(Cl. Debtors)	42,000
	<u>2,52,000</u>		<u>2,52,000</u>

Step 2**Vijaywada Branch Stock Account**

<i>Dr.</i>			<i>Cr.</i>
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d (Op. inventory)	48,000	Branch Cash Account (Cash Sales)	1,80,000
To Goods sent to Branch A/c (balancing figure)	4,20,000	By * Branch Debtors A/c (refer Step 1)	2,16,000
		By Goods sent to Branch A/c (return to H.O.)	15,000
		By Branch Adjustment A/c (spoilage-Loss)	6,000
		By Balance c/d (inventory on Dec 31, 2008)	51,000
	<u>4,68,000</u>		<u>4,68,000</u>

Step 3**Vijayawada Branch Adjustment Account for the Year Ending on Dec 31, 2008**

<i>Dr.</i>			<i>Cr.</i>
<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Stock Reserve A/c (Rs 51,000 × 20/100-load Close Stock)	10,200	By stock Reserve A/c (Rs 48,000 × 20/100) Load	9,600
To Branch Stock A/c (loss on spoilage)	1,200	By Goods sent to Branch A/c (Rs 84,000 – 3,000) Load (4,20,000 × 20,100 – 15,000 × 20/100)	81,000
To P & L A/c (Gross Profit)	<u>79,200</u> <u>90,600</u>		<u>90,600</u>
To Branch Expenses A/c (Rs 18,000 + 12,000)	30,000		
To Branch Debtors A/c (Disc + Bad Debts)	9,000	By Gross Profit b/d	79,200
To Branch Stock Account (Cost of Spoilage)	4,800		
Net Profit P & L A/c	<u>35,400</u>		
	<u>79,200</u>		<u>79,200</u>

Illustration: 18

Good Wear Garments sent goods to Kolkata Branch at cost plus 25%.

Further Information

	Rs
Opening Stock at Branch at its Cost	25,000
Goods sent to Branch at its Invoice Price	1,00,000
Loss in Transit at Invoice Price	12,500
Theft (at Invoice Price)	5,000
Loss in Goods (normal) at Invoice Price	2,500
Sales	1,27,500
Expenses	40,000
Closing Stock at Branch at Cost to Branch	30,000
Claims received from the Insurance Company for Loss in Transit	10,000

- Show (i) Branch Stock Account
 (ii) Branch Adjustment Account
 (iii) Branch Profit and Loss Account

Solution

Notes: In this question, both normal loss and abnormal loss are provided.

1. Normal loss will not be split into (1) Load and (2) Cost of the goods lost (already shown in the previous illustration). As normal loss affects gross profit only, it is treated in the Branch Adjustment Account accordingly.
2. Abnormal loss will be split into *load* and *cost of the goods* lost and as it affects both gross profit and net profit it is treated as:
 - (i) Load will be adjusted in the determination of gross profit
 - (ii) After ascertaining gross profit, the cost of goods lost will be adjusted in determining net profit.

Notes: Regarding Branch Stock Account, accounting treatment is same for both normal and abnormal loss. But the load is shown by debiting Branch Adjustment Account and the cost of the goods lost is shown by debiting Branch Profit and Loss A/c separately but both on the credit side of the branch account.

Claim received from insurance company is debited to insurance company and directly shown in Net Profit and Loss A/c (on the credit side).

Step 1

In the Books of Good Wear Garments

Kolkata Branch Stock Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	25,000	By Sales A/c	1,27,500
To Goods sent to Branch A/c	1,00,000	By Branch Adjustment A/c:	
To Branch Adjustment A/c		Loss-in-Transit (abnormal load)	2,500
Surplus	52,500	Loss by Theft	1,000
		(abnormal load)	
		Normal loss	2,500
			6,000
		By Branch Profit and Loss A/c:	
		Loss-in-Transit	10,000
		(cost of goods lost)	
		Theft	4,000
			14,000
		By Balance c/d	30,000
	1,77,000		1,77,000

Step 2

Kolkata Branch Adjustment Account
for the Year ending on...

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Kolkata Branch Stock A/c		By Balance b/d (load: OP. Stock)	5,000
Load Loss in Transit	2,500	By Good sent to Branch A/c (load)	20,000
Load Loss Theft	1,500	By Branch Stock A/c	
Normal Loss	2,500	Surplus	52,000
	6,000		
To Branch Profit Loss A/c	65,500		
(Gross Profit)			
To Balance A/c			
(Load Closing Stock)	6,000		
	77,500		77,500

Step 3

Branch Profit & and Loss Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Branch Expenses A/c	40,000	By Branch Adjustment A/c	65,500
To Branch Stock A/c		(Gross Profit c/d)	
Loss in Transit (Cost)	10,000	By Insurance Company	10,000
Loss by Theft (Cost)	4,000		
	14,000		
To Net Profit and Loss A/c	21,500		
	75,500		75,500

Note: As separate profit and loss account is asked in the question, it is shown separately.

Illustration: 19

VRV Ltd. invoices goods to its branch at cost plus 33⅓%. From the following particulars prepare the Branch Account, Branch Stock Adjustment Account and Branch Profit and Loss Account as they would appear in the books of the H.O.

	Rs
Stock in Hand (opening) at the Branch	75,000
Stock in Hand (closing) at the Branch	60,000
Goods sent to Branch (including goods)	5,00,000
Invoiced at Rs 10,000 to branch on Mar 31, 2009 (Not received before the close of year) (It closed its books on Mar 31, 2009)	
Return of Goods to H.O.	25,000
Credit Sales at Branch	1,90,000
Invoice valued of goods pilfered	5,000
Normal Loss at Branch due to Wastage and determination of Stock at Invoice Value	7,500
Cash Sales at Branch 60% of Net Sales	

Solution

The following factors are to be taken into note

- (i) Goods in transit (goods are despatched but not received yet)
- (ii) Normal loss is given as Rs 7,500 (wastage, etc.)
- (iii) Abnormal loss is shown as Rs 5,000 (pilferage)
- (iv) “Surplus” is to be treated, i.e. from Branch Stock A/c it has to be taken to Branch Adjustment A/c to ascertain Gross Profit.

Step 1**Branch Stock Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (Opening sStock)	75,000	By Brach Cash A/c	2,85,000
To Goods sent to Branch A/c (Given)	5,00,000	(Cash Sales) (Rs 1,90,000 × 60/40)	
To Branch Adjustment A/c Surplus	7,500	(Credit Sales : 60% of Net Sales)	
		By Branch Debtors A/c	1,90,000
		(Credit Sales – Given)	
		By Goods sent to Branch A/c	25,000
		(Returns to H.O.)	
		By Branch Adjustment A/c	1,250
		(Rs 5,000 × 25/100)	
		By Branch P & L A/c (Cost of Abnormal Loss)	3,750
		By Branch Adjustment A/c	7,500
		(In voice Price : Normal Loss)	
		By Balance c/d	
		In hand	60,000
		In transit	10,000
	5,82,500		5,82,500

Step 2**Branch Adjustment Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Branch stock A/c (Load – Abnormal Loss)	1,250	By Stock Reserve A/c (Rs 75,000 × 25/100)	18,750
To Branch Stock A/c (Load – Normal Loss)	7,500	By Goods sent to Branch A/c (Rs 5,00,000 – 2,500 × 25/100)	1,18,750
To Stock Reserve A/c (Rs 70,000 × 25/100)	17,500	By Branch Stock A/c Surplus	7,500
To Gross Profit t/f Profit and Loss A/c	1,18,750		
	<u>1,45,000</u>		<u>1,45,000</u>

Step 3**Branch Profit and Loss Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Branch Stock A/c (Cost of Abnormal Loss)	3,750	By Branch Adjustment A/c (Gross Profit b/d)	1,18,750
To (Net Profit) Profit and Loss A/c	1,15,000		
	<u>1,18,750</u>		<u>1,18,750</u>

Illustration: 20

Mr. Raj having a H.O. at Chennai, opened several branches at Mumbai, Delhi, Kolkata and Cochin. All the purchasing and administration is done at the H.O. Branches were also allowed to purchase locally. Branches sell both for cash and on credit terms, but all invoices for credit sales are invoices from Chennai and payments from credit customers received there. The branches are expected to achieve a profit of 50% on cost price. The following details relate to the Delhi Branch for the first six months of 2009.

	Rs
Goods as on Jan 1, 2009 at branch at Cost Price	28,000
Debtors as on Jan 1, 2009 at branch	9,000
Goods received by the branch at Selling Price	1,80,000
Cash Sales	1,02,000
Credit Sales	60,000
Transfer from other branches to Delhi branch at Selling Price	12,000
Transfer to other branches to Delhi branch at Selling Price	21,000
Goods returned to H.O. at Selling Price	6,000
Cash received by H.O. from Debtors	53,000
Bad Debts written off	2,000
Goods returned by Credit Customers to Branch	2,400
Goods returned by Credit Customers to H.O.	1,200
Goods purchased by Delhi Branch from the Local Suppliers at cost	15,000

Expenses at the Branch	7,500
Stock as on June 30, 2009 at Delhi Branch	
From H.O. at Selling Price	45,000
From Goods purchased locally	3,000

Further Information

- (i) Goods amounting to Rs 6,000 at cost to H.O. were in transit.
- (ii) On Jan 1, 2009, the branch had furniture and fixtures at a book value of Rs 20,000. Depreciation at 10% is to be provided per annum.
- (iii) Goods purchased locally were sold at a profit of 25% on sale price.

Prepare Branch Stock Account, Branch Debtors Account and Delhi Branch Account.

Solution**Step 1****Delhi Branch Stock Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (Rs 28,000 + Rs 14,000)	42,000	By Branch Cash A/c (cash sales)	1,02,000
To Goods sent to Branch A/c (Rs 1,80,000 + Rs 9,000)	1,89,000	By Branch Debtors A/c (credit sales)	60,000
To Goods sent to Branch A/c (transfer for other branches)	12,000	By Goods sent to Branch A/c (transfer to branches)	21,000
To Branch Debtors A/c	1,200	By Goods sent to Branch A/c	1,200
To Branch Cash A/c (local purchases)	15,000	By Goods sent to Branch A/c	6,000
To Branch Adjustment A/c (Rs 15,000 × ⅓)	5,000	By * Shortage (balancing figure)	18,400
To Branch Debtors A/c Rs 2,400	2,400	By Balance c/d:	45,000
		From H.O.	
		Local Purchases Rs 3,000 = Rs 1,000)	4,000
		Transit	9,000
	<u>2,66,600</u>		<u>2,66,600</u>

Step 2**Delhi Branch Debtors Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	9,000	By Branch Stock A/c	2,400
To Branch Stock A/c	60,000	By Branch Stock A/c	1,200
		By Branch Cash A/c	53,000
		By Branch P & L A/c	2,000
		By Balance C/d	10,000
	<u>69,000</u>		<u>69,000</u>

Step 3

Delhi Branch Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d		By Stock Reserve A/c	14,000
Stock	42,000	By Goods sent to Branch A/c	57,600
Debtors	9,000	(1,89,000 + 12,000 – 21,000 – 600 – 1,200) × 50/150)	
Furniture and Fixture	20,000	By Bank A/c (Remittances)	
To Goods sent to Branch A/c	1,89,000	Cash Sales	1,02,000
To Goods sent to Branch A/c	12,000	From Debtors	53,000
To Branch Cash A/c	15,000	By Goods sent to Branch A/c	21,000
To Branch Cash A/c (expenses)	7,500	By Goods to Branch A/c	6,000
To Stock and Reserve A/c (15,000 + 3,000)	18,000	By Goods sent to Branch A/c	1,200
To Profit Loss A/c	28,700	By Balance c/d	
		Stock Form H.O.	45,000
		Local Purchases	3,000
		In Transit	9,000
		Debtor	10,400
		By Furniture and Fixtures	
		20,000 – (20,000 × 10/100 × 6/12)	19,000
	3,41,200		3,41,200

Illustration: 21

Rainbow & Co. a retail shop at Agra under the supervision of a manager. The ratio of gross profit sales is constant at 25% throughout the year to March 31, 2009.

Branch manager is entitled to a commission of 10% of profit earned by his branch, calculated before charging his commission but subject to a deduction from such commission equal to 25% of any ascertained deficiency of branch stock. All goods were supplied to the branch by the H.O.

From the following information, show the Agra Branch A/c for the year ending Mar 31, 2008–2009.

	Rs
Stock on Apr 1, 2008 (at cost)	18,684
Goods sent to Branch (at cost)	72,420
Sales	90,320
Manager's Commission paid on Account	600
Chargeable Expenses	12,280
Stock at the End (at Selling Price)	30,832

Solution

Agra Branch Account for the year ending on Mar 31, 2009

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Stock (at cost)	18,684	By Sales A/c	90,320
To Goods sent to Branch A/c (cost)	72,420	By Stock:	23,124
To Cash A/c (expenses)	12,280	Rs 30,832	
To Net Profit subject to Manager's Commission	10,060	Less: Gross Profit Rs 7,708	
	1,13,444		1,13,444

Shortage or Stock deficiency is computed by Preparing Stock A/c at the loaded price**Branch Stock A/c**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Stock (Sales Price) (Rs 18,684 + 6,228)	24,912	By Cash (Sales Price)	90,320
To Goods sent to Branch A/c	<u>96,560</u>	* Shortage (balancing figure)	320
	1,21,472	By Stock (invoice)	<u>30,832</u>
			1,21,472

Deficiency to be charged to manager = $(Rs\ 320 \times 75/100) \times 25/100 = Rs\ 60$

Working Notes

	Rs
Calculation of Manager's Commission	10,060
Net Profit arrived at before charging Commission	1,006
10% of the profit before charging Commission	60
Less: 25% of Stock Deficiency	—
Commission for 20082009	946
Less: Paid during the year	<u>600</u>
Commission yet to be paid	<u>346</u>

Illustration: 22

Fortune Ltd. with its H.O. in Goa invoiced goods to its branch Bhubaneswar at 20% less than the catalogue price which is cost plus 50% with instructions that cash sales were to be made at invoice price and credit sales at catalogue price less discount at 15% on prompt payment. From the following particulars, prepare Branch Stock Account, Branch Adjustment Account and Branch Profit and Loss Account for the year ended Mar 31, 2009 in the H.O. Books.

	Rs
Stock on Apr 1, 2008 (Invoice Price)	24,000
Debtors received Apr 1, 2008	20,000
Goods received from (H.O) at Invoice Price	2,64,000
Sales (Cash)	92,000
Sales (Credit)	2,00,000
Cash received from Debtors	1,71,270
Discount allowed to Debtors	26,730
Expenses at the Branch	12,000
Remittances to H.O.	2,40,000
Debtors on Mar 31, 2009	22,000
Cash in Hand on Mar 31, 2009	11,270
Stock on Mar 31, 2009	30,000

It was further provided that a part of the stock was lost by fire (not covered by insurance) during the year whose value is to be ascertained and a provision should be made for discount to be allowed to debtors as on Mar 31, 2009, on the basis of year's trend of prompt payment.

[B.Com (Hons) – Modified]

Solution**Step 1:** Sales are made at more than Invoice Price

Let Cost Price be Rs 100

Invoice Price is 20% less than catalogue price

But, Catalogue Price is Cost Plus 50%

i.e. Catalogue Price is Rs 100 + Rs 50 = Rs 150

i.e. Invoice Price = [Rs 150 – (20% of Rs 150)]

= Rs 150 – Rs 30 = Rs 120

Step 2: Calculation of Provision for Discount on Debtors: Rs 26,730

Total amounts of debtors who made payments during the year = (Rs 171,270 + Rs 26,730)
= Rs 1,98,000

On debtors of Rs 1,98,000 discount paid is Rs 26,730

i.e. On debtors of Rs 22,000 = $\frac{\text{Rs } 26,730}{\text{Rs } 1,98,000} \times \text{Rs } 22,000$
discount to be allowed

Provision for Discount on Debtors for 2008–2009 = Rs 2,970

Step 3**Bhubaneswar Branch Stock Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (open stock)	24,000	By Branch Cash A/c (Cash Sales)	92,000
To Goods sent to Branch A/c (Given – Invoice Price)	2,64,000	By Branch Debtors A/c (Credit Sales: Catalogue Price)	2,00,000
To * Branch Adjustment A/c (invoice price of goods sold on Credit = $2,00,000 \times 120/150 = \text{Rs } 1,60,000$ Rs 2,00,000 – Rs 1,60,000 = Rs 40,000)	40,000	By Branch Adjustment A/c (loss by fire)	1,000
		By * Branch Profit and Loss A/c (balancing figure)	5,000
		By Balance c/d: (Closing Stock)	30,000
	<u>3,28,000</u>		<u>3,28,000</u>

Step 4**Bhubaneswar Branch Stock Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Stock Reserve A/c ($30,000 \times 20/120$)	5,000	By Stock Reserve A/c (Load $24,000 \times 20/120$)	4,000
To Bhubaneswar Branch Stock A/c (Load on Goods destroyed by Fire $5,000 \times 20\%$)	1,000	By Goods sent to Branch A/c By *Branch Stock A/c (Excess of Catalogue Price over Invoice Price)	44,000
To Branch P&L A/c (Gross Profit)	82,000	(Ref Branch Stock A/c)	40,000
	<u>88,000</u>		<u>88,000</u>

Step 5**Bhubaneswar Branch Profit and Loss Account for the year ending on Mar 31, 2009****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Branch Expenses A/c (Rs 12, 000 + 26,730)	38,730	By Branch Adjustment A/c (Gross Profit c/d)	82,000
To Branch Stock A/c (Cost of Loss by Fire)	5,000		
To Provision for Discount A/c (Ref: Step 2)	2,970		
To (NET PROFIT) Profit and Loss A/c	35,300		
	<u>82,000</u>		<u>82,000</u>

5.8 Final Account System

- Profit or loss at the branch is calculated by preparing Trading and Profit and Loss Account in the place of branch account under this method.
- Under this method branch account is also prepared but it is different from the branch account that we discussed under Debtors System.
- According to this method, branch account is only personal account.

5.9 Items to be Shown in the Branch Account

Under this method, the following items are shown on the debit side of branch account:

5.9.1 Final Account System

- Balances of all assets in the beginning
- Goods sent to Branch Less Returns (at cost price)
- Cash sent to branch by H.O. for expenses
- Profit (transferred from Branch Trading and Profit and Loss Account)
- Balance of all liabilities at the end

5.9.2 Items to be Recorded in the Branch Account under Final Account System

The following items are shown on the credit side of the branch account:

- Balances of all liabilities in the beginning
- Cash remitted to H.O.
- Loss (transferred from Branch Trading and Profit and Loss Account)
- Balance of all assets at the end

Illustration: 23

A Surat merchant has a branch at Tiruchirapalli (TN) to which charges the goods at cost plus 25%. The Tiruchirapalli Branch keeps its own sales ledger and transmits all cash received to the H.O. every day. All expenses are paid from the H.O. The transactions were as follows:

	Rs
Stock on Apr 1, 2009	80,000
Debtors on Apr 1, 2008	800

	Rs
Petty Cash	800
Cash Sales	20,800
Goods sent to Branch	1,40,000
Collections from Ledger Account	1,52,000
Goods returned to H.O.	2,000
Bad Debts	1,600
Allowances to Customers	1,400
Return Inwards	3,000
Cheques sent to Branch:	
Rent	4,000
Salaries	8,000
Stock as on Mar 31, 2009	1,00,000
Debtors as on Mar 31, 2009	14,000
Petty Cash (including Miscellaneous	600
Income Rs 200 not remitted on Mar 31, 2009)	

Prepare the Branch Trading and Profit and Loss Account for the year ending on Mar 31, 2009 and the branch accounts in the books of the H.O.

Solution

Step 1

In the Books of Surat H.O. Tiruchirapalli Branch Trading and Profit and Loss A/c for the year ending on Mar 31, 2009

Dr.		Rs	Cr.		Rs
Particulars		Rs	Particulars		Rs
To Opening Stock: (Rs 80,000 – 16,000)		64,000	By Sales		
To Goods sent to Branch Account:	1,40,000		Cash	20,800	
Less: Returns:	<u>2,000</u>		Credit	<u>1,71,200</u>	
	1,38,000		Less: Returns	<u>1,92,000</u>	
Less: Load	<u>27,600</u>	1,10,400		<u>3,000</u>	1,89,000
To Salaries		8,000	By Closing Stock (Rs 1,00,000 – 20,000)		80,000
To Gross Profit c/d		<u>86,600</u>			
		<u>2,69,000</u>			<u>2,69,000</u>
To Bad Debts		1,600	By Gross Profit b/d		86,600
To Rent		4,000	By Accrued Income		200
To Petty Expenses		400			
To Allowances		1,400			
To Net Profit t/f to General Profit and Loss A/c		79,400			
		<u>86,800</u>			<u>86,800</u>

Step 2

Branch Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d Stock	64,000	By Balance c/d	
Debtors	800	Bank (1,52,000 + 20,800)	1,72,800
Petty Cash	800	Stock	80,000
To Goods sent to Branch A/c (less returns at cost)	1,10,400	Debtors	14,000
To Bank A/c (Expenses)	12,000	Petty cashCash	400
To Net Profit (from Trading & and P & L A/c)	79,400	Accrued Income	200
	<u>2,67,400</u>		<u>2,67,400</u>

Illustration: 24

Jagannath Steels Ltd with its H.O. at Cuttack has a branch at Delhi. Information relating to Delhi branch is furnished for the year ended Mar 31, 2009.

	Rs
Stock at Branch on Apr 1, 2008	1,57,000
Goods sent to the Branch during the year	4,56,000
Total Sales at Branch (including Rs 1,97,000) for Cash Sales	7,33,000
Cash received from Debtors	5,22,000
Branch Debtors on Apr 1, 2008	1,69,000
Petty Cash on Apr 1, 2008	1,100
Goods returned by the Expenses:	39,000
Salary	1,28,000
Petty Cash	26,000
Rent	30,000
Stock at Branch on Mar 31, 2009	1,88,000
Petty cash at Branch on Mar 31, 2009	900

Prepare a Branch Trading and Profit and Loss Account and Delhi Branch Account in the books of Cuttack H.O.

Solution

Step 1

**In the Books of Cuttack H.O. Delhi Branch Trading and Profit and Loss Account
for the year ending on Mar 31, 2009**

Dr.			Cr.		
Particulars		Rs	Particulars		Rs
To Stock A/c (Opening)		1,57,000	By Sales A/c	Rs	
To Goods sent to Branch A/c (Rs 4,56,000 – 39,000) returns		4,17,000	Cash	1,97,000	
To Gross Profit c/d		<u>3,47,000</u>	Credit:	<u>5,36,000</u>	7,33,000
		<u>9,21,000</u>	By Stock A/c (closing)		<u>1,88,000</u>
					<u>9,21,000</u>

(Continued)

(Continued)

Dr.**Cr.**

Particulars		Rs	Particulars		Rs
To Sundry Expenses			By Gross Profit b/d		3,47,000
Salary	1,28,000				
Petty Cash	26,200				
Rent	<u>30,000</u>	1,84,200			
To General Profit and Loss A/c		<u>1,62,800</u>			
		3,47,000			<u>3,47,000</u>

Step 2**Memorandum Branch Debtors Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d	1,69,000	By Cash A/c	5,22,000
To Sales	5,36,000	By Balance c/d	1,83,000
	<u>7,05,000</u>	(Balancing Figure)	<u>7,05,000</u>

Step 3**Delhi Branch Account****Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d		By Bank A/c	Rs
Branch Debtors	1,69,000	Sales Cash	1,97,000
Stock	1,57,000	Sales Debtors	<u>5,22,000</u>
Petty Cash	1,100	By Balance c/d	7,19,000
To Goods sent to Branch	Rs		
4,56,000			
Less: Returns	<u>39,000</u>		
To Bank (All Expenses)	4,17,000		
To Net Profit	1,84,000		
	<u>1,62,800</u>		
	10,90,000		<u>10,90,000</u>

Illustration: 25

A Delhi merchant opens a branch in Chennai which trades independently of the H.O. The transactions of the branch for the year ended Mar 31, 2009 are as follows.

	Rs		Rs
Goods supplied by H.O.	60,000	Cash paid to Creators	42,600
Purchases from outside:		Expenses paid by Branch	26,850
Cash	9,000	Furniture paid by Branch	10,500
Credit	46,500	Cash received from H.O. initially	12,000

	Rs		Rs
Sales			
Cash	13,800	Remitted to H.O.	33,000
Credit	1,05,000		
Cash received from Customers	91,200		

Prepare the Branch Trading and Profit and Loss Account after and Branch Account after taking into account the following:

- The accounts of fixed assets are maintained in H.O. Books
- Write off Depreciation on Furniture @ 20% p.a.
- A remittance of Rs 6,000 from the branch to H.O. is in transit
- The branch closing stock is valued at Rs 36,000

Solution

Step 1

In the Books of Delhi H.O.

(1) Chennai Branch Trading and Profit and Loss Account for the Year ended on March 31, 2009

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Purchases A/c	55,500	By Sales A/c	1,18,800
To Goods sent to Branch A/c	60,000	By Stock at End	36,000
To Gross Profit c/d	39,300		<u>1,54,800</u>
	<u>1,54,800</u>		
To Expenses A/c	26,850	By Gross Profit A/c	39,300
To Depreciation A/c	1,050		
(Rs 10,500 × 20/100 × 6/12)			
To Net Profit	11,400		
	<u>39,300</u>		<u>39,300</u>

Step 2

Memorandum Chennai Branch Cash Account

Particulars	Rs	Purchases	Rs
H.O.	12,000	Purchases	9,000
Sales	13,800	Creditors	42,600
Debtors	91,200	Expenses	26,850
		H.O. (Remittances)	33,000
		Balance c/d	<u>5,550</u>
	<u>1,17,000</u>		<u>1,17,000</u>

Step 3

Memorandum Chennai Branch Debtors Account

Particulars	Rs	Purchases	Rs
Sales	1,05,000	Cash	91,200
	<u>1,05,000</u>	Balance c/d	<u>13,800</u>
			<u>1,05,000</u>

Step 4**Memorandum Chennai Branch Creditors Account**

Particulars	Rs	Purchases	Rs
Cash	42,600	Purchases	46,500
Balance c/d	<u>3,900</u>		
	46,500		<u>46,500</u>

Step 5**Chennai Branch Account**

Particulars	Rs	Purchases	Rs
To Goods sent to Branch A/c	60,000	By Cash A/c (Remittances)	33,000
To Depreciation (Branch Furniture A/c)	1,050	By Branch Furniture A/c (Paid by Branch)	10,500
To Bank (expenses) H.O.	12,000	By Balance c/d	40,950
To Net Profit			
Profit and Loss Account	<u>11,400</u>		
	84,450		<u>84,450</u>

5.10 Wholesale Branch Method

- Under this system, the H.O. supplies goods to the wholesalers and sells them through retail branches also.
- Goods are supplied at the same price to both these categories.
- The retail branches will sell the goods at catalogue price that is higher than the wholesale price.
- The difference between the retail price and wholesale price is called “additional profit.”
- This factor “additional profit” plays a key role in determining the profit by opening a branch by the H.O. To put it other way, the additional profit (to be earned by opening a branch) is assessed by the H.O. whether by opening a branch can earn more profit.
- This method provides an answer to this question.

5.10.1 Accounting Treatment

Under this method also, Branch Trading and Profit and Loss Account is prepared. But the treatment for stock differs here. (The difference between wholesale price and its cost to H.O.). Load factor is the important component to be in the stock under head stock Reserve A/c.

The relationship between cost, wholesale profit and retail profit may be presented in the form of equation as follows:

- Wholesale Profit = Wholesale Price – Cost
- Retail Profit = Retail Price – Wholesale Price

Profit made by the H.O. may be explained by way of illustrations by employing this method – “Wholesale Branch Method.”

Illustration: 26

	Rs
Opening Stock at a Branch	1,80,000
Goods sent to Branch	13,20,000
Sales at the Branch	13,20,000

Compute the value of closing stock at the branch in each of the following alternatives:

Case (1) If H.O. invoices goods to its branch at cost plus 25% goods sold to customers at cost plus 100%.

Case (2) If the H.O. invoices goods to its branch at 20% less than the list price which is cost plus 100%.

Case (3) If the H.O. sends goods at cost plus 20%. Branch sells goods at list price which is wholesale price plus 10%.

Solution

Step 1: First understand the terms: List Price
Catalogue Price
Retail Price
↓
All denote the same meaning

Step 2: Second, know the Invoice Price
if it is shown as cost plus....% + Rs 100 +% =Amount
sells the goods at cost plus 100% means = Rs 100 + Rs 100

Step 3: It can be best explained by taking case (1) first

Let Cost Price be taken as	Rs 100	(Assumption)
Add: Wholesale Profit	25	(Invoice Cost plus 25% 100 + Rs 25)
Wholesale Price	125	
Add: Retail Profit	?	

List Price/Retail Price = Rs 200, i.e. sold = cost plus 100% (Rs 100 + Rs 100) = Rs 200

From the relationship equation:

$$\begin{aligned}\text{Retail Profit} &= \text{Retail Price} - \text{Wholesale Price} \\ &= \text{Rs } 200 - \text{Rs } 125 = \text{Rs } 75\end{aligned}$$

Or

Having known any of the four figures, one missing figure in this case Retail Profit is arrived at as the balancing figure Rs 75.

Closing Stock = Opening Stock + Goods sent to Branch – Wholesale Price of Sales.

Step 4: Take Case (i)

Closing Stock = Rs 1,80,000 + Rs 13,20,000 – Wholesale Price of Sales
At Branch

But how to find wholesale price of sales?

Now apply the ratio = Wholesale Price/Retail Price Ratio

$$\begin{aligned}&= 125/200 \times \text{Rs } 13,20,000 \\ &= \text{Rs } 8,25,000 \\ &= \text{Rs } 1,80,000 + \text{Rs } 13,20,000 - \text{Rs } 8,25,000 \\ &= \text{Rs } 6,75,000\end{aligned}$$

Step 5: Now take Case (ii)

	Rs	
Let Cost Price be	100	(Assumption)
Add: Wholesale Profit	?	(Rs 160 – Rs 100) = Rs 60

Wholesale Price	160	(Rs 200 – Rs 40)
Add Retail Profit	<u>40</u>	(Less than 20% given for Rs 200 = Rs 40)
Retail Price	<u>200</u>	

(Proceed from reverse if it is less than list price)

$$\text{Ratio} = 160/200$$

Apply the equation,

$$\begin{aligned}\text{Closing Stock} &= \text{Opening Stock} + \text{Goods sent to Branch} - \text{Wholesale Price of Sales at Branch} \\ &= \text{Rs } 1,80,000 + \text{Rs } 13,20,000 - (\text{Wholesale Price Sales } 160/200 \times \text{Rs } 13,20,000) \\ &\quad 10,56,000 \\ &= \text{Rs } 1,80,000 + \text{Rs } 13,20,000 - \text{Rs } 10,56,000 \\ &= \text{Rs } 15,00,000 - \text{Rs } 10,56,000 \\ &= \text{Rs } 4,44,000\end{aligned}$$

Step 6: Now take Case (iiii)

	Rs	
Let Cost Price	100	(Assumption)
Add: Wholesale Profit	<u>20</u>	(sends goods at cost plus 20%)
Wholesales Price	120	
Add: Retail Profit	<u>12</u>	(List Price = Wholesale Price + (given 10%))
List Price	132	

$$\begin{aligned}\text{Ratio} &= 120/132 & \text{Wholesale Price of Sales} &= \text{Rs } 12,00,000 \\ & & & 120/132 \times \text{Rs } 13,20,000\end{aligned}$$

i.e. Closing Stock = Rs 1,80,000 + Rs 13,20,000 – Rs 12,00,000
at Branch = Rs 3,00,000

Illustration: 27

	Rs
Opening Stock at H.O.	18,000
Purchases by H.O.	2,00,000
Goods sent to Branch	1,32,000
Sales at H.O.	1,32,000

Compute the value of closing stock at H.O. in each of the following alternative cases:

Case (1) If H.O. invoices goods to its branch at 20% less than the list price which is cost plus 100%

Case (2) If the H.O. invoices goods to its branch at cost plus 25%. Goods are sold to customers at cost plus 100%.

Case (3) If H.O. sells goods at cost plus 20%. Goods are sold to customers at the list price which is whole-sale price plus 10%.

Solution

Step 1: Closing Stock = Opening Stock + Purchases – Cost of Goods sent to Branch – Cost of Sales

Note the difference, i.e. in the previous illustration we calculated the ratio of wholesale price to retail price to find the value of wholesale price of sales. (Branch)

Now, ratio is to be calculated to find the values of cost of goods sent to branch (H.O.) and another ratio to compute the value of cost of sales (H.O.)

Step 2

	Rs		
Case (1) Let cost be	100		(Assumption)
Add: Wholesale Profit:	<u>60</u>	↑	(Rs 160 – 100)
Wholesale Price	160	↑	(Rs 2,000 – 40)
Add: Retail Profit	<u>40</u>	↑	(20% less)
Retail Price	200	↑	
Cost of Goods sent Ratio =	100/160		
Cost of Sales Ratio =	100/200		
Closing Stock = Opening Stock + Purchases – Cost of Goods sent to Branch – Cost of Sales (at H.O.)	= Rs 18,000 + 2,00,000 – (100/160 × 1,32,000) – (100/200 × 1,32,000)		
	= Rs 18,000 + 2,00,000 – 82,500 – 66,000		
	= Rs 69,500		

Step 3

Case (2) Closing Stock (H.O.) =	Rs 18,000 + 2,00,000 – (100/125 × 1,32,000) – (100/125 × 1,32,000)
	= Rs 46,400

Step 4

Case (3) Closing Stock (H.O.) =	Rs 18,000 + 2,00,000 – (100/120 × 1,32,000) – (100/132 × 1,32,000)
	= Rs 8,000

Illustration: 28

A H.O. invoices goods to its branches at 20% less than the list price. Customers of H.O. and the branch are charged for goods sold to them at cost plus 100% from the following particulars. Ascertain the profit made at the H.O. and the branch.

	H.O. Rs	Branch Rs
Opening Stock at Cost (at Invoice Price for the Branch)	20,000	8,000
Purchases	2,00,000	–
Goods sent to Branch (Invoice Price)	48,000	–
Sales	3,00,000	40,000
Expenses	43,000	2,000

Solution**Step 1: Calculation of Cost-Price Ratio**

	Rs		
Let Cost Price	100		(Assumption)
Add: Wholesale Profit	<u>?</u>	↑	(160 – 100) = Rs 60
Wholesale Price	160	↑	(200 – 40) = 160
Add: Retail Profit	<u>40</u>	↑	(20% less = 20/100 × 200 = Rs 40)
List Price:	200		(Cost Plus 100% = 200)

- (i) Ratio for Wholesale Price = [160 (Wholesale Price)/200 (List Price)]
(ii) Ratio for Cost of Goods sent = [100(Cost Price)/160 (Wholesale Price)]
(iii) Ratio for Cost of Goods sold = [100(Cost Price)/200 (List Price)]

Step 2: Calculation of Closing Stock at H.O.

$$\begin{aligned}
 \text{Closing Stock at H.O.} &= \text{Opening Stock} + \text{Purchases} - \text{Cost of Goods sent to Branch} \\
 &\quad - \text{Cost of Goods sold at H.O.} \\
 &= \text{Rs } 20,000 + \text{Rs } 2,00,000 - (\text{Rs } 48,000 \times 100/160) - (\text{Rs } 3,00,000 \times 100/200) \\
 &= \text{Rs } 20,000 + \text{Rs } 2,00,000 - (\text{Rs } 30,000) - (\text{Rs } 1,50,000) \\
 &= \text{Rs } 40,000
 \end{aligned}$$

Step 3: Calculation of Closing Stock at branch

$$\begin{aligned}
 \text{Closing Stock at Branch} &= \text{Opening Stock} + \text{Goods sent} - \text{Wholesale Price of Goods sold} \\
 &= \text{Rs } 8,000 + \text{Rs } 48,000 - (160/200 \times \text{Rs } 40,000) \\
 &= \text{Rs } 56,000 - (\text{Rs } 32,000) \\
 &= \text{Rs } 24,000
 \end{aligned}$$

Step 4

**Head Office Trading and Profit and Loss Account for the year ending
Dec 31, 2008**

<i>Dr.</i>		<i>Cr.</i>	
Particulars	Rs	Particulars	Rs
To Opening Stock A/c	20,000	By Sales A/c	3,00,000
To Purchases A/c	2,00,000	By Goods to Branch A/c	48,000
To Gross Profit c/d	1,68,000	By Closing Stock A/c (Ref: Step 2)	40,000
	<u>3,88,000</u>		<u>3,88,000</u>
To Expenses A/c	43,000	By Gross Profit b/d	1,68,000
To Stock Reserve A/c (Unrealised Profit – Closing Stock: Rs 24,000 × 60/160)	9,000	By Stock Reserve A/c (Opening Stock Unrealised Profit)	3,000
To Net Profit	1,19,000		
	<u>1,71,000</u>		<u>1,71,000</u>

Step 5

Branch Trading and Profit and Loss Account for the Year ending Dec 31, 2008

<i>Dr.</i>		<i>Cr.</i>	
Particulars	Rs	Particulars	Rs
To Opening Stock A/c	8,000	By Sales A/c	40,000
To Goods received from H.O. A/c	48,000	By Closing Stock A/c (Ref: Step 2)	24,000
To Gross Profit c/d	8,000		
	<u>64,000</u>		<u>64,000</u>
To Expenses A/c	2,000	By Gross Profit b/d	8,000
To Net Profit	6,000		
	<u>8,000</u>		<u>8,000</u>

Illustration: 29

Rose Ltd operates a number of retail shops of which goods are invoiced at wholesale price which is cost plus 25% shops sell the goods at the list price which is cost plus 100% from the following particulars. Prepare the necessary ledger accounts:

	Rs
Opening Stock at Shops	600
Goods sent to Shops	2,40,000
Goods returned by Shops	2,400
Goods sold at Shops	1,56,000
Goods returned by Customers at Shops	6,000
Goods destroyed by Accident (Retail Value)	1,920
Expenses at the Shop	30,450

Solution**Step 1**

Price – Profit Ratio	Rs
Cost Price be	100 (Assumed)
Add: Wholesale Profit	<u>25</u> (Wholesale Price is Cost plus 25% Given)
Wholesale Price	125
Add: Retail Profit	<u>75</u> (Rs 200 – Rs 125)
List Price	200 (Cost plus 100% Rs 100 + Rs 100 = Rs 200)

Step 2**Branch Stock Account**

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance b/d	600	By Sales	1,56,000
To Goods sent to Branch : 2,40,000		Less: Returns	<u>6,000</u>
Less: Returns 2,400	2,37,600	By Abnormal Loss	1,50,000
To Gross Profit t/f to Branch		(Rs 1,920 × 125/200)	1,200
Profit and Loss A/c	56,250	By Balance c/d	1,43,250
[(Rs 1,56,000 – 6,000) × 75/200]			
	<u>2,94,450</u>		<u>2,94,450</u>

Step 3**Branch Profit and Loss A/c**

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Branch Expenses	30,450	By Gross Profit b/d	56,250
To Abnormal Loss	1,200		
To Net Profit transferred	24,600		
To H.O. Profit and Loss A/c			
	<u>56,250</u>		<u>56,250</u>

Step 4**Branch Stock Reserve Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To H.O. Profit and Loss A/c (Transfer of Opening Reserve)	120	By Balance b/d (Rs 600 × 25/125)	120
To Balance c/d (Rs 1,43,250 × 25/125)	28,650	By H.O. Profit and Loss A/c	28,650
	<u>28,770</u>		<u>28,770</u>

Step 5**An Extract of H.O. Profit and Loss Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Stock Reserve A/c (Provision of Unrealised Profit on Branch Closing Stock)	28,650	By Balance Profit and Loss A/c (Net Profit)	24,600
		By Stock Reserve A/c (transfer of Provision for Unrealised Profit on Branch Opening Stock)	120

OBJECTIVE 6: INDEPENDENT BRANCHES

- Branches maintain a complete record of transaction.
- The H.O. permits a few branches to operate independently relating to purchase, sales and the like transactions but well within the control of H.O.
- These independent branches maintain a complete record of transactions and at the end of accounting period they submit a copy of final accounts (Receipts and Payments A/c and Trial Balance) to the H.O. for incorporation in the books of H.O.
- The net operating results of the branches (profit or loss) are passed onto the H.O. by the independent branches.
- The connection link between the branches and H.O. is maintained by way of keeping
 - Branch accounts in the books of the H.O.
 - H.O. account in the book of the branches
- For independent branches, the accounting treatment for the following transactions deserves much importance

Accounting Treatment for some transactions under this method

1. Accounting for Fixed Assets
2. Accounting for Goods-in-transit and Cash-in-transit
3. Accounting for Head office expenses to be charged to branch
4. Accounting for Inter-branch Transactions

6.1 Accounting for Fixed Assets

The accounts of branch Fixed Assets may be maintained by the branch or the H.O.

In case if the branch maintains its records, entries will be passed in the usual manner.

In case if the H.O. maintains the fixed assets of the branch, the following journal entries have to be passed:

Transaction	H.O. Books	Branch Books
1. Payment by the H.O.	Branch Asset A/c Dr. To Cash A/c	No Entry
2. Payment by the Branch (cash)	Branch Asset A/c Dr. To Branch A/c	H.O. A/c Dr. To Cash A/c
3. Payment by the Branch (credit)	Branch Asset A/c Dr. To Branch A/c	H.O. A/c Dr. To Sundry Creditors A/c
4. Depreciation	Branch A/c Dr. To Branch Assets A/c	Depreciation A/c Dr. To H.O. A/c

Illustration: 30

On Apr 1, 2008, Mumbai H.O. purchases a refrigerator for Rs 15,000 for its Manipal Branch. On Sept 30, 2008 the B.O. purchases fans for Rs 3,000.

The rate of depreciation on refrigerator is 10%, for fans @ 15% p.a. The account closes on Mar 31, 2009. Pass the necessary journal entries in the books of Mumbai H.O. and Manipal branch when

- (i) Accounts of Fixed Assets are maintained at H.O.
- (ii) Accounts of Fixed Assets are maintained at the branch

Solution**In the Books of Mumbai Head Office (Accounts maintained at H.O.)****Journal of H.O.**

Date	Particulars	Rs	Cr
Apr 1, 2008	Branch Refrigerator A/c Dr. To Cash A/c (Being fridge purchased by H.O. for B.O)	15,000	15,000
Sep 30, 2008	Branch fan (fixtures) A/c Dr. To Manipal Branch A/c (Being fan purchased by the Branch)	3,000	3,000
Mar 31, 2009	Manipal Branch A/c Dr. To Branch fridge A/c To Branch fan A/c (Being depreciation charged on Assets)	1,725	1,500 225

Journal of Manipal

2008, Apr 1	No entry		
2008, Sep 30	Mumbai H.O. A/c Dr. To Cash A/c (Being Fans purchase)	3,000	3,000
2009, Apr1	Depreciation A/c Dr. To H.O. A/c (Being depreciation provided)	1,725	1,725

Fixed Assets Account maintained at Branch Journal of H.O.

2008, Apr 1	Branch A/c	Dr.	15,000	
	To Cash A/c			15,000
2008, Sep 30	No entry		–	–
2009, Apr 1	No entry		–	–

Journal of Manipal

Date	Particulars	Rs	Cr
2008, Apr 1	Refrigerator A/c Dr.	15,000	
	To H.O. A/c		15,000
	(Being Fridge Purchased by H.O.)		
2008, Sep 30	Fan A/c Dr.	3,000	
	To Cash A/c		3,000
	(Being Fans Purchased)		
2009, Apr 1	Depreciation A/c Dr.	1,725	
	To Refrigerator A/c		1,500
	To Fan A/c		225
	(Being depreciation charged)		

6.2 Accounting for Goods in Transit

Sometimes, the balance of Branch Account (in the H.O. books) and that of the H.O. Account (in the branch books) do not tally. This is due to the factor “Goods in Transit,” i.e. the goods delivered by the H.O. (or returned by the branch) would not have reached its destination in time.

In order to reconcile the two accounts, the following entry is passed in the books of the H.O.

Accounting Entry for Goods in Transit

Goods in Transit A/c Dr.
 To Branch A/c

and

In the books of the branch as:

Goods in Transit A/c Dr.
 To H.O. A/c

In the next accounting year, after the goods actually reached its destination entry will be:

(i) When H.O. supplied goods to branch:

Branch A/c Dr.
 To Goods in Transit A/c

To Goods-in-Transit A/c

(ii) When the branch returned the goods to H.O.:

Goods sent to Branch A/c Dr.
 To Goods in Transit A/c

The same situation may arise when remittances are made, which is called cash in transit.

Adjustment Entry in the Books of H.O.

Adjustments Entry for Cash in Transit

Cash in Transit A/c Dr.
 To Branch A/c

In the next accounting year, the following adjustments entry is passed:

- (i) If H.O. had remitted:
- | | | |
|------------------------|-----|-----|
| Branch | A/c | Dr. |
| To Cash in Transit A/c | | |
- (ii) If branch had remitted:
- | | | |
|------------------------|-----|--|
| Cash A/c | Dr. | |
| To Cash in Transit A/c | | |

In the combine or consolidated Balance Sheet, both Goods in Transit and Cash in Transit will be shown as an Asset.

Illustration: 31

On Mar 31, 2009, the Trial Balance of Bangalore branch showed a debit balance of Rs 12,900 in H.O. account. On the same day, the Branch Account in the H.O. books stood at Rs 1,600 debit balance. On Mar 27, the H.O. supplied goods amounting Rs 4,500 to the branch where they were received on Apr 3. A remittance of Rs 9,000 sent by the branch on Mar 28 was received by H.O. on Apr 2. Reconcile the branch account.

Solution

Both accounts: (i) Branch A/c (in H.O. books)
 (ii) H.O. A/c (in Branch books) are shown as "Debit Balances"

So, total difference (total amount of items in transit) is calculated:

		Rs
Balance of Branch	A/c (Debit)	1,600
Add: Balance of H.O.	A/c (Debit)	<u>12,900</u>
		13,500

Journal Entry for reconciliation in the books of H.O.:			Rs
Goods in Transit	A/c (Given)	Dr.	4,500
Cash in Transit	A/c (Given)	Dr.	9,000
To Bangalore Branch	A/c		13,500

Illustration: 32

From the following particulars, reconcile the H.O. A/c with Branch A/c

	Rs	
Goods sent to Branch	12,00,000	(H.O. Cr.)
Goods received by Branch	11,70,000	(Branch Dr.)
Branch A/c	3,00,000	(Dr. in H.O.)
H.O. A/c	2,00,000	(Cr. in B.O.)

Solution

Particulars are shown as Cr. balance or Dr. balance

H.O. has credit balance
 Branch has debit balance

1. Find the Net Difference = Rs 3,00,000 – Rs 2,00,000 = Rs 1,00,000
2. Value of Goods in Transit = Rs 12,00,000 – Rs 11,70,000 = Rs 30,000
3. Value of Cash in Transit = Rs 1,00,000 – Rs 30,00,000 = Rs 70,000

Journal Entry in the Books of H.O. to reconcile both the accounts

			Rs
Goods in Transit	A/c	Dr.	30,000
Cash in Transit	A/c	Dr.	70,000
To Branch	A/c		1,00,000

Illustration: 33

From the following particulars reconcile H.O. A/c with the Branch Account

	Rs
Goods sent to Branch	2,90,000
Goods received by Branch	2,70,000
Net Branch A/c	1,65,000
H.O. A/c	56,000

Cash remitted by the branch during the year was Rs 3,25,000 but was shown in H.O. A/c as Rs 2,37,600.

Solution

Both goods in transit and cash in transit value are given.

Besides these, if still there is any difference found, it may be due to some other errors and it is shown as Suspense Account.

Step 1

- (i) Net Difference = Rs 1,65,000 – Rs 56,000 = Rs 1,09,000
- (ii) Goods in Transit = Rs 2,90,000 – Rs 2,70,000 = Rs 20,000
- (iii) Cash in Transit = Rs 3,25,000 – Rs 2,37,600 = Rs 87,400
- (iv) Difference due to Other Errors = Rs 1,09,000 – Rs 20,000 – Rs 87,400 = Rs 1,600

Step 2 Journal Entry to reconcile in the books of H.O.

			Rs
Goods in Transit	A/c	Dr.	20,000
Cash in Transit	A/c	Dr.	87,400
Suspense	A/c	Dr.	1,600
To Branch	A/c		1,09,000

Accounting of H.O. expenses to be charged to branch when the H.O. to raise a charge is against any branch for the services rendered by H.O., the Journal entry to be passed

Accounting Entry for H.O. Expenses to be Charged Against Branch

- (a) In the books of H.O.:

Branch A/c Dr.
 To P & L A/c or (Cash/Bank A/c) or (Respective Expenses)

- (b) In the books of the Branch:

H.O. Expenses A/c Dr.
 Or (Appropriate Expense A/c)
 To H.O. A/c

Illustration: 34

Journalise the following transactions in the books of H.O and Chennai B.O.

- (i) H.O. charges Rs 5,000 from Chennai Branch as miscellaneous office expenses.
- (ii) An analysis of H.O. and technical services shows that the share of branches there is 50% of the share of H.O.
- (iii) Among the branches, the share of Chennai Branch is twice the share of Mangalore Branch. Total expenses paid Rs 1,00,000, Rs 30,000 being paid in advance and Rs 20,000 being still outstanding.

Solution**Journal of H.O.**

Particulars		Dr. (Rs)	Cr. (Rs)
(i) Chennai Branch A/c	Dr.	5,000	
To Miscellaneous Expenses A/c			5,000
(Being Miscellaneous Expenses charged to Chennai Branch.)			
(ii) Chennai Branch A/c	Dr.	20,000	
[(Rs 1,00,000 – Rs 30,000 + Rs 20,000) × 1/3 × 2/3]			
(Advance) (o/s)			
Mangalore Branch A/c	Dr.	10,000	
[(Rs 1,00,000 – Rs 30,000 + Rs 20,000) × 1/3 × 1/3]			
To H.O. (Misc. + Tech. Services) Expenses A/c			30,000
(Being share of expenses)			

Journal of Chennai Branch

Particulars		Dr. (Rs)	Cr. (Rs)
(i) Miscellaneous Expenses A/c	Dr.	5,000	
To H.O. A/c			5,000
(Being Miscellaneous Expenses Charged to H.O.)			
(ii) H.O. Expenses (Technical) A/c	Dr.	25,000	
To H.O. A/c			25,000
(Being the H.O. Misc. and Tech. Services Expenses Charged to H.O.)			

6.3 Accounting for Inter-branch Transactions

- (i) Transactions among branches are called “inter-branch transactions.”
- (ii) These transactions may occur with or without instructions from H.O.
- (iii) Inter-branch transactions may be recorded in two methods:
 - (a) It is recorded directly by maintaining current account of a branch in another branch’s book.
 - (b) It is recorded indirectly by all branches by making entries though H.O. Account.

Illustration: 35

Journalise the following transactions in the books of the H.O. as well as B.O.

- (i) Goods worth Rs 12,000 are supplied by Mumbai Branch to Surat Branch.
- (ii) Mumbai Branch draws a Bills Receivable for Rs 12,000 on Surat Branch which sends its acceptance.
- (iii) H.O. charges Rs 5,500 from Mumbai Branch as H.O. Administrative expenses.

[B.Com (Hons) – Delhi – Modified]

Solution**(i) Mumbai Branch Books**

Particulars	Dr. (Rs)	Cr. (Rs)
(i) H.O. A/c To Goods sent to Branch A/c Dr. (Being goods sent to Surat Branch.)	12,000	12,000
(ii) Bills Receivables A/c Dr. To H.O. A/c (B/R drawn accepted)	12,000	12,000
(iii) H.O. Administrative Expenses A/c Dr. To H.O. Account (Being H.O. Expenses charged to Branch.)	5,500	5,500

(ii) Surat Branch Books

Particulars	Dr. (Rs)	Cr. (Rs)
(i) Goods sent to Branch A/c Dr. To H.O. Account (Being goods received.)	12,000	12,000
(ii) H.O. Account Dr. To Bills Payable Account (Being the amount for goods by way of bills.)	12,000	12,000

(iii) H.O. Books

Particulars		Dr. (Rs)	Cr. (Rs)
(i) Surat Branch A/c To Mumbai Branch A/c (Being goods sent to Surat Branch from Mumbai Branch.)	Dr.	12,000	12,000
(ii) Mumbai Branch A/c To Bills Payable A/c and Bills Receivable A/c To Surat Branch A/c (Being the amount for goods transactions among branch.)	Dr.	12,000	12,000
(iii) Mumbai Branch A/c To Profit and Loss A/c (Being H.O. expenses charged to Mumbai Branch.)	Dr.	5,500	5,500

Illustration: 36

A D.T.H. Company having its H.O. in Mumbai with branches at Nagpur and Pune closes its annual accounts on Mar 31. When the following transactions took place:

- (1) Remittances of Rs 50,000 made by Nagpur Branch to its H.O. on Mar 29 received by the H.O. on Apr 3.
- (2) Dish antennas valuing Rs 40,000 despatched by Pune Branch on Mar 28 (under instructions from H.O.) received by the Nagpur Branch on Mar 30.
- (3) Depreciation amounting to Rs 720 on Nagpur Branch fixed assets when accounts of fixed assets are maintained at the H.O.
- (4) Dish worth Rs 60,000 despatched by H.O. on Mar 29, received by Pune Branch on Apr 3.

Show the adjustment entries in the books of the H.O. and the Nagpur Branch as at the close of the year (Ignore Narrations).

Solution**Mumbai (H.O.) Journal**

Particulars		Dr. (Rs)	Cr. (Rs)
(1) No Entry			
(2) Nagpur Branch A/c	Dr.	40,000	
To Pune Branch A/c			40,000
(3) Nagpur Branch A/c	Dr.	720	
To Nagpur Branch Assets A/c			720
(4) Goods-in-Transit A/c	Dr.	60,000	
To Pune Branch A/c			60,000

Nagpur Branch Journal

Particulars		Dr. (Rs)	Cr. (Rs)
(1) Cash-in-Transit A/c	Dr.	50,000	
To H.O. A/c			50,000
(2) Goods from Branches A/c	Dr.	40,000	
To H.O. A/c			40,000
(3) Depreciation A/c	Dr.	720	
To H.O. A/c			720

Illustration: 37

Healthy Pharmaceuticals Ltd., Shimla has branches at Delhi, Mumbai, Chennai and Kolkata. These branches are allowed transactions INTERSE under advice to H.O. Following are the inter-branch transactions for the month of June 2008.

I Delhi Branch

- Sent goods to Mumbai Rs 5,000; Chennai Rs 8,000 and Kolkata Rs 13,000
- Drawn bills on Mumbai Rs 3,000; Chennai Rs 5,000 and Kolkata Rs 9,000
- Received goods from Mumbai Rs 15,000; Chennai Rs 9,000 and Kolkata Rs 20,000
- Bills accepted from Mumbai Rs 3,000; Chennai Rs 5,000 and Kolkata Rs 8,000

II Mumbai Branch: (in addition to transactions as aforesaid)

- Sent goods to Chennai Rs 32,000; Kolkata Rs 30,000
- Drawn bills on Chennai Rs 17,000; Kolkata Rs 7,000
- Received goods from Chennai Rs 12,000; Kolkata Rs 10,000
- Accepted bills drawn by Chennai Rs 3,500; Kolkata Rs 6,000

III Chennai Branch: (in addition to transactions as aforesaid)

- Goods sent to Kolkata Rs 5,000
- Bills drawn on Kolkata Rs 3,000
- Goods received from Kolkata Rs 7,500
- Bills accepted, drawn by Kolkata Rs 9,000

Show out the Journal entry that the H.O. would pass on June 30, 2008, showing the working out of the net figures in a tabular form.

Solution**H.O. Journal (Shimla)**

Date	Particulars	Dr. (Rs)	Cr. (Rs)
June 30, 2008	Delhi Branch Account Dr. To Mumbai Branch A/c To Chennai Branch A/c To Kolkata Branch A/c (Being the record of (net) inter-branch Transactions for the month of June 2008 (Based on details – Ref: Tabular Column)	6,000	2,000 500 3,500

Solution**Statement of Inter-Branch Transactions**

Transactions Relating to Branch	Delhi		Mumbai		Chennai		Kolkata	
	Dr. (Rs)	Cr. (Rs)	Dr. (Rs)	Cr. (Rs)	Dr. (Rs)	Cr. (Rs)	Dr. (Rs)	Cr. (Rs)
Delhi Branch								
(a)	–	26,000	5,000	–	8,000	–	13,000	–
(b)	14,000	–	–	3,000	–	5,000	–	9,000
(c)	34,000	–	–	15,000	–	9,000	–	20,000
(d)	–	16,000	3,000	–	5,000	–	8,000	–
Mumbai Branch								
(a)	–	–	–	32,000	30,000	–	12,000	–
(b)	–	–	24,500	–	–	17,500	–	7,000
(c)	–	–	22,000	–	–	12,000	–	10,000
(d)	–	–	–	6,500	3,500	–	6,000	–
Chennai Branch								
(a)	–	–	–	–	–	5,000	5,000	–
(b)	–	–	–	–	3,000	–	–	3,000
(c)	–	–	–	–	7,500	–	–	7,500
(d)	–	–	–	–	–	9,000	9,000	–
TOTAL	48,000	42,000	54,000	56,000	57,000	57,000	53,000	56,000
Dr./Cr. Balance		6,000 (Dr.)	2,000 (Cr.)	–	500 (Cr.)	–	3,500 (Cr.)	–

OBJECTIVE 7: INCORPORATION OF BRANCH TRIAL BALANCE

The H.O. and its various branches function as a single entity. As such the net result of operations of the branch is usually incorporated in the books of the H.O. Only after incorporation, a Consolidated Balance Sheet can be prepared, which reflects the true financial position of the business entity in its entirety.

Any of the following methods may be adopted for this:

- Detailed Consolidated Method
- Abridged Consolidated Method
- Separate Final Accounts Method

7.1 Detailed Consolidated Method

This method is widely and commonly used with the following procedure:

- (i) All revenue items, assets and liabilities of the branch are transferred to H.O. Account (in the books of the branch).
- (ii) Such transferred items are incorporated (in the books of H.O.).
- (iii) Consolidated Trading and Profit and Loss Account and Consolidated Balance Sheet are prepared (in the books of H.O.).

The Journal entries to be passed under this scheme are:

<i>Items</i>	<i>Account to be</i>	
	<i>Debited</i>	<i>Credited</i>
1. Shown on debit side of Trading A/c (after adjustments)	Branch Trading	Branch
2. Shown on credit side of Trading A/c (after adjustments)	Branch	Branch Trading
3. (a) Gross Profit (transfer)	Branch Trading	Branch P & L
(b) Gross Loss (transfer)	(Reverse entry)	
4. Expenses & Losses shown on debit side of P & L A/c (after adjustments)	Branch P & L	Branch
5. Shown on credit side of Branch P & L A/c (after adjustments)		
6. (a) NET PROFIT (transfer)	Branch P & L	General P & L
(b) NET LOSS (transfer)	(Reverse the above entry)	
7. Branch Assets	Branch Assets (individually)	Branch
8. Branch Liabilities	Branch	Branch Liabilities (individually)

- Notes:**
1. After adjustments mean, items relating to outstanding and prepaid are to be adjusted.
 2. In case, if more than one accounting year occurs, in the beginning of next accounting year, entry 7 and entry 8 have to be reversed.
 3. After recording all entries, the H.O. Account in the books of the branch and B.O. A/c in the books of H.O. will be closed.

7.2 Abridged Consolidated Method

Under this method not all the items are transferred, as the name itself suggests that this is an abridged form of the Detailed Consolidated Method, discussed above.

Under this, only transactions relating to following items are transferred for incorporation:

- (i) Branch Net Profit/Loss
and
- (ii) Branch Assets and Liabilities

7.3 Separate Final Accounts Method

Under this method, separate Trading and Profit and Loss Account and separate Balance Sheet for Branch are prepared from this and only net profit/loss is transferred to H.O. Then, again a separate Trading and Profit and Loss Account and Balance Sheet is prepared in the books of H.O.

To put in other way, separate Trading and Profit and Loss Account and Balance Sheet of Branch and H.O. are prepared in their respective books.

Illustration: 38

The following is the Trial Balance of the Goa Branch as of Sep 30, 2008.

Trial Balance of Goa Branch as of Sep 30, 2008

	<i>Rs</i>	<i>Rs</i>
H.O. Head Office account	16,200	
Stock on October 1, 2007	30,000	
Purchases	89,000	
Goods received from H.O.	45,000	
Sales		1,90,000
Goods supplied to H.O.		30,000
Salaries	7,500	
Debtors	18,500	
Creditors		9,250
Rent	4,800	
Office expenses	2,350	
Cash in hand and at Bank	8,900	
Furniture	7,000	
	<u>2,29,250</u>	<u>2,29,250</u>

Additional Information

1. Stock on hand was valued at Rs 13,500.
2. The Branch Account in the H.O. Books on Sep 30, 2008 stood at Rs 2,300 (Dr.).
3. On Sep 27, 2008, the H.O. forwarded goods to the values of Rs 12,500 to the branch, where they were received on Oct 5, 2008.
4. A cash remittance of Rs 6,000 on Sep 28 was received by H.O. on Oct 3, 2008.

Required

1. Journal entries required to incorporate the above figures.
2. The results of trading at the branch separately in the books of H.O.
3. Goa Branch Account in the books of H.O.

Solution**Journal Entries**

		<i>Rs</i>	<i>Rs</i>
Goods-in-Transit A/c To Goa Branch A/c (Being Goods in Transit adjusted.)	Dr.	12,500	12,500
Cash in Transit A/c To Goa Branch A/c (Being Cash in Transit adjusted.)	Dr.	6,000	6,000
Goa Branch Trading A/c To Goa Branch A/c (Being Debit Items incorporated. Stock Rs 30,000 + Purchases Rs 89,000 + Goods received from H.O. Rs 45,000)	Dr.	1,64,000	1,64,000
Goa Branch A/c To Goa Branch Trading A/c (Being Credit Items incorporated. Sales Rs 1,90,000 + Goods to H.O. Rs 30,000 + Closing Stock Rs 13,500)	Dr.	2,33,500	2,33,500

		Rs	Rs
Goa Trading A/c To Goa Branch Profit and Loss Account (Being Gross Profit transferred.)	Dr.	69,500	69,500
Goa Branch Profit and Loss A/c To Goa Branch A/c (Being Debit Items of Branch's P & L A/c incorporated.) (Salaries Rs 7,500 + Rent Rs 4,800 + Office Expenses Rs 2,350)	Dr.	14,650	14,650
Goa Branch Profit and Loss A/c To General Profit and Loss A/c (Being Branch Profit transferred.)	Dr.	54,850	54,850
Goa Branch Debtors A/c	Dr.	18,500	
Goa Branch Cash A/c	Dr.	8,900	
Goa Branch Furniture A/c	Dr.	7,000	
Goa Branch Stock at the end A/c To Goa Branch A/c (Being Branch Assets incorporated.)	Dr.	13,500	47,900
Goa Branch A/c To Goa Branch Creditors A/c (Being Branch Creditors incorporated.)	Dr.	9,250	9,250

Goa Branch Account

Particulars	Dr. (Rs)	Particulars	Cr. (Rs)
Balance c/d	2,300	Cash- in- transit A/c	12,500
Goa Branch Trading A/c	2,33,500	Goods- in- Transit A/c	6,000
Goa Branch Creditors A/c	9,250	Goa Branch Trading A/c	1,64,000
		Goa Branch P & L A/c	14,650
		Goa Branch Assets A/c	47,900
	<u>2,45,050</u>		<u>2,45,050</u>

Goa Branch Trading and Profit and Loss Account for the year ending Sep 30, 2008

Particulars	Dr. (Rs)	Particulars	Cr. (Rs)
Goa Branch Account: Stock 30,000		Goa Branch Account: Sales: 1,90,000	
Goods from H.O 45,000		Goods Supplied	
Purchases 89,000	1,64,000	to H.O 30,000	2,33,500
Goa Branch P & L A/c	69,500	Closing Stock 13,500	
Gross Profit			<u>2,33,500</u>
	<u>2,33,500</u>		69,500
Goa Branch Account: Salaries 7,500		Goa Branch Trading A/c (Gross Profit)	
Rent 4,800			
Office Expenses 2,350			
Profit and Loss A/c	14,650		
	54,850		
NET PROFIT	<u>69,500</u>		<u>69,500</u>

Illustration: 39

Vasudev, a Chennai trader opens a new branch in Trichy which trades independently of the H.O. The transactions of the branch for the year ended Mar 31, 2009 are as follows:

	Rs
Goods Supplied by H.O.	40,000
Purchases from Outsiders:	
Credit:	31,000
Cash:	<u>6,000</u>
	37,000
Sales Credit:	50,000
Cash:	<u>9,200</u>
	59,200
Cash received from Customers	60,800
Cash paid to Creditors	28,400
Expenses paid by the Branch	17,900
Furniture and Fixtures purchased by Branch on Credit	7,000
Cash received from H.O. initially	8,000
Remittances to H.O.	22,000

Additional Information

- (1) The accounts of the branch fixed assets are maintained at H.O. Books
- (2) Write off depreciation on furniture @ 5% p.a.
- (3) The branch remitted on Mar 29, 2009 Rs 4,000 was received by the H.O. on Apr 2, 2009
- (4) The branch closing stock is valued at Rs 24,000.

You are required to prepare the Trichy Branch Trading and Profit and Loss Account and the Trichy Branch Account in the H.O. Books and H.O. Account in the books of the Branch after incorporation of the branch Trial Balance.

Solution

- Note:** 1. Rs 4,000 is to be treated as cash in transit.
 2. In the Branch Account, value of furniture and fixtures is shown on the credit side and value of depreciation is shown on the debit side.

Trichy Branch Account

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Bank A/c Cash received from H.O.	8,000	By Branch Furniture A/c	7,000
To Goods sent to Branch A/c	40,000	By Bank A/c Remittances	18,000
To Branch Furniture A/c Depreciation	350	(Rs 22,000 – 4,000)	
To Branch Trading A/c	83,200	By Branch Trading A/c	77,000
(Credit Sale + Cash Sale + Closing Stock)		(Goods Sent + Cash and Credit Purchases)	
		By * Branch P & L A/c Expenses	18,250
		By Balance c/d	11,300
	<u>1,31,550</u>		<u>1,31,550</u>

**Branch Trading and Profit and Loss Account
for the Year Ending on Mar 31, 2009**

<i>Dr.</i>			<i>Cr.</i>
Particulars	Rs	Particulars	Rs
To Branch Account:		By Branch Account	
Goods Supplied by H.O.	40,000	Credit Sales	50,000
Cash Purchases	31,000	Cash Sales	9,200
Credit Purchases	6,000	By Closing Stock	24,000
To Branch P & L A/c	6,200		
	<u>83,200</u>		<u>83,200</u>
To Branch A/C:		By Branch Trading A/C	6,200
Expenses:	17,900	(Gross Profit)	
Depreciation:	350	By General Profit and Loss A/C	12,050
	<u>18,250</u>	(NET Loss transferred)	<u>18,250</u>
	18,250		

**In the Books of the Branch
Chennai Head Office Account**

<i>Dr.</i>			<i>Cr.</i>
Particulars	Rs	Particulars	Rs
To Bank A/c Remittances	22,000	By Bank A/c	8,000
To Profit & Loss A/c	12,050	By Goods received from H.O. A/c	40,000
(Net Loss)	7,000	By Remittances in Transit	4,000
To Supplier of Furniture	11,300	By Depreciation A/c	350
To Balance c/d			
	<u>52,350</u>		<u>52,350</u>

Illustration: 40

A trader of Chennai had a branch in Kolkata. The branch gets goods partly from Chennai H.O. and partly from outsiders. The branch keeps a separate set of books. The following balances were extracted.

	Chennai H.O.		Kolkata Branch	
	Dr. (Rs)	Cr. (Rs)	Dr. (Rs)	Cr. (Rs)
Capital	–	2,00,000	–	–
Plant and Machinery	1,40,000	–	–	–
Furniture and Fixtures	25,000	–	12,500	–
Loose Tools	20,000	–	9,000	–
Profit and Loss Account Jan 1, 2008	–	17,500	–	–
Debtors and Creditors	1,15,000	27,500	5,000	12,500
Cash in Hand	2,500	–	1,400	–
Cash at Bank	7,500	–	3,000	–
Purchase and Sales	3,00,000	4,05,000	56,000	1,22,500
Salaries and Wages	15,000	–	8,000	–
Rent	7,500	–	4,250	–
General Expenses	2,500	–	3,750	–
Goods from H.O. to Branch	–	45,000	40,000	–
Current Account	35,000	–	–	27,900
Opening Stock (Jan 1, 2008)	25,000	–	20,000	–
	<u>6,95,000</u>	<u>6,95,000</u>	<u>1,62,900</u>	<u>1,62,900</u>

The difference between the balances of H.O. Current Account and Branch Account is due to goods and cheques in transit as at the date of preparation of Trial Balance. Tent of B.O. remains unpaid Rs 75. Plant, furniture and loose tools are to be depreciated at 10% p.a., 15% p.a. and 20% p.a., respectively. Stocks in trade valued on Dec 31, 2008 were as follows:

H.O.: Rs 32,500 B.O.: Rs 17,500

Prepare a Combined Trading and Profit and Loss Account for the year ending on Dec 31, 2008 and a Balance Sheet on that date.

(B.Com Kolkata – Adapted)

Solution

Combined Trading and Profit and Loss Account for the Year Ending Dec 31, 2008

Dr.			Cr.		
Particulars	H.O.	Branch	Particulars	H.O.	Branch
To Opening Stock	25,000	20,000	By Sales A/c	4,05,000	1,22,500
To Purchases	3,00,000	56,000	By Goods sent to Branch A/c	45,000	–
To Goods from H.O.	–	40,000	By Stock at End	32,500	17,500
To Gross Profit c/d	<u>1,57,500</u>	<u>24,000</u>			
	<u>4,82,500</u>	<u>1,40,000</u>		<u>4,82,500</u>	<u>1,40,000</u>
To Salary and Wages	15,000	8,000	By Gross Profit b/d	1,57,500	24,000
To Rent	7,500	4,250			
To General Expenses	2,500	3,750			
To Outstanding Rent	–	75			
To Deprecation on					
Plant	14,000	–			
Furniture	3,750	1,875			
Loose Tools	4,000	1,800			
To Net Profit	<u>1,10,750</u>	<u>4,250</u>			
	<u>1,57,500</u>	<u>24,000</u>		<u>1,57,500</u>	<u>24,000</u>

Balance Sheet as on Dec 31, 2008

Liabilities	Rs	Assets	Rs
Capital	2,00,000	Plant and Machinery:	Rs
Add: Profits:			H.O. 1,40,000
H.O.	1,28,250	Less: Depreciation	<u>14,000</u>
Branch	4,250		1,26,000
Creditors:		Furniture:	
H.O.: 27,500		H.O. (Rs 25,000 – Rs 3,750)	21,250
Branch: <u>12,500</u>	40,000	B.O. (Rs 12,500 – Rs 1,875)	10,625
Outstanding Branch Rent	75	Loose Tools:	
		H.O. (Rs 20,000 – Rs 4,000)	16,000
		B.O. (Rs 9,000 – Rs 1,800)	7,200
		Debtors:	H.O. 1,15,000
			B.O. <u>5,000</u>
			1,20,000
		Stock:	H.O. 32,500
			B.O. 7,500
			in Transit: <u>5,000</u>
			55,000
		Cash at Bank:	H.O. 7,500
			B.O. <u>3,000</u>
			10,500
		Cash in Hand:	H.O. 2,500
			B.O. 1,400
			in Transit: <u>2,100</u>
			6,000
	<u>3,72,575</u>		<u>3,72,575</u>

Illustration: 41

Raj Ltd having H.O. in Chennai has a Branch at Kolkata where a complete set of books is maintained. All purchases are made at Chennai and stock required by the branch is invoiced to it by H.O. at selling price less 15%. The branch manager is entitled to a commission equal to one-third of net profit earned by the branch on the basis of invoice price. The following are the respective trial balance of the H.O. and the branch as on Mar 31, 2009.

Particulars	H.O.		Branch	
	Dr. Rs	Cr. Rs	Dr. Rs	Cr. Rs
Capital		47,100	–	–
Sundry Debtors and Creditors	44,850	12,300	3,775	3,075
Stock at the beginning at Cost:				
H.O.	62,075	–	–	–
Branch as invoiced	–	18,135	18,135	–

(Continued)

(Continued)

Particulars	H.O.		Branch	
	Dr. Rs	Cr. Rs	Dr. Rs	Cr. Rs
Salaries	17,640	–	7,340	–
Sundry Expenses	8,085	–	1,145	–
Branch Account	11,615	–	–	–
Cash on Hand and at Bank	12,400	–	1,630	–
Furniture	7,500	–	1,000	–
Sales	–	2,05,080	–	84,100
	<u>3,33,865</u>	<u>3,33,865</u>	<u>87,175</u>	<u>87,175</u>

The cost of price invoiced to Kolkata was Rs 40,950. The stock in hand at the end of the year at Chennai was valued at Rs 22,635 at cost and at Kolkata Rs 7,080 at cost and Rs 8,830 at invoice price. The difference between the adjustment accounts is due to remittance in transit from the branch to H.O. You are required to prepare the Trading and Profit and Lost Account for the year ending on Mar 31, 2009 in Columnar Form and the Consolidated Balance Sheet at that date.

Solution

**Trading and Profit and Loss Account for the Year
Ending on Mar 31, 2009**

Dr.			Cr.		
Particulars	H.O. Rs	Branch Rs	Particulars	H.O. Rs	Branch Rs
To Opening Stock	62,075	16,075	By Sales	2,05,080	84,100
To Purchases (Net)	1,53,625	–	By Goods sent to Branch	40,950	–
To Goods from H.O.	–	40,950	By Closing Stock	22,635	7,080
To Gross Profit c/d	52,965	34,155			
	<u>2,68,665</u>	<u>91,180</u>		<u>2,68,665</u>	<u>91,180</u>
To Salaries	17,640	7,340	By Gross Profit c/d	52,965	34,155
To Sundry Expenses	8,085	1,145			
To Branch Managers Commission o/s	–	5,020			
To Net Profit	27,240	20,650			
	<u>52,965</u>	<u>34,155</u>		<u>52,965</u>	<u>34,155</u>

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Capital: 47,100		Cash on Hand and Bank Rs	
Add: Profit: H.O. 27,240		H.O.: 12,400	
Branch 20,650	94,990	Branch: 1,630	14,030
Sundry Creditors:		Cash in Transit	14,515
H.O.: 12,300		Sundry Debtors H.O.: 44,850	
Branch: 3,075	15,375	Branch: 3,775	48,625
Branch Manager's Commission o/s	5,020	Stock at Cost: H.O.: 22,635	
		Branch: 7,080	29,715
		Furniture: H.O.: 7,500	
		B.O.: 1,000	8,500
	1,15,385		1,15,385

Memorandum Kolkata Branch Trading and P & L A/c (Invoice Value)

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Opening Stock	18,135	By Sales	84,100
To Goods received from H.O.	51,250	By Closing Stock	8,830
To Gross Profit c/d	23,545		
	<u>92,930</u>		<u>92,930</u>
To Salaries	7,340	By Gross Profit b/d	23,545
To Sundry Expenses	1,145		
To Manager's Commission (1/3 of Rs 15,160)	5,020		
To Net Profit	10,040		
	<u>23,545</u>		<u>23,545</u>

Illustration: 42

The H.O. of a business and its branch keep their own books and each prepares its own Profit and Loss Account. The following are the balances appearing in the two sets of books as on Mar 31, 2009 after ascertainment of profit and after making all adjustments except those referred to below:

Particulars	H.O.		Branch	
	Dr. (Rs)	Cr. (Rs)	Dr. (Rs)	Cr. (Rs)
Capital		2,00,000	–	–
Fixed Assets	72,000	–	32,000	–
Debtors and Creditors	15,640	7,920	9,680	3,840

(Continued)

(Continued)

Particulars	H.O.		Branch	
	Dr. (Rs)	Cr. (Rs)	Dr. (Rs)	Cr. (Rs)
Profit and Loss A/c	–	29,320	–	6,120
B.O. A/c	59,720	–	–	–
H.O. Account	–	–	–	56,040
	<u>2,37,240</u>	<u>2,37,240</u>	<u>66,000</u>	<u>66,000</u>

Set out the Balance Sheet of the business as on Mar 31, 2009 and the Journal entries necessary (in both sets of books) to record the adjustments dealing with the following:

- On Mar 30, 2009, the branch had sent a cheque for Rs 2,000 to the H.O., neither received by H.O. nor credited to branch A/c till Apr 5, 2009.
- Goods valued at Rs 1,680 had been forwarded by the H.O. to the branch and invoiced on Mar 28, 2009, but were neither received by the branch nor dealt with in branch's books till Apr 9, 2009.
- The profit shown by the branch to be transferred to the H.O. books.
- Branch assets and liabilities are to be recorded in the H.O. books.

[B.Com (Hons) Delhi – Modified]

Solution**H.O. Journal**

Particulars		Dr. (Rs)	Cr. (Rs)
Branch Fixed Assets A/c	Dr.	32,000	
Branch Stock A/c	Dr.	21,480	
Branch Debtors A/c	Dr.	9,680	
Branch Cash A/c	Dr.	2,820	
Cash in Transit A/c	Dr.	2,000	
Goods in Transit A/c	Dr.	1,680	
To Branch A/c			69,680
(Being Branch Assets recorded in H.O. Books)			
Branch A/c	Dr.	3,840	
To Branch Creditors A/c			3,840
(Being Branch Creditors recorded in H.O. Books)			
Branch A/c	Dr.	6,120	
To Profit and Loss Account			6,120
(Being Branch P & L A/c balance transferred to H. O. P & L A/c)			

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Capital: Rs 2,00,000		Fixed Assets: Rs	
Add: H.O. Profit 29,320		H.O. 72,000	
Branch 6,120	2,35,440	Branch 32,000	1,04,000
Creditors: H.O. 7,920		Stocks: H.O. 68,400	
Branch 3,840	11,760	Branch 21,480	91,560
		89,880	
		Stock in Transit: 1,680	
		Debtors: H.O. 15,640	
		Branch 9,680	25,320
		Cash: H.O. 21,480	
		Branch 2,840	
		In Transit 2,000	26,320
	2,47,200		2,47,200

Summary

- A branch is any establishment carrying on either the same or substantially the same activity as that carried on by the H.O. of the establishment.
- Objectives are (i) to increase the volume of sales, (ii) to enhance profit margin and (iii) to eliminate middlemen.
- Branches are classified as (i) inland and (ii) foreign branches. Further inland branches are classified into (1) dependent and (2) independent branch.
- Accounting records to be maintained by dependent branches: (i) Stock Register, (ii) Cash Book, (iii) Petty Cash Book, (iv) Customer's Ledger and (v) Branch Returns.
- For dependent branches, the system of accounting is maintained by H.O. method of recording transactions in the books of H.O. and preparation of Profit/Loss Account, (Branch Account) Memorandum Branch Debtors Account, ascertainment of missing figures to prepare Branch Account, calculation of profit margin (Load) under Debtors System are explained through Illustrations (No. 1–14).
- Stock Debtors System – comprises a number of accounts to compute various items. The following table reveals clearly this aspect.

Sl. No.	Name of the Account	Purpose for Which It is to be Kept
1.	Branch Stock Account	To ascertain any shortage or surplus in stock
2.	Branch Debtors Account	To ascertain closing Debtors
3.	Branch Expenses Account	To compute Total Expenses at a Branch
4.	Branch Adjustment Account	To compute Gross Profit/Loss
5.	Branch Profit and Loss A/c	To compute Net Profit/Loss
6.	Goods Sent to Branch Account	To find the Net Cost of Goods sent to the Branch
7.	Branch Cash A/c	To show all Cash Transactions
8.	Branch Fixed Assets A/c	To Record Transactions of Fixed Assets

- Procedure to prepare all these accounts is explained in illustrations 15–21.
- **Final Account System:** It is another method to ascertain profit/loss of a branch. Trading and Profit and Loss Account is to be prepared in the place of branch account under this method. The method is explained in the illustrations 22–24.
- **Wholesale Branch Method:** Under this system, the H.O. supplies goods to the wholesalers and sells their through retail branches also. The retail branches sell the goods at a higher price than the wholesale price. The difference in price is called “Additional Profit.” Profit calculations are illustrated (in 25–28) under this method.
- **Independent Branches:** Branches maintain a complete record of transactions. Accounting (Treatment) for (i) Fixed Assets, (ii) Goods in Transit and Cash in Transit, (iii) H.O. expenses to be charged to branch and (iv) Inter-Branch transactions all explained in illustrations 29–36.
- **Incorporation of Branch Trial Balance:** The net result of operations of the branch is incorporated in the books of H.O. After incorporation a Consolidated Balance Sheet is prepared by (i) Detailed Consolidated Method, (ii) Abridged Consolidated Method and (iii) Separate Final Accounts Method are employed for this purpose. These are explained in illustrations 37–41.

Key Terms

Branch: A branch is any establishment carrying on either the same or substantially the same activity as that carried on by the H.O. of the establishment.

Branch Accounting: Branch accounting relates to recording of trading transactions in respect of their dealings with H.O., with outsiders and other branches.

Dependent Branches: Branches that do not perform accounting functions and which sell the goods supplied by the H.O. on cash basis are called dependent branches. In general, they depend on the H.O. for any type of activity.

Debtors Method: It is one type of accounting system for dependent branches. The H.O. maintains separate Branch Account for each branch.

Independent Branch: Unlike dependent branches, independent branches perform accounting functions by maintaining complete record of transactions.

Final Account Method (System): This is another type of accounting system for branches, where profit or loss of the branch is ascertained by preparing Trading and Profit and Loss Account in the place of branch account.

Stock-Debtors System: This is another type of accounting system where an elaborate accounting procedure is followed that comprises a number of accounts for each branch.

Wholesale Branch Method: This is one type of accounting system where “additional profit” and “load” factors play a key role in preparing Branch Trading and Profit and Loss Account.

References

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- Shukla M.C., T.S. Grewal and S.C. Gupta, “Advanced Accounts,” Vol. I, Chand & Co, New Delhi, 2008.
- Monga J.R., “Financial Accounting: Concepts and Application,” Mayur Paper Back, New Delhi, 2007–08.
- Tulisan P.C., “Financial Accounting,” Pearson Education, New Delhi, 2004.

A Objective-type Questions

I State whether the following statements are True or False

1. Branch accounting is concerned with recording of transactions of different branches in respect of their association with the H.O., with other branches as well with outsiders.
2. Dependent branches are mere selling agencies and are controlled by the H.O.
3. Goods supplied to branches for sale are always invoiced at market price only.
4. Dependent branches perform accounting functions for themselves.
5. A branch account is a combination of real accounts and nominal accounts.

6. Petty expenses paid by the branch manager out of cash in hand in the branch are not shown in the branch account.
7. Usually, dependent branches do not sell goods on credit.
8. Entries have to be made in the branch account in respect of sales returns and discount allowed.
9. When goods are transferred between H.O. and branches at a price above cost, it is termed as "loaded price."
10. Credit purchases would appear in the branch account.
11. Credit sales would not affect the branch account directly.
12. Under Debtors System, control over the stock can be exercised effectively.
13. Under Stock-Debtors System, all items are entered in the branch stock account at loaded price only.
14. When the stock appears at the loaded price, it is essential to open Stock Reserve Account.
15. Normal loss affects both gross profit and net profit.
16. Abnormal loss affects only gross profit.
17. Independent branches also operate within the framework of broad policies laid down by the H.O.
18. Goods in transit appear as an asset in the balance sheet.
19. Cash in transit is a liability.
20. Goods returned by customers direct to branch are recorded in branch account.

Answers

- | | | |
|-----------|-----------|-----------|
| 1. True | 2. True | 3. False |
| 4. False | 5. True | 6. True |
| 7. True | 8. False | 9. True |
| 10. False | 11. True | 12. False |
| 13. True | 14. True | 15. False |
| 16. False | 17. True | 18. True |
| 19. False | 20. False | |

II Fill in the blanks with suitable words

1. _____ branches are situated in the same country, where H.O. is situated.
2. _____ branches cannot procure goods from local sources.
3. To meet incidental expenses, branch managers are supplied with petty cash on _____ system.
4. Dependent branches keep only _____ records.
5. _____ branches do not perform accounting functions for themselves.
6. Generally, a branch account is a combination of real and _____ accounts.
7. Sales returns, bad debts, discounts allowed do not appear in the _____ under Debtors system.
8. To ascertain missing figure in respect of debtors, _____ A/c is prepared.
9. A profit margin of 20% on sale price is equal to _____ % profit on cost.
10. Under Debtors system, H.O. can calculate only _____ profit.
11. _____ and _____ purchases would not appear in the branch account.
12. The important limitation of Debtors system is the absence of control over _____.
13. Normal and abnormal losses are not adjusted with stock in the _____ Account under Debtors system.
14. Branch Stock Account is a _____ account in nature, under Stock Debtors System.
15. Branch Stock Account is always prepared at _____ price under Stock-Debtors System.
16. Invoice Price = Cost + _____.
17. Branch profit/loss is transferred to _____ Account.
18. Normal loss is a _____ charge, affects only the gross profit.
19. The stock reserve will be equal to the difference between the wholesale price and _____.
20. Goods in transit and cash in transit are to be treated as _____ and hence they are shown in the balance sheet.

Answers

- | | |
|-------------------|--------------------|
| 1. Inland | 2. Dependent |
| 3. Imprest | 4. Memorandum |
| 5. Dependent | 6. Nominal |
| 7. Branch Account | 8. Memorandum |
| 9. 25% | Branch Debtors |
| 10. Net | 11. Cash; Credit |
| 12. Stock | 13. Branch |
| 14. Real | 15. Invoice |
| 16. Profit margin | 17. General Profit |
| 18. Direct | and Loss |
| 19. Cost Price | 20. Assets |

B Short Answer-type Questions

1. What is meant by branch accounting?
2. Explain dependent branch.
3. What is meant by an independent branch?
4. Name the method under which gross profit of a dependent branch can be computed?
5. Name the method under which both gross profit and net profit of a branch can be ascertained?
6. How will you deal with normal loss of stock under Debtors Method?
7. How will you deal with abnormal loss of stock under both the methods?
8. How will you deal with the following under Debtors Method?
 - (i) Goods returned by branch customers directly to H.O.
 - (ii) Cash remitted by branch customers directly to H.O.?
9. What is "Load"?
10. Explain the terms goods in transit and cash in transit. How would you treat them?
11. How would you deal with surplus in Branch Stock Account under Stock-Debtors System?
12. Explain "Stock Reserve Account."
13. How will you deal with "Invoice Price" under Debtors method and Stock-Debtors method?
14. How will you deal with insurance claim under both the methods?
15. Write short note on Final Account Method.
16. What do you mean by a branch operating on whole-sale basis?

C Essay-type Questions

1. Explain the essential features of maintaining branch account under Debtors System of branch accounting.
2. Explain the essential features of maintaining branch account under Stock and Debtors system of branch account.
3. Explain the procedure of incorporating the branch trial balance in H.O. books.

D Exercises**Model: Debtors Method**

1. Raj & Co had a branch at Delhi. Goods are invoiced to the branch at cost plus 25%. Branch is instructed to deposit cash everyday in the H.O. account with the bank. All expenses are paid by cheques by the H.O. except petty cash expenses which are paid by the branch manager. From the following information prepare branch account in the books of H.O.:

	Rs
Stock on Jan 1, 2009	7,500
Stock on Dec 31, 2009	9,000
Sundry Debtors on Jan 1, 2009	4,200
Sundry Debtors on Dec 31, 2009	5,400
Cash Sales for the year 2009	32,400
Credit Sales for the year 2009	21,000
Cash remitted to the H.O.	45,000
Furniture purchased by the Branch Manager	3,600
Goods invoiced from the H.O.	54,600
Expenses paid by the H.O.	4,920
Expenses paid by the Branch	360

[C.S. (foundation) – Modified]

[Answer: Branch Profit – Rs 5,640]

2. Gain & Co. had a branch at Tiruchirapalli. You are required to prepare branch account in the books of Gani & Co. to ascertain profit made at Tiruchirapalli branch. Transactions during the year ending Mar 31, 2009 were as follows:

	Rs		Rs
Stock at Cost on Apr 1, 2008	4,000	Stock on Mar 31, 2009 with Branch	3,500
Furniture on Apr 1, 2008	2,000	Expenses paid by H.O	5,300
Goods sent to Branch at Cost	65,000	Goods returned by Branch	5,000
Cash Sales made by Branch	90,500	Expenses still Outstanding at End	500
Furniture purchased by the Branch with permission from the H.O.	1,200		

It was required to write off furniture @ 10% p.a. No depreciation is provided on additions during the year.

Answers: Profit 24,000

3. Renu Ltd. Trichy has a branch at Madurai. Goods are invoiced to the branch at selling price being cost plus 25%. The branch keeps its own sales ledger and deposits all cash received daily to the credit of the H.O. account at Madurai. All expenses are paid by cheque from Trichy.

From the following information, prepare the branch account in the H.O. books. Carry out necessary adjustments to ascertain the profit made by the branch during the year:

	Rs		Rs
Opening Stock at Branch	37,500	Cash Sales for the Year	1,62,000
Closing Stock at Branch at Cost	45,000	Sundry Expenses	2,500
Sundry Debtors (opening)	21,000	Credit Sales	1,05,000
Sundry Debtors at the End	27,000	Goods returned to H.O.	2,000
Goods Invoiced from H.O.	2,75,000	Wages Paid	10,200
Rent, Rates and Taxes	12,000	Wages still Outstanding at the End	1,000
		Pre-paid Sundry Expenses at the End	100

Answer: Net Profit – Rs 29,000

4. A trader has a branch at Surat to which goods are invoiced at cost plus 20%. Prepare a branch account in H.O. books from the following particulars:

	Rs		Rs
Opening Stock at Branch	1,20,000	Branch Expenses paid by H.O.	15,000
Cash Sales at Branch	87,500	Branch Expenses Branch	30,000
Credit Sales	2,05,000	Expenses Unpaid	7,000
Collection from Debtors	1,89,500	Closing Stock at Branch	90,000
Cash received from H.O.	1,50,000	Closing Balance of Debtors	45,800
		Goods in Transit from H.O.	18,000

Answer: Branch Profit – Rs 90,500

5. Mr. V.R. with H.O. at Delhi who carried on a retail trade opened a branch at Nagpur on Oct 1, 2009 where all sales were on credit basis. All cash collected was immediately remitted to H.O. All goods required by the branch were supplied from H.O. and were invoiced to the branch at 10% above cost. The following were the transactions:

Transaction	Oct Rs	Nov Rs	Dec Rs
Goods sent to Branch (Purchase Price)	20,000	25,000	30,000
Sales as shown by the Branch Monthly Report	19,000	21,000	27,500
Closing Debtors	9,000	4,500	14,500
Returns to H.O. (Invoice Price to Branch)	600	300	1,200

The stock of the goods held by the branch on Dec 31, 2009 amounted to Rs 26,700 at invoice price to branch. Record these transactions in the H.O. books. Show the branch gross profit for the three months ended on Dec 31, 2009.

Answer: Gross Profit – Rs 18,681.50

6. Prepare a branch account, from the following data:

	Rs
Opening Stock at the Branch	75,000
Goods sent to Branch	2,25,000
Expenses:	
Salaries	25,000
Rent	8,000
Other Expenses	1,880
Sales (cash)	3,00,000

Closing stock could not be ascertained but it is known that the branch usually sells goods at cost plus 20%. The branch manager is entitled to commission of 5% of profit of branch after charging such commission.

Answer: Profit Rs 14,400; Commission: Rs 720

Model: Stock and Debtors System

7. Shimla H.O. supplies goods to its branch at Chennai at invoice price which is cost plus 50%. All cash received by the branch is remitted to Shimla and all branch expenses are paid by H.O. From the following particulars related to Chennai branch for the year 2009, prepare (i) Branch Account, (ii) Branch Stock Account, (iii) Branch Debtors Account, (iv) Branch Adjustment Account and (v) Branch Expenses Account to ascertain Gross Profit and Net Profit made by the Branch:

	Rs		Rs
Stock with Branch on Jan 1, 2009	30,000	Allowance to Customers	1,000
Branch Debtors on Jan 1, 2009	6,000	off Selling Price	
Petty Cash Balance on Jan 1, 2009	50	(already adjusted on invoicing)	
Goods received from H.O.	93,000	Expenses (Cash paid by H.O.)	
(at Invoice Price)\		Rent	1,200
Goods returned to H.O.	1,500	Salaries	12,000
Credit Sales Less Returns	42,000	Petty Cash	500
Cash received from Debtors	45,000	Stock with Branch on Dec	
Discount allowed to Debtors	1,200	31, 2009 at Invoice Price	27,000
		Cash Sales	52,000
		Petty Cash balance on Dec 31, 2009	50

Note: Allowance to customers may be treated as sales promotional expense.

[B.Com – Modified]

Answer: Gross Profit Rs 31,000; Net Profit – Rs 16,100

8. Mr. Rai has a branch at Hyderabad and Vijayawada and the goods are invoiced at a profit of 20% on sales. Following information is available of the transactions at Hyderabad branch for the year ending Dec 31, 2009:

Transaction	As on Jan 1, 2009 Rs	As on Dec 31, 2009 Rs
Stock at Invoice Price	1,20,000	?
Debtors	36,000	33,000
Petty Cash	450	750

Transactions during the year 2009:

	Rs		Rs
Goods sent to Branch at Invoice Price	12,60,000	Goods returned to H.O.	45,000
Cash Sales	3,15,000	Credit Sales:	5,40,000
Normal Loss at Invoice Price	1,050	Goods Pilfered (at Invoice Price)	9,000
Goods Lost by Fire at Invoice Price	12,000	Cash sent for Petty Expenses	96,000
Insurance Company paid to H.O. for Loss by Fire at Hyderabad	9,000	Bad Debts at Hyderabad Branch	1,200
Goods transferred to Vijayawada Branch as per instructions by H.O.	36,000	Insurance Charges paid by H.O.	600
Goods returned by Debtors	1,500		

Note: Goods transferred to Vijayawada Branch were in transit (as given above) on Dec 31, 2009.

You are required to prepare the necessary ledger accounts for Hyderabad Branch under Stock and Debtors System in the books of H.O.

(B.Com – Modified)

Answer: Branch Stock (Hyderabad) Rs 4,23,450
 Gross Profit Rs 1,69,860
 Net Profit Rs 64,560

9. Mr. X of Surat has a branch at Jaipur. Goods are sent at invoice price which is fixed at a profit of 20% on sale under the strict instructions of selling goods only at invoice price. Goods are fully insured against fire and theft. Following are the transactions in respect of Jaipur Branch:

	Rs		Rs
Opening Balance of Stock	20,000	Loss by Fire (Cost Price)	15,000
Opening Balance of Debtors	6,000	Stock at End (Invoice Price)	7,000
Closing Balance of Debtors	7,000	Cash received from Debtors	89,000
Goods received from H.O. (at Invoice Price)	2,50,000	Goods returned to H.O.	10,000
		Direct Expenses paid by H.O.	6,500
		Indirect Expenses paid by H.O.	14,000

Cash sales: 62.5% of Total Sales

You are required to record the above instructions in the books of the H.O. on the basis of Stock and Debtors System and calculate the net profit of the branch.

Answer: Net Profit Rs 28,100

10. VRS Ltd of Chennai invoices goods to its branch at Bangalore at cost plus 33 1/3%. From the following particulars, prepare the Branch Stock Account and the Branch Profit and Loss Account as they would appear in the books of H.O.:

	Rs
Stock at Commencement at Branch at Invoice Price	37,500
Stock at Close at Branch at Invoice Price	30,000
Goods sent to Branch during the year at Invoice Price (includes Goods invoiced at Rs 5,000 to Branch on Dec 31, 2009 but not received by the Branch before the close of the year)	2,50,000
Return of Goods to H.O. (at Invoice Price)	12,500
Credit Sales at Branch	2,25,000
Cash Sales at Branch	12,500
Invoice Value of Goods Preferred	2,500
Normal Loss at Branch due to Wastage and Deterioration of Stock (Invoice Price)	3,750
VRS Ltd closes its books on Dec 31, 2009	

[I.C.W.A. (Inter) – Modified]

Answer: Gross Profit – Rs 59,375

Net Profit – Rs 57,500

Surplus in Stock Account – Rs 3,750

11. Hemant & Co operates a number of retail outlets to which goods are invoiced at wholesale price which is cost plus 25%. These outlets sell the goods at the retail price which is wholesale price plus 20%. Following is the information regarding one of the outlets for the year ending Mar 31, 2010:

	Rs
Stock at the Outlet Apr 1, 2009	90,000
Goods Invoiced to the Outlet during the year	9,72,000
Gross Profit made by the Outlet	1,80,000
Goods Lost by Fire	?
Expenses of the Outlet for the year	60,000
Stock at the Outlet Mar 31, 2010	1,08,000

You are required to prepare the following accounts in the books of Hemant & Co for the year ended Mar 31, 2010:

- (i) Outlet Stock Account, (ii) Outlet Profit and Loss Account, (iii) Stock Reserve Account

[C.A. (Inter) Modified]

Answer: Gross Profit – Rs 1,80,000

Net Profit – Rs 66,000

12. Good Luck Ltd. Chennai had its branches at Delhi and Kanpur. It charged goods to branches at cost plus 25%. Following information is available of the transactions of the Delhi branch for the year ended on Dec 31.

Balance on Jan 1: Stock Rs 60,000; Debtors Rs 20,000; Petty Cash Rs 100.

	Rs
Goods sent to Delhi Branch at Invoice Price	6,50,000
Goods returned to H.O. at Invoice Price	20,000
Cash Sales	2,00,000
Credit Sales	3,50,000

Goods Pilfered (Invoice Price)	4,000
Goods Lost in Fire (Invoice Price)	10,000
Insurance co. paid to H.O. for Loss by Fire at Delhi	6,000
Cash sent for Petty Expenses	68,000
Bad Debts at Branch	1,000
Goods transferred to Kanpur Branch under H.O. Advice	30,000
Insurance Charges paid by H.O.	1,000
Goods returned by Debtors	1,000

Balance on Dec 31: Petty cash Rs 460; Debtors Rs 28,000

Goods worth Rs 30,000 (as above) sent by Delhi branch to Kanpur branch was in transit on Dec 31. Show the following accounts in the books of Good Luck Ltd:

(i) Delhi Branch Account, (ii) Delhi Branch Debtors Account, (iii) Delhi Branch Adjustment Account, (iv) Stock Reserve Account, (vi) Goods sent to Delhi Branch Account.

Answer: Gross Profit – Rs 1,09,800
Net Profit – Rs 34,960

Model: Branch Final Accounts Method

13. The following data relate to Chennai branch for the year 2009:

	Jan 1, 2009 Rs	Dec 31, 2009 Rs
Stock	1,50,000	2,25,000
Debtors	2,10,000	2,85,000
Petty Cash	750	360

Goods costing Rs 16,50,000 were sold by the branch @ 25% on cost, cash sales amounted to Rs 4,50,000; and the rest-credit sales. Branch spent Rs 90,000 for salaries Rs 36,000 for rent and Rs 24,000 for petty expenses. All expenses were remitted by H.O. Branch received all goods from H.O. You are required to show Chennai Branch Account in the books of H.O. for the year 2009 and prove your answer by preparing a Branch Trading and Branch Profit and Loss Account.

[I.C.W.A. (Inter) – Modified]

Answer: Gross Profit Rs 4,12,500; Net Profit Rs 2,62,500

14. M/s Aditya & Co with its H.O. in Chennai invoiced goods to its branch at Delhi at 20% less than the catalogue price which is cost plus 50% with instructions that cash sales were to be made at invoice price and credit sales at catalogue price. Discount on credit sales at 15% on prompt payment will be allowed.

From the following particulars available from the branch, prepare Branch Trading and Branch Profit and Loss Account for the year ended Mar 31, 2010 in the H.O. books, so as to show the actual profit or loss of the branch for the year 2009–2010.

Opening stock (invoice price) Rs 24,000; Goods received from H.O. (invoice price) Rs 2,64,000; Opening Debtors Rs 20,000; Sales Cash Rs 92,000; Sales Credit Rs 2,00,000; Cash realised from Debtors Rs 1,71,270; Discount allowed to debtors Rs 26,730; Expenses at the branch Rs 12,000; Remittance to H.O. Rs 2,40,000; Closing Debtors Rs 22,000; Closing Cash in hand Rs 11,270; Closing Stock (invoice price) Rs 30,000.

It was reported that a part of the stock at the branch was lost by fire during the year whose value is to be ascertained and a provision should be made for discount to be allowed to debtors as on Mar 31, 2010 on the basis of the year's trend of prompt payment.

Answer: Gross Profit: Rs 82,000; Net Profit: Rs 35,300

15. From the following particular of Kolkatta Branch, prepare Branch Account and Branch Trading and Profit and Loss Account in the books of the H.O. for the year ended Mar 31, 2010:

On Apr 1, 2009 stock in trade at the branch, at selling price, amounted to Rs 1,45,980 and debtors to Rs 19,320.

During the year ended Mar 31, 2010, the following transactions took place at the branch:

	Rs
Goods received by Branch at Selling Price	3,65,400
Cash Sales	1,92,450
Credit Sales	1,53,840
Goods returned to H.O. at Selling Price	4,680
Reduction in Selling Price authorised by H.O.	2,910
Cash received from Debtors	1,27,980
Debtors written off as irrecoverable	1,950
Cash Discounts allowed	3,360

All purchases are made by H.O., goods for the branch delivered to it direct and charged out at selling price which is cost price plus 50%.

A consignment of goods despatched to branch in Mar 2010 at a selling price of Rs 3,600 was not received by the branch till Apr 9, 2010 and had not been included in the stock figure. The expenses relating to the branch for the year ended Mar 31, 2010 amounted to Rs 51,870. On Mar 31, 2010, physical stock at the branch, at selling price amounted to Rs 1,56,600.

[M.Com. – Madras University, Modified]

Answer: Branch Stock (Stock in hand) – Rs 1,56,600 (Invoice Price)

Stock in transit – Rs 3,600

Gross Profit – Rs 1,12,890

Net Profit – Rs 55,710]

Model: Wholesale Method

16. A H.O. sends goods to its branch at cost plus 80%. Goods are sold to customers at cost plus 100%. From the following particulars ascertain the profits made at the H.O.

	H.O. Rs	B.O. Rs
Stock	1,00,000	–
Purchases	10,00,000	–
Goods sent to Branch (Invoice Price)	4,50,000	–
Sales	13,50,000	4,50,000

Note: Sales at the H.O. are made at wholesale basis.

[B.Com (Hons) – Delhi – Modified]

Answer: Stock at the end: H.O. Rs 1,00,000 (at cost)

Branch – Rs 45,000 (at invoice price)

Net Profit: H.O. Rs 7,80,000

Branch: Rs 45,000

17. Calculate the value of closing stock at H.O.:

A H.O. invoices goods to the branch at 20% less than the list price. Customers are charged for goods sold to them at cost plus 100%. Opening stock at cost Rs 2,00,000; Goods sent to branch Rs 4,80,000; Sales Rs 30,00,000; Purchases Rs 20,00,000.

Answer: Rs 4,00,000 (at cost)

18. Calculate the invoice price of goods to its branch:

A H.O. invoice goods to its branch at 20% plus the list price; customers are charged for the goods sold to them at cost plus 100%. Opening Stock Rs 1,80,000; Purchases Rs 18,00,000; Sales Rs 27,00,000; Closing Stock (at cost) Rs 3,60,000.

Answer: Rs 4,32,000

19. From the following particulars, ascertain the profit earned by the branch:

	Rs
Opening Stock	1,20,000
Goods sent to Branch (Invoice Price)	6,60,000
Expenses at Branch	30,000
Sales at Branch	8,10,000

Goods are invoiced to the branch at cost plus 33 $\frac{1}{3}$ %; the sale price is cost plus 50%. Also ascertain the stock reserve that must be maintained in respect of the unrealised profit.

Answer: Branch Gross Profit – Rs 90,000

Branch Net Profit – Rs 60,000

Stock Reserve: opening: Rs 30,000

closing: Rs 15,000]

20. X Ltd. has retail branch at Cochin. Goods are sold to customers at cost plus 100%. The wholesale price is cost plus 80%. Goods are invoiced to Cochin at wholesale price. From the following particulars calculate the profit made at H.O. and Cochin for the year 2009:

	H.O. Rs	B.O Rs
Stock on Jan 1, 2009	75,000	Nil
Purchases	4,50,000	Nil
Goods sent to Branch (at Invoice Price)	1,62,000	–
Sales	4,59,000	1,50,000

Note: Sales at H.O. are made on wholesale basis; stock at branch is valued at invoice price.

Answer: Stock at the end at H.O. – Rs 18,000; Branch: Rs 27,000 (invoice)

Net Profit at H.O.: Rs 2,64,000; Branch: Rs 15,000

21. Good wills & Co. of Kolkata (H.O.) has a branch at Bhubaneswar. The goods are supplied to branch at 25% less than the list price which is cost plus 100% of cost. From the following particulars, prepare trading account of the H.O. and of the branch:

	H.O. Rs	B.O Rs
Opening Stock	15,000	8,250
Purchases during the Year	11,25,000	–
Goods sent to Branch	4,67,500	–
Goods received from H.O.	–	4,67,500
Goods sold to Dealers	6,27,500	–
Goods sold to Customers (at List Price)	8,00,000	6,00,000

Note: The H.O. supplies goods to its dealers at the same price at which they are supplying to its branch.

Answer:

	H.O. Rs	B.O Rs
(i) Stock at the end:	10,000	25,750
(ii) Gross Profit	7,65,000	1,50,000
(iii) Net Profit	7,59,167	–
(iv) Opening Reserve: Rs 2,750; Closing Reserve:	Rs 8,588	

22. A H.O. sent goods to its retail branches at 37.5% less than the catalogue price which is cost plus 100%. From the following particulars, prepare the necessary ledger accounts to show the profit made at H.O. and the branch assuring that goods are sold at catalogue price:

	H.O. Rs	B.O Rs
Opening Stock		
At Cost	1,600	–
At Invoice Price	–	1,000
Purchases	6,40,000	–
Goods sent to Branch (at Invoice Price)	3,96,000	–
Goods returned to Supplier	4,800	–
Sales	5,00,000	2,50,000
Goods destroyed by Fire (Retail Value)	–	3,200
Expenses	1,01,500	50,750

Answer: H.O.: Gross Profit – Rs 3,29,200

Net Profit – Rs 2,21,150 (including B.O. profit)

B.O.: Gross Profit – Rs 93,750

Net Profit – Rs 41,000

Model: Independent Branch

23. Pass journal entries to rectify or adjust the following in the books of both the H.O. and the branch for the year ending on Mar 31, 2010:
- Goods costing Rs 12,000 purchased by the branch, but payment made by the H.O. The H.O. debited the amount to its own Purchases Account.
 - Depreciation Rs 9,720 in respect of branch assets whose accounts are kept in H.O. books.
 - Expenses Rs 22,500 to be charged to the branch for the work done on its behalf by the H.O.
 - Goods sent by the H.O. to the branch, Rs 72,500, not yet received by the branch.
 - A remittance of Rs 6,750 made by the branch to its H.O. not yet received by the H.O.
 - The branch paid Rs 240 dividend to a local shareholder on behalf of the H.O.
 - Depreciation @ 15% p.a. is to be provided on machinery at branch costing Rs 50,000, the account of which is maintained in the books of H.O.
 - A sum of Rs 3,330 being arrears of call money from a shareholder was received by the branch in Mar but was not communicated to the H.O. till Apr 10.
 - Goods worth Rs 60,000 have been supplied by the branch to another branch under the instructions from the H.O.
 - Branch has received Rs 12,500 from a customer of H.O.
24. A Mumbai Company whose accounting year ends on Mar 31 has two branches – one at Bhopal and other at Patna. The branches keep a complete set of books. On Mar 31, 2010, the Bhopal and Patna branches

accounts in Mumbai office books showed debit balances of Rs 91,350 and 1,35,000, respectively, before taking the following information into account:

- (i) Goods valued Rs 6,000 were transferred from Bhopal to Patna under instructions from H.O.
- (ii) The Bhopal branch collected Rs 7,500 from a Bhopal customer of the H.O.
- (iii) The Patna branch paid Rs 15,000 for certain goods purchased by the H.O. in Patna.
- (iv) Rs 15,000 remitted by Bhopal branch to Mumbai office on Mar 26, 2010 was received on Apr 2 only.
- (v) The Patna branch received on behalf of the H.O. Rs 4,500 as dividend from a Patna Company.
- (vi) For the year 2009–2010, the Bhopal branch showed a net loss of Rs 3,750 and the Patna branch a net profit of Rs 16,200.

Pass journal entries to record these matters in the H.O. books and write up the two branch accounts there in.

[B.Com (Hons) – Delhi – Modified]

Answer: Bhopal Branch Account – Rs 74,100 (Debit)
 Patna Branch Account – Rs 1,46,700 (Debit)

25. A Chennai H.O. passes one entry at the end of each month to adjust the position arising out of inter-branch transactions during the month. From the following inter-branch transactions in June 20, make the entries in the books of Chennai H.O. (Give details of the workings)

- (a) Mumbai Branch:
 - (i) Received goods from Kolkatta branch Rs 18,000 and Hyderabad branch Rs 12,000.
 - (ii) Sent goods to Hyderabad branch Rs 30,000 and Kolkatta branch Rs 24,000.
 - (iii) Sent acceptances to Kolkatta branch Rs 12,000 and Hyderabad branch Rs 6,000.
- (b) Delhi Branch: [In addition to (a) above]
 - (i) Received goods from Kolkatta branch Rs 30,000 and Mumbai branch Rs 12,000
 - (ii) Cash sent to Kolkatta branch Rs 6,000 Mumbai branch Rs 12,000
- (c) Kolkatta Branch: [In addition to (a) & (b)];
 - (i) Sent goods to Hyderabad branch Rs 18,000
 - (ii) Received Bills receivable from Hyderabad branch Rs 180,000
 - (iii) Received cash from Hyderabad branch Rs 10,000

[ICWA (Inter) – Modified]

Answer: Debit – Delhi Branch – Rs 24,000; Credit: Mumbai branch – Rs 24,000
 Debit – Kolkatta Branch – Rs 4,000; Credit Hyderabad branch – Rs 4,000

26. H.O. passes adjustment entry at the end of each month to adjust the position arising out of inter-branch transactions during the month. From the following inter-branch transactions in Nov 20, make the entry in the books of H.O.:

- (a) Delhi Branch
 - (i) Received goods: Rs 30,000 from Mumbai branch, Rs 20,000 from Nagpur branch
 - (ii) Sent goods: Rs 50,000 to Nagpur, Rs 40,000 to Mumbai
 - (iii) Received Bills Receivable Rs 30,000 from Nagpur
 - (iv) Sent acceptances Rs 20,000 to Mumbai Rs 10,000 to Nagpur
- (b) Chennai Branch:
 - (i) Received goods: Rs 50,000 from Mumbai, Rs 20,000 from Delhi
 - (ii) Cash sent: Rs 10,000 to Mumbai; Rs 30,000 to Delhi
- (c) Mumbai Branch:
 - (i) Sent goods to Nagpur: Rs 30,000
 - (ii) Paid Bills payable: Rs 20,000 to Nagpur; Rs 20,000 cash to Nagpur.

[C.A. (Inter) – Modified]

Answer: Debit Chennai Branch – Rs 30,000; Credit Delhi Rs 30,000

Debit – Nagpur Branch – Rs 80,000; Credit Mumbai Rs 80,000

27. The H.O. of a business and its branch kept their own books and prepares its own profit and loss account. The following are the balances appearing in the two sets of books as on Dec 31, 2009 after ascertainment of profit and after making all adjustments except these referred to below:

Particulars	H.O.		Branch	
	Dr. Rs	Cr. Rs	Dr. Rs	Cr. Rs
Capitals	–	5,00,000	–	–
Fixed Assets	1,80,000	–	80,000	–
Stock	1,71,000	–	53,700	–
Debtors and Creditors	39,100	19,800	24,200	9,600
Cash	53,700	–	7,100	–
Profit and Loss Account	–	73,300	–	15,300
B.O. Account	1,49,300	–	–	–
H.O. Account	–	–	–	1,40,100
	<u>5,93,100</u>	<u>5,93,100</u>	<u>1,65,000</u>	<u>1,65,000</u>

Set out balance sheet of the business as on Dec 31, 2009 and the Journal entries necessary (in both the sets of books) to record the adjustments dealing with the following:

- On Dec 31, 2009, the branch had sent a cheque of Rs 5,000 to the H.O. and not received by H.O. not credited to branch account till Jan 5, 2010.
- Goods valued Rs 4,200 had been forwarded by the H.O. to branch and invoiced on Dec 29, 2009, but were not received by the branch nor dealt with in branch's books till Jan 9, 2010.
- The profit shown by the branch is to be transferred to the H.O. books.
- Branch assets and liabilities are to be recorded in the books of the H.O.

(B.Com – Modified)

Answer: Balance Sheet Total: Rs 6,18,000

28. The following is the Trial Balance of Goa Branch as on Dec 31, 2009.

	Dr. Rs	Cr. Rs
Mumbai H.O.	6,480	–
Stock Jan 1, 2009	12,000	–
Purchases	1,95,600	–
Goods received from H.O.	38,000	–
Sales	–	2,76,000
Goods supplied to H.O.	–	12,000
Salaries	9,000	–
Debtors	7,400	–
Creditors	–	3,700
Rent	3,920	–
Office Expenses	2,940	–
Cash at Bank	3,560	–
Furniture	12,000	–
Depreciation on Furniture	800	–
	<u>2,91,700</u>	<u>2,91,700</u>

Stock at Branch on Dec 31, 2009 was valued at Rs 15,400. Account of Goa Branch in the H.O. books stood at Rs 920 (Debit). On Dec 26, 2009, the H.O. forwarded goods to the value of Rs 7,400 to the branch where they were received on Jan 5, 2010.

- (1) Prepare Trading and Profit and Loss Account of Goa Branch for the year ended Dec 31, 2009 and its Balance Sheet on that date.
- (2) Pass journal entries in the books of H.O. to incorporate the above shown trial balance
- (3) Show Goa Branch Account as it would be closed in H.O. Ledger

[B.Com (Hons) Delhi – Modified]

Answer: Gross Profit: Rs 59,600

Net Profit: Rs 41,140

Balance Sheet Totals: Rs 3,08,020]

29. Ashok Ltd. has its H.O. in Chennai and a Branch in Delhi where as separate set of books are used. The following are the trial balances extracted on Mar 31, 20.

Particulars	H.O.		Branch	
	Dr. Rs	Cr. Rs	Dr. Rs	Cr. Rs
Share Capital (Authorised 2,00,000 Equity Shares of Rs 10 each)	–	16,00,000	–	–
Issued: 1,60,000 Equity Shares				
Profit and Loss Account (Apr 1, 20–)	–	50,620	–	–
Interim Dividend paid during the Year	60,000	–	–	–
General Reserve	–	2,00,000	–	–
Current Assets	4,44,940	–	–	–
Fixed Assets	10,60,000	–	1,90,000	–
Debtors and Creditors	1,01,000	43,800	38,200	20,800
Profit for the Year	–	1,64,400	–	63,400
Cash Balance	1,25,460	–	13,100	–
Current Account	2,67,420	–	1,00,920	2,58,020
	20,58,820	20,58,820	3,42,220	3,42,220

The difference between the balances of the current account in the two sets of books is accounted for as follows:

- (1) Cash remitted by the branch on Mar 31, but received by the H.O. on Apr 2, Rs 6,000.
- (2) Stock stolen in transit from H.O. and charged to the branch by the H.O. but not credited to H.O. in the branch books as the branch manager declined to admit any liability (not covered by insurance) Rs 3,400.

You are required to prepare the Branch Current Account in the H.O. books after incorporating Branch Trial Balance through Journal. Also prepare the company's Balance Sheet as on Mar 31, 20–.

[C.A. (Inter) – Modified]

Answer: Branch Profit – Rs 63,400

General Profit and Loss Account – Rs 2,15,020 (cr.)

Balance Sheet Totals – Rs 20,79,620

30. The following are the Trial Balances of VRS Ltd Chennai, and its Delhi Branch as on Dec 2009:

Dr.

Cr.

Particulars	H.O. Rs	Branch Rs	Particulars	H.O. Rs	Branch Rs
Opening Stock	90,000	32,800	Creditors	40,660	10,820
Purchases	2,20,000	51,320	Goods sent to Branch	28,800	–
Wages	1,61,680	26,140	Sales	6,60,400	1,39,800
Manufacturing Expenses	71,720	13,660	H.O. Account	–	56,000
Machinery:			Capital in Shares	4,00,000	–
H.O.	2,00,000	–	Discount Earned	2,200	600
Branch	1,00,000	–	Purchases Returns	5,100	1,320
Furniture:					
H.O.	10,000	–			
Branch	4,000	–			
Rent	12,000	6,600			
Salaries	60,000	24,000			
Debtors	76,060	16,020			
General Expenses	40,000	6,200			
Goods Received from H.O.	–	28,800			
Cash in Hand and at Bank	20,600	3,000			
Branch Account	72,000	–			
	<u>11,37,160</u>	<u>2,08,540</u>		<u>1,13,160</u>	<u>2,08,540</u>

Closing Stock at H.O. was Rs 77,400; and at Delhi Rs 57,400. Depreciation is to be provided @ 10% p.a. on machinery and @ 15% p.a. on furniture. Rent still payable in respect of Dec 2009 for the branch godown is Rs 600.

You are required to prepare the Trading and Profit and Loss Account in Columnar form and the Consolidated Balance Sheet. Also show the Branch Account.

[C.A. (Inter) – Modified]

Answer: Gross Profit: H.O. Rs 2,29,200; Branch – Rs 45,800

Net Profit: H.O. Rs 97,900

Net Loss: Branch Rs 1,600

Consolidated Balance Sheet Totals: Rs 5,58,380]

Dissolution of Partnership

LEARNING OBJECTIVES

After studying the chapter, you will be able to understand

1. The Meaning of Dissolution of Partnership and Factors Responsible for Dissolution of Partnership and Firms
2. The Distinction Between Dissolution of Partnership and Dissolution of Firm
3. Provisions Envisaged Under Section 48(a), 48(b) and 49 of Indian Partnership Act, 1932
4. Meaning, Features and Preparation of Realisation Account
5. Accounting Treatment of (i) Partner's Loan Amount, (ii) Partner's Capital Account, (iii) Bank and Cash Account, (iv) Goodwill and (v) Unrecorded Assets and Liabilities
6. Preparation of Balance Sheet as on Date of Dissolution
7. The Concept and Accounting Treatment of Return of Premium
8. Accounting Treatment of Gift of Firm Asset to Partners
9. Meaning and Features of Insolvency of Partners and the Application of Garner vs. Murray Principle (i) When Capitals are Fixed and (ii) When Capitals are Fluctuating
10. Accounting Treatment of Dissolution When All Partners are Insolvent.
11. To Compute the Amount Recoverable from Insolvent Partners Using Algebraic Equation
12. The Provisions of Section 30 Relating to the Position of Minor and Dissolution of Partnership and Accounting Treatment of Minor and Insolvency.
13. Measuring and Features of "Sale of a Firm to a Limited Company"
14. Accounting Entries Relating to Sale of a Firm to a Company and Preparation of Necessary Accounts to Close the Books of the Firm, Including Calculation of Purchase Consideration
15. Meaning and Features of Piecemeal Distribution
16. Proportionate or Surplus Capital Method and Maximum Possible Loss Method: For Distribution of Cash (Realised) Among the Partners

INTRODUCTION

Dissolution means breaking of relationship among the partners. As per Section 39 of the Indian Partnership Act 1932, the dissolution of firm implies that not only partnership is dissolved but the firm loses its existence, i.e. after dissolution the firm does not remain in business.

The only business to be carried out, after dissolution, is that all the assets are disposed off and liabilities are paid off and only the balance left out is to be paid to partners in settlement of their accounts. At this stage, one has to understand the basic salient features of Dissolution of Partnership and Dissolution of Firm.

OBJECTIVE 1: DISSOLUTION OF PARTNERSHIP

A partner's change, without affecting the continuity of business, may be said as dissolution of partnership. When a partnership may be dissolved? A partnership is dissolved in any one of the following cases:

1.1 When May a Partnership be Dissolved?

- (i) Change in profit sharing ratio among partners
- (ii) Admission of a new partner
- (iii) Retirement of a partner
- (iv) Death of a partner
- (v) Expiry of the period of partnership
- (vi) Completion of firm's venture
- (vii) Insolvency of a partner
- (viii) Merger of one partnership firm into another

1.2 Dissolution of a Firm

Dissolution of a firm occurs in the following cases:

- (i) Dissolution by agreement:
 - a. All the partners agree to dissolve the firm.
 - b. As per the terms of partnership agreement.
- (ii) Compulsory dissolution: Firm is dissolved compulsorily:
 - a. In case, all the partners or all except one partner become insolvent or insane.
 - b. If the business becomes illegal.
 - c. Where all the partners except one decide to retire from the firm.
 - d. Where all the partners except one die.

1.3 Dissolution by Notice

In case of partnership at capital, notice by one partner, seeking dissolution of the firm.

1.4 Dissolution by Court

A court may order for dissolution if a suit is filed by a partner, as per Section 44 of Indian Partnership Act, 1932 situations:

- (i) A partner becomes insane
- (ii) A partner commits breach of agreement willfully
- (iii) If a partner's conduct affects the business
- (iv) If a partner transfers his interest to a third party
- (v) If the business cannot be continued
- (vi) If a partner becomes incapable of doing business
- (vii) If a court thinks dissolution to be just and equitable on any ground

After studying the features of dissolution of partnership and dissolution of firm, one can easily distinguish between dissolution of partnership and dissolution of firms which is depicted in the tabular form below:

OBJECTIVE 2: DISTINCTION BETWEEN DISSOLUTION OF PARTNERSHIP AND DISSOLUTION OF FIRM

<i>Basis of Distinction</i>	<i>Dissolution of Partnership</i>	<i>Dissolution of Firm</i>
1. Discontinuance of business	It does not affect the continuation of business	It affects the business. Firm is closed
2. Assets and liabilities	Assets and liabilities are revalued. New Balance Sheet is prepared	Assets are sold and realised. Liabilities are paid off

Basis of Distinction	Dissolution of Partnership	Dissolution of Firm
3. Closure of books	No need to close account books, as the business continues to operate	All the books of accounts are closed
4. Intervention by court	Court does not intervene	Court has inherent powers to intervene. By its order, a firm can be dissolved
5. Economic relationship	Economic relationship among partners may remain or change	Economic relationship among partners comes to an end

OBJECTIVE 3: TREATMENT OF SOME ACCOUNTS AT THE TIME OF DISSOLUTION

3.1 Treatment of Loss: Section 48 (a)

Losses should be treated in the following order. Losses should be paid

- (i) out of profit of the business, then
- (ii) out of capital, then and finally
- (iii) by partners in their sharing ratio

3.2 Treatment of Assets: Section 48 (b)

The assets of the firm shall be applied in the following order:

- (i) Payment of firm's debts to third parties
- (ii) Payment of partner's advances (loans)
- (iii) Payment to each partner's capital
- (iv) Any amount left out after these, is to be divided among the partners in their sharing ratio

3.3 Treatment of Firm's Debts and Private Debts

Following are the provisions as per Section (49):

- (i) A business property is to be used first to settle firm's debt and then only to his private debt
- (ii) A private property is to be used first to settle private debts and then only to firm's debt

Now, one has to understand the difference between firm's debt and private debt. They are as follows:

Basis of Difference	Firm's Debt	Private Debt
1. Meaning	Debts owed by a firm to outsiders	Debt owed by a partner to any other person
2. Liability	All the partners are liable jointly and severally to firm's debt	Only the concerned partner is held liable
3. Application of firm's property	Firm's debts will be applied first	Excess, if any, will be applied to private debts
4. Application of private property	Last priority, i.e. after the disposal of private debts	First priority to individual, i.e. private debts

OBJECTIVE 4: ACCOUNTING TREATMENT

In the event of dissolution of firms, books of accounts are to be closed.

4.1 Preparation of Realisation Account

The account, which has to be prepared to determine profit of loss on realising the assets and discharge of liabilities, is referred to as "Realisation Account."

- (i) In Realisation Account, sale of assets is recorded at its realised value.
- (ii) Payment to creditors is recorded at the settlement value.
- (iii) After all the transactions have been recorded, there will be balance – which may be profit or loss.
- (iv) Profit arises when
 - (a) assets are realised at more than their Book Value
 - (b) liabilities are settled at less than their Book Value
- (v) If the two conditions are vice versa, the net result will be loss.
- (vi) The net profit or loss on realisation is to be transferred to partner's Capital Accounts in their ratio.

Basis of Distinction	Revaluation Account	Realisation Account
1. Meaning	It records the <i>effect</i> of revaluation of assets and liabilities	It records the <i>actual realisation</i> of assets and settlement of all liabilities
2. Time of preparation	It is prepared at the time of admission, retirement or death of a partner	It is prepared at the time of dissolution of a firm
3. Items to be recorded	In this account only the items that cause change in the value of change of assets and liabilities are recorded	In this account, all the items – all assets and liabilities are recorded
4. Aim or object	Its main aim of preparation is to make necessary adjustments and liabilities	Its main aim of preparation is to determine the net profit/loss on realisation of assets and settlement of liabilities
5. Number of times	This may be prepared on a number of occasions during the life time of the firm	This is prepared only once, i.e. at the time of dissolution of the firm

Realisation Account Dr.
 To All Assets A/c
 (Closure of all assets accounts by transferring to Realisation A/c)

Sundry Creditors A/c Dr.
Bills Payable A/c Dr.
To Realisation A/c
(Liabilities accounts are closed by transferring to Realisation A/c)

Note: Accumulated profits, reserves, loan should not be transferred to Realisation Account.

Step 3: For realisation of assets:

The amount actually received (realised) is to be debited to Cash/Bank A/c and Realisation A/c is credited with the amount realised (received).

Cash/Bank A/c Dr.

To Realisation A/c

(Amount realised on assets)

Step 3a: At times, a partner may take an asset. In such case, instead of Cash/Bank Account, his Capital Account has to be debited.

Partner's Capital A/c Dr.

To Realisation A/c

(Asset taken over by the partner)

Step 4: For payment of liabilities:

Realisation A/c Dr.

To Cash A/c

(Payment of liabilities)

Step 4a: At times, a partner may take over a liability

Realisation A/c Dr.

To Partner's Capital A/c (partner discharged a liability)

Step 5: For expenses on realisation:

Case 1: Expenses met by the firm

Realisation A/c Dr.

To Cash A/c

(Realisation expenses)

Case 2: Partners bear the expenses

Realisation A/c Dr.

To partner's Capital A/c

(Expenses met by the partner)

Case 2A: Sometimes (case 2) is treated as drawing's by the partners

Partner's Capital A/c Dr.

To Bank A/c

(Expenses treated as partner's drawings)

Step 6: For closing of Realisation Account:

After making all the entries closing balance, i.e. profit or loss on realisation, is transferred to Capital Accounts of the partners in their profit sharing ratio.

Step 6a: Profit on realisation:

Realisation A/c Dr.

To partner's Capital A/c or Current A/c

(profit on realisation transferred to partner's Capital Account)

Step 6b: Loss on realisation:

Partner's Capital A/c Dr.

To Realisation A/c

(Loss on realisation transferred to partner's Capital Account)

Illustration: 1

R and S are partners sharing profits equally and they have decided to dissolve the firm. Their liabilities are bills payable Rs 10,000; creditors Rs 20,000. Their capitals are Rs 50,000 and Rs 30,000, respectively.

All the assets of the firm are realised at Rs 1,50,000. You are required to pass necessary journal entries and prepare Realisation Account.

Solution

Students must take into account all the six steps discussed. After passing entries, Realisation Account is prepared.

Step 1: Value of assets is not given in the question. So it has to be determined first.

Value of Sundry Assets may be determined by preparing "Memorandum Balance Sheet."

It is prepared as:

Memorandum Balance Sheet

Liabilities	Rs	Assets	Rs
Capitals R	50,000	*Sundry Assets (balancing figure)	1,10,000
S	30,000		
Bills Payable	10,000		
Creditors	20,000		
	<u>1,10,000</u>		<u>1,10,000</u>

or

The same can be determined by applying the equation

Assets = Capital + Liabilities

$$\begin{aligned}
 &= \{ \text{Rs } 50,000 + \text{Rs } 30,000 \} + \{ \text{Rs } 10,000 + \text{Rs } 20,000 \} \\
 &\quad \text{(R)} \quad \text{(S)} \quad \text{(Bills Payable)} \quad \text{(Creditors)} \\
 &\quad \text{(Given)} \quad \text{(Given)} \quad \text{(Given)} \quad \text{(Given)} \\
 &= \text{Rs } 80,000 + 30,000 \\
 &= \text{Rs } 1,10,000
 \end{aligned}$$

Step 2: Journal entries to be recorded in the order as

For closing the asset (values):

Here, value of Sundry Assets as determined in Step 1 is Rs 1,10,000

	Rs	Rs
Realisation Account	Dr. 1,10,000	
To All Assets A/c		1,10,000
(Closure of all assets accounts by transferring to Realisation A/c)		

Step 3: For closing of accounts of all liabilities:

Sundry Creditor A/c	Dr. 20,000	
Bills Payable A/c	Dr. 10,000	
To Realisation A/c		30,000
(Liabilities accounts are closed by transferring to Realisation A/c)		

Step 4: For assets realised (actual amount):

Cash/Bank Account	Dr. 1,50,000	
To Realisation A/c		1,50,000
(Realised value of accounts)		

Step 5: For payment of liabilities

Realisation A/c	Dr. 30,000	
To Cash/Bank A/c		
To Bills Payable A/c		10,000
Creditors		20,000
(All liabilities are paid off)		

Step 6: After having entered all entries, the net result, i.e. profit or loss on realization, has to be recorded (refer the next step). Here it is profit. This amount Rs 40,000 has to be apportioned in the profit sharing ratio among the partners. Here Rs 40,000 has to be divided equally (given in the question), i.e. for R: Rs 20,000 and for S: Rs 20,000. This amount is transferred to their Capital Accounts finally.

Realisation Account	Dr.	40,000
To Partner's Capital A/c		
R's Capital A/c		20,000
*S's Capital A/c		20,000

(Net profit on realisation transferred to the Capital Accounts of the partners)

Step 7: Preparation of Realisation Account

In the Books of R and S

Date	Particulars	Amount Rs	Date	Particulars	Amount Rs
	Sundry Assets (computed as in Step 1)	1,10,000		Bank (assets realised – given)	1,50,000
	Bank (liabilities paid off)			Bills Payable (given)	10,000
	Bills Payable	10,000			
	Creditors	20,000		Creditors (given)	20,000
	*Capital Account				
	R 20,000				
	S <u>20,000</u>	40,000			
	Total	<u>1,80,000</u>		Total	<u>1,80,000</u>

Illustration: 2

X, Y and Z are partners sharing profit in the ratio (5:3:2). They decided to dissolve the firm. On Dec 31, 2009 the Balance Sheet of the firm was as follows:

Liabilities	Rs	Assets	Rs
Capital Account RS		Building	70,000
X 40,000		Investments	5,000
Y 30,000		Sundry Debtors	2,000
Z <u>10,000</u>	80,000		
Sundry Creditors	5,000	Stock	12,000
Profit and Loss Account	<u>5,000</u>	Cash at Bank	<u>1,000</u>
	<u>90,000</u>		<u>90,000</u>

Additional Information: X took over the building at the value of Rs 80,000; cash realised: Investments Rs 4,500; Book Details Rs 1,500; Stock Rs 11,000, Z agreed to take over the creditor at 20% discount. Realisation expenses amounted to Rs 1,000. You are required to pass necessary normal entries and prepare Realisation Account.

Solution

Step 1: All assets accounts have to be closed. For this refer the assets in the Balance Sheet. Transfer one after one and the total value of all assets to be debited with the Realisation Account (except cash).

		Rs	Rs
	Realisation Account	Dr.	89,000
	To Building A/c		70,000
	To Investment A/c		5,000
	To Sundry Debtors A/c		2,000
	To Stock A/c		12,000
	(All assets except cash are transferred to Realisation A/c)		
Step 2:	For closing of liabilities:		
	Sundry Creditors A/c	Dr.	5,000
	To Realisation A/c		5,000
	(Liabilities transferred to Realisation A/c)		
Step 3:	Amount actually realised on assets:		
	Cash/Bank A/c	Dr.	17,000
	To Realisation A/c		17,000
	[Investments – Rs 4,500; Debtors Rs 500 Stock Rs 11,000 – Realisation of Assets]		
Step 3a:	For assets taken over by a partner:		
	X's Capital A/c	Dr.	80,000
	To Realisation A/c		80,000
	(Value of Asset taken by X)		
Step 4:	Discharge of liabilities:		
	(Z – a partner agreed to battle the creditors at 20% discount)		
Step 4a:	Realisation A/c	Dr.	4,000
	To Z's Capital A/c		4,000
	(Z agreed to discharge the liability Rs 5,000 – 20% of Rs 5,000, i.e. 1,000 = Rs 4,000)		
Step 5:	For realisation expenses		
	Realisation A/c	Dr.	1,000
	To Cash/Bank A/c		1,000
	(Realisation expenses entered)		
Step 6:	For profit/loss in Realisation Account		
	Realisation A/c	Dr.	8,000
	To X's Capital A/c		4,000
	To Y's Capital A/c		2,000
	To Z's Capital A/c		1,600
	(Profit is realisation transferred to Capital Accounts of partners in the ratio 5:3:2)		
Step 7:	Preparation of Realisation Account.		

Realisation Account in the books of X, Y and Z**Dr.****Cr.**

Date	Particulars	Amount	Date	Particulars	Amount
Dec 31, 2009	Sundry Assets		Dec 31, 2009	Sundry Creditors (given in question)	5,000
	Building Rs				
	70,000				
	Investments 5,000				
	Debtors 2,000				
	Stock <u>12,000</u>	89,000			
	(given in question)				
				Cash/Bank (amount realised on assets)	17,000
	Bank (expenses on realisation Given)	1,000		X's Capital A/c (Asset – Building taken over by X)	80,000
	Z's Capital A/c (Liability – Creditors discharged by Z at 20% discount)	4,000			
	Profit and Loss A/c:				
	X's Capital A/c 4,000				
	Y's Capital A/c 2,400				
	Z's Capital A/c <u>1,600</u>	8,000			
	(profit on realisation divided in 5:3:2)				
		<u>1,02,000</u>			<u>1,02,000</u>

So far, we have discussed the important six steps for recording Journal Entries to compute “Realisation Account.” Now, we have to discuss three more important items to be considered for treatment of accounts at the time of dissolution of firm.

Case(1): Partner's Loan Amount

Entries for Partner's Loan, Partner's Capital Account, Bank and Cash Account, Goodwill and Unrecorded Assets and Liabilities.

Step 7

- A loan to firm by a partner is credited in this account
- Then this loan is paid off after payment of liabilities to outsiders

Entry is:

Partner's Loan A/c Dr.

To Cash/Bank A/c

(Payment of Partner's Loan)

Case (2): Partner's Capital Account

- Balances of Capital Accounts and Current Accounts are recorded here
- In case, if partners take over firm's assets, these items are recorded on the Debit side of their Capital Account
- If the partners take over firm's liabilities, these items are recorded on the Credit side of their Capital Accounts

Step 8a: Entry for undistributed profit or reserve:

Profit and Loss A/c Dr.

Reserve Fund A/c Dr.

To Partner's Capital A/c

Step 8b: Cash brought by partners for deficiency in capital:

Cash/Bank A/c Dr.

To Partner's Capital A/c

Step 8c: Payment to partners or to close partners Capital Accounts:

Partner's Capital A/c Dr.

To Cash/Bank A/c

Case 3 Bank and Cash Account:

If both cash and bank balances are given, for convenience a single account is opened for both cash and bank transactions.

Other miscellaneous item:

Case 4 Goodwill

Step 9a: Goodwill appears in books:

Realisation A/c Dr.

To Goodwill A/c

(Goodwill is transferred to Realisation A/c)

Step 9b: Amount is realised on goodwill:

Cash/Bank A/c Dr.

To Realisation A/c

Step 9c: Partner purchases goodwill:

Partner's Capital A/c Dr.

To Realisation A/c

Case 5 Unrecorded assets and liabilities:

Step 10a: Cash realised from unrecorded assets:

Cash/Bank A/c Dr.

To Realisation A/c

Step 10b: Payment of unrecorded liability:

Realisation A/c Dr.

To Cash/Bank A/c

Step 10c: A partner takes over unrecorded assets:

Partner's Capital A/c Dr.

To Realisation A/c

Step 10d: A partner takes over unrecorded liabilities:

Realisation A/c Dr.

To Partner's Capital A/c

Illustration: 3

X and Y were partners sharing profits and losses equally. They mutually dissolved the firm in 2006. The Balance Sheet on that date was as follows:

Liabilities	Rs	Assets	Rs
Trade Creditors	60,000	Cash in Hand	8,000
Bills Payable	30,000	Cash in Bank	25,000

Liabilities	Rs	Assets	Rs
Loan from Mrs. Y	20,000	Stock	70,000
Joint Life Policy Reserve	15,000	Book Debts 55,000	
		Loss Provision <u>5,000</u>	50,000
General Reserve	45,000		
Profit and Loss A/c	25,000	Plant and Machinery	30,000
Capitals		Land and Buildings	80,000
X's Capital Rs 60,000			
Y's Capital <u>Rs 50,000</u>	1,10,000		
		Joint Life Policy (at sundry value)	15,000
		Goodwill	20,000
		Prepaid Insurance	3,000
		Deferred Revenue Advt	5,000
		Expenditure	
	<u>3,05,000</u>		<u>3,05,000</u>

The firm was dissolved on the given date and the following transactions took place:

- (1) X took over 40% of the stock at a discount of 25%.
- (2) Remaining stock was disposed off at a profit of 40%.
- (3) Rs 10,000 of the book debts proved bad.
- (4) Y undertook to pay Mrs. Y's loan.
- (5) Land and building was realised at Rs 2,00,000.
- (6) Bills payable were paid in full.
- (7) 50% of trade creditors accepted plant and machinery at 20% less than the book value and cash of Rs 6,000 in full settlement of their claims.
- (8) Remaining trade creditors were discharged at 20% discount.
- (9) Realisation expenses were Rs 3,000.
- (10) The Joint Life Policy was surrendered for Rs 15,000.
- (11) A customer's liability (not provided for) of Rs 2,000 was discharged.
- (12) An old customer, whose account was written off as bad in the last year, paid Rs 1,000, which is not stated in the above stated books. Give necessary journal entries and ledger accounts.

Solution

Step 1: All assets (excluding cash and deferred revenue advertising expenditure) are credited with their book value one after one and total of these are debited to Realisation A/c:

	Rs	Rs
Realisation A/c Dr.	2,72,000	
To Stock		70,000
To Book Debts		55,000
To Plant and Machinery		30,000
To Land and Buildings		80,000
To Joint Life Policy		15,000
To Goodwill		20,000
To Prepaid Insurance(expense)		2,000

(Being the transfer of all assets to Realisation A/c)

Note: 1. Cash in Hand

2. Cash at Bank and

3. Deferred Revenue Advertisement Expenditure. These three items are not taken into account. Students should further note that Book Debts Value (without considering provision for Doubtful Debts) is taken as it is without adjustment. Students should once again refer the problem and make clear which assets are taken into account and at what value.

Step 2: Transfer of liabilities to Realisation A/c:

All liabilities (each item one after one) are debited and their total is credited to Realisation A/c (Joint Life Policy Resource, Credited Reserve and Profit and Loss A/c items are excluded in this Step).

		Rs	Rs
Provision for Doubtful Debts	Dr.	5,000	
Trade Creditors	Dr.	60,000	
Bills Payable	Dr.	30,000	
Mrs Y's Loan	Dr.	20,000	
To Realisation A/c			1,15,000
(Being transfer of liabilities to Realisation A/c)			

Note: Provision for doubtful debts (appearing on assets side) is to be transferred here as it is a liability.

Step 3: For realisation of assets:

When assets are realised, Cash or Bank A/c credited with actual amount realised. Here, each item need not be shown separately.

Bank A/c	Dr.	3,18,000	
To Realisation A/c			3,18,000

(Being Stock, Debtors, Joint Life Policy, Land and Building realised)

Workings:

(i) Stock: Remaining Stock = 60%	Rs
60% of Rs 70,000	42,000
Add: 60% was disposed at a profit of 40%	<u>16,800</u>
	58,800
(ii) Book Debts	55,000
Less: Bad Debts	<u>10,000</u>
(refer further information)	45,000
(iii) Land and Building (refer Information)	2,00,000
(iv) Joint Life Policy (Surrendered value)	15,000
Total Value of Assets Realised	58,800
	45,000
	2,00,000
	<u>15,000</u>
	<u>3,18,800</u>

Step 4: For taking over of an asset by a partner:

X's Capital A/c Dr.	21,000	
To Realisation A/c		21,000
(Being 40% of stock taken over by X @ 25% discount)		
[Workings: 40% of stock = 40/100 of Rs 70,000]		

	Rs
	28,000
<i>Less: 25% of Discount</i>	<u>7,000</u>
	<u>21,000</u>

Note: If an asset is taken over by a partner (after adjustment) it has to be debited to the partner's Capital Account instead of Cash A/c (as in Step 3).

The difference is that instead of cash the concerned partner's Capital Account is debited.

Step 5: For expenses realisation

Realisation A/c	Dr.	3,000	
To Bank A/c			3,000
(Being realisation expenses paid)			

Note: Suppose realisation expenses are borne by a partner, then partner's Capital A/c has to be credited instead of Bank A/c

Step 6: For payment of liabilities:

Realisation A/c	Dr.	60,000	
To Cash/Bank A/c			60,000
(Being payment made to credits and bills payable holders) (Rs 30,000 + Rs 30,000)			

Step 7: For closing partner's Loan A/c:

Realisation A/c	Dr.	20,000	
To Y's Capital A/c			20,000
(Being payment of Mrs. Y's loan by Y)			

Step 8: For debt, previously written off, recovered)

Bank A/c	Dr.	1,000	
To Realisation A/c			1,000
(Being a debt, previously written off, recovered)			

Step 9: For contingent liability discharged:

Realisation A/c	Dr.	2,000	
To Bank A/c			2,000
(Being a contingent liability discharged)			

Step 10: For transfer of profit on realisation

Realisation A/c	Dr.	98,800	
To X's Capital A/c			49,400
To Y's Capital A/c			49,400
(Being transfer of profit on realisation)			

Step 11: For transfer of accumulated profit.

General Reserve A/c	Dr.	45,000	
Joint Life Policy Reserve A/c	Dr.	15,000	
Profit and Loss A/c	Dr.	25,000	
To X's Capital A/c			42,500
To Y's Capital A/c			42,000
(Being accumulated profit transferred)			

Note: General Reserve J.L.P. Reserve. Profit and Loss added and distributed among partner's ratio and credited to their Capital Accounts.

Step 12: For transfer of accumulated loss:

X's Capital A/c	Dr.	2,500	
Y's Capital A/c	Dr.	2,500	
To Deferred Reserve Expenditure A/c			5,000
(Being transfer of accumulated losses)			

Note: Deferred revenue expenditure is accumulated loss. It has to be divided in the partner's profit sharing ratio and debited to their Capital Accounts.

Step 13: For final payment made to partners:

X's Capital A/c	Dr. 1,59,400	
Y's Capital A/c	Dr. 1,28,400	
To Bank A/c		2,87,8000
(Being final payment made to partners)		

Ledger Accounts
Realisation Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
1. All assets except cash to be transferred here:		1. All Liabilities except Loan and Reserve and Profit to be transferred	
Stock	70,000	By Creditors	60,000
Book Debts	55,000	By Bills Payable	30,000
Plant and Machinery	30,000	By Provision for Bad Debts	5,000
Land and Buildings	80,000		
Joint Life Policy	15,000		
Goodwill	20,000		
Prepaid Insurance	2,000		
2. Liability taken over by Partner To Y's Capital A/c (Mrs Y's Loan)	20,000	2. Loan: Mrs Y's Loan	20,000
3. Other Liabilities actually discharged. To Bank A/c		3. Assets Realised:	
Creditors 30,000		By Bank A/c	
Bills Payable 30,000	60,000	Stock	58,800
		Land and Building	2,00,000
		Debtors	45,000
		Joint Life Policy	15,000
4. Realisation Expenses: To Bank A/c (Realisation Expense)	3,000	4. Asset taken over by Partner (Stock taken by X) X's Capital A/c	21,000
5. Unrecorded Liability: To Bank A/c	2,000	5. (Unrecorded Asset – Recovered By Bank A/c (Bad Debts recorded)	1,000
6. To Profit on Realisation transferred to:			
X's Capital A/c	49,400		
Y's Capital A/c	49,400		
(Net Profit in 1:1 ratio) (Balancing Figure)	4,55,800		4,55,800

Note: Students may transfer entries from Journal to this Ledger A/c. But if straightaway ledger accounts are to be recorded they should be able to remember various items to be recorded on debit and credit side. So they are numbered serially and entries are recorded.

Bank Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d (from problem)	25,000	By Realisation A/c (Crs + B/P: Liabilities discharged actual)	60,000
	8,000		
To Realisation A/c (Total Assets Realised from Realisation A/c)	3,18,800	By Realisation A/c (Realisation Expenses)	3,000
To Realisation A/c (Unrecorded Asset)	1,000	By Realisation A/c (Unrecorded Liability)	2,000
		By X's Capital A/c	1,59,400
		By Y's Capital A/c	1,28,400
	<u>3,52,800</u>		<u>3,52,800</u>

Capital Accounts of Partners**Dr.****Cr.**

Particulars	X Rs	Y Rs	Particulars	X Rs	Y Rs
To Realisation A/c (stock taken over) Assets	21,000	–	By Balance b/d (from the problem)	60,000	50,000
To Deferred Reserve Expenditure (in the ratio)	2,500	2,5000	By Realisation A/c (loan discharged)	–	20,000
		–	By Realisation A/c (net from Realisation A/c)	49,400	49,400
To Bank A/c (balancing figure)	1,28,400	1,59,4000	By General Reserve (from the problem) in the ratio	22,500	22,500
			By Joint Life Policy Reserve (from the problems)	7,500	7,500
			By Profit and Loss A/c (from problem) in the ratio	12,500	12,500
	<u>1,51,900</u>	<u>1,61,900</u>		<u>1,51,900</u>	<u>1,61,900</u>

OBJECTIVE 5: ACCOUNTING TREATMENT ON DISSOLUTION

- Our dissolution of a firm, forms and books (accounts of various items) will have to be closed.
- The following accounts have to be opened for this purpose.

5.1 Account Treatment on Dissolution of a Firm

- Realisation Account
- Bank/Cash Account
- Partner's Loan Account
- Partner's Capital Account

5.2 Realisation Account

The net effect on realisation of assets and reassessment of liabilities is shown in this account. To find the net effect (profit/loss on realisation), the following steps have to be adhered.

Step 1: For closing assets accounts:

First, all assets (except cash, fictitious assets, debt balances of capital and current account as partner) are transferred to Realisation A/c as their book values:

Realisation A/c	Dr.
To Various Assets A/c	

Effect: This entry will close the accounts of various assets.

Step 2: For closing outside creditors accounts:

All liabilities (except loan from partners, reserve) are transferred to the Realisation A/c

Various Liabilities A/c	Dr.
To Realisation A/c	

Effect: This will close the accounts of liabilities.

Step 3: For realisation of assets:

Cash/Bank A/c will be debited and Realisation A/c credited with actual amount realised on assets.

Cash A/c	Dr.
To Realisation A/c	

Effect: Actual amount realised on assets (more or less income received by assets on dissolution) may be ascertained.

Step 4: When a partner takes over a new asset.

Partner's Capital A/c	Dr.
To Realisation A/c	

Effect: Partner's share, other than cash, is ascertained.

Step 5: For expenses on realisation:

Expenses will incur and each expense have to be debited to Realisation A/c and credited to Cash A/c

Realisation A/c	Dr.
To Cash A/c	

Step 5a: If realisation expenses are borne by partner

Realisation A/c	Dr.
To Partner's Capital A/c	

Step 6: For payment of liabilities:

On payment of liabilities, actual account paid will be debited to Realisation A/c and credited to Cash A/c

Realisation A/c	Dr.
To Cash A/c	

Step 6a: When a partner takes over a liability:

Realisation A/c	Dr.
To Partner's Capital A/c	

Step 7: For closing partner's Loan A/c:

Partner's Loan A/c	Dr.
To Cash A/c	

Step 8: For closing reserve and undistributed profit A/c

Reserve fund A/c	Dr.
------------------	-----

or

Profit and Loss A/c	Dr.
To Partner's Capital or Current A/c	

Step 9: For closing Realisation Account:

This is the stage at which this Realisation A/c will reveal profit or loss

[Profit if credit side is higher

Loss if debit side is higher]

If *Profit*: Realisation A/c

Dr.

To Partner's Capital A/c

If *Loss*: Partner's Capital A/c

To Realisation A/c

Step 10: Accumulated loss (Debit balance in Profit and Loss A/c)

Partner's Capital or Current A/c

Dr.

To Accumulated Losses A/c

Step 11: For bringing cash equal to debit balance in his Capital Account by a partner

Cash A/c

Dr.

To Partner's Capital A/c

Step 12: For closing partner's Capital Accounts:

Partner's Capital A/c

Dr.

To Cash A/c

Usually, all the accounts related to dissolution are closed with these entries, so transferring them to the respective ledger accounts.

5.3 Cash or Bank Account (Ledger)

Opening balance of cash (both cash in hand and cash at Bank)

- (i) Amount received on sale of assets (realised)
- (ii) Amount brought by partners, etc. are to be recorded on the debit side of this account
- (iii) Payment of various expenses
- (iv) Payment to discharge various liabilities
- (v) Amount paid to partners is to be recorded on the credit side of this account

Note: Student at this level should take care to record transactions relating to cash and bank, it is desirable to record either as Cash A/c or as Bank A/c and not both accounts separately and has to be treated under one head only, either Cash or Bank A/c.

5.4 Partner's Capital Account

- (i) Assets taken over by the partners are recorded on the debit side of this account
- (ii) Liabilities taken over by the partners are entered on the credit side of the account
- (iii) Balances of partner's capital accounts are entered
- (iv) In addition, Entry No. 11 and No. 12 discussed above finds place in this account
- (v) For transfer of balance in Current A/c of partners:

(a) For debit balance:

Partner's Capital A/c

Dr.

To Partner's Current A/c

(b) For credit balance:

Partner's Current A/c

To Partner's Capital A/c

5.5 Partners Loan Account: (Loan by Partner)

Partners Loan A/c

Dr.

To Cash A/c

OBJECTIVE 6: GOODWILL**6.1 Accounting Treatment**

Dissolution of firm and goodwill:

- (i) If goodwill appears in the balance sheet, it is transferred to Realisation A/c at book value, like other assets.

Realisation A/c	Dr.
To Goodwill A/c	
- (ii) If goodwill does not appear in Balance Sheet, no entry for transfer.
- (iii) If anything is realised for goodwill

Cash/Bank A/c	Dr.
To Realisation A/c	
- (iv) If goodwill is purchased by one of the partners

Partner's Capital A/c	Dr.
To Realisation A/c	

6.2 Unrecorded Assets and Liabilities

At the time of dissolution of the firm, some assets and liabilities may not appear in the books.

6.2.1 Unrecorded Assets:

- (i) Cash received from unrecorded assets:

Cash A/c	Dr.
To Realisation A/c	

(Being cash realised on unrecorded assets)
- (ii) When a partner takes over unrecorded assets:

Partner's Capital A/c	Dr.
To Realisation A/c	

(Being the partner took over unrecorded assets)

6.2.2 Unrecorded Liabilities:

- (i) For payment of unrecorded liability

Realisation A/c	Dr.
To Cash A/c	

(Being unrecorded liability discharged)
- (ii) When a partner takes over unrecorded liability

Realisation A/c	Dr.
To Partner's Capital A/c	

(Being a partner took over unrecorded liability)

6.3 Memorandum Balance Sheet

- (i) At times, value of sundry assets is not given in the problem.
- (ii) Only partner's capitals and other liabilities are given but not the total value of sundry assets.
- (iii) Realised value on assets is given.
- (iv) In such cases, total amount of assets is ascertained by preparing a Balance Sheet which is called as Memorandum Balance Sheet.

Illustration: 4

A and B are partners in a firm. Their capitals are Rs 2,20,000 and Rs 1,80,000, respectively. The creditors are Rs 1,00,000. The assets of the firm realised Rs 5,60,000. You are required to prepare Realisation A/c, Partner's Capital A/c and Bank Account.

Solution

- (i) The amount of total Sundry Assets is not given.
(ii) So it has to be calculated by preparing Memorandum Balance Sheet.

Memorandum Balance Sheet

Liabilities	Rs	Assets	Rs
Creditors	1,00,000	Sundry Assets (balancing figure)	5,00,000
Capital Accounts:			
A: 2,20,000			
B: 1,80,000	<u>4,00,000</u>		
	5,00,000		<u>5,00,000</u>

Note: Creditors and Capitals are added and this total is transferred to assets side of the Balance Sheet (Balancing figure), to ascertain the value of Sundry Assets.

Realisation Account*Dr.**Cr.*

Particulars	Rs	Particulars	Rs
To Sundry Assets	5,00,000	By Creditors	1,00,000
To Cash Creditors	1,00,000	By Cash – Assets realised	5,60,000
To Profit transferred to			
A's Capital A/c 30,000			
B's Capital A/c <u>30,000</u>	60,000		
(profit distributed equally as no specific ratio is given)			
	<u>6,60,000</u>		<u>6,60,000</u>

Capital Accounts of Partners*Dr.**Cr.*

Particulars	A Rs	B Rs	Particulars	A Rs	B Rs
To Cash A/c (amount paid)	2,50,000	2,10,000	By Balance b/d	2,20,000	1,80,000
			By Realisation A/c – Profit	30,000	30,000
	<u>2,50,000</u>	<u>2,10,000</u>		<u>2,50,000</u>	<u>2,10,000</u>

Cash/Bank A/c*Dr.**Cr.*

Particulars	Rs	Particulars	Rs
To Realisation A/c (assets realised)	5,60,000	By Realisation A/c (creditors)	1,00,000
		By A's Capital A/c (payment of amount)	2,50,000
		By B's Capital A/c (payment)	<u>2,10,000</u>
	<u>5,60,000</u>		<u>5,60,000</u>

Illustration: 5

The following is the Balance Sheet of Kashyap and Verma as on Dec 31, 2006.

Liabilities	Rs	Assets	Rs
Creditors	20,000	Cash in Hand	1,000
Bills Payable	13,000	Cash at Bank	9,000
Mrs. Kashyap Law	20,000	Investment	20,000
Verma's Law	25,000	Stock	10,000
Reserve Fund	20,000	Debtors: 25,000	
Investment Fluctuation Fund	2,000	Less: Provision: 3,000	22,000
Capital: Rs		Plant and Machinery	30,000
Kashyap 35,000		Land and Building	60,000
Verma 30,000	65,000	Goodwill	8,000
		Profit and Loss A/c	5,000
	<u>1,65,000</u>		<u>1,65,000</u>

The firm was dissolved on Dec 31, 2006 and the following were agreed upon:

- (i) Kashyap agreed to pay off Mrs. Kashyap's loan
- (ii) Kashyap took away the stock at Rs 8,000
- (iii) Verma took 50% of the investment at a discount of 10%
- (iv) Debtors were realised at Rs 25,000
- (v) Creditors and bills payable were discharged at a discount of Rs 200 and Rs 100, respectively
- (vi) Other assets realised at **Rs**
 - Plant and Machinery 40,000
 - Land and Buildings 80,000
 - Goodwill 20,000
 - Investments (balance) 9,000
- (vii) There was an old computer which had been written off completely in the books, which is non-estimated to realise Rs 3,000. It was taken away by Verma at the estimated price.
- (viii) Realisation expenses amounted to Rs 2,000, you are required to
 - (i) pass necessary journal entries and
 - (ii) prepare the necessary ledger accounts

Journal

Date	Particulars		L.F.	Dr. Rs	Cr. Rs
2006 Dec 31	Realisation A/c To Stock A/c To Investment A/c To Debtors A/c To Plant and Machinery A/c To Land and Building A/c To Goodwill A/c (Being assets transferred to Realisation A/c)	Dr.		1,53,000	10,000 20,000 25,000 30,000 60,000 8,000

Date	Particulars		L.F.	Dr. Rs	Cr. Rs
	Creditors A/c	Dr.		20,000	
	Bills Payable A/c	Dr.		13,000	
	Mrs. Kashyap's Loan A/c	Dr.		20,000	
	Provision for Bad Debts A/c	Dr.		3,000	
	Investment Fluctuation Fund A/c	Dr.		2,000	
	To Realisation A/c				58,000
	(Being liabilities transferred to Realisation A/c)				
	Kashyap's Capital A/c	Dr.		8,000	
	To Realisation A/c				8,000
	(Being the Stock taken by Kashyap)				
	Verma's Capital A/c	Dr.		12,000	
	To Realisation A/c				12,000
	(Being 50% investment taken at discount and computer Rs 9,000 + Rs 3,000)				
	Bank A/c	Dr.		1,74,000	
	To Realisation A/c				1,74,000
	(Being assets realised)				
	Realisation A/c	Dr.		2,000	
	To Bank A/c				2,000
	(Being expenses on Realisation)				
	Realisation A/c	Dr.		32,700	
	To Bank A/c				32,700
	(Being payment to Creditors and Bills Payable)				
	Realisation A/c	Dr.		20,000	
	To Kashyap's Capital A/c				20,000
	(Being Mrs Kashyap's Loan transferred)				
	Realisation A/c	Dr.		44,300	
	To Kashyap's Capital A/c				22,150
	To Verma's Capital A/c				22,150
	(Being profit on realisation transferred)				
	Reserve Fund A/c	Dr.		20,000	
	To Kashyap's Capital A/c				10,000
	To Verma's Capital A/c				10,000
	(Being transfer of Reserve Fund)				
	Kashyap's Capital A/c	Dr.		2,500	
	Verma's Capital A/c	Dr.		2,500	
	To Profit and Loss A/c				5,000
	(Being debit balance of Profit and Loss A/c transferred)				
	Verma's Loan A/c	Dr.		25,000	
	To Bank A/c				25,000
	(Being Verma's loan discharged)				

(Continued)

(Continued)

<i>Date</i>	<i>Particulars</i>		<i>L.F.</i>	<i>Dr. Rs</i>	<i>Cr. Rs</i>
	Kashya's Capital A/c Verma's Capital A/c To Bank A/c (Being final payment paid off)	Dr. Dr.		76,500 47,650	1,24,300

Ledger Accounts
Realisation Account

*Dr.**Cr.*

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Sundry Assets Rs		By Sundry Liabilities Rs	
Stock 10,000		Creditors 20,000	
Investments 20,000		Bills Payable 13,000	
Plant 30,000		Mrs Kashyap's Loan 20,000	
Debtors 25,000		Provision for Debits 3,000	
Loan and Building 60,000		Investment <u>2,000</u>	58,000
Goodwill <u>8,000</u>	1,53,000		
To Bank (liabilities)	32,700	By Kashyap's Capital A/c	8,000
To Bank (expense)	2,000	(stock)	
To Kashyap's Capital A/c (loan)	20,000	By Bank A/c (assets realised)	1,74,000
To Profit transferred to Kashyap's		By Verma's Capital A/c	12,000
Capital A/c	22,150	(Investment and Computer)	
Verma's Capital A/c	22,150		
	<u>2,52,000</u>		<u>2,52,000</u>

Partner's Capital Accounts

*Dr.**Cr.*

<i>Particulars</i>	<i>Kashyap Rs</i>	<i>Verma Rs</i>	<i>Particulars</i>	<i>Kashyap Rs</i>	<i>Verma Rs</i>
To Profit and Loss A/c	2,500	2,500	By Balance A/c	35,000	30,000
To Realisation A/c (stock)	8,000	–	By Reserve Fund	10,000	10,000
To Realisation A/c (Investment	–	12,000	By Realisation A/c	20,000	–
and Computer)			(Mrs Kashyap's Loan)		
To Bank A/c	76,650	47,650	By Realisation A/c	22,150	22,150
			(Profit)		
	<u>87,150</u>	<u>62,150</u>		<u>87,150</u>	<u>62,150</u>

Bank Account*Dr.**Cr.*

Particulars	Rs	Particulars	Rs
To Balance A/c	9,000	By Realisation A/c (expense)	2,000
To Cash A/c	1,000	By Realisation A/c (liabilities)	32,700
To Realisation A/c (assets)	1,74,000	By Verma's Loan	25,000
		By Kashyap's Capital A/c	76,650
		By Verma's Capital A/c	47,650
	<u>1,84,000</u>		<u>1,84,000</u>

Treatment of goodwill in case of dissolution of a firm may be put in a nut-shell

Particulars	Case Goodwill already Appears in the Books	Goodwill not appearing in the Books
1. On Transfer to Realisation A/c	Realisation A/c Dr. To Goodwill	No Entry needed
2. On Sale for Cash	Cash/Bank A/c Dr. To Realisation A/c	Cash/Bank A/c Dr. To Realisation A/c
3. On being taken over by any of the Partners	X's (partner's) Dr. Capital A/c To Realisation A/c	X's (Partners Capital A/c Dr. To Realisation A/c

Note: Accounting treatment differs only in the case of goodwill not appearing in the Books for transfer to Realisation A/c.

OBJECTIVE 7: PREPARATION OF BALANCE SHEET AS ON THE DATE OF DISSOLUTION

Need to prepare:

To ascertain the missing information (e.g. value of any asset or liability) on the date of dissolution of a firm, Balance Sheet as on that date has to be prepared.

Method of drawing Balance Sheet.

Care should be taken to record.

7.1 Preparation of Balance Sheet as on the Date of Dissolution

- Balances in the given Balance Sheet and
- Transactions that took place between the date of the given Balance Sheet and the date of dissolution

Illustration: 6

You are required to draw the Balance Sheet of the firm as on Mar 31, 2009 being the date of dissolution of loss incurring in firm from the following particulars:

	Rs		Rs
A's Capital	50,000	Profit and Loss A/c (Dr.)	1,50,000
A's Current A/c (Cr.)	80,000	Loan from Mrs B	1,00,000
B's Capital	75,000	Trade Creditors	1,25,000
Advance to B	25,000	Cash and Bank Balance	25,000
Loan from A	<u>1,50,000</u>		

Solution

- Note:** 1. Generally, any one of the following items may be found missing:
- Sundry Assets
 - Sundry Liabilities
 - Profit and Loss
 - Cash and Bank Balance
2. Study the particulars. Ascertain what item is missing
3. Classify the items into assets and liabilities and transfer them to the respective side in the Balance Sheet.
4. The balancing figure is the needed figure relating to that missing item.

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Asset	Rs
Trade Creditors	1,25,000	Cash and Bank Balance	25,000
Loan from Mrs. B	1,00,000	Advance to B	25,000
Loan from A	1,50,000	Profit and Loss A/c (Dr.)	1,50,000
A's Capital	50,000	Sundry Assets	3,80,000
B's Capital	75,000	(balancing figure)	
A's Current A/c	80,000		
	<u>5,80,000</u>		<u>5,80,000</u>

Illustration: 7

On Apr 1, 2007, A, B and C commenced business in partnership sharing the profits and losses in the ratio of 5:3:2, respectively with capitals of Rs 50,000, Rs 30,000 and Rs 20,000, respectively. During 2007–2008 and 2008–2009 they made profits of Rs 50,000 and Rs 80,000 (before allowing interest on capital @ 10%). Drawings of each partner were Rs 1,000 p.m. The creditors stood at Rs 20,000 as on Mar 31, 2009. Draw a Balance Sheet as on Dec 31, 2009.

Solution

In this problem,

- Interest on capital
- Drawings
- Profit

were given. So Capital Account for each partner has to be prepared first and only then the Balance Sheet has to be drawn up.

Stage I**Statement Showing Capitals of Partners as on Mar 31, 2009**

Particulars	A Rs	B Rs	C Rs	Total Rs
Step 1: Balance as on Apr 1, 2007 (given in the problem)	50,000	30,000	20,000	1,00,000
Step 2: Add: Interest on Capital @ 10% for 2007–2008	5,000	3,000	2,000	10,000
Step 3: Add: Share of Profit (Total Profit – Total Interest on Capitals) = [Rs 50,000(Given) – Rs 10,000 (Step 2 Last column)] = Rs 40,000 in the ratio 5:3:2	20,000	12,000	8,000	40,000
	75,000	45,000	30,000	1,50,000

Particulars	A Rs	B Rs	C Rs	Total Rs
Step 4: Less: Drawings: Rs 1,000 p.m (given) Rs 1,000 × 12	<u>12,000</u>	<u>12,000</u>	<u>12,000</u>	<u>36,000</u>
Step 5: (Result of Step 1 + 2 + 3 – Step 4) Balance on Apr 1, 2008	63,000	33,000	18,000	1,14,000
Step 6: Add: Interest on capital @ 10% for 2008–2009	6,300	3,300	1,800	11,400
Step 7: Add: Share of Profit [Profit – Interest on Capital) Rs 80,000 (Given) – Rs 11,400 (Step: 6)] (Rs 68,600) in 5:3:2	34,300	20,580	13,720	68,600
	1,03,600	56,880	33,520	1,94,000
Step 8: Less: Drawings (Rs 1,000 × 12)	<u>12,000</u>	<u>12,000</u>	<u>12,000</u>	<u>36,000</u>
Step 9: (Result of 5 + 6 + 7 – 8) Capital Balance as on Mar 31, 2009	91,600	44,880	21,520	1,58,000

Stage II**Balance Sheet as on Mar 31, 2009**

Liabilities	Rs	Assets	Rs
A's Capital	91,000	*Sundry Assets	1,78,000
B's Capital	44,880		
C's Capital	21,520		
Creditors	20,000		
	<u>1,78,000</u>		<u>1,78,000</u>

7.1.1 Model

When all partners agree to dissolve the firm:

Illustration: 8

X, Y and Z sharing in the ratio of 2:2:1 agreed upon dissolution of their partnership on Dec 31, 2008 on which date their Balance Sheet was as follows:

Liabilities	Rs	Assets	Rs
Capital: Rs		Fixed Assets Rs	75,000
X 60,000		Life Policy (at surrender value)	15,000
Y 45,000	1,05,000		
Reserve Fund	15,000	Debtors	15,000
Joint Life Policy Reserve	15,000	Loss: Provision	<u>750</u>
Creditors	28,500	Stock at Invoice Price	15,000
Less: Provision for		Loss: Price Unloading	<u>3,000</u>
Discount	<u>750</u>	Investments	12,000
Outstanding Salary	3,000	Less: Fluctuation	
		Fund	<u>750</u>
		Capital Account – Z	3,000
		Bank	35,250
	<u>1,65,750</u>		<u>1,65,750</u>

Investments were taken over by X at Rs 9,000; Creditors of Rs 15,000 were taken over by Y who agreed to settle account with them at Rs 14,850; Remaining Creditors were paid at Rs 11,250; Joint Life Policy was surrendered and fixed assets realised Rs 1,05,000; Stock and debtors realised Rs 10,5000 and Rs 13,500, respectively. One customer whose account was written as bad, now paid Rs 1,200 which is included in Rs 15,000 above. There was an unrecorded asset of Rs 4,500 half of which was handed over to settle half of an unrecorded liability of Rs 7,500 and the balance of the unrecorded asset was sold in the market which realised Rs 1,950; Y took over the responsibility of completing dissolution and he is granted salary of Rs 600 per month. Actual realisation expenses amounted to Rs 1,650. Dissolution was completed and final payments were made on Apr 30, 2009. Prepare necessary ledger accounts in the books of the firm.

[B. Com (Hons.) – Delhi]

Solution

Stage I

Preparation of Realisation A/c

	Rs		Rs
Fixed Assets	75,000	Creditors	28,500
Life Policy	15,000	Outstanding Salary	3,000
Debtors	15,000	Joint Life Policy Reserve	15,000
Stock	15,000	Provision for Bad Debts	750
Investments	12,000	Provision for Stock	3,000
Pro-for Discount on Creditors	750	Fluctuation Fund	750
Y's capital A/c (creditors)	14,850	X's Capital Account	9,000
Bank (creditors)	11,250	Bank Account Assets Realised	
Bank (unrecorded Cr.)	3,750		Rs
Y's Capital A/c (4 months salary)	2,400	Joint Life Policy	15,000
Bank (Outstanding Salary)	3,000	Fixed Assets	1,05,000
* Capital A/c		Stock	10,5000
X	15,660	Debtors	13,500
Y	15,660	Bad Debts Recovered	1,200
Z	<u>7,830</u>	Unrecorded Asset	<u>1,950</u>
	39,150		<u>1,47,150</u>
	<u>2,07,150</u>		<u>2,07,150</u>

Stage II

Preparation of Capital A/c

Particulars	X Rs	Y Rs	Z Rs	Particulars	X Rs	Y Rs	Z Rs
Balance b/d	–	–	3,000	Balance b/d	60,000	45,000	–
Realisation A/c (investments)	9,000	–	–	Reserve Fund	6,000	6,000	3,000
				Realisation A/c (profit)	15,660	15,660	7,830
*Bank Account	72,660	83,910	7,830	Realisation A/c (creditors)	–	14,850	–
				Realisation A/c (Y's Salary)	–	2,400	–
	<u>81,660</u>	<u>83,910</u>	<u>10,830</u>		<u>81,660</u>	<u>83,910</u>	<u>10,830</u>

Stage III: Finally Bank Account has to be prepared.

Bank Account

	Rs		Rs
Balance b/d	35,250	Realisation A/c (Creditors)	11,250
Realisation A/c (Sundry Assets)	1,47,150	Realisation A/c (unrecorded liability)	3,750
		Realisation A/c (outstanding salary)	3,000
		Capital A/c	
		Rs	
		X 72,660	
		Y 83,910	
		Z <u>7,830</u>	
	<u>1,82,400</u>		1,64,400
			<u>1,82,400</u>

7.1.2 Model

Dissolution on death of a partner.

Illustration: 9

X, Y and Z are partners of a firm whose balance sheet as on Mar 31, 2009 was as follows:

Liabilities	Rs	Assets	Rs
Capital Account:		Plant and Machinery	1,18,800
Rs		(Less: Depreciation Rs 7,500)	
X 1,00,000		Furniture and Fittings	21,200
Y 1,25,000		Sundry Debtors	70,825
Z <u>62,000</u>	2,87,500	Joint Life Policy	60,525
Current Accounts		Bills Receivable	43,050
X 93,000		Stock in Trade	1,49,700
Z <u>36,000</u>	1,29,000	Y's Current Account	62,000
Sundry Creditors	88,600	Cash and Bank	21,000
Bills Payable	<u>42,000</u>		
	<u>5,47,100</u>		<u>5,47,100</u>

The value of Joint Life Policy shown in the Balance Sheet represents the surrender value of the policy taken by the firm of Rs 1,50,000 to enable the settlement of accounts with a partner's legal execute in case of death of a partner during the continuance of the firm. X died on Apr 10, 2009.

The remaining partners could not arrive at any understanding with the legal representative of X with the result the firm was dissolved immediately subject to the following adjustments afterwards:

- (i) Plant and Machinery realised only 70% of the book value
- (ii) Furniture and Fittings were taken over by Z at a market value of Rs 9,360
- (iii) Bills Receivable and Sundry Debtors had to be discounted at 4%
- (iv) Stock in Trade comprised
 - (a) easily marketable items – 70% of the inventory which realised in its full value
 - (b) obsolete items – 10% of the total items which has to be discarded
 - (c) the rest of the items which realised 50% of their book value
 - (d) a liability of Rs 10,640 had to be paid in addition to the given above.

Draw up the necessary accounts to close the books of the firm.

Solution**Stage I:** Preparation of Current Account of Partners**Current Account**

Particulars	X	Y	Z	Particulars	X	Y	Z
Balance b/c	–	62,000		Balance b/d	93,000	–	36,000
Realisation A/c	1,046	1,046	1,047	Capital A/c	–	63,046	–
Capital A/c	91,954	–	34,953				
	<u>93,000</u>	<u>63,046</u>	<u>36,000</u>		<u>93,000</u>	<u>63,046</u>	<u>36,000</u>

Capital Account

Particulars	X	Y	Z	Particulars	X	Y	Z
Balance A/c	1,91,954	61,954	88,093	Balance b/d	1,00,000	1,25,000	62,000
Current A/c	–	63,046	–	Current A/c	91,954	–	34,953
Realisation A/c	–	–	9,360				
	<u>1,91,954</u>	<u>1,25,000</u>	<u>97,453</u>		<u>1,91,954</u>	<u>1,25,000</u>	<u>97,453</u>

Cash and Bank A/c

	Rs		Rs
Balance b/d	21,000	Realisation Account	1,41,240
Realisation A/c	4,62,240	Capital Account	
		X	1,91,954
		Y	61,954
		Z	<u>88,092</u>
	<u>4,83,240</u>		<u>3,42,000</u>
			<u>4,83,240</u>

X, Y, Z**Realisation Account**

	Rs		Rs
Plant and Machinery	1,18,800	Sundry Creditors	88,600
Furniture and Fittings	21,200	Bills Payable	42,000
Sundry Debtors	70,825	Z's Capital Account	9,360
Joint Life Policy	60,525	Bank A/c	4,62,240
Bills Receivable	43,050	Loss transferred to	
Stock in Trade	1,49,700	X's Current A/c	1,046
Bank Account	1,41,240	Y's Current A/c	1,047
(Rs 88,600 + Rs 42,000 + Rs 10,640)		Z's Current A/c	1,047
	<u>6,05,340</u>		<u>6,05,340</u>

Note: Fraction of 0.50 was rounded off in the Current Account of Partners.

7.1.3 Model

Dissolved firm (assets and liabilities) taken over by some partners or only one partner.

7.2 Accounting Procedure

In general, accounting procedure for this case is similar to other cases of dissolution that we have discussed so far.

In addition, the following should also be followed.

7.3 Assets and Liabilities Taken Over by Partner(s) Accounting Procedure

- (a) For taking over of assets:

Joint Account of Partners (concerned) A/c	Dr.
To Realisation A/c	

- (b) For taking over of liabilities:

Realisation A/c	Dr.
To Joint Account of Partners.	

Note: 1. In case if only the partners take over the firm then such a partner's personal account is opened instead of joint account of partners.

- Partners who are going to shoulder the responsibility of taking over the firm must bring in cash in the ratio in which they decide to purchase it.
- The capital accounts of partners taking over the business should be transferred to the joint account of the partners or the Partners Personal Account depending on the case whether single partner or more than one partner.

Illustration: 10

A, B and C who were sharing profits and losses in the ratio of 2:2:1 decided to dissolve the partnership on Mar 31, 2009 on which date their Balance Sheet was as follows:

Liabilities	Rs	Assets	Rs
A's Capital	36,000	Fixed Deposits	40,500
B's Capital	30,000	Stock	30,000
C's Capital	22,500	Debtors	42,000
Creditors	13,500	Bank Balance	7,500
Mrs A's Loan	18,000		
	<u>1,20,000</u>		<u>1,20,000</u>

B and C continued the business, agreeing to purchase A's share in the capital of the firm in the proportion in which they shared profits and losses. Mrs. A agreed to allow her loan to remain in the business. B and C utilised the available bank balance to pay A and contributed the balance. Assets were valued as follows:

Fixed Assets Rs 54,600; Stocks Rs 27,000; Debtors as in the Balance Sheet, subject to Rs 3,300 as Provision for Doubtful Debts and an allowance of 5% for discounts. The liability of creditors is taken over by B and C subject to an allowance of Rs 600 for discount. B and C continue to share profits and losses in the same proportion as before.

You are required to prepare

- Realisation A/c
- Bank A/c
- Partner's Capital Account
- Opening Balance Sheet

Solution**Step 1:** First, Net Debtors has to be computed

	Rs
(i) As per Balance Sheet	42,000
(ii) Less: Provision for Doubtful Debts	3,300
(iii) Good Debts (i–ii)	38,700
(iv) Less: 5% Allowance for Discount	1,935
(v) Net Debtors (iii–iv)	<u>36,765</u>

Step 2: Preparation of Realisation Account**Realisation Account**

Particulars	Rs	Particulars	Rs
To Fixed Assets	40,500	By Creditors	13,500
To Stock	30,000	By Mrs. A's Loan	18,000
To Debtors	42,000	By B and C Joint A/c:	
To B and C Joint A/c		Fixed Assets	54,600
Creditors	12,900	Stock	27,000
Mrs. A's Loan	<u>18,000</u>	Debtors	<u>36,000</u>
To Profit on Realisation t/f to		(see Step 1)	
A	2,586		
B	2,586		
C	<u>1,293</u>		
	6,465		
	<u>1,49,865</u>		<u>1,49,865</u>

Step 3: Preparation of capital accounts of partners**Capital Account of Partners**

Particulars	A Rs	B Rs	C Rs	Particulars	A Rs	B Rs	C Rs
To Bank	38,586	–	–	By Balance B/d	36,000	30,000	22,500
To B and C Joint A/c	–	53,310	34,155	By Realisation A/c	2,586	2,586	1,293
				By Bank A/c	–	20,724	10,362
	<u>38,586</u>	<u>53,310</u>	<u>34,155</u>		<u>38,586</u>	<u>53,310</u>	<u>34,155</u>

Step 4: Preparation of B and C Joint A/c**B and C Joint Account**

Particulars	Rs	Particulars	Rs
To Realisation A/c	1,18,365	By Realisation A/c	30,900
		By B's Capital A/c	53,310
		By C's Capital A/c	34,155
	<u>1,18,365</u>		<u>1,18,365</u>

Step 5**Balance Sheet has to be drawn up and Balance sheet of B and C as of Mar 31, 2009**

Liabilities	Rs	Assets	Rs
B's Capital	53,310	Fixed Assets Rs	54,600
C's Capital	34,155	Stock	27,000
Mrs. A's Loan	18,000	Debtors	42,000
Creditors: 13,500		Less: Provision for	
Less: Reserve for discount		Doubtful Debts	3,300
<u>600</u>	12,900	<u>38,700</u>	
		Less: Provision for Discount	<u>1,935</u>
	<u>1,18,365</u>		<u>36,765</u>
			1,18,365

OBJECTIVE 8: RETURN OF PREMIUM (GOODWILL) (SECTION 51)

The Indian Partnership Act 1932 (Section 51) stipulates that where a partner has been admitted to the partnership and that the firm would be for a fixed period, then such partner will be eligible to claim refund of such amount of premium. But this refund is subject to:

- Terms of admission
- Length of the period agreed
- Expiry of the agreed period

Such refundable claim is also debited to other partners in their profit sharing ratio (the agreement should not be contrary).

No refund claim can be possible when

- the dissolution of firm occurs due to the death of a partner
- the dissolution is due to misconduct of the partners claiming the refund
- the dissolution in conformity with agreement

Illustration: 11

P, Q and R were in partnership sharing profits and losses in the ratio of 6:3:1. R was admitted to the firm on Apr 1, 2004 paying Rs 30,000 as premium (share of goodwill) with the stipulation that the term for the newly constituted firm will be 10 years. But this newly constituted firm had to be dissolved on Apr 1, 2009. R demands the refund of his premium.

How will you deal with the claim of R in each of the following alternative cases?

- The dissolution is due to the death of P
- The dissolution is on account of mutual agreement by the partners themselves without any reference to such claim
- The dissolution is an account of continuous misconduct of R
- The dissolution is due to insolvency of Q on Mar 31, 2009
- The dissolution is due to persistent negligence of P
- The dissolution is by mutual consent with the clear stipulation as to the refund of premium

The account has to be closed on Mar 31 every year.

Solution**Step 1**

Under Section 51 of Indian Partnership Act 1932, no claim can be made for the cases (i), (ii) and (iii). For the other cases (iv), (v) and (vi), the amount of refund is calculated by applying the formula:

Return of Premium = Total Premium Paid $\times$ Unexpired Term/Total Term

Here Total premium paid Rs 30,000

Unexpired Term from

Apr 1, 2009 to Apr 1, 2014 60 months

Total Term 120 months

i.e. from = Apr 1, 2004 to 10 years, i.e. Apr 1, 2001

Hence return of premium = Rs 30,000 $\times$ 60/120 = Rs 15,000

Step 2: Accounting Entry

This claim, i.e. Rs 15,000 has to be apportioned in the ratio of 6:3 and distributed among others and transferred into their respective capital.

Accounts		Rs	Rs
P's Capital A/c	Dr.	10,000	
Q's Capital A/c	Dr.	5,000	
To R's Capital A/c			15,000
(Being the refund of Premium become by P&Q in the ratio of 6:3)			

8.1 Gift of Firm – Asset to Partners

At times, some asset of the firm may be gifted to partner(s) in recognition of service, when a firm is dissolved.

There are two cases:

Case 1: Gift by the firm:

In this case, no accounting entry is made because the firm as a whole bears it (loss).

Case 2: Gift by one or more than one partner:

In case if the gift is given by one partner, his account will be debited and Realisation Account will be credited.

The Journal Entry is

Concerned Partner's Capital A/c Dr.

To Realisation A/c

In case, if there are three partners and two of them give gift, the accounts of the partners giving the gift will be debited in their profit sharing ratio and Realisation Account will be credited with the total value of the asset.

8.2 Gift to a Partner

Illustration: 12

A, B and C were partners in a firm sharing profit and losses in the ratio of 5:3:2, respectively. Their Balance Sheet as on Dec 31, 2008 was as follows:

	Rs		Rs
Creditors	62,500	Fixed Assets	Rs 2,12,500
Loan from Mrs. A	12,500	Less: Depreciation	52,500
Loan from Mrs. B	7,500	Debtors	56,000
General Reserve		Less: Provision	3,700
Capital Account:	Rs 45,000	Cash in Hand	16,200
A	80,000	Cash at Bank	30,000
B	70,000	Stock	62,500
C	40,000	Current Account: C	10,000
Current Accounts	1,90,000	Deferred Revenue Expenditure	6,500
A	7,500		
B	12,500		
	20,000		
	3,37,500		3,37,500

The firm has a fully depreciated computer that can fetch Rs 2,500. In addition, there is a liability for bonus payable to employees amounting to Rs 15,000.

The firm was dissolved on the above date due to disagreement among the partners. It was found that goods amounting to Rs 5,000 were purchased in Oct 2008 and has been received in Dec but were not recorded in the books.

Some of the fixed assets realised Rs 1,25,000, stock Rs 50,039 and debtors 5% less. The creditors allowed discount at 3% on an average.

Fixed assets included two scooters one of which was taken over by C for Rs 7,500 and the other was gifted by A and C to B in recognition of his services to the firm. The market value of this gifted scooter was Rs 10,500. A agreed to take over his wife's loan. B is entitled to a commission on the amount collected from debtors. Overall expenses on realisation amounted to Rs 4,225.

You are required to prepare necessary accounts to close the books of the firm.

Solution

Step 1: Preparation of Realisation Account

Realisation Account

	Rs		Rs
Fixed Assets	2,12,500	Provision for Depreciation	52,500
Debtors	56,000	Provision for Doubtful Debts	3,700
Stock	62,500	Debts	67,500
A's Capital Account	12,500	Creditors	
Bank (bonus)	15,000	Loan from Mrs. A	12,500
Bank (creditors)	65,475	Bank Account	2,28,239
(Rs 62,500 + 5,000 – 3%)		(assets realised)	
B's Current Account	1,064	C's Capital Account	7,500
(2% on Rs 53,200)		(value of scooter)	
		A's Capital Account	7,500
		C's Capital Account	3,000
		Bank A/c	2,500
		(value of computer sold unrecorded asset)	
		Loss transferred to Current Accounts of	
		A	20,050
		B	12,030
		C	8,020
			40,100
	4,25,039		4,25,039

Step 2: Preparation of Current Account of Partners**A, B and C Current Account**

Particulars	A Rs	B Rs	C Rs	Particulars	A Rs	B Rs	C Rs
Realisation A/c (loss)	20,050	12,030	8,020	Balance b/d	7,500	12,500	–
Creditors A/c	2,500	1,500	1,000	General Reserve	22,500	13,500	9,000
Deferred Revenue	3,250	1,950	1,300	Realisation A/c	–	1,064	–
Expenditure	4,200	11,584	–	Capital A/c	–	–	11,320
A's Capital	–	–	10,000				
Balance b/d							
	<u>30,000</u>	<u>27,064</u>	<u>20,320</u>		<u>30,000</u>	<u>27,064</u>	<u>20,320</u>

Step 3: Preparation of Capital Account of Partners**A, B and C Capital Account**

Particulars	A Rs	B Rs	C Rs	Particulars	A Rs	B Rs	C Rs
Realisation A/c	7,500	–	3,000	Balance b/d	80,000	70,000	40,000
Bank A/c	89,200	81,584	18,180	Realisation A/c	12,500	11,584	–
Current A/c	–	–	11,320	Current A/c	4,200	–	–
Realisation A/c (scooter)	–	–	7,500				
	<u>96,700</u>	<u>81,584</u>	<u>40,000</u>		<u>96,700</u>	<u>81,584</u>	<u>40,000</u>

Step 4: Preparation of Bank Account**Bank Account**

	Rs		Rs
Balance b/d	30,000	Mrs. A. Loan A/c	7,500
Cash A/c	16,200	Realisation A/c	15,000
Realisation A/c (assets realised)	2,28,239	Realisation A/c (bank crs)	65,475
Realisation A/c	2,500	Capital Account	
		A	89,200
		B	81,584
		C	18,180
	<u>2,76,939</u>		<u>2,76,939</u>

OBJECTIVE 9: INSOLVENCY OF PARTNER(S)**9.1 Meaning of Insolvency**

- The capital account of a partner may show debit balance (after all adjustments). That means such a partner is a debtor to the firm.
- Such a partner has to bring in cash needed to make up the deficiency (i.e., debit balance) in his capital account.
- In case, if such a partner is unable to bring in the needed amount, he is said to be insolvent.
- In such insolvent situation, this amount (debit balance irrecoverable) must be borne by the other solvent partners, in addition to the loss on realisation. Why this additional burden? This is due to the

statutory provisions as stipulated in the Indian Partnership Act 1932, whereby liability of partners is unlimited.

- (v) Then arises the important question, in what ratio (proportion) this deficiency will have to be apportioned among the solvent partners?
- (vi) The Indian Partnership Act 1932 is silent on this matter. There is no specific provision on this matter.
- (vii) Here comes the role of Partnership Deed. A separate clause may be inserted clearly stating the way in which such deficiency may be divided among the solvent partners. Such agreement will be binding on the partners and the same will be upheld in court of law.
- (viii) The real difficulty arises when there is no specific provision existing in the Partnership Deed. In such a situation, we have to rely on English laws.

9.2 Garner vs. Murray Rule

An important landmark case relating to this matter came up in the Court of England called as Garner vs. Murray (1903). The decision of the court in this case is a guiding principle followed in our country till date.

9.2.1 Decision of the Court in Garner vs. Murray

The deficiency on the insolvent partner's capital account must be borne by the other solvent partners, in proportion to their capitals, after each solvent partner has brought in cash to the extent of his own share of loss on realisation.

9.2.2 Important ingredients of Garner vs. Murray decision

1. First, the solvent partners must bring in cash equal to the loss on realisation debited to their respective capital accounts (status: capital accounts prior to dissolution).
2. Then the deficiency on the Capital Account of the insolvent partner must be divided between solvent partners in proportion to their capitals.

9.2.3 To apply Garner vs. Murray decision, the following criteria are to be fulfilled

1. In a partnership firm, on the date of dissolution there must be two or more than two solvent partners, of course, with credit balances.
2. One or more partners are insolvent (i.e., with debit balances in their capital accounts).
3. The capitals are not in profit sharing ratio.
4. There should not be any agreement relating to this aspect among the partners.

9.3 Students Should Remember these Criteria

When they should apply Garner vs. Murray decision in solving problems in partnership?

Implications of Garner vs. Murray decision: This decision puts much emphasis on "last agreed capital." What does it mean really?

So necessity arises to know exactly the quantum of "last agreed capital." It means or indicates the capitals of partners just before dissolution took place. As it relates to capitals of partners, the partners may be maintaining under Fixed Capital System or Fluctuating Capital System. As such accounting treatment will also vary depending on the nature of partner's capital "Fixed" or "Fluctuating."

9.4 Accounting Procedure when Capitals are Fixed

The accounting entries are:

1. Transfer of accumulated profits: in profit sharing ratio

Profit and Loss A/c	Dr.
Reserve Fund Account	Dr.
Any other Fund Account	Dr.
To Partner's Current A/c	

2. Profit on realisation:

Realisation A/c	Dr.
To Partner's Current A/c	Dr.
Note (Reserve for loss on Realisation)	
3. For bringing in cash by other solvent partners:

Bank A/c	Dr.
To Solvent Partner's Current A/c	
4. Transfer of current account balance of the insolvent partners:
 - (i) For Debit Current Account balance:

Insolvent Partner's Current Account	Dr.
To Insolvent Partner's Capital Account	
 - (ii) For Credit Current Account Dr.

Insolvent Partner's Current Account	Dr.
To Insolvent Partner's Capital A/c	
5. Deficiency; Distribution:

Solvent Partner's Respective Current Account	Dr.
To Insolvent Partner's Capital Account	
6. Finally, the current accounts of the solvent partners will be transferred to their respective capital accounts and then closed (on that basis, each partner will be paid, i.e. the due amount to each partner).

9.5 Accounting Procedure when Capitals are Fluctuating or Floating

- (i) In this case, capital of each partner is determined by adjustment of items (reserve fund, profit/loss account balance, etc.) straightly.
- (ii) Loss/gain on realisation is adjusted straight on the capital account of the partners.
- (iii) To maintain the level of original capital balance unaffected, it is presumed that each such partner brings in the needed cash, in case of loss on realisation.
- (iv) In case of gain on realisation, the share of each partner is credited to his respective capital account.
- (v) Care should be taken to see that the basis for apportioning the insolvent partner's deficiency should be the balance on capital account of each solvent partner existing just prior to this adjustment.

To put in a nutshell:

- (i) *When Capitals are Fixed:* The given capital on the date of dissolution will constitute the capital ratios.
- (ii) *When Capitals are Fluctuating:* Capital ratios will be arrived at after making adjustments to the existing capitals on the date of dissolution.

Students are advised to follow these principles while solving problems in applying Garner vs. Murray decision.

9.5.1 Insolvency – Comprehensive

(Garner vs. Murray – Application)

Illustration: 13

X, Y and Z were equal partners in a firm. They decided to dissolve the firm on Mar 31, 2009 due to financial difficulties. Their Balance Sheet as on that date was as follows:

Liabilities	Rs	Assets	Rs
Creditors	77,000	Realisation Account	92,000
Capital Account		Profit and Loss A/c	6,000
X 80,000		Cash	1,19,000
Y 40,000			
Z <u>20,000</u>	<u>1,40,000</u>		
	<u>2,17,000</u>		<u>2,17,000</u>

At the time of dissolution, it was found that Z was insolvent and the creditors agreed to allow a discount of Rs 2,000. Assuming that Z could not bring in anything towards his capital deficiency. Prepare the necessary ledger account when

- (i) Garner vs. Murray rule is not applied
- (ii) Garner vs. Murray rule is applied
- (iii) Capitals are fixed
- (iv) Capitals are fluctuating

(B. Com. Bangalore – Modified)

Important Notes

- (1) In this problem, Realisation Account on the Assets side of the Balance Sheet as on that date of dissolution is given as Rs 92,000. As such, in the Realisation Account (assets have been realized already), it has to be shown as 'balance b/d'.
- (2) Under both the cases i.e., when Garner vs. Murray rule is applied and when it is not applied, preparation of Creditors Account and Realisation Account will be the same. As such, these two accounts are to be prepared first.
- (3) When capitals are *fixed*, loss on realisation and debit balance in P & L A/c are to be transferred to *Current Accounts* of the partners.
- (4) When capitals are *fluctuating*, loss on realisation and debit balance in P & L A/c are to be transferred to *Capital Accounts* of the partners.
- (5) In this problem, capital ratio will be 1:1:1, as it was mentioned – equal partners in the firm – they share equally.
- (6) But while apportioning the deficiency, the ratio will be on the basis of capital (after all adjustments) which stood just before to dissolution.

Solution

First Creditors Account and then Realisation Account will have to be prepared, as these two accounts form the basis for other accounts.

Step 1: Preparation of Creditors Account

Creditors Account

	Rs		Rs
* Cash Account	75,000	Balance b/d	77,000
Realisation Account (discount)	2,000		
	<u>77,000</u>		<u>77,000</u>

Step 2: Preparation of Realisation Account

Realisation Account

	Rs		Rs
Balance b/d (given)	92,000	Creditors Account	2,000
		* X's Capital A/c	30,000
		* Y's Capital A/c	30,000
		Z's Capital A/c	30,000
		(distributed equally)	
	<u>42,000</u>		<u>92,000</u>

Step 3

Now we have to workout, when Garner vs. Murray rule is not applicable:

Capital Account of Partners is to be prepared

X, Y and Z Capital Account

Particulars	X Rs	Y Rs	Z Rs	Particulars	X Rs	Y Rs	Z Rs
Realisation A/c	30,000	30,000	30,000	Balance b/d (Given)	80,000	40,000	20,000
Profit and Loss A/c (Rs 6,000 – equally distributed)	2,000	2,000	2,000	X's Capital A/c	–	–	6,000
Z's Capital	6,000	6,000	–	Y's Capital A/c	–	–	6,000
Cash A/c	42,000	2,000	–				
	<u>80,000</u>	<u>40,000</u>	<u>32,000</u>		<u>80,000</u>	<u>40,000</u>	<u>32,000</u>

In this case Garner vs. Murray rule is not applied. As such deficiency in Z's Capital Account, i.e. Rs 12,000 is shared by solvent partners, here X and Y in their profit sharing ratio, i.e. equally (1:1).

Step 4

When Garner vs. Murray rule is applied when capitals are fixed: When capitals are fixed, first current accounts of partners have to be prepared and then capital accounts of partners have to be computed. First, necessary adjustments have to be carried out in the current account and the end result is to be transferred to capital accounts of the partners.

Current Account

Particulars	X Rs	Y Rs	Z Rs	Particulars	X Rs	Y Rs	Z Rs
Realisation A/c	30,000	30,000	30,000	Cash A/c	30,000	30,000	–
Profit and Loss A/c	2,000	2,000	2,000	Capital A/c	2,000	2,000	32,000
	<u>32,000</u>	<u>32,000</u>	<u>32,000</u>		<u>32,000</u>	<u>32,000</u>	<u>32,000</u>

Step 5: Preparation of Capital Accounts**Capital Accounts**

Particulars	X Rs	Y Rs	Z Rs	Particulars	X Rs	Y Rs	Z Rs
Current Account	2,000	2,000	32,000	Balance b/d	80,000	40,000	20,000
Z's Capital A/c	8,000	4,000	–	X's Capital A/c	–	–	8,000
Cash A/c	70,000	34,000	–	Y's Capital A/c	–	–	4,000
	<u>80,000</u>	<u>40,000</u>	<u>32,000</u>		<u>80,000</u>	<u>40,000</u>	<u>32,000</u>

Important Notes

- (1) As per Garner vs. Murray rule, realisation loss has brought in cash by solvent partners X and Y. It should be noted that in practice it need not be entered.
- (2) Capital deficiency of the insolvent partner (Rs 12,000 – Z) is divided in the Capital Ratio of solvent partners X and Y, 8:4 or 4:2 (or) i.e. X: Rs 8,000 Y: Rs 4,000.

Step 6: Preparation of Cash Account**Cash Account**

	Rs		Rs
Balance b/d	1,19,000	Creditors Account	75,000
X's Current Account	30,000	X's Capital Account	70,000
Y's Current Account	30,000	Y's Capital Account	34,000
	<u>1,79,000</u>		<u>1,79,000</u>

Step 7: When capitals are fluctuating

In this case, no need to prepare current accounts and capital accounts will have to be prepared straight.

Capital Account

Particulars	X Rs	Y Rs	Z Rs	Particulars	X Rs	Y Rs	Z Rs
Realisation A/c	30,000	30,000	30,000	Balance b/d	80,000	40,000	20,000
Profit and Loss A/c	2,000	2,000	2,000	Cash Account	30,000	30,000	–
Z's Capital A/c	8,070	3,900	–	X's Capital A/c	–	–	8,070
Cash A/c	69,930	34,070	–	Y's Capital A/c	–	–	3,930
	<u>1,10,000</u>	<u>70,000</u>	<u>32,000</u>		<u>1,10,000</u>	<u>70,000</u>	<u>32,000</u>

Step 8: Preparation of Cash Account**Cash Account**

	Rs		Rs
Balance b/d	1,19,000	Creditors Account	75,000
X's Capital Account	30,000	X's Capital A/c	69,930
Y's Capital Account	30,000	Y's Capital A/c	34,070
	<u>1,79,000</u>		<u>1,79,000</u>

Important Notes

Capital deficiency of the insolvent partner Z is shared by the solvent partners X and Y in their capital ratio 156:76 (or) 78:38 (or) 39:19. This is based on capitals on the date of dissolution. Debit balance of Profit and Loss Account is adjusted.

As it is stated in the problem: equal partners, all the partners share profit and losses equally, i.e. 1:1:1. This is the profit sharing ratio.

9.5.2 Pre-dissolution Adjustments**Illustration: 14**

Amar, Akbar and Antony are partners sharing profits and losses in the proportion of 3:2:1. The partnership was dissolved on Mar 31, 2009, on which date the Balance Sheet of the firm was as follows:

Liabilities	Rs	Assets	Rs
Creditors	2,99,640	Cash in Hand	77,660
Reserves	72,000	Stock	90,320
Amar's Capital	1,56,000	Bills Receivable	50,360
Akbar's Capital	1,44,000	Debtors	68,300
		Sundry Assets	1,35,000
		Antony's Capital overdrawn	2,50,000
	<u>6,71,640</u>		<u>6,71,640</u>

The lives of partners were insured severally for Amar Rs 2,00,000, Akbar Rs 1,00,000 and Antony Rs 1,20,000. The premium was treated as business expenses. On the date of dissolution, the surrender value of each of the policies was 30% of the sum assured. Amar took over his policies but the policies of Akbar and Antony were surrendered.

In the course of dissolution, it was found

- (i) that a liability of Rs 30,000 for purchase of goods in the year 2008–2009 had been omitted from the Balance Sheet and that goods had been included in the stock.
- (ii) that bills receivable amounting to Rs 70,000 were discounted by the firm and were dishonored and proved to be worthless.
- (iii) Amar agreed to take over the goodwill of the firm at Rs 50,000. The bills receivable were retired by the acceptor for Rs 48,000 and the remaining assets realised Rs 1,87,980. The expenses on realisation amounted to Rs 10,000.
- (iv) Antony is insolvent but his estate pays Rs 41,000.

You are required to prepare the necessary accounts to close the books of the firm

[B.Com (Hons) – Modified]

Solution

Note: This problem is solved by applying Garner vs. Murray rule

- Capitals are fluctuating. As such, the undisclosed (unrecorded) assets and liabilities have to be recorded by debiting or crediting the capital accounts, to ascertain the capitals on the date of dissolution.
- As some items are not recorded in the books, they have to be brought into records and adjustments have to be made before dissolution.
- Capitals of Amar and Akbar are to be adjusted, and only on the adjusted capital, ratio in which deficiency of Antony to be borne has to be computed. This is done as follows:

	Amar Rs	Akbar Rs
Capital as per Balance Sheet	1,56,000	1,44,000
Add: Reserves (Rs 72,000 in 3:2:1)	36,000	24,000
Life Policies: (Amar = $\frac{1}{3}$ of 30% of Rs 2,10,000 = 63,000 Akbar = $\frac{1}{3}$ of 30% of Rs 2,10,000 = 42,000)	63,000	42,000
	<u>2,55,000</u>	<u>2,10,000</u>
Less: Creditors omitted in the Balance Sheet	15,000	10,000
Adjusted Capital:	<u>2,40,000</u>	<u>2,00,000</u>
Therefore, Ratio = 2,40,000:2,00,000		
24:20		
12:5		

Deficiency of Antony's capital will have to be borne by Amar and Akbar in this ratio, i.e. 12:5.

Now, the needed accounts are to be prepared in the sequence as follows:

Realisation Account

	Rs		Rs
Stock (given)	90,320	Creditors	3,29,640
Bills Receivable (given)	50,360	Rs 2,99,640 + Rs 30,000) (unrecorded)	
Debtors (given)	68,300	Amar's Capital Account	
Sundry Assets (given)	1,35,000	(assets taken by Amar)	
(all straightly transferred from assets of B/S)		Life Policy	60,000
Life policies	1,26,000	Goodwill	<u>50,000</u>
Cash (creditors)	3,29,640	(Assets Realised)	1,10,000
(Rs 2,99,640 + Rs 30,000)		Cash	
Cash (payment for dishonored bills)	70,000	Life Policies	66,000
		Bills Receivable	48,000
		Sundry Assets	<u>1,87,980</u>
		(Loss B/f: Rs 1,38,000)	3,01,980
Cash (expenses or realisation)	10,000	Loss on Realisation:	
		(transferred to) 3:2:1	
		Amar's Capital A/c 3/6	69,000
		Akbar's Capital A/c 2/6	46,000
		Antony's Capital A/c 1/6	<u>23,000</u>
	<u>8,79,620</u>		<u>8,79,620</u>

Amar's Capital Account

	Rs		Rs
Realisation A/c (Loss)	69,000	Balance b/d (given)	1,56,000
(transfer from realisation A/c)		Reserves (in the ratio of	36,000
Creditors (liability not recorded – omitted)	15,000	Rs 72,000)	
Realisation Account		Life Policies	63,000
(assets taken over)	1,10,000	(½ of 30% of	
Antony's Capital A/c	1,11,280	Rs 4,20,000)3/6	
Cash Account	18,720	Cash (loss on realisation)	69,000
	<u>3,24,000</u>		<u>3,24,000</u>

Akbar's Capital Account

	Rs		Rs
Realisation A/c (Loss)	46,000	Balance b/d	1,44,000
(transfer from realisation A/c)		Reserves	24,000
Creditors (liability not recorded – omitted)	10,000	Life Policies	42,000
Antony's Capital A/c	92,720	(1/3 of 30% of it 20,000) (2/6)	
Cash A/c	<u>1,07,280</u>	Cash (loss on realisation)	46,000
	<u>2,56,000</u>		<u>2,56,000</u>

Antony's Capital Account

	Rs		Rs
Balance b/d	2,50,000	Reserves	12,000
Creditors (liability omitted)	5,000	Life Policies (3:2:1)	21,000
Realisation A/c (loss)	23,000	(1/6 of 30% of Rs 4,20,000)	
		Cash (estate)	41,000
		Amar's Capital A/c	1,11,272
		Akbar's Capital A/c	92,728
	<u>2,78,000</u>		<u>2,78,000</u>

Cash Account

	Rs		Rs
Balance b/d	77,660	Realisation A/c (creditors)	3,29,640
Realisation A/c (assets realised)	3,01,980	Realisation A/c (dishonor bills payment)	70,000
Amar's Capital A/c	69,000	Realisation A/c (expenses)	10,000
Akbar's Capital A/c	46,000	Amar's Capital Account	18,720
Antony's Capital A/c	41,000	Akbar's Capital Account	1,07,280
	<u>5,35,640</u>		<u>5,35,640</u>

9.5.3 Model

Partner's Debit balance in the Capital Account on the date of dissolution.

Illustration: 15

P, Q, R and S were partners sharing profits and losses in the ratio of 3:3:2:2, respectively. Their Balance Sheet on Dec 31, 2008 was as follows:

	Rs		Rs
Creditors	93,000	Cash in Hand	Rs 12,000
P's Loan	60,000	Debtors	96,000
Capital Accounts		Less: Reserve	<u>3,000</u>
P 1,20,000		Stock	60,000
Q <u>90,000</u>	2,10,000	Furniture	24,000
		Two Wheeler	42,000
		Capital Account	
		R 36,000	
		S <u>96,000</u>	1,32,000
	<u>3,63,000</u>		<u>3,63,000</u>

It was decided to dissolve the firm with effect from Dec 31, 2008 and Q was appointed to liquidate the assets and pay the creditors. He was entitled to receive 5% commission on the amounts finally paid to other partners including loans, if any. He was to bear the expenses of realisation that amounted to Rs 1,500. The assets realised Rs 1,62,000. Creditors were paid in full. In addition a sum of Rs 15,000 was also paid to staff on retrenchment in full settlement of their claims. S was insolvent and the partners accepted Rs 22,200 from his estate in settlement. Applying the rule in Garner vs. Murray, prepare necessary ledger accounts.

Commission payable to Q is note to be treated as firm's expense.

(B.Com (Delhi) – Adapted and Modified)

Solution

Here, students have to note one more information.

- In the Balance Sheet, in addition to the insolvent partner (S), the other partner R also has a debit balance.
- In such cases, such partners need not take the burden of shouldering the deficiency in the Capital Account of S.
- Only P and Q have to share the deficiency of S in the ratio of their capital Rs 1,20,000:90,000, i.e. 4:3.
- R has paid his own deficiency because he is not insolvent.
- Now Realisation Account has to be prepared. Here, actual expenses on realisation paid by Q may not be taken into account, assuming it was met by him personally.
- Further, cash representing loss on realisation brought by solvent partners has to be recorded in partner's capital accounts. Hence it is ignored in the preparation of Realisation Account.

Realisation Account

	Rs		Rs
Debtors Account	96,000	Creditors	93,000
Stock Account	60,000	Provision for Doubtful Debts	3,000
Furniture Account	24,000	Bank Account	1,62,000
Two Wheeler Account	42,000	(assets realised)	
Cash Account	15,000	*Loss transferred to Capital Accounts:	
(compensation)		P	21,600
Cash Account	93,000	Q	21,600
(creditors)		R	14,400
		S	14,400
	<u>3,30,000</u>		<u>3,30,000</u>

*Balancing figure Rs 72,000 is the total loss on realisation. This amount is applied in the ratio of 3:3:2:2 (i.e., P: 3/10 Q: 3/10 R: 2/10 S: 2/10) and transferred to other respective capital accounts.

P's Capital Account

	Rs		Rs
Realisation A/c (loss)	21,600	Balance b/d	1,20,000
S's Capital Account	50,400	P's Loan Account	60,000
Q's Capital Account	5,142	Bank Account	21,600
(commission)			
Bank Account	<u>1,24,458</u>		
	<u>2,01,600</u>		<u>2,01,600</u>

Q's Capital Account

	Rs		Rs
Realisation A/c (Loss)	21,600	Balance b/d	90,000
S's Capital Account	37,800	Bank A/c	21,000
Bank Account	57,342	P's Capital Account	5,142
		(commission)	
	<u>1,16,742</u>		<u>1,16,742</u>

R's Capital Account

	Rs		Rs
Balance b/d	36,000	Bank Account	50,400
Realisation A/c (Loss)	14,000		
	<u>50,400</u>		<u>50,400</u>

S's Capital Account

	Rs		Rs
Balance b/d	96,000	Bank Account	22,200
Realisation A/c (Loss)	14,400	P's Capital Account	50,400
		Q's Capital Account	37,800
	<u>1,10,400</u>		<u>1,10,400</u>

Bank Account

	Rs		Rs
Balance b/d	12,000	Realisation Account	93,000
Realisation Account	1,62,400	Realisation Account	15,000
P's Capital Account	21,600	(Compensation)	1,24,458
Q's Capital Account	21,600	P's Capital Account	57,342
R's Capital Account	50,400	P's Capital Account	
S's Capital Account	22,200		
	<u>2,89,800</u>		<u>2,89,800</u>

Working Notes:

Calculation of Commission Payable to Q	Rs
Amount Due before Charging Commission	1,29,600
Less: Cash brought before Realisation Loss	21,600
	<u>1,08,000</u>

Commission = $1,08,000 \times 5/105 = \text{Rs } 5,142$ (rounded off)

Illustration: 16

The following Balance Sheet is presented to you

Liabilities	Rs	Assets	Rs
Creditors	2,00,000	Sundry Assets	3,00,000
B's Loan	50,000	Cash	10,000
Capitals		Profit and Loss Account	1,50,000
A	1,00,000	Drawings	
B	60,000	B	20,000
C	60,000	C	20,000
D	30,000		
	<u>5,00,000</u>		<u>5,00,000</u>

The partners shared profit and losses in the ratio of 2:3:3:2.

The position of partners was as follows:

	Private Estate Rs	Private Liability Rs
A	1,00,000	1,50,000
B	2,00,000	60,000
C	50,000	40,000
D	80,000	90,000

The assets realised was Rs 2,60,000 and expenses of realisation was Rs 10,000. Prepare ledger accounts giving effect to the dissolution.

B. Com (Hons) Delhi
B. Com (pass) Madras
Adapted and Modified

Solution

B's Loan Account

	Rs		Rs
Cash Account	50,000	Balance b/d	50,000

A, B, C and D Realisation Account

	Rs		Rs
Sundry Assets Account	3,00,000	Creditors	2,00,000
Cash A/c (Creditors)	2,00,000	Cash Account	2,60,000
Cash (Expenses)	10,000	Loss transferred to Capital Accounts	
		A 10,000	
		B 15,000	
		C 15,000	
		D 10,000	
	<u>5,10,000</u>		<u>50,000</u>
			<u>5,10,000</u>

A's Capital Account

	Rs		Rs
Profit and Loss Account	30,000	Balance b/d	1,00,000
Realisation A/c(Loss)	10,000		
C's Capital Account	10,000		
D's Capital Account	10,000		
Cash Account	<u>40,000</u>		
	<u>1,00,000</u>		<u>1,00,000</u>

B's Capital Account

	Rs		Rs
Profit and Loss A/c	45,000	Balance b/d	60,000
Realisation A/c(Loss)	15,000	Cash Account	20,000
Drawings Account	20,000		
	<u>80,000</u>		<u>80,000</u>

C's Capital Account

	Rs		Rs
Profit and Loss A/c	45,000	Balance b/d	60,000
Realisation A/c(Loss)	15,000	Cash Account	10,000
Drawings Account	20,000	A's Capital A/c	10,000
	<u>80,000</u>		<u>80,000</u>

D's Capital Account

	Rs		Rs
Profit and Loss A/c	30,000	Balance b/d	30,000
Realisation A/c(Loss)	10,000	A's Capital A/c	10,000
	<u>40,000</u>		<u>40,000</u>

Cash Account

	Rs		Rs
Balance b/d	10,000	Realisation Account	10,000
Realisation A/c(Loss)	2,60,000	B's Loan Account	50,000
B's Capital Account	20,000	Realisation Account	2,00,000
C's Capital Account	10,000	A's Capital	40,000
	<u>3,00,000</u>		<u>3,00,000</u>

Working Notes:

- (1) There are deficits in capital accounts of partners B, C and D resulting in three insolvent partners. In such a case, Garner vs. Murray rule cannot be applied because there must be at least two solvent partners. Here only one partner, i.e. A is solvent.
- (2) B's capital account shows a deficit of Rs 20,000. But he has surplus from his private estate. He brings in Rs 20,000 and settles his account.
- (3) C's Capital Account shows a deficit of Rs 20,000 (Rs 45,000 + Rs 15,000 + Rs 20,000 – Rs 60,000). He has a surplus of Rs 10,000 from his private estate. His deficit of Rs 10,000 has been transferred to A's Capital A/c.
- (4) D's deficit is Rs 10,000 (Rs 30,000 + Rs 10,000 – Rs 30,000). No surplus from his private estate. This deficit is also borne by A as he is the only solvent partner.
- (5) A's Capital Account has a surplus of Rs 60,000 (Rs 1,00,000 – Rs 30,000 – Rs 10,000). A can bear the deficit of all the other partners up to Rs 60,000. Here the deficit of C is Rs 10,000 and the deficit

of D is Rs 10,000 (total Rs 20,000). After meeting these deficits, final payment due to him from the firm will be only Rs 40,000.

OBJECTIVE 10: ALL PARTNERS ARE INSOLVENT

At times, situations may arise for a firm which will not be in a position to meet the claims of its creditors in full due to insufficiency of firm's assets as well as private estates of partners. In such a situation, all the partners are said to be insolvent. Even we can call it as insolvency of the firm.

10.1 Accounting Treatment

- (i) The realisation account is to be prepared without transferring liabilities.
- (ii) Loss on realisation is to be debited to capital accounts of partners in the profit sharing ratio.
- (iii) The capital accounts of the partners are closed by transferring the debit balance or credit balance to a newly opened account – Deficiency Account.

Illustration: 17

The Balance Sheet of X, Y and Z who are sharing profits in the ratio of 2:2:1 was as follows on Mar 31, 2009, the date of dissolution.

	Rs		Rs
Sundry Creditors	60,000	Cash	500
Bank Loan (with a charge on stock)	25,000	Stock	30,000
X 15,000		Other Assets	54,500
Y <u>10,000</u>	25,000	Goodwill	15,000
		Capital Z	10,000
	<u>1,10,000</u>		<u>1,10,000</u>

Stock realised Rs 26,000, and other assets were sold for Rs 45,000, Expenses on realisation amounted to Rs 1,500. Assuming that all the partners are insolvent, prepare the necessary ledger accounts to close the books of the firm.

[B.Com (Hons) – Delhi Modified]

Solution

- As all the partners are insolvent, given in the question, a new account Deficiency Account has to be prepared, after preparing capital account of partners.
- Liabilities need not be transferred while preparing Realisation Account.

Realisation Account

	Rs		Rs
Stock Account	30,000	Bank Account:	
Other Assets Account	54,500	Stock 26,000	
Goodwill Account	15,000	Other Assts <u>45,000</u>	71,000
Bank Account (Expenses)	1,500	Loss transferred to	
		X's Capital Account	12,000
		Y's Capital Account	12,000
		Z's Capital Account	<u>6,000</u>
	<u>1,01,000</u>		<u>1,01,000</u>

Bank Loan Account

	<i>Rs</i>		<i>Rs</i>
Bank Account	25,000	Balance b/d	25,000

Sundry Creditors Account

	<i>Rs</i>		<i>Rs</i>
Bank Account	45,000	Balance b/d	60,000
Deficiency Account	15,000		
	<u>60,000</u>		<u>60,000</u>

Capital Account

<i>Particulars</i>	<i>X Rs</i>	<i>Y Rs</i>	<i>Z Rs</i>	<i>Particulars</i>	<i>X Rs</i>	<i>Y Rs</i>	<i>Z Rs</i>
Balance Account	–	–	10,000	Balance b/d	15,000	10,000	–
Realisation Account (loss)	12,000	12,000	6,000	Deficiency Account	–	2,000	16,000
Deficiency Account	3,000	–			–	–	–
	<u>15,000</u>	<u>12,000</u>	<u>16,000</u>		<u>15,000</u>	<u>12,000</u>	<u>16,000</u>

Deficiency Account

	<i>Rs</i>		<i>Rs</i>
Y's Capital Account	2,000	Sundry Creditors Account	15,000
Z's Capital Account	16,000	X's Capital Account	3,000
	<u>18,000</u>		<u>18,000</u>

Cash Account

	<i>Rs</i>		<i>Rs</i>
Balance b/d	500	Bank Loan Account	25,000
Realisation Account	71,000	Sundry Creditors Account	45,000
		Realisation	1,500
	<u>71,500</u>		<u>71,500</u>

10.2 Use of Algebraic Equation

Under the following circumstances, we have to see the help of algebraic equation to compute the amount recoverable from the insolvent partners.

- The firm is not in a position (not enough cash) to pay its outside liabilities completely.
- The amount of contribution from the private estate of the insolvent partners is not shown explicitly.
- Notwithstanding the fact that the firm is not in a position (not enough cash) to meet its outside liabilities in full, problems will require the realisation of assets and payment of liabilities through Realisation Account.

This can be best illustrated as follows.

Illustration: 18

P, Q and R were in partnership sharing profits and losses in the ratio of 2:3:5. They prepared the following Balance Sheet on Mar 31, 2009, when they decided to dissolve.

Balance Sheet as on Mar 31, 2009

	Rs		Rs
Liabilities:		Assets:	
Loan from Bank (against the security of Plant and Machinery)	1,50,000	Plant and Machinery	2,50,000
Loan from R	20,000	Debtors	25,000
Trade Creditors	1,25,000	Stock	25,000
Bills Payable	5,000	Advance to P	20,000
Capital		Cash	5,000
P	30,000	Profit and Loss Account	75,000
Q	40,000		
R	<u>30,000</u>		
	4,00,000		<u>4,00,000</u>

Plant and Machinery realised Rs 1,75,000; debtors Rs 15,000 and stock Rs 20,000. P has a private estate, valued at Rs 50,000 and his liabilities amounted to Rs 20,000. The private estate realised only Rs 30,000. Q is insolvent. R can pay only 50 paise in the rupee of what is payable on his own account to the firm. Prepare the necessary ledger accounts, assuming that the loss on realisation is to be determined after considering the amount ultimately paid to all the creditors.

[B. Com (Hons) – Modified]

Solution

Study the problem – The sentence “R can pay only 50 paise in the rupee of what is payable on his own account to the firm” – indicates the use of algebraic equation to compute the amount recoverable from the insolvent partner.

So, before applying the equation, provisional accounts have to be prepared for Realisation Account, Bank Account and R's Capital A/c.

Important Note: Let the amount payable by R be taken as X (assumption)

Step 1: (Provisional) Realisation Account

	Rs		Rs
Plant and Machinery A/c	2,50,000	Bank Loan Account	1,50,000
Debtors Account	25,000	Trade Creditors Account	1,25,000
Stock Account	25,000	Bills Payable Account	5,000
Bank Account (loan)	1,50,000	Bank Account (accounts realised)	2,10,000
Bank Account (creditors and bills payable)	75,000 + X	Loss on Realisation	35,000 + X
	<u>5,25,000 + X</u>		<u>5,25,000 + X</u>

Step 2**(Provisional) Bank Account**

	Rs		Rs
Cash	5,000	Realisation Account (Bank Loan)	1,50,000
Realisation Account	2,10,000	Realisation Account (Creditors)	75,000 + X
P's Capital Account	10,000		
R's Capital Account	X		
	<u>2,25,000 + X</u>		<u>2,25,000 + X</u>

Step 3**(Provisional) R's Capital Account**

	Rs		Rs
Profit and Loss A/c	37,000	Balance b/d	30,000
Realisation A/c	17,500 + X/2	R's Loan Account	20,000

Now R's Capital Account is to be completed for this value of X is to be ascertained.

Calculation of the amount to be brought in by R:

R will bring cash X (assumed)

Then his Capital Account (refer Provisional Capital A/c of R) is credited with Rs 30,000 and Rs 20,000. and

Debited with Rs 37,000 and $\frac{1}{2}$ of $\times + 17,500$

Net position is:

$$30,000 + 20,000 - (37,500 + X/2 + 17,500) \quad (1)$$

(All Credit Items) – (All Debit Items)

(1) is rearranged as:

$$\text{Rs } 37,000 + X/2 + 17,500 - \text{Rs } 30,000 - \text{Rs } 20,000$$

This will be equal to cash + X/2 (Debit Balance)

$$\text{Hence } 37,500 + X/2 + 17,500 - \text{Rs } 30,000 - \text{Rs } 20,000 = \text{Rs } 5,000 + X/2$$

R's contribution is 50 paise in the rupee which means 50% of what is payable on his own account (given in the question).

$\therefore$ R will contribute 50% of (Rs 5,000 + X/2)

This will be equal to the R's contribution to capital, i.e. $\times$ (assumed already)

$$\therefore 50\% \text{ of } (5,000 + X/2) = X$$

$$(50/5,000) \times 1/2 (5,000 + X/2) = X$$

$$5,000/2 + X/4 = X$$

$$2,500 + X/4 = X \quad (2)$$

$$(2) \times 4 \quad 10,000 + X = 4X$$

$$10,000 = 4X - X$$

$$10,000 = 3X$$

$$X = 10,000/3 = 3,333.33$$

$$= \text{Rs } 3,333 \text{ (Rounded off)}$$

Now, we have to substitute this value 3,333 in the place of X and prepare the completed form of Realisation Account, Bank Account and R's Capital Account and other accounts in the usual manner.

Realisation Account

	Rs		Rs
Plant and Machinery Account	2,50,00	Bank Loan Account	1,50,000
Sundry Debtors Account	25,000	Sundry Creditors Account	1,25,000
Stock Account	25,000	Bills Payable Account	5,000
Bank Loan Account	1,50,000	Bank A/c (assets realised)	2,10,000
Bank Account (Creditors and Bills Payable)	78,333	Loss transferred to:	
		P's Capital Account	7,666
		Q's Capital Account	11,500
		R's Capital Account	19,167
	<u>5,28,333</u>		<u>5,28,333</u>

R's Capital Account

	Rs		Rs
Profit and Loss A/c	37,5000	Balance b/d	30,000
Realisation A/c (Loss)	19,167	R's Loan Account	20,000
		Bank A/c (value of X)	3,333
		*Q's Capital Account (balancing figure)	3,334
	<u>56,667</u>		<u>56,667</u>

P's Capital Account

	Rs		Rs
Advance to P	20,000	Balance b/d	30,000
Profit and Loss Account	15,000	Bank A/c	10,000
Realisation A/c (Loss)	7,666	*Q's Capital A/c (balancing figure)	2,666
	<u>42,666</u>		<u>42,666</u>

Q's Capital Account

	Rs		Rs
Profit and Loss A/c	22,500	Balance b/d	40,000
Realisation A/c (Loss)	11,500		
P's Capital A/c	2,666		
R's Capital A/c	3,334		
	<u>40,000</u>		<u>40,000</u>

Bank Account

	Rs		Rs
Cash Account	5,000	Realisation Account	1,50,000
Realisation Account	2,10,000	Realisation Account	78,334*
P's Capital Account	10,000		
R's Capital Account	3,334		
	<u>2,28,334</u>		<u>2,28,334</u>

(*Rounded off here)

Illustration: 19

L, M and N are partners in a firm sharing profit/loss in the ratio of 5:3:2. The Balance Sheet of the firm as on Mar 31, 2009 was as follows:

Liabilities	Rs	Assets	Rs
Creditors	1,20,000	Buildings	2,40,000
Bills Payable	60,000	Furniture	30,000
Bank Loan	60,000	Investments	90,000
Capitals		Profit and Loss Account	2,40,000
L	1,80,000		
M	1,20,000		
N	60,000		
	<u>6,00,000</u>		<u>6,00,000</u>

The bank loan was secured by charge on buildings. Assets realised as under:

	Rs
Buildings	1,20,000
Furniture	12,000
Investment	42,000

M's private estate realised Rs 36,000 and his private liabilities are Rs 30,000. N was insolvent and L could just contribute one-third of what was finally due from him on his own account. Show the ledger accounts closing the books of the firm.

[B.Com (Hons) – Adapted and Modified]

Solution

Study the problem: The sentence "L could contribute one-third of what was finally due from him on his own account." Such version also indicates the use of algebraic equation to compute the amount recoverable from the insolvent partners.

So here also provisional accounts have to be prepared, algebraic equation is to be applied and then only Realisation Account, Bank Account and Capital Account of Partners can be computed.

Let L's contribution be taken as X (assumption).

(Provisional) Realisation Account

	Rs		Rs
Buildings	2,40,000	Creditors	1,20,000
Furniture	30,000	Bills Payable	60,000
Investments	90,000	Bank Loan	60,000
Cash (Bank Loan)	60,000	Cash	174,000
Cash (Creditors and Bills Payable)	<u>1,20,000 + X</u>	Loss	<u>1,26,000 + X</u>
	<u>5,40,000 + X</u>		<u>5,40,000 + X</u>

(Provisional) L's Capital Account

Particulars	Rs	Particulars	Rs
Particulars Loss Account	1,20,000	Balance b/d	1,80,000
Realisation Account	<u>63,000 + X/2</u>	Deficiency (Total)	<u>3,000 + X/2</u>
	<u>1,83,000 + X/2</u>		<u>1,83,000 + X/2</u>

Total deficiency in L's capital account is $3,000 + X/2$. As per instructions given in the question, L is expected to contribute $1/3$ of his deficiency, i.e. $1/3$ of $(3,000 + X/2)$

Then his contribution is $(3,000/3 + X/6)$

Our assumption on his contribution = X

$$\therefore 3,000/3 + X/6 = X$$

$$6,000 + X/6 = X$$

$$6,000 + X = 6X$$

$$6,000 = 6X - X$$

$$5X = 6,000$$

$$X = 6,000/5 = 1,200$$

Substituting the value of X, main accounts have to be prepared.

Realisation Account

	Rs		Rs
Buildings	2,40,000	Creditors	1,20,000
Furniture	30,000	Bills Payable	60,000
Investments	90,000	Bank Loan	60,000
Cash (Bank Loan)	60,000	Cash	1,74,000
Cash (Creditors and Bills Payable)	1,21,200	Loss transferred to:	
		L's Capital Account	63,000
		M's Capital Account	38,160
		N's Capital Account	25,440
	<u>5,41,200</u>		<u>5,41,200</u>

L's Capital Account

	Rs		Rs
Profit and Loss Account	1,20,000	Balance b/d	1,80,000
Realisation Account	63,600	Cash	1,200
		Deficiency Account	2,400
	<u>1,83,600</u>		<u>1,83,600</u>

M's Capital Account

	Rs		Rs
Profit and Loss Account	72,000	Balance b/d	1,20,000
Realisation Account	38,160	Cash Account	6,000
Deficiency Account	15,840		
	<u>1,26,000</u>		<u>1,26,000</u>

N's Capital

	Rs		Rs
Profit and Loss Account	48,000	Balance b/d	60,000
Realisation Account	25,440	Deficiency Account	13,440
	<u>73,440</u>		<u>73,440</u>

Deficiency Account

	Rs		Rs
L's Capital Account	2,400	M's Capital Account	15,840
N's Capital Account	13,440		
	<u>15,840</u>		<u>15,840</u>

Note: Deficiency in the Capital Account of L and N is also to be transferred to M's Capital Account.

Illustration: 20

A, B and C shared profits and losses in the ratio of 5:3:2. On Mar 31, 2009, their balance sheet was as follows:

	Rs		Rs
Trade Creditors	1,20,000	Furniture	44,000
Bank Loan	40,000	Stock	1,92,000
Capital Accounts:		Cash	4,000
A 1,20,000		Profit and Loss Account	1,60,000
B 80,000			
C <u>40,000</u>	<u>2,40,000</u>		
	<u>4,00,000</u>		<u>4,00,000</u>

The bank had a charge on all the assets. Furniture realised Rs 12,000 while the entire stock was sold for Rs 1,00,000, B's private estate realised Rs 24,000; his private creditors were Rs 20,000. C was unable to contribute anything. A paid one-third of what was finally due from him (taking the payment also into account) except on account of other partners. Prepare Realisation Account, Cash Account and Partner's Capital Accounts, passing all matters relating to realisation of assets and payments of liabilities through the Realisation Account. Clearly show your calculation regarding cash brought in by A.

(B.Com – Modified)

Solution

- First note whether there is any specific catch word in the problem. One can note "A paid one third of what was finally due from him...." in the problem.
- Then we have to use algebraic equation. Before that Realisation Account and A's Capital Account has to be prepared provisionally.
- Let the amount paid by A (one-third of what was finally due from him) be taken as X (assumed).

Total cash available is computed as:

Assets realised	Rs
Furniture	12,000
Stock	<u>1,00,000</u>
Total	1,12,000
Add Cash	<u>4,000</u>
	1,16,000
Add: From B's Private estate	<u>4,000</u> (24,000 – 20,000)
Total Cash available	1,20,000

(Provisional) Realisation Account

	<i>Rs</i>		<i>Rs</i>
Furniture	44,000	Trade Creditors	1,20,000
Stock	1,92,000	Bank Loan	40,000
Cash (bank loan)	40,000	Cash	1,12,000
Cash (creditors)	80,000 + X	Loss on Realisation	84,000 + X
	<u>3,56,000 + X</u>		<u>3,56,000 + X</u>

[A's Share = $\frac{1}{2}$ (84,000 + X) = 42,000 + X/2]

(Provisional)A's Capital

	<i>Rs</i>		<i>Rs</i>
Realisation Account (A's share)	42,000 + X/2	Balance b/d	1,20,000
Profit and Loss A/c	80,000	Balance c/d	2,000 + X/2
	<u>1,22,000 + X/2</u>		<u>1,22,000 + X/2</u>

Debit Balance in A's Capital Account = 2,000 + X/2

A has to pay $\frac{1}{3}$ of total deficiency (i.e.)

$\frac{1}{3}$ of (2,000 + X/2)

$2,200/3 + X/6 = X$

$2,000/3 + *X/6 = X$

$4,000 + X = 6X$

$4,000 = 5X$

$X = 4,000/5 = 800$

A has to contribute Rs 800

*Creditors will be able to get = 80,800 (80,000 + X)

Realisation Account

	<i>Rs</i>		<i>Rs</i>
Furniture	44,000	Trade Creditors	1,20,000
Stock	1,92,000	Bank Loan	40,000
Cash (bank loan)	40,000	Cash	1,12,000
*Cash (creditors)	80,800	A's Capital Account	42,400
		B's Capital Account	25,440
		C's Capital Account	16,960
	<u>3,56,800</u>		<u>3,56,800</u>

A's Capital Account

	<i>Rs</i>		<i>Rs</i>
Profit and Loss Account	80,000	Balance b/d	1,20,000
Realisation A/c (Loss)	42,000	Cash Account	800
		Deficiency Account	1,600
	<u>1,22,400</u>		<u>1,22,400</u>

B's Capital Account

	<i>Rs</i>		<i>Rs</i>
Profit and Loss Account	48,000	Balance b/d	80,000
Realisation A/c (Loss)	25,440	Cash Account	4,000
Deficiency Account	10,560		
	<u>84,000</u>		<u>84,000</u>

C's Capital Account

	<i>Rs</i>		<i>Rs</i>
Profit and Loss Account	32,000	Balance b/d	40,000
Realisation A/c (Loss)	16,960	Deficiency Account	8,960
	<u>48,960</u>		<u>48,960</u>

Deficiency Account

	<i>Rs</i>		<i>Rs</i>
A's Capital Account	1,600		
C's Capital Account	8,960	B's Capital Account	10,560
	<u>10,560</u>		<u>10,560</u>

OBJECTIVE 11: MINOR AND PARTNERSHIP DISSOLUTION

In general, as per statutory provisions, a minor (i.e., who has not completed 18 years of age) is not competent to enter into any contract. So, a minor is not eligible to act as a full fledged partner in a firm. But Section 30 of the Indian Partnership Act 1932 stipulates that a minor may be admitted (to enjoy the benefits only) as a partner in a firm with the consent of all the other partners.

11.1 Minor's Status in Partnership Dissolution

However, in case of dissolution of partnership firms, a minor

- will not share the loss on realisation of assets and payment of liabilities, and
- will not share any accumulated loss on dissolution. But he is entitled to claim his share in profit on realisation account, accumulated profit existing on the date of dissolution.

11.2 Minor and Insolvency**Illustration: 21**

P, Q and R were partners and S, a minor was admitted in a partnership firm. S was given 20% share. P, Q and R share the profits in the ratio of 2:1:1. The Balance Sheet as on Dec 31, 2008 was as follows:

Liabilities	Rs	Assets	Rs
Creditors	4,20,000	Bank	30,000
Bills Payable Rs	60,000	Assets	8,70,000
Capitals P 1,50,000		Advertising Suspense Account	60,000
Q 1,20,000			
R 30,000			
S <u>1,80,000</u>	4,80,000		
	<u>9,60,000</u>		<u>9,60,000</u>

On the date R become insolvent, it was decided to dissolve the firm. The assets realised Rs 6,90,000. Creditors were settled for 3,90,000. Expenses of realisation amounted to Rs 6,000. A dividend of 40 in a rupee was received from R's estate. Close the books of the firm.

Solution

- R is stated as a minor.
- Provision of the Partnership Act safeguards the minors (in a partnership firm), as such S will not be required to bear the losses.
- In this case, R another partner is insolvent. His deficiency is borne by other solvent partners only.
- S, the minor's capital will not be affected by
 - (i) deficiency of Capital Account of R
 - (ii) Advertising Suspense Account
- The above features should be kept in mind while preparing the necessary accounts to close the books of the firm on dissolution.

Realisation Account

	Rs		Rs
Assets	8,70,000	Creditors	4,20,000
Bank Account (3,90,000 + 60,000)	4,50,000	Bill's Payable	60,000
Bank Account (expenses)	6,000	Bank Account (assets realised)	6,90,000
		Loss transferred to	
		P's Capital A/c	78,000
		Q's Capital A/c	39,000
		R's Capital A/c	39,000
	<u>13,26,000</u>		<u>13,26,000</u>

P's Capital Account

	Rs		Rs
Realisation Account	78,000	Balance b/d	1,50,000
Advertising Suspense A/c	30,000		
R's Capital A/c (8/15)	7,680		
Bank A/c	<u>34,320</u>		
	<u>1,50,000</u>		<u>1,50,000</u>

Q's Capital Account

	<i>Rs</i>		<i>Rs</i>
Realisation A/c	39,000	Balance b/d	1,20,000
Advertising Suspense A/c	15,000		
R's Capital A/c (7/15)	6,720		
Bank A/c	59,280		
	<u>1,20,000</u>		<u>1,20,000</u>

R's Capital Account

	<i>Rs</i>		<i>Rs</i>
Realisation Account	39,000	Balance b/d	30,000
Advertising Suspense A/c	15,000	Bank	9,600
		P's Capital Account (8/15)	7,680
		Q's Capital Account (7/15)	6,720
	<u>54,000</u>		<u>54,000</u>

S's Capital Account

	<i>Rs</i>		<i>Rs</i>
Bank Account	1,80,000	Balance b/d	1,80,000

Bank Account

	<i>Rs</i>		<i>Rs</i>
Balance b/d	30,000	Realisation Account	4,50,000
Realisation Account	6,90,000	Realisation Account	6,000
R's Capital Account	9,600	P's Capital Account	34,320
		Q's Capital Account	59,280
		S's Capital Account	1,80,000
	<u>7,29,600</u>		<u>7,29,600</u>

*Capital Ratios is computed after taking into account Advertising Suspense Account.

11.3 Garner vs. Murray Rule in Case of Commission to a Partner as Expense of the Business

Illustration: 22

K, L and M are partners in a firm sharing profits and losses in the ratio of 2:2:1. They decided to dissolve the firm and appoint one to realise the assets and distribute the proceeds for which he is to receive 10% commission on the amounts ultimately paid to K and M. The realisation expenses will be borne by the firm. The Balance Sheet of the firm on the date of dissolution was as follows:

	Rs		Rs
Creditors	72,500	Debtors	2,12,500
K's Capital	2,02,500	Less: Provision	<u>2,500</u>
L's Capital	1,35,000	Stock	1,40,000
		Cash	20,000
		Furniture and Fittings	32,500
		M's Capital (overdrawn)	<u>7,500</u>
	<u>4,10,000</u>		<u>4,10,000</u>

L informs the following realisation: Debtors Rs 1,70,000; Stock 1,25,000; Furniture and Fittings Rs 20,000 and Goodwill Rs 41,000. There was unrecorded liability of Rs 2,500 which has now been paid. Realisation expenses amounted to 16,000.

M is able to contribute Rs 2,500 only. Commission payable to L is to be treated as firm's expense. Close the books of the firm.

(B.Com – Madras Adapted and Modified)

Solution

Realisation Account, M's Capital Account (to complete deficiency) and K's Capital Account (amount payable to K) – all have to be prepared provisionally. Commission payable to L has to be ascertained by using algebraic equation.

Realisation Account (Provisional)

	Rs		Rs
Debtors	2,12,500	Provision for Doubtful Debts	2,500
Stock	1,40,000	Creditors	72,500
Furniture and Fittings	32,500	Cash (assets realised)	3,56,000
Cash (creditors)	75,000	Loss transferred to	
		K's Capital	18,000
		L's Capital	18,000
		M's Capital	9,000
Cash (expenses)	<u>16,000</u>		
	<u>4,76,000</u>		<u>4,76,000</u>

Commission Payable to L is to be computed as:

Let the commission payable to L be X (assumed)

Then realisation loss after commission = 45,000 + X

K's share of loss = 18,000 + $\frac{2}{5}$ X

L's share of loss = 18,000 + $\frac{2}{5}$ X

M's share of loss = 9,000 + $\frac{1}{5}$ X

(Loss in 2:2:1 ratio, as given in the problem)

M's deficiency has to be borne by K and L in their capitals ratio – (Garner vs. Murray rule) (i.e.)

2,02,500: 1,35,000 (OR) – 3:2

Now, deficiency of M is ascertained as:

M's Capital Account (Provisional)

	Rs		Rs
Balance b/d	7,500	Cash	2,500
Realisation Loss	$9,000 + X/5$	Deficiency	$14,000 + X/5$
	<u>$16,500 + X/5$</u>		<u>$16,500 + X/5$</u>

This deficiency will have to be borne by K and L in 3:2 ratio.

So K will have to bear $3/5$ of $(14,000 + X/5) = 8,400 + 3X/25$

L will have to bear $2/5$ of $(14,000 + X/5) = 5,600 + 2X/25$

Now, amount payable to K is to be computed as:

K's Capital Account (Provisional)

	Rs		Rs
Realisation Loss	$18,000 + 2X/5$	Balance b/d	2,02,500
M's Capital Account	$8,400 + 3X/25$		
Cash $(2,02,500 - 18,000 + 8,400)$	$1,76,100 - 13X/25$		
	<u>2,02,500</u>		<u>2,02,500</u>

Coming back,

Commission Payable to L:

$$1/10 (1,76,100 - 13/25X) = X$$

$$1,76,100 - 13/25X = 10X$$

$$44,02,500 = 250X + 13X$$

$$263X = 44,02,500$$

$$X = 44,02,500/263 = 16,740$$

Now, final main accounts for realisation, capital account of partners and cash/bank will have to be calculated.

Realisation Account

	Rs		Rs
Debtors	2,12,500	Provision Doubtful Debts	2,500
Stock	1,40,000	Creditors	72,500
Furniture and Fittings	32,500	Cash (assets realised)	3,56,000
Cash (Creditors)	75,000	Loss: Transferred to	
		K's Capital Account	24,696
		L's Capital Account	24,696
		M's Capital Account	<u>12,348</u>
			61,740
Cash (Expenses)	16,000		
L's Capital Account (Commission)	16,740		
	<u>4,92,740</u>		<u>4,92,740</u>

M's Capital Account

	Rs		Rs
Balance b/d	7,500	Cash	2,500
Realisation A/c	12,348	K's Capital Account	10,409
		L's Capital Account	6,939
	<u>19,848</u>		<u>19,848</u>

K's Capital Account

	Rs		Rs
Realisation A/c	24,696	Balance b/d	2,02,500
M's Capital A/c	10,409		
Cash	1,67,395		
	<u>2,02,500</u>		<u>2,02,500</u>

L's Capital Account

	Rs		Rs
Realisation A/c	24,696	Balance b/d	1,35,000
M's Capital A/c	6,939	Realisation A/c	16,740
Cash	120,105		
	<u>1,51,740</u>		<u>1,51,740</u>

Cash Account

	Rs		Rs
Balance b/d	20,000	Realisation A/c	75,000
Realisation A/c	3,56,000	Realisation A/c	16,000
M's Capital A/c	2,500	K's Capital A/c	1,67,395
		L's Capital A/c	1,20,105
	<u>3,78,500</u>		<u>3,78,500</u>

OBJECTIVE 12: SALE OF PARTNERSHIP FIRM TO A LIMITED COMPANY**12.1 Meaning**

Conversion of a firm to limited company

- (i) At times, a partnership of a firm may deserve to expand its business. Hence necessity drives them to convert its structural level from a firm into a company.
- (ii) Sometimes, the business of firms may be acquired by an already existing company.
- (iii) In both these cases, the firm is dissolved.
- (iv) This kind of dissolution of firm is technically known as "Sale of a firm to a company."
- (v) Although the firm is dissolved in the same manner as discussed so far, accounting treatment differs to a certain extent as this type of dissolution has its own unique features.

12.2 Salient Features

(i) Generally, partnership firms are sold as a going concern. As such, all assets and outside liabilities (it is immaterial whether it is taken over by the purchasing company or not) are to be transferred to Realisation Account at their book values. Cash and book balances also may be transferred at the discretion of purchasing company. Otherwise, they should not be transferred to Realisation Account.

The disposal of assets not taken over by the purchasing company is to be recorded through Realisation Account as well as the payment to outside liabilities (not taken over by the purchasing company) is to be recorded through the Realisation Account.

(ii) Purchase Consideration: The price paid by the purchasing company is known as “purchase consideration.”

But from the point of view of the firm, it is known as “Sale Price.”

Accounting Entry:

This item (agreed purchase consideration or sale price) is to be recorded as:

Purchasing Company's Account	Dr.
To Realisation Account	

Calculation

The purchase consideration may be provided in either of the two following forms:

12.3 Meaning and Computation of “Purchase Consideration”

- (i) Lump sum figure
- (ii) Not specified as lump sum figure

If lump sum figure is given, no need arises for further calculation. The lump sum figure itself will be the value of purchase consideration.

In case of the lump sum figure is not specified as a lump sum figure, purchase consideration will be calculated by either of the two methods:

- (i) Net Assets Method
- (ii) Net Payment Method

12.3.1 Net Assets Method

Purchase Consideration = Total Value of Assets – Total Value of Liabilities

Important Notes

Here, value represents the agreed value between the firm and the purchasing company. It should never be calculated at their book value.

12.3.2 Net Payment Method

The purchase price may be paid partly in cash and partly by allotment of its own shares and debentures. Then purchase consideration value will be the aggregate amount of cash, issue price of shares – preference shares and issue price of debentures issued.

Here arises an important question – if the purchase consideration is *exclusively cash*, then no problem arises. But in case, purchase consideration is carried out by issuing shares and debentures. The most important and controversial subject is the *basis of distribution* of shares and debentures among the partners. There are two different schools of thought:

1. Shares and debentures are valued independently, and the profit or loss arising on such valuation is transferred to partner's capital accounts. In the absence of any information, shares and debentures are taken at their book value.
2. Shares and debentures will be apportioned among the partners in *the ratio of their final claims*. In such case, ratio of capital will be adjusted by profit or loss on realisation and other accumulated losses and profits. To put it in a nutshell, shares and debentures will be distributed among the partners only in the ratio of their final claims and *not in their profit sharing ratio*. This method is in

conformity with Section 49 (b)(iii) of the Partnership Act by which the assets of the firm must be used in paying each partner rateably what is due to him on account of capital.

12.4 Procedure

The author does not want to enter into controversy, as his main aim is to present the subject matter in a lucid manner to the students. As such students are asked to follow the procedure as mentioned below.

Generally, problems in the examination papers will provide some requirements or directions on how the shares, debentures, etc. are to be distributed among the partners. If there are no indications, then they are advised to put a note and proceed in line with Section 48(b)(ii) of the Partnership Act. (This procedure is followed in the forthcoming illustrations in this section: sale of a firm to a company – partnership dissolution.)

12.5 Accounting Entries

Sale of Firm to a Company

Item of Transaction	Account to be	
	Debited	Credited
1. Transfer of Assets	Realisation	Assets (concerned)
2. Transfer of Liabilities	Liabilities (concerned)	Realisation
3. Purchase Price	(Purchasing Company)	Realisation
4. Assets sold (not taken over by the purchasing company)	Cash or Bank	Realisation
5. Assets NOT SOLD (taken over by the purchasing company)	Cash or Bank	Realisation
6. Payment of Liabilities	Realisation	Cash or Bank
7. Realisation Expenses	Realisation	Cash
8. Receipts to Purchase Consideration (Cash, Shares, Preference Shares, Debentures, etc. form the purchasing company)	(Concerned) Assets	Purchasing Company
9. Distribution of Cash among the Partners	Capital	Cash
10. Distribution of Shares/Debentures among the Partners	Capital	Shares/Debentures
11. Realisation Account: <i>Profit</i>	Realisation	Capital A/c (or) Current A/c
12. Realisation Account: <i>Loss</i>	Capital A/c or Current A/c	Realisation A/c

12.6 Purchase Consideration

Illustration: 23

The Himalya Company Limited was formed to acquire the business of X and Y who hare profits on the ratio of 3:2, respectively. The Balance Sheet of X and Y on Mar 31, 2009 was as follows:

Assets	Rs	Liabilities	Rs
Bills Payable	7,500	Land and Building	30,000
Sundry Creditors	18,000	Machinery	20,000
Mrs X's Loan	4,500	Stock	23,000
Capitals		Debtors	20,000
X 50,000		Bills Receivable	4,500
Y 30,000		Investments	2,500
		Cash at Bank	5,000
	80,000	Goodwill	5,000
	<u>1,10,000</u>		<u>1,10,000</u>

It was agreed by the company to take over the assets at book value with the exception of land and buildings and stock which are taken over at Rs 40,000 and Rs 20,000, respectively. The investments were retained by them and sold for Rs 2,000. They also discharged the loan of No. X. The company took over the remaining liabilities. The value of goodwill is fixed at Rs 30,000.

The purchase consideration is discharged as follows:

10,000 ordinary shares of Rs 10 each and the balance in cash.

You are required to

- (i) Compute purchase consideration
- (ii) Pass the necessary Journal entries
- (iii) Prepare the necessary accounts to close the books of the firm

Solution

While computing the value of purchase consideration, care should be taken for the following items:

- (1) See whether cash and bank should be included in the assets or not. Here it is given "...company was formed to acquire the business." Business includes all assets and liabilities. So it is included in purchase consideration.
- (2) See, whether there is any specific agreement or instruction in the problem. Here, it is shown as "Investment were retained and sold by the firm." So investment is also not included.
- (3) Further the loan of Mrs. X was discharged by the (firm) partners. So that item is also excluded in the calculation of purchase consideration.

Step 1

Computation of Purchase Consideration

		Rs
Assets: (at agreed price)		
Land and Building		40,000
Stock		20,000
Machinery		20,000
Debtors		20,000
Bills Receivable		4,500
Cash or Bank		5,000
Goodwill		<u>30,000</u>
(A) Total Value of Assets (at agreed price)		1,39,500
Liabilities: (Taken over)		
Bill Payable	7,500	
Sundry Creditors	<u>18,000</u>	
(B) Total Value of Liabilities	<u>25,500</u>	<u>25,500</u>
(C) = A – B: Purchase Consideration		<u>1,14,000</u>

Step 2

Journal Entries

		Rs	Rs
1. For Transfer of Assets			
Realisation Account:	Dr.	1,07,500	
To Land and Buildings			30,000
To Stock			<u>23,000</u>

		Rs	Rs
To Machinery			20,000
To Debtors			20,000
To Bills Receivable			4,500
To Cash at Bank			5,000
To Goodwill			5,000
(Being the transfer of assets of realisation account at their Book Value – assets being taken over by the company)			
(Note: Investments omitted)			
2. For transfer of Liabilities:			
Bills Payable Account	Dr.	7,500	
Sundry Creditors Account	Dr.	18,000	
To Realisation Account			25,500
(Being the transfer of liabilities to realisation account at Book Value – Liabilities to be discharged by the Company)			
3. For Purchase Price:			
The Himalaya Company Ltd	Dr.	1,14,000	
To Realisation A/c			1,14,000
(Being the Purchase Consideration, refer Step 1)			
4. For Assets sold (not taken over by company)			
Bank A/c	Dr.	2,000	
Realisation A/c	Dr.	500	
To Investment A/c			2,500
(Being the sale of investments not taken over by the company)			
5. For receipts to Purchase Consideration:			
Shares in The Himalaya Co Ltd	Dr.	1,00,000	
Bank A/c	Dr.	14,000	
To The Himalaya Co Ltd			1,14,000
(Being receipt to Purchase Consideration 10,000 shares @ Rs 10 each, and the balance Rs 14,000 in cash)			
6. For distribution of Cash and Shares:			
(a) For X:			
X's Capital A/c	Dr.	68,900	
To shares in Himalaya Co Ltd			61,794
To Bank A/c			7,106
(Being payment to X)			
(b) For Y:			
Y's Capital A/c	Dr.	42,600	
To Shares in Himalaya Co Ltd			38,206
To Bank A/c			4,394
(Being payment to Y)			

		Rs	Rs
7. For transfer of Profit on Realisation:			
Realisation Account	Dr.	31,500	
To X's Capital Account			18,900
To Y's Capital Account			12,600
(Being the profit of realisation transferred to Capital Accounts of Partners)			

Important Note: Shares have been distributed in the ratio of final claims of X and Y:

68,900: 42,600

689: 426

Realisation Account

	Rs		Rs
Land and Buildings	30,000	Bills Payable	7,500
Machinery	20,000	Sundry Creditors	18,000
Stock	23,000	The Himalaya Co Ltd	1,14,000
Debtors	20,000		
Bills Receivable	4,500		
Cash at Bank	5,000		
Goodwill	5,000		
Investments	500		
X's Capital Account (3/5)	18,900		
Y's Capital Account (2/5)	12,600		
	<u>1,39,500</u>		<u>1,39,500</u>

Bank Account

	Rs		Rs
Balance b/d	5,000	Realisation Account	5,000
Himalaya Co Ltd	14,000	Mrs. X's Loan	4,500
Investment Account	2,000	X's Capital Account	7,106
		Y's Capital Account	4,394
	<u>21,000</u>		<u>21,000</u>

The Himalaya Co Ltd

	Rs		Rs
Realisation Account	1,14,000	Shares in Himalaya Ltd	1,00,000
	<u>1,14,000</u>	Bank Account	14,000
			<u>1,14,000</u>

Partner's Capital Accounts

Particulars	Rs	Rs	Particulars	Rs	Rs
Shares in Himalaya Co. Ltd	61,794	38,206	Balance b/d	50,000	30,000
Bank Account			Realisation Account	18,900	12,600
	<u>7,106</u>	<u>4,394</u>			
	<u>68,900</u>	<u>42,600</u>		<u>68,900</u>	<u>42,600</u>

Illustration: 24

X and Y were equal partners. On Mar 31, 2009 their balance sheet was as follows:

Liabilities	Rs	Assets	Rs
X's Capital Account	1,50,000	Fixed Assets	2,80,000
Y's Capital Account	70,000	Less: Provision for	90,000
X's Loan Account	20,000	Depreciation	1,90,000
Sundry Creditors	53,600	Joint Life Policy	12,600
		Stock	54,000
		Debtors	30,000
		Cash	7,000
	<u>2,93,600</u>		<u>2,93,600</u>

On that date, the partners dissolved the firm. Fixed assets were sold to Alfa Co Ltd for Rs 2,00,000, payable in the form of 20,000 shares of Rs 10 each. X took over the Joint Life Policy at an agreed valuation of Rs 10,000. Stock and debtors realised Rs 47,400. Expenses came to Rs 600. X and Y agreed to distribute shares in Alfa Co Ltd among themselves in the ratio of their final claims. Sundry Creditors were paid at book value.

Show the necessary ledger accounts.

[B. Com (Delhi) Adapted and Modified]

Solution**Realisation Account**

Dr.

Cr.

Particulars		Rs	Particulars	Rs
To Sundry Assets	Rs		By Provision for Depreciation	90,000
Fixed Assets	2,80,000		By Sundry Creditors	53,600
Joint Life Policy	12,600		By Alfa Co Ltd	2,00,000
Stock	54,000		By X's Capital Account	10,000
Debtors	<u>30,000</u>	3,76,600	(Joint Life Policy)	
To Cash (Creditors)		53,600	By Cash A/c – (Stock and Debtors)	47,400
To Cash (Expenses)		600	By X's Capital A/c	14,900
			Y's Capital A/c	<u>14,900</u>
			(Loss on Realisation to Capital Account)	29,800
		<u>4,30,800</u>		<u>4,30,800</u>

X's (partners) Capital Accounts

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Realisation account (Joint Life Policy)	10,000	By Balance b/d	1,50,000
To Realisation A/c (Loss)	14,900		
To Shares in Alfa Co Ltd	<u>1,25,100</u>		
	<u>1,50,000</u>		<u>1,50,000</u>

Y's (partners) Capital Accounts**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Realisation A/c (Loss)	14,900	Balance b/d	70,000
To Shares in Alfa Co Ltd	55,100		
	<u>70,000</u>		<u>70,000</u>

Note: In this account, no need arises to establish the ratio of final claim because the one and only asset available for closing the capital accounts shares in the Alfa Co Ltd.

Cash Account**Dr.****Cr.**

	Rs		Rs
Balance b/d	7,000	Realisation A/c – Creditors	53,000
Realisation A/c – (Sale of the Current Assets)	47,400	Realisation A/c – Expenses	600
		X's Loan A/c	200
	<u>54,400</u>		<u>54,400</u>

X's Loan A/c**Dr.****Cr.**

	Rs		Rs
Cash	200	By Balance b/d	20,000
* Shares in Alfa Co Ltd	19,800		
	<u>20,000</u>		<u>20,000</u>

***Note:** There is no sufficient cash. So for the balance of X's Loan, i.e. for Rs 19,800 shares in Alfa Co Ltd are provided.

Alfa Co Ltd**Dr.****Cr.**

	Rs		Rs
Realisation A/c (Purchase Price)	20,000	Shares in Alfa Co Ltd	20,000
	<u>20,000</u>		<u>20,000</u>

Shares Account**Dr.****Cr.**

	Rs		Rs
Alfa Co Ltd	2,00,000	X's Loan account	19,800
		X's Capital account	1,25,100
		Y's Capital account	55,100
	<u>2,00,000</u>		<u>2,00,000</u>

12.6.1 Model

Dealing with: assets not taken over. Such assets are dealt through Realisation Account.

Illustration: 25

A and B were partners sharing profits and losses in the ratio of 3:2, respectively. Their Balance Sheet as on Mar 31, 2009 was as follows:

Liabilities		Rs	Assets		Rs
Bills Payable		10,500	Cash		13,500
Sundry Creditors		19,200	Book Debts		22,500
Reserve Fund		45,000	Investments		12,000
Capitals			Stock		93,000
A	2,10,780		Plant and Machinery		1,50,000
B	<u>1,40,520</u>	<u>3,51,300</u>	Freehold Premises		<u>1,35,000</u>
		<u>4,26,000</u>			<u>4,26,000</u>

Vas Ltd was formed with an authorised capital of Rs 15,00,000 divided with 75,000 equity shares of Rs 10 each and 75,000 preference shares of Rs 10 each to acquire the going concern of A and B on the following terms:

- Vas Ltd took over all the assets except investments.
- It valued the stock and plant and machinery @ 10% less than the book value and the freehold premises @ 20% more than the book value.
- The liabilities were to be discharged by the company.
- The goodwill of the firm was to be valued at two years purchase of the average profits of three years. The firm had made profits of Rs 45,000 in 2006–2007; Rs 54,000 in 2007–2008 and Rs 63,000 in 2008–2009 after setting aside of Rs 15,000 every year to reserve fund.
- The purchase price was agreed upon to be paid Rs 1,59,000 in fully paid equity shares, Rs 1,50,000 in fully paid preference shares, Rs 90,000 in debentures and balance in cash.
- The partners sold the investments and realised Rs 12,300.

You are required to prepare in the books of the firm X and Y

- Realisation Account
- Capital Accounts of the Partners
- Cash Account

assuming that the shares and debentures are to be distributed in profit sharing ratio, the final settlement being made in cash.

(B.Com Madras University – Adapted and Modified)

Solution

- Ratio of final claims need not be calculated as it is clearly stated ... distributed in profit sharing ratio in the problem. As such, it has to be distributed on 3:2 ratio.
- Investments not taken over by the company. It is dealt through Realisation Account.
- Computation of Goodwill:

$$= \frac{2}{3} \times (45,000 + 115,000) + (54,000 + 15,000) + (63,000 + 15,000)$$

$$= \frac{2}{3} (60,000 + 69,000 + 78,000)$$

$$= \frac{2}{3} \times 2,07,000 = 1,38,000$$

Step 1: Purchase Consideration

Assets	Rs
Goodwill	1,38,000
Cash	13,500

Book Debts	22,500
Stock	83,700
Plant and Machinery	1,35,000
Freehold Premises	<u>1,62,000</u>
(A) Total of All Assets	<u>5,54,000</u>

Liabilities	Rs	
Bills Payable	10,500	
Sundry Creditors	<u>19,200</u>	
(B) Total of All liabilities	<u>(29,700)</u>	<u>29,700</u>
(C) = (A) – (B) = Purchase consideration		<u>5,25,000</u>

Step 2**Realisation Account**

Dr.	Rs		Cr.
Cash	13,500	Bills Payable	10,500
Book Debts	22,500	Sundry Creditors	19,200
Stock	93,000	Vas Co Ltd	5,25,000
Plant and Machinery	1,50,000	Cash	12,300
Freehold Premises	1,35,000		
Investments	12,000		
Profit transferred to Capital Accounts of:			
A 84,600			
B <u>56,400</u>	<u>1,41,000</u>		
	<u>5,67,000</u>		<u>5,67,000</u>

Cash Account

Dr.	Rs		Cr.
Balance b/d	13,500	Realisation Account	13,500
Realisation Account	12,300	Capital Accounts	
Vas Ltd	1,26,000	A	82,980
		B	55,320
	<u>1,51,800</u>		<u>1,51,800</u>

Capital Accounts of A and B

Dr.	A Rs	B Rs		A Rs	B Rs
Equity Shares in Vas Ltd	95,400	63,600	Balance b/d	2,10,780	1,40,520
Preference shares in Vas Ltd	90,000	60,000	Reserve Fund	27,000	18,000
Debentures in Vas Ltd	54,000	36,000	Realisation A/c	84,600	56,400
Cash	82,980	55,320			
	<u>3,22,380</u>	<u>2,14,920</u>		<u>3,22,380</u>	<u>2,14,920</u>

Illustration: 26

X, Y and Z were partners in business sharing profits and losses in the ratio 2:1:1. Their Balance Sheet as on Mar 31, 2009 was as follows:

Balance Sheet as on Mar 31, 2009

	Rs		Rs
Liabilities		Assets	
Fixed Capital		Fixed Assets	1,50,000
X 1,00,000		Investments	25,000
Y 50,000		Current Assets: Rs	
Z <u>50,000</u>	2,00,000	Stock 50,000	
Current Accounts:		Debtor's 30,000	
X 20,000		Cash and Bank <u>75,000</u>	1,55,000
Y <u>10,000</u>	30,000		
Unsecured Loans	1,00,000		
	<u>3,30,000</u>		<u>3,30,000</u>

On Apr 1, 2009 it is agreed among the partners that Dev. Ltd a newly formed company with Y and Z having each taken up 50 shares of Rs 10 each will take over the firm as a going concern including goodwill but excluding cash and bank balance. The following points are also agreed upon:

- Goodwill will be valued at three years purchase of super profits.
- The actual profit for the purpose of goodwill valuation will be Rs 50,000.
- Normal rate of return will be 15% on fixed capital.
- All the other assets and liabilities will be taken over at book values.
- The purchase consideration will be payable partly in shares of Rs 10 each and partly in cash. Payment in cash being to meet the requirement to discharge X, who has agreed to retire.
- Y and Z are to acquire equal interest in the new company.
- Expenses of liquidation Rs 20,000.

You are required to prepare the necessary ledger accounts

[C. A. (Inter) Modified]

Solution

Calculation of Goodwill:	Rs
Capital employed on Mar 31, 2009 (Fixed Capital)	<u>2,00,000</u>
Actual Profits	50,000
Less: Normal profits @ 15% of Rs 2,00,000	<u>30,000</u>
Super Profits	<u>20,000</u>
Goodwill at 3 years' purchase $20,000 \times 3$	<u>60,000</u>
Calculation of Purchase Consideration:	

Assets:

Assets (Total) as per Balance Sheet	3,30,000
Deduct Cash and Bank Balances (as per instructions in the question)	<u>75,000</u>
	2,55,000
Add: Goodwill	<u>60,000</u>
(A) Total Assets	<u>3,15,000</u>
(B) Total Liabilities:	
Unsecured Loans 1,00,000	<u>(1,00,000)</u>
(C) = (A) – (B): Purchase Consideration	<u>2,15,000</u>

Realisation Account**Dr.****Cr.**

	Rs		Rs
Fixed Assets	1,50,000	Unsecured Loans	1,00,000
Investments	25,000	Dev. Ltd	2,15,000
Stock	50,000		
Debtors	30,000		
Bank Expenses	20,000		
Profit transferred to Current Accounts:			
X 20,000			
Y 10,000			
Z 10,000			
	40,000		
	<u>3,15,000</u>		<u>3,15,000</u>

Capital Accounts**Dr.****Cr.**

Particulars	X	Y	Z	Particulars	X	Y	Z
Cash	1,40,000	–	–	Balance c/d	1,00,000	50,000	50,000
Z (adjusted)	–	5,000	–	Current A/c	40,000	20,000	10,000
Dev. Ltd	–	65,000	65,000	Y Adjusted	–	–	5,000
	<u>1,40,000</u>	<u>70,000</u>	<u>65,000</u>		<u>1,40,000</u>	<u>70,000</u>	<u>65,000</u>

Cash and Bank Account**Dr.****Cr.**

	Rs		Rs
To Balance b/d	75,000	By Realisation Account (Expenses)	20,000
To Dev Ltd	85,000	By X's Capital A/c	1,40,000
	<u>1,60,000</u>		<u>1,60,000</u>

Dev Ltd**Dr.****Cr**

	Rs		Rs
Realisation Account	2,15,000	*Cash (Balancing figure) (19,000 shares of Rs 10 each)	85,000
	<u>2,15,300</u>		<u>1,30,000</u>
			<u>2,15,000</u>

Ratio Y:Z = 1:1

No. of Shares $13,000/2 = 6,500$ shares each

Current Accounts

Particulars	X Rs	Y Rs	Z Rs	Particulars	X Rs	Y Rs	Z Rs
Capital Account	40,000	20,000	10,000	Balance b/d	20,000	10,000	–
				Realisation Account	20,000	10,000	10,000
	<u>40,000</u>	<u>20,000</u>	<u>10,000</u>		<u>40,000</u>	<u>20,000</u>	<u>10,000</u>

OBJECTIVE 13: PIECEMEAL DISTRIBUTION

Accounting procedure for dissolution of partnership was based on the assumption that all assets are treated as sold on the same date of dissolution as well as liabilities are cleared off and partner's accounts are closed or shown as settled. But in reality, it cannot be possible to dispose of everything on a single date.

13.1 Meaning of Piecemeal Distribution

In situations, the net proceeds are then and there distributed to partners, immediately after realisation. This procedure is termed as interim distribution of cash. But such a practice may result in overpayment to one or more partners. If such overpayment takes place, at times, the solvent partner will be taxed further and further.

To avoid this danger of overpayment, the cash realised may be distributed to the partners in such a way as to reduce the balances on the capital accounts to the profit sharing ratio. If it is done so, the unpaid balance of the capital of each partner is retained in the profit sharing ratio.

The process of realising the assets, selling piece by piece over a period of dissolution and the periodical distribution of cash in such a way that the unpaid balance of the capital of each partner is retained in the profit sharing ratio is termed as "Piecemeal Distribution."

13.1.1 Order of disbursement of cash

On piecemeal (on realisation of assets over a period) cash realised will be disbursed in the order as mentioned below:

1. Payment for realisation expenses.
2. Payment to external liabilities – paid pro rata.
3. Payment to a partner's loan. In case, if there are loans due to more than one partner, it has to be paid pro rata.
4. After the settlement of external liabilities and loans of partners, the amounts owing to the partners (sum of capital and current accounts) may be met.

On payment to partners, the following criteria should be complied with:

- (i) Interim payment must not result in overpayment to any partner.
- (ii) Such distribution among the partners should be in the profit sharing ratio.

13.1.2 Methods of Distribution of Cash among the Partners

1. Proportionate or Surplus Capital Method
2. Maximum Possible Loss Method

13.2 Proportionate or Surplus Capital Method

It is emphasised that the gradual realisation of cash has to be disbursed among the partners in such a way so as to ensure that unpaid balance of partners is retained in the profit sharing ratio. No problem arises as long as the payments are made in profit sharing ratio. If some other basis is in operation (e.g. capital ratio), then the real problem arises. This can be illustrated as follows:

Illustration: 27

At the time of dissolution of a firm, its partners X and Y have outstanding capital balances at Rs 1,00,000 and Rs 60,000, respectively. Profit sharing ratio is 3:2. After making all payments to outside liabilities and partner's loans, the following realisations are made:

I. Rs 75,000

II. Rs 50,000

Show the net final result if

- The realisations are distributed in profit sharing ratio.
- The distribution is in the ratio of their capitals.

Solution**Case (a):** Distribution in profit Sharing Ratio:

Profit sharing ratio 3:2

	X Rs	Y Rs
Capitals	1,00,000	60,000
I. <i>Realisation</i> : Rs 75,000 divided in the ratio 3:2	<u>(45,000)</u>	<u>(30,000)</u>
Balance after I Realisation	55,000	30,000
II. <i>Realisation</i> : Rs 50,000 divided in the ratio 3:2	<u>(30,000)</u>	<u>(20,000)</u>
Unpaid Balance (or) Loss	<u>25,000</u>	<u>10,000</u>
Unpaid balance for X = 25,000		
Unpaid balance for Y = 10,000		
Ratio: 25,000:10,000		
5:2		

Profit sharing ratio given in the question is 3:2

After realisation, unpaid balance ratio is 5:2

Note, even in this case, if the result is not in conformity with the profit sharing ratio. It differs

Case (b): Distribution in the Capital Ratio:

	X Rs	Y Rs
Capitals	1,00,000	60,000
Capital Ratio = 1,00,000:60,000		
= 5:3		
I. <i>Realisation</i> : Rs 75,000 is divided in the ratio of 5:3	<u>(46,875)</u>	<u>(28,125)</u>
Balance after I Realisation	53,125	31,875
II. <i>Realisation</i> : Rs 50,000 is divided in the ratio 5:3	<u>(31,250)</u>	<u>(18,750)</u>
Unpaid Balance (or) Loss	<u>21,875</u>	<u>13,125</u>
Unpaid Balance is 21,875:13,125		
875:525		
35:21		

Again it is not the same as that of profit sharing ratio.

To solve this problem to a certain extent, proportionate method is applied. To use this surplus method, the following procedure has to be adopted:

- In case, when the capitals are in the profit sharing ratio, realisations have to be distributed in the same proportion.
- In case if the capitals are not in the profit sharing ratio, the capital accounts of the partners have to be brought in line with the ratio in which profits are shared. As it is not possible to achieve this in a single calculation, it has to be repeated till the desired results are obtained.

Illustration: 28

The following is the Balance Sheet of P, Q and R (whose profit sharing ratio is 4:3:1) as on Mar 31, 2009, on which date they dissolve partnership. The capitals are to be repaid as and when assets are realised.

Balance Sheet as on Mar 31, 2009

	Rs		Rs
Sundry Creditors	26,250	Building	30,000
Bank Overdraft (Unsecured)	8,750	Machinery and Plant	40,000
Capital Accounts		Stock	50,000
P	70,000	Debtors	65,000
Q	30,000		
R	50,000		
	<u>1,85,000</u>		<u>1,85,000</u>

The assets were realised as follows

	Rs
I Realisation	20,000
II Realisation	15,000
III Realisation	25,000
IV Realisation	40,000
V Realisation	65,000

No further sums could be realised.

You are required to prepare a statement showing the distribution on the basis of Proportionate Capital Method (Surplus Capital Method)

Solution**Statement Showing the Distribution (on Surplus Capital Method)**

Particulars	Rs	Creditors Rs	Bank o/d Rs	P Capital Rs	Q Capital Rs	R Capital Rs
Balance	–	26,250	8,750	70,000	30,000	50,000
I Realisation *1	20,000	(15,000)	(5,000)	–	–	–
Balance Due		11,250	3,750			
II Realisation *2	15,000	(11,250)	(3,750)			
Balance Due		–	–	70,000	30,000	50,000
III Realisation	25,000	–	–	–	–	(25,000)
Balance Due		–	–	70,000	30,000	25,000
IV Realisation	40,000	–	–			(7,500)
40,000 – 7,500:32,500						17,500
(Rs 32,500 in 4:1 between P & R)	–	–	–	(26,000)	–	(6,500)
Balance Due				44,000	30,000	11,000
V Realisation	65,000			(4,000)		(1,000)
(65,000 – 5,000) = Rs 60,000				40,000	30,000	10,000
Now, P : Q : R all will share in the ratio of 4 : 3 : 1				(30,000)	(22,500)	(7,500)
Deficiency				10,000	7,500	2,500

Notes

*(1) I Realisation of Rs 20,000 will be distributed between Creditors and Bank O/D in the ratio of 3:1.

*(2) II Realisation of Rs 15,000 will be distributed between Creditors and Bank O/D in the ratio of 3:1.

Claims of both outside creditors are eliminated (settled) in full.

Realisation III, IV and V is to be distributed among the partners as follows:

Profit Ratio	4	3	1
	P	Q	R
Capitals (as per Balance sheet)	70,000	30,000	50,000
Capitals in 4:3:1	<u>40,000</u>	<u>30,000</u>	<u>10,000</u>
(Y's Capital as base)			
Excess Capital	30,000	—	40,000
Surplus Capital between P and Q in 4:1			
(X's Capital as base)	<u>30,000</u>	<u>—</u>	<u>7,500</u>
	<u>—</u>		<u>32,500</u>

- (i) R will be paid Rs 32,500 first of all.
- (ii) Then the cash will be distributed between P & R in the ratio of 4:1 till P is paid further Rs 30,000 and R, Rs 7,500.
- (iii) When P has been paid Rs 30,000 and R Rs 40,000 (Rs 32,500 + 7,500) the capital balances due will be P:Q:R 40,000:30,000:10,000.

Finally, cash would be disbursed among all the partners in the ratio of 4:3:1.

The underlying notion behind such procedure as described above is none of the partners paid more than what is due to them and none paid less.

In the same way, the following items:

General reserve, any liability, loan from partners profit/loss on assets realised can be dealt with.

In each and every stage of realisation, adjustments (distribution process) have to be worked out keeping in mind the above principle and distribution has to be carried out appropriately and judiciously.

Illustration: 29

Rose, Jasmine and Lilly had the following Balance Sheet as on Dec 31, 2008:

	Rs		Rs
Capital Accounts: Rs		Sundry Assets	1,32,000
Rose 30,000			
Jasmine 24,000			
Lilly <u>20,000</u>	74,000		
Advances:			
Rose 10,000			
Jasmine <u>8,000</u>	18,000		
Sundry Creditors	<u>40,000</u>		
	<u>1,32,000</u>		<u>1,32,000</u>

The partners decided to dissolve the firm. They shared profits in the ratio 2:2:1. Show the distribution of assets among the partners as and when realised applying the Surplus Capital Method. Close the books of account.

The proceeds of realisation were:

		Rs
I	Jan 14, 2009	25,000
II	Feb 14, 2009	49,000
III	Mar 14, 2009	50,000

[B. Com (Madras). Modified]

Solution**Statement Showing Surplus Capital on the Basis of Profit Sharing Ratio**

Particulars	Rose Rs	Jasmine Rs	Lilly Rs
Capital as per Balance Sheet	30,000	24,000	20,000
Capitals (in the Profit Sharing Ratio – Capital of Jasmine is taken as basis) (2:2:1 – given ratio)	24,000	24,000	12,000
Now Capitals (in the Profit Sharing Ratio – Capital of Rose is taken as base) 2:1	6,000	–	8,000
Absolute Surplus (Left out)	6,000	–	3,000
	–	–	5,000

Next, the statement showing piecemeal distribution has to be prepared. Study the problem:

First, outside liability, here – Sundry Creditors – has to be settled.

Second, partner's advances – both Rose and Jasmine – in the ratio of their advances 20,000:16,000, i.e. 5:4 have to be distributed.

Third, Absolute Surplus Capital of Lilly has to be dealt with.

Fourth, for the surplus of capital: Rose and Lilly in their ratio, i.e. 2:1 has to be distributed.

Finally, the balance to all the partners in 2:2:1 ratio has to be distributed and books are closed thereby

Particulars and Stages of Realisation and Basis of Distribution		Creditors	Advances		Capital		
		Rs	Rose Rs	Jasmine Rs	Rose Rs	Jasmine Rs	Lilly Rs
Balance b/d	Rs	40,000	10,000	8,000	30,000	24,000	20,000
Stage I: 2009 Jan 14	Rs						
Realisation Amount	25,000						
paid to Creditors	(25,000)	(25,000)	–	–	–	–	–
Balance Due		15,000	10,000	8,000	30,000	24,000	20,000
Stage II: 2009 Feb 14							
Realised Amount	49,000						
(i) Creditors paid	(15,000)	(15,000)					
	34,000						
(ii) Partner's Advances	18,000		(10,000)	(8,000)			
(iii) Paid to Lilly	16,000						
(Absolute Surplus)							
(refer Step I)	(5,000)						(5,000)
(iv) Paid to Rose and Lilly 2:1	(9,000)				(6,000)	–	(3,000)
(v) Paid to all the three in 2:2:1	(2,000)				(800)	(800)	(400)
					23,200	23,200	11,600

Particulars and Stages of Realisation and Basis of Distribution		Creditors	Advances		Capital		
		Rs	Rose Rs	Jasmine Rs	Rose Rs	Jasmine Rs	Lilly Rs
Balance due		–	–	–	23,200	23,200	11,600
Stage III: 2009 Mar 15							
Realised Amount							
paid in 2:2:1	50,000 (50,000)	–	–	–	(20,000)	(20,000)	(10,000)
Unpaid balances	–				3,200	3,200	1,600
Loss on realisation							

13.3 Maximum Possible Loss Method

13.3.1 Cash Disbursement

In this method too, cash disbursement on each stage of realisation will be in the following order, as discussed in the Surplus Capital Method, i.e.

1. Outside Liabilities
2. Partner's Advances
3. Partner's Capitals

Only difference here is that at every stage of realisation, it is presumed that the unrealised assets are worthless.

The cash realised is deducted from the total amount outstanding on partner's capitals and the difference is referred to as Maximum Possible Loss.

This is apportioned among the partners in the Profit Sharing Ratio.

At the stage of next realisation, partner's capital accounts are to be opened with the balance, i.e. the balance due at previous realisation reduced by the part payment made in that realisation.

13.3.2 Rule of Garner vs. Murray

This rule may be applied in piecemeal realisations also. A partner with debit balance (or negative) in his Capital Account is presumed to be insolvent. His deficiency is to be distributed to the capital accounts of other partners in proportions to their capitals last agreed.

13.3.3 Presumptions Under Maximum Loss Method

Under Maximum Loss Method, it is presumed that

1. At each stage of realisation, the unrealised assets are to be treated worthless.
2. In a case, when a Partner's Capital Account shows a debit (negative) balance, such a partner is said to be insolvent.
3. The deficiency in the capital account is apportioned as per Garner vs. Murray rule.

13.3.4 Advantages of this Method

1. The principle adopted in this method is in accordance with the Partnership Act.
2. Overpayment does not arise.
3. As payment is disbursed after taking into consideration of all possible losses, this method may satisfy the concerned partners also psychologically.

Illustration: 30

A, B, C and D were partners in a firm. The capital of the firm consisted of Rs 2,00,000 contributed originally in the proportion of 4:3:2:1. The profits and losses were also shared in the same proportion. The firm was dissolved on Mar 31, 2009. The Balance Sheet as on that date was as follows:

Liabilities	Rs	Assets	Rs
Capital		Cash	30,000
A	1,00,000	Debtors	2,50,000
B	70,000	Stock	95,000
C	52,500		
D	12,500		
Loan			
A	25,000		
C	40,000		
Creditors	75,000		
	<u>3,75,000</u>		<u>3,75,000</u>

It was decided on Apr 10 that the net realisations should be distributed on the first day of each month in the appropriate order. The realisations and expenses at the end of each month were as follows:

Month	Debtors Rs	Stock Rs	Expenses Rs
Apr	75,000	35,000	2,500
May	42,500	25,000	5,000
June	55,000	–	1,250
July	27,500	20,000	750
Aug	35,000	12,500	500

The stock was disposed off completely. It was further agreed that B should take over the remaining debts for Rs 12,500. Show how the cash was distributed.

[B. Com (Hons) – Delhi – Adapted and Modified]

Solution

[As it is not specifically mentioned in the question as to which method has to be adopted, students are in a position to choose the method, i.e. either Surplus Capital Method or Maximum Loss Method. But they are advised to put a note in the beginning itself, the method to be used in solving the problem.

But if the following keywords appear, i.e. show the piecemeal distribution in a safe manner or as safe as possible, any partner is shown as having debit balance, any partner is declared insolvent, then the students have to follow Maximum Possible Loss Method only.] Here, Maximum Possible Loss Method is followed.

Statement Showing Piecemeal Distribution

Particulars	Creditors Rs	Loan		Capital			
		A Rs	C Rs	A Rs	B Rs	C Rs	D Rs
Balance Due	75,000	25,000	40,000	1,00,000	70,000	52,500	12,500
Stage I: Realised: Rs 1,07,500 (Rs 75,000 + Rs 35,000 – 2,500 exp)	(75,000)	(24,040)	(38,460)	–	–	–	–
Add Cash = $\frac{30,000}{1,37,500}$							
Crs paid $\frac{(75,000)}{62,500}$							
Loans paid in 5:8		960	1,540	1,00,000	70,000	52,500	12,500

Particulars	Creditors Rs	Loan		Capital			
		A Rs	C Rs	A Rs	B Rs	C Rs	D Rs
Stage II: Realised cash: Rs 62,500 (52,500 + 25,000 – 5,000) Paid on Loans: <u>Rs 2,500</u> Rs 60,000 Maximum Possible Loss on Rs 60,000 Rs 2,35,000 – 60,000 = Rs 1,75,000 in 4:3;2:1 Ratio This deficiency shown as (–) of D Rs 5,000 has to be borne by the other partners in 4:3:2 ratio Payment to Partners:		(960)	(1,540)				
				<u>(70,000)</u> 30,000 –2,245	<u>(52,500)</u> 17,500 –1,575	<u>(35,000)</u> 17,500 –1,180	<u>(–17,500)</u> (–)5,000 +5,000
				27,755	15,925	16,320	–
Stage III: Realisation Amount: (Rs 55,000 – 1,250) = Rs 53,750 Maximum Possible Loss = (Rs 1,75,000 – 53,750) = 1,21,250 Distributed in 4:3:2:1 Payment to Partners:				72,245	54,075	36,180	12,500
				<u>(48,500)</u>	<u>(36,375)</u>	<u>(24,250)</u>	<u>(12,125)</u>
				23,745	17,700	11,930	375
Stage IV: Realisation Amount (Rs 27,500 + 20,000 – 750) = 46,750 Maximum Possible Loss: (Rs 1,21,250 – 46,750) = 74,500 Rs 74,500 distributed in 4:3:2:1 Payment to Partners:				48,500	36,375	24,250	12,125
				(29,800)	(22,350)	(14,900)	(7,450)
				18,700	14,025	9,350	4,675
Stage V: Realisation Amount: Rs 35,000 + 12,500 – 500 = 47,000 Remaining Debt = <u>12,500</u> 59,500 Maximum Possible Loss = Rs 74,500 – 59,500 = Rs 15,000 in 4:3:2:1 distribution Payment in Cash Debtors taken over Undistributed amounts				29,800	27,300	14,900	7,450
				(6,000)	(4,500)	(3,000)	(1,500)
				23,800	17,800	11,900	5,950
				23,800	5,350	11,900	5,950
				–	12,500	–	–
				<u>6,000</u>	<u>4,500</u>	<u>3,000</u>	<u>1,500</u>

Illustration: 31

X, Y and Z are partners sharing profits and losses in the ratio of 5:3:2. Their capitals were 5:3:2. Their capitals were Rs 48,000s Rs 30,000 and Rs 42,000, respectively. After paying creditors, the liabilities and assets of the firm were as follows

Liabilities	Rs	Assets	Rs
Liability for Interest on Loan from Spouses of Partners	10,000	Investments	5,000
Partners	5,000	Furniture	10,000
		Machinery	6,000
		Stock	20,000

The assets realised full in the order in which they are listed above. Y is insolvent.

You are required to prepare a statement showing the distribution of cash as and when available, applying Maximum Loss Procedure.

Solution**Statement showing the distribution of cash**

Particulars	Loan on Interest (Partner's Spouses)	Loan on Interest (Partners)	X Rs	Y Rs	Z Rs
Balance Due	10,000	5,000	48,000	30,000	42,000
Stage I: Rs					
Investment realised 5,000	(5,000)	–	–	–	–
	5,000	5,000	48,000	30,000	42,000
Stage 2:					
Furniture realised 10,000	(5,000)	(5,000)	–	–	–
	–	–	48,000	30,000	42,000
Stage 3:					
Sale of Machinery 6,000					
Max. Possible Loss = Rs 1,20,00 – 6,000 = Rs 1,14,000					
Disbursed in 5:3:2	–	–	<u>57,000</u>	<u>34,200</u>	<u>22,800</u>
Deficiency of X and Y			(–9,000)	(–4,200)	(19,200)
Written off against the Capital of Z					<u>(–13,200)</u>
					6,000
			–	–	–(6,000)
Balance Due			48,000	30,000	36,000
Stage IV:					
Sale of Stock: 20,000					

Particulars	Loan on Interest (Partner's Spouses)	Loan on Interest (Partners)	X Rs	Y Rs	Z Rs
M.P.L. = Rs 1,14,000 – 20,000 = Rs 94,000 in 5:3:2 among X, Y and Z			(47,000)	(28,200)	(18,800)
Cash Paid			<u>1,000</u>	<u>1,800</u>	<u>17,200</u>
			(1,000)	(1,800)	(17,200)
Unpaid – Loss			<u>47,000</u>	<u>28,200</u>	<u>18,800</u>

Illustration: 32

Ram, Robert and Rahim are partners sharing profits in the ratio of 3:2:1, respectively. Their Balance Sheet as on Mar 31, 2009 was as follows:

Balance Sheet as on Mar 31, 2009

Liabilities	Rs	Assets	Rs
Ram 60,000		Assets Less Liabilities	1,60,000
Robert 60,000			
Rahim 40,000	<u>1,60,000</u>		
	<u>1,60,000</u>		<u>1,60,000</u>

The partnership is dissolved and the assets are realised as follows:

	Rs
First instalment	20,000
Second instalment	30,000
Third instalment	50,000

You are required to prepare a statement showing how the distribution would be made applying Garner vs. Murray principle.

Solution

Note: Keyword “Garner vs. Murray” is found in the question. As such Maximum Loss Possible Method is used in piecemeal distribution of cash.

Statement Showing Piecemeal Distribution of Cash

Particulars	Ram Rs	Robert Rs	Rahim Rs
Balance Amount Due	60,000	60,000	40,000
Stage I: Rs			
First Instalment Realised 20,000			
Maximum Possible Loss: (Rs 1,60,000 – 20,000) = 1,40,000			
Distributed in 3:2:1	<u>(70,000)</u>	<u>(46,666)</u>	<u>(23,334)</u>
	(-10,000)	13,334	16,666

Particulars	Ram Rs	Robert Rs	Rahim Rs
Ram's Deficiency Rs 10,000 is to be transferred to others in 3:2 ratio	10,000	(6,000)	(4,000)
	–	7,334	12,666
	–	7,334	12,666
Amount Due	<u>60,000</u>	<u>52,666</u>	<u>27,334</u>
Stage II:			
Second Instalment Realised: 30,000			
M.P.L. = (1,40,000 – 30,000) = 1,10,000			
Distributed in 3:2:1 among partners	(55,000)	(36,666)	(18,334)
	5,000	16,000	9,000
Paid to Ram, Robert and Rahim	(5,000)	(16,000)	(9,000)
Amount Due	55,000	36,666	18,334
Stage III:			
Realised Amount: 50,000			
Maximum Possible Loss: (55,000 + 36,666 + 18,334 – 50,000) = 60,000			
Disbursed to Partners in 3:2:1 ratio	(30,000)	(20,000)	(10,000)
	25,000	16,666	8,334
Paid to Ram, Robert and Rahim	(25,000)	(16,666)	(8,334)
Unpaid Balance	30,000	20,000	10,000

Summary

- Dissolution means breaking of relationship among the partners, not only partnership is dissolved but the firm loses its existence.
- A partnership is dissolved in case (i) if there is a change in profit sharing ratio, (ii) a new partner is admitted, (iii) a partner is retired, (iv) a partner dies, (v) period of partnership expires, (vi) a partner becomes insolvent and (vii) merger with other firms.
- Dissolution of firm occurs by (i) agreement, (ii) compulsory dissolution, (iii) by notice and (iv) by court.
- Realisation Account is the account prepared to ascertain profit or loss on realising the assets and discharge of liabilities.
- Accounting entries to Prepare Realisation Account: refer the text.
- The method of closing firm's books (accounts of various items) on dissolution of a firm. (refer the text).
- Preparation of Balance Sheet as on date of dissolution and preparation of necessary ledger accounts in the books of the firm.
- Return of Premium (Goodwill): Section 51 stipulates that a partner is eligible to claim refund of premium subject to certain conditions. Methods of dealing with claim of partner for refund of premium is explained in Illustration no. 11.
- Some assets of the firm may be gifted to partner(s) in recognition of service. (1) Gift by the firm and (2) Gift of one or more than one partner. For type (1) no entry is needed. For type (2), entry is (Concerned) Partner's Capital A/c Dr. – To Realisation A/c.

- **Insolvency of Partner(s):** If a partner is unable to bring the needed amount to make up the deficiency (i.e., debit balance) in his Capital Account, such partner is said to be insolvent.
- **Garner vs. Murray decision:** (i) The solvent partners must bring in cash equal to the loss on realisation debited to their Capital Account partner must be divided between solvent partners in proportion to their capitals. Accounting procedure varied depending of capital, fixed or floating.
- Use of algebraic equation to compute the amount recoverable from the insolvent partners (refer Illustration no. 18–20).
- A minor may be admitted as a partner to enjoy the benefits only. In case of dissolution of firms, a minor will not share any loss on realisation of assets and payment of liabilities. He will not share any accumulated loss on dissolution. But he is entitled to claim his share in profit on realisation account, accumulated profit exist on date of dissolution.
- Sale of partnership firm to a limited company: Conversion of structural level of entities from a firm into a company and acquisition of firms by an existing company – both are technically termed as sale of a firm to a company.
- Purchase consideration is the price paid by the purchasing company. It may be calculated by Net Assets Method or Net Payment Method.
- Accounting entries to be passed for various items of transaction and calculation of purchase consideration are explained in Illustration no. 23–26.
- Piecemeal Distribution is “the process of realising the assets, selling piece by piece over a period of dissolution and the periodical distribution of cash in such a way that the unpaid balance of the capital of each partner is retained in the profit sharing ratio.”
- Proportionate or Surplus Capital Method and Maximum Possible Loss Method are explained to distribute cash among partners in Illustrations 27–32.

Key Terms

Firm Debt: Debts owed by a firm to outsiders.

Garner vs. Murray: It is the decision of case – Garner vs. Murray – in court of England (1903). As per this decision, the deficiency on the insolvent partner’s capital account must be borne by the other partners in proportion to their capitals, after each such partner has brought in cash to the extent of his own share or loss on realisation.

Insolvent: When a partner attains the status of debtor to the firm, such a person has to bring in needed debit balance in his capital account. If he is unable to make up such deficiency, such a partner is said to be insolvent.

Surplus Capital Method: It is a method of gradual realisation of cash disbursement to partners in such a way as to ensure unpaid balance of partners is retained in profit sharing ratio.

Maximum Possible Loss Method: It is a method of cash disbursement on each stage of realisation. The difference between cash realised deducted from total amount and Partner’s Capital Account is maximum possible loss. It is presumed that at every stage of realisation, unrealised assets are worthless.

Minor: A person who has not completed 18 years of age.

Memorandum Balance Sheet: To ascertain the value of Sundry Assets – the missing figure – the Balance Sheet to be prepared is called Memorandum Balance sheet.

Partnership: A business owned by two or more persons who agree to share profits and losses and other obligations of business.

Partnership Deed: A document settling out the agreement of the partners on running the business including profit and loss sharing ratio.

Partnership Dissolution: A partner’s change without affecting the continuity of the business may be said as dissolution of partnership.

Piecemeal Distribution: The process of realising assets, selling piece by piece over a period of dissolution and the periodical distribution of cash in such a way that the unpaid balance of the capital of each partner is retained in the profit sharing ratio.

Private Debt: Debts owed by a partner to any other person.

Realisation Account: The account which has to be prepared to determine profit or loss on realising assets and discharging liabilities in the event of dissolution of firm.

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A Objective-type Questions

I State whether the following statements are True or False

- Under the Indian Partnership Act, the dissolution may be either of partnership or of a firm.
- Dissolution of partnership refers to the change in the existing relations of the partners.
- Dissolution of firm does not affect the existing relations of the partners.
- The dissolution of the firm necessarily means the dissolution of partnership.
- In case of dissolution of firm, the firm may continue its business.
- For firm's debts, all partners are jointly and severally liable.
- Realisation Account and Revaluation Account – both are one and the same.
- Realisation Account is prepared only once during the lifetime of a firm.
- Provision/Reserve against a liability is a separate account and it should be transferred to Realisation Account like other assets.
- An asset/liability against which a provision has been created should be transferred at its Net figure.
- General Reserve/Contingency Reserve is never transferred to Realisation Accounts.
- Joint Life Policy Reserve is always transferred directly to Capital Accounts of partners.
- Partner's loan is transferred to Realisation Account.
- The Profit and Loss (or balance) is not to be transferred to Realisation Account.
- Cash in hand is not to be transferred to Realisation Account.
- Goodwill is not to be transferred to Realisation Account.
- Any amount realised from the sale of an unrecorded asset is debited to Realisation Account.
- The liability of partners are limited as per Partnership Act.
- Unrecorded liability is never transferred to Realisation Account.
- Minor may be admitted in a partnership firm.
- On dissolution of partnership, a minor shall not share the loss on realization.
- A partner is eligible to claim the refund of premium.
- When a partner is not able to bring in necessary cash for the deficiency in his capital account, such a partner is said to be insolvent.
- Garner vs. Murray rule is applicable if there is any agreement among the partners.
- Preparation of Realisation Account would be the same under both the circumstances – when Garner vs. Murray rule is applied and not applied.
- Solvent Partners should bring cash equivalent to the share of realisation loss.
- The rule in Garner vs. Murray can be applied even if there is only one solvent partner.
- When all the partners are insolvent, solvency of such firm remains strong.
- Shares/debentures, in the process of dissolution are issued in fraction.
- Under Maximum Possible Loss method, at each realisation the unrealised assets are considered worthless.

Answers

- | | | | |
|-----------|-----------|-----------|-----------|
| 1. True | 2. True | 3. False | 4. True |
| 5. False | 6. True | 7. False | 8. True |
| 9. True | 10. False | 11. True | 12. False |
| 13. False | 14. True | 15. True | 16. False |
| 17. False | 18. False | 19. True | 20. True |
| 21. True | 22. True | 23. True | 24. False |
| 25. True | 26. False | 27. False | 28. False |
| 29. False | 30. True | | |

II Fill in the blanks with suitable words

1. The Indian Partnership Act was enacted in the year _____.
2. When partnership is at _____, any partner can give a notice in writing to all the other partners of his intention to dissolve the firm.
3. A firm is compulsorily dissolved if all the partners or all the partners except one are _____.
4. Realisation Account is a _____ Account.
5. Loan given to a firm by a partner's wife is a _____ to third party.
6. Profit/loss on dissolution is to be distributed among partners in the _____ ratio.
7. A minor partner is not entitled to bear realisation _____.
8. Unrecorded asset will _____ be transferred to Realisation Account.
9. _____ liability will never be transferred to Realisation Account.
10. When Goodwill account does not appear in the balance sheet, the same is _____ to Realisation Account.
11. Liabilities + Capital - Given Assets = _____.
12. A partner with debit balance in his capital account and unable to bring in necessary cash, he is said to be _____.
13. Rule of Garner vs. Murray is applied if there is no specific _____ among partners.
14. When capitals are fixed, any losses left unadjusted in the balance sheet will have to be adjusted directly on the _____.
15. When capitals are fixed, the capitals on the date of dissolution constitute _____.
16. When capitals are fluctuating, capital ratios will be arrived at after making _____.
17. Solvent partners need not bring _____ to their share of loss on realisation.
18. Loss on realisation/debit balance in profit and loss A/c are transferred to _____ when capitals are fixed and to _____ when capitals are fluctuating.
19. The rule Garner vs. Murray may be applied only if there are at least _____ solvent partners in a firm.
20. When all the partners are insolvent, it will result in insolvency of _____.
21. Unless the available cash is sufficient to pay creditors in full, we have to prepare _____ Realisation Account.
22. A minor is admitted to the _____ of the firm only.
23. All assets and outside liabilities are to be transferred at their _____ values to Realisation Account, when sale of a firm to a company takes place.
24. Cash and Bank represent assets. So they are _____ in the purchase consideration.
25. Assets and liabilities not taken over by the purchasing company may be dealt through _____ Account.
26. On piecemeal distribution, two methods are adopted, 1 _____, 2 _____ to apportion cash realised among the partners.
27. Interview payments should not result in _____.
28. In the end, after all realisation have been made, final deficit balances must be in _____ ratio.
29. On gradual realisation of assets, first priority for distribution of realised cash will be for payments of _____.
30. Under Maximum Possible Loss Method it is presumed that the unrealised assets are _____.

Answers

- | | |
|----------------------------------|----------------------|
| 1. 1932 | 2. will |
| 3. insolvent | 4. Nominal |
| 5. liability | 6. Profit sharing |
| 7. loss | 8. Not/Never |
| 9. Unrecorded | 10. not transferred |
| 11. Sundry Assets | 12. insolvent |
| 13. agreement | 14. current A/c |
| 15. capital ratios | 16. adjustments |
| 17. Cash equivalents | 18. Current; capital |
| 19. Two | 20. a firm |
| 21. Provisional | 22. benefits |
| 23. Book | 24. included |
| 25. Realisation | |
| 26. (1) Surplus Method; | |
| (2) Maximum Possible Loss Method | |
| 27. Over Payment | 28. profit sharing |
| 29. realisation expenses | 30. worthless |

B Short Answer-type Questions

1. Define "Dissolution of Partnership."
2. What do you mean by "Dissolution of a firm"?
3. Distinguish between dissolution of partnership and dissolution of firm.
4. Distinguish between firm's debts and private debts.
5. Explain the salient features of Realisation Account.
6. Explain the circumstances under which a partnership is dissolved.
7. Enumerate any four circumstances under which a firm will be dissolved.
8. Distinguish between Revaluation Account and Realisation Account.
9. Enumerate the items that are not transferred to Realisation Account.
10. Enlist the order in which the assets of the firm applied on dissolution process.
11. Explain how will you treat the following: (i) Joint Life Policy Reserve and (ii) Reserves.
12. Explain the treatment of goodwill in case of dissolution.
13. Enlist the steps involved in the preparation of Balance Sheet as on date of dissolution.
14. Explain the treatment of return of premium in case of dissolution under Section 51 of Indian Partnership Act.
15. Explain the accounting treatment of unrecorded assets and liabilities at the time of dissolution of firm.
16. Explain the treatment of realisation expenses in case of dissolution of a firm.
17. Explain the decision in Garner vs. Murray case.
18. Enlist the salient features of Garner vs. Murray rule in the Indian Context.
19. "Last agreed Capital," explain with special reference to insolvency.
20. Elucidate how credits may be transferred to Realisation Account in case of insolvency of a firm.
21. Enlist the order of payment (actual realisation) of assets realised gradually in case of piecemeal distribution.
22. Explain the steps involved in piecemeal distribution under Surplus Capital Method.
23. Explain the important steps to be followed in case of Maximum Possible Loss Method.
24. Elucidate the salient features in the process of sale of a firm to a company with emphasis on computation of purchase consideration.
25. Distinguish between the Proportional Capital Method and Maximum Possible Loss Method of Piecemeal Distribution.

C Exercises

Note: All questions are taken from reputed university question papers. But certain modifications have been made over such questions.

1. P, Q and R sharing profit in the ratio of 3:1:1 decided to dissolve their firm on Mar 31, 2010, their position was as follows:

Liabilities		Rs	Assets		Rs
Creditors		12,000	Cash in Bank		7,000
Loan		3,000	Debtors	48,400	
Capitals			Less: Reserve	<u>2,400</u>	46,000
P	55,000		Stock		16,600
Q	22,000		Furniture		2,400
R	<u>20,000</u>	97,000	Sundry Assets		<u>40,000</u>
		<u>1,12,000</u>			<u>1,12,000</u>

It is agreed that:

- (a) P is to take over all the furniture at Rs 2,000 and debtors amounting to Rs 40,400 at Rs 36,000. P also agrees to pay the creditors.
- (b) Q is to take over all the stock at book value and some of the sundry assets Rs 14,400 (being book value less 10%).

- (c) R is to take over the remaining sundry assets at 90% of the book value and assume responsibility for the discharge of the loan.
- (d) The remaining debtors were taken by a debt collecting agency at 80% of the book value.
- (e) The expenses of dissolution amounted to Rs 400. You are required to prepare Realisation Account, Bank Account and Capital Accounts of the Partners.

Answer: Realisation Account: Loss: Rs 8,400; Capital Accounts of Partners: P gets Rs 23,960; Q and R contribute Rs 10,680 and Rs 280.

2. Anil, Sunil and Vinyl are partners of a firm sharing profits and losses at 20%, 40% and 40%, respectively. Their summarised Balance Sheet on Dec 31, 2009, when they decided to dissolve the firm, was as follows:

Liabilities	Rs	Assets	Rs
Capital Accounts	2,50,000	Cash and Bank Balance	25,000
Current Accounts	25,000	Sundry Debtors	1,50,000
Provision for Depreciation: Depreciation on Machinery	25,000	Stock	87,500
General Reserve	67,500	Machinery	2,00,000
Provision for Doubtful Debts	37,500	Goodwill	50,000
Sundry Creditors	1,32,500	Deferred Revenue Expenses	25,000
	<u>5,37,500</u>		<u>5,37,500</u>

Additional Information

- (a) Capital and current accounts are in proportion of profit sharing ratio.
- (b) Debtors realised two-thirds of its gross value while stock and machinery realised Rs 55,000 and Rs 1,00,000, respectively.
- (c) Investments written off in the past were taken over by Anil for Rs 1,15,000.
- (d) Suppliers allowed discounts of Rs 7,500 in full settlement.
- (e) Realisation expenses of Rs 12,500 were paid by Sunil and Vinyl in ratio of their capital account.
- (f) An old machinery fully written off was sold for Rs 10,500 while an extra payment of Rs 500 is made to bank for a discounted bill being dishonoured.

You are required to prepare:

Realisation Account

Cash and Bank Account

Capital Accounts of the partners.

Answer: (1) Realisation Account – Loss Rs 50,000, (2) Capital Accounts: (i) Receive from Anil Rs 61,500 and (ii) Pay Rs 1,13,250 each to Sunil and vinyl]

3. A, B and C were partners sharing profits and losses in the ratio of 3:2:1 on Mar 31, 2010 their balance sheet was as follows:

Liabilities	Rs	Assets	Rs
Sundry Creditors	30,800	Cash at Bank	7,000
Bills Payable	27,200	Stock	39,600
A's Loan	20,000	Debtors	30,000
General Reserve	24,000	Less: Provision	<u>2,000</u>
Capital Accounts:		Joint Life Policy	8,000
A	40,000	Furniture	20,000
B	32,000	Machinery	87,400
C	16,000		
	<u>1,90,000</u>		<u>1,90,000</u>

The firm was dissolved on Apr 1, 2010. Joint Life Policy was taken over by A at 125%. Stock realised 1/11th less. Debtors realised 90% furniture fetched 26% less while machinery was sold for 105%. In addition, one bill for Rs 10,000 under discount was dishonoured and had to be taken up by the firm. Expenses of realisation amounted to Rs 3,970.

You are required to provide the necessary ledger accounts to close the books of the firm.

Answer: Realisation Account: Loss Rs 17,400
 Capital Account: A receives Rs 33,300
 B receives Rs 34,100 and
 C receives Rs 17,100

4. X, Y and Z were partners sharing profit and losses in the ratio of 2:2:1 dissolved the firm on Dec 31, 2009, whose Balance Sheet on that date was as follows:

Liabilities	Rs	Assets	Rs
Sundry Creditors	40,600	Cash at Bank	9,000
General Reserve	20,000	Stock	52,000
Joint Life Policy Reserve	16,000	Debtors 20,000	
Capital Accounts:		Less: Provision <u>1,000</u>	19,000
X	50,000	Joint Life Policy	22,000
Y	30,000	Furniture	20,000
Z	26,000	Premises	60,600
	<u>1,82,600</u>		<u>1,82,600</u>

Note: There is a bill for Rs 10,000 under discount. The bill was received from "A."

The assets except Cash at Bank and Joint Life Policy were sold to a company which paid Rs 1,74,000 in cash. The Joint Life Policy was surrendered @ 110%. "A" proved insolvent and a dividend of 50% was received from his estate. Sundry Creditors were paid 95% in full settlement. The realisation expenses amounted to Rs 8,030.

You are required to prepare the Realisation Account, Cash Book and Partner's Capital accounts.

Answer: Realisation Account: Profit – Rs 29,600
 Capital Account: X Receives Rs 69,840; Y Receives Rs 49,840; Z Receives Rs 35,920]

5. P, Q and R, who shared profits and losses equally, were in partnership for many years. As their business was declining they decided to dissolve the partnership on Dec 31. The closing Balance Sheet as on that date was as follows:

Liabilities	Rs	Assets	Rs
Capital Accounts		Freehold Property 2,00,000	
P	1,09,500	Less: Mortgage 1,00,000	1,00,000
Q	73,000	Machinery	50,000
R	17,500	Closing Stock	57,500
Creditors	60,000	Debtors	87,500
Bank Overdraft	35,000		
	<u>2,95,000</u>		<u>2,95,000</u>

The plant and machinery and the stock were sold by auction and realised Rs 25,000 and Rs 10,750. The firm was able to obtain discount of Rs 1,500 and allowances of Rs 8,500 on settlement of creditors. The bank charged Rs 1,250 for bank charges and interest debtors realised Rs 78,000. The freehold property was taken over by P (subject to the existing mortgage) and was revalued at Rs 1,50,000. The legal costs and consultant's fees amounted to Rs 5,000 which was paid by the firm.

Prepare accounts showing the results of the dissolution, assuming that R was unable to contribute more than Rs 12,500 to his share of any deficiency of assets, and that the remaining amount due was shared by other partners equally.

Answer: Realisation loss – Rs 1,27,500

Payments to P – Rs 10,750

Payments to Q – Rs 24,250]

6. The following is the Trial Balance of the firm of A, B and C on Mar 31, 2010.

	<i>Dr. (Rs)</i>	<i>Cr. (Rs)</i>
Freehold Property (Chennai)	90,000	–
Leasehold Property (Delhi)	30,000	–
Leasehold Property (Lucknow)	24,000	–
Investments	12,000	–
Office Furniture	2,000	–
Stock (Chennai)	36,000	–
Stock (Delhi)	32,000	–
Stock (Lucknow)	28,000	–
Sundry Debtors	25,000	–
Sundry Creditors	–	37,000
Capital: A	–	1,00,000
B	–	90,000
C	–	60,000
Cash at Bank	8,000	–
	<u>2,87,000</u>	<u>2,87,000</u>

They agreed to dissolve the firm with immediate effect on the following terms:

- The freehold property was sold and realised Rs 2,00,000; the investments realised Rs 15,000; debtors Rs 23,000 and office furniture Rs 1,200.
- A retired from the business.
- B took over the Delhi business and the assets in connection there with at book values; the goodwill there of being valued at Rs 20,000.
- C took over the Lucknow business and the corresponding assets at book values; goodwill for this purpose being valued at Rs 10,000.
- The expenses of realisation amounted to Rs 2,400. Creditors were paid Rs 14,000 on full settlement.
- The Chennai stock was taken over by B and C equally at book value.
- The partners shared profits in the proportion of 4:3:3.

Pass entries necessary to close the books of the firm. Also show realisation account and capital accounts of the partners.

Answer: Realisation Profit – Rs 1,40,800

Payments to A – Rs 1,56,320

Payments to B – Rs 32,240

Payments to C – Rs 22,240]

7. P, Q, R and S were in partnership sharing profits at 4:3:2:1. Their position on Dec 31, 2009 was as follows:

Liabilities	Rs	Assets	Rs
Capitals:		Sundry Assets	96,000
P	21,000	Loss to Date	45,000
Q	24,000	Q's Drawings	12,000
R	12,000	S's Drawings	3,000
S	9,000		
Creditors			
	66,000		
	90,000		
	<u>1,56,000</u>		<u>1,56,000</u>

They decided to dissolve the firm on this date. The assets realised Rs 81,000. P and Q are both insolvent. Q's private assets amount to Rs 24,000 and his private liabilities Rs 21,000. S's private assets are Rs 18,000 and his private liabilities are Rs 3,000. Show the relevant accounts assuming that all the transactions are put through on Mar 31 and that Q's estate realised only Rs 12,000 and S's estate realised Rs 15,000.

Answer: Loss on Realisation – Rs 15,000

Capital deficiency of P and Q, i.e. Rs 3,000 and Rs 6,000, respectively, shared by R and S in the ratio of 2:1

8. The following is the Balance Sheet as on Mar 31, 2010 of a firm:

Liabilities	Rs	Assets	Rs
Creditors	51,200	Bank Balance	2,750
Loans:		Debtors	48,030
P	15,000	Stock	32,000
Q	6,000	Machinery	14,300
Current Accounts		Land and Buildings	42,000
P	10,600	Current Accounts – R	4,970
Q	1,250		
Capital Accounts			
P	30,000		
Q	20,000		
R	10,000		
	<u>1,44,050</u>		<u>1,44,050</u>

Capitals of the partners are fixed by the deed, profits and losses are shared equally. The business is closed due to loss. The assets, except the bank balance, realised net Rs 1,15,000. R is insolvent and realisation expenses amounted to Rs 1,560. Show the final realisation and division amongst the partners. Apply Garner vs. Murray rule.

Answer: Loss on realisation – Rs 22,890; P receives Rs 39,040 and Q receives Rs 20,210 in addition to loan due]

9. Amar, Akbar and Antony are partners sharing profits and losses in the ratio of 2:1:1. On Mar 31, 20 –, their Balance Sheet was as follows:

Liabilities	Rs	Assets	Rs
Creditors	80,000	Cash	10,000
Capitals:		Bank	60,000

Liabilities	Rs	Assets	Rs
Amar	2,00,000	Debtors	1,40,000
Akbar	1,00,000	Loss: Provision for Doubtful Debts	<u>7,000</u>
Antony	<u>70,000</u>	Stock	
	3,70,000	On ship	2,00,000
		In Godown	<u>40,000</u>
		Fixed Assets	<u>7,000</u>
	<u>4,50,000</u>		<u>4,50,000</u>

On that day there were three devastating incidents:

A customer who owed Rs 1,20,000 became insolvent and nothing could be recovered from his estate.

The ship was caught in a storm and it sunk with the entire cargo. The stock was not insured.

The godown caught fire. The stock that could be saved was only worth Rs 6,000. This stock was also not insured.

The partners decided to dissolve the firm. Fixed assets realised Rs 2,000; remaining debtors realised Rs 19,000; stock was sold for Rs 5,000. The creditors claiming payment totaled Rs 84,000. The partners did not have any private assets. Realisation expenses amounted to Rs 1,000.

You are required to pass journal entries to close the books of the firm. Also, show Realisation Account; Cash and Bank A/c and partner's Capital Accounts.

Answer: Realisation Loss – Rs 5,10,000

Payment to Anwar – Rs 7,334

Payment to Akbar – Rs 3,666]

10. Kamal, Vimal and Sunil were partners sharing profits and losses in the ratio of 5:3:2, respectively. Their Balance Sheet as on Mar 31, 2010 was as follows:

Liabilities	Rs	Assets	Rs
Sundry Creditors	1,15,000	Furniture and Fixtures	30,000
General Reserves	50,000	Stock	1,30,000
Capital Accounts:		Debtors	2,00,000
Kamal	1,00,000	Less: Provision for Bad Debts	<u>10,000</u>
Vimal	80,000	Cash	10,000
Sunil	<u>15,000</u>		
	1,95,000		
	<u>3,60,000</u>		<u>3,60,000</u>

The firm was dissolved on that date. Assets realised as follows:

Furniture and Fixtures: Rs 10,000; Stock: Rs 1,00,000; Debtors: Rs 1,20,000.

Sundry creditors to the extent of Rs 500 were paid in full. The total payment to sundry creditors was Rs 1,04,500. It was found that there was a liability of Rs 30,500 for damages which had also to be paid.

Winding up expenses amounted to Rs 10,000. Sonal became insolvent and he could pay only 20 paise in a rupee.

Prepare ledger accounts to close the books of the firm following Garner vs. Murray rule.

Answer: Realisation loss – Rs 1,50,000

Payment to Kamal – Rs 1,22,727.50

Payment to Vimal – Rs 93,272.50

Payment to Sunil – NIL]

11. The position of R, S and T as on Mar 31, 2010 was as follows:

Liabilities	Rs	Assets	Rs
Sundry Creditors	18,900	Cash	7,500
Profit and Loss Accounts	21,000	Sundry Assets	51,000
R's Loan	12,000	T's Capital Accounts	23,400
R's Capital Account	19,200		
S's Capital Account	10,800		
	<u>81,900</u>		<u>81,900</u>

Profits and losses are shared R: 18/35; S: 7/35; T: 10/35. The firm was dissolved on the above date. Sundry assets realised 80%. Sundry creditors are paid 90% full settlement. Expenses amount to Rs 2,190. S is insolvent. Assume the capitals are not fixed. Close the books of the firm applying Garner vs. Murray rule.

Answer: Loss on realisation Rs 10,500

R receives Rs 16,401; S receives Rs 8,199 for capital inclusive of amount for making up realisation loss

12. The following was the Balance Sheet of C, D and E on Dec 31, 2009.

Liabilities	Rs	Assets	Rs
Sundry Creditors	60,000	Cash	5,000
Loan on Mortgage of Freehold Property	8,000	Debtors	44,000
C's Capital Account	50,000	Stock in Trade	46,000
E's Capital Account	30,000	Furniture	10,200
C's Current Account	2,000	Freehold Property	36,000
E's Current Account	1,000	D's Current Account	9,800
	<u>1,51,000</u>		<u>1,51,000</u>

The partners shared profit and losses in the ratio 3:2:3. It was decided to dissolve the partnership as on the date of the Balance Sheet. The assets realised are as follows: Freehold Property 30%; Furniture 80% less; Stock 40%; Debtors 50% less.

The realisation expenses amounted to Rs 5,240. The sundry creditors agreed to take 75 paise in the rupee in full satisfaction if D is insolvent. A dividend of 50 paise in the rupee was received from the court receiver.

Prepare Realisation Account, Capital and Current Accounts of partners by applying Garner vs. Murray rule.

Answer: Loss on Realisation – Rs 73,200

C Receives – Rs 43,218

E Receives – Rs 25,732]

13. J, K and L were in partnership sharing profits and losses in the ratio of 2:3:5. They prepared the following Balance Sheet on Dec 31, 2009, when they decided to dissolve:

Liabilities	Rs	Assets	Rs
Loan from Bank (against the security of Plant and Machinery)	75,000	Plant and Machinery	1,50,000
Loan from Mrs. L (with on charge on stock)	1,03,750	Debtors	50,000
Loan from L	20,000	Stock	1,00,000

Liabilities	Rs	Assets	Rs
Trade Creditors	1,01,250	Advance to J	20,000
Capitals:		Cash	5,000
J	30,000	Profit and Loss Account (Dr. Balance)	75,000
K	40,000		
L	30,000		
	<u>4,00,000</u>		<u>4,00,000</u>

Plant and Machinery, Debtors and stock realised 70%. Prepare the necessary ledger accounts (including loan from Mrs. L Account and Trade Creditors' Account, after considering the position of partners as follows:

	J	K	L
Private Estate	1,00,000	50,000	50,000
Private liabilities	38,334	85,000	46,666

Answer: :Loss on realisation – Rs 90,000

Amount to be brought in by J Rs 61,666

Amount to be brought in by L Rs 3,334]

14. Ajay, Vijay and Sanjay were in partnership sharing profits and losses in the ratio of 1/5:3/10:1/2. The Balance Sheet as on Dec 31, 2009, when they decided to dissolve, was as follows:

Liabilities	Rs	Assets	Rs
Capital Accounts		Plant and Machinery	1,50,000
Ajay 90,000		Sundry Debtors	6,00,000
Vijay 1,20,000		Advance to Ajay	60,000
Sanjay <u>90,000</u>	3,00,000	Cash	30,000
Loan from Bank on Book Debts and Plant	3,60,000	Profit and Loss Account	2,40,000
Loan from Sanjay (advanced on Jan 1, 2009)	60,000		
Trade Creditors	<u>3,60,000</u>		
	<u>10,80,000</u>		<u>10,80,000</u>

You ascertain that the balance in Profit and Loss Account is prior to charging interest on Sanjay's loan. Plant and Machinery and Debtors realised 80%. Ajay's private estate which was valued at Rs 2,10,000 has a liability there on Rs 90,000. The private estate realised only Rs 1,20,000. Vijay is insolvent on his own account to partnership.

You are required to prepare Realisation Account, Cash Account and Partner's Capital Accounts.

Answer: Loss on Realisation – Rs 98,799

Amount to be brought in by Ajay – Rs 30,000

Amount to be brought in by Sanjay – Rs 8,799]

15. X, Y and Z had the following Balance Sheet as on Mar 31, 20 –

Liabilities	Rs	Assets	Rs
Creditors	1,60,000	Fixed Assets	1,60,000
Loan from Mrs. X (with a charge on stock)	60,000	Debtors	96,000

Liabilities	Rs	Assets	Rs
Loan from Mr. X	40,000	Stock	80,000
Capital Accounts:		Cash at Bank	4,000
X 80,000		Loss	1,20,000
Y 80,000			
Z <u>40,000</u>	<u>2,00,000</u>		
	<u>4,60,000</u>		<u>4,60,000</u>

The firm was dissolved. Stock realised Rs 40,000; Fixed assets and debtors realised Rs 1,20,000 in all. The private position of the partners was as follows:

	X Rs	Y Rs
Private Estate	40,000	32,000
Private Liabilities	60,000	24,000

Z was able to pay 50 paise in the rupee what was payable on his own account to the partnership. The partners shared profits and losses in the ratio of 4:3:3 for X, Y and Z, respectively. The loss on realisation is to be determined after considering the amount finally paid to the creditors. You are required to close the books of the firm by preparing the necessary ledger accounts.

Answer: Realisation Loss – Rs 1,52,236

Cash brought in by Z – Rs 20,236]

16. A, B, C and D are partners of a firm. A gets one-fourth share in profits. The other partners shared the balance equally. The following is their Balance Sheet as on Mar 31, 20--.

Liabilities	Rs	Assets	Rs
Capital Account: Rs		Plant and Machinery	1,35,000
C 1,30,000		Furniture and Fixtures	56,000
D <u>70,000</u>	2,00,000	Sundry Debtors 1,00,000	
General Reserves	2,00,000	Less: Reserve for Doubtful	
		Debts <u>31,700</u>	68,300
Sundry Creditors	80,000	Bills Receivable	25,000
		Trademarks	14,000
		Stock	80,000
		Capital Accounts:	
		A 60,000	
		B <u>29,700</u>	89,700
		Cash in Hand	<u>12,000</u>
	<u>4,80,000</u>		<u>4,80,000</u>

The partnership was dissolved on the date of Balance Sheet on the following terms:

- On that day it was found that a liability for purchase of goods of Rs 40,000 had been omitted to be recorded and that the goods had been included in stock.
- The assets realised as Plant and Machinery Rs 1,20,000; Furniture and Fixtures Rs 36,000; Debtors Rs 42,000 and Stock Rs 60,000.
- The creditors including the unrecorded creditors were paid in full. There was a contingent liability in respect of bills discounted for Rs 7,000.

- (d) During the year there were unrecorded assets purchased for Rs 20,000. 50% of the assets were handed over to the vendor of the asset (also unrecorded) in full settlement of his claim. The remaining 50% were sold for Rs 8,000.
- (e) The realisation expenses amounted to Rs 7,700.
- (f) B is insolvent and can contribute only Rs 4,700.
- (g) The contingent liability did not materialise.

Prepare Realisation Account, Cash Account and partner's Capital Accounts.

Answer: Realisation Loss – Rs 1,20,000

Deficiency in B's Account – Rs 15,000]

17. X and Y were carrying on business in partnership sharing profits and losses in the ratio of 3/5 and 2/5. On Mar 31, 20–, they transferred their business to Alpha RT Ltd. The Balance Sheet of X and Y as on Mar 31 was as follows:

Liabilities	Rs	Assets	Rs
X's Capital	1,50,000	Land	25,000
Y's Capital	75,000	Building	1,00,000
Sundry Creditors	40,000	Machinery	50,000
		Stocks	40,000
		Debtors	45,000
		Cash	5,000
	<u>2,65,000</u>		<u>2,65,000</u>

The company took the following assets at the following valuation:

Land 50%; Building 125%; Stocks 93.75%; Machinery 20% less; Debtors Rs 42,500; Goodwill Rs 30,000. Creditors were paid 93.75% in full and final settlement. Company paid Rs 25,000 in fully paid 25,000 equity, shares of Rs 10 each and balance in cash. Expenses of transfer amounted to Rs 2,500.

Prepare ledger accounts in the books of the firm and make opening entities in the books of a company.

Answer: Profit on Realisation – Rs 52,500; Cash brought in by Y – Rs 4,000; Cash paid to X – Rs 31,500]

18. C and D were equal partners. On Dec 31, 20–, their Balance Sheet was as follows:

Liabilities	Rs	Assets	Rs
C's Capital Account	1,50,000	Fixed Assets (COST)	2,80,000
D's Capital Account	70,000	Less: Provision for Depreciation	<u>90,000</u>
			1,90,000
C's Loan	20,000	Joint Life Policy	12,600
Sundry Creditors	53,600	Stocks	54,000
		Debtors	30,000
		Cash	7,000
	<u>2,93,600</u>		<u>2,93,600</u>

On that day they dissolved the firm. Fixed Assets were sold to Beta. Co. Ltd for Rs 2,00,000 payable in the form of 20,000 shares of Rs 10 each. C took over Joint Life Policy at an agreed valuation of Rs 10,000. Stock and debtors realised Rs 47,400. Expenses amounted to Rs 600. C and D agreed to distribute shares in Beta Co. Ltd between themselves in the ratio of their final claims. Sundry Creditors were paid at book value. Prepare Realisation Account, Capital Accounts and Cash Book.

Answer: Loss on Realisation – Rs 29,800; C's Loan to be repaid Rs 200 in cash and Rs 19,800 in shares; C's Capital is to be paid Rs 1,25,100 in shares and D's Capital is to be paid in Rs 55,100 in shares]

19. X, Y and Z carry on business in partnership sharing profits and losses in the proportions of $\frac{1}{2}$, $\frac{3}{8}$, and $\frac{1}{8}$, respectively. On Mar 31, 2010, they agreed to sell their business to Victory Ltd. Their position on that date was as follows:

Liabilities	Rs	Assets	Rs
Capitals		Freehold Property	1,44,000
X 1,20,000		Machinery	1,26,000
Y 90,000		Book Debts	45,000
Z <u>78,000</u>	2,88,000	Stocks	69,000
Loan on Mortgage	48,000	Cash	6,000
Trade Creditors	54,000		
	<u>3,90,000</u>		<u>3,90,000</u>

Victory Ltd took the following assets at the valuation as follows:

Freehold Property 30% more; Machinery 30% less; Book Debts 90%; Stock 10% less; Goodwill Rs 38,220.

The company also agreed to pay the Trade Creditors which were agreed to allow a discount of 2%. The company paid Rs 2,01,000 in fully paid shares of Rs 10 each and the balance in cash. The expenses amounted to Rs 4,500.

You are required to prepare the necessary ledger accounts in the books of the firm.

Answer: Purchase Consideration – Rs 3,63,300;

Realisation Profit – Rs 28,800

Distribution of shares: X – 8,526; Y – 6,396; Z – 5,208]

20. Success Ltd was formed to acquire the business of R and S who share profits in the ratio of 2:1, respectively. The Balance Sheet of R and S on Dec 30, 2009 was as follows.

Liabilities	Rs	Assets	Rs
Bills Payable	34,400	Land and Buildings	80,000
Sundry Creditors	43,200	Machinery	40,000
Mrs. R's Loan	6,400	Stock	48,000
Capitals:		Debtors	46,400
R 1,28,000		Bills Receivable	32,800
S <u>80,000</u>	2,08,000	Investments	9,600
		Cash at Bank	19,200
		Goodwill	<u>16,000</u>
	<u>2,92,000</u>		<u>2,92,000</u>

It was agreed by the company to take over the assets at book value with the exception of Land and Buildings and Stock which are taken over at Rs 80,000 and Rs 50,000, respectively. The investments are retained by the firm and sold by the firm for Rs 8,000. They also discharged the loan of Mrs. R. The company takes over the remaining liabilities. The value of goodwill is fixed at Rs 57,600.

The purchase consideration is discharged as follows: 20,000 equity shares of Rs 10 each and the balance in cash. Close the books of the firm.

Answer: Profit on Realisation – Rs 42,000

R receives Rs 1,24,800 in shares and Rs 31,200 in cash

S receives Rs 75,200 in shares and Rs 18,800 in cash]

21. L, M and N were partners in a business sharing profits and losses in the ratio of 2:1:1. Their Balance Sheet as on Dec 31, 2009 was as follows:

Figures in '000

Liabilities		Rs	Assets	Rs
Fixed Capital			Fixed Assets	150
L	100		Investments	25
M	50		Stock	50
N	<u>50</u>	200	Debtors	30
Current Account:			Cash and Bank	75
L	20			
M	<u>10</u>	30		
Unsecured Loans		100		
		<u>330</u>		<u>330</u>

On Jan 1, it is agreed among the partners that Supriya & Co, Ltd, a newly formed company with M and N having each taken up 50 shares of Rs 10 each will take over the firm as a going concern including goodwill but excluding cash and bank balances.

The following points are also agreed upon:

- Good will be valued at three years purchase of super profits.
- The actual profit for the purpose of goodwill valuation will be Rs 50,000.
- Normal rate of return will be 15% on fixed capital.
- All other assets and liabilities will be taken over at book values.
- The purchase consideration will be payable partly in shares of Rs 10 each and party in cash. Payment in cash being to meet the requirement to discharge L who has agreed to retire.
- M and N are to acquire equal interest in the new company. Prepare necessary ledger accounts.
- Express of liquidation amount to Rs 20,000. Prepare necessary ledger accounts.

Answer: Loss on realisation – Rs 40,000]

22. Green and Red were in partnership sharing profits in the proportion $\frac{3}{4}$ th and $\frac{1}{4}$ th. The following is the Balance Sheet of the firm as on Dec 31, 2009.

Liabilities		Rs	Assets	Rs
Capital Accounts:			Fixed Assets	1,05,000
Green	1,20,000		Stock	56,000
Red	<u>40,000</u>	1,60,000	Debtors	98,000
Current Accounts:			Cash at Bank	18,600
Green	21,000			
Red	<u>10,000</u>	31,000		
Loan Red		15,000		
Creditors		71,600		
		<u>2,77,600</u>		<u>2,77,600</u>

Himalaya Ltd agreed to take over stock and fixed assets excluding the value of scooter Rs 20,500 for a consideration of Rs 2,40,000 which is to be satisfied by payment of cash Rs 80,000, allotment of 800 preference shares of Rs 100 each valued as Rs 75 per share and the balance by allotment of 8,000 equity shares of the face value of Rs 10 each.

The debtors realised Rs 96,000 and the creditors were settled for Rs 70,000.

The following were agreed between the partners:

- The equity shares should be allotted in the ratio of partner's capital accounts as per Balance Sheet.
- Green to take over the scooter at an agreed value of Rs 21,000.
- The preference shares to be allotted to Red to the value of his loan and the remainder to be allotted equal between the partners.
- Balance remaining to be settled in cash.

You are required to show (i) the Realisation Account, (ii) partner's Capital Account, (iii) Bank Account and (iv) statement showing distribution of cash.

Answer: Profit on Realisation – Rs 99,600

Green gets: Rs 22,500 in preference shares; Rs 75,000 in equity shares and Rs 97,200 in cash

Red gets: Rs 22,500 in preference shares; Rs 25,000 in equity shares and Rs 27,400 in cash]

23. For partnership dissolved on July 31, balance sheet on the date of dissolution was as follows:

Liabilities		Rs	Assets	Rs
Capitals:			Cash	16,200
Mohan	1,14,000		Sundry Assets	2,83,800
Mohamed	72,000			
Martin	<u>54,000</u>	2,40,000		
Loan: Mohamed		15,000		
Sundry Creditors		<u>45,000</u>		
		<u>3,00,000</u>		<u>3,00,000</u>

The assets were realised in instalments and payment was made on the proportionate capital basis. Creditors were paid Rs 43,500 in full settlement of their accounts. Expenses on realisation were estimated to be Rs 8,100 but actual amount spent on this was Rs 6,000. This amount was paid on Nov 2. Draw up memorandum of distribution of cash that was realised as follows:

On Aug 10, Rs 37,800

On Sep 15, Rs 90,000

On Nov 2, Rs 1,20,000

The partners shared profits and losses in the ratio of 2:2:1

Answer: Unpaid Amounts: Mohan – 16,200

Mohamed – 16,200

Martoni – 8,100]

24. X, Y and Z were in partnership sharing profits and losses in the ratio of 2:1:1, respectively. On Dec 31, they decided to dissolve the partnership where their Balance Sheet stood as follows:

Liabilities		Rs	Assets	Rs
Trade Creditors		15,000	Premises	1,20,000
Loan (with a charge on premises)		90,000	Furniture	30,000
Loan from X		45,000	Stock	2,10,000
General Reserve		30,000	Sundry Debtors	1,50,000
Capitals:	Rs		Cash	9,000
X	1,50,000			
Y	1,20,000			
Z	69,000	<u>3,39,000</u>		
		<u>5,19,000</u>		<u>5,19,000</u>

The assets were realised in piecemeal as follows:

Jan 27 Premises: Rs 15,000 (received after meeting in full the liability on the mortgage bank); Sundry debtors – Rs 18,000; Stock – Rs 21,000

Feb 20 Sundry Debtors – Rs 22,500; Stock – Rs 25,500

Mar 25 Sundry Debtors – Rs 60,000; Stock – Rs 69,000

Apr 27 Sundry Debtors – Rs 45,000; Stock – Rs 75,000 and furniture Rs 24,000.

The remaining stock was taken over by Y at an agreed amount of Rs 9,000. The trade creditors were settled for Rs 12,000. The partners distributed cash at the end of every month beginning on Jan 31.

You are required to show the distribution of cash in the form of a statement applying the proportionate capital basis.

Answer: Unpaid amounts: X – Rs 16,500

Y – Rs 8,250

Z – Rs 8,250]

25. A, B and C were in partnership with a capital of Rs 90,000 originally contributed in the ratio of 3:2:1, respectively, and sharing profits and losses in the same ratio. The partnership was dissolved on Dec 31 on which date the Balance Sheet stood as follows:

Liabilities		Rs	Assets	Rs
Capital: A	51,000		Cash	12,000
B	24,000		Debtors	54,000
C	<u>3,000</u>	78,000	Stock	1,20,000
General Reserve		18,000		
Loan A	18,000			
B	<u>12,000</u>	30,000		
Creditors		<u>60,000</u>		
		1,86,000		<u>1,86,000</u>

It was agreed that the net realisations should be distributed in their due order at the end of each calendar month. The realisations and expenses were as follows:

Month	Debtors (Rs)	Stock (Rs)	Expenses (Rs)
Jan	9,000	27,300	3,300
Feb	6,000	27,300	1,800
Mar	15,000	36,300	3,300
Apr	6,000	27,300	1,500
May	6,000	9,300	1,800

The stock having been completely disposed of it was agreed that C should take over the remaining debts at Rs 1,800. Show how the cash was distributed by applying Proportionate Capital Method.

Cash Received By

Answer:	Mon15	A	B	C
	Rs	Rs	Rs	Rs
	Mar	26,700	7,800	–
	Apr	18,450	12,300	1,050
	May	7,650	5,100	2,550]

26. P, Q and R were in partnership. The following is their Balance Sheet as on Dec 31 on which date they dissolved it:

Liabilities		Rs	Assets	Rs
Trade Creditors		1,60,000	Premises	1,60,000
Loan P		40,000	Plant and Machinery	1,20,000
General Reserve		40,000	Furniture	60,000
Capital Accounts:			Stock	1,60,000
P	1,80,000		Sundry Debtors	1,40,000
Q	48,000			
R	1,72,000	4,00,000		
		<u>6,40,000</u>		<u>6,40,000</u>

The partners share profits in the ratio of 5:3:2. It was agreed to repay the amounts due to the partners as and when the assets were realised as Feb 1; Rs 1,20,000; Apr 1, Rs 2,92,000; June 1, Rs 1,88,000. You are required to prepare a statement showing how the distribution should be made applying Maximum Loss Method.

Cash Received By

Answer:

	P Rs	Q Rs	R Rs
On Apr 1	81,580	48,000	1,30,420
On June 1	98,420	—	41,580

27. R, S and T were partners sharing profits and losses in the proportion $\frac{1}{2}$; $\frac{3}{10}$ and $\frac{1}{5}$, respectively. On Dec 31, 2009 they decided to dissolve the partnerships and the Balance Sheet as on that date was as follows:

Liabilities		Rs	Assets	Rs
Sundry Creditors		1,00,000	Cash at Bank	10,000
R's Loan		50,000	Stock	1,45,000
S's Loan		20,000	Debtors	1,55,000
General Reserve		50,000	Furniture	10,000
Capital Account				
R	50,000			
S	45,000			
T	<u>5,000</u>	1,00,000		
		<u>3,20,000</u>		<u>3,20,000</u>

The firm was dissolved on Jan 1. The assets realised were as follows:

Date	Stock (Rs)	Debtors (Rs)	Furniture (Rs)	Expenses (Rs)
Jan 31	30,000	25,000	8,000	3,000
Feb 28	30,000	25,000	—	4,000
Mar 31	45,000	80,000	—	7,500
Apr 30	25,000	10,000	10,500	3,000

Cash received was paid to the rightful claimants. Show the distribution of cash according to Maximum Loss Method.

Answer: Cash Received By

Month	R Rs	S Rs	T Rs
Mar	33,530	34,970	—
Apr	21,970	13,330	7,200]

28. A, B and C have capitals of Rs 96,000; Rs 60,000 and Rs 84,000 and share profits and losses in the ratio of 3:2:1, respectively. After paying creditors, the following sums become available and it was agreed that they shall be distributed as and when determined:

Oct 15 – Sale Proceeds of Machinery – Rs 15,000

Expenses – Rs 3,000

Dec 31 – Realisation from Debtors – Rs 45,000

Expenses – Rs 5,000

B is insolvent. All assets are realised. Show the sums to be paid to the partners out of the amounts available according to Maximum Loss Method.

Answer: Oct 15 – C receives Rs 12,000

Dec 31 – A receives Rs 580

C receives Rs 39,420]

29. Ram, Rahim and Robert share profits and losses in the ratio of 4:2:1. They decide to dissolve the partnership and their Balance Sheet as on the date of dissolution was as follows:

Liabilities	Rs	Assets	Rs
Trade Creditors	17,100	Land and Buildings	2,87,160
Bank Overdraft	48,750	Plant and Machinery	48,900
General Reserve	28,350	Furniture	7,380
Capital:		Investments	45,000
Ram	1,20,000	Stock	1,92,450
Rahim	2,40,000	Trade Debtors	68,100
Robert	1,95,000	Cash in Hand	210
	<u>5,55,000</u>		
	6,49,200		<u>6,49,200</u>

The partners also decide that after the creditors have all been paid and providing a sum of Rs 3,600 to meet payable expenses of realisation and dissolution, all cash realised should immediately be divided among them. The assets are realised as follows: first realisation – Rs 46,080; second realisation Rs 55,200; third realisation: 2,89,197; final realisation – Rs 1,68,900. Expenses of realisation and dissolution amount to Rs 3,396. Prepare a statement showing how cash should be distributed among the partners according to Maximum Loss Method.

Answer: Out of the second realisation: Robert is paid Rs 32,040

Out of third instalment: Rahim receives Rs 1,65,678

Robert receives Rs 1,23,519

Out of final instalment = Ram receives – Rs 83,052

Rahim receives – Rs 55,848

Robert receives – Rs 30,204]

Financial Statement Analysis

LEARNING OBJECTIVES

After studying this chapter, you will be able to understand

1. Meaning of Financial Statement Analysis
2. Types of Financial Statement Analysis
3. Process of Financial Analysis
4. Purposes and Significance of Financial Analysis
5. Tools of Financial Analysis
6. Comparative Financial Statements
 - (a) Comparative Balance Sheets
 - (b) Comparative Income Statements
7. Common Size Statements
8. Trend Percentage – Features, Method of Analysis and Limitations
9. Users of Financial Statements
10. Limitations of Financial Statement Analysis
11. Financial Statements of a Company – Types and Formats

INTRODUCTION

As already said, the end product of the accounting process is the preparation of Financial Statements, viz., Profit and Loss Account and Balance Sheet. These are prepared periodically to assess the results achieved by an entity during the specific accounting period. The Income Statement depicts the net result of operations during the period where as the Balance Sheet reflects the financial position of an entity on a particular date. These statements communicate accounting information to its users both internal and external. The internal users are the management and the important external users are investors, creditors, suppliers, customers, lenders, employees and government and its various agencies. But mere presentation of figures in these statements would not be enough. Users of these financial statements are rarely in need of more specific information relating to profitability, solvency and liquidity of such business entities. As this is an era of cut throat competition, they want to compare the performance with similar firms in the existing market. Inter-firm and intra firm comparisons have to be carried out to know the exact position of an entity.

Furthermore, to judge the earning capacity of the firm, the managerial efficiency of the firm, these financial statements need to be scrutinised and analysed further. These financial statements constitute complex data, which has to be split into simple elements and relationships have to be established between these elements. Such process of division, establishing relationship and meaningful interpretation to understand efficiency is termed as “Analysis of Financial Statements”. Analysis of financial statements is a critical

examination of the various elements in the financial statements so as to understand and take apt decisions with respect to entire operations of business entities.

OBJECTIVE 1: MEANING OF FINANCIAL STATEMENT ANALYSIS

Financial statements provide information on the various aspects namely – assets, liabilities on a specified date, revenues and expenses and the net result of operations during the specified period. In order to make the information more useful, such elements which form a part of financial statements have to be analysed in a systematic manner and there of after proper interpretation, they may be communicated to its users.

Myer defines Financial Statement Analysis as, “Financial statement analysis is largely a study of relationships among the various financial factors in a business as disclosed by a single set of statements, and a study of trends of these factors, as shown in a series of statements.”

It may also be said that the analysis of financial statements is a study of relationship among various financial facts and figures as setout in financial statements, that is, Balance Sheet and Income Statement.

OBJECTIVE 2: TYPES OR CLASSIFICATION OF FINANCIAL STATEMENT ANALYSIS

Financial Analysis – various types of analysis is based on the material used, modus operandi and the objective of the analysis. These types of financial analysis are discussed briefly as follows.

2.1 Type 1 – According to the Material Used

This may further be classified into External Analysis and Internal Analysis.

External Analysis: In case, if a person may not have access to the detailed records of the company, external analysis is to be restored. One has to depend and rely on published financial statements. Persons engaged in external analysis include investors, credit agencies and governmental agencies. The role of external analysis have gained of much importance now-a-days. Such external records are reliable as governmental regulations enforce the business entities to make available needed information to the public.

Internal Analysis: This type of financial analysis is carried on by the persons who may have access to the detailed records (books of accounts and other information) of business entities. While conducting internal analysis such persons become part of the entities. For example, analysis for managerial discussions is an internal type of analysis, which is usually conducted by the employees of that business concern – naturally becomes part of that concern. At times, internal analysis is conducted by the statutory agencies.

2.2 Type 2 – According to Modus Operandi

This type of analysis may be classified into Horizontal Analysis and Vertical Analysis.

Horizontal Analysis: This is also known as “Dynamic Analysis.” In case, financial statements for a number of users are received and analysed, such analysis is referred to as “horizontal analysis.” It is based on data from year to year and not one date or period of time.

This type of financial analysis is useful for long term trend analysis and planning.

Vertical Analysis: This is also known as “Static Analysis.” Generally, it is based on data on one date or period of time. Vertical analysis is not of much use as one may not be able to analyse data in perspective.

2.3 Type 3 – According to the Objective of the Analysis

The analysis on this basis may be of two types namely Short-term Analysis and Long-term Analysis.

Short-term Analysis: This type of analysis is conducted to compute the short-term solvency, liquidity and earning capacity of the business. Shot-term analysis is usually conducted to assess whether the business entities have enough to meet their short-term (requirements) contingencies.

Long-term Analysis: This type of analysis is conducted to determine of a business. This analysis is usually carried on to assess whether the business entities will be able to earn enough to meet its long-term obligations – profit, growth, modernisation and development of the business entities. This analysis is also useful to determine the effective rate of return on its investment.

2.4 Distinction Between Horizontal Analysis and Vertical Analysis

<i>Basis of Distinction</i>	<i>Horizontal Analysis</i>	<i>Vertical Analysis</i>
1. Accounting Period	It requires statements of two or more accounting periods.	It requires a statement of one period.
2. Items	It deals with same item of different periods.	It deals with different items of the same period.
3. Information	It provides information in absolute and percentage form.	It provides information in percentage of money.
4. Uses	It is used for time series analysis.	It is used for cross-section analysis.
5. Comparison	It is a part of comparison.	It is a step towards comparison.

Inter-firm and Intra-firm analysis of financial statements differs in the following aspects:

2.5 Distinction Between Inter-firm and Intra-firm Analysis

<i>Basis of Distinction</i>	<i>Intra-firm Analysis</i>	<i>Inter-firm Analysis</i>
1. Number	It involves analysis of financial variables of one firm.	It analyses the financial variables of two or more firms.
2. Objective	To determine the financial status of the firm and make decisions at management level.	To make important comparisons and determine the competitive status of the firm.
3. Other names	It is also called as Time Series Analysis and Trend Analysis.	When single set of information of two firms are compared, it is termed as cross-section analysis.
4. Comparison with other firms	Comparison with other firms may not be possible.	Comparison with other firm is possible.

OBJECTIVE 3: PROCESS OF FINANCIAL STATEMENT ANALYSIS

Main functions used in the process of analysis are:

3.1 Re-arrangement

Re-classification and re-arrangement of data in financial statement is vital to get maximum information. This depends upon the purpose of analysis.

3.2 Comparison

In case of a time series analysis, it is imperative to have comparative data of the same enterprise of the past periods. In case of cross-sectional analysis, it is essential to have comparative data of the same accounting period of the similar or comparative enterprises.

3.3 Analysis

Comparative data, item are analysed with special reference to financial characteristics. (e.g., solvency, liquidity, profitability)

3.4 Interpretation

This is the concluding part. The interpretation should be precise. It should indicate the movement of various financial characteristics in the right direction.

OBJECTIVE 4: PURPOSES AND SIGNIFICANCE OF FINANCIAL ANALYSIS

Financial Analysis serves the following purposes and also that brings out the importance of such analysis.

4.1 Earning Capacity

On the basis of financial statements, the earning capacity of an enterprise may be computed. The future earning capacity may be forecasted. Investors very keenly observe this for making this investment.

4.2 Managerial Efficiency

The financial statement analysis is an indicator to pin point the strength and weakness of managerial efficiency. Favourable and unfavourable variations can be identified and the reasons thereof can be inferred, especially with the usage of financial ratios.

4.3 Solvency

Short-term solvency and long-term solvency of the concern can be judged. Debenture holders are interested in long-term solvency and trade credits are interested in short-term solvency.

4.4 Inter-firm Comparison

Financial statements of different concerns can be analysed and comparisons can be obtained. This comparison helps to assess its own performance as well as that of other firms. This analysis will give the desired results, if such comparison is based on ratios.

4.5 Budgets and Forecasts

Analysis of financial statements will in a great way facilitates in forecasting future financial activities. Analysis also helps in preparation of budgets.

OBJECTIVE 5: TOOLS OR TECHNIQUES OF FINANCIAL STATEMENT ANALYSIS

Following are the tools or techniques for analysing financial statements:

5.1 Comparative Financial Statements

These are the statements in which figures for two or more periods are placed side by side along with the change in figures in absolute and percentage form. Both Balance Sheet and Profit and Loss Account are prepared in the form of Comparative Financial Statements.

5.2 Common Size Financial Statements

These statements express all figures of a financial statement as percentage of some common base. In the Profit and Loss Account, sale figure is assumed to be 100 and all figures are expressed as a percentage of sales. In the Balance Sheet, the sum of assets or liabilities is assumed to be 100, and all the figures are expressed as percentage of total.

5.3 Trend Percentages

Any year may be taken on as the base year, each item of the base year is taken as 100. On that basis the percentage for each of the items of each of the following years are calculated.

5.4 Ratio Analysis

It expresses the relationship between two variables (financial or accounting) taken from financial statements of an accounting period in the form of ratio.

5.5 Cash Flow Statement

It shows the sources from which cash was received and the purpose for which it was used. It shows the changes in cash position from one period to another.

5.6 Funds Flow Statement

It shows the sources from which Working Capital was got and the purpose for which it was used. It shows the changes in Working Capital position.

Now, each technique is explained in detail by way of illustrations as follows:

OBJECTIVE 6: COMPARATIVE FINANCIAL STATEMENTS

Comparative Financial Statements

- is a *tool* of financial analysis
- *depicts* change in each item of financial statement
- depicts the changes in both absolute and percentage term
- takes the *same item* in preceding accounting years as *base*.

These statements are prepared to show:

- Absolute data – (rupee amount only)
- Increase/decrease in absolute data – (in terms of money value)
- Increase/decrease in absolute data – (in terms of percentage)
- Comparisons – (expressed in ratios)
- Percentage of totals

6.1 Objectives of Comparative Financial Statements

- (i) It gives information about nature of changes influencing financial position and performance of a business concern.
- (ii) These indicate the strength and weakness about liquidity, profitability and solvency of an enterprise.
- (iii) These help the management in forecasting and planning.
- (iv) The movements of the key financial factors can be studied well.

The tools for comparison and analysis of financial statements are

- (i) Comparative Balance Sheets
- (ii) Comparative Income (P and L A/c) statements
- (iii) Common Size Statement

6.2 Meaning of Comparative Balance Sheet

Comparative Balance Sheet analysis

- (i) is the study of the trend of the same items;
- (ii) group of items and computed items;
- (iii) in two or more Balance Sheets;
- (iv) of the same business enterprise;
- (v) on different dates.

6.2.1 Advantages of Comparative Balance Sheets

1. It shows the extent to which the balance of accounts increases/decreases between two dates.
2. Unlike a Single Balance Sheet, the Comparative Balance Sheet shows balances of accounts on different dates.
3. In a Single Balance Sheet, the emphasis is on status. But in a Comparative Balance Sheet, the emphasis is on change.
4. The trends in a business concern may be studied by using Comparative Balance Sheet.
5. It shows by using effects of business operation on its assets, liabilities and capital.
6. It is a connecting link between the Balance Sheet and the Profit and Loss Account.

6.2.2 Preparation of Comparative Balance Sheet

A Comparative Balance Sheet is prepared as per Schedule VI of the Companies Act 1956. It is prepared by providing the columns:

1. Particulars
2. Data of previous year's Balance Sheet
3. Data of current year's Balance Sheet
4. Absolute change, increase/decrease in data as per column (ii) and (iii)
5. Percentage of change in data as per column (ii) and (iii)

Illustration: 1

From the following information, prepare a Comparative Balance Sheet of ABC Ltd:

Particulars	March 31, 2008 Rs	March 31, 2009 Rs
Equity Shares Capital	30,00,000	30,00,000
Fixed Assets	25,00,000	30,00,000
Reserves and Surplus	4,00,000	4,50,000
Investments	5,00,000	6,00,000
Long-term Loan	10,00,000	10,00,000
Current Assets	20,00,000	15,00,000
Current Liabilities	6,00,000	6,50,000

(B. Com. Madras – Modified)

Solution

Comparative Balance Sheet

Particulars	2008 Rs	2009 Rs	Absolute Change Rs	Percentage %
Fixed Assets	25,00,000	30,00,000	5,00,000	20
Investments	5,00,000	6,00,000	1,00,000	20
Current Assets	20,00,000	15,00,000	(5,00,000)	(25)
Total Assets	<u>50,00,000</u>	<u>51,00,000</u>	<u>1,00,000</u>	<u>2</u>
Equity Share Capital	30,00,000	30,00,000	—	—
Reserves and Surplus	4,00,000	4,50,000	50,000	12.5
Long-term Loans	10,00,000	10,00,000	—	—

Particulars	2008 Rs	2009 Rs	Absolute Change	Percentage %
Current Liabilities	6,00,000	6,50,000	50,000	8.33
Total Liabilities	<u>50,00,000</u>	<u>51,00,000</u>	<u>1,00,000</u>	<u>2</u>

Note

1. Columns have to be provided as in solution.
2. Figures within brackets shows decrease/minus.
3. Percentage of change is calculated taking the amount in the year 2008 as base:

Example: Fixed Assets = $\text{Change}/\text{Base} \times 100 = 5,00,000/25,00,000 \times 100 = 20\%$

OBJECTIVE 7: COMPARATIVE INCOME STATEMENT – SPECIAL FEATURES

- The P and L A/c shows the Net Profit/Loss on account of business operations during the year.
- The Comparative P and L A/c (Income Statement) shows operating results for a number of (accounting period) years.
- It also shows changes in data in terms of money and percentage.

The Comparative (P and L A/c) Income Statement shows:

- (i) Increase/decrease in Sales (Gross)
- (ii) Increase/decrease in Sales (Net)
- (iii) Increase/decrease in Cost of Goods Sold
- (iv) Increase/decrease in Gross Profit
- (v) Increase/decrease in Operating Profit
- (vi) Increase/decrease in Operating Expenses
- (vii) Increase/decrease in Net Operating Expenses
- (viii) Analysis of various Items of income
- (ix) Analysis of Net Profit and its percentage with sales

7.1 Objectives of Comparative Income Statements

- (i) To analyse the income and expenditure for two or more years.
- (ii) To analyse the increase or decrease in the income and expenditure in terms of rupee and percentage.
- (iii) To review the business operations of the last year and its effect on current year's operations.

7.2 Preparation of Comparative (P and L A/c) Income Statement

It is prepared by providing the columns:

- (i) Particulars
- (ii) Data of previous year's Income Statement
- (iii) Data of current year's Income Statement
- (iv) Absolute change in the data as per column (ii) and (iii)
- (v) Percentage of change in data as per column (ii) and (iii)

7.3 Percentage of Change is Calculated this Way

- (a) Data of the previous year is taken as base.
- (b) Change in Percentage = $(\text{Absolute Increase/decrease})/(\text{Data in previous year}) \times 100 = \dots \%$

For each item, it is calculated this way, as in the case of Comparative Balance Sheets.

Illustration: 2

From the following, prepare Comparative Income Statement

Particulars	2008 Rs	2009 Rs
Sales	2,00,000	3,00,000
Cost of Goods Sold	(50,000)	(60,000)
	<u>1,50,000</u>	<u>2,40,000</u>
Indirect Expenses	(30,000)	(40,000)
	<u>1,20,000</u>	<u>2,00,000</u>
Provision for Tax	(20,000)	(40,000)
Net Profit after Tax	<u>1,00,000</u>	<u>1,60,000</u>

(B.Com. Madras – Modified)

Solution**Comparative Income Statement**

Particulars	2008 Rs	2009 Rs	Absolute Increase Rs	Percentage Increase Change
Sales	2,00,000	3,00,000	1,00,000	50
Less: Cost of Goods Sold	<u>50,000</u>	<u>60,000</u>	<u>10,000</u>	<u>20</u>
Gross Profit	1,50,000	2,40,000	90,000	60
Indirect Expenses	<u>30,000</u>	<u>40,000</u>	<u>10,000</u>	<u>33.3</u>
Net Profit	<u>1,20,000</u>	<u>2,00,000</u>	<u>80,000</u>	<u>66.67</u>
Less: Provision for Tax	<u>20,000</u>	<u>40,000</u>	<u>20,000</u>	<u>100</u>
Net Profit after Tax	<u>1,00,000</u>	<u>1,60,000</u>	<u>60,000</u>	<u>60</u>

Notes: Workings

- (i) Percentage change (Sales) = $\text{Absolute Change} / \text{Base Figure} \times 100 = 1,00,000 / 2,00,000 \times 100 = 50\%$
- (ii) Percentage change (Cost of Goods Sold) = $10,000 / 50,000 \times 100 = 20\%$
- (iii) Percentage change (Gross Profit) = $90,000 / 1,50,000 \times 100 = 60\%$
- (iv) Percentage change (Indirect Expenses) = $10,000 / 30,000 \times 100 = 33.3\%$
- (v) Percentage change (Net Profit) = $80,000 / 1,20,000 \times 100 = 66.67\%$
- (vi) Percentage change (Provision for Tax) = $20,000 / 20,000 \times 100 = 100\%$
- (vii) Percentage change (Net Profit after Tax) = $60,000 / 1,00,000 \times 100 = 60\%$
- *(viii) Base Figure: Value given in column year 2008

7.4 Computation of Percentage Change

Accounting treatment of indirect expenses

Illustration: 3

Prepare Comparative Income Statement of X Ltd with the help of the following data:

Particulars	2008 Rs	2009 Rs
Sales	3,00,000	6,00,000
Cost of Goods Sold	50% of Sales	70% of Sales
Indirect Expenses	10% of Gross Profit	10% of Gross Profit
Rate of Income Tax	50% of Net Before Tax	50% of Net Before Tax

B. Com. – Madras

Solution: Step I Cost of Goods Sold value has to be calculated

Sales = 2008 year = Rs 3,00,000

Cost of Goods Sold = 50% of Sales

$$= 50/100 \times 3,00,000 = \text{Rs } 1,50,000$$

2009: Cost of Goods Sold = 70% of Sales

$$= 70/100 \times 6,00,000 = \text{Rs } 4,20,000$$

Step II: Indirect Expenses to be calculated

This is computed from Gross Profit.

2008: Gross Profit = Sales – Cost of Goods Sold

$$= \text{Rs } 3,00,000 - \text{Rs } 1,50,000 = \text{Rs } 1,50,000$$

2008: Indirect Expenses = 10% of Gross Profit

$$= 10/100 \times 1,50,000 = \text{Rs } 15,000$$

2009: Gross Profit = Rs 6,00,000 – Rs 4,20,000

$$= \text{Rs } 1,80,000$$

2009: Indirect Expenses = $10/100 \times 1,80,000 = \text{Rs } 18,000$

Step III: After deducting Indirect Expenses from Gross Profit, Net Profit before Tax is computed.

50% of this has to be deducted to arrive at Net Profit after Tax.

Percentage change is calculated as in previous illustration.

Comparative Income Statement

Particulars	2008 Rs	2009 Rs	Absolute Increase Rs	Percentage Increase Change
Sales	3,00,000	6,00,000	3,00,000	100
Less: Cost of Goods Sold	1,50,000	4,20,000	2,70,000	180
Gross Profit	1,50,000	1,80,000	30,000	20
Less: Indirect Expenses	15,000	18,000	3,000	20
Net Profit before Tax	1,35,000	1,62,000	27,000	20
Less: Income Tax	67,500	81,000	13,500	20
Net Profit after Tax	67,500	81,000	13,500	20

OBJECTIVE 8: MEANING OF COMMON SIZE STATEMENTS

- Common size financial statements are the item statements in which accounts of individual item of Balance Sheet/Profit and Loss A/c for two or more years.
- Such amounts are further converted into percentage to some common base.
- In case of Balance Sheet, total amount will be the base.
- In case of P and L A/c, Net Sales is the base.

Illustration: 4

From the following, prepare a Common Size Income Statement

Particulars	2008 Rs	2009 Rs	Particulars	2008 Rs	2009 Rs
To Cost of Goods Sold	1,50,000	2,25,000	By Net Sales	2,00,000	3,00,000
To Gross Profit	50,000	75,000			
	2,00,000	3,00,000		2,00,000	3,00,000

(Continued)

(Continued)

Particulars	2008 Rs	2009 Rs	Particulars	2008 Rs	2009 Rs
To Office and Administrative Expenses	5,000	10,000	By Gross Profit	50,000	75,000
To Selling and Distribution Expenses	10,000	15,000			
To Net Profit	35,000	50,000			
	<u>50,000</u>	<u>75,000</u>		<u>50,000</u>	<u>75,000</u>

Solution**Common Size Income Statement**

Particulars	Absolute 2008 Rs	Absolute 2009 Rs	Percentage of sales 2008	Percentage of sales 2009
Net Sales	2,00,000	3,00,000	100	100
Less: Cost of Goods Sold	1,50,000	2,25,000	75	75
Gross Profit	<u>50,000</u>	<u>75,000</u>	<u>25</u>	<u>25</u>
Operating Expenses:				
(a) Office and Administrative Expenses	5,000	10,000	2.5	3.3333
(b) Selling and Distribution Expenses	10,000	15,000	5	5
Operating Income	<u>35,000</u>	<u>50,000</u>		

Notes: Students should note that, here, Net Sales for each year is taken as base.

For each item, with respect to Net Sales, percentage is calculated, for each year separately.

Percentage = Particular Value of Item/Net Sales $\times$ 100 =%

Workings

For the year 2008:

- (i) Net Sales = Net Sales/Net Sales $\times$ 100 = 2,00,000/2,00,000 $\times$ 100 = 100%
- (ii) Cost of Goods Sold = Cost of Goods Sold/Net Sales
= 1,50,000/2,00,000 $\times$ 100 = 75%
- (iii) Gross Profit = Gross Profit/Net Sales $\times$ 100
= 50,000/2,00,000 $\times$ 100 = 25%
- (vi) Office and Administrative Expenses = 5,000/2,00,000 $\times$ 100 = 2.5%
- (v) Selling and Distribution Expenses = 10,000/2,00,000 $\times$ 100 = 5%

Like above, for these items, percentage can be calculated for each item, taking Net Sales for 2009, i.e. Rs 3,00,000, as base. (Students can do themselves.)

8.1 Preparation of Common Size Balance Sheet

Common Size Comparative Balance Sheet

Illustration: 5

The Balance Sheet of XYZ Ltd as on March 31, 2008 and March 31, 2009 are given.

Prepare a Common Size Balance Sheet of XYZ Ltd for 2008 and 2009. You are required to comment on the changes.

Particulars	2008 Rs	2009 Rs
Shareholder's Funds:		
Share Capital	2,00,000	2,00,000
Reserves and Surplus	20,000	10,000
	<u>2,20,000</u>	<u>2,10,000</u>
Liabilities:		
Secured Loans	50,000	80,000
Unsecured Loans	1,50,000	60,000
Current Liabilities and Provisions	80,000	50,000
Capital and Liabilities	<u>2,80,000</u>	<u>1,90,000</u>
Assets:	<u>5,00,000</u>	<u>4,00,000</u>
Fixed Assets (Net)	3,00,000	2,40,000
Investments	5,000	4,000
Inventories	1,00,000	80,000
Debtors (Net)	80,000	66,000
Cash	15,000	10,000
Total Assets	<u>5,00,000</u>	<u>4,00,000</u>

(B. Com. Madras University – Modified)

8.2 Accounting Treatment of Sources and Uses of Funds in the Preparation of Common Size Statements (Balance Sheet)

Solution

- Here, the items given in the problem have to be written in the column of Particulars under two heads: Sources of Funds and Application of Funds.
- Then, as this is the Balance Sheet (B/S), total amount is to be taken as base.
- For each item, percentage is calculated, with respect to "Total," for each year. (As it is calculated in previous example, the only difference being, the base debtors here, i.e. instead of Net Sales, Total is taken as base.)

That is, Percentage = Particular item's value/Total in B/S $\times 100 = \dots\%$

Common Size Balance Sheets of XYZ Ltd for the Year Ended March 31, 2008 and March 31, 2009

Particulars	2008		2009	
	Amount Rs	% of B/S Total	Amount Rs	% of B/S Total
Sources of Funds:				
Shareholder's Funds:				
Share Capital	2,00,000	40 }	2,00,000	50 }
Reserves and Surplus	20,000	4 } 44	10,000	2.5 } 52.5
Liabilities				
Secured Loans	50,000	10	80,000	20
Unsecured Loans	1,50,000	30	60,000	15
Current Liabilities and Provisions	80,000	16	50,000	12.5
Capital and Liabilities	<u>5,00,000</u>	<u>100</u>	<u>4,00,000</u>	<u>100</u>

(Continued)

(Continued)

Particulars	2008		2009	
	Amount Rs	% of B/S Total	Amount Rs	% of B/S Total
Application of Funds:				
Fixed Assets (Net)	3,00,000	60	2,40,000	60
Investments	5,000	1	4,000	1
Inventories	1,00,000	20	80,000	20
Debtors (Net)	80,000	16	66,000	16.5
Cash	15,000	3	10,000	2.5
Total Assets	5,00,000	100	4,00,000	100

Comments: Major changes in the sources of funds.

- (i) Share capital as a percentage of total liabilities was 40% in 2008 and 50% in 2009.
- (ii) Reserves and Surplus has declined from 4% to 2.5%.
- (iii) As a result, shareholder's funds have increased from 44% to 52.5%.
- (iv) It means share liabilities has declined from 56% to 47.5%.
- (v) Written liabilities, share of secured loans increases from 10% to 20%.
- (vi) But share of unsecured loans and provisions has declined from 46% to 27.5%.

OBJECTIVE 9: MEANING AND COMPUTATION OF TREND PERCENTAGES

9.1 Trend Ratios

Trend ratios may be defined as index numbers of the movements of the various factors (items) in the financial statements for a number of periods. It may also be statements for a number of periods. It may also be defined as a statistical device employed in the analysis of financial statements to reveal the trend of those item over a period of time. Trend ratios reflect the nature and rate of movements in various items (financial factors). This belongs to horizontal analysis type. Trend ratios may also be depicted graphically, which facilitates easy comprehensive. Trend ratios predict the movement of financial factors (future), which in turn helps to formulate and make proper management decisions. Any device or technique is not without its own limitations. Hitherto, trends may be affected by unforeseen economic conditions and police of government. Hence, it has to be dealt with extraordinary precaution.

9.2 Steps Involved in Computation of Trend Percentages

Step 1: Statements for a number of years serve as a base.

Step 2: Take one of the statements as the base. (Selection of statement should be done carefully. Generally, statement belonging to "normal year" of a business is to be taken as base.)

Step 3: Each financial factor (item) in the base statement is taken as 100.

Step 4: Trend percentage of each item in other statement (belonging to other years) is to be calculated with reference to the same item in the base statement by using the formula as:

(Absolute value of item (in Rs) in other statements)/(Absolute value of same item (in Rs) in base statement) $\times$ 100.

Illustration: 6

From the following information extracted from the Balance Sheet of Good Luck Ltd for four previous financial years, calculate the trend percentages taking 2005–2006 as the base year.

Particulars	2005-06	2006-07	2007-08	2008-09
	(Rs in Lakhs)			
Current Assets:				
Cash	600	720	1,200	660
Bank	780	900	600	720
Debtors	1,200	1,800	3,000	4,800
Stock	2,400	3,600	5,400	6,000
Fixed Assets:				
Building	3,000	3,600	3,600	3,600
Plant and Machinery	6,000	7,200	7,200	8,400
	13,980	17,820	21,000	24,180

Solution

Step 1: Base year is taken as 2005–2006 (given in the question).

Step 2: First, Cash (item or factor) – in the base year is taken as 100.

Step 3: (i) Trend percentage for 2006–07 for the item Cash
 $(\text{Absolute value 2006–07})/(\text{Absolute value 2005–06}) \times 100$
 $= 720/600 \times 100 = 120$

(ii) Trend percentage for 2007–2008 for the item Cash
 $= 1,200/600 \times 100 = 200$

(iii) Trend percentage for 2008–2009 for the item Cash
 $= 660/600 \times 100 = 110$

Like this, for other items trend percentage can be calculated and tabulated as follows:

Trend Percentages

Particulars	2005-06	2006-07	2007-08	2008-09	2005-06	2006-07	2007-08	2008-09
	(Rs in Lakhs)				(Trend Percentage)			
Current Assets:								
Cash	600	720	1,200	660	100	120.00	200.00	110.00
Bank	780	900	600	720	100	115.38	76.92	92.30
Debtors	1,200	1,800	3,000	4,800	100	150.00	250.00	400.00
Stock	2,400	3,600	5,400	6,000	100	150.00	225.00	250.00
Fixed Assets:								
Building	3,000	3,600	3,600	3,600	100	120.00	120.00	120.00
Plant and Machinery	6,000	7,200	7,200	8,400	100	120.00	120.00	140.00
	13,980	17,820	21,000	24,180	100	127.46	150.21	172.9

9.3 Limitations of Trend Ratios (Percentage)

- In case, if the accounting practices are not followed uniformly and with consistently every year, trend percentages cannot show true and fair results and hence cannot be relied bluntly.
- It ignores price level changes. To obtain better results, financial factors (items in statements) must first get adjusted for price level changes from the base year and only then trend percentage should be computed. Various factors that affect price level changes have to be carefully considered.
- Trend ratios have to be always read with absolute data on which they are based. In the above illustration, take the factor cash for the year 2006–07, there is a 120% change in trend ratio

representing an absolute change of Rs 120 lakh. Take the other factor, building, there is a 120% change in the trend ratio representing an absolute change of Rs 1,200 lakh. Hence, without connecting absolute data, the results may be misleading.

OBJECTIVE 10: VARIOUS USERS OF FINANCIAL STATEMENTS

There are various users of financial statements, which are discussed as follows:

1. Investors: Investors – who are the real owners of the company are deeply in need of financial statements in order to ascertain earnings for their investments and to assure the safety of it.

2. Lenders: There are so many types of lenders such as, debenture holders, suppliers of loans, leases and the like. Each is interested in assessing the capacity of the entity to repay debt with interest. Financial statements extend a helping hand to such users.

3. Creditors: Some creditors are eager to know the ability of the business to settle (repay) the amounts on the stipulated data.

4. Customers: Customers – in both senses – a regular suppliers of raw material to the company as well as a regular user of finished products of the company – are very much interested in knowing growth prospects of the company.

5. Employees: Employees (trade unions) use these statements for better bargaining of employments, perks, retirement benefit and so on.

6. Government and its agencies: Government, its agencies and various departments (Income Tax, Sales Tax, Excise) are interested in using these statements to formulate, operate, control and forecast policies pertaining to them.

7. Public: Now-a-days, public is interested in knowing the health of business entities. The use of financial statements cannot be underestimated as public awareness attains much significance.

OBJECTIVE 11: LIMITATIONS OF FINANCIAL STATEMENT ANALYSIS

Notwithstanding the fact that financial statement analysis is helpful in assessing the financial position and earning capacity of a business entity, it is not free from certain shortcomings which are discussed below:

1. Ignores price level changes: Financial statements are compiled on the basis of historical costs. It ignores price level changes and current economic real conditions. So any results arrived on analysis of financial statement may not reflect the real factor. Even Government regulations, tax structure, inflation all play a major role. Ignoring all such factors and analysing only the past factors may not serve the real purpose for which analysis is made.

2. Not absolute: Even though financial statements are expressed in exact money terms, the net result is not associated with absolute change in value. As the result, analysis will not be meaningful.

3. Accounting methods: Unless there is consistency and continuity in adopting accounting policies and techniques adopted by business entities, in such analysis, in the absence of consistency, the results may not be comparable and that too they will be biased.

4. Skilled analysis: It will be an effective tool only if the financial statements are analysed by skilled accountants. Analysis done by unskilled men may lead to erroneous conclusions.

5. Interim reports: Generally, financial statements are interim reports and not final. True gain or loss can be computed only at the termination of business. Financial statements prepared periodically may only reflect the way in which the business moves.

6. Different interpretations: The results derived from analysis of financial statements are generally interpreted differently by the different users of financial statements. There are no standard interpretations in practice. No common procedure exists.

7. Limited Usage: The analysis of financial statement in respect of a single year usually may not be of much help, as comparison cannot be made based on the results of more than one year. To arrive at a precise and reliable conclusion, analysis must be extended over a number of years.

8. Lacks accuracy: At times, the income statement of the balance sheet are manipulated. Such manipulations affect the accuracy of figures in the final statement. The reliability of analysis is affected to a great extent, as they lack accuracy.

9. Faulty forecast: Analysis of financial statements is made on the basis of past records. Factors analysed on past events may not serve as a better indicator for future forecasting as many external factors affect the business transactions of an enterprise which are beyond its control. As such future forecast may not be perfect.

10. Different tools: There are many different tools or techniques available for the analysis of financial statements. Naturally results will vary due to the variance in technique and persons whose skill employed in analysis of financial statements.

OBJECTIVE 12: FINANCIAL STATEMENTS OF A COMPANY – TYPES AND FORMATS

Financial statements are the summarised statements of accounting data. It is prepared at the end of the accounting year. (Its preparation is discussed in detail in Chapter 5, “Accounting Process – Preparation of Final Accounts from Trial Balance”.) Usually a set of financial statements include:

- (i) Balance Sheet
- (ii) Profit and Loss Account
- (iii) Schedule and Notes forming part of Balance Sheet and Profit and Loss Account

These statements are very much useful to investors, lenders, suppliers, trade creditors, customers, consumers, governments and statutory bodies and employees – which had been discussed in the chapter “Final Accounts.”

As per the Companies Act 1956, it is statutory, for the board of directors to attach Annual Report along with Financial Statements.

12.1 Contents of Annual Report

1. A report by the board of directors, which is generally presented at the meeting of the general body of a company, is referred to as Annual Report. It contains:
 - (i) Report in terms of Sec. 217 of the Companies Act
 - (ii) Director’s Responsibility Statement
 - (iii) Report on Corporate Governance
 - (iv) Management discussion and analysis
2. Auditor’s Report (to shareholders)
3. Balance Sheet
4. Profit and Loss Account
5. Notes to Accounts – which usually contains:
 - (i) Accounting policies adopted
 - (ii) Explanatory notes explaining significant transaction and events
 - (iii) Information disclosed in terms of Schedule VI, of the Companies Act
6. Cash Flow Statement
7. Segment Report (segment wise investment and results) [Note: Cash Flow Statement and Segment Report is applicable to listed companies in turnover of Rs 50 crores or companies that accept public deposits of Rs 10 crores or more.] Now we may look into each in detail.

12.2 Report of Board of Directors

Board of Directors of a company will have to prepare a report to be presented at the Annual General Meeting of shareholders of the company. The meeting has to be convened every year. Its main agenda is to approve annual accounts and other related matters of urgent importance. Director's Report must be attached to the Balance Sheet, to be presented before the shareholders at the annual meeting. The board of directors will be required to make a report comprising important contents as stipulated by Sec. 217 of the Companies Act, 1956. Main contents of the report of board of directors are:

- (i) The Statement of Affairs of the Company
- (ii) Provision of Reserves (Amount)
- (iii) Proposed Dividend (Amount)
- (iv) Material Changes and Commitments
- (v) Foreign Exchange Earnings
- (vi) Matters relating to Technology
- (vii) Changes occurred during the accounting period
- (viii) Details of employee's particulars
- (ix) Director's Responsibility Statement through which accounting standards, procedure and accounting policies are explained in detail
- (x) Auditor's Report
- (xi) Report on corporate governance which mainly furnishes information such as the status of the members of the board of directors, position held by each of the directors – whole time, part-time, executive director, various committees, board meetings.
- (xii) Analysis and discussion on structure of the business enterprise.

12.3 Auditor's Report

As an auditor of a company, he has to express his opinion on the annual accounts, in a statement called "Auditor's Report to the Shareholders".

12.3.1 Contents of Auditor's Report

1. True and fair view on the state of Company's affairs for Balance Sheet
2. Profit or Loss for Profit and Loss Account
3. The auditor has to state whether
 - (i) Proper books of accounts have been maintained.
 - (ii) He has got all necessary information in preparing final accounts.
 - (iii) The final accounts are in agreement with the books of accounts and returns.
 - (iv) Audited by others (other than company auditors), for branches have been analysed.
 - (v) The accounting procedures comply with the Accounting Standards.
 - (vi) Any adverse effects have been explicitly conveyed.
 - (vii) Details of CESS payable to Government.
 - (viii) Details of Disqualified Directors are specified.

It is the statutory duty of an auditor to include in his report, a statement on such matters, as may be specified.

12.4 Balance Sheet

As already said, Balance Sheet is a statement of company's asset and liabilities on a particular date. The prescribed form of Balance Sheet is given in Part I of Schedule VI of the Companies Act, 1956. The Act has laid down two forms. They are:

1. Horizontal Form
2. Vertical Form

Horizontal Form of Balance Sheet of Ltd as on

<i>Figures for previous year Rs</i>	<i>Liabilities</i>	<i>Sch. No.</i>	<i>Figures for current year Rs</i>	<i>Figures for previous year Rs</i>	<i>Assets</i>	<i>Sch. No.</i>	<i>Figures for current year Rs</i>
—	1. Share Capital		—	—	1. Fixed Assets		—
—	2. Reserves and Surplus		—	—	2. Investments		—
—	3. Secured Loans		—	—	3. Current Assets, Loans and Advances:		—
—	4. Unsecured Loans		—	—	(a) Current Assets		—
—	5. Current Liabilities and Provisions:		—	—	(b) Loans and Advances		—
—	(a) Current Liabilities		—	—	4. Miscellaneous Expenditures		—
—	(b) Provisions		—	—	5. Profit and Loss Account		—
—			—	—			—

Vertical Form of Balance Sheet of Ltd as on

<i>Particulars</i>	<i>Schedule No.</i>	<i>Figures for the current year Rs</i>	<i>Figures for the previous year Rs</i>
I. Sources of Funds:			
(1) Shareholder's Funds:			
(a) Capital		—	—
(b) Reserves and Surplus		—	—
(2) Loan Funds:			
(a) Secured Loans		—	—
(b) Unsecured Loans		—	—
II. Application of Funds:			
(1) Fixed Assets:			
(a) Gross Block		—	—
(b) Less: Depreciation		—	—
(c) Net Block		—	—
(d) Capital Work in Progress		—	—
(2) Investments			
(3) Current Assets, Loans and Advances:		—	—
(a) Inventories		—	—
(b) Sundry Debtors		—	—
(c) Cash and Bank Balances		—	—
(d) Loans and Advances		—	—

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Particulars	Schedule No.	Figures for the current year Rs	Figures for the previous year Rs
(e) Net Current Assets		—	—
(f) Other Current Assets		—	—
(3) Less: Current Liabilities and Provisions		—	—
(a) Liabilities		—	—
(b) Provisions		—	—
(4) (a) Miscellaneous Expenditure (to the extent not written off or adjusted)		—	—
(b) Profit and Loss Account		—	—
Total		xxx	xxx

Schedule VI, Part I (S. ec. 211) Horizontal Form of Balance Sheet

Balance Sheet of (Here, enter the name of Company) as on.....
(Here, enter the date on which B/S is made of)

Previous year Rs	Liabilities	Fig. for current year	Previous year Rs	Assets	Fig. for current year Rs
	(1) Share Capital			(1) Fixed Assets	
	Authorised: Shares of			[See Note (a)]	
xx	Rs each	xx	xx	1. Goodwill	xx
	Issued: Equity shares of			2. Land	xx
xx	Rs.....each	xx	xx	3. Building	xx
	Preferable shares of			4. Leaseholds	xx
xx	Rs..... each	xx	xx	5. Railway Sidings	xx
	Subscribed: Equity shares			6. Plant and Machinery	xx
xx	of Rs ... each Rs called up	xx	xx	7. Fixtures and Fittings	xx
	Preference shares of			8. Development of	xx
xx	Rs each Rs called	xx	xx	Property	
	Less: Calls unpaid			9. Patents, Trade marks	xx
xx	(i) By Directors	xx	xx	and design	xx
xx	(ii) By Others	xx	xx	10. Livestock	xx
xx	Add: Forfeited shares:	xx		11. Vehicles etc.	
	(a) If the above shares			(2) Investments	
	 shares are allotted as fully			(showing nature of	
	paid pursuant to contract		xx	investments and mode	
	without payments being			of valuation, cost or	xx
	received in cash.			market value)	
	(b) If the above shares			[See note (b)]	
	shares are allotted as fully paid		xx	(3) Current Assets,	
	up by way of bonus shares.			Loans and Advances	

<i>Previous year Rs</i>	<i>Liabilities</i>	<i>Fig. for current year</i>	<i>Previous year Rs</i>	<i>Assets</i>	<i>Fig. for current year Rs</i>
	(2) Reserves and Surplus			(A) Current Assets	
xx	1. Capital Reserves	xx	xx	1. Interest accrued on investments	xx
xx	2. Capital Redemption Reserve	xx	xx	2. Stores and Spare parts	xx
xx	3. Securities Premium A/c	xx	xx	3. Loose Tools	xx
	4. Other reserves	xx	xx	4. Stock-in-trade	xx
	Less: Debit balance in Profit and Loss A/c, if any	xx		5. Work-in-progress	xx
	5. Surplus in balance in Profit and Loss Account after providing for proposed allocations namely, dividend, bonus or reserves		xx	6. Sundry Debtors (a) Debits o/s for a period exceeding six months (b) Other debits	
xx	6. Proposed additions to reserves	xx		Less: Provision	xx
xx	7. Sinking Funds	xx	xx	7. (a) Cash Balances on hand (b) Bank Balances (i) With Scheduled Banks (ii) With Others	xx xx xx
	(3) Secured Loans			(B) Loans and Advances	
xx	1. Debentures	xx		8. (a) Advances and Loans to Subsidiaries (b) Advances and Loans to partnership firm in which the company or any of its subsidiaries is a partner	xx
xx	2. Loans and Advances from Banks	xx	xx	9. Bills of Exchange	xx
xx	3. Loans and Advances from Subsidiaries		xx	10. Advances recoverable in cash or in kind or for value to be received, i.e. rates, taxes, insurance etc.	xx
xx	4. Other loans and advances			11. Balance with Customs Port Trust etc (where payable on demand)	xx
xx	5. Interest accrued and due on secured loans	xx	xx		
	(4) Unsecured Loans			(4) Miscellaneous Expenditure (to the extent not written off or adjusted)	
xx	1. Fixed deposits	xx		1. Preliminary Expense	xx
xx	2. Loans and Advances from Subsidiaries		xx		
xx	3. Short-term Loans and Advances (a) From Banks (b) From Others	xx xx			
xx	[Short-term loans include those which are due for repayment not later than year as on B/S]	xx	xx		
xx	(4) Other loans and advances (a) From Banks				

(Continued)

(Continued)

Previous year Rs	Liabilities	Fig. for current year	Previous year Rs	Assets	Fig. for current year Rs
xx	(b) From Others	xx		2. Expenses including commission or brokerage on under writing or subscription of shares or debentures	
xx	(5) Current Liabilities and Provisions	x			
	(A) <i>Current Liabilities:</i>				
	1. Acceptances		xx		
xx	2. Sundry Creditors	xx			
xx	3. Subsidiary Companies	xx		3. Discount allowed on issue of shares or debentures	xx
xx	4. Advance Payments and Unexpired discounts for the portion for which value has still to be given, e.g., in the case of following companies; Newspaper, fire insurance theatres, clubs, banking, steamship companies	xx	xx	4. Interest paid out of capital during construction (also stating the rate of interest)	xx
	5. Unclaimed Dividends		xx	5. Development Expenditure not adjusted	xx
xx	6. Other liabilities, if any	xx		6. Other sums (specifying nature)	xx
xx	7. Interest accrued but not due in loans	xx	xx	(5) Profit and Loss Account	xx
	(B) <i>Provisions</i>			(This is shown only when the debit balance could not be written off out of uncommitted reserves)	
	8. Provision for Taxation				
	9. Proposed Dividends				
xx	10. For Contingencies	xx			
xx	11. For Provident Fund Scheme	xx			
xx	12. For insurance, pension and similar staff benefits	xx			
xx	13. Other provisions	xx			
xx	(6) Contingent Liabilities				
xx	[See Note (c)]	xx			
xx		xx			xx

12.4.1 Statutory Contents of a Balance Sheet of a Company

12.4.1.1 Assets Side

The following are the assets under different headings:

- Fixed Assets:** Assets which are used for a long time in the business to earn profit are known as Fixed Assets.
 - Different assets should be shown separately.
 - For every fixed asset, its original cost and the additions there to and deductions there from during the year and the total depreciation provided should be shown. The value of each asset (cost or book value) has to be explained in books of accounts.
- Investments:**
 - Investments are shown after fixed assets. Investments are classified into:
 - Investment in government and trust securities

- (ii) Investment in shares, debentures and bonds of companies
 - (iii) Investment in shares, debentures and bonds of subsidiary companies
 - (iv) Investment in fixed assets
 - (b) Nature and mode of valuation of every investment is to be disclosed.
Nature of investment means fixed asset or current asset.
Mode of valuation means on cost price or market price.
 - (c) Total amount of quoted and unquoted investments and market value of quoted investments must also be shown in the Balance Sheet.
3. *Current Assets, Loans and Advances*: Assets which are likely to be converted into cash within a year from the date of Balance Sheet are called Current Assets. These are divided into two categories. They are – Current Assets and Loans and Advances.
- (A) Current Assets: They are
- (i) Accrued interest on investments
 - (ii) Stores and Spare Parts
 - (iii) Loose Tools
 - (iv) Stock-in-trade
 - (v) Work-in-Progress
 - (vi) Sundry Debtors
 - (a) Debtors more than 6 months old and
 - (b) Other Debtors
- Less*: Provision for Doubtful Debts
Cash and Bank Balance
- (B) Loans and Advances: This includes loan given to different persons, advance against purpose etc. These items are shown under separate sub-headings:
- (i) Loans and advances to subsidiary company
 - (ii) Bills of Exchange
 - (iii) Advances recoverable in cash or in kind or for value to be received, that is, pre-paid rates, taxes etc.
 - (iv) Balance with Customs, Port Trust (Payable on Demand).
4. *Miscellaneous Expenditure*: Expenses, which are not written off to the date of Balance Sheet are called so. They are shown under the head, “Miscellaneous Expenditure” in the Balance Sheet as:
- (i) Preliminary Expenses
 - (ii) Expenses including commission, brokerage, under writing subscription of shares and debentures
 - (iii) Discount allowed on issue of shares/debentures
 - (iv) Interest paid out of capital during construction period of the company
 - (v) Development expenditure (not adjusted)
 - (vi) Other sums, specifying nature

Profit and Loss Account:

- (i) Debit balance of Profit and Loss Account is to be shown on the Assets side of the Balance Sheet.
- (ii) If it has General Reserve, it is shown by deducting from it.

12.4.1.2 Liabilities Side:

Two types of items are shown on the Liabilities side:

Type 1: Items that are related to owner's equity. It includes share capital, reserves and surplus.

Type 2: Items that create the claims of creditors. It includes secured loans, unsecured loans, provisions and current liabilities.

1. *Share Capital:* Under this heading, following sub-headings with details are shown:

- (a) (i) **Authorised Share Capital:** This refers to the total amount of share capital a company is authorised to raise, as per its memorandum of association. It is not added to the liabilities of the company.
- (ii) **Issued Share Capital:** Issued share capital is that part of authorised share capital, which the company has issued for subscription till the date of balance sheet.
It includes a number of classes of shares (equity, preference) and their face value.
- (iii) **Subscribed Share Capital:** This refers to that part of issued share capital, which has been subscribed (along with share value called up).
- (iv) **Paid-up Share Capital:** This refers to that part of issued share capital, which has been paid up by subscribers.
- (b) Information regarding shares allotted other than cash and shares fully allotted by way of bonus shares are to be treated in the form of general reserve, profit and loss account, securities premium account which are also shown.
- (c) Details of each type of shares is given (equity, preference).
- (d) Amount of calls-in arrears is shown as deduction from called up or subscribed capital.
- (e) Amount relating to shares forfeited is shown as Additional Paid-up Capital.
- (f) Profit on re-issue of forfeited shares is transferred to Capital Reserve Account.

2. *Reserves and Surplus:* It includes the following:

- (a) **Capital Reserves:** Profits prior to incorporation, profit on acquisition of business, profit on sale of fixed assets, profit on re-issue of forfeited shares, profit on redemption of debentures.
- (b) **Capital Redemption Reserve Account**
- (c) **Securities Premium Account**
- (d) **Other Reserves (Dividend Equalisation, Special Reserve for Depreciation)**
- (e) **Surplus:** It refers to the credit balance of Profit and Loss Account after appropriations for dividend, bonus, transfer to reserves etc.
- (f) **Proposed additions to reserves**
- (g) **Sinking funds**

3. *Secured Loans:* If any charge is created or mortgaged on all or on any of its properties by way of loan, it is called "Secured Loans." These are depicted in the following order:

- (i) **Debentures**
- (ii) **Loans and advances from Banks**
- (iii) **Loans and advances from Subsidiaries**
- (iv) **Other loans and advances**

4. *Unsecured Loans:* If no security is provided for loans, they are called Unsecured Loans. They are:

- (i) **Fixed Deposits**
- (ii) **Loans and advances from Subsidiaries**
- (iii) **Short-term loans and advances from Banks**
- (iv) **Short-term loans and advances from others**
- (v) **Other loans and advances from Banks**
- (vi) **Other loans and advances from others**

5. *Current Liabilities and Provisions:* These are shown in two parts. They are – Current Liabilities and Provisions.

(A) Current Liabilities: Liabilities which are repayable in a year are called Current Liabilities. They are:

- (i) Bills Payable (Acceptances)
- (ii) Sundry Creditors
- (iii) Subsidiary Companies' balances
- (iv) Advance Payment and Unexpired discounts
- (v) Unclaimed Dividends
- (vi) Other liabilities
- (vii) Interest accrued but not due on loans

(B) Provisions: They represent any amount written or retained by way of providing for depreciation, renewal or diminution in the value of assets or retained by providing for any known liability. If any provision is more than liability, excess is treated as a reserve. Provisions are:

6. *Provision for Taxation*

7. *Proposed dividends*

- (i) Provision for Contingencies
- (ii) Provision for Provident Fund
- (iii) Provision for insurance, pension, similar staff benefit schemes
- (iv) Other provisions

8. *Contingent Liabilities:* These are the liabilities, the existence of which depends on future incident. This is shown in the footnote in the Balance Sheet. They are:

- (i) Claims against the company which are still not accepted by the company
- (ii) Liability for amount uncalled on partly paid shares
- (iii) Arrears of fixed cumulative dividends
- (iv) Estimated amount of incomplete contracts
- (v) Other contingent liabilities: Liability for bill discounted, disputed excise duty claim

The above mentioned items put in the order, on the Assets and Liabilities side of the Balance Sheet in the prescribed format, one can easily understand the Schedule VI, Part Sec. 211 of the Companies Act, 1956.

12.5 Profit and Loss Account

In compliance with the requirements of Part II of Schedule VI, Profit and Loss Account (comprises) is divided into three parts:

- Part I Trading Account
- Part II Profit and Loss Account
- Part III Profit and Loss Appropriation Account

Trading Account is prepared to ascertain gross profit or loss during a year.

Profit and Loss Account is prepared to ascertain net profit or loss during a year.

Profit and Loss Appropriation Account is prepared to know how the net profit has been invested.

12.5.1 Appropriation of Profits

After ascertaining the net profit, then arises the question of distribution of profit, that is, appropriation. Same portion of profit as distributed among shareholders is dividend. Some portion of profit is kept with the company and it is shown on the credit side of Profit and Loss Account. The items that are shown on the debit side:

- (i) Amount transferred to General Reserve Account
- (ii) Amount transferred to Dividend Equalisation Reserve

- (iii) Amount transferred to Debentures Redemption Fund
- (iv) Amount of dividend distributed and proposed
- (v) Balance

The Trial Balance of profit after above appropriations is carried forward to next year's account. This part of Profit and Loss Account is known as Profit and Loss Appropriation Account. This part of the account showing appropriation of profit is also called as "Below the Line" Account. The other part is called as "Above the Line" Account.

Profit and Loss Account may also be preserved both in horizontal as well as vertical forms. But, mostly companies prefer vertical form of presentation of Profit and Loss Account. The most widely used formats are shown here for both horizontal and vertical forms of Profit and Loss Account. A generally adapted format of the Trading and Profit and Loss Account is given below:

Trading and Profit and Loss Account for the year ended

Particulars	Rs	Particulars	Rs
To Opening Stock	—	By Sales	
To Purchases	—	Less: Returns	—
Less: Returns		By Closing Stock	—
To Wages	—		
To Power and Fuel	—		
To Job Work Charges	—		
To Carriage Inwards	—		
To Other Direct Expenses	—		
To Gross Profit c/d	—		
(carried to P and L A/c)			
	xxx		xxx
To Salaries	—	By Gross Profit b/d	—
To Office Rent	—	By Interest	—
To Printing and Stationery	—	By Other Income	—
To Telephone Expenses	—	By Profit on Sale of	—
To Courier Expenses	—	Fixed Assets	
To Internet Charges	—		
To Electricity Charges	—		
To Carriage Outwards	—		
To Advertisement	—		
To Depreciation	—		
To Provision for Doubtful Debts	—		
To Provision for Tax	—		
To Other Indirect Expenses	—		
To Net Profit	—		
	xxx		xxx
To Transfer to:		By Balance b/d	—
General Reserve	—		
Proposed Dividend	—		
To Balance c/d	—		
	xxx		xxx

12.5.2 Profit and Loss Appropriation Account

- *In case of gross loss:* The balance will appear in the Credit side of the Trading A/c and consequently will be carried down to the Debit side of Profit and Loss Account.
- In the same manner, in case of net loss, balance will appear in the Credit of P and L A/c and carried to Debit side of P and L Appropriation.

Trading and Profit and Loss Account may be prepared in a vertical form also. A format of the vertical form is given below:

Trading and Profit and Loss Account for the year ended

Particulars	Rs	Rs
Sales	—	xx
Less: Returns	—	
Less: Cost of Goods Sold	—	
Opening Stock	—	
Purchases (Net)	—	
Wages	—	
Power and Fuel	—	
Job Work Charges	—	
Carriage Inwards	—	
Other Direct Expenses	—	
Sub-total	—	
Less: Closing Stock	—	—
Gross Profit	—	xxx
Less: Operating Expenses	—	—
Office Expenses	—	
Administrative Expenses	—	
Selling and Distribution Expenses	—	—
Operating Profit	—	xxx
Add: Non-operating Income	—	
Interest	—	
Profit on Sale Fixed Assets	—	—
Less: Non-operating Income	—	
Loss by Fire/Theft	—	—
Net Profit before Interest and Tax	—	xxx
Interests on Loans	—	
Interest on Debentures	—	—
Net Profit before Tax	—	xx
Provision for Tax	—	
Net Profit available for Appropriations	—	xx
Proposed Dividend	—	—
Debenture Redemption Reserve	—	
General Reserve	—	—
Profit and Loss Account	—	xxx

12.6 Notes to Accounts

This is the statement attached to the financial statements (as required in Schedule VI). This contains accounting policies adopted. This gives better insight into company's state of affairs.

12.7 Cash Flow Statement

This is statement indicating the flow of cash (inflow and outflow) during an accounting year. This is discussed in Chapter 17 "Cash Flow Statement."

12.8 Segment Report

- (i) A business concern, may have more than one product and it may operate in different geographical areas.
- (ii) The ICAI has issued an Accounting Standard (AS)-1; on segment reporting, requiring certain enterprises to prepare a report disclosing information as to revenue, assets and capital expenditure for each segment (product or geographic area). This report is known as "Segment Report."
- (iii) A business segment relating to products or services are a geographical segment relating to different geographical areas (economic environment) are prepared to expose risks and returns involved.
- (iv) Following are some of the important terms associated with Segment Report:
 - a Segment Revenue
 - b Segment Expenses
 - c Segment Results
 - d Segment Liabilities
 - e Segment Accounting Policies

Illustration: 7

The Profit and Loss Accounts of Star and Co. for the years ended March 31, 2008 and 2009 are:

Particulars	2008 Rs	2009 Rs
Net Sales	4,85,000	4,25,000
Cost of Goods Sold	2,60,000	2,45,000
Gross Profit	2,25,000	1,80,000
Operating Expenses	60,000	45,000
Net Profit	1,65,000	1,35,000

You are required to prepare a Comparative Profit and Loss Account.

Solution

Comparative Profit and Loss Statement

Particulars	2008 Rs	2009 Rs	Absolute Change Rs	Percentage Change%
Net Sales	4,85,000	4,25,000	(60,000)	12.37
Less: Cost of Goods Sold	2,60,000	2,45,000	(15,000)	5.76
Gross Profit	2,25,000	1,80,000	(45,000)	20
Less: Operating Expenses	60,000	45,000	(15,000)	25
Net Profit	1,65,000	1,35,000	(30,000)	18.18

Comment: Results are negative, i.e. decrease in all items.

- (i) Net sales declined by Rs 60,000 (absolute change) and 12.37% (percentage change).
- (ii) Cost of goods sold declined by Rs 15,000 (absolute change) and 5.76% (percentage change).
- (iii) Gross profit is declined by Rs 45,000 and 20%.
- (iv) Operating expenses are also declined by Rs 15,000 and 25%.
- (v) Net Profit is declined by Rs 30,000 and 18.18%.

Working Notes

- (i) Net sales: $\text{Change/Base} \times 100 = 60,000/4,85,000 \times 100 = 12.37\%$
- (ii) Cost of goods sold = $15,000/2,60,000 \times 100 = 5.76\%$
- (iii) Gross profit = $45,000/2,25,000 \times 100 = 20\%$
- (iv) Operating expenses = $15,000/60,000 \times 100 = 25\%$
- (v) Net profit = $30,000/1,65,000 \times 100 = 18.18\%$

Illustration: 8

From the following data, prepare a Statement of Profit in the Comparative Form:

Particulars	2008 Rs	2009 Rs
Sales	4,00,000	4,00,000
Gross Profit Ratio	30%	40%
Administrative Expenses	25,000	50,000
Income Tax	50%	50%

Solution

Step 1: (i) Calculation of Cost of Goods Sold: For the year 2008

Sales – Cost of Goods Sold = Gross Profit

$100\% - \text{C.G.S.} = 30\%$ (Given)

Hence cost of goods sold: $100\% - 30\% = 70\%$

70% of Rs 4,00,000 = Rs 2,80,000

(ii) For the year 2009

$\text{C.G.S.} = 100\% - 40\% = 60\%$ (Given)

60% of Rs 4,00,000 = Rs 2,40,000

Step 2: (i) Calculation of Tax: For the year 2008

Net Profit = Rs 95,000

50% = Rs 47,500

(ii) For the year 2009

50% of Rs 1,10,000 = Rs 55,000

Step 3: Percentage, absolute change is to be calculated as in the previous illustration and tabulated as:

Particulars	31.12.2008 Rs	31.12.2009 Rs	Absolute Change Rs	Percentage Change
Sales	4,00,000	4,00,000	—	—
Less: Cost of Goods Sold	<u>2,80,000</u>	<u>2,40,000</u>	<u>(40,000)</u>	<u>(14.28)</u>
Gross Profit	1,20,000	1,60,000	40,000	33.33
Less: Administrative Expenses	<u>25,000</u>	<u>50,000</u>	<u>25,000</u>	<u>100</u>
Net Profit	95,000	1,10,000	15,000	15.78
Less: Income Tax @ 50%	<u>47,500</u>	<u>55,000</u>	<u>7,500</u>	<u>15.78</u>
Net Profit After Tax	47,500	55,000	7,500	15.78

Comment: (i) Cost of goods declined by Rs 40,000 and 14.28%.
(ii) All the other items reflect a positive trend and an upward increase.

Illustration: 9

Prepare a Comparative Income Statement of Exe Ltd from the following information:

Particulars	2008	2009
Sales	Rs 2,00,000	Rs 4,00,000
Cost of Goods Sold	60% of Sales	70% of Sales
Indirect Expenses	10% of Gross Profit	
Rate of Income Tax	50% of Net Profit before Tax	

Solution

Comparative Income Statement

Particulars	2008 Rs	2009 Rs	Absolute Change Rs	Change in Percentage %
Sales	2,00,000	4,00,000	2,00,000	100
Less: Cost of Goods Sold	1,20,000	2,80,000	1,60,000	133.3
60% of Sales (2008) and 70% of Sales (2009)				
Gross Profit	80,000	1,20,000	40,000	50
Less: Indirect Expenses (10% of Gross Profit)	8,000	12,000	4,000	50
Net Profit before Tax (NPBT)	72,000	1,08,000	36,000	50
Less: Income Tax (50% NPBT)	36,000	54,000	18,000	50
Net Profit after Tax	36,000	54,000	18,000	50

Comment

- Sales are increased by 100%.
- Cost of goods sold increased by 133.3%.
- All the other factors are increased by 50%.
- In general, there is a positive development but steps should be taken to decrease the cost of goods sold.

Illustration: 10

Prepare a common size Balance Sheet and pass your comments based on the results of analysis from the following extracts of balance sheets of A Ltd and B Ltd as on December 31, 2009.

Liabilities	A Ltd Rs	B Ltd Rs	Assets	A Ltd Rs	B Ltd Rs
Share Capital	18,00,000	24,00,000	Fixed Assets	20,00,000	32,00,000
Reserves & Surplus	8,00,000	7,00,000	Current Assets	10,00,000	4,00,000
Current Liabilities	4,00,000	5,00,000			
	30,00,000	36,00,000		30,00,000	36,00,000

Solution**Step 1:** For A Ltd:

(i) Percentage for Fixed Assets:

$$\text{Fixed Assets/Total Assets} \times 100 = 20,00,000/(20,00,000 + 10,00,000) \times 100 = 66.67\%$$

(ii) For Current Assets = (Percentage to Total Assets)

$$\text{Current Assets/Total Assets} \times 100 = 10,00,000/30,00,000 \times 100 = 33.33\%$$

Step 2: For B Ltd:

(i) Fixed Assets (Percentage to Total):

$$32,00,000/36,00,000 \times 100 = 88.88\%$$

(ii) Current Assets (Percentage):

$$4,00,000/36,00,000 \times 100 = 11.12\%$$

Step 3: For A Ltd (Liabilities);(i) Share Capital: $18,00,000/30,00,000$
 $\times 100 = 60\%$;(ii) Reserves and Surplus: $8,00,000/30,00,000$
 $\times 100 = 26.67\%$;(iii) Current Liabilities: $4,00,000/30,00,000$
 $\times 100 = 13.33\%$;**For B Ltd**(i) $24,00,000/36,00,000 \times 100 = 66.67\%$ (ii) $7,00,000/36,00,000 \times 100 = 19.44\%$ (iii) $5,00,000/36,00,000 \times 100 = 13.89\%$ **Step 4:** These results are to be represented in the tabular form as below:**Common Size Balance Sheet of A Ltd and B Ltd as on December 31, 2009**

Particulars	A Ltd		B Ltd	
	Amount Rs	Percentage to Total %	Amount Rs	Percentage to Total %
Assets:				
Fixed Assets	20,00,000	66.67	32,00,000	88.88
Current Assets	10,00,000	33.33	4,00,000	11.12
Total Assets	<u>30,00,000</u>	<u>100</u>	<u>36,00,000</u>	<u>100</u>
Liabilities:				
Share Capital	18,00,000	60	24,00,000	66.67
Reserves and Surplus	8,00,000	26.67	7,00,000	19.44
Current Liabilities	<u>4,00,000</u>	<u>13.33</u>	<u>5,00,000</u>	<u>13.89</u>
Total Liabilities	<u>30,00,000</u>	<u>100</u>	<u>36,00,000</u>	<u>100</u>

Comments

1. The short-term financial position of A Ltd is better than B Ltd.
2. Working Capital of A Ltd is positive because
Current Assets > Current Liabilities
 $33.33\% > 13.33\%$
3. Working Capital of B Ltd is negative because
Current Assets < Current Liabilities
 $11.12\% < 13.89\%$
4. B Ltd's investment in Fixed Assets is more than that of A Ltd.
5. In total, financial position of A Ltd is better than B Ltd.

Illustration: 11

Alternative method: Preparation of Comparative Balance Sheet

Prepare Comparative Balance Sheet of ABC Ltd. from the following information.

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Share Capital	15,00,000	18,00,000	Fixed Assets	24,90,000	23,10,000
Reserves	3,00,000	4,50,000	Current Assets	13,20,000	16,50,000
Loans	8,40,000	6,00,000			
Current Liabilities	11,70,000	11,10,000			
	<u>38,10,000</u>	<u>39,60,000</u>		<u>38,10,000</u>	<u>39,60,000</u>

Solution

**Comparative Balance Sheet of ABC Ltd.
For the Years as on 2008 and 2009**

Particulars	2008 Rs	2009 Rs	Absolute Change Rs	Proper Change %
A. Fixed Assets	<u>24,90,000</u>	<u>23,10,000</u>	<u>1,80,000</u>	<u>7.22</u>
B. Working Capital:				
Current Assets	13,20,000	16,50,000	3,30,000	25
Less: Current Liabilities	<u>11,70,000</u>	<u>11,10,000</u>	<u>(60,000)</u>	<u>(5.12)</u>
C. Capital Employed (A + B)	<u>1,50,000</u>	<u>5,40,000</u>	<u>3,90,000</u>	<u>260</u>
(Fixed Assets + Working Capital)				
	26,40,000	28,50,000	2,10,000	7.9
D. Less: Loans	<u>8,40,000</u>	<u>6,00,000</u>	<u>(2,40,000)</u>	<u>(28.57)</u>
E. Shareholders Fund (C – D)	<u>18,00,000</u>	<u>22,50,000</u>	<u>4,50,000</u>	<u>25</u>
Represented by				
(i) F: Share Capital				
+				
(ii) G: Reserves and Surplus	15,00,000	18,00,000	3,00,000	20
	<u>3,00,000</u>	<u>4,50,000</u>	<u>1,50,000</u>	<u>50</u>
	<u>18,00,000</u>	<u>22,50,000</u>	<u>4,50,000</u>	<u>25</u>

Summary

- Analysis of Financial Statement is a process of establishing relationship between the factors in final statements of the firms.
- Techniques or tools of Financial Statement Analysis: (1) Comparative Financial Statements (2) Common Size Financial Statements (3) Trend Percentage (4) Ratio Analysis (5) Cash Flow Statement.
- Types of Financial Statement Analysis: (1) On the basis of materials used (2) On the basis of Modus Operandi and (3) On the basis of objectives of analysis.
- Process of Financial Statement Analysis: (1) Re-arrangements of Financial Statement (2) Comparison (3) Analysis and (4) Interpretation.
- Objectives of Financial Analysis: (1) To assess the financial stability (2) To determine solvency (3) To determine profitability (4) Inter and Intra-firm Comparison (5) To forecast and planning.
- Uses of Financial Analysis: Analysis of security, credit, debit, general business and decision making.
- Users or parties interested in Financial Statement Analysis: (1) Investors (2) Management (3) Employees (4) Creditors (5) Lenders (6) Government Agencies.
- Limitations of Financial Statement Analysis: (1) Historical (2) Ignores price level changes (3) Bias (4) Manipulation (5) Not comparable (6) Lack of accuracy (7) Different Accounting policies and procedures (8) Different interpretations.
- Financial statements of a Company registered under the Companies Act, 1956 – Format and details.

Key Terms

Annual Report: A combination of financial statements, management discussion, analysis, graphs and charts provided periodically to shareholders.

Balance Sheet: A statement showing the financial position of a business enterprise on a particular date.

Common Size Statements: Financial statements expressed in component percentages.

Financial Statement Analysis: Analysis of financial statements to assess the firms viability.

Income Statement: A consolidated account (report) of all revenues and expenses for a specific period.

Solvency: A firm's ability to meet its financial obligation (on the maturity date) as they become due.

Time series: Comparison of firm's financial ratios with its own previous year's ratios.

Trend Ratios: Index numbers of the movements of the various items in the financial statements for a number of periods.

References

Horngreen Sundem & Elliott, "Introduction to Financial Accounting", Pearson Education, 2004, New Delhi.
White Gerald I, "Analysis and Use of Financial Statements", John Wiley & Sons, 1998, New York.

Helbert E.A., "Technique of Financial Analysis", Richard D. Irwin, Hamewood 911, 1972.

A Objective-type Questions

I State whether the following statements are True or False

1. Financial statement analysis is a study of various financial factors in the financial statements.
2. Only income statement can be prepared in the form of Comparative Financial Statements.
3. Common size financial statements express all figures, a financial statement as percentage of some common base.
4. Calculation of percentage relationship that each item bears to the same item in the base year is known as Trend Percentages.
5. Ratio Analysis expresses the relationship between income statement and position statement.
6. Cash Flow Statement shows the changes in cash position from one period to another.
7. Horizontal method of financial analysis is made to review and analyse the financial statements of one particular year only.

8. Vertical method of financial analysis is made to review and analyse the financial statements of a number of years.
9. Financial statement analysis is a historical analysis.
10. Analysis of data for several years is known as Time Series Analysis.

II Fill in the blanks with appropriate word(s)

1. Balance Sheet and _____ can be prepared in the form of Comparative Financial Statements.
2. Common size financial statements express all figures of a financial statement as _____ of some common base.
3. Each item of the base year is taken as _____ and on that basis Trend percentages is calculated.
4. Ratio analysis involves the calculation of _____ between two components in financial statements.
5. Cash Flow Statement shows the sources from which cash in _____ and the purposes from which it was _____.
6. Horizontal Analysis shows the comparison of data for several years against a chosen _____ year.

Answers

- | | | |
|----------|----------|---------|
| 1. True | 2. False | 3. True |
| 4. True | 5. False | 6. True |
| 7. False | 8. False | 9. True |
| 10. True | | |

7. Vertical analysis is made to review and analyse the financial statements of _____ accounting period.
8. Comparison of financial variables of a firm over a period of time is known as _____.
9. In case if financial statements of two firms are compared, it is referred to as _____ analysis.
10. Percentage Change = _____ / Previous year figure $\times 100$.

Answers

1. Profit and Loss Account (or) Income Statements
2. Percentage
3. 100
4. Ratio
5. Received; spent (or) used
6. Base
7. One
8. Trend Analysis or Time Series
9. Cross section
10. Absolute change

B Short Answer-type Questions

1. What is meant by Financial Statement Analysis?
2. Name the tools (techniques) for analysis of financial statement analysis.
3. What is meant by Comparative Financial Statement?
4. What do you mean by Common Size Financial Statement?
5. Explain the term: "Trend Percentages."
6. What is Ratio Analysis?
7. What is meant by Cash Flow Statement?
8. What is Cross sectional analysis?
9. Explain: "Time Series Analysis."
10. What is meant by Horizontal Analysis?
11. What is Vertical Analysis?
12. Distinguish between horizontal analysis and vertical analysis.
13. Distinguish between inter-firm analysis and intra-firm analysis.
14. What are the objectives of Analysis of Financial Statements?
15. Explain the significance of Financial Analysis.
16. Mention any four advantages of financial statement analysis.
17. Mention any four limitations of financial statement analysis.
18. Who are interested in the analysis of financial statement?
19. What is meant by Comparative Balance Sheet?
20. What are the advantages of Comparative Balance Sheet?
21. What are the objectives of Comparative Financial Statement?
22. What is meant by Comparative Income Statement?
23. What are the objectives of Comparative Income Statements?
24. What are "Operating Expenses"? Give examples.
25. What do you mean by "Operating Revenue"? Give few examples.
26. Explain "Non-operating Income" with examples.
27. Explain "Non-operating Expense" with examples.
28. What do you mean by "Common Size Statement"?
29. Explain the term "Trend Percentage."

C Essay-type Questions

1. Define Financial Statement Analysis. What are the objectives? Explain the advantages and limitations of analysis of financial statements?
2. Explain in detail how is it useful for various parties.
3. Explain the various financial statement analysis techniques.
4. What is a Comparative Balance Sheet? What are its objectives and advantages? Explain the procedure to prepare Comparative Balance Sheet.
5. What is a Comparative Income Statement? Explain the method of preparation.
6. Explain Trend Ratio. Explain its features. What are its limitations?

D Exercises

1. From the following summarised balance sheets, prepare a Comparative Balance Sheet and comment upon the changes:

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Share Capital	5,56,000	5,66,000	Fixed Assets	7,60,000	8,80,000
Reserves and Surplus	2,400	2,200	Less: Depreciation	76,000	1,64,000
Secured Loans	1,20,000	1,16,000	Net Fixed Assets	6,84,000	6,16,000
Unsecured Loans	2,06,000	2,43,000	Inventories	1,52,400	1,95,200
Sundry Creditors	3,60,000	4,40,000	Sundry Debtors	2,56,000	2,80,000
			Cash and Bank	1,52,000	1,86,000
	<u>12,44,400</u>	<u>13,67,200</u>		<u>12,44,400</u>	<u>13,67,200</u>

2. From the following summarised balance sheets, prepare a Comparative Balance Sheet and comment upon the changes in absolute figures from one period to another.

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Share Capital	10,00,000	15,00,000	Fixed Assets	20,00,000	25,00,000
Reserves and Surplus	5,00,000	5,00,000	Current Assets	8,00,000	10,00,000
Secured Loans	3,00,000	4,00,000			
Unsecured Loans	5,00,000	5,50,000			
Sundry Creditors	5,00,000	5,50,000			
	<u>28,00,000</u>	<u>35,00,000</u>		<u>12,44,400</u>	<u>35,00,000</u>

3. Prepare a Comparative Balance Sheet from the following:

Particulars	2008 Rs	2009 Rs
Assets:		
Fixed Assets	1,00,000	1,20,000
Current Assets	80,000	1,00,000
	<u>1,80,000</u>	<u>2,20,000</u>
Liabilities:		
Share Capital	1,00,000	1,40,000
Reserves	10,000	5,000
Sundry Creditors	70,000	75,000
	<u>1,80,000</u>	<u>2,20,000</u>

4. From the following summarised balance sheets of a company, you are required to prepare Comparative Balance Sheet with comments on changes from one period to another.

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Share Capital	5,00,000	7,50,000	Fixed Assets	8,00,000	7,50,000
Reserves & Surplus	1,00,000	1,25,000	Current Assets	3,50,000	6,25,000
Secured Loans	1,25,000	1,00,000	Preliminary Expenses	50,000	25,000
Unsecured Loans	2,00,000	1,25,000			
Sundry Creditors	1,25,000	1,00,000			
	<u>1,50,000</u>	<u>2,00,000</u>			
	12,00,000	14,00,000		12,00,000	14,00,000

5. Prepare a Comparative Balance Sheet from:

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Share Capital	5,00,000	7,50,000	Fixed Assets	8,00,000	7,50,000
Reserves	1,00,000	1,50,000	Current Assets	3,50,000	6,30,000
10% Debentures	2,00,000	1,00,000	Preliminary Expenses	50,000	20,000
Current Liabilities	1,50,000	2,00,000			
Profit and Loss A/c	<u>2,50,000</u>	<u>2,00,000</u>			
	12,00,000	14,00,000		12,00,000	14,00,000

Model: Comparative Income Statement

6. From the following information, prepare a Comparative Income Statement showing increases, decreases and percentages:

Particulars	2008 Rs	2009 Rs
Sales	1,00,000	1,60,000
Cost of Goods Sold	80,000	1,00,000
Administrative Expenses	5,000	5,000
Selling Expenses	8,000	12,000
Other income	7,000	10,000
Income Tax	10,000	16,000

7. Convert the following income statement into Comparative Income Statement:

Income Statement

Particulars	2008 Rs	2009 Rs
Sales	2,00,000	3,00,000
Cost of Goods Sold	<u>80,000</u>	<u>1,00,000</u>
	1,20,000	2,00,000

Particulars	2008 Rs	2009 Rs
Operating Expenses:		
Selling and Distribution Expenses	50,000	55,000
Administrative Expenses	<u>20,000</u>	<u>25,000</u>
	70,000	80,000
Income from Operation	50,000	1,20,000
Other Expenses	<u>5,000</u>	<u>12,000</u>
Net Income for the year	45,000	1,08,000

8. Convert the following income statement into Comparative Income Statement and in the light of the conditions in 2008, interpret the changes in 2009:

Income Statement

Particulars	2008 Rs	2009 Rs
Gross Sales	2,05,000	3,10,000
Sales Returns	<u>5,000</u>	<u>10,000</u>
Net Sales	2,00,000	3,00,000
Cost of Sales	<u>60,000</u>	<u>90,000</u>
	1,40,000	2,10,000
Operating Expenses:		
Sales Expenses	30,000	45,000
Administrative Expenses	<u>10,000</u>	<u>15,000</u>
Total Expenses	40,000	60,000
Income from Operations	1,00,000	1,50,000
Other income	10,000	15,000
Total Income	1,10,000	1,65,000
Other Expenses	<u>20,000</u>	<u>30,000</u>
Net Income for the year	90,000	1,35,000

9. From the following information, prepare statement of profits in comparative form:

Particulars	2008	2009
Sales	9,00,000	12,00,000
Gross Profit	30%	40%
Office and Administrative Expenses	90,000	1,20,000
Income Tax Rate	50%	50%

10. From the following data, prepare a Comparative Income Statement:

Particulars	2008 Rs	2009 Rs
Purchases	1,20,000	1,50,000
Manufacturing Expenses	12,000	15,000
Stock Adjustment	<u>(-7,000)</u>	<u>(+5,000)</u>
Total	1,25,000	1,70,000
Gross Profit	<u>25,000</u>	<u>34,000</u>
	1,00,000	1,36,000

11. Prepare a Comparative Income Statement from the following data:

Particulars	2008	2009
Sales	Rs 8,00,000	Rs 10,00,000
Cost of Goods Sold	40% of Sales	60% of Sales
Indirect Expenses	60% of Gross Profit	40% of Gross Profit
Income Tax	50% of Net Profit before Tax	50% of Net Profit

Model: Common Size Balance Sheet

12. From the following balance sheets of Rainbow Ltd on March 31, 2009 and 2010, you are required to prepare a Common Size Balance Sheet.

Balance Sheets of Rainbow Ltd as on March 31

Liabilities	2009 Rs	2010 Rs	Assets	2009 Rs	2010 Rs
Current Liabilities	1,50,000	2,50,000	Fixed Assets	2,00,000	3,50,000
Reserves and Surplus	1,00,000	75,000	Current Assets	10,00,000	12,50,000
10% Debentures	3,50,000	4,25,000			
Share Capital	6,00,000	9,00,000			
	<u>12,00,000</u>	<u>16,00,000</u>		<u>12,00,000</u>	<u>16,00,000</u>

13. Prepare a Common Size Balance Sheet from the following balance sheets of Ajay Ltd & Vijay Ltd as on December 31, 2009:

Liabilities	Ajay Ltd Rs	Vijay Ltd Rs	Assets	Ajay Ltd Rs	Vijay Ltd Rs
Share Capital	5,00,000	7,50,000	Fixed Assets	6,00,000	10,50,000
Reserves & Surplus	2,00,000	1,50,000	Current Assets	3,00,000	1,50,000
Current Liabilities	2,00,000	3,00,000			
	<u>9,00,000</u>	<u>12,00,000</u>		<u>9,00,000</u>	<u>12,00,000</u>

Model: Common Size Income Statement

14. From the following, prepare a Common Size Income Statement:

Particulars	Year I Rs	Year II Rs
Sales	6,00,000	10,00,000
Cost of Goods Sold	4,00,000	6,00,000
Selling and Distribution Expenses	40,000	80,000
Interest on Loan	60,000	60,000
Income Tax	25,000	20,000

15. You are required to prepare a Common Size Income Statement from the following data:

Particulars	Year I Rs	Year II Rs
Sales	16,00,000	2,00,000
Cost of Goods Sold	9,60,000	10,20,000
Administrative Expenses	1,28,000	1,60,000
Selling and Distribution Expenses	64,000	80,000
Interest on Loan	85,000	85,000
Income Tax	42,000	40,000

16. From the following information extracted from the balance sheets of V.R.S. Ltd, of four previous years, you are required to compute the Trend percentage taking 2005–06 as the base year:

[Rs in 000's]

Particulars	2005–06 Rs	2006–07 Rs	2007–08 Rs	2008–09 Rs
Current Assets:				
Cash	450	500	800	750
Bank	700	820	580	690
Debtors	1,000	1,100	1,300	3,000
Fixed Assets:				
Building	2,500	3,100	3,100	3,100
Plant and Machinery	5,000	6,000	7,000	8,000
	<u>9,650</u>	<u>11,530</u>	<u>12,780</u>	<u>15,540</u>

Accounting Ratios

Chapter

16

LEARNING OBJECTIVES

After studying this chapter, you would be able to understand

- | | |
|--|--|
| 1. Meaning of Ratio and Ratio Analysis | 6. Liquidity Ratios – Computations |
| 2. Objective of Ratio Analysis | 7. Solvency Ratios – Computations |
| 3. Advantages and Uses of Ratio Analysis | 8. Profitability Ratios – Computations |
| 4. Limitations of Ratio Analysis | 9. Activity Ratios – Computations |
| 5. Classification of Ratios | 10. Ratios |

INTRODUCTION

Usually the accounting goal in preparing financial statements is to provide valuable information to its different types of users. They mainly concentrate on collecting financial data and preparing financial statements – Balance Sheet and Income Statement. These statements provide only certain figures for its components. In order to make the information more useful, these financial statements are analysed by applying different techniques. One such technique or tool employed for analysing financial statements is “Ratio Analysis”, the corner stone of financial analysis is the use of ratios. As ratios capture critical dimension of the economic performance of business entities, the study of ratio analysis has gained much importance now-a-days. Numbers depicted in financial statements are hard to understand out of context. For example, “Profit Rs 2,50,000” – shown in income statement cannot reveal the exact real meaning unless it is analysed with other items (components), that is, how much capital is employed to achieve this profit. Likewise, this may be analysed by comparing with other components – sales, total assets, selling expenses, administration expenses and so on. Role of ratio analysis is vital, in such scenario. A financial ratio is computed by dividing one number (component/item) by another number. For a set of financial statements, a number of ratios can be computed. Only such ratio analysis can help give true meaning to the numbers in the Balance Sheet as well as income statements. The basic financial ratios help us to put numbers in perspective. By relating one part of the financial statements to another, they facilitate to answer a number of questions. In this chapter, important ratios, namely Liquidity Ratios, Solvency Ratios, Activity Ratios and Profitability Ratios are dealt with in analysis of financial statements.

OBJECTIVE 1: MEANING OF RATIO ANALYSIS – A SYSTEMATIC USE OF RATIOS TO INTERPRET THE PERFORMANCE OF ENTITIES

1.1 Meaning of Ratio and Ratio Analysis

A “Ratio” is described as arithmetical expression of relationship between two related items. Here, items represent the various components that constitute the financial statements. As these components have cause and effect relationship, arithmetical relationship between such components attains much significance. Accounting Ratios are nothing but ratios that are compared on the basis of accounting information provided by financial statements.

Ratio Analysis is a tool or technique employed to analyse the financial statements. Ratio Analysis is a process of interpreting relationship between the components (item) of financial statements thereby extending a meaningful information about business entities. Ratio Analysis is an accounting tool utilised in analysis, interpreting the various items in financial statements and reporting in understandable terms to its users. Myers explained it as, “Ratio Analysis is a study of relationship among various financial factors in a business”.

Ratio Analysis is a systematic use of ratios to interpret the financial statements in order to determine the performance and financial condition of the business enterprises. The term Accounting Ratios refers to the numerical relationship between two components/items/variables of the financial statements. This relationship can be expressed as

- (i) Proportion say, for example the relationship between two variables – current assets and current liabilities (assuming current assets of Rs 1,50,000 and current liabilities of Rs 50,000).

$$\text{Current assets/Current liabilities} = \text{Rs } 1,50,000/\text{Rs } 50,000 = 3:1.$$

The relationship between two variables is expressed in the ratio form as 3:1 (proportion of numbers).
- (ii) The relationship can be expressed in terms of percentage say, net profits are 20 percent of sales (assuming net profit of Rs 20,000 and sales of Rs 1,00,000).

$$\text{Net Profit/Sale} \times 100 = \text{Rs } 20,000/\text{Rs } 1,00,000 \times 100 = 20\%$$

(or)
- (iii) The same relationship can be expressed in fraction:

$$\text{Net Profit is } 1/5^{\text{th}} \text{ of Sale} = 20,000/1,00,000 = 1/5 \text{ (or) } 0.2$$

(or)
- (iv) The relationship can be expressed in “a number of times” – say the relationship between two items, net sales and current assets (assuming net sales of current assets turnover ratio) = Net Sales/Current Assets = 1,00,000/20,000 is expressed in “a number of times” as 5.

These alternative methods of expressing variables which are related to each other (interdependent) are referred to as Ratio Analysis. Such analysis facilitates to make better decisions on the overall performance of business organisations.

1.2 Ratio Analysis

The main objectives are:

- (i) To judge the earning capacity of enterprises
- (ii) To ascertain the financial position (liquidity and solvency) and
- (iii) To determine the operating efficiency of business entities.

One would be able to understand broad objectives from the advantages of Ratio Analysis.

OBJECTIVE 2: ADVANTAGES AND USES OF RATIO ANALYSIS

1. Effective Tool in Analysis of Financial Statements: Final accounts of any enterprise is analysed by means of ratios, thereby all of them – bankers, investors, creditors etc., are in a position to understand the financial position of such enterprises.

2. Easy and Simple in Application: These ratios summarise briefly the results of detailed and complicated accounting computation.

3. Liquidity Position: Ratios are an effective tool in assessing the firm's ability to meet its short-term obligations. Liquidity Ratios play an important role.

4. Long-term Solvency: Ratio Analysis is useful in analysing the long-term financial strengthness of a business entity. Profitability Ratio's role is significant in determining such capacity of a firm.

5. Judging Operating Efficiency: Activity Ratios are very useful in assessing the operating efficiency of a business concern. Sales revenue mobilised by effective utilisation of assets – is best ascertained by using Activity Ratios.

6. Tools for Forecasting: Ratios are very much useful in planning, execution and forecasting of any business related activities. Trend Ratios facilitate these tasks.

7. Overall Profitability: The management of any business enterprise is interested in the overall capability, i.e. (i) ability to meet its short-term and long-term needs to its creditors (ii) to ensure a reasonable return to its owners and (iii) to secure optimum and effective utilisation of the assets of the firm. All the ratios play an effective role in assessing the overall profitability of a concern.

8. Diagnosis and Remedial Measures: Even though the overall profitability is said to be normal, these ratios act effectively in spotting out the weak spots in the business components and suggesting measures to be taken to plug the loop-holes.

9. Intra-firm Comparison: The performance of different units belonging to the same business firm can be easily compared with Ratio Analysis. In an unit of the same firm, progress can be motivated and slackness can be averted by such intra-firm comparisons.

10. Inter-firm Comparison: Comparison of a firm's performance with other business firms is called inter-firm comparison. Such comparison exposes a firm's position against its competitors. Adverse results will help to rectify and modify its planning to achieve the desired results in the industry.

11. Trend Analysis: To sail among the other industries, to know the direction of movement, this trend analysis can render the necessary assistance.

OBJECTIVE 3: LIMITATIONS OF RATIO ANALYSIS

1. Results not Reliable: Reliability of ratio and its analysis depends on the correctness of financial statements. So the results obtained on the basis of any defective financial statements may also be not reliable.

2. Difficulty in Comparison: Various firms may adopt different procedures for the various activities of the enterprise. Differences may be due to

- (i) Method of inventory valuation (First-In-First-Out (FIFO), Last-In-First-Out (LIFO) etc.)
- (ii) Method of computing depreciation (WDV, Straight Line)
- (iii) Working life of assets estimation
- (iv) Amortisation of intangible assets (goodwill, patents)
- (v) Capitalisation of certain items
- (vi) Treatment of extraordinary items etc.
- (vii) Different accounting period, procedures

Due to such variations among the industries, comparisons may not be easy, reliable and accurate.

3. Price Level Changes: Frequent changes in price level will affect the compatibility of ratios. At times of inflation, such comparison will not yield the desired results.

4. Different Concepts: There are always different opinions about accounting concepts and computation techniques of various ratios. This conceptual diversity affects the effectiveness of Ratio Analysis. Different meanings and different approaches affect comparison.

5. Not Qualitative Analysis: As Accounting Ratios are tools of quantitative analysis, qualitative factors are ignored or over-riden.

6. Window Dressing: Manipulation of values are always in practice by concealing the real facts. Ratios are affected by window dressing of figures.

7. Not a Standard Yardstick: There is no standard ratio in practice to compare any of the components of business enterprise. It is difficult to evolve a common standard ratio, which is acceptable by all and at all times.

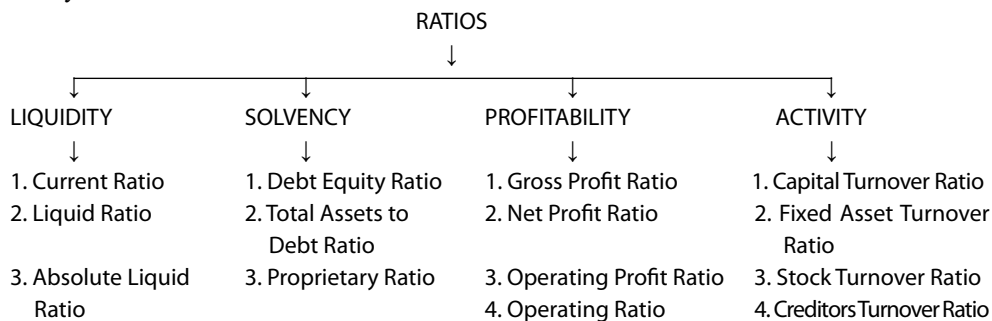
8. Insignificant Factors: Even if the figures of a business entity are not really significant, Accounting Ratios are computed. Such ratios may not be of much use for any financial analyst.

9. Personal Bias: While preparing financial statements, personal judgment plays a crucial role and as such these ratios are also not free from this limitation. So, such conclusions based on personal bias will be a standard one.

OBJECTIVE 4: CLASSIFICATION OF RATIOS OR TYPES OF RATIOS

Ratios may be classified as:

- Liquidity Ratios (Short-term solvency)
- Solvency Ratios
- Profitability Ratios
- Activity Ratios



OBJECTIVE 5: LIQUIDITY RATIOS

These ratios measure the short-term solvency of a concern. These ratios measure the firm's ability to pay off current dues (i.e., repayable in a year). In other words, liquidity means the ability to meet short-term obligations. (A liquid asset is one that can very easily be converted in to assets.) Liquidity Ratios may further be classified as:

- Current Ratio
- Liquid Ratio
- Absolute Liquid Ratio

5.1 Current Ratio – Relationship of Current Assets to Current Liabilities

- (i) The relationship of current assets to current liabilities is termed as "Current Ratio".
- (ii) Short-term financial position is assessed by computing this ratio.
- (iii) Current Ratio serves also as an indicator to assess short-term obligations of a concern.
- (iv) This is calculated at a particular date and NOT for a particular PERIOD.
- (v) The ratio is computed as: $\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$.
- (vi) Current Assets: The assets, which are in the form of cash or cash equivalents or can be converted into cash in a short time are current assets. These are
 - (a) Cash and Bank balance
 - (b) Sundry debtors (after deducting provision)
 - (c) Bills receivable (after deducting provision)

- (d) Stock
 - (e) Short-term investment
 - (f) Marketable securities
 - (g) Prepaid expenses
 - (h) Advance payment
- (vii) Current Liabilities: Liabilities, which are repayable in short time. These are:
- (a) Sundry creditors
 - (b) Bills payable
 - (c) Overdraft (Bank/Bills)
 - (d) Short-term loans
 - (e) Outstanding expenses
 - (f) Provision for Tax
 - (g) Unclaimed Dividend
- (viii) Any enterprise should have a reasonable Current Ratio, satisfactory level is 2:1. A higher ratio indicates poor investment policy, and a lower ratio reveals lack of liquidity and shortage of working capital.
- (ix) The excess of current assets over current liabilities is known as working capital.

Computation of Current Ratio

Illustration: 1

From the following, compute Current Ratio.

	Rs
Stock	36,500
Sundry Debtors	63,500
Cash-in-hand and Cash in Bank	10,000
Bills Receivable	9,000
Short-term Investments	30,000
Prepaid Expenses	1,000
Bank Overdraft	20,000
Sundry Creditors	25,000
Bills Payable	16,000
Outstanding Expenses	14,000

Solution

Step 1: Students have to classify and list out the Current Assets. They are: Stock, Sundry Debtors, Cash-in-hand/Bank, Bills Receivable, Short-term Investments, Prepaid Expenses.

Step 2: Value of all these Current Assets have to be added and total value of Current Assets is calculated.

Step 3: Now, Current Liabilities have to be sorted out. They are: Bank Overdraft, Sundry Creditors, Bills Payable and Outstanding Expenses.

Step 4: Value of all these Current Liabilities have to be added together and total value of Current Liabilities is arrived at.

Step 5: $\text{Current Assets/Current Liabilities} = \text{Current Ratio}$

(a) Total value computed as in Step 2 and Step 4 to be taken into account.

Here, value of Current Assets = Rs 1,50,000

Current Liabilities = Rs 75,000

Current Ratio = Rs 1,50,000/Rs 75,000

= 2:1

Step 6: Conclusion: Current Ratio is at normal level.

Computation of Current Ratio from Balance Sheet**Illustration: 2**

From this Balance Sheet of Prasad and Co. Ltd, compute the Current Ratio.

Balance Sheet as on Mar 31, 2006

Liabilities	Rs	Assets	Rs
Share Capital	35,000	Fixed Assets	30,000
Profit and Loss A/c	10,000	Stock	12,000
Bank Overdraft	7,000	Debtors	7,500
Sundry Creditors	8,000	Cash	10,500
	60,000		60,000

Solution

Step 1: Total value of all Current Assets have to be calculated first.

Step 2: Here, if Balance Sheet is given, students have to pick up from the assets side, items belonging to current assets.

Step 3: Here, except Fixed Assets, all the other items, that is, Stock, Debtors and Cash are Current Assets. Its total value = Rs 12,000 + Rs 7,500 + Rs 10,500 = Rs 30,000/-

Step 4: Next step is to pick up the Current Liabilities alone from the Liabilities side of the Balance Sheet. Here Bank Overdraft and Creditors are Current Liabilities. Its total value = Rs 7000 + Rs 8000 = Rs 15,000

Step 5: Current Ratio: Current Assets/Current Liabilities
 = 30,000/15,000
 = 2:1

Step 6: Conclusion: The Current Ratio is at normal level.

Current Ratio from Working Capital**Illustration: 3**

From the following, calculate the Current Ratio.

	Rs
Liquid Assets	: 40,000
Stock	: 30,000
Prepaid Expenses	: 10,000
Debtors	: 20,000
Working Capital	: 75,000

Solution

Here, working capital is given.

Step 1: So, students have to find out the value of Current Liabilities by using the formula:

(As Working Capital = Current Assets – Current Liabilities)

Current Liabilities = Current Assets – Working Capital

Value of Current Assets = Liquid Assets + Stock Debtors + Prepaid Expenses

= Rs 40,000 + Rs 30,000 + Rs 20,000 + Rs 10,000 = Rs 1,00,000

Step 2: Current Liabilities = Current Assets – Working Capital
 = Rs 1,00,000 – Rs 75,000 (given)
 = Rs 25,000

Step 3: Current Ratio = Current Assets/Current Liabilities
 = 1,00,000/25,000
 = 4:1

Step 4: Conclusion: Current Ratio is at a higher level. It indicates poor investment policy of the concern, as huge amount of assets lie idle.

Current Ratio from Capital Employed

Illustration: 4

A company has Total Assets of Rs 3,00,000, Fixed Assets: Rs 1,50,000, Capital Employed: Rs 2,70,000. Calculate the Current Ratio.

Solution

Step 1: Total assets and fixed assets are given. So Current Assets have to be worked out.

$$\begin{aligned}\text{Current Assets} &= \text{Total Assets} - \text{Fixed Assets} \\ &= \text{Rs } 3,00,000 - \text{Rs } 1,50,000 \\ &= \text{Rs } 1,50,000\end{aligned}$$

Step 2: From the value of capital employed and total assets, Current Liabilities have to be computed.

$$\begin{aligned}\text{Current Liabilities} &= \text{Total Assets} - \text{Capital Employed} \\ &= \text{Rs } 3,00,000 - \text{Rs } 2,70,000 \\ &= \text{Rs } 30,000\end{aligned}$$

Step 3: Current Ratio = Current Assets/Current Liabilities
 = 1,50,000/30,000
 = 5:1

Step 4: Conclusion: Current Ratio is 5:1. It is above normal level.

Current Ratio from Debts

Illustration: 5

Calculate Current Ratio from the following:

	Rs
Working Capital	: 80,000
Total Debt	: 60,000
Long-term Debt	: 40,000

Solution

Step 1: Value of current liabilities is to be calculated first, if these datas alone are given.

$$\begin{aligned}\text{Current Liabilities} &= \text{Total Debt} - \text{Long-term Debt} \\ &\text{(i.e., Short-term Debt)} \\ &= \text{Rs } 60,000 - \text{Rs } 40,000 \\ &= \text{Rs } 20,000\end{aligned}$$

Step 2: Next step is to find the value of Current Assets.

$$\begin{aligned}\text{Current Assets} &= \text{Working Capital} + \text{Current Liabilities} \\ &= \text{Rs } 80,000 + \text{Rs } 20,000 \\ &= \text{Rs } 1,00,000\end{aligned}$$

Step 3: Current Ratio = Current Assets/Current Liabilities

$$= 1,00,000/20,000$$

$$= 5:1$$

Step 4: Current Ratio is at a higher level.

Treatment of Value of Goods Purchased

Illustration: 6

A company has Current Assets of Rs 2,50,000 and Current Liabilities Rs 1,50,000. Afterwards it purchased goods for Rs 50,000 on credit. Calculate Current Ratio after the purchase.

Solution

Note: Value of Current Assets and Current Liabilities, value of goods purchased are given.

* Value of goods purchased is on credit.

Important: So, it comes under both Current Assets and Current Liabilities.

* So, this value has to be added with liabilities and assets.

So Current Assets = Rs 2,50,000 + Rs 50,000

Current Liabilities = Rs 1,50,000 + Rs 50,000

$$\text{Current Ratio} = 3,00,000/2,00,000$$

$$= 3:2$$

Treatment of Creditors

Illustration: 7

Current Liabilities of a company are Rs 2,00,000/-. Current Ratio = 2.5:1. After this, it paid to X, a creditor of Rs 50,000. Calculate Current Ratio after payment to the creditor.

Solution

Step 1: Current Ratio and Current Liabilities are given. From this, Current Assets have to be calculated.

Current Ratio = Current Assets/Current Liabilities

Current Assets = Current Ratio × Current Liabilities

$$= 2.5 \times \text{Rs } 2,00,000$$

$$= \text{Rs } 5,00,000$$

Step 2: Payment of Rs 50,000 is given to the creditor. This has to be adjusted on both Current Assets and Current Liabilities.

So, after payment

Current Assets = Rs 5,00,000 – Rs 50,000 = Rs 4,50,000

Current Liabilities = Rs 2,00,000 – Rs 50,000 = Rs 1,50,000

Step 3: Current Ratio = 4,50,000/1,50,000

$$= 3:1$$

Treatment of Value of Current Assets

Illustration: 8

The ratio of Current Assets to Current Liabilities is 3:1, value being Rs 3,00,000 and Rs 1,00,000 respectively. The accountant of that firm is firm to maintain Current Ratio at 2:1 by acquiring Current Assets on credit being standard levels. You are required to assist him by suggesting the amount of Current Assets to be bought.

Solution

Step 1: Let the value of Current Assets to be required be = X (assumed)

Step 2: Current Ratio = Current Assets / Current Liabilities

$$\begin{aligned}
 &= \frac{\text{Rs } (3,00,000 + X)}{\text{Rs } (1,00,000 + X)} = \frac{2}{1} \quad (2/1=2:1) \\
 &= (1,00,000 + X) 2 = (3,00,000 + X) 1 \\
 &= 2,00,000 + 2X = 3,00,000 + X \\
 2X - X &= 3,00,000 - 2,00,000 \\
 X &= 1,00,000
 \end{aligned}$$

Current Assets to be acquired to maintain 2:1 Current Ratio = Rs 1,00,000.

5.2 Liquid Ratio or Quick Ratio or Acid Test Ratio

- (i) Liquid Ratio is a relationship of liquid assets with current liabilities.
- (ii) This ratio is used to assess the firm's short-term liquidity. (Solvency)
- (iii) Liquid Assets = Current Assets – (Stock + Prepaid Expenses)
- (iv) This ratio is an indicator to assess the short-term debt paying capacity of a concern.
- (v) This ratio is of high importance for Banks and other financial institutions.
- (vi) Liquid Ratio is computed as:
- (vii) Liquid Ratio = Liquid Assets/Current Liabilities
- (viii) Liquid Ratio of 1:1 is generally taken as a favourable one.
- (ix) A high Liquid Ratio indicates understocking.
- (x) A low Liquid Ratio indicates overstocking.

Treatment of Liquid Assets**Illustration: 9**

Calculate "Liquid Ratio" from the following:

	Rs
Current Liabilities	80,000
Current Assets	1,20,000
Stock	30,000
Prepaid Expenses	10,000
Sundry Debtors	50,000

Solution

Step 1: First, Liquid Assets have to be calculated

$$\begin{aligned}
 \text{(i) Liquid Assets} &= \text{Current Assets} - (\text{Stock} + \text{Prepaid Expenses}) \\
 &= \text{Rs } 1,20,000 - (\text{Rs } 30,000 + \text{Rs } 10,000) \\
 &= \text{Rs } 1,20,000 - \text{Rs } 40,000 \\
 &= \text{Rs } 80,000
 \end{aligned}$$

or

(ii) It may also be deducted one by one from current assets, as

Current Assets – Stock – Prepaid Expenses. [Students may choose whichever is easier for them, either (i) or (ii).]

Step 2: Liquid Ratio = Liquid Assets/Current Liabilities

$$\begin{aligned}
 &= \text{Rs } 80,000 / \text{Rs } 80,000 \\
 &= 1:1
 \end{aligned}$$

Conclusion: Liquid Ratio is said to be at a normal and satisfactory level.

Computation of Current Ratio and Liquid Ratio**Illustration: 10**

Sonali Ltd furnished the following information regarding its Current Assets and Current Liabilities:

Current Assets	Rs
Cash	5,000
Sundry Debtors	35,000
Bills Receivable	10,000
Marketable Securities	20,000
Prepaid Expenses	8,000
Stock	62,000
Total	1,40,000

Current Liabilities	
Sundry Creditors	40,000
Bills Payable	25,000
Outstanding Expenses	5,000
Total	70,000

You are required to compute

- Current Ratio,
- Liquid Ratio,
- And as an accountant, pass your opinion on the result of these ratios.

Solution

Step 1: First Current Ratio is to be calculated.

$$\begin{aligned}\text{Current Ratio} &= \text{Current Assets/Current Liabilities} \\ &= \text{Rs } 1,40,000/\text{Rs } 70,000 = 2:1\end{aligned}$$

Step 2: Liquid Ratio is to be calculated.

So, Liquid Assets have to be computed.

$$\begin{aligned}\text{Liquid Assets} &= \text{Current Assets} - \text{Stock} - \text{Prepaid Expenses} \\ &= \text{Rs } 1,40,000 - \text{Rs } 62,000 - \text{Rs } 8,000 = \text{Rs } 70,000\end{aligned}$$

$$\begin{aligned}\text{Liquid Ratio} &= \text{Liquid Assets/Current Liabilities} \\ &= 1:1\end{aligned}$$

Opinion

- Current Ratio is 2:1 which is ideal one.
- Liquid Ratio is 1:1 which is also ideal.

So, the position of Sonali Ltd is said to be satisfactory and ideal, based on liquidity point of view.

Treatment of Value of Stock**Illustration: 11**

Current Liabilities of a company: Rs 2,50,000

Current Ratio: 2:1

Liquid Ratio: 1:1

Compute the value of stock assuming there are no other current assets.

Solution

Step 1: First, value of Liquid Assets has to be calculated, as Liquid Ratio is given.

$$\begin{aligned}\text{Liquid Ratio: } 1:1 \\ &= \text{Liquid Assets/Current Liabilities} = 1/1 \\ &= \text{Liquid Assets/Rs } 2,50,000 = 1/1 \\ \therefore \text{Liquid Assets} &= \text{Rs } 2,50,000\end{aligned}$$

Step 2: Value of Current Assets to be calculated, as Current Ratio is given.

$$\begin{aligned}\text{Current Ratio} &= \text{Current Assets/Current Liabilities} = 2/1 \\ &= \text{Current Assets}/2,50,000 = 2/1 \\ (\text{Current Assets} \times 1) &= (2 \times 2,50,000) \\ &= \text{Rs } 5,00,000\end{aligned}$$

Step 3: Value of stock is to be found out.

$$\begin{aligned}\text{Value of Stock} &= \text{Current Assets} - \text{Liquid Assets (Stock-in-trade)} \\ \text{Because, stock is the only current asset, as per the assumption given in the problem.} \\ &= \text{Rs } 5,00,000 - \text{Rs } 2,50,000 \\ &= \text{Rs } 2,50,000\end{aligned}$$

Computation of Current Liabilities from Ratios**Illustration: 12**

The Current Ratio of a company is 3:1 and Liquid Ratio is 1:1. Stock is Rs 5,00,000. Compute Current Liabilities.

Solution

Step 1: Since two various ratios are given, from that ratio, Current Liabilities is to be calculated.

$$\begin{aligned}\text{Current Ratio} &= \text{Current Assets/Current Liabilities} \\ &= 3/1 \\ \text{Liquid Ratio} &= \text{Liquid Assets/Current Liabilities} = 1/1 \\ \text{Current Assets} - \text{Liquid Assets} &= \text{Stock} \\ 3 - 1 &= \text{Stock} \\ 2 &= \text{Stock} \\ \text{Current Liabilities} &= 5,00,000/2 = \text{Rs } 2,50,000\end{aligned}$$

Computation of Current Assets and Current Ratio**Illustration: 13**

Total Current Liabilities of a company is Rs 3,00,000, Liquid Ratio is 4:1, Stock is Rs 3,00,000. Find the Current Assets and Current Ratio.

Solution

Step 1: Current Liabilities = Rs 3,00,000 (Given)

$$\text{Liquid Ratio} = 4:1 \text{ (Given)}$$

Step 2: Liquid Ratio = Liquid Assets/Current Liabilities

$$= 4:1$$

That means Liquid Assets are 4 times as that of Current Liabilities

$$\begin{aligned}\therefore \text{Liquid Assets} &= 4 \times \text{Rs } 3,00,000 \\ &= \text{Rs } 12,00,000\end{aligned}$$

$$\begin{aligned}
 \text{Step 3: Current Assets} &= \text{Liquid Assets} + \text{Stock} \\
 &= \text{Rs } 12,00,000 + \text{Rs } 3,00,000 \\
 &= \text{Rs } 15,00,000
 \end{aligned}$$

$$\begin{aligned}
 \text{Step 4: Current Ratio} &= \text{Current Assets/Current Liabilities} \\
 &= \text{Rs } 15,00,000/\text{Rs } 3,00,000 \\
 &= 5:1
 \end{aligned}$$

Illustration: 14

Sharma Ltd has Liquid Ratio 2:1, stock is Rs 50,000. Total Current Liabilities is Rs 1,00,000. Compute Current Ratio.

Solution

Step 1: Liquid Ratio = 2:1 (Given)

$$\text{Liquid Ratio} = \text{Liquid Assets/Current Liabilities} = 2/1$$

This means that the value of Liquid Assets is twice as that of Current Liabilities.

$$\begin{aligned}
 \text{Liquid Assets} &= 2 \times \text{Rs } 1,00,000 \\
 &= \text{Rs } 2,00,000
 \end{aligned}$$

Step 2: Value of Current Assets has to be calculated.

$$\begin{aligned}
 \text{Current Assets} &= \text{Liquid Assets} + \text{Stock} \\
 &= \text{Rs } 2,00,000 + \text{Rs } 50,000 \\
 &= \text{Rs } 2,50,000
 \end{aligned}$$

$$\begin{aligned}
 \text{Step 3: Current Ratio} &= \text{Current Assets/Current Liabilities} \\
 &= \text{Rs } 2,50,000/\text{Rs } 1,00,000 \\
 &= 2.5:1
 \end{aligned}$$

Computation of Value of Stock**Illustration: 15**

Liquid Ratio: 2:1; Current Assets: Rs 2,50,000; Current Liabilities: Rs 60,000. Compute the value of stock.

Solution

Step 1: Liquid Ratio = 2:1 (Given)

$$\text{Liquid Ratio} = \text{Liquid Assets/Current Liabilities} = 2/1$$

$$\begin{aligned}
 \text{Liquid Assets} &= \text{Current Liabilities} \times 2 \\
 &= \text{Rs } 60,000 \times 2 \\
 &= \text{Rs } 1,20,000
 \end{aligned}$$

$$\begin{aligned}
 \text{Step 2: Value of stock} &= \text{Current Assets} - \text{Liquid Assets} \\
 &= \text{Rs } 2,50,000 - \text{Rs } 1,20,000 \\
 &= \text{Rs } 1,30,000
 \end{aligned}$$

Relationship of Working Capital with Current Ratio and Liquid Ratio**Illustration: 16**

Working capital of a limited company is Rs 1,20,000. Current Ratio is 3:1, Stock is Rs 60,000. Compute (a) Current Liabilities (b) Current Assets (c) Liquid Ratio

Solution

From Working Capital and Current Ratio, other values are computed as follows:

$$\begin{aligned}
 \text{Step 1: Working Capital} &= \text{Current Assets} - \text{Current Liabilities} \\
 \text{Rs } 1,20,000 &= \text{Current Assets} - \text{Current Liabilities}
 \end{aligned}$$

Step 2: Current Ratio = Current Assets/Current Liabilities = 3/1

Step 3: Assume Current Liabilities = X

Then, Current Assets = $3 \times X$ (as ratio is = 3:1)

Step 4: Go to first step,

i.e., Current Assets – Current Liabilities = 1,20,000

$$3X - X = 1,20,000$$

$$2X = 1,20,000$$

$$X = \text{Rs } 60,000 \text{ (Current Liabilities)}$$

Step 5: Current Assets = Rs 60,000 $\times$ 3

$$= \text{Rs } 1,80,000$$

Step 6: Liquid Assets = Current Assets – Stock

$$= \text{Rs } 1,80,000 - \text{Rs } 60,000$$

$$= \text{Rs } 1,20,000$$

Step 7: Liquid Ratio = Liquid Assets/Current Liabilities

$$= 1,20,000/60,000 = 2/1$$

$$= 2:1$$

5.3 Absolute Liquid Ratio – Relationship of Absolute Liquid Assets to Liquid Liabilities

The relationship of absolute liquid assets to liquid liabilities is termed as “Absolute Liquid Ratio”. It is calculated as:

Absolute Liquid Ratio = Absolute Liquid Assets/Liquid Liabilities

Absolute Liquid Assets = Cash, Bank and Short-term Investments.

Liquid Liabilities = Current Liabilities – Bank overdraft. Satisfactory level of ratio is 1:1.

Computation of Absolute Liquid Ratio

Illustration: 17

A limited company has Current Liabilities of Rs 1,00,000. It has Cash-in- hand Rs 5,000, Cash at Bank Rs 45,000, Short-term Investments Rs 50,000. Further Bank Overdraft is Rs 25,000. Compute Absolute Liquid Ratio.

Solution

Step 1: First, value of absolute Liquid Assets has to be calculated.

Absolute Liquid Assets = Cash + Bank + Short-term Investment

$$= \text{Rs } 5,000 + \text{Rs } 45,000 + \text{Rs } 50,000$$

$$= \text{Rs } 1,00,000$$

Step 2: Value of Liquid Liabilities has to be calculated, now.

Liquid Liabilities = Current Liabilities – Bank Overdraft

$$= \text{Rs } 1,00,000 - \text{Rs } 25,000$$

$$= \text{Rs } 75,000$$

Step 3: Absolute Liquid Ratio = Absolute Liquid Assets/Liquid Liabilities

$$= \text{Rs } 1,00,000/\text{Rs } 75,000$$

$$= 1 : 0.75$$

OBJECTIVE 6: SOLVENCY RATIOS (LONG-TERM SOLVENCY)

- Solvency Ratios deals with entity's ability to meet its long-term obligations.
- Solvency refers to the firm's ability to meet its long-term indebtedness.
- The following are important Solvency Ratios:
 1. Debt Equity Ratio
 2. Total Assets to Debt Ratio
 3. Proprietary Ratio

6.1 Debt Equity Ratio**6.1.1 Debt Equity Ratio – Relationship between Debt and Equity**

- (i) This ratio is computed to ascertain the soundness of the long-term financial position of the concern.
- (ii) This ratio indicates the proportion between debt (external equities) and the equity (internal equities).
- (iii) Debt Long-term loans: Debentures, long-term loans from Banks and financial institutions.
Equity: Shareholder's funds: Equity Share capital, Preference share capital, Reserves and surplus loss, Losses and fictitious assets (e.g.: Preliminary expenses).
- (iv) This ratio is calculated as:
Debt Equity Ratio = Debt (Long-term Loans)/Equity (Shareholder's Funds)
- (v) If it is 2:1, then the concern is said to be at a satisfactory level.
- (vi) A higher ratio than this normal level, i.e. 2:1 then the concern is facing a risky financial position, where as a lower ratio indicates safer financial position.
- (vii) It also indicates the extent to which the concern depends upon outsiders for its existence.

Computation of Debt Equity Ratio**Illustration: 18**

From the following, compute Debt Equity Ratio:

Equity Share Capital	1,00,000
General Reserve	80,000
6¼% Debentures	75,000
Current Liabilities	90,000
Preliminary Expenses	30,000

Solution

Debt Equity Ratio = Debt/Equity

Step 1: Debt = Rs 75,000

(∴ Debentures only here)

Step 2: Equity = Equity Share Capital + General Reserve – Preliminary Expenses
 = Rs 1,00,000 + 80,000 – Rs 30,000
 = Rs 1,50,000

Step 3: Debt Equity Ratio = Rs 75,000/Rs 1,50,000
 = 1:2

6.2 Total Assets to Debt Ratio**6.2.1 Total Assets to Debts Ratio – Relationship between Total Assets and Debt**

The components of this ratio:

- (i) Total Assets and (ii) Debt

- (i) *Total Assets*: This include both Fixed and Current Assets.
But this does not include fictitious assets as preliminary expenses, underwriting commission discount on issue of shares/debentures etc. and debit balance of Profit and Loss A/c.
- (ii) *Debts*: Long-term debts, which usually gets matured after 1 year. This includes bonds, debentures and other loans from financial institution.
- Total Assets to Debt Ratio = Total Assets/Long-term Debts
 - Normal level is said to be at 2:1 ratio.
 - A higher ratio indicates higher security to lenders.
 - A low ratio indicates a risky financial position.

Computation of Total Assets to Debt Ratio

Illustration 19

Following is the Balance Sheet of a company as on Mar 31, 2006:

Liabilities	Rs	Assets	Rs
Equity Share Capital	2,50,000	Cash-in-hand	10,000
9% Debentures	2,00,000	Cash at Bank	30,000
Bills Payable	20,000	Sundry Debtors	50,000
Creditors	30,000	Fixed Assets	3,20,000
	<u>5,00,000</u>		<u>5,00,000</u>

You are required to compute Total Assets to Debt Ratio.

Solution

Step 1: Total Assets = Rs 5,00,000

Step 2: Debt (Long term) = Rs 2,00,000 (Debentures only)

Step 3: Total Assets to Debt Ratio = Total Assets/Long-term Debt
= Rs 5,00,000/Rs 2,00,000
= 5:2

6.3 Proprietary Ratio

6.3.1 Proprietary Ratio – Relationship between Proprietor's Funds and Total Assets

- This ratio establishes the relationship between Proprietor's funds and total tangible assets.
- This ratio reflects the general financial position of a concern.
- This is computed as:
Proprietor's Funds Proprietary Ratio = (Shareholder's Fund)/Total Assets
- Proprietor's Funds: Share capital, Reserves and surplus (loss to be deducted, payment to others not included)
- Tangible Assets: Good will, Preliminary expenses etc.
- Normal level = 100
- A high level indicates safety to creditors.
- A low (usually < 50) level assets the (investors) creditors.

Illustration: 20

From the following, calculate Proprietary Ratio:

	Rs
Equity Share Capital	1,00,000
Preference Share Capital	30,000
Reserves and Surplus	20,000
Debentures	2,00,000
Sundry Creditors	50,000
	3,00,000
Fixed Assets	2,00,000
Current Assets	30,000
Investments	70,000
	3,00,000

Solution

1. Shareholder's Funds: Rs 1,00,000 + Rs 30,000 + Rs 20,000
= Rs 1,50,000 (excluding debentures and creditors)
2. Total Assets = Rs 3,00,000
3. Proprietary Ratio = Rs 1,50,000/Rs 3,00,000 = $1/2 = 0.5$ or 5:1 (or)
 $0.5 \times 100 = 50\%$

Computation of Proprietary Ratio from Balance Sheet**Illustration: 21**

Balance Sheet of Dabar Ltd as on Mar 31, 2006 is given. From this, compute (a) Debt Equity Ratio, (b) Proprietary Ratio and (c) Total Assets to Debt Ratio

Liabilities	Rs	Assets	Rs
Equity Share Capital	12,00,000	Fixed Assets	15,00,000
General Reserve	8,00,000	Long-term Investments	2,00,000
10% Debentures	5,00,000	Stock	10,50,000
Bank Overdraft	5,00,000	Sundry Debtors	12,00,000
Sundry Creditors	10,00,000	Cash at Bank	50,000
	40,00,000		40,00,000

Solution

- (a) Value of Debentures = Rs 5,00,000
Shareholder's Funds (Equity) = Equity Share Capital + General Reserve
= Rs 12,00,000 + Rs 8,00,000 (Debentures)
Debt Equity Ratio = Long-term Debts/Shareholder's Funds
= Rs 5,00,000/Rs 20,00,000 = 0.25:1
- (b) Proprietary Ratio = Shareholder's Funds/Total Assets
= Rs 20,00,000/Rs 40,00,000 = 0.5:1 or 0.5% = 50%
- (c) Total Assets to Debt Ratio = Total Assets/Long-term Debt
= Rs 40,00,000/Rs 5,00,000
= 8:1

OBJECTIVE 7: PROFITABILITY RATIOS

- Efficiency of a concern is measured by profitability.
- Profit as compared to the capital employed indicates profitability of a concern.
- Some important Profitability Ratios are: Gross Profit Ratio, Net Profit Ratio, Operating Profit Ratio and Operating Ratio.

7.1 Gross Profit Ratio**7.1.1 Gross Profit Ratio – Relationship of Gross Profit to Sales**

- The relationship of gross profit to sales is termed as Gross Profit Ratio.
- This ratio is calculated as:

$$\text{Gross Profit Ratio} = \frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$$
- Gross Profit is taken from Trading Account of an enterprise.

$$\text{Gross Profit} = \text{Sales} - \text{Cost of Goods Sold}$$

$$\begin{aligned} \text{Cost of Goods Sold} &= \text{Opening Stock} + \text{Purchases} - \text{Closing Stock (or)} \\ &= \text{Sales} - \text{Gross Profit} \end{aligned}$$

$$\text{Net Sales} = \text{Gross Sales (Cash Sale + Credit Sale)} - \text{Sales Returns}$$

- This ratio is a good indicator to maintain the correct selling price and efficiency of trading activities.
- It may also be compared to previous years, which will assist the management to take vital policies.

Illustration: 22

From the following, calculate Gross Profit Ratio.

	Rs
Cash Sales	50,000
Credit Sales	60,000
Sales Return	10,000
Gross Profit	50,000

Solution

Step 1: Value of Net Sales to be computed.

$$\begin{aligned} \text{Net Sales} &= \text{Cash Sale} + \text{Credit Sale} - \text{Sales Return} \\ &= \text{Rs } 50,000 + \text{Rs } 60,000 - \text{Rs } 10,000 \\ &= \text{Rs } 1,00,000 \end{aligned}$$

Step 2: Gross Profit = Rs 50,000 (Given)

Step 3: Gross Profit Ratio = $\frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$
 $= \frac{\text{Rs } 50,000}{\text{Rs } 1,00,000} \times 100 = 50\%$

Illustration: 23

From the following data, compute Gross Profit Ratio.

	2008 Rs	2009 Rs
Sales	2,00,000	2,40,000
Gross Profit	50,000	80,000

Solution

Gross Profit Ratio = Gross Profit/Net Sales $\times 100$

	Year 2008	Year 2009
Gross Profit Ratio =	Rs 50,000/Rs 2,00,000 $\times 100$	= Rs 20,000/Rs 2,40,000 $\times 100$
	= 25% $\rightarrow$	= 33 1/3%

Conclusion = Profit rose from 25% to 33 1/3% this year.

Treatment of Cost of Goods Sold and Gross Profit (G.P.)**Illustration: 24**

Sales of a company is Rs 7,20,000.

Gross Profit is 20% on cost. Compute Gross Profit Ratio.

Solution

Step 1: Cost of goods sold has to be calculated as:

Let the cost be = Rs 100

Then Sales = Rs 120 (100 + 20%)

Cost of Goods Sold = $100/120 \times \text{Rs } 7,20,000$
= Rs 6,00,000

Step 2: Next, Gross Profit has to be calculated.

Gross Profit = Sales – Cost of Goods Sold
= Rs 7,20,000 – Rs 6,00,000
= Rs 1,20,000

Step 3: Gross Profit Ratio = Gross Profit/Net Sales $\times 100$
= Rs 1,20,000/Rs 7,20,000 $\times 100$
= 16.66%

7.2 Net Profit Ratio**7.2.1 Net Profit Ratio – The Relationship of Net Profit to Net Sales**

- (i) The relationship of Net Profit to Net Sales is termed as “Net Profit Ratio”.
- (ii) Net Profit Ratio is calculated as
Net Profit Ratio = Net Profit/Net Sales $\times 100$
- (iii) This ratio reflects the overall efficiency of a concern.
- (iv) This ratio also helps to determine operational efficiency of an enterprise.
- (v) Higher the Net Profit Ratio, better the efficiency of a concern.
- (vi) At times, Net Profit Ratio is calculated either Profit Before Tax (P.B.T.) (or) Profit After Tax (P.A.T.), then Net Profit Ratios will be
P.B.T./Net Sales $\times 100$ (or) P.A.T./Net Sales $\times 100$
- (vii) Net Profit is taken from P and L Account or to Gross profit less administration expenses, selling and distribution expenses, financial expenses, non-operating expenses and adding non-operating incomes.

Computation of Net Profit Ratio**Illustration: 25**

Compute Net Profit Ratio from these.

Net Profit = Rs 75,000

Sales = Rs 3,00,000

Solution

$$\begin{aligned}\text{Net Profit Ratio} &= \text{Net Profit/Net Sales} \times 100 \\ &= \text{Rs } 75,000/\text{Rs } 3,00,000 \times 100 = 25\%\end{aligned}$$

Illustration: 26

Gross Profit Ratio of a company is 20%. Its cash sales are Rs 5,00,000 and its credit sales are 80% of total sales. The indirect expenses are Rs 50,000. Calculate Net Profit Ratio.

Solution

Step 1: Total sales have to be computed.

$$\begin{aligned}\text{Total Sales} &= \text{Cash Sales} + \text{Credit Sales} \\ &= \text{Rs } 5,00,000 + 80\% \text{ of Total Sales}\end{aligned}$$

This means cash sales = 20% (100% – 80%) of Total Sales

$$\begin{aligned}\therefore \text{Total Sales} &= \text{Cash Sales} \times 100/20 \\ &= \text{Rs } 5,00,000 \times 100/20 \\ &= \text{Rs } 25,00,000\end{aligned}$$

Step 2: Next, value of Gross Profit is to be computed.

$$\begin{aligned}\text{Gross Profit} &= \text{Rs } 25,00,000 \times 20/100 \\ &= \text{Rs } 5,00,000\end{aligned}$$

Step 3: Value of Net Profit is to be computed.

$$\begin{aligned}\text{Net Profit} &= \text{Gross Profit} - \text{Indirect Expenses} \\ &= \text{Rs } 5,00,000 - \text{Rs } 50,000 \\ &= \text{Rs } 4,50,000\end{aligned}$$

$$\begin{aligned}\text{Step 4: Net Profit Ratio} &= \text{Net Profit/Net Sales} \times 100 \\ &= \text{Rs } 4,50,000/\text{Rs } 25,00,000 \times 100 \\ &= 18\%\end{aligned}$$

7.3 Operating Profit Ratio**7.3.1 Operating Profit Ratio – Relationship between Operating Profit and Net Sales**

- (i) This ratio measures the relationship between operating profit and net sales.
- (ii) This ratio helps in determining the operational efficiency of an enterprise.
- (iii) This ratio is calculated as:

$$\text{Operating Profit Ratio} = \text{Operating Profit/Net Sales} \times 100$$
- (iv) Operating Profit = Net Profit + Non-operating Expenses – Non-operating Income
 Non-operating Expenses = Interest on Loan and Loss on sale of assets
 Non-operating Income = Dividend, Interest received and Profit on sale of asset
 Or
- (v) Operating Profit = Gross Profit – Operating Expenses
- (vi) Net Sales = Gross Sales = Cash Sales + Credit Sales – Sales Revenue

Computation of Operating Profit Ratio**Illustration: 27**

Compute Operating Profit Ratio from the following:

	Rs
Net Profit	6,00,000
Loss on Sale of Furniture	20,000
Profit on Sale of Investments	60,000

	Rs
Interest paid on Loan	60,000
Interest from Investment	40,000
Sales	11,60,000

Solution

Step 1: Non-operating expenses have to be calculated.

$$\begin{aligned}\text{Non-operating Expenses} &= \text{Interest on Loan} + \text{Loss on Sale of Furniture} \\ &= \text{Rs } 60,000 + \text{Rs } 20,000 \\ &= \text{Rs } 80,000\end{aligned}$$

Step 2: Non-operating income to be computed.

$$\begin{aligned}\text{Non-operating Income} &= \text{Interest received from Investments} + \text{Profit on Sale of Investment} \\ &= \text{Rs } 40,000 + \text{Rs } 60,000 \\ &= \text{Rs } 1,00,000\end{aligned}$$

Step 3: Operating profit is to be computed.

$$\begin{aligned}\text{Operating Profit} &= \text{Net Profit} + \text{Non-operating Expenses} - \text{Non-operating Income} \\ &= \text{Rs } 6,00,000 + 80,000 - 1,00,000 \\ &= \text{Rs } 5,80,000\end{aligned}$$

$$\begin{aligned}\text{Step 4: Operating Profit Ratio} &= \text{Operating Profit/Net Sales} \times 100 \\ &= 5,80,000/11,60,000 \times 100 \\ &= 50\%\end{aligned}$$

Treatment of G.P. with Sales**Illustration: 28**

Calculate Operating Profit Ratio if

Case (a) Net sales Rs 10,00,000, Gross profit 20% on Sales and Operating expenses Rs 20,000

Case (b) Net sales Rs 6,00,000, Gross profit 20% on Sales and Operating expenses Rs 20,000

Solution

$$\begin{aligned}\text{Case (a): Operating Profit} &= \text{Gross Profit} - \text{Operating Cost} \\ &= \text{Rs } 2,00,000 - \text{Rs } 20,000 \\ &= \text{Rs } 1,80,000\end{aligned}$$

$$\begin{aligned}\text{Operating Profit Ratio} &= \text{Operating Profit/Net Sales} \times 100 \\ &= \text{Rs } 1,80,000/\text{Rs } 10,00,000 \times 100 = 18\%\end{aligned}$$

$$\text{Case (b): Operating Profit} = \text{Gross Profit} - \text{Operating Expenses}$$

$$\begin{aligned}\text{Gross Profit} &= 20\% \text{ of Sales} \\ &= 20/100 \times \text{Rs } 6,00,000 \\ &= \text{Rs } 1,20,000\end{aligned}$$

$$\begin{aligned}\therefore \text{Operating Profit} &= \text{Rs } 1,20,000 - \text{Rs } 20,000 \\ &= \text{Rs } 1,00,000\end{aligned}$$

$$\begin{aligned}\text{Operating Profit Ratio} &= \text{Operating Profit/Net Sales} \times 100 \\ &= \text{Rs } 1,00,000/\text{Rs } 6,00,000 \times 100 = 16.66\%\end{aligned}$$

7.4 Operating Ratio**7.4.1 Operating Ratio – Relationship between Operating Cost and Net Sales**

- This ratio establishes relationship between operating cost and net sales.
- This measures the operating efficiency of the enterprise.

(iii) This ratio measures the amount of expenditure incurred in production, sales and distribution of output.

(iv) Operating Ratio = $\frac{\text{Cost of Goods Sold} + \text{Operating Expenses}}{\text{Net Sales}} \times 100$

or

Operating Ratio = $\frac{\text{Operating Cost}}{\text{Net Sales}} \times 100$

(v) Cost of Goods Sold = Opening Stock + Purchases + Direct Expenses + Manufacturing Expenses – Closing Stock (or) Sales – Gross Profit

(vi) Operating Expenses = Administrative Expenses + Selling and Distribution Expenses

(vii) Operating Ratio and Net Profit Ratio are interrelated.

Operating Ratio + Net Profit Ratio = 100

Example: $20\% + 80\% = 100$

or

$40\% + 60\% = 100$

or

$70\% + 30\% = 100$

- Higher Operating Ratio indicates poor performance, so lower the better.
- It is an indicator to determine the cost content, and which element of cost has gone up.

Computation of Operating Ratio

Illustration: 29

From the following, compute Operating Ratio:

	Rs
Cost of Goods Sold	4,50,000
Operating Expenses	50,000
Sales	10,60,000
Sales Returns	60,000

Solution

Step 1: Add Cost of Goods Sold and Operating Expenses

= Rs 4,50,000 + Rs 50,000

= Rs 5,00,000

Step 2: Value of Net Sales has to be calculated.

Net Sales = Sales – Sales Return

= Rs 10,60,000 – Rs 60,000

= Rs 10,00,000

Step 3: Operating Ratio is to be found out.

Operating Ratio = $\frac{\text{Cost of Goods Sold} + \text{Operating Expenses}}{\text{Net Sales}} \times 100$

= $\frac{\text{Rs } 5,00,000}{\text{Rs } 10,00,000} \times 100$

= 50%

OBJECTIVE 8: ACTIVITY RATIOS

- Activity Ratios measure the effectiveness of entities.
- These ratios are also called as “Performance or Turnover Ratios”.
- These ratios measures the effectiveness of a business concern.
- It can also be known how effectively a concern utilises its resources, by using these ratios.
- The following are some important Activity Ratios:
 1. Capital Turnover Ratio
 2. Fixed Assets Turnover Ratio

3. Inventory (Stock) Turnover Ratio
4. Debtors Turnover Ratio (Receivables)
5. Creditors Turnover Ratio
6. Working Capital Turnover Ratio

8.1 Inventory Turnover Ratio

8.1.1 Inventory Turnover Ratio – Relationship between the Cost of Goods Sold and Average Inventory

- (i) This ratio establishes relationship between the cost of goods sold (during a given period) and the average amount of inventory carried (during that period).
- (ii) This indicates whether stock has been efficiently used or not.
- (iii) The ratio is calculated as follows:

Inventory or Stock Turnover Ratio

$$= \text{Cost of Goods Sold} / \text{Average Inventory (or) Stock}$$

- (iv) $\text{Cost of Goods Sold} = \text{Opening Stock} + \text{Purchase} + \text{Direct Expenses} - (\text{Less}) \text{Closing Stock}$
or

$$\text{Cost of Goods Sold} = \text{Sales} - \text{Gross Profit}$$

$$\text{Average Stock} = (\text{Opening Stock} + \text{Closing Stock}) / 2$$

Note: If information to calculate average stock is not given in the problem then students are expected to take the closing stock as average stock.

- (v) Higher ratio indicates the unit functions on a comparatively low margin of profit. More sales are on with (that unit of investment in stocks) a rupee of investment in stocks.
- (vi) This ratio also helps to invest minimum in stock.
- (vii) It helps business enterprises to earn a reasonable margin of profits.

Computation of Inventory Turnover Ratio

Illustration: 30

From the following, compute Inventory Turnover Ratio.

	Rs
Cost of Sales	9,00,000
Stock at the beginning of the year	2,50,000
Stock at the end of the year	3,50,000

Solution

Step 1: First, average stock is to be calculated.

$$\begin{aligned} \text{Average Stock} &= \frac{\text{Opening Stock} + \text{Closing Stock}}{2} \\ &= \frac{\text{Rs } 2,50,000 + \text{Rs } 3,50,000}{2} \\ &= \text{Rs } 6,00,000 / 2 \\ &= \text{Rs } 3,00,000 \end{aligned}$$

Step 2: $\text{Cost of Goods Sold} = \text{Cost of Sales} = \text{Rs } 9,00,000$

Step 3: $\text{Inventory Turnover Ratio} = \text{Rs } 9,00,000 / \text{Rs } 3,00,000 = 3 \text{ times}$

Computation of Stock Turnover Ratio from Trading A/c

Illustration: 31

Following is the Trading A/c of Jam Ltd. Compute Inventory Turnover Ratio.

		Rs			Rs
To Opening Stock		30,000	By Sales	3,25,000	
To Purchases	2,00,000		Less: Returns	<u>25,000</u>	3,00,000
Less: Returns	<u>30,000</u>	1,70,000	By Closing Stock		20,000
To Carriage and Freight		20,000			
To Gross Profit		<u>1,00,000</u>			
		3,20,000			<u>3,20,000</u>

Solution

Step 1: Cost of goods sold has to be calculated.

$$\begin{aligned}
 \text{Cost of Goods Sold} &= \text{Sales} - \text{Gross Profit} \\
 &= \text{Rs } 3,00,000 - \text{Rs } 1,00,000 \\
 &= \text{Rs } 2,00,000
 \end{aligned}$$

Step 2: Average stock is to be calculated.

$$\begin{aligned}
 \text{Average Stock} &= \frac{\text{Opening Stock} + \text{Closing Stock}}{2} \\
 &= \frac{\text{Rs } 30,000 + \text{Rs } 20,000}{2} \\
 &= \text{Rs } 50,000/2 \\
 &= \text{Rs } 25,000
 \end{aligned}$$

Step 3: Stock Turnover Ratio = Cost of Goods Sold/Average Stock
 $= \text{Rs } 2,00,000/\text{Rs } 25,000 = 8 \text{ times}$

Treatment of Cost of Sales**Illustration: 32**

From the following, calculate Stock Turnover Ratio.

Total Sales: Rs 10,00,000, Opening Stock: Rs 2,20,000 and Closing Stock: Rs 1,80,000.

Loss Ratio = 20%.

Solution

Step 1: From Sales, Cost of Sales is to be computed.

Sales = Rs 10,00,000

Gross Loss: 20%

20% of Sales (10,00,000) = Rs 2,00,000

$$\begin{aligned}
 \therefore \text{Cost of Sales} &= \text{Sales} + \text{Gross Loss} \\
 &= \text{Rs } 10,00,000 + \text{Rs } 2,00,000 \\
 &= \text{Rs } 12,00,000
 \end{aligned}$$

Step 2: Average Stock has to be calculated.

$$\begin{aligned}
 \text{Average Stock} &= \frac{\text{Opening Stock} + \text{Closing Stock}}{2} \\
 &= \frac{\text{Rs } 2,20,000 + \text{Rs } 1,80,000}{2} \\
 &= \text{Rs } 4,00,000/2 = \text{Rs } 2,00,000
 \end{aligned}$$

Step 3: Inventory Turnover Ratio = Cost of Sales/Average Stock
 $= \text{Rs } 12,00,000/\text{Rs } 2,00,000 = 6 \text{ times}$

Illustration: 33

From the following, calculate Inventory Turnover Ratio.

	Rs
Opening Stock	1,00,000
Purchases	3,50,000
Sales	5,00,000
Gross Profit Ratio	20% on Sales

Solution

Step 1: First, cost of sales has to be computed.

$$\begin{aligned}
 \text{Cost of Sales} &= \text{Sales} - \text{Gross Profit} \\
 &= \text{Rs } 5,00,000 - (20\% \text{ of } 5,00,000) \\
 &= \text{Rs } 5,00,000 - \text{Rs } 1,00,000 \\
 &= \text{Rs } 4,00,000
 \end{aligned}$$

Step 2: Value of Closing Stock has to be calculated.

$$\begin{aligned}
 \text{Closing Stock} &= \text{Opening Stock} + \text{Purchases} + \text{Gross Profit} - \text{Sales} \\
 &= \text{Rs } 1,00,000 + \text{Rs } 3,50,000 + \text{Rs } 1,00,000 - \text{Rs } 5,00,000 \\
 &= \text{Rs } 5,50,000 - \text{Rs } 5,00,000 \\
 &= \text{Rs } 50,000
 \end{aligned}$$

$$\begin{aligned}
 \text{Step 3: Value of Average Stock} &= \frac{\text{Opening Stock} + \text{Closing Stock}}{2} \\
 &= \frac{\text{Rs } 1,00,000 + \text{Rs } 50,000}{2} \\
 &= \text{Rs } 75,000
 \end{aligned}$$

$$\begin{aligned}
 \text{Step 4: Inventory Turnover Ratio} &= \text{Cost of Goods Sold/Average Stock} \\
 &= \text{Rs } 4,00,000 / \text{Rs } 75,000 \\
 &= 5.33 \text{ times}
 \end{aligned}$$

8.2 Debtors Turnover Ratio or Receivables Turnover Ratio**8.2.1 Debtors Turnover Ratio – Relationship between Net Credit Sales and Average Debtors**

- (i) This ratio indicates the relationship between net credit sales and average debtors or receivables in a year.
- (ii) This ratio is calculated as:

$$\text{Debtors Turnover Ratio} = \text{Net Credit Sales/Average Accounts Receivable}$$
- (iii) Accounts Receivable includes “Trade Debtors” and “Bills Receivables”.
- (iv)
$$\text{Average Debtors} = \frac{\text{Debtors in the beginning} + \text{Debtors at the end}}{2}$$
- (v) Doubtful debts are not deducted from total debtors.
- (vi) If details regarding opening and closing receivables and credit sales are not given in the problem, the Debtors Turnover Ratio = Total Sales/Accounts Receivable
- (vii) This ratio is calculated to determine the number of times the receivables are turned over in a period in relation to sales.
- (viii) It indicates how quickly debtors are converted into cash.
- (ix) A high ratio indicates the quickness of debts collected. Lower ratio would mean otherwise.

Debtors Turnover Ratio – Computation**Illustration: 34**

The following data are taken from Shah Ltd.

	Rs
Total Sales for the year 2009	4,00,000
Cash Sales for the year 2009	1,00,000
Debtors as on Jan 1, 2009	45,000
Debtors as on Dec 31, 2009	55,000

Compute Debtors Turnover Ratio.**Solution**

Step 1: First, Credit Sales have to be calculated.

$$\begin{aligned}\text{Credit Sales} &= \text{Total Sales} - \text{Cash Sales} \\ &= \text{Rs } 4,00,000 - \text{Rs } 1,00,000 \\ &= \text{Rs } 3,00,000\end{aligned}$$

Step 2: Next, average debtors have to be computed.

$$\begin{aligned}\text{Average Debtors} &= \frac{\text{Opening Debtors} + \text{Closing Debtors}}{2} \\ &= \frac{\text{Rs } 45,000 + \text{Rs } 55,000}{2} \\ &= 1,00,000/2 \\ &= \text{Rs } 50,000\end{aligned}$$

Step 3: Finally,

$$\begin{aligned}\text{Debtors Turnover Ratio} &= \text{Credit Sales} / \text{Average Debtors} \\ &= \text{Rs } 3,00,000 / \text{Rs } 50,000 = 6 \text{ times}\end{aligned}$$

8.3 Working Capital Turnover Ratio**8.3.1 Working Capital Turnover Ratio – Relationship between Sales and Working Capital**

- (i) This ratio indicates the efficiency of working capital of a concern.
- (ii) This also indicates if there is over trading.
- (iii) This ratio is calculated as:
- (iv) Working Capital Turnover Ratio = Sales/Working Capital
Working Capital = Current Assets – Current Liabilities
- (v) This ratio is better than Stock Turnover Ratio.
- (vi) It measures the rate of working capital utilisation.

Illustration: 35

Compute Working Capital Turnover Ratio.

	Rs
Cost of Goods Sold	2,80,000
Current Assets	2,05,000
Current Liabilities	1,65,000

Solution

First, working capital is to be calculated.

$$\begin{aligned}\text{Working Capital} &= \text{Current Assets} - \text{Current Liabilities} \\ &= \text{Rs } 2,05,000 - \text{Rs } 1,65,000 \\ &= \text{Rs } 40,000\end{aligned}$$

Note: As no sales figures are given, ratio is to be calculated on the basis of cost of sales.

$$\begin{aligned}\text{So Working Capital Turnover Ratio} &= \text{Cost of Sales/Net Working Capital} \\ &= \text{Rs } 2,80,000/\text{Rs } 40,000 \\ &= 7 \text{ times}\end{aligned}$$

Computation of Working Capital Turnover Ratio from Balance Sheet

Illustration: 36

Following is the Balance Sheet of Chopra Ltd. Compute Working Capital Turnover Ratio.

Liabilities	Rs	Assets	Rs
Equity Share Capital	8,50,000	Fixed Assets	5,00,000
General Reserve	1,50,000	Short-term Investment	2,30,000
Creditors	2,80,000	Stock	1,80,000
Bills Payable	80,000	Debtors	2,20,000
Prof. for Income Tax	40,000	Bills Receivable	1,10,000
		Cash at Bank	60,000
		Cash-in-hand	1,00,000
	<u>14,00,000</u>		<u>14,00,000</u>

Further Information

1. Total Sales during the year = Rs 46,00,000
2. Sales Returns during the year = Rs 6,00,000

Solution

Step 1: First, Net Sales (or) turnover is to be computed.

$$\begin{aligned}\text{Net Sales} &= \text{Total Sales} - \text{Sales Return} \\ &= \text{Rs } 46,00,000 - \text{Rs } 6,00,00 \\ &= \text{Rs } 40,00,000\end{aligned}$$

Step 2: Next, Current Assets have to be added.

$$\begin{aligned}\text{Current Assets} &= \text{Short-term Investment} + \text{Stock} + \text{Debtors} + \text{Bills Receivable} + \text{Cash at Bank} + \text{Cash-in-hand} \\ \text{Current Assets} &= \text{Rs } 2,30,000 + \text{Rs } 1,80,000 + \text{Rs } 2,20,000 + \text{Rs } 1,10,000 + \text{Rs } 60,000 + \text{Rs } 1,00,000 \\ &= \text{Rs } 9,00,000\end{aligned}$$

Step 3: Next, Current Liabilities should be added together.

$$\begin{aligned}\text{Current Liabilities} &= \text{Creditors} + \text{Bills Payable} + \text{Provision for Income Tax} \\ &= \text{Rs } 2,80,000 + \text{Rs } 80,000 + \text{Rs } 40,000 \\ &= \text{Rs } 4,00,000\end{aligned}$$

Step 4: Working Capital = Current Assets – Current Liabilities

$$\begin{aligned}&= \text{Rs } 9,00,000 - \text{Rs } 4,00,000 \\ &= \text{Rs } 5,00,000\end{aligned}$$

Step 5: Finally,

$$\begin{aligned}\text{Working Capital Turnover Ratio} &= \text{Net Sales/Working Capital} \\ &= \text{Rs } 40,00,000/\text{Rs } 5,00,000 \\ &= 8 \text{ times}\end{aligned}$$

Description of Ratio	Formula	Significance	How Expressed	Remarks/ Explanation/ Contents
I. Liquidity Ratios				
1. Current Ratio working capital Ratio	$\frac{\text{Current Assets/}}{\text{Current Liabilities}}$	* This ratio shows short- term financial soundness of the business. * The ideal Current Ratio is 2:1. * Higher ratio means better capacity to meet its obligation. * But very high ratio means the idleness of funds.	Fraction	* Current Assets: Assets which are either in the form of cash or can be converted into cash within a year. Examples: Cash, Bank balance, Stock, Bills receivables, Prepaid expenses etc. * Current Liabilities: Liabilities which are required to pay within a year. <i>Examples:</i> Sundry creditors, Bills payable, Bank O/D, Outstanding expenses etc.
2. Liquid Ratio or Acid Test Ratio or Quick Ratio	$\frac{\text{Quick Assets/}}{\text{Liquid Assets}} \frac{\text{Current Liabilities}}{\text{Current Liabilities}}$	* This ratio judges the liquidity. * It is based on those current assets which are highly liquid. * Ideal Quick Ratio = 1:1 * Higher ratio indicates the better short-term financial position .	Fraction	* Quick assets can be converted into cash immediately or at a short notice. * Quick assets = Current assets – Stock prepaid expenses.
II. Solvency Ratios				
1. Debt Equity Ratio	$\frac{\text{Debt (long-term)/}}{\text{Equity (Shareholder's funds)}}$	* This ratio judges the long-term financial position. * It also measures the efficiency of the long-term financial policies of the firm. * Lenders prefer lower Debt Equity Ratio.	Fraction	* Long-term debts consist of long-term liabilities, i.e. debentures, mortgage, public depositor. * Shareholder's funds paid up, Equity share capital + Preference share capital + Reserves and surplus – Factitious Assets.
2. Total Assets to Debt Ratio	$\frac{\text{Total Assets/}}{\text{Long-term Debts}}$	* This ratio indicates the safety margin available to the suppliers of long-term debts. * It measures the extent to which debt is being covered by assets. * Higher the ratio, larger the safety margin.	Pure Ratio (e.g.) 4:1	–

<i>Description of Ratio</i>	<i>Formula</i>	<i>Significance</i>	<i>How Expressed</i>	<i>Remarks/ Explanation/ Contents</i>
3. Proprietary Ratio	Shareholders Funds or Proprietor's Funds/ Total Assets	* This ratio shows the extent to which the total assets have been financed by the proprietor. * Higher the ratio, better the position for lenders and creditors.	Fraction	–
III. Activity Ratios				
1. (Turnover Ratios) Stock Turnover Ratio	Cost of Goods Sold/Average Stock	* This ratio measures how fast the stock is moving (Stock turnover). * It also measures how much sales had been generated. * Higher ratio indicates efficient management on inventories.	Times	Average Stock = (Opening Stock + Closing Stock)/2
2. Debtors Turnover Ratio	$\frac{\text{Net Credit Sales}}{\text{Average Accounts Receivables}}$	* It indicates the economy and efficiency in the collection of due from debtors. * Higher ratio indicates the efficiency and quickness in the collection of debts.	Times	* Average Accounts Receivables = (Opening debtors + Bills receivable) + (Closing debtors + B/R)/2 * Meaning of Debtors = Account receivable Debtors + Bills receivable
3. Working Capital Turnover Ratio	$\frac{\text{Cost of Goods Sold or Net Sales}}{\text{Net Working Capital}}$	* This ratio shows how many times the working capital has been employed in the process of carrying on the business. * Higher the ratio, better the efficiency in the utilisation of working capital and vice-versa.	Times	* In case, both net sales and cost of goods sold are given, only cost of goods sold should be taken into account. * Net Sale = Gross Sale – Sales Return * Working Capital = Current Assets – Current Liabilities
IV. Profitability Ratios				
1. Gross Profit Ratio	$\frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$	* This ratio shows the relationship between Gross profit and Net sales. * Higher ratio means lower cost of goods sold.	Percent	* Gross Profit = Net Sales – Cost of Goods Sold

Description of Ratio	Formula	Significance	How Expressed	Remarks/ Explanation/ Contents
2. Net Profit Ratio	$\text{Net Profit} / \text{Net Sales} \times 100$	* This ratio indicates the overall efficiency of the business. * Higher the net profit ratio, better the business and vice-versa.	Percent	$\text{Net Profit} = \text{Net Sales} - \text{Cost of Goods Sold} - \text{operating expenses} - \text{Non operating expenses} - \text{Non operating incomes (OR)}$ $\text{Net Profit} = \text{Gross Profit} - \text{Indirect Expenses}$
3. Operating Profit Ratio	$\text{Operating Profit} / \text{Net Sales} \times 100$	* This ratio shows the operational efficiency of the management.	Percent	$\text{Operating Profit} = \text{Net Profit} + \text{Non-operating Expenses} - \text{Non-operating Income}$
4. Operating Ratio	$\text{Cost of Goods Sold} + \text{Operating Expenses} / \text{Net Sales} \times 100$	* This ratio shows the operational efficiency of a concern. * Decline in the ratio will result in more profit.	Percent	* $\text{Cost of Goods Sold} = \text{Sales} - \text{Gross Profit (OR)}$ * $\text{Cost of Goods Sold} = \text{Opening Stock} + \text{Purchases} + \text{Direct Expenses} + \text{Management Expenses} - \text{Closing Stock}$ * $\text{Net Sales} = \text{Sales} - \text{Sales Returns (Opening Expenses: Factory Expenses, Office Expenses and Selling Expenses)}$

Notes

- * Both Operating Profit Ratio and Operating Ratio are complementary to each other.
- * If one such ratio is deducted from 100, the other ratio can easily be obtained.
- * Post-mortem Analysis: Ratio Analysis is based on past records, i.e. what happened on a particular date. Nothing is revealed in the interim period. No facts about the future is disclosed.
- * Not conclusive result: A single ratio cannot be relied upon to take decisive action. Inter-related and overall analysis of all the concerned ratios can only yield the desired result to some extent. Ratios obtained by a single ratio analysis is not reliable and conclusive.

OBJECTIVE 9: RATIOS: ADVANCED LEVEL**9.1 Turnover Ratio**

The ratios to determine how quickly certain current assets are converted into cash are termed as Turnover Ratios.

Some important Turnover Ratios are:

1. Inventory Turnover Ratio
2. Debtors Turnover Ratio
3. Creditors Turnover Ratio

9.1.1 Inventory Turnover Ratio

Formula = $\text{Inventory Turnover Ratio} = \text{Cost of Goods Sold} / \text{Average Inventory}$

Remember

$\text{Cost of Goods Sold} = \text{Sales} - \text{Gross Profit}$

$$\text{Average Inventory} = \frac{\text{Opening Inventory} + \text{Closing Inventory}}{2}$$

This ratio is expressed by..... times.

High ratio indicates status of liquidity of a concern.

Low ratio indicates that the inventory stays for a long time in the warehouse, which is not advisable.

Computation of Inventory Turnover Ratio

Illustration: 37

A firm has sold goods worth Rs 4,00,000 with a gross profit margin of 25%. The stock at the beginning and at the end of the period are Rs 45,000 and Rs 55,000 respectively. Compute the Inventory Turnover Ratio.

Solution

$$\begin{aligned} \text{Step 1: Cost of Goods Sold} &= \text{Sales} - \text{Gross Profit} \\ \text{Sales} &= \text{Rs 4,00,000 (Given)} \\ \text{Gross Profit (G.P.)} &= 25\% \text{ of Rs 4,00,000} \\ &= \text{Rs 1,00,000 (Profit)} \\ &= (\text{Rs 4,00,000} - \text{Rs 1,00,000}) = \text{Rs 3,00,000} \end{aligned}$$

$$\text{Step 2: Average Inventory} = (\text{Rs 45,000} + \text{Rs 55,000})/2 \rightarrow (\text{Stock in the beginning} + \text{Stock at the end})/2$$

$$\text{Step 3: Inventory Turnover Ratio} = \text{Rs 3,00,000} / \text{Rs 50,000} = 6 \text{ times}$$

$$\begin{aligned} \text{Step 4: Inventory Holding Period} &= 12 \text{ Months} / \text{Inventory Turnover Ratio} \\ &= 12/6 = 2 \text{ months} \end{aligned}$$

9.1.2 Debtors Turnover Ratio

Formula

$$\begin{aligned} \text{Debtors Turnover Ratio} &= \text{Net Credit Sales} / \text{Average Debtors} \\ \text{Net Credit Sales} &= \text{Gross Credit Sales} - \text{Sales Returns} \\ \text{Average Debtors} &= \frac{\text{Debtors in the beginning} + \text{Debtors at the end}}{2} \end{aligned}$$

Note: Debtors include Bills Receivable.

High ratio indicates short time lag between credit sales and cash collection. A low ratio shows the slackness in debt recovery.

Computation of Debtors Turnover Ratio

Illustration: 38

A firm has made credit sales of Rs 2,00,000 during the year. The outstanding amount of debtors at the beginning and at the end of the year were Rs 20,000 and Rs 30,000 respectively. What is the Debtors Turnover Ratio?

Solution

Formula

$$\begin{aligned} \text{Debtors Turnover Ratio} &= \text{Net Credit Sales} / \text{Average Debtors} \\ \text{Average Debtors} &= \frac{\text{Rs 20,000} + \text{Rs 30,000}}{2} = \text{Rs 25,000} \\ &= \frac{\text{Rs 2,00,000}}{\text{Rs 25,000}} = 8 \text{ times (per year)} \\ \text{Debtors Collection Period} &= \frac{12 \text{ months}}{\text{Debtors Turnover}} = 12/8 = 1.5 \text{ months} \end{aligned}$$

9.1.3 Creditors Turnover Ratio

It is a ratio between net credit purchases and the average amount of creditors outstanding during the year.

Formula

$$\begin{aligned}\text{Creditors Turnover Ratio} &= \text{Net Credit Purchases/Average Creditors} \\ \text{Net Credit Purchases} &= \text{Gross Credit Purchases} - \text{Returns} \\ \text{Average Creditors} &= \frac{\text{Creditors in the beginning} + \text{Creditors at the end}}{2}\end{aligned}$$

Creditors include bills payable.

A low ratio shows the liberal credit policy.

A high ratio shows the speedy settlement of credit.

Computation of Creditors Turnover Ratio

Illustration: 39

A firm has made credit purchases of Rs 3,00,000. The amount payable to the creditors at the beginning and the end of the year is Rs 70,000 and Rs 80,000 respectively. Compute the Creditors Turnover Ratio.

Solution

$$\begin{aligned}\text{Creditors Turnover Ratio} &= \text{Net Credit Purchases/Average Creditors} \\ \text{Average Creditors} &= \frac{\text{Rs 70,000} + \text{Rs 80,000}}{2} = \text{Rs 75,000} \\ &= \frac{\text{Rs 3,00,000}}{\text{Rs 75,000}} = 4 \text{ times (per year)}\end{aligned}$$

$$\therefore \text{Creditors Payment Period} = \frac{12 \text{ months}}{\text{Creditors Turnover}} = \frac{12}{4} = 3 \text{ months}$$

9.2 Cash Cycle – Combined Effect of Turnover Ratios

Cash cycle shows the inter-relationships of sales, collections from debtors and payment to creditors. It reveals the combined effect of all these Turnover Ratios.

Assume that in the above three illustrations, the data showed relate to a single and same firm, then cash cycle.

$$\begin{aligned}\text{Inventory Holding Period} &= 2 \text{ months} \\ \text{Add: Debtors Collection Period} &= 1.5 \text{ months} \\ &\underline{3.5 \text{ months}} \\ \text{Less: Creditor's Payment Period} &= 3.0 \text{ months} \\ &\underline{0.5 \text{ months}}\end{aligned}$$

Shorter the cash cycle, better the liquidity status.

[The liquidity position of a firm, now-a-days, at international level, is also examined in relation to its ability to meet projected daily expenditure from operations. Such ratios – Defensive Interval Ratio (a ratio between quick assets and projected daily cash recruitments), Cash Flow from operations ratios are not dealt with here.]

9.3 Leverage Ratios

The other category of financial ratios is also termed as Leverage Ratios or Capital Structure Ratios. A modern approach is to express Debt Equity Ratio in terms of the relative proportion of long-term debt and shareholder's equity.

$$\text{Debt Equity Ratio} = \text{Long-term Debt/Shareholder's Equity}$$

In this approach, Current Liabilities are excluded in long-term debt. So, by including the Current Liabilities in the debt structure, Debt Equity Ratio is computed differently as

$$\text{Debt Equity Ratio} = \text{Total Debt/Shareholder's Equity}$$

The Debt Equity Ratio has wider implications, affecting the creditors, owners and even the firm itself. Do judicious combination of Creditors Funds and Owners Funds, that is, the proportion of debt in the

financial structure plays a crucial role in determining financial status of a firm. Technically this is termed as Leverage or Trading on Equity %.

This is further inter-related to Coverage Ratios, which measure the firm's ability to pay certain fixed charges. The Coverage Ratios measure the relation between what is normally available from operations of the firms and the claims of outsiders. Coverage Ratios – interest coverage, dividend coverage, total fixed charge coverage, total cash flow coverage, capital expenditure ratio, debt–service coverage ratio are not dealt with here.

9.4 Profitability Ratios

9.4.1 Profitability Ratios relating to Sales

We have discussed Profitability Ratios in the earlier part of the chapter. Now a slight advance step on Profitability Ratios is to be seen here. Profitability Ratios relating to sales is termed as Expense Ratio. There are different variants of Expense Ratios, depending upon the nature of expense. They are

- (i) Cost of Goods Sold = $\text{Cost of Goods Sold} / \text{Net Sales} \times 100$
- (ii) Operating Expenses Ratio = $\text{Administrative Expenses} + \text{Selling Expenses} / \text{Net Sales} \times 100$
- (iii) Administrative Expenses Ratio = $\text{Administrative Expenses} / \text{Net Sales} \times 100$
- (iv) Selling Expenses Ratio = $\text{Selling Expenses} / \text{Net Sales} \times 100$
- (v) Operating Ratio = $\text{Cost of Goods Sold} + \text{Operating Expenses} / \text{Net Sales} \times 100$
- (vi) Financial Expenses Ratio = $\text{Financial Expenses} / \text{Net Sales} \times 100$

Note: Expenses on taxes, dividends and extraordinary losses (theft, stock devasted by natural calamities) are not included.

Thus, specific Expenses Ratio for each of such items may be calculated. These Expense Ratios are inter-related with Profit Margin Ratio (G.P. Ratio, N.P. Ratio etc.). The Profitability Ratios based on sales (Expenses Ratio) is a very important tool for analysing the operational efficiency – the profitability of a manufacturing concern.

9.4.2 Profitability Ratios relating to Investments

Return on Investment Ratio: Profitability Ratios relating to Investments, measures the relationship of the profit of the firm to its Investments. These ratios are termed as Return on Investments (ROI).

Return on Assets: (based on assets) measure the relationship between net profit assets. The net profit may be (a) net profits after taxes (b) net profits after taxes + interest and (c) net profits after taxes + interest – tax savings and the assets may be (a) total assets (b) fixed assets and (c) tangible assets. As such, there are different variants in computation of return on assets.

Formulae for computing different return on assets:

- (A) Return on Assets (ROA) = $\text{Net Profit after Taxes} / \text{Average Total Assets} \times 100$
- (B) ROA = $\text{Net Profit after Taxes} + \text{Interest} / \text{Average Total Assets} \times 100$
- (C) ROA = $\text{Net Profit after Taxes} + \text{Interest} / \text{Average Tangible Assets} \times 100$
- (D) ROA = $\text{Net Profit after Taxes} + \text{Interest} / \text{Average Fixed Assets} \times 100$

The above formulae can be substituted by the following to ascertain the operating performance of a business entity.

Return on Capital Employed (ROCE): Here the capital employed is the base to test the profitability of a concern, relating to sources of long-term funds.

As the concepts of profits and capital employed vary, ROCE also can be computed in various ways:

- (A) ROCE = $\text{Earnings Before Interest and Taxes (EBIT)} / \text{Average Total Capital Employed} \times 100$
- (B) ROCE = $\text{Net Profit after Taxes} + \text{Interest} - \text{Tax advantage on Interest} / \text{Average Total Capital Employed} \times 100$

$$(C) \text{ ROCE} = \frac{\text{Net Profit after Taxes} + \text{Interest} - \text{Tax advantage on Interest}}{\text{Average Total Capital Employed} - \text{Average Intangible Assets}} \times 100$$

ROCE, in total, assess the firm's profitability, taking owners' funds and lenders' funds together.

9.4.3 Return on Shareholder's Equity

Profit is based on return on shareholder's equity and its different variants. Moving one step up, profitability of firm may be ascertained by computing Return on Shareholder's Equity.

There are different variants of the Return on Shareholder's equity. They are:

- (a) Rate of return on:
 - (i) Total Shareholders' Equity
 - (ii) Equity of Ordinary Shares
- (b) Earnings Per Share (EPS)
- (c) Dividend Per Share (DPS)
- (d) Dividend Payout Ratio (D/P Ratio)
- (e) Dividend and Earnings Yield
- (f) Price Earnings Ratio (P/E Ratio)
- (g) Return on Investment (ROI) and (h) Computing of ROI Ratio

9.4.3.1a Return on Total Shareholders' Equity: Return on Total Shareholders' Equity = $\frac{\text{Net Profit after Taxes}}{\text{Average Total Shareholders' Equity}} \times 100$

Total Shareholders' Equity = Preference Share Capital + Ordinary Shareholders' Equity (equity share capital + share premium + (reserves and surplus – accumulated loss))

This ratio indicates how profitably the owners' funds have been utilised by the business entities.

9.4.3.1b Rate of Return on Equity of Ordinary Shareholders: It is also called as Net Worth. This ratio measures the return on the total equity funds of ordinary shareholders.

$$\text{Return on Equity Funds} = \frac{\text{Net Profit after Taxes} - \text{Preference Dividend}}{\text{Average Ordinary Shareholders' Equity}} \times 100$$

(or)

Net Worth

This is the most essential and vital ratio for equity shareholders of a company. Since equity shareholders are real owners, this ratio plays a crucial and significant role in industries.

9.4.3.2 Earnings Per Share (EPS): This measures the extent of profit available to the equity shareholders. Profit is computed as per share basis.

Earnings Per Share = $\frac{\text{Net Profit (after taxes and dividend on performance shares)}}{\text{No. of Ordinary Shares Outstanding}} \times 100$

These ratios can be analysed by (i) intra-firm results (past records) (ii) inter-firm comparisons and (iii) overall industry results.

Besides these,

- a. Cash Earnings Per Share,
- b. Book Value Per Share and
- c. Price to Book Value Shares

are also useful in analysing and predicting future returns from Stock.

9.4.3.3 Dividend Per Share (DPS): DPS = $\frac{\text{Dividend paid to ordinary shareholders}}{\text{No. of Ordinary Shares Outstanding}}$

DPS may be a better indicator than EPS, as it shows the distribution of net profit to ordinary shareholders.

9.4.3.4 Dividend Payout Ratio (D/P Ratio): This ratio measures the proportion of dividends paid to earning available to shareholders.

$$\text{D/P Ratio} = \frac{\text{Total Dividend to equity holders}}{\text{Total net profit belonging to equity holders}} \times 100$$

or

$$\text{D/P Ratio} = \frac{\text{DPS (Dividend Per Share)}}{\text{EPS (Earnings Per Share)}} \times 100$$

From this, Retention Ratio is computed.

$$\text{Retention Ratio} = 100 - \text{D/P Ratio}$$

This is useful to measure how much is retained in the business from the net profits earned.

These two ratios, i.e. EPS and DPS are generally based on book value of shares (per share).

9.4.3.5 Earnings and Dividend Yield: Yield of a firm may also be expressed on the basis of market value of shares (per share). These are (i) Earnings Yield (ii) Dividend Yield

They are computed as:

$$(i) \text{ Earnings Yield} = \text{EPS/Market Value Per Share} \times 100$$

$$(ii) \text{ Dividend Yield} = \text{DPS/Market Value Per Share} \times 100$$

9.4.3.6 Price Earnings Ratio (P/E Ratio): This ratio measures the amount that investors are willing to pay for each rupee of earnings.

$$\text{P/E Ratio} = \frac{\text{Market Price of Share}}{\text{EPS}}$$

- This ratio measures investors' expectations and the market appraisal of the performance of a business entity.
- As investors on firm's performance is assessed, this is very useful to the investors.
- Further advanced concepts such as Return on Equity (ROE), Growth Rates, Internal Growth Rate (IGR) and Sustainable Growth Rates (SGR) are not dealt with here.

9.4.3.7 Return on Investment (ROI): This ratio measures the relationship of profit with capital employed.

Formula:

$$\text{ROI} = \frac{\text{Profit before Interest, Tax and Dividend}}{\text{Capital Employed}} \times 100$$

- This ratio is expressed in percentage.
- This is useful to ascertain how much income the use of Rs 100 of Capital generates.
- This ratio measures how efficiently the sources entrusted to the business are used.
- This ratio also ascertains the efficiency of different units within a business concern.

9.4.3.8 Computation of ROI Ratio: Capital employed is to be computed, first. For this, any of the following methods can be adopted.

Method 1: Sum of (1) Share Capital (includes preference and equity) (2) Reserves and (3) Long-term loans has to be done.

From this total, the following items have to be deducted: (1) Fictitious Assets (e.g. preliminary expenses) and (2) Non-operating assets.

Net result will be the Capital employed.

Method 2: Capital employed will be ascertained by adding all the fixed assets (less depreciation) and the working capital of a concern.

Illustration: 40

Following is the Balance Sheet of Raj Ltd as on Mar 31, 2009: Compute ROI:

Liabilities	Rs	Assets	Rs
Share Capital	10,00,000	Fixed Assets	25,00,000
Reserves	7,00,000	Current Assets	15,00,000
10% Loans	10,00,000	Underwriting Commission	1,00,000
Current Liabilities	10,00,000		
Profit for the year	<u>4,00,000</u>		
	41,00,000		<u>41,00,000</u>

Solution

Step 1: Profit before interest has to be computed.

	Rs
Profit (as shown in the question)	4,00,000
Add: Interest (10% on Rs 10,00,000)	<u>1,00,000</u>
Profit before interest	<u>5,00,000</u>

Step 2: Capital employed is to be computed.

Method 1: Fixed Assets (Net)	25,00,000
Add: Working Capital	
Current Assets – Current Liabilities	5,00,000
(Rs 15,00,000 – Rs 10,00,000)	
Capital Employed	<u>30,00,000</u>

This can be ascertained by another way.

Method 2: Share Capital	10,00,000
Add: (Reserves + Profits)	
Rs 7,00,000 + Rs 4,00,000	<u>11,00,000</u>
	21,00,000
Add: Loans	<u>10,00,000</u>
	<u>31,00,000</u>
Less: Underwriting Commission	<u>1,00,000</u>
Capital Employed	<u>30,00,000</u>

Step 3: → ROI = Profit before Interest/Capital Employed × 100
 = Rs 5,00,000/Rs 30,00,000 × 100
 = 16.66%

Calculation of Capital Employed

Illustration: 41

The Balance Sheet of X Ltd as on Mar 31, 2009.

Liabilities	Rs	Assets	Rs
Share Capital		Fixed Assets	1,00,000
Equity Share Capital	2,50,000	Land	1,00,000
Preference Share Capital	1,00,000	Building	1,77,500
Reserves and Surplus		Plant and Machinery	37,500
General Reserve	1,25,000	Furniture and Fixtures	25,000
Loan Funds		Vehicles	1,00,000
Secured Term Loan 10%	1,50,000	Investment: (in shares)	
Cash Credit Loan	10,00,000	Current Assets, Loans, Advances etc.	
Current Liabilities		Inventories	2,00,000
Sundry Creditors	75,000	Sundry Debtors	2,35,000
Outstanding Expenses	50,000	Cash and Bank Balance	35,000
Provisions		Miscellaneous Expenditure	25,000
For Tax	1,50,000	(to the extent not written off)	
For Dividend	35,000		
	<u>19,35,000</u>		<u>10,35,000</u>

Additional Information

Net profit for the year was Rs 1,00,000 after charging interest of Rs 20,000 on secured term loan, but before tax.

Calculate Return on Capital Employed for the year.

Solution

[**Note:** As Net profit and interest are shown in additional information they may straight away be taken for the computation of the Profit Before Interest (PBI).

Step 1: Here profit is shown after charging interest. So profit is added to interest here to arrive at Profit Before Interest.

Therefore, Profit Before Interest = Rs 1,00,000 + Rs 20,000 = Rs 1,20,000

Step 2: Capital Employed is now calculated.

Method 1: Fixed Assets

(Rs 1,00,000 + Rs 1,00,000 + Rs 1,77,500 + Rs 37,500 + Rs 25,000)	=	Rs 4,40,000
Add → Working Capital (C.A.– C.L.)	=	<u>Rs 60,000</u>
(Rs 4,70,000 – Rs 4,10,000)		<u>Rs 5,00,000</u>

Method 2

	Rs
Share Capital	2,50,000
Preference Share Capital	1,00,000
Add: Reserves and Surplus	1,25,000
Add: Long-term Loan	<u>1,50,000</u>
	6,25,000
Less: Miscellaneous Expenditure	<u>25,000</u>
	6,00,000
Less: Investment	<u>1,00,000</u>
Capital Employed	5,00,000

Step 3: Return on Capital Employed: $\text{PBI/Capital Employed} \times 100$
 $= 1,20,000/5,00,000 \times 100 = 24\%$

Note: Investments not taken into account here assuming it is not exclusively for the business concern.

Computation of EPS

Illustration: 42

Calculate the Earnings Per Share from the following data.

	Rs
Net Profit after Tax	6,00,000
10% Preference Share Capital (Rs 10 each)	10,00,000
Equity Share Capital (Rs 10 per share)	10,00,000

Solution

	Rs
Preference Dividend: 10% of Rs 10,00,000	1,00,000
Number of Equity Shares	10,00,000/10
	1,00,000
Net Profit	6,00,000

Substitute the figures in the equation or formula:

$$\begin{aligned} \text{Earnings Per Share} &= \frac{\text{Net Profit after Tax} - \text{Proposed Dividend}}{\text{No. of Equity Shares}} \\ &= \frac{\text{Rs } 6,00,000 - \text{Rs } 1,00,000}{1,00,000} \\ &= \text{Rs } 5,00,000/1,00,000 = \text{Rs } 5 \\ \text{EPS} &= \text{Rs } 5 \text{ per share} \end{aligned}$$

Computation of DPS

Illustration: 43

Net Profit after interest and tax Rs 5,00,000. Profit distributed as dividend 50%. Equity Share Capital (25,000 equity shares Rs 100 per share) Rs 25,00,000. Calculate Dividend Per Share.

Solution

$$\begin{aligned} \text{DPS} &= \text{Profit distributed as Dividend/No. of Equity Shares} \\ &= (50\% \text{ of Rs } 5,00,000)/25,000 = \text{Rs } 2,50,000/25,000 \\ &= \text{Rs } 10 \\ \text{DPS} &= \text{Rs } 10 \text{ per Share} \end{aligned}$$

Illustration: 44

Earnings per share Rs 25. Market Price per share Rs 400. Calculate Price Earning Ratio.

Solution

$$\begin{aligned} \text{Price Earning Ratio} &= \frac{\text{Market Price per Share}}{\text{Earning Per Share}} \\ (\text{P/E Ratio}) &= \text{Rs } 400/\text{Rs } 25 = 16 \end{aligned}$$

Illustration: 45

The Capital of Vasanth Co. Ltd is as follows:

	Rs
10% Preference Share of Rs 10 each	5,00,000
Equity Shares of Rs 10 each	<u>20,00,000</u>
	<u>25,00,000</u>

Further Information

	Rs
Profit after Tax	2,50,000
Equity Dividend Paid	1,00,000
Market Price per Equity Share	50
Calculate: (i) Earnings Per Share and (ii) Price Earning Ratio.	

Solution

- (i) $EPS = \frac{\text{Net Profit after Preference Dividend}}{\text{No. of Equity Shares}}$
 $= \text{Rs } 2,50,000 - (10\% \text{ of } 5,00,000)/2,00,000$
 $= \frac{\text{Rs } 2,50,000 - \text{Rs } 50,000}{2,00,000} = \text{Rs } 2,00,000/2,00,000$
 $= \text{Re. 1 per share}$
- (ii) $P/E \text{ Ratio} = \text{Market Price per Share/Earning per Share}$
 $= \text{Rs } 50/\text{Re. 1} = 50 : 1$

(Combining these two ratios, that is, EPS and P/E, market value of share in future may be computed, which means forecast.)

$$\begin{aligned} \text{[Here Market Price per Share} &= \text{EPS} \times \text{P/E} \\ &= 1 \times 50 = \text{Rs } 50 \text{]} \end{aligned}$$

Illustration: 46

	Rs
Equity Share Capital (Rs 10 per Share)	25,00,000
Reserves and Surplus	2,50,000
Secured Loan (15%)	12,50,000
10% Unsecured Loan	6,25,000
Fixed Assets	15,00,000
10% Investments	2,50,000
Operating Profit	12,50,000
Income Tax Rate	50%
Market Price per Share	50
Calculate Price Earning Ratio (P/E).	

Solution

Step 1: First, EPS has to be ascertained.

	Rs
Operating Profit	12,50,000
Less: (i) Interest on 15% loan: Rs 1,87,500	
(ii) Interest on 10% loan: Rs <u>62,500</u>	<u>2,50,000</u>
Profit before Tax	<u>10,00,000</u>
Less: Income Tax 50%	<u>5,00,000</u>
Profit after Tax	<u>5,00,000</u>

Step 2: No. of Equity Shares
 $= \text{Rs } 25,00,000/\text{Rs } 10 = 2,50,000 \text{ shares}$

Step 3: $EPS = \text{Profit after Tax/No. of Equity Shares}$
 $= \text{Rs } 5,00,000/2,50,000 = \text{Rs } 2$

Step 4: Calculation of P/E Ratio

P/E Ratio = Market Price per Share/EPS

$$= \frac{\text{Rs } 50}{\text{Rs } 2} = \text{Rs } 25$$

SOLVED PROBLEMS FOR PROFESSIONAL COURSES – COMPREHENSIVE**Construction of Trading and Profit A/c****Illustration: 47**

You are given the following information for the year 2008–09 from the books of a firm engaged in trading operations.

Average monthly sales for the year amounted to Rs 30,000

Goods are sold at cost plus 25%

Stock-in-trade on Mar 31, 2009: Rs 29,000

Stock Turnover Ratio: 10

Operating Ratio: 85% Turnover

Depreciation charged on fixed assets for the year: Rs 10,000

Non-operating income for the year consisted of Bank Interest Rs 1,500 and Dividends received from investments Rs 2,500.

Non-operating expenses amounted to Rs 2,500 towards the sale of fixed assets.

You are required to construct the Trading and Profit and Loss Account of the firm for the year ended Mar 31, 2009.

(ICWA Inter – Modified)

Solution

The following have to be computed in the order of sequence: (1) G.P. (2) Opening Stock (3) Purchases (4) Net Operating Profit (5) Total Operating Expenses to construct the Trading and Profit and Loss A/c.

Step 1: Calculation of Gross Profit

Gross Profit = 25% of Sales

$$= 25/100 \times (\text{Rs } 30,000 \times 12)$$

$$= 1/4 \times \text{Rs } 3,60,000$$

$$= \text{Rs } 90,000$$

Step 2: Calculation of Opening Stock

$$\begin{aligned} \text{Cost of Goods Sold} &= \text{Sales} - \text{G.P.} \\ &= \text{Rs } 3,60,000 - \text{Rs } 90,000 \\ &= \text{Rs } 2,70,000 \end{aligned}$$

$$\begin{aligned} \text{Stock Turnover} &= \text{Cost of Goods Sold/Average Stock} \\ 10 \text{ (Given)} &= \text{Rs } 2,70,000/\text{Average Stock} \end{aligned}$$

Let Average Stock be X.

$$\text{Then } 10 = \text{Rs } 2,70,000/X$$

$$10 \times X = \text{Rs } 2,70,000$$

$$X = \text{Rs } 2,70,000/10 = \text{Rs } 27,000$$

$$\text{Average Stock} = (\text{Opening Stock} + \text{Closing Stock})/2$$

$$\text{Rs } 27,000 = (\text{Opening Stock} + \text{Closing Stock})/2$$

$$(\text{Opening Stock} + \text{Closing Stock})/2 = \text{Rs } 27,000$$

Let Opening Stock be taken as “Y”

$$Y + \text{Closing Stock} = \text{Rs } 27,000 \times 2$$

$$\begin{aligned}
 Y + \text{Rs } 29,000 &= \text{Rs } 54,000 \\
 \text{(Given)} & \\
 Y &= \text{Rs } 54,000 - \text{Rs } 29,000 \\
 \text{Therefore, Opening Stock} &= \text{Rs } 25,000
 \end{aligned}$$

Step 3

$$\begin{aligned}
 \text{Purchases} &= \text{C.G.S.} + \text{Opening Stock} - \text{Closing Stock} \\
 \text{Purchases} &= \text{Rs } 2,70,000 + \text{Rs } 29,000 - \text{Rs } 25,000 \\
 &= \text{Rs } 2,74,000
 \end{aligned}$$

Step 4: Calculation of Net Operating Profit

$$\begin{aligned}
 \text{Operating Ratio} &= \frac{\text{Total Operating Expenses}}{\text{Sales}} \times 100 \\
 85 &= \frac{\text{Total Operating Expenses}}{\text{Rs } 3,60,000} \times 100 \\
 \text{(Given)} &
 \end{aligned}$$

$$\begin{aligned}
 \text{Therefore, Total Operating Expenses} &= 85 \times 3,60,000/100 \\
 &= \text{Rs } 3,06,000
 \end{aligned}$$

$$\begin{aligned}
 \text{Therefore, Net Operating Profit} &= \text{Sales} - \text{Total Operating Expenses} \\
 &= \text{Rs } 3,60,000 - \text{Rs } 3,06,000 \\
 &= \text{Rs } 54,000
 \end{aligned}$$

Step 5: Calculation of Operating Expenses

$$\begin{aligned}
 \text{Operating Expenses other than Depreciation} &= \text{Total Operating Expenses} - \text{C.G.S.} - \text{Depreciation} \\
 &= \text{Rs } 3,06,000 - \text{Rs } 2,70,000 - \text{Rs } 10,000 \\
 &\quad \downarrow \quad \quad \downarrow \quad \quad \downarrow \\
 &\quad \text{(Step 4)} \quad \text{(Step 2)} \quad \text{(Given)} \\
 &= \text{Rs } 26,000
 \end{aligned}$$

Step 6: Construction of Trading and Profit and Loss Account

Trading and Profit and Loss Account
For the Year Ending Mar 31, 2009

Liabilities	Rs	Assets	Rs
To Opening Stock (from Step 2)	25,000	By Sales	3,60,000
To Purchases (from Step 3)	2,74,000	By Closing Stock (given)	29,000
To Gross Profit (from Step 1)	90,000		
	<u>3,89,000</u>		<u>3,89,000</u>
To Operating Expenses (from Step 5)	26,000	By Gross Profit (from Step 1)	90,000
To Depreciation (given)	10,000		
To Net Operating Profit (from Step 4)	54,000		
	<u>90,000</u>		<u>90,000</u>
To Loss on Sale of Fixed Assets (given)	2,500	By Net Operating Profit (from Step 4)	54,000
To Net Profit (bal fig.)	55,500	By Bank Interest	1,500
		By Dividend (given)	<u>2,500</u>
	<u>58,000</u>		<u>58,000</u>

Construction of Balance Sheet**Illustration: 48**

From the particulars furnished here under, you are required to prepare the Balance Sheet: Stock Velocity: 6; Gross Profit Margin = 20%; Capital Turnover Ratio: 2; Fixed Assets Turnover Ratio: 4; Debt Collection Period: 2 months; Creditors Payment Period: 73 days; Gross Profit was Rs 3,00,000; Excess of Closing Stock over Opening Stock was Rs 25,000; Difference in Balance Sheet represents Bank balance.

(C.A. Inter – Modified)

Solution

(Assumption: The entire sales and purchases were made on credit.)

Note: Missing figures which are inter-related with other items are to be ascertained in the following sequences.

Step 1: Computation of Sales

$$\text{Gross Profit Margin} = 20\%$$

$$\text{Gross Profit (Given)} = \text{Rs } 3,00,000$$

$$\begin{aligned}\text{Therefore, Sales} &= 100/20 \times \text{Rs } 3,00,000 \\ &= \text{Rs } 15,00,000\end{aligned}$$

Step 2: Cost of Goods Sold has to be computed.

$$\begin{aligned}\text{Cost of Goods Sold} &= \text{Sales} - \text{Gross Profit} \\ &= \text{Rs } 15,00,000 - \text{Rs } 3,00,000 \\ &= \text{Rs } 12,00,000\end{aligned}$$

Step 3: Calculation of Opening Stock and Closing Stock.

$$\text{Stock Velocity} = 6 \text{ (Given)}$$

$$\begin{aligned}\text{Remember: Average Stock} &= \text{Cost of Goods Sold} / \text{Stock Velocity} \\ &= \text{Rs } 12,00,000 / 6 = \text{Rs } 2,00,000\end{aligned}$$

Let Opening Stock be taken as X Rs

$$\text{Then Closing Stock} = \text{Rs } (X + 25,000)$$

Remember another Equation:

$$\text{Average Stock} = \frac{\text{Opening Stock} + \text{Closing Stock}}{2}$$

$$\text{Rs } 2,00,000 = \frac{X + X + \text{Rs } 25,000}{2}$$

$$\text{Rs } 2,00,000 = \frac{2X + \text{Rs } 25,000}{2}$$

$$2X + \text{Rs } 25,000 = \text{Rs } 2,00,000 \times 2$$

$$2X = \text{Rs } 4,00,000 - \text{Rs } 25,000$$

$$= \text{Rs } 3,75,000$$

$$X = \text{Rs } 3,75,000 / 2 = \text{Rs } 1,87,500$$

$$\text{Therefore, Opening Stock} = \text{Rs } 1,87,500$$

$$\text{Closing Stock} = \text{Rs } 1,87,500 + \text{Rs } 25,000$$

$$= \text{Rs } 2,12,500$$

Step 4: Computation of Capital

$$\begin{aligned}\text{Remember: Capital} &= \text{Sales} / \text{Capital Turnover Ratio} \\ &= \text{Rs } 15,00,000 / 2 = \text{Rs } 7,50,000\end{aligned}$$

Step 5: Computation of Fixed Assets

Remember: Fixed Assets = Sales/Fixed Assets Turnover Ratio
 = Rs 15,00,000/4 = Rs 3,75,000

Step 6: Calculation of Debtors

Debt Collection Period = 2 months

Debtors = Credit Sales $\times$ 2/12
 = Rs (15,00,000) $\times$ (2/12)
 = Rs 2,50,000

Step 7: Computation of Purchases

Purchases = Cost of Goods Sold + Excess of Closing Stock over Opening Stock
 = Rs 12,00,000 + Rs 25,000
 = Rs 12,25,000

Step 8: Computation of Creditors

Creditors Payment Period = 73 days

Creditors = (Credit Purchases) $\times$ 73/365
 = (Rs 12,25,000) $\times$ 73/365
 = Rs 2,45,000

Step 9: Finally, Preparation of Balance Sheet**Balance Sheet as on**

Liabilities	Rs	Assets	Rs
Capital (from Step 4)	7,50,000	Fixed Assets (from Step 5)	3,75,000
Creditors (from Step 8)	2,45,000	Current Assets:	
		Stock	2,12,500
		Debtors	2,50,000
		Cash at Bank (balancing figure)	1,57,500
	<u>9,95,000</u>		<u>9,95,000</u>

Calculation of Missing Figures**Illustration: 49**

Complete the following annual financial statements on the basis of ratios provided as under.

Profit and Loss Account
for the Year Ended Mar 31, 2009

	Rs		Rs
To Cost of Goods Sold	3,00,000	By Sales	10,00,000
To Operating Expenses	—		
To EBIT	<u>—</u>		<u>—</u>
To Debentures Interest	5,000	By Earning before Interest and Tax	—
To Income Tax	—		
To Net Profit	<u>—</u>		<u>—</u>

	<i>Rs</i>		<i>Rs</i>
Net Worth		Fixed Assets	–
Share Capital	–	Current Assets:	
Reserves and Surplus	–	Cash	–
10% Debenture	–	Stock	–
Sundry Creditors	<u>30,000</u>	Debtors	<u>17,500</u>

- (a) Net Profit to Sales 5%
- (b) Current Ratio 1.5
- (c) Return on Net worth 20%
- (d) Inventory Turnover 15 times
(based on Cost of Goods Sold)
- (e) Share Capital to Reserves 4:1
- (f) Rate of Income Tax 50%

(C.A. Inter – Modified)

Solution

Missing figures have to be ascertained in the following sequence (as the particulars relating to ratio are inter-related).

Step 1: Profit after Tax (PAT)

$$\begin{aligned}\text{PAT} &= \text{Sales} \times \text{Net Profit Ratio} \\ &= 10,00,000 \times 5\% = \text{Rs } 50,000\end{aligned}$$

Step 2: Provision for Tax

Income Tax Rate is 50%

Income Tax 50% of PBIT and

Profit after Tax = Balance 50%

(PAT)

Therefore PAT and Income Tax are equal

Hence Income Tax = (same as PAT) Rs 50,000 (Step 1)

Step 3: Debentures

Debentures = Interest on Debentures/Rate of Interest

$$= \text{Rs } 5,000 \text{ (Given)} / 10\% = \text{Rs } 50,000$$

Step 4: EBIT

EBIT = Net Profit after Tax + Provision for Tax + Debentures interest

$$= \text{Rs } 50,000 + \text{Rs } 50,000 + \text{Rs } 5,000$$

$$= \text{Rs } 1,05,000$$

Step 5: Net Worth

Net Worth = Return/Rate of Return on Net Worth

$$= \text{Rs } 50,000 / 20\% = \text{Rs } 2,50,000$$

Step 6: Share Capital

$$\begin{aligned}\text{Share Capital} &= \text{Net Worth} \times 4/5 \\ &= \text{Rs } 2,50,000 \times 4/5 = \text{Rs } 2,00,000\end{aligned}$$

Step 7: Reserves

$$\begin{aligned}\text{Reserves} &= \text{Net Worth} - \text{Share Capital} \\ &= \text{Rs } 2,50,000 - \text{Rs } 2,00,000 = \text{Rs } 50,000\end{aligned}$$

Step 8: Current Assets

$$\begin{aligned}\text{Current Assets} &= \text{Current Liabilities} \times 1.5 \\ &= (\text{Given as Sundry Creditors}) \\ &\quad \text{Rs } 30,000 \times 1.5 = \text{Rs } 45,000\end{aligned}$$

Step 9: Closing Stock

$$\begin{aligned}\text{Closing Stock} &= \text{Cost of Goods Sold/Inventory Turnover Ratio} \\ &= \text{Rs } 3,00,000/15 = \text{Rs } 20,000\end{aligned}$$

**Profit and Loss Account
for the Year Ended Mar 31, 2009**

	<i>Rs</i>		<i>Rs</i>
To Cost of Goods Sold	3,00,000	By Sales	10,00,000
To Operating Expenses	5,95,000		
To EBIT	1,05,000		
	<u>10,00,000</u>		<u>10,00,000</u>
To Debenture Interest	5,000	By EBIT	1,05,000
To Income Tax	50,000		
To Net Profit	50,000		
	<u>1,05,000</u>		<u>1,05,000</u>

Balance Sheet as on Mar 31, 2009

<i>Liabilities</i>	<i>Rs</i>	<i>Rs</i>	<i>Assets</i>	<i>Rs</i>	<i>Rs</i>
Net Worth:			Fixed Assets		2,85,000
Share Capital	2,00,000		Current Assets:		
Reserves and Surplus	<u>50,000</u>	2,50,000	Cash	7,500	
10% Debentures		50,000	Stock	20,000	
Sundry Creditors		<u>30,000</u>	Debtors	<u>17,500</u>	<u>45,000</u>
		<u>3,30,000</u>			<u>3,30,000</u>

Preparation of Final Accounts**Illustration: 50**

From the following ratios and further information, you are required to prepare a Trading and Profit and Loss Account:

- (i) Fixed Assets/Capital = 5/4
- (ii) Fixed Assets Rs 2,50,000
- (iii) Capital/Liabilities = 1/2

- (iv) Net Profit/Capital = $1/5$
- (v) Gross Profit Ratio 20%
- (vi) Stock Turnover Ratio = 10
- (vii) Fixed Assets/Total Current Assets = $5/7$
- (viii) Net Profit to Sales 20%
- (ix) Closing Stock Rs 25,000

Out of Current Assets, Sundry Debtors are Rs 3,00,000.

The balance represents Cash.

(CA – Modified)

Solution

Note: In ratio analysis, the particulars are inter-related. As such, missing figures have to be computed in the sequence as follows:

Step 1: Calculation of Capital

$$\text{Fixed Assets/Capital} = 5/4$$

$$\text{Rs } 2,50,000/\text{Capital} = 5/4$$

$$\text{Capital} \times 5 = 4 \times \text{Rs } 2,50,000$$

$$\text{Therefore, Capital} = 4 \times \text{Rs } 2,50,000/5 = \text{Rs } 2,00,000$$

Step 2: Liabilities value is to be computed

$$\text{Capital/Liabilities} = 1/2$$

$$\text{Rs } 2,00,000/\text{Liabilities} = 1/2$$

$$2 \times \text{Rs } 2,00,000 = 1 \times \text{Liabilities}$$

$$\text{Therefore, Liabilities} = \text{Rs } 4,00,000$$

Step 3: Computation of Net Profit

$$\text{Net Profit/Capital} = 1/5$$

$$\text{Net Profit}/2,00,000 = 1/5$$

$$\text{Net Profit} \times 5 = 1 \times \text{Rs } 2,00,000$$

$$\text{Net Profit} = \text{Rs } 2,00,000/5$$

$$= \text{Rs } 40,000$$

Step 4: Computation of Sales

$$\text{Net Profit/Sales} \times 100 = 20 \text{ (Given: Particular No. (viii))}$$

$$\text{Rs } 40,000/\text{Sales} \times 100 = 20$$

$$\text{Therefore, Sales} = \text{Rs } 40,000 \times 100/20 = \text{Rs } 2,00,000$$

Step 5: Computation of Gross Profit

$$\text{Gross Profit Ratio} = 20\% \text{ (Given)}$$

$$\text{Gross Profit/Sales} \times 100 = 20$$

$$\text{Gross Profit}/\text{Rs } 2,00,000 \times 100 = 20$$

$$\text{Therefore, Gross Profit} = \text{Rs } 2,00,000 \times 20/100 = \text{Rs } 40,000$$

Step 6: Computation of Opening Stock

Take the equation,

$$\text{Cost of Goods Sold} = \text{Sales} - \text{Gross Profit}$$

$$= \text{Rs } 2,00,000 - \text{Rs } 40,000 = \text{Rs } 1,60,000$$

Going to other related equation:

Cost of Goods Sold/Average Stock = Stock Turnover Ratio

Rs 1,60,000/Average Stock = 10 (Given)

Rs 1,60,000 = 10 × Average Stock

Average Stock = Rs 1,60,000/10 = Rs 16,000

$\frac{\text{Opening Stock} + \text{Closing Stock}}{2}$ = Average Stock

Opening Stock + Closing Stock = 2 × Average Stock

= 2 × Rs 16,000

= Rs 32,000

Opening Stock + Rs 25,000 = Rs 32,000

Therefore, Opening Stock = Rs 32,000 – Rs 25,000

= Rs 7,000

Step 7: Cash Balance

Fixed Assets/Total Current Assets = 5/7

Rs 2,50,000/Total Current Assets = 5/7

5 × Total Current Assets = 7 × Rs 2,50,000

Total Current Assets = 7 Rs 2,50,000/5

= 7 × Rs 50,000

= Rs 3,50,000

But Total Current Assets = Closing Stock + Debtors + Cash

Cash = Total Current Assets – Closing Stock – Debtors

= Rs 3,50,000 – Rs 25,000 – Rs 3,00,000

= Rs 25,000

Step 8: Finally, after obtaining all the figures, we have to prepare first, Trading and Profit and Loss Account and then the Balance Sheet.

Trading and Profit and Loss Account for the Year Ended

	Rs		Rs
To Opening Stock (from Step 6)	7,000	By Sales (from Step 4)	2,00,000
To Gross Profit (from Step 5)	40,000	By Closing Stock (given)	25,000
To * Purchases (balancing figure)	1,78,000		<u>2,25,000</u>
	<u>2,25,000</u>		
To *Expenses	(Nil)	By Gross Profit (Step 5)	40,000
To Net Profit (From Step 3)	40,000		<u>40,000</u>
	40,000		40,000

Balance Sheet as at

Liabilities	Rs	Assets	Rs
Capital	2,00,000	Fixed Assets	2,50,000
Liabilities	4,00,000	Closing Stock	25,000
		Sundry Debtors	3,00,000
		*Cash	25,000
		(balancing figure)	<u>6,00,000</u>
	<u>6,00,000</u>		6,00,000

Construction of a Proforma Balance Sheet**Illustration: 51**

From the following information, compute the Proforma Balance Sheet of a public limited company:

Sales = Rs 20,00,000

Sales to Net Worth = 2 times

Current liabilities to Net Worth = 40%

Total liabilities to Net Worth = 60%

Current Ratio = 3 times

Sales to Closing Inventory = 5 times

Average Collection Period = 73 days

Proforma Balance Sheet

Liabilities	Rs	Assets	Rs
Net Worth	?	Fixed Assets	?
Long-term Liabilities	?	Cash	?
Current Liabilities	?	Stock Sundry Debtors	?

(C.A. Inter, Modified)

Solution

Note: Proforma Balance Sheet itself is a hint to ascertain the missing figures. It is done as follows:

Step 1: Computation of Net Worth

Sales to Net Worth = 2 times (given)

Rs 20,00,000/Net Worth = 2

Net Worth $\times$ 2 = Rs 20,00,000

Net Worth = Rs 20,00,000/2

= Rs 10,00,000

Step 2: Computation of Current Liabilities

Current Liabilities to Net Worth = 40% (given)

Current Liabilities/Net Worth = 40/100

Current Liabilities/Rs 10,00,000 = 40/100

100 $\times$ Current Liabilities = 40 $\times$ Rs 10,00,000

Current Liabilities = 40 Rs 10,00,000/100

= Rs 4,00,000

Step 3: Computation of Long-term Liabilities

Total Liabilities to Net Worth = 60% (given)

Total Liabilities/Net Worth = 60/100

100 $\times$ Total Liabilities = 60 $\times$ Rs 10,00,000

Total Liabilities = 60 $\times$ Rs 10,00,000/100

= Rs 6,00,000

Therefore, Long-term liabilities = Total Liabilities – Current Liabilities

= Rs 6,00,000 – Rs 4,00,000

= Rs 2,00,000

Step 4: Computation of Current Assets

$$\begin{aligned}\text{Current Ratio} &= \text{Current Assets/Current Liabilities} = 3 \text{ (Given)} \\ &= \text{Current Assets/Rs 4,00,000} = 3 \text{ (Given)} \\ \text{Therefore, Current Assets} &= 3 \times \text{Rs 4,00,000} \\ &= \text{Rs 12,00,000}\end{aligned}$$

Step 5: Calculation of Stock

$$\begin{aligned}\text{Sales to Closing Inventory} &= 5 \text{ times (Given)} \\ \text{Sales/Stock} &= 5 \text{ times} \\ \text{Rs 20,00,000} &= 5 \times \text{Stock} \\ \text{Therefore, Stock} &= \text{Rs 20,00,000/5} \\ &= \text{Rs 4,00,000}\end{aligned}$$

Step 6: Computation of Sundry Debtors

$$\begin{aligned}\text{Average Collection Period} &= 73 \text{ days} \\ \text{Sundry Debtors/Sales/365} &= 73 \\ \text{Therefore, Sundry Debtors} &= \text{Rs 20,00,000} \times 73/365 \\ &= \text{Rs 4,00,000}\end{aligned}$$

Step 7: Computation of Cash

$$\begin{aligned}\text{Cash} &= \text{Current Assets} - \text{Stock} - \text{Debtors} \\ &= \text{Rs 12,00,000} - \text{Rs 4,00,000} - \text{Rs 4,00,000} \\ &= \text{Rs 4,00,000}\end{aligned}$$

Step 8: Finally, Proforma Balance Sheet has to be drawn.**Proforma Balance Sheet**

Liabilities	Rs	Assets	Rs
Net Worth (From Step 1)	10,00,000	Fixed Assets (Balancing Figure)	4,00,000
Long-term Liabilities (From Step 3)	2,00,000	Sundry Debtors (From Step 6)	4,00,000
Current Liabilities (From Step 2)	4,00,000	Stock (From Step 5)	4,00,000
		Cash (From Step 7)	4,00,000
	<u>16,00,000</u>		<u>16,00,000</u>

SOLVED PROBLEMS (COMPREHENSIVE)**Comprising different ratios****Illustration: 52**

Net Profit Ratio of a business concern is 20%. The indirect expenses are Rs 80,000 and cash sales are Rs 3,00,000. The credit are 80% of total sales. Calculate the Gross Profit Ratio.

Solution

Step 1: Value of Total Sales has to be calculated.

$$\begin{aligned}\text{Credit Sales} &= 80\% \text{ of total sales (given in the question)} \\ \therefore \text{Cash Sales} &= 100\% - 80\% \\ &= (\text{Total Sales} - \text{Credit Sales})\end{aligned}$$

$$\begin{aligned}
 &= 20\% \\
 \text{i.e., 20\% of Total Sales} &= \text{Rs } 3,00,000 \text{ (given)} \\
 \text{If 20\%} &= \text{Rs } 3,00,000 \\
 \text{Then, 100\%} &= 100/20 \times \text{Rs } 3,00,000 \\
 \therefore \text{Total Sales} &= \text{Rs } 15,00,000 \\
 \text{(Net Sales)}
 \end{aligned}$$

Step 2: After this, we have to calculate Net Profit..

Formula: $\text{Net Profit Ratio} = \text{Net Profit} / \text{Net Sales} \times 100$

Substitute the values in the formula:

$$\begin{aligned}
 20\% &= \text{Net Profit} / \text{Rs } 15,00,000 \\
 \text{i.e., } 20/100 &= \text{Net Profit} / \text{Rs } 15,00,000 \\
 \text{Net Profit} \times 100 &= 20 \times \text{Rs } 15,00,000 \\
 \text{Net Profit} &= 20 \times 15,00,000 / 100 \\
 \therefore \text{Net Profit} &= \text{Rs } 3,00,000
 \end{aligned}$$

Step 3: Next, Gross Profit has to be found out.

Remember: $\text{Gross Profit} = \text{Net Profit} + \text{Indirect Expenses}$

$$\begin{aligned}
 &= \text{Rs } 3,00,000 + \text{Rs } 80,000 \text{ (given)} \\
 &= \text{Rs } 3,80,000
 \end{aligned}$$

Step 4: Finally, Gross Profit Ratio has to be computed.

Formula: $\text{Gross Profit Ratio} = \text{Gross Profit} / \text{Net Sales} \times 100$

Substitute the values in the formula:

$$\begin{aligned}
 \text{Gross Profit Ratio} &= \text{Rs } 3,80,000 / \text{Rs } 15,00,000 \times 100 \\
 &= 25.33\%
 \end{aligned}$$

Illustration: 53

From the following information, calculate

(i) Stock Turnover Ratio (ii) Operating Ratio and (iii) Capital Turnover Ratio

	Rs
Opening Stock	28,000
Closing Stock	22,000
Purchases	46,000
Sales	90,000
Sales Returns	10,000
Carriage Inwards	4,000
Office Expenses	4,000
Selling and Distribution Expenses	2,000
Capital Employed	2,00,000

Solution

(i) Computation of Stock Turnover Ratio

Step 1: Formula: $\text{Stock Turnover Ratio} = \text{Cost of Goods Sold} / \text{Average Stock}$

- From the given information, we have to calculate Cost of Goods Sold.
- Remember: $\text{Cost of Goods Sold} = \text{Opening Stock} + \text{Purchases} + \text{Carriage Inwards} - \text{Closing Stock}$
- Substitute the figures in the equation from the information given in the question.
- $\text{Cost of Goods Sold} = \text{Rs } 28,000 + \text{Rs } 46,000 + \text{Rs } 4,000 - \text{Rs } 22,000 = \text{Rs } 56,000$

Step 2: Then Average Stock has to be computed.

Remember:
$$\text{Average Stock} = \frac{\text{Opening Stock} + \text{Closing Stock}}{2}$$

$$= \frac{\text{Rs } 28,000 + \text{Rs } 22,000}{2}$$

$$\text{Average Stock} = \text{Rs } 25,000$$

Step 3: Final Step

Formula: $\text{Stock Turnover Ratio} = \text{Cost of Goods Sold} / \text{Average Stock}$

$$= \text{Rs } 56,000 / \text{Rs } 25,000$$

$$\therefore \text{Stock Turnover Ratio} = 2.24 \text{ times}$$

(ii) Computation of Operating Ratio

For this, Operating Expenses have to be computed.

Step 1: Here, $\text{Operating Expenses} = \text{Office Expenses} + \text{Selling and Distribution Expenses}$

$$= \text{Rs } 4,000 + \text{Rs } 2,000$$

$$= \text{Rs } 6,000$$

Step 2: $\text{Cost of Goods Sold (As worked out in Step 1)} = \text{Rs } 56,000$

Step 3: $\text{Net Sales} = \text{Sales} - \text{Sales Returns}$

$$= \text{Rs } 90,000 - \text{Rs } 10,000 \text{ (Given)}$$

$$= \text{Rs } 80,000$$

Step 4: Formula: $\text{Operating Ratio} = \frac{\text{Cost of Goods Sold} + \text{Operating Expenses}}{\text{Net Sales}} \times 100$

$$= \frac{\text{Rs } 56,000 + \text{Rs } 6,000}{\text{Rs } 80,000} \times 100$$

$$\therefore \text{Operating Ratio} = 77.5\%$$

(iii) Computation of Capital Turnover Ratio

Formula: $\text{Capital Turnover Ratio} = \frac{\text{Net Sales}}{\text{Capital Employed}} \times 100$

$$= \frac{\text{Rs } 80,000}{\text{Rs } 2,00,000} \times 100$$

$$= 40\%$$

Illustration: 54

Rs 2,40,000 is the Cost of Goods Sold.
 Inventory Turnover is 8 times.
 Stock at the beginning is 1.5 times more than the stock at the end.
 Calculate the value of opening and closing stock.

Solution

Step 1: Let the Closing Stock be X. (Assumption)
 Then Opening Stock will be = 1.5X (As per question)
 i.e., Opening Stock is 1.5 times more than Closing Stock.

Step 2: Formula: $\text{Inventory Turnover Ratio} = \text{Cost of Goods Sold} / \text{Average Stock}$

$$8 = \text{Rs } 2,40,000 / (X + 1.5X / 2)$$

$$(\text{Average Stock} = (\text{Opening Stock} + \text{Closing Stock}) / 2)$$

$$8 = \text{Rs } 2,40,000 \times 2 / (X + 1.5X)$$

$$8(X + 1.5X) = \text{Rs } 2,40,000 \times 2$$

$$8(2.5X) = \text{Rs } 4,80,000$$

$$20X = \text{Rs } 4,80,000$$

$$X = \text{Rs } 4,80,000/20 = \text{Rs } 24,000$$

$$\text{Closing Stock} = \text{Rs } 24,000$$

$$\begin{aligned}\text{Step 3: Opening Stock} &= \text{Rs } 24,000 \times 1.5 \\ &= \text{Rs } 36,000\end{aligned}$$

Illustration: 55

- A. The ratio of Current Assets (Rs 3,00,000) to Current Liabilities (Rs 2,00,000) is 1.5:1. The accountant of the business concern is interested in maintaining a Current Ratio at the level 2:1 by paying off a part of Current Liabilities. Compute the amount of current liabilities that should be paid off in order to maintain the Current Ratio at the level 2:1.
- B. Compute the Gross Profit Ratio. Sales: Rs 6,00,000; Gross Profit 25% on Cost.

Solution

(A) Let the Current Liabilities that should be paid off be Y (assumed).

Substitute the figure in the formula :

$$\frac{2}{1} = \frac{\text{Rs } 3,00,000 - Y}{\text{Rs } 2,00,000 - Y}$$

$$2(2,00,000 - Y) = 1(3,00,000 - Y)$$

$$4,00,000 - 2Y = 3,00,000 - Y$$

$$-2Y + Y = 3,00,000 - 4,00,000$$

$$-Y = -1,00,000$$

$$Y = \text{Rs } 1,00,000$$

So Current Liabilities that should be paid to maintain the Current Ratio at the level 2:1 will be Rs 1,00,000.

(B) **Step 1:** Let the Cost of Goods Sold be Rs 100 (assumed).

$$\text{Then Sales} = \text{Rs } 100 + 25 \text{ (Given)} = 125$$

If Sales are Rs 125, Cost of Goods Sold is Rs 100.

Step 2: If Sales are Rs 6,00,000 (given in question),

$$\begin{aligned}\text{Cost of Goods Sold will be} &= 100/125 \times 6,00,000 \\ &= \text{Rs } 4,80,000\end{aligned}$$

Step 3: Gross Profit = Sales – Cost of Goods Sold

$$= \text{Rs } 6,00,000 - \text{Rs } 4,80,000$$

$$= \text{Rs } 1,20,000$$

Step 4: Formula: Gross Profit Ratio = Gross Profit/Net Sales $\times 100$

Substitute the values in the formula:

$$\begin{aligned}\text{Gross Profit Ratio} &= \text{Rs } 1,20,000/\text{Rs } 6,00,000 \times 100 \\ &= 20\%\end{aligned}$$

Illustration: 56

Net Sales: Rs 4,00,000; Cost of Goods Sold: Rs 2,00,500; Administrative Expenses: Rs 45,000; Selling Expenses: Rs 57,000; Share Capital: Rs 8,50,000; Reserves and Surplus: Rs 3,00,000; Long-term Loans: Rs 8,20,000; Fixed Assets (Net): Rs 4,62,000; Investments: Rs 2,42,500; Debtors: Rs 72,000; Opening Stock: Rs 2,40,000; Closing Stock: Rs 2,10,000; and Bank Balance: Rs 3,00,000.

From the above details, you are required to compute:

- (a) Gross Profit Ratio
- (b) Stock Turnover Ratio
- (c) Proprietary Ratio

Solution

(a) Computation of Gross Profit Ratio

Remember: Gross Profit = Net Sales – Cost of Goods Sold

$$= \text{Rs } 4,00,000 - \text{Rs } 2,00,500$$

$$= \text{Rs } 1,99,500$$

- Formula: Gross Profit Ratio = $\frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$
- $$= \frac{\text{Rs } 1,99,500}{\text{Rs } 4,00,000} \times 100$$
- $$= 49.87\%$$

(b) Computation of Stock Turnover Ratio

Step 1: First, Average Stock is to be calculated.

$$\text{Average Stock} = \frac{\text{Opening Stock} + \text{Closing Stock}}{2}$$

$$= \frac{\text{Rs } 2,40,000 + \text{Rs } 2,10,000}{2}$$

$$= \text{Rs } 4,50,000/2 = \text{Rs } 2,25,000$$

Step 2: Formula = Stock Turnover Ratio = $\frac{\text{Cost of Goods Sold}}{\text{Average Stock}}$

Substitute the values in the formula,

$$= \frac{\text{Rs } 2,00,500}{\text{Rs } 2,25,000} = 0.89 \text{ times}$$

(c) Calculation of Proprietary Ratio

Step 1: Shareholder's Funds should be calculated.

Remember: Shareholder's Funds = Share Capital + Reserves and Surplus

$$= \text{Rs } 8,50,000 + \text{Rs } 3,00,000 \text{ (Given)}$$

$$= \text{Rs } 11,50,000$$

Step 2: Total Assets should be calculated.

Remember: Total Assets: Sum of all assets given in question

Here, Total Assets = Fixed Assets + Investments + Debtors + Closing Stock + Bank Balance

$$= \text{Rs } 4,62,000 + \text{Rs } 2,42,500 + \text{Rs } 72,000 + \text{Rs } 2,10,000 + \text{Rs } 3,00,000$$

$$= \text{Rs } 12,86,500$$

Step 3: Formula:

$$\text{Proprietary Ratio} = \frac{\text{Shareholder's Funds}}{\text{Total Assets}}$$

$$= \frac{\text{Rs } 11,50,000}{\text{Rs } 12,86,000}$$

$$= 0.89$$

Or

$$= 89.42\%$$

Illustration: 57

On the basis of the following information, you are required to calculate the following ratios:

- (a) Gross Profit Ratio
- (b) Debt Equity Ratio
- (c) Working Capital Turnover Ratio

Net Sales: Rs 5,65,000; Bank Loan; Rs 1,25,000; Cost of Goods Sold: Rs 3,75,000.00; Current Assets: Rs 3,25,000; Current Liabilities: Rs 1,75,000; Equity Share Capital: Rs 3,95,000; Debentures: Rs 1,29,000.

Solution

(a) Calculation of Gross Profit Ratio

Step 1: Gross Profit has to be worked out first.

$$\begin{aligned}\text{Remember: Gross Profit} &= \text{Net Sales} - \text{Cost of Goods Sold} \\ &= \text{Rs } 5,65,000 - \text{Rs } 3,75,000 \\ &= \text{Rs } 1,90,000\end{aligned}$$

$$\begin{aligned}\text{Step 2: Now, Gross Profit Ratio} &= \text{Gross Profit/Net Sales} \times 100 \\ &= \text{Rs } 1,90,000/\text{Rs } 5,65,000 \times 100 \\ &= 33.62\%\end{aligned}$$

(b) Calculation of Debt Equity Ratio

Step 1: Total Long-term Debts have to be determined first.

$$\begin{aligned}\text{Remember: Total Long-term Debts} &= \text{Debentures} + \text{Loan} \\ &= \text{Rs } 1,29,000 + \text{Rs } 1,25,000 \\ &= \text{Rs } 2,54,000\end{aligned}$$

Step 2: Formula:

$$\text{Debt Equity Ratio} = (\text{Total}) \text{ Long-term Debts/Shareholder's Funds}$$

$$\begin{aligned}\text{Remember: Shareholder's Funds} &= \text{Equity Share Capital} \\ \therefore \text{Ratio} &= \text{Rs } 2,54,000/\text{Rs } 3,95,000 \\ &= 0.64:1\end{aligned}$$

(c) Calculation of Working Capital Turnover Ratio

Step 1: First Net Working Capital has to be ascertained.

$$\begin{aligned}\text{Remember: Working Capital} &= \text{Current Assets} - \text{Current Liabilities} \\ &= \text{Rs } 3,25,000 - \text{Rs } 1,75,000 \\ &= \text{Rs } 1,50,000\end{aligned}$$

Step 2: Formula:

$$\begin{aligned}\text{Working Capital Turnover Ratio} &= \text{Net Sales/Net Working Capital} \\ &= \text{Rs } 5,65,000/\text{Rs } 1,50,000 \\ &= 3.76 \text{ times}\end{aligned}$$

Illustration: 58

Calculate the Cost of Goods Sold from the following information:

Sales: Rs 12,00,000; Sales Returns: Rs 80,000;

Operating Expenses: Rs 1,82,000; Operating Ratio: 92%

Solution

Formula:

$$\begin{aligned}\text{Operating Ratio} &= \text{Cost of Goods Sold} + \text{Operating Expenses/Net Sales} \times 100 \\ \text{Substitute the values}\end{aligned}$$

$$92 = \frac{\text{Cost of Goods Sold} + \text{Rs } 1,82,000}{\text{Rs } 12,00,000 - \text{Rs } 80,000} \times 100$$

(Sales) (Sales Returns)

$$92/100 = \text{Cost of Goods Sold} + \text{Rs } 1,82,000/\text{Rs } 11,20,000$$

$$\begin{aligned}
 100 \times (\text{Cost of Goods Sold} + \text{Rs } 1,82,000) &= 92 \times \text{Rs } 11,20,000 \\
 \text{Cost of Goods Sold} + \text{Rs } 1,82,000 &= 92 \times \text{Rs } 11,20,000 / 100 \\
 &= \text{Rs } 10,30,400 \\
 \text{Cost of Goods Sold} &= \text{Rs } 10,30,400 - \text{Rs } 1,82,000 \\
 &= \text{Rs } 8,48,400
 \end{aligned}$$

Illustration: 59

Calculate the amount of Gross Profit from the following information:

$$\begin{aligned}
 \text{Average Stock} &= \text{Rs } 80,000 \\
 \text{Stock Turnover Ratio} &= 6 \text{ times} \\
 \text{Selling Price} &= 25\% \text{ above cost}
 \end{aligned}$$

Solution

This problem can be solved in either of the following two methods:

Method 1

$$\begin{aligned}
 \text{Step 1: Formula: Stock Turnover Ratio} &= \text{Cost of Goods Sold} / \text{Average Stock} \\
 6 &= \text{Cost of Goods Sold} / \text{Rs } 80,000 \\
 6 \times \text{Rs } 80,000 &= \text{Cost of Goods Sold} \\
 \text{Rs } 4,80,000 &= \text{Cost of Goods Sold}
 \end{aligned}$$

Step 2: Selling Price is given 25% above cost.

$$\begin{aligned}
 \therefore \text{Gross Profit} &= 25\% \text{ of Cost of Goods Sold} \\
 &= 25/100 \times \text{Rs } 4,80,000 \\
 &= \text{Rs } 1,20,000
 \end{aligned}$$

Method 2

Let the Cost Price be taken as Rs 100 (assumption)

$$\begin{aligned}
 \text{Sale Price} &= 25\% \text{ above cost} \\
 &= \text{Rs } 100 + 25 = \text{Rs } 125
 \end{aligned}$$

If Sale Price is Rs 125, Cost Price = 100

If Sale Price is Rs 4,80,000, Cost Price = $125/100 \times \text{Rs } 4,80,000$

(Cost Price) Sales Cost = Rs 6,00,000

$$\begin{aligned}
 \text{Gross Profit} &= \text{Sales} - \text{Cost of Goods Sold} \\
 &= \text{Rs } 6,00,000 - \text{Rs } 4,80,000 \\
 &= \text{Rs } 1,20,000
 \end{aligned}$$

Note: Depending on the particulars provided in the problem, students can choose any of the above methods to ascertain Gross Profit.

Illustration: 60

Calculate Opening Stock and Closing Stock from the following information:

$$\begin{aligned}
 \text{Total Sales} &= \text{Rs } 6,00,000 \\
 \text{Gross Profit} &= 25\% \text{ on Sales} \\
 \text{Stock Turnover Ratio} &= 5 \text{ times} \\
 \text{Closing Stock} &\text{ is Rs } 12,000 \text{ more than the Opening Stock}
 \end{aligned}$$

Solution

The following stages has to be followed one by one to compute the Opening Stock and Closing Stock.

Step 1: First, Gross Profit has to be ascertained.

Step 2: From Gross Profit value, Cost of Goods Sold has to be worked out.

Step 3: From Cost of Goods Sold, value of Average Stock is ascertained by applying Stock Turnover Ratio.

Step 4: From the Stock Turnover Ratio, that is, after knowing Average Stock, Opening Stock and Closing Stock amounts have to be ascertained, finally.

Note: The factors are inter-related. So we have to unlock the secret information, i.e. indirect particulars to solve the problem.

Step 1: First Gross Profit is to be ascertained.

$$\begin{aligned}\text{Gross Profit} &= 25\% \text{ on Sales} \\ (\text{Given in Problem}) \\ &= 25/100 \times \text{Rs } 6,00,000 \\ &= \text{Rs } 1,50,000\end{aligned}$$

Step 2: From this value, Cost of Goods Sold has to be found out.

$$\begin{aligned}\text{Remember: Cost of Goods Sold} &= \text{Sales} - \text{Gross Profit} \\ &= \text{Rs } 6,00,000 - \text{Rs } 1,50,000 \\ &= \text{Rs } 4,50,000\end{aligned}$$

Step 3: After computing the value of Cost of Goods Sold, value of Average Stock is to be ascertained by applying the Stock Turnover Ratio.

Formula:

$$\begin{aligned}\text{Stock Turnover Ratio} &= \text{Cost of Goods Sold} / \text{Average Stock} \\ 5 &= \text{Rs } 4,50,000 / \text{Average Stock} \\ \text{Average Stock} \times 5 &= \text{Rs } 4,50,000 \\ \text{Average Stock} &= \text{Rs } 4,50,000 / 5 \\ &= \text{Rs } 90,000\end{aligned}$$

Step 4: Finally, the value of Opening and Closing Stock has to be ascertained.

Let Opening Stock be Z (assumption).

Then Closing Stock = (Z + Rs 12,000)

(Given in the problem, i.e. Closing Stock is Rs 12,000 more than Opening Stock)

$$\text{Remember: } \frac{\text{Opening Stock} + \text{Closing Stock}}{2} = \text{Average Stock}$$

$$\begin{aligned}Z + \frac{Z + \text{Rs } 12,000}{2} &= \text{Average Stock} \\ Z + (Z + \text{Rs } 12,000) &= \text{Average Stock} \times 2 \\ Z + (Z + \text{Rs } 12,000) &= \text{Rs } 90,000 \times 2 \text{ (From Step 3)} \\ 2Z + \text{Rs } 12,000 &= \text{Rs } 1,80,000 \\ 2Z &= \text{Rs } 1,80,000 - \text{Rs } 12,000 \\ &= \text{Rs } 1,68,000 \\ Z &= \text{Rs } 1,68,000 / 2 = \text{Rs } 84,000 \\ \text{i.e., Opening Stock} &= \text{Rs } 84,000 \\ \text{Closing Stock} &= (\text{Rs } 84,000 + \text{Rs } 12,000) \\ &= \text{Rs } 96,000\end{aligned}$$

Illustration: 61

- (A) Calculate Stock Turnover Ratio from the following information: Sales: Rs 2,00,000; Gross Profit Ratio: 25%
Opening Stock was $1/4^{\text{th}}$ value of Closing Stock. Closing Stock was 40% of Sales.

- (B) A business firm has a Current Ratio of 4:1 and a Quick Ratio of 1.2:1. Working Capital: Rs 1,80,000. Compute the Total Current Assets and Stock.

Solution

On the basis of information, the following has to be computed one by one:

Step 1: Gross Profit from Gross Ratio.

Step 2: Cost of Goods Sold from Gross Profit.

Step 3: Closing Stock, Opening Stock and Average Stock have to be worked out.

Step 4: Finally, Stock Turnover Ratio is to be found out.

$$\begin{aligned}\text{Step 1: Gross Profit} &= 25\% \text{ on Sales (Given)} \\ &= 25/100 \times \text{Rs } 2,00,000 \\ &= \text{Rs } 50,000\end{aligned}$$

$$\begin{aligned}\text{Step 2: Remember: Cost of Goods Sold} &= \text{Sales} - \text{Gross Profit} \\ &= \text{Rs } 2,00,000 - \text{Rs } 50,000 \\ &= \text{Rs } 1,50,000\end{aligned}$$

$$\begin{aligned}\text{Step 3: Closing Stock} &= 40\% \text{ of Sales (Given)} \\ &= 40/100 \times \text{Rs } 2,00,000 \\ &= \text{Rs } 80,000\end{aligned}$$

Opening Stock is $\frac{1}{4}$ th value of Closing Stock.

(Given in the Problem)

$$\begin{aligned}\therefore \text{Opening Stock} &= \frac{1}{4} \text{ Rs } 80,000 \\ &= \text{Rs } 20,000\end{aligned}$$

$$\begin{aligned}\text{Average Stock} &= \frac{\text{Opening Stock} + \text{Closing Stock}}{2} \\ &= \frac{\text{Rs } 80,000 + \text{Rs } 20,000}{2} \\ &= \text{Rs } 50,000\end{aligned}$$

Step 4: Only after computing values for the above, Stock Turnover Ratio can be ascertained.

$$\begin{aligned}\text{Formula: Stock Turnover Ratio} &= \text{Cost of Goods Sold/Average Stock} \\ &= \text{Rs } 1,50,000/\text{Rs } 50,000 \\ &= 3 \text{ times}\end{aligned}$$

Computation of Total Current Assets

Step 1: Current Ratio is 4:1 (Given)

Remember: Current Ratio = Current Assets/Current Liabilities
4/1 = Current Assets/Current Liabilities

$$* 1 \times \text{Current Assets} = 4 \times \text{Current Liabilities}$$

Working Capital = Rs 1,80,000 (Given)

Remember: Current Assets – Current Liabilities = Working Capital

$$\text{Current Assets} - \text{Current Liabilities} = \text{Rs } 1,80,000$$

$$4 \times \text{Current Liabilities} - \text{Current Liabilities} = \text{Rs } 1,80,000$$

(As worked out in *)

$$\begin{aligned}
 3 \text{ Current Liabilities} &= \text{Rs } 1,80,000 \\
 \text{Current Liabilities} &= \text{Rs } 1,80,000/3 \\
 &= \text{Rs } 60,000 \\
 \therefore \text{Current Assets} &= 4 \times \text{Current Liabilities} \\
 &= 4 \times \text{Rs } 60,000 \\
 \text{Total Current Assets} &= \text{Rs } 2,40,000
 \end{aligned}$$

(ii) Computation of Stock

Quick Ratio formula is applied to compute Quick Assets first.

Remember: Quick Ratio = Quick Assets/Current Liabilities

$$1.2/1 = \text{Quick Assets}/\text{Rs } 60,000$$

$$\begin{aligned}
 \text{Quick Assets} &= \text{Rs } 60,000 \times 1.2 \\
 &= \text{Rs } 72,000
 \end{aligned}$$

Remember: Stock = Current Assets – Quick Assets
 $= \text{Rs } 2,40,000 - \text{Rs } 72,000$
 $= \text{Rs } 1,68,000$

Summary

Part A: Theory

- Accounting Ratio – Meaning and uses
- Ratio Analysis – Advantages – Limitations of Accounting Ratios
- Classification of Ratios:
- Various Ratios – Significance – Calculation (Refer the summarised form attached separately)

Part B:

- Remember formula to calculate various ratios.
- Once again remember various items included for each such category.

For example: Liquid Assets: Various items to be included in this: Cash-in-hand, Bank, Sundry Debtors, Bills Receivable, Short-term investments etc.

Note: The author does not want to repeat once again here. Students are asked to refer the main part of the chapter and remember the steps involved in the calculation of various ratios.

- Remember also, the standard parameter for each ratio. Based on that, suggest your ideas on the basis of results obtained.

Key Terms

Current Assets: Assets that can be converted to cash or sold or consumed within a year.

Current Liabilities: Liabilities that fall due within a year.

Current Ratio: Relationship between Current Assets and Current Liabilities.

Debt Equity Ratio: Common dividends per share divided by market price per share.

Earning Per Share (EPS): Net income divided by average no. of outstanding common share.

Inventory: Stock or Goods held by an entity for sale.

Inventory Turnover: The Cost of Goods Sold divided by the average inventory held during the period.

Owner's Equity: The residual interest in the company's assets after deducting liabilities.

Price Earning (P/E) Ratio: Market Price per Share divided by Earning per Share.

Return on Sales Ratio: Net income divided by sales.

Short-term liquidity: A business entity's ability to meet current liabilities on maturity date.

Shareholder's Equity: Equity Assets over liabilities of company.

Total Assets Turnover: Sales divided by Average Total Assets.

Working Capital: The excess of Current Assets over Current Liabilities.

References

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- Helbert E.A., "Techniques of financial analysis", Richard. D. Irwin, Homewood 911, 1972.
- Horngreen, Sundem & Elliott, "Introduction to Financial Accounting", Pearson Education, New Delhi, 2005.

A Objective-type Questions

I Fill in the blanks with opt terms

1. Ratio is a _____ relationship between two items expressed in a quantitative form.
2. Ratio Analysis is a study of relationship among various _____ factors in a business.
3. Ratio Analysis is a useful device for analysing _____ statements.
4. Ratio Analysis is a _____ device to spot out weak areas and take remedial measures quickly.
5. Liquidity Ratios measure the _____ solvency of a concern.
6. The relationship of current assets to current liabilities is termed as _____ Ratio.
7. By computing Current Ratio _____ solvency of a concern is assessed.
8. Satisfactory level of Current Ratio is _____.
9. The excess of current assets over current liabilities is known as _____.
10. Liquid Ratio is a relationship of liquid assets with _____.
11. Liquid Ratio is an indicator to assess the short-term _____ paying capacity of a concern.
12. Favourable level of Liquid Ratio is _____.
13. _____ Ratio studies the concern's ability to meet its long-term financial position.
14. _____ Ratio indicates the proportion between debt and equity.
15. Satisfactory level of Debt Equity Ratio is _____.
16. Components of Total Assets to Debts Ratio are Total Assets and _____.
17. Normal level of Total Assets to Debts Ratio is _____.
18. Proprietary Ratio establishes the relationship between _____ and Total Tangible Assets.
19. Normal level of Proprietary Ratio is _____.
20. The relationship of Gross Profit to Sales is termed as _____.
21. The relationship of Net Profit to Net Sales is termed as _____.
22. Operating Profit Ratio measures the relationship between _____ and Net Sales.
23. Operating Ratio establishes relationship between _____ and Net Sales.
24. Activity Ratios are also known as _____.
25. _____ Ratios establish relationship between the Cost of Goods Sold and the average amount of inventory carried during the period.
26. Debtors Turnover Ratio is also called as _____.
27. _____ Ratio indicates how quickly debtors are converted into cash.
28. Working Capital Turnover Ratio studies the relationship between _____ and working capital.
29. Both Operating Profit Ratio and Operating Ratio are _____ to each other.
30. Net result of Probability Ratios are expressed in _____.

Answers

- | | |
|------------------------|--------------------------|
| 1. Mathematical | 2. Financial |
| 3. Financial | 4. Diagnostic |
| 5. Short-term | 6. Current |
| 7. Short-term | 8. 2:1 |
| 9. Working Capital | 10. Current Liabilities |
| 11. Debt | 12. 1:1 |
| 13. Solvency | 14. Debt Equity |
| 15. 2:1 | 16. Debt |
| 17. 2:1 | 18. Proprietor's Funds |
| 19. 100 | 20. Gross Profit Ratio |
| 21. Net Profit Ratio | 22. Operating Profit |
| 23. Operating Cost | 24. Turnover |
| 25. Inventory Turnover | 26. Receivables Turnover |
| 27. Debtors Turnover | 28. Sales |
| 29. complementary | 30. percentage |

II State whether the following statements are True or False

- Ratio Analysis helps in financial forecasting.
- Liquidity Ratios measure the long-term solvency of a concern.
- A liquid asset is one that can very easily be converted into asset.
- Current Ratio is calculated for a particular period.
- Marketable securities are Current Assets.
- Overdraft (Bank/Bills) is current liability.
- Current Liabilities = Working Capital – Current Assets
- Liquid Ratio is used to assess the firm's short-term solvency.
- A high Liquid Ratio indicates under stocking.
- Solvency Ratios study the concern's ability to meet short-term indebtedness.
- A higher Debt Equity Ratio indicates safer financial position of an equity.
- In computing Solvency Ratios, fictitious assets do not form part of total assets.
- Long-term Debts, generally get matured after 1 year.

- A higher Total Assets to Debts Ratio indicates a risky financial position of the concern.
- In proprietor's funds, payments to others are not included.
- A high level Proprietary Ratio indicates safety to creditors.
- Higher the Net Profit Ratio, better the efficiency of a concern.
- Loss on sale of assets is operating expenses.
- Higher Operating Ratio indicates poor performance of a concern.
- Higher Inventory Ratio indicates the concern's high margin of profit.

Answers

- | | | |
|-----------|-----------|-----------|
| 1. True | 2. False | 3. True |
| 4. False | 5. True | 6. True |
| 7. False | 8. True | 9. False |
| 10. False | 11. False | 12. True |
| 13. True | 14. False | 15. True |
| 16. True | 17. True | 18. False |
| 19. True | 20. False | |

B Multiple-choice Questions**III Choose the correct answer**

- Ratio which measures the short-term solvency of a concern is
(a) Gross Profit Ratio (c) Proprietary Ratio
(b) Operating Ratio (d) Current Ratio
- Ratio to assess the short-term debt paying capacity of a concern is
(a) Liquid Ratio (c) Creditors Turnover Ratio
(b) Debt Equity Ratio (d) None of the above
- The ratio which is used to ascertain the soundness of the long-term financial position is
(a) Debt Equity Ratio (c) Absolute Liquid Ratio
(b) Current Ratio (d) Gross Profit Ratio
- Normal level for Proprietary Ratio is expected to be at
(a) 1:1 (c) 100 (b) 2:1 (d) >50
- If the Current Assets and Working Capital of a concern are Rs 80,000 and Rs 50,000 respectively then Current Liabilities will be
(a) Rs 1,00,000 (c) Rs 1,30,000
(b) Rs 70,000 (d) Rs 30,000
- The ratio which is a good indicator to maintain the correct selling price and efficiency of trading activities is
(a) Net Profit Ratio (c) Current Ratio
(b) Gross Profit Ratio (d) Liquid Ratio
- The relationship of Net Profit to Net Sales is termed as
(a) Gross Profit Ratio (c) Operating Profit Ratio
(b) Net Profit Ratio (d) None of the above
- If the value of Gross Profit and Indirect Expenses of a concern are Rs 4,00,000 and Rs 1,00,000 respectively the value of Net Profit will be
(a) Rs 5,00,000 (c) Rs 3,00,000
(b) Rs 4,00,000 (d) None of the above
- The Operating Profit and Net Sales of a firm are Rs 2,00,000 and Rs 10,000 respectively, then Operating Profit Ratio will be
(a) 20% (c) 50%
(b) 5% (d) 10%
- The ratio which indicates how quickly debtors are converted into cash is
(a) Receivables Turnover Ratio
(b) Inventory Turnover Ratio
(c) Working Capital Turnover Ratio
(d) Creditors Turnover Ratio

Answers

- | | | | |
|---------|---------|---------|---------|
| 1. (d), | 2. (a), | 3. (a) | 4. (c), |
| 5. (d), | 6. (b), | 7. (b), | 8. (c), |
| 9. (a), | 10. (a) | | |

C Short Answer-type Questions

1. What do you mean by "Ratio"?
2. What is Ratio Analysis?
3. Enlist the important objectives of Ratio Analysis.
4. Enumerate the significance of Ratio Analysis.
5. Mention the broad classification of ratios.
6. How can Liquidity Ratios be classified?
7. What do you mean by Current Ratio?
8. How can Current Ratio be computed?
9. Give examples for Current Assets.
10. Mention items relating to Current Liabilities.
11. What is the satisfactory level of Current Ratio?
12. How can Working Capital be computed?
13. Current Assets and Current Liabilities of a firm are Rs 3,00,000 and Rs 1,50,000. Calculate the Current Ratio and interpret the result.
14. What is meant by Absolute Liquid Ratio?
15. What are the Solvency Ratios?
16. How can Debt Equity Ratio be calculated?
17. How can Liquid Ratio be computed?
18. How will you calculate Total Assets to Debts Ratio?
19. What is the formula to compute Proprietary Ratio?
20. What are the components of Proprietor's funds?
21. How can Gross Profit Ratio be computed?
22. How will you calculate Net Profit Ratio?
23. How Operating Profit Ratio can be found out?
24. Write down the formula to calculate Operating Ratio.
25. Mention the classification of Turnover Ratios.
26. How Inventory Turnover Ratio can be computed?
27. Mention the formula to compute Debtors Turnover Ratio.
28. How can Working Capital Turnover Ratio be calculated?

D Essay-type Questions

1. Explain Ratio Analysis. Enlist the objectives of Ratio Analysis. Explain its significance.
2. What are the advantages and disadvantages of Ratio Analysis?
3. Explain Liquidity Ratio. How are they useful in financial accounting? How the results of various Liquidity Ratios may be interpreted?
4. How "Solvency" of a concern is determined? Explain the significance of various "Solvency Ratios". Discuss their role in a concern to take important decisions.
5. Enumerate the important role of some "Profitability Ratio". Explain how they are helpful in determining the profit aspects of a concern.
6. Mention some important "Activity Ratios". Explain each of their role in decision making process of a growing concern.

E Exercises

1. The Current Assets of a company are Rs 1,26,000 and the Current Ratio is 3:2 and the value of inventories is Rs 2,000. Find out the Liquid Ratio.
Answer: 1.48:1
2. Inventory Turnover Ratio is 3 times sales are Rs 1,80,000. Opening Stock is Rs 2,000 more than the Closing Stock. Calculate the Opening and Closing Stock when goods are sold at 20% profit on cost.
Answer: Opening Stock: Rs 51,000
Closing Stock: Rs 49,000
3. A company had a Liquid Ratio of 1.5 and Current Ratio of 2 and Inventory Turnover Ratio 6 times. It had total Current Assets of Rs 8,00,000 in the year 2008. Find out the annual sales if goods are sold at 25% profit on cost.
Answer: Sales: Rs 15,00,000
4. A company earns a gross profit of 20% on cost. Its credit sales are thrice its cash sales. Its credit sales are Rs 4,00,000. Calculate the Gross Profit Ratio of the company.
Answer: 16.67%

5. A company earns a gross profit of 25% on cost. Its credit sales are twice its cash sales. If the credit sales are Rs 8,00,000, compute the Gross Profit Ratio of the company.

Answer: 20%

6. Current Liabilities of a company are Rs 5,60,000, Current Ratio is 5:2, Quick Ratio is 2:1. Find the value of stock.

Answer: Rs 2,80,000

7. Calculate the Current Assets of a company from the following information:

- (i) Stock Turnover: 4 times
- (ii) Gross Profit 20% on sales
- (iii) Stock in the end is Rs 20,000 more than stock in the beginning
- (iv) Sales: Rs 3,00,000
- (v) Current Liabilities: Rs 40,000
- (vi) Quick Ratio: 0.75

Answer: Rs 1,00,000

8. X Ltd has a Liquid Ratio 7:3, value of stock is Rs 25,000 and its Current Liabilities Rs 75,000. Compute the Current Ratio.

Answer: 8:3

9. Cost of Goods Sold is Rs 2,00,000. Inventory Turnover is 8 times. Stock at the beginning is 1.5 times more than stock at the end. Compute the value of opening and closing stocks.

Answer: Opening Stock: Rs 20,000
Closing Stock: Rs 30,000

10. The ratio of Current Assets (Rs 6,00,000) to Current Liabilities (Rs 4,00,000) is 1.5:1. The accountant of the firm is interested in maintaining Current Ratio at 2:1 by paying off a part of Current Liabilities. Compute the Current Liabilities that should be paid off so as to maintain the Current Ratio at the level of 2:1.

Answer: Rs 2,00,000

11. Sales: Rs 4,00,000
Gross Profit: 25% on cost
Compute Gross Profit Ratio.

Answer: 20%

12. Rs 3,00,000 is the Cost of Goods Sold. Inventory Turnover is 8 times. Stock at the beginning is 2 times more than the stock at the end. Calculate the value of opening and closing stock.

Answer: Closing Stock: Rs 25,000
Opening Stock: Rs 50,000

13. Rs 4,00,000 is the Cost of Goods Sold. Inventory Turnover is 5 times. Stock at the beginning is 1.5 times more than the stock at the end. Calculate the values of opening and closing stock.

Answer: Opening Stock: Rs 25,000
Closing Stock: Rs 16,667

14. Compute the Gross Profit Ratio:
Sales: Rs 5,00,000; Gross Profit: 25% on cost

Answer: Gross Profit: Rs 1,00,000
Gross Profit Ratio: 20%

15. The Current Liabilities of a company are Rs 3,50,000. Its Current Ratio is 3 and Liquid Ratio is 1.75. Calculate
(i) Current Assets (ii) Liquid Assets and (iii) Inventory

Answer: (i) Current Assets: Rs 10,50,000
(ii) Liquid Assets: Rs 6,12,500
(iii) Inventory: Rs 4,37,500

16.	Rs
Net Sales	3,75,000
Cost of Goods Sold	2,50,000
Current Liabilities	1,20,000
Loan	60,000
Current Assets	4,25,000
Equity Share Capital	1,90,000
Debentures	75,000

From the above information calculate (i) Gross Profit Ratio (ii) Debt Equity Ratio and (iii) Working Capital Turnover Ratio.

Answer: (i) Gross Profit Ratio: 33 1/3%
(ii) Debt Equity Ratio: 27:38
(iii) Working Capital
Turnover Ratio: 1.22 times

17. The Current Assets of a company are Rs 15,00,000. Its Current Ratio is 3.00 and Liquid Ratio is 1.25. Calculate the amount of (i) Current Liabilities (ii) Liquid Assets and (iii) Inventory.

Answer: (i) Current Liabilities: Rs 5,00,000
(ii) Liquid Assets: Rs 6,25,000
(iii) Inventory: Rs 8,75,000

18. The Current Ratio of a company is 3.0 and its Liquid Ratio is 1.15. Its Current Liabilities are Rs 3,00,000. Compute (i) Current Assets (ii) Liquid Assets and (iii) Inventory.

Answer: (i) Current Assets Rs 9,00,000
(ii) Liquid Assets: Rs 3,45,000
(iii) Inventory: Rs 5,55,000

19. The Current Assets of a company are Rs 17,00,000. Its Current Ratio is 2.50 and Liquid Ratio is 0.95. Calculate (i) Current Liabilities (ii) Liquid Assets and (iii) Inventory.

Answer: (i) Current Liabilities: Rs 6,80,000
(ii) Liquid Assets: Rs 6,46,000
(iii) Inventory: Rs 10,54,000

20. From the following details, compute (i) Gross Profit Ratio (ii) Stock Turnover Ratio and (iii) Operating Ratio:

	Rs
Sales	1,50,000
Cost of Goods Sold	1,20,000
Opening Stock	29,000
Closing Stock	31,000
Debtors	16,000
Net Fixed Assets	1,10,000

Answer: (i) Gross Profit Ratio: 20%
(ii) Stock Turnover Ratio: 4 times
(iii) Operating Ratio: 90.66%

21. From the following information, calculate
(i) Current Ratio (ii) Quick Ratio and (iii) Working Capital Turnover Ratio:

	Rs
Sundry Debtors	4,00,000
Stock	1,60,000
Marketable Securities	80,000
Cash	1,20,000
Prepaid Expenses	40,000
Bills Payable	80,000
Sundry Creditors	1,60,000
Debentures	2,00,000
Expenses Payable	1,60,000
Net Sales	20,00,000

Answer: (i) Current Ratio: 2:1
(ii) Quick Ratio: 1.5:1
(iii) Working Capital Turnover Ratio = 5 times

22. From the particulars given below, calculate (i) Current Ratio (ii) Acid Test Ratio (iii) Working Capital Turnover Ratio:

	Rs
Fixed Assets	1,00,000
Stock	37,200
Debtors	19,200
Cash	39,600
Prepaid Expenses	10,000
Creditors	36,000
Bank Overdraft	17,000
Reserves	10,000
Net Sales	31,800

Answer: (i) Current Ratio: 2:1
(ii) Acid Test Ratio: 1.11:1

23. (a) From the given information, calculate the Stock Turnover Ratio.
Sales: Rs 2,00,000; G.P.: 25% on Cost; Operating Stock: 1/3rd of the value of closing stock;
Closing Stock: 30% of Sales.
(b) A business has a Current Ratio of 3:1 and Quick Ratio of 1.2:1. The Working Capital is Rs 1,80,000.
Compute the Total Current Assets and Stock.

Answer: (a) 4 times
(b) (i) Rs 2,70,000
(ii) Rs 1,62,000

24. From the given information, calculate the Stock Turnover Ratio:
Sales: Rs 2,00,000; G.P.: 25%; Opening Stock was 1/4th value of closing stock. Closing Stock was 20% of Sales.

Answer: 6 times

25. A business has a Current Ratio of 2:1 and a Quick Ratio of 1.2:1. Working Capital is Rs 1,50,000. Calculate Total Current Assets and Stock.

Answer: (i) Total Current Assets: Rs 3,00,000
(ii) Stock: Rs 1,20,000

26. On the basis of the particulars given below, calculate (i) Operating Ratio (ii) Liquid Ratio and (iii) Proprietary Ratio.

Cash Sales: Rs 3,00,000; Credit Sales: Rs 2,80,000; Sales Returns: Rs 20,000; Cost of Goods Sold: Rs 4,00,000; Selling and Distribution Expenses: Rs 7,000; Administrative Expenses: Rs 8,000; Current Liabilities: Rs 2,30,000; Current Assets: Rs 4,00,000; Closing Stock: Rs 40,000; Equity Share Capital: Rs 5,00,000; 8% Preference Share Capital: Rs 2,00,000; Fixed Assets: Rs 5,50,000.

Answer: (i) Operating Ratio: 74.1%
 (ii) Liquid Ratio: 36:23
 (iii) Proprietary Ratio: 73.68%

27. On the basis of the following information you are required to calculate (i) Operating Ratio (ii) Liquid Ratio and (iii) Proprietary Ratio. Cash Sales: Rs 4,00,000; Credit Sales: Rs 2,75,000; Sales Returns: Rs 27,000; Cost of Goods Sold: Rs 3,90,000; Selling and Distributive Expenses: Rs 7,000; Administrative Expenses: Rs 3,000; Current Liabilities: Rs 1,95,000; Current Assets: Rs 3,94,000; Closing Stock: Rs 23,000; Equity Share Capital: Rs 4,37,000; Preference Share Capital: Rs 1,74,000; Fixed Assets: Rs 4,30,000.

Answer: (i) Operating Ratio: 61.72%
 (ii) Liquid Ratio: 1.9:1
 (iii) Proprietary Ratio: 74.15%

EXERCISES (CONTINUED – MODELWISE)

Model 1: Current Ratio

28. (i) From the following, calculate the Current Ratio:

	Rs
Cash-in-hand	2,50,000
Sundry Debtors	1,50,000
Stock-in-trade	2,00,000
Sundry Creditors	2,00,000
Bills Payable	1,00,000

- (ii) From the following, compute Current Ratio:

	Rs
Stock	30,000
Sundry Debtors	20,000
Cash or Bank	8,000
Bills Receivable	15,000
Short-term Investments	25,000
Prepaid Expenses	2,000
Bank Overdraft	15,000
Sundry Creditors	20,000
Bills Payable	10,000
Outstanding Expenses	5,000

Answer: (i) 2:1
 (ii) 2:1

Model 2: Liquid Ratio or Acid Test Ratio or Quick Ratio

29. Calculate Liquid Ratio from the following:

	Rs
Cash	15,000
Bills Receivable	20,000
Stock	22,000
Creditors	17,000
Outstanding Expenses	2,000

	Rs
Debtors	20,000
Short-term Investment	20,000
Prepaid Expenses	3,000
Bills Payable	6,000

Answer: 47:26

30. Calculate Current Ratio and Liquid Ratio from the following balance sheet:

Balance Sheet of Swarna Ltd as on Mar 31, 2007

<i>Liabilities</i>	<i>Rs</i>	<i>Assets</i>	<i>Rs</i>
Share Capital	8,000	Fixed Assets	7,000
Reserves	2,000	Stock	3,000
Bank Overdraft	2,000	Debtors	2,000
Creditors	<u>3,000</u>	Cash	<u>3,000</u>
Total	15,000	Total	15,000

Answer: (i) Current Ratio = 8:5

(ii) Liquid Ratio = 5:7

Model 3: Absolute Liquid Ratio

31. Calculate Absolute Liquid Ratio.

	Rs
Cash-in-hand	2,000
Cash at Bank	3,000
Short-term Investments	5,000
Current Liabilities	30,000
Bank Overdraft	10,000

Answer: 5:1

Model 4: Debt Equity Ratio

32. Calculate Debt Equity Ratio from the following:

	Rs
Debentures	3,00,000
Loan from Banks	2,00,000
Equity Share Capital	1,75,000
Reserves and Surpluses	75,000

Answer: 2:1

Model 5: Proprietary Ratio

33. Calculate Proprietary Ratio from the following:

	Rs
Equity Share Capital	2,00,000
Preference Share Capital	1,00,000
Reserves and Surpluses	1,00,000
Machinery	1,00,000
Goodwill	40,000
Cash at Bank	40,000
Stock	60,000

Answer: 16.66%

Model 6: Gross Profit Ratio

34. Calculate Gross Profit Ratio from the following:

	Rs
Purchases	3,15,000
Opening Stock	15,000
Closing Stock	30,000
Sales	4,00,000

Answer: 25%

Model 7: Net Profit Ratio

35. Calculate Net Profit Ratio from the following:

	Rs
Net Profit	50,000
Sales	2,50,000

Answer: 20%

36. From the given data, calculate

- (i) Gross Profit Ratio
- (ii) Net Profit Ratio
- (iii) Current Ratio

	Rs
Sales	6,00,000
Net Profit	60,000
Current Liabilities	60,000
Cost of Goods Sold	4,00,000
Current Assets	1,20,000

Answer: (i) $33\frac{1}{3}\%$
 (ii) 10%
 (iii) 2:1

Model 8: Operating Profit Ratio

37. From the following data, compute the Operating Profit Ratio:

	Rs
Net Profit	2,00,000
Loss on Sale of Machine	10,000
Profit on Sale of Investment	40,000
Interest Paid on Loan	40,000
Interest from Investments	60,000
Sales	3,00,000

Answer: 50%

38. Calculate Operating Profit Ratio from the following:

	Rs
Gross Profit	1,50,000
Sales	9,07,500
Operating Expenses	60,000
Sales Return	7,500

Answer: 10%

Model 9: Operating Ratio

39. Calculate Operating Ratio from the following:

	Rs
Cost of Goods Sold	4,50,000
Operating Expenses	50,000
Sales	10,12,500
Sales Returns	12,500

Answer: 50%

40. From the following, calculate Operating Ratio:

	Rs
Cost of Goods Sold	6,25,000
Operating Expenses	75,000
Sales	14,13,900
Sales Returns	13,900

Answer: 50%

Model 10: Capital Turnover Ratio

41. Compute Capital Turnover Ratio, from the following:

	Rs
Cash Sales	2,40,000
Credit Sales	2,72,000
Sales Return	12,000
Equity Share Capital	1,00,000
Long-term Loan	90,000
Reserves and Surpluses	60,000

Answer: 2 Times

42. From the following, compute Capital Turnover Ratio:

	Rs
Cash Sales	3,10,000
Credit Sales	3,97,600
Sales Return	7,600
Equity Share Capital	2,00,000
Long-term Loan	1,00,000
Reserves and Surpluses	50,000

Answer: 2 Times

Model 11: Fixed Assets Turnover Ratio

43. Compute Fixed Assets Turnover Ratio from the following:

	Rs
Fixed Assets	5,50,000
Depreciation on Fixed Assets	50,000
Sales	10,08,750
Sales Return	8,750

Answer: 2 Times

44. Calculate Fixed Assets Turnover Ratio from the following:

	Rs
Sales	16,19,875
Sales Return	19,875
Fixed Assets	4,60,000
Depreciation on Fixed Assets	60,000

Answer: 4 Times

Model 12: Stock Turnover Ratio

45. Calculate Stock Turnover Ratio from the following:

	Rs
Cost of Goods Sold	6,00,000
Opening Stock	1,00,000
Closing Stock	2,00,000

Answer: 4 Times

46. Compute Stock Turnover Ratio from the following:

	Rs
Sales	4,50,000
Gross Profit	50,000
Stock	75,000

Answer: 5.3 Times

Model 13: Debtors Turnover Ratio

47. Calculate Debtors Turnover Ratio from the following data:

	Rs
Cash Sales	60,000
Total Sales	2,20,000
Debtors at the beginning of the year	75,000
Debtors at the closing of the year	85,000

Answer: 2 Times

48. Compute Debtors Turnover Ratio from the following:

	Rs
Total Sales	12,50,000
Sales Return	50,000
Opening Debtors	1,05,000
Closing Debtors	95,000

Answer: 12 Times

Model 14: Creditors Turnover Ratio

49. Compute Creditors Turnover Ratio from the following:

	Rs
Credit Purchases	4,80,000
Opening Creditors	55,000
Closing Creditors	65,000

Answer: 8 Times

50. Compute Creditors Turnover Ratio from the following:

	Rs
Total Purchases	2,05,000
Cash Purchases	40,000
Purchases Return	5,000
Opening Creditors	55,000
Closing Creditors	25,000

Answer: 4 Times

Model 15: Miscellaneous (Comprehensive)
(Combination of Ratios)

51. From the following balance sheet, calculate Current Ratio and Proprietary Ratio:
 Balance Sheet of Felix Ltd as on Mar 31, 2007.

Liabilities	Rs	Assets	Rs
Share Capital	1,80,000	Fixed Assets	2,00,000
General Reserve	50,000	Current Assets	80,000
Bank Overdraft	20,000	Long-term Investments	40,000
Current Liabilities	1,00,000	Preliminary Expenses	10,000
		Goodwill	20,000
	<u>3,50,000</u>		<u>3,50,000</u>

Answer: (i) Current Ratio = 0.8:1
 (ii) Proprietary Ratio = 2.3:3.5

52. The following is the Profit and Loss Account of a company for the year ending Mar 31, 2007.

Particulars	Rs	Particulars	Rs
To Opening Stock	10,000	By Sales	70,000
To Purchases	50,000	By Closing Stock	10,000
	<u>80,000</u>		<u>80,000</u>
To Administrative Expenses	3,000	By Gross Profit	20,000
To Selling Expenses	7,000	By Dividend	1,000
To Interest	5,000	By Profit on Sale of Investments	4,000
	<u>25,000</u>		<u>25,000</u>

You are required to prepare

- (i) Gross Profit Ratio
 (ii) Net Profit Ratio
 (iii) Operating Ratio
 (iv) Stock Turnover Ratio

Answer: (i) 28.5%
 (ii) 57%
 (iii) 71.4%
 (iv) 5 Times

53. From the following balance sheet of X Ltd, you are required to calculate
 (i) Debt Equity Ratio
 (ii) Proprietary Ratio
 (iii) Current Ratio
 (iv) Fixed Assets Turnover Ratio

Liabilities	Rs	Assets	Rs
Share Capital	3,00,000	Fixed Assets	4,00,000
Reserves and Surpluses	1,00,000	Current Assets	1,00,000
Debentures	50,000		
Current Liabilities	<u>50,000</u>		
	5,00,000		<u>5,00,000</u>

Answer: (i) 1:8
(ii) 4:5
(iii) 2:1

54. From the following, calculate

- (i) Operating Profit Ratio
(ii) Operating Ratio
(iii) Gross Profit Ratio
(iv) Net Profit Ratio

	Rs
Sales	2,00,000
Gross Profit	40,000
Administrative Expenses	3,000
Selling Expenses	2,000
Loss on Sale of Investments	2,000
Dividend Received	1,000
Net Profit	30,000

Answer: (i) 15.5%
(ii) 82.5%
(iii) 20%

55. Following is the summarised Trading and Profit and Loss A/c for the year ending Mar 31, 2007 and the Balance Sheet as on that date:

Particulars	Rs	Particulars	Rs
To Opening Stock	20,000	By Sales	2,00,000
To Purchases	5,000	By Closing Stock	25,000
To Direct Expenses	10,000		
To Gross Profit	<u>1,20,000</u>		
	<u>2,25,000</u>		<u>2,25,000</u>
To Administrative Expenses	20,000	By Gross Profit b/d	1,20,000
To Interest	5,000		
To Selling Expenses	15,000		
To Net Profit	<u>80,000</u>		
	1,20,000		<u>1,20,000</u>

Balance Sheet as on Mar 31, 2007

Liabilities	Rs	Assets	Rs
Capital	60,000	Land and Building	70,000
Current Liabilities	20,000	Plant and Machinery	50,000
Profit and Loss A/c	80,000	Stock	30,000
		Sundry Debtors	10,000
		Bills Receivable	
		Cash at Bank	
	<u>1,60,000</u>		<u>1,60,000</u>

Calculate : (i) Gross Profit Ratio
(ii) Operating Ratio
(iii) Return on Capital Employed

Answer: (i) 60%
(ii) 67.5%
(iii) 50%

56. Calculate the amount of Gross Profit:

Average Stock: Rs 50,000
Stock Turnover Ratio: 10 times
Selling Price: 20% above Cost

Answer: Rs 1,00,000

57. Calculate Cost of Goods Sold:

Sales: Rs 15,00,000; Sales Return: Rs 1,00,000
Operating Expenses: Rs 50,000; Operating Ratio = 90%

Answer: Rs 12,10,000

58. Calculate Opening Stock and Closing Stock:

Total Sales: Rs 10,00,000
Gross Profit: 20% on Sales
Stock Turnover Ratio: 5 times
Closing Stock is Rs 20,000 more than Opening Stock

Answer: (i) Cost of Goods sold: Rs 8,00,000
(ii) Opening Stock: Rs 1,50,000
(iii) Closing Stock: Rs 1,70,000

59. A trader carries an average stock of Rs 20,000. His Stock Turnover is 5 times. If he sells goods at a profit of 25% on sales, calculate the profit.

Answer: Rs 25,000

60. Debt collection period of X Ltd is 36 days. Sales affected during the year were Rs 5,00,000. Assuming 360 days in a year, calculate Debtors Turnover Ratio; Average Debtors; Debtors on Jan 01, 2006 and Dec 31, 2006, if the debtors at the end are Rs 20,000 more than those in the beginning.

Answer: (i) Debtors Turnover Ratio = 10 Times
(ii) Debtors on 1. 1. 2006: Rs 40,000
(iii) Debtors on 31. 12. 2006: Rs 60,000

61. Current Liabilities are Rs 50,000; Liquid Ratio is 2:1; Current Ratio is 3:1. Calculate Quick Assets, Stock-in-trade and Current Assets.

Answer: (i) Quick Assets: Rs 1,00,000
 (ii) Stock-in-trade: Rs 50,000
 (iii) Current Assets: Rs 1,50,000

62. Calculate Return on Equity:

	Rs
Equity Share Capital	1,50,000
10% Prof. Share Capital	1,00,000
Reserves and Surpluses	5,00,000
Net Profit after Tax	2,10,000

Answer: 28%

- 63.

	Rs
Share Capital	1,00,000
General Reserve	50,000
12% Loan	50,000
Sales for the year	2,00,000
Tax paid	10,000
Profit after Tax and Dividend	20,000

From the above information, you are required to calculate:

- (i) Debt Equity Ratio
 (ii) Capital Turnover Ratio
 (iii) Interest Coverage Ratio
 (iv) Return on Equity
 (v) Debt to Total Fund Ratio

Answer: (i) Debt Equity Ratio = 1:2
 (ii) Capital Turnover Ratio = 2 Times
 (iii) Interest Coverage Ratio = 6 Times
 (iv) Return on Equity = 30%
 (v) Debt to Total Fund Ratio = 1:3

64. The following data relates to Shree Ltd.

	2008 (Rs)	2009 (Rs)
Sales	20,00,000	25,00,000
Cost of Goods Sold	10,00,000	12,00,000
Gross Profit	2,00,000	2,50,000

The Manager claims that he has worked more efficiently during the year 2006 because the Gross Profit has increased by Rs 50,000 and should be rewarded for his efficiency of service.

Give your opinion to the management to decide upon manager's claim.

65. From the following information, comment on the efficiency of the working of the company:

	2008 Rs	2009 Rs
Sales	4,00,000	6,00,000
Cost of Goods Sold	3,00,000	4,00,000
Gross Profit	2,00,000	2,50,000
Operating Expenses	50,000	1,00,000
Operating Profit	1,00,000	1,00,000

Cash Flow Statement

Chapter

17

LEARNING OBJECTIVES

After studying this chapter, you will be able to understand

1. Meaning of Cash Flow and Cash Flow Statement
2. Uses of Cash Flow Statement
3. Limitations of Cash Flow Statement
4. Classification of Business Transactions into Operating Activities, Investing Activities, and Financing Activities According to Accounting Standard (AS)-3 (Revised)
5. Preparation of Cash Flow Statement as per AS-3 by Both Direct Method and Indirect Method.
6. Accounting Treatment of Special Items (Non-cash Expenses and Non-operating Income)
7. Various Stages Involved in the Preparation of Cash Flow Statement (Six Stages With Illustrations) in Accordance With AS-3 (Revised).

INTRODUCTION

The end product of the accounting process is “Financial Statement.” Financial Statements are nothing but the summarised statements of accounting data produced at the end of the accounting process by a business entity. It communicates accounting information to its users. The Balance Sheet and Profit and Loss Account (Income Statement) are the traditional financial statements of any business entity. A Balance Sheet shows the financial position of a business enterprise on the last day of an accounting period. It is only a Statement of Assets and Liabilities stating the financial position of an enterprise at a given date. A Profit and Loss Account (Income Statement) shows the financial performance (i.e., profit or loss) of a business entity during the specified period (i.e., accounting period). But revenues recorded in Profit and Loss Account will not reflect cash inflows. Likewise, some of the expenses shown in Profit and Loss Account will be non-cash expenses (like depreciation amortisation) and some will not be paid in full like goods purchased, on credit, outstanding expenses. As such, the periods of profit or loss will not bear any direct relationship with cash flows relating to that specified accounting period. No exact information will be obtained from these two traditional financial statements with regard to investing or financing activities of business entities. Hence, the need arises to assess the inflows and outflows of cash during the accounting period. Keeping in view of this aspect, the Institute of Chartered Accountants of India (ICAI) introduced one more essential component of financial statements – known as Cash Flow Statement. As per AS-3 (revised), the preparation of cash flow statement as the third financial statement has become statutory for any companies registered under the

Companies Act 1956. The other forms of business organisations also prepare this third financial statement, viz. Cash Flow Statement. This Cash Flow Statement has to be prepared to provide information about the cash flows associated with operating, investing and financing activities of business entities during an accounting period. Cash Flow Statement to put it in a nutshell reflects “sources and uses of cash.” This statement reveals “where cash comes from and where it goes.” This chapter describes in detail on this financial statement.

OBJECTIVE 1: MEANING OF CASH FLOW AND CASH FLOW STATEMENT

- Cash flow refers to movement both, inflow and outflow, of cash and cash equivalents during a period.
- Inflow of cash refers to all transactions that lead to increase in cash and cash equivalents.
- Outflow of cash refers to all transactions that lead to decrease in cash and cash equivalents.
- Cash Flow Statement is a statement that shows flow of cash and cash equivalents during a period.

OBJECTIVE 2: USES OF CASH FLOW STATEMENT

- 1. Short-term Planning:** It gives information for a specific period. It is useful in short-term planning of an enterprise.
- 2. Easy Analysis of Liquidity and Solvency:** Periodical cash flow statements assist in ascertaining liquidity and solvency of a concern.
- 3. Cash Management:** This provides information about cash – surplus or deficit, thereby resulting in an efficient cash management.
- 4. Prediction:** This predicts about the soundness of financial status of a concern.
- 5. Cash Budget:** Cash Flow Statement is useful in preparing cash budgets of an enterprise.
- 6. Cash Position:** This not only ascertains the cash position but also explains the reasons for such cash position (lower or higher).
- 7. Management Decisions:** This is useful in determining the urgency of management decisions and thereby acting as a deterrent against incorrect decisions.
- 8. A Tool of Planning:** All future investments may be effectively planned with the help of Cash Flow Statements.
- 9. Dividend Policy:** This statement also helps an enterprise in planning a good dividend policy.

OBJECTIVE 3: LIMITATIONS OF CASH FLOW STATEMENT

- All non-cash transactions are not covered, since this statement is based on the limited concept of cash and cash equivalents.
- It is not a proper substitute as this statement reveals the net cash flow only and it may not be useful as a substitute for income statement.
- It is not an effective tool, since this is not a good indicator of the financial position of a concern as it ignores mainly the working capital part.
- It is based on past records. No future planning can be properly made unless and otherwise it is accompanied by some other documents. It is historical in nature.

3.1 Meaning of Cash Flow, Cash and Cash Equivalents

- (i) Cash flows are inflows and outflows of cash and cash equivalents.
- (ii) Cash: Cash on hand and demand deposits in banks.
- (iii) Cash equivalents: They are usually of short term and highly liquid investments. Treasury bills, commercial papers, money market funds and investment in preference shares are some of cash equivalents.

OBJECTIVE 4: PREPARATION OF CASH FLOW STATEMENTS

As per the syllabus, cash flow statements are to be prepared as per revised standard issued by ICAI. This revised standard is better known among professional accountants as AS-3 (revised).

This AS-3 requires a Cash Flow Statement to be prepared and presented in a manner that it shows cash flow from business transactions during a period classified as follows:

- Operating Activities
- Investing Activities
- Financing Activities

These classifications of business transactions as per AS-3 may be represented as follows for easy comprehension.

A: Operating Activities

<i>Cash Inflow</i>		<i>Cash Outflow</i>	
1.	Cash Sales: Cash receipts from sale of goods and other related services	1.	Cash purchases
2.	Cash receipts from Debtors	2.	Cash payment to Creditors
3.	Cash receipts from royalties, fees, commissions and other revenues	3.	Cash payment to suppliers of goods and services
4.	Cash receipts from insurance company on policy benefits	4.	Cash payment of wages
		5.	Cash payment to insurance companies as premium, etc.
		6.	Cash payment to Income Tax

B: Operating Activities for Financial Companies

a. Cash received on interest and dividends	a. Interest payment
b. Sale of securities	b. Securities purchased

C: Investing Activities

<i>Cash Inflow</i>	<i>Cash Outflow</i>
1. Cash receipts from sale of fixed assets including intangible assets	1. Cash payments to purchase of shares, warrants, etc.
2. Cash receipts from sale of shares, warrants and other type of investments	2. Cash payment relating to future contract
3. Cash receipts on interest and dividend	3. Cash repayment to purchase of investments

D: Financing Activities

Cash Inflow	Cash Outflow
1. Cash proceeds (receipts) from issue of shares (in cash) 2. Cash proceeds from issue of debentures 3. Cash proceeds from long-term borrowings	1. Payment of loans 2. Redemption of preference shares 3. Payment of dividend 4. Payment of Interest 5. Repayment of any finance liability

- Note:** 1. Except B, all items relate to manufacturing concerns.
 2. Students should not misunderstand about the above representation.

This is not a distinction or difference between cash inflow and cash outflow. This only facilitates easy comprehension and better remembrance of cash inflow and cash outflow for each of the activities classified.

Illustration: 1

From the following activities, classify them as (1) Operating Activities, (2) Investing Activities and (3) Financing Activities

Requirements

1. Issue of debentures
2. Sale of machinery
3. Sale of investment
4. Sale of patent
5. Bank balance
6. Investment in marketable securities (only short term)
7. Buy back of equity shares
8. Income tax paid
9. Office expenses
10. Repayment of a long-term loan

Solution

Financing Activities : Issue of debenture, buy back of shares, repayment of long-term loan
 (manufacturer concern)

Operating Activities : Sale of investment, income tax paid, office expenses

Investing Activities : Sale of machinery, sale of investment (financial concerns) and sale of patent

Cash equivalents : Bank balance, investment in marketable securities (short term)

OBJECTIVE 5: CASH FLOW STATEMENT: PREPARATION

AS-3 requires that the Cash Flow Statement should show separately the activities, viz.

- Cash Flow from Operating Activities
- Cash Flow from Investing Activities
- Cash Flow from Financing Activities

Before preparation of cash flow statements, one should be familiar with the pro forma or format of Cash Flow Statement under two different methods – (i) Direct Method and (ii) Indirect Method.

These are the revised formats as issued by ICAI (revised) as per AS-3 (revised).

5.1 Direct Method Pro-forma or Format of Cash Flow Statement for the Year Ended

Particulars	Rs	Rs
1. Cash from Operating Activities		
A. Operating Cash Receipts		
(i) Cash Sales		
(ii) Cash Received from Customers	—	
(iii) Trading Commission Received	—	
(iv) Royalties Received	—	
(v) Others	—	xxxx(A)
B. Operating Cash Payments		
(i) Cash Purchases	—	
(ii) Cash Paid to Suppliers	—	
(iii) Cash Paid to Business Expenses (office expenses, manufacturing expense, selling expense)	—	
(iv) Others	—	xxxx(B)
C. Cash Generated from Operation (A–B)		xxx
D. Income Tax Paid		xxx
E. Cash Flow before Extraordinary Items		xxxx
F. Extraordinary items (Receipts/payments)		xxxx
G. Net Cash from Operating Activities	±	(—)
2. Cash flow from Investing Activities (As in Indirect Method)		xxxxx
3. Cash Flow from Financing Activities (As in Indirect Method)		xxxx
4. Net Increase/Decrease in Cash and Cash Equivalents (as in Indirect Method) (1 + 2 + 3)		xxxx
5. Add Cash and Cash Equivalents In the beginning of the year (same as in Indirect Method)		xxxxx
6. Cash and Cash equivalent in the end of the year		xxxxx

5.2 Indirect Method Pro-forma or Format Cash Flow Statement for the Year Ended

Particulars	Rs	Rs
1. Cash Flow from Operating Activities		xxx
A. Net profit before taxation and extraordinary items		
B. Add: Items to be added		
• Depreciation	—	
• Preliminary expenses written off	—	
• Discount on issue of shares and debentures written off	—	
• Goodwill written off	—	
• Patents and Trade marks written off	—	
• Interest on Borrowings and Debentures (Only for non-finance companies to be shown – under Financial Activities)	—	
• Loss on Sale of Fixed Assets	—	xxx
C. Less: Items to be Deducted		
• Interest Income (only for non-finance companies to be shown under Investment Activities)	—	

Particulars	Rs	Rs
- Dividend Income (for non-finance companies to be shown under investment activities) - Rental Income - Profit on Sale of Fixed Assets (to be shown under Investment Activities – Sale Price)	— — —	xxx
Operating Profit before Working Capital Charges	—	
Operating Profit before working capital charges		
D. Operating Profit before Working Capital Changes (A + B – C)		—
E. Add: Decrease in Current Assets and Increase in Current Liabilities Detail:		
- Decrease in Stock/inventories - Decrease in Debtors/B/R - Decrease in Accrued Incomes - Decrease in Prepaid Expenses - Increase in Creditors/B/P - Increase in Outstanding Expenses - Increase in Advanced Income - Increase in Provision for Doubtful Debt	— — — — — — — —	x-x
F. Less: Increase in Current Assets and Decrease in Current Liabilities		
- Increase in Stock/inventories - Increase in Debtors/B/R - Increase in Accrued Incomes - Increase in Prepaid Expenses - Decrease in Creditors/B/P - Decrease in Outstanding Expenses - Decrease in Advanced Income - Decrease in Provision for Doubtful Debt	— — — — — — — —	—
G. Cash Generated from Operations (D + E – F)		xxx
H. Less: Income Tax Paid		—
I. Cash flow before extraordinary items, extraordinary items (±)		***
J. Net Cash from (or used in) Operating Activities		xxx
2. Cash Flow from Investing Activities		
- Proceeds from Sale of Fixed Assets - Proceeds from Sale of Investments - Proceeds from Sale of Intangible Assets - Interest and Dividend Received (for non-finance companies only) - Rent Income - Purchase of Fixed Assets - Purchase of Investments - Purchase of Intangible Assets, e.g. Goodwill - Extraordinary Items (± or)	— — — — — — — — —	
Net Cash from (used in) Investing Activities)		—
3. Cash Flow from Financing Activities		xxx
- Proceeds from Issue of Shares and Debentures - Proceeds from other Long-Term Borrowings	— —	

Particulars	Rs	Rs
• Final Dividend paid • Interim Dividend paid • Interest on Loans and Debentures • Repayment of Loans • Redemption of Debentures/pre • Extraordinary Items (+ or –)	— — — — — —	
Net Cash from (or used in) Financing Activities		—
4. Net Increase/Decrease in Cash and Cash Equivalents (1 + 2 + 3)		xxx
5. Cash and Cash Equivalents in the beginning of the year		
• Cash in Hand • Cash at Bank (less: O/D) • Short-Term Deposits • Marketable Securities	— — — —	— xxx —
6. Cash and Cash Equivalents at the end of the year		
• Cash in Hand • Cash at Bank (less: O/D) • Short-Term Deposits • Marketable Securities		

Cash Inflow from Debtors

Illustration: 2

You are required to calculate cash inflow from debtors from the following data.

Particulars	Rs
Opening Balance	5,00,000
Cash Sales	2,00,000
Opening Debtors	50,000
Closing Debtors	80,000
Sales Returns	20,000

Solution: Cash inflow from debtors has to be computed. This can be prepared by two methods.

Method 1: Cash Inflow from Debtors: First the format has to be drawn. Then transfer the items as follows:

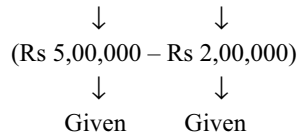
Cash Inflow from Debtors

Particulars		Rs
Opening Balance	Rs	50,000
ADD Credit Sales: Total Sales	5,00,000	
Less: Cash Sales	<u>2,00,000</u>	<u>3,00,000</u>
Closing Balance of Debtors		<u>3,50,000</u>
Cash inflow from Debtors		
Less:		
Sales Returns	20,000	
Closing Balance of Debtors	<u>80,000</u>	<u>1,00,000</u>
Cash Inflow from Debtors		<u>2,50,000</u>

Note

Step A: Opening Debtors has to be taken as base (given in the question)

Step B: With this Credit Sales (Total Sale – Cash Sale) is ADDED



Step C: Then, Sales Returns and Closing Balance of Debtors to be deducted

Step D: The result shows Cash Inflow from Debtors

Method 2**Total Debtors Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	50,000	By Sales Returns	20,000
To Credit Sales		*By Cash Inflow from Debtors	2,50,000
Total Sales 5,00,000		(Balancing figure)	
Less: Cash Sales <u>2,00,000</u>	<u>3,00,000</u>	By Balance c/d	<u>80,000</u>
	3,50,000		3,50,000

Total Debtors Account (ledger) is computed, as above.

Note

- 1 Cash Inflow from Debtors is the balancing figure (Rs 2,50,000).
2. Any one method may be adopted. The result will be same under both the methods, i.e. Cash Inflow from Debtors: Rs 2,50,000.

Illustration: 3

From the following calculate cash inflow from debtors

Particulars	Rs
Opening Debtors	20,000
Closing Debtors	40,000
Opening Bills Receivables	15,000
Closing Bills Receivables	25,000
Total Sales	3,00,000
Cash Sales	25% of credit sales
Discount Allowed	10,000
Bad Debts	15,000
Discount Allowed	20,000
Sales Returns	35,000

Solution: First value of credit sales is to be calculated irrespective of the method to be adopted.

$$\begin{aligned}
 \text{Let Credit Sales be taken as} &= X \\
 \text{Cash Sales} &= 25\% \text{ of } X \\
 &= X/5
 \end{aligned}$$

$$\begin{aligned}
 \text{Total Sales} &= X + \frac{X}{5} = 3,00,000 \\
 &= \frac{5(X) + X}{5} = 3,00,000
 \end{aligned}$$

$$\begin{aligned}
 &= \frac{6X}{5} = 3,00,000 \\
 &= 6X = 15,00,000 \\
 &= X = \frac{15,00,000}{6}
 \end{aligned}$$

*¹Hence, X: Credit Sales = Rs 2,50,000

Method 1: Cash Inflow from Debtors

Particulars	Rs
Opening Debtors	20,000
Opening Bills Receivable	15,000
* ¹ Add: Credit Sales (worked out above)	Rs 2,50,000
Less: Discount Allowed (10,000)	2,85,000
Bad Debts (15,000)	
Sales Returns (35,000)	
Closing Debtors (40,000)	
Closing Bills Receivables (25,000)	
	<u>1,25,000</u>
	1,60,000* ²

Total Debtors Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	20,000	By Bills Receivables (see B/R A/c)	10,000* ³
* ¹ To Credit Sales (worked out)	2,50,000	By Discount Allowed	10,000
		By Bad Debts	15,000
		By Sales Returns	35,000
		By Cash Inflow from Debtors (balancing figure)	1,60,000* ²
		By Balance c/d	40,000
	<u>2,70,000</u>		<u>2,70,000</u>

Bills Receivables

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d	15,000	By Balance c/d	25,000
* ³ To Debtors A/c (balancing figure)	10,000		
	<u>25,000</u>		<u>25,000</u>

Method 2: Cash Inflow from Trading Commission

Illustration: 4

Calculate the amount of trading commission received during the year 2006 from the following data.

	Jan 2006	Dec 31, 2006
	Rs	Rs
Accrued Trading Commission	10,000	45,000
Advance Trading Commission	15,000	60,000
Trading Commission earned during the year 2006 is Rs 1,70,000		

Solution: Trading Commission received can also be computed in two different ways (1) Statement Form and (2) Account Form.

1. Statement Form

Particulars	Rs	Rs
Trading Commission earning during 2006		1,70,000
Add: 1. Accrued Trading Commission as on Jan 1, 2006	10,000	
2. Advance Trading Commission as on Dec 31, 2006	<u>60,000</u>	<u>70,000</u>
		2,40,000
Less: 1. Accrued Trading Commission as on Dec 31, 2006	15,000	
2. Advance Trading Commission as on Jan 1, 2006	<u>45,000</u>	<u>60,000</u>
Total Commission earned during 2006		1,80,000

2. Account Form

Trading Commission Account

Dr.

Cr.

Particulars	Rs	Particulars	Rs
To Accrued Commission A/c (in the beginning)	10,000	By Advance Commission A/c (in the beginning)	45,000
To P & L A/c	1,70,000	*By Cash/Bank A/c	1,80,000*
To Advance Commission A/c (at the end)	60,000	(balancing figure)	
		By Accrual Commission A/c.	15,000
		(a the end)	
	<u>2,40,000</u>		<u>2,40,000</u>

5.3 Calculation of Cash Outflow on Purchases

Purchases include both cash and credit purchases.

5.3.1 Credit Purchases

+ ■ Credit Purchases +	
+ ■ Opening Creditors +	Items to be added
+ ■ Opening Bills Payable	
– ■ Closing Creditors	
– ■ Closing Bills Payable	Items to be deducted
– ■ Discount Received	
– ■ Purchase Returns	

This can also be calculated by preparing Total Creditors Account. [The balancing figure and bills payable can be inserted in the A/c by preparing Bills Payable A/c (balancing fig).]

Illustration: 5

Calculate cash outflow to creditors from the following:

Total Purchases	: Rs 1,80,000
Cash Purchases	: 50% of credit purchases
Opening Creditors	: Rs 5,000
Closing Creditors	: Rs 20,000
Purchase Returns	: Rs 25,000
Discount (Received)	: Rs 10,000

Solution

First, we have to calculate credit purchase. Credit purchase is not given in the problem. So, let us assume,

Credit purchases = Rs x .

Cash purchase is given as 50% of credit purchase

So, Cash purchase = $x/2$

Total purchases = Cash purchase + Credit purchase

$$= x + \frac{x}{2}$$

$$x + \frac{x}{2} = \text{Rs } 1,80,000$$

$$= x + \frac{x}{2} = \text{Rs } 1,80,000$$

$$= \frac{2 \times x + 1 \times x}{2} = \text{Rs } 1,80,000$$

$$= \frac{3x}{2} = 2 \times \text{Rs } 3,60,000 = \text{Rs } 1,20,000$$

Method 1: Calculation of Cash Outflow to Creditors

Particulars	Rs
Opening Balance of Creditors	5,000
Add: Credit Purchases	1,20,000
	<u>1,25,000</u>
Less:	
Rs	
(i) Closing Balance of Creditors	(20,000)
(ii) Discount Received	(10,000)
(iii) Purchase Returns	(25,000)
	<u>55,000</u>
Cash Outflow to Creditors	<u>70,000</u>

Method 2:**Total Creditors Account**

Particulars	Rs	Particulars	Rs
To Discount Received	10,000	By Opening balance by	5,000
To Purchase Returns	25,000	By Credit Purchases	1,20,000
To Cash Outflow to Creditors	70,000		
(balancing figure)			
To Closing Balance C/d	<u>20,000</u>		
	<u>1,25,000</u>		<u>1,25,000</u>

(Note: Balancing figure = Rs 1,25,000 – 55,000) = Rs 70,000

Illustration: 6

Complete cash outflow to creditors from the following:

	Rs
Cost of Goods Sold	3,00,000
Operating Stock	5,000
Closing Stock	15,000

Opening Balance of Creditors	25,000
Return Outwards	10,000
Discount Received	15,000
Opening Bills Payable A/c	40,000
Closing Bills Payable A/c	50,000
Closing Balance of Creditors	40,000
Cash Purchases	60,000

Solution: Credit purchases will have to be calculated first. For this, from the figures, total purchases are calculated.

Total Purchases = Cost of Sales (Cost of Goods Sold) + Closing Stock – Opening Stock

Students should note that cost of sales and cost of goods sold are one and the same

= Rs 3,00,000 + 15,000 – 5,000 = Rs 3,10,000

Then, Credit Purchases = Total Purchases – Cash Purchases

= Rs 3,10,000 – Rs 60,000

= Rs 2,50,000

Method 1: Cash Outflow to Creditors Account

Particulars	Rs
Opening Balance of Creditors A/c	25,000
Opening Balance of Bills Payable A/c	40,000
Add: Credit Purchases	2,50,000
Less:	Rs 3,15,000
1. Discount Received	15,000
2. Returns Outwards	10,000
3. Closing Balance of Creditors	40,000
4. Closing Balance of Bills Payable	50,000
Cash Outflow to Creditors	1,15,000
	2,00,000

Method 2

Total Creditors Account

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Discount Received	15,000	By Balance b/d	25,000
*To Returns Outwards	10,000	By Credit Purchase	2,50,000
To Bills Payable A/c	10,000		
To Cash Outflow to Creditors	2,00,000		
To Balance c/d	40,000		
	<u>2,75,000</u>		<u>2,75,000</u>

Bills Payable A/c

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance c/d	50,000	By Balance b/d	40,000
		By Creditors A/c*	10,000
	<u>50,000</u>		<u>50,000</u>

5.4 Cash Outflow on Expenses Incurred

To find out cash outflow, the amount of expenses (given in P & L A/c) has to be adjusted.

Step 1: For this * (i) amount outstanding in the beginning and (ii) prepaid at the end to be added with expenses (given in P & L A/c).

Step 2: (i) Amount outstanding in the end and (ii) prepaid at the beginning have to be deducted from P & L A/c.

Step 3: Net figure arrived will be cash paid for expenses.

Note 1: All non-cash expenses have to be ignored because no cash payment is involved (i.e., cash flow does not take place).

Treatment of non-cash expenses: Such expenses are as follows:

- (i) Depreciation
- (ii) Preliminary expenses written off
- (iii) Discount on issue of shares and debentures written off
- (iv) Goodwill written off
- (v) Patents and copyrights written off
- (vi) Underwriting commission written off

Note 2: All appropriations: To be ignored: Outflow of cash does not occur

Appropriations:

- (i) Proposed dividend
- (ii) Provision for taxation
- (iii) Transfers to General Reserves

Note 3: All items relating to investing activities and financing activities are ignored because they are taken into calculation of cash flow from investing or financing activities. For example, profit/loss on sale of fixed assets.

Illustration: 7

Compute Cash Outflow on Business Expenses from the following (taken from P & L A/c)

	Rs
Expenses occurred during the year 2006	25,000
Opening Outstanding Expenses	3,000
Closing Outstanding Expenses	5,000
Opening Prepaid Expenses	4,000
Closing Prepaid Expenses	2,500

Solution

Method I: Cash Outflow on Business Expenses

Particulars	Rs	Rs
Expenses incurred during the year		25,000
Add: Opening Outstanding Expenses	3000	
Less: Closing Outstanding Expenses	2500	5,500
		30,500
Less: Closing Outstanding Expenses	5000	
Opening Prepaid Expenses	4000	9,000
Cash Outflow on Expenses		21,500

Method II**Expenses Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Prepaid Expenses (in the beginning)	4,000	By Outstanding Expenses (in the beginning)	3,000
To Outstanding Expenses (at the end)	5,000	By P & L A/c (total expenses)	25,000
To Bank A/c (balancing figure)	21,500	By Prepaid Expenses (at the end)	2,500
	<u>30,500</u>		<u>30,500</u>

Calculation of Cash from Operating Activities (Direct Method)**Illustration: 8**

Direct Method illustrated:

Calculate cash flow from the following data by Direct Method.

	Rs
Cash Sales	6,00,000
Cash Purchases	3,00,000
Royalties Received	25,000
Commission Paid	15,000
Rent Paid	12,000
Tax Paid	33,000
Tax Refund Received	13,000
Cash Received from Debtors	15,000
Cash Paid to Creditors	5,000
Wages and Salaries Paid	30,000
Manufacturing Expenses Paid	10,000
Office Expenses Paid	8,000
Insurance Claim for Tsunami Loss	35,000

Solution**Cash flow from Operating Activities**

Particulars	Rs
A. Operating Cash Receipts	
Cash Sales	6,00,000
Cash Received from Debtors	15,000
Royalties Received	<u>25,000</u>
	6,40,000
B. Operating Cash Payments	Rs
Cash Paid to Creditors	5,000
Cash Purchases	3,00,000
Commission Paid	15,000
Rent Paid	12,000
Wages and Salaries	30,000
Manufacturing Expenses	10,000
Office Expenses	<u>8,000</u>
	3,80,000

Particulars		Rs
C. Cash From Operations Before Tax	Rs	2,60,000
D. Income Tax Paid	33,000	
Less: Refund Received	<u>13,000</u>	<u>20,000</u>
E. Cash Flow from Operations before Extraordinary Items		2,40,000
F. Extraordinary Items: Insurance Claim for Tsunami		<u>35,000</u>
G. Net Cash Flow From Operating Activities		2,05,000

Cash Flow from Operating Activities (Indirect Method)

So far, we have discussed the calculation of cash flow (Operating Activities) by Direct Method, stage by stage. Now we have to discuss this by the following Indirect Method.

One has to make adjustments on net profit arrived as in P & L Account.

To put in a nutshell, the net operating profit before working capital charges has to be adjusted as:

Items to be added

Items that lead to increase in cash have to be added.

They are as follows:

1. Decrease in Current Assets
2. Increase in Current Liabilities

Items to be deducted

Items that lead to decrease in cash have to be deducted.

They are as follows:

1. Increase in Current Assets
2. Decrease in Current Liabilities

Illustration: 9

Calculate Cash Flow from Operating Activities from the Following P & L A/c by Indirect Method

Dr.			Cr.
Particulars	Rs	Particulars	Rs
Salary	20,000	Gross Profit	60,000
Rent	15,000	Profit on Sale of building	12,000
Depreciation	3,000	Income Tax Refund	3,000
Loss on Sale of Machinery	2,000		
Goodwill Written off	5,000		
Proposed Dividend	10,000		
Provision for Taxation	5,000		
Net Profit	15,000		
	<u>75,000</u>		<u>75,000</u>

Solution: First, net profit before tax has to be calculated

Adjustment	Net profit as per P & L A/c	Rs 15,000
Items to be added:	1. Proposed Dividend	Rs 10,000
	2. Provision for Tax	Rs 5,000
		<u>30,000</u>
Items to be deducted:	1. Refund of Tax	Rs 3,000
	2. Net Profit before Tax	Rs 27,000
		<u>30,000</u>

Now we have to compute cash flow.

Cash Flow from Operating Activities

Particulars	Rs
Net Profit Before Tax	27,000
Adjustments	Rs
Add: Depreciation	3,000
Goodwill Written off	5,000
Loss on Sale of Machinery	2,000
	<u>10,000</u>
	37,000
Less: Profit on Sale of Building	<u>12,000</u>
Operating Profit before Working Capital Charges	25,000
I.T. Refund Received	<u>3,000</u>
Net Cash flow from Operating Activities	<u>28,000</u>

Illustration: 10

The following is the position of Current Assets and Current Liabilities of a Company

Particulars	1.1.2009 Rs	31.12.2009 Rs
	Rs	
Provision for Bad Debts	5,000	—
Short-Term Loan	20,000	30,000
Creditors	25,000	20,000
Bills Receivable	30,000	50,000

The company incurred a loss of Rs 70,000 during the year 2009. Calculate cash flows from operating activities by Indirect Method.

Solution

Calculation of cash flow from Operating Activities: Indirect Method

Particulars	Rs
Loss During 2009	–70,000
Adjustments	
(a) Increase in Current Assets	Rs
Bills Receivable	(20,000)
(b) Decrease in Current Liabilities Creditors	(5,000)
Provision for Bad Debts	(5,000)
	<u>–30,000</u>
Cash used in Operating Activities	<u>(–1,00,000)</u>

Negative Cash from Operations Illustrated:

1. Here, students should note that Net Loss is given instead of Net Profit. The result is *negative* one. This means (negative cash from operation) that there is net outflow of cash from Operating Activities.
2. Short-Term Loan: This is financing activity. So it has to be shown under cash flow from financing activities.
3. So, increase in short-term loan is ignored.

5.5 Adjustments

For sale and purchase of (non-current) fixed assets (as per revised standard)

- (i) Cash received from sale of an item of (non-current) fixed assets is not to be considered as cash flows from investing activities.
- (ii) Profit/Loss on sale of (non-current) fixed assets is taken into account in calculating cash flow from operating activities.
- (iii) While preparing (non-current) fixed assets account much care should be taken into accounts.

There are two methods for this:

Treatment of (non-current) fixed assets – on original basis and – on W.D.V. basis.

5.5.1 On Original cost basis

1. Look at the Balance Sheet
2. If there is “Provision for Depreciation” or “Accumulated Depreciation” for both years, it shows that fixed assets are shown at their original cost.
3. In such cases, both “Fixed Assets Account” and “Provision for Depreciation Account” will have to be prepared to arrive at purchase and sale of fixed assets and the actual amount of depreciation.

5.5.2 On Written Down Value basis

1. If there is no such item, depreciation appears in the Balance Sheet, it means that fixed assets are shown at written down value (i.e., after depreciation).
2. Only fixed asset account has to be prepared and current year’s depreciation has to be credited to Fixed Assets Account (i.e., no need to prepare Provision for Depreciation Account).

Illustration: 11

Compute Cash Flow from Operating Activities by Indirect Method

Particulars	Opening Balance Rs	Closing Balance Rs
P & L Account	45,000	55,000
General Reserve	25,000	30,000
Provision for Depreciation on Plant	40,000	45,000
Outstanding Expenses	5,000	2,000
Goodwill	25,000	15,000
Sundry Debtors	60,000	50,000

An item of plant costing Rs 50,000 having book value of Rs 40,000 was sold for Rs 45,000 during the year.

Solution

Step 1: First, net profit before tax is to be calculated

Net profit for the year	
Difference between opening and closing balances in the problem (i.e. Rs 55,000 – Rs 45,000)	Rs 10,000
Adjustment	
Add General Reserve (Difference Rs 30,000 – 25,000)	Rs 5,000
Net Profit before Tax	<u>Rs 15,000</u>

Step 2: Next,

Treatment of Plant A/c

- Plant A/c has to be prepared
- This has to be prepaid to arrive at depreciation, as cost, book value and sale of plant were given
- Balancing figure in the plant account is the figure arrived at for depreciation
- Profit on Sale = Sale Price – Book Price
= Rs 45,000 – 40,000 = Rs 5,000

Plant Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance A/c	50,000	By* Provision for Depreciation	10,000
To P & L A/c (profit on sale) (45,000 – 40,000) To Bank A/c	5,000	A/c (balancing figure)	
		By Bank A/c (sale of assets)	45,000
	<u>55,000</u>		<u>55,000</u>

Step 3

- Next, provision for Depreciation of Plant A/c has to be prepared
- Balancing figure in this account is the amount provided for depreciation during the year
- Depreciation arrived at as in Plant Account has to be transferred here under “Plant A/c.”

Treatment of Provision for Depreciation

Provision for Depreciation on Plant Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Plant A/c	10,000	By Balance b/d (given)	40,000
To Balance c/d (given)	45,000	*By P & L A/c (depreciation to be provided) (balancing figure)	15,000
	<u>55,000</u>		<u>55,000</u>

Step 4

Finally, now computation of cash flow from operating activities has to be worked out as follows:

Calculation of Cash Flows from Operating Activities

Particulars	Rs
Net Profit Before Tax	15,000
Adjustments	
Add: Non-cash expenses	

Particulars		Rs
	Rs	
Depreciation	15,000	
Goodwill written off	<u>10,000</u>	<u>25,000</u>
		40,000
Less: Non-cash incomes		
Profit on Sale of Plant		<u>(5,000)</u>
Operating Profit before Working Capital Charges		<u>35,000</u>
Add: Decrease in Current Assets: Sundry Debtors Debtors		<u>10,000</u>
		45,000
Less: Decrease in Current Liabilities: Outstanding Expenses		<u>(3,000)</u>
Cash Flows from Operating Activities		<u>42,000</u>

Illustration: 12

Calculate cash flows from Operating Activities from the following information

Particulars	2008 (Rs)	2009 (Rs)
Debtors	42,000	46,000
Prepaid Expenses	2,000	2,700
Accrued Income	1,500	1,200
Income Revised in Advance	800	1,000
Creditors	26,000	29,000
Bills Payable	13,000	11,000
Outstanding Expenses	8,000	6,000

Profit made during 2009 amounted to Rs 1,00,000 after taking into account the following adjustments

- (i) Profit on Sale of Investment : Rs 2,000
- (ii) Loss on Sale of Machine : Rs 900
- (iii) Goodwill Amortised : Rs 3000
- (iv) Depreciation Charged : Rs 2900

Answer: Cash flow for Operating Activities

Particulars		Rs
Profit for the Year		1,00,000
Items to be added back to profit	Rs	
Add: Depreciation	2,900	
Goodwill Amortised	3,000	
Loss on Sale of Machine	<u>900</u>	<u>6,800</u>
		1,06,800
Less. Profit on Sale of Investment	(2,000)	<u>(2,000)</u>
Cash Generated from Operation before Working Capital Charges (operation profit)		1,04,800
Add: Decrease in Current Assets and Increase in Current Liabilities		
Accrued Income	300	
Income Received in Advance	200	

Particulars	Rs	Rs
Creditors	<u>2,000</u>	<u>2,500</u>
		1,07,300
<i>Less: Increase in Current Assets and Decrease in Current Liabilities:</i>		
Debtors	(4,000)	
Prepaid Expenses	(200)	
Bills Payable	(2,000)	
Outstanding Expenses	<u>(2,000)</u>	<u>(8,700)</u>
Net Cash Flow from Operating Activities		98,600

Illustration: 13

The net profit of a company before tax is Rs 12,50,000 as on Mar 31, 2009 after considering the following:

	Rs
Depreciation on Fixed Assets	25,000
Goodwill Written off	15,000
Loss on Sale of Machine	12,000

The current assets and current liabilities on the beginning and at the end of the year were as follows:

Particulars	Mar 31, 2008 (Rs)	Mar 31, 2009 (Rs)
Bills Receivables	25,000	15,000
Bills Payable	10,000	12,500
Debtors	30,000	38,800
Stock in Hand	18,000	14,000
Outstanding Expenses	8,000	7,000

Calculate cash flow from Operating Activities.

Answer: Students should once again remember the steps in preparing cash flow from Operating Activities:

Step 1: Net profit before tax is taken as the base.

Step 2: Items to be added back to the net profit have to be written one by one and add with net profit.

Step 3: This added value is “operating profit before working capital charges.”

Step 4: With this the following items to be added:

Decrease in the value of Current Assets

Increase in the value of Current Liabilities

Step 5: Then, the following items have to be deducted:

Increase in the value of Current Assets

Decrease in the value of Current Liabilities

Step 6: Net result is “net cash flow from operating activities”

Calculation of Cash Flow from Operating Activities

Particulars		Rs
A. Net Profit before Tax		12,50,000
B. Add: (Items to be added back to Net Profit)	Rs	
Depreciation on Fixed Assets	25,000	
Goodwill Written off	15,000	
Loss on Sale of Machine	12,000	52,000
(A + B) C. Operating Profit before Working Capital Charges (A + B)		13,02,000
D. Add: (Decrease in Current Assets and Increase in Current Liabilities)		
Decrease in Bills Receivables	9,500	
Decrease in Stock	4,000	
Increase in Bills Payable	2,500	16,000
E. (Deduct) Less: (Increase in Current Assets and Decrease in Current Liabilities)		13,18,000
Increase in Debtors	8,000	
Decrease in Outstanding Expenses	1,000	(9,000)
(C + D – E) F. Net Cash Flow from Operating Activities (C + D – E)		13,08,200

5.6 Cash Flow from Investing Activities

- The investing activities of a concern relate to the acquisition and disposal of long-term assets and other reinvestments not included in cash equivalents.
- The cash flow from investing activities is ascertained by analysing the changes in fixed assets and long-term investments in the beginning and at the end of the year.
- The cash inflow and cash outflow (i.e. cash flow) of items included in this category of investing activities are as follows:

Payments (Cash Outflow)

- Cash payments to acquire fixed assets.
- Cash payments to acquire shares, warrants or debt instruments of other enterprises and interests in joint ventures.
- Cash advances and loans to third parties.

Receipts (Cash Inflow)

- Cash receipts from disposal of fixed assets.
- Cash receipts from disposal of shares, warrants or debt instruments of other enterprises and interests in joint ventures.
- Cash receipts from the repayment of loans and advances made to third parties.

5.6.1 Accounting Treatment

5.6.1.1 Fixed Assets: There are two categories: (i) Fixed assets are shown at Written Down Value (W.D.V.). No additional information will be shown.

- To compute the missing figures, fixed asset account is opened and all items are recorded.
- To ascertain purchase of fixed assets → balancing figure on the debit side of the A/c.

- To ascertain sale of fixed assets → balancing figure on the credit side of the A/c.
- To ascertain depreciation → balancing figure on the credit side of the account.
- In cases, if both sale and depreciation are not given, it may be assumed to be either sale or depreciation and such assumption should be expressly recorded.
- In case of land → no depreciation recorded.
- In case of patents, trade marks, goodwill, etc. → the amount has to be written off.

Illustration: 14

A public limited company has plant and machinery whose written down value on Apr 1, 2009 was Rs 7,50,000 and on Mar 31, 2010 was Rs 9,00,000. Depreciation for the year was Rs 30,000. At the beginning of the year a part of the plant was sold for Rs 20,000 which had written down value of Rs 17,500. Calculate the net cash flow from investing activities.

Solution

Note: Fixed assets are shown at written down value

Stage 1: Purchasing amount has to be calculated. So Plant and Machinery A/c has to be opened

Plant and Machinery Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance b/d	7,50,000	By Bank A/c (plant sale)	20,000
To P & L A/c (profit on sale) (Rs 20,000 – 17,500)	2,500	By Depreciation A/c (from the question)	30,000
*To Bank A/c (Purchase: Plant and Machinery) (balancing figure)	1,97,500	By Balance c/d (value at the end)	9,00,000
	<u>9,50,000</u>		<u>9,50,000</u>

* Cash payment to acquire plant and machinery is ascertained as Rs 1,97,500

Stage 2: Cash flow from Investing Activities

Particulars	Rs	Rs
Cash Payments to Acquire Plant and Machinery	(1,97,500)	
Cash Receipts from Sale of Plant and Machinery (given in question)	<u>20,000</u>	(1,77,500)
Cash Flow from Investing Activities		<u>(1,77,500)</u>

Second Category

5.6.1.2 Fixed Assets are shown: At cost and accumulated depreciation (separately maintained) or provision for depreciation

- In this case, depreciation is not directly charged to the Fixed Assets Account.
- Depreciation for the year is ascertained from Provision for Depreciation Account (Accumulated Depreciation A/c).

This can be explained with the help of the following illustration.

Illustration: 15

From the following information, calculate the cash flow from Investing Activities.

Particulars	Mar 31, 2008 (Rs)	Mar 31, 2009 (Rs)
Machinery (at cost)	5,00,000	5,50,000
Accumulated Depreciation	1,00,000	1,20,000
Patents	3,00,000	1,90,000

Additional Information

1. During 2008–2009, a machine costing Rs 50,000 with accumulated depreciation Rs 30,000 was sold for Rs 25,000.
2. Patents were written off to the extent of Rs 55,000 and some patents were sold at a profit of Rs 25,000.

Solution

- Fixed Assets value is shown at cost
- Accumulated depreciation is also shown
- Further information particulars are also in the problem
- In this question details on patents are also shown
- So, we have to open separate accounts for
 - (i) Machinery
 - (ii) Accumulate Depreciation Account
 - (iii) Patents Account

to ascertain all the missing figures.

Step 1

Profit on sale of machinery is to be calculated.

Profit on Sale of Machinery = Sale Price – Book Value

= Rs 25,000 – (Cost – Accumulated Depreciation)

= Rs 25,000 – (Rs 50,000 – Rs 30,000)

= Rs 25,000 – (Rs 20,000)

= Rs 5,000

This amount has to be debited to Machinery A/c as P & L A/c.

Step 2**Machinery Account**

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Opening Balance b/d (machinery in the beginning)	5,00,000	By Bank A/c (Inflow) (Receipts – Sale)	25,000
To P & L A/c (profit on sale)	5,000	By Accumulated Depreciation A/c (depreciation on machine sold)	30,000
*To Bank A/c (outflow) (balancing figure) (purchase of machinery)	1,00,000	By Balance C/d (machinery at the end)	5,50,000
	<u>6,05,000</u>		<u>6,05,000</u>

Step 3**Accumulated Depreciation Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Machinery A/c (depreciation on machinery sold)	30,000	By Balance b/d (accumulated depreciation in the beginning)	1,00,000
To Balance c/d (accumulated depreciation at the end)	1,20,000	* ² By P & L A/c (balancing figure)	50,000
	<u>1,50,000</u>		<u>1,50,000</u>

Step 4**Patents Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (patents in the beginning)	3,00,000	* ³ By Bank A/c (Inflow)	80,000
To P & L A/c (given in the question) *	25,000	(balancing figure)	
		By P & L A/c (written off)	55,000
		By Balance c/d (at the end)	1,90,000
	<u>3,25,000</u>		<u>3,25,000</u>

Step 5**Cash Flow from Investing Activities**

Particulars	Rs
Inflow from Sale of Machinery	25,000
* ¹ Outflow on Purchase of Machinery	(1,00,000)
* ³ Inflow from Sale of Patents	<u>80,000</u>
Net Cash Flow from Investing Activities	<u>5,000</u>

Illustration: 16

From the following particulars, calculate the cash flows from investing activities.

	Purchases Rs	Sales Rs
Investments	3,00,000	2,00,000
Goodwill	1,50,000	–
Machinery	6,50,000	2,10,000
Patents	–	1,00,000

Dividend received on shares held as investment Rs 30,000. Interest received on debentures held as investment Rs 40,000. A building purchased for investment purposes (out of surplus funds) was let out and rent proceeds received thereby Rs 1,20,000.

Solution

This is a different problem.

- All purchases and sales are given straight.
- No need to prepare separate account for any item.
- So, cash flow from investing activities can straight away be calculated as follows:

Cash Flow from Investing Activities

Particulars	Rs
Investments Purchased	(3,00,000)
Proceeds from Sale of Investments	2,00,000
Goodwill Purchased	(1,50,000)
Machinery Purchased	(6,50,000)
Proceeds from Sale of Machinery	2,10,000
Proceeds from Sale of Patents	1,00,000
Interest Received on Debentures	40,000
Dividend Received on Shares	30,000
Rent Received	<u>1,20,000</u>
Net Cash Flow from Investing Activities	<u>(4,00,000)</u>

5.7 Cash Flow from Investing Activities**Illustration: 17**

A company has investments at the beginning of the year Rs 40,000 and at the end of the year Rs 30,000. During the year the company had sold 50% of its investments held in the beginning of the year at a profit of Rs 10,000. Compute cash flow from Investing Activities.

Solution

Step 1: First, cost of sales is to be calculated at 50% of the investment held in the beginning.

$$= \frac{50}{100} \times 40,000 = \text{Rs } 20,000$$

With this, profit has to be added to arrive at cash inflow from sale of investment.

So Sale of Investment = Rs 20,000 + Rs 10,000 = Rs 30,000

Step 2: Next, investment account is to be prepared to compute outflow on purchase of investment (i.e., the balancing figure in this account)

Investment Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance b/d	40,000	By Bank A/c	30,000
To P & L A/c (profit on sale of investment) (given)	10,000	(Sale: 50% Rs 20,000 + Rs 10,000)	
To ¹ Bank A/c (purchase) (balancing figure)	10,000	By Balance c/d (closing)	30,000
	<u>60,000</u>		<u>60,000</u>

Step 3**Calculation of Cash Flow from Investing Activities**

Particulars	Rs
Inflow from Sale of Investment	Rs
Cost of Investment Sold	20,000
Add: Profit on Sale	<u>10,000</u>
	30,000
Less: Outflow on Purchase of Investment	<u>(10,000)</u>
Net Cash Flow from Investing Activities	20,000

Illustration: 18**Calculate Cash Flow from Investing Activities**

Particulars	Rs
	Rs
Machinery (at Cost)	6,00,000
Accumulated Depreciation	1,10,000
	6,25,000
	1,25,000

During the year, one of the machines costing Rs 60,000 with accumulated depreciation for this machine Rs 35,000 was sold for Rs 30,000.

Solution

Step 1: Computation of profit on sale of fixed assets and book value of assets.

Profit on sale of machinery has to be calculated.

Profit on Sale of Machinery = Sale Price – Book Value

Sale price is given = Rs 30,000

Step 2: Book value is to be found out

Book Value = (Cost – Accumulated Depreciation)

= (Rs 60,000 – 35,000)

= Rs 25,000

Step 3: Profit on sale of machinery

= Rs 30,000 – 25,000 = Rs 5,000

Step 4: Then machinery account is to be prepared

Machinery Account

Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance b/d (opening)	6,00,000	By Accumulated Depreciation	35,000
To P & L A/c (profit on sale)	5,000	A/c (given)	
To Bank A/c (outflow) (balancing figure)	85,000	By Bank A/c (inflow)	30,000
		(given) (sale)	
		By Balance c/d (closing)	<u>6,25,000</u>
	<u>6,90,000</u>		<u>6,90,000</u>

Step 5: Accumulated Depreciation Account is to be prepared

Accumulated Depreciation Account

<i>Dr.</i>		<i>Cr.</i>	
Particulars	Rs	Particulars	Rs
To Machinery A/c (given)	55,000	By Balance b/d (opening)	1,10,000
To Balance c/d (closing)	1,25,000	** By P & L A/c (balancing figure)	70,000
	<u>1,80,000</u>		<u>1,80,000</u>

Step 6: Cash flow from investing activities is prepared

Cash Flow from Investing Activities

Particulars	Rs
Inflow from Sale of Machinery	30,000
Outflow from Purchase of Machinery	(85,000)
(Balancing Figure in Machinery A/c)	
Net Cash Flow from Investing Activities	<u>(55,000)</u>

5.8 Cash Flow from Financing Activities

5.8.1 Meaning

Activities that result in change in the size and composition of owners' capital and borrowing of the enterprises are termed as financing activities.

Items included in financing activities are as follows:

1. Proceeds from issue of shares
2. Proceeds from issue of debentures
3. Proceeds from long-term borrowings
4. Receipts by way of loan
5. Proceeds from issue of bonds
6. Redemption of preferences shares/debentures
7. Repayment of long-term borrowings, loans, etc.
8. Interest paid (non-financial concerns only)
9. Dividend paid (in all concerns)

Note

- Issue of Bonus Shares – (by which the increase in share capital) is not to be shown as a financing activity in the cash flow statement.
- But in case, when shares are issued at premium will be shown in cash flow statements.
- The cash flow from financing activities is ascertained by analysing the changes in equity share capital, preference share capital, debentures and other borrowings.

Illustration: 19

Calculate the cash flow from financing activities of a concern from the following information

Particulars	Mar 31, 2008 (Rs)	Mar 31, 2009 (Rs)
Equity Share Capital	5,00,000	6,75,000
9% Debentures	2,00,000	1,50,000
Securities Premium	50,000	70,000

Additional Information: Interest paid on debentures = Rs 18,000

Solution

Note

Treatment of change in share capital and changes in debentures and redemption.

1. Change in share capital (Rs 6,75,000 – 5,00,000) reveals issue of shares.
2. Premium increase, also included.
3. Change in debentures (Rs 2,00,000 – 1,50,000) reflects redemption, included.
4. Interest paid on debentures, also included.

Calculation of Net Cash Flow from Financing Activities

Particulars	Rs	Rs
Cash Receipts from Issue of Shares	1,75,000	
Add: Proceeds from Premium	<u>20,000</u>	1,95,000
Redemption of Debentures	(50,000)	
Interest Paid on Debentures	<u>(18,000)</u>	(68,000)
Net Cash Flow from Financing Activities		<u>1,27,000</u>

Illustration: 20

A public limited company extends the following information. Calculate the net cash flow from Financing Activities.

Particulars	Rs	Rs
Equity Shares Capital	20,00,000	30,00,000
12% Debentures	1,00,000	–
9% Debentures	–	3,00,000

Additional Information

1. Dividend paid Rs 75,000
2. Interest paid on debentures Rs 12,000
3. During the year 2008–2009, the company issued bonus shares in the ratio of 2:1 by capitalising reserve

Solution

Note

Treatment of new issue of debentures – Interest and Dividend Bonus share

- 9% debentures – shown for the year 2009 – proceeds from new issue of debentures – included
- 12% debentures – redeemed in full – included
- Interest paid and dividends paid – included

- Capital increase due to issue of bonus share not to be included (capitalisation of reserve)

So, care should be taken before ascertaining the cash flow from financing activities, whether that items form part of financing activities and whether it should be included or not.

Calculation of Net Cash Flow from Financing Activities

Particulars	Rs
Cash Proceeds from the Issue of 9% Debentures	3,00,000
Payments on Redemption of 12% Debentures	(1,00,000)
Interest Paid on Debentures	(12,000)
Payment of Dividend	(75,000)
Net Cash Flow from Financing Activities	1,13,000

5.9 Accounting Treatment of Special Items

5.9.1 Interest and Dividend

This depends on

- The nature of business entities (i.e. financial or non-financial)
- The nature of transactions (i.e. received or paid)
 - Dividends paid is always treated as financing activity (financial or non-financial)
 - Dividends received: for financial enterprises operating activity

For non-financial concerns

↓

Investing activity

↓

- Interest: both paid and received:

–For financial enterprises;

↓

–Operating activity

–For non-financial enterprises:

↓

Interest paid → financing activity

Interest received → investing activity

These can be represented by the tabular column as follows:

S. No.	Items/Cash Flow	Financial Enterprise	Non-financial Enterprise
1.	Dividend – Paid	Financing Activity	Financing Activity
2.	Dividend – Received	Operating Activity	Investing Activity
3.	Interest – Paid	Operating Activity	Financing Activity
4.	Interest – Received	Operating Activity	Investing Activity

5.9.2 Proposed Dividend

- Proposed dividend for current year:
To be added back to current year's profit to ascertain cash flow from Operating Activities.
- Proposed dividend for previous year:
To be treated as Financing Activity.

5.9.3 Interim Dividend

- To be added back to current year's profits to ascertain cash flow from operating activities.
- Further, it has to be treated as cash used in a financing activity.

5.9.4 Discount on Issue of Shares or Debentures

- Discounts are to be written off through Profit and Loss Account.
- Discount written off: To be added back to current year's profits to ascertain cash from Operating Activities.
- Treatment of special items.
- Discount allowed during the year: To be treated as Financing Activity.

5.9.5 Non-cash Transactions

- As no cash flow takes place, they are not included in preparation of Cash Flow Statement.
- But AS-3 (revised) stipulates that such items have to be disclosed as footnote in the statement.
- For example
 - (i) Issue of shares for consideration other than cash
 - (ii) Conversion of debentures into shares

5.9.6 Taxes on Income

- In general, it is treated as an Operating Activity.
- But at times, if it is associated with any specific activity, then it may be treated as investing or financing activity depending on the nature of transactions.

5.9.7 Extraordinary Items

- Extraordinary items have to be classified under appropriate activity. It may be either one of the three activities. For example
 - (a) Insurance claims
 - (b) Buy-back of shares
 - (c) Compensation – land acquisition

Illustration: 21

From the following information, calculate the cash flow from Investing Activities and Financing Activities.

Particulars	Apr 1, 2008 (Rs)	Mar 31, 2009 (Rs)
Furniture (at cost)	25,000	35,000
Accumulated Depreciation on Furniture	5,000	8,000
Capital	2,00,000	2,75,000
Loan	50,000	30,000

During the year 2008–2009, furniture costing Rs 7,000 was sold at a profit of Rs 2,500. Depreciation on furniture charged during the year amounted to Rs 6,000.

Solution

- In this question, items relating to Investing Activities and Financing Activities are shown. So cash flows have to be computed for each separately.
- Changes in capital and loan relate to Financing Activities and the remaining items relate to Investing Activities.

Step 1: First, cash flow from Financing Activities is to be computed as follows:

Cash Flow from Financing Activities

Particulars	Rs
Cash Inflow by Issue of Fresh Capital {i.e. Increase in Capital = Rs 2,75,000 – 2,00,000}	75,000
Cash Outflow on Repayment of Loan {i.e. Loan Decreased: Rs 50,000 – 30,000}	(20,000)
Net Cash from Financing Activities	55,000

Next, Furniture Account and Accumulated Depreciation Accounts have to be computed.

Sale Price = Cost – Accumulated Depreciation + Profit on Sale

$$= \text{Rs } 7,000 - 3,000^{*2} + 2,500 = \text{Rs } 6,500^{*}$$

Step 2

Accumulated Depreciation Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance c/d (as on Mar 31, 2009)	8,000	By Balance b/d (as on Apr 1, 2008)	5,000
* ² To Furniture A/c (accumulated depreciation on furniture sold) (balancing figure)	3,000	By Depreciation A/c (from information)	6,000
	<u>11,000</u>		<u>11,000</u>

Step 3

Furniture Account

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (as on Apr 1, 2008)	25,000	By Bank A/c * ¹	6,500
To Profit on Sale A/c	2,500	By Accumulation Depreciation A/c.* ²	3,000
To * ³ Bank A/c (furniture purchases) (balancing figure)	17,000	By Balance c/d (as on Mar 31, 2009)	35,000
	<u>44,500</u>		<u>44,500</u>

Step 4: Finally, cash flow from Investing Activities has to be ascertained.

Cash Flow from Investing Activities

Particulars	Rs
Cash Inflow by Sale of Furniture * ¹	6,500
Cash Outflow on Purchase of Furniture * ³	(17,000)
Net Cash Flow from Investing Activities	(10,500)

Note: Here, negative net cash flow indicates net cash used in Investing Activities.

Illustration: 22**An Extract from the Balance Sheets of ABC Ltd**

Liabilities	Mar 31, 2007 (Rs)	Mar 31, 2008 (Rs)	Assets	Mar 31, 2007 (Rs)	Mar 31, 2008 (Rs)
P & L A/c	7,00,000	10,00,000			
Proposed Dividend	4,00,000	5,00,000			
Dividend Payable	–	70,000			

You are required to prepare the cash flow statement for the year ended Mar 31, 2008.

Solution: Computation of Cash Flow Statement of ABC Ltd. for the year ended Mar 31, 2008.

	Rs	Rs
A. Cash Flow from Operating Activities		
Closing Balance as per P & L A/c	10,00,000	
Less: Opening Balance as per P & L A/c	<u>7,00,000</u>	
Net Profit	3,00,000	
Add: Proposed Dividend during the Year	<u>5,00,000</u>	
Net Cash from Operating Activities		<u>8,00,000</u>
B. Cash Flow from Financing Activities		
Final Dividend paid,	4,00,000	
i.e. Proposed Dividend (previous year) Payable	<u>(70,000)</u>	<u>3,30,000</u>
Net Cash used in Financing Activities		<u>3,30,000</u>

Proposed Dividend Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Dividend Payable A/c	4,00,000	By Balance A/c	4,00,000
To Balance c/d	5,00,000	By P & L A/c	5,00,000
	<u>9,00,000</u>		<u>9,00,000</u>

Dividend Payable Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Bank A/c (dividend paid)	3,30,000	By Proposed Dividend	4,00,000
To Balance c/d (dividend payable)	<u>70,000</u>	A/c (prev. year)	<u>4,00,000</u>
	<u>4,00,000</u>		

Illustration: 23

Extract from the Balance Sheets of XY Ltd is as follows

Liabilities	Mar 31, 2008 (Rs)	Mar 31, 2009 (Rs)	Assets	Mar 31, 2008 (Rs)	Mar 31, 2009 (Rs)
Equity Share Capital	8,00,000	8,00,000			
10% Redeemable Preference Shares	6,00,000	6,00,000			
P & L A/c	3,00,000	5,50,000			
Proposed Dividend on Equity Shares	1,75,000	2,50,000			
Dividend Payable	—	55,000			

Additional Information

The final dividend on preference shares and an interim dividend of Rs 60,000 on equity shares were paid on Mar 31, 2009. How these items will be recorded in the Cash Flow Statement?

Solution

- Items shown in the Balance Sheet extract relate to Operating Activities and Financing Activities. Computation of both cash flow from Operating Activities and Financing Activities
- First cash flow from Operating Activities is calculated

	Rs	Rs
Cash Flow from Operating Activities		
Closing Balance as per P & L A/c		5,50,00
Less: Opening Balance as per P & L A/c		<u>3,00,000</u>
Net Profit		2,50,000
Add: Proposed Dividend during the year 2008–2009	2,50,000	
Dividend Paid on Preference Shares	60,000	
Interim Dividend Paid	<u>60,000</u>	<u>3,70,000</u>
Net Cash from Operating Activities		<u>6,20,000</u>
Cash Flow from Financing Activities		
Final Dividend paid on Equity Shares (Rs 1,75,000 – 55,000)		(1,20,000)
Final Dividend paid on Preference Shares		(60,000)
Interim Dividend paid on Equity Shares		(60,000)
Net Cash used in Financing Activities		<u>(2,40,000)</u>

Illustration: 24

Extract of the Balance Sheet of Renu Ltd is as follows

Liabilities	Mar 31, 2008 (Rs)	Mar 31, 2009 (Rs)	Assets	Mar 31, 2008 (Rs)	Mar 31, 2009 (Rs)
Share Capital	20,00,000	20,00,000	Discount on	3,50,000	2,50,000
10% Debentures	15,00,000	20,00,000	Issue of Shares		
Unpaid Interest	—	25,000	Discount	2,00,00	2,75,000
			on Issue of		
			Debentures		
Profit and Loss	2,00,000	2,50,000			

Solution

- In this problem also items relating to both Operating Activities and Financing Activities appear.
- First, Discount on Issue of Shares Account and then Discount on Issue of Debenture Account have to be prepared.
- A separate account for 10% Debenture A/c has also to be prepared.
- After ascertaining the missing figures, we can compute the cash flows.

Step 1**Discount on Issue of Shares Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (as on Mar 31, 2008)	3,50,000	* ¹ By P & L A/c (balancing figures)	1,00,000
		By Balance c/d (as on Mar 31, 2009)	2,50,000
	<u>3,50,000</u>		<u>3,50,000</u>

Step 2**Discount on Issue of Debentures Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (as on Mar 31, 2008)	2,00,000	By Balance c/d (as on Mar 31, 2009)	2,75,000
* ² To 10% Debentures A/c (balancing figures)	75,000		
	<u>2,75,000</u>		<u>2,75,000</u>

Step 3**10% Debentures Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance c/d (as on Mar 31, 2009)	20,00,000	By Balance b/d (as on Mar 31, 2008)	15,00,000
		By Discount on Issue of Debentures A/c (from * ²)	75,000
		* ³ By Bank A/c (balancing figure)	
			<u>4,25,000</u>
	<u>20,00,000</u>		<u>20,00,000</u>

Step 4**An Extract of Cash Flow Statement for the year ended Mar 31, 2009**

	Rs
1. Cash Flow Operating Activities	
Closing Balance as per P & L A/c	2,50,000
Less: Discount Balance as per P & L A/c	(2,00,000)
Add: Discount on Issue of Shares (from – * ¹)	1,00,000
Interest on Debentures (Rs 15,00,000 × 10/100)	<u>1,50,000</u>
Net Cash from Operating Activities	<u>3,00,000</u>

	Rs
2. Cash Flow from Financing Activities	
Proceeds from Issue of Debentures (from – *3)	4,25,000
Interest paid on Debentures (Rs 1,50,000 – 25,0000) (as calculated) (unpaid)	<u>(1,25,000)</u>
Net Cash from Financing Activities	3,00,000

Illustration: 25**An Extract of Balance Sheet of Verma Ltd. is as follows**

Liabilities	Mar 31, 2008 (Rs)	Mar 31, 2009 (Rs)	Assets	Mar 31, 2008 (Rs)	Mar 31, 2009 (Rs)
Share Capital	15,00,000	15,00,000	Discount on Issue of Shares	2,60,000	1,90,000
10% Debentures	15,00,000	20,00,000	Discount on Issue of Debentures	2,00,000	2,50,000
Unpaid Interest	–	20,000			
Profit and Loss A/c.	1,50,000	2,25,000			

Additional Information

Discount on the issue of debentures written off during the year 2008–2009 was Rs 25,000.

You are required to depict the related items in the Cash Flow Statement.

Solution

- Steps will be the same as explained in the previous illustration.
- Only additional adjustment to be made is for written off amount on debentures.

Step 1**Discount on Issue of Shares Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d I (as on Mar 31, 2008)	2,60,000	By * ¹ P & L A/c (balancing figure) By	70,000
		Balance c/d (as on Mar 31, 2009)	<u>1,90,000</u>
	<u>2,60,000</u>		2,60,000

Step 2**Discount on Issue of Debentures Account**

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Balance b/d (as on Mar 31, 2008)	2,00,000	*By P & L A/c (written off)	25,000
² To 10% Debentures A/c (balancing figure)	75,000	By Balance c/d (as on Mar 31, 2009)	<u>2,50,000</u>
	<u>2,75,000</u>		2,75,000

Step 3

10% of Debentures Account			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance c/d (Mar 31, 2009)	20,00,000	By Balance b/d (as on Mar 31, 2008)	15,00,000
		By Discount on Issue of Debentures (from *2)	75,000
		By Bank A/c (balancing figure)	4,25,000
	20,00,000		20,00,000

Step 4

An extract of cash flow statement for the year ended on Mar 31, 2009

	Rs
1. Closing Balance as per P & L A/c	2,25,000
Less: Opening Balance as per P & L A/c	(1,50,000)
Add: Discount on Issue of Shares *1	70,000
Discount on Issue of Debentures *2	75,000
Interest on Debentures	<u>1,50,000</u>
Net Cash from Operating Activities	<u>3,70,000</u>
2. Cash Flow from Operating Activities	
Proceeds from Issue of Debentures	4,25,000
Interest paid on Debentures	<u>(1,30,000)</u>
Net Cash from Financing Activities	<u>2,95,000</u>

Illustration: 26

From the following information, prepare a Cash Flow Statement for the year ending on Mar 31, 2008.

Liabilities	Mar 31, 2007 (Rs)	Mar 31, 2008 (Rs)	Assets	Mar 31, 2007 (Rs)	Mar 31, 2008 (Rs)
Share Capital	80,000	1,60,000	Goodwill	30,000	20,000
General Reserve	4,000	10,000	Buildings	40,000	90,000
P & L A/c	50,000	60,000	Machinery	49,000	98,000
Creditors	5,000	3,000	Debtors	15,000	20,000
Bills Payable	15,000	25,000	Cash in Hand	20,000	30,000
	<u>1,54,000</u>	<u>2,58,000</u>		<u>1,54,000</u>	<u>2,58,000</u>

Depreciation provided during the year 2007–2008 = Rs 10,000

[B. Com (Madras) – Modified]

Solution

Stage I: (A) Cash flow from Operating Activities has to be calculated first.

Step 1: For this profit as per Balance Sheet has to be taken as base figure (Rs 60,000 – 50,000)

↓ ↓
(given) (given)

Step 2: General Reserve (Rs 10,000 – 4,000) has to be added

↓ ↓
(from information) (given)

Step 3: Here, depreciation and goodwill
Rs 10,000 and (Rs 30,000 – 20,000)

↓ ↓

(from information) (given) have to be added back to profit.

Important Step: SUM of (i), (ii) and (iii) = Operating profit before working capital charges

Step 4: With this

(a) Increase in Current Liabilities (here – Bills Payable only): Rs 25,000 – 15,000 (given) have to be added. And

↓ ↓
(given) (given)

(b) (i) Increase in Current Assets (here – Debtors: Rs 20,000 – 15,000) and Decrease in Current Liabilities (here – creditors: Rs 5,000 – 3,000) have to be deducted.

↓ ↓
(2007) (2008)

Step 5: Result – Net Cash from Operating Activities

Stage II: (B) Cash flow from Investing Activities has to be calculated:

Here in this question, cash outflows occurs on (i) purchase of machine and (ii) building

Step 1: * Accrual cash flow – amount spent on purchase of machineries – is ascertained by separately preparing Machinery Account and the balancing figure from that account has to be transferred here.

Step 2: Purchase of Building

Rs 90,000 – 40,000

↓ ↓
(2007) (2008)

[These two items are recorded one by one]

Note: The values are written without brackets which means outflow of cash:

Stage III: (C) Cash flow from Financing Activities has to be computed

Step 1: Here, in the problem, cash flow or share capital (Rs 1,60,000 – 80,000) is recorded.

↓ ↓
(2008) (2007)

Stage IV: Net increase in cash and cash equivalents is to be computed as

Add = A (Stage 1)

Less = B (Stage 2)

Add = C (Stage 3)

[(i.e.) A – B + C] shows as

↓

Net increase in cash and cash equivalents

Stage V: With this

Add: Cash and cash equivalents at the beginning

Stage VI: Finally, we arrive at

Cash and cash equivalents at the end.

These are represented into the format as shown below

Cash Flow Statement

Calculation of cash flow statement as per AS-3.

A. Cash Flow Statement from Operating Activities

	<i>Rs</i>	<i>Rs</i>
Net Profit before Taxation		
Profit as per Balance Sheets	10,000	
(Rs.60,000 – 50,000) (Ref: Stage 1. Step 1)		
Add: General Reserve	<u>6,000</u>	16,000
(Rs 10,000 – 4,000) (Ref: Stage 1. Step 2)		
Add: Adjustments		
Depreciation (from information) (from step iii)	10,000	
Goodwill (Rs 30,000 – 20,000) (step iii)	<u>10,000</u>	20,000
Operating Profit before Working Capital Charges		36,000
Add: Increased in Current Liabilities		
Bills Payable (Rs 25,000 – 15,000) (step 4a)		<u>10,000</u>
Less: Increase in Current Assets		<u>46,000</u>
Debtors (step 4b)	5,000	
Decrease in Current Liabilities (Creditors) (step 4b)	2,000	<u>(7,000)</u>
Net Cash from Investing Activities		<u>39,000</u>

B. Cash Flow from Investing Activities

		<i>Rs</i>
Purchase of Machine (transferred from Machinery A/c) (Step 1)	(59,000)	
Purchase of Building (Rs 90,000 – 40,000) (Step 2)	<u>(50,000)</u>	
Net Cash used in Investing Activities		(1,09,000)

C. Cash Flow from Financing Activities

	<i>Rs</i>
Issue of Share Capital (Stage 3 – Step 1)	80,000
A – B + C Net Increase in Cash and Cash Equivalents (Stage IV)	10,000
Cash and Cash Equivalents at the Beginning (Stage V) (given 2007)	20,000
Cash and Cash Equivalents at the End (Stage VI)	<u>30,000</u>

Machinery A/c*Dr.****Cr.**

<i>Particulars</i>	<i>Rs</i>	<i>Particulars</i>	<i>Rs</i>
To Balance b/d	49,000	By Balance c/d	98,000
*To Bank A/c (cash flow, balancing figure)	59,000	By Depreciation	10,000
	<u>1,08,000</u>		<u>1,08,000</u>

OBJECTIVE 6: IMPORTANT STEPS (STAGES) IN THE PREPARATION OF CASH FLOW STATEMENT

6.1 Stage I: A. Cash Flow from Operating Activities

Step 1: Net profit before tax is taken as base. Instead of showing separately the closing balances and opening balances of P & L A/c straight away, net profit (closing balance – opening balance) amount can be recorded and with this transfer the General Reserve is added

Step 2: *Add:* (i) Transfer to General Reserve
(ii) Other adjustments (items added back to profit, i.e. depreciation; goodwill loss on sale, etc.)

Step 3: Figure arrived at this stage is termed as operating profit before working capital charges

Step 4: With this, the following items have to be added

Add: (i) Decrease in the value of Current Assets
(ii) Increase in the value of Current Liabilities

Step 5: *Less:* following items have to be deducted

(i) Increase in the value of Current Assets
(ii) Decrease in the value of Current Liabilities

Step 6: Figure arrived at this stage is termed as Net Cash Flow from Operating Activities. Now we have to go to next stage.

6.2 Stage II: B. Cash Flow from Investing Activities

Purchase of plant, machinery, land and buildings, etc. has to be recorded here.

Important Note: If depreciation amount is given in additional information, separate accounts (Plants A/c – Building A/c) have to be prepared to ascertain the value of their purchase which are cash flows from Investing Activities.

(In this stage, such items as described above are to be recorded and the sum of all items to be shown within brackets, which means that due to investing activities cash outflow actually takes place).

Figure arrived is termed as Net Cash from Financing Activities.

6.3 Stage III: C. Cash Flow from Financing Activities

Step 1: Issue of share capital to be recorded, etc.

Step 2: *Less:* If any redemption, such amount has to be recorded and deducted from Step 1.

Step 3: Figure arrived at this stage is termed as “Net Cash from Financing Activities”.

6.4 Stage IV: Net Increase/Decrease in Cash and Cash Equivalents

$A + B + C$ [Stage I + Stage II + Stage III]

6.5 Stage V: Cash and Cash Equivalents at the Beginning of the Year to be Added

6.6 Stage VI: Cash and Cash Equivalents at the End of the Year to be Recorded

Note: This is a simplified form. One or two items only are shown. Students should practice with this first and then proceed to all the other items mentioned in the standardised format as prescribed by AS-3.

Illustration: 27

The following is the financial position as on Mar 31

Particulars	2008 Rs	2009 Rs	Particulars	2008 Rs	2009 Rs
Current Liabilities	80,000	1,00,000	Cash	12,000	11,000
Loan from RAM Ltd.	-	40,000	Debtors	80,000	85,000
Loan from Bank	80,000	50,000	Stock	68,000	54,000
Share Capital	3,00,000	3,00,000	Land	70,000	90,000
P & L A/c	1,40,000	1,60,000	Building	2,00,000	2,20,000
			Machinery	2,00,000	2,30,000
			Provision for Depreciation	(30,000)	(40,000)
	<u>6,00,000</u>	<u>6,50,000</u>		<u>6,00,000</u>	<u>6,50,000</u>

During the year Rs 60,000 was paid as dividend, you are required to prepare Cash Flow Statement as per AS-3 (revised)

Solution: First, net profit has to be calculated because all adjustments have to be carried on units net profit as base.

	Rs
Profit as on Mar 31, 2009	1,60,000
Profit as on Mar 31, 2008	<u>1,40,000</u>
(Difference) Profit for the year	20,000
Add: Dividend paid during the year	<u>60,000</u>
and Net profit before Tax and Extraordinary Items	<u>80,000</u> *1

Cash Flow Statement for the Year Mar 31, 2009

Particulars	Rs	Rs
A. Cash Flow from Operating Activities		
*1 Net Profit before Tax and Extraordinary Items (as calculated above)	*1 80,000	
Add: Depreciation	<u>10,000</u>	
Operating Profit before Working Capital Charges	90,000	
Add: Decrease in Stock	14,000	
Increase in Current Liabilities	20,000	
Increase in Debtors	<u>(5,000)</u>	
Net Cash from Operating Activities		1,19,000
B. Cash Flow from Investing Activities		
Purchase of Building	(20,000)	
Purchase of Land	(20,000)	
Purchase of Machinery	<u>(30,000)</u>	
Net Cash used in Investing Activities		(70,000)
C. Cash Flow from Financing Activities		
Proceeds of Loan from Ram Ltd.	40,000	
Repayment of Bank loan	(30,000)	
Payment of Dividend	<u>(60,000)</u>	<u>(50,000)</u>
Net Decrease in Cash and Cash Equivalents		(1,000)
Cash and Cash Equivalents at the Beginning		<u>12,000</u>
Cash and Cash Equivalents at the End		<u>11,000</u>

- Notes:** (1) Figures mentioned within brackets mean negative items (minus items – to be deducted)
 (2) If there is negative cash from activities, then it is understood that there is net outflow of cash from such activities.

OBJECTIVE 7: SOME IMPORTANT HINTS

Hint 1: Instead of profit/loss, capital alone may be given in the problem. In such cases, profit is arrived at as follows:

Treatment of Capital and Drawings

	Rs
Capital at the end of the period:....	xx
Less: Capital at the beginning of the period	<u>xx</u>
Profit for the year	<u>xx</u>

Hint 2: In case, if capital at the beginning and at the end of the period is given, students have to prepare Capital Account, and the balancing figure is taken as “Drawings.”

Format Capital A/c			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
*To Bank A/c (Drawings) (balancing figure) To Balance c/d (closing)	 – –	By Balance b/d (beginning) By Adjusted P & L A/c	 – –

(OR)

Calculation of Drawings :

Opening Capital	:
Add: Net Profit	:
Less: Closing Profit	: <u>.....</u>
Drawings	<u>.....</u>

This amount has to be included in cash flow from financing activities under “Drawings.”

Hint 3: Loss on sale of fixed assets is calculated as follows:

Loss on Sale of Fixed Assets: Cost – Selling Price

And if in case of any depreciation: Cost – Accumulated Depreciation – Selling Price

Hint 4: Provision for Taxation

Case 1: Item, “Provision for Taxation” appears on the liabilities side of previous year’s Balance Sheet.

- This shows that the taxes were paid during the year.
- So, while calculating net cash from operating activities, this has to be deducted.

Case 2: This item “Provision for Taxation” appears on the liabilities side of the current year’s balance sheet.

- This amount is to be added to profits.
- “Net profit before tax” is to be shown.

Under cash flow from Operating Activities

- This treatment (adjustment) is done, if tax paid during the year is not given in the problem.
- If “Tax paid” is given in question, then the “Provision for Tax Account” is prepared and the amount of tax paid is found out (balancing figure) (provision for taxation).

Format
Provision for Tax Account

Dr.		Provision for Tax Account		Cr.
Particulars	Rs	Particulars	Rs	
To Cash A/c (tax paid: additional information)		By Balance b/d (opening)		
To Balance c/d (closing)		By P & L A/c (provision arranged) (balancing figure)		

Hint 5: Dividend paid during the year

- Interim dividend for the year is calculated as
- Net profit for the year is first calculated.
- This amount is added with opening balance of P & L A/c.
- Then it is deducted by closing balance of P & L A/c.

Dividend Paid: Opening Balance of P & L + Net Profit – Closing Balance of P & L A/c.

Hint 6: If appropriate adjustments have to be made for both provision for tax and interim dividend to arrive at net profit before tax, then the following adjustments are to be made as

	Rs
Profit at the end of the period (Closing)	—
Less: Profit at the beginning (Opening)	—
Profit of the Year	—
Appropriations	—
Add: 1. Interim Dividend paid	—
2. Provision for Tax	—
Profit Before Tax	<u>xx</u>

Illustration: 28

From the following information, prepare a Cash Flow Statement as on Mar 31, 2009.

Dr.			Cr.		
Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Share Capital	80,000	1,60,000	Goodwill	30,000	20,000
General Reserve	4,000	10,000	Buildings	40,000	90,000
P & L A/c	50,000	60,000	Machinery	49,000	98,000
Creditors	5,000	3,000	Debtors	15,000	20,000
Bills Payable	<u>15,000</u>	<u>25,000</u>	Cash in Hand	<u>20,000</u>	<u>30,000</u>
	1,54,000	2,58,000		1,54,000	2,58,000

Depreciation provided during the year on machine was Rs.10,000.

Solution

Cash Flow Statement

	RS	RS	RS
A. Cash Flow from Operating Activities			
Net Profit before Taxation	10,000		
Profit as per Balance Sheet (Rs 60,000 – Rs 50,000)			
Add: General Reserve (Transfer) (Rs 10,000 – 4,000)	<u>6,000</u>	16,000	

	RS	RS	RS
<i>Add: Adjustments</i> (Items Added back to Profit)			
Depreciations	10,000		
Goodwill	10,000	20,000	
Operating Profit before Working Capital Charges		36,000	
<i>Add: Increase in Current Liabilities Bills Payable</i>		10,000	
		46,000	
<i>Less: Increase in Current Assets Debtors</i>	5,000		
Decrease in Current Liabilities (Creditors)	2,000	(7,000)	
Net Cash from Investing Activities			39,000
B. Cash Flow from Investing Activities			
Purchase of Machine (Prepare Machinery A/c and Transfer its Balance Amount) (step 1)	(59,000)		
Purchase of Building (Rs 90,000 – 40,000)	(50,000)		
Net Cash used in Investing Activities			(1,09,000)
C. Cash Flow from Financing Activities			
Issue of Share Capital			80,000
Net Increase in Cash and Cash Equivalents (A – B + C)			10,000
Cash and Cash Equivalents at the Beginning			20,000
Cash and Cash Equivalents at the End			30,000

Illustration: 29

Comprehensive illustrations from 28 to 37

From the following Balance Sheet of Raja Ltd, prepare a Cash Flow Statement.

Dr.**Cr.**

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Equity Share Capital	1,50,000	2,00,000	Goodwill	36,000	20,000
12% Preference	75,000	50,000	Buildings	80,000	60,000
Share Capital	20,000	35,000	Machinery	40,000	1,00,000
General Reserve	15,000	24,000	Debtors	1,19,000	1,54,500
P & L A/c	37,500	49,500	Stock	10,000	15,000
Creditors			Cash in Hand	12,500	9,000
	2,97,500	3,58,500		2,97,500	3,58,500

Depreciation charged on plant was Rs 10,000 and on building was Rs 60,000.

Solution: As depreciation is given in additional information, Plant A/c and Building A/c have to be prepared separately to ascertain the value of their purchase which are cash flow from Investing Activities.

Plant A/c**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d (Opening: 2008)	40,000	By Depreciation A/c (given)	10,000
To Bank A/c (purchase value)	70,000	By Balancing c/d (Closing: 2009)	1,00,000
(balancing figure)			
	1,10,000		1,10,000

Building A/c			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
To Balance b/d (Opening: 2008)	80,000	By Depreciation A/c (given)	60,000
To *Bank A/c (purchase value)	40,000	By Balancing c/d (Closing: 2009)	60,000
(balancing figure)			
	<u>1,20,000</u>		<u>1,20,000</u>

Cash Flow Statement for the year ended Dec 31, 2009

Net Profit before Taxation	Rs	Rs
Closing Balance of P & L A/c	24,000	
Add: Transfer of General Reserve	<u>15,000</u>	
	<u>39,000</u>	
Less: Opening Balance of P & L A/c	15,000	24,000

Note: Instead of showing separately closing and opening balance adjustments, straight away net profit can be found as (Closing Balance – Opening Balance) as Rs 9,000 and with this transfer to General Reserve is added.

	Rs	Rs
A. Net Profit before Tax and Extraordinary Items		
Adjustments for	10,000	
Depreciation on Plant	60,000	
Depreciation on Building	16,000	
Goodwill written off		86,000
Operation Profit before Working Capital Charges		1,10,000
Adjustments for:		
Add: Increase in Creditors	12,000	
Less: Increase in Debtors	(35,500)	
Increase in Stock	(5,000)	<u>(28,500)</u>
Net Cash from Operating Activities		<u>81,500</u>
B. Cash Flow from Investing Activities		
Purchase of Plant	70,000	
Purchase of Building	40,000	
Net Cash in Investing Activities		(1,10,000)
C. Cash Flow from Financing Activities		
Issue of Share Capital	50,000	
Redemption of 12% Preference Share Capital	(25,000)	
Net Cash from Financing Activities		<u>25,000</u>
Net Decrease in Cash and Cash Equivalents		
(A + B + C)		(3,500)
Cash and Cash Equivalents at the Beginning of the Year		<u>(12,500)</u>
Cash and Cash Equivalents at the End of the Year		<u>9,000</u>

Illustration: 30

From the following Balance Sheet of Vivek Ltd., prepare Cash Flow Statement.

Dr.**Cr.**

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Equity Share Capital	2,00,000	2,50,000	Goodwill	30,000	20,000
12% Preference Share Capital	50,000	–	Building	1,00,000	80,000
General Reserve	35,000	–	Plant	40,000	70,000
P & L A/c	15,000	17,000	Debtors	1,20,000	1,60,000
Creditors	33,000	5,000	Stock	18,000	20,000
			Cash	15,000	17,000
	<u>3,23,000</u>	<u>3,67,000</u>		<u>3,23,000</u>	<u>3,67,000</u>

Depreciation charged on plant was Rs 30,000 and on building was Rs 50,000.

Solution**Cash Flow Statement for the Year Ended Dec 31, 2009**

	Rs	Rs	Rs
A. Cash Flow from Operating Activities			
Net Profit before Tax			
Closing Balance as per P & L A/c	17,000		
Less: Opening Balance of P & L A/c	(15,000)		
Add: Transfer to General Reserve	20,000		22,000
Add: Items to be added (adjustment for)			
Depreciation for Plant	30,000		
Depreciation for Buildings	50,000	80,000	
Goodwill written off		10,000	90,000
Operating Profit before Working Capital Charges			1,12,000
Add: Decrease in Current Assets and Increase in Current Liabilities			Nil
Less: Increase in Current Assets and Decrease in Current Liabilities			
Debtors		40,000	
Stock		2,000	
Creditors		18,000	60,000
Net Cash From Operating Activities			52,000
B. Cash Flow from Investing Activities			
Plant Purchased			(60,000)
Building Purchased			30,000
Net Cash in Investing Activities			(90,000)
C. Cash Flow from Financing Activities			
Proceeds from Issue of Equity Shares			50,000
Redemption of Preference Shares			(10,000)
Net Cash from Financing Activities			40,000
D. Net Increase in Cash and Cash Equivalents (A + B + C)			2,000
(Rs 52,000 + (Rs –90,000) + Rs 40,000)			
E. Cash and Cash Equivalents at the Beginning of the Year			15,000
Cash and Cash Equivalents at the End of the Year			17,000

Illustration: 31

What is meant by Investing Activities? From the following particulars prepare cash flow from Investing Activities.

	Purchased Rs	Sold Rs
1. Machinery	4,00,000	2,00,000
2. Investments	2,00,000	3,00,000
3. Goodwill	1,00,000	
4. Patents	–	1,50,000
5. Interest received or debentures held as investments	10,000	
6. Dividend received on shares held as investments	5,000	
7. A plot of land was purchased out of surplus funds for investment purposes and was let out for commercial use and rent received	20,000	

Answer: The acquisition and disposal of long-term assets (not included in cash equivalents) is called Investing Activities.

Cash Flow from Investing Activities

Particulars	Rs
Purchase of Machinery	(4,00,000)
Proceeds from Sale of Machinery	2,00,000
Purchase of Investments	(2,00,000)
Proceeds from Sale of Investments	3,00,000
Purchase of Goodwill	(1,00,000)
Proceeds from Sale of Patents	1,50,000
Interest Received	10,000
Dividend Received	5,000
Rent Received	20,000
Net Cash used in Investing Activities	(15,000)

Note: Figures within brackets mean items, i.e. to be deducted. This comes to be Rs 4,00,000, Rs 2,00,000, Rs 1,00,000 = Rs 7,00,000.

This has to be deducted from (Rs 2,00,000 + Rs 3,00,000 + Rs 1,50,000 + Rs 10,000 + Rs 5,000 + Rs 20,000 = Rs 6,85,000. Again (Rs – 7,00,000 + Rs 6,85,000) = Net Result (– Rs 15,000). So cash is used. Cash flows out on Investing Activities.

Illustration: 32

Calculate cash flows from Operating Activities from the following information.

Particulars	2008 Rs	2009 Rs
Stock	60,000	50,000
Debtors	25,000	23,000
Creditors	32,000	28,000
Expenses Outstanding	3,500	4,500
Bills Payable	35,000	22,000
Accrued Income	8,000	9,000
P & L A/c	80,000	90,000

Calculation of Net Cash Flows from Operating Activities

Particulars	Rs	Rs
Profit for the Year (Closing – Opening)		10,000
Decrease in Stock	10,000	
Decrease in Debtors	2,000	
Decrease in Creditors	(4,000)	
Increase in Expenses Outstanding	1,000	
Increase in Accrued Income	(1,000)	
Decrease in Bills Payable	(13,000)	(5,000)
Net Cash Flow from Operating Activities		5,000

Illustration: 33

From the following information prepare a Cash Flow Statement.

	Rs
Opening Cash Balance	10,000
Closing Cash balance	12,000
Decrease in Debtors	5,000
Increase in Creditors	7,000
Sale of Fixed Assets	20,000
Redemption of Debtors	50,000
Net Profit for the Year	20,000

Cash Flow Statement for the Year Ended

Particulars	Rs	Rs
A. Cash Flow from Operating Activities		
Net Profit for the Year	20,000	
Add: Decrease in Debtors	5,000	
Increase in Creditors	7,000	
Net Cash from Operating Activities		32,000
B. Cash Flow from Investing Activities		
Sale of Fixed Assets	20,000	
Net Cash from Investing Activities		20,000
C. Cash Flow from Financing Activities		
Redemption of Debtors	(50,000)	
Net Cash from Financing Activities		(50,000)
D. Net Increase in Cash and Cash Equivalents		2,000
(A + B + C) (32,000 + 20,000 – 50,000)		
E. Cash and Cash Equivalents at the Beginning		10,000
F. Cash and Cash Equivalents at the End of the Period		12,000

Illustration: 34

Prepare a Cash Flow Statement on the basis of the information given in the Balance Sheet of P.S. Ltd.

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Share Capital	2,00,000	2,50,000	Goodwill	10,000	20,000
12% Debtors	1,00,000	80,000	Land and Building	2,00,000	2,80,000
General Reserve	50,000	70,000	Machinery	1,00,000	1,30,000
Creditors	40,000	60,000	Debtors	40,000	60,000
Bills Payable	20,000	1,00,000	Stock	70,000	90,000
Outstanding Expenses	25,000	20,000	Cash	15,000	18,000
	<u>4,35,000</u>	<u>5,80,000</u>		<u>4,35,000</u>	<u>5,80,000</u>

Solution**Cash Flow Statement for the year ended 2009**

Particulars	Rs	Rs
A. Cash Flow from Operating Activities		
Closing Balance of General Reserve	70,000	
Less: Operating Balance of General Reserve	<u>(50,000)</u>	
Net Profit (before Tax and Extraordinary Items)		20,000
(Note: Net profit is not disclosed in the balance sheet. Only General Reserve appears here)		
Add: Items to be added i		
Amortisation of Goodwill	8,000	
Investment on Long-term Loan (Debtors = $1,00,000 \times 12/100 \times 1$)	<u>12,000</u>	<u>20,000</u>
Operating Profit before Working Capital Changes		40,000
Add: Decrease in Current Assets and Increase in Current Liabilities:		
Increase in Creditors	20,000	
Increase in Bills Payable	<u>80,000</u>	1,00,000
Less: Increase in Current Assets and Decrease in Current Liabilities:		
Decrease in Outstanding Expenses	(5,000)	
Increase in Debtors	(20,000)	
Increase in Stock	<u>(20,000)</u>	<u>(45,000)</u>
Net Cash from Operating Activities		<u>95,000</u>
B. Cash Flow from Investing Activities		
Purchase of Land and Building	(80,000)	
Purchase of Machinery	<u>(30,000)</u>	<u>(1,10,000)</u>
Net Cash used in Investing Activities		<u>(1,10,000)</u>
C. Cash Flow from Financing Activities		
Proceeds from Equity Shares	50,000	
Payment of Long Term (Debenture Redeemed)	(20,000)	
Payment of Interest on Debtors	<u>(12,000)</u>	<u>18,000</u>
Net Cash from Financing Activities		<u>18,000</u>
D. Net Increase in Cash and Cash Equivalents (A + B + C)		3,000
(95,000 – 1,10,000 + 18,000)		
E. Cash and Cash Equivalents at the Beginning Cash in Hand		<u>15,000</u>
F. Cash and Cash Equivalents at the End of the Period		<u>18,000</u>

Illustration: 35

Prepare a cash flow statement of Bulbul Ltd. on the basis of the information given in the Balance Sheets.

Liabilities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Share Capital	4,00,000	5,50,000	Goodwill	70,000	50,000
12% Debtors	2,00,000	1,50,000	Land and Building	5,00,000	8,00,000
General Reserve	1,00,000	1,80,000	Machinery	1,20,000	1,30,000
Creditors	40,000	60,000	Debtors	10,000	20,000
Bills Payable	80,000	75,000	Stock	1,40,000	20,000
Outstanding Expenses	55,000	65,000	Cash	35,000	10,000
	<u>8,75,000</u>	<u>10,30,000</u>		<u>8,75,000</u>	<u>10,30,000</u>

Solution**Cash Flow Statement for the year ended Dec 31, 2009**

Particulars	Rs	Rs
A. Cash flow from Operating Activities		
Closing Balance of General Reserve	1,80,000	
Less: Opening Balance of General Reserve	<u>(1,00,000)</u>	
Net Profit before Tax		80,000
Add: Items to be added		
Amortisation of Goodwill	20,000	
Invest on Debenture	<u>24,000</u>	44,000
Operating Profit before Working Capital Changes		1,24,000
Add: Decrease in Current Assets and Increase in Current Liabilities:		
Decrease in Stock	1,20,000	
Increase in Creditors	20,000	
Increase in Outstanding Expenses	<u>10,000</u>	1,50,000
Less: Increase in Current Assets and Decrease in Current Liabilities		<u>2,74,000</u>
Increase in Debtors	(10,000)	
Decrease in Bills Payable	(5,000)	<u>(15,000)</u>
Cash generated from Operation:		<u>2,59,000</u>
Less Income Tax paid		<u>—</u>
Cash from Operating Activities		2,59,000
B. Cash Flow from Investing Activities		
Purchase of Land	(3,00,000)	
Purchase of Machinery	<u>(10,000)</u>	<u>(3,10,000)</u>
Net Cash used in Investing Activities		(3,10,000)
C. Cash flows from Financing Activities		
Proceeds from Issue of Equity Shares	1,00,000	
Payment for Debentures (Redemption)	(50,000)	
Payment of Interest on Debentures	<u>(24,000)</u>	26,000
Net Cash from Financing Activities		<u>26,000</u>
D. Net Increase/Decrease in Cash and Cash Equivalents		25,000
(A – B + C) (Rs 2,59,000 – 3,10,000 + 26,000)		
E. Cash and Cash Equivalents at the Beginning (Cash)		<u>10,000</u>
F. Cash and Cash Equivalents at the End		<u>35,000</u>

Illustration: 36

The following balances appeared in Plant A/c and Accumulated Depreciation A/c in the books of Bhart Ltd.

	As on Mar 31, 2008 Rs	As on Mar 31, 2009 Rs
Plant	7,50,000	9,70,000
Accumulated Depreciation	1,80,000	2,40,000

Additional Information: Plant costing Rs 1,45,000 accumulated depreciation thereon Rs 70,000 was sold for Rs 35,000. You are required to

1. Compute the amount of plant purchased, depreciation charged for the year and loss on sale of plant.
2. Show how each of the items related to the plant will be shown in the Cash Flow Statement.

Answer: Note: (1) Students have to prepare Plant Account and Accumulated Depreciation Account
(2) From the balancing figures obtained in each account, inflow or outflow of cash has to be found out. Accordingly it has to be treated in Cash Flow Statement.

I. Plant Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Balance b/d (opening figure)	7,50,000	By Accumulated Depreciation A/c (given in additional information)	70,000
To * 1 Bank A/c (Purchase) (balancing figure)	3,65,000	By Bank A/c (Sales) (given in additional information)	35,000
		By P & L A/c (Loss on Sale 1,45,000 – 70,000 – 35,000)	40,000
		By Balance c/d (closing figure)	9,70,000
	<u>11,15,000</u>		<u>11,15,000</u>

II. Accumulated Depreciation Account**Dr.****Cr.**

Particulars	Rs	Particulars	Rs
To Plant A/c (given in information)	70,000	By Balance b/d (opening figure)	1,80,000
To Balance c/d (closing figure)	2,40,000	*2 By P & L A/c (balancing figure) (dep. charged)	1,30,000
	<u>3,10,000</u>		<u>3,10,000</u>

- Sale of plant: Given in additional information: Rs 35,000: Inflow of cash “Investing Activities”
- Purchase of plant: balancing figure in the Plant Account: Rs 3,65,000: Outflow of cash: Investing Activities
- Loss on sale of plant: (from Plant Account) $\text{Rs } 1,45,000 - 70,000 - 35,000 = \text{Rs } 40,000$ will be added back to net profit of the year while preparing Cash Flow Statement.
- Depreciation charged: Rs 1,30,000 (balancing figure in Accumulated Depreciation Account) will also have to be added to net profit.

Summary

- Cash Flow Statement is a statement that depicts sources of cash inflows and transactions of cash outflows during a period. It is a statement indicating flow of cash and cash equivalents during a period.
- Now, preparation of Cash Flow Statement is mandatory for all the companies. It is also mandatory for all business entities that has turnover of more than Rs 50 crores in a financial year.
- Main sources of cash inflows are as follows: (i) Proceeds from sale of long-term assets, (ii) Long-term borrowings, (iii) Cash receipts from raising additional share capital, (iv) Business operations, (v) Cash receipts from non-business operations (e.g. investment, dividend, etc).
- Main “uses of cash” (or) cash outflows are as follows: (i) Payment of dividend interest, (ii) Purchase of assets, (iii) Redemption of debentures, (iv) Repayment of borrowings.
- The Cash Flow Statement shows cash flows (inflow and outflow) in terms of three components as per AS-3: (i) Operating, (ii) Investing and (iii) Financing Activities.
- The Cash Flow Statement shows the net increase/decrease of cash and cash equivalents under each activity individually and collectively.
- Cash flows from operating activities result from the major revenues producing activities of a business concern. The major operating items are cash inflow (cash sales, cash received from debtors, cash proceeds from extraordinary items, royalty, commission, and so on) and cash outflow (cash purchases, cash paid to suppliers and employees and cash operating expenses, income tax, and so on).
- Major investing activities of cash inflow: sale of fixed assets, investments, interest and dividends, received and cash outflows: purchase of fixed assets and investments.
- Major financing activities of cash inflows: issue of shares in cash, issue of debentures, proceeds from long-term borrowings and cash outflows: redemption of preference shares/debentures, repayment of loans buy-back of equity shares, payment of interest and dividend, etc.
- Importance of (activities) Cash Flow Statement – operating activities – net cash flow is an indicator to assess cash generation and to forecast future cash flows.
- Investing activities: To study the net result of the amount spent on investment, usefulness of such expenditure and thereby the future income from such investments.
- Financing activities: To assess claims on future cash flows.
- Important steps to prepare cash flow statement:
 - (i) Cash flow from operating activities is computed either by direct method or indirect method.
 - (ii) Net cash flow from investing activities is calculated.
 - (iii) Net cash flow from financing activities is determined.
 - (iv) Net flow, i.e. net increase or decrease in cash or cash equivalents is determined from steps (i), (ii) and (iii)
 - (v) Cash and cash equivalents balance at the beginning of the period is added to the net cash flows determined in Step (iv).
 - (vi) The amount arrived in Step (iv) must be equal to cash and cash equivalents balance at the end of the year.

Key Terms

Cash: Cash constitutes cash on banks.

Cash Equivalents: Short term, highly liquid investments that are readily convertible into known amount of cash.

Cash Flow: Inflow and outflow of cash equivalents.

Cash flow statement: A statement that shows the flow of cash and cash equivalent during a period.

Accounting Standard: Issued by ICAI.

Operating Activities: Principle revenue producing activities of business enterprises that are not investing and financing activities.

Investing Activities: Activities that result in change in size and composition of the owners’ capital.

Financing Activities: Activities that result in change in size and composition of the owners’ capital.

Debenture: A debt security with a general claim against all assets.

Debtor: A person who owes money to another or a business enterprise that owes money to another.

Depreciation: The systematic allocation of cost of fixed assets.

Direct method: The method that calculates net cash provided by operating activities.

Indirect method: The method that adjusts accrual net income to reveal only cash receipts and outflows.

General Reserve: An estimate of unforeseen liability undistributed profit.

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A Objective-type Questions

I Choose the best answer

- The Cash Flow Statement is based on
 - cash basis of accounting
 - accounting equation
 - accrual basis of accounting
 - none of the above
- Dividend paid is always classified as
 - operating activity
 - investing Activity
 - financing activity
 - none of the above
- Proposed dividend is classified as
 - investing activity
 - financing activity
 - operating activity
 - cash equivalent
- Interest received by (other than) financial concerns is classified as
 - investing activity
 - financing activity
 - operating activity
 - cash equivalent
- Profit on sale of machinery comes under
 - investing activity
 - financing activity
 - operating activity
 - none of the above
- Sale of patents is classified under
 - investing activity
 - financing activity
 - operating activity
 - none of the above
- operating activity
 - cash equivalent
- Rent received by a company (whose main business is real estate) is classified as
 - investing activity
 - financing activity
 - operating activity
 - cash equivalent
- Rent received by a company (whose main business is manufacturing) falls under
 - investing activity
 - financing activity
 - operating activity
 - cash equivalent
- Sale of investments by a finance company is classified as
 - investing activity
 - financing activity
 - operating activity
 - cash equivalent
- Sale of investments by a non-finance company comes under
 - investing activity
 - financing activity
 - operating activity
 - none of the above

Answers

1. (a) 2. (b) 3. (c) 4. (a) 5. (c)
6. (a) 7. (a) 8. (b) 9. (c) 10. (a)

II State whether the following statements are True or False

1. Inflow of cash refers to all transactions that lead to increase in cash and cash equivalents.
2. Outflow of cash refers to all transactions that lead to decrease in cash and cash equivalents.
3. Non-cash transactions are covered in cash flow statements.
4. Cash sales – cash outflow.
5. Cash receipts from debtors are financing activity.
6. Cash payment relating to a future contract is an investing activity.
7. Cash receipts from debtors are treated as cash inflow for operating activities.
8. Cash receipts on interest and dividend are treated as cash inflow for financing activities.
9. Cash proceeds from issuing share are treated as cash inflow from financing activities.
10. Cash receipts from sale of fixed assets are shown as cash inflow from financing activities.
11. Cash payment to creditors is treated as cash outflow for investing activities.
12. The cash flow statement is based upon accrual basis of accounting.
13. Redemption of preference shares is an investing activity.
14. Cash payment to income tax is operating activity.
15. Repayment of any finance liability is financing activity.
16. Cash proceeds from long-term borrowings are an investing activity.
17. Cash receipts from royalties are operating activity.
18. Cash flow statement is concerned with change in working capital position between the two different dates of balance sheet.
19. Cash payment to creditors is a financing activity.
20. Accounting standard (AS)-3 sets standards to the preparation of cash flow statement.
21. Bank balance is cash equivalent in the preparation of cash flow statement.
22. Decrease in current assets will result in increase in cash.
23. Increase in current liabilities will result in decrease in cash.
24. If there is net loss (negative cash from operation) then there is net outflow of cash from operating activities.
25. Acquisition and disposal of long-term asset is termed as “Investing Activities” of a concern.
26. A change in owners’ capital and borrowing capital is revealed in cash flow from financing activities of a concern.
27. If there is negative cash from activities, then there will be net inflow of cash.
28. Revaluation of building affects cash flows.
29. Sources of cash and uses of cash are to be equal.
30. Sources of cash should always be more than uses of cash.

Answers

- | | | | |
|-----------|-----------|-----------|-----------|
| 1. True | 2. True | 3. False | 4. False |
| 5. False | 6. True | 7. True | 8. False |
| 9. True | 10. False | 11. False | 12. False |
| 13. False | 14. True | 15. True | 16. False |
| 17. True | 18. False | 19. False | 20. True |
| 21. True | 22. True | 23. False | 24. True |
| 25. True | 26. True | 27. False | 28. False |
| 29. False | 30. False | | |

III Fill in the blanks with appropriate words

1. Cash flow refers to the movement both, inflow and outflow of _____ during a period.
2. Cash flow statement is a _____ that shows flow of cash and cash equivalents during a period.
3. Cash flow statement is based on past records. So it is _____ in nature.
4. Cash equivalents are usually of short term but highly _____ investments.
5. Cash equivalents reveal change in _____.
6. Cash flow statements (based on AS-3) should be prepared and presented under _____ method.
7. Taxes paid on income should be shown separately as the cash flows from _____ activities.
8. Decrease in creditors _____ cash.
9. The activities that result in changes in the size and composition of the owner’s capital and borrowing of the enterprise are _____ activities.
10. Decrease in inventory _____ cash.
11. Buy back of shares is shown under _____.

12. Increase in pre-paid expenses _____ cash.
13. Dividends paid are classified under _____.
14. Cash payments to suppliers of goods and services are shown under _____.
15. Long-term assets acquired classified under _____ activities.

Answers

- | | |
|------------------------------|---------------|
| 1. cash and cash equivalents | 2. statement |
| 3. historic | 4. liquid |
| 5. cash and cash equivalents | 6. indirect |
| 7. operating | 8. decreases |
| 9. financing | 10. increases |
| 11. financing | 12. decreases |
| 13. financing | 14. operating |
| 15. investing | |

B Short Answer-type Questions

1. Explain cash flow.
2. Define Cash Flow Statement.
3. What do you mean by cash equivalent? Give two examples.
4. Name the classification of cash flows from business transactions while preparing cash flow statements as per AS-3.
5. What do you mean by operating activities?
6. What is meant by investing activities?
7. What are financing activities?
8. Mention the two methods of cash flow from operating activities.
9. Give four examples for operating activities.
10. Give four examples for investing activities.
11. Give four examples for financing activities.
12. Identify the transactions as belonging to (a) operating, (b) investing, (c) financing and (d) cash equivalent activities.
 - (i) short-term deposit in banks
 - (ii) cash credit
 - (iii) issue of share capital
 - (iv) repayment of long-term loan
 - (v) cash received from debtors
 - (vi) sale of patents
 - (vii) commission received
 - (viii) income tax paid
13. When does the flow of cash arise?
14. What are non-cash expenses? Give any four examples.
15. Explain current assets. Give four examples.
16. How an increase/decrease in current assets will affect cash flows?
17. Explain current liabilities. Give four examples.
18. How an increase/decrease will affect cash flows?
19. How the cash flow from investing activities is ascertained?
20. How the cash flow from financing activities is ascertained?

C Essay-type Questions

1. Cash Flow Statement: Explain/elucidate the main objectives of Cash Flow Statement.
2. "The analysis of Cash Flow Statement in any organisation can be very useful to the management" – Discuss.
3. What are the limitations of Cash Flow Statement?
4. Explain the following terms by citing two examples each: (i) cash equivalents, (ii) cash flow (including movement between the items of cash or cash equivalents), (iii) operating activities, (iv) investing activities and (v) financing activities.
5. Explain the classification of business activities as per AS-3, showing the inflow and outflow of cash.
6. Explain the accounting treatment for the following while calculating cash flow from Operating Activities under Direct Method: (i) cash inflow from debtors (sales), (ii) cash inflow from operating income, (iii) cash outflow to creditors (purchases), (iv) cash outflow on expenses (both outstanding and paid in advance), (v) non-cash expenses and appropriations.
7. Explain the accounting treatment in the preparation of cash flow from Operating Activities under Indirect Method for the following items: (i) net profit before tax, (ii) non-cash and non-operating items, (iii) changes in current assets and current liabilities (iv) fixed assets.

8. Explain the accounting treatment for the following while preparing cash flow from investing activities. (i) fixed assets (shown at written down value), (ii) fixed assets (shown at cost and accumulated depreciation is separately maintained)
9. Explain the accounting treatment for the following items while preparing Cash Flow Statement from Financing Activities. (i) dividend (proposed dividend and interim dividend), (ii) taxes on income, (iii) discount on issue of shares/debentures (amount of discount retained off and amount of discount allowed during the year).
10. Draw the format for Cash Flow Statement (Operating Activities) by Direct Method as per AS-3 (revised).
11. Draw the format for Cash Flow Statement (Operating Activities) by Indirect Method as per AS-3 (revised).
12. Differentiate between “funds flow” statement and “Cash Flow” Statement.

D Exercises

1. Calculate cash flow from Operating Activities from the following information.

<i>Particulars</i>	<i>2007 Rs</i>	<i>2008 Rs</i>
Stock	60,000	50,000
Debtors	25,000	23,000
Creditors	32,000	28,000
Expenses Outstanding	3,500	4,500
Bills Payable	35,000	22,000
Accrued Income	8,000	9,000
P and L A/c	80,000	90,000

Answer: Net cash flow from Operating Activities Rs 5,000

2. X Ltd made a profit of Rs 1,00,000 after charging depreciation of Rs 20,000 on assets and a transfer for General Reserve of Rs 30,000. The Goodwill retain off was Rs 7,000 and the gain on sale of machineries was Rs 3,000. The other information available: (charges in the value of current assets and current liabilities). At the end of the year, debtors show an increase of Rs 6,000; creditors an increase of Rs 10,000; prepaid expenses an increase of Rs 200; bills receivable a decrease of Rs 3,000; bills payable a decrease of Rs 4,000 and outstanding expenses a decrease of Rs 2,000. Ascertain cash flow from operating activities.

Answer: Net Cash Flow from Operating Activities: Rs 1,54,800

3. X Ltd made a profit of Rs 1,20,000 after charging of depreciation of Rs 20,000 on assets and a transfer to General Reserve of Rs 30,000. The goodwill written off Rs 7,000 and the gain on sale of the machineries was Rs 3,000. Changes in the value of current assets and current liabilities at the end of the year: Debtors showed an increase of Rs 6,000; creditors an increase of Rs 10,000; prepaid expenses an increase of Rs 200; bills receivable a decrease of Rs 3,000; bills payable a decrease of Rs 4,000 and outstanding expenses a decrease of Rs 2,000. Ascertain cash flow from operating activities.

Answer: Net Cash from Operating Activities: Rs 1,74,800.

4. On Mar 31, 2008, Y Ltd. made a profit of Rs 1,25,000 after considering the following.

	Rs
Depreciation on Billings	25,000
Depreciation on Plant and Machinery	45,000
Amortisation or Goodwill	20,000
Gain on Sale of Machinery	10,000
Current Assets and Current Liabilities	

	Apr 1, 2007 Rs	Mar 31, 2008 Rs
Accounts Receivable	35,000	45,000
Stock in Hand	75,000	69,000
Cash in Hand	18,000	30,000
Accounts Payable	30,000	32,000
Expenses Payable	10,000	5,000
Bank Overdraft	60,000	35,000

Ascertain cash flow from Operating Activities.

Answer: Net Cash Flow from Operating Activities: Rs 1,98,000

5. Calculate net cash flows from Operating Activities from the following details.

	Rs
Profits earned during the year 2008	50,000
Transfer to General Reserve	10,000
Depreciation provided	20,000
Profit on Sale of Furniture	5,000
Loss on Sale of Machineries	10,000
Preliminary Expenses retain off	10,000

Particulars	2007 Rs	2009 Rs
Debtors	10,000	15,000
Bills Receivable	7,000	5,000
Stock	15,000	18,000
Prepaid Expenses	2,000	3,000
Bills Payable	15,000	25,000
Creditors	20,000	18,000
Outstanding Expenses	3,000	4,000

Answer: Net cash from Operating Activities: Rs 87,000

6. Y Ltd. made a net profit of Rs 15,000 for the year ending on Mar 31, 2009 after taking the following into consideration.

	Rs
Depreciation on Plant and Machinery	15,000
Depreciation on Buildings	45,000
Amortisation of Goodwill	20,000
Loss on Sale of Machinery	5,000

Current Assets and Current Liabilities at the beginning and at the end of the year.

Particulars	Apr 1, 2008 Rs	Mar 31, 2009 Rs
Accounts Receivables	35,000	40,000
Stock in Hand	55,000	42,000
Cash in Hand	12,000	2,000
Expense Due	6,000	8,000
Accounts Payable	60,000	53,000

Calculate cash flow from Operating Activities.

Answer: Cash flow from Operating Activities: Rs 97,000

7. The following balances appeared in Machinery Account and Accumulated Depreciation Account in the books of XYZ Ltd.

	Mar 31, 2008 Rs	Mar 31, 2009 Rs
Machinery A/c	17,78,985	26,55,450
Accumulated Depreciation A/c	3,40,795	4,75,690

Additional Information

Machinery costing Rs 2,60,000 on which accumulated depreciation Rs 1,00,000 was sold for Rs 75,000. You are required to

1. Compute the amount of machinery purchased, depreciation charged for the year and loss on sale of machinery.
2. How shall each of the items related to machinery be shown in Cash Flow Statement?

Answer: 1. Amount spent on purchase of machinery Rs 11,41,465
 2. Depreciation charged for the year Rs 2,34,895
 3. Loss on sale of machinery Rs 90,000

8. Calculate cash flow from Operating Activities from the following information.

	Rs
Profit for the Year	50,000
Transfer to General Reserve	10,000
Depreciation provided	20,000
Profit on Sale of Furniture	5,000
Loss on Sale of Furniture	10,000
Preliminary Expenses Written off	10,000

Particulars	Mar 31, 2008 Rs	Mar 31, 2008 Rs
Debtors	10,000	15,000
Bills Receivable	7,000	5,000
Stock	15,000	18,000
Prepaid Expenses	2,000	3,000
Creditors	20,000	18,000
Bills Payable	15,000	25,000
Outstanding Expenses	3,000	4,000

Answer: Net Cash Flow from Operating Activities: Rs 97,000

9. From the following summarised balance sheets of a company, compute cash flow from operating activities.

Dr.			Cr.		
Liabilities	2007 Rs	2008 Rs	Assets	2007 Rs	2008 Rs
Creditors	20,000	25,000	Cash	20,000	10,000
Bills Payable	20,000	5,000	Investments	40,000	30,000
Other Current Liabilities	40,000	45,000	Stock	30,000	45,000
6% Debentures	60,000	80,000	Debtors	30,000	40,000
P & L A/c	80,000	1,10,000	Gross Block	1,00,000	1,40,000
	<u>2,20,000</u>	<u>2,65,000</u>		<u>2,20,000</u>	<u>2,65,000</u>

Answer: (i) Net profit before tax and extraordinary items Rs 30,000
(ii) Net cash flow from operating activities Rs 3,600

10. From the flowing summarised Balance Sheets of a company calculate cash flow from Operating Activities.

Dr.			Cr.		
Liabilities	2007 Rs	2008 Rs	Assets	2007 Rs	2008 Rs
Creditors	20,000	25,000	Cash	20,000	30,000
Bills Payable	20,000	25,000	Investments	40,000	30,000
Other Current Liabilities	40,000	45,000	Stock	30,000	45,000
6% Debentures	60,000	80,000	Debtors	30,000	40,000
P & L A/c	90,000	1,10,000	Gross Block	1,10,000	1,40,000
	<u>2,30,000</u>	<u>2,85,000</u>		<u>2,30,000</u>	<u>2,85,000</u>

Answer: Cash flow from Operating Activities: Rs 13,600

11. From the flowing statement compute cash generated from Operating Activities.

Statement of profit for the Year Ending Mar 31, 2009

Dr.		Cr.	
Particulars	Rs	Particulars	Rs
To Salaries	10,000	By Gross Profit	80,000
To Rent	5,000	By Profit on Sale of Machinery	10,000
To Depreciation	20,000	By Dividend Received	3,000
To Loss on Sale of Building	5,000	By Commission Acquired	4,000
To Goodwill Written off	8,000		
To Proposed Dividend	10,000		
To Provision for Tax	10,000		
Net Profit	<u>29,000</u>		
	<u>97,000</u>		<u>97,000</u>

Answer: Cash generated from Operating Activities Rs 55,000

12. From the following summarised Balance Sheets, calculate cash flow from Operating Activities.

Liabilities	2007 Rs	2008 Rs	Assets	2007 Rs	2008 Rs
Creditors	30,000	45,000	Cash	30,000	50,000
Bills Payable	30,000	35,000	Investments	50,000	40,000
Other Current Liabilities	50,000	55,000	Stock	40,000	65,000
Share Capital	1,00,000	1,30,000	Debtors	40,000	50,000
P & L A/c	80,000	1,00,000	Fixed Assets	1,30,000	1,60,000
	<u>2,90,000</u>	<u>3,65,000</u>		<u>2,90,000</u>	<u>3,65,000</u>

Answer: Cash flow from Operating Activities Rs 10,000

13. A company had the following balances: investment at the beginning of the period Rs 46,000 and investment at the end of the period Rs 30,000. During the year the company sold 60% of its investments held in the beginning of the period at a profit of Rs 10,000. Calculate the cash flow from Investing Activities.

Answer: Cash flow from investing activities Rs 26,000

Hint: Investment A/c (balancing figure) Rs 11,600

14. From the following information calculate cash flow from Investing Activities.

Investment at the beginning of the period	Rs 25,000
Investment at the end of the period	Rs 24,000

During the year the company sold 40% of its investments held in the beginning of the period at a profit of Rs 9,000.

Answer: Cash Flow from Investing Activities: Rs 20,000

Hint: Purchase value {Rs 9,000}

15. From the following particulars calculate cash flow from Investing Activities.

	Purchase Rs	Sold Rs
Investment	2,30,000	1,40,000
Goodwill	1,75,000	–
Machinery	5,30,000	2,10,000
Patents	–	75,000

Interest received on debentures held as an investment Rs 18,000. Dividend received on shares held as investments Rs 25,000. A part of building was purchased out of surplus funds for investment purposes, which earned Rs 75,000 by way of rent.

Answer: Net cash used in Investing Activities: Rs 3,92,000

16. From the following information calculate cash flow from Investing Activities.

	Mar 31, 2008 Rs	Mar 31, 2009 Rs
Machinery	5,00,000	5,50,000
Accumulated Depreciation	1,00,000	1,20,000
Patent Rights	3,00,000	1,80,000

Additional Information

- During the year, a machine costing Rs 50,000 with accumulated depreciation Rs 30,000 was sold for Rs 25,000.
- Patents were written off to the extent of Rs 30,000, and some patents were sold at a profit of Rs 25,000.

Answer: Net cash flow from Investing Activities Rs 40,000

Hint: Balancing Figures: Machinery A/c Rs 1,00,000, Accumulated Depreciation A/c Rs 50,000 and Patents Account Rs 1,15,000

17. If Ajay & Co. has plant and machinery, whose written down value on Apr 1, 2008 was Rs 7,50,000 and on Mar 31, 2009 was Rs 9,00,000. Depreciation for the year was Rs 30,000. At the beginning of the year a part of plant was sold for Rs 20,000 which had a written down value of Rs 16,000.

Answer: Net cash flow from Investing Activities Rs 1,76,000

Hint: Plant and Machinery A/c (Balancing Figure) Rs 1,96,000

18. Calculate cash flow from Financial Activities from the following information.

	Mar 31, 2008 Rs	Mar 31, 2009 Rs
Equity Share capital	6,00,000	8,00,000
9% Debentures	2,00,000	1,00,000
Securities Premium	50,000	75,000

Information: Interest paid on debentures Rs 18,000

Answer: Net cash from Financing Activities: Rs 1,07,000

19. A public limited company provides the following figures. Calculate the net cash flow from Financing Activities.

	Mar 31, 2008 Rs	Mar 31, 2009 Rs
Equity Share Capital	8,00,000	12,00,000
10% Debentures	1,50,000	—
6% Debentures	—	3,00,000

Additional Information

- Interest paid on Debentures Rs 15,000
- Dividend paid Rs 40,000
- During the year 2008–2009, the company issued bonus shares in the ratio of 2:1 by capitalising the reserve.

Answer: Net cash flow from Financing Activities: Rs 95,000

20. Calculate cash flow from (i) Investing Activities and (ii) Financing Activities from the following information.

	Mar 31, 2008 Rs	Mar 31, 2009 Rs
Furniture (at cost)	30,000	40,000
Accumulated Depreciations Furniture	7,000	10,000
Capital	1,50,000	2,25,000
Loan from Bank	40,000	25,000

During the year 2008–2009, furniture costing Rs 5,000 was sold at a profit of Rs 3,000. Depreciation charged during the year was Rs 6,000.

Answer: 1. Net cash from Financing Activities: Rs 60,000

2. Net cash flow from Investing Activities: Rs 10,000

Hint: Sale Price Rs 5,000

Furniture purchased: Rs 15,000

Accumulated Depreciation: Rs 3,000

21. From the following Summary Cash Account of XYZ Ltd., you are required to prepare Cash Flow Statement for the year ended Mar 31, 2009 in accordance with AS-3.

Summary Cash Account for the year ended Mar 31, 2009			
Dr.			Cr.
Particulars	Rs	Particulars	Rs
Opening Balance	50,000	Payment to Suppliers	20,00,000
Issue of Equity Shares	3,00,000	Purchase of Fixed Assets	2,00,000
Receipts from Customers	28,00,000	Overhead Expenses	2,00,000
Sale of Fixed Assets	1,00,000	Wages and Salaries	1,00,000
		Taxation	2,50,000
		Dividend	50,000
		Repayment of Loan	3,00,000
		Closing Balance	1,50,000
	<u>32,50,000</u>		<u>32,50,000</u>

Answer: 1. Net cash from Operating Activities: Rs 2,50,000

2. Net cash used in Investing Activities: Rs 1,00,000

3. Net cash used in Financing Activities: Rs 50,000

22. The Balance Sheet of J. K. Ltd. as on Mar 31, 2008 and Mar 31, 2009 are as follows:

Dr.			Cr.		
Liabilities	Mar 31, 2008 Rs	Mar 31, 2009 Rs	Assets	Mar 31, 2008 Rs	Mar 31, 2009 Rs
Share Capital	1,60,000	80,000	Fixed Assets	80,000	1,12,000
P & L A/c	60,000	96,000	Inventories	40,000	28,000
Creditors	40,000	60,000	Debtors	1,20,000	1,80,000
					,80,000
Liabilities for Expenses	12,000	20,000	Cash and Bank Balance	20,000	28,000
Advance Income	8,000	4,000	Prepaid Expenses	12,000	8,000
			Deferred Expenses	8,000	4,000
	<u>2,80,000</u>	<u>60,000</u>		<u>2,80,000</u>	<u>3,60,000</u>
					3,60,000

Additional Information

An old machine was sold for Rs 20,000 which had a written down Rs 10,000; dividend paid during the year Rs 16,000 and depreciation charged to Profit and Loss Account for the year amounted to Rs 10,000. Prepare the Cash Flow Statement.

	Rs
Answer: 1. Cash flow from Operating Activities	36,000
2. Cash used in Investing Activities	32,000
3. Cash flow from Financing Activities	4,000
Cash – Cash constitutes cash on banks.	

Financial Accounting

V. Rajasekaran | R. Lalitha



This book provides a comprehensive, simple, and pragmatic presentation of various concepts in accounting. Rich in pedagogy and extensive in coverage, the book not only meets the requirements of the undergraduate students of different Indian universities but will also be useful for the students of CA, CS, MBA and ICWA.

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